

CASES DECIDED
IN THE
COURT OF APPEALS
OF THE
STATE OF NEW YORK

[11 NE3d 188, 988 NYS2d 115]

In the Matter of the ASSOCIATION FOR A BETTER LONG ISLAND,
INC., et al., Petitioners, and TOWN OF RIVERHEAD et al., Ap-
pellants, v NEW YORK STATE DEPARTMENT OF ENVIRONMEN-
TAL CONSERVATION et al., Respondents.

Argued February 12, 2014; decided April 1, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 26, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (George B. Ceresia, Jr., J.; op 35 Misc 3d 786 [2011]), entered in a consolidated hybrid CPLR article 78 proceeding/declaratory judgment action, which had (1) granted respondents' motion to dismiss the petitions/complaints; and (2) dismissed the consolidated hybrid CPLR article 78 proceeding/declaratory judgment action.

Matter of Association for a Better Long Is., Inc. v New York State Dept. of Envtl. Conservation, 97 AD3d 1085, modified.

HEADNOTES

Parties — Standing — Owners of Property Where Possible Endangered or Threatened Species Located — Challenge to Incidental Take Permit Regulations

1. Petitioners, governmental entities titled to land for the purpose of redevelopment, whose property was subject to the 2010 amendments to 6 NYCRR part 182 pertaining to the protection of endangered and threatened species, had standing to maintain three causes of action alleging procedural

violations concerning the failure of respondent Department of Environmental Conservation to comply with certain provisions of the Environmental Conservation Law and State Administrative Procedure Act. The amendments established a formal process through which individuals could obtain a permit to allow for the incidental taking of endangered or threatened species. The allegations made by petitioners, whose property was the habitat of at least two endangered or threatened species, included failure to refer the proposed amendments to the State Environmental Board, failure to hold public hearings and failure to properly evaluate and analyze the potential regulatory impacts. Petitioners asserted a concrete interest in the matter respondent was regulating, and a concrete injury from respondent's failure to follow procedure. Moreover, in connection with petitioners' prior proposal to subdivide the land, respondent provided them with an outline for a comprehensive habitat protection plan and indicated its intention to serve as lead agency for the purposes of State Environmental Quality Review Act review. Petitioners' allegations were sufficient to satisfy the requirements that they have an actual stake in the litigation and suffer a harm that is different from that of the public at large.

Parties — Standing — Owners of Property Where Possible Endangered or Threatened Species Located — Challenge to Incidental Take Permit Regulations

2. Petitioners, governmental entities titled to land for the purpose of redevelopment, whose property was subject to the 2010 amendments to 6 NYCRR part 182 pertaining to the protection of endangered and threatened species, did not have standing to maintain a cause of action alleging that respondent Department of Environmental Conservation issued a negative declaration without taking the necessary hard look under the State Environmental Quality Review Act (SEQRA), as petitioners failed to allege any environmental harm. The amendments established a formal process through which individuals could obtain a permit to allow for the incidental taking of endangered or threatened species. As amended, the regulations provided that individuals seeking an incidental take permit must submit a mitigation plan for minimizing the impact to endangered or threatened species, which must result in a net conservation benefit to the subject species (*see* 6 NYCRR 182.11 [a]). Petitioners asserted that the regulations would impede their ability to develop the property and cause them to incur substantial costs, but economic injury alone does not confer standing to sue under SEQRA since it is not within the zone of interests sought to be protected by the statute.

Parties — Standing — Owners of Property Where Possible Endangered or Threatened Species Located — Challenge to Incidental Take Permit Regulations

3. Petitioners, governmental entities titled to land for the purpose of redevelopment, whose property was subject to the 2010 amendments to 6 NYCRR part 182 pertaining to the protection of endangered and threatened species, did not have standing to maintain substantive causes of action alleging that the amendments were ultra vires, constituted an impermissible regulatory taking and were irrational, arbitrary and capricious. The amendments established a formal process through which individuals could obtain a permit to allow for the incidental taking of endangered or threatened species. As amended, the regulations provided that individuals seeking an incidental take permit must submit a mitigation plan for minimizing the impact to endangered or threatened species, which must result in a net conservation benefit to the subject species (*see* 6 NYCRR 182.11 [a]). Petitioners' substantive

claims were not ripe for judicial review as there had been no final agency action inflicting concrete harm. Until petitioners submitted a permit application and respondent Department of Environmental Conservation imposed the requirements of the amended regulations to their detriment, allegations that they were affected by those requirements through an encumbrance on their property or the imposition of costs were too speculative. Relatedly, the lack of standing finding as to the substantive claims did not create an “impenetrable barrier” to review, since the statute of limitations does not start to run until the agency issues a determination of a permit application.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Administrative Law §§ 214, 420, 425, 437; AM JUR 2d, Fish, Game, and Wildlife Conservation §§ 64, 70. CARMODY-WAIT 2d, Parties § 19:9; CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:243–145:245, 145:1350. 6 NYCRR part 182; 182.11 (a). NY JUR 2d, Article 78 and Related Proceedings §§ 226, 230, 234, 252; NY JUR 2d, Environmental Rights and Remedies §§ 87, 93, 371; NY JUR 2d, Fish and Wildlife §§ 1, 9. SIEGEL, NY PRAC § 136.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Endangered Species; Municipal Corporations; Parties; Rules and Regulations.

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POINTS OF COUNSEL

Smith, Finkelstein, Lundberg, Isler & Yakaboski, LLP, Riverhead (*Frank A. Isler* of counsel), for appellants. I. A property owner affected by illegally adopted regulatory amendments must have standing to assert their invalidity at the time of adoption; otherwise the actions of the administrative agency will not be subject to review by the courts. (*Matter of Save the Pine Bush v City of Albany*, 70 NY2d 193; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Envtl. Conservation*, 18 NY3d 289; *Matter of New York State Superfund Coalition v New York State Dept. of Envtl. Conservation*, 75 NY2d 88; *Matter of New York Constr. Materials Assn., Inc. v New York State Dept. of*

Envtl. Conservation, 83 AD3d 1323; *Riccelli Enters., Inc. v New York State Dept. of Evtl. Conservation*, 30 Misc 3d 573; *Matter of Transportation Alternatives v Gotbaum*, 199 AD2d 53; *Community Hous. Improvement Program v New York State Div. of Hous. & Community Renewal*, 175 AD2d 905; *Matter of Har Enters. v Town of Brookhaven*, 74 NY2d 524; *Matter of Schulz v Lake George Park Commn.*, 180 AD2d 852.) II. The Appellate Division's holding that the Town of Riverhead's facial challenge to the amendments as ultra vires is not ripe for review is contrary to this Court's established precedents. (*Klostermann v Cuomo*, 61 NY2d 525; *Community Hous. Improvement Program v New York State Div. of Hous. & Community Renewal*, 175 AD2d 905; *Amazon.com, LLC v New York State Dept. of Taxation & Fin.*, 81 AD3d 183; *Matter of New York State Superfund Coalition v New York State Dept. of Evtl. Conservation*, 75 NY2d 88.)

Eric T. Schneiderman, Attorney General, Albany (Andrew B. Ayers, Barbara D. Underwood and Andrea Oser of counsel), for respondents. I. The Town of Riverhead fails to establish standing for its procedural claims because it alleges no injury in fact within any relevant zone of interests. (*Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Matter of Save the Pine Bush, Inc. v Common Council of City of Albany*, 13 NY3d 297; *Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.*, 5 NY3d 30; *New York State Assn. of Nurse Anesthetists v Novello*, 2 NY3d 207; *Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo*, 64 NY2d 233; *American Ins. Assn. v Chu*, 64 NY2d 379; *Weingarten v Town of Lewisboro*, 77 NY2d 926; *Church of St. Paul & St. Andrew v Barwick*, 67 NY2d 510; *Little Joseph Realty v Town of Babylon*, 41 NY2d 738.) II. The Town of Riverhead fails to establish standing for its substantive claims, which have not yet even accrued. (*Solnick v Whalen*, 49 NY2d 224; *Walton v New York State Dept. of Correctional Servs.*, 8 NY3d 186; *Klostermann v Cuomo*, 61 NY2d 525.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Petitioners Town of Riverhead and Town of Riverhead Community Development Agency (Riverhead) seek to challenge 2010 amendments to the regulations of respondent Department of

Environmental Conservation (DEC). The issue presented is whether petitioners have standing to challenge these amendments. We find that petitioners can proceed with three of their procedural claims, but that they lack standing with respect to the substantive causes of action.

In November 2010, the Division of Fish, Wildlife and Marine Resources of the DEC, adopted amendments to 6 NYCRR part 182, pertaining to the protection of endangered and threatened species. Although DEC had the preexisting authority to prohibit the intentional taking (e.g., hunting or trapping) of endangered or threatened species (*see* ECL 11-0535), the amendments established a formal process through which individuals could obtain a permit to allow for the incidental taking of such species. As amended, the regulations provide that individuals seeking an incidental take permit must submit a mitigation plan for minimizing the impact to endangered or threatened species, which must result in a net conservation benefit to the subject species (*see* 6 NYCRR 182.11 [a]).¹

Riverhead owns approximately 3,000 acres of real property known as Enterprise Park at Calverton (EPCAL). The land, formerly the Grumman manufacturing facility site, was conveyed to petitioner by the United States Navy, pursuant to an act of Congress, for the express purpose of economic redevelopment. The property is apparently the habitat of at least two endangered or threatened species and will be subject to and affected by the amendments.

Riverhead commenced this hybrid CPLR article 78 proceeding/declaratory judgment action within four months of the promulgation of these amendments, claiming procedural flaws in their adoption and challenging their substance. The first three causes of action alleged procedural violations concerning DEC's failure to comply with certain provisions of the Environmental Conservation Law and State Administrative Procedure Act (SAPA)—specifically, failing to refer the proposed amendments to the State Environmental Board, failing to hold public hearings and

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1. The regulations define a net conservation benefit as:
“a successful enhancement of the species’ subject population, successful enhancement of the species’ overall population or a contribution to the recovery of the species within New York. To be classified as a net conservation benefit, the enhancement or contribution must benefit the affected species listed as endangered or threatened in this Part or its habitat to a greater degree than if the applicant’s proposed activity were not undertaken” (6 NYCRR 182.2 [n]).

failing to properly evaluate and analyze the potential regulatory impacts. The fourth cause of action alleged a failure to take the necessary hard look under the State Environmental Quality Review Act (SEQRA) and the remaining, substantive, causes of action alleged that the amendments were ultra vires, constituted an impermissible regulatory taking and were irrational, arbitrary and capricious. DEC moved to dismiss, arguing that petitioners lacked standing and that the proceeding was not ripe for judicial review.

Supreme Court granted DEC's motion and dismissed the proceeding, finding both that the causes of action were not ripe and that petitioners did not have standing (35 Misc 3d 786, 797 [Sup Ct, Albany County 2011]). The Appellate Division affirmed, concluding that, although the procedural claims were ripe, petitioners lacked standing on any claim by virtue of their failure to allege an injury-in-fact (97 AD3d 1085, 1086 [3d Dept 2012]). The Court also found that the substantive challenges were not yet ripe, since any alleged harm was speculative until petitioners filed an application and the agency implemented the regulations at issue. This Court granted petitioners leave to appeal (20 NY3d 852 [2012]), and we now modify by reinstating the procedural causes of action.

“Standing is a threshold determination, resting in part on policy considerations, that a person should be allowed access to the courts to adjudicate the merits of a particular dispute that satisfies the other justiciability criteria” (*Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761, 769 [1991]). Petitioner has the burden of establishing both an injury-in-fact and that the asserted injury is within the zone of interests sought to be protected by the statute alleged to have been violated (*see Society of Plastics*, 77 NY2d at 772-773). In land use matters, moreover, petitioner “must show that it would suffer direct harm, injury that is in some way different from that of the public at large” (*Society of Plastics*, 77 NY2d at 774). These requirements ensure that the courts are adjudicating actual controversies for parties that have a genuine stake in the litigation (*see Society of Plastics*, 77 NY2d at 773-774).

However, we have also recognized that standing rules “should not be heavy-handed” (*Matter of Sun-Brite Car Wash v Board of Zoning & Appeals of Town of N. Hempstead*, 69 NY2d 406, 413 [1987]). Rather, we have been reluctant to apply these principles in an overly restrictive manner where the result would be to completely shield a particular action from judicial review

(*Matter of Har Enters. v Town of Brookhaven*, 74 NY2d 524, 529 [1989]).

Riverhead’s first cause of action alleges that DEC violated ECL 3-0301 (2) (a) by failing to obtain the advice and approval of the State Environmental Board prior to adopting the amendments.² The second cause of action asserts that DEC failed to conduct public hearings, as required by ECL 3-0301 (2) (a) and section 202 of the State Administrative Procedure Act. Riverhead further alleges that the failure to conduct the hearings prevented them “from obtaining a full airing of the issues and impacts surrounding the new and substantial requirements that would be imposed by the Amendments if adopted.” In the third cause of action, Riverhead maintains that DEC violated the requirements of State Administrative Procedure Act § 202-a (3) (c) by failing to provide a regulatory impact statement that properly evaluated and analyzed the projected costs of the amendments.

[1] Under the circumstances presented, Riverhead has standing to maintain the above procedural claims. Petitioners, governmental entities titled to land for the purpose of redevelopment, whose property is subject to the amended regulations, have alleged a sufficient injury-in-fact for these purposes. We do not, and need not, decide whether land ownership, by itself, could satisfy the injury requirement. As the United States Supreme Court has recognized, a litigant’s “‘some day’ intentions—without any description of concrete plans, or indeed even any specification of *when* the some day will be—do not support a finding of the ‘actual or imminent’ injury that our cases require” (*Lujan v Defenders of Wildlife*, 504 US 555, 564 [1992]). Here, however, there is more than an amorphous allegation of potential future injury. Petitioners have asserted a concrete interest in the matter the agency is regulating, and a concrete injury from the agency’s failure to follow procedure. Moreover, in connection with Riverhead’s prior proposal to subdivide the land at issue, DEC provided them with an outline for a comprehensive habitat protection plan and indicated its intention to serve as lead agency for the purposes of SEQRA review. Petitioners’ allegations are sufficient to satisfy the requirements that they have an actual stake in the litigation

2. The State Environmental Board was eliminated and the statutory requirement was removed in 2012 (L 2012, ch 60, § 1, part D, § 44), but petitioners allege that the Board’s lack of approval in 2010 renders the amendment invalid.

and suffer a harm that is different from that of the public at large (see *Lujan*, 504 US at 572-573 n 7, 8 [an individual can enforce procedural rights—which have been recognized as “special”—“so long as the procedures in question are designed to protect some threatened concrete interest of his that is the ultimate basis of his standing”]).

Petitioners further allege that the violation of these procedural statutes deprived them of an adequate “airing” of the relevant issues and impacts of the proposed amendments, as well as an accurate assessment of the projected costs involved. The asserted statutory provisions set forth certain procedural steps to be followed when promulgating rules or regulations. The alleged violations, including the deprivation of an opportunity to be heard, constitute injuries to petitioners within the zone of interests sought to be protected by the statutes. Most significantly, to deny petitioners standing in this case would have the effect of insulating these amendments from timely procedural challenge—a result that is contrary to the public interest (see *Har Enters.*, 74 NY2d at 529). Given the compressed four-month statute of limitations (see State Administrative Procedure Act § 202 [8]), we would be erecting an “impenetrable barrier” to any review of this facet of the administrative action (see generally *Matter of Transactive Corp. v New York State Dept. of Social Servs.*, 92 NY2d 579, 589 [1998]). Therefore, we find that petitioners have adequately alleged standing to contest the procedural claims. As the Appellate Division found, the procedural claims are ripe because the regulations have been promulgated and are in effect (see *Matter of Essex County v Zagata*, 91 NY2d 447, 453 [1998]).

The above-referenced factors are adequate to satisfy the jurisprudential concerns underlying the standing doctrine. Specifically, petitioners, whose property is directly affected by the amendments, face a concrete injury within the zone of interests protected by the procedural statutes. It is plain that this case does not present the risk that the courts will be adjudicating the rights of individuals who have only a tangential stake in the litigation. And we certainly do not hold that any individual who simply alleges a failure to follow SAPA requirements would have standing. Rather, the universe of potential plaintiffs is suitably delimited (see *Society of Plastics*, 77 NY2d at 779).

[2] The fourth cause of action, asserting that DEC issued a negative declaration without taking the necessary hard look

under SEQRA, however, was properly dismissed as petitioners fail to allege any environmental harm. They assert that the regulations will impede their ability to develop the property and will cause them to incur substantial costs. As we have consistently held, “economic injury [alone] does not confer standing to sue under SEQRA” (*Society of Plastics*, 77 NY2d at 777; see also *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668, 687 [1996]; *Matter of Mobil Oil Corp. v Syracuse Indus. Dev. Agency*, 76 NY2d 428, 433 [1990]), since it is not within the zone of interests sought to be protected by the statute.

[3] Petitioners likewise lack standing to pursue their substantive claims. Indeed, those claims are not yet ripe as there has been no final agency action inflicting concrete harm (see *Matter of Gordon v Rush*, 100 NY2d 236, 242 [2003]). Until petitioners submit a permit application and DEC imposes the requirements of the amended regulations to their detriment, allegations that they are affected by those requirements through an encumbrance on their property or the imposition of costs are too speculative. There is, as of yet, no actual injury caused by the substantive provisions of the amended regulations. Relatedly, our finding of lack of standing as to the substantive claims does not create an “impenetrable barrier” to review, since the statute of limitations does not start to run until the agency issues a determination of a permit application.

Accordingly, the order of the Appellate Division should be modified, without costs, by reinstating appellants’ first, second and third causes of action and, as so modified, affirmed.

Judges GRAFFEO, READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order modified, without costs, by reinstating appellants’ first, second and third causes of action and, as so modified, affirmed.

[11 NE3d 174, 988 NYS2d 101]

JAMES L. MELCHER, Appellant, v GREENBERG TRAUIG, LLP, et al., Respondents.

Argued February 13, 2014; decided April 1, 2014

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 17, 2013. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, New York County (Shirley Werner Kornreich, J.; op 2011 NY Slip Op 34074[U] [2011]), which had denied defendants' motion to dismiss the complaint on statute of limitations grounds, (2) granted the motion, and (3) dismissed the amended complaint.

Melcher v Greenberg Traurig, LLP, 102 AD3d 497, reversed.

HEADNOTES

Limitation of Actions — What Statute Governs — Attorney Deceit

1. The holdings in *Guardian Life Ins. Co. of Am. v Handel* (190 AD2d 57 [1st Dept 1993]) and *New York City Tr. Auth. v Morris J. Eisen, P.C.* (276 AD2d 78 [1st Dept 2000]) that a claim for attorney deceit was governed by the six-year statute of limitations applicable to common-law fraud (CPLR 213 [8]) were rendered invalid by *Amalfitano v Rosenberg* (12 NY3d 8 [2009]), which observed that Judiciary Law § 487 was not a codification of and did not derive from common-law fraud.

Limitation of Actions — What Statute Governs — Attorney Deceit

2. Claims for attorney deceit under Judiciary Law § 487 are subject to the six-year statute of limitations in CPLR 213 (1), which governs actions for which no limitation is specifically prescribed by law. While section 487 does not derive from common-law fraud, but instead descended from the first Statute of Westminster adopted in England in 1275, an action for attorney deceit is not necessarily an action to recover under a statute and subject to a three-year statute of limitations (CPLR 214 [2]). English statutory and common law became New York common law as part of the Colonial-era incorporation or reception of English law into New York law. A cause of action for attorney deceit therefore existed as part of New York's common law before the first New York statute governing attorney deceit was enacted in 1787. The 1787 statute enhanced the penalties for attorney deceit by adding an award for treble damages, but did not create the cause of action.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law § 54; AM JUR 2d, Fraud and Deceit § 296; AM JUR 2d, Limitation of Actions §§ 103, 105, 107.

Points of Counsel

CARMODY-WAIT 2d, Officers of Court §§ 3:221–3:225;
CARMODY-WAIT 2d, Limitation of Actions §§ 13:167–
13:170, 13:178, 13:179, 13:208, 13:209.
McKINNEY’S, CPLR 213 (1), (8); 214 (2); Judiciary Law
§ 487.
NY JUR 2d, Attorneys at Law § 156; NY JUR 2d, Limita-
tions and Laches §§ 175, 182, 183, 202, 254.
SIEGEL, NY PRAC §§ 35, 36, 43.

ANNOTATION REFERENCE

What statute of limitations governs damage action against
attorney for malpractice. 2 ALR4th 284.

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POINTS OF COUNSEL

Hinman Straub PC, Albany (James T. Potter of counsel), and Jeffrey A. Jannuzzo, New York City, for appellant. I. The six-year limitations period of CPLR 213 (1) applies to Judiciary Law § 487 claims. (*Gaidon v Guardian Life Ins. Co. of Am.*, 96 NY2d 201; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *Hartnett v New York City Tr. Auth.*, 86 NY2d 438; *State of New York v Cortelle Corp.*, 38 NY2d 83; *Colavito v New York Organ Donor Network, Inc.*, 8 NY3d 43; *People v Cunningham*, 2 NY3d 593; *People v Jelke*, 308 NY 56; *Matter of United Press Assns. v Valente*, 308 NY 71; *Matter of Abrams v Brady*, 77 NY2d 741; *Matter of Morgenthau v Altman*, 58 NY2d 1057.) II. Defendants are equitably estopped from asserting their statute of limitations defense. (*Simcusi v Saeli*, 44 NY2d 442; *General Stencils v Chiappa*, 18 NY2d 125; *Medco Plumbing, Inc. v Sparrow Constr. Corp.*, 22 AD3d 647; *Abraham v Kosinski*, 305 AD2d 1091; *Kilstein v Agudath Council of Greater N.Y.*, 133 AD2d 809; *Corsello v Verizon N.Y., Inc.*, 18 NY3d 777; *Giannetto v Knee*, 82 AD3d 1043; *Vigliotti v North Shore Univ. Hosp.*, 24 AD3d 752.) III. Even under a three-year statute of limitations, this action is timely because plaintiff’s claim did not accrue until plaintiff knew of Leslie Corwin’s deceit. (*Sielcken-Schwarz v American Factors, Ltd.*, 265 NY 239; *Renz v Beeman*, 589 F2d 735; *Abbate v Abbate*, 82 AD2d 368; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427.) IV. The retroactive shortening of the statute of limitations for Judiciary Law § 487 claims violates James Melcher’s due process rights. (*Guardian Life Ins. Co. of Am. v Handel*,

190 AD2d 57; *New York City Tr. Auth. v Morris J. Eisen, P.C.*, 203 AD2d 146; *Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Brothers v Florence*, 95 NY2d 290.)

Simpson Thacher & Bartlett LLP, New York City (Roy L. Reardon, Michael J. Castiglione and Rae C. Adams of counsel), for respondents. I. The Appellate Division correctly held that the statute of limitations is three years for a Judiciary Law § 487 claim. (*Amalfitano v Rosenberg*, 12 NY3d 8; *Guardian Life Ins. Co. of Am. v Handel*, 190 AD2d 57; *Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *Banca Commerciale Italiana, N.Y. Branch v Northern Trust Intl. Banking Corp.*, 160 F3d 90; *New York City Tr. Auth. v Morris J. Eisen, P.C.*, 203 AD2d 146.) II. The Appellate Division was correct to reject the application of the equitable estoppel doctrine. (*Putter v North Shore Univ. Hosp.*, 7 NY3d 548; *Matter of Wilson v McGlinchey*, 2 NY3d 375; *Benn v Benn*, 82 AD3d 548; *Island ADC, Inc. v Baldassano Architectural Group, P.C.*, 49 AD3d 815; *Massie v Crawford*, 78 NY2d 516; *Williams v New York City Health & Hosps. Corp.*, 84 AD3d 1358; *McCarthy v Volkswagen of Am.*, 55 NY2d 543; *East Midtown Plaza Hous. Co. v City of New York*, 218 AD2d 628; *Townley v Emerson Elec. Co.*, 269 AD2d 753; *Babigian v Association of the Bar of the City of N.Y.*, 744 F Supp 47.) III. The Appellate Division and Supreme Court correctly held that James Melcher's sole claim accrued more than three years before he commenced his action against the Greenberg Traurig, LLP defendants. (*Sargiss v Magarelli*, 12 NY3d 527; *Jacobus v Colgate*, 217 NY 235; *Parmenter v State of New York*, 135 NY 154; *Corsello v Verizon N.Y., Inc.*, 18 NY3d 777; *Wender v Gilberg Agency*, 276 AD2d 311; *Sielcken-Schwarz v American Factors, Ltd.*, 265 NY 239.) IV. James Melcher's "due process" rights were not "violated." (*Matter of Barbara C.*, 64 NY2d 866; *Jorgensen v Silverman*, 224 AD2d 665; *Nussenzweig v diCorcia*, 9 NY3d 184; *Clowes v Pulver*, 258 AD2d 50; *Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Gager v White*, 53 NY2d 475; *People v Favor*, 82 NY2d 254; *People v Hill*, 85 NY2d 256; *Gersten v 56 7th Ave. LLC*, 88 AD3d 189.)

OPINION OF THE COURT

READ, J.

Judiciary Law § 487 exposes an attorney who "[i]s guilty of any deceit or collusion, or consents to any deceit or collusion, with intent to deceive the court or any party" to criminal

(misdemeanor) liability and treble damages, to be recovered by the injured party in a civil action. After plaintiff James L. Melcher (Melcher) brought this action for attorney deceit against defendants Greenberg Traurig, LLP and Leslie Corwin (collectively, defendants), defendants moved to dismiss, arguing that the lawsuit was precluded by the three-year limitations period in CPLR 214 (2). This provision governs “an action to recover upon a liability, penalty or forfeiture created or imposed by statute,” with exceptions not relevant here.

Melcher countered that his action was timely because the applicable statute of limitations was CPLR 213 (1). This so-called “catch-all” or residual provision requires “an action for which no limitation is specifically prescribed by law” to be brought within six years of a claim’s accrual. Alternatively, Melcher contended that defendants were equitably estopped from asserting their statute-of-limitations defense; and that, in any event, his claim accrued within the three-year limitations period.

Supreme Court denied defendants’ motion to dismiss. While the trial judge agreed with defendants that the applicable statute of limitations was the three-year period in CPLR 214 (2), she concluded that defendants were equitably estopped from asserting this defense (2011 NY Slip Op 34074[U] [2011]). Upon defendants’ appeal, the Appellate Division, with two Justices dissenting, reversed, granted defendants’ motion and dismissed Melcher’s amended complaint in its entirety (102 AD3d 497 [1st Dept 2013]).

The majority in the Appellate Division decided that the doctrine of equitable estoppel did not apply, and that Melcher’s claim accrued outside the three-year limitations period. The dissenting Justices expressed no opinion on equitable estoppel, but disagreed with the majority as to whether Melcher’s claim was timely. Thus, all five appellate judges agreed with Supreme Court that CPLR 214 (2), rather than CPLR 213 (1), governs an action under Judiciary Law § 487 for attorney deceit; they simply differed over the legal question of when Melcher’s claim accrued based on the pleaded facts. Melcher appealed as of right, based on the two-Justice dissent (*see* CPLR 5601 [a] [1]), and we denied defendants’ subsequent motion to dismiss the appeal on the ground that the dissent was not on a question of law (21 NY3d 908 [2013]). We now reverse.

A few years ago, the United States Court of Appeals for the Second Circuit certified to us the question of whether “a successful lawsuit for treble damages brought under [Judiciary

Law § 487 could] be based on an attempted but unsuccessful deceit” (*Amalfitano v Rosenberg*, 533 F3d 117, 126 [2d Cir 2008]). The attorney-defendant in *Amalfitano* argued that a section 487 claim was analogous to fraud, which requires an element of reliance, and therefore no recovery could be made for an attempted but unsuccessful deceit practiced on the court. In *Amalfitano v Rosenberg* (12 NY3d 8 [2009]), we disagreed, observing that section 487 “[was] not a codification of” and “[did] not derive from common-law fraud” (*id.* at 12, 14), but instead “descend[ed] from the first Statute of Westminster, . . . adopted by the Parliament summoned by King Edward I of England in 1275” (*id.* at 12).

[1] Here, Supreme Court and the Appellate Division essentially (and understandably) interpreted the words “derive from” and “descend[] from” as used in *Amalfitano* in their narrowest possible sense to mean “originated in” the first Statute of Westminster; hence, they concluded, an action for attorney deceit is governed by the three-year period for recovery “upon a liability, penalty or forfeiture created or imposed by statute” (CPLR 214 [2]). This marked a change in the law because the Appellate Division had previously held that a claim for attorney deceit was governed by the six-year statute of limitations applicable to common-law fraud (CPLR 213 [8]), as opposed to the three-year period in CPLR 214 (2) (*see Guardian Life Ins. Co. of Am. v Handel*, 190 AD2d 57 [1st Dept 1993]; *New York City Tr. Auth. v Morris J. Eisen, P.C.*, 276 AD2d 78 [1st Dept 2000]). As the courts below recognized, though, *Amalfitano* renders these decisions invalid. But an action for attorney deceit is not necessarily an action to recover under a statute just because it may be traced back to the first Statute of Westminster rather than common-law fraud.

Melcher points out that English statutory and common law became New York common law as part of the Colonial-era incorporation or “reception” of English law into New York law. As explained in *Bogardus v Trinity Church* (4 Paige Ch 178, 198 [1833]),

“[t]he common law of the mother country as modified by positive enactments, together with the statute laws which are in force at the time of the emigration of the colonists, *become in fact the common law rather than the common and statute law of the colony*. The statute law of the mother country,

therefore, when introduced into the colony of New-York, by common consent, because it was applicable to the colonists in their new situation, and not by legislative enactment, became a part of the common law of this province” (*see also Beers v Hotchkiss*, 256 NY 41, 54 [1931, Cardozo, Ch. J.] [“(T)he statutes of the mother country in existence at the settlement of a colony . . . are deemed to have entered into the fabric of the common law, and like the common law itself became law in the colony unless unsuited to the new conditions” (emphasis added)]).

A cause of action for attorney deceit therefore existed as part of New York’s common law before the first New York statute governing attorney deceit was enacted in 1787 (*see Amalfitano*, 12 NY3d at 12 [discussing L 1787, ch 35, § 5]). The 1787 statute enhanced the penalties for attorney deceit by adding an award for treble damages, but did not create the cause of action (*see State of New York v Cortelle Corp.*, 38 NY2d 83, 85 [1975] [“Statutory provisions which provide only additional remedies or standing do not create or impose new obligations,” within the meaning of CPLR 214 (2)]; *see also Orr v Kinderhill Corp.*, 991 F2d 31, 34 [2d Cir 1993] [“That the statute merely enlarges the common-law scheme of liability or grants additional remedies is insufficient to bring it within CPLR 214 (2)”]).

[2] Thus, even if a claim for attorney deceit *originated* in the first Statute of Westminster rather than preexisting English common law (a question unresolved by *Amalfitano* and disputed by the parties in this case), liability for attorney deceit existed at New York common law prior to 1787. As a result, claims for attorney deceit are subject to the six-year statute of limitations in CPLR 213 (1). Because of our disposition of this appeal, we do not reach and need not resolve Melcher’s other arguments.

Accordingly, the order of the Appellate Division should be reversed, with costs, and defendants’ motion to dismiss the complaint denied.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order reversed, with costs, and defendants’ motion to dismiss the complaint denied.

[11 NE3d 177, 988 NYS2d 104]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MERLIN
G. SAGE, Appellant.

Argued February 11, 2014; decided April 1, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 28, 2012. The Appellate Division affirmed a judgment of the Monroe County Court (Elma A. Bellini, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree.

People v Sage, 98 AD3d 1254, reversed.

HEADNOTES**Crimes — Accomplices — Testifying Witness — Accomplice in Fact Instruction**

1. In the prosecution of defendant arising from a fatal beating, wherein the prosecution called as its key witness a man who was at the scene and claimed to have not participated, but admitted to punching the victim twice in self-defense, the trial court erred in failing to charge the jury with an “accomplice in fact” instruction, since the evidence created a factual issue as to whether the witness was an accomplice. Where a court determines on the evidence that a witness qualifies as an accomplice within the meaning of CPL 60.22 (2), the court must instruct the jury that the witness is an accomplice and that defendant may not be convicted upon that witness’s testimony if it is unsupported by corroborative evidence tending to connect defendant with the commission of the charged offense (CPL 60.22 [1]). If a factual dispute exists as to whether the witness is an accomplice, the court must instruct the jury to apply the corroboration requirement only if the jury makes a factual finding that the witness is an accomplice in fact. Here, there was ample evidence from which it could have been reasonably inferred that the witness participated in the victim’s murder or an “offense based upon the same or some of the same facts or conduct” which constituted the murder (CPL 60.22 [2]). The witness admitted to his presence before, during and after the fatal attack. In addition, the forensic pathologist’s testimony that one blow could have caused a subarachnoid hemorrhage, which was at least one cause of death, supported the argument that the witness’s punches to the victim’s head and neck could have caused or contributed to the fatal injuries. Moreover, the witness’s acts in helping move the victim, going to defendant’s house after allegedly seeing defendant beat the victim with a mop handle, removing and bagging his blood-stained clothes, and delaying in speaking with the police or his parents provided a basis for the jury to infer his involvement in the crime.

Crimes — Harmless and Prejudicial Error — Failure to Charge Jury with Accomplice in Fact Instruction

2. In the prosecution of defendant arising from a fatal beating, wherein the prosecution’s key witness was at the scene and claimed to have not

participated, but admitted to punching the victim twice in self-defense, the trial court's error in failing to charge the jury with an "accomplice in fact" instruction was not harmless. An accomplice in fact instruction informs the jury that defendant may not be convicted upon an accomplice's testimony if it is unsupported by corroborative evidence tending to connect defendant with the commission of the charged offense. The corroborative evidence, when read with the accomplice's testimony, must make it more likely that the defendant committed the offense. Here, only the witness identified defendant as having participated in the beating in the apartment, but his written statement lacked any reference to defendant hitting the victim there. Defendant stated that he was present, but did not admit to striking the victim in the apartment. The witness's testimony that, after the victim was moved outside, defendant struck him with a mop handle was corroborated by evidence of bruises on the body, mop pieces and defendant's fingerprint on the mop handle. However, the parties contested the inferences to be drawn from that evidence, with defendant claiming that he had merely poked the victim with the handle. The fingerprint confirmed that defendant held the handle, but did not compel a finding that defendant swung or struck the victim with it. Nor could the witness be excluded based on the fingerprint evidence as someone who may have held the mop. Moreover, the pathologist could not say which blow was the cause of death and the witness did not know if the victim was breathing or had a pulse when he and defendant put him on a porch. If properly charged, the jury could have discounted the witness's version and decided that the remaining evidence was insufficient to find defendant's guilt beyond a reasonable doubt.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 618, 690; AM JUR 2d, Homicide §§ 506, 567–568; AM JUR 2d, Trial §§ 539, 689–690, 715, 1147, 1239.
CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:22, 207:36; CARMODY-WAIT 2d, Charge and Instruction to Jury §§ 200:15, 200:54, 200:80.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.8 (b).
MCKINNEY'S, CPL 60.22 (1); 60.22 (2); 460.05 (2).
NY JUR 2d, Criminal Law: Procedure §§ 2252, 2730, 2763, 3455, 3465; NY JUR 2d, Criminal Law: Substantive Principles and Offenses § 48.

ANNOTATION REFERENCE

See ALR Index under Accomplices; Appeal and Error; Instructions to Jury; Manslaughter; Preservation.

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POINTS OF COUNSEL

Timothy P. Donaher, Public Defender, Rochester (Drew R. DuBrin of counsel), for appellant. The trial court erred by refusing to submit to the jury the questions of whether the People's key witness was an accomplice and, if so, whether his testimony was corroborated. (*People v Vataj*, 121 AD2d 756, 69 NY2d 985; *People v Dorler*, 53 NY2d 831; *People v Diaz*, 19 NY2d 547; *People v Werner*, 55 AD2d 317; *People v Crimmins*, 36 NY2d 230; *People v Berger*, 52 NY2d 214; *People v Sweet*, 78 NY2d 263; *People v Cona*, 49 NY2d 26; *People v Jones*, 73 NY2d 902; *People v Basch*, 36 NY2d 154.)

Sandra Doorley, District Attorney, Rochester (Matthew Dunham of counsel), for respondent. Defendant was not entitled to have the jury instructed to consider whether one of the People's witnesses was an accomplice and, if so, whether his testimony was corroborated. (*People v Beaudet*, 32 NY2d 371; *People v Wheatman*, 31 NY2d 12; *People v White*, 26 NY2d 276; *People v Jones*, 73 NY2d 902; *People v Sweet*, 78 NY2d 263; *People v McKenzie*, 19 NY3d 463; *People v Basch*, 36 NY2d 154; *People v Garcia*, 20 NY3d 317; *People v Evans*, 83 NY2d 934; *People v Dorler*, 53 NY2d 831.)

OPINION OF THE COURT

RIVERA, J.

The sole issue on this appeal arising from the defendant's conviction for manslaughter in the first degree is whether the trial court committed reversible error by failing to charge the jury with an "accomplice-in-fact" instruction for the People's key witness. We conclude that the evidence created a factual issue as to whether the witness was an accomplice and that the failure to instruct the jury was not harmless. The order of the Appellate Division should be reversed.

I.

The defendant was charged by Monroe County indictment with murder in the second degree (*see* Penal Law § 125.25 [1]), stemming from the early-morning beating of Hector Merced on November 17, 2007. The People presented physical and testimonial evidence at trial seeking to establish that the defendant caused the death of Merced when he, along with two other men, viciously beat Merced, and shortly thereafter, on his own, forcefully struck him multiple times with a mop handle. The defendant disputed his involvement in the beating death of Merced

and sought to impugn the testimony of the People's key eyewitness, Andrew Mogavero, casting him as an accomplice to the crime.

At trial, Mogavero presented a story of how he observed, but did not participate in, the entire series of attacks on Merced that eventually led to his death. He testified that on the night of the murder he had gone out drinking with the defendant and Damion Clarke when they met Merced at a bar.¹ Thereafter, they all left to go drink at the apartment of Miguel Velez, an acquaintance of the defendant. According to Mogavero, within 20 minutes of arriving at the apartment, Clarke and Merced got into a "heated argument." Clarke took off his shirt, yelled "[e]nough of the disrespect," and head-butted Merced. Mogavero claimed that he had come back from the bathroom just in time to witness the incident and that he did not know why the men were fighting. Mogavero then claimed that Merced "came at me aggressively." Mogavero punched Merced twice to protect himself, hitting Merced in the face and neck.

Mogavero testified that the beating of Merced then began in earnest, with the defendant, Clarke and Velez kicking and punching Merced. At some point Merced fell to the floor and the defendant, Clarke and Velez continued to punch and kick him, inflicting blows around the head and body. During the beating Mogavero saw Clarke jump and land on Merced's head with both feet and then hit him on the head with a large stereo speaker. Mogavero further testified that he observed Clarke try to defecate on Merced before the defendant urinated on him. According to Mogavero, Merced moved very little and did not attempt to get up.

Mogavero denied participation in the beating, claiming he only punched Merced twice at the beginning, and then he backed up and kept out of it because he did not want the others to turn on him. He testified that he decided to get Merced out of the apartment once the others had stopped beating him. Mogavero testified that he picked Merced up off the floor and, along with Velez, carried him across the street and placed his body on the porch of a neighbor's house, which was under renovation. Mogavero claimed that, as they carried Merced to the porch, he was bleeding from his head and face and that he slumped over when they left him seated on the porch.

Mogavero testified that he watched the defendant walk toward the porch, and strike Merced forcefully with a mop handle.

1. Clarke was also indicted for the murder and tried separately.

He testified that he saw the defendant swing the handle at Merced's head and neck three times "[l]ike a baseball bat." Mogavero claimed that he walked back to the porch and tried to stop the defendant, describing how he "kind of grabbed [the defendant]" by the shirt to "kind of pull[] him back" from Merced.

According to Mogavero, he and the defendant left the scene of the beating by separate routes and went to the defendant's home, which was a short distance away. As soon as he arrived there, Mogavero changed out of his clothes because they were stained with Merced's blood, placed the clothes in a garbage bag, and left them in a bedroom. He then "[j]ust hung out" at the defendant's home for a couple of hours, eventually falling asleep.

On cross-examination, the defense pointed to various inconsistencies between Mogavero's in-court testimony and his previous statement to the police made the day after the beating. Defense counsel elicited from Mogavero that his written and signed statement only indicated that the defendant had urinated on Merced, and made no mention of the defendant punching or kicking him. Mogavero attempted to explain this inconsistency by claiming that he had told the police that the defendant kicked and punched Merced, but that he did not realize that the written statement was incomplete until he testified at the grand jury a few days after the murder. On cross-examination he also admitted that the beating took place in a small living room space and that he was "[a] matter of feet" away from the beating but did not intervene. Mogavero further admitted that although his mother lived four streets away from the defendant's home, he did not go there after he left the scene of the beating.

The People's forensic pathologist testified that the victim died of a subarachnoid hemorrhage, which he opined can be caused by blunt force trauma to the head and neck, such as punches, kicks, stomping, and the throwing of objects directly onto the head. However, he could not testify as to which of the many blows caused Merced's death given the multiple blows inflicted on Merced. On cross-examination, he testified that a single blow to the head could cause a subarachnoid hemorrhage.

The People also offered into evidence the damaged mop handle and pieces of the mop discovered near Merced's body on the porch. The evidence established that Merced's blood was on the

mop handle and pieces. Defendant's fingerprint was one of five recovered from the mop handle, and it was the only recovered fingerprint that allowed for a match to be made.

The People also read and submitted into evidence a written statement made by the defendant to the police approximately two days after the murder, wherein he described going out with the men and eventually going to the apartment. He denied participating in the beating and claimed that he had carried Merced out of the apartment, but did not see how Merced made it to the porch. He stated that he found a mop nearby and poked Merced with the mop handle three or four times and yelled at him to see "if he was all right." In his statement the defendant described how Clarke had beaten, jumped on, and thrown the speaker on Merced. Defendant related that Clarke tried to defecate on Merced and told the defendant to urinate on Merced, which he did. The statement confirmed that Mogavero was with the defendant and the other men throughout the evening and at the apartment during the beating, that Mogavero had run to the defendant's house shortly after the attack, that the day after the beating Clarke went to the defendant's home where he told the defendant and Mogavero that Merced was dead and that he was going to go into hiding, that he advised them both to do the same, and that Mogavero then left the defendant's home. The investigator who authenticated the statement testified that he asked the defendant about Mogavero and that the defendant told him "he never saw [Mogavero] do anything" to Merced. The defendant did not testify or call any witness in his defense.

At the charge conference, defense counsel requested an "accomplice as a question of fact" jury instruction with respect to Mogavero, arguing that Mogavero's testimony, in conjunction with the testimony of the People's expert concerning the possibility that a subarachnoid hemorrhage could be caused by one punch, raised a question of fact as to Mogavero's involvement in the crime. Counsel argued that the jury should be able to consider Mogavero's possible involvement as an accomplice when determining his credibility as a witness for the People. The People opposed the request, arguing, *inter alia*, that there was insufficient evidence that Mogavero had acted as an accomplice to the murder, and that Mogavero did not receive a benefit

for testifying.² County Court denied the defendant's request. The jury thereafter acquitted the defendant of the murder charge, but found him guilty of the lesser included offense of manslaughter in the first degree.³

As relevant here, the Appellate Division affirmed the conviction, concluding that the trial court had properly determined that Mogavero could not reasonably be considered to have participated in the crime, and that there was overwhelming evidence corroborating his testimony (98 AD3d 1254 [2012]). The defendant appeals pursuant to leave granted by a Judge of this Court (21 NY3d 914 [2013]).

II.

The defendant argues on appeal that the trial court erred by not submitting to the jury the question of whether the People's key witness, Mogavero, was an accomplice, and, if so, whether his testimony was sufficiently corroborated. The defendant contends that, viewed in his favor, the evidence reasonably demonstrates that Mogavero participated in the crime or in another offense based upon the same conduct constituting the crime, such as manslaughter in the first or second degree, intentional assault, reckless assault, or criminally negligent homicide.⁴ The defendant further argues that failure to submit the accomplice in fact charge is necessarily harmful, but regardless, the evidence of corroboration was not so overwhelming, and the proof of guilt was not so strong, that there is no significant probability that the verdict would have been different had the jury been properly charged. In this regard, the defendant contends that there is a significant probability that the trial court's failure to submit the instruction contributed to the verdict.

The People assert that the defendant raises a mixed question of law and fact, over which we have limited powers of review. On the merits, the People argue that there is no reasonable view of the evidence that Mogavero was an accomplice. Alternatively, they

2. The People's reference to a lack of benefit appears to be in response to the Criminal Jury Instruction "Accomplice As A Question of Fact," which states that "[o]ur law is especially concerned about the testimony of an accomplice who implicates another in the commission of a crime, particularly when the accomplice has received, expects, or hopes for a benefit in return for testimony" (CJI2d[NY] Accomplice As A Question of Fact).

3. The People had requested the lesser included offense instruction during the charge conference (*see generally* Penal Law § 125.20 [1]).

4. *See* Penal Law §§ 125.20, 125.15, 125.10, 120.00.

claim that the trial court's alleged failure to issue the requested instruction was harmless.

III.

An accomplice is “a witness in a criminal action who, according to the evidence adduced in such action, may reasonably be considered to have participated in: (a) [t]he offense charged; or (b) [a]n offense based upon the same or some of the same facts or conduct which constitute the offense charged” (CPL 60.22 [2]). Under our criminal law, “[a] defendant may not be convicted of any offense upon the testimony of an accomplice unsupported by corroborative evidence tending to connect the defendant with the commission of such offense” (CPL 60.22 [1]). Testimony of such a witness, marked by obvious self-interest, carries the potential for falsification to avoid prosecution (*People v Sweet*, 78 NY2d 263, 267 [1991] [“The law recognizes that accomplice testimony is inherently untrustworthy because those charged with a crime often seek to escape the consequences and curry favor with officials by implicating others”]; *People v Berger*, 52 NY2d 214, 219 [1981] [“Courts have thus exercised the utmost caution in dealing with accomplice testimony, especially when the testimony is exchanged for immunity or other favorable prosecutorial consideration”]; *People v Cona*, 49 NY2d 26, 35-36 [1979] [“The accomplice corroboration rule is premised upon a legislative determination that the testimony of individuals who may themselves be criminally liable is inherently suspect. This is deemed to be true because such individuals may be subject to pressures impelling them to color testimony in order to protect themselves by belittling the actual extent of their involvement in the criminal enterprise at the expense of others”]). Indeed, “[t]he common law traditionally has viewed criminal accomplice testimony with a ‘suspicious eye’ ” (Peter Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, CPL 60.22).

Where the court determines on the evidence that a witness comes within the meaning of CPL 60.22 (2), the witness is an accomplice as a matter of law, and the court must instruct the jury that the witness is an accomplice and subject to the statutory corroboration requirement (*see Sweet*, 78 NY2d at 268; *People v Minarich*, 46 NY2d 970, 971 [1979]; *People v Beaudet*, 32 NY2d 371, 378 [1973]; *People v Jenner*, 29 NY2d 695 [1971]; *see also* CJI2d[NY] Accomplice As A Matter of Law [rev Jan. 2011], available at <http://www.nycourts.gov/judges/cji/1-General/>

CJI2d.Accomplice_law.pdf [accessed Mar. 9, 2014] [“Under our law, (the witness) is an accomplice because there is evidence that he/she participated in (and was convicted of) a crime based upon conduct involved in the allegations here against the defendant”]). In a case where the court concludes that a factual dispute exists as to whether the witness is an accomplice under the statute, the factual question is left for the jury to resolve (see *People v Vataj*, 69 NY2d 985, 987 [1987]; *People v Dorler*, 53 NY2d 831, 832-833 [1981]; *People v Arce*, 42 NY2d 179, 186 [1977]; *People v Basch*, 36 NY2d 154, 157 [1975]; *People v Wheatman*, 31 NY2d 12, 23 [1972]; cf. *People v Jones*, 73 NY2d 902, 903 [1989] [holding that no accomplice in fact instruction was warranted because there was no evidence from which it can be reasonably inferred that the alleged accomplice had participated in the planning or execution of the crimes]). The court must instruct the jury to apply the corroboration requirement only if the jury makes a factual finding that the witness is an accomplice in fact (see CJI2d[NY] Accomplice As A Question of Fact [rev Jan. 2011], available at http://www.nycourts.gov/judges/cji/1-General/CJI2d.Accomplice_Fact.pdf [accessed Mar. 9, 2014]; see also CPL 60.22).

We have found a witness is an accomplice as a matter of law where, for example, the witness pleads guilty to aiding the defendant in the commission of the crime (*Sweet*, 78 NY2d at 268), or otherwise confirms participation or assisting in the charged crime (*Minarich*, 46 NY2d at 971; *Beaudet*, 32 NY2d at 377-378; *Jenner*, 29 NY2d at 696).

In contrast, the witness may be found to be an accomplice in fact where there are factual disputes as to the witness’s participation or intent, such that “different inferences may reasonably be drawn” from the evidence as to the witness’s role as an accomplice (*Basch*, 36 NY2d at 157; cf. *Jones*, 73 NY2d at 903). The factfinder must choose which of the competing inferences to accept. For example, we have held that whether a witness is an accomplice is an issue of fact where direct proof was lacking as to the witness’s participation in the crime (*Basch*, 36 NY2d at 158). This fact-sensitive determination depends on the evidence presented at trial as to the crime charged (see e.g. *id.* at 157-159; see also *Vataj*, 69 NY2d at 987). The defendant bears the burden of establishing that the witness is an accomplice (see e.g. *Basch*, 36 NY2d at 159; see also *People v Rossi*, 11 NY2d 379, 383 [1962]).

The propriety of a jury instruction is reviewable as a matter of law (see CPL 470.05 [2] [“For purposes of appeal, a question

of law with respect to a ruling or instruction of a criminal court during a trial or proceeding is presented when a protest thereto was registered, by the party claiming error, at the time of such ruling or instruction or at any subsequent time when the court had an opportunity of effectively changing the same”]; *see also* *People v Medina*, 18 NY3d 98, 104 [2011], quoting *People v Gray*, 86 NY2d 10, 19 [1995]; William C. Donnino, New York Court of Appeals on Criminal Law § 10:23 at 246-247 [3d ed 2011]). We therefore review the defendant’s claim for reversible error.

Here, the defendant asserts that the court improperly denied his request for an accomplice in fact instruction because there was sufficient evidence to create a factual question as to Mogavero’s participation in the beating death of Merced. We agree with the defendant that the evidence adduced at trial created a question as to Mogavero’s role in the crime, and therefore the trial court should have charged the jury with an accomplice in fact instruction (*see Jones*, 73 NY2d at 903 [“Where differing inferences may reasonably be drawn as to whether a witness participated in the offenses an accomplice-in-fact instruction must be given”]). Failure to do so in this case was not harmless and constitutes reversible error (*see generally People v Crimmins*, 36 NY2d 230, 241 [1975]; *see also Minarich*, 46 NY2d at 971; *Jenner*, 29 NY2d at 697; *People v Maynard*, 299 AD2d 303 [1st Dept 2002], *lv denied* 99 NY2d 630 [2003]; *People v Torres*, 160 AD2d 746 [2d Dept 1990], *lv denied* 76 NY2d 897 [1990]; *People v Conklin*, 139 AD2d 156 [3d Dept 1988], *lv denied* 72 NY2d 1044 [1988]; *People v Adams*, 185 AD2d 680 [4th Dept 1992], *lv denied* 80 NY2d 926 [1992]; *People v Pelc*, 101 AD2d 995 [4th Dept 1984]).

IV.

[1] Here, there is ample record evidence “from which it can be reasonably inferred” that Mogavero participated in Merced’s murder, or “[a]n offense based upon the same or some of the same facts or conduct which constitute” the murder (CPL 60.22 [2]). At a minimum, “different inferences may reasonably be drawn” from Mogavero’s testimony and the forensic evidence, as to Mogavero’s role as an accomplice (*Basch*, 36 NY2d at 157; *cf. Jones*, 73 NY2d at 903).

Mogavero admitted to his presence before, during and after the fatal attack on Merced, and to his close proximity to Merced and the other men throughout the entire beating. He admitted to punching Merced twice, to the head and neck, which the

defendant argued could have caused or contributed to Merced's fatal injuries. This argument was supported by testimony from the forensic pathologist who admitted on cross-examination that one blow could have caused a subarachnoid hemorrhage and that a subarachnoid hemorrhage was at least one of the causes of death. The pathologist further testified that a "series of blows are considered to be all contributory to the subarachnoid hemorrhage," but that he could not say which blow actually caused the hemorrhage, and whether the first or last blows caused the greatest harm.

Mogavero also testified that he assisted in moving Merced away from the scene of the beating and that, along with Velez, he carried Merced out of the apartment and placed his body on the porch of the neighboring house. The jury could have determined that Mogavero, not the defendant, hit Merced with the mop handle. The jury also could have determined that Mogavero carried Merced to the porch to cover up the crime rather than to assist Merced, as Mogavero claimed. Moreover, the jury could have considered, as evidence of Mogavero's consciousness of guilt, his testimony that he went with the defendant to the defendant's home immediately after seeing defendant beat Merced with a mop handle, changed out of his bloodstained clothes, put them in a garbage bag, and promptly fell asleep. Mogavero's delay in speaking to the police or talking to his parents also provided a basis for the jury to infer his involvement in the crime. That Mogavero denied participation in the actions that caused Merced's death—the beating in the apartment and the attack on the porch with the mop handle—and his assertions that his sole physical act against Merced was done in self-defense when the victim came at him "aggressively," presented disputed factual allegations which should have been left for the jury to consider in deciding whether Mogavero was an accomplice.⁵

It is in no way surprising that an accomplice would claim innocence of criminal conduct or seek to minimize or distinguish the significance of the accomplice's actions from those of the defendant (*Sweet*, 78 NY2d at 267). After all, a witness implicated in criminal action may be less than truthful about his or her own involvement and may aggrandize the criminal conduct of

5. Moreover, the jury could have accepted as true the defendant's statement that Clarke warned the defendant and Mogavero to go into hiding, suggesting that the undisputed main assailant with respect to the beating, Clarke, considered Mogavero to be a culpable participant in the murder.

others in an effort to deflect scrutiny and avoid prosecution (*see Sweet*, 78 NY2d at 267; *Berger*, 52 NY2d at 219; *Cona*, 49 NY2d at 35-36).

V.

[2] The People argue that even if the evidence supported a jury instruction on accomplice in fact, any error was harmless because there was “extensive” corroboration of Mogavero’s testimony and overwhelming evidence of the defendant’s guilt. However, the record does not support this argument because, although the People presented corroborative evidence, the jury could have discounted the witness’s testimony, determined he was not credible, and found the remaining evidence insufficient to find defendant guilty beyond a reasonable doubt. Thus, failure to instruct the jury to consider whether Mogavero was an accomplice was not harmless.

The quantum of evidence necessary to satisfy the statutory corroboration requirement is “enough if it tends to connect the defendant with the commission of the crime in such a way as may reasonably satisfy the jury that the accomplice is telling the truth” (*People v Reome*, 15 NY3d 188, 192 [2010], quoting *People v Dixon*, 231 NY 111, 116 [1921]). The required corroboration need not prove the defendant’s guilt (*Reome*, 15 NY3d at 192), and it may be based on evidence that sufficiently harmonizes with the accomplice testimony so as to “furnish the necessary connection between defendant and the crime” (*id.* at 194, quoting *Dixon*, 231 NY at 116-117). Nevertheless, we have stated that corroborative evidence is such that when “read with the accomplice’s testimony, makes it more likely that the defendant committed the offense, and thus tends to connect him to it” (*Reome*, 15 NY3d at 194).

In this case, the proof of defendant’s guilt was not overwhelming for harmless error purposes. Mogavero was the People’s eyewitness to the defendant’s participation in the events in the apartment. It was Mogavero’s narrative, describing how the defendant joined Clarke and Velez in attacking Merced, that the People presented as evidence to the jury. It was Mogavero, and Mogavero alone, who identified the defendant as a participant in the beating. The People introduced the defendant’s statement to the police as a corroborating narrative of the incident, but this evidence contradicted Mogavero’s version of the defendant’s conduct. The defendant’s statement described that he was present during the beating and urinated on Merced, but it

did not contain a single admission that the defendant struck Merced in the apartment. Instead, the defendant's statement, like Mogavero's testimony, identified Clarke as the individual who stomped on Merced and threw a speaker on his head.

The defendant's statement aligns in some ways with Mogavero's testimony that the defendant was present during the beating and urinated on Merced when he was on the floor, but, in other ways, that version conflicted with Mogavero's testimony of the beating. Mogavero's version, in which he detailed that the defendant, along with Clarke and Velez, inflicted upon Merced a "barrage of punches and kicks," was in direct contrast with the defendant's version. Significantly, on cross-examination, Mogavero admitted that his written and signed statement to the police lacked any reference to the defendant as having hit Merced during the beating in the apartment. Mogavero's testimony that despite its absence from the written statement he did inform the police that the defendant beat Merced, and once he discovered that the statement was incomplete he sought to correct it, only further illustrates that Mogavero's version was in dispute, and constituted evidence for the jury to consider in determining whether to believe Mogavero or the defendant (*see Arce*, 42 NY2d at 186; *Basch*, 36 NY2d at 157; *see also Sweet*, 78 NY2d at 266).

The People contend that Mogavero's testimony that the defendant struck Merced three times with a mop handle after Mogavero carried Merced to the porch was corroborated by the evidence of the bruises on the body, the mop pieces found near Merced, and the defendant's single fingerprint lifted off the mop handle. However, the parties heavily contested the proper inferences to be drawn from this evidence, including whether the mop was used in any attack, and, if so, who swung the mop, and whether Merced's death was caused by blows from the mop.

The defendant disputed that he forcefully hit Merced with the mop handle and that Mogavero actually observed him strike Merced in such a way as to injure him. In his written statement to the police the defendant described how he picked up the mop handle and poked Merced "three or four times" to see "if he was all right"; actions not meant to harm Merced. During cross-examination of Mogavero, the defense challenged Mogavero's testimony that he was in fact able to see the defendant swing the mop handle from where Mogavero was standing, or that he could measure the force used. While the fingerprint evidence confirmed that the defendant held the mop handle, it did not

necessarily compel a finding that the defendant swung the mop handle or struck Merced with it. Further, as the People's witness testified, because the other four fingerprints lifted from the mop handle lacked comparison value, meaning that they could not be tested to identify who if anyone else touched the handle, the fingerprint evidence failed to exclude Mogavero as someone who may have held the mop. By his own testimony, Mogavero admitted he went to the porch on two occasions, when he could have struck Merced.

The forensic evidence established that Merced suffered a beating occasioned by multiple blows. Nevertheless, the pathologist testified that he could not say which blow eventually caused his death, and that Merced might have been conscious even after the fatal blow had been inflicted. On cross-examination Mogavero admitted that he did not know if Merced was breathing and did not take his pulse when he put him on the porch. Thus, assuming the attack with the mop handle occurred as Mogavero described it, whether that attack was the cause of death was in factual dispute.

It is certainly possible that the jury, properly charged on whether to treat Mogavero as an accomplice, and, if so, how to consider his testimony, could have discounted his version of the beating and the attack on the porch. In that case, it was for the jury to decide whether the remaining evidence established the defendant's guilt beyond a reasonable doubt. Where the jury could have chosen to discount the testimony of the People's eyewitness and the proof of defendant's guilt was not overwhelming, it cannot be said that the failure to properly charge the jury was harmless error.

The order of the Appellate Division should be reversed and the indictment dismissed as to defendant, with leave to the People, if they be so advised, to resubmit the charge of manslaughter in the first degree to a grand jury (*see People v Mayo*, 48 NY2d 245 [1979]).

PIGOTT, J. (dissenting). I concur in the majority's holding that the trial court erred in failing to issue the accomplice-in-fact instruction, because there was a reasonable view of the evidence that Mogavero "participated in an offense based upon *some* of the same facts or conduct which ma[d]e up the offense on trial" (*People v Berger*, 52 NY2d 214, 219 [1981]). In my view, however, that error was harmless because there was sufficient corroborating evidence tending to connect defendant to the commission

of the crime and overwhelming evidence of his guilt. The “corroborative evidence” required by CPL 60.22 (1) “need not be powerful in itself” (*People v Reome*, 15 NY3d 188, 191 [2010]). The requirement is met if the evidence “‘tends to connect the defendant with the commission of the crime in such a way as may reasonably satisfy the jury that the accomplice is telling the truth’ ” (*id.* at 191-192, quoting *People v Dixon*, 231 NY 111, 116 [1921]). Corroborative evidence is only necessary to “connect the defendant with the commission of the crime, not to prove that he committed it. The accomplice testimony, if credited by the jury, may serve the latter purpose” (*Reome*, 15 NY3d at 192 [citation and internal quotation marks omitted]). Even if the accomplice’s testimony does not, by itself, incriminate the defendant, corroboration may be supplied by proof that “harmoniz[es]” or “supports” that testimony (*id.* at 194).

The majority acknowledges that “the People presented corroborative evidence,” but asserts that the jury could have discounted Mogavero’s testimony, “determined he was not credible and, found the remaining evidence insufficient to find defendant guilty beyond a reasonable doubt” (majority op at 27). I disagree. Not only did the People independently establish that defendant’s fingerprint and the victim’s blood were on the mop handle—the object that Mogavero claimed defendant struck the victim with—they also established that the victim’s blood was on one of the mop-head fragments that had been scattered around the porch where the victim was found, thereby corroborating Mogavero’s testimony that defendant struck the victim in the head with the mop handle. Police also located a mop fragment in a bush near the porch approximately 8 to 10 feet away from the porch steps, supporting Mogavero’s testimony that defendant was swinging the mop handle like a baseball bat.

Defendant did not deny possessing the mop, telling police in a statement that was read to the jury that he used the handle to “poke” the victim to determine if he was conscious. The jury was, of course, free to reject that explanation, particularly in light of the trial testimony that the mop handle was bent. In addition, the People’s medical examiner testified with a reasonable degree of medical certainty that the “linear patterns” and bruises on the victim’s jawline, chest, shoulder and arm could have been caused by the mop handle.

The compelling forensic evidence that defendant deliberately and brutally attacked the victim with the mop handle evinced defendant’s intent to seriously injure the victim and lent

credence to Mogavero's testimony that, earlier in the night, while he was in Velez's apartment, defendant participated in a similarly vicious assault on the victim with the same intent. Thus, even absent the requested jury instruction, the evidence presented at trial overwhelmingly established defendant's guilt and I would therefore affirm the conviction.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and SMITH concur with Judge RIVERA; Judge PIGOTT dissents and votes to affirm in an opinion in which Judge ABDUS-SALAAM concurs.

Order reversed and the indictment as to defendant dismissed, with leave to the People, if they be so advised, to resubmit the charge of manslaughter in the first degree to a grand jury.

[11 NE3d 709, 988 NYS2d 559]

In the Matter of JOHN KAPON et al., Appellants, v WILLIAM I. KOCH, Respondent.

Argued February 19, 2014; decided April 3, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 25, 2013. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Michael D. Stallman, J.; op 37 Misc 3d 1211[A], 2012 NY Slip Op 51992[U] [2012]), which had (1) denied the petition to quash out-of-state subpoenas served on petitioners or, in the alternative, for a protective order; (2) dismissed the proceeding; (3) ordered petitioners to appear for depositions; and (4) permitted petitioners to object and decline to answer questions posed at their depositions on the ground that the answer would divulge confidential information or trade secrets of Acker, Merrall & Condit Company.

Matter of Kapon v Koch, 105 AD3d 650, affirmed.

HEADNOTE

Disclosure — Examination before Trial — Nonparty Witness

A party seeking discovery from a nonparty pursuant to CPLR 3101 (a) (4) by service of a subpoena must sufficiently state the “circumstances or reasons” underlying the subpoena, either on the face of the subpoena itself or in a notice accompanying it, and a witness who moves to quash the subpoena must establish either that the discovery sought is “utterly irrelevant” to the action or that the “futility of the process to uncover anything legitimate is inevitable or obvious.” Should the witness meet that burden, the subpoenaing party must then establish that the discovery sought is “material and necessary” to the prosecution or defense of an action. The subpoenaing party is not required to demonstrate that it cannot obtain the requested disclosure from any other source. So long as the disclosure sought is relevant to the prosecution or defense of an action, it must be provided by the nonparty. The subpoenas served upon petitioners, nonparties to actions that respondent had commenced in New York and California arising from the sale of allegedly counterfeit wine, satisfied the notice requirement, as they not only included the date, time and location of the depositions, but also affixed copies of the amended complaint in the California action detailing the relationship between petitioners’ employer and the defendant in the California action. It was then petitioners’ burden to establish that they were entitled to prevail on the motion to quash, and the trial court did not abuse its discretion in denying petitioners’ motion on the ground that they failed to meet their burden of establishing that their deposition testimonies were irrelevant to the California action.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 135; AM JUR 2d, Depositions and Discovery §§ 17, 61, 67, 93; AM JUR 2d, Witnesses §§ 11–12, 25–26.

CARMODY-WAIT 2d, Disclosure §§ 42:74, 42:78–42:79, 42:342, 42:346–42:347, 42:371; CARMODY-WAIT 2d, Subpoenas; Notice to Produce §§ 54:86, 54:138, 54:146–54:148.

McKINNEY'S, CPLR 3101 (a) (4).

NY JUR 2d, Disclosure §§ 70–72, 235, 244–246, 253–255, 301; NY JUR 2d, Evidence and Witnesses §§ 746, 793, 810–815.

SIEGEL, NY PRAC §§ 345, 351–353, 362, 384, 639.

ANNOTATION REFERENCE

See ALR Index under Depositions; Preliminary or Pre-trial Matters; Subpoenas; Vacating or Setting Aside; Witnesses.

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POINTS OF COUNSEL

Zuckerman Spaeder LLP, New York City (*Paul Shechtman* and *Brian K. Mahanna* of counsel), and *The Weinstein Law Firm PLLC* (*Andrew J. Weinstein* of counsel), for appellants. The courts below erred in not limiting the subpoenas. (*Matter of Welch*, 183 Misc 2d 890; *Matter of Ayliffe & Cos.*, 166 AD2d 223; *Matter of Roberts*, 214 App Div 271; *Cirale v 80 Pine St. Corp.*, 35 NY2d 113; *Matter of Troy Sand & Gravel Co., Inc. v Town of Nassau*, 80 AD3d 199; *Catalano v Moreland*, 299 AD2d 881; *Tannenbaum v City of New York*, 30 AD3d 357; *Ledonne v Orsid Realty Corp.*, 83 AD3d 598; *Matter of Sutka v Conners*, 73 NY2d 395; *Oppenheimer Fund, Inc. v Sanders*, 437 US 340.)

Irell & Manella LLP, Los Angeles, California (*Moez M. Kaba*, *John C. Hueston* and *Bruce A. Wessel* of counsel), and *Morvillo Abramowitz Grand Iason & Anello P.C.*, New York City (*Edward M. Spiro* and *Adam L. Pollock* of counsel), for respondent. I. The courts below did not err in declining to quash the subpoenas. (*Ledonne v Orsid Realty Corp.*, 83 AD3d 598; *Allen v*

Crowell-Collier Publ. Co., 21 NY2d 403; *Cirale v 80 Pine St. Corp.*, 35 NY2d 113; *Slabakis v Drizin*, 107 AD2d 45; *Kenford Co. v County of Erie*, 41 AD2d 586; *Wiseman v American Motors Sales Corp.*, 103 AD2d 230; *Gersten v New York Hosp.*, 81 AD2d 632; *Kelly v Shafiroff*, 80 AD2d 601; *Matter of Catskill Ctr. for Conservation & Dev. v Voss*, 70 AD2d 753; *Villano v Conde Nast Pubs.*, 46 AD2d 118.) II. The Supreme Court and Appellate Division did not commit a “clear abuse of discretion” in declining to limit the use of appellants’ depositions. (*Dove v Atlantic Capital Corp.*, 963 F2d 15; *Matter of American Express Prop. Cas. Co. v Vinci*, 63 AD3d 1055; *Garnot v LaDue*, 45 AD3d 1080; *148 Magnolia, LLC v Merrimack Mut. Fire Ins. Co.*, 62 AD3d 486; *AGH Distribs. v Silvertone Fasteners*, 105 AD2d 648.)

OPINION OF THE COURT

PIGOTT, J.

This appeal involves the service of a subpoena by a party seeking discovery from a nonparty pursuant to CPLR 3101 (a) (4), the subpoenaing party’s notice obligation to a nonparty under that statutory provision, and the witness’s burden when moving to quash the subpoena. We conclude that the subpoenaing party must first sufficiently state the “circumstances or reasons” underlying the subpoena (either on the face of the subpoena itself or in a notice accompanying it), and the witness, in moving to quash, must establish either that the discovery sought is “utterly irrelevant” to the action or that the “futility of the process to uncover anything legitimate is inevitable or obvious.” Should the witness meet this burden, the subpoenaing party must then establish that the discovery sought is “material and necessary” to the prosecution or defense of an action, i.e., that it is relevant.

I.

Petitioner John Kapon is a New York resident and Chief Executive Officer of Acker, Merrall & Condit Company (AMC), a New York corporation with a principal place of business in New York City. AMC is a retailer and auctioneer of fine and rare wines, and is the employer of petitioner Justin Christoph. In 2009, respondent William Koch, a wine collector, commenced a fraud action in California (California action) against Rudy Kurniawan alleging that Kurniawan had sold Koch 149 bottles of counterfeit wine through AMC’s auctions and private sales. Neither AMC nor petitioners are parties to the California action. However, in 2008, Koch had commenced an action against

AMC in Supreme Court, New York County (New York action) concerning five bottles of alleged counterfeit wine that Kurniawan had consigned to AMC and that AMC had sold to Koch.

In early 2012, Koch, purportedly seeking disclosure in the California action, served subpoenas on petitioners pursuant to CPLR 3119. That section, known as the “Uniform Interstate Depositions and Discovery Act,” provides a streamlined mechanism for disclosure in New York for use in an action that is pending in another state or territory within the United States (*see* CPLR 3119 [a] [3]; [b], [c]).

Petitioners commenced this special proceeding to quash the subpoenas pursuant to CPLR 2304. The petition also alternatively sought, among other relief, the imposition of a protective order pursuant to CPLR 3103 staying the deposition until both parties in the California action had been deposed, limiting the scope of the deposition questioning to matters material and necessary to that action, and limiting the use of the deposition transcripts to the California action. Petitioners asserted that the subpoenas were defective because they were served before Koch had taken defendant Kurniawan’s deposition, failed to state with particularity the reasons why disclosure was sought, and constituted an “end-run” around the discovery deadline in the New York action.¹ Koch countered that petitioners possessed information that was relevant to the California action.

Supreme Court denied the motions to quash and for a protective order; it did, however, permit petitioners to object to, and decline to answer, deposition questions to the extent that the answers would divulge AMC’s confidential information and trade secrets (37 Misc 3d 1211[A], 2012 NY Slip Op 51992[U] [2012]). The Appellate Division unanimously affirmed, holding that Supreme Court “providently exercised its discretion in denying petitioners’ motion, since petitioners failed to show that the requested deposition testimony [was] irrelevant to the prosecution of the California action” (105 AD3d 650, 651 [1st Dept 2013] [citations omitted]). It also concluded that petitioners failed to meet their burden of articulating “a sufficient, non-speculative basis for postponing their depositions or imposing restrictions on the scope and use of their deposition testimony” (*id.*). This Court granted petitioners leave to appeal (21 NY3d 975 [2013]) and we now affirm.

1. Petitioners did not challenge the subpoenas *duces tecum*, and this appeal is limited to the motion to quash as it relates to petitioners’ respective deposition testimonies.

II.

Petitioners contend that CPLR 3101 (a) contains distinctions between disclosure required of parties and nonparties, and claim that on a nonparty's motion to quash a subpoena, the subpoenaing party has the initial burden of demonstrating a need for the disclosure in order to prepare for trial. We reject both arguments.

CPLR 3101 (a) (4) is one mechanism by which a party may obtain discovery from a nonparty (*accord* CPLR 3101 [a] [3]). It provides that "[t]here shall be full disclosure of all matter *material and necessary* in the prosecution or defense of an action, regardless of the burden of proof, by: . . . (4) any other person, upon notice stating the circumstances or reasons such disclosure is sought or required" (emphasis supplied).

Prior to its amendment in 1984, section 3101 (a) (4) required a party seeking disclosure from a nonparty to first obtain a court order based on "adequate special circumstances" (*see* former CPLR 3101 [a] [4]). The 1984 amendment loosened that requirement by "allow[ing] for the discovery of *any person* who possesses material and necessary evidence," and eliminating the requirement that a party seeking disclosure first obtain a court order; the intent underlying the amendment was to address case law that had interpreted former section 3101 (a) (4) as prohibiting parties from seeking discovery from nonparty witness without first securing a court order, an interpretation the legislature deemed "contrary to the purpose of the disclosure statutes" (Sponsor's Mem at 7, Bill Jacket, L 1984, ch 294).² Thus, while the typical mechanism of securing discovery from a nonparty pursuant to CPLR 3101 (a) (4) is the issuance of a subpoena with notice, that is the only meaningful distinction between the mechanisms seeking disclosure from parties and nonparties. Because a nonparty is likely to be less cognizant of the issues in pending litigation than a party, section 3101 (a) (4)'s notice provision mandates that the nonparty is apprised of the "circumstances or reasons" as to why the party seeks or requires the disclosure.

Petitioners, however, claim that section 3101 (a) (4)'s notice requirement establishes that the subpoenaing party has the burden of establishing the "circumstances or reasons" for the

2. The 1984 amendment retained the protections enumerated in CPLR 3103 and 3104 to avoid discovery abuses of nonparty witnesses (*see* Sponsor's Mem, Bill Jacket, L 1984, ch 294).

discovery on a nonparty's motion to quash. The "circumstances or reasons" language replaced former CPLR 3101 (a) (4)'s "adequate special circumstances" requirement. It is noteworthy, however, that the appellate departments, even before the 1984 amendment, liberally interpreted the "special circumstances" requirement as favoring disclosure so long as the party seeking it met the low threshold of demonstrating a need for the disclosure in order to prepare for trial (*see Villano v Conde Nast Pubs.*, 46 AD2d 118, 120 [1st Dept 1974]; *Wiseman v American Motors Sales Corp.*, 103 AD2d 230, 240 [2d Dept 1984]; *Matter of Catskill Ctr. for Conservation & Dev. v Voss*, 70 AD2d 753, 753 [3d Dept 1979]; *Kenford Co. v County of Erie*, 41 AD2d 586, 586 [4th Dept 1973]; *see also* Siegel, NY Prac § 345 [5th ed 2011] [explaining that courts "generously" read the "special circumstances" requirement to initially include a minimal demonstration that the nonparty was hostile, but gradually loosened that requirement so that a party needed to show only that there was a "need of the nonparty's deposition in order to prepare for trial"]).

Since the 1984 amendment, however, there has been a split among the departments concerning what "circumstances or reasons" are required before disclosure from a nonparty may be obtained pursuant to section 3101 (a) (4). The First and Fourth Departments have adopted a "material and necessary" standard, i.e., that the requested discovery is relevant to the prosecution or defense of an action (*see Velez v Hunts Point Multi-Serv. Ctr., Inc.*, 29 AD3d 104, 111 [1st Dept 2006]; *Catalano v Moreland*, 299 AD2d 881, 882 [4th Dept 2002] [in dicta, applying "material and necessary" standard to CPLR 3101 (a) (4)]; *see also Hauzinger v Hauzinger*, 43 AD3d 1289, 1290 [4th Dept 2007], *affd* 10 NY3d 923 [2008]; *Schroder v Consolidated Edison Co. of N.Y.*, 249 AD2d 69, 70 [1st Dept 1998], *but see Tannenbaum v City of New York*, 30 AD3d 357, 358-359 [1st Dept 2006] [requiring a showing that information could not be obtained from another source]).

The Second and Third Departments, while acknowledging that the "special circumstances" requirement no longer applies, nonetheless require the party seeking discovery to meet the "material and necessary" standard and more. Specifically, in those departments, a motion to quash a subpoena will be granted if "the party issuing the subpoena has failed to show that the disclosure sought cannot be obtained from sources other than the nonparty, and properly denied when the party

has shown that the evidence cannot be obtained from other sources” (*Kooper v Kooper*, 74 AD3d 6, 16-17 [2d Dept 2010] [citations omitted]; see *American Heritage Realty LLC v Strathmore Ins. Co.*, 101 AD3d 1522, 1524 [3d Dept 2012]; *Cotton v Cotton*, 91 AD3d 697, 699 [2d Dept 2012]).

We conclude that the “material and necessary” standard adopted by the First and Fourth Departments is the appropriate one and is in keeping with this state’s policy of liberal discovery. The words “material and necessary” as used in section 3101 must “be interpreted liberally to require disclosure, upon request, of any facts bearing on the controversy which will assist preparation for trial by sharpening the issues and reducing delay and prolixity” (*Allen v Crowell-Collier Publ. Co.*, 21 NY2d 403, 406 [1968]). Section 3101 (a) (4) imposes no requirement that the subpoenaing party demonstrate that it cannot obtain the requested disclosure from any other source. Thus, so long as the disclosure sought is relevant to the prosecution or defense of an action, it must be provided by the nonparty.

Petitioners, however, contend that the Appellate Division erred in placing the burden on them to demonstrate that the deposition testimony was irrelevant to the California action. CPLR 3119 (e) requires, in relevant part, that “[a]n application to the court for a protective order or to . . . quash . . . a subpoena issued under this section must comply with the rules or statutes of this state and be submitted to the court in the county in which discovery is to be conducted.” Consistent with that requirement, petitioners moved to quash the subpoenas and for a protective order. Petitioners claim that section 3101 (a) (4)’s directive that the subpoenaing party give the nonparty “notice stating the circumstances or reasons such disclosure is sought or required” requires the subpoenaing party to meet the initial burden of establishing the need for the deposition in preparing for trial. Thus, according to petitioners, the Appellate Division erred in requiring them to establish that the requested discovery was “irrelevant” to the California action. We disagree.

“An application to quash a subpoena should be granted ‘[o]nly where the futility of the process to uncover anything legitimate is inevitable or obvious’ . . . or where the information sought is ‘utterly irrelevant to any proper inquiry’ ” (*Anheuser-Busch, Inc. v Abrams*, 71 NY2d 327, 331-332 [1988], citing *Matter of Edge Ho Holding Corp.*, 256 NY 374, 382 [1931] and *Matter of La Belle Creole Intl., S.A. v Attorney-General of State of N.Y.*, 10 NY2d 192, 196 [1961], quoting *Matter of Dairymen’s League*

Coop. Assn., Inc. v Murtagh, 274 App Div 591, 595 [1948], *aff'd* 299 NY 634 [1949]). It is the one moving to vacate the subpoena who has the burden of establishing that the subpoena should be vacated under such circumstances (see *Matter of Dairymen's League Coop. Assn.*, 274 App Div at 595-596; see also *Ledonne v Orsid Realty Corp.*, 83 AD3d 598, 599 [1st Dept 2011]).

Although the nonparty bears the initial burden of proof on a motion to quash, section 3101 (a) (4)'s notice requirement nonetheless obligates the subpoenaing party to state, either on the face of the subpoena or in a notice accompanying it, "the circumstances or reasons such disclosure is sought or required." The subpoenaing party must include that information in the notice in the first instance (see Sponsors Mem, Bill Jacket, L 1984, ch 294), lest it be subject to a challenge for facial insufficiency (see *De Stafano v MT Health Clubs*, 220 AD2d 331, 331 [1995]). Contrary to petitioners' contention, however, the subpoenaing party's notice obligation was never intended by the legislature to shift the burden of proof on a motion to quash from a nonparty to the subpoenaing party, but, rather, was meant to apprise a stranger to the litigation the "circumstances or reasons" why the requested disclosure was sought or required.

The subpoenas here plainly satisfy the notice requirement. They not only included the date, time and location of the depositions, but also affixed copies of the amended complaint in the California action detailing the relationship between AMC and Kurniawan.³ The notice served the function intended by the legislature: it gave petitioners sufficient information to challenge the subpoenas on a motion to quash. Once Koch met that minimal obligation, it was then petitioners' burden to establish that they were entitled to prevail on the motion to quash. The Appellate Division applied the correct standard when it held that the trial court did not abuse its discretion in denying petitioners' motion on the ground that they failed to meet their burden of establishing that their deposition testimonies were irrelevant to the California action.

Finally, petitioners contend that the Appellate Division erred in denying their request to limit the use of their depositions to the California action. The Appellate Division concluded that

3. This is not to say that a pleading will always provide sufficient notice, or that the only way the subpoenaing party can comply with the "circumstances or reasons" notice requirement is to affix a copy of the pleadings to the subpoena.

petitioners' application was insufficient to establish the imposition of such an order, and there is no basis in the record to disturb that holding.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, RIVERA and ABDUS-SALAAM concur; Judge SMITH taking no part.

Order affirmed, with costs.

[11 NE3d 693, 988 NYS2d 543]

LORI HOOVER et al., Respondents, v NEW HOLLAND NORTH AMERICA, INC., Formerly Known as FORD NEW HOLLAND, INC., et al., Appellants, et al., Defendants. CNH AMERICA LLC, Third-Party Plaintiff-Appellant, v KYLE P. ANDREWS, Treasurer of Niagara County, as the Temporary Administrator for the Estate of GARY HOOVER, Deceased, Third-Party Defendant-Respondent. (And Another Third-Party Action.)

Argued February 12, 2014; decided April 1, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 16, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Niagara County (Richard C. Kloch, Sr., J.), which had, among other things, awarded plaintiff Jessica Bowers damages against defendants CNH America LLC and Niagara Frontier Equipment Sales upon a jury verdict in favor of plaintiff.

Hoover v New Holland N. Am., Inc., 100 AD3d 1495, affirmed.

HEADNOTES

Products Liability — Substantial Alteration of Product — Summary Judgment

1. A defendant in a products liability action moving for summary judgment based on the substantial modification defense must show that the product was not defective at the time it was manufactured and sold, and demonstrate that a post-sale modification rendered the otherwise safe product defective and that the modification was the proximate cause of the plaintiff's injuries. If the defendant establishes prima facie entitlement to summary judgment based on substantial modification, the burden shifts to the plaintiff to come forward with evidentiary proof in admissible form demonstrating the existence of material issues of fact which require a trial of the action. The plaintiff may overcome a substantial modification defense by demonstrating that the post-sale modification did not render a safe product defective because the product incorporated a defectively designed safety feature at the time of sale. The substantial modification defense is intended to insulate manufacturers and others in the distribution chain from liability for injuries that would never have arisen but for the post-sale modification of a safety feature on an otherwise safe product. Summary disposal of cases is not mandated where the plaintiff raises a colorable claim that the product was dangerous because of a defectively designed safety feature and notwithstanding the modification by the third party.

Products Liability — Substantial Alteration of Product — Removal of Safety Shield

2. In a products liability action to recover damages for injuries plaintiff sustained when she was caught and dragged into the rotating driveline of a

tractor-driven post hole digger distributed and sold by defendants, plaintiff established the existence of material issues of fact sufficient to overcome defendants' substantial modification defense predicated on the owner's post-sale removal of a plastic safety shield from the machine after years of use had left the shield damaged beyond repair. The owner testified that the shield he removed had been destroyed by years of "wear and tear," would no longer stay attached to the digger, and, essentially, had ceased to provide protection from the rotating components near the gearbox. The owner did not modify the digger in order to circumvent the utility of the shield or to adapt the digger to suit his own needs. Rather, he removed the shield because its functional utility had already been destroyed, and his testimony raised a question of fact whether removal of the broken shield was to blame for plaintiff's injuries. Plaintiff also proffered an affidavit in which an engineer averred that the shield was "not reasonably safe" because it was not "designed to last the life" of the digger, and that defendants' failure to incorporate a safer yet feasible alternative design, such as an integral guard or metal shield, was "a substantial factor" in causing plaintiff's injuries. Although it is not necessarily true that no safety device is reasonably safe unless it is designed to last the lifetime of the product on which it is installed, defendants did not adequately refute plaintiff's assertions that the plastic shield failed prematurely under the circumstances presented here.

Products Liability — Substantial Alteration of Product — Removal of Safety Shield

3. In a products liability action to recover damages for injuries plaintiff sustained when she was caught and dragged into the rotating driveline of a tractor-driven post hole digger distributed and sold by defendants, plaintiff established the existence of material issues of fact sufficient to overcome defendants' substantial modification defense predicated on the owner's post-sale removal of a plastic safety shield from the machine after years of use had left the shield damaged beyond repair. Although defendants claimed that the shield was not defectively designed but was damaged when the owner misused the digger by allowing it to contact the ground during drilling, they did not demonstrate that the owner's alleged misuse was unforeseeable as a matter of law. Plaintiff presented sufficient evidence to rebut that claim and bring it before the jury. Plaintiff's engineering expert stated in his affidavit that contact with the ground was "foreseeable" during "normal use," and that more robust durability testing would have revealed that a plastic shield would not hold up under these circumstances. Moreover, the record indicates that the shield underwent limited durability testing, none of which included contact with the ground. The digger's manufacturer was aware that the shield could hit the ground during drilling and still declined to test the shield for durability under those or any other circumstances.

Products Liability — Substantial Alteration of Product — Removal of Safety Shield

4. In a products liability action to recover damages for injuries plaintiff sustained when she was caught and dragged into the rotating driveline of a tractor-driven post hole digger distributed and sold by defendants, plaintiff established the existence of material issues of fact sufficient to overcome defendants' substantial modification defense predicated on the owner's post-sale removal of a plastic safety shield from the machine after years of use had left the shield damaged beyond repair. Although plaintiff would not have been injured if an intact shield had been in place on the date of the accident, defendants did not demonstrate their entitlement to summary judgment based

on the owner's failure to replace the broken safety shield. Where, as here, the plaintiff raises questions of fact whether the machine incorporated a defective safety device, the manufacturer or others in the distribution chain cannot automatically avoid liability on the basis that the safety device was removed post sale and not replaced. The expert evidence raised a question whether the owner's failure to replace the shield alone caused plaintiff's injuries, or whether his failure pointed to a failure on defendants' part in selling and distributing the digger with a defectively designed shield. Moreover, the owner testified that he did not replace the shield before the accident because it was "only going to get bent up, broke up, and tore off again." That testimony was sufficient to raise a question whether, because of its allegedly defective design, the shield would have repeatedly broken and required replacement by the owner, and defendants failed to adequately refute that material issue.

Products Liability — Defectively Designed Product — Tractor-Driven Post Hole Digger

5. In a products liability action to recover damages for injuries plaintiff sustained when she was caught and dragged into the rotating driveline of a tractor-driven post hole digger distributed and sold by defendants, the evidence, considered as a whole, supported the jury's determinations that the digger was defectively designed because it incorporated a protruding nut and bolt and/or a plastic shield, and that either or both of these design defects were a substantial factor in causing plaintiff's injuries. There was also a valid line of reasoning to support the jury's finding that, although the owner of the post hole digger, who had removed a plastic safety shield from the machine after years of use had left the shield damaged beyond repair, was negligent, his removal and failure to replace the shield did not absolve defendants of liability based on substantial modification.

Products Liability — Substantial Alteration of Product — Jury Instruction

6. In a products liability action to recover damages for injuries plaintiff sustained when she was caught and dragged into the rotating driveline of a tractor-driven post hole digger distributed and sold by defendants, the trial court's jury instruction on substantial modification was appropriate, particularly when considered in the context of the charge as a whole. Defendants had asserted a substantial modification defense predicated on the owner's post-sale removal of a plastic safety shield from the post hole digger after years of use had left the shield damaged beyond repair. The trial court charged the jury on substantial modification, stating that if they found that the owner's removal of the shield and failure to replace it resulted in a substantial modification of the digger that was a substantial factor in causing plaintiff's injuries, then they must "consider that in determining whether [defendants] are liable."

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Products Liability §§ 869, 904, 917-920, 1309, 1310, 1318, 1319; AM JUR 2d, Trial §§ 951-953.
CARMODY-WAIT 2d, Charge to Jury §§ 57:12, 57:16.
NY JUR 2d, Products Liability §§ 23, 56, 61, 64, 67, 106, 212; NY JUR 2d, Trial §§ 403, 421.

PROSSER AND KEETON, TORTS (5th ed) §§ 101, 102.

WEINBERGER, NEW YORK PRODUCTS LIABILITY 2d,
§§ 21:08–21:13.

ANNOTATION REFERENCE

See ALR Index under Alteration to Property or Product; Defects and Irregularities; Design of Products and Structures; Instructions to Jury; Products Liability; Safety Precautions or Devices.

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POINTS OF COUNSEL

Phillips Lytle LLP, Buffalo (Paul F. Jones and Joanna J. Chen of counsel), and *Nixon Peabody LLP* (Vivian M. Quinn and Laurie Styka Bloom of counsel), for appellants. I. CNH America LLC and Niagara Frontier Equipment Sales, Inc. are entitled to judgment as a matter of law based upon the substantial modification doctrine. (*Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471; *Amatulli v Delhi Constr. Corp.*, 77 NY2d 525; *Wood v Peabody Intl. Corp.*, 187 AD2d 824; *Liriano v Hobart Corp.*, 92 NY2d 232; *Kromer v Beazer E., Inc.*, 826 F Supp 78; *Vega v Stimsonite Corp.*, 11 AD3d 451; *Wyda v Makita Elec. Works*, 232 AD2d 407; *Moore v Deere & Co.*, 195 AD2d 1044; *Lopez v Precision Papers*, 67 NY2d 871; *Martin v City of Cohoes*, 37 NY2d 162.) II. CNH America LLC and Niagara Frontier Equipment Sales, Inc. are entitled to judgment as a matter of law because plaintiffs failed to prove that any claimed defect was a substantial factor in causing the accident. (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Doomes v Best Tr. Corp.*, 17 NY3d 594; *Sheehan v City of New York*, 40 NY2d 496; *Boltax v Joy Day Camp*, 67 NY2d 617.) III. Plaintiffs failed to establish that the alternative designs they proposed would have been safer or would have prevented the accident. (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Burgos v Lutz*, 128 AD2d 496; *Van Buskirk v Migliorelli*, 185 AD2d 587.) IV. The verdict was based on improperly admitted evidence. (*People v Scarola*, 71 NY2d 769; *People v Primo*, 96 NY2d 351; *CNA Ins. Co. v Cacioppo Elec. Contrs.*, 206 AD2d 399; *People v Cohen*, 50 NY2d 908; *People v Acevedo*, 40 NY2d 701; *People v Davis*, 43 NY2d 17; *Cassano v Hagstrom*, 5 NY2d 643; *Zammiello v Senpike*

Mall Co., 5 AD3d 1001.) V. The trial court's jury instructions and verdict sheet were erroneous. (*Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471; *Zuckerman v City of New York*, 49 NY2d 557; *Amatulli v Delhi Constr. Corp.*, 77 NY2d 525.) VI. The verdict was based upon insufficient evidence as a matter of law. (*Cohen v Hallmark Cards*, 45 NY2d 493; *Doomes v Best Tr. Corp.*, 17 NY3d 594.)

Lipsitz Green Scime Cambria LLP, Buffalo (John A. Collins of counsel), for respondents. I. Plaintiff demonstrated that the series 906 HD post hole digger design was not reasonably safe because it incorporated two separate design defects. (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Adams v Genie Indus., Inc.*, 14 NY3d 535; *Dinardo v City of New York*, 13 NY3d 872; *Campbell v City of Elmira*, 84 NY2d 505; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579; *Orlick v Granit Hotel & Country Club*, 30 NY2d 246; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *Lugo v LJN Toys*, 75 NY2d 850; *Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471; *Argentina v Emery World Wide Delivery Corp.*, 93 NY2d 554.) II. The defectively designed post hole digger was a substantial factor in causing Jessica Bowers's injuries. (*Derdiarian v Felix Contr. Corp.*, 51 NY2d 308; *Shapiro v City of New York*, 32 NY2d 96; *Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *Long v State of New York*, 7 NY3d 269; *Schneider v Kings Hwy. Hosp. Ctr.*, 67 NY2d 743; *Ingersoll v Liberty Bank of Buffalo*, 278 NY 1; *Markel v Spencer*, 5 AD2d 400, 5 NY2d 958; *Swenson v New York, Albany Despatch Co.*, 309 NY 497; *Grazier v Snap-On Corp.*, 279 AD2d 448.) III. Peter Smith did not substantially alter the post hole digger when he removed the broken remnants of the plastic shield. (*Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471; *Amatulli v Delhi Constr. Corp.*, 77 NY2d 525; *Kromer v Beazer E., Inc.*, 826 F Supp 78; *Vega v Stimsonite Corp.*, 11 AD3d 451, 6 NY3d 805; *Wyda v Makita Elec. Works*, 232 AD2d 407; *Moore v Deere & Co.*, 195 AD2d 1044, 82 NY2d 663; *Wood v Peabody Intl. Corp.*, 187 AD2d 824; *Shapiro v City of New York*, 32 NY2d 96; *Ruthosky v John Deere Co.*, 235 AD2d 620; *Neri v John Deere Co.*, 211 AD2d 915.) IV. The verdict was not based on improperly admitted evidence. (*Selkowitz v County of Nassau*, 45 NY2d 97; *Price v New York City Hous. Auth.*, 92 NY2d 553; *Office Park Corp. v County of Onondaga*, 64 AD2d 252, 48 NY2d 765.) V. The jury's verdict was based upon legally sufficient evidence. (*Heary Bros. Lightning Protection Co., Inc. v Intertek Testing Servs., N.A., Inc.*, 4 NY3d 615; *Cohen v Hallmark Cards*, 45 NY2d 493; *Gutin v*

Mascali & Sons, 11 NY2d 97; *Shapiro v City of New York*, 32 NY2d 96; *Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *Dinardo v City of New York*, 13 NY3d 872.) VI. The jury charge was in all respects proper. (*Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471; *Bigelow v Acands, Inc.*, 196 AD2d 436; *Adams v Genie Indus., Inc.*, 14 NY3d 535.)

Augello & Matteliano LLP, Buffalo (Joseph A. Matteliano and Danielle K. Crowley of counsel), for third-party respondent. The jury's verdict was not against the weight of the evidence. (*Pinto v Pyramid Tire*, 193 AD2d 723; *Barrow v Dubois*, 82 AD3d 1685; *Lolik v Big V Supermarkets*, 86 NY2d 744; *Doomes v Best Tr. Corp.*, 17 NY3d 594; *Delay v Rhinehart*, 176 AD2d 1211.)

Herzfeld & Rubin, P.C., New York City (Michael Hoenig and David Hamm of counsel), *Hugh F. Young, Jr.*, Reston, Virginia, and *Jonathan M. Harrison* for Product Liability Advisory Council, Inc., amicus curiae. The *Robinson v Reed-Prentice Div. of Package Mach. Co.* (49 NY2d 471 [1980]) material alteration doctrine is vital to the demarcation between imposition of reasonable product liability and oppressive, unfettered product guarantor liability. There is a sharp distinction in a design defect claim between unintended use, as to which foreseeability may be a factor, and material alteration, as to which it is not. This design defect claim (failure to warn claims were dismissed) involves a material alteration. Dismissal is appropriate. (*Codling v Paglia*, 32 NY2d 330; *Velez v Craine & Clark Lbr. Corp.*, 33 NY2d 117; *Victorson v Bock Laundry Mach. Co.*, 37 NY2d 395; *Bolm v Triumph Corp.*, 33 NY2d 151; *Larsen v General Motors Corp.*, 391 F2d 495; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *Campo v Scofield*, 301 NY 468; *Gross v Empire State Bldg. Assoc.*, 4 AD3d 45; *Sanchez v State of New York*, 99 NY2d 247; *Merced v Auto Pak Co., Inc.*, 533 F2d 71.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

Plaintiff-respondent Jessica Bowers sustained severe injuries when she was caught and dragged into the rotating driveline of a tractor-driven post hole digger distributed by defendant-appellant CNH America LLC (CNH) and sold by defendant-appellant Niagara Frontier Equipment Sales, Inc. (Niagara) (collectively, defendants). Prior to the accident, Peter Smith, the owner of the post hole digger, removed a plastic safety shield from the machine after years of use had left the shield damaged

beyond repair. The main issue presented on this appeal is whether defendants were entitled to summary judgment dismissing plaintiff's design defect claims based on the substantial modification defense articulated in *Robinson v Reed-Prentice Div. of Package Mach. Co.* (49 NY2d 471 [1980]). We conclude that, on this record, plaintiff raised triable issues of fact concerning the defective design of the safety shield that were sufficient to defeat summary judgment based on substantial modification.

I.

A Model 906 HD post hole digger (the digger) is an agricultural implement manufactured by Alamo/SMC Corporation (SMC) that is designed, as its name implies, to dig holes in the ground for posts. The digger is tractor-driven and has a driveline that connects at one end to the tractor's power take-off (PTO), allowing the digger to draw power from the tractor's engine. The other end of the driveline terminates at a universal joint (U-joint) with two yokes, one of which attaches to the input shaft of the digger's gearbox. A collar around the U-joint yoke is secured to the gearbox input shaft using a bolt that extends through both the collar and the input shaft, and is fastened by a nut. The bolt head and nut are not recessed, but instead protrude beyond the yoke collar's outer surface.

The digger is operated via controls near the tractor seat. When the digger is engaged, the PTO rotates the driveline, transmitting power to the gearbox that, in turn, rotates a spiral auger that extends downward from an output shaft at the bottom of the gearbox into the ground. The rotating driveline articulates vertically as the auger moves up and down to bore post holes.

The digger comes equipped with several safety guards and shields, including a bell-shaped plastic shield manufactured by GKN Walterscheid (GKN) that is bolted to the gearbox. This shield, which is made of durable high-density polyethylene, covers the gearbox input shaft and most of the U-joint, including the protruding nut and bolt. The digger's operating manual provides numerous safety warnings about keeping all the digger's safety shields in place, and several safety decals on the digger itself give warnings, including "DANGER! SHIELD MISSING DO NOT OPERATE!" and "KEEP ALL SHIELDS IN PLACE AND IN GOOD CONDITION."

On October 1, 2004, plaintiff's stepfather, former third-party defendant Gary Hoover (Gary), borrowed the digger and a tractor

from Smith, a family friend and grape farmer. Gary was not aware when he borrowed the digger that Smith had previously removed the safety shield from the gearbox and never replaced it. The following day, Gary was using the digger to dig holes for a backyard fence at his home. Gary operated the digger from the tractor seat and he initially had plaintiff's mother, plaintiff Lori Hoover (Lori), assist him by holding the gearbox, which steadied the auger so that it dug a straight hole. Lori would step away from the digger before Gary initialized the drilling. They dug five holes using this method until Lori had to go to work.

Gary subsequently asked plaintiff to assist him with the digger. Plaintiff, then 16 years old, had never seen, used, or assisted in the operation of a post hole digger. Gary had plaintiff, who at the time was wearing a tank top, pajama bottoms, flip flops, and a jacket, perform the same task as Lori; she held the gearbox to steady the auger before Gary commenced drilling from the tractor seat. While Gary was operating the digger, plaintiff's jacket caught in the rotating driveline, dragging her into the machine. By the time Gary disengaged the digger, plaintiff's jacket and hair were wrapped around the driveline over the protruding nut and bolt at the U-joint connection. Smith later observed, as he unwound plaintiff's jacket from the driveline, that its lower pocket had caught on the protruding nut. Plaintiff's right arm was severed above the elbow; she also sustained fractures to her left scapula, left clavicle, and right humerus.

Plaintiff commenced this products liability action¹ against defendants, SMC, GKN, and the component maker NEAPCO, Inc., asserting causes of action sounding in negligence and strict products liability for manufacturing defect, design defect, and failure to warn, among other claims. Plaintiff brought a separate negligence action against Smith, and CNH and GKN commenced third-party actions against Gary seeking indemnification and contribution.² These actions were consolidated prior to trial.

At his deposition, Smith testified that he purchased the digger in 1996 to dig holes for trellis posts in his vineyard. When

1. The action was commenced by both plaintiff and Lori; however, Lori discontinued her individual claims during the course of trial and is not a party on this appeal.

2. Gary died during the pendency of the action, and Kyle P. Andrews, the Niagara County Treasurer, was substituted as third-party defendant in his capacity as Temporary Administrator of Gary's estate.

Smith used the digger, the shield and driveline would at times contact the ground. This contact would occur, according to Smith, when he drilled holes for end posts, and when under certain soil conditions, the auger would “suck” into the ground inadvertently, pulling the driveline, gearbox, and the shield down despite efforts to stop it. End post holes needed to be dug deeper and at a quicker pace than regular post holes; to accomplish this, Smith would position the digger at about a 60-degree angle to the ground and submerge the entire auger and part of the gearbox assembly into the ground. At the time of the accident, Smith did not know that the manual instructed operators not to submerge the auger beyond the flighting (i.e., the spiral blade on the auger shaft) because, as stated in the manual, “this will cause binding and overloading.” The manual does not warn, however, that the gearbox safety shield could become damaged if it contacts the ground.

Smith testified that, two to three years after he purchased the digger, the safety shield “got broke up and tore off” due to regular “wear and tear.” Each time the shield “broke off,” Smith would reattach it to the gearbox using a succession of larger washers beneath the bolt heads. After about four years of use, Smith (or one of his employees) removed the broken shield from the digger when “[i]t finally got to the point where [the shield] . . . wasn’t going to stay on anymore.” Smith estimated that he used the digger to install 1,000 to 2,000 posts per year before removing the shield, and that five to 10 percent of those were end posts.³

Prior to plaintiff’s accident, Smith replaced certain parts on the digger as they became worn out, including the auger. Smith testified that he did not replace the shield before the accident because it was “only going to get bent up, broke up, and tore off again.” Smith was aware that the shield was intended to provide protection from rotating components near the gearbox, and in June 2005, he replaced the shield “[p]robably because of the accident.” Smith purchased the new shield from Niagara for \$40 and installed it in about 15 to 30 minutes using tools in his toolbox.

The parties also deposed several engineers employed by the various defendants. These witnesses opined that the safety shield was not intended to be removed because it fully protected

3. Smith testified that he threw the broken shield away after he removed it; it was not made available for inspection by defendants.

against the entanglement hazard posed by the rotating components near the gearbox, and that the digger was not intended to be operated without the shield in place. SMC engineering manager David Horrman testified that the expected life of a safety shield “depends on the condition it’s subjected to”; “if it’s in an abusive situation, those guards [or shields] can become damaged and they should be immediately replaced once they’re damaged.” Horrman further testified that the digger’s safety shields are intended to be “replaced when they become damaged or worn,” and that replacement should be part of “the normal routine maintenance of the [digger].” CNH engineers Stephen Schlotterbeck and John Riffanacht agreed that a safety shield should last the life of the machine on which it is installed provided it is not “abused.” Riffanacht further opined that it would be a “misuse” to operate the digger without all of the shields installed, and that a farmer should replace a shield if it becomes broken. SMC agricultural engineer Kermit Hillman acknowledged, however, that it was “always a possibility” that a user would remove a shield from the digger and not reattach it.

Hillman testified that the prototype post hole digger CNH provided to SMC employed a metal shield around the gearbox. SMC abandoned that design, however, after CNH’s service department reported that the metal shield could cause damage to other parts of the digger. SMC never tested the metal shield to see if this reported problem existed and instead went with a plastic shield because it was “fairly durable and . . . flexible.”

The plastic shield did not sustain any damage during field testing SMC conducted under the supervision of Hillman and Schlotterbeck, among others. These witnesses testified that SMC never tested whether the shield could withstand contact with the ground because this was not expected to occur during “normal operation” of the digger when the machine is “adjusted correctly.” Schlotterbeck stated that he did not observe any “abusive testing” that involved the shield contacting the ground, but admitted that such contact was a “possibility.” Hillman testified that the shield could “inadvertently contact the ground” and stated that this did, in fact, “happen on occasion” during SMC’s field testing. Although SMC was aware of this potential pitfall, according to Hillman, it did not conduct field tests to determine how many times the shield could contact the ground before becoming damaged; perform any specific durability testing of the shield; or ask GKN what, if any, tests it had performed on the shield. GKN agricultural engineer Nolan

House testified that GKN conducted two tests on the shield: a “cold impact test,” in which the shield was frozen and hit one time with a weight, and a “side-load test,” in which the shield was pushed one time with 270 pounds of force. GKN did not conduct any tests involving the shield contacting the ground.

Following discovery, all defendants moved for summary judgment. Relevant to this appeal, defendants argued that, under *Robinson*, they could not be held liable as a matter of law because Smith made post-sale modifications to the digger that rendered the digger defective and proximately caused plaintiff’s injuries. Defendants asserted that the digger was safe when it was sold to Smith and that he made the product dangerous by, according to his own testimony, removing the shield and failing to replace it. According to defendants, the deposition testimony established that Smith “misused” the digger by regularly allowing the shield to contact the ground, and that he “abused” the machine by using it with such high frequency on his vineyard. Defendants argued that it had no duty “to furnish a machine that cannot be abused or that will not wear out,” and that it was inexcusable that Smith failed to spend the small amount of time and expense necessary to replace the shield before the accident.

Plaintiff opposed summary judgment, arguing that the digger incorporated two design defects that were substantial causes of her injuries: the protruding nut and bolt at the U-joint connection and the plastic shield. Plaintiff asserted that the substantial modification defense did not bar her claims because, according to Smith’s testimony, he removed a broken plastic shield that had been destroyed from normal use of the digger, rather than a functioning safety device that could have protected plaintiff from injury. Plaintiff also noted that Smith testified that he did not replace the shield because it was only going to break again, and that his alleged “abuse” of the digger merely involved using the machine for its intended purpose. The testimony from the various engineers, plaintiff asserted, raised additional questions of fact concerning whether Smith’s conduct was foreseeable and whether the shield was defectively designed.

In opposition to the motion, plaintiff submitted an affidavit by Thomas Berry, a mechanical engineer, who opined that the digger was defective on account of both the protruding nut and bolt and the plastic shield. Regarding the shield, Berry averred that, under accepted engineering principals, any safety shield affixed to a farming implement must “be designed to last the

life of the product considering the foreseeable use and misuse of the product and its use within the environment.” The plastic shield used on the digger was “inadequately tested” and “not reasonably safe,” according to Berry, because it failed after two to three years of “normal use,” during which it was foreseeable that the shield would contact the ground and become damaged. Berry also believed it was foreseeable that the average farmer would not replace a broken shield and that this reality should have prompted SMC to implement an alternative design. Berry posited that, instead of the plastic shield, the digger could have been designed and manufactured with “an integral guard” that, if removed, would render the digger inoperable, or a “rugged steel shield” that would last the life of the digger. Neither of these design alternatives, Berry averred, would have impaired the functionality of the digger or significantly increased its cost of production. Berry concluded that the failure to incorporate one of these alternative designs proximately caused plaintiff’s injuries.⁴

Supreme Court granted summary judgment to the extent of dismissing plaintiff’s manufacturing defect and failure to warn claims,⁵ but denied summary judgment with regard to the design defect claims asserted against defendants, SMC, GKN, and NEAPCO. The court also denied Smith’s motion for summary judgment in its entirety. The case then proceeded to a jury trial in March 2011. On the third day of trial, Smith, SMC, GKN, and NEAPCO settled with plaintiff and the trial thereafter continued against defendants on the design defect claims.

During the four-week trial, plaintiff presented both the nut-and-bolt and the safety shield design defect theories to the jury, who heard testimony from, among other witnesses, plaintiff, Smith, Berry, and many of the engineering experts deposed during discovery. Before dismissing the jury for deliberations, the trial judge charged the jurors on substantial modification, stating that if they found that Smith’s removal of the shield and failure to replace it resulted in a substantial modification of the

4. Berry further opined that, “[f]rom an engineering viewpoint,” the digger could have been designed so that it “eliminated the protruding nut and bolt” at the U-joint connection “without impairing the function of the product and without any substantial increase in cost.” Specifically, the digger could have incorporated a “non-protruding design” such as “a slide collar or a snap collar” similar to the one used on the tractor end of the driveline.

5. Supreme Court also dismissed strict products liability and negligence claims plaintiff alleged against defendants related to the tractor Gary borrowed from Smith. Plaintiff did not appeal from these dismissals.

digger that was a substantial factor in causing plaintiff's injuries, then they must "consider that in determining whether CHN and/or Niagara Frontier are liable."

The jury returned a verdict in favor of plaintiff in the amount of \$8,811,587.29 and apportioned liability as follows: 35% to CNH, 30% to SMC, 30% to Smith, 3% to Gary Hoover, and 2% to Niagara. Defendants moved for, among other things, judgment notwithstanding the verdict and, in the alternative, to set aside the verdict of the jury as against the weight of the evidence. The court denied the motion and entered judgment for plaintiff. Defendants appealed.

The Appellate Division affirmed (*see Hoover v New Holland N. Am., Inc.*, 100 AD3d 1495 [4th Dept 2012]). The court concluded that, even assuming defendants "met their initial burden on their motion for summary judgment," plaintiff "submitted sufficient evidence to defeat that motion and on their direct case at trial to make out a prima facie case of defective design of the digger" (*id.* at 1497). Specifically, plaintiff "presented sufficient evidence that the digger was defectively designed" and "that Smith's removal of the damaged gearbox shield did not constitute a substantial modification" (*id.*). The court also "reject[ed] defendants' contentions that the proof was insufficient to establish that the defective design of the digger was a substantial factor in causing plaintiff's injuries or that an alternative design would have prevented the accident" (*id.*).⁶ This Court granted defendants leave to appeal (21 NY3d 853 [2013]) and we now affirm.

II.

Where a plaintiff is injured as a result of a defectively designed product, the product manufacturer or others in the chain of distribution may be held strictly liable for those injuries (*see Sprung v MTR Ravensburg*, 99 NY2d 468, 472-473 [2003]; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579, 585 [1987]; *see also Speller v Sears, Roebuck & Co.*, 100 NY2d 38, 41 [2003]). "[A] defectively designed product is one which, at the time it leaves the seller's hands, is in a condition not reasonably contemplated by the ultimate consumer and is unreasonably dangerous for its intended use," and "whose utility does not

6. The Appellate Division also denied plaintiff's cross appeal from the judgment and, in a separate order issued the same day, dismissed defendants' appeal from the Supreme Court order denying their posttrial motion.

outweigh the danger inherent in its introduction into the stream of commerce” (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102, 107 [1983]; *Robinson*, 49 NY2d at 479). To establish a prima facie case for design defect, the plaintiff must show that the defendant “breached its duty to market safe products when it marketed a product designed so that it was not reasonably safe and that the defective design was a substantial factor in causing plaintiff’s injury” (*Voss*, 59 NY2d at 106-107; see *Adams v Genie Indus., Inc.*, 14 NY3d 535, 542 [2010]). A plaintiff who carries this burden may prevail regardless of whether the injury resulted when the defectively designed product was “used for its intended purpose or for an unintended but reasonably foreseeable purpose” (*Lugo v LJM Toys*, 75 NY2d 850, 852 [1990], citing *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376, 385-386 [1976] [additional citation omitted]). “The issue of whether a product is defectively designed such that its utility does not outweigh its inherent danger is generally one ‘for the jury to decide in light of all the evidence presented by both the plaintiff and defendant’ ” (*Yun Tung Chow v Reckitt & Colman, Inc.*, 17 NY3d 29, 33 [2011], quoting *Voss*, 59 NY2d at 108 [internal alterations omitted]).

It is well settled, however, “that a manufacturer, who has designed and produced a safe product, will not be liable for injuries resulting from substantial alterations or modifications of the product by a third party which render the product defective or otherwise unsafe” (*Amatulli v Delhi Constr. Corp.*, 77 NY2d 525, 532 [1991], citing *Robinson*, 49 NY2d at 479; see *Liriano v Hobart Corp.*, 92 NY2d 232, 238 [1998]). We explained in *Robinson* that, “[w]hile the manufacturer is under a nondelegable duty to design and produce a product that is not defective,” that duty is “not an open-ended one” (49 NY2d at 479, 481). Rather, it is measured “as of the time the product leaves the manufacturer’s hands” and extends only “to the design and manufacture of a finished product which is safe at the time of sale” (*id.* at 481). Thus, manufacturers and others in the distribution chain are “not required to insure that subsequent owners and users will not adapt the product to their own unique uses. That kind of obligation is much too broad and would effectively impose liability . . . for all product-related injuries” (*Liriano*, 92 NY2d at 238, citing *Robinson*, 49 NY2d at 480-481; see also *Amatulli*, 77 NY2d at 532).

Defendants argue that they were entitled to summary judgment based on the substantial modification defense we described

in *Robinson*. In that case, the plaintiff, a plastic molding machine operator, was seriously injured when his hand was caught in a machine his employer had modified by cutting a hole in its safety gate. The plaintiff sued the defendant manufacturer in strict products liability and negligence, alleging that the machine was defectively designed. Although the plaintiff prevailed at trial, we dismissed both causes of action on appeal. Addressing the strict liability claim, we held that “[s]ubstantial modifications of a product from its original condition by a third party which render a safe product defective are not the responsibility of the manufacturer” (*id.* at 479). The plaintiff did not “premise liability on any defect in the design or manufacture of the machine” and instead urged that the defendant should be held liable because his employer’s act of “destroying the functional utility of the safety gate” was “foreseeable” (*id.* at 480). We rejected this theory, concluding that

“[p]rinciples of foreseeability . . . are inapposite where a third party affirmatively abuses a product by consciously bypassing built-in safety features. While it may be foreseeable that an employer will abuse a product to meet its own self-imposed production needs, responsibility for that willful choice may not fall on the manufacturer” (*id.*).

Because the plaintiff made no “showing that there was some defect in the design of the safety gate at the time the machine left” the manufacturer’s control, the defendant could not “be cast in damages for strict products liability” (*id.*).

The Court also rejected the plaintiff’s claim that the defendant was negligent in its design of the machine (*see id.*). Acknowledging the established rule that a manufacturer must “use reasonable care in designing [the] product when ‘used in the manner for which the product was intended as well as an unintended yet reasonably foreseeable use,’ ” (*id.*, quoting *Micallef*, 39 NY2d at 385-386 [internal alterations omitted]), we determined that this duty “does not extend to designing a product that is impossible to abuse or one whose safety features may not be circumvented” (*id.* at 480-481). Thus, while “[a] cause of action in negligence will lie where it can be shown that a manufacturer was responsible for a defect that caused injury, and that the manufacturer could have foreseen the injury” (*id.* at 480), “[m]aterial alterations at the hands of a third party which work a substantial change in the condition in which the product was sold by destroying the functional utility of a key

safety feature, however foreseeable that modification may have been, are not within the ambit of a manufacturer's responsibility" (*id.* at 481).

[1] A defendant moving for summary judgment based on substantial modification must establish entitlement to that defense "sufficiently to warrant the court as a matter of law in directing judgment" in its favor (CPLR 3212 [b]; *see Green v Kautex Machs.*, 159 AD2d 945, 946 [1990]). Primarily, the defendant must make the same showing required to prevail on any design defect claim: that the product was "not defective" at the time it was manufactured and sold (*Robinson*, 49 NY2d at 479; *see e.g. Voss*, 59 NY2d at 108 [the defendant must show "that the product is a safe product"]). Once this threshold showing has been made, the defendant must demonstrate that a post-sale modification rendered the otherwise "safe product defective" and that the modification was the proximate cause of the plaintiff's injuries (*Robinson*, 49 NY2d at 479).

If the defendant establishes *prima facie* entitlement to summary judgment based on substantial modification, the burden shifts to the plaintiff to come forward with evidentiary proof in admissible form demonstrating "the existence of material issues of fact which require a trial of the action" (*Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012]; *see Zuckerman v City of New York*, 49 NY2d 557, 562 [1980]). The plaintiff may overcome a substantial modification defense by demonstrating that the post-sale modification did not render a "safe product defective" because the product incorporated a defectively designed safety feature at the time of sale (*Robinson*, 49 NY2d at 479; *see Voss*, 59 NY2d at 108). In other words, the plaintiff must raise a triable issue of fact whether the safety feature "was not reasonably safe and that the defective design was a substantial factor in causing plaintiff's injury" (*Voss*, 59 NY2d at 106-107).⁷

This summary judgment standard comports with our reasoning in *Robinson*. We concluded in *Robinson* that, where a third party makes post-sale modifications that destroy the functional utility of the product's safety feature, the manufacturer will be insulated from liability absent a showing that "there was some

7. Of course, this is not the only way that a plaintiff may defeat summary judgment based on substantial modification. We have stated that a plaintiff will prevail, for example, by showing that "a product is purposefully manufactured to permit its use without a safety feature" (*Liriano*, 92 NY2d at 238, citing *Lopez v Precision Papers*, 67 NY2d 871 [1986]).

defect in the design of the safety [feature] at the time” the product left the manufacturer’s hands (*Robinson*, 49 NY2d at 480). The plaintiff in *Robinson* did not demonstrate that the safety gate on the molding machine was defectively designed; rather, the evidence indicated that the machine was “safe at the time of sale” and that “[h]ad the machine been left intact, the safety gate . . . would have rendered th[e] tragic industrial accident an impossibility” (*id.* at 479-480). Dismissal of the plaintiff’s design defect claim was therefore appropriate.

It follows under *Robinson* that if a plaintiff establishes the existence of material issues of fact concerning the defective design of a safety feature, the defendant will not automatically prevail on summary judgment simply because that safety feature was modified post sale. The substantial modification defense is intended to insulate manufacturers and others in the distribution chain from liability for injuries that would never have arisen *but for* the post-sale modification of a safety feature on an otherwise safe product. *Robinson* does not, however, mandate summary disposal of cases where the plaintiff raises a colorable claim that the product was dangerous because of a defectively designed safety feature and *notwithstanding* the modification by the third party.

[2] We agree with the Appellate Division that, on this record, plaintiff established the existence of material issues of fact sufficient to overcome defendants’ substantial modification defense. Smith testified that the shield he removed had been destroyed by years of “wear and tear,” would no longer stay attached to the digger, and, essentially, had ceased to provide protection from the rotating components near the gearbox. Unlike the employer in *Robinson*, Smith did not modify the digger in order to “circumvent[]” the utility of the shield or to “adapt” the digger to suit his own needs (49 NY2d at 481). Rather, Smith removed the shield because its “functional utility” had already been destroyed (*id.*), and his testimony raised a question of fact whether removal of the broken shield was to blame for plaintiff’s injuries. Plaintiff also proffered Berry’s expert affidavit, in which the engineer averred that the shield was “not reasonably safe” because it was not “designed to last the life” of the digger, and that defendants’ failure to incorporate a safer yet feasible alternative design, such as an integral guard or metal shield, was “a substantial factor” in causing plaintiff’s injuries. While we do not necessarily agree, as plaintiff contends, that no safety device is reasonably safe unless it is designed to last the lifetime

of the product on which it is installed, defendants did not adequately refute plaintiff's assertions that the plastic shield failed prematurely under the circumstances presented here.

[3] Defendants argue, as they did on summary judgment, that the shield was not defectively designed but was damaged when Smith "misused" the digger by allowing it to contact the ground during drilling. This may have been a viable theory if defendants had demonstrated that Smith's alleged "misuse" was unforeseeable as a matter of law (*see e.g. Micallef*, 39 NY2d at 385-386). As it stands, however, plaintiff presented sufficient evidence to rebut this claim and bring it before the jury.⁸ Although several engineers testified that the shield should not contact the ground during "normal operation" of the digger, Berry stated in his affidavit that this contact was "foreseeable" during "normal use," and that more robust durability testing would have revealed that a plastic shield would not hold up under these circumstances. Indeed, the record indicates that the shield underwent limited durability testing, none of which included contact with the ground. According to Hillman, SMC was aware that the shield could hit the ground during drilling and still declined to test the shield for durability under these or any other circumstances. Schlotterbeck disagreed that the shield ever touched the ground during testing, but he admitted that such contact was a "possibility" and that the shield was not tested for that use. Viewed in the light most favorable to plaintiff, this evidence was sufficient to raise a question of fact whether the shield was defective at the time of sale (*see Robinson*, 49 NY2d at 479).

The closer question is whether Smith's failure to replace the broken shield constitutes a substantial modification freeing

8. The dissent suggests that our holding conflicts with *Robinson* because the manufacturer there avoided liability even though "the misuse" in that case (i.e., the modification of the safety gate on the plastic molding machine) "was not only foreseeable—it was in fact foreseen" (dissenting op at 63). But the only "misuse" at issue in *Robinson* was the substantial modification of the safety gate. We are not departing from our holding in *Robinson* that a manufacturer may not be held responsible for substantial modifications that "destroy[] the functional utility of a key safety feature," no matter how foreseeable those modifications may have been (49 NY2d at 481). Although foreseeability is not relevant to the substantial modification of a safety device, it is relevant to defendants' claim here that Smith's "misuse" in driving the shield into the ground was a proximate cause of plaintiff's injuries, rather than any defect in design (*see id.* at 480). To prevail on this point on summary judgment, defendants had to prove, as a matter of law, that Smith's misuse of the digger was unforeseeable. They did not meet that standard here.

defendants of liability. Both parties agree that plaintiff would not have been injured if an intact shield had been in place on the date of the accident. Defendants urge that the owner of a machine is responsible for replacing all parts that become damaged or worn, including safety devices, and that a contrary rule would place an onerous burden on manufacturers to design accident-proof products that are incapable of wearing out. A manufacturer is not obligated to design a machine that will never deteriorate or wear out (*see Auld v Sears, Roebuck & Co.*, 261 App Div 918 [2d Dept 1941], *affd* 288 NY 515 [1942]), and the owner does bear the responsibility of maintaining the machine by, among other things, “having [it] inspected periodically so that worn parts may be replaced” (*Mayorga v Reed-Prentice Packaging Mach. Co.*, 238 AD2d 483, 484 [2d Dept 1997]; *see Aparicio v Acme Am. Repair, Inc.*, 33 AD3d 480, 481 [1st Dept 2006]). However, where the plaintiff raises questions of fact whether the machine incorporated a defective safety device, the manufacturer or others in the distribution chain cannot *automatically* avoid liability on the basis that the safety device was removed post sale and not replaced. Such a broad rule would lessen the manufacturer’s duty to design effective safety devices that make products safe for their intended purpose and “unintended yet reasonably foreseeable use” (*Micallef*, 39 NY2d at 385-386; *see Lugo*, 75 NY2d at 852).

[4] On this record, defendants did not demonstrate their entitlement to summary judgment based on Smith’s failure to replace the broken safety shield. Particularly, the expert evidence raised a question whether Smith’s failure to replace the shield alone caused plaintiff’s injuries, or whether his failure pointed to a failure on defendants’ part in selling and distributing the digger with a defectively designed shield. Horrman testified that owners should replace “worn or damaged” shields as part of “normal routine maintenance” of the digger; Riffanacht agreed and added that operating the digger without all of the shields installed was a “misuse” of the machine. Hillman admitted, however, that it was possible that an owner would not replace a broken shield, and Berry determined that the digger should have incorporated a shield that accounted for this “foreseeable” event.

Additionally, Smith testified that he did not replace the shield before the accident because it was “only going to get bent up, broke up, and tore off again.” This testimony was sufficient to raise a question whether, because of its allegedly defective

design, the shield would have repeatedly broken and required replacement by Smith, and defendants failed to adequately refute this material issue. Although owners are obligated to keep their products in good repair (*see e.g. Mayorga*, 238 AD2d at 484), they should not be required to continually replace defective safety components even if, as here, the components could be replaced easily and cheaply. Thus, defendants could not succeed on summary judgment merely because Smith testified that a new shield cost \$40 and took no more than 30 minutes to install, or because Smith had previously replaced other worn-out components on the digger. Although this evidence could support a jury finding of liability against Smith, it would be inappropriate to award summary judgment to defendants on this basis given the issues of fact regarding the shield's allegedly defective design.

This may have been a different case if defendants had established as a matter of law that the shield was reasonably designed yet expected to wear and require replacement prior to the accident. Instead, defendants merely contended that Smith "abused" the digger and suggested that the shield needed replacement because Smith drilled 1,000 to 2,000 post holes a year in the approximately four-year period before he removed the shield. As we have explained, plaintiff raised a question of fact whether Smith's habit of driving the shield into the ground was foreseeable. Moreover, defendants did not demonstrate that Smith used the digger with such frequency that it could qualify as "abuse." Using the digger to drill thousands of post holes per year appears to fall squarely within the intended use of that product, and nothing in the record conclusively shows at what point a properly designed shield would be expected to wear out and require replacement under these circumstances. To the contrary, two CNH engineers opined that a safety shield should last the lifetime of the product absent abuse. Without definitive evidence that such "abuse" occurred here, defendants could not prevail on summary judgment based on Smith's failure to replace the shield.

Defendants argue that foreseeability is not a factor under the substantial modification defense, and therefore, they should not be faulted for failing to anticipate that Smith would "affirmatively abuse[]" the digger by removing the shield and not installing a new one (*Robinson*, 49 NY2d at 480). *Robinson* made clear, however, that although the manufacturer's responsibilities "do[] not extend to designing a product that is impossible

to abuse or one whose safety features may not be circumvented,” it must still “use reasonable care” in designing a product that is reasonably safe for all of its intended uses and foreseeable misuses (*id.* at 480-481; *see Micallef*, 39 NY2d at 385-386). Plaintiff defeated summary judgment here not because defendants failed to foresee that Smith would “abuse” the shield, but because plaintiff’s evidence in opposition raised questions of fact whether, because the shield was defectively designed, Smith’s conduct could even qualify as an “abuse” of that safety device under *Robinson*.

We have emphasized that the issue of whether a product is defectively designed is often one “for the jury to decide” (*Voss*, 59 NY2d at 108; *see Yun Tung Chow*, 17 NY3d at 33). Here, the courts below properly determined that, on this record, plaintiff raised material issues of fact sufficient to bring her design defect claims and defendants’ substantial modification defense before the jury.

III.

[5, 6] Defendants raise several additional arguments, none of which are meritorious. Briefly, we agree with the Appellate Division that the evidence, considered as a whole, supports the jury’s determinations that the digger was defectively designed because it incorporated a protruding nut and bolt and/or a plastic shield, and that either or both of these design defects were a substantial factor in causing plaintiff’s injuries (*see Adams*, 14 NY3d at 544; *see also Lolik v Big V Supermarkets*, 86 NY2d 744, 746 [1995]). There was also a valid line of reasoning to support the jury’s finding that, although Smith was negligent, his removal and failure to replace the shield did not absolve defendants of liability based on substantial modification (*see generally Cohen v Hallmark Cards*, 45 NY2d 493, 499 [1978]). We further find that the trial court’s jury instruction on substantial modification was appropriate, particularly when considered in the context of the charge as a whole. We have considered defendants’ remaining contentions and find them unavailing.

IV.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (dissenting). A designer designed a machine. He tried his best to make it safe, but, among the many decisions

that go into any such effort, he made two that were questionable: he provided for a nut and bolt to fasten certain components, resulting in a protrusion where there might otherwise have been a smooth surface; and he chose a plastic, rather than a metal, safety shield. Arguments can be (and are) made that both these decisions were correct, but the arguments are not conclusive, and a jury could find that the designer was negligent. No one claims that these decisions were intended to or did save the manufacturer money. They were honest mistakes, at worst. A farmer bought the machine. It came with safety decals warning in large letters against operation without a safety shield ("DANGER: GUARD MISSING DO NOT OPERATE"; "DANGER: . . . CONTACT CAN CAUSE DEATH . . . DO NOT OPERATE WITHOUT . . . ALL DRIVELINE, TRACTOR AND EQUIPMENT SHIELDS IN PLACE"). The decals are illustrated with a simple drawing of what could happen if they are disregarded; the drawing looks like a grim foreshadowing of Jessica Bowers's accident. The machine also came with an operator's manual, containing several similar warnings (e.g. "Never operate machinery without all shields"). The manual also told the operator, "**IMPORTANT:** *Do not allow the auger to penetrate the ground to a depth where the flighting [a helical blade] is submerged.*"

The farmer ignored all these warnings. He routinely submerged the flighting and kept drilling, with the result that the safety shield was pressed against the ground again and again. After three or four years, the shield was so damaged that it seemed to be useless, so the farmer took it off and threw it away. He chose not to get a replacement shield—which would have cost \$40 and taken no more than half an hour to install—because "it's only going to get bent up and broke again." Evidently, another few years of having a safety shield was not worth the expense and trouble.

Imagine for a moment that the designer and the farmer had equally deep pockets. Would anyone hesitate for a moment in saying that the farmer, not the designer, should compensate Jessica Bowers for her injuries? But of course pockets are not equally deep, and it should surprise no one that a jury assigned two thirds of the fault to the companies that designed, manufactured and sold the machine—firms that could be liable only for the alleged design defects—and 30% to the farmer, Peter Smith. This kind of soak-the-rich fact-finding is commonplace in American tort law. The legal system has never found a way to prevent

it, but it has devised some rules that help to weed out its more extreme forms.

One such rule is the “substantial modification” rule of *Robinson v Reed-Prentice Div. of Package Mach. Co.* (49 NY2d 471, 475 [1980]):

“[A] manufacturer of a product may not be cast in damages, either on a strict products liability or negligence cause of action, where, after the product leaves the possession and control of the manufacturer, there is a subsequent modification which substantially alters the product and is the proximate cause of plaintiff’s injuries.”

Could it be more obvious that this rule applies to this case? The majority opinion seems to me an exercise in avoiding the obvious.

The majority suggests that *Robinson* is distinguishable because the product here, unlike the product there, was not “safe at the time of sale” (majority op at 57, quoting *Robinson*, 49 NY2d at 481). But the post-hole digger in this case *was* safe at the time of sale in the simple sense that, while the safety shield remained in place, it could not have caused Jessica Bowers’s accident (*see* majority op at 59 [“Both parties agree that plaintiff would not have been injured if an intact shield had been in place on the date of the accident”]). And the safety shield would have remained in place if Smith had not battered it into uselessness, thrown it away and not bothered to replace it.

The majority seems to suggest that the *Robinson* rule should apply only where the misuse of a product is “unforeseeable as a matter of law” (majority op at 58). But the misuse in *Robinson* itself was not only foreseeable—it was in fact foreseen. The manufacturer of the plastic molding machine involved in *Robinson* “knew precisely what its customer was doing to the safety gate and refused to modify its design” (49 NY2d at 478). That did not make the manufacturer liable. We said: “Principles of foreseeability . . . are inapposite where a third party affirmatively abuses a product by consciously bypassing built-in safety features” (*id.* at 480).

Ultimately, the majority seems to say that *Robinson* does not apply because the design of the machine here could have been found negligent (*see* majority op at 60-61). But no plaintiff can prevail in a design defect case without showing negligence. If

the *Robinson* rule protected only non-negligent manufacturers, it would be meaningless. The majority relies on our statement in *Robinson* “that a manufacturer is under a duty to use reasonable care in designing his product when used in the manner for which the product was intended . . . as well as an unintended yet reasonably foreseeable use” (49 NY2d at 480 [citation and internal quotation marks omitted]). But, as the majority acknowledges, we qualified this statement by saying: “The manufacturer’s duty . . . does not extend to designing a product that is impossible to abuse or one whose safety features may not be circumvented” (*id.* at 480-481).

The point of our statements in *Robinson* is clear in context: a manufacturer’s duty is to use reasonable care to design a product that is safe at the time it leaves the manufacturer’s hands. A manufacturer is not liable for dangers created by substantial alterations to the product thereafter. That principle should control this case.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur with Judge ABDUS-SALAAM; Judge SMITH dissents and votes to reverse in an opinion.

Order affirmed, with costs.

[11 NE3d 1104, 989 NYS2d 1]

LORI ALBUNIO et al., Appellants, v CITY OF NEW YORK et al., Defendants. MARY D. DORMAN, Nonparty Respondent.

Argued February 18, 2014; decided April 3, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 27, 2012. The Appellate Division order, insofar as appealed from, affirmed an order of the Supreme Court, New York County (Martin Shulman, J.; op 2012 NY Slip Op 33566[U] [2012]), which had (1) granted nonparty respondent's motion to determine her attorneys' fees to the extent of including her statutory attorneys' fee award for trial level work in the total recovery for purposes of calculating her contingency fee and excluding from consideration of her fees for trial level work the statutory attorneys' fee awards for appellate level work, and (2) denied the motion to the extent of requiring nonparty respondent to credit nonrefundable retainers totaling \$15,000 against her contingency fee.

Albunio v City of New York, 101 AD3d 656, modified.

HEADNOTES

Attorney and Client — Compensation — Retainer Agreement for Trial — Calculation of Contingency Fee — Ambiguous Terms

1. A retainer agreement providing that respondent attorney would receive a contingency fee equal to $33\frac{1}{3}$ "percent of the sum recovered, whether recovered by suit, settlement or otherwise," which percentage was to be "computed on the net sum recovered," for her representation of appellant clients in a lawsuit alleging violations of the New York City Human Rights Law, entitled respondent to a contingency fee equal to one third of the jury award only and did not include the value of a statutory counsel fee award as part of the "sum recovered." The terms of the agreement did not unambiguously provide that any statutory fees were part of the "sum recovered." While the phrase "by suit, settlement or otherwise" might support such an interpretation, a plaintiff's "recovery" ordinarily denotes the amount payable by the defendant as compensation for the plaintiff's injury. Moreover, the average client is presumably unaware of the existence of statutory fees. Attorneys who have drafted the retainer agreements have the burden to show that the contracts are fair, reasonable and fully known and understood by their clients. Here, the attorney did not meet that burden. According to her affidavit, she first discussed her proposal for distribution of the initial judgments when she asked plaintiffs to execute a new retainer agreement for the appeal. She described that one plaintiff expressed surprise at the proposed calculation. That plaintiffs failed to object upon learning of her intended fee calculation did not establish their understanding of that arrangement upon execution of

the agreement. Moreover, neither the attorney's ambiguous email to plaintiffs stating that she was entitled to "one-third of what we recover" nor the fact that plaintiffs' agreement with their prior counsel stated that the prior counsel would receive the greater of the statutory award or 40% of the damages, established that plaintiffs understood that the "sum recovered" would encompass both damages and a statutory award.

Attorney and Client — Compensation — Contingency Fee Retainer Agreement — Award of Statutory Fees under New York City Human Rights Law

2. In an action in which statutory counsel fees are awarded under the New York City Human Rights Law (NYCHRL) (Administrative Code of City of NY § 8-502 [f]), but the contingency fee agreement governing the prevailing party's representation does not explicitly mention statutory fees, the attorney is entitled to the greater of either the contingency fee or the statutory award. Because the attorney fee provision of the NYCHRL is similar to the fee provisions in the federal civil rights statutes, federal case law provides helpful guidance as to the policy considerations underlying the award of counsel fees to prevailing civil rights plaintiffs. Absent a contractual provision to the contrary, the trend is to calculate the contingency fee based on the amount of the judgment exclusive of the fee award, and then credit the fee award to the client as an offset against the contingency fee owed. Such an approach comports with precedent holding that ambiguous fee arrangements should be interpreted against the drafting attorney. Deducting the court-awarded fees from the sum owed under the contract also ensures that the attorney receives, and the client pays, no more or less than they bargained for. In addition, permitting counsel to collect a statutory award that exceeds the amount due under a contingency fee agreement advances the purpose of the NYCHRL by incentivizing the private bar to represent civil rights plaintiffs even where any damage award is likely to be insubstantial.

Attorney and Client — Compensation — Retainer Agreements for Appeals — Enforceability

3. Retainer agreements, which covered plaintiffs' representation for appeals to the Appellate Division and Court of Appeals after plaintiffs had recovered damages for violations of the New York City Human Rights Law (NYCHRL), were enforceable as written where the agreements provided that each plaintiff would owe the attorney \$20,000, with a credit for any statutory fees awarded by the court, but if the court awarded statutory fees in excess of that amount, the attorney was entitled to those fees in their entirety. The retainers for appellate representation clearly and unambiguously dealt with the relationship between contractual fees and statutory awards. Moreover, the appellate statutory fees did not offset the contingency fee owed respondent for her trial work on the theory that an appeal is not separate, but a continuation of the underlying action for purposes of calculating statutory fees for appellate work. Attorneys and clients can negotiate a different retainer agreement for work done on appeal and where, as here, the retainer for trial work did not obligate counsel to represent the clients on appeal, the attorney was free to negotiate a different fee arrangement. Nor did anything prevent plaintiffs from rejecting the attorney's offer and retaining new counsel on appeal. That the attorney indicated the time-sensitive nature of selecting appellate counsel was not tantamount to duress and she proposed the terms of the agreement with sufficient time to retain substitute counsel. Also, because an award of statutory fees under the NYCHRL is always discretionary, it was not unreasonable for the attorney to seek a guarantee of a minimum payment for her appellate work.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 258, 259, 277; AM JUR 2d, Civil Rights § 16.
CARMODY-WAIT 2d, Officers of Court §§ 3:495, 3:500, 3:502, 3:503.
NY JUR 2d, Attorneys at Law § 252; NY JUR 2d, Civil Rights §§ 225, 227.

ANNOTATION REFERENCE

See ALR Index under Attorneys' Fees; Civil Rights and Discrimination; Contingent Fees.

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POINTS OF COUNSEL

Law Office of Leon Friedman, New York City (*Leon Friedman* of counsel), for appellants. I. In interpreting state civil rights laws providing for the award of attorneys' fees, state courts are obliged to follow federal precedents interpreting federal civil rights laws containing language similar to the state laws. (*McGrath v Toys "R" Us, Inc.*, 3 NY3d 421; *Fornuto v Nisi*, 84 AD3d 617; *Jiggetts v Dowling*, 3 AD3d 326; *Matter of Diaz v Franco*, 257 AD2d 449.) II. Attorneys are not entitled to both statutory fees and any contingency award unless the retainer agreement signed by the client specifically provides for such an award. (*Quint v A.E. Staley Mfg. Co.*, 245 F Supp 2d 162; *Pickett v Sheridan Health Care Ctr.*, 664 F3d 632; *Venegas v Mitchell*, 495 US 82; *Blanchard v Bergeron*, 489 US 87; *Sullivan v Crown Paper Bd. Co., Inc.*, 719 F2d 667; *Daly v Hill*, 790 F2d 1071; *Lenard v Argento*, 699 F2d 874; *Ross v Douglas County, Neb.*, 244 F3d 620; *Hamilton v Ford Motor Co.*, 636 F2d 745; *Griffin v Washington Convention Ctr.*, 172 F Supp 2d 193.) III. Federal courts have consistently rejected any effort to add the amount of statutory fees to any final judgment in order to determine the appropriate contingency fee unless the retainer agreement contains explicit language to that effect; that result is required under New York law as well. (*Montgomery v Noga*, 168 F3d 1282; *Velarde v PACE Membership Warehouse, Inc.*, 105 F3d 1313; *Bates v Kuguenko*, 100 F3d 961; *Lowe v Pate*

Stevedoring Co., 595 F2d 256; *Ross v Douglas County, Neb.*, 244 F3d 620; *Riverside v Rivera*, 477 US 561; *Elusta v City of Chicago*, 696 F3d 690; *Budinich v Becton Dickinson & Co.*, 486 US 196; *Federal Ins. Co. v International Bus. Machs. Corp.*, 18 NY3d 642; *Morgan v Greater N.Y. Taxpayers Mut. Ins. Assn.*, 305 NY 243.) IV. The contingency amount must be further reduced by the amount of statutory fees awarded to Mary D. Dorman for appellate work. (*Suzuki v Yuen*, 678 F2d 761; *Quarantino v Tiffany & Co.*, 166 F3d 422; *Hetzel v County of Prince William*, 188 F3d 502.)

Law Office of Paul O'Dwyer, New York City (Paul J. O'Dwyer of counsel), for nonparty respondent. I. Construction of a retainer agreement is a matter of state and not federal law. (*McGrath v Toys "R" Us, Inc.*, 3 NY3d 421; *King v Fox*, 7 NY3d 181, 418 F3d 121; *Zakrzewska v New School*, 14 NY3d 469; *Fortnuto v Nisi*, 84 AD3d 617; *Jiggetts v Dowling*, 3 AD3d 326; *Matter of Diaz v Franco*, 257 AD2d 449; *Williams v New York City Hous. Auth.*, 61 AD3d 62, 13 NY3d 702; *Uy v Bronx Mun. Hosp. Ctr.*, 182 F3d 152; *Alderman v Pan Am World Airways*, 169 F3d 99; *Gair v Peck*, 6 NY2d 97.) II. Plaintiffs are seeking an impermissible advisory opinion from this Court. (*New York Pub. Interest Research Group v Carey*, 42 NY2d 527; *Cuomo v Long Is. Light. Co.*, 71 NY2d 349; *T.D. v New York State Off. of Mental Health*, 91 NY2d 860.) III. The Appellate Division correctly enforced the language of the retainer agreements. (*King v Fox*, 7 NY3d 181; *Lawrence v Graubard Miller*, 11 NY3d 588; *Jacobson v Sassower*, 66 NY2d 991; *Seligson, Morris & Neuburger v Fairbanks Whitney Corp.*, 22 AD2d 625; *Matter of Koepfel*, 95 AD3d 453; *Matter of Bizar & Martin v U.S. Ice Cream Corp.*, 228 AD2d 588; *Wolfgang v Hampton Hill Villas Condominium Bd. of Mgrs.*, 30 AD3d 1057.) IV. The Appellate Division correctly refused to set aside the retainer agreements for the work done on appeal. (*King v Fox*, 7 NY3d 181.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

This appeal concerns the appropriate treatment of statutory counsel fees awarded under the New York City Human Rights Law where the contingency fee agreement does not explicitly mention statutory fees. We hold that, absent a contract term expressly providing for a different distribution, an attorney is entitled to the greater of either the contingency fee or the statutory award.

In March 2005, appellants, former NYPD Captain Lori Albunio and former NYPD Lieutenant Thomas Connors retained nonparty respondent Mary Dorman to represent them in a lawsuit against, among others, the City of New York and the NYPD, alleging violations of the New York City Human Rights Law (NYCHRL) (Administrative Code of City of NY § 8-107 [7]). Over the course of the litigation, Dorman and her clients entered into three separate retainer agreements pertaining, respectively, to Dorman's work on the trial (hereinafter, the Trial Agreement), on the appeal to the Appellate Division, and on the appeal to this Court (hereinafter, collectively, the Appellate Agreements).

The Trial Agreement provided that Dorman would receive a contingency fee equal to $33\frac{1}{3}$ "percent of the sum recovered, whether recovered by suit, settlement or otherwise." The contract went on to explain that "[s]uch percentage shall be computed on the net sum recovered after deducting taxable costs and disbursements," and that, but for certain enumerated items, "there shall be no deduction in computing such percentages." Under the fee provision of the NYCHRL, a court may, in its discretion, award reasonable counsel fees to the prevailing party in certain civil rights actions (Administrative Code of City of NY § 8-502 [f]). Nonetheless, the Trial Agreement did not expressly address the potential for statutory counsel fees or the method by which the contingency fee would be calculated in the event that the court awarded fees under the statute.

Unlike the Trial Agreement, the Appellate Agreements explicitly dealt with the distribution of statutory fees that could be awarded in conjunction with the appeals. Specifically, each Appellate Agreement provided that,

"[i]n the event Mary D. Dorman is entitled to fees as a result of the outcome of the Appeal, she may apply to the Court for such fees and will be entitled to them in their entirety. In the event [Dorman] is successful in the appeal in whole or in part, but that no fees are awarded by the Court for work done on the appeal, or the fees awarded are less than \$20,000, [the client] agrees to pay [Dorman] the sum of \$20,000 in consideration of such work or the difference between the fees awarded and \$20,000. Successful, in whole or in part shall be for anything less than dismissal of the action."

A jury ruled in appellants' favor and awarded them \$986,671 in damages¹ (*see Sorrenti v City of New York*, 17 Misc 3d 1102[A], 2007 NY Slip Op 51796[U] [Sup Ct, NY County, Aug. 16, 2007]). While the appeal was still pending, Dorman made an application in Supreme Court seeking statutory compensation for her trial work, and she was awarded \$296,826.04,² payable by defendants.³ The verdict and trial fee awards were upheld on appeal (*see Albunio v City of New York*, 67 AD3d 407 [1st Dept 2009], *affd* 16 NY3d 472 [2011]).

Thereafter, Dorman also requested fees for her appellate work, and Supreme Court awarded her \$233,965.93.⁴ The combined total of attorneys' fees awarded for trial and appellate work was therefore just over \$530,000.

After a monetary dispute arose between Dorman and her clients, Dorman commenced the instant proceeding, seeking a declaratory judgment to enforce the three retainer agreements. Dorman claimed that her one-third contingency fee should be calculated based on the total value of the statutory counsel fees for trial work plus the jury award. She argued that the Trial Agreement's reference to the "sum recovered" should be broadly construed to encompass statutory fees as well as the damage award. Under the Appellate Agreements, Dorman contended that she was additionally entitled to either \$20,000 per client, per appeal, or the statutory award, should it exceed that amount. She also asserted that any appellate statutory fees should not offset the contingency fee owed to her for trial work.

Insofar as relevant to this appeal, Supreme Court granted Dorman's motion, and the Appellate Division affirmed (101 AD3d 656 [1st Dept 2012]). The courts below determined that the Trial and Appellate Agreements were clear and unambiguous,

1. The jury awarded \$479,473 to Albunio and \$507,198 to Connors (*Sorrenti v City of New York*, 17 Misc 3d 1102[A], 2007 NY Slip Op 51796[U], *2 [Sup Ct, NY County, Aug. 16, 2007]). These amounts do not reflect accrued interest.

2. For simplicity's sake, references herein to statutory fee awards include both fees and disbursements and reflect interest only to the extent that already-accrued interest was included in the fee award at the time of judgment.

3. *Albunio v City of New York*, 2012 NY Slip Op 33566(U) (Sup Ct, NY County, May 1, 2012, Shulman, J.).

4. (*Albunio v City of New York*, 35 Misc 3d 1238[A], 2012 NY Slip Op 51037[U], *5-6 [Sup Ct, NY County, June 6, 2012]). This amount reflects Dorman's share after subtracting the \$36,820 awarded to cocounsel on the appeal to this Court.

adopting Dorman’s interpretation of the fee calculation. We granted leave to appeal (21 NY3d 852 [2013]), and now modify the Appellate Division order with regard to the Trial Agreement.

[1] The terms of the Trial Agreement do not unambiguously provide that any statutory fees are part of the “sum recovered” and therefore subject to the one-third contingency fee. The subsequent phrase, “by suit, settlement *or otherwise*” (emphasis added), might support an interpretation that “sum recovered” is broad enough to encompass a statutory award. However, in ordinary parlance, a plaintiff’s “recovery” denotes the amount payable by the defendant as compensation for the plaintiff’s injury, that is, the damages award or settlement. Moreover, the Trial Agreement does not so much as mention the possibility of statutorily awarded fees, the existence of which the average client is presumably unaware. The general rule that “equivocal contracts will be construed against the drafters” is subject to particularly rigorous enforcement in the context of attorney-client retainer agreements (*Shaw v Manufacturers Hanover Trust Co.*, 68 NY2d 172, 176 [1986]; *see also Matter of Cooperman*, 83 NY2d 465, 472 [1994] [noting that “attorney-client fee agreements are a matter of special concern to the courts and are enforceable and affected by lofty principles different from those applicable to commonplace commercial contracts”]). Indeed, “[t]he importance of an attorney’s clear agreement with a client as to the essential terms of representation cannot be overstated. The client should be fully informed of all relevant facts and the basis of the fee charges, especially in contingent fee arrangements” (*Shaw*, 68 NY2d at 176; *accord King v Fox*, 7 NY3d 181, 191 [2006]; *Jacobson v Sassower*, 66 NY2d 991, 993 [1985]). Accordingly, as a matter of public policy, courts “cast[] the burden on attorneys who have drafted the retainer agreements to show that the contracts are fair, reasonable, and fully known and understood by their clients” (*Shaw*, 68 NY2d at 176, citing, *inter alia*, *Jacobson*, 66 NY2d at 993; *Gair v Peck*, 6 NY2d 97, 106 [1959], *cert denied* 361 US 374 [1960]).

Dorman has not met that burden with regard to the Trial Agreement. Attempting to demonstrate that appellants shared her understanding of the agreement when it was executed, Dorman relies primarily on three pieces of extrinsic evidence: her affidavit, in which she describes alleged conversations with appellants regarding the Trial Agreement; a December 2009 email from Dorman to appellants; and a contingency fee agreement

appellants entered into with their prior counsel, which did mention statutory fees. This extrinsic evidence fails to establish Dorman's position. If anything, the evidence bolsters appellants' contention that Dorman did not explain her perception of the fee arrangement until long after the jury verdict.

In her affidavit, Dorman avers that after the City appealed, she asked Albunio and Connors to execute a new retainer agreement for appellate representation. During the same conversation, Dorman says they "*first discussed* how the initial judgments . . . would be distributed," explaining that any fee award would be "'added to the pot' as a total recovery subject to the two thirds/one-third distributions" (emphasis added). Dorman's affidavit further describes Connors expressing surprise at the proposed calculation. Dorman's own account thus belies her claim that the Trial Agreement was fully known and understood by her clients in 2005. Contrary to Dorman's position, appellants' failure to raise objections upon learning of her intended fee calculation does not establish their understanding of this arrangement upon execution of the Trial Agreement.

Nor does Dorman's email correspondence with appellants on December 2, 2009, reveal their previous awareness of Dorman's reading of the contract. Dorman stated in the email that the Trial Agreement entitled her to "one-third of what we recover" and that she would "credit the fees awarded to [her] to that third." This email hardly shows that Dorman intended to include the statutory fees in the net recovery for contingency fee purposes. A more natural reading of Dorman's message in fact coincides with her clients' view that any statutory award should offset the contingency fee. At best, the email is ambiguous.

Finally, Dorman relies on the differences between the Trial Agreement and a retainer agreement between appellants and their prior counsel. The latter contract, executed in 2003, specifically provided that counsel would receive the greater of the statutory award or 40% of the damages. Contrary to Dorman's contentions, the absence of a similar provision in the Trial Agreement does not establish that appellants understood that the "sum recovered" would encompass *both* the damages and any statutory award. Attorneys have an affirmative obligation to ensure that their clients fully comprehend the terms of a retainer agreement. Where, as here, the terms of the agreement are ambiguous, the lawyer's burden is considerable. It will rarely be satisfied by inference based on a contractual omission.

Having determined that the Trial Agreement entitles Dorman to a contingency fee equal to one third of the jury award, we turn to the question of how the statutory award of counsel fees should affect a contingency fee when the retainer agreement is effectively silent on the matter. This being an issue of first impression for this Court, appellants urge us to look to federal case law for guidance, noting that a number of federal courts have addressed the same issue in the context of analogous counsel fee provisions in federal statutes.

Clearly, the construction of attorney-client retainer agreements is the province of state, not federal, law (*see generally Gair, supra*; Judiciary Law § 474; *Alderman v Pan Am World Airways*, 169 F3d 99, 103 [2d Cir 1999] [“Federal courts apply state law when ruling on the interpretation of contractual attorney fee provisions” (quotation marks and citation omitted)]). However, the question before us implicates not only principles of contract interpretation, but also the policy considerations underlying the award of counsel fees to prevailing civil rights plaintiffs under the NYCHRL. Federal case law can provide useful guidance in this respect since “the attorney fee provision of the [NYCHRL] is similar to the fee provisions in the federal civil rights statutes” (*McGrath v Toys “R” Us, Inc.*, 3 NY3d 421, 426 [2004]).⁵

A majority of the federal cases on point follows the rule that, absent an explicit agreement to the contrary, statutory fees are not considered part of the total recovery for purposes of determining the contingency fee, and counsel is generally entitled to the greater of the two. In *Lowe v Pate Stevedoring Co.* (595 F2d 256 [5th Cir 1979]), the attorney sought a 45% lien on both the damage award and the statutory fee pursuant to a retainer agreement providing that counsel would receive 45% of “any sum ‘recovered by suit’ ” (*id.* at 257). The Fifth Circuit held that the lawyer’s compensation was limited to the statutory award, noting that the retainer agreement did not specifically provide for the recovery of a “fee on a fee” (*id.*).

5. The Court is mindful that the New York City Council’s 2005 amendment to the NYCHRL was, in part, an effort to emphasize the broader remedial scope of the NYCHRL in comparison with its state and federal counterparts and, therefore, to curtail courts’ reliance on case law interpreting textually analogous state and federal statutes (*see Comm on General Welfare, Council Rep of Governmental Affairs Div* [Aug. 17, 2005]). However, to the extent the 2005 amendment addressed the NYCHRL attorney fee provision, the legislative history confirms that the amendment has no bearing on the specific issue raised in this appeal.

Absent such a provision, the court determined that a “successful plaintiff should not have his damage recovery unduly diminished by his making an additional payment to an attorney compensated by the fee awarded by the court” (*id.* at 258).

In *Bates v Kuguenko* (100 F3d 961 [9th Cir 1996] [table; text at 1996 WL 654449, *1, 1996 US App LEXIS 29385, *1 (1996)]), the contract at issue called for the attorney to receive 40% of the “damages recovered,” and counsel argued that “damages” should include the statutory award. The Ninth Circuit rejected this argument, noting the ease with which the lawyer could have specified in the contract that the fee award should be “included ‘in the pot’ divided by counsel and client” (1996 WL 654449, *1, 1996 US App LEXIS 29385, *4). The court held that, “[u]nless otherwise agreed to . . . fee awards are deducted from, rather than added to, the sum divided in the determination of the contingency fee” (*id.*). *Bates* further justified this approach as “prevent[ing] ‘windfall recoveries’ by the attorneys of civil rights plaintiffs” (1996 WL 654449, *1, 1996 US App LEXIS 29385, *3, citing *Venegas v Skaggs*, 867 F2d 527, 534 and n 7 [9th Cir 1989], *affd sub nom. Venegas v Mitchell*, 495 US 82 [1990]; see also *Ross v Douglas County, Neb.*, 244 F3d 620, 621-622 [8th Cir 2001]; *Lewis v Coughlin*, 801 F2d 570, 576 [2d Cir 1986]; *Daly v Hill*, 790 F2d 1071, 1085 [4th Cir 1986]; *Sullivan v Crown Paper Bd. Co., Inc.*, 719 F2d 667, 669-670 [3d Cir 1983]; *Wheatley v Ford*, 679 F2d 1037, 1040-1041 [2d Cir 1982]; *Sargeant v Sharp*, 579 F2d 645, 649 [1st Cir 1978]).

Several state high courts have followed a similar rule (see *Cambridge Trust Co. v Hanify & King Professional Corp.*, 430 Mass 472, 480, 721 NE2d 1, 7 [1999] [“The better approach . . . simply permits the attorney to recover the amount set by the contingent fee agreement or the court-awarded fees, whichever is greater” (citation omitted)]; *State ex rel. Oklahoma Bar Assn. v Weeks*, 969 P2d 347, 356, 1998 OK 83 [1998], *cert denied* 525 US 1042 [1998] [“ ‘(i)n general, the cases explicitly or implicitly hold that the statutory award of attorney fees should not be treated as an amount in addition to that received or to be received by the attorney under a contingent fee contract’ ”], quoting Debra T. Landis, *Effect of Contingent Fee Contract on Fee Award Authorized by Federal Statute*, 76 ALR Fed 347, 352 [1986]; *Luna v Gillingham*, 57 Wash App 574, 581, 789 P2d 801, 805 [1990] [holding that “because (the attorney) failed to provide for allocation of court-awarded attorneys’ fees in the contingent fee agreement . . . the court-awarded attorneys’ fees

should apply as a credit to the plaintiffs in computing . . . (the) contingent fee”]; *Chalmers v Oregon Auto. Ins. Co.*, 263 Or 449, 454-455, 502 P2d 1378, 1381 [1972] [same]).

[2] Thus, both federal precedent and instructive decisions from our sister states evince that,

“absent a contractual provision to the contrary, the trend is to calculate the contingency fee based on the amount of the judgment exclusive of the fee award, and then credit the fee award to the client as an offset against the contingency fee owed. Under this approach, the attorney should be entitled to receive either the contingent fee calculated on the amount of the damage recovery exclusive of any court-awarded fees, or the amount of the court-awarded fee, whichever is greater” (1 Robert L. Rossi, *Attorneys’ Fees* § 2:12 at 37-38 [3d ed 2013]).

In the context of the present case, concerning construction of retainer agreements in conjunction with attorneys’ fees awarded pursuant to the NYCHRL, such an approach comports with our precedent holding that ambiguous fee agreements should be interpreted against the drafting attorney (*see King*, 7 NY3d at 191; *Shaw*, 68 NY2d at 176; *Jacobson*, 66 NY2d at 993).

In addition, permitting counsel to collect a statutory award that exceeds the amount due under a contingency fee agreement advances the “uniquely broad and remedial purposes” of the NYCHRL (Administrative Code of City of NY § 8-130) by incentivizing the private bar to represent civil rights plaintiffs even where any damage award is likely to be insubstantial (*see McGrath*, 3 NY3d at 428; Administrative Code of City of NY § 8-502, as amended by Local Law No. 85 [2005] of City of NY). In this regard, freedom of contract is also respected since, in the event that the statutory award is less than the contingency fee, deducting the court-awarded fees from the sum owed under the contract ensures that the attorney receives, and the client pays, no more or less than they bargained for (*see Venegas*, 495 US at 90).

On the facts before us, we need not decide whether a retainer agreement entitling an attorney to court-ordered counsel fees in addition to the full contingency fee would be enforceable. We would note, however, that such an arrangement would be subject to requisite scrutiny under applicable laws and rules controlling the reasonableness of attorney compensation (*see e.g.* Judiciary

Law § 474; Rules of Professional Conduct [22 NYCRR 1200.00] rule 1.5; *see also Cambridge Trust Co.*, 430 Mass at 480, 721 NE2d at 7; *State ex rel. Oklahoma Bar Assn.*, 969 P2d at 357).

Here, the Trial Agreement does not address the treatment of statutory counsel fees so that Dorman is entitled to the more generous alternative of either one third of the jury verdict or the statutory award for her trial work. This result reflects the presumption that attorneys are eminently capable of drafting unambiguous contingency fee contracts and ensuring that their clients understand what they will be charged.

[3] Turning to the Appellate Agreements, those contracts stand in direct contrast to the Trial Agreement by clearly and unambiguously dealing with the relationship between contractual fees and statutory awards. If successful on appeal, each client would owe Dorman \$20,000. In the event that the court awarded statutory fees for appellate work in excess of that amount, Dorman was entitled to those fees “in their entirety,” and the clients would owe her nothing. On the other hand, if the court-ordered fees fell short of the \$20,000 mark, the clients would have to make up the difference.

Albunio and Connors do not claim that the Appellate Agreements are ambiguous. Rather, they argue that the contracts are unenforceable because an appeal is considered “not a separate action, but a continuation of one” (*Suzuki v Yuen*, 678 F2d 761, 763 [9th Cir 1982]). Therefore, appellants claim, the statutory awards for both trial work *and* the appeals should offset the contingency fee owed to Dorman under the Trial Agreement.

However, the cases relied upon by appellants characterize an appeal as a continuation of the underlying action in the context of calculating statutory fees for appellate work (*see e.g. Suzuki*, 678 F2d at 763; *Perkins v Standard Oil Co. of Cal.*, 474 F2d 549, 552-553 [9th Cir 1973]). Because preparing an appeal logically builds upon earlier efforts, fees awarded for appellate work are generally less than those allocated for the trial phase (*see id.*). This rule of thumb is wholly inapposite to the question of whether attorneys and clients can negotiate a different retainer agreement for work done on appeal. Here, the Trial Agreement did not obligate Dorman to represent Albunio and Connors on appeal and she was thus free to negotiate a different fee arrangement.

Appellants further contend that they were induced under duress to agree to the terms of the Appellate Agreements, claiming

that Dorman misrepresented the likelihood of obtaining statutory counsel fees for appellate work and “demanded” that they accept her terms of payment. Neither argument is supported by the record.

First, nothing prevented appellants from rejecting Dorman’s offer and retaining new counsel to represent them on appeal, as litigants frequently do. Furthermore, that Dorman indicated to appellants the time-sensitive nature of selecting appellate counsel is not tantamount to duress, especially since she proposed the terms of the new agreement with sufficient time to retain substitute counsel before the brief on appeal was due. Finally, an award of attorneys’ fees under the NYCHRL is always discretionary, be it for trial or appellate work (*see* Administrative Code of City of NY § 8-502 [f] [“the court, in its discretion, may award the prevailing party costs and reasonable attorney’s fees”]). It is therefore not unreasonable that Dorman sought a guarantee of minimum payment for her appellate work in the event that the appeals were successful and the statutory award minimal. Appellants have failed to present grounds on which the Appellate Agreements should be set aside.

Therefore, in light of their unequivocal terms, the Appellate Agreements should be enforced as written. Because the statutory appellate fees exceeded the contracted-for minimum of \$20,000 per appellant, per appeal, Dorman is entitled to receive those court-ordered fees in their entirety. As for compensation owed to Dorman for her representation at trial, she is entitled to collect either one third of the jury award, or the statutory trial fees, whichever is greater.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be modified, with costs to appellants, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Judges GRAFFEO, READ, SMITH, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order, insofar as appealed from, modified, with costs to appellants, and case remitted to Supreme Court, New York County, for further proceedings in accordance with the opinion herein.

[12 NE3d 429, 989 NYS2d 431]

In the Matter of DAVID KASLOW, Respondent, v CITY OF NEW YORK et al., Appellants.

Argued February 11, 2014; decided April 3, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 16, 2013. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (David B. Vaughan, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) granted the petition and (2) directed respondent New York City Employees' Retirement System to recalculate petitioner's pension to include his service with the New York City Department of Environmental Protection.

Matter of Kaslow v City of New York, 102 AD3d 785, reversed.

HEADNOTE

Civil Service — Retirement and Pension Benefits — Calculation of Pension Benefit for Correction Officer in Tier 3 CO-20 Retirement Plan — Meaning of “Credited Service” under Retirement and Social Security Law § 504-a (b) (4)

Respondent New York City Employees' Retirement System (NYCERS) properly did not consider the previous civilian service of petitioner, a retired correction officer with the New York City Department of Correction (DOC) and member of the Tier 3 CO-20 retirement plan established by Retirement and Social Security Law § 504-a and applicable to members who became correction officers after the plan's start date, when calculating petitioner's pension benefit. NYCERS' interpretation of the meaning of “credited service” in section 504-a (b) (4) as reflecting the legislature's intention to apply Tier 2 service eligibility rules, in which “credited service” has been interpreted to be limited to uniformed service only, to those Tier 3 CO-20 correction officers first employed at DOC after December 19, 1990 is entitled to deference. Petitioner's pension was defined in its entirety by Retirement and Social Security Law § 504-a (c) (2), which sets forth the benefit calculation formula for the Tier 3 CO-20 plan without including a component to reflect any previous civilian service, and does not incorporate the benefit calculation formula in Administrative Code of the City of New York § 13-155 (a) (3) (c), which permits consideration of non-uniformed service in the calculation of a Tier 2 correction officer's pension. NYCERS' explanation of how section 504-a (b) (4) applies and fits into the overall statutory design was coherent and reasonable. By contrast, petitioner's pick-and-choose approach—claiming a benefit for previous non-uniformed service under section 13-155 (a) (3) (c) but electing to apply the more advantageous formula set forth in section 504-a (c) (2) to compute the amount owed him for such additional service—would maximize petitioner's pension but not create a harmonious whole.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Pensions §§ 125, 1098, 1137, 1142.

CARMODY-WAIT 2d, Proceedings Against a Body or Officer
§§ 145:1026, 145:1035, 145:1047, 145:1109, 145:1123,
145:1126.

McKINNEY'S, New York City Administrative Code § 13-155
(a) (3) (c); Retirement and Social Security Law §§ 504-a
(b) (4); (c) (2).

NY JUR 2d, Pensions and Retirement System §§ 105, 111,
123-124, 171, 297, 336.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Pensions and Retirement;
Prison Guards or Officials; Public Officers and Employees.

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POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Keith M. Snow* and *Paul T. Rephen* of counsel), for appellants. The lower courts erred in directing the New York City Employees' Retirement System to award an additional pension benefit calculation for prior non-correction city service under the Tier 3 CO-20 plan. (*Matter of Wooley v New York State Dept. of Correctional Servs.*, 15 NY3d 275; *Matter of Suffolk Regional Off-Track Betting Corp. v New York State Racing & Wagering Bd.*, 11 NY3d 559; *Morales v County of Nassau*, 94 NY2d 218; *Matter of Wertheim v New York City Teachers' Retirement Sys.*, 91 AD2d 514; *Matter of Roberts v Murphy*, 2 NY3d 641; *Benesowitz v Metropolitan Life Ins. Co.*, 8 NY3d 661; *Matter of Guido v New York State Teachers' Retirement Sys.*, 94 NY2d 64.)

Koehler & Isaacs LLP, New York City (*Mercedes Maldonado* of counsel), for respondent. I. The standard of review is de novo; the New York City Employees' Retirement System's interpretation of credited service under Retirement and Social Security Law § 504-a (b) (4) is entitled to no deference. (*Matter of Howard v Wyman*, 28 NY2d 434; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of McGarrigle v City of New York*, 23 AD3d

196; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669.) II. Retirement and Social Security Law § 504-a (b) (4), by way of plain language and legislative intent, entitles David Kaslow to the same application of credited service as a Tier 2 plan member and therefore entitles Mr. Kaslow to the same civilian service credit that applies to Tier 2. (*Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *Matter of Schriro v New York State Teachers' Retirement Bd.*, 63 AD2d 751; *Matter of Orens v Novello*, 99 NY2d 180; *Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205.) III. Legislative history also supports that the Tier 3 CO-20 plan did not forfeit credit for civilian service. IV. By forfeiting credit for civilian time, the New York City Employees' Retirement System has diminished David Kaslow's pension in violation of article V, § 7 of the New York Constitution. (*Ballentine v Koch*, 89 NY2d 51; *Matter of Guzman v New York City Employees' Retirement Sys.*, 45 NY2d 186; *Kranker v Levitt*, 30 NY2d 574.)

OPINION OF THE COURT

READ, J.

Petitioner David Kaslow (Kaslow), a member of the Tier 3 CO-20 retirement plan established by Retirement and Social Security Law § 504-a (hereafter, the Tier 3 CO-20 plan), retired from his position as a correction officer with the New York City Department of Correction (DOC) on July 2, 2009. For the reasons that follow, we conclude that Kaslow's pension is defined in its entirety by Retirement and Social Security Law § 504-a (c) (2). As a result, the New York City Employees' Retirement System (NYCERS) properly did not consider Kaslow's previous civilian service with the New York City Department of Environmental Protection (DEP) when calculating his pension benefit.

I

Kaslow worked at DEP as a storekeeper from September 1987 until April 1991. While employed at DEP, he was a Tier 4 NYCERS member. On April 25, 1991, however, Kaslow was appointed a correction officer at DOC. Because he was first employed at DOC after December 19, 1990, when the statute establishing the Tier 3 CO-20 plan took effect, Kaslow was required to become a plan participant as of the date of his appointment (*see* Retirement and Social Security Law § 504-a [b]

[4];¹ L 1990, ch 936, § 6). The Tier 3 CO-20 plan provides for a half-pay pension after 20 years of uniformed service and, for correctional service beyond 20 and up to a maximum of 30 years, an additional benefit of one sixtieth of final average salary per year of service (*see* Retirement and Social Security Law § 504-a [c] [2]).²

In 2001, Kaslow bought back service credit for three years of military service (*see* Retirement and Social Security Law § 1000 [allowing members of the state’s public retirement systems to purchase up to three years of service credit for military service rendered during periods of military conflict]). As a result, Kaslow’s earliest retirement date was in 2008 and, beginning in 2006, he periodically sought pension benefit estimates from

1. Paragraph (4) of subdivision (b) (entitled “Participation in twenty-year retirement program”) of section 504-a states as follows:

“4. Each New York city correction member . . . who becomes subject to the provisions of this article [14] after the starting date of the twenty-year retirement program [i.e., December 19, 1990] . . . shall become a participant in the twenty-year retirement program on the date he or she becomes such a correction member. Notwithstanding any other provision of law to the contrary, a New York city correction officer . . . who becomes a participant in the twenty-year retirement program pursuant to this paragraph by becoming subject to the provisions of this article [14] after the starting date of the twenty-year retirement program shall have the term ‘credited service’ applied to him or her in the same manner as such term would be applied to a similarly situated correction officer . . . who is governed by article eleven of this chapter, and who is a participant in the twenty-year improved benefit retirement program pursuant to section four hundred forty-five-a of such article eleven.”

2. This provision states that

“2. (i) Notwithstanding any other provision of law to the contrary, the early service retirement benefit for participants in the twenty-year retirement program who retire pursuant to [section 504-a (c) (1)] shall be a pension consisting of:

“(A) an amount, on account of twenty years of credited service, equal to one-half of his or her final average salary; plus

“(B) an amount for each additional year of credited service, or fraction thereof, beyond such twenty years of credited service equal to one-sixtieth of the final average salary for such credited service during the period from the completion of twenty years of credited service to the date of retirement.

“(ii) The maximum pension computed without optional modification payable pursuant to subparagraph (i) of this paragraph shall equal that payable upon completion of thirty years of service” (Retirement and Social Security Law § 504-a [c] [2]).

NYCERS. Kaslow repeatedly inquired as to what pension benefit he would receive for his three-plus years of civilian service at DEP, and different NYCERS personnel just as repeatedly advised him that this service did not factor into the calculation of his pension.

On December 8, 2008, an attorney at the law firm that represents Kaslow's union wrote to NYCERS, stating that her "inquiry pertain[ed] to how NYCERS [would] credit[] . . . the [time] that [Kaslow] worked for the DEP" when determining his pension benefit. She noted that Retirement and Social Security Law § 504-a (b) (4) "entitled [Kaslow] to have the term 'credited service' applied to him in the same manner as it would be applied to" a correction officer in Tier 2 who opted into the CO-20 retirement plan established by Retirement and Social Security Law § 445-a (hereafter, the Tier 2 CO-20 plan). The Tier 2 CO-20 plan, like the Tier 3 CO-20 plan, went into effect on December 19, 1990. The attorney took the position that since the benefit formula for these Tier 2 correction officers counts civilian service with the City of New York (the City or City) pursuant to New York City Administrative Code § 13-155 (a) (3) (c),³ Kaslow was likewise entitled to a pension benefit for his service at DEP.

By letter dated March 25, 2009, NYCERS' general counsel responded that the "look back" to section 13-155 of the Administrative Code was only for purposes of defining service as "allowable service" in the City's uniformed correction force, which would include service in DOC, or in, for example, the Police or Fire or Sanitation Departments immediately preceding service in DOC. She explained that Retirement and Social Security Law § 504-a (c) (2) governed the computation of Kaslow's pension benefit under the Tier 3 CO-20 plan, and this provision does not take civilian government employment into account.

3. Section 13-155 is entitled "Optional retirement after twenty or twenty-five years of allowable service rendered in the uniformed correction force," and applies to correction officers in Tiers 1 and 2 of NYCERS. Section 13-155 (a) (3) (c) calls for a pension after 20 years of allowable service to include, among other components,

"seventy-five per cent of one-sixtieth of [the correction officer's] final compensation multiplied by: (1) the number of years of city-service after October first, nineteen hundred fifty-one, acquired other than in the uniformed correction force, and (2) the number of years of service in the uniformed correction force credited to [the correction officer] in excess of twenty" (Administrative Code §§ 13-155 [a] [3] [c]; 13-101 [3]).

In June 2009, Kaslow applied for retirement from DOC to take effect on July 2, 2009. On November 12, 2009, NYCERS informed Kaslow that his retirement had been approved, and that he would receive a total annual pension benefit of \$54,640.19 (\$4,553.34 per month). Meanwhile, in October 2009 Kaslow commenced this CPLR article 78 proceeding against the City and NYCERS. He asked Supreme Court to declare unlawful NYCERS' refusal to credit his DEP service "at the rate of 75% of 1/60th of his final average salary per year of DEP service" (*cf.* Administrative Code § 13-155 [a] [3] [c]);⁴ to direct NYCERS to recalculate his pension to include his DEP service; and to enjoin NYCERS from refusing to grant service credit "at the rate of 75% of 1/60th of final average salary per year of civilian service." In a short-form order dated April 6, 2011, Supreme Court granted Kaslow's petition "in its entirety," and directed NYCERS to "recalculate [Kaslow's] pension to include his DEP service." The City and NYCERS appealed.

In a decision and order dated January 16, 2013, the Appellate Division affirmed, concluding that NYCERS' interpretation of the term "credited service" in section 504-a of the Retirement and Social Security Law was "irrational, unreasonable, and inconsistent with the other applicable statutes governing the retirement benefits of officers employed with the DOC" (102 AD3d 785, 786 [2d Dept 2013], citing Retirement and Social Security Law §§ 504-a [b], [c]; 445-a; Administrative Code § 13-155 [a] [3] [c]). Thus, the court continued, "for purposes of calculating his retirement benefits, [Kaslow] was entitled to have his credited service include his civilian service" with the City (*id.*). We subsequently granted the City and NYCERS leave to appeal (21 NY3d 854 [2013]), and now reverse.

II

NYCERS is the public employee retirement system responsible for administering the retirement programs for employees of the City and various City-related participating employers (e.g., the City University of New York) (*see generally* L 1920, ch 427).

4. "Final average salary," a three-year average, is not the same as "final compensation," the salary base for computation of benefits specified by Administrative Code § 13-155 (a) (3) (c). As previously observed, this provision applies to Tier 1 and 2 correction officers; however, article 11 of the Retirement and Social Security Law, which places limitations on section 13-155 benefits for Tier 2 correction officers, specifies the use of final average salary as the salary base for determining Tier 2 benefits (*see* Retirement and Social Security Law § 443 [a], [d], [e]; Administrative Code § 13-638.4).

City employees become members of NYCERS, which manages the system's invested funds and determines and pays out benefits to retirees according to requirements established by state and city law. In general, a member's retirement benefits vary by tier and plan, which are determined by date of membership and job title, respectively.

The legislature adopted the Tier 2 CO-20 and Tier 3 CO-20 plans to bring city correction officers below the rank of captain into rough parity with other uniformed city employees (in particular, police and firefighters), who already enjoyed a 20-year half-pay retirement plan (*see* Sponsors' Mem, Bill Jacket, L 1990, ch 936 at 17). This pension improvement was to be paid for by increased employee contributions (*id.*). Prior to chapter 936's enactment, Tier 2 and 3 correction officers were eligible to retire before the normal retirement age without benefit reduction, but only after 25 years of service. The eligibility requirements and benefit calculations for these plans differed.

Tier 2 correction officers⁵ were entitled to an unreduced pension upon completion of 25 years of uniformed correction service (*see* Administrative Code § 13-155 [b] [a correction member may elect "to contribute on the basis of a minimum retirement period of twenty-five years of *allowable service rendered in such correction force*" (emphasis added)]). That is, NYCERS only credited service in the uniformed force of DOC or in another uniformed force (*e.g.* New York City Housing Police, Transit Police, Department of Sanitation, Police Department or Fire Department) immediately prior to the employee's appointment at DOC.⁶ NYCERS *excluded* non-uniformed state or city public service (if any) when determining a Tier 2 correction officer's eligibility for 25-year early service retirement. As noted earlier, though, such service would figure into the calculation of the Tier 2 correction officer's pension benefit (*see supra* at 82 n 3).

By contrast, NYCERS credited service with both uniformed and non-uniformed state and city employers when determining

5. Correction officers who joined NYCERS on or after July 1, 1973 and before July 27, 1976 became Tier 2 members. Tier 2 members of NYCERS are subject to the provisions of article 11 of the Retirement and Social Security Law.

6. As this case illustrates, NYCERS also considers certain military service to be allowable correction service.

the eligibility of Tier 3 correction officers⁷ for 25-year early service retirement. Indeed, section 501 (3) of the Retirement and Social Security Law defines “[c]redited service” for purposes of article 14 (Tier 3) to mean

“all service which has been credited to a member pursuant to section [513] or which was credited to such member in a public retirement system of the state before such member became subject to this article and which is allowable as previous service pursuant to section [513].”

Retirement and Social Security Law § 513, entitled “Credit for service,” generally provides in subdivision (b) for credit for most public service rendered in the state or City.⁸ The 25-year early service retirement benefit for Tier 3 correction officers is 50% of final average salary.⁹

It was against this backdrop that the legislature in chapter 936 created three new 20-year early service retirement plans for correction officers below the rank of captain: the “optional” Tier 2 CO-20 plan for incumbent Tier 2 correction officers who

7. Correction officers who joined NYCERS on or after July 27, 1976 became Tier 3 members eligible for the 25-year service retirement plan. This option was no longer available, however, once the Tier 3 CO-20 plan became effective on December 19, 1990. Tier 3 members of NYCERS are subject to the provisions of article 14 of the Retirement and Social Security Law.

8. This provision states that

“[a] member shall be eligible to obtain retirement credit hereunder for previous service with a public employer if retirement credit had previously been granted for such service or if such service which would have been creditable in one of the public retirement systems of the state, . . . at the time such service was rendered, if the individual had been a member of such retirement system and the member has rendered a minimum of two years of credited service after July [1, 1976] or after last rejoining a public retirement system, if later; provided, however, retirement credit may be granted for service which predates the date of entry into the retirement system if such service is otherwise creditable and was rendered by an employee of a public employer during which employment he was ineligible to join a public retirement system provided that such public employer was participating in a public retirement system of the state at the time of such employment, or is so participating at the time that credit for such previous service is being sought” (Retirement and Social Security Law § 513 [b]).

9. Specifically, these Tier 3 correction officers are entitled to a pension “equal to one-fiftieth of final average salary times years of credited service at the completion of twenty-five years of service, but not in excess of fifty percent of final average salary” (*see* Retirement and Social Security Law § 504 [d]; *see also* L 1982, ch 726, § 2; L 1990, ch 936, § 5).

elected to participate (*see* Retirement and Social Security Law § 445-a [b] [2]); the Tier 3 CO-20 plan for incumbent Tier 3 correction officers and anyone who was subject to article 14 prior to December 19, 1990 and subsequently became employed as a correction officer, also an elective program (*see* Retirement and Social Security Law § 504-a [b] [1], [2]); and the Tier 3 CO-20 plan for correction officers who first became subject to the provisions of article 14 after December 19, 1990, who were mandated to join (*see* Retirement and Social Security Law § 504-a [b] [4]).¹⁰ The kind of service that fulfills the requirement for 20 years of “credited service” varies by tier and, within Tier 3, by the date when the correction officer first became a Tier 3 employee.

As noted earlier, NYCERS has always interpreted “credited service” for Tier 1 and 2 correction officers to be limited to “allowable correction service”—i.e, uniformed service only. And NYCERS has also always interpreted “credited service” for Tier 3 correction officers, as directed in Retirement and Social Security Law §§ 501 (3) and 513, to include both uniformed and non-uniformed service with the state and City. Chapter 936 does not change this service-crediting distinction between Tiers 2 and 3 *except* with respect to those correction officers who, like Kaslow, first became subject to article 14 after December 19, 1990. For these Tier 3 employees,

“the term ‘credited service’ [shall be] applied to him or her in the same manner as such term would be applied to a similarly situated correction officer . . . who is governed by article eleven of this chapter, and who is a participant in the twenty-year improved benefit retirement program pursuant to section four hundred forty-five-a of such article eleven” (Retirement and Social Security Law § 504-a [b] [4]).

Thus, NYCERS argues, for post-December 19, 1990 Tier 3 CO-20 plan members, unlike the other participants in Tier 3

10. As of October 19, 2004, newly employed Tier 3 correction officers below the rank of captain and certain other correction force members were mandated to join the Tier 3 CO-20 plan established by Retirement and Social Security Law § 504-d in lieu of the section 504-a plan (*see* L 2004, ch 622, §§ 2, 3, 11, 16). The eligibility criteria and retirement benefit for these two plans are essentially the same (*compare* Retirement and Social Security Law § 504-a [b] [4]; [c] *with* Retirement and Social Security Law § 504-d [b] [1]; [c]). The legislature, however, increased the additional member contributions payable by participants from 3.61% to 4.61% (*compare* Retirement and Social Security Law § 504-a [e] [1] [ii] *with* Retirement and Social Security Law § 504-d [e] [1]).

CO-20 plans established by chapter 936, only allowable correction service (i.e., uniformed service) counts towards eligibility for 20-year early service retirement because this is the only kind of service that has ever been considered “credited service” for Tier 2 correction members, as the legislature knew.¹¹ This limitation on eligibility makes sense because, insofar as the 20-year half-pay retirement benefit was to be funded by plan participants, the legislature would naturally want to make new Tier 3 correction officers pay the additional member contributions for the maximum 20 years.

Kaslow does not dispute that “credited service” means “allowable correction service” (i.e., uniformed service) for purposes of his benefit eligibility. Rather, he interprets the reference to “credited service” in section 504-a (b) (4) more broadly so as also to encompass and incorporate the Tier 2 benefit calculation formula in section 13-155 (a) (3) of the Administrative Code, as modified by article 11. Thus, he reasons, since a Tier 2 correction officer’s 20-year service pension includes a calculation for non-uniformed government service, his pension should, too.

NYCERS responds that section 504-a (c) (2) specifies the entire pension benefit for participants in the Tier 3 CO-20 plan, and this provision does not include a component to reflect any previous civilian government service; that “credited service” is a term of art referring to the kind of service that counts towards pension eligibility; and that, as a result, the reference to “credited service” in section 504-a (b) (4) simply reflects the legislature’s intention to apply Tier 2 service eligibility rules to employees covered by that provision. Further, NYCERS adds, section 13-155 (a) of the Administrative Code, which Kaslow relies on, specifies that credited service is “*allowable service rendered in the uniformed correction force*” (emphasis added), and the pension formula in section 13-155 (a) (3) uses the word “credited” with reference to a correction officer’s uniformed service, and the word “acquired”—not “credited”—with respect to City-service (*see* Administrative Code § 13-155 [a] [3] [a]-[c]).

NYCERS’ interpretation of the meaning of “credited service” in the context of section 504-a (b) (4) and the Tier 3 CO-20 program enjoys a degree of deference (*see Matter of Suffolk*

11. The legislature did not define the term “credited service” in section 445-a or elsewhere in article 11.

Regional Off-Track Betting Corp. v New York State Racing & Wagering Bd., 11 NY3d 559, 567 [2008] [“Even if no deference is owed to an agency’s reading of a statute, a court can nevertheless defer to an agency’s definition of a term of art contained within a statute”]). What constitutes “credited service” obviously differs from plan to plan, and NYCERS is the expert agency vested by the legislature with the authority to manage the City’s complex public employee retirement plans (see *Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Envtl. Conservation*, 18 NY3d 289, 296 [2011] [“Courts regularly defer to the governmental agency charged with the responsibility for administration of (a) statute in those cases where interpretation or application involves knowledge and understanding of underlying operational practices or entails an evaluation of factual data and inferences to be drawn therefrom” (internal quotation marks and citations omitted)]).

Moreover, NYCERS’ explanation of how section 504-a (b) (4) applies and fits into the overall statutory design is coherent and reasonable. By contrast, Kaslow’s interpretation conflicts with Retirement and Social Security Law § 504-a (c) (2), which provides, as a pension component, for an amount equal to one sixtieth of the final average salary for uniformed DOC service beyond 20 years (see Retirement and Social Security Law § 504-a [c] [2] [i] [B]). But section 13-155 (a) (3) (c) of the Administrative Code, as modified by article 11, calls for an amount equal to 75% of one sixtieth of final average salary multiplied by the number of years of such post-20 year DOC service plus the number of years of previous non-uniformed service. Kaslow’s proposed pick-and-choose approach—claiming a benefit for non-uniformed service under section 13-155 (a) (3) (c) but electing to apply the higher fraction in section 504-a (c) (2) (i) (B) to compute the amount owed him for additional correction service—would maximize his pension but does not create a harmonious whole.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition dismissed.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order reversed, with costs, and petition dismissed.

[12 NE3d 416, 989 NYS2d 418]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v REYNALDO PEREZ, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v IVAN CALAFF, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ALEXANDER DOCKERY, Also Known as JOHN HARRIS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TEOFILO LOPEZ, Also Known as GARCIA LOPEZ, Also Known as ISIDORO GARCIA, Appellant.

Argued February 20, 2014; decided April 3, 2014

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 5, 2013. The Appellate Division (1) denied defendant's motion for an enlargement of time to perfect his appeal, and (2) dismissed his appeal from a judgment of the Supreme Court, Bronx County (David Stadtmauer, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and manslaughter in the first degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 19, 2013. The Appellate Division dismissed defendant's appeal from a judgment of the Supreme Court, New York County (Harold J. Rothwax, J.), which had convicted defendant, upon his plea of guilty, of attempted burglary in the second degree.

APPEAL, in the third above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 21, 2012. The Appellate Division (1) granted the People's motion for an order dismissing the defendant's appeal from a judgment of the Supreme Court, New York County (Bud G. Goodman, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree and robbery in the second degree (two counts), and (2) dismissed the appeal.

APPEAL, in the fourth above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of

the Appellate Division of the Supreme Court in the First Judicial Department, entered October 25, 2012. The Appellate Division (1) granted the People's motion for an order dismissing the defendant's appeal from a judgment of the Supreme Court, New York County (Marcy Kahn, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree (two counts) and robbery in the second degree (two counts), and (2) dismissed the appeal.

People v Perez, 2013 NY Slip Op 63657(U), affirmed.

People v Calaff, 103 AD3d 500, affirmed.

People v Dockery, 2012 NY Slip Op 76557(U), affirmed.

People v Lopez, 2012 NY Slip Op 88716(U), reversed.

HEADNOTES

Crimes — Appeal — Dismissal of Appeal — Constitutional Right to Fair Appellate Procedure

1. The dismissal of defendant's appeal following a 19-year delay between the filing of defendant's notice of appeal by his sentencing attorney and the motion by his new counsel to be appointed as appellate counsel did not violate defendant's constitutional right to a fair appellate process. Defendant was given clear notice of how to obtain a lawyer at state expense, but failed year after year to ask for one, and, accordingly, suffered no constitutional deprivation when none was appointed.

Crimes — Appeal — Dismissal of Appeal — Constitutional Right to Fair Appellate Procedure

2. The dismissal of defendant's appeal following a 22-year delay between the filing of defendant's notice of appeal by his trial and sentencing attorney and defendant's pro se motion in the Appellate Division for poor person relief on the appeal did not violate his constitutional right to a fair appellate process. Defendant was given clear notice of how to obtain a lawyer at state expense, but failed year after year to ask for one, and, accordingly, suffered no constitutional deprivation when none was appointed. Although defendant was only 16 when he first failed to request the assignment of counsel to represent him on appeal, the failure continued until defendant was 38. Even assuming that youthful defendants are constitutionally entitled to some relaxation of the rule that defendants who want to obtain appellate counsel must follow the simple instructions given them for requesting that relief, they are not entitled to 22 years of indulgence. Defendant was an adult during the great majority of the time in which he failed to seek counsel to pursue his appeal, and his situation was not constitutionally distinct from that of other adults. The State did nothing to prevent defendant from pursuing his appeal until the People moved to dismiss it in response to defendant's application for poor person relief.

Crimes — Appeal — Dismissal of Appeal — Constitutional Right to Fair Appellate Procedure

3. The dismissal of defendant's appeal following a 16-year delay between the filing of defendant's notice of appeal and the motion for an extension of time to perfect the appeal filed by the counsel defendant retained nine years after he was notified that his first attorney had been admonished for neglecting his

appeal, did not violate defendant's constitutional right to a fair appellate process. The long delay between the filing of the notice of appeal and the motion for an extension of time could not be attributed solely to the first attorney's ineffectiveness. Defendant knew at least by the time his first attorney was admonished by the Departmental Disciplinary Committee that his lawyer was neglecting his case, and he could have obtained another lawyer at any time in the following nine years before he retained new counsel. His new counsel said in an affirmation that defendant was "without funds to retain another attorney," but defendant offered no explanation of why he failed to seek assigned counsel. It is not unconstitutional to require a defendant to take some minimal initiative to assure adequate representation on appeal.

Crimes — Appeal — Dismissal of Appeal — Abuse of Discretion

4. The Appellate Division did not abuse its discretion when it dismissed defendant's appeal following a 19-year delay between the filing of defendant's notice of appeal by his sentencing attorney and the motion by his new counsel to be appointed as appellate counsel. The delay was extremely long, and defendant did not have a good excuse for it. Having served his original sentence, defendant continued to ignore his pending appeal until after he was adjudicated a predicate felon—and then sought counsel to challenge the long-ago conviction. The facts permitted an inference that defendant did not simply neglect his appellate rights, but consciously chose not to exercise them until he acquired a reason to do so, particularly since his earlier conviction was based on his guilty plea. Even assuming that the People could show no specific prejudice from the delay, the Appellate Division was not required as a matter of law to permit the appeal to proceed.

Crimes — Appeal — Dismissal of Appeal — Abuse of Discretion

5. The Appellate Division did not abuse its discretion when it dismissed defendant's appeal following a 22-year delay between the filing of defendant's notice of appeal by his trial and sentencing attorney and defendant's pro se motion in the Appellate Division for poor person relief on the appeal. The delay was extremely long, and defendant did not have a good excuse for it. Having served his original sentence, defendant continued to ignore his pending appeal until after he was adjudicated a predicate felon—and then sought counsel to challenge the long-ago conviction. The facts permitted an inference that defendant did not simply neglect his appellate rights, but consciously chose not to exercise them until he acquired a reason to do so. Even assuming that the People could show no specific prejudice from the delay, the Appellate Division was not required as a matter of law to permit the appeal to proceed.

Crimes — Appeal — Dismissal of Appeal — Abuse of Discretion

6. The Appellate Division did not abuse its discretion when it dismissed defendant's appeal following a 16-year delay between the filing of defendant's notice of appeal and the motion for an extension of time to perfect the appeal filed by the counsel defendant hired nine years after he was notified that his first attorney had been admonished for neglecting his appeal. The delay was extremely long, and defendant did not have a good excuse for it. Defendant's unfortunate choice of lawyer did not entitle defendant, as a matter of law, to perfect his appeal 16 years after it was taken, where nine of those years elapsed after the lawyer's failure had been made the subject of a formal sanction, and where no reasonable excuse for that nine-year delay was offered. Even assuming that the People could show no specific prejudice from the delay, the Appellate Division was not required as a matter of law to permit the appeal to proceed.

Crimes — Appeal — Dismissal of Appeal — Premature Dismissal

7. The Appellate Division should not have dismissed defendant's appeal, following a 13-year delay between the filing of defendant's notice of appeal by his trial attorney and the motion by his assigned counsel to be appointed as appellate counsel for his conviction rather than his resentencing, before assigning defendant counsel on that appeal and giving counsel a chance to review the record. Defendant had failed to appear for his trial, had been tried and convicted in absentia, and had remained a fugitive for approximately 11 years. Although defendant's trial attorney filed a notice of appeal on his behalf, the appeal remained dormant until defendant was returned to court, resentenced, and assigned counsel to represent him on appeal from the resentencing. His assigned counsel had not reviewed, or even seen, the record of his trial at the time counsel sought to be appointed appellate counsel for the conviction and opposed the People's motion to dismiss the appeal from the conviction for failure to prosecute. A right to the assistance of appellate counsel has not been honored where counsel has not looked at the record.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 258, 280, 282, 291, 294, 804.

CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:67, 207:125; CARMODY-WAIT 2d, Right to Counsel § 184:143.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7 (a); 27.1 (a); 27.1 (b); 27.3 (a).

NY JUR 2d, Appellate Review § 230; NY JUR 2d, Constitutional Law § 453; NY JUR 2d, Criminal Law: Procedure §§ 824, 827, 3450, 3522, 3526, 3536.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Appointment; Attorneys; Criminal Procedure Rules; Dismissal, Discontinuance, and Nonsuit; Poor Persons.

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POINTS OF COUNSEL

Howard R. Birnbach, Great Neck, for appellant in the first above-entitled action. The appellant has a constitutional right to appeal his life sentence. (*People v Ventura*, 17 NY3d 675; *People v Yavru-Sakuk*, 98 NY2d 56; *People v Reid*, 34 Misc 3d 1234[A], 2012 NY Slip Op 50371[U]; *Abele Tractor & Equip. Co., Inc. v RJ Valente, Inc.*, 94 AD3d 1270; *Brooks v Key Trust Co., N.A.*, 26 AD3d 628, 6 NY3d 891.)

Robert T. Johnson, District Attorney, Bronx (Noah J. Chamoy and Joseph N. Ferdenzi of counsel), for respondent in the first above-entitled action. The Appellate Division did not abuse its discretion as a matter of law in dismissing this criminal appeal as abandoned after 16 years where defendant, who had retained counsel, supplied no reasonable justification for his delay. (People v Yavru-Sakuk, 98 NY2d 56; People v Montgomery, 24 NY2d 130; People v Syville, 15 NY3d 391; Evitts v Lucey, 469 US 387; Martinez v Court of Appeal of Cal., Fourth Appellate Dist., 528 US 152; People v De Jesus, 54 NY2d 447; Matter of State of New York v King, 36 NY2d 59; People v West, 100 NY2d 23; People v Taveras, 10 NY3d 227; People v Ventura, 17 NY3d 675.)

Robert S. Dean, Center for Appellate Litigation, New York City (Claudia Trupp of counsel), for appellant in the second above-entitled action. I. The Appellate Division abused its discretion as a matter of law by dismissing the appeal where there was no record evidence that Ivan Calaff voluntarily, knowingly, and intelligently waived his fundamental right to appeal. (People v Ventura, 17 NY3d 675; People v Bradshaw, 18 NY3d 257; People v West, 100 NY2d 23; Halbert v Michigan, 545 US 605; People v Johnson, 69 NY2d 339; Carnley v Cochran, 369 US 506; People v Calvi, 89 NY2d 868; People v Callahan, 80 NY2d 273; People v Taveras, 10 NY3d 227; Swenson v Bosler, 386 US 258.) II. The plea court denied Mr. Calaff the assistance of counsel and deprived him of his right to counsel of his choice when it sua sponte and without cause dismissed Mr. Calaff's assigned counsel and immediately appointed another lawyer who acted as a mere conduit for a plea offer to a serious felony. (People v Griffin, 92 AD3d 1, 20 NY3d 626; People v Childs, 247 AD2d 319; People v Knowles, 88 NY2d 763; People v Arroyave, 49 NY2d 264; People v Knapp, 57 NY2d 161; People v McLean, 15 NY3d 117; People v Kinchen, 60 NY2d 772; Chandler v Fretag, 348 US 3; Powell v Alabama, 287 US 45; People v Hannigan, 7 NY2d 317.)

Cyrus R. Vance, Jr., District Attorney, New York City (David M. Cohn and David E. A. Crowley of counsel), for respondent in the second above-entitled action. I. As this Court made clear in People v West (100 NY2d 23 [2003]), and as the legislature made clear by enacting CPL 470.60 (1), the Appellate Division had discretion to dismiss defendant's appeal following his unjustified, 19-year delay. (People v Thomas, 47 NY2d 37; People v Syville, 15 NY3d 391; People v Taveras, 10 NY3d 227; People v Jackson, 78 NY2d 638; People v Alexander, 97 NY2d 482; People

v Frederick, 45 NY2d 520; *People v Lopez*, 71 NY2d 662; *People v Mirenda*, 57 NY2d 261; *People v Lynn*, 28 NY2d 196.) II. Defendant's choice of counsel claim is not properly raised in this appeal. In any event, there is no record support for defendant's unpreserved claim that the trial court violated his right to counsel of his choice. (*People v Brown*, 40 NY2d 381; *People v Bautista*, 7 NY3d 838; *People v Ventura*, 17 NY3d 675; *People v Fetcho*, 91 NY2d 765; *People v Ramos*, 85 NY2d 678; *People v Coppa*, 45 NY2d 244; *People v Callahan*, 80 NY2d 273; *People v Tineo*, 64 NY2d 531; *People v Gray*, 21 AD3d 1398; *People v Griffin*, 20 NY3d 626.)

Robert S. Dean, Center for Appellate Litigation, New York City (*Barbara Zolot* of counsel), for appellant in the third above-entitled action. I. Appellant's appeal of his 1986 juvenile offender conviction must be reinstated where due process and equal protection entitled him to counsel's assistance in applying for in forma pauperis relief and assignment of counsel. (*People v Ventura*, 17 NY3d 675; *People v Montgomery*, 24 NY2d 130; *Smith v Robbins*, 528 US 259; *Griffin v Illinois*, 351 US 12; *Evitts v Lucey*, 469 US 387; *Douglas v California*, 372 US 353; *People v Stokes*, 95 NY2d 633; *People v Emmett*, 25 NY2d 354; *People v Garcia*, 93 NY2d 42; *People v West*, 100 NY2d 23, 540 US 1019.) II. The Appellate Division could not dismiss appellant's appeal solely on the basis of the passage of time; alternatively, that court abused its discretion as a matter of law where appellant was a minor who understandably, though mistakenly, believed that his attorney was handling his appeal—a misconception encouraged by the prosecutor's statements at a subsequent proceeding—and never wilfully bypassed the state appellate process. (*People v Ventura*, 17 NY3d 675; *People v Montgomery*, 24 NY2d 130; *People v West*, 100 NY2d 23; *People v Allah*, 47 AD2d 738.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Deborah L. Morse* and *Gina Mignola* of counsel), for respondent in the third above-entitled action. The Appellate Division acted well within its discretion when, after having considered all available facts and circumstances, the court dismissed the appeal that defendant had abandoned for 22 years. (*People v West*, 100 NY2d 23; *People v Yavru-Sakuk*, 98 NY2d 56; *People v Montgomery*, 24 NY2d 130; *People v Seaberg*, 74 NY2d 1; *People v Taveras*, 10 NY3d 227; *People v Ventura*, 17 NY3d 675; *Ortega-Rodriguez v United States*, 507 US 234; *People v Eldridge*, 31 NY2d 820; *Molinaro v New Jersey*, 396 US 365.)

Alison Wilkey, New York City, for Youth Represent, amicus curiae in the third above-entitled action. I. The collateral consequences of prosecution and conviction that affect youth are more serious than for adults, elevating the importance of the right to appeal. (*Padilla v Kentucky*, 559 US 356.) II. Youth are fundamentally different from adults, impacting their ability to independently effectuate their right to appeal. (*People v Ventura*, 17 NY3d 675; *Roper v Simmons*, 543 US 551; *Graham v Florida*, 560 US 48; *People v Dunbar*, 104 AD3d 198, 21 NY3d 942; *People v Montgomery*, 24 NY2d 130; *Bounds v Smith*, 430 US 817; *Wolff v McDonnell*, 418 US 539; *Murray v Giarratano*, 492 US 1; *Cruz v Hauck*, 627 F2d 710.)

Steven Banks, *The Legal Aid Society*, New York City (*Kerry Elgarten* of counsel), for appellant in the fourth above-entitled action. It was an abuse of discretion for the Appellate Division to dismiss the appeal from a judgment after trial without a specific showing of prejudice by respondent and before the appeal issues had even been determined. (*People v Taveras*, 10 NY3d 227; *Ortega-Rodriguez v United States*, 507 US 234; *Taveras v Smith*, 463 F3d 141; *Estelle v Dorrough*, 420 US 534; *Degen v United States*, 517 US 820; *People v Ventura*, 17 NY3d 675; *United States v Smith*, 419 F3d 521; *United States v Delagarza-Villarreal*, 141 F3d 133; *United States v Sudthisa-Ard*, 17 F3d 1205; *United States v Reese*, 993 F2d 254.)

Cyrus R. Vance, Jr., *District Attorney*, New York City (*David M. Cohn* and *Hilary Hassler* of counsel), for respondent in the fourth above-entitled action. The Appellate Division appropriately dismissed defendant's appeal for failure to prosecute, where defendant took no action on his appeal for 13 years, including 11 years during which he was a fugitive from justice. (*People v Taveras*, 10 NY3d 227; *People v West*, 100 NY2d 23; *People v Thomas*, 47 NY2d 37; *People v Syville*, 15 NY3d 391; *People v Triola*, 174 NY 324; *People v Figueroa*, 82 NY2d 819; *Molinaro v New Jersey*, 396 US 365; *Ortega-Rodriguez v United States*, 507 US 234; *People v Smith*, 44 NY2d 613; *Goeke v Branch*, 514 US 115.)

OPINION OF THE COURT

SMITH, J.

These four cases involve criminal appeals that were not pursued for more than a decade—in one case more than two decades—after the filing of a notice of appeal. In each case, the

Appellate Division dismissed the appeal on the People's motion. We hold that the dismissals in *People v Perez*, *People v Calaff* and *People v Dockery* did not violate defendants' constitutional rights and were proper exercises of discretion. We remit the fourth case, *People v Lopez*, to the Appellate Division so that counsel can be appointed to represent Lopez in opposing the dismissal of his appeal.

I

Perez

Reynaldo Perez was convicted of murder and manslaughter in 1996, and was sentenced to consecutive terms totalling 33¹/₃ years to life. On August 1, 1996, he filed a notice of appeal. In 1997, Perez's mother retained a lawyer whom we will call John Johnson to represent Perez on appeal, paying him a retainer of \$30,000. Johnson did not prepare or file a brief.

The Departmental Disciplinary Committee for the Appellate Division, First Department began an investigation of Johnson in 2001. In 2003, the Committee notified Perez's mother that Johnson had been admonished for neglecting Perez's case. Apparently, Johnson continued to represent Perez after 2003, but he still did not pursue the appeal. In 2008, Johnson filed a motion in Supreme Court to set aside Perez's conviction under CPL 440.10. The motion was unsuccessful.

On August 22, 2012, Perez retained new counsel, who moved in the Appellate Division to enlarge the time to perfect Perez's appeal. The People cross-moved to dismiss the appeal. The Appellate Division granted the motion to dismiss on February 5, 2013, more than 16 years after the notice of appeal was filed (2013 NY Slip Op 63657[U] [2013]). A Judge of this Court granted leave to appeal (21 NY3d 946 [2013]), and we now affirm.

Calaff

Ivan Calaff was convicted of attempted burglary, on his plea of guilty, in 1993, and sentenced to 3 to 6 years. At sentencing, he was handed a printed form explaining the need to file a notice of appeal and describing the steps to be taken "[i]f you are without funds" to request the assignment of counsel. On April 15, 1993, the lawyer who represented Calaff at sentencing filed a notice of appeal. Calaff did not request the assignment of appellate counsel. He served his time and was released from prison in 1996.

Calaff was later convicted of several other crimes. Eventually, in 2004, he was adjudicated a persistent violent felon on a

burglary charge and was sentenced to 16 years to life. An appeal from the 2004 conviction was unsuccessful (*People v Calaff*, 30 AD3d 193 [1st Dept 2006]).

On May 9, 2012, the Center for Appellate Litigation, which had represented Calaff on the appeal from the 2004 conviction, moved to be appointed as his counsel on the appeal that had begun in 1993, and sought poor person relief. The Appellate Division assigned counsel, granted poor person relief, and enlarged the time to perfect the appeal (2012 NY Slip Op 76425[U] [2012]). The People moved to dismiss the appeal. In an affidavit submitted in opposition to the People's motion, Calaff asserted that the lawyer who represented him at sentencing had told him in 1993, in response to a question about the appeal: "Don't worry about that, I'll take care of it." In 2008, according to Calaff's affidavit, he began to make inquiries about the appeal from his 1993 conviction, but got no helpful response until the Center for Appellate Litigation agreed in 2012 to take the case.

On February 19, 2013, almost 20 years after the notice of appeal was filed, the Appellate Division granted the People's motion to dismiss, saying that defendant's attempt "to explain his failure to follow the instructions he received at sentencing. . . . is refuted by the sentencing minutes and otherwise without merit" (*People v Calaff*, 103 AD3d 500, 500 [1st Dept 2013]). A Judge of this Court granted leave to appeal (21 NY3d 1072 [2013]) and we now affirm.

Dockery

In 1986, Alexander Dockery, then 16 years old, was convicted of robbery and committed to the New York State Division for Youth for a term of 2 to 6 years. The lawyer who represented him at trial and sentencing filed a notice of appeal on his behalf on February 28, 1986. Nothing was done to pursue the appeal for 22 years. Meanwhile, Dockery, like Calaff, served his time, was released, and committed more crimes. In 2000, under the name John Harris, he was convicted of burglary and sentenced as a persistent violent felony offender to 25 years to life. His appeal from that conviction was unsuccessful (*People v Harris*, 304 AD2d 839 [2d Dept 2003]).

In 2008, Dockery moved pro se in the Appellate Division for poor person relief on his 1986 appeal. The People cross-moved to dismiss that appeal, and the Appellate Division granted the cross motion (2008 NY Slip Op 93213[U] [2008]). In 2011,

Dockery, now represented by the Center for Appellate Litigation, moved to reinstate the 1986 appeal on the ground that he did not have the assistance of counsel at the time of the People's previous motion, and that service of that motion was defective. The appeal was reinstated (2011 NY Slip Op 93236[U] [2011]), the People again moved to dismiss it, and that motion was granted on June 21, 2012, more than 26 years after the notice of appeal was filed (2012 NY Slip Op 76557[U] [2012]). A Judge of this Court granted leave to appeal (21 NY3d 911 [2013]), and we now affirm.

Lopez

Teofilo Lopez, having absconded before trial, was convicted in absentia of several counts of robbery in 1999. He was sentenced to concurrent terms of imprisonment, the longest of which was 15 years. The record contains a form dated August 23, 1999, apparently signed on Lopez's behalf by his attorney, addressed "TO MY ATTORNEY/OR THE COURT CLERK," which says: "Please file a timely notice of appeal on my behalf." The parties agree that this document may be considered a timely notice of appeal.

Lopez remained a fugitive for approximately 11 years; nothing was done in that time to prosecute his appeal. In 2010, he was rearrested and returned to court. He was then resentenced to correct his original sentence, which had omitted a term of postrelease supervision (*see People v Sparber*, 10 NY3d 457 [2008]). The Legal Aid Society was assigned to represent him on appeal from the resentencing (2010 NY Slip Op 84894[U] [2010]).

In 2012, Legal Aid moved on Lopez's behalf to amend the order assigning counsel so that it applied to the 1999 conviction rather than the resentence, for "leave to file and serve a brief in support of reversing the judgment on direct appeal," and for other relief. The People moved to dismiss the appeal from the 1999 conviction for failure to prosecute. Legal Aid submitted an affirmation in opposition to this motion, making arguments on the merits and arguing, in the alternative, that the motion was premature because Legal Aid had not yet been assigned to the 1999 appeal, had not seen the trial record, and did not know what issues Lopez would raise.

The Appellate Division granted the People's motion to dismiss on October 25, 2012, more than 13 years after the notice of appeal was filed (2012 NY Slip Op 88716[U] [2012]). A Judge of

this Court granted leave to appeal (21 NY3d 1017 [2013]), and we now reverse and remit for further proceedings.

Defendants formulate their arguments on appeal differently, but we think all can be interpreted as making two arguments: that their constitutional rights to a fair appellate process were violated, and that, even if there was no constitutional violation, the Appellate Division abused its discretion in dismissing their appeals. Lopez also argues, as he did below, that the Appellate Division acted prematurely in dismissing his appeal before counsel could review the trial record and identify the issues to be raised on appeal. We reject the arguments made by Perez, Calaff and Dockery. We agree with Lopez that the Appellate Division acted prematurely, and in his case we do not reach any other issue.

II

Defendants are correct in asserting that they have a constitutional right to a fair appellate procedure that provides them “with the minimal safeguards necessary to make an adequate and effective appeal” (*People v West*, 100 NY2d 23, 28 [2003]). That right includes a right to “receive the careful advocacy needed ‘to ensure that rights are not forgone and that substantial legal and factual arguments are not inadvertently passed over’ ” (*id.*, quoting *Penson v Ohio*, 488 US 75, 85 [1988])—i.e., a right to counsel. The *West* case establishes, however, that the procedure followed in *Perez*, *Calaff* and *Dockery* did not deprive the defendants in those cases of any constitutional right.

West bears a distinct resemblance to the cases now before us. The defendant there filed a notice of appeal but “failed to perfect his appeal for more than 14 years” (100 NY2d at 24). We held that the appeal was abandoned, and that the Appellate Division did not abuse its discretion in dismissing it. Noting that *West* had been given “clear instructions on how to apply for poor person relief” (*id.* at 28), we rejected his argument that he was constitutionally entitled to appointment of counsel to assist in preparing a poor person application.

[1, 2] Calaff’s and Dockery’s constitutional claims here are essentially identical to *West*’s. They, like *West*, were given clear notice of how to obtain a lawyer at state expense, but failed year after year to ask for one. They, like *West*, suffered no constitutional deprivation when none was appointed. We reject Calaff’s argument that *West* should be overruled.

Dockery seeks to distinguish his case from *West* on the ground that Dockery was only 16 when he first failed to request the

assignment of counsel to represent him on appeal. The distinction might be more persuasive if the failure had not continued until Dockery was 38. But even if we assume that youthful defendants are constitutionally entitled to some relaxation of the rule that defendants who want to obtain appellate counsel must follow the simple instructions given them for requesting that relief, they are not entitled to 22 years of indulgence. Dockery was an adult during the great majority of the time in which he failed to seek counsel to pursue his appeal, and his situation is not constitutionally distinct from that of other adults. *Dowd v United States ex rel. Cook* (340 US 206 [1951]), on which Dockery relies, is not in point. The State in *Dowd* had enforced an unconstitutional rule forbidding a prisoner from filing appeal papers; the Supreme Court held that a long lapse of time in which the prisoner took no action after the rule was rescinded was not a waiver of his constitutional claim. Here, the State did nothing to prevent Dockery from pursuing his appeal until the People moved in 2008 to dismiss it.

[3] Perez’s constitutional claim is more colorable than Calaff’s and Dockery’s, because Perez had a lawyer—one who was undoubtedly ineffective in failing to perfect the appeal that he was hired to pursue. We have held that a client who was victimized by his appellate lawyer’s procedural errors has been deprived of his constitutional right to the effective assistance of counsel (see *People v Syville*, 15 NY3d 391, 397-398 [2010] [counsel ineffective for disregarding a timely request to file a notice of appeal]). But the long delay in Perez’s appeal—from the notice of appeal in 1996 to the motion for an extension of time in 2012—cannot be attributed solely to Johnson’s ineffectiveness. Perez knew at least by 2003, when Johnson was admonished by the Departmental Disciplinary Committee, that his lawyer was neglecting his case. At any time in the following nine years, if not sooner, he could have obtained another lawyer. His counsel said in a 2012 affirmation that Perez was “without funds to retain another attorney,” but Perez has offered no explanation of why he failed to seek assigned counsel. *West* establishes that it is not unconstitutional to require a defendant to take some minimal initiative to assure himself adequate representation on appeal. The dismissal of Perez’s appeal after his own lengthy neglect of it did not deprive him of any constitutional right.

III

[4, 5, 6] Nor can we conclude that the Appellate Division abused its discretion in dismissing Perez’s, Calaff’s and Dockery’s appeals. Two compelling facts stand out in all three cases: the delays were extremely long, and the defendants did not have a good excuse for them. Delays like this are inconsistent with an orderly and efficient system of appellate procedure, and if tolerated can bring a system into disrepute. Even if we assume—a large assumption—that the People can show no specific prejudice from the delays, the Appellate Division was not required as a matter of law to permit these appeals to proceed.

In *Calaff* and *Dockery*, there are other reasons supporting the exercise of the Appellate Division’s discretion in the People’s favor. Both Calaff and Dockery, having served their original sentences, continued to ignore their pending appeals until after they were adjudicated predicate felons—and then sought counsel to challenge the long-ago convictions. The facts permit an inference that these defendants did not simply neglect their appellate rights, but consciously chose not to exercise them until they acquired a reason to do so. The inference is particularly strong in Calaff’s case, because his 1993 conviction was based on his guilty plea—a plea with which he was presumably satisfied when he entered it, and with which he may still have been satisfied until the earlier conviction became a problem in future cases. Appellate courts are not required to accommodate such belated changes of strategy by entertaining stale appeals (*cf. West*, 100 NY2d at 27 [appeal held abandoned where the defendant “repeatedly attempted to bypass the state appellate process”]).

Perez has a more sympathetic case. There is no obvious strategic reason for his delay, and his mother did hire, at great expense, a lawyer who failed in his duty. But an unfortunate choice of lawyer does not entitle Perez, as a matter of law, to perfect his appeal 16 years after it was taken, where nine of those years elapsed after the lawyer’s failure had been made the subject of a formal sanction, and where no reasonable excuse for that nine-year delay was offered.

IV

[7] We decide *Lopez* on a narrower ground: The Appellate Division should not have dismissed Lopez’s appeal before assigning him counsel on that appeal and giving counsel a chance

to review the record. *Taveras v Smith* (463 F3d 141 [2d Cir 2006]) is directly in point. Taveras, like Lopez, had failed to appear for his trial, had been tried and convicted in absentia, and had remained a fugitive for years. Taveras's trial attorney, like Lopez's, filed a notice of appeal on his behalf, and the appeal remained dormant until Taveras was returned to court. The Appellate Division denied Taveras poor person relief and dismissed his appeal, without assigning counsel.

The United States Court of Appeals for the Second Circuit, considering Taveras's federal habeas corpus petition, found the Appellate Division dismissal to be "contrary to or an unreasonable application of settled Supreme Court precedent" (463 F3d at 143)—specifically *Douglas v California* (372 US 353 [1963]), which held that an indigent criminal defendant has a federal constitutional right to court-appointed counsel on his first appeal if the state has provided such an appeal as of right. The Second Circuit reasoned that since, under New York law, a decision to dismiss an appeal by a former fugitive is discretionary, Taveras was entitled to a lawyer to argue that the court should exercise its discretion to retain the appeal (*see also People v Kordish*, 22 NY3d 922 [2013] [following the Second Circuit holding in *Taveras*]).

There is no meaningful difference between this case and *Taveras*, except that Lopez, unlike Taveras, was not completely without counsel when his appeal was dismissed—counsel had been appointed on Lopez's 2010 appeal from his resentencing. But Lopez did not have counsel on the 1999 appeal, and that is a fact of practical, not just technical, significance: his counsel had not reviewed, or even seen, the record of his 1999 trial. A right to the assistance of appellate counsel has not been honored where counsel has not looked at the record. We therefore remit the *Lopez* case to the Appellate Division, which should appoint counsel for Lopez and then consider de novo, after receiving counsel's submissions, whether Lopez's appeal should be dismissed or retained.

Accordingly, in *People v Perez*, *People v Calaff* and *People v Dockery* the order of the Appellate Division should be affirmed. In *People v Lopez*, the order of the Appellate Division should be reversed and the case remitted to the Appellate Division for further proceedings in accordance with this opinion.

RIVERA, J. (dissenting). For the reasons stated by the majority I agree that the facts and law support affirmance of the Appellate

Division's dismissal in *People v Calaff*, and that reversal and remittal is required in *People v Lopez*, in order to permit counsel to review the record and make any warranted submissions on behalf of defendant Lopez (see majority op at 102). However, I part ways with the majority in *People v Perez* and *People v Dockery* and would reverse in both cases.

In *People v Perez*, the defendant's right to pursue a timely appeal was effectively thwarted by appellate counsel's violations of the professional duties and obligations he owed the defendant. Despite the defendant's years-long struggle to secure his attorney's services in furtherance of the appeal from his conviction, today's decision leaves him subject to possible life imprisonment without any appellate review of the merits of his claims. In *People v Dockery*, the record is bereft of any indication that the Appellate Division took into consideration that defendant was a juvenile when he was convicted and the impact of his age on the defendant's ability to seek assistance with his appeal. Unlike the majority, I would expressly hold the Appellate Division must consider age when deciding whether to dismiss an appeal for failure to timely perfect.

Today's majority opinions in *Perez* and *Dockery* violate the defendants' fundamental rights to appeal their appellate convictions and, as a consequence, the Court's decisions in these cases undermine public confidence in the legal profession and our system of justice. I dissent.

I.

"[A] defendant has a fundamental right to appellate review of a criminal conviction" (*People v Yavru-Sakuk*, 98 NY2d 56, 59 [2002], citing *People v Harrison*, 85 NY2d 794, 796 [1995], *People v Montgomery*, 24 NY2d 130, 132 [1969], and CPL 450.10). A defendant's inexcusable delay in pursuing an appeal is grounds for dismissal (see CPL 470.60 [1] [appellate court may "dismiss such appeal upon the ground of . . . failure of timely prosecution or perfection thereof"]), but as we recognized in *People v Taveras*, the Appellate Division has broad authority to permit an appeal that is otherwise untimely to proceed (10 NY3d 227, 233 [2008], citing CPL 470.60 [1]). In fact, there is no legal impediment to the Appellate Division granting such permission in appropriate cases, regardless of the length of delay.

We have also recognized that "[t]he invariable importance of the fundamental right to an appeal, as well as the distinct role assumed by the Appellate Divisions within New York's hierarchy

of appellate review (*see* NY Const, art VI, § 5; *see e.g.* CPLR 5501 [c]), makes access to intermediate courts imperative” (*People v Ventura*, 17 NY3d 675, 680-681 [2011]). As a consequence, the Appellate Division’s broad statutory authority to dismiss pending appeals cannot be accorded such an expansive view as to curtail defendants’ basic entitlement to appellate consideration. As a matter of fundamental fairness, all criminal defendants shall be permitted to avail themselves of intermediate appellate courts as “the State has provided an absolute right to seek review in criminal prosecutions” (*id.* at 682 [citation omitted]; *see also* CPL 470.60 [1]). Where the Appellate Division exceeds acceptable bounds in the exercise of this authority, it abuses its discretion in dismissing the appeal (*see e.g. id.* at 679).

II.

People v Perez

Following his sentencing, in 1997 the defendant’s family retained an attorney to prosecute the appeal and paid him \$30,000 as payment in full for his services. After taking some initial steps on behalf of the defendant this attorney failed to perfect the appeal, and, as the record reflects, violated his professional obligations by neglecting the defendant to work on other clients’ cases.

The attorney’s failures were so egregious as to be grounds for the defendant’s complaint to the Departmental Disciplinary Committee for the Appellate Division, First Department. As a result of its investigation, the Disciplinary Committee formally admonished the defendant’s attorney for violation of the Code of Professional Responsibility, DR 6-101 (a) (3). In its 2003 letter to the defendant’s mother, the Committee informed her that it had admonished the attorney for neglecting the defendant’s case based on the attorney’s admission that he performed “no work” on the appeal “for long periods of time, because he was working on other cases.”

Even though the attorney did not complete the work he was paid for, he continued to represent the defendant, apparently because the defendant lacked funds to hire new counsel. Unfortunately for the defendant, this attorney failed to move for an enlargement of time to perfect his appeal. Instead, on September 12, 2008, the attorney moved to vacate the conviction, pursuant to CPL 440.10 (1) (h), wholly avoiding presenting

to the court his own professional failures and ineffectiveness in representing the defendant, and arguing instead that the trial counsel was ineffective for failing to challenge the legal sufficiency of the reckless/depraved indifference murder count. The People opposed, arguing that defendant had received overall meaningful representation at trial.

In December 2009, Supreme Court denied the motion in a one-paragraph decision stating, in part, that any alleged omission at trial by counsel “could have been raised as an issue on direct appeal (had defendant filed and perfected such an appeal).” In March, 2010, the attorney filed leave to appeal the denial of the 440 motion to the Appellate Division, which the Appellate Division denied in April 2010 (2010 NY Slip Op 67810[U] [2010]). No further action was taken by the attorney.

Then, in 2012, the defendant’s newly retained counsel filed a motion to enlarge the time within which to perfect the defendant’s appeal and attached a proposed brief for filing. The People cross-moved, pursuant to CPL 470.60, to dismiss the appeal for failure to timely prosecute. The Appellate Division, without opinion, denied the defendant’s motion and granted the People’s motion to dismiss the appeal (2013 NY Slip Op 63657[U] [2013]).

In this case, it cannot be disputed that the first appellate counsel’s failure to perfect the appeal within the time limit set forth in the First Department’s rules (*see* Rules of App Div, 1st Dept [22 NYCRR] § 600.8 [b]) and his subsequent ineffectiveness, placed defendant in peril of losing his right to appeal for failure to prosecute, and set in motion the events which ultimately resulted in the dismissal of the defendant’s appeal. The attorney’s neglect resulted in years of delay that the defendant could have spent seeking to appeal his conviction, and the money spent on the attorney could have been used to pay for actual services rendered by new counsel. Moreover, the defendant’s efforts to secure the attorney’s professional paid-for services required the expenditure of time and resources pursuing a complaint before the Disciplinary Committee. While the complaint resulted in the attorney’s admonishment, this was insufficient to undo the damage already done to the defendant, who by then had no funds to retain new counsel. Expecting his paid-for legal services, the defendant again relied on his attorney. However, when the attorney had the opportunity he failed to pursue a direct appeal. Moreover, the attorney ignored one of the strongest arguments in favor of a motion for enlargement

of time to perfect the defendant's appeal: attorney neglect as found by the Disciplinary Committee.

The defendant's conduct, under the circumstances of this case, does not support dismissal of his appeal. First, the defendant does not bear any blame for the initial delay in seeking to perfect his appeal because it was his attorney who failed to work on the case. As the majority acknowledges, up to 2003 the defendant cannot be blamed for the delay in perfecting his appeal because the defendant's attorney "was undoubtedly ineffective in failing to perfect the appeal that he was hired to pursue" (majority op at 100, citing *People v Syville*, 15 NY3d 391, 397-398 [2010]). Second, the defendant took action against his attorney in order to secure proper representation. The record shows that the defendant and his family paid counsel, and when it appeared the attorney was derelict in his obligations to his client, he was reported to the Disciplinary Committee, which acknowledged and thanked "the initiative and forthrightness" displayed in reporting the attorney to the Committee. Third, the defendant's conduct throughout the years does not evince an abandonment of his right to appeal. Quite the opposite. For years, the defendant took all the appropriate steps to pursue his rights as provided for by our legal system: he retained an attorney to appeal his conviction; he complained to the appropriate professional disciplinary body about his attorney's failures which, as the Committee noted, makes it possible "to improve the quality of legal representation available to the public"; and he filed a motion to request an enlargement of time to perfect his appeal and briefed the merits in support of his motion. Fourth, nothing in the record suggests that the defendant sought to "game the system" by manipulating events or circumstances surrounding his conviction and appeal.

The majority, nevertheless, concludes that once the Disciplinary Committee informed the defendant in 2003 that his lawyer was neglecting his case, he should have acted to perfect his appeal, and having failed to do so until 2012, he cannot complain that the Appellate Division dismissed his appeal (majority op at 100). Thus the majority concludes that the delay attributable to the defendant is the type of extremely long delay that "can bring a system into disrepute" (*id.* at 101). I disagree that the defendant's actions were of such character that despite his own attorney's ineffectiveness, the defendant should be foreclosed from a direct appeal. This is not the case where the defendant sat back for years and allowed an opportunity to appeal to pass, and with it caused prejudice to the People.

While placing the blame on defendant, the majority too easily discounts the impact of the attorney's professional neglect, and continued representation of the defendant, his family and the viability of his appeal. For example, the defendant and his family were in a financially worse position from when they first retained the lawyer in 1997, having paid him thousands of dollars for undelivered services and having no additional financial resources to retain new counsel. The majority minimizes the significant financial hardship in which the defendant found himself because, according to the majority, the defendant could simply have requested assigned counsel. However, having already waited so long for his retained attorney to act, it was not unreasonable for the defendant to expect that, once admonished, the attorney would comply with his professional obligations. This choice seems even more plausible given that the Disciplinary Committee stated that the attorney had "initially performed some work on" the defendant's appeal. Thus, the defendant could have found that the lawyer would be able to quickly act on his case, and since the Disciplinary Committee concluded that the lawyer had neglected the defendant, not that he was incompetent, the defendant could have expected the proper level of legal services would finally be provided.

"The right to appeal a criminal conviction is fundamental and cannot be lost because the defendant was unaware of its existence or because counsel failed to keep a promise to file or prosecute an appeal" (*People v Melton*, 35 NY2d 327, 329 [1974], citing *People v Montgomery*, 24 NY2d 130, 132 [1969]). I would not deny the fundamental right to appellate review because the defendant, now facing a lifetime of incarceration, entrusted his future to counsel who failed him (*see generally Maples v Thomas*, 565 US —, —, 132 S Ct 912, 924 [2012] ["a client cannot be charged with the acts or omissions of an attorney who has abandoned him"]).

III.

People v Dockery

In 1986, Alexander Dockery, then 15 years old and in the ninth grade, was charged with robbery in the first and second degrees (Penal Law §§ 160.15, 160.10). After a jury trial, the defendant was convicted of both counts and, now 16 years old, sentenced as a juvenile offender to an aggregate of 2 to 6 years' imprisonment in a youth facility. The sentencing minutes reflect

that defendant acknowledged receipt of the notice to appeal, and answered affirmatively when asked if his counsel advised him of his right to appeal.

In 1992, the defendant pleaded guilty to attempted criminal possession of a weapon in the third degree (Penal Law § 265.02). The defendant waived his right to appeal, but in adjudicating him a second violent felony offender the court inquired about the 1986 conviction. Defendant's assigned counsel requested time to review the file from 1986, and the prosecutor stated that the "[1986 case] would have been appealed by now." That, apparently, ended the discussion about the 1986 conviction.

In 2008, while incarcerated on another conviction, the defendant wrote a letter to the Appellate Division, First Department, requesting a copy of the notice of appeal filed in the 1986 case, a copy of the brief, and a copy of any other relevant documents. "Basically," the defendant wrote, "I would like to know what the [outcome] of the appeal was." The First Department responded by sending the defendant an *in forma pauperis* form. The defendant immediately filed an affidavit attesting to his indigency, and, apparently based on his own misunderstanding, stating incorrectly that he was represented by the Legal Aid Society in 1986.

The People opposed the defendant's motion to appeal as a poor person and cross-moved for dismissal. The Legal Aid Society was served a copy of the People's motion but filed no response. On December 30, 2008, the Appellate Division denied the defendant's motion and granted the People's motion to dismiss (2008 NY Slip Op 93213[U] [2008]).

In 2011, the defendant wrote to the Center for Appellate Litigation which then moved, on the defendant's behalf, for reinstatement of the appeal and assignment of counsel. The Appellate Division reinstated the appeal without prejudice to the People to move for dismissal (2011 NY Slip Op 93263[U] [2011]), which the People did and which the defendant opposed. In 2012 the Appellate Division again dismissed the appeal, without opinion (2012 NY Slip Op 76557[U] [2012]).

The defendant contends that the Appellate Division abused its discretion by dismissing his appeal on the grounds of inaction and speculative claims of prejudice to the People. The defendant further argues that he believed his lawyer would "handle things"—which the defendant argues was a reasonable way for a defendant who was 15 at the time of conviction and

16 at the time of sentencing, to view his situation and his attorney's role. He argues that minors should not be expected to understand and appreciate the appeals process and should have assistance of counsel in applying for poor person relief.

It is generally accepted and well established that young people and adults mature at different rates and that children simply do not have the capacity to fully appreciate the world and the consequences of their actions and choices. As the United States Supreme Court stated in 2011 in *J.D.B. v North Carolina*, “[t]he law has historically reflected the same assumption that children characteristically lack the capacity to exercise mature judgment and possess only an incomplete ability to understand the world around them” (564 US —, —, 131 S Ct 2394, 2397 [2011]). “Children ‘generally are less mature and responsible than adults’ . . . [and] ‘often lack the experience, perspective, and judgment to recognize and avoid choices that could be detrimental to them’ ” (*id.* at —, 131 S Ct at 2403 [citations omitted]). Moreover, children “are more vulnerable or susceptible to . . . outside pressures than adults” (*id.* at —, 131 S Ct at 2403 [internal quotation marks omitted], citing *Roper v Simmons*, 543 US 551, 569 [2005]; see also *Johnson v Texas*, 509 US 350, 367 [1993] [“A lack of maturity and an underdeveloped sense of responsibility are found in youth more often than in adults and are more understandable among the young. These qualities often result in impetuous and ill-considered actions and decisions”]). The inescapable conclusion is that children are unable to understand life's challenges or exercise judgment as would adults.

The defendant's argument that minors simply cannot be expected to make their own informed choices about conduct that may carry significant legal consequences is supported by data. Studies have established that juveniles are unable to fully understand and appreciate their legal rights (see e.g. *Graham v Florida*, 560 US 48, 68 [2010] [“developments in psychology and brain science continue to show fundamental differences between juvenile and adult minds”]). The neuroscience research data confirms juveniles do not possess the maturity necessary to make decisions that, in the case of criminal convictions, carry lifelong consequences (see e.g. Nitin Gogtay et al., *Dynamic Mapping of Human Cortical Development During Childhood Through Early Adulthood*, Proc Natl Acad Sci, vol 101, No. 21 at 8177 [May 25, 2004], available at <http://www.ncbi.nlm.nih.gov/pmc/articles/PMC419576/pdf/1018174.pdf>; Linda Spear, The

Behavioral Neuroscience of Adolescence, 108-111 [2009]). The inescapable conclusion is that the inherent differences between young people and adults impact on a defendant minor's ability to appreciate and respond to the requirements of the appellate review process (see e.g. Laurence Steinberg et al., *Age Differences in Future Orientation and Delay Discounting*, Child Dev, vol 80, No. 1 at 30, 35-36 [Jan./Feb. 2009]).

A conviction and a criminal record can impose severe lifetime consequences before the child develops the capacity to appreciate fully the meaning of negative life choices (see Jari-Erik Nurmi, *How Do Adolescents See Their Future? A Review of the Development of Future Orientation and Planning*, 11 Developmental Rev 1, 28-29 [1991]). The collateral consequences that accompany a criminal conviction are far reaching and can include the loss of the right to vote; loss of public benefits; exclusion from public housing; deportation for noncitizens; exclusion from jury service; and loss or exclusion from public employment (see generally Legal Action Center, *After Prison: Roadblocks to Reentry, A Report on State Legal Barriers Facing People with Criminal Records* [2004], available at http://www.lac.org/roadblocks-to-reentry/upload/lacreport/LAC_PrintReport.pdf [accessed Mar. 20, 2013]). Moreover, a criminal record undermines efforts to redirect a youth in a positive, life-affirming direction (see generally Devah Pager, *The Mark of a Criminal Record*, Am J Soc, vol 108, No. 5 [Mar. 2003], available at https://www.princeton.edu/~pager/pager_ajs.pdf [accessed Mar. 21, 2014]). Given the potential impact on a young life, access to appellate review for this class of defendants is of critical importance. The stakes are simply too high to risk the future of a young person without at least considering how age may have affected the minor defendant's conduct.

We ignore what science and experience tells us at our own peril. As related to the specific issues involved in this case, there is simply no reason not to acknowledge the scientific reality of differences based on age in cases involving requests to extend the period of time to appeal. The United States Supreme Court's conclusion in the context of sentencing that "criminal procedure laws that fail to take defendants' youthfulness into account at all [are] flawed" (*Graham*, 560 US at 76), is no less true in cases involving minor children and their right to appellate review (see *People v Rudolph*, 21 NY3d 497, 506 [2013, Graffeo, J., concurring] ["Young people who find themselves in

the criminal courts are not comparable to adults in many respects—and our jurisprudence should reflect that fact’’)).

Therefore, I would hold that before dismissing for failure to prosecute an appeal from a conviction imposed upon a minor defendant, the Appellate Division must consider the impact of the defendant’s age in determining whether the delay in pursuing the appeal is inexcusable, and failure to do so is an abuse of discretion. Accordingly, I would vote to remit back to the Appellate Division for such consideration.

IV.

I share the majority’s concern that an extensive delay in the appellate process has an adverse impact on our criminal justice system. During any given year, the Appellate Division can hear and decide thousands of appeals. Indeed, our current legal system is plagued by many delays not attributable to defendants or the courts themselves, but due to the sheer volume of cases or other matters beyond the control of the People or the defendants.

Concern over the potential impact of untimely appeals on the criminal justice system, however, must not outweigh our responsibility to ensure the rights of defendants. For, as justice delayed lessens public confidence in our legal system, so do denials of rights to appellate review of defendants failed by their attorneys, and defendants whose youth impacts their ability to understand and appreciate the appellate process. I dissent.

Judges GRAFFEO, READ and PIGOTT concur with Judge SMITH; Judge RIVERA dissents in an opinion in which Chief Judge LIPPMAN concurs; Judge ABDUS-SALAAM taking no part.

In *People v Perez* and *People v Dockery*: Order affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

In *People v Calaff*: Order affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

In *People v Lopez*: Order reversed and case remitted to the Appellate Division, First Department, for further proceedings in accordance with the opinion herein.

[12 NE3d 444, 989 NYS2d 446]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ENRIQUE RIVERA, Appellant.

Argued February 18, 2014; decided April 8, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 7, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Alan D. Marrus, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree.

People v Rivera, 100 AD3d 658, affirmed.

HEADNOTE

Crimes — Lesser Included Offense — Reckless Manslaughter

Defendant, who was charged with second-degree murder for the stabbing death of a man who witnesses saw defendant strike in the left shoulder or upper chest area multiple times during a barroom brawl, was not entitled to a jury charge of second-degree manslaughter as a lesser included offense in addition to the first-degree manslaughter charge provided by the trial court. In seeking to have a lesser included offense charged, a defendant is required to show that there is a reasonable view of the evidence in the particular case that would support a finding that he or she committed the lesser included offense but not the greater (CPL 300.50 [1]). Second-degree murder and first-degree manslaughter require intent to cause death or intent to cause serious physical injury, respectively. Second-degree manslaughter only requires a reckless state of mind. Thus, to obtain a second-degree manslaughter instruction, defendant needed to show that a reasonable view of the evidence supported the finding that he recklessly caused the victim's death without intending to cause serious physical injury. Here, notwithstanding defendant's pretrial statements that he recklessly waved a knife around in self-defense during the melee, the record did not reasonably support that he acted with mere recklessness. The forensic pathologist testified that there were three penetrating stab wounds to the same victim, who—according to defendant—picked a fight with him, with the fatal wound delivered forcefully enough to plunge five inches deep into the victim's chest, piercing his left lung and cutting through a rib. There was no identifiable, rational basis on which the jury could have rejected the pathologist's testimony and the evidence of the nature and depth of the victim's wounds.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Homicide §§ 524, 526; AM JUR 2d, Trial §§ 1197, 1198, 1203.

CARMODY-WAIT 2d, Charge and Instruction to Jury
§§ 200:9, 200:80, 200:81, 200:83.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.8.

McKINNEY'S, CPL 300.50.

NY JUR 2d, Criminal Law: Procedure §§ 2790, 2793; NY

JUR 2d, Criminal Law: Substantive Principles and Offenses § 581.

ANNOTATION REFERENCE

See ALR Index under Homicide; Instructions to Jury;
Lesser Included Offenses; Manslaughter.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: jury /3 charg! /s lesser /2 included & murder /s
reckless /5 manslaughter

POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (Leila Hull of counsel), for appellant. The court violated appellant's due process right to a fair trial when it refused to charge to the jury second-degree manslaughter as a lesser included offense of second-degree murder, although there was a reasonable view of the evidence that appellant, who had been drinking, recklessly killed the deceased during a barroom brawl. (*People v Perry*, 19 NY3d 70; *People v Glover*, 57 NY2d 61; *People v Green*, 56 NY2d 427; *People v Sullivan*, 68 NY2d 495; *People v Van Norstrand*, 85 NY2d 131; *People v Martin*, 59 NY2d 704; *People v Henderson*, 41 NY2d 233; *People v Scarborough*, 49 NY2d 364; *People v Negron*, 91 NY2d 788; *People v Asan*, 22 NY2d 526.)

Charles J. Hynes, District Attorney, Brooklyn (Solomon Neubort, Leonard Joblove and Seth M. Lieberman of counsel), for respondent. None of defendant's arguments in support of his claim that he was entitled to the submission of the lesser included offense of second-degree manslaughter is preserved for appellate review. Moreover, defendant's claim is meritless. In any event, any error in the court's refusal to submit the lesser offense was harmless. (*People v Monroe*, 90 NY2d 982; *People v Gray*, 86 NY2d 10; *People v Robinson*, 36 NY2d 224; *People v Lynn*, 27 AD3d 381; *People v Barney*, 99 NY2d 367; *People v Van Norstrand*, 85 NY2d 131; *People v Green*, 56 NY2d 427; *People v Martin*, 59 NY2d 704; *People v Discala*, 45 NY2d 38; *People v Scarborough*, 49 NY2d 364.)

OPINION OF THE COURT

READ, J.

Defendant Enrique Rivera was charged with second-degree murder (Penal Law § 125.25 [1]) and criminal possession of a weapon in the fourth degree (Penal Law § 265.01 [2]) in connection with the stabbing death of Edgar Ojeda at a Brooklyn bar in the early morning hours of February 27, 2005. The narrative of what happened and its aftermath, as developed at defendant's jury trial in May 2009,¹ follows. The issue in this appeal is whether the trial judge should have submitted a charge of second-degree manslaughter to the jury.

I.

Enrique Navarette, who had in the past occasionally worked at the Brooklyn bar as a bouncer, arrived there between 11:30 and 11:45 p.m. on February 26, 2005. While sitting in the front corner of the bar, near the entrance, he saw defendant and three male companions walk in. Defendant was wearing a camouflage jacket with a hoodie; one of the four men was wearing a green cap, but Navarette could not recall which one. After the bouncer patted them down for weapons, the defendant and his companions stopped by the bar for beers and then continued to the back of the room towards the dance floor.

Between 1:00 and 1:30 a.m., Ojeda, along with Carlos Solomon, Jonathan Dominguez and another friend, arrived at the Brooklyn bar, having left a nearby strip club where they had been since about 11:30 p.m. Shortly after arriving, Solomon walked to the back of the bar to the men's room. He had been standing with Ojeda in front of a side exit door near a jukebox, not far from the dance floor. On his way to the men's room, Solomon saw defendant dancing with a woman on the dance floor.

After rejoining Ojeda, Solomon witnessed defendant approach Ojeda and whisper something in his ear. He could not hear what was being said, "[b]ut there was [a] conversation going on." Defendant was joined by two of his friends. Solomon asked one of these men, "Is there a problem?" and the two began to quarrel. Then "all of a sudden" Solomon saw defendant "strike" or "punch" Ojeda twice in Ojeda's left shoulder or chest. Likewise,

1. This was defendant's second trial; the first ended in a mistrial as a result of a hung jury (see *Matter of Rivera v Firetog*, 11 NY3d 501 [2008] [dismissing defendant's CPLR article 78 petition to preclude a retrial for murder on double jeopardy grounds]). During the first trial, Supreme Court dismissed the weapon possession charge.

Navarette saw defendant abruptly “push” Ojeda with one hand “twice, maybe” on the upper left side of Ojeda’s chest near his shoulder. Neither Solomon nor Navarette noticed whether anything was in defendant’s hand.

The bouncer rushed in to break up the fighting, and Navarette followed to back him up. Defendant and one of his companions quickly left the Brooklyn bar, chased by the bouncer, and Navarette stayed behind to stop anyone from following. Navarette separated Solomon and Dominguez from defendant’s remaining companion, who turned out to be defendant’s brother, Julio Rivera, but they both managed to throw punches at Julio before he, too, left the bar.

Dominguez had been standing with his back to Ojeda and Solomon, talking to someone, before he became aware of the “scuffle” behind him and turned around. When Dominguez asked Ojeda and Solomon what was happening, Ojeda replied “I’m stabbed.” Dominguez saw blood “leaking down” from Ojeda’s neck. Ojeda, although choking and bleeding heavily, was able to make it on his own to Solomon’s car, parked near the Brooklyn bar. Solomon drove Ojeda, along with Dominguez and their other friend, to Lutheran Medical Center, about 20 blocks distant, running red lights along the way. The trip took minutes, but Ojeda lost consciousness before reaching the hospital, where medical personnel were unable to revive him. Ojeda was apparently the only individual to suffer knife wounds during this incident.

Later on February 27, 2005, Dr. Frede Frederic, a forensic pathologist who works as a medical examiner in New York City’s Office of Chief Medical Examiner, autopsied Ojeda. Frederic, who had by that point in her career performed more than 5,000 autopsies, determined that Ojeda suffered three stab wounds. One stab wound was in the upper left chest and was about five inches deep and 1 $\frac{1}{4}$ inches long. This wound pierced the upper lobe of the left lung and “cut through” the second rib, causing Ojeda to bleed to death. The second stab wound was to the left upper back. It was 2 $\frac{1}{4}$ inches deep and about 1 $\frac{1}{4}$ inches long. The third wound, also in the back of the left shoulder, was two inches deep and about 1 $\frac{1}{4}$ inches long. These last two nonlethal stab wounds injured the skin, subcutaneous tissue and muscle of the left shoulder.

All three wounds went from left to right and downward at an acute angle, and were consistent with having been inflicted with

the same knife or sharp instrument, which was either sharp on both sides or had a very thin edge on the unsharpened side. Dr. Frederic opined at trial that Ojeda's wounds could not have been caused by someone "waving" a knife around because "you have to stab the person. The knife has to go through." According to Dr. Frederic, the fatal stab wound would have caused Ojeda to bleed profusely, lose consciousness in a few minutes, after the loss of enough blood, and then die a few minutes later.

On February 28, 2005, two detectives went to an apartment believed to be defendant's residence to search for him. There they met defendant's brother Julio, who had been with defendant at the Brooklyn bar, and returned to the precinct with him. Later that morning, at about 1:20 a.m., detectives returned to this apartment. They knocked on the door and were let in by defendant's mother. One of the detectives noticed a green camouflage jacket, brown hoodie sweatshirt and green army cap lying on the bedroom floor; bloodstains on the cap were subsequently matched to Ojeda's DNA. Defendant acknowledged having worn this green cap to the bar on February 27th.

A few hours later, Detective John Darino, the detective assigned to the Ojeda case, learned from defendant's brother Julio that defendant was at a house in Queens, where the police found him at 4:20 a.m. Detective Darino informed defendant that he was investigating an incident at a Brooklyn bar, and handcuffed and transported him to the precinct, where he was taken to the detective squad interview room. Detective Darino read defendant his *Miranda* rights, and defendant agreed to speak with the police.² Detective Darino told defendant that people had placed him in the Brooklyn bar, and he wanted defendant's version of what happened.

Defendant relayed that when he went up to the bar to buy a round of drinks, he got "looks" from someone who asked him "What's up?" He responded "What's your problem?" Defendant said he then felt "grabbing and punching," and so took out a knife and "started swinging it at the crowd," and "didn't know that he actually hit anybody or hurt anyone." He then left the premises, "jumped in his car" and drove away. Detective Darino asked defendant if he would be willing to write out a statement, and defendant agreed to do so.

In his written statement, which was read to the jury, defendant similarly stated as follows:

2. Defendant claimed at trial that he was not read his *Miranda* rights until *after* he made oral and written statements.

“While I was [at the Brooklyn bar] having a few drinks I had a small confrontation with a guy. It was just words, but as the night goes on, I’m getting these eyes . . . contacted [sic] but nothing to it. Now, as I go to the bar to get my second round, the guy is still looking at me and I happen to look back at him. So he said ‘What’s up?’ and I asked him what seems to be the problem. And right away the crowd rose. Then I felt punches and grabbing. So I take out a knife, used it in self defense, swinging it at the crowd not knowing that I really hurt anyone. I got out of there, got in my car and went home. I didn’t know someone was hurt. It was self defense. I didn’t mean it. I was just scared. I know by saying sorry is not going to bring that person back, but I really didn’t mean this to go down this way. I’m very sorry.”

On February 28th, defendant also gave a videotaped statement to the assistant district attorney, which was shown to the jury. When asked during the videotaped statement to demonstrate how he wielded the knife, defendant, who was sitting, moved his arm weakly at mid-chest level from right to left at a slight downward angle. Additionally, he told the assistant district attorney that he threw the knife away after he left the Brooklyn bar. Later that day, Navarette and Solomon separately identified defendant in a lineup.

At trial, defendant’s brother Julio testified that he had gone to the Brooklyn bar with defendant and two other friends, Little Julio and J.P. Julio reported that he had heard men cursing, observed “hand gestures” and “pointing fingers” and that he had gone towards them and “just got in the middle.” Julio separated the two groups of men, but when one of them punched him, he hit back, and then “all the punches started going off.” J.P. grabbed Julio, “trying to get” him out of the Brooklyn bar. Julio said that he would not leave without defendant, but then he saw that defendant and one of the bouncers were already almost out the door.

Defendant testified on his own behalf. He recounted that after watching a boxing match and drinking beer with his brother Julio at the barbershop that he operated with another brother, he and Julio went to the Brooklyn bar to meet friends. Defendant denied bringing a knife with him. Defendant related that when he received a phone call, he stepped into the men’s room

so that he could hear his caller over the loud music. When Ojeda walked in and commented “This ain’t no phone booth,” defendant hung up and rejoined his friends. Upon leaving the men’s room, Ojeda purposely “brushed into” defendant, staring at him “a little aggressive[ly]” as he walked by. Defendant assumed Ojeda was drunk and “[paid] it no mind,” but he “let Little Julio know.” Defendant finished his drink and went to the bar to buy another round for himself and his friends.

After purchasing the drinks, defendant looked around for one of his friends to help him carry them. Defendant saw Ojeda, who looked his way and “bopped his head like ‘What’s up?’ ” At this point, defendant thought “this kid, he[s] really got a problem,” so he went over to Ojeda and asked “[W]hat seems to be the problem?” Ojeda replied, “ ‘I ain’t got no problem. You got a problem?[]’ ” Meanwhile, Little Julio joined defendant, who took out a business card for his barbershop, gave it to Ojeda and told him to come visit him sometime. As defendant was trying in this way to defuse the “hostility” projected by Ojeda, Solomon approached and stood “real close.” Then defendant’s brother Julio arrived. By this time, there was “a little cursing going back and forth.” Defendant was trying to get Little Julio to calm down, but then Solomon “took a swing” at defendant and hit him. He reacted by throwing punches, hitting both Ojeda and Solomon. Defendant denied possessing or wielding a knife.

According to defendant, a bouncer then “manhandled” him out the door onto the sidewalk. Finding the door locked behind him, defendant went to his car and turned on the ignition. Little Julio exited the Brooklyn bar and joined defendant, who did not want to leave without his brother Julio. When Little Julio got into the car, defendant noticed “blotches” of blood on the chest or shoulder of his jacket.³ Defendant asked Little Julio where the blood came from, and Little Julio assured him that he was not bleeding. On cross-examination, defendant conceded that he had never before mentioned the presence of blood on Little Julio’s jacket.

Defendant radioed his brother Julio on a walkie-talkie, and his brother eventually radioed back that he and J.P. were on their way to a diner that was a neighborhood meeting place

3. Defendant also testified, though, that he did not observe the blood until the end of the evening, when he dropped Little Julio off near his residence. Defendant’s attorney suggested at trial that Ojeda’s blood might have gotten on defendant’s green cap by virtue of contact with the bloody splotches that defendant professes to have observed on Little Julio’s jacket.

after a night of clubbing. Defendant then drove off with Little Julio and met up with Julio and J.P. Defendant thought “the night was too young,” but Julio and J.P. told him they were going home. Defendant made a phone call to a female friend, and dropped off Little Julio near the apartment building where he lived.

Defendant claimed that he confessed, after he was brought to the precinct on February 28th, because Detective Darino threatened that if he did not, both he and his brother Julio would be charged with murder, and Julio would face life imprisonment. According to defendant, Detective Darino told him that the police knew that he was “kicked out” of the Brooklyn bar and Julio was left behind; that his brother was now at the precinct “being charged with murder” because he tried to protect defendant in the fight; and that if defendant “[took] the weight” for (i.e., confessed to) killing Ojeda in self-defense, Julio would be freed and defendant would only face 8 to 10 years in prison. Detective Darino testified that he never made any such threats or representations to defendant.

During the charge conference, defendant requested that Supreme Court submit second-degree manslaughter (Penal Law § 125.15 [1]) and criminally negligent homicide (Penal Law § 125.10) to the jury as lesser included offenses of the murder count. Defense counsel argued that “if you’re swinging a knife at a crowd[, i]t’s like firing a weapon at a crowd. It’s reckless,” and therefore not intentional. The trial judge refused this request, noting that the medical examiner had testified that the stab wounds “could not have been inflicted by someone just swinging a knife around. They had to have been stabbed—stabbing wounds caused by intentional infliction. So there is no basis to submit a reckless count on the evidence in this case.”

Supreme Court submitted the indicted charge of second-degree murder (Penal Law § 125.25 [1]) and first-degree manslaughter (Penal Law § 125.20 [1]) as a lesser included offense. The judge also charged the jury on intoxication as relevant to intent (Penal Law § 15.25).⁴ The jury acquitted defendant of murder and found him guilty of first-degree manslaughter (Penal Law § 125.20 [1]). On June 8, 2009, Supreme Court adjudicated defendant a second violent felony offender and sentenced him to a determinate prison term of 25 years to be followed by five years of postrelease supervision.

4. Viewed in the light most favorable to defendant, he consumed five to seven beers over the three-hour period prior to the stabbing.

Defendant appealed, arguing that the court violated his due process right to a fair trial by refusing to submit second-degree manslaughter to the jury because a reasonable view of the evidence supported the conclusion that he killed Ojeda recklessly. On November 7, 2012, the Appellate Division affirmed, holding that there was, in fact, “no reasonable view of the evidence that would support a finding that the defendant acted recklessly when he stabbed the victim” (100 AD3d 658, 660 [2d Dept 2012]). On March 1, 2013, a Judge of this Court granted defendant leave to appeal (20 NY3d 1103 [2013]), and we now affirm.

II.

A party who seeks to have a lesser included crime charged to the jury must satisfy a two-pronged inquiry. First, the crime must be a lesser included offense within the meaning of Criminal Procedure Law § 1.20 (37).⁵ Here, defendant asked the trial judge to charge second-degree manslaughter, which is a lesser included crime of second-degree intentional murder (*see People v Tai*, 39 NY2d 894 [1976] [reckless manslaughter is a lesser included offense of intentional murder]). Second, the party making the request for a charge-down “must then show that there is a reasonable view of the evidence in the particular case that would support a finding that [the defendant] committed the lesser included offense but not the greater” (*People v Glover*, 57 NY2d 61, 63 [1982]; CPL 300.50 [1]).⁶ In assessing whether there is a “reasonable view of the evidence,” the proof must be

5. This provision defines “Lesser included offense” as follows:

“When it is impossible to commit a particular crime without concomitantly committing, by the same conduct, another offense of lesser grade or degree, the latter is, with respect to the former, a ‘lesser included offense.’ In any case in which it is legally possible to attempt to commit a crime, an attempt to commit such crime constitutes a lesser included offense with respect thereto” (CPL 1.20 [37]).

6. Subdivision (1) of this provision, which is entitled “Court’s charge; submission of lesser included offenses,” states, as relevant, that

“[i]n submitting a count of an indictment to the jury, the court in its discretion may, in addition to submitting the greatest offense which it is required to submit, submit in the alternative any lesser included offense if there is a reasonable view of the evidence which would support a finding that the defendant committed such lesser offense but did not commit the greater. If there is no reasonable view of the evidence which would support such a finding, the court may not submit such lesser offense” (CPL 300.50 [1]).

(n. cont’d)

looked at “in the light most favorable to [the] defendant” (*People v Martin*, 59 NY2d 704, 705 [1983]), which requires awareness of “the jury’s right to accept some part of the evidence presented by either side and reject other parts of that proof” (*People v Green*, 56 NY2d 427, 434 [1982]). We have never, however, “countenance[d] selective dissection of the integrated testimony of a single witness as to whom credibility, or incredibility, could only be a constant factor” (*People v Scarborough*, 49 NY2d 364, 373 [1980]; see also *People v Negron*, 91 NY2d 788, 792 [1998]).

A “reasonable view of the evidence” does not mean, as defendant insists, that a trial court must charge reckless manslaughter as a lesser included offense of second-degree murder unless the record “completely excludes the possibility that the defendant acted recklessly.” Rather, in *Scarborough* we rejected this notion that “every possible hypothesis but guilt of the higher crime must be excluded to eliminate submission of lesser included crimes” (*Scarborough*, 49 NY2d at 372 [internal quotation marks omitted]); or that “reasonable view” means “any view,” with the consequence that “the spectrum of all theoretical lesser included offenses . . . would have to be charged on request in each case within each family of criminal transactions, e.g., controlled substances, larceny, theft, assault, homicide, sex offenses” (*id.* at 373). Instead, we held in *Scarborough* that

“if, on the whole record, there is not some identifiable, rational basis on which the jury could reject a portion of the prosecution’s case which is indispensable to establishment of the higher crime and yet accept so much of the proof as would establish the lesser crime, then the lesser included offense may not be submitted” (*id.* at 369-370).⁷

Without such an identifiable basis, “ ‘charging the lesser included offense would force the jury “to resort to sheer specula-

Subdivision (2) provides that if the court is authorized by subdivision (1) to submit the lesser included offense, it must do so if asked by either party.

7. We gave examples in *Scarborough* of cases where there was a rational basis for a jury to reject proof establishing the greater crime only. We added that

“[o]ther circumstances suggest themselves as possibly presenting a rational ground for a jury’s disbelief of some, but not all, of the prosecution’s proof. If, as is most often so, the People’s case is a composite of several witnesses and perhaps exhibits, some segments of the evidence—and even some portions of a single witness’ testimony—may be impugned, cast in doubt or discredited

(n. cont’d)

tion” ’ ’ ’ (id. at 371, quoting *People v Discala*, 45 NY2d 38, 43 [1978]; see also *Negron*, 91 NY2d at 792).

Here, the question is whether the trial judge should have charged second-degree manslaughter in addition to first-degree manslaughter. First- and second-degree manslaughter and second-degree murder share the actus reus of causing the death of another person. The crimes differ in mens rea: second-degree intentional murder and first-degree or intentional manslaughter require intent to cause death and intent to cause serious physical injury, respectively, while second-degree or reckless manslaughter requires only a reckless state of mind.⁸ Here, the trial judge charged first-degree manslaughter after determining that a reasonable view of the evidence would support finding that defendant meant to cause serious bodily injury, but did not actually intend to kill Ojeda or anyone else. In contrast, to obtain a second-degree manslaughter instruction, defendant needed to show that a reasonable view of the evidence supported finding that he recklessly caused Ojeda’s death *without* intending to cause serious physical injury.

Again asserting that a trial judge must submit second-degree manslaughter as a lesser included offense of intentional homicide “unless the evidence entirely excludes the possibility that the defendant caused the death recklessly,” defendant posits that “[o]nly in a truly ‘exceptional case’ will the wounds themselves be so numerous or extreme that they can be relied on to rule out a reckless homicide.” He cites *People v Butler* (84 NY2d 627 [1994]) as an example of such an “exceptional case,” noting that the victim there suffered three head contusions and 34 kitchen knife stab wounds, nine of which were lethal, while here, there were three stab wounds, only one of which was fatal.

First, as discussed earlier, defendant misstates the test for determining whether a trial judge must charge a lesser included offense. Second, the main issue in *Butler* was whether, since the trial judge gave an instruction on the possible effect of intoxication on the defendant’s mental state, he was thereby required to instruct the jury on intentional and reckless manslaughter.

by the introduction of contradictory proof or by disclosure on cross-examination of faulty memory, bias, lack of adequate vantage point for observation and the like” (id. at 371).

8. A prima facie case of second-degree manslaughter entails “the creation of a substantial and unjustifiable risk; an awareness and disregard of the risk on the part of the defendant; and a resulting death” (*People v Licitra*, 47 NY2d 554, 558 [1979]).

We held that the judge was not under any such obligation, and repeated then-Judge Fuld’s warning that a court

“ ‘should avoid doing anything, such as submitting lower crimes in an inappropriate case, that would constitute an invitation to the jury to foreswear its duty and return a compromise or otherwise unwarranted verdict. Or, to express the matter in somewhat different terms, the jury’s power to dispense mercy, by favoring the defendant despite the evidence, should not be allowed so to dominate the trial proceedings as to impede or interfere with the jury’s primary fact-finding function’ ” (*id.* at 632, quoting *People v Mussenden*, 308 NY 558, 563 [1955]).

The People took the position in *Butler* that the “nature and brutality of the slaying,” showed that the defendant could only have acted with an intent to kill, “irrespective of the arguable intoxication palliative offered to the jury” (*Butler*, 84 NY2d at 634). We agreed with the People that, in light of the facts in *Butler*, no instruction on either first- or second-degree manslaughter was “warranted or compelled” because “[t]he crime was intentional murder in the second degree or nothing, under the law and under the explicit instructions that were given” (*id.*).

Thus, *Butler* does not stand for the proposition, advocated by defendant, that reckless manslaughter *must* be charged unless a murder victim’s wounds are “numerous or extreme.” No minimum number of knife wounds is required to manifest intent (*see e.g. People v Lopez*, 72 AD3d 593, 593 [1st Dept 2010] [court properly declined to submit reckless manslaughter to the jury as a lesser included offense where a “(d)efendant’s conduct in inflicting a very deep stab wound to the victim’s vital organs could only be interpreted as evincing a deliberate design to cause the victim’s death, or at least gravely injure him, and the crime was intentional or nothing”] [citing *Butler*]; *People v Henderson*, 110 AD3d 1353, 1354 [3d Dept 2013] [the defendant’s request to charge the lesser included offense of second-degree manslaughter was properly denied where he “admitted that he intended to hurt the victim when he stabbed him and, based on the nature and force of the fatal stab wound, the only reasonable view of (his) conduct was that it was intentional”] [citing *Butler*]).

Finally, defendant argues that testimony from his brother Julio, if credited by the jury, would substantiate that he

harbored no animus towards Ojeda, but rather “acted recklessly in causing [Ojeda’s] death during a chaotic barroom brawl[] . . . among numerous men all of [whom] had been drinking.” And according to defendant, his pretrial statements, viewed in the light most favorable to him, show that he recklessly waved a knife around during the melee and did not even know that he had hurt anyone.

This record, however, does not reasonably support that defendant acted with mere recklessness. To credit defendant’s pretrial statements about indiscriminately waving a knife, the jury would have to disregard the forensic pathologist’s testimony that Ojeda’s wounds could not have been inflicted in that way because they were stab wounds—the fatal one delivered forcefully enough to plunge five inches deep into his chest, piercing his left lung and cutting through a rib. The jury would have to discount the pathologist’s uncontroverted description of the depth, angle and location of Ojeda’s wounds, which were all delivered to the upper left chest area where vital organs (the heart, lungs) are located.

There is simply not any “identifiable, rational basis on which the jury could reject” the pathologist’s testimony and the evidence of the nature and depth of Ojeda’s wounds (*see Scarborough*, 49 NY2d at 369). Three penetrating stab wounds to the same person, who—according to defendant—picked a fight with him, is strong evidence of intent to cause at least serious physical injury, and inconsistent with defendant’s pretrial claims that he aimlessly swung a knife in a crowd of people when caught up in the turmoil and panic of a bar fight, oblivious to the possible consequences of his actions and unaware that he had struck anyone. In sum, on this record there exists “[no] reasonable basis in the evidence for a finding of guilt of the lesser count and rejection of the greater count” (*id.*).⁹

Accordingly, the order of the Appellate Division should be affirmed.

9. The dissent argues that “it would be reasonable to conclude that defendant’s intoxication rendered him unable to appreciate the risk of death he created by aggressively brandishing a knife in the middle of a barroom brawl,” thus justifying a conviction for second-degree manslaughter (dissenting op at 127). On the dissent’s theory of reckless manslaughter, though, the jury would have to speculate that defendant was too drunk to realize that he actually plunged the knife three times into Ojeda, as the undisputed forensic evidence showed, rather than merely waving it indiscriminately and defensively at a crowd, as he claimed in his pretrial statements. This goes well beyond viewing the evidence in the light most favorable to the defendant; rather, the dissent

(n. cont’d)

Chief Judge LIPPMAN (dissenting). In my view, there exists a reasonable view of the evidence that would support a finding that defendant acted recklessly, but not intentionally, when he stabbed Edgar Ojeda, and defendant therefore was entitled to submission of the lesser included offense of second-degree manslaughter.

Defendant's intent has always been the central issue in this case.* The majority's lengthy opinion boils down to the erroneous assessment that the forensic evidence is *conclusive* on that issue. It is true that the nature and severity of the victim's wounds present "strong evidence of intent to cause at least serious physical injury" (majority op at 124). However, the question of whether a defendant was entitled to a charge-down "is not directed at whether persuasive evidence of guilt of the greater crime exists" (*People v Van Norstrand*, 85 NY2d 131, 136 [1995]). Indeed, for our purposes, "evaluation of the persuasiveness of the evidence of guilt of the greater crime is irrelevant" (*People v Green*, 56 NY2d 427, 434 [1982]).

Instead, our inquiry focuses on whether "there is a reasonable view of the evidence in the particular case that would support a finding that the defendant committed the lesser included offense, but not the greater" (*People v Heide*, 84 NY2d 943, 944 [1994]; *see also* CPL 300.50). Critically, to determine whether such a reasonable view exists, we are required to view the evidence in the light most favorable to defendant (*see e.g. People v Martin*, 59 NY2d 704, 705 [1983]; *People v Henderson*, 41 NY2d 233, 236 [1976]).

Viewed in that light, I believe that, notwithstanding the medical evidence, a jury could reasonably find that defendant committed reckless, rather than intentional, homicide. The trial testimony established that Ojeda was stabbed during a late-night barroom brawl between two groups of intoxicated men. When several of the People's witnesses attempted to downplay the chaos of the scene, they were impeached with testimony

constructs a scenario more favorable to defendant than his pretrial statements, apparently on the assumption that he may have been so drunk during the fight that he was unable to accurately recall afterwards how it had unfolded. (As noted earlier, the trial judge charged the jury to consider intoxication as relevant to defendant's intent.)

* At defendant's first trial, where the court did submit second-degree manslaughter as a lesser included offense, the jury struggled with the mens rea element and sought "clarification of the terms 'bodily harm' and 'reckless action'" (*Matter of Rivera v Firetog*, 11 NY3d 501, 504 [2008], *cert denied* 556 US 1193 [2009]). Ultimately, jury deadlock resulted in a mistrial (*id.* at 503).

from defendant's first trial, in which they said the stabbing occurred amidst "a big ruckus," with "[p]eople running back and forth," "screaming," and "yelling." The testimony of defendant's brother Julio similarly depicted a melee in which "all the punches [were] going off" so that he was unable to discern the direction from which the blows were coming. Consistent with the depiction of drunken chaos and confusion, none of the four eyewitnesses who testified actually observed a knife in defendant's hand.

In addition, the People introduced defendant's pretrial statements, from which a jury could reasonably conclude that defendant, in a state of intoxication, wielded the knife in an attempt to repel his opponents, but that he lacked the intent to cause serious physical injury or death. In taking a contrary view, the majority fails to draw reasonable inferences in defendant's favor.

When questioned following his arrest, defendant explained that, moments after he approached Ojeda, the "crowd rose," and defendant "felt punches and grabbing" and the crowd "shifting" around him. He described receiving a blow from an unknown source beside or behind him, reaching for his knife, and "swing[ing] to get out of there." He also expressly denied acting intentionally. Instead he insisted that he "didn't mean it" and was "swinging [the knife] at the crowd," "trying to get out of there." Defendant also explained that he had been intoxicated and could recall almost nothing about Ojeda's appearance. When asked if he swung the knife at the person standing in front of him (Ojeda), defendant replied, "there [were] a few of them standing in front of me." Additionally, contrary to the majority's assertion, it is far from clear that defendant's mild gesticulation in the video was intended to be a reenactment of his motions with the blade. To draw such an inference ignores our duty to view the evidence in the light most favorable to defendant. Viewing defendant's fleeting hand motion in the appropriate light, a jury could reasonably decline to attribute significance to this unremarkable gesture.

Moreover, a factfinder would have reason to doubt the reliability of defendant's recollection given the evidence of his inebriation, which resulted in the issuance of an intoxication charge to the jury. The majority addresses this aspect of the case only to note that, in *People v Butler* (84 NY2d 627, 630 [1994]), we rejected a per se rule that an intoxication charge should automatically entitle a defendant to submission of reck-

less manslaughter as a lesser included offense. What the majority fails to recognize is that *Butler* itself acknowledged that it was an “exceptional case” (*id.* at 631), and noted the “generality” that, “in a great many cases in which an intoxication instruction may be warranted and is given, some corresponding lesser-included offense might be necessitated” (*id.* at 630, 631). In *Butler*, the “severity of the numerous wounds,” 34 in total, “nine of which were individually fatal” (*id.* at 634), warranted an exception. Such an exception is not warranted here. Rather than 34 stab wounds, nine of them lethal, there were three stab wounds, one of which was fatal.

As *Butler* recognizes, entitlement to an intoxication charge will frequently coincide with a reasonable view of the evidence that a defendant possessed a reckless state of mind. Here, it would be reasonable to conclude that defendant’s intoxication rendered him unable to appreciate the risk of death he created by aggressively brandishing a knife in the middle of a barroom brawl. Under our law, such failure of perception due to voluntary intoxication falls within the definition of recklessness (Penal Law § 15.05 [3] [“(a) person who creates (a substantial and unjustifiable) risk but is unaware thereof solely by reason of voluntary intoxication also acts recklessly with respect thereto”]).

In addition, while there may well be “[n]o minimum number of knife wounds . . . required to manifest intent” (majority op at 123), Ojeda’s wounds bore no resemblance to those in cases where the forensic evidence was dispositive of intent (*see Butler*, 84 NY2d at 629-630; *People v Vega*, 68 AD3d 665, 665 [1st Dept 2009] [“49 stab wounds, mostly to (the) victim’s neck and chest,” penetrating “the heart, lung, liver and spleen”]; *People v Alexis*, 65 AD3d 1160, 1160-1161 [2d Dept 2009] [victim’s throat slashed 14 times; two wounds severed the jugular vein]; *People v Collins*, 290 AD2d 457, 458 [2d Dept 2002] [six stab wounds; five fatal]). That Ojeda was stabbed twice in the back of his shoulder, as well as once in the front, reinforces the reasonableness of a finding that defendant swung the knife indiscriminately, albeit forcefully, while the crowd was “shifting” around him. The medical evidence does not, therefore, lead to an inexorable conclusion that “[t]he crime was intentional . . . or nothing” (*Butler*, 84 NY2d at 634).

Finally, the cases cited by the majority, in which defendants were denied a charge-down based on the nature of wounds less numerous than those in *Butler*, are readily distinguishable on

their facts, or lack thereof (see *People v Henderson*, 110 AD3d 1353 [3d Dept 2013], and *People v Lopez*, 72 AD3d 593 [1st Dept 2010]). While the circumstances surrounding the stabbing in *Lopez* are not recounted in the opinion, the stabbing in *Henderson* clearly occurred during a one-on-one confrontation in an apartment (*Henderson*, 110 AD3d at 1353), not a tumultuous altercation in the midst of a crowded bar. There was also proof in *Henderson* that the defendant confronted the victim, left to retrieve a knife, and committed the stabbing upon his return, having expressed a desire “to even the odds” (*Henderson*, 110 AD3d at 1353). Such circumstances are simply inapposite to the facts here, especially since there is no indication that either *Lopez* or *Henderson* involved evidence of intoxication.

In sum, the testimony regarding the chaotic bar fight, combined with defendant’s post-arrest statements and the evidence of his intoxicated state, provided a reasonable basis to find defendant guilty of reckless manslaughter and to acquit on the intentional counts. Under these circumstances, it was reversible error to refuse defendant’s request for a charge of manslaughter in the second degree. Accordingly, I would reverse the Appellate Division order and grant defendant a new trial.

Judges GRAFFEO, SMITH, PIGOTT and RIVERA concur with Judge READ; Chief Judge LIPPMAN dissents and votes to reverse in an opinion in which Judge ABDUS-SALAAM concurs.

Order affirmed.

[12 NE3d 456, 989 NYS2d 458]

MASHREQBANK PSC, Appellant, v AHMED HAMAD AL GOSAIBI & BROTHERS COMPANY, Defendant and Third-Party Plaintiff-Respondent. MAAN ABDUL WAHEED AL-SANEA, Third-Party Defendant-Appellant, et al., Third-Party Defendant.

Argued February 19, 2014; decided April 8, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 25, 2012. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment of the Supreme Court, New York County (Richard B. Lowe, III, J.), which had dismissed the action and the third-party action; (2) vacated the judgment; (3) reinstated the complaints; and (4) dismissed, as subsumed in the appeal from the judgment, an appeal from so much of an order of that court (op 2010 NY Slip Op 33909[U] [2010]) as had granted third-party defendant Maan Abdul Waheed Al-Sanea's motion to dismiss the third-party action on forum non conveniens grounds. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the judgment of the Supreme Court, properly made?"

Mashreqbank PSC v Ahmed Hamad Al Gosaibi & Bros. Co., 101 AD3d 1, reversed.

HEADNOTES

Courts — Forum Non Conveniens — Propriety of Dismissal of Main Action on Court's Own Motion Following Dismissal of Third-Party Action

1. In an action arising from a fraudulent foreign exchange transaction involving a foreign national and several foreign entities, Supreme Court, having granted third-party defendant's motion to dismiss the third-party action on forum non conveniens grounds, was not barred from dismissing the main action because of the inconvenience of the forum where the issue was briefed and argued before the motion court though no party formally moved to dismiss plaintiff's complaint on that ground. CPLR 327 (a) permits a court, on the motion of any party, to stay or dismiss an action in whole or in part on any conditions that may be just when the court finds that in the interest of substantial justice the action should be heard in another forum. Under the statute, a court does not have the authority to invoke the doctrine of forum non conveniens on its own motion, but only upon the motion of a party, as there is an obvious potential for unfairness when a case is dismissed on the basis of an issue that no party has raised or addressed. Nevertheless, where, as here, Supreme Court gave the parties a full opportunity to address the is-

sue, no reason existed to read CPLR 327 (a) as prohibiting a forum non conveniens dismissal of the main action where only the formality of a document labeled “notice of motion” was lacking and where defendant, the only party opposed to dismissal, neither objected to nor was prejudiced by the omission of that formality.

Courts — Forum Non Conveniens — New York’s Interest in International Banking Transaction

2. In an action arising from a fraudulent foreign exchange transaction involving a foreign national and several foreign entities, the Appellate Division erred in reversing Supreme Court’s dismissal of the third-party complaint on forum non conveniens grounds by giving great weight to the use of New York banks to accomplish the dollar transfers underlying the transaction. Any passage of funds through New York banks does not automatically implicate New York’s compelling interest in the protection of its banking system thereby providing a weighty argument against a forum non conveniens dismissal. While New York’s interest in the integrity of its banks is compelling, that interest is not significantly threatened every time one foreign national, effecting what is alleged to be a fraudulent transaction, moves dollars through a bank in New York. Not every party aggrieved by the outcome of an international financial transaction may bring its grievance to the New York courts.

Courts — Forum Non Conveniens — Application of New York Law to International Banking Transaction

3. In an action arising from a fraudulent foreign exchange transaction involving a foreign national and several foreign entities, the Appellate Division erred in reversing Supreme Court’s dismissal of the third-party complaint on forum non conveniens grounds by concluding that the allegations in the third-party complaint, taken as true, would require the application of New York law to the third-party claims. Under New York’s “interest analysis” approach, courts seek to effect the law of the jurisdiction having the greatest interest in resolving the particular issue. Here, the third-party claims arose in a suit by a Saudi Arabian company against its employee, a Saudi citizen, who allegedly committed fraudulent acts in Saudi Arabia. Although the parties used New York banks to facilitate the dollar transfers underlying the transaction, no party was a New York resident and no relevant conduct apart from the execution of fund transfers occurred in New York.

Courts — Forum Non Conveniens — Corrective Action for Erroneous Reversal of Forum Non Conveniens Dismissals

4. In an action arising from a fraudulent foreign exchange transaction involving a foreign national and several foreign entities, where Supreme Court was correct as a matter of law in dismissing both the complaint and the third-party complaint on forum non conveniens grounds and the Appellate Division erred in reversing the dismissals, the appropriate corrective action was to reinstate Supreme Court’s judgment dismissing the complaints. Although remittal to the Appellate Division for reconsideration under the correct legal principles would be appropriate in a case in which either result could be reached in a sound exercise of discretion, dismissal on forum non conveniens grounds was required as a matter of law here as, apart from the use of New York banks to facilitate the dollar transfers underlying the transaction, there was nothing to justify resort to a New York forum. No party was a New York resident; no relevant conduct apart from the execution of fund transfers occurred in New York; no party had identified any important New

York witnesses or New York documents; New York law did not apply; no property related to the dispute was located in New York; no related litigation was pending in New York; and no other circumstance supported an argument that New York was an appropriate forum. Moreover, alternatives to a New York forum were available given that the parties' briefs referred to a number of related investigations or litigations pending in several foreign countries.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Courts §§ 116, 124; AM JUR 2d, Federal Courts §§ 1194, 1353–1356, 1360, 1367; AM JUR 2d, Pleading § 515; AM JUR 2d, Venue §§ 58, 60.

CARMODY-WAIT 2d, Courts and Their Jurisdiction §§ 2:81, 2:83–2:89, 2:91–2:94, 2:97; CARMODY-WAIT 2d, Parties §§ 19:178–19:180; CARMODY-WAIT 2d, Pretrial Motions to Dismiss § 138:130.

McKINNEY'S, CPLR 327 (a).

NY JUR 2d, Appellate Review § 707; NY JUR 2d, Courts and Judges §§ 679, 686, 690–696, 701, 704, 708; NY JUR 2d, Parties § 191; NY JUR 2d, Summary Judgment and Pretrial Motions to Dismiss § 123.

SIEGEL, NY PRAC §§ 28–29, 116.

ANNOTATION REFERENCE

See ALR Index under Banks; Conflict of Laws; Dismissal, Discontinuance, and Nonsuit; Foreign Corporations; Forum Non Conveniens; Parties; Own Motion of Court.

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POINTS OF COUNSEL

Cleary Gottlieb Steen & Hamilton LLP, New York City (*Carmine D. Boccuzzi*, *David E. Brodsky*, *Liana Roza Vitale* and *Danielle J. Levine* of counsel), for appellant. I. The Appellate Division decision conflicts with *Islamic Republic of Iran v Pahlavi* (62 NY2d 474 [1984]) because a purported lack of alternative forum is not a bar to dismissal for forum non conveniens. (*Gryphon Dom. VI, LLC v APP Intl. Fin. Co.*, B.V., 41 AD3d 25; *Piper Aircraft Co. v Reyno*, 454 US 235; *Shin-Etsu Chem. Co., Ltd. v ICICI Bank Ltd.*, 9 AD3d 171.) II. The mere fact that electronic funds flowed through a New York bank account in connection with an otherwise wholly foreign dispute

does not compel New York courts to hear the case. (*J. Zeevi & Sons v Grindlays Bank [Uganda]*, 37 NY2d 220; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Licci v Lebanese Can. Bank*, SAL, 20 NY3d 327; *Silver v Great Am. Ins. Co.*, 29 NY2d 356.) III. The Appellate Division's incorrect choice of law analysis further contributed to its erroneous reversal of the Supreme Court. (*Banco Nacional Ultramarino v Chan*, 169 Misc 2d 182, 240 AD2d 253; *Schultz v Boy Scouts of Am.*, 65 NY2d 189.) IV. The Appellate Division erred in concluding that the bar on sua sponte dismissals for forum non conveniens applied here. (*VSL Corp. v Dunes Hotels & Casinos*, 70 NY2d 948; *Imperial Imports Co. v Neu & Sons*, 161 AD2d 411; *Matter of Smith v Miller*, 237 AD2d 294; *Banco do Estado de Sao Paulo v Mendes Jr. Intl. Co.*, 249 AD2d 137.) V. In the alternative, the Appellate Division abused its discretion. (*Patriot Exploration, LLC v Thompson & Knight LLP*, 16 NY3d 762.)

Gibson, Dunn & Crutcher LLP, New York City (*Robert F. Serio, Gabriel Herrmann and Christopher Muller* of counsel), for third-party defendant-appellant. I. The Appellate Division's application of the forum non conveniens factors to this case was predicated on fundamental legal errors. (*Martin v Mieth*, 35 NY2d 414; *Silver v Great Am. Ins. Co.*, 29 NY2d 356; *Islamic Republic of Iran v Pahlavi*, 62 NY2d 474; *Mensah v Moxley*, 235 AD2d 910; *Shin-Etsu Chem. Co., Ltd. v ICICI Bank Ltd.*, 9 AD3d 171; *Wentzel v Allen Mach.*, 277 AD2d 446; *World Point Trading PTE. v Credito Italiano*, 225 AD2d 153; *P.T. Delami Garment Indus. v Cassa di Risparmio di Torino*, 164 Misc 2d 38; *A & M Exports v Meridien Intl. Bank*, 207 AD2d 741; *Troni v Banca Popolare Di Milano*, 129 AD2d 502.) II. The Appellate Division erred in holding that the dismissal of the first-party claims was an improper sua sponte act. (*Sosa v Cumberland Swan*, 210 AD2d 156; *Banco do Estado de Sao Paulo v Mendes Jr. Intl. Co.*, 249 AD2d 137; *Matter of Smith v Miller*, 237 AD2d 294; *VSL Corp. v Dunes Hotels & Casinos*, 70 NY2d 948; *Todtman, Young, Tunick, Nachamie, Hendler, Spizz & Drogin v Richardson*, 231 AD2d 1; *Matter of Bernz [Widschi]*, 139 AD2d 444; *Imperial Imports Co. v Neu & Sons*, 161 AD2d 411; *Kearns v Johnson*, 238 AD2d 121; *Martin v Mieth*, 35 NY2d 414; *Matter of Birchwood Vil. LP v Assessor of the City of Kingston*, 94 AD3d 1374.) III. Alternatively, the Appellate Division should have affirmed dismissal of the third-party case against Maan Abdul Waheed Al-Sanea for lack of personal jurisdiction. (*Copp v Ramirez*, 62 AD3d 23; *de Capriles v Lugo*, 293 AD2d 405; *Johnson v Ward*, 4 NY3d 516; *PDK Labs, Inc. v G.M.G. Trans W. Corp.*, 101 AD3d

970; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Licci v Lebanese Can. Bank*, SAL, 20 NY3d 327.)

Lewis Baach PLLC, Washington, D.C. (Bruce R. Grace and Eric L. Lewis of counsel), for respondent. I. The Appellate Division properly determined that Ahmed Hamad Al Gosaibi & Brothers Company’s third-party complaint should not be dismissed on forum non conveniens grounds. (*Islamic Republic of Iran v Pahlavi*, 62 NY2d 474; *Piper Aircraft Co. v Reyno*, 454 US 235; *Banco Nacional Ultramarino v Chan*, 169 Misc 2d 182, 240 AD2d 253; *J. Zeevi & Sons v Grindlays Bank [Uganda]*, 37 NY2d 220; *Wells Fargo Asia Ltd. v Citibank, N.A.*, 936 F2d 723; *Indosuez Intl. Fin. B.V. v National Reserve Bank*, 279 AD2d 408, 98 NY2d 238; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Licci v Lebanese Can. Bank*, SAL, 20 NY3d 327; *American BankNote Corp. v Daniele*, 45 AD3d 338.) II. The Appellate Division correctly concluded that Supreme Court engaged in improper sua sponte action in dismissing the first-party claims. (*VSL Corp. v Dunes Hotels & Casinos*, 70 NY2d 948; *Sirius Am. Ins. Co. v Vigo Constr. Corp.*, 48 AD3d 450; *D’Ambrosio v City of New York*, 55 NY2d 454; *Daniels v City of New York*, 7 NY3d 825; *Hecht v City of New York*, 60 NY2d 57; *Mahmood v Gutman*, 81 AD3d 792; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473; *Banco do Estado de Sao Paulo v Mendes Jr. Intl. Co.*, 249 AD2d 137; *Matter of Smith v Miller*, 237 AD2d 294; *Imperial Imports Co. v Neu & Sons*, 161 AD2d 411.) III. The court had personal jurisdiction over Maan Abdul Waheed Al-Sanea. (*J. Zeevi & Sons v Grindlays Bank [Uganda]*, 37 NY2d 220.)

OPINION OF THE COURT

SMITH, J.

We held in *VSL Corp. v Dunes Hotels & Casinos* (70 NY2d 948 [1988]) that it was error for the Appellate Division to dismiss a complaint sua sponte on forum non conveniens grounds, adding that such a dismissal may occur “only upon the motion of a party” (*id.* at 949). Here, though no party formally moved to dismiss plaintiff’s complaint because of the inconvenience of the forum, the issue was briefed and argued at Supreme Court. We hold that VSL did not bar the court from dismissing the complaint under these circumstances. We also hold that, on this record, Supreme Court was correct as a matter of law in dismissing both the complaint and the third-party complaint.

I

The case arises out of a transaction between Mashreqbank PSC (Mashreq), a bank located in Dubai, United Arab Emirates, and Ahmed Hamad Al Gosaibi & Brothers Company (AHAB), a partnership with its headquarters in Khobar, Saudi Arabia. According to Mashreq's complaint, Mashreq and AHAB agreed to a "foreign exchange swap transaction of US Dollars for Saudi Arabian riyals." Mashreq agreed to, and did, transfer \$150 million to AHAB on April 28, 2009, wiring the money to AHAB's account at Bank of America in New York. AHAB, according to Mashreq, agreed to pay Mashreq an equivalent value in riyals on May 5, 2009, but the riyals were not paid.

Mashreq sued AHAB to collect the alleged debt. It chose to do so in New York Supreme Court, believing (mistakenly, as it turned out) that it would be able to reach AHAB assets here. AHAB filed an answer (including a counterclaim) and a third-party complaint, naming as third-party defendants a citizen of Saudi Arabia, Maan Abdul Waheed Al-Sanea (Al-Sanea), and Awal Bank BSC (Awal), a bank, headquartered in the Kingdom of Bahrain, that Al-Sanea controlled. AHAB's pleading alleged that Al-Sanea, an AHAB employee, had "engaged in a massive scheme to loot AHAB"; that the purported foreign exchange transaction on which Mashreq sued was part of that scheme; and that by participating in that and other corrupt transactions Mashreq had aided and abetted Al-Sanea's fraud. AHAB also alleged that the \$150 million paid by Mashreq had been transferred at Al-Sanea's direction from Bank of America to Awal's account at the New York branch of another bank.

Al-Sanea moved to dismiss the third-party complaint on the ground of forum non conveniens. (Awal is said to be insolvent, and did not participate in the motion practice below or in this appeal.) No forum non conveniens motion was addressed to Mashreq's complaint. During an oral argument on another motion, however, Supreme Court suggested that, if the forum non conveniens argument had merit, it would require dismissal of the whole case. The court directed the parties to brief and argue the forum non conveniens issue, which they did. Mashreq, though it had originally chosen New York as a forum, said that, having found no AHAB assets in New York, it had "no objection" to a forum non conveniens dismissal. AHAB, however, argued that the case should remain in New York, while Al-Sanea urged the court to dismiss the entire action. Supreme Court

dismissed both the complaint and the third-party complaint on forum non conveniens grounds (2010 WL 9535130 [2010]).

The Appellate Division, with two Justices dissenting, reversed (*Mashreqbank PSC v Ahmed Hamad Al Gosaibi & Bros. Co.*, 101 AD3d 1 [1st Dept 2012]). It held that CPLR 327 (a), as interpreted in *VSL*, prohibited the dismissal of the main action on forum non conveniens grounds in the absence of a motion seeking that relief. It also concluded that the dismissal of the third-party complaint was an improvident exercise of discretion. In reaching the latter ruling, the Appellate Division majority gave great weight to the use of New York banks to accomplish the dollar transfers from Mashreq to AHAB and from AHAB to Awal. Relying on *J. Zeevi & Sons v Grindlays Bank (Uganda)* (37 NY2d 220 [1975]), the court observed “that New York has a compelling interest in the protection of the native banking system from misfeasance or malfeasance” (*id.* at 8). The Appellate Division also relied on its view that, if the allegations in the third-party complaint were accepted as true, the third-party claim would be governed by New York law (*id.* at 13).

The Appellate Division dissenters concluded that Supreme Court “did not exceed its authority and providently exercised its discretion” in dismissing the whole case (*id.* at 13 [Andrias, J., dissenting]). The dissent found *VSL* distinguishable because the parties here had the opportunity to litigate the forum non conveniens issue (*id.* at 14-16). The dissent also found *Zeevi* to be distinguishable because the repudiation of the obligation at issue in the *Zeevi* lawsuit occurred in New York (*id.* at 19). By contrast, the dissenters found that the New York “contact” here was “peripheral and transitory”—i.e., all that happened was that “the proceeds of Al Sanea’s fraudulent scheme passed through the New York banking system” (*id.* at 19).

The Appellate Division granted Mashreq (now arguing for the dismissal of its own complaint) and Al-Sanea leave to appeal, certifying the question of whether its order was properly made. We answer the question in the negative, and reverse.

II

The forum non conveniens doctrine is codified in CPLR 327 (a), which says in relevant part:

“When the court finds that in the interest of substantial justice the action should be heard in another forum, the court, *on the motion of any party*,

may stay or dismiss the action in whole or in part on any conditions that may be just” (emphasis added).

We said in *VSL* that under this statute “a court may stay or dismiss an action in whole or in part on forum non conveniens grounds only upon the motion of a party; a court does not have the authority to invoke the doctrine on its own motion” (70 NY2d at 949). But *VSL* was very different from the present case. It was a suit by a California plaintiff against a New York defendant that had guaranteed the performance of a construction contract to be performed in Nevada. The defendant moved to dismiss the complaint on statute of limitations grounds, Supreme Court denied the motion, and the defendant appealed to the Appellate Division (*see VSL Corp. v Dunes Hotel & Casinos*, 128 AD2d 23 [1st Dept 1987]). Nothing in either of the published opinions in the case suggests that the doctrine of forum non conveniens was mentioned by any party, either in Supreme Court or in the Appellate Division. Rather, the Appellate Division itself raised the issue, saying:

“We do not reach the merits of the decision below, but dismiss the complaint *sua sponte*, on the ground of forum non conveniens” (128 AD2d at 25).

We in turn reversed the Appellate Division, saying that it “acted outside of its authority in *sua sponte* dismissing the complaint on forum non conveniens grounds” (70 NY2d at 949). Our opinion in *VSL* is a one sentence memorandum, but the rationale for it seems evident: there is an obvious potential for unfairness when an appellate court dismisses a case on the basis of an issue that no party has raised or addressed. *VSL* holds that CPLR 327 (a)’s requirement of a “motion” prohibits such a potentially unfair procedure.

[1] There was no similar risk of unfairness in what happened here. While the idea of dismissing the main complaint on forum non conveniens grounds was first mentioned by the Supreme Court Justice, he gave the parties a full opportunity to address the issue—indeed, he asked them to do so. Al-Sanea argued in favor of dismissing the complaint on forum non conveniens grounds, though he did not serve motion papers seeking that relief. We see no reason to read CPLR 327 (a) as prohibiting a forum non conveniens dismissal where only the formality of a document labeled “notice of motion” was lacking, and where AHAB, the only party opposed to dismissal, neither objected to nor was prejudiced by the omission of that formality.

III

In general, a decision to grant or deny a motion to dismiss on forum non conveniens grounds is addressed to a court's discretion (*Islamic Republic of Iran v Pahlavi*, 62 NY2d 474, 484 [1984]), and we will review it only to decide whether discretion has been abused. But where an Appellate Division decision is premised on errors of law, this Court does not defer to it. Here, the Appellate Division's decision to reverse the dismissal of AHAB's third-party complaint against Al-Sanea was affected by two errors of law.

[2] First, the Appellate Division erroneously read *Zeevi* as holding that any passage of funds through New York banks automatically implicates New York's "compelling interest in the protection of [its] banking system," and thus provides a weighty argument against a forum non conveniens dismissal (101 AD3d at 8). Our state's interest in the integrity of its banks is indeed compelling, but it is not significantly threatened every time one foreign national, effecting what is alleged to be a fraudulent transaction, moves dollars through a bank in New York. Indeed, the parties here agree that, as a practical matter, any dollar transaction comparable in size to the one now at issue must go through New York (*see* Edmund M. A. Kwaw, *Law & Practice of Offshore Banking & Finance* at 19 [1996] ["all wholesale international transactions involving the use of the dollar go through CHIPS," which is a department of the New York Clearing House Association (footnote omitted)]). That does not mean that every major fraud case in the world in which dollars are involved belongs in the New York courts. New York's interest in its banking system "is not a trump to be played whenever a party to such a transaction seeks to use our courts for a lawsuit with little or no apparent contact with New York" (*First Union Natl. Bank v Paribas*, 135 F Supp 2d 443, 453 [SD NY 2001]).

Zeevi does not suggest otherwise. That was a choice of law case, not a forum non conveniens case. It involved a letter of credit issued by a Ugandan bank in favor of an Israeli partnership and payable at First National City Bank in New York. The issuing bank refused to pay, relying on directives issued under the authority of the Ugandan government to the effect that foreign exchange could not be allocated in favor of Israeli companies. In a suit by the letter of credit's beneficiary, we held that New York, not Ugandan, law governed the bank's obligation because the cause of action arose in New York: "New York was the locus of repudiation, whereas it should have been a site

of payment” (37 NY2d at 226). It was in that context that we emphasized New York’s strong interest as “a financial capital of the world, serving as an international clearinghouse and marketplace for a plethora of international transactions” (*id.* at 227). *Zeevi* should not be read to imply that every party aggrieved by the outcome of one among that “plethora” may bring its grievance to the New York courts.

[3] Secondly, the Appellate Division erred in concluding that the allegations in the third-party complaint, taken as true, would require the application of New York law to AHAB’s claims against Al-Sanea. We can see no reason why New York law should be applied to any issue likely to arise in the litigation of the third-party claim. That claim is a suit by a Saudi Arabian company against its employee, a Saudi citizen who allegedly committed fraudulent acts in Saudi Arabia. Under New York’s “interest analysis” approach courts seek “to effect the law of the jurisdiction having the greatest interest in resolving the particular issue” (*Cooney v Osgood Mach.*, 81 NY2d 66, 72 [1993]; see also *Edwards v Erie Coach Lines Co.*, 17 NY3d 306, 320 [2011]), which in the typical case will be either the jurisdiction where the tort occurred or the domicile of one or more of the parties (*Cooney*, 81 NY2d at 72). Here, Saudi Arabia is the domicile and residence of both parties and the place where the allegedly tortious conduct occurred. The jurisdiction with the greatest interest in resolving the issues likely to arise on AHAB’s claim against Al-Sanea is clearly Saudi Arabia.

IV

[4] Having concluded that the Appellate Division erred in its rulings both on the main claim and the third-party claim, we must decide the appropriate corrective action. If this were a case in which either result could be reached in a sound exercise of discretion, we would remit to the Appellate Division for reconsideration under the correct legal principles. This case, however, is one of the relatively uncommon ones in which dismissal on forum non conveniens grounds is required as a matter of law.

Apart from the use of New York banks to facilitate dollar transfers—a fact which, as we have said, is of minor importance here—we see nothing in this case to justify resort to a New York forum. No party is a New York resident; no relevant conduct apart from the execution of fund transfers occurred in New York; no party has identified any important New York

witnesses or New York documents; New York law does not apply; no property related to the dispute is located in New York; no related litigation is pending in New York; and no other circumstance supports an argument that New York is an appropriate forum. Alternatives to a New York forum are available; indeed, the parties' briefs refer to a number of related investigations or litigations pending in several foreign countries. This is a classic case for the application of the *forum non conveniens* doctrine.

Accordingly, the order of the Appellate Division should be reversed, with costs, the judgment of Supreme Court reinstated, and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order reversed, with costs, judgment of Supreme Court, New York County, reinstated, and certified question answered in the negative.

[12 NE3d 436, 989 NYS2d 438]

EUGENE PALLADINO, Appellant, v CNY CENTRO, INC., et al.,
Respondents.

Argued February 18, 2014; decided April 8, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 21, 2012. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Onondaga County (James P. Murphy, J.), as had denied in part the motions of defendants for summary judgment dismissing the amended complaints insofar as asserted against them; (2) granted the motions in their entirety; and (3) dismissed the amended complaints.

Palladino v CNY Centro, Inc., 101 AD3d 1653, affirmed.

HEADNOTES

Labor Unions — Action against Union — Failure to Plead Authorization or Ratification by Union Membership

1. In a consolidated action by plaintiff union member seeking damages from defendant union for breach of the duty of fair representation after the union's executive board twice voted unanimously against submitting to arbitration plaintiff's grievances relating to the imposition of discipline on him and eventual termination of his employment, the rule governing lawsuits against voluntary unincorporated associations such as labor unions—requiring the plaintiff to plead and prove that each member of the union authorized or ratified the alleged wrongful conduct in order to maintain the action—applied. Thus, as plaintiff failed to allege that the union's conduct was ratified by "every single member" of the association, the action was properly dismissed. The narrow exception to the rule applicable to a suit by a union member against a union arising from wrongful expulsion that was effected through a vote by the membership did not apply here as there was no evidence that the union membership voted on whether to submit plaintiff's grievances to arbitration or took any similar action.

Labor Unions — Action against Union — Failure to Plead Authorization or Ratification by Union Membership

2. *Martin v Curran* (303 NY 276 [1951]), which held that, in order to maintain an action against a voluntary unincorporated association, such as a labor union, the plaintiff must plead and prove that each member of the union authorized or ratified the alleged wrongful conduct, was not overruled, pursuant to the doctrine of stare decisis, despite questions regarding the continued utility or wisdom of its holding. Precedents involving statutory interpretation are entitled to great stability, and, if they have misinterpreted the legislative intention, the legislature's competency to correct the misinterpretation is readily at hand. Overruling *Martin* would require the Court to abandon its prior interpretation of General Associations Law § 13, which governs actions

or proceedings against unincorporated associations. Moreover, although the *Martin* rule has been criticized as essentially granting unions complete immunity from suit in state court and has been abandoned by the federal courts and the majority of states by statute or decisional law, the legislature amended General Associations Law § 13 since *Martin* but did not take that opportunity to clarify or correct the Court's interpretation of the statute.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Associations and Clubs §§ 41, 42, 49, 57; AM JUR 2d, Labor and Labor Relations §§ 1080, 1081, 1085, 2476, 2477.

McKINNEY'S, General Associations Law § 13.

NY JUR 2d, Associations and Clubs §§ 14, 15, 41; NY JUR 2d, Employment Relations §§ 519, 815.

ANNOTATION REFERENCE

Union's liability in damages for refusal or failure to process employee grievance. 34 ALR3d 884.

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POINTS OF COUNSEL

Robert Louis Riley, Syracuse, for appellant. The Appellate Division, Fourth Department committed reversible error of law in finding that pleading and proof of unanimous ratification by members of an unincorporated association, as expressed by this Court in *Martin v Curran* (303 NY 276 [1951]), was applicable to a labor organization in an action commenced against a labor organization for breach of duty of fair representation rather than the exception to unanimous ratification carved out by this Court in *Madden v Atkins* (4 NY2d 283 [1958]) where elected union officials are delegated with authority to act on behalf of the union membership. (*Mine Workers v Coronado Coal Co.*, 259 US 344; *National Protective Assn. of Steam Fitters & Helpers v Cumming*, 170 NY 315; *Kirkman v Westchester Newspapers, Inc.*, 287 NY 373; *United States v White*, 322 US 694; *International Union, United Mine Workers of Am. v United States*, 177 F2d 29; *McCabe v Goodfellow*, 133 NY 89; *Busby v Electric Util. Empls. Union*, 147 F2d 865; *National Variety Artists, Inc. v Mosconi*, 169 Misc 982; *Pandolfo v Bank of Benson*, 273 F 48; *Blek v Wilson*, 262 NY 253.)

Blitman & King LLP, Syracuse (*Kenneth L. Wagner* and *Bryan T. Arnault* of counsel), for Charles Watson and another, respondents. I. The *Martin* rule should not be overturned (*Martin v Curran*, 303 NY 276 [1951]). (*McCabe v Goodfellow*, 133 NY 89; *Cenven, Inc. v Bethlehem Steel Corp.*, 41 NY2d 842; *Matter of Garwitt*, 41 NY2d 845; *Matter of Higby v Mahoney*, 48 NY2d 15; *People v Hobson*, 39 NY2d 479; *Great N. Ins. Co. v Interior Constr. Corp.*, 7 NY3d 412; *People v Rudolph*, 21 NY3d 497; *People v Taylor*, 9 NY3d 129; *City of Buffalo v Cargill, Inc.*, 44 NY2d 7.) II. The Appellate Division correctly applied the *Martin* rule to the plaintiff's duty of fair representation claims. (*Ford Motor Co. v Huffman*, 345 US 330; *Vaca v Sipes*, 386 US 171; *Matter of Civil Serv. Bar Assn., Local 237, Intl. Bhd. of Teamsters v City of New York*, 64 NY2d 188; *Smith v Sipe*, 67 NY2d 928; *Ponticello v County of Suffolk*, 225 AD2d 751; *Altimari v Parker*, 189 AD2d 982; *Matter of Sapadin v Board of Educ. of City of N.Y.*, 246 AD2d 359; *Symanski v East Ramapo Cent. School Dist.*, 117 AD2d 18; *Matter of Civil Serv. Empls. Assn. v Public Empl. Relations Bd.*, 132 AD2d 430, 73 NY2d 796; *Herington v Civil Serv. Empls. Assn.*, 130 AD2d 961.)

Ferrara, Fiorenza, Larrison, Barrett & Reitz, P.C., East Syracuse (*Craig M. Atlas* of counsel), for CNY Centro, Inc., respondent. I. In the absence of action by the legislature, the well-settled rule articulated by this Court in *Martin v Curran* (303 NY 276 [1951]) should not be disturbed. (*Lahendro v New York State United Teachers Assn.*, 88 AD3d 1142; *Walsh v Torres-Lynch*, 266 AD2d 817; *McCabe v Goodfellow*, 133 NY 89; *Mazurajtis v Maknawyce*, 93 Misc 337; *Madden v Atkins*, 4 NY2d 283; *Saint v Pope*, 12 AD2d 168; *Butler v McCarty*, 191 Misc 2d 318; *Duane Reade, Inc. v Local 338 Retail, Wholesale, Dept. Store Union, UFCW, AFL-CIO*, 17 AD3d 277, 5 NY3d 797; *Morrissey v National Mar. Union of Am.*, 544 F2d 19; *Salemeh v Toussaint*, 25 AD3d 411.) II. The union did not breach its duty of fair representation toward the plaintiff. (*Smith v Sipe*, 67 NY2d 928; *Matter of Burning v Niagara Frontier Tr. Metro Sys.*, 273 AD2d 830, 95 NY2d 765; *Ahrens v New York State Pub. Empls. Fedn., AFL-CIO*, 203 AD2d 796; *Mellon v Benker*, 186 AD2d 1020; *Matter of Garvin v New York State Pub. Empl. Relations Bd.*, 168 AD2d 446, 77 NY2d 805; *Matter of Civil Serv. Empls. Assn. v Public Empl. Relations Bd.*, 132 AD2d 430, 73 NY2d 796; *Scott v Machinists Auto. Trades Dist. Lodge No. 190 of N. Cal.*, 827 F2d 589; *Smiley v Daimler Chrysler*, 589 F Supp 2d 471; *McGovern v International Bhd. of Teamsters, Chauffeurs, Warehousemen & Helpers of Am., Local No. 773*, 447 F Supp

368; *Matter of Civil Serv. Bar Assn., Local 237, Intl. Bhd. of Teamsters v City of New York*, 64 NY2d 188.) III. The Appellate Division correctly granted summary judgment dismissing the plaintiff's breach of contract claims against CNY Centro, Inc. (*Matter of Board of Educ., Commack Union Free School Dist. v Ambach*, 70 NY2d 501; *Matter of Rine v Higgins*, 244 AD2d 963; *Berlyn v Board of Educ. of E. Meadow Union Free School Dist.*, 80 AD2d 572, 55 NY2d 912; *Michael F. Wolfson, M.D., M.P.H. v Preventative Medicine Clinical Servs.*, 26 AD3d 751; *Yoonessi v State of New York*, 289 AD2d 998, 98 NY2d 609, 537 US 1047.) IV. This Court's disposition of the appeal should leave intact the Appellate Division's summary judgment dismissing all of the plaintiff's claims against CNY Centro, Inc. and the union. (*Martin v Curran*, 303 NY 276; *Engquist v Oregon Dept. of Agriculture*, 553 US 591; *Smith v Reeves*, 96 AD3d 1550; *Millerton Agway Coop. v Briarcliff Farms*, 17 NY2d 57; *Bennett v Twin Parks Northeast Houses*, 93 NY2d 860; *Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330; *Rudman v Cowles Communications*, 30 NY2d 1.)

Richard E. Casagrande, Latham, and *Elizabeth R. Schuster*, for New York State United Teachers, amicus curiae. I. The rule plaintiff seeks to overturn is long-standing and has application to a broad range of organizations. (*Martin v Curran*, 303 NY 276; *Barrett v New York Republican State Comm.*, 213 AD2d 989; *Heifetz v Rockaway Point Volunteer Fire Dept.*, 282 App Div 1062; *Shapiro v Sobel*, 85 AD2d 552; *Fairfield Lease Corp. v Empire Empls. Sunshine Club*, 74 Misc 2d 328; *Hunt v Sharp*, 202 AD2d 151; *Flagg v Nichols*, 307 NY 96.) II. The rule in *Martin v Curran* (303 NY 276 [1951]) should continue to apply to duty of fair representation claims. (*Thomas v Collins*, 323 US 516; *State Emp. Bargaining Agent Coalition v Rowland*, 718 F3d 126; *Duane Reade, Inc. v Local 338 Retail, Wholesale, Dept. Store Union, UFCW, AFL-CIO*, 17 AD3d 277; *Matter of Civil Serv. Bar Assn., Local 237, Intl. Bhd. of Teamsters v City of New York*, 64 NY2d 188; *Ahrens v New York State Pub. Empls. Fedn., AFL-CIO*, 203 AD2d 796; *Vaca v Sipes*, 386 US 171; *White v White Rose Food, a Div. of DiGiorgio Corp.*, 237 F3d 174; *Matter of Civil Serv. Empls. Assn. v Public Empl. Relations Bd.*, 132 AD2d 430, 73 NY2d 796; *Mamorella v Derkasch*, 276 AD2d 152; *Smith v Sipe*, 67 NY2d 928.) III. Changing the rule in *Martin v Curran* (303 NY 276 [1951]) is properly for the legislature, not the courts. (*Salemeh v Toussaint*, 25 AD3d 411; *People v Boothe*, 16 NY3d 195; *Day-Brite Lighting, Inc. v Missouri*, 342 US 421; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d

14; *Klostermann v Cuomo*, 61 NY2d 525; *Matter of Town of Mentz v County of Cayuga*, 248 AD2d 1020; *New York State Bankers Assn. v Wetzler*, 81 NY2d 98; *People ex rel. Burby v Howland*, 155 NY 270.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

In this action by a union member seeking damages from his union for breach of the duty of fair representation, the Appellate Division dismissed the complaint in accordance with our decision in *Martin v Curran* (303 NY 276 [1951]) because the complaint failed to allege that the union's conduct was ratified by "every single member" of the association. On this appeal, plaintiff argues that *Martin* is inapplicable and, alternatively, that this precedent should be overruled. We conclude that the *Martin* rule applies to this action and we decline to overrule our precedent, which involves both application of the common law and statutory interpretation.

I.

Eugene Palladino was employed by defendant CNY Centro, Inc. (Centro) as a bus driver for nearly 25 years prior to his termination in September 2008. He was a member of the collective bargaining unit that is represented by defendant Amalgamated Transit Union, Local 580 (the Union). Centro terminated Palladino's employment based upon incidents that occurred in October 2007 and August 2008. According to Centro, on October 5, 2007, Palladino telephoned the dispatch office approximately three hours before his scheduled run and advised the dispatcher that he was not going to make his run because he had been called out of town the previous night and would not make it back in time. Centro suspected that Palladino had not been called out of town at the last minute, but was in fact driving a tour bus for Quality Coach, another bus company. After an investigation, Centro concluded that Palladino's absence was planned in advance and that he had made false representations with respect to the circumstances surrounding his absence. Centro suspended Palladino without pay for five days and placed him on lifetime probation.

The Union filed a first step grievance on Palladino's behalf protesting the discipline, which was denied. A second step grievance was also denied on the ground that Palladino had refused to provide any additional information or specifics as to his

whereabouts on October 5th. The Union then requested arbitration. According to defendant Charles Watson, who was the Union business agent at the time, he wanted to speak to the owner of Quality Coach regarding when Palladino's employment for the trip had been arranged as well as Palladino's location when he called Centro on October 5th, but Palladino did not want Watson to speak to Quality Coach. Thereafter, based on Palladino's refusal to cooperate with the Union, Watson put the question of whether to proceed to arbitration to the Local 580 Executive Board, which unanimously agreed to withdraw the grievance and not proceed to arbitration.

On August 19, 2008, Centro charged Palladino with, among other things, misrepresentation for documenting on his manifest that he had left the company property on a run at 11:50 a.m. when in fact he had left on his run at 12:00 noon, and for advising dispatch that he was delayed on a certain road for 15 minutes due to construction, when he had only been on that road for approximately four minutes. Centro scheduled a termination hearing. Thereafter, the Union negotiated a settlement agreement with Centro, which included provisions that Palladino would be suspended without pay for 12 days, and be placed on general probation for 130 working days and indefinite probation for misrepresentation offenses. Palladino did not respond to Watson's phone call urging him to accept the settlement, and did not attend the termination hearing. As a result of the hearing, Centro terminated Palladino's employment. According to Palladino, he was terminated 45 days before reaching 25 years of service, which made him ineligible for early retirement at the age of 55, and ineligible for the receipt of lifetime health insurance benefits.

The Union filed a first step grievance protesting the termination, which was denied, as was a second step grievance. The Union's Executive Board then voted unanimously against submitting the grievance to arbitration.

Palladino commenced two separate actions against Centro and the Union; one action challenged his October 2007 discipline and the other challenged his August 2008 discharge. In the first action, he asserted claims of breach of contract against both Centro and the Union, and breach of the duty of fair representation against the Union. In the second action, he asserted claims of breach of contract and deprivation of his constitutional rights pursuant to 42 USC § 1983 against all defendants, wrongful termination against Centro, and breach of the duty of fair

representation against the Union. The actions were consolidated. Upon defendants' motions for summary judgment, Supreme Court, as relevant to this appeal, denied the Union's motion as to the claim for breach of the duty of fair representation, but otherwise dismissed the claims against the Union. The Appellate Division reversed, agreeing with defendants that, pursuant to *Martin*, "plaintiff's contention that the Union breached its duty of fair representation is 'fatally defective' " (*Palladino v CNY Centro, Inc.*, 101 AD3d 1653, 1654 [4th Dept 2012] [citation omitted]).

II.

In a 4-3 decision authored by Judge Desmond, this Court held in *Martin* that a voluntary unincorporated association "is neither a partnership nor a corporation. It is not an artificial person, and has no existence independent of its members" (303 NY at 280). The Court determined that "for better or worse, wisely or otherwise, the Legislature has limited . . . suits against association officers, whether for breaches of agreements or for tortious wrongs, to cases where the individual liability of every single member can be alleged and proven" (*id.* at 282). Although there were policy considerations that might suggest a different result, the *Martin* Court was "under the command of a plainly stated, plainly applicable statute, uniformly held by this court, for many years, to require pleading and proof of authorization or ratification by all the members of the group" (*id.* at 280). That statute, General Associations Law § 13, is entitled "Action or proceeding against unincorporated association" and provides:

"An action or special proceeding may be maintained, against the president or treasurer of such an association, to recover any property, or upon any cause of action, for or upon which the plaintiff may maintain such an action or special proceeding, against all the associates, by reason of their interest or ownership, or claim of ownership therein, either jointly or in common, or their liability therefor, either jointly or severally. Any partnership, or other company of persons, which has a president or treasurer, is deemed an association within the meaning of this section."

The *Martin* Court also noted that *McCabe v Goodfellow* (133 NY 89 [1892]), the leading case on the right to maintain an ac-

tion against an unincorporated association, held that a plaintiff could not maintain an action against the officer of an unincorporated association “unless the debt, which he seeks to recover, is one upon which he could maintain an action against all the associates by reason of their liability therefor” (303 NY at 281, quoting *McCabe*, 133 NY at 92), and that there had been a “line of consistent decisions to that effect” since *McCabe*.

Ultimately, the *Martin* Court concluded that, because a labor union is a voluntary unincorporated association, the plaintiff was required to plead and prove that each member of the union authorized or ratified the alleged wrongful conduct. *Martin* did not involve a union member suing his union (as is the case here), but was a libel action where the president of one union sued another union for libeling him in its newspaper.

Judge Conway dissented in an opinion joined by Judges Lewis and Froessel. The dissent concluded that the plaintiff had stated a cause of action for libel under the common law, and rejected the notion that the complaint must fail because it did not allege that all members of the union authorized or ratified the libelous statements. The dissent stressed that trades unions had been “[r]ecognized as juristic entities under both Federal and State statutes for many purposes” and “are no longer mere unincorporated associations, as that term was formerly understood. As a practical matter, it has been held that labor unions have as perpetual an existence as corporations” (303 NY at 293 [Conway, J., dissenting], citing *United States v White*, 322 US 694 [1944]; *Mine Workers v Coronado Coal Co.*, 259 US 344 [1922]).

Despite the legitimate points raised by the dissent, the *Martin* majority concluded that “this court does not revise statutes, in an effort to eliminate seeming injustices, or to bring the law into accord with modern fact” (303 NY at 282). The Court explained:

“Whatever reasons be pressed on us for such changes, the power to change is not ours. It is for the Legislature to decide whether or not to overhaul these settled rules, after hearing both sides, and after considering the interests of the general public as well as those of the innumerable members of these associations” (*id.*).

[1] Seven years after *Martin*, we carved out a narrow exception to the *Martin* rule in *Madden v Atkins* (4 NY2d 283 [1958]),

which held that *Martin* is inapplicable to a suit by a union member against a union arising from wrongful expulsion. Plaintiff's argument that we should apply *Madden* here is unpersuasive. We distinguished *Madden* from *Martin* because in *Madden*, the wrongful expulsion was effected through a vote by the membership (see 4 NY2d at 295-296). Here, there is no evidence that the Union membership voted on whether to submit plaintiff's grievances to arbitration or took any similar action.

That there was no vote by the Union's membership highlights one of the reasons why the *Martin* rule stands as an obstacle to suit against a union: union members do not vote on whether to pursue a grievance for one of their members. Rather, that decision is made by the union's executive board. Even if the members did vote to take a particular action on a grievance, it would be virtually impossible for a plaintiff to plead and prove that the voting was unanimous.

The *Martin* rule has been criticized as essentially granting unions complete immunity from suit in state court (see e.g. *Jund v Town of Hempstead*, 941 F2d 1271, 1281 [2d Cir 1991] [noting that requiring proof of unanimous membership authorization or ratification for a claim based on 42 USC § 1983 in the case of large organizations "would prove an insurmountable obstacle to virtually any plaintiff"]; *Building Indus. Fund v Local Union No. 3, Intl. Bhd. of Elec. Workers, AFL-CIO*, 992 F Supp 192, 195 [ED NY 1996] [the *Martin* requirement "is a nearly impossible burden to meet"], *affd* 141 F3d 1151 [2d Cir 1998]; *Modeste v Local 1199, Drug, Hosp. & Health Care Empls. Union, RWDSU, AFL-CIO*, 850 F Supp 1156, 1168 [SD NY 1994] ["(u)nquestionably, New York's *Martin* rule imposes an onerous and almost insurmountable burden on individuals seeking to impose liability on labor unions"]). The rule has also been described as being "of dubious validity when decided and . . . even less deserving of recognition today" (*Salemeh v Toussaint*, 25 AD3d 411, 413 [1st Dept 2006, Saxe, J., dissenting]).

As the dissent in *Martin* pointed out, federal courts have abandoned the notion that labor unions have no liability independent of the liability of each of its members, and allow unions to sue and be sued for federal claims (see *Coronado Coal*, 259 US at 386-391; see also *Modeste*, 850 F Supp at 1163-1164). New York, meanwhile, is said to be "in the company of a small minority of states" that cling to the common-law requirement that the complaint allege that all of the individual members of the union authorized or ratified the conduct at issue (Mitchell

H. Rubenstein, *Union Immunity from Suit in New York*, 2 NYU JL & Bus 641, 649 [summer 2006]). States that have retreated from this requirement include New Jersey (*see Donnelly v United Fruit Co.*, 40 NJ 61, 71, 190 A2d 825, 830 [1963] [“The mists of the conceptual world of the early common law should not be allowed to obscure the public interest in imposing liability on a union as a juristic entity for torts and contract breaches committed against one or more of its own members”], *overruled on other grounds by Saginario v Attorney Gen.*, 87 NJ 480, 435 A2d 1134 [1981]; *see also Buteas v Raritan Lodge No. 61 F. & A.M.*, 248 NJ Super 351, 591 A2d 623 [App Div 1991] [applying *Donnelly*’s reasoning to all voluntary associations and permitting a member of an unincorporated fraternal association to sue the association in tort]); Massachusetts (*see Diluzio v United Elec., Radio & Mach. Workers of Am., Local 274*, 386 Mass 314, 319, 435 NE2d 1027, 1031 [1982] [holding that the common-law rule “requiring a suit against all members of that union, should no longer be followed” and sustaining a complaint against a union by an employee injured by picketing union members]); and California (*see J.R. Norton Co. v General Teamsters, Warehousemen & Helpers Union, Local 890*, 208 Cal App 3d 430, 443, 256 Cal Rptr 246, 254 [6th Dist 1989] [holding that “(a)n unincorporated association acts through its officers, agents, or employees” and upholding a verdict in a suit by an employer against a local union for negligent supervision of strikers], *cert denied* 493 US 894 [1989]).

Additionally, “[i]n many jurisdictions, by statute or decisional law many kinds of associations are now treated as jural entities, distinct from their members in the same way that a corporation is distinct from its stockholders” (Restatement [Second] of Judgments § 61, Comment *b*). Specifically, 15 states and the District of Columbia have adopted either the first version of the Uniform Unincorporated Nonprofit Association Act (UUNAA) promulgated by the Uniform Law Commission (*see* Uniform Unincorporated Nonprofit Association Act [1996], available at <http://www.uniformlaws.org/shared/docs/unincorporated%20nonprofit%20association/uunaa96.pdf> [last visited Mar. 3, 2014]) or the revised version of that act (RUUNAA) (*see* Revised Uniform Unincorporated Nonprofit Association Act [2008], available at http://www.uniformlaws.org/shared/docs/unincorporated%20nonprofit%20association/ruunaa_final_08.pdf

[last visited Mar. 3, 2014]).* RUUNAA makes clear that an unincorporated nonprofit association is a legal entity separate from its members and managers that, among other things, can sue and be sued in its own name (*see id.*). In its commentary explaining why states should adopt RUUNAA, the Uniform Law Commission notes:

“This is an area of the law that has long needed reform and updating. The existing state laws are largely based on common law aggregate theory, which no longer is suitable for organizations. Unincorporated nonprofit associations are the only type of organization where states have not enacted modern comprehensive governing statutes. . . .

“RUUNAA provides the same personal liability protection to members and managers of an unincorporated nonprofit association formed or operating in an enacting state as does a corporation. While this is a change from the common law joint and several liability theory which is based on the aggregate theory of such associations, it comports with the reasonable expectations of creditors and other persons engaged in transactions with them.” (Uniform Law Commission, Why States Should Adopt RUUNAA, available at <http://www.uniformlaws.org/Narrative.aspx?title=Why+States+Should+Adopt+RUUNAA> [last visited Mar. 3, 2014].)

III.

[2] Although we question the continued utility or wisdom of the *Martin* rule, mindful of “the eminently desirable and essential doctrine of *stare decisis*” (*People v Hobson* (39 NY2d 479, 487 [1976, Breitel, Ch. J.]), we decline plaintiff’s invitation to overrule our precedent. *Martin* involved not only the Court’s reading of the common law as it stood at the time, but statutory

* Alabama, Arkansas, Colorado, Delaware, the District of Columbia, Hawaii, Idaho, Illinois, Louisiana, North Carolina, Texas, Wisconsin and Wyoming adopted UUNAA (*see* <http://www.uniformlaws.org/Act.aspx?title=Unincorporated%20Nonprofit%20Association%20Act%20%281992%29%281996%29> [last visited Mar. 3, 2014]), and Arkansas, the District of Columbia, Iowa, Nevada and Pennsylvania adopted RUUNAA (*see* <http://www.uniformlaws.org/Act.aspx?title=Unincorporated%20Nonprofit%20Association%20Act%20%282008%29> [last visited Mar. 3, 2014]).

interpretation of General Associations Law § 13. We disagree with the dissent’s view that “removing the *Martin* rule would not require overruling precedent involving statutory interpretation” (dissenting op at 153). The *Martin* majority was guided by “the command of a plainly stated, plainly applicable statute” (303 NY at 280), and both the majority and the dissent recognized that, in New York, liability of unincorporated associations was a matter primarily governed by the legislature’s intent and policy decisions (*see Martin* at 280-282; *see also id.* at 289-290 [Conway, J., dissenting]). We did in fact interpret the statute when we concluded that “the Legislature has limited . . . suits against association officers, whether for breaches of agreements or for tortious wrongs, to cases where the individual liability of every single member can be alleged and proven” (303 NY at 282), and overruling *Martin* would require this Court to abandon its prior interpretation of the statute. Since our decision in *Martin*, the legislature amended General Associations Law § 13 in 1961, when it added the second paragraph of section 13 to broaden the list of officials who could be served with process on behalf of a labor organization (*see* L 1961, ch 518, § 1). The legislature did not take that opportunity to clarify or correct our interpretation of the statute, nor has it acted since in response to *Martin*. As we noted in *Hobson*:

“Precedents involving statutory interpretation are entitled to great stability. After all, in such cases courts are interpreting legislative intention and a sequential contradiction is a grossly arrogated legislative power. Moreover, if the precedent or precedents have ‘misinterpreted’ the legislative intention, the Legislature’s competency to correct the ‘misinterpretation’ is readily at hand” (39 NY2d at 489 [citations omitted]; *see also People v Rudolph*, 21 NY3d 497, 512 [2013, Read, J., dissenting]).

While this Court has been willing to overrule precedent involving statutory interpretation when “we find the reasons for adopting what we think the correct interpretation of the statute to be more compelling than the reasons for adhering to a mistaken one” (*Rudolph*, 21 NY3d at 502 [Smith, J.]), we do not believe this is the best course to take here. Just considering the scope of a decision overruling *Martin* raises more questions than answers. For example, do we remove the *Martin* requirement for lawsuits against *all* unincorporated associations or

just labor unions? And would a new rule apply both to association members and to nonmembers who have a cause of action against that association? The Restatement (Second) of Judgments notes that “the trend of the decisions is to accord entity treatment to associations having a formally organized internal government and engaging in substantial and continual activities, but not to ones having a more or less tenuous existence and episodic activity” (Restatement [Second] of Judgments § 61, Comment *b*). Should New York follow this “entity treatment” approach or some other? These and other weighty considerations lead us to conclude that adoption of a rule that does away with *Martin* is best left to the legislature, which “has far greater capabilities to gather relevant data and to elicit expressions of pertinent opinion on the issues at hand” (*Matter of Higby v Mahoney*, 48 NY2d 15, 18-19 [1979]). Indeed, the legislature is better able to assess all of the policy concerns in this area and to limit the applicability of any new rule removing or amending the requirements for maintaining an action against unincorporated associations.

Meanwhile, plaintiff and other union members like him are not without a remedy. Public employees in New York may bring an improper practice charge before the New York State Public Employment Relations Board pursuant to the Taylor Law (Civil Service Law § 200 *et seq.*). Civil Service Law § 209-a (2) (c) provides that it shall be an improper practice for an employee organization “to breach its duty of fair representation to public employees.”

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). Over 60 years ago, this Court, in a 4-3 decision, opined that “for better or worse” the legislature has limited lawsuits against unincorporated associations, like the union here, to wrongful conduct that was “ratified” by “every single member” of the association (*Martin v Curran*, 303 NY 276, 282 [1951]). Until today, this Court had never again applied this so-called “*Martin* rule.” In fact, the Court distanced itself from the rule by allowing suits alleging breach of contract against an unincorporated union for wrongful expulsion of its members, without the need to prove the claim against all of the union’s members (*see Madden v Atkins*, 4 NY2d 283, 295 [1958]). The Appellate Division has further distinguished the *Martin* rule by permitting negligence, as opposed to intentional,

claims to proceed against an unincorporated union (*see e.g. Piniewski v Panepinto*, 267 AD2d 1087 [4th Dept 1999]; *Torres v Lacey*, 3 AD2d 998 [1st Dept 1957]).

The reluctance shown by the majority today in following the *Martin* rule in this fair representation action is striking. Indeed, the majority devotes as much space to detailing criticisms of *Martin* as to defending it, noting for example the “legitimate points” raised in the *Martin* dissent (majority op at 147). I would go further and overrule *Martin*. Contrary to the majority’s view (*see* majority op at 150-151), removing the *Martin* rule would not require overruling precedent involving statutory interpretation. Although the *Martin* court looked to General Associations Law § 13—which clearly authorizes actions to be maintained against the president or treasurer of the association—the Court did not interpret any of that statute’s language. Undisputedly, the statute was enacted for the convenience of a plaintiff, such as the one in this case, by enabling him to sue and more promptly reach the property of the union for the satisfaction of any judgment he may recover without naming, as defendants, hundreds or even thousands of members of a union. Where the *Martin* court went wrong was finding that, despite the fact that plaintiff could now bring an action directly against the union, the union could then face no liability under the common law.

The union in this case did not need, nor did it seek, “ratification” by its members to file the grievances on behalf of plaintiff, which actions form the basis of the complaint. To require such approval would completely neuter the very purpose of the union’s existence to act, through its officers and directors, for and on behalf of its members. As the majority notes (majority op at 148), it was the union, through its executive board, that took the actions that, in the view of the plaintiff, denied him fair representation. I surmise that it is the same executive board that hired the attorneys now representing the union who insist that the board’s actions must be “ratified” by the entire membership.

Finally, the “weighty” questions posed by the majority (*see* majority op at 152) present no insuperable problem. Yes, the *Martin* rule should be removed for all unincorporated associations and yes, it would apply to claims of members and nonmembers. We need not decide other questions not presented in this appeal. The majority has allowed its trepidation to overcome common sense and fairness.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and RIVERA concur with Judge ABDUS-SALAAM; Judge PIGOTT dissents in an opinion in which Judge SMITH concurs.

Order affirmed, with costs.

[12 NE3d 1054, 989 NYS2d 624]

In the Matter of GABRIELA A., Respondent. PRESENTMENT
AGENCY, Appellant.

Argued and submitted February 13, 2014; decided April 8, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 27, 2013. The Appellate Division (1) reversed, on the law, an order of disposition of the Family Court, Westchester County (Janet C. Malone, J.), which had (a) adjudicated respondent a juvenile delinquent upon a fact-finding determination that she had committed acts which, if committed by an adult, would constitute the crimes of resisting arrest and obstructing governmental administration in the second degree, and (b) imposed a conditional discharge; (2) vacated the fact-finding order; (3) dismissed the petition; and (4) remitted the matter to the Family Court, Westchester County, for further proceedings pursuant to Family Court Act § 375.1.

Matter of Gabriela A., 103 AD3d 888, affirmed.

HEADNOTE

Infants — Juvenile Delinquents — Person in Need of Supervision Adjudicated as Juvenile Delinquent

In a juvenile delinquency proceeding arising from the actions of respondent, a person in need of supervision (PINS) who had absconded from her nonsecure detention facility, in failing to comply with the directions of the probation officers executing a PINS warrant for her return, the Appellate Division's factual findings that respondent's conduct was consistent with PINS behavior, not juvenile delinquency, more nearly comported with the weight of the evidence than the Family Court's factual findings that respondent had committed acts which, if committed by an adult, would have constituted the crimes of resisting arrest and obstructing governmental administration. Respondent acknowledged that she refused to get out of bed, attempted to run away down the hallway, and attempted to avoid being handcuffed. The crime of resisting arrest requires that a person intentionally prevent "an authorized arrest" (Penal Law § 205.30), but the restraint of a PINS pursuant to Family Court Act § 718 is not the same as a criminal arrest. With respect to the crime of obstructing governmental administration in the second degree (Penal Law § 195.05), respondent admitted that she wanted to "make it hard" for the probation officers to handcuff and take her to the nonsecure facility. On the other hand, the legislature has defined a PINS to include someone who is "habitually disobedient and beyond the lawful control of . . . lawful authority" (Family Ct Act § 712 [a]). Thus, a PINS's disobedience and obstruction of "lawful authority" is not necessarily the same as an adult's. Respondent's

fractious behavior arguably posed a danger to herself, the probation officers and/or her family, even though Family Court found that she did not attempt to assault or menace the officers. But the Appellate Division, contrary to Family Court, found that her resistance fell within the bounds of acting “beyond the lawful control of . . . lawful authority” rather than Penal Law § 195.05.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Juvenile Courts and Delinquent and Dependent Children §§ 49, 52, 53, 56, 57, 116.
 CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:222, 119A:418, 119A:419, 119A:514, 119A:526, 119A:598, 119A:599.
 6 LAW AND THE FAMILY NEW YORK (2d ed) §§ 12:3, 12:8, 12:16, 12:35, 12:54.
 MCKINNEY’S, Family Ct Act §§ 712 (a); 718; Penal Law §§ 195.05, 205.30.
 NY JUR 2d, Domestic Relations §§ 1361, 1415, 1572, 1573, 1597, 1598, 1663.

ANNOTATION REFERENCE

See ALR Index under Juvenile Courts and Delinquent Children.

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POINTS OF COUNSEL

Robert F. Meehan, County Attorney, White Plains (Linda M. Trentacoste and James Castro-Blanco of counsel), for appellant. I. Gabriela A. committed acts, which if committed by an adult, would constitute the crimes of obstructing governmental administration in the second degree and resisting arrest. (*People v Graham*, 54 AD3d 1056; *Matter of Victor I.*, 57 AD3d 779; *Matter of Onondaga County District Attorney’s Off.*, 92 AD2d 32; *People v Kruger*, 87 AD2d 473; *Matter of Shaunise R.*, 40 AD3d 766; *Matter of Ismaila M.*, 34 AD3d 373; *Willinger v City of New Rochelle*, 212 AD2d 526; *Matter of Samuel VV.*, 217 AD2d 863; *Matter of Shannon B.*, 70 NY2d 458; *People v Romeo*, 9 AD3d 744.) II. A reasonable interpretation of Family Court Act articles 3 and 7 requires that all of the provisions be given the proper effect. (*Matter of Robert J.*, 2 NY3d 339; *Carney v Philipponne*, 1

NY3d 333; *Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106.) III. The Second Department erred by substituting its own judgment in lieu of deferring to the discretion of the Family Court as to the weight of the evidence that supports Gabriela A.'s adjudication as a juvenile delinquent. (*Matter of Kwan M.*, 159 AD2d 707; *Matter of George R.*, 104 AD3d 949; *Matter of Charles S.*, 41 AD3d 484; *Matter of Daniel B.*, 41 AD3d 711; *Matter of Todd B.*, 190 AD2d 1035; *Matter of Naiquan T.*, 265 AD2d 331.)

George E. Reed, Jr., White Plains, for respondent. I. It is not an act of juvenile delinquency for a PINS (person in need of supervision) respondent to resist being transported to nonsecure detention. (*Matter of Freeman*, 103 Misc 2d 649; *Matter of Dylan C.*, 69 AD3d 127, 16 NY3d 614; *Matter of Daniel I.*, 57 AD3d 666; *Matter of Jenny M.*, 305 AD2d 225; *Matter of Victoria S.*, 297 AD2d 323; *Matter of Edwin G.*, 296 AD2d 7; *Matter of Asia H.*, 289 AD2d 404; *Matter of Jasmine A.*, 284 AD2d 452; *Matter of Naquan J.*, 284 AD2d 1; *Matter of Sylvia H.*, 78 AD2d 875.) II. Resisting arrest and obstructing governmental administration require an authorized arrest. (*Matter of Daniel I.*, 57 AD3d 666; *Matter of Ismaila M.*, 34 AD3d 373; *People v Graham*, 54 AD3d 1056; *Willinger v City of New Rochelle*, 212 AD2d 526; *People v Romeo*, 9 AD3d 744; *Matter of Samuel VV.*, 217 AD2d 863; *Matter of Davan L.*, 91 NY2d 88; *Matter of Quanniqua W.*, 25 AD3d 380; *Matter of Victor I.*, 57 AD3d 779; *Matter of Shaunise R.*, 40 AD3d 766.)

Steven Banks, The Legal Aid Society, New York City (Gary Solomon of counsel), amicus curiae. A child who violates a court order in a PINS (person in need of supervision) proceeding cannot be prosecuted for that violation as a juvenile delinquent when the allegations encompass absconding from nonsecure custody and other types of victimless conduct typically involved in PINS proceedings. (*Matter of Naquan J.*, 284 AD2d 1; *Matter of Jasmine A.*, 284 AD2d 452; *Matter of Edwin G.*, 296 AD2d 7; *Matter of Bryan JJ.*, 175 AD2d 416; *Matter of Sylvia H.*, 78 AD2d 875; *Matter of Jenny M.*, 305 AD2d 225; *Matter of Daniel I.*, 57 AD3d 666.)

OPINION OF THE COURT

READ, J.

In August 2011, 15-year-old Gabriela A. was adjudicated a person in need of supervision (PINS) and placed on probation

for one year. Thereafter, she was subject to PINS violation petitions. Additionally, in February 2012, a juvenile delinquency petition was filed against Gabriela A., based on a complaint of physical abuse made by her mother (the February petition). On February 28, 2012, Gabriela A. appeared before Family Court in connection with her PINS violations and the February petition, and the court remanded her to a specified nonsecure detention facility. Gabriela A. immediately absconded from custody, and her probation officer, Amanda Flores, successfully sought a PINS warrant for Gabriela A. to be returned to the nonsecure facility.

On the morning of March 10, 2012, Officer Flores and five other probation officers visited Gabriela A.'s home, based on information she was staying there overnight, to execute the warrant. Gabriela A. acknowledges that she did not comply with the probation officers' directions, but the parties dispute the severity of her resistance. The officers eventually succeeded in taking Gabriela A. into custody and transported her to the nonsecure detention facility.

When Gabriela A. appeared before Family Court on March 23, 2012 to address the PINS violations and the February petition, the Westchester County Attorney (hereafter, the presentment agency) served her counsel with a juvenile delinquency petition based on Gabriela A.'s confrontation with probation officers on March 10th (the March petition). The March petition claimed generally that Gabriela A. violently resisted the officers' attempts to take her into custody and charged her with acts which, if committed by an adult, would constitute the crimes of attempted assault in the second degree (Penal Law §§ 120.05 [1]; 110.00), resisting arrest (Penal Law § 205.30) and obstructing governmental administration (Penal Law § 195.05). Gabriela A. denied the charges. Her attorney argued that the presentment agency was improperly seeking to "bootstrap[] . . . a PINS case into a juvenile delinquency case" inasmuch as Gabriela A.'s conduct on March 10th was "classic PINS behavior." After fact-finding, Family Court dismissed and sealed the February petition; disposition of the PINS violations and fact-finding on the March petition were adjourned. The court remanded Gabriela A. to secure detention, citing her history of absconding, the multiple warrants issued for her and the likelihood of reoffending.

The fact-finding hearing on the March petition commenced on March 26, 2012, and continued on April 2 and 3, 2012. On

the first day, the presentment agency submitted a “superseding amended petition,” alleging that on March 10, 2012 Gabriela A. had committed acts which, if committed by an adult, would constitute the crimes of resisting arrest (Penal Law § 205.30), obstructing governmental administration (Penal Law § 195.05), attempted assault in the third degree (Penal Law §§ 120.00 [1]; 110.00) and third-degree menacing (Penal Law § 120.15). The court accepted the amended petition over Gabriela A.’s attorney’s objections, and started the hearing. The presentment agency called two witnesses, Officer Flores and Officer Tony Ortiz, Jr. Gabriela A. testified on her own behalf.

Officer Flores, who had supervised Gabriela A. since she was adjudicated a PINS in August 2011, testified that after she and another female probation officer roused Gabriela A. at 9:30 a.m. on the morning of March 10th, Gabriela A. ignored repeated directives to get dressed and come along with them and to quit playing with her cell phone and texting friends; she yelled obscenities at the officers and screamed at them to get out of her bedroom. Further, when they “attempted to restrain [Gabriela A.] so [they] could place her securely in handcuffs,” she “was not compliant” and “hid[] her arms between her body and the wall . . . so [the officers] couldn’t grab her arms to restrain her . . . all the while flailing her torso and her shoulders about.” Officer Flores described Gabriela A. as “very aggressive,” and opined that her behavior “put[] everyone in a dangerous situation.” Further, “at one point [Gabriela A.] grabbed . . . the open [hand]cuff,” which made Officer Flores “extremely nervous” because “[a] handcuff[] open in that fashion [could] be used as a weapon.” She described leaning her “right shoulder into [Gabriela A.’s] back” to “pry [Gabriela A.’s] fingers off of the cuff.” Officer Flores testified that she suffered pain in her right shoulder as a result. On cross-examination, however, Officer Flores conceded that she did not mention this injury or “anything about being afraid of [Gabriela A.]” in a report she wrote shortly after the incident.

Officer Ortiz, who was stationed in the hallway outside Gabriela A.’s bedroom door, testified that she exhibited aggressive behavior and tried to run away down the hallway. He grabbed Gabriela A. because he “didn’t want her either running out of the apartment or hurting her mother.” Officer Ortiz reported further that Gabriela A. “was stomping her feet” as the officers were trying to put handcuffs on her, and that she was “non-compliant and . . . was not going to just surrender herself on

the warrant.” Officer Ortiz testified that he was concerned when Gabriela A. grabbed the handcuff since it was “open . . . and serrated, [and] could be used as a weapon.”

After the presentment agency rested, Gabriela A.’s attorney moved to dismiss the petition on the ground that the agency failed to make out a prima facie case. He argued there was “no indication in [the officers’] testimony that [Gabriela A.] was trying to injure either of them.” Additionally, he claimed, there was insufficient proof of the officers’ fear of imminent injury to justify a charge of menacing. Finally, Gabriela A.’s attorney asserted that the charges of resisting arrest and obstructing governmental administration were improperly “bootstrapp[ed]” to her PINS case. The presentment agency opposed the motion, arguing that “bootstrapping” was not prohibited for “true delinquency acts.” Family Court denied the motion to dismiss.

Gabriela A. then testified on her own behalf. She told essentially the same story as Officers Flores and Ortiz, but insisted that she was not violent. Gabriela A. acknowledged that she refused to get out of bed and attempted to run away down the hallway. She also acknowledged moving her body around in an attempt to avoid being handcuffed. Although she admitted that she “tried to make it hard for [the officers]” to take her into custody, Gabriela A. denied trying to hit or kick anyone.

At the conclusion of the fact-finding hearing, Family Court found that Gabriela A. had committed acts which, if committed by an adult, would constitute the crimes of resisting arrest and obstructing governmental administration. The judge dismissed the counts alleging attempted assault and menacing, and remanded Gabriela A. to secure detention pending disposition.

At the dispositional hearing on April 11, 2012, Gabriela A.’s attorney again unsuccessfully argued that Family Court was prohibited from adjudicating his client a juvenile delinquent because she had only been found to have acted in a manner consistent with PINS behavior, not juvenile delinquency. On the PINS violations, Family Court placed Gabriela A., with her consent, in the custody of the Commissioner of Social Services for Westchester County for placement for one year at an agreed-upon nonsecure detention facility. On the March petition, the court granted Gabriela A. a one-year conditional discharge to expire on April 11, 2013. Under the terms of the conditional discharge, Gabriela A. was to be physically transferred from secure

to nonsecure detention no later than April 13, 2012.¹ Gabriela A. appealed.

On February 27, 2013, the Appellate Division reversed the dispositional order, vacated the underlying fact-finding order, dismissed the March petition and remanded the matter to Family Court for further proceedings pursuant to Family Court Act § 375.1 (103 AD3d 888 [2d Dept 2013]). Preliminarily, the court noted that “[a] PINS is one who is . . . incorrigible, ungovernable or habitually disobedient and beyond the lawful control of a parent or other person legally responsible for such child’s care” (*id.* at 889 [internal quotation marks and citations omitted]). The court concluded that “[u]nder the particular circumstances of this case, [Gabriela A.’s] conduct was consistent with PINS behavior, not with juvenile delinquency,” adding that “Family Court may not do indirectly what it is prohibited from doing directly—placing a PINS in a secure facility” (*id.* [internal quotation marks and citations omitted]). The presentment agency sought leave to appeal, which we granted on June 6, 2013 (21 NY3d 857 [2013]).² We now affirm.

A PINS is, among other things, “[a] person less than eighteen years of age who . . . is incorrigible, ungovernable or habitually disobedient and beyond the lawful control of a parent or other person legally responsible for such child’s care, or other lawful authority” (Family Ct Act § 712 [a]).³ By contrast, a “juvenile delinquent,” as relevant here, is a person between 8 and 15 years old who “having committed an act that would constitute a

1. A “[n]on-secure detention facility” means “[a] facility characterized by the absence of physically restricting construction, hardware and procedures” (Family Ct Act § 712 [d]); by contrast, a “[s]ecure detention facility” means “[a] facility characterized by physically restricting construction, hardware and procedures” (*id.* § 712 [c]). As it turned out, then, Gabriela A. experienced the “tough love” of secure detention for only the roughly three-week duration of the juvenile delinquency proceeding on the March petition (*see* dissenting op at 166).

2. In March 2013, the Westchester County Department of Social Services informed Family Court that Gabriela A. had “responded positively to services” at the nonsecure facility where she was placed in April 2012, “made excellent progress academically” and “actively participated in improving communication with her family.” As a result, the Department did not seek to extend Gabriela A.’s PINS placement. We note that the expiration of Family Court’s dispositional order does not moot this appeal since the Appellate Division’s order has the potential for future legal consequences (*see e.g.* Family Ct Act § 381.2 [2]).

3. Family Court Act § 712 (a) also permits finding someone a PINS who is habitually truant, commits certain minor marijuana possession offenses, or who appears to be a “sexually exploited child.”

crime if committed by an adult . . . is not criminally responsible for such conduct by reason of infancy” (see Family Ct Act § 301.2 [1]). A PINS cannot be confined to a secure facility (see Family Ct Act § 720 [1], [2]); a juvenile delinquent, however, may be remanded to secure detention (see *id.* § 353.3 [1]).

Family Court Act § 718 sets out the procedure and the dispositional options available to the court when a PINS runs away. A peace officer (including, as here, probation officers) may “apprehend, restrain, and return such child” to the placement facility or foster home from which the PINS absconded. The probation officers whom Gabriela A. resisted or obstructed were acting pursuant to this section, attempting to return her to the nonsecure facility where she had been placed. Family Court implicitly equated Gabriela A.’s resistance to the restraint authorized by Family Court Act § 718 to the crimes of resisting arrest and obstructing governmental administration, and thus concluded that she was a juvenile delinquent under Family Court Act § 301.2.

The crime of resisting arrest requires that a person intentionally prevent “an authorized arrest” (Penal Law § 205.30). The restraint of a PINS pursuant to Family Court Act § 718, however, is not the same as a criminal arrest (see *Matter of Bernard G.*, 247 AD2d 91, 95 [1st Dept 1998]). A PINS proceeding is fundamentally civil in nature. In *Matter of Marrhonda G.* (81 NY2d 942, 945 [1993]), for example, we concluded that for Fourth Amendment purposes, a section 718 detention did not entitle a Port Authority police officer to conduct a full warrantless search of a young man’s bag. We reasoned that the detained youth’s bag could only have been searched “if [he] had been placed under arrest and the bag then searched as an incident thereto” (*id.*). Thus, a PINS who resists being restrained or transported back to a placement facility is not resisting arrest within the meaning of Penal Law § 205.30.

Next, a person is guilty of the misdemeanor of obstructing governmental administration when he or she “intentionally obstructs, impairs or perverts the administration of law or other governmental function or prevents or attempts to prevent a public servant from performing an official function, by means of intimidation, physical force or interference” (Penal Law § 195.05). Probation officers qualify as “public servants” within the broad definition supplied in the Penal Law (see Penal Law § 10.00 [15]), and Gabriela A. admitted that she wanted to “make it hard” for Officer Flores and the other probation offi-

cers to handcuff and take her to the nonsecure facility. On the other hand, the legislature has defined a PINS to include someone who is “habitually disobedient and beyond the lawful control of . . . lawful authority” (Family Ct Act § 712 [a]). Thus, a PINS’s disobedience and obstruction of “lawful authority” is not necessarily the same as an adult’s. Since Family Court Act § 720 (1) and (2) forbid placement of a PINS in a secure facility, the legislature surely did not intend the type of behavior that might cause a child to be designated a PINS in the first place to become the basis for secure detention (*see Matter of Naquan J.*, 284 AD2d 1, 5 [2d Dept 2001]).

In a related line of cases, the Appellate Division has considered whether the Family Court’s contempt powers can be used to bring a PINS into compliance with the court’s orders or conditions by so-called “bootstrapping.” That is, the issue in these cases was whether the child’s failure to comply with PINS requirements—what the courts referred to as engaging in typical PINS-type behavior—supplied a basis for imposing the sanction of criminal contempt, thus converting a PINS into a juvenile delinquent. The uniform conclusion has been that using the contempt power in this way is not allowed (*see Matter of Daniel I.*, 57 AD3d 666, 667 [2d Dept 2008] [damaging electronic monitoring bracelet and breaking curfew]; *Matter of Edwin G.*, 296 AD2d 7, 10-11 [1st Dept 2002] [PINS absconded from placement]; *Matter of Jasmine A.*, 284 AD2d 452, 453 [2d Dept 2001] [elopement]). These cases construed the “Contempts” provision in Family Court Act § 156, which allows use of the contempt power in Family Court proceedings (both PINS and juvenile delinquency) when there is no “specific punishment or other remedy” provided elsewhere. In the case of a disobedient or absconding PINS, Family Court Act article 7 provides only for a return to placement or assignment to a new placement; it does not authorize contempt if the PINS fails to comply with the dispositional alternative imposed upon a PINS adjudication (*see* Family Ct Act § 756).

Physical resistance to probation officers, however, is different from ignoring a court order. Gabriela A.’s fractious behavior arguably posed a danger to herself, the probation officers and/or her family, even though Family Court found that she did not attempt to assault or menace the officers. But the Appellate Division, contrary to Family Court, found that Gabriela A.’s resistance fell within the bounds of acting “beyond the lawful control of . . . lawful authority” rather than Penal Law § 195.05. On

this record, where Family Court and the Appellate Division disagreed when evaluating Gabriela A.'s misbehavior, we simply conclude that the Appellate Division's factual findings more nearly comport with the weight of the evidence (*see e.g. Matter of State of New York v Daniel F.*, 19 NY3d 1086, 1087 [2012]). In short, we are not, as the dissent puts it, "endors[ing a] trend" in the Appellate Division prohibiting "bootstrapping"⁴ or "propos[ing a] test" to immunize a PINS from juvenile delinquency proceedings for obstructing governmental administration (*see* dissenting op at 164-165).

Accordingly, the order of the Appellate Division should be affirmed, without costs.

PIGOTT, J. (dissenting). There has been a spate of recent Appellate Division opinions that have held that "Family Court may not 'bootstrap' a PINS adjudication onto one alleging juvenile delinquency by charging a PINS who absconds from a non-secure facility with conduct that, if committed by an adult, would constitute escape" (*Matter of Daniel I.*, 57 AD3d 666, 667-668 [2d Dept 2008]), or obstructing governmental administration (*see id.* at 668), criminal mischief (*see id.*) or criminal contempt (*see Matter of Edwin G.*, 296 AD2d 7, 12 [1st Dept 2002]; *Matter of Jasmine A.*, 284 AD2d 452, 453 [2d Dept 2001]; *Matter of Naquan J.*, 284 AD2d 1, 6 [2d Dept 2001]). "Bootstrapping," as I see it, means using misconduct of the type that made someone a PINS in the first place (such as running away from home or a nonsecure facility) to subject a PINS to a juvenile delinquency petition charging acts that, if committed by an adult, would constitute crimes. The theory is that a PINS may not be adjudicated a juvenile delinquent on the basis of an action that "while defined statutorily as a crime, [is] a common characteristic of PINS behavior and more harmful to the juvenile than to society" (*Daniel I.*, 57 AD3d at 668).

The majority endorses this trend, suggesting that, as a PINS, Gabriela A. may not be charged with resisting arrest or obstructing governmental administration for her physical resistance to being restrained or transported to a placement facility (*see* majority op at 162-163). Under the test seemingly proposed by the majority, the presentment agency must first, before subjecting a PINS to a juvenile delinquency petition, determine whether the

4. While Gabriela A.'s attorney employed this term, the Appellate Division did not. And however the dissent may define "bootstrapping" (*see* dissenting op at 164), the Appellate Division, as noted earlier, has generally reserved this term for discussions of Family Court's use of its contempt powers.

PINS was engaging in “the type of behavior that might cause a child to be designated a PINS” (majority op at 163). For example, before alleging that a PINS engaged in conduct that, if committed by an adult, would constitute obstructing governmental administration, the presentment agency must divine whether the behavior of the PINS is tantamount to intentionally obstructing governmental function or, rather, is merely “acting ‘beyond the lawful control of . . . lawful authority’ ” (majority op at 163, quoting Family Ct Act § 712 [a]).

The proposed test is unworkable. It will force probation officers, presentment agencies and courts to analyze whether specific instances of misconduct fit within the very abstract and ill-defined concept of “PINS-type behavior” or behavior “more harmful to the juvenile than to society.” Such an assessment will make for constant disagreements of judgment. Of course, the history of the present case illustrates this. On the one hand, the Appellate Division and a majority of this Court find Gabriela A.’s conduct to be the type of “more harmful to the juvenile than to society” behavior characteristic of a PINS. On the other hand, the presentment agency, Family Court, and two Judges of this Court tend to consider her behavior potentially dangerous to others. I would reject the Appellate Division’s prohibition of “bootstrapping” and simply consider each case of misbehavior by a PINS on its own facts, when determining whether it rises to the level of juvenile delinquency.

Notably, the majority’s proposed test may immunize from juvenile delinquency proceedings even a PINS who, because of his physical stature and strength, is far more intimidating and dangerous to parole officers than Gabriela A. The majority’s willingness to consider a PINS as merely fractious and ungovernable, rather than truly harmful, would be called into question were the PINS a male, six feet tall and weighing 180 pounds. Fortunately, the majority seems to reject the suggestion that the physical resistance to probation officers described in the officers’ testimony but denied by Gabriela A. (trying to stomp on officers’ feet) would be mere “PINS-type behavior.” But I suspect that if a large young man had engaged in even the less extreme resistance that Gabriela A. admitted to (flailing her body around and grabbing an open handcuff), my colleagues in the majority would conclude that he was properly adjudged a juvenile delinquent, even though his actions were identical to Gabriela A.’s.

Moreover, I disagree with the majority’s theory that resisting restraint under Family Court Act § 718 is fundamentally different

from the crime of resisting arrest (majority op at 162). It may be misleading to describe detention pursuant to Family Court Act § 718 as a “full custodial arrest” (see *Matter of Bernard G.*, 247 AD2d 91, 94-95 [1st Dept 1998]; contrast *Matter of Jamel J.*, 246 AD2d 388, 389 [1st Dept 1998], *Matter of Michael J.*, 233 AD2d 198, 199 [1st Dept 1996], *Matter of Mark Anthony G.*, 169 AD2d 89, 93 [1st Dept 1991]), because the Fourth Amendment implications are somewhat different. However, this does not mean that the restraint of a PINS under Family Court Act § 718 is not “an authorized arrest” within the meaning of Penal Law § 205.30. Consequently, there is no bar as a matter of law to alleging resisting arrest in a juvenile delinquency petition, on the basis of physical resistance by a PINS.

In my view, the presentment agency did exactly as it should in filing the petition alleging violent conduct in the form of acts that, if committed by an adult, would constitute resisting arrest and obstructing of governmental administration. Family Court, in turn, did exactly as it should, in making the factual determination that Gabriela A. was guilty of such conduct. Overturning that determination, on the ground that Gabriela A.’s behavior is more consistent with acting beyond the control of lawful authority than with criminal conduct, downplays the very real risk of harm to the probation officers in the present case, and will be interpreted as immunizing a PINS who engages in conduct threatening to arresting officers from prosecution as a juvenile delinquent. Furthermore, the majority’s decision does not benefit children who fall into the PINS category. Like the PINS statutes, the laws that permit juvenile delinquency proceedings are intended in significant part to protect these young men and women from their own worst impulses and help them straighten out. Sometimes “tough love”—including some period of confinement in a secure facility—is the best way to accomplish that. Indeed, it seems to have worked for Gabriela A., who, according to her counsel, is now an exemplary teenager. There is no good reason to restrict the efforts of caring and devoted presentment agency employees and Family Court judges, simply on the basis that their efforts are considered “bootstrapping.”

I would reverse the Appellate Division’s order, reinstate Family Court’s fact-finding order and order of disposition, and reinstate the presentment agency’s petition.

Chief Judge LIPPMAN and Judges GRAFFEO, RIVERA and ABDUS-SALAAM concur with Judge READ; Judge PIGOTT dissents in an opinion in which Judge SMITH concurs.

Order affirmed, without costs.

[12 NE3d 1072, 989 NYS2d 642]

In the Matter of the BOARD OF MANAGERS OF FRENCH OAKS CONDOMINIUM, Respondent, v TOWN OF AMHERST et al., Appellants, and WILLIAMSVILLE CENTRAL SCHOOL DISTRICT, Intervenor-Respondent.

Argued March 24, 2014; decided May 1, 2014

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 1, 2013. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, Erie County (John A. Michalek, J.), entered in a proceeding pursuant to RPTL article 7, which had (1) ordered respondent Town of Amherst to revise the assessment rolls for the challenged tax years for the French Oaks Condominium to reflect the determination of the referee to reduce the assessed value of the property; and (2) ordered respondent to recalculate and remit the amounts due and owing.

Matter of Board of Mgrs. of French Oaks Condominium v Town of Amherst, 103 AD3d 1102, reversed.

HEADNOTE

Taxation — Assessment — Presumption of Validity

In an RPTL article 7 proceeding challenging the tax assessment for petitioner condominium board of managers' residential complex, petitioner failed to rebut the presumption of validity that attached to the tax assessment of its real property, as its proof failed to provide the factual and statistical information needed to substantiate its calculations. A rebuttable presumption of validity attaches to the valuation of property made by the taxing authority, and a taxpayer challenging the accuracy of an assessment bears the initial burden of coming forward with substantial evidence that the property was overvalued by the assessor. The substantial evidence standard is not a heavy one, but the documentary and testimonial evidence proffered by the taxpayer must be based on sound theory and objective data. Petitioner's appraiser applied an income capitalization method to establish the market value of the complex, treating each condominium unit as if it were an income-producing rental. The appraisal identified four comparable apartment complexes used to calculate the capitalization rate, setting forth the sale price, gross income, expenses and net operating income for each of the rental properties. But other than referencing "forecast financials," the appraiser did not provide the sources of the income or expense figures related to each comparable. More importantly, the hearing testimony of petitioner's appraiser revealed that he had little to no confirmable data to support the income and expense numbers he employed to derive the capitalization rate. An appraisal should be disregarded when a party violates 22 NYCRR 202.59 (g) (2), which prescribes

the basic requirements for written appraisals, by failing to adequately set forth the facts, figures and calculations supporting the appraiser's conclusions.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 612, 690, 691.
CARMODY-WAIT 2d, Judicial Review of Assessments and
Taxes §§ 146:77, 146:108–146:110.
22 NYCRR 202.59 (g).
NY JUR 2d, Taxation and Assessment §§ 329, 448, 455, 458.
NEW YORK REAL PROPERTY SERVICE §§ 62:4, 62:5, 62:34.

ANNOTATION REFERENCE

See ALR Index under Appraisals; Taxes.

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proof & appraisal

POINTS OF COUNSEL

Phillips Lytle LLP, Buffalo (*Craig A. Leslie* and *Paul Morrison-Taylor* of counsel), for appellants. I. The appraisal by petitioner's appraiser should have been stricken and the petition dismissed. (*Matter of FMC Corp. [Peroxygen Chems. Div.] v Unmack*, 92 NY2d 179; *Matter of East Med. Ctr., L.P. v Assessor of Town of Manlius*, 16 AD3d 1119; *Pritchard v Ontario County Indus. Dev. Agency*, 248 AD2d 974; *Matter of Niagara Mohawk Power Corp. v Town of Tonawanda Assessor*, 233 AD2d 920; *Matter of Central N.Y. Oil & Gas Co., L.L.C. [Porto Bagel, Inc.]*, 106 AD3d 1152; *Matter of Niagara Mohawk Power Corp. v Town of Bethlehem Assessor*, 225 AD2d 841; *Matter of Orange & Rockland Utils. v Williams*, 187 AD2d 595; *Matter of State of New York v Town of Thurman*, 183 AD2d 264; *Matter of 50540 Realty v Tax Commn. of City of N.Y.*, 136 AD2d 699; *Matter of Johnson v Town of Haverstraw*, 133 AD2d 86.) II. Petitioner's appraiser's capitalization rate calculation was fatally flawed, and otherwise entitled to no weight. (*Matter of John P. Burke Apts. v Swan*, 137 AD2d 321; *Matter of Continental Assur. Co. v Mayor of Inc. Vil. of Lynbrook*, 113 AD2d 795, 66 NY2d 915.)

Amigone, Sanchez & Mattrey LLP, Buffalo (*B. P. Oliverio* of counsel), for respondent. I. The Fourth Department was correct

when it affirmed Supreme Court and held that petitioner provided substantial evidence of a credible dispute with respect to valuation of the condominium units. (*Matter of OCG L.P. v Board of Assessment Review of the Town of Owego*, 79 AD3d 1224; *Matter of Tennessee Gas Pipeline Co. v Town of Sharon Bd. of Assessors*, 298 AD2d 758, 99 NY2d 506; *Matott v Ward*, 48 NY2d 455; *Price v New York City Hous. Auth.*, 92 NY2d 553; *Riccio v NHT Owners, LLC*, 79 AD3d 998; *Brown v Concord Nurseries, Inc.*, 53 AD3d 1067; *National Fuel Gas Supply Corp. v Goodremote*, 13 AD3d 1134; *Champlain Natl. Bank v Brignola*, 249 AD2d 656; *People v First Am. Corp.*, 76 AD3d 68, 18 NY3d 173; *Welch Foods v Town of Westfield*, 222 AD2d 1053.) II. The Fourth Department was correct when it affirmed Supreme Court and held that petitioner showed by a preponderance of the evidence that the condominium units were overassessed. (*Matter of Gordon v Town of Esopus*, 296 AD2d 812; *Matter of City of Syracuse Indus. Dev. Agency [Alterm, Inc.]*, 20 AD3d 168; *Matter of Greater N.Y. Sav. Bank v Commissioner of Fin.*, 15 AD3d 661; *Matter of Addis Co. v Srogi*, 79 AD2d 856, 53 NY2d 603; *Matter of Schoeneck v City of Syracuse*, 93 AD2d 988; *Matter of Connecticut Mut. Life Ins. Co. v Srogi*, 101 AD2d 698; *Matter of Blue Hill Plaza Assoc. v Assessor of Town of Orangetown*, 230 AD2d 846, 89 NY2d 804; *Matter of Rice v Srogi*, 70 AD2d 764; *Matter of 50540 Realty v Tax Commn. of City of N.Y.*, 136 AD2d 699.) III. The Fourth Department was correct when it affirmed Supreme Court and held adoption of the Town's net operating income and application of petitioner's capitalization rate was not error. (*Matter of Schoeneck v City of Syracuse*, 93 AD2d 988; *Matter of City of New York [Oceanview Terrace]*, 42 NY2d 948; *National Fuel Gas Supply Corp. v Goodremote*, 13 AD3d 1134; *Champlain Natl. Bank v Brignola*, 249 AD2d 656; *Onondaga Sav. Bank v Cale Dev. Co.*, 63 AD2d 415; *Matter of John P. Burke Apts. v Swan*, 137 AD2d 321; *Matter of Continental Assur. Co. v Mayor of Inc. Vil. of Lynbrook*, 113 AD2d 795, 66 NY2d 915; *Kurnick v State of New York*, 54 AD2d 1098; *Matter of Thomas v Davis*, 96 AD3d 1412, 101 AD3d 1699, 21 NY3d 860.) IV. The Town's brief ignores well established law. (*Matter of Central N.Y. Oil & Gas Co., L.L.C. [Porto Bagel, Inc.]*, 106 AD3d 1152; *Matter of Bialystock & Bloom v Gleason*, 290 AD2d 607; *Matter of Gullo v Semon*, 265 AD2d 656.)

OPINION OF THE COURT

GRAFFEO, J.

In this tax certiorari proceeding, the issue is whether petitioner rebutted the presumption of validity that attached to

the tax assessment of its real property. Because petitioner's proof failed to provide the factual and statistical information needed to substantiate its calculations, we conclude that the presumption was not overcome. The order of the Appellate Division should therefore be reversed and the petition dismissed.

Petitioner is the board of managers of the French Oaks Condominium (the Board), a residential complex located in the Town of Amherst, New York. The development consists of 39 individual units of varying sizes and layouts, each built between 2003 and 2005. Respondent Town of Amherst assessed the aggregate property at \$5,176,000 for the 2009-2010 tax year. In July 2009, the Board commenced this Real Property Tax Law (RPTL) article 7 proceeding against the Town, the Town's assessor and the Town's Board of Assessment Review (collectively, the Town) challenging the tax assessment as excessive.¹

In support of its petition, the Board submitted an appraisal report that set the valuation of the property at \$4,265,000—nearly one million dollars less than the assessment roll figure. In reaching this conclusion, the Board's appraiser applied an income capitalization method to establish the market value of the complex, treating each condominium unit as if it were an income-producing rental. Under the direct capitalization methodology, the first step required determination of the net operating income of the condominiums. The appraiser computed the net operating income by comparing the 39 units to similar apartments to estimate the market rental value of the condominiums, and then subtracted the expenses incurred in managing the condominiums. After making some upward and downward adjustments to account for the differences between the various units and the comparable apartments, the appraiser calculated the total annual net operating income at \$541,754.

The next step in the capitalization of income formula is to determine the appropriate capitalization rate. This can be accomplished by taking the annual net operating income of a comparable and dividing that figure by its sale price (*see* Appraisal Institute, *The Appraisal of Real Estate* at 514 [11th ed 1996]). To make this computation, the Board's appraiser identified four purportedly comparable apartment complexes—all constructed

1. The Board later brought a second RPTL article 7 proceeding seeking review of the tax assessment for the 2010-2011 tax year. The parties stipulated that a referee would resolve the first proceeding and that decision would apply to the second proceeding.

between 1959 and 1978—in the vicinity of the French Oaks development. To compute the net operating income for the four comparables, the appraiser had to ascertain their gross incomes and expenses. Although the appraiser offered specific figures for these items in his report, he indicated that they were derived from what he referred to as “forecast financials.” The report did not explain how the appraiser arrived at these income and expense figures and did not otherwise identify the sources for this component. The results reached after dividing the estimated net operating income of each comparable property by its sale price were four capitalization rates that ranged from 8.59% to 10.36%. The appraiser settled on a median capitalization rate of 9.5% and added a “tax factor” of 3.27% to the capitalization rate for a final capitalization rate of 12.7%.²

The last step in the income capitalization methodology required dividing the property’s net operating income by the final capitalization rate. Once the proffered net operating income of \$541,754 was divided by the final capitalization rate of 12.7%, the appraisal report set forth the conclusion that the 39-unit complex should have been assessed at approximately \$4,265,000 for the 2009-2010 tax year.

The Town offered an appraisal that also utilized the income capitalization method but reached a different valuation for assessment purposes. Unlike the Board’s appraiser, the Town’s expert inspected the interior of each of the 39 condominium units and included detailed photographs and information in the report. He estimated the net operating income at \$535,423 and computed an initial capitalization rate of 7.6%, to which he added a tax factor of 2.84% for a final capitalization rate of 10.44%. After dividing the net operating income by the capitalization rate, which resulted in an estimated value of \$5,128,573, the expert deducted \$49,725 in personal property items for an appraised market value of \$5,080,000 (this valuation presented by the Town’s expert differed only slightly from the assessed value assigned by the Town’s assessor for the tax roll).³

A two-day hearing was conducted before a referee. Following the testimony of the Board’s appraiser, which largely tracked

2. When assessed real estate taxes are presumed to be incorrect, appraisers may add a tax factor rather than deducting the assessed taxes as expenses. Here, the Board’s appraiser calculated the tax factor by dividing the Town’s overall tax rate (\$32.68 per thousand) by 1,000.

3. Because the net operating incomes offered by the Board’s appraisal (\$541,754) and the Town’s report (\$535,423) were quite close, the disparity in

(n. cont’d)

his appraisal report, the Town moved to dismiss the petition on the basis that the Board had failed to meet its initial burden of adducing substantial evidence to rebut the presumption that the Town's tax assessment was valid. The referee reserved decision and the Town presented its case through the testimony of its expert.

After the hearing, the referee denied the Town's dismissal motion, holding that the Board's proof rebutted the presumption of validity. Weighing the evidence presented by both parties, the referee concluded that the Board had established by a preponderance of the evidence that its property was overassessed. In reaching this determination, the referee adopted the Town's net operating income of \$535,423 and its tax factor of 2.84%, but accepted the Board's initial capitalization rate of 9.5% (for a final capitalization rate of 12.3%). Dividing the net operating income of \$535,423 by the final capitalization rate of 12.3%, the referee held that the complex should have been assessed at \$4,353,030, significantly less than the \$5,176,000 value listed on the 2009-2010 tax roll. Supreme Court thereafter directed the Town to amend its tax roll to reflect the referee's decision and remit any tax overpayments to the Board.

The Town appealed and the Appellate Division, with two Justices dissenting, affirmed (103 AD3d 1102 [4th Dept 2013]). The majority found that the taxpayer had rebutted the presumption; that its appraisal adequately complied with 22 NYCRR 202.59 (g) (2) (the applicable regulation containing the requirements for appraisal reports); and that the referee did not err in accepting the initial capitalization rate of the Board's appraiser—the only item from the Board's appraisal the referee relied upon. The dissenters would have adopted the Town's proposed value in its entirety, reasoning that the capitalization rate analysis conveyed in the Board's appraisal was entitled to no weight because its appraiser “failed to offer any factual support for the great majority of his figures” (*id.* at 1110 [Peradotto and Carni, JJ., dissenting]). In particular, the dissent concluded that the analysis of the Board's appraiser was deficient since he relied only on his “personal exposure” to at least three of the four comparable properties he used to calculate the capitalization rate (*id.* at 1109). Hence, “[i]n the absence of any documentary

their ultimate valuations is explained by the difference in their respective capitalization rates. Hence, the merit of the Board's argument was based in large part on the persuasiveness of the capitalization rate proposed by its appraiser.

or tangible evidence, respondents' counsel could not determine whether petitioner's appraiser accurately reported the financial figures of the allegedly comparable properties, nor can we make such a determination" (*id.* at 1110).

The Town appealed as of right under CPLR 5601 (a) based on the two-Justice dissent. We subsequently denied the Board's motion to dismiss the appeal predicated on its claim that the double dissent was not on a question of law (21 NY3d 956 [2013]).

Before us, the Town maintains that the Board failed to rebut the presumption that the tax assessment was accurate and the petition should have been dismissed. The Town asserts that the Board's appraisal should have been disregarded because it did not substantially comport with the dictates of 22 NYCRR 202.59 (g) (2) in that it failed to adequately disclose the factual underpinnings and sources that justified the appraiser's calculations. The Town contends that the Board did not furnish essential information pertaining to each of the 39 units, as well as the comparable apartments, so that the adjustments made to estimate the complex's market rental value under step one of the direct capitalization methodology were inadequate for review. Likewise, the Town urges that the Board's appraiser did not include sufficient documentary proof or data supporting the figures related to the four comparable properties from which the appraiser derived his capitalization rate under step two of the formula. In response, the Board asks us to affirm the reduction of its tax assessment, contending that the Appellate Division majority correctly concluded that its appraiser supplied sufficient facts regarding the condominium units and the comparable rental properties relevant to the first step and an adequate explanation for the computation of the capitalization rate under the second step.⁴

In an RPTL article 7 tax certiorari proceeding, "a rebuttable presumption of validity attaches to the valuation of property made by the taxing authority" (*Matter of Roth v City of Syracuse*, 21 NY3d 411, 417 [2013]). Consequently, a taxpayer

4. The Board further suggests that we cannot review the threshold issue of whether it rebutted the presumption through substantial evidence because the two-Justice dissent at the Appellate Division was not predicated on this issue. It is well settled, however, that once an appeal lies as of right under CPLR 5601 (a), an appellant may, on the ensuing appeal, seek review of all questions properly raised below (*see Matter of Duchnowski*, 31 NY2d 991 [1973]). The issue is therefore properly before us.

challenging the accuracy of an assessment bears the initial burden of coming forward with substantial evidence that the property was overvalued by the assessor. In the context of tax assessment cases, we have explained that the substantial evidence standard requires the taxpayer to “demonstrate the existence of a valid and credible dispute regarding valuation” (*Matter of FMC Corp. [Peroxygen Chems. Div.] v Unmack*, 92 NY2d 179, 188 [1998]). If the taxpayer satisfies this threshold burden, the presumption disappears and the court “must weigh the entire record, including evidence of claimed deficiencies in the assessment, to determine whether petitioner has established by a preponderance of the evidence that its property has been overvalued” (*id.*). But where a taxpayer fails to rebut the presumption, the municipality’s assessor has no obligation to go “forward with proof of the correctness of [its] valuation,” and the petition is to be dismissed (*id.* at 187 [internal quotation marks and citation omitted]).

A taxpayer will most often attempt to meet the substantial evidence requirement by offering a “detailed, competent appraisal based on standard, accepted appraisal techniques and prepared by a qualified appraiser” (*Matter of Niagara Mohawk Power Corp. v Assessor of Town of Geddes*, 92 NY2d 192, 196 [1998]). The Uniform Rules for the New York State Trial Courts prescribe the basic requirements for written appraisals:

“The appraisal reports shall contain a statement of the method of appraisal relied on and the conclusions as to value reached by the expert, together with the facts, figures and calculations by which the conclusions were reached. If sales, leases or other transactions involving comparable properties are to be relied on, they shall be set forth with sufficient particularity as to permit the transaction to be readily identified, and the report shall contain a clear and concise statement of every fact that a party will seek to prove in relation to those comparable properties. The appraisal reports also may contain photographs of the property under review and of any comparable property that specifically is

relied upon by the appraiser, unless the court otherwise directs” (22 NYCRR 202.59 [g] [2]).⁵

Although we have not previously had occasion to analyze this regulation, Appellate Division case law is instructive. Courts construing this provision have held that an appraisal should be disregarded when a party violates section 202.59 (g) (2) by failing to adequately “set forth the facts, figures and calculations supporting the appraiser’s conclusions” (*Pritchard v Ontario County Indus. Dev. Agency*, 248 AD2d 974, 974 [4th Dept 1998]; see also *Matter of Thomas v Davis*, 96 AD3d 1412, 1414 [4th Dept 2012]; *Matter of Johnson v Kelly*, 45 AD3d 687, 687 [2d Dept 2007]; *Matter of State of New York v Town of Thurman*, 183 AD2d 264, 268-269 [3d Dept 1992]). The reasonableness of this rule is obvious since noncompliance with 22 NYCRR 202.59 (g) (2) frustrates the primary objectives of these requirements—to afford “opposing counsel the opportunity to effectively prepare for cross-examination” (*Matter of Gullo v Seimon*, 265 AD2d 656, 657 [3d Dept 1999]) and to enable the courts to undertake meaningful review of appraisals. With these principles in mind, we examine the adequacy of the Board’s proof at the hearing.

Putting aside the other claimed inadequacies identified by the Town, we focus on the step-two capitalization rate analysis provided by the Board’s appraiser, which was critical to the outcome of this case and the only figure submitted by the taxpayer that was adopted by the referee. The appraisal identified four comparable apartment complexes used to calculate the capitalization rate, setting forth the sale price, gross income, expenses and net operating income for each of the rental properties (see Appraisal Institute, *The Appraisal of Real Estate* at 514 [11th ed] [“Deriving capitalization rates from comparable sales is the preferred technique when sufficient data on sales of similar, competitive properties are available”]). Since net operating income is one half of the equation in determining the capitalization rate (net operating income divided by sales price), an accurate calculation is of paramount importance. But other

5. 22 NYCRR 202.59 applies to tax assessment review proceedings outside the City of New York. 22 NYCRR 202.60, applicable to tax certiorari proceedings brought in the counties within the City of New York, contains a provision with similar operative language (see 22 NYCRR 202.60 [g] [3]). The only distinction is that 22 NYCRR 202.60 (g) (3) generally requires appraisal reports to include photographs of the assessed property and any comparable properties, whereas 22 NYCRR 202.59 (g) (2) merely permits such photographs.

than referencing “forecast financials,” the appraiser did not provide the sources of the income or expense figures related to each comparable (*see id.* [“Data on each property’s sale price, income, expenses, financing terms, and market conditions at the time of sale are needed”]).

More importantly, the hearing testimony of the Board’s appraiser revealed that he had little to no confirmable data to support the income and expense numbers he employed to derive the capitalization rate. During his direct examination, the appraiser asserted that he relied on “very good” and “very strong” data that came from “certified sources.” On cross-examination, however, he conceded that he had no certified expense or income information and instead had relied on “forecasted economic indicators” with respect to the apartment buildings. In fact, he could identify only two documents in the record that provided any “limited historic operating expenses,” and this information was for only two comparables and did not correlate to the numbers used in the appraisal report. He admitted that he had no documents supporting his analysis as to the other two comparable properties. When pressed, he proffered that the relevant figures were based on his “personal exposure” to the complexes, i.e., his own unverifiable knowledge.⁶ But as the Appellate Division dissenters aptly recognized, “[a]n appraiser cannot simply list financial figures of comparable properties in his or her appraisal report that are derived from alleged personal knowledge; he or she must subsequently ‘prove’ those figures to be facts at trial” (103 AD3d at 1110 [Peradotto and Carni, JJ., dissenting]). Simply put, the record before us affords no basis to check or test whether the net operating incomes for these four properties—and the capitalization rates adduced from them—were valid, or even in the ballpark.

In sum, although the substantial evidence standard is not a heavy one, “the documentary and testimonial evidence proffered by petitioner [must be] based on sound theory and objective data” (*Matter of FMC Corp.*, 92 NY2d at 188 [internal quotation marks and citation omitted]). The Board in this case failed to meet this threshold because its appraiser did not support the proposed capitalization rate with objective data necessary to substantiate the component calculations. As a result of

6. The Board’s appraiser also acknowledged that there were more recent sales of three of the four comparable properties that he did not consider in his analysis.

this deficiency in proof, the Board did not rebut the presumption that the tax assessment of \$5,176,000 was valid.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition dismissed.

Chief Judge LIPPMAN and Judges READ, SMITH, RIVERA and ABDUS-SALAAM concur; Judge PIGOTT taking no part.

Order reversed, with costs, and petition dismissed.

[12 NE3d 1091, 989 NYS2d 661]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANTHONY LEWIS, Appellant.

Argued February 12, 2014; decided May 1, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 17, 2013. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Maxwell Wiley, J.), which had convicted defendant, upon a jury verdict, of grand larceny in the third degree (two counts), grand larceny in the fourth degree (three counts), criminal possession of a forged instrument in the second degree (eight counts), identity theft in the first degree (five counts), scheme to defraud in the first degree and criminal possession of forgery devices.

People v Lewis, 102 AD3d 505, affirmed.

HEADNOTES

Crimes — Instructions — Verdict Sheet — Annotations Listing Stores Where Credit Card Frauds Occurred and Banks That Issued Credit Cards

1. In a prosecution for grand larceny and other crimes arising from a sophisticated scheme by which defendant and two codefendants acquired credit card numbers from legitimate accounts of cardholders and placed the stolen information on forged credit cards that they used to make purchases at several stores, Supreme Court's submission to the jury of a verdict sheet containing annotations that listed, in addition to the date of the alleged offense, either the name of the store where the alleged offense occurred or the name of the bank that issued the credit card did not run afoul of CPL 310.20 (2). Section 310.20 (2) permits jurors to take with them to deliberations a written list prepared by the court containing, whenever two or more counts charging offenses set forth in the same article of law are submitted, "the dates, names of complainants or specific statutory language, without defining the terms, by which the counts may be distinguished." Given the large number of counts, coupled with the fact that the offenses occurred at different locations at different times (and, in some instances, on different dates), the court appropriately included the annotations so that the jury could distinguish the submitted counts, and, under the circumstances, the names of the stores clearly fell within the term "complainant" delineated in section 310.20 (2). The annotations could not have been interpreted by the jury as being intended for any purpose other than identifying the individual stores defendant and his codefendants were alleged to have frequented or the banks relative to certain identity theft counts. Affording section 310.20 (2) a narrow interpretation would unnecessarily restrict trial courts from providing clarification on a verdict sheet in cases where, as here, there are multiple counts of identical offenses alleging similar conduct over a period of time.

Crimes — Appeal — Preservation of Issue for Review — Challenge to Installation of Global Positioning System on Vehicle without Warrant

2. Defendant's objection to law enforcement's warrantless installation of a global positioning system (GPS) tracking device on his vehicle was adequately preserved for appellate review at trial as the record indicated that Supreme Court was on notice of defendant's argument under *People v Weaver* (52 AD3d 138 [3d Dept 2008], *rev'd* 12 NY3d 433 [2009]), which was pending before the Court of Appeals during defendant's trial, and tacitly denied it. Prior to trial, the People disclosed surveillance reports that, for the first time, indicated that investigators had attached the GPS device to defendant's car and used it to track defendant on a number of occasions. Defendant apprised the court, through counsel, that upon reviewing the surveillance reports he discovered that the GPS device had been attached to his car and asked if the court would consider a motion concerning its use. The court, believing that the request was one to suppress the GPS technology relative to an eavesdropping warrant dealing with information obtained from defendant's cell phones, stated that it was "likely" that the court had issued a ruling already. Defendant twice asserted correctly that the court had not made a ruling concerning the use of the GPS device attached to his car, but the court refused to consider defendant's argument. Thereafter, prior to summations, defendant, referring to *Weaver*, asked the court if it was "aware of the Court of Appeals case currently pending with respect to the usability of tracking devices." Although the court responded that it was aware of the case, when defense counsel attempted to make a motion with regard to that issue, the court interrupted him and summoned the jury.

Crimes — Unlawful Search and Seizure — Installation of Global Positioning System on Vehicle without Warrant

3. Where law enforcement installed, without a warrant, a global positioning system (GPS) tracking device on defendant's vehicle, the Appellate Division erroneously concluded that law enforcement's "very limited GPS surveillance . . . was permissible" under *People v Weaver* (12 NY3d 433 [2009]). Without considering whether the facts sufficed to distinguish *Weaver*, the attachment of the GPS device to defendant's vehicle was unquestionably a search within the meaning of the Fourth Amendment under the United States Supreme Court's subsequent holding in *United States v Jones* (565 US —, 132 S Ct 945 [2012]). Under *Weaver* and *Jones*, the use of a GPS device to monitor a vehicle's movements constitutes a search under the State and Federal Constitutions. Thus, when the police want to place a GPS device on a suspect's automobile, they must obtain a warrant first. Although *Weaver* and *Jones* had not yet been decided at the time of defendant's trial, cases on direct appeal are generally decided in accordance with the law as it exists at the time the appellate decision is made.

Crimes — Unlawful Search and Seizure — Installation of Global Positioning System on Vehicle without Warrant — Harmless Error

4. In a prosecution for grand larceny and other crimes arising from a sophisticated scheme by which defendant and two codefendants acquired credit card numbers from legitimate accounts of cardholders and placed the stolen information on forged credit cards that they used to make purchases at several stores, law enforcement's warrantless installation of a global positioning system (GPS) tracking device on defendant's vehicle, although amounting to a constitutional violation, was harmless beyond a reasonable doubt because

there was no reasonable possibility that the error might have contributed to defendant's conviction. Although there was one date on which the use of the GPS device allegedly led to evidence of defendant's criminal activity, the use of the GPS device on that date provided information redundant to that which investigators had already obtained legally from another source—a wiretap of defendant's cell phones that was carried out pursuant to an eavesdropping warrant. Notwithstanding that the GPS device was attached to defendant's car on that date, investigators learned from the wiretapped phone calls that defendant and his codefendants were headed toward a particular store at a specific location. Once investigators located defendant and his cohorts at the store, they conducted visual surveillance as defendant and/or his codefendants made purchases at two stores. The People also presented overwhelming evidence of defendant's guilt in the form of surveillance video, sales receipts, visual observations by investigators of codefendants making purchases at certain stores, interviews of store employees conducted by investigators and recorded conversations obtained via the eavesdropping warrant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 210, 575, 618, 671, 675, 703; AM JUR 2d, Searches and Seizures §§ 18, 82, 112; AM JUR 2d, Trial § 1446.
CARMODY-WAIT 2d, Search and Seizure §§ 173:8, 173:92, 173:113; CARMODY-WAIT 2d, Jury Conduct and Deliberation § 201:11; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:18, 207:19, 207:25, 207:33, 207:47.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.4, 24.10, 27.5, 27.6.
MCKINNEY'S, CPL 310.20 (2).
NY JUR 2d, Criminal Law: Procedure §§ 244, 289, 429, 1620, 2820, 3454–3456, 3572, 3573.

ANNOTATION REFERENCE

Fourth Amendment protections, and equivalent state constitutional protections, as applied to the use of GPS technology, transponder, or the like, to monitor location and movement of motor vehicle, aircraft, or watercraft. 5 ALR6th 385.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Susan H. Salomon of counsel), for appellant. I. The trial court violated CPL 310.20 (2) and thereby committed reversible

error by submitting a verdict form that, for the overwhelming majority of counts, listed alleged crime locations, not complainants. (*People v Miller*, 18 NY3d 704; *People v Laing*, 79 NY2d 166; *People v Owusu*, 93 NY2d 398; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *People v Martinez*, 83 NY2d 26; *People v Grega*, 72 NY2d 489; *People v Spann*, 56 NY2d 469; *People v Rodriguez*, 17 NY3d 486; *People v Bailey*, 13 NY3d 67; *People v Baghai-Kermani*, 84 NY2d 525.) II. The trial court's rulings and counsel's inaction wrongly denied appellant the opportunity to challenge the prosecution's warrantless installation of a GPS tracking device on his car, conduct that violated *People v Weaver* (12 NY3d 433 [2009])—a decision that was pending prior to and during his trial—and conduct about which appellant himself pressed counsel (and the court) prior to trial. (*People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668; *People v Turner*, 5 NY3d 476; *People v Baker*, 14 NY3d 266; *People v Kneitel*, 33 AD3d 816; *People v Jean-Baptiste*, 11 NY3d 539; *Mountain View Coach Lines v Storms*, 102 AD2d 663; *People v Martello*, 93 NY2d 645; *Griffith v Kentucky*, 479 US 314.) III. The Appellate Division failed to properly conduct a weight-of-evidence review of appellant's challenges to his larceny convictions. (*People v Noble*, 86 NY2d 814; *People v Danielson*, 9 NY3d 342; *People v Johnson*, 10 NY3d 875; *People v Dekle*, 56 NY2d 835; *People v Dlugash*, 41 NY2d 725; *People v Malagon*, 50 NY2d 954; *People v Esquilin*, 37 AD3d 197; *People v Chavis*, 91 NY2d 500; *People v Ford*, 11 NY3d 875; *People v Watson*, 284 AD2d 212.) IV. By peremptorily rejecting appellant's requests for a voice-identification expert to challenge the prosecution's case that his voice was on the wiretapped calls, the trial court abused its discretion. (*Washington v Texas*, 388 US 14; *Ake v Oklahoma*, 470 US 68; *People v Hatterson*, 63 AD2d 736; *People v Drumgoole*, 234 AD2d 888; *People v Tyson*, 209 AD2d 354; *People v Jeter*, 80 NY2d 818; *People v Cronin*, 60 NY2d 430; *People v Williams*, 160 AD2d 754.) V. Appellant's sentence violated his due process, jury trial, and proportionate punishment rights, and otherwise constituted an abuse of discretion as a matter of law. (*People v Naranjo*, 89 NY2d 1047; *United States v Quintieri*, 306 F3d 1217; *People v Pena*, 50 NY2d 400; *People v Jones*, 39 NY2d 694; *People v Slobodan*, 67 AD2d 630; *People v Williams*, 46 AD2d 783; *People v Schonfeld*, 68 AD3d 449; *People v Rodwin*, 283 AD2d 242; *People v Maryea*, 157 AD2d 605; *People v LaSalle*, 95 NY2d 827.)

Cyrus R. Vance, Jr., District Attorney, New York City (Martin J. Foncello, Susan Axelrod and Alan Gadlin of counsel), for

respondent. I. The verdict sheet submitted by the trial court was proper. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Lawrence Constr. Corp. v State of New York*, 293 NY 634; *People v Mitchell*, 77 NY2d 624; *Rangolan v County of Nassau*, 96 NY2d 42; *People v Hemmings*, 2 NY3d 1; *People v Olivo*, 52 NY2d 309; *People v Alamo*, 34 NY2d 453; *People v Fuentes*, 52 AD3d 1297; *People v Cepeda*, 29 AD3d 491; *People v Yakubova*, 11 AD3d 644.) II. Trial counsel was not ineffective for failing to object to the introduction of testimony about the use of a global positioning system (GPS) to locate defendant's car, and the court correctly denied his motion to set aside the verdict due to the introduction of evidence from the GPS. (*People v Weaver*, 12 NY3d 433; *People v Jones*, 55 NY2d 771; *People v Satterfield*, 66 NY2d 796; *People v Brown*, 45 NY2d 852; *People v Love*, 57 NY2d 998; *Strickland v Washington*, 466 US 668; *People v Taylor*, 1 NY3d 174; *People v Benevento*, 91 NY2d 708; *People v Henry*, 95 NY2d 563; *People v Caban*, 5 NY3d 143.) III. The First Department properly evaluated the weight of the evidence supporting defendant's convictions of five counts of grand larceny. (*People v Johnson*, 10 NY3d 875; *People v Danielson*, 9 NY3d 342; *People v Bleakley*, 69 NY2d 490; *People v Noble*, 86 NY2d 814; *People v Norman*, 85 NY2d 609; *People v Olivo*, 52 NY2d 309; *People v Alamo*, 34 NY2d 453; *People v Carpenito*, 80 NY2d 65; *People v Foster*, 73 NY2d 596.) IV. The trial court properly denied defendant's request for appointment of a voice analysis expert. (*People v Angelo*, 88 NY2d 217; *Ake v Oklahoma*, 470 US 68; *Caldwell v Mississippi*, 472 US 320; *People v Wilkerson*, 94 AD3d 423; *People v Burgess*, 270 AD2d 158; *People v Herrnkind*, 49 AD3d 555; *People v Carpenter*, 240 AD2d 863; *People v Brown*, 67 AD3d 1369; *People v Brand*, 13 AD3d 820; *People v Walker*, 83 NY2d 455; *People v Ventura*, 35 NY2d 654.) V. Defendant can identify no legal error concerning his sentence, which was proper. (*People v Thompson*, 60 NY2d 513; *People v Jones*, 39 NY2d 694; *People v Naranjo*, 89 NY2d 1047; *People v Moore*, 61 NY2d 575; *People v Walker*, 83 NY2d 455; *People v Pena*, 50 NY2d 400; *People v Nieves*, 2 NY3d 310; *Ewing v California*, 538 US 11.)

OPINION OF THE COURT

PIGOTT, J.

The issues on this appeal are whether the trial court ran afoul of CPL 310.20 (2) when it submitted to the jury a verdict sheet containing the locations of the designated offenses, and

whether law enforcement's warrantless installation of a global positioning system (GPS) tracking device on defendant's vehicle violated our holding in *People v Weaver* (12 NY3d 433 [2009]) and the holding of the United States Supreme Court in *United States v Jones* (565 US —, 132 S Ct 945 [2012]).

I

Defendant and two codefendants engaged in a sophisticated scheme to steal property through the use of forged credit cards. They first acquired credit card numbers from legitimate accounts of cardholders who lived in other states. Then, with the aid of a "reader/writer" machine—a device that reads and writes the magnetic strips on credit cards—they placed the stolen information on the strips of blank cards that had been fabricated to look like genuine credit cards bearing the conspirators' names or aliases. With forged cards in hand, defendant and his codefendants made purchases at several stores in Manhattan.

In January 2007, investigators from the New York County District Attorney's Office obtained an eavesdropping warrant allowing them to wiretap two of defendant's cell phones. Via the wiretaps, investigators heard defendant discussing his purchase of the reader/writer machine and his attempts to purchase blank plastic cards for use in creating fake credit cards. Investigators also conducted visual surveillance of defendant, but they found that to be difficult because of Manhattan's traffic congestion. As a result, investigators, without first securing a warrant, placed a battery-operated GPS device on defendant's vehicle. Between March 5 and March 16, 2007, defendant and his codefendants visited various stores and utilized forged credit cards to either purchase or attempt to purchase items with the illegally obtained credit card numbers belonging to individuals from out of state, that had been issued by, among other institutions, HSBC, MasterCard, and Chase Bank. Investigators interviewed store employees and recovered store receipts and surveillance video relative to the transactions.

In May 2007, a grand jury handed down a 61-count indictment against defendant and his codefendants charging them with grand larceny, criminal possession of a forged instrument, criminal possession of stolen property, criminal possession of forgery devices, identity theft and scheme to defraud. In February 2009, approximately one month before trial, the prosecutor provided the defense with copies of the surveillance reports, which disclosed, for the first time, that a GPS tracking device had been placed on defendant's vehicle.

In March 2009, the case proceeded to trial on 26 of the counts. The People presented evidence concerning the myriad of transactions that had taken place during the period in question. The testimony on the People's case-in-chief addressed multiple transactions in numerous stores on different dates involving the use of different credit card numbers, which had been issued by assorted banking institutions and obtained from various individuals throughout the United States.

Prior to summations, the trial court, concerned that the jury would have difficulty distinguishing among the submitted counts, prepared a verdict sheet that listed the count number, the offense charged, the date of the alleged offense, and either the name of the store where the alleged offense occurred or the name of the bank that issued the credit card. Defense counsel objected to the annotations on the verdict sheet to the extent it mentioned locations, amounts and dates. The court explained that it prepared the verdict sheet in conformance with the Criminal Procedure Law, and stated that it would instruct the jury that the notations served the sole purpose of distinguishing one count from another.

In its charge to the jury, the court instructed that the sheet had been formulated for the jury's "guidance" and that "there are some notations [on the sheet] whose only purpose is to remind you of the difference between each of the counts." The jury found defendant guilty on 20 of the 26 counts, namely, two counts of grand larceny in the third degree, three counts of grand larceny in the fourth degree, eight counts of criminal possession of a forged instrument in the second degree, five counts of identity theft in the first degree, and one count each of scheme to defraud in the first degree and criminal possession of forgery devices.

Defendant made a posttrial CPL 330.30 motion asserting, among other things, that the trial court erred in permitting evidence concerning the GPS device placed on defendant's car, relying on this Court's decision in *Weaver*, which had been pending during his trial and was handed down after the jury's verdict. The court summarily denied that motion at sentencing, and defendant was sentenced to 9¹/₃ to 28 years' imprisonment.

The Appellate Division unanimously affirmed, holding that the investigators' "limited use" of the GPS device was permissible under our holding in *People v Weaver* and, to the extent it violated state or federal constitutional law, any error was harmless

(102 AD3d 505, 505-506 [1st Dept 2013]). It also concluded that because the stores listed on the verdict sheet were “proxies” for the “complainants,” the annotations did not run afoul of CPL 310.20 (2) (*id.* at 508). A Judge of this Court granted defendant leave to appeal (20 NY3d 1101 [2013]), and we now affirm.

II

In *People v Miller* (18 NY3d 704 [2012]), we held that a trial court commits reversible error by providing a jury in a criminal trial with a verdict sheet containing annotations that are not authorized by CPL 310.20 (2) (*id.* at 706). That section provides:

“Upon retiring to deliberate, the jurors may take with them: . . .

“2. A written list prepared by the court containing the offenses submitted to the jury by the court in its charge and the possible verdicts thereon. Whenever the court submits two or more counts charging offenses set forth in the same article of the law, *the court may set forth the dates, names of complainants or specific statutory language*, without defining the terms, by which the counts may be distinguished; provided, however, that the court shall instruct the jury in its charge that the sole purpose of the notations is to distinguish between the counts” (emphasis supplied).

Subdivision (2) had originally included only the first sentence, and was amended in 1996 to grant trial courts the authority to include annotations concerning “the dates, names of complainants or specific statutory language” to “facilitate an orderly and intelligent deliberative process and prevent needless reversals of convictions” (Governor’s Approval Mem, Bill Jacket, L 1996, ch 630 at 9, 1996 NY Legis Ann at 453).

Defendant, relying on *Miller*, claims that the trial court committed reversible error by submitting the annotated verdict sheet to the jury, and challenges 15 out of the 20 counts of which defendant was convicted. According to defendant’s reading, because the verdict sheet contained references to the locations of the offenses and names of the issuing banks (as opposed to the names of the individuals whose card numbers had been stolen), he is entitled to a new trial because that information does not fall within the categories specified in section 310.20 (2). We disagree.

As we explained in *Miller* “[n]othing of substance can be included [on a verdict sheet] that the statute does not authorize” (*Miller*, 18 NY3d at 706 [emphasis supplied]). The verdict sheet in *Miller* violated section 310.20 (2) because it included a legal instruction relative to burden of proof, i.e., words or terms “of substance” (*id.* at 706-707 [verdict sheet asked the jury if the defendant had established by a preponderance of the evidence that he acted under extreme emotional disturbance]). Verdict sheets may not be utilized to provide legal instruction to a deliberating jury; such instruction is to be provided by the trial court in its jury charge (*see* CPL 310.30 [stating that during deliberations “the jury may request the court for further instruction or information with respect to the law” and the court, upon notice to and in the presence of the People and the defense, “must give such requested information or instruction as the court deems proper”]). Inclusion of legal instructions on a verdict sheet runs contrary to the statute’s intended purpose of “facilitat[ing] an orderly and intelligent deliberative process” because it enhances the risk that the jurors will perceive the annotation as having special significance as opposed to merely assisting them in distinguishing among the counts.

[1] The annotations here could not have been interpreted by the jury as being intended for any purpose other than identifying the individual stores defendant and his codefendants were alleged to have frequented or the banks relative to certain identity theft counts. Given the number of counts, coupled with the fact that the offenses occurred at different locations at different times (and, in some instances, on different dates), the trial court appropriately included the annotations so that the jury could distinguish the submitted counts. Under the circumstances, the names of the stores clearly fall within the term “complainant” delineated in the statute. Affording section 310.20 (2) the narrow interpretation defendant advocates would unnecessarily restrict trial courts from providing clarification on a verdict sheet in cases like this one where there are multiple counts of identical offenses alleging similar conduct over a period of time. The danger against which the statute guards—that the jurors will “tak[e] on the role as Judges of the law” (*People v Moore*, 71 NY2d 684, 688 [1988])—is not presented here.

III

[2] Contrary to the People’s contention, defendant’s objection to the warrantless installation of the GPS tracking device was

adequately preserved at trial.¹ Prior to trial, the People disclosed surveillance reports that, for the first time, indicated that investigators had attached the GPS device to defendant's car and used it to track defendant on a number of occasions. Defendant apprised the court, through counsel, that upon reviewing the surveillance reports he discovered that the investigators had attached a GPS device to his car, and asked if the court would consider a motion concerning its use. The court, believing that the request was one to suppress the GPS technology relative to the eavesdropping warrant, stated that it was "likely" that the court had issued a ruling already.² Defendant told the court that it had not issued a ruling relative to the GPS device, and the court responded that it was "possible" that defendant was correct. Defendant was, in fact, correct that the court had not made a ruling concerning the use of the GPS device, and twice asserted as such, but the court refused to consider defendant's argument.

[3] In any event, prior to summations, defendant, referring to *People v Weaver*, asked the court if it was "aware of the Court of Appeals case currently pending with respect to the usability of tracking devices."³ Although the court responded that it was aware of that case, when counsel attempted to make a motion with regard to that issue (*see* CPL 710.60 [5]), the court interrupted him and summoned the jury. The record thus indicates that the court was on notice of defendant's argument under *Weaver* and tacitly denied it. The Appellate Division found the objection sufficiently preserved to reach the merits; however, it erroneously concluded that law enforcement's "very limited GPS surveillance . . . was permissible" under our holding in *Weaver* (102 AD3d at 505-506).

Under *Weaver* and the United States Supreme Court's subsequent holding in *United States v Jones*, the use of a GPS device to monitor a vehicle's movements constitutes a search

1. Having reached this conclusion, we need not address defendant's contention that he was deprived of the effective assistance of counsel for not challenging the admission of the GPS-derived evidence.

2. It is undisputed that the eavesdropping warrants to which the court was referring dealt with GPS information obtained from defendant's cell phones.

3. On June 5, 2008, the Appellate Division, Third Department, upheld the warrantless use of a GPS device (52 AD3d 138 [3d Dept 2008]). Defendant was granted leave to appeal to this Court on July 22, 2008 (10 NY3d 966 [2008]) and we reversed the order of the Appellate Division on May 12, 2009 (12 NY3d 433 [2009]).

under our State and Federal Constitutions (*see Weaver*, 12 NY3d at 445-447; *see also United States v Jones*, 565 US at —, 132 S Ct at 949). The Appellate Division sought to distinguish *Weaver* by pointing out that the device was attached to the car for only three weeks (and functional for only two), and that investigators accessed the GPS device on only two days. We do not need to consider whether these facts suffice to distinguish *Weaver*, because under the Supreme Court's holding in *Jones* the attachment of the GPS device to defendant's vehicle was unquestionably a search within the meaning of the Fourth Amendment. Although *Jones* and *Weaver* had not yet been decided at the time of defendant's trial, "cases on direct appeal are generally decided in accordance with the law as it exists at the time the appellate decision is made" (*People v Jean-Baptiste*, 11 NY3d 539, 542 [2008] [citation omitted]). When the police want to place a GPS device on a suspect's automobile, they must obtain a warrant first.

[4] We conclude, however, that this violation of defendant's constitutional right was harmless beyond a reasonable doubt because "there is no reasonable possibility that the error might have contributed to defendant's conviction" (*People v Crimmins*, 36 NY2d 230, 237 [1975], citing *Chapman v California*, 386 US 18 [1967], *reh denied* 386 US 987 [1967], and *Fahy v Connecticut*, 375 US 85 [1963]). There was one date on which the use of the GPS device allegedly led to evidence of defendant's criminal activity. Although the GPS device was attached to the car on that date, investigators learned from another source—wiretapped phone calls obtained through an eavesdropping warrant—that defendants were heading toward a Best Buy store at 86th Street and Lexington Avenue in Manhattan. Once investigators located defendant and his cohorts at this store, they conducted visual surveillance as defendant and/or his codefendants made purchases at a jewelry store and another Best Buy at 44th Street and 5th Avenue, which was near the jewelry store. Given the information investigators obtained from the wiretap, the use of the GPS device, although amounting to a constitutional violation, was nonetheless harmless because it provided information redundant to that which investigators had already obtained legally. The People also presented overwhelming evidence of defendant's guilt in the form of surveillance video, sales receipts, visual observations by investigators of codefendants making purchases at the named stores, interviews of store employees conducted by investigators, and recorded conversations obtained via the eavesdropping warrant.

Finally, we have considered defendant's remaining arguments and conclude that they are without merit.

Accordingly, the order of the Appellate Division should be affirmed.

GRAFFEO, J. (concurring). The majority believes that defendant adequately preserved a constitutional challenge to the evidence obtained from the global positioning system (GPS) tracking device. Not only do I disagree with that holding, but defendant does as well—he asserts that his trial attorney inexcusably failed to seek suppression. Consequently, I would analyze the GPS issue in the context of an ineffective assistance of counsel framework. Before trial, the People provided the defense with documents revealing that a GPS device had been attached to defendant's automobile and was used to track his location at specified times and locations. Once alerted to these facts, defendant urged his attorney to inquire if the court would “entertain” a pretrial motion to suppress the GPS evidence. When defense counsel posed the issue, the court responded that it believed it had already ruled on the request, but that it would consider the application if “something specific” was raised and the issue would be reviewed “at that time.” Defense counsel, however, did not pursue or file a motion. At the subsequent trial, the People presented the GPS evidence.

Before summations, defendant asked the court if it was aware of a GPS case that was pending at our Court, entitled *People v Weaver* (52 AD3d 138 [3d Dept 2008], *lv granted* 10 NY3d 966 [2008]). The judge indicated that he knew of the case but did not engage in further discussion. Approximately two weeks after the verdict in defendant's case, but prior to his sentencing, we issued the decision in *People v Weaver* (12 NY3d 433 [2009]). Defense counsel then moved to set aside defendant's conviction under CPL 330.30, claiming that the People should not have been allowed to use evidence derived from the GPS unit because it had not been authorized by a search warrant. Supreme Court denied the motion.

On these facts, the GPS issue clearly was not adequately preserved (*see* CPL 470.05 [2]). Except under unusual circumstances not present in this case, a motion to suppress evidence must be made before trial (*see* CPL 710.40) and is to be submitted in writing (*see* CPL 710.60 [1]). Because the suppression motion was not timely or properly presented to the trial court, it cannot be faulted for refusing to consider the issue. Defendant's counsel did not comply with the court's request for a

pretrial motion and the issue was not raised again until after the GPS evidence had been offered into evidence (*see* CPL 710.40 [2], [4]). Neither defendant's oral application made immediately prior to summations nor his postverdict CPL 330.30 motion could be used to belatedly raise this issue (*see e.g. People v Hines*, 97 NY2d 56, 61-62 [2001]; *cf.* majority op at 188).¹

Recognizing the untimeliness of the suppression request, defendant now asks us to determine that his trial attorney was ineffective for failing to properly submit his suppression challenge to the GPS evidence. Although the record in this case supports the procedural course charted by defendant on this appeal, I do not believe that defendant has satisfied his burden of establishing that counsel's performance was objectively unreasonable (*see generally People v Brown*, 17 NY3d 742, 744 [2011]; *People v Baker*, 14 NY3d 266, 270-271 [2010]). At the time the suppression motion should have been made, the trial court would have been bound by the Third Department's ruling in *Weaver*, which held that the use of a GPS device by law enforcement was not subject to a warrant requirement (*see* 52 AD3d at 142-143). We did not overturn that determination until after the jury in this case rendered its verdict.² Of course, the fact that the GPS issue had not yet been definitively resolved as a matter of New York or federal law may weigh in defendant's favor—the lack of a suppression motion impeded his ability to raise the issue on appeal even though he would have been entitled to rely on any advantageous decisions that occurred while his direct appeal unfolded (*compare People v Nesbitt*, 20 NY3d 1080, 1082 [2013], *with People v Feliciano*, 17 NY3d 14, 28 [2011]).

1. Citing CPL 710.60 (5), the majority evidently believes that the presumption oral application timely presented the GPS issue. This position is inconsistent with the relevant provisions of article 710 of the Criminal Procedure Law. In general, a motion to suppress must be served or filed within 45 days after arraignment unless the court specifies a different time frame (*see* CPL 710.40 [1], citing CPL 255.20 [1]). A motion to suppress at a later point in a criminal proceeding—"during trial" (CPL 710.60 [5]), for example—is permitted "when, owing to unawareness of facts constituting the basis thereof or to other factors, the defendant did not have reasonable opportunity to make the motion previously" (CPL 710.40 [2]). This exception is inapplicable since the defense was clearly alerted to raise this issue in an appropriate suppression motion. Section 710.60 (5), therefore, has no bearing on this case and the fact that "[t]he Appellate Division found the objection sufficiently preserved" (majority op at 188) is not determinative (*see People v Davidson*, 98 NY2d 738, 739-740 [2002]).

2. *See also Matter of Cunningham v New York State Dept. of Labor* (21 NY3d 515, 520 [2013]); *United States v Jones* (565 US —, 132 S Ct 945 [2012]).

Ultimately, however, defendant's ineffectiveness argument fails because he has not demonstrated that trial counsel's inaction prejudiced him or deprived him of meaningful representation in the context of the entire case (*see generally People v Heidgen*, 22 NY3d 259, 278-279 [2013]). As the majority correctly observes, the GPS evidence was quite limited in terms of factual disclosures and otherwise similar to proof that had been legally obtained. For example, aside from the GPS evidence, defendant's guilt was overwhelmingly established by surveillance videos, extensive visual observations by investigators, numerous recorded telephone conversations, statements from store employees and the discovery in a codefendant's residence of a machine that created counterfeit credit cards. Therefore, trial counsel's failure to properly seek suppression of the GPS evidence did not deprive defendant of meaningful legal assistance.³ For these reasons, I would affirm the order of the Appellate Division.

Chief Judge LIPPMAN and Judges SMITH and RIVERA concur; Judge GRAFFEO concurs in an opinion in which Judges READ and ABDUS-SALAAM concur.

Order affirmed.

3. I agree with the majority that the verdict sheet did not violate CPL 310.20 (2) and that defendant's other contentions are meritless.

[12 NE3d 1079, 989 NYS2d 649]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TERENCE McCRAY, Appellant.

Argued February 13, 2014; decided May 1, 2014

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered January 17, 2013. The Appellate Division affirmed a judgment of the Albany County Court (Thomas A. Breslin, J.), which had convicted defendant, upon a jury verdict, of rape in the first degree.

People v McCray, 102 AD3d 1000, affirmed.

HEADNOTE

Crimes — Disclosure — Mental Health Records of Complainant in Rape Prosecution — Materiality

In a rape prosecution in which complainant testified that defendant beat and raped her and defendant testified that consensual sex was followed by a struggle, the trial court, in response to defendant's request for disclosure of complainant's mental health records, did not abuse its discretion in deciding, after in camera review, to disclose 28 pages of the thousands of documents submitted by the People. A defendant is entitled to the disclosure of material evidence favorable to his or her case. Where a defendant has made a specific request for evidence, materiality is based on whether there is a reasonable possibility that the verdict would have been different if the evidence had been disclosed. The disclosed records showed that the complainant had significant mental health problems, including multiple disorders, that she visualized dead people, was occasionally explosive and sometimes failed to take her medication. While the undisclosed documents contained other examples of possible distorted perceptions, they were no clearer or more dramatic than the ones disclosed and the trial court could reasonably conclude that they would add little force to the credibility attacks. Moreover, it would be difficult for a juror to attribute the undisclosed references of complainant's tendency to misremember or misunderstand events to this rape claim, which was made immediately after the encounter. Most of the undisclosed evidence of prior sexual abuse complaints were not complaints that anyone violently forced sex on her and nothing suggested that they were untrue. The details of her sexual experiences were no more than marginally relevant given that the jury knew of complainant's hypersexuality and that evidence would likely be excluded under CPL 60.42. Finally, an undisclosed report made by the complainant during treatment that her father had sexually assaulted her, which was deemed "unfounded," was quite different from the accusation made against defendant five years later immediately after the event.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Depositions and Discovery §§ 290–292; AM JUR 2d, Rape §§ 64, 65.

CARMODY-WAIT 2d, Discovery §§ 187:84–187:90; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:37–194:41.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 20.3, 20.4.
MCKINNEY'S, CPL 60.42.
NY JUR 2d, Criminal Law: Procedure §§ 1670, 1692, 1696, 2046; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 723, 726, 728, 729.

ANNOTATION REFERENCE

See ALR Index under Discovery; Medical Records; Rape; Rape Shield Statute.

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POINTS OF COUNSEL

Paul J. Connolly, Delmar, for appellant. I. County Court violated appellant's right to confront and cross-examine witnesses and otherwise to prepare his defense by failing to disclose all of complainant's mental health records that were potentially relevant to her credibility or to her account of the alleged crime, or which could have led to discovery of potentially admissible evidence or aided in cross-examining prosecution witnesses. (*Crane v Kentucky*, 476 US 683; *California v Trombetta*, 467 US 479; *Olden v Kentucky*, 488 US 227; *Delaware v Van Arsdall*, 475 US 673; *Davis v Alaska*, 415 US 308; *Douglas v Alabama*, 380 US 415; *Brady v Maryland*, 373 US 83; *Strickler v Greene*, 527 US 263; *United States v Gil*, 297 F3d 93; *Johnson v Folino*, 705 F3d 117.) II. County Court erred in not reviewing the records of complainant's fall 2009 hospitalization and in not disclosing to appellant such of those records as could potentially aid the defense. (*People v Bailey*, 58 NY2d 272; *People v Jackson*, 291 AD2d 930, 98 NY2d 677; *People v Gissendanner*, 48 NY2d 543; *People v Yavru-Sakuk*, 4 NY3d 814.) III. Defense counsel's failure to object to the multiple out-of-court statements of complainant claiming to have been raped or sexually assaulted, recounted by the police and in medical and paramedical records, and his failure to request limiting instructions as to the statements to the police, rendered him ineffective under the State and Federal Constitutions. (*People v Rice*, 75 NY2d 929; *People v Seit*, 86 NY2d 92; *People v O'Sullivan*, 104 NY 481;

People v Deitsch, 237 NY 300; *People v Rosario*, 17 NY3d 501; *People v McDaniel*, 81 NY2d 10; *People v Shepherd*, 83 AD3d 1298; *People v Felix*, 32 AD3d 1177, 7 NY3d 925; *People v Fabian*, 213 AD2d 298, 85 NY2d 972; *People v Santos*, 243 AD2d 276.) IV. County Court committed reversible error by precluding appellant from examining complainant about a diagnosis that she was hypersexual. (*Crane v Kentucky*, 476 US 683; *California v Trombetta*, 467 US 479; *Davis v Alaska*, 415 US 308; *Douglas v Alabama*, 380 US 415; *People v Baranek*, 287 AD2d 74; *People v Douglas*, 29 AD3d 47, 6 NY3d 847; *People v Rivera*, 138 AD2d 169; *People v Crimmins*, 36 NY2d 230.) V. County Court committed reversible error in sustaining prosecution objections to multiple defense questions of complainant and complainant's mother, which were designed to elicit testimony as to complainant's erratic and unstable behavior, and thus to aid the jury in assessing her credibility. (*People v Klem*, 80 AD3d 777; *People v Baranek*, 287 AD2d 74; *People v Dudley*, 167 AD2d 317; *People v Phipps*, 220 AD2d 238; *People v Tucker*, 171 Misc 2d 1; *People v Cesar G.*, 154 Misc 2d 17; *People v Rensing*, 14 NY2d 210; *People v Manzanillo*, 145 Misc 2d 504; *People v Plaisted*, 2 AD3d 906, 2 NY3d 744; *People v Carter*, 50 AD3d 1318.)

P. David Soares, District Attorney, Albany (Steven M. Sharp of counsel), for respondent. I. County Court's in camera review appropriately balanced defendant's due process rights and the victim's privacy rights and represented a sound exercise of discretion. (*Brady v Maryland*, 373 US 83; *People v Bryce*, 88 NY2d 124; *Giglio v United States*, 405 US 150; *People v Fuentes*, 12 NY3d 259; *People v Vilardi*, 76 NY2d 67; *People v Gissendanner*, 48 NY2d 543; *People v Tissois*, 72 NY2d 75; *People v De Jesus*, 69 NY2d 855; *Pennsylvania v Ritchie*, 480 US 39; *Jaffee v Redmond*, 518 US 1.) II. Defendant was responsible for obtaining the victim's medical records relative to her hospitalization in the fall of 2009, not the court or the People. (*People v Chatman*, 186 AD2d 1004; *People v Kelly*, 62 NY2d 516; *People v Hayes*, 17 NY3d 46; *People v Reedy*, 70 NY2d 826; *People v Sealey*, 239 AD2d 864; *People v Darling*, 276 AD2d 922.) III. Defendant received effective assistance of counsel. (*People v Benvenuto*, 91 NY2d 708; *People v Felder*, 47 NY2d 287; *People v Claudio*, 83 NY2d 76; *People v Hobot*, 84 NY2d 1021; *People v Baldi*, 54 NY2d 137; *People v Henry*, 95 NY2d 563; *People v Flores*, 84 NY2d 184; *People v Aiken*, 45 NY2d 394; *People v Rivera*, 71 NY2d 705; *People v Angelakos*, 70 NY2d 670.) IV. County Court did not preclude defendant from questioning witnesses about the victim's purported hypersexuality. (*People v*

Williams, 81 NY2d 303; *People v Corby*, 6 NY3d 231; *People v Scott*, 16 NY3d 589; *People v Halter*, 19 NY3d 1046.) V. County Court properly sustained objections to questioning the victim's mother about incidents that were only relevant to the victim's credibility. (*People v Pavao*, 59 NY2d 282; *People v Duffy*, 36 NY2d 258; *People v Klem*, 80 AD3d 777.) VI. Defendant's claims in his pro se supplemental brief are without merit.

OPINION OF THE COURT

SMITH, J.

Defendant, prosecuted for rape, sought disclosure of the complainant's mental health records. The trial court reviewed the records in camera and disclosed only a few of them. We hold that the court did not abuse its discretion.

I

Defendant, 40 years old, and the complainant, 18, met for the first time in April 2009. They had several telephone conversations after their first meeting, and agreed to go on a date on May 26, 2009.

Both of them testified to what happened that evening, and their accounts, up until the final, critical events, match in many respects. They visited a friend of defendant at his home, tried unsuccessfully to go to a bar (which excluded the complainant because of her age) and then went to the home of another of defendant's friends, who left them to themselves. While there, they kissed, and touched each other intimately, but did not have intercourse. Defendant then led the complainant to an abandoned house.

Some time later, the complainant called 911 from a pay phone near the house, weeping and struggling to speak. She said that defendant had beaten her, made her beg for her life, and raped her. A police officer who approached her while she was on the phone saw blood on her clothes and her face. Photographs and hospital records show that she had abrasions and bruises on her left arm and left cheek, and lacerations to the inside of her mouth. Defendant, meanwhile, had gone to the home of a friend near the abandoned house, and (according to the friend's testimony) banged on the door and asked to be let in because a woman was "exposing herself and . . . chasing him." Defendant had a bite mark on his forearm.

The key issue at trial, of course, was what happened in the abandoned house. The complainant testified that defendant

pinned her against a wall, forced his tongue into her mouth, rubbed against her and demanded sex. She refused and a struggle followed, in which each hit the other in the face, defendant choked the complainant and the complainant bit him. Eventually, the complainant said, she “gave in” and “let him have it because he said if I did, I could live.” They had intercourse, and she left the house.

Defendant testified that the couple engaged in foreplay and consensual sex. Afterwards, the complainant said “I want some money” or “I want to be compensated.” This led to a loud exchange of epithets, after which, defendant said, the complainant “grabbed my pants and . . . started heading out the door with them.” Defendant tackled her, and her face hit the floor. He then sat on her back, tried to retrieve his pants from underneath her, and noticed that she had removed some of his money and had it in her hand. As he tried to wrench it away, she bit him. Eventually, he retrieved his pants and his money, and the complainant got up and walked out.

The outcome of the case obviously depended on which witness the jury believed. Seeking information that would undermine the complainant’s credibility, defendant asked before trial that the People be directed to obtain her mental health records and turn them over to the defense. The court directed instead that the records be submitted to it in camera. From the thousands of documents submitted, the court selected 28 pages for disclosure, and withheld the rest.

The records that were disclosed showed, and the jury was informed at trial, that the complainant had very significant mental health problems. Her diagnoses, as summarized in her own testimony, included “Bipolar, Tourettes, post-traumatic stress disorder, epilepsy.” It was also brought out that she suffered from attention deficit disorder and hypersexuality; that she had reported that she “visualized” or “sense[d] the presence of” dead people; that she had cut her flesh with sharp objects; that her bipolar disorder caused her “on occasion” to be “explosive and angry” and to “physically strike out at people”; that at the time of the incident she was taking medications, was receiving treatment from a mental health facility, and was also seeing a counselor weekly or biweekly; that she failed “once in a while” to take her medications, and that on the night of the alleged rape she could not remember whether she had taken them that day; that, after the alleged rape and before the trial, she had been hospitalized for an overdose of drugs; and that

that was not her first suicide attempt, though she said it was her first “serious” one.

Defendant was convicted of rape. The Appellate Division affirmed, holding among other things, after examining the undisclosed documents, that the trial court did not err in withholding them (*People v McCray*, 102 AD3d 1000 [3d Dept 2013]). Two Justices dissented, concluding that the undisclosed records “raise issues that would affect the victim’s credibility or her ability to recall events” and that some of them “would be extremely damaging to the People’s case” (*id.* at 1011). A Justice of the Appellate Division granted leave to appeal, and we now affirm.

II

While defendant presents the issue as one of interference with his rights of confrontation and cross-examination, we view this as essentially a *Brady* case (*Brady v Maryland*, 373 US 83 [1963]; see *Pennsylvania v Ritchie*, 480 US 39, 56 [1987] [evaluating under *Brady* the question of whether confidential investigative files concerning child abuse must be disclosed to a criminal defendant]). Under *Brady*, a defendant is entitled to the disclosure of evidence favorable to his case “where the evidence is material” (373 US at 87). In New York, the test of materiality where, as here, the defendant has made a specific request for the evidence in question is whether there is a “reasonable possibility” that the verdict would have been different if the evidence had been disclosed (*People v Vilardi*, 76 NY2d 67, 77 [1990]).

This case differs from the typical *Brady* case in that it involves confidential mental health records, and the decision to deny disclosure was made not by a prosecutor, but by a judge after an in camera review of the records sought. In such a case, the trial court has a measure of discretion in deciding whether records otherwise entitled to confidentiality should be disclosed (see *People v Gissendanner*, 48 NY2d 543, 548 [1979]).

In sum, the issue here is whether the trial court abused its discretion in finding defendant’s interest in obtaining the records to be outweighed by the complainant’s interest in confidentiality; and defendant’s interest could be outweighed only if there was no reasonable possibility that the withheld materials would lead to his acquittal. Having examined those materials, we conclude that the court did not abuse its discretion.

As to most of the documents in question, we have no hesitation in agreeing with the courts below that they are either

cumulative or of little if any relevance to the case. The jury knew that the complainant had “visualized” her deceased grandfather and had said that she “could sense the presence of dead people.” The undisclosed records contain other examples of what could be called hallucinations or distorted perceptions, but the other examples were no clearer or more dramatic than the ones the defense already had; the trial court could reasonably conclude they would add little force to defendant’s attacks on the complainant’s credibility.

There are also many references in the undisclosed documents to the complainant’s tendency to misremember or misunderstand events. It is hard to imagine, however, a juror who could attribute the complainant’s testimony here—a claim of rape, made immediately after what defendant testified was consensual sex followed by a dispute over payment—to a failure of recollection or a misunderstanding, however susceptible to those failings the complainant may have been. She certainly did not fantasize or misremember that she and defendant had a violent encounter: they both had the wounds to prove it. And their descriptions of that encounter are so starkly different that if one version is not a lie, the other must be. With one possible exception, which we discuss below, there is nothing in the undisclosed records suggesting that the complainant had a tendency to make accusations she knew to be false.

The undisclosed records do show that the complainant had made several previous complaints of sexual abuse. But—again with one exception—these were not complaints that anyone had used violence to force sex on her. And—subject to the same exception—nothing in the records suggests that the complaints were untrue. Certain of them may show that, before the complainant reached the age of consent, a number of boys or men took advantage of the hypersexuality that, as the jury knew, was among her mental problems. We agree with the Appellate Division majority that this is exactly what the diagnosis of hypersexuality would lead one to expect, and that the details of the complainant’s sexual experiences were of no more than marginal relevance to this case.

We also agree with the Appellate Division majority that, in all likelihood, proof of these details was prohibited by the Rape Shield Law (CPL 60.42), which bars, subject to certain exceptions, “[e]vidence of a victim’s sexual conduct” in sex offense cases. We recognize that this likelihood is not necessarily conclusive on the *Brady* issue. Inadmissible evidence can be

material under *Brady* if it will be useful to the defense, perhaps as a lead to admissible evidence or a “tool in disciplining witnesses during cross-examination” (*United States v Gil*, 297 F3d 93, 104 [2d Cir 2002]). And even the question of admissibility cannot be decided definitively, because defendant has not seen the documents and has had no chance to make an offer of proof that might bring the evidence within an exception to the Rape Shield Law (see CPL 60.42 [5] [permitting the trial court to admit evidence that otherwise would be excluded, if it determines after an offer of proof that the evidence is “relevant and admissible in the interests of justice”]). But any evaluation of materiality under *Brady* involves a prediction about the impact of undisclosed material on a trial, and here the existence of a statute that would likely keep out of evidence not only the records themselves but the facts underlying them supports the view of the courts below that their impact, if any, would be slight.

The exception we have mentioned provides the strongest basis for defendant’s argument on appeal. Records from 2004, when the complainant was 13, say that she reported having been sexually assaulted by her father. She claimed that he pinned her against a wall and tried to rape her, but she escaped. The records show that her father had in fact been physically abusive, but they also show that the complainant’s mother did not believe the charge of sexual assault was true. One record refers to the allegation as “unfounded,” without further explanation. These documents give us some pause (cf. *People v Hunter*, 11 NY3d 1 [2008] [finding a *Brady* violation, under a “reasonably probable” materiality standard, where a prosecutor failed to disclose the complainant’s report that another man had committed a similar rape]).

But the complainant’s 2004 accusation of her father was far removed in time and quite different from the accusation she made in 2009 against defendant. It was an accusation of abuse by a family member, made not in a 911 call immediately after the event, but in the course of treatment by mental health professionals. And even if the accusation was not true, nothing in the records indicates that the complainant fabricated it, rather than misinterpreted or imagined something her father had done. It is, as we have said, almost impossible that a jury could think the complainant’s accusation in this case to be an honest but mistaken one, as the accusation against her father may have been.

We therefore hold that the trial court could reasonably think

there was no more than a remote possibility that disclosure of the records it withheld would lead to defendant's acquittal. The court was within its discretion in finding the records' relevance to be outweighed by the complainant's legitimate interest in confidentiality.

Defendant's remaining arguments lack merit.

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting). Pretrial disclosure to the defendant of favorable and material evidence is constitutionally required to ensure the defendant's rights of due process and to a fundamentally fair trial (*Brady v Maryland*, 373 US 83, 87 [1963]; US Const, 14th Amend, § 1). Disclosure of exculpatory and impeachment evidence is essential to establishing a defense, and furthers the goals of seeking the truth through the trial process (*see generally Giglio v United States*, 405 US 150 [1972]). Despite the importance of disclosure to the defendant and the proper functioning of our criminal justice system, the majority concludes that denial of vast amounts of revealing medical documents was proper in this case. I disagree.

Here, credibility issues were central to the case, and there was evidence supporting the defendant's version of events, thus requiring the jury to decide between divergent stories. There is a "reasonable possibility" that failure to disclose documents from the complainant's mental health medical records, which reveal her history of memory loss, potential fabrications, substance abuse, distortions in her view of interpersonal relationships, and information suggesting unsubstantiated claims of prior rape and sexual abuse, contributed to the verdict (*see People v Vilardi*, 76 NY2d 67, 77 [1990]). Therefore, the trial court abused its discretion in denying disclosure.

In addition, to the extent the majority suggests that the defendant's challenge to the medical records in this case is limited to a *Brady* violation, I disagree with this narrow interpretation of the defendant's constitutional rights. Denial of documents that would have assisted the defense in preparing for cross-examination of the complainant, including questioning for impeachment purposes, implicates the defendant's confrontation rights.

I.

Our Federal and State Constitutions guarantee every defendant a fair trial (US Const 5th Amend; NY Const, art I, § 6). Essential to this guarantee, which is grounded in the Due Process

Clause, is the defendant's right to disclosure of evidence "favorable to the accused and material to guilt or punishment" (*Pennsylvania v Ritchie*, 480 US 39, 57 [1987], citing *United States v Agurs*, 427 US 97 [1976]; *Brady*, 373 US at 87). As the majority concedes, evidence confidential in nature is subject to disclosure when the state's interest in maintaining confidentiality is outweighed by a defendant's constitutional rights of access to materially favorable evidence (majority op at 198, citing *People v Gissendanner*, 48 NY2d 543, 548 [1979]). Whether and to what extent confidential information should be disclosed is within the trial court's purview, subject to the proper exercise of its discretionary power (*Gissendanner*, 48 NY2d at 548). Disclosure is required, and the court affords access, "to otherwise confidential data relevant and material to the determination of guilt or innocence, as, for example, . . . when it involves other information which, if known to the trier of fact, could very well affect the outcome of the trial" (*id.*).

In order to determine whether the denial of the documents to the defendant constituted a violation of his constitutional rights under *Brady*, we must decide whether there is a "reasonable possibility that the failure to disclose [the medical reports] contributed to the verdict" (*Vilardi*, 76 NY2d at 77 [internal quotation marks omitted]). In *Vilardi*, we adopted the "reasonable possibility" test recognizing that it was the proper measure of "materiality" (*id.*). Clearly, the test is meant to ensure defendants' access to material available in accordance with *Brady* and our state constitutional guarantees, and sets a high bar against nondisclosure. As we stated, the "reasonable possibility" standard is "essentially a reformulation of the 'seldom if ever excusable' rule" (*id.*; see *Agurs*, 427 US at 106 ["When the prosecutor receives a specific and relevant (discovery) request, the failure to make any response is seldom, if ever, excusable"]).

II.

No less essential to the defense than the due process rights to disclosure of favorable and material evidence is the defendant's right to confrontation of adverse witnesses, embodied in both our Federal and State Constitutions (US Const 6th, 14th Amends; NY Const, art I, § 6). The majority avoids consideration of the defendant's confrontation rights, instead choosing to analyze the defendant's challenges under *Brady* (majority op at 198). I agree that the defendant's appellate claims are properly the subject of *Brady* analysis, but they also implicate the defendant's confrontation rights.

The defendant argues that he was entitled to access the complainant's mental health records because they were necessary for him to effectively cross-examine the complainant, especially with respect to her reliability, or would have led to discovery of this type of evidence. He contends that the failure to disclose these documents violated his constitutional rights to confront and cross-examine witnesses. His arguments present a viable confrontation rights claim.

Denial of documents that provide the defense with material to prepare for cross-examination and impeachment of the complainant in this case of alleged rape goes to the very core of the right to confront adverse witnesses. Without access to documents concerning reliability of the witness, the defendant cannot properly develop and pursue questioning favorable to the defense or address facts and related issues important to the truth finding process. I would ground this right in our New York State Constitution. We have previously recognized that the protections under our constitution extend beyond those found in our federal counterpart, which sets the floor, but not the ceiling, for the rights of an individual (*People v LaValle*, 3 NY3d 88, 129 [2004]; accord *Sharrock v Dell Buick-Cadillac*, 45 NY2d 152, 159 [1978]).

While our constitutional language mirrors that of the Federal Constitution (*compare* US Const 6th Amend [“(t)he accused shall enjoy the right . . . to be confronted with the witnesses against him”] *with* NY Const, art I, § 6 [“the party accused shall be allowed to . . . be confronted with the witnesses against him or her”]), federal consideration of this issue is un compelling. In *Pennsylvania v Ritchie*, the plurality rejected a Confrontation Clause challenge to the denial of documents, limiting the application of the Confrontation Clause to a defendant's opportunity to cross-examine:

“the Confrontation Clause was not violated by the withholding of the [confidential] file; it only would have been impermissible for the judge to have prevented Ritchie's lawyer from cross-examining the [complainant]. Because defense counsel was able to cross-examine all of the trial witnesses fully, we find that the Pennsylvania Supreme Court erred in holding that the failure to disclose the [confidential] file violated the Confrontation Clause” (480 US at 54).

Many states have found the plurality's reasoning unpersuasive, including Pennsylvania, the state whose law was at issue in *Ritchie* (see *Commonwealth v Lloyd*, 523 Pa 427, 432, 567 A2d 1357, 1359 [1989] [defendant's state confrontation clause rights violated where he was denied access to the contents of the complainant's psychiatric records]; accord *Jones v State*, 297 Md 7, 464 A2d 977 [1983] [defendant entitled by common law to inspect grand jury minutes for cross-examination purposes]; *Commonwealth v Stockhammer*, 409 Mass 867, 570 NE2d 992 [1991] [under state confrontation clause defendant can inspect complainant's rape victim counseling records, without in camera inspection, for evidence of prejudice or motive to fabricate by the complainant]; but see *State v Donnelly*, 244 Mont 371, 798 P2d 89 [1990], *revd on other grounds State v Imlay*, 249 Mont 82, 813 P2d 979 [1991] [Montana constitution does not afford greater protection than the Federal Constitution]). Similarly, at least one federal circuit has rejected the narrow confrontation clause analysis in *Ritchie* (see *Wallace v Price*, 2002 WL 31180963, *22, 2002 US Dist LEXIS 19973, *72 [WD Pa, Oct. 1, 2002, civil action No. 99-231], *report and recommendation adopted* 265 F Supp 2d 545 [WD Pa 2003], *affd* 243 Fed Appx 710 [3d Cir 2007] ["plurality's reasoning did not garner a majority of the court" and is therefore not binding]).

In light of the broader guarantees provided under our State Constitution, and because of the important role of cross-examination to ensuring both the rights of the defendant and the truth seeking functions of our criminal justice system, I would reject the narrow interpretation of the *Ritchie* plurality (see *Ritchie*, 480 US at 66 [Brennan, J., dissenting] ["(the plurality's) interpretation ignores the fact that the right of cross-examination also may be significantly infringed by events occurring outside the trial itself, such as the wholesale denial of access to material that would serve as the basis for a significant line of inquiry at trial"]). As we have stated:

"[I]n determining the scope and effect of the guarantees of fundamental rights of the individual in the Constitution of the State of New York, this court is bound to exercise its independent judgment and is not bound by a decision of the Supreme Court of the United States limiting the scope of similar guarantees in the Constitution of the United States" (*People v Barber*, 289 NY 378, 384 [1943]).

There is no need to address the boundaries of the defendant's confrontation claim in this case, because, as discussed herein,

there is a reasonable possibility that disclosure of the documents would have resulted in a different outcome at trial (*Vilardi*, 76 NY2d at 77). Claims based on the defendant's confrontation rights may require application of a lower threshold to establish violation of those rights, but certainly are not subject to greater scrutiny. Therefore, whether analyzed as a violation of the defendant's confrontation rights, or rights protected under *Brady*, I would find the trial court's denial of the documents constituted an abuse of discretion.

III.

The trial court and the Appellate Division rejected an absolute prohibition on disclosure, and instead concluded that the defendant was entitled to certain of the complainant's medical records. At the Appellate Division, the majority and dissenting Justices agreed that the state's interest in maintaining the confidentiality of complainant's medical records must cede to the defendant's constitutional rights, and that the defendant was entitled to review at least some of the medical documents (*People v McCray*, 102 AD3d 1000, 1005 [3d Dept 2013]; *see also id.* at 1010-1011 [McCarthy, J., dissenting]). Thus, this case does not involve the propriety of an absolute prohibition on confidential information, but rather the extent of disclosure required to protect defendant's rights while recognizing the state's interest in confidentiality.

As an initial matter, the Appellate Division erred in allowing "an appropriate sample" of the complainant's medical documents to substitute for a fuller disclosure (*McCray*, 102 AD3d at 1005). A sample means an example of something else: "a representative part or single item from a larger whole or group" (Merriam Webster's Collegiate Dictionary 1034 [10th ed 1996]). A sample document, by its nature, shares only general attributes, and not specific peculiarities, with other documents from the "larger whole or group." A single document that discusses a medical condition is thus a "sample" of other documents discussing the same condition.

Here the majority does not specifically reject the Appellate Division's reference to this improper standard, but concludes that many of the undisclosed documents are "cumulative" and therefore not subject to disclosure (*see* majority op at 198-199). However, the undisclosed documents are not merely "cumulative" in a legal sense. Cumulative evidence is "[a]dditional evidence that supports a fact established by existing evidence"

(Black's Law Dictionary 636 [9th ed 2009]). It can be excluded by New York courts when "its admission would prolong the trial to an unreasonable extent without any corresponding advantage"; that is, when it will prove a fact that other evidence has already proven (*People v Davis*, 43 NY2d 17, 27 [1977]; see also *People v Petty*, 7 NY3d 277, 286 [2006]; *People v Corby*, 6 NY3d 231, 235-236 [2005]). Sample documents prove only the general principle that they embody. Assuming that other documents in the "larger whole or group" prove specific facts, those documents are not "cumulative" of the sample document (cf. *People v Russell*, 79 NY2d 1024, 1026 [1992] [four non eyewitness photo identifications not cumulative of eyewitness identifications]; *People v Linton*, 166 AD2d 670, 671 [2d Dept 1990] [the testimony of different social workers was not cumulative when "(e)ach social worker had a different relationship and experience with the victim"]). Cases are made or unmade by specifics, not generalities. Therefore, sample documents that share only general characteristics with a corpus of documents cannot displace the evidentiary value of documents that uniquely prove specific facts.

The risk attendant on selecting a "sample" from the universe of confidential records is that the undisclosed document may contain information about alternative diagnoses or treatment protocols even if the substantive content is representative of other documents containing the same underlying information but with different conclusions. Another risk is that the sample may lack a fuller and more nuanced description of the same information contained in the disclosed sample.

Review of the complainant's disclosed and undisclosed documents illustrates the point. The majority of the documents disclosed to the defendant appear to consist of short, "progress notes" or intake forms, generated by a therapist or other health care practitioner, and do not reflect a full analysis of the complainant's condition. Some contain phrases which suggest significant problems, such as a history of auditory and visual hallucinations, poor impulse control and questionable judgment, but do not adequately reveal the root causes or their impact over time on the complainant. What are missing from the sample, and contained in the undisclosed documents, are narratives based on discussions and professional analysis of the complainant that provide a fuller picture of the complainant's mental health history and conditions and how they may affect her veracity as well as her ability to comprehend and accept

reality. For example, one undisclosed report revealed the complainant has a very poor perception of reality, and noted the complainant's distortions of her interpersonal relationships, leading the health care practitioner to write that the complainant suffers from wishful thinking about relationships with males with whom she is recently acquainted. Similarly, another undisclosed document revealed complainant reported dissociative episodes. The "sample" of disclosed documents did not provide this type of information about the complainant.

Applying the correct standard, the documents could properly be excluded only if there is no reasonable possibility that they contain information that if disclosed would have resulted in a different outcome at trial (majority op at 200-201). I disagree that we can conclude on this record that there is no reasonable possibility that the undisclosed records would have affected the outcome of this case, that is to say that there is no "substantial basis for claiming materiality" (*see Agurs*, 427 US at 106).

Like the majority, I begin my analysis with a review of the information contained in the disclosed documents and compare it to the information in the undisclosed medical records. The complainant's written medical history is extensive and spans years of treatment, primarily describing her mental health services and diagnoses, and includes references to incidents that occurred when the complainant was seven years old.

The trial court disclosed a mere 28 pages, which, with few exceptions, can best be described as brief if not cursory updates of the complainant's condition based on interviews and reviews by a series of health care practitioners, created from different sources, and includes records from episodic hospitalizations and long-term counseling. The majority of these disclosed documents make shorthand references to several of the complainant's mental health and behavioral issues.

The documents state that the complainant is diagnosed as bipolar, and suffered from Tourette's syndrome, post-traumatic stress disorder, attention deficit disorder and epilepsy. They further state that for years she was on several medications, and at times she failed to take her medications as prescribed, including close to the time when she met the defendant. There are documents indicating that she had been hospitalized due to her mental health conditions and suicidal ideation. The documents contain additional references that she suffered from auditory and visual hallucinations; was once found along a local highway

and could not articulate how she got there; she sensed and spoke to dead people; and she had been experiencing “psychotic symptoms.”*

The disclosed documents present information about what must be recognized as severe mental health issues and reveal a history of physical and sexual abuse. While the documents disclosed information about the complainant’s mental health useful to the defendant, they did not reveal the full range of medical and behavioral issues that implicate the complainant’s credibility.

For example, a review of the undisclosed medical records reveals a document that indicates the complainant suffers from memory loss, has difficulty accurately recalling events, has a distorted view of interpersonal relationships and admits to lying. The same undisclosed document also reveals complainant’s memory can be selective; she forgets good experiences with people if there are subsequent bad experiences.

Other documents state that complainant’s mental health condition will deteriorate as she grows older. I, therefore, disagree with the majority’s conclusion that most of the undisclosed documents are merely more of the same, that they lack information distinct from that contained in the disclosed documents, and that the information, if known to the jury, would not have a “reasonable possibility” of resulting in acquittal.

The majority states that medical records referencing the complainant’s history of deliberate untruthfulness, as well as her inability to recall events, would have made no difference to the jury because the complainant’s failure to recollect or her likelihood to misunderstand events could not have affected her ability to recall the alleged rape, and that the other evidence and the defendant’s own testimony supported the complainant’s claims that they had a “violent encounter” (majority op at 199). According to the majority, the jury was left to decide who was lying and nothing in the undisclosed documents, with one exception, suggests that she makes false accusations. Yet, the undisclosed medical records contain several references to the complainant’s inability to correctly recall events. While disclosed documents and the complainant’s own testimony reveal her

* In addition to these documents, shortly before trial the defendant learned through a *Brady* disclosure that the complainant had started to abuse drugs and alcohol heavily after the alleged incident and was hospitalized for a suicide attempt.

history of seizures, several undisclosed documents associate her seizure activity with an inability to recollect what had happened to her. Additionally, one undisclosed document discusses the complainant's desire to obtain her mother's trust, implying complainant was not forthcoming with her mother and may have a need to lie so as to avoid disappointing her mother. Another indicates complainant fantasizes about her interpersonal relationships and has a poor perception of reality. The records that indicate an inability to remember and potential history of fabrication would have been critical to the defendant's preparation and cross-examination of the complainant.

It certainly was reasonably possible for the jury to conclude, based on the complainant's prior history of distorted reality, that while she could accurately remember everything leading up to the moment of having sex with the defendant, she fabricated events surrounding the sex act. Indeed, we have long recognized that juries are tasked with making decisions about the credibility or incredibility of testimony, and may accept or discount testimony based on difficult credibility determinations (*see generally People v Sage*, 23 NY3d 16 [2014] [jury is left free to accept or reject testimony]).

The records of possible fabrication of sexual assault and attempted rape by her father and the other undisclosed records could have provided a basis to show falsity of the allegations, or a pattern of false complaints that may very well have been admissible (*see People v Mandel*, 48 NY2d 952, 953 [1979]). Certainly, the records were not inadmissible as a matter of law (*see People v Hunter*, 11 NY3d 1, 6 [2008]), and were within the court's discretion as to whether to admit in the interests of justice (*see CPL 60.42* [5]). Regardless of the admissibility of these documents, the defendant had a right to review them and determine whether the allegations were unsubstantiated, and showed conduct sufficiently similar to the complainant's alleged claims about the defendant such that defendant could argue they constituted the type of "pattern of false complaints" that would be admissible at trial. Moreover, the documents that were disclosed may have misled the defendant as to the complainant's history of sexual abuse because they referred to physical and not sexual abuse by the father and brother.

The majority concludes that the allegations of attempted rape by the father may not be sufficiently similar to the facts in this alleged "date rape" case, or occurred too distant in time, to support its admission. In fact, undisclosed records indicate the

alleged attempted rape by complainant's father is similar to the allegations made here against defendant in that complainant claims she was forced up against a wall by her father, a much older man, but could not recall how she got away. Here, complainant testified similarly that defendant was "backing [her] up against a wall" and she aggressively tried to fight his advances.

Moreover, the mental health records contain references to the mother's denial of the attempted rape, and thus place its truth in question. Therefore, the defendant should have had the opportunity to review the records and determine whether there was a basis to seek its admission at trial, to show a pattern of false claims of rape.

The records relating to flashbacks from previous alleged sexual abuse also should have been made available to the defendant because they would have allowed the defendant to determine whether complainant's capacity and motive in this case were affected by a prior experience. Therefore, I cannot conclude, as does the majority, that "the trial court could reasonably think there was no more than a [mere] remote possibility that disclosure of the records . . . would lead to defendant's acquittal" (majority op at 200-201).

IV.

The case as presented to the jury depended on whether the complainant and the defendant engaged in *consensual* sex. Mental health records indicating that complainant has a history of lying or that her memory was unclear go to the truthfulness of her statements that she was raped by defendant. Far from a "hope that the unearthing of some unspecified information would enable him to impeach the witness" (*Gissendanner*, 48 NY2d at 549, citing *People v Norman*, 76 Misc 2d 644 [Sup Ct, NY County 1973]), this information went to whether there could be a basis to disbelieve the complainant's version.

Moreover, the prosecutor argued that defendant knew the complainant had mental health problems simply by observing and speaking with her and that he sought to manipulate her based on what he perceived was her vulnerability due to her mental condition. As the record establishes, the prosecutor argued that the complainant's mental health condition was obvious to the defendant and the jury, and that the defendant took advantage of the complainant. Defense counsel sought to persuade the jury that as a result of the complainant's various

mental health issues, she was either unable to remember that the sex was consensual or was lying about the rape. However, in response to the prosecution's strategy of characterizing the defendant as a manipulative, older man seeking to take advantage of a younger woman who acted in a sexually provocative manner, and who he could see suffered from some type of mental impairment, the defendant had to persuade the jury that the complainant's mental health conditions would have led her to fabricate a story of a rape, or to cause her to believe and recount for the jury an incorrect version of the sexual encounter with the defendant. In that sense, the more the defendant sought to establish the general severity of the complainant's mental health conditions, the more the jury could find persuasive the People's version. Thus, in order for the defendant to present the complainant's mental health condition objectively from the defense point of view—that she is too mentally ill to recall that she consented, or that she made up the whole story because of her illness—disclosure of records about her ability to recall events accurately and her capacity to fabricate events was crucial.

V.

Medical records describing the complainant's short term memory loss, selective memory, tendency to fabricate, poor perception and unrealistic assessments of intimate relationships, flashbacks of alleged sexual abuse, and possible false allegations of rape went directly to the reliability of the complainant, and would have allowed the defense to fully cross-examine her. The information contained in these documents does not merely give occasion for "some pause" (see majority op at 200), but rather establishes that there is a "reasonable possibility" that this information if disclosed would have affected the outcome.

The record reveals that the evidence was such that, as the Appellate Division concluded, "it would not have been unreasonable for the jury to believe defendant's testimony that the sexual encounter was consensual" (*McCray*, 102 AD3d at 1003 [footnote omitted]). The denial of additional medical records providing evidence that could serve as a basis for the jury to disbelieve the complainant's version was, therefore, an abuse of discretion.

I dissent.

Judges GRAFFEO, READ and ABDUS-SALAAM concur with Judge SMITH; Judge RIVERA dissents and votes to reverse in an opinion in which Chief Judge LIPPMAN and Judge PIGOTT concur.

Order affirmed.

[12 NE3d 1061, 989 NYS2d 631]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FLOYD
L. SMART, Appellant.

Argued March 24, 2014; decided May 1, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 16, 2012. The Appellate Division modified, as a matter of discretion in the interest of justice, a judgment of the Monroe County Court (William F. Kocher, J.), which had convicted defendant, upon a jury verdict, of burglary in the second degree. The modification consisted of reducing the sentence imposed to an indeterminate term of incarceration of 15 years to life. The Appellate Division affirmed the judgment as modified.

People v Smart, 100 AD3d 1473, affirmed.

HEADNOTE

Crimes — Witnesses — Unavailability of Witness — Admissibility of Grand Jury Testimony of Witness Whose Unavailability Procured by Defendant

The trial court in defendant's burglary prosecution properly ruled that defendant, by his wrongdoing, had forfeited his right to preclude the admission of the grand jury testimony of his girlfriend, who was with defendant at the time of the burglary and had initially cooperated with authorities but then absconded and could not be located by the prosecution until she returned to police custody on the second day of the *Sirois* hearing and announced, through her attorney, her intention not to testify at defendant's trial on Fifth Amendment grounds. Investigators testified at the hearing about the extensive efforts they made to obtain the witness's appearance at trial from the time she absconded until the start of the hearing approximately two weeks later. The People also put into evidence recordings of defendant's jailhouse telephone conversations, during which defendant threatened the witness with violence in response to her avowed willingness to testify, encouraged her to disappear, and repeatedly urged his mother to remove the witness from the state so that she could not testify against him. The People proved by clear and convincing evidence that defendant committed misconduct, and the court drew a permissible record-based inference that defendant's wrongful actions were designed to prevent the witness from testifying at trial. Although defendant told the witness at one point to turn herself in and eventually expressed resignation to the fact that she would appear in court after his mother lost track of her, those statements merely reflected defendant's recognition that the witness was cooperating with the police and that therefore his efforts to convince her not to testify might prove futile. Moreover, when viewed in the context of defendant's successful efforts to keep the witness out of court up until the middle of the hearing, the witness's decision not to testify on Fifth Amendment grounds was plainly caused in part by defendant's malfeasance.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1085, 1094; AM JUR 2d, Evidence §§ 693, 695, 696, 703.
CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:136, 194:139, 194:150.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.
NY JUR 2d, Criminal Law: Procedure §§ 2091, 2092, 2108, 2110, 2111.

ANNOTATION REFERENCE

See ALR Index under Grand Jury; Intimidation; Witnesses.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: procur! /s witness /4 unavailable! /s wrongdoing & grand /2 jury /s testi!

POINTS OF COUNSEL

Mark D. Funk, Rochester, for appellant. After witness Jane Doe invoked her Fifth Amendment privilege to remain silent, the trial court erred in finding that she was unavailable due to defendant's misconduct and in allowing her grand jury testimony into evidence. (*People v Gissendanner*, 48 NY2d 543; *Davis v Alaska*, 415 US 308; *People v Hults*, 76 NY2d 190; *People v Geraci*, 85 NY2d 359; *People v Green*, 78 NY2d 1029; *People v Arroyo*, 54 NY2d 567; *Matter of Holtzman v Hellenbrand*, 92 AD2d 405; *People v Cotto*, 92 NY2d 68; *People v Maher*, 89 NY2d 456; *People v Johnson*, 93 NY2d 254.)

Sandra Doorley, District Attorney, Rochester (*Matthew Dunham* of counsel), for respondent. Jane Doe's refusal to testify was the result of defendant's tampering and intimidation. (*People v Geraci*, 85 NY2d 359; *People v Maher*, 89 NY2d 456; *People v Cotto*, 92 NY2d 68; *People v Johnson*, 93 NY2d 254; *People v Arroyo*, 46 NY2d 928; *People v Thomas*, 51 NY2d 466; *Rogers v United States*, 340 US 367; *People v Cantave*, 21 NY3d 374; *People v Havrish*, 8 NY3d 389; *People v Berg*, 92 NY2d 701.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

We hold that the record supports the findings of the courts below that defendant procured a witness's unavailability by

wrongdoing and thereby forfeited his constitutional entitlement to the exclusion of the witness's grand jury testimony at trial.

On the evening of October 3, 2008, defendant Floyd L. Smart, his associate Robert Verstrete and his girlfriend, whom we shall call Jane Doe, planned to burglarize a house in the Town of Greece. The three would-be burglars got into defendant's car to drive in search of a target, and Doe fell asleep in the back seat. As Doe would later tell a grand jury, she awoke to discover that the car was idling, sans defendant and Verstrete, in the driveway of an unoccupied house. Suddenly, the owner of the house arrived, and Doe sounded the horn of defendant's car to alert defendant and Verstrete, whom she assumed to be inside, to the owner's return. Defendant and Verstrete emerged from the back of the house and came to the driveway, where they were confronted by the homeowner. When the homeowner questioned the two men about their presence on her property, they claimed that they were visiting a friend in the mistaken belief that he lived there. Defendant and Verstrete rejoined Doe in their car and drove away. The homeowner then entered the house, where she discovered that her belongings had been displaced and that some of her jewelry was missing. The homeowner called the police, who eventually arrested defendant, Verstrete and Doe.

Doe cooperated with the authorities and testified before the grand jury, conveying the account of the burglary set forth above. Doe received full transactional immunity from prosecution concerning all criminal acts described in her testimony. Following Doe's testimony, the grand jurors indicted defendant and Verstrete on a charge of burglary in the second degree (*see* Penal Law § 140.25 [2]). Subsequently, Doe was released from police custody on bail, and she absconded.

On February 23, 2009, the People appeared in County Court and sought permission to admit Doe's grand jury testimony into evidence, alleging that defendant had forfeited his right to preclude the admission of that testimony by tampering with Doe. County Court held a hearing to determine the admissibility of Doe's grand jury testimony pursuant to *People v Geraci* (85 NY2d 359 [1995]) and *Matter of Holtzman v Hellenbrand and Sirois* (*Sirois*) (92 AD2d 405 [2d Dept 1983]).

At the hearing, investigators from the local sheriff's department and the district attorney's office testified that Doe was a

drug addict with a history of prostitution, and as a result of criminal activities that were apparently unrelated to the instant case, four warrants had been issued for Doe's arrest. During the roughly two weeks between Doe's absconding and the start of the *Sirois* hearing, the investigators made extensive efforts to obtain Doe's appearance at trial. In particular, the investigators attempted to subpoena Doe at numerous addresses where she, her parents or her friends were known to have lived, and they called various telephone numbers associated with Doe and tried to learn her whereabouts from other police sources. However, the investigators' efforts proved unsuccessful, and Doe remained at large.

The People also put into evidence recordings of defendant's jailhouse telephone conversations which had occurred between Doe's disappearance and the hearing. The recordings showed that, on the day on which the investigators started searching for Doe, defendant called her and inquired as to whether she would testify against him at trial. When she suggested that she would do so, defendant stated, "I'm going to [w]ring you[r] fucking neck," and Doe replied, "I got to get the fuck outta here." Defendant responded, "[T]hat's a good idea." Doe told defendant that she loved him, and he said, "[W]e will find that out at the last week of this month."¹ Later that day, defendant asked Doe, via telephone, why she was going to "give them [his] life" and "throw [his] life away." Doe answered, "[N]othing much I can do except not show up."

In the recorded telephone calls, defendant also had conversations with his mother which revealed that his mother was watching over Doe at his behest. In some of those conversations, defendant expressed his belief that he would avoid conviction if Doe did not appear at trial, and he urged his mother to either send Doe to visit her own mother in another state or to drive Doe elsewhere. However, in a later call, defendant's mother reported that Doe had deserted her, leaving her unaware of Doe's whereabouts. At this, defendant berated his mother for failing to effectively chaperone Doe and remove her from the reach of the authorities, saying:

"[U]nless if she calls you and you put her in that car and drive[,] you hit that New York line[,] then

1. At some point during this conversation, defendant also suggested that Doe turn herself in to the police, and Doe declined, indicating that she feared suffering from withdrawal symptoms in police custody as a result of her recent drug use.

she's gonna[,] [i]f you don't do that she's gonna be at trial . . . now they wanted to do my trial in June. I didn't want to hold off until June because I thought you had it under wraps. That's why I called you this morning. . . .

“[I]f she gets a hold of you[,] you need to get her in the mother fucking car and go. . . .

“[S]he's gotta go, use the fucking credit card, I don't give a fuck, go to Florida, wherever you got to go. . . .

“[I]f you can't do that they gonna bury me. If you can't get her out somewhere it ain't never gonna work.”

In a subsequent series of calls, defendant's mother stated that she was trying to contact Doe to “keep her off the streets until her mother g[o]t[] here,” and when defendant asked whether Doe was going to appear at trial, defendant's mother indicated that Doe might not appear. However, defendant's mother “[did]n't wanna say” more on that subject “over the phone.” In telephone conversations in the days leading up to the hearing, defendant expressed his belief that Doe would testify against him at trial and said that he no longer cared whether she showed up in court. Defendant's mother told him that Doe was “laying low so they c[ould]n't summons her,” but defendant insisted that Doe would appear because she was working with the authorities.

The People presented most of the recorded telephone conversations and other evidence on the first day of the hearing. On the morning of the second day of the hearing, defense counsel announced that Doe was once again in police custody.² Defense counsel asserted that Doe was now available to testify at trial and that therefore her grand jury testimony could not be used against defendant. The prosecutor, apparently learning of this development for the first time, expressed skepticism about the timing of Doe's return to police custody, noting that it was “very coincidental given the fact that [the parties] were in the middle of a hearing” about “the possibility of her Grand Jury testimony being used against the defendant.” At the prosecutor's urging,

2. The record does not indicate whether the police located and arrested Doe in the course of their investigation or she turned herself in.

the court continued the *Sirois* hearing, stating that Doe might still refuse to testify and that, “if the Court d[id] find by clear and convincing evidence that [defendant] [wa]s responsible for that, then [the court] w[ould] deal with it at that time.” The hearing resumed and the People presented the remainder of their evidence.

Later at the hearing, Doe’s attorney appeared in court. According to Doe’s counsel, she had told him that she would assert her Fifth Amendment privilege against self-incrimination and refuse to testify at defendant’s trial. Counsel initially suggested that Doe wanted to avoid testifying because she had not received immunity from any perjury prosecution that might arise as a result of her testimony at the hearing and at trial. Doe’s lawyer noted, however, that his client’s stance was puzzling in light of the immunity she had received with respect to the serious burglary charges in this case, and that Doe might not fully understand the implications of her choice. Doe’s counsel explained that she had “made adamantly clear to [counsel] she ha[d] no intention of testifying,” adding, “[I]mmunity, no immunity, whichever, she does[,] she does not intend to testify.” Doe’s attorney later reiterated that she had “repeatedly made clear her intention to not offer any testimony no matter what is it [sic] said to her by anybody.” Doe did not appear in court to explain her refusal to testify, and the parties agreed to allow Doe’s counsel to leave the courtroom without further inquiry.

After hearing extensive argument from the parties regarding whether the People had proved that defendant had wrongfully procured Doe’s unavailability by coercing her into invoking her Fifth Amendment privilege, the court granted the People’s motion to admit Doe’s grand jury testimony into evidence at trial. After summarizing the hearing testimony and the telephone calls, the court found that defendant, “acting in concert with his mother[,] pressured the witness’s unavailability up to today through threats and chicanery, among other things, encouraging his mother to keep [Doe] away from trial.” Commenting on one of the recorded telephone conversations between defendant and Doe, the court said, “Obviously, [this shows] the influence of the defendant on this woman.” The court noted: “The fact she is here is moot [sic]. [Doe’s lawyer] stated on the record she is not going to testify. She is so unavailable.” The court concluded that the People had more than carried their burden at the hearing, saying, “The Court finds this is beyond a reasonable doubt.” At the end of the *Sirois* hearing, the court

granted codefendant Verstrete's severance motion and severed his trial from defendant's.

At trial, the People submitted Doe's grand jury testimony for the jury's consideration, and they called the owner of the burglarized home to the stand. Defendant attempted to call Doe to the stand, and she refused to testify on Fifth Amendment grounds, sobbing as she left the stand. Defendant then testified on his own behalf, claiming that Doe had burglarized the house. According to defendant, he and Verstrete had been returning the property stolen by Doe when the homeowner confronted them.

The jury returned a verdict convicting defendant as charged. Defendant filed a motion to set aside the verdict pursuant to CPL 330.30, renewing his argument that the court had erroneously admitted Doe's grand jury testimony into evidence because Doe had evidently refused to testify to avoid incriminating herself and not in response to defendant's misdeeds. The trial court denied the motion and sentenced defendant to an indeterminate prison term of from 20 years to life. The Appellate Division modified the judgment of conviction as a matter of discretion in the interest of justice, by reducing defendant's sentence to an indeterminate prison term of from 15 years to life, and otherwise affirmed (*see People v Smart*, 100 AD3d 1473, 1473-1476 [4th Dept 2012]). Although two Justices dissented from the court's decision to reduce defendant's sentence (*see id.* at 1476-1480 [Scudder, P.J., dissenting in part]), the court unanimously rejected defendant's contention that the trial court had erred in admitting Doe's grand jury testimony into evidence, reasoning that "[t]he People [had] presented clear and convincing evidence establishing that misconduct by defendant and his mother, who acted at defendant's behest, caused the witness to be unavailable to testify at trial" (*id.* at 1474). A Judge of this Court granted defendant leave to appeal (21 NY3d 914 [2013]), and we now affirm.

Under the Sixth Amendment of the Federal Constitution and article I, § 6 of the State Constitution, a criminal defendant has the right to be confronted with the witnesses against him or her (*see* US Const Amend VI; NY Const, art I, § 6; *Delaware v Van Arsdall*, 475 US 673, 678 [1986]; *People v Rawlins*, 10 NY3d 136, 146 [2008]). The confrontation right is critical to the fairness of a trial because it "ensur[es] the reliability of the evidence against a criminal defendant by subjecting it to rigorous testing in the context of an adversary proceeding before the

trier of fact' ” (*People v Wrotten*, 14 NY3d 33, 39 [2009], quoting *Maryland v Craig*, 497 US 836, 845 [1990]). Given this important right, an unavailable witness's grand jury testimony, which by definition has not been subjected to confrontation, generally may not be admitted at trial on the People's direct case (see *Geraci*, 85 NY2d at 365; see also *People v Green*, 78 NY2d 1029, 1030 [1991]). However, “where it has been shown that the defendant procured the witness's unavailability through violence, threats or chicanery,” the defendant “may not assert either the constitutional right of confrontation or the evidentiary rules against the admission of hearsay in order to prevent the admission of the witness's out-of-court declarations,” including the witness's grand jury testimony (*Geraci*, 85 NY2d at 365-366; see *People v Bosier*, 6 NY3d 523, 527-528 [2006]; see also *Giles v California*, 554 US 353, 359-361 [2008]; *Davis v Washington*, 547 US 813, 833-834 [2006]; *United States v Stewart*, 485 F3d 666, 670 [2d Cir 2007]). This forfeiture rule, as articulated in *Geraci*, is based on sound public policy meant to prevent the defendant from taking advantage of his or her own wrongdoing and to protect the integrity of the proceedings by deterring the defendant from acting on the strong incentive to tamper with adverse witnesses (see *Geraci*, 85 NY2d at 366).

The People may not admit a witness's grand jury testimony into evidence merely because the defendant expressed hope that the witness would not testify against him or her at trial. Rather, the People must demonstrate by clear and convincing evidence that the defendant engaged in misconduct aimed at least in part at preventing the witness from testifying and that those misdeeds were a significant cause of the witness's decision not to testify (see *id.* at 366-368; *People v Maher*, 89 NY2d 456, 462 [1997]).³ Because witness tampering is a surreptitious activity rarely admitted by the defendant or the witness, few cases will involve direct evidence of this causal link between the defendant's misconduct and the witness's refusal to testify or failure to appear in court (see *id.* at 369; *People v Cotto*, 92 NY2d 68, 76-77 [1998]). Therefore, at a hearing held pursuant to *Sirois* and *Geraci*, the court may infer the requisite causation from the evidence of the defendant's coercive behavior and the actions taken by the witness in direct response to or within a close

3. Of course, the *Geraci* rule also permits the inclusion of a witness's prior statements in the trial evidence when other individuals acting on the defendant's behalf and with his knowing acquiescence commit misconduct rendering the witness unavailable (see *Maher*, 89 NY2d at 461).

temporal proximity to that misconduct (*see Sirois*, 92 AD2d at 415 [requiring the People to allege facts demonstrating only a “distinct possibility” that defendant’s misconduct caused a witness not to testify to obtain a hearing and permitting admission of grand jury testimony upon proof of misconduct and the absence of the witness in a manner suggestive of causation]; *see also People v Encarnacion*, 87 AD3d 81, 85-89 [1st Dept 2011], *lv denied* 17 NY3d 952 [2011]; *see generally Commonwealth v Edwards*, 444 Mass 526, 540-542, 830 NE2d 158, 170-172 [2005]).

Here, the People proved by clear and convincing evidence that defendant committed misconduct, and the court drew a permissible record-based inference that defendant’s wrongful actions were designed to prevent Doe from testifying at trial. For example, in recorded telephone conversations, Doe initially indicated to defendant that she might testify, and in response, defendant threatened to “[w]ring [her] fucking neck.” Defendant then said that it would be a “good idea” for Doe to leave town. By threatening Doe with violence in response to her avowed willingness to testify and encouraging her to disappear, defendant obviously sought to prevent Doe from testifying at trial and from continuing her cooperation with the police. To achieve that same goal, defendant repeatedly urged his mother to remove Doe from the state so that Doe could not testify against him. Indeed, defendant’s telephone conversations with his mother generally indicated that his mother was watching over Doe and giving her drugs at defendant’s request to keep Doe away from court.

To be sure, defendant told Doe at one point to turn herself in and eventually expressed resignation to the fact that Doe would appear in court after his mother lost track of her. But those statements merely reflected defendant’s recognition that Doe was cooperating with the police and that therefore his efforts to convince her not to testify might prove futile. Even assuming defendant wavered at times in his desire to stop Doe from testifying, the totality of the calls still revealed his desire, at least “in part,” to forestall Doe’s potential trial testimony (*Maher*, 89 NY2d at 462). Ultimately, the trial court, which was in the best position to choose among competing inferences of intent raised by the evidence, properly concluded that defendant meant to pressure Doe not to testify (*see Cotto*, 92 NY2d at 76-77).

In addition, the record evidence of defendant’s misconduct and Doe’s responsive actions supports the court’s conclusion

that defendant procured Doe's unavailability in the period leading up to the *Sirois* hearing. When Doe told defendant that she planned to testify, defendant threatened to wring her neck, and she immediately responded to his threat regarding her testimony by saying that she would "get the fuck outta here," thus suggesting that defendant's threat had caused her to change her mind about testifying and to consider becoming a fugitive. In a follow-up call, defendant's complaints about Doe's potential testimony again persuaded her not to testify; when defendant accused Doe of trying to "throw [his] life away" by testifying, Doe answered, "[N]othing much I can do except not show up." Thus, the People demonstrated not only that defendant committed misconduct aimed at keeping Doe from testifying, but also that the misconduct had its intended effect insofar as it convinced her not to appear in court.

When viewed in the context of defendant's successful efforts to keep Doe out of court up until the middle of the hearing, Doe's decision not to testify on Fifth Amendment grounds was plainly caused in part by defendant's malfeasance. Initially, as the prosecutor below observed, the timing of Doe's appearance halfway through a *Sirois* hearing tended to suggest that defendant had influenced her to come to court and take the Fifth. On the first day of the hearing, the People presented compelling evidence of defendant's and his mother's attempts to keep Doe out of court, creating the strong possibility that Doe's grand jury testimony would be admitted against defendant on forfeiture-by-wrongdoing grounds. The next day, Doe, who had evaded veteran investigators for weeks and reacted to defendant's threats by promising not to testify, suddenly returned to custody and then asserted her right to remain silent. In doing so, Doe appeared at the perfect moment to save defendant from the impending admission of her damning grand jury testimony, thus lending some credence to the notion that she was continuing to respond to defendant's entreaties by withholding her testimony.

Doe's attorney's statements provided further record support for the inference that defendant's threats and cajoling motivated Doe to refuse to testify. As was evident from her attorney's representations on her behalf, Doe did not refuse to testify solely because she lacked immunity from prosecution for perjury or other charges and thus feared incriminating herself. Regardless of any self-incrimination concern, Doe "made clear her intention to not offer any testimony no matter what" was "said to her by anybody." Taken together with the proof of defendant's

misconduct, Doe's reported admission that fear of self-incrimination was not prompting her refusal to testify logically suggested that she had another motivation: her love or fear of defendant, or both, which he had aroused by his threats and pleas in a deliberate attempt to keep her off the witness stand.

Furthermore, while Doe herself did not tell the court her reasons for refusing to testify, that circumstance did not undermine the evidence that Doe refrained from testifying in response to defendant's misconduct and not just to serve her own interest in avoiding self-incrimination. Doe presumably had authorized her attorney, as her agent (*see People v Brown*, 98 NY2d 226, 231-233 [2002]), to assert the privilege against self-incrimination on her behalf and to state the purported basis on which she had decided to take that action, and thus the court properly relied on the attorney's representations regarding Doe's decision to remain off the witness stand. Indeed, at the *Sirois* hearing, defendant never disputed that Doe's attorney's statements were made at her direction and genuinely reflected her asserted reasons for remaining silent. Thus, it may be assumed that, had Doe appeared in person to answer questions about her invocation of her privilege against self-incrimination, she would have echoed the substance of her attorney's account of her decision, and the court had no reason to demand a ritualistic repetition of those statements from Doe. Given that the existing evidence sufficed to demonstrate that defendant's chicanery caused Doe's unavailability at trial, the People were not obligated to call Doe to the stand to establish the admissibility of her grand jury testimony.

We reject defendant's contention that Doe's grand jury testimony should have been excluded because she had a lawful basis for asserting her Fifth Amendment privilege. The *Geraci* rule is designed to deter improper attempts to induce a witness not to testify, and therefore the rule's application depends on whether the defendant has procured the witness's unavailability and not on whether the witness's refusal to testify would be lawful in the absence of the defendant's illicit influence. Were the rule otherwise, a defendant could effectively suppress a witness's testimony without fear of the evidentiary consequences by holding a gun, proverbial or literal, to the witness's head and demanding that the witness invoke a testimonial privilege which the witness might lawfully assert under different circumstances. We refuse to allow defendants to abuse witnesses' rights for the purpose of unjustly evading *Geraci*'s

sanction in such a manner (*see Edwards*, 444 Mass at 541-542, 830 NE2d at 171-172 [finding that “a defendant’s intentional procurement of a witness’s unavailability through collusion will constitute a per se wrongdoing sufficient to trigger the doctrine (of forfeiture of the bar against admission of grand jury testimony), even if the collusion is carried out through lawful means”]).

Defendant’s remaining arguments are premised on the notion that unless Doe admitted that she was invoking her right to remain silent under pressure from defendant or there was some direct proof that defendant actually instructed Doe to take the Fifth, the trial court could neither blame him for her refusal to testify nor put her grand jury testimony into evidence. However, because the People “often have nothing more to rely upon than circumstantial proof” of the basis for the witness’s refusal to testify, “it would be unrealistic and unnecessarily rigid to adopt” the “formula[ic]” requirement of direct evidence or a witness’s admission, which “would make it impossible to establish the necessary foundation” for the admission of a witness’s prior statements “in so many cases” (*Geraci*, 85 NY2d at 369). Instead, we think it better to follow the flexible approach reflected in certain decisions of the Appellate Division which rely heavily on circumstantial evidence and the sequence of events to determine a defendant’s role in compelling a witness not to testify (*see e.g. Encarnacion*, 87 AD3d at 85-89; *People v Clarke*, 55 AD3d 1447, 1448 [4th Dept 2008], *lv denied* 11 NY3d 923 [2009]). The opinions in those cases comport with the Appellate Division’s leading decision in this area, *Sirois*, which establishes a pragmatic framework for the admission of a witness’s grand jury testimony based on inferences to be drawn from clear and convincing proof of the defendant’s misconduct, the witness’s unavailability and the surrounding circumstances, rather than making the defendant’s or the witness’s admissions an absolute foundational requirement (*Sirois*, 92 AD2d at 415).

Finally, *People v Hamilton* (70 NY2d 987 [1988]), upon which defendant relies, is distinguishable from this case. In *Hamilton*, a witness testified in the grand jury that the defendant had made incriminating statements to her (*see id.* at 988). However, before trial, she told the court that she would not testify on Fifth Amendment grounds (*see id.*). At a *Sirois* hearing, the witness maintained that the defendant had no involvement in her refusal to testify at trial and that the police had pressured her into lying to the grand jury, and the witness’s sister corroborated

those assertions (*see id.*). A police officer testified that the police never coerced the witness into testifying in the grand jury (*see id.*). At the hearing, the prosecutor admitted that the witness had told the prosecutor that she had not been threatened by anyone (*see id.*). On that record, we concluded that the witness's grand jury testimony was inadmissible because the People had failed to "produce any evidence that defendant had threatened [the witness]" (*id.*). Here, unlike in *Hamilton*, the People adduced ample evidence at the hearing that defendant had attempted to convince Doe not to testify, including telephone conversations in which he pleaded with her to flee from the authorities who were seeking her presence at trial and threatened to harm her if she testified. Additionally, in contrast to the absence of evidence of causation in *Hamilton*, there was clear and convincing circumstantial evidence here that defendant's entreaties were a cause of Doe's refusal to testify, and thus the trial court properly ruled that defendant had forfeited his right to preclude the admission of Doe's grand jury testimony by his wrongdoing.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (concurring). I agree with the majority's conclusion that the record supports the affirmed finding that defendant procured the witness's unavailability through the first day of the *Sirois* hearing. However, the situation changed overnight when the witness appeared in court and asserted her Fifth Amendment privilege against self-incrimination. I write separately because I believe that the trial court failed to focus fully on the relevant issue once she was physically present—whether the witness's refusal to testify was due to defendant's misconduct.

As the majority relates, defendant and his mother plainly set about to prevent the witness from coming to court. Rarely will we have tape-recorded conversations laying out such a roadmap of a campaign of threats and pleas designed to induce a witness to absent herself from trial. However, I am concerned about other aspects of this case. A prosecutor may very well be content with relying on the known, favorable, prior-recorded testimony of an unsavory witness. A defendant's vaunted constitutional right of confrontation can and should be protected in such instances by the vigilance of the trial court.

The purpose of the *Sirois* hearing is to ensure that statements untested by cross-examination will be admitted "only

where the requisite link between the defendant's misconduct and the witness's silence has been established" (*People v Johnson*, 93 NY2d 254, 258 [1999]). Here, by contrast, virtually the entire hearing was devoted to the issue of defendant's responsibility for the witness's *physical* unavailability. Once she actually appeared, rendering the attempt to keep her away from trial unsuccessful, the focus of the court's inquiry should have shifted. At that point, the prosecutor represented that the witness—a subject of open warrants—had been arrested the night before in a highly intoxicated condition. A court presented with this dramatic turn of events might well be behooved to inquire more deeply into the reason behind the witness's refusal to testify, including any basis for her invocation of the Fifth Amendment.

Instead, here, the court made only a brief inquiry of the witness's counsel, who represented that the witness intended to assert her Fifth Amendment privilege. Somewhat to the contrary, he also related that the witness had made clear that she would not testify regardless of whether the People offered her immunity with respect to her testimony at the hearing. He further expressed that he was having some difficulty explaining the situation to her, in light of the fact that she already had transactional immunity for the underlying charges, and noted that it was a "very chaotic" and "stressful" atmosphere.

Without making any direct inquiry of the witness, the court determined that her physical presence was "moot" and found her unavailable based on her refusal to testify. The court held that defendant had "pressured the witness's unavailability up to today through threats and chicanery." Upon this record, the Appellate Division found that the People had presented clear and convincing evidence that defendant and his mother had "caused the witness to be unavailable to testify at trial" (100 AD3d 1473, 1474 [4th Dept 2012]).

Before imposing a forfeiture of a defendant's fundamental right to confrontation, the trial court should make certain that the penalty is warranted (*see People v Maher*, 89 NY2d 456, 461-462 [1997]). However, under the circumstances of this case, where the evidence of witness tampering was overwhelming and there was apparently no valid basis for invoking the privilege against self-incrimination, the satisfaction of *Johnson's* requirement of a nexus between the defendant's misconduct and the witness's silence is implicit.

Judges GRAFFEO, READ, SMITH, PIGOTT and RIVERA concur with Judge ABDUS-SALAAM; Chief Judge LIPPMAN concurs in result in an opinion.

Order affirmed.

[12 NE3d 1099, 989 NYS2d 670]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JONAI
WASHINGTON, Respondent.

Argued March 26, 2014; decided May 6, 2014

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered April 17, 2013. The Appellate Division affirmed an order of the Supreme Court, Nassau County (George R. Peck, J.), which had granted, after a hearing, that branch of defendant's omnibus motion which was to suppress the results of a chemical breath test.

People v Washington, 107 AD3d 4, affirmed.

HEADNOTE**Motor Vehicles — Chemical Tests — Limited Statutory Right to Legal Consultation**

The limited, statutory right to request legal consultation, which arises based on the procedure set forth in Vehicle and Traffic Law § 1194 (2) (b) to warn a person suspected of alcohol-related driving offenses that refusal to submit to a chemical test to determine his or her blood alcohol content will result in revocation of his or her driver's license, applies when an attorney contacts the police on the suspect's behalf before the chemical test is performed and the police must alert the suspect to the presence of counsel, whether the contact is made by the attorney in person or telephonically. Thus, a breathalyzer test performed on defendant following her arrest for driving while intoxicated was administered in violation of that statutorily-based right. An attorney contacted the police at defendant's family's behest at the same time that defendant agreed to undergo chemical testing, yet the police made no effort to advise defendant about the lawyer's communication prior to administration of the test, and the People did not demonstrate that a notification of that nature would have been unreasonable under the circumstances. Law enforcement officials may not, without justification, prevent access between the criminal accused and the lawyer, available in person or by immediate telephone communication, if such access does not interfere unduly with the timely administration of the chemical test. Here, the police should have informed defendant of the attorney's telephone call on her behalf since the testing had not yet begun. Defendant could then have decided if she wished to discuss her situation with counsel. That defendant consented to the test about the same time that the attorney was communicating with the police was not dispositive since defendant, after conferring with counsel, could have revoked her consent prior to administration of the test.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 348, 349,
988, 992; AM JUR 2d, Criminal Law §§ 922, 923.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer § 145:1496; CARMODY-WAIT 2d, Confessions; Privilege Against Self-Incrimination §§ 176:63–176:65; CARMODY-WAIT 2d, Right to Counsel § 184:40; CARMODY-WAIT 2d, Pretrial Motions §§ 189:287–189:289.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 10.5, 10.6, 11.1.

McKINNEY'S, Vehicle and Traffic Law § 1194 (2) (b).

NY JUR 2d, Automobiles and Other Vehicles §§ 567, 571, 910, 916; NY JUR 2d, Criminal Law: Procedure §§ 593–595, 797, 1599, 1610, 1618–1620.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Breath Tests; Driving While Intoxicated; Exclusion of Evidence.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: suppress! /5 test /2 result & right /3 counsel & telephon!

POINTS OF COUNSEL

Kathleen M. Rice, District Attorney, Mineola (*Yael V. Levy* and *Tammy J. Smiley* of counsel), for appellant. The hearing court improperly suppressed the result of the chemical breathalyzer test, which defendant had already consented to take without seeking legal advice before counsel entered the matter under investigation. (*People v Shaw*, 72 NY2d 1032; *Schmerber v California*, 384 US 757; *People v Thomas*, 46 NY2d 100; *People v Berg*, 92 NY2d 701; *People v Hager*, 69 NY2d 141; *People v Paddock*, 29 NY2d 504; *People v Kates*, 53 NY2d 591; *Kirby v Illinois*, 406 US 682; *People v Claudio*, 59 NY2d 556; *People v Gursey*, 22 NY2d 224.)

Law Offices of Frederick K. Brewington, Hempstead (*Frederick K. Brewington* and *Jonathan I. Edelstein* of counsel), for respondent. The hearing court properly suppressed the result of the chemical breath test after the police unlawfully refused to allow counsel retained by the defendant's family to speak to her. (*People v Gursey*, 22 NY2d 224; *People v Garofolo*, 46 NY2d 592; *People v Donovan*, 13 NY2d 148; *People v Pinzon*, 44 NY2d 458; *People v Settles*, 46 NY2d 154; *People v Lopez*, 16 NY3d 375; *People v Harris*, 77 NY2d 434; *People v Grice*, 100 NY2d 318; *People v Gunner*, 15 NY2d 226; *People v Borukhova*, 89 AD3d 194.)

OPINION OF THE COURT

GRAFFEO, J.

People v Gursey (22 NY2d 224 [1968]) recognized that a defendant facing an alcohol-related motor vehicle charge has a limited, statutory right to request legal consultation before consenting to a chemical test. In this appeal, we consider the extent to which the police are obligated to advise a drunk driving suspect about an attorney's telephonic intervention before the administration of such a test.

Defendant Jonai Washington was driving an automobile in Nassau County at approximately 2:00 a.m. when she struck and killed a pedestrian. She told the responding police officers that she had consumed four beers "a while ago." She failed field sobriety tests and was arrested for driving while intoxicated at 2:40 a.m. Defendant was then transported to Nassau County police headquarters.

In the meantime, defendant's family contacted an attorney to arrange for him to represent her. The lawyer telephoned the Sheriff's Department at 3:29 a.m. and, shortly thereafter, an operator at police headquarters transferred his call at 3:32 a.m. to a sergeant. Counsel explained that he represented defendant, requested information about her status and asked the sergeant to instruct police officers not to question or test his client. The attorney was informed that he would be contacted by the arresting officer and the conversation ended at 3:39 a.m.

At the same time that the attorney was pursuing telephone contact with law enforcement personnel, the police were processing defendant and advising her about the need for a chemical test to determine her blood alcohol content. The police read a standard chemical test authorization to defendant at 3:30 a.m. and she then signed the form, indicating her consent to take the breathalyzer test. Defendant was not informed about the attorney's communication before initiation of the breathalyzer test at 3:39 a.m.

Consequently, defendant was indicted for second-degree manslaughter, second-degree vehicular manslaughter and two counts of driving while intoxicated. She moved to suppress the results of the breathalyzer, claiming that it had been administered in violation of her right to counsel. Following an evidentiary hearing, Supreme Court agreed with defendant and suppressed the chemical test results.

Upon the People's appeal, the Appellate Division affirmed, concluding that the police violated defendant's constitutional

right to counsel because she was not alerted to the lawyer's intervention before the breath test occurred and the People failed to establish that such notification would have unduly interfered with the administration of the breathalyzer (*see* 107 AD3d 4, 15 [2d Dept 2013]). A dissenting Justice believed that defendant's right to counsel was not transgressed since she had consented to the test prior to the attorney's conversation with the police (*see id.* at 25). The dissenter granted the People leave to appeal (21 NY3d 1012 [2013]).

Driving while intoxicated is "a very serious crime" (*County of Nassau v Canavan*, 1 NY3d 134, 140 [2003]) that has long posed a "menace" to highway safety (*People v Ward*, 307 NY 73, 77 [1954]) and has caused many tragic consequences (*see e.g. People v Heidgen*, 22 NY3d 259, 267-268 [2013]). In the effort to combat alcohol-related driving offenses, law enforcement agencies have been granted statutory authority (*see* Vehicle and Traffic Law § 1194) to use an important investigative tool—chemical tests to determine blood alcohol content (*see People v Smith*, 18 NY3d 544, 548 [2012]). Since alcohol metabolically dissipates from the bloodstream (*see Missouri v McNeely*, 569 US —, —, —, 133 S Ct 1552, 1560, 1570-1571 [2013]), the use of these tests "is a time-sensitive proposition; to maximize the probative value of BAC evidence, the police endeavor to administer chemical tests as close in time as possible to the motor vehicle infraction, typically within two hours of an arrest" (*People v Smith*, 18 NY3d at 548).

To promote this objective, operators of motor vehicles in New York are deemed to have issued consent to chemical testing under Vehicle and Traffic Law § 1194 (2) (a). The statute is designed to encourage those suspected of alcohol-related driving offenses to comply with requests to submit to chemical tests in order to obviate the need for securing court orders authorizing blood tests (*see* L 1953, ch 854; *People v Ward*, 307 NY at 77). Section 1194 "grants a motorist a qualified right to decline to voluntarily take a chemical test" after being warned that a refusal "will result in the immediate suspension and ultimate revocation of the motorist's driver's license for one year," along with evidence of the refusal being admissible at any subsequent criminal trial (*People v Smith*, 18 NY3d at 548). In general, "an uncounseled waiver of the statutory right to refuse the test . . . provides no basis for suppressing the results" (*People v Shaw*, 72 NY2d 1032, 1034 [1988]).

In *People v Gurse*y (22 NY2d 224 [1968]), however, we recognized a limited right of the accused to seek legal assistance

in alcohol-related driving cases. We held that, based on the warning procedure set forth in section 1194 (2) (b),

“if a defendant arrested for driving while under the influence of alcohol asks to contact an attorney before responding to a request to take a chemical test, the police ‘may not, without justification, prevent access between the criminal accused and his lawyer, available in person or by immediate telephone communication’ ” (*People v Smith*, 18 NY3d at 549, quoting *People v Gurse*y, 22 NY2d at 227).

Violation of this right to legal consultation generally requires suppression of the scientific evidence (*see People v Smith*, 18 NY3d at 550). Because time is of the essence in obtaining accurate chemical test evidence (*see id.* at 548 n 1), we further observed in *Gurse*y that a suspect’s communication with a lawyer regarding “the exercise of legal rights should not . . . extend so far as to palpably impair or nullify the statutory procedure requiring drivers to choose between taking the test or losing their licenses” (22 NY2d at 229).

It is therefore well established that “there is no absolute right to refuse to take the test until an attorney is actually consulted, nor can a defendant use a request for legal consultation to significantly postpone testing” (*People v Smith*, 18 NY3d at 549). In other words, conferring with counsel is permissible only if “ ‘such access does not interfere unduly’ ” with timely administration of the test (*id.* at 549, quoting *People v Gurse*y, 22 NY2d at 227).

We have at least twice emphasized that *Gurse*y was directed at the accused’s personal request to seek legal consultation before providing consent to a chemical test (*see People v Smith*, 18 NY3d at 549; *People v Shaw*, 72 NY2d at 1033-1034). *Gurse*y is therefore distinguishable from the facts of this case in one significant respect—defendant never asked to speak to a lawyer before executing the consent form to take the breathalyzer test. Here, an attorney contacted the police at her family’s behest at the same time that defendant agreed to undergo chemical testing. The issue then is whether counsel’s intervention just prior to commencement of testing requires suppression of the results under these facts.

The People assert that suppression of the breathalyzer test is not warranted because defense counsel’s telephonic communication

did not constitutionally preclude the police from continuing to proceed with testing defendant for alcohol consumption. They also maintain that the breathalyzer was properly performed under *People v Gurse*y (22 NY2d 224 [1968]) because defendant did not personally inform the police that she wanted to consult with a lawyer before providing consent to the chemical test. Defendant acknowledges that her consent to be tested for alcohol was validly obtained, but asserts that her right to counsel was violated when the attorney contacted the police and she was not advised about the lawyer's communication before the breathalyzer test was performed.

In our view, the statutory right to legal consultation applies when an attorney contacts the police before a chemical test for alcohol is performed and the police must alert the subject to the presence of counsel, whether the contact is made in person or telephonically. *Gurse*y contemplated that a lawyer retained to represent a DWI arrestee can directly communicate with the police, reasoning that "law enforcement officials may not, without justification, prevent access between the criminal accused and [the] lawyer, available in person or by immediate telephone communication, if such access does not interfere unduly" with the administration of the alcohol test (22 NY2d at 227). The fact that defendant consented to the breathalyzer about the same time that the attorney was communicating with the police is not dispositive since defendant, after conferring with counsel, could have revoked her consent prior to administration of the test (*see generally* Vehicle and Traffic Law §§ 1194 [2] [b]; 1194-a [3] [c]). The police therefore must advise the accused that a lawyer has made contact on the accused's behalf (*see People v Pfahler*, 179 AD2d 1062 [4th Dept 1992]; *People v Meytin*, 30 Misc 3d 128[A], 2010 NY Slip Op 52276[U] [App Term, 1st Dept 2010], *lv denied* 16 NY3d 861 [2011]). Once so informed, the accused may choose to consult with counsel or forgo that option and proceed with the chemical test.¹

1. Our dissenting colleagues would restrict the *Gurse*y privilege to the time period before a drunk-driving suspect consents to a chemical test (*see* dissenting op at 237). The rationale of *People v Gurse*y (22 NY2d 224 [1968]), however, was not so limited. A suspect who consents to a test may ultimately decline to perform it; only that final decision results in adverse legal consequences, such as revocation of driving privileges (*see* Vehicle and Traffic Law § 1194 [2] [b] [1]); and our Court has recognized that an arrestee may seek legal counsel to understand the ramifications of refusing to undergo chemical testing (*see People v Gurse*y, 22 NY2d at 228-229). Contrary to the dissent's

(n. cont'd)

In this case, when the attorney telephoned the police to intervene on defendant's behalf, the police should have informed defendant of this development since breathalyzer testing had not yet begun. Defendant could then have decided if she wished to discuss her situation with counsel. Since the police officers here made no effort to advise defendant about the lawyer's communication and the People did not demonstrate that a notification of this nature would have been unreasonable under the circumstances, we hold that the chemical test was administered in violation of the statutorily-based *Gursey* right to counsel. Consequently, the courts below correctly concluded that defendant is entitled to suppression of the test results.²

Accordingly, the order of the Appellate Division should be affirmed.

READ, J. (dissenting). The majority holds that "the statutory right to legal consultation applies when an attorney contacts the police before a chemical test for alcohol is performed and the police must alert the subject to the presence of counsel, whether the contact is made in person or telephonically" (majority op at 233). Further, the majority opines, it makes no difference "that defendant consented to the breathalyzer about the same time^[*] that the attorney was communicating with the police . . . since [she] . . . could have revoked her consent prior to administration of the test" (*id.*).

Contrary to the majority's view, no statute confers upon a suspected drunk driver the legal right to consult with counsel before consenting to take a chemical breath test. And the ma-

belief, there is no relevant distinction between legal consultation before or after consent is given—the operative point in time is the actual performance of the procedure and, until it occurs, legal assistance may be sought "if such access does not interfere unduly" with the administration of the chemical test (*id.* at 227).

2. Although the People assert that the exclusionary rule should not apply in this case, it is unnecessary to address the merits of that claim because the courts below did not find that the police acted in good faith and it is undisputed that they did not obtain a court order authorizing a chemical test.

* Record evidence shows the following: defendant signed the testing authorization form at 3:30 a.m.; the attorney called directory assistance at 3:27 a.m. (the call lasted one minute and 12 seconds); he called the sheriff's department at 3:29 a.m. (the call lasted 15 seconds); he called directory assistance again at 3:30 a.m., and at 3:31 a.m., he spoke to the switchboard operator at police headquarters, and at 3:32 a.m., his call was transferred to a police sergeant; the call lasted nine minutes and two seconds (i.e., beginning with the call to directory assistance at 3:30 a.m. and ending at 3:39 a.m.); and defendant's breath was "withdrawn" at 3:39 a.m.

jority offers no reason why we should alter the easy-to-apply common-law rule deriving from *People v Gursey* (22 NY2d 224 [1968]); i.e., that “a defendant who has been arrested for driving while intoxicated, but not yet formally charged in court, generally has the right to consult with a lawyer *before deciding whether to consent* to a sobriety test, *if he requests* assistance of counsel” (*People v Shaw*, 72 NY2d 1032, 1033-1034 [1988] [emphases added], citing *Gursey*, 22 NY2d 224). Accordingly, I respectfully dissent.

I.

In *Gursey*, a motorist suspected of drunk driving was taken back to the station house where he was asked to submit to a chemical breath test; he refused and several times requested permission to call his attorney. The police officer in charge advised the uncooperative motorist that he had to take the test. When the motorist questioned what would happen if he continued to refuse consent, the officer replied “‘[T]he State will take away your license,’” whereupon the motorist submitted to the test (*id.* at 227).

The motorist unsuccessfully moved to suppress the test results on the ground that administration of the test after denial of his requests for counsel violated his Fifth and Sixth Amendment rights. He was subsequently convicted of driving while intoxicated. On appeal, the Appellate Term ruled that “the denial of [the motorist’s] request to telephone his attorney before he took the test violated his constitutional rights” (*id.* at 227 [internal quotation marks omitted]). The court therefore reversed the judgment of conviction and ordered a new trial in light of the “sufficient other evidence” of guilt (*id.* at 226).

We affirmed, but not on the basis of any constitutional or statutory right to advice of counsel enjoyed by a suspected drunk driver asked to undergo chemical breath testing. We noted that the motorist “possessed a number of *statutory options* which could be asserted only during the transaction at the station house, and *concerning which the advice of counsel, if available, was relevant*” (*id.* at 228 [emphases added]); specifically, he might have chosen to lose his license in lieu of taking the test (*see* former Vehicle and Traffic Law § 1194 [1]). Further, the motorist, if he elected to take the test, was entitled to have a physician of his choosing conduct a chemical test in addition to the police-administered one (*see* former Vehicle and Traffic Law § 1194 [4]).

Observing additionally that honoring the motorist’s wishes “would not have substantially interfered with the investigative

procedure,” we held that denial of his requests to talk to his lawyer “must be deemed to have violated” what we called “his privilege of access to counsel” (*id.* at 228) or “[t]he privilege of consulting with counsel concerning the exercise of legal rights” under Vehicle and Traffic Law § 1194 (*id.* at 229). We subsequently confirmed that this privilege is triggered only “if [a motorist] *requests* assistance of counsel” and does so “*before deciding whether to consent* to a sobriety test” (*Shaw*, 72 NY2d at 1034 [emphases added]). We have recently reiterated that the privilege is invoked “*before responding to a request* to take a chemical test” (*People v Smith*, 18 NY3d 544, 549 [2012] [emphasis added]).

II.

While section 1194 contemplates that a motorist may refuse to take a chemical breath test, there is no “statutory right to request legal consultation before consenting to a chemical test” administered pursuant to that provision (*see* majority op at 230; *see also id.* at 233). The limited privilege to consult derives solely from *Gursey* and so is entirely judge-made (*see Gursey*, 22 NY2d 224; *see also Smith*, 18 NY3d at 549 [“Vehicle and Traffic Law § 1194 does not address whether a motorist has a right to consult with a lawyer prior to determining whether to consent to chemical testing. However, if the motorist is arrested for driving while intoxicated or a related offense, this Court has recognized a limited right to counsel associated with the criminal proceeding”]).

As the majority acknowledges, “[d]riving while intoxicated is a very serious crime that has long posed a menace to highway safety and has caused many tragic consequences” (majority op at 231 [internal quotation marks and citations omitted]). Here, defendant struck and killed a pedestrian. Given the undeniable scourge of drunk driving, we should not extend the reach of *Gursey*’s judicially-created privilege absent strong competing reasons of public policy, and none are advanced or apparent.

Additionally, expansion of the *Gursey* privilege is particularly ill-advised since the legislature enacted the “‘right’ of refusal . . . merely [as] an accommodation to avoid a distasteful struggle to forcibly” administer a chemical test to an unwilling subject, not to protect drunk driving suspects from the risk of supplying incriminating evidence (*People v Paddock*, 29 NY2d 504, 506 [1971, Jasen, J., concurring]; *see also* Jack B. Weinstein, *Statute Compelling Submission to a Chemical Test for*

Intoxication, 45 J Crim L Criminology & Police Sci 541, 543 [1954-1955], available at <http://scholarlycommons.law.northwestern.edu/cgi/viewcontent.cgi?article=4303&context=jclc> [noting the “sound practical reasons” for the legislature’s decision to provide that “although the driver has constructively consented to take the test, when the chips are down and he is actually apprehended he may renege on his imputed promise and refuse . . . (although) (s)uch a refusal is costly for it will result in the loss of his driver’s license or nonresident operating privilege”)].

The majority seemingly reasons that it should make no difference whether the motorist asks to speak to the lawyer or vice versa before the test is performed. As a practical matter, though, the majority’s enlargement of the *Gursey* privilege invites debate and thus uncertainty, especially when the attorney telephones rather than physically appears at the police station. In short, we are trading a limited and clear rule for a broader one bound to complicate and delay time-sensitive testing and generate questions of fact anytime an attorney enters a case, even when the defendant has already agreed to take the chemical test. This is evident here where, by any measure, mere minutes separate the attorney’s first contact with the police from defendant’s consent to the chemical breath test and the actual testing.

And even assuming it made sense to extend *Gursey*, there is no reason why the privilege should attach so long as the attorney asks to speak to the motorist before the chemical test is administered, as the majority holds, rather than before the motorist consents. The rationale for the privilege in *Gursey* was that counsel’s advice was relevant to the motorist’s decision whether to consent to the test in the first place. The majority posits that defendant might have revoked consent after talking to her attorney, citing Vehicle and Traffic Law §§ 1194 (2) (b) and 1194-a (3) (c). But these provisions address consequences of refusal to undergo a chemical test, not revocation of consent once freely given, as it concededly was here. Moreover, the majority does not explain why defendant’s consent did not act as a waiver of any *Gursey* privilege. We have, after all, held that a motorist’s statutory option to refuse a chemical test “may be waived without an attorney’s assistance” (*Shaw*, 72 NY2d at 1033).

III.

In *Gursey*, we created a limited privilege for a motorist suspected of drunk driving to request to consult with counsel

before consenting to chemical testing. Expanding this privilege to cover the situation where the motorist has not asked for counsel or resisted testing disserves the legislative purpose animating section 1194 (2) (b); namely, to encourage voluntary participation in chemical testing, a measure shown to have “cut drunken driving drastically” (*see* Letter from Jack B. Weinstein, Counsel to NY Senate, to George M. Shapiro, Counsel to Governor, Mar. 26, 1953, Bill Jacket, L 1953, ch 854 at 35-36).

Chief Judge LIPPMAN and Judges PIGOTT and RIVERA concur with Judge GRAFFEO; Judge READ dissents in an opinion in which Judges SMITH and ABDUS-SALAAM concur.

Order affirmed.

[13 NE3d 653, 990 NYS2d 153]

In the Matter of MARTIN H. HANDLER, M.D., P.C., Appellant, v
THOMAS P. DiNAPOLI, as Comptroller of the State of New
York, et al., Respondents.

In the Matter of SOUTH ISLAND ORTHOPAEDIC GROUP, P.C., Ap-
pellant, v THOMAS P. DiNAPOLI, as Comptroller of the State
of New York, et al., Respondents.

Argued March 25, 2014; decided May 6, 2014

SUMMARY

APPEAL, in the first above-entitled proceeding, pursuant to CPLR 5601 (d), on constitutional grounds, from an order and judgment (one paper) of the Supreme Court, Albany County (Michael C. Lynch, J.), entered January 23, 2013, in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment. The Supreme Court found that respondent Comptroller had demonstrated a rational basis for the findings set forth in an audit of petitioner and dismissed the petition. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 27, 2011. The Appellate Division had (1) modified, on the law, an order and judgment of that Supreme Court, which, among other things, had partially granted petitioner's application to, among other things, set aside respondent Comptroller's audit of petitioner; and (2) remitted the matter to Supreme Court for further proceedings not inconsistent with the Appellate Division decision. The modification consisted of reversing so much of the order and judgment as had partially granted the petition. The Appellate Division affirmed the order and judgment as modified.

APPEAL, in the second above-entitled proceeding, pursuant to CPLR 5601 (d), on constitutional grounds, from a judgment (denominated decision and order) of the Supreme Court, Albany County (Christopher E. Cahill, J.), entered December 12, 2012, in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment. The Supreme Court found that respondent Comptroller had demonstrated a rational basis for the findings set forth in an audit of petitioner and dismissed the petition. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 27, 2011. The Appellate Division had (1) modified, on the law, a judgment of that

Supreme Court, which, among other things, had partially granted petitioner's application to set aside respondent Comptroller's audit of petitioner; and (2) remitted the matter to Supreme Court for further proceedings not inconsistent with the Appellate Division decision. The modification consisted of reversing so much of the judgment as had partially granted petitioner's application. The Appellate Division affirmed the judgment as modified.

Matter of Martin H. Handler, M.D., P.C. v DiNapoli, 88 AD3d 1187, affirmed.

Matter of South Is. Orthopaedic Group, P.C. v DiNapoli, 88 AD3d 1186, affirmed.

HEADNOTE

State — Comptroller — Authority to Conduct Audits of Medical Services Providers' Billing Records

The New York Constitution does not limit the State Comptroller's authority to review the billing records of private companies that provide health care to beneficiaries of a state insurance program. Article V, § 1 of the Constitution requires the Comptroller to audit state payments and receipts and protects the independent character of the Comptroller's audit function. The Comptroller must also ensure proper billing and payment for the Empire Plan, New York's primary health benefit plan (see Civil Service Law § 167 [7]; State Finance Law § 9). To accomplish its legally mandated duties, the Comptroller must perform both pre- and post-audit review of Empire Plan payments. While New York pays Empire Plan claims through a third party, the connection between the state funds and the billing practices of health care providers is not severed. Providers receive state insurance funds in exchange for services rendered to state insurance beneficiaries. Reviewing a provider's billing records is the only way to ensure that the provider has been collecting the required co-payment. The Comptroller cannot, however, conduct performance audits of an entity that is not a political subdivision of the State, perform administrative duties of another state agency, or oversee activities that have no impact on the state fisc. Here, the Comptroller reviewed billing records of two nonparticipating providers and found that they had routinely waived Empire Plan members' co-payments, thereby inflating the cost of the claims and adversely impacting the State's fisc. The audits were not designed to evaluate petitioners' health care practices. While the audits may have revealed information that could provide the basis for investigation into fraudulent conduct, a duty of the State Insurance Department, it did not make the audits unlawful. The Comptroller's limited examination of petitioners' billing records amounted to a post-audit of state payments and was permitted by the Constitution.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, States, Territories, and Dependencies §§ 66, 82.
McKINNEY'S, Civil Service Law § 167 (7); State Finance
Law § 9; NY Const, art V, § 1.

NY JUR 2d, Public Funds § 33; NY JUR 2d, State of New York §§ 20, 23.

ANNOTATION REFERENCE

See ALR Index under Audits; Public Funds; States.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: constitution & comptroller /s review audit & billing

POINTS OF COUNSEL

Ruskin Moscou Faltischek, PC., Uniondale (*Matthew F. Di-dora, Mark S. Mulholland and Joseph R. Harbeson* of counsel), for appellants in the first and second above-entitled proceedings. I. The record overwhelmingly demonstrates that the Comptroller audited South Island Orthopaedic Group, P.C. and Martin H. Handler, M.D., P.C. II. The Comptroller's audits of South Island Orthopaedic Group, P.C. and Martin H. Handler, M.D., P.C. exceeded constitutionally defined limitations on the Comptroller's audit powers as set forth in NY Constitution, article V, § 1. (*Blue Cross & Blue Shield of Cent. N.Y. v McCall*, 89 NY2d 160; *County of Rensselaer v Regan*, 151 Misc 2d 552; *Matter of McCall v Barrios-Paoli*, 93 NY2d 99; *Matter of New York Charter Schools Assn., Inc. v DiNapoli*, 13 NY3d 120; *Patterson v Carey*, 41 NY2d 714; *Matter of Dinallo v DiNapoli*, 9 NY3d 94.)

Eric T. Schneiderman, Attorney General, Albany (Zainab A. Chaudhry, Andrew D. Bing and Barbara D. Underwood of counsel), for Thomas P. DiNapoli, respondent in the first and second above-entitled proceedings. I. The State Constitution and statutes authorized the Comptroller's limited examination of petitioners' billing records. (*Matter of McCall v Barrios-Paoli*, 93 NY2d 99; *Matter of Dinallo v DiNapoli*, 9 NY3d 94; *Quayle v State of New York*, 192 NY 47; *Matter of New York World's Fair 1964-1965 Corp. v Beame*, 22 AD2d 611, 16 NY2d 570; *Harvey v State of New York*, 200 Misc 233, 279 App Div 708, 303 NY 976; *Matter of Carlon v Regan*, 98 AD2d 544, 63 NY2d 1011; *Matter of Signature Health Ctr. LLC v Hevesi*, 13 Misc 3d 1189; *Matter of Elmira Bus. Inst. v New York State Dept. of Educ.*, 116 AD2d 133, 70 NY2d 758; *Matter of ASA Inst. of Bus. & Computer Tech. v McCall*, 281 AD2d 849; *Matter of Daleview Nursing Home v Axelrod*, 62 NY2d 30.) II. Alternatively, the Court should

permit United Healthcare Insurance Company of New York to pursue the Comptroller's recommendations as to petitioners even if the Court finds that the examinations were unauthorized. (*Matter of Dinallo v DiNapoli*, 9 NY3d 94; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Matter of Save The Pine Bush v New York State Dept. of Envtl. Conservation*, 289 AD2d 636; *Matter of New York Charter Schools Assn., Inc. v DiNapoli*, 13 NY3d 120; *Blue Cross & Blue Shield of Cent. N.Y. v McCall*, 89 NY2d 160; *Matter of Blossom View Nursing Home v Novello*, 4 NY3d 581; *People v Calloway*, 71 AD3d 1493; *Schneckloth v Bustamonte*, 412 US 218; *Matter of Goldin v Greenberg*, 49 NY2d 566; *Matter of Gibson v Koehler*, 165 AD2d 768.)

Greenberg Traurig, LLP, Albany (Cynthia E. Neidl and Harold N. Iselin of counsel), for United Healthcare Insurance Company of New York, respondent in the first and second above-entitled proceedings. The Comptroller's limited review of appellants' records was incidental to the mandatory audit of United Healthcare Insurance Company of New York and was therefore constitutional.

OPINION OF THE COURT

RIVERA, J.

These cases require us to determine whether the State Constitution limits the State Comptroller's authority to review the billing records of private companies that provide health care to beneficiaries of a state insurance program. We find no such limitation in the Constitution.

I

Petitioners Martin H. Handler, M.D., P.C. (Handler) and South Island Orthopaedic Group (South Island) are two medical providers whose patients include persons insured by the Empire Plan, New York State's primary health benefit plan. The Comptroller reviewed petitioners' records as part of an audit of billing practices in the health care industry for claims paid by the State. Handler and South Island challenge the Comptroller's authority to review and otherwise report on their billing practices, although they concede that New York pays 80% of the costs of petitioners' services. The Comptroller argues it has authority to review petitioners' billing records as part of its audit of state expenditures. We agree.

The New York State Health Insurance Program (NYSHIP) provides health insurance coverage to government employees,

retirees, and their dependents. The NYSHIP's primary coverage option is the Empire Plan. Under a contract with the State, respondent United Healthcare Insurance of New York (United) processes and pays claims made by Empire Plan beneficiaries. After United has processed a claim, the State covers its full cost and pays United an administrative fee. In other words, the State funds the Empire Plan as a self-insurer. United merely passes state money to the proper payees.

The Empire Plan gives members the option to choose their health care providers. The health care providers fall within two categories: participating and nonparticipating providers. The fee structure and billing arrangement vary between the two types of providers. Participating providers have an agreement with United that specifies the fees they may charge. These providers bill claims directly to United, less a patient co-pay.

By contrast, nonparticipating providers charge market rates for their services and bill the patient directly. United then reimburses the patient 80% of either the actual fee charged or the "customary and reasonable charge" for the service, whichever is lower. The patient must remit these funds to the provider, along with the remaining 20%, paid out of the patient's pocket. As with all other claims, United receives payment from the State to cover the cost of the claims. Nonparticipating providers have a legal duty to collect patients' co-payments. Although there may be business reasons not to pursue collection of any and all co-payments, failure to collect these fees can result in civil and criminal penalties for insurance fraud (*see* Insurance Law § 403 [c]; Penal Law § 176.05 [2]).

A provider's failure to collect a co-payment from an Empire Plan member inflates a claim's cost and adversely impacts the State's fisc. For example, a provider that charges \$100 for a service, and who collects \$80 in state money, must collect \$20 from the Empire Plan member. In the event that the provider does not collect the co-payment, it has provided a medical service for \$80, not \$100, and the State should have paid only \$64 of that cost.

II

This appeal arises from the Comptroller's audit of nonparticipating provider claims paid by United. The Comptroller sought to examine the billing records of Handler and South Island, two nonparticipating medical providers, to determine whether they had waived Empire Plan members' co-payments.

In 2008, the Comptroller requested access to South Island's customer billing records. Without objection, South Island gave the Comptroller access to its records. Between January 2001 and October 2008, United paid 5,952 claims on services provided by South Island. The Comptroller examined a subset of 190 of these claims, which revealed that South Island routinely waived members' co-payments. From the sampling, the Comptroller identified \$97,332 in overpayments, which it extrapolated to \$787,134 in overpayments over the entire period.

In 2009, the Comptroller visited Handler and requested access to its customer billing records. Without objection, Handler provided access to the records. During the period 2004-2008, United paid 3,364 claims originating from Handler's practice that required a member co-payment. A random sampling of 178 claims and their underlying billing records revealed that Handler routinely waived the member's co-payment, for a total overpayment of \$47,188, which the Comptroller used as a basis to calculate \$903,563 in overpayments over the period. Following each review, the Comptroller prepared an audit report, which it posted to its website. Both reports included a series of recommendations to be implemented by United. The Comptroller recommended that United recover the overpaid sums of money, advise the providers of the advantages of participating in the Empire Plan, and contact the Department of Civil Service to develop a plan for preventing future waiver of required co-payments. The Comptroller took no independent enforcement action.

In response, Handler and South Island filed separate combined CPLR article 78 and declaratory judgment actions against the Comptroller and United, challenging the Comptroller's authority to audit their books. Handler's petition sought to enjoin both respondents from publishing the results of the audit, implementing its recommendations, withholding future payments to Handler's patients, and offsetting the amounts allegedly overpaid. South Island's petition sought to "set aside the audit" and enjoin United from collecting any alleged overpayments.

Supreme Court granted the petitions in part and enjoined United from taking action based on the audit results. In separate decisions, Supreme Court concluded that the Comptroller lacked constitutional authority to audit the providers because the providers are "not a political subdivision of the State."

The Appellate Division found that Supreme Court erred in determining that the Comptroller lacked authority to audit the parties and, in separate opinions, modified both orders to reinstate the audits (*see Matter of Martin H. Handler, M.D., P.C. v DiNapoli*, 88 AD3d 1187 [3d Dept 2011]; *Matter of South Is. Orthopaedic Group, P.C. v DiNapoli*, 88 AD3d 1186 [3d Dept 2011]). According to the Appellate Division, the Comptroller has a constitutional duty to audit payments made by the State, and, as a part of that duty, the Comptroller has the authority to conduct post-audit reviews of payments made to petitioners. If the Comptroller lacked authority to audit health care providers' payment records, "no other entity . . . would retain oversight" to prevent overpayments that result from waived co-insurance fees (*Handler*, 88 AD3d at 1191 n). The Appellate Division remitted the cases to Supreme Court for further proceedings to address petitioners' claims that the audit findings were arbitrary and capricious and lacked a rational basis.

After Supreme Court entered judgment dismissing the petitions, Handler and South Island appealed to this Court as of right under CPLR 5601 (d), bringing up the prior orders of the Appellate Division, which involved a substantial constitutional question.

III

Handler and South Island contend that the Comptroller's audits exceeded the constitutional limitations on its powers found in article V, § 1 of the State Constitution. According to petitioners, as nonparticipants in the Empire Plan, they neither have a contract with the State nor receive state funds, and the Comptroller cannot audit them.

Analysis of the Comptroller's power begins with the "well-spring of [his or her] authority" (*Matter of McCall v Barrios-Paoli*, 93 NY2d 99, 105 [1999]), namely article V, § 1 of the State Constitution, which reads:

"The comptroller shall be required: (1) to audit all vouchers before payment and all official accounts; (2) to audit the accrual and collection of all revenues and receipts; and (3) to prescribe such methods of accounting as are necessary for the performance of the foregoing duties. The payment of any money of the state, or of any money under its control, or the refund of any money paid to the state, except upon

audit by the comptroller, shall be void, and may be restrained upon the suit of any taxpayer with the consent of the supreme court in appellate division on notice to the attorney-general. In such respect the legislature shall define the powers and duties and may also assign to him or her: (1) supervision of the accounts of any political subdivision of the state; and (2) powers and duties pertaining to or connected with the assessment and taxation of real estate, including determination of ratios which the assessed valuation of taxable real property bears to the full valuation thereof, but not including any of those powers and duties reserved to officers of a county, city, town or village by virtue of sections seven and eight of article nine of this constitution. The legislature shall assign to him or her no administrative duties, excepting such as may be incidental to the performance of these functions, any other provision of this constitution to the contrary notwithstanding.”

New York has had an independent audit authority since colonial days, when the office of Auditor-General oversaw the colonial fisc (*see* 1938 Rep of NY Constitutional Convention Comm, vol 8 at 112-113). The Constitutional Convention of 1821 made the Comptroller a constitutional officer, but the State Constitution did not prescribe the Comptroller’s powers and duties until 1915, when the Constitutional Convention promulgated the predecessor to article V, § 1 of the present Constitution (*id.* at 113, 120). In 1925, the Constitution was amended to reassign “duties of an administrative nature” from the Comptroller to other agencies (*Blue Cross & Blue Shield of Cent. N.Y. v McCall*, 89 NY2d 160, 167 [1996] [internal quotation marks omitted]). By requiring the Comptroller to audit state payments and receipts, and prohibiting the Legislature from assigning administrative tasks to the office, the provision protects “the independent character of the Comptroller’s audit function” (*Matter of McCall*, 93 NY2d at 107). Indeed, “[a]ll of the duties defined within article V, § 1, whether required or discretionary, are in furtherance of the fundamental duty of the office to ‘[s]uperintend the fiscal concerns of the state’ ” (*Blue Cross & Blue Shield*, 89 NY2d at 166, citing State Finance Law § 8 [1]; 1938 Rep of NY Constitutional Convention Comm, vol 4 at 337).

With Civil Service Law § 167 (7), the Legislature authorized the Comptroller to audit payments to the State's health insurance vendors:

“The amounts required to be paid to any contracting corporation under any contract [with NYSHIP] shall be payable from such health insurance fund as audited by and upon the warrant of the comptroller.”

Further, the Legislature has granted the Comptroller broad subpoena powers in furtherance of the Comptroller's investigatory functions under State Finance Law § 9, which states:

“The comptroller, deputy comptrollers and assistant deputy comptroller, or either of them, may issue a subpoena or subpoenas requiring a person or persons to attend before the comptroller, a deputy comptroller or assistant deputy comptroller and be examined in reference to any matter within the scope of the inquiry or investigation being conducted by the comptroller, and, in a proper case, to bring with him, a book or paper.”

Thus, both the Constitution and statutes require the Comptroller to ensure proper billing and payment for the Empire Plan. In order to accomplish its legally mandated duties to prevent unauthorized payments and overpayments, the Comptroller must perform both pre- and post-audit review of Empire Plan payments.

Handler and South Island concede that the Comptroller has the authority to audit United, and it surely does (*see* Civil Service Law § 167 [7]; State Finance Law § 9). However, Handler and South Island argue that the Comptroller cannot review their business records as part of its auditing function because they receive state funds indirectly, through United, and, ultimately, Empire Plan members. In essence, they argue, United's role as a conduit severs any connection between the state funds and the petitioners' billing practices, putting the records beyond the Comptroller's reach.

The Constitution does not limit the Comptroller's authority in this way. Handler and South Island receive state insurance funds in exchange for services rendered to state insurance beneficiaries. The fact that the State relies on a third-party conduit, United, does not change the character of the funds. They remain state dollars directed to pay health care costs incurred by state

beneficiaries and charged by Handler and South Island. Petitioners would limit the scope of the Comptroller's auditing power to the records of the initial recipient of state funds—United only. This would make the Comptroller's task impossible. Reviewing a provider's billing records is the only way to ensure that the provider has been collecting the required co-payment, and United has no way of obtaining those records.

Moreover, the record suggests that Handler and South Island understand that they are not as far removed from the State's purse as they argue. Billing records from both providers reveal that they code United insurance payments as payments from the insurer rather than from the patient. The providers also are given an opportunity to lower their rates when their actual fee exceeds the customary charge. The providers know that their payments are coming from the State's coffers, and they understand that accepting these payments requires the collection of co-payments. In short, Handler and South Island are fully aware of the claim payment structure, they receive state funds in exchange for services, and their records are subject to review by the Comptroller.

Our prior case law does not mandate a different outcome. In past cases, we have recognized that the Constitution places limitations on the Legislature's power to delegate new roles and duties to the Comptroller. Here, the audits fulfill the Comptroller's core duty as the "independent auditing official for the affairs of the State" (*Matter of Dinallo v DiNapoli*, 9 NY3d 94, 101 [2007]; *Patterson v Carey*, 41 NY2d 714, 723 [1977]). The results in those cases thus have no bearing on the issue currently before us.

In *Matter of New York Charter Schools Assn., Inc. v DiNapoli* (13 NY3d 120 [2009]), we held that the Legislature violated the Constitution when it required the Comptroller to conduct a performance audit of charter schools. We stated that charter schools are "funded primarily with public monies" but are not "political subdivisions of the State" (*id.* at 127-129). We concluded that the Constitution did not permit the Comptroller to "audit the performance of charter schools, and perhaps question the wisdom of how charter schools provide instruction" as a part of its post-audit authority over State funds (*id.* at 133).

By contrast, petitioners' cases do not involve performance audits. Rather, the Comptroller audited Handler and South Island's billing records to ensure that the State has paid only

what it owes so as to avoid overpayments. In short, the Comptroller's audits followed payments made to Handler and South Island and were not designed to evaluate the providers' health care practices.

In *Blue Cross & Blue Shield*, we held that the Legislature could not require the Comptroller to conduct Insurance Law article 43 audits of private insurers (*Blue Cross & Blue Shield*, 89 NY2d at 171). We concluded that such audits were among the administrative duties of the State Insurance Department and could not be delegated to the Comptroller without violating article V. Those audits were "not incidental to the supervision of the fiscal affairs of the State" (*id.* at 167).

Here, the Comptroller has not exercised the administrative functions of a different agency. Petitioners argue otherwise, contending that other state entities are responsible for ferreting out insurance fraud. However, the audits at issue tracked only billing and payment. It may be the case that the information revealed as a result of the audits provides the basis for some investigation into fraudulent conduct and practices, but that does not make the Comptroller's actions unlawful or divest the Comptroller of its core authority to superintend the fisc.

In *Matter of Dinallo*, we held the Legislature could not assign to the Comptroller oversight of the New York State Insurance Department Liquidation Bureau. We concluded that the Bureau was not a state agency, and "the liquidation of a distressed insurer has no impact on the state fisc" and therefore "does not implicate the Comptroller's constitutional and statutory authority to superintend the fiscal affairs of the State" (*Matter of Dinallo*, 9 NY3d at 102). Here, however, there is no question that the overpayment of health care bills implicates the state fisc. The State pays for all health care services provided to the State's health insurance plan members.

As these three cases make clear, the Comptroller may act within its role as the superintendent of the state fisc, but it cannot perform tasks that are beyond that role. The Comptroller cannot conduct performance audits of an entity that is not a political subdivision of the State; it cannot perform the administrative duties of another state agency; and it cannot oversee activities that, while financial in nature, have no impact on the state fisc.

Handler and South Island rely on their status as nonparticipating providers for their arguments that the Comptroller

cannot review their bills. In these cases, we need not decide the expanse of the Comptroller's auditing power over third parties because here the exercise of the Comptroller's power is sufficiently narrow in scope and properly focused on billing records for state payments. The Comptroller seeks information not available from United alone and which is critical to the Comptroller's audit of bills paid with state funds. It would be a very different case if the Comptroller sought unlimited access to records, including those that implicate the quality of petitioners' medical services. However, the Comptroller has reviewed only petitioners' billing records to ensure that the State has not overpaid on health insurance claims. Preventing overpayment is a core aspect of the Comptroller's constitutional mantle.

The Comptroller's limited examination of petitioners' billing records amounted to a post-audit of state payments and was permitted by the Constitution. Accordingly, the judgments of Supreme Court and the prior orders of the Appellate Division brought up for review should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and ABDUS-SALAAM concur.

In each case: Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

[13 NE3d 1028, 990 NYS2d 442]

In the Matter of RICHARD SANTER, Respondent, v BOARD OF
EDUCATION OF EAST MEADOW UNION FREE SCHOOL DISTRICT,
Appellant.

In the Matter of BARBARA LUCIA, Respondent, v BOARD OF
EDUCATION OF EAST MEADOW UNION FREE SCHOOL DISTRICT,
Appellant.

Argued February 19, 2014; decided May 6, 2014

SUMMARY

APPEAL, in the first above-entitled proceeding, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 19, 2012. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Nassau County (R. Bruce Cozzens, Jr., J.; op 2010 NY Slip Op 33915[U] [2010]), entered in a proceeding pursuant to CPLR article 75, which had denied the petition to vacate an arbitration award made in connection with a compulsory arbitration pursuant to Education Law § 3020-a; (2) granted the petition; and (3) vacated the award.

APPEAL, in the second above-entitled proceeding, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 14, 2013. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Nassau County (Vito M. DeStefano, J.; op 32 Misc 3d 1208[A], 2011 NY Slip Op 51210[U] [2011]), entered in a proceeding pursuant to CPLR article 75, which had denied the petition to vacate an arbitration award made in connection with a compulsory arbitration pursuant to Education Law § 3020-a; and (2) granted the petition.

Matter of Santer v Board of Educ. of E. Meadow Union Free Sch. Dist., 101 AD3d 1026, reversed.

Matter of Lucia v Board of Educ. of E. Meadow Union Free Sch. Dist., 109 AD3d 545, reversed.

HEADNOTES

Constitutional Law — Freedom of Speech — Picketing by Teachers in Front of School

1. In related proceedings to vacate arbitration awards finding petitioner teachers guilty of misconduct related to a teachers' union picketing demonstration that took place on a public street in front of a school, the demonstration, which consisted of petitioners and others displaying picketing signs from

their cars parked where parents were dropping their children off at school, was a form of “speech” protected by the First Amendment. As a general matter, peaceful picketing is an expressive activity involving speech protected by the First Amendment. The evidence at the arbitration hearings provided a rational basis for the affirmed finding of fact by the arbitrators that, on the morning in question, petitioners engaged in picketing from their cars parked on the street in front of the school. Although the arbitrators also determined that petitioners intended to create a disruption by parking in the student drop-off area, that finding did not, under the circumstances here, deprive petitioners’ picketing activity of its status as speech.

**Schools — Teachers — Disciplinary Proceedings — Teachers
Engaging in Constitutionally Protected Activity**

2. In related proceedings to vacate arbitration awards finding petitioner teachers guilty of misconduct related to a teachers’ union picketing demonstration that took place on a public street in front of a school, respondent school district satisfied its burden under *Pickering v Board of Ed. of Township High School Dist. 205, Will Cty.* (391 US 563 [1968]) of proving that the discipline imposed on petitioners was justified. Although petitioners’ speech as embodied in the parking demonstration, which consisted of petitioners and others displaying picketing signs from their cars parked where parents were dropping their children off at school, was protected by the First Amendment, petitioners’ interests in engaging in that constitutionally protected speech in a manner that interfered with the safety of students were outweighed by respondent school district’s interests in maintaining an orderly, safe school. Under the two-part *Pickering* test, a court must determine whether the speech which led to an employee’s discipline related to a matter of public concern, and whether the public employer met its burden of demonstrating that the discipline arising out of the employee’s protected activity was justified. Petitioners’ speech was on a matter of public concern, but respondent met its burden of proving that petitioners’ speech was disruptive enough to justify the imposition of discipline. Respondent’s interests in ensuring the safety of its students and maintaining orderly operations at the school were legitimate, and the evidence adduced at the hearings showed that the parking demonstration created dangerous traffic conditions in front of the school that could have injured a student and that caused actual disruption to the school’s operations. The evidence was sufficient to justify respondent’s discipline of petitioners, and respondent was not required to prove that a student was actually injured for the *Pickering* balance to tip in respondent’s favor.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Constitutional Law §§ 465, 470, 529, 548; AM
JUR 2d, Schools §§ 240, 245.
NY JUR 2d, Constitutional Law §§ 266, 273, 285; NY JUR
2d, Employment Relations § 715; NY JUR 2d, Schools,
Universities, and Colleges §§ 303, 317, 325, 328.
US Const. 1st Amend.

ANNOTATION REFERENCE

See ALR Index under Discipline and Disciplinary Actions;

Freedom of Speech and Press; Picketing; Teachers and
Instructors.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: teacher /s picket! & protected /4 speech

POINTS OF COUNSEL

Little Mendelson, P.C., New York City (George B. Pauta, Craig R. Benson and Ethan D. Balsam of counsel), for appellant in the first and second above-entitled proceedings. The Board of Education of East Meadow Union Free School District did not violate Richard Santer's and Barbara Lucia's First Amendment rights given that the March 2, 2007 parking activity did not constitute protected speech, the district's motive in imposing discipline was not Santer's or Lucia's purported speech and the *Pickering* balancing test weighs heavily in favor of the district. (*Locurto v Giuliani*, 447 F3d 159; *Bernheim v Litt*, 79 F3d 318; *Cioffi v Averill Park Cent. School Dist. Bd. of Educ.*, 444 F3d 158; *Blackman v New York City Tr. Auth.*, 491 F3d 95; *Melzer v Board of Educ. of City School Dist. of City of N.Y.*, 336 F3d 185; *United States v Treasury Employees*, 513 US 454; *San Diego v Roe*, 543 US 77; *Rankin v McPherson*, 483 US 378; *Morse v Frederick*, 551 US 393; *Tinker v Des Moines Independent Community School Dist.*, 393 US 503.)

Sherry B. Bokser, New York City, and Richard E. Casagrande, for respondent in the first above-entitled proceeding. Proper application of the *Pickering* test to the undisputed facts of this case establishes that the Board of Education of East Meadow Union Free School District violated Richard Santer's First Amendment rights when it disciplined him for his lawful speech, on a public street during nonwork hours, about an ongoing labor dispute. (*Garrison v Louisiana*, 379 US 64; *Dun & Bradstreet, Inc. v Greenmoss Builders, Inc.*, 472 US 749; *First Nat. Bank of Boston v Bellotti*, 435 US 765; *Virginia v Black*, 538 US 343; *New York v Ferber*, 458 US 747; *O'Neill v Oakgrove Constr.*, 71 NY2d 521; *Miller v California*, 413 US 15; *Chaplinsky v New Hampshire*, 315 US 568; *Schenck v United States*, 249 US 47; *United States v Treasury Employees*, 513 US 454.)

Sherry B. Bokser, New York City, and Richard E. Casagrande, for respondent in the second above-entitled proceeding. Proper application of the *Pickering* test to the undisputed facts of this

case establishes that the Board of Education of East Meadow Union Free School District violated Barbara Lucia's First Amendment rights when it disciplined her for participation in the union's lawful, parked-car picketing activity, on a public street during non-work hours, to publicize the ongoing labor dispute. (*Garrison v Louisiana*, 379 US 64; *Dun & Bradstreet, Inc. v Greenmoss Builders, Inc.*, 472 US 749; *First Nat. Bank of Boston v Bellotti*, 435 US 765; *Virginia v Black*, 538 US 343; *New York v Ferber*, 458 US 747; *O'Neill v Oakgrove Constr.*, 71 NY2d 521; *Miller v California*, 413 US 15; *Chaplinsky v New Hampshire*, 315 US 568; *Schenck v United States*, 249 US 47; *United States v Treasury Employees*, 513 US 454.)

Jay Worona, Latham, and *Kimberly A. Fanniff* for New York State School Boards Association, amicus curiae in the first above-entitled proceeding. The interest of the Board of Education of East Meadow Union Free School District in the safe and efficient provision of services to students outweighed Richard Santer's alleged exercise of free speech rights through his participation in a protest that intentionally created a health and safety hazard. (*Schenck v United States*, 249 US 47; *Chaplinsky v New Hampshire*, 315 US 568; *Watts v United States*, 394 US 705; *FCC v Pacifica Foundation*, 438 US 726; *Pickering v Board of Ed. of Township High School Dist. 205, Will Cty.*, 391 US 563; *Connick v Myers*, 461 US 138; *Rankin v McPherson*, 483 US 378; *Waters v Churchill*, 511 US 661; *Lewis v Cowen*, 165 F3d 154; *Jackler v Byrne*, 658 F3d 225.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

This appeal involves a teachers' union picketing demonstration that took place on a public street in front of Woodland Middle School (Woodland) in Nassau County. On the morning of March 2, 2007, petitioners-respondents Richard Santer and Barbara Lucia and other members of the East Meadow Teachers Association (EMTA) displayed picketing signs from their cars parked where parents were dropping their children off at school. Respondent-appellant Board of Education of the East Meadow Union Free School District (the District) charged petitioners with misconduct related to the demonstration, alleging that petitioners created a health and safety risk by parking their cars so that students had to be dropped off in the middle of the street instead of at curbside. After their respective hearings, petitioners were found guilty of misconduct and directed to pay a fine.

Petitioners thereafter commenced these proceedings to vacate the arbitration awards, arguing that the disciplinary proceedings commenced against them, and the discipline ultimately imposed, violated their right to free speech under the First Amendment to the United States Constitution. Supreme Court denied the petitions but the Appellate Division reversed in each case. Applying the two-part balancing test from *Pickering v Board of Ed. of Township High School Dist. 205, Will Cty.* (391 US 563 [1968]), the court concluded, first, that petitioners' speech addressed a matter of public concern and, second, that the District failed to meet its burden of demonstrating that petitioners' exercise of their free speech rights "so threatened the school's effective operation as to justify the imposition of discipline" (*Matter of Santer v Board of Educ. of E. Meadow Union Free Sch. Dist.*, 101 AD3d 1026, 1028 [2d Dept 2012]; *Matter of Lucia v Board of Educ. of E. Meadow Union Free Sch. Dist.*, 109 AD3d 545, 547 [2d Dept 2013]).

We agree with the Appellate Division that the picketing demonstration, a form of "speech" protected by the First Amendment, addressed a matter of public concern. We come out differently, however, on the second step of the *Pickering* test. Viewing the record evidence in light of established federal precedent, we conclude that petitioners' interests in engaging in constitutionally protected speech in the particular manner that was employed on the day in question were outweighed by the District's interests in safeguarding students and maintaining effective operations at Woodland. The District also satisfied its burden of proving that the discipline imposed here was justified because petitioners created a potential yet substantial risk to student safety and an actual disruption to school operations. We therefore reverse.

I.

At all relevant times, petitioners were teachers at Woodland and members of the EMTA, the collective bargaining unit for the District's teachers. The collective bargaining agreement (CBA) expired on September 1, 2004, and for several years following its expiration, the District and the EMTA were unable to reach an agreement over a new CBA. To express their dissatisfaction with the lack of progress, teachers at Woodland engaged in weekly protest activities, including picketing, for over two years prior to the demonstration on March 2, 2007. The teachers generally picketed on Monday and Friday mornings, usually

by walking along the sidewalk in front of Woodland carrying union signs as students were arriving for school. Woodland includes grades six through eight, and its students are between 11 and 14 years old. Students typically begin arriving at Woodland at 7:30 a.m. for homeroom class, which begins at 8:12 a.m. Teachers must report to work by 7:55 a.m.; those who drive to Woodland generally park in a teachers' lot behind the school.

Woodland is located on the north side of Wenwood Drive, a relatively narrow, two-way public street that runs in front of the school's main entrance. On an average school day morning, approximately 100 parents drive down Wenwood Drive, pull alongside the curb, and drop off their children at school. The north side of the street has two curb cuts giving access to the sidewalk and pathways that lead to the school buildings. Children exiting cars on the north side generally may proceed directly from the curb to the school without setting foot in the street. Children who are dropped off on the south side of the street, however, must wait at the curb and cross the street as traffic permits.

During the week of February 26, 2007, Woodland EMTA members held a meeting, at which Santer was present,¹ to plan a picketing demonstration to be held on March 2nd. The weather forecast called for heavy rain that day, and the members, evidently not wanting to stand out in the rain but also not wanting to cancel the demonstration due to inclement weather, voted to park their cars along Wenwood Drive and place picketing signs in their car windows so that parents, seeing the signs as they drove by, would be reminded of the ongoing labor negotiations. Santer did not vote because he was the EMTA's building president but he "spoke against" the proposed parking demonstration. According to his hearing testimony, Santer told his colleagues that they could not park in front of the curb cuts on Wenwood Drive because it was illegal to block access to them.² The members amended their vote to keep the curb cuts clear, but Santer still "never personally supported"

1. The record does not indicate whether Lucia attended the meeting.

2. Santer testified at the hearing that the EMTA members originally voted "to park completely along the curb and leave no space" between the cars. Santer "objected to that," telling the members that, from a legal perspective, they "needed to keep the curb cut clear, so that parents could . . . pull to the curb and drop[] off children." Santer "was unhappy with what [the EMTA members] were doing" and "thought they were going too far." He also

(n. cont'd)

the demonstration because he was concerned about student safety. Particularly, Santer “didn’t want someone doing something stupid [like] pulling out at 7:50 [a.m.] and hitting a kid.”

At approximately 7:30 a.m. on March 2nd, 16 EMTA members parked their cars—eight in total—in front of Woodland along both sides of Wenwood Drive. The weather was rainy as forecasted. The participants parked in legal parking spots off of school property and, as planned, did not block any of the curb cuts. Santer testified that the participants placed picketing signs in their car windows facing the street “so parents going by would see them.”

While the participants’ cars were parked on Wenwood Drive, parents dropping off their children could not pull their cars alongside the curb as they regularly did each morning. Because the curb cuts were only about one car-length long, parents would have had to parallel park into them to reach the curb, which proved too difficult on such a narrow two-way street. Consequently, parents driving on both sides of Wenwood Drive had to stop their cars in the middle of the street to drop off their children. This caused traffic to become congested in both directions, and children had to cross through the traffic in the rain to reach the school.

At around 7:30 a.m., Woodland’s dean of students, Terrence Chase, and principal, James Lethbridge, observed the teachers’ parked cars from inside the school; they could also see the ensuing traffic backup on Wenwood Drive and students having to exit cars in the middle of the street. Chase and Lethbridge testified that the cars were parked end-to-end on both sides of the street for the entire length of the school. The administrators agreed that traffic on Wenwood Drive was much worse than usual as a result of the parked cars, and that they had never before seen parents drop off children in the middle of the street as they were required to do that morning. According to Lethbridge, the parked cars created “a very dangerous situation” by forcing children to exit cars in the middle of the street and “walk[] between cars” to get to the school. Neither administrator, nor any District official, asked the participants to move their cars or assisted children in crossing the street, however. In

“wanted to make sure [the demonstration] was a community information activity, and not a[bout] blocking the egress to school.”

fact, Lethbridge and Chase watched the events unfold from inside the school building.³

As the parents' cars became more and more backed up, Lethbridge called the police because, in his judgment, they were best equipped to handle the "traffic situation." Meanwhile, secretaries in Woodland's main office fielded a number of phone calls from parents concerned about the traffic backup on Wenwood Drive. Several teachers also called to report that they would be late because of the traffic. Ultimately, 16 of the 19 teachers who arrived late to work on March 2nd cited traffic as their excuse. To compensate for the unprecedented amount of tardy teachers, Chase and Lethbridge had to arrange for coverage of homeroom classes so children would not be left unattended in the classrooms.

The parking demonstration concluded at approximately 7:50 a.m. It is undisputed that no child was hurt during the demonstration. Also, the police never intervened because, according to Lethbridge, they arrived after the demonstration had concluded. As Santer entered the school (he and Lucia arrived on time), Lethbridge directed him to his office, where he asked Santer to explain why he and the other teachers had parked in front of the school and blocked the drop off area. Santer stated that the teachers were informing the public about the EMTA's ongoing labor dispute with the District and that they had a legal right to park along Wenwood Drive, as signs on that street only prohibited parking between 8:00 a.m. and 4:00 p.m. Lethbridge later asked Lucia if she had participated in the demonstration, and Lucia refused to respond to his questions because they involved what she did on her personal time.

On March 16, 2007, the District commenced disciplinary proceedings pursuant to Education Law § 3020-a against petitioners and other teachers who had allegedly participated in the picketing demonstration. The District preferred a single charge of misconduct against petitioners, which stated that, on March 2nd, they

"intentionally created a health and safety risk by purposely situating [their] vehicle[s] alongside the

3. Chase testified that, from his vantage point inside the school, he did not see signs displayed in any of the cars parked along Wenwood Drive. This testimony conflicted, at least somewhat, with Santer's testimony and petitioners' assertions that the parked cars displayed picketing signs. The arbitrators appear to have resolved this factual dispute in favor of petitioners, however, and that determination need not be disturbed on appeal.

curb on Wenwood Drive in front of the Woodland Middle School in order to preclude children from being dropped off at curbside. The action resulted in children being dropped off in the middle of the street which resulted in an otherwise avoidable and unnecessary health and safety hazard.”

There is no dispute that this was the first time the District took disciplinary action against Woodland teachers for picketing over the collective bargaining dispute, and that teachers at Woodland have continued to hold weekly picketing demonstrations without receiving discipline.

After their respective hearings, petitioners were found guilty of the misconduct charge and assessed a fine of \$500 to Santer and \$1,000 to Lucia. In their decisions, the arbitrators acknowledged that the parking demonstration was conducted on public property while petitioners were off duty, and that their cars were legally parked. The arbitrators nonetheless concluded that petitioners intended to (and did) disrupt the student drop-off on Wenwood Drive, and that the parked cars created a health and safety risk to children who had to be dropped off in the middle of a busy street in the rain.⁴ While it was “fortunate” that no child was injured, the arbitrators determined that fact was irrelevant to their findings that petitioners’ intentional conduct posed a potential threat to student safety.

Petitioners thereafter commenced separate CPLR article 75 proceedings to vacate the arbitration awards imposed against them. Supreme Court denied the petitions, holding that the arbitrators’ determinations do not violate a strong public policy, are not irrational, and do not exceed a specific enumerated limitation of the arbitrators’ power.⁵ Petitioners appealed.

4. The arbitrator presiding over Lucia’s proceeding rejected her claim that the District failed to adequately prove that she was physically present during the parking demonstration. The arbitrator credited Chase’s testimony that he recognized Lucia’s black Chevrolet Camaro because he had developed “familiarity” with teachers’ cars after having regularly parked with the teachers in the school parking lot.

5. In *Matter of Lucia*, Supreme Court additionally noted that, although it was “mindful of the fact that Lucia, and other similarly situated teachers, have a constitutionally protected right to engage in union activity,” it declined to vacate the arbitration award on public policy grounds because that exception “is ‘extremely narrow’ and the exercise of teachers’ free assembly and

(n. cont’d)

The Appellate Division, in separate decisions, reversed the Supreme Court orders, granted the petitions, and vacated the arbitration awards (*see Matter of Santer*, 101 AD3d at 1026; *Matter of Lucia*, 109 AD3d at 546). The court first held that the evidence at the hearings provided a rational basis for the arbitrators' decisions, and the awards were not arbitrary and capricious (*Matter of Santer*, 101 AD3d at 1027; *Matter of Lucia*, 109 AD3d at 547). Noting that petitioners argued that the District's disciplinary actions violated their First Amendment rights, the court proceeded to analyze those claims under *Pickering* (*see Matter of Santer*, 101 AD3d at 1027-1028). Applying the first step of the *Pickering* test, the court determined that petitioners' "'speech' regarding collective bargaining issues indisputably addressed matters of public concern" (*id.* at 1028; *Matter of Lucia*, 109 AD3d at 547). As for the second step, which requires balancing the employee's interest in free speech against the employer's interest in effective government operations, the court concluded that "despite the evidence establishing that the manner in which the protest was carried out interfered with the safe and effective drop-off of students" (*Matter of Santer*, 101 AD3d at 1028), the District failed to meet its burden of showing that petitioners' exercise of their First Amendment "rights so threatened the school's effective operation as to justify the imposition of discipline" (*id.*; *Matter of Lucia*, 109 AD3d at 547). The court further cautioned in *Matter of Santer* that "[t]he disciplinary measures imposed [here] . . . would likely have the effect of chilling speech on an important matter of public concern—the negotiation of a collective bargaining agreement" (101 AD3d at 1029).⁶

The District now appeals as of right pursuant to CPLR 5601(b) (1) from both Appellate Division orders of reversal.

II.

Education Law § 3020-a (5) requires a court to review an arbitrator's determination pursuant to CPLR 7511, which

speech rights are circumscribed to the extent that such exercise endangers the safety of children" (32 Misc 3d 1208[A], 2011 NY Slip Op 51210[U], *2 [2011] [citation omitted]).

6. In *Matter of Lucia*, Justice Roman "concur[red] in the result on constraint of" *Matter of Santer*, stating that "[t]he mandate of the school district to provide for the safety of the children and to ensure the proper functioning of the school is paramount, and overrides any manifestation of First Amendment rights that were embodied in this protest by the teachers" (109 AD3d at 548 [Roman, J., concurring] [citations omitted]).

permits vacatur of an award on three narrow grounds: “it violates a strong public policy, is irrational, or clearly exceeds a specifically enumerated limitation on the arbitrator’s power” (*Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72, 79 [2003] [internal quotation marks omitted]; see CPLR 7511 [b] [1]). “[T]he scope of the public policy exception to an arbitrator’s power to resolve disputes is extremely narrow” (*Matter of United Fedn. of Teachers*, 1 NY3d at 80), and “[c]ourts will only intervene in the arbitration process in those ‘cases in which public policy considerations, embodied in statute or decisional law, prohibit, in an absolute sense, particular matters being decided or certain relief being granted by an arbitrator’ ” (*City School Dist. of the City of N.Y. v McGraham*, 17 NY3d 917, 919 [2011], quoting *Matter of Sprinzen [Nomberg]*, 46 NY2d 623, 631 [1979]; see also *Matter of New York State Correctional Officers & Police Benevolent Assn. v State of New York*, 94 NY2d 321, 327 [1999]). “Where, as here, parties are subject to compulsory arbitration, the award must satisfy an additional layer of judicial scrutiny—it ‘must have evidentiary support and cannot be arbitrary and capricious’ ” (*McGraham*, 17 NY3d at 919, quoting *Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214, 223 [1996]).

Although the Appellate Division determined that the awards satisfied the “additional layer of judicial scrutiny” (*McGraham*, 17 NY3d at 919) in that they are supported by a rational basis and are not arbitrary and capricious (see *Matter of Lucia*, 109 AD3d at 547; *Matter of Santer*, 101 AD3d at 1027), the court did not identify which of the narrow grounds under CPLR 7511 (b) (1) it relied upon in vacating the awards (see generally *Matter of United Fedn. of Teachers*, 1 NY3d at 79). Parsing the court’s reasoning, however, it appears the awards were vacated on the ground that they violate a strong public policy against disciplinary actions that “chill[]” teachers’ constitutionally protected speech related to the collective bargaining process (*Matter of Santer*, 101 AD3d at 1029).

It is well settled that a public employer may not discharge or retaliate against an employee based on that employee’s exercise of the right of free speech (see *Rankin v McPherson*, 483 US 378, 384 [1987]; see also *Locurto v Giuliani*, 447 F3d 159, 183 [2d Cir 2006]). Equally well settled, however, is that “the State has interests as an employer in regulating the speech of its employees that differ significantly from those it possesses in

connection with regulation of the speech of the citizenry in general” (*Pickering*, 391 US at 568), meaning that public employers “may impose restraints on the First Amendment activities of its employees that are job-related even when such restraints would be unconstitutional if applied to the public at large” (*Melzer v Board of Educ. of City School Dist. of City of N.Y.*, 336 F3d 185, 192 [2d Cir 2003], citing *United States v National Treasury Empls.* [*National Treasury*], 513 US 454, 465 [1995]). Thus, although “public employees like . . . teacher[s] do not leave their First Amendment rights at the schoolhouse door, . . . it is plain that those rights are somewhat diminished in public employment” (*Melzer*, 336 F3d at 192).

The District argues that, as a threshold matter, petitioners’ parking demonstration did not qualify as a form of “speech” entitled to First Amendment protection.⁷ To support this claim, the District relies on the Supreme Court’s decision in *Texas v Johnson* (491 US 397 [1989]), in which the Court explained that “conduct possesses sufficient communicative elements to bring the First Amendment into play” if there was “‘an intent to convey a particularized message . . . , and the likelihood was great that the message would be understood by those who viewed it’ ” (491 US at 404, quoting *Spence v Washington*, 418 US 405, 410-411 [1974] [alterations omitted]).

[1] It is established that, as a general matter, “peaceful picketing” is an “expressive activit[y] involving ‘speech’ protected by the First Amendment” (*United States v Grace*, 461 US 171, 176-177 [1983], citing *e.g. Carey v Brown*, 447 US 455, 460 [1980]; *Gregory v Chicago*, 394 US 111, 112 [1969]). The arbitrators determined here that, on the morning of March 2, 2007, petitioners engaged in picketing from their cars parked on Woodward Drive. The evidence at the hearings provided a rational basis for this finding of fact, affirmed by the courts below, and

7. This argument was one of the first raised in the District’s briefs to this Court. When pressed on this point at oral argument, however, the attorney for the District responded that, for the purposes of his argument, he would focus instead on the District’s claims related to the second step of the *Pickering* balancing test. Although not conceding that petitioners’ conduct constituted speech (*cf. Johnson*, 491 US at 405 [noting that the State of Texas “conceded for purposes of its oral argument” that Johnson’s burning of an American flag “was expressive conduct”]), the District’s attorney later stated at argument that, to the extent petitioners displayed signs during the demonstration and those signs related to collective bargaining, their conduct “is likely protected speech.”

had it been made in error, we still would not be compelled to vacate the arbitration awards (*see Matter of New York State Correctional Officers & Police Benevolent Assn.*, 94 NY2d at 326 [“(E)ven in circumstances where an arbitrator makes errors of law or fact, courts will not assume the role of overseers to conform the award to their sense of justice”]; *Matter of Sprinzen*, 46 NY2d at 629).⁸ Moreover, although the arbitrators determined that petitioners intended to create a disruption by parking in the student drop-off area, that finding does not, under these circumstances, deprive petitioners’ picketing activity of its status as “speech.” Accordingly, we conclude that petitioners’ demonstration constituted “speech” subject to First Amendment strictures, and now consider that speech in the context of the *Pickering* balancing test.

Under *Pickering*, the determination whether a public employer has properly disciplined a public employee “for engaging in speech requires ‘a balance between the interests of the [employee], as a citizen, in commenting upon matters of public concern and the interest of the [public] . . . employer, in promoting the efficiency of the public services it performs through its employees’ ” (*Rankin*, 483 US at 384, quoting *Pickering*, 391 US at 568). This balancing test recognizes that the public employer must be permitted a level of control over its employees so it may fulfill essential services, such as public safety and education, efficiently and effectively (*see Connick v Myers*, 461 US 138, 150-151 [1983]; *see also Waters v Churchill*, 511 US 661, 675 [1994 plurality]), but also that “[v]igilance is necessary” to ensure public employers do not use their authority “to silence discourse . . . not because it hampers public functions but simply because superiors disagree with the content of [the] employees’ speech” (*Rankin*, 483 US at 384).

The *Pickering* test involves a two-part inquiry, the first part being “whether the speech which led to an employee’s discipline

8. Even if picketing were not already considered an expressive activity for First Amendment purposes (*see e.g. Grace*, 461 US at 176), the demonstration here still qualifies as “expressive conduct” under *Johnson*. Enough record evidence exists to support petitioners’ assertion that the demonstration was “inten[ded] to convey a particularized message” related to the EMTA’s stalled collective bargaining negotiations with the District. And given that the teachers had picketed in front of Woodland about that same issue for years before March 2nd, it seems likely that this message would have been understood by its intended audience: parents dropping their children off for school, many of whom were probably familiar with the protracted labor dispute from having observed the teachers’ prior picketing demonstrations.

relates to a matter of public concern” (*Melzer*, 336 F3d at 193, citing *Rankin*, 483 US at 384; see *Connick v Myers*, 461 US 138, 146 [1983]). “Speech deals with matters of public concern when it can ‘be fairly considered as relating to any matter of political, social, or other concern to the community,’ . . . or when it ‘is a subject of legitimate news interest; that is, a subject of general interest and of value and concern to the public’ ” (*Snyder v Phelps*, 562 US —, —, 131 S Ct 1207, 1216 [2011], quoting *San Diego v Roe*, 543 US 77, 83-84 [2004], and *Connick*, 461 US at 146). Whether a public employee’s speech addresses a matter of public concern is a question of law to be determined in light of “the content, form, and context of a given statement, as revealed by the whole record” (*Connick*, 461 US at 147-148; see *Bose Corp. v Consumers Union of United States, Inc.*, 466 US 485, 499 [1984]).

[2] We agree with the Appellate Division that petitioners’ speech related to a matter of public concern (see e.g. *Snyder*, 562 US at —, 131 S Ct at 1216). The ongoing labor dispute between the EMTA and the District, although of personal concern to petitioners and other teachers, is a political and social issue of broad public import (see generally 562 US at —, 131 S Ct at 1217; cf. *State Emp. Bargaining Agent Coalition v Rowland*, 718 F3d 126, 132, 134 n 7 [2d Cir 2013] [“the ‘economic’ advocacy of public employee unions touches directly on matters of public concern”]). Moreover, the picketing demonstration was conducted outside the workplace on a public street and was addressed to a public audience: parents dropping their children off for school (see *National Treasury*, 513 US at 466; see also *Snyder*, 562 US at —, 131 S Ct at 1217). The District suggests that the “real objective” of the demonstration was to entangle parents in the labor dispute so the District would be pressured to give in to the EMTA’s demands. However, the arbitrators did not conclude, nor does the record support, that petitioners intended to create a disruption for any reason other than to bring attention to the collective bargaining dispute. Thus, the record as a whole indicates that petitioners’ speech was on a matter of public concern and entitled to First Amendment protection (see *Connick*, 461 US at 147-148).

Since petitioners’ speech satisfies *Pickering*’s first step, we now move on to the second, balancing step of that test (see e.g. *Rankin*, 483 US at 388). Under it, we must weigh the employee’s First Amendment rights against the public employer’s interest “ ‘in promoting the efficiency of the public services it performs

through its employees' " (*id.*, quoting *Pickering*, 391 US at 568; see *Connick*, 461 US at 150). In performing the balancing, the employee's speech "will not be considered in a vacuum; the manner, time, and place of the employee's expression are relevant," as is the extent that the speech "interferes with the regular operation" of the public employer's enterprise (*Rankin*, 483 US at 388; see e.g. *Melzer*, 336 F3d at 197). To satisfy the second step of *Pickering*, the public employer bears the burden of showing that the discipline arising out of the employee's protected activity was justified (see *National Treasury*, 513 US at 466, citing *Rankin*, 483 US at 388; see also e.g. *Melzer*, 336 F3d at 193 ["(T)he government has the burden of showing that despite First Amendment rights the employee's speech so threatens the government's effective operation that discipline of the employee is justified"]).

The interests the District asserts in this case are legitimate: ensuring the safety of its students and maintaining orderly operations at Woodland. The District argues that the evidence adduced at the hearings showed that the parking demonstration created dangerous traffic conditions in front of the school that could have injured a student and that caused actual disruption to the school's operations. This evidence, the District maintains, was sufficient to justify its discipline of petitioners, and it was not required to prove, as the Appellate Division decisions suggest, that a student was actually injured for the *Pickering* balance to tip in the District's favor. We agree.

"It cannot be disputed that the State has a public policy in favor of protecting children" (*McGraham*, 17 NY3d at 919-920), and that a school has a duty to ensure the safety of its students "in its physical custody or orbit of authority" (*Chainani v Board of Educ. of City of N.Y.*, 87 NY2d 370, 378 [1995]; see also *Vernonia School Dist. 47J v Acton*, 515 US 646, 654 [1995] ["(T)eachers . . . stand *in loco parentis* over the children entrusted to them"]). Petitioners acknowledge that the District has a significant interest in ensuring that Woodland students arrive to school safely. The Appellate Division, however, does not appear to have given "full consideration" to the District's interest in the "effective and efficient fulfillment" of this duty (*Connick*, 461 US at 150). The court concluded that because no District official asked petitioners to move their cars and no student was hurt on account of the parking demonstration, "the danger presented by the legally parking teachers could not have been substantial" and the District failed to meet its burden

under *Pickering*'s second step (*Matter of Santer*, 101 AD3d at 1028-1029; see *Matter of Lucia*, 109 AD3d at 547 [dismissing the award "for the same reasons as those stated in *Matter of Santer*"]).

It is true that "[t]he more the employee's speech touches on matters of significant public concern, the greater the level of disruption to the government [employer] that must be shown" (*Lewis v Cowen*, 165 F3d 154, 162 [2d Cir 1999]; see *Melzer*, 336 F3d at 197). As the Supreme Court has explained, however, "an employer is never required 'to allow events to unfold to the extent that the disruption of the office and the destruction of working relationships is manifest before taking action' " (*Lewis*, 165 F3d at 163, quoting *Connick*, 461 US at 152). Interpreting this mandate, the Second Circuit has held that a public employer's "right to discharge an employee by reason of his [or her] speech in matters of public importance does not depend on the employer's having suffered *actual* harm resulting from the speech" (*Pappas v Giuliani*, 290 F3d 143, 151 [2d Cir 2002]; see e.g. *Melzer*, 336 F3d at 197; *Heil v Santoro*, 147 F3d 103, 109 [2d Cir 1998]). While evidence of actual harm or disruption is certainly "persuasive" (*Melzer*, 336 F3d at 197), the public employer need only "make a substantial showing that the speech is . . . likely to be disruptive" to satisfy the balancing test and meet its burden under *Pickering* (*Waters*, 511 US at 674 [plurality opinion]; see also *id.* at 673 [giving "substantial weight to government employers' reasonable predictions of disruption"]; *Pappas*, 290 F3d at 151 ["The employee's speech must be of such nature that the government employer reasonably believes that it is likely to interfere with the performance of the employer's mission"]).

Considering the record evidence under these standards, we conclude that the District met its burden of proving that petitioners' speech was disruptive enough to justify the imposition of discipline (see e.g. *Melzer*, 336 F3d at 197). Thankfully, no student was injured on account of the parking demonstration, but the District nonetheless established that petitioners' actions created a potential yet substantial risk to student safety (see *Waters*, 511 US at 675).

The evidence adduced at the hearings showed that petitioners and the other participating teachers purposefully blocked a familiar student drop-off point by parking their cars along both sides of Wenwood Drive. Lethbridge and Chase observed that the parked cars caused traffic to become congested and

prevented children from safely disembarking at the curb. Instead, students exited cars from the middle of the street in the rain. Wenwood Drive is a relatively small suburban road, but that does not mean it was safe for students to exit amidst an unexpected traffic jam during the crush of morning drop-off. Tellingly, Santer testified that he never supported the parking activity because of the safety risk to students and the potential that the teachers would “block[] egress” to Woodland. And in Lethbridge’s view, the demonstration did, in fact, create “a very dangerous situation” because it forced children to “walk[] between cars” to reach the school. Lethbridge also stated that the teachers’ cars blocked the full length of the street where the children were exiting, and that the cars were parked so close together that children had difficulty reaching the curb. Although Lethbridge did not intervene in the demonstration or help students cross the street, he called the police for assistance with the disruptive traffic situation. This evidence, viewed as a whole, led the arbitrators to determine that petitioners created a health and safety hazard, and we now conclude that it demonstrated a potential risk to student safety that outweighed the First Amendment value of petitioners’ speech about collective bargaining (see *Waters*, 511 US at 681).⁹

Further, the “manner, time, and place” of petitioners’ speech (*Rankin*, 483 US at 388) tips the balance in favor of the District. The arbitrators found that petitioners *intended* for the parking activity to create a disruption, and the District presented evidence of “actual disruption” to the school’s effective operation (*Melzer*, 336 F3d at 197). Particularly, the traffic caused by the parking demonstration led 16 teachers to arrive late to work, requiring that homeroom classes be covered so students were not left unsupervised.¹⁰ A number of parents and teachers also called the school to express their concern about the traffic along

9. The dissent asserts that we should not be permitted to “ignore[] the Appellate Division’s conclusions” regarding the disruptiveness of petitioners’ speech or otherwise diverge from the Appellate Division’s constitutional analysis (dissenting op at 274). “[T]he Appellate Division was well within its authority to consider the teachers’ claims and apply the *Pickering* balancing test to the facts in the record” (*id.*). But the balancing of the competing interests under *Pickering* is undoubtedly a question of law (see e.g. *Waters*, 511 US at 668; *Jackler v Byrne*, 658 F3d 225, 237 [2d Cir 2011]), and contrary to the dissent’s view, we are not constrained to accept the Appellate Division’s application of the *Pickering* test to the facts of this case.

10. The dissent, accusing the Court of having engaged in “dubious” fact-finding, contends that “there is scant record evidence that the parking demonstration caused teachers to arrive late” (dissenting op at 275-276). The

(n. cont’d)

Wenwood Drive. It is true, as the Appellate Division noted, that petitioners' "parking was entirely legal" (*Matter of Santer*, 101 AD3d at 1028), but while that weighs in petitioners' favor, it does not outbalance the evidence of disruption.¹¹

We are mindful that teachers "do not leave their First Amendment rights at the schoolhouse door" (*Melzer*, 336 F3d at 192; *Shelton v Tucker*, 364 US 479, 487 [1960]), and that courts must be vigilant in ensuring that teachers are not disciplined "simply because superiors disagree with the content of [their] speech" (*Rankin*, 483 US at 384). The evidence here, however, does not indicate that the District's disciplinary actions were motivated by the content of petitioners' speech. EMTA members have picketed about the collective bargaining dispute almost every week since the CBA expired in September 2004. The District never took disciplinary action before or after the parking demonstration on March 2, 2007, and since that event, teachers have continued to picket in front of Woodland. Thus, there is no evidence that the discipline here has "chilled" or will "chill" speech on matters of public concern or discourage union picketing. And although petitioners suggest that the District's actions were intended to silence their constitutionally protected speech, that assertion is not supported by the record, which indicates that, as the District contends, petitioners were disciplined because the parking demonstration was disruptive and created potentially unsafe conditions for students.

testimony and documentary evidence presented at both hearings, which largely was not refuted by petitioners, showed that 16 teachers signed in late to work on March 2nd because of traffic. We need not discount or disregard this record evidence of actual disruption, as the dissent suggests, simply because it was not a factor in the Appellate Division's *Pickering* analysis. Ironically, while asserting that this Court has engaged in impermissible fact-finding and exceeded our role as a court of law (*see id.* at 274, 276), the dissent has no qualms about making credibility determinations to bolster its conclusions (*see* dissenting op at 276 [characterizing the school administrators' hearing testimony as "self-serving"]).

11. The Appellate Division also asserted that the District would have "no recourse" over members of the public who parked on Wenwood Drive in compliance with the posted street signs (*Matter of Santer*, 101 AD3d at 1028). Whether or not this is true, it has little bearing on whether the District demonstrated that petitioners' *particular* parking activity caused a substantial disruption *in these circumstances*. Moreover, the District, as a public employer, "may impose restraints on the First Amendment activities of its employees . . . even when such restraints would be unconstitutional if applied to the public at large" (*Melzer*, 336 F3d at 192).

III.

We conclude that, although petitioners' speech as embodied in the parking demonstration was protected by the First Amendment, petitioners' interests in engaging in that constitutionally protected speech in a manner that interfered with the safety of students were outweighed by the District's interests in maintaining an orderly, safe school, and the District satisfied its burden under *Pickering* of proving that the discipline imposed here was justified. Petitioners have relied solely on their First Amendment claims as the basis for vacating the arbitration awards; having determined that those claims lack merit, we can discern no other reason to conclude that the arbitration awards violate a strong public policy, exceed a specifically enumerated limitation on the arbitrators' power, or are in any way irrational.

Accordingly, in each case, the Appellate Division order should be reversed, with costs, the petition denied, and the arbitration award confirmed.

SMITH, J. (concurring). I concur only in the result, because I do not agree with the majority's view that the conduct of these petitioners was speech or expression protected by the First Amendment. I am troubled by the implication that intentionally disruptive and dangerous conduct can, if it is designed for the purpose of calling attention to the actor's message, qualify for First Amendment protection. As the majority acknowledges, the arbitrators here found:

"that petitioners intended to (and did) disrupt the student drop-off on Wenwood Drive, and that the parked cars created a health and safety risk to children who had to be dropped off in the middle of a busy street in the rain" (majority op at 259 [footnote omitted]).

Indeed, the arbitrators found in substance that disruption of traffic, and the resulting safety hazard, were the purpose and primary effect of petitioners' activity. The arbitrator in *Lucia* found:

"the only purpose, or reasonably expectable result, in parking cars at the curb would have been, at the very least, to slow down and inconvenience the drop-off process in order to draw additional attention to the contract negotiations."

Similarly, the arbitrator in *Santer* found:

“the Respondent intentionally created a health and safety risk by purposely situating his vehicle alongside the curb on Wenwood Drive in front of the Woodland Middle School in order to preclude children from being dropped off at curbside.”

In the ordinary case, these findings would be binding upon us. This may not be true where First Amendment rights are at issue (see *New York Times Co. v Sullivan*, 376 US 254, 284-285 [1964] [courts should examine for themselves the question of whether particular speech is protected]), but for me that question is academic, because if I were to review the question de novo I would reach the same conclusion as the arbitrators. The teachers’ cars were parked in such a way as to cause the maximum possible disruption without violating the parking laws. The school principal testified:

“Q How were the cars parked?

“A Very close together. What I mean by that is, the front is very close up to the back of the car in front of it and very sinsynchly [sic] placed -- strategically placed.”

Indeed, *Santer* testified that the teachers would have created even more disruption, by blocking the curb cuts, if he had not told them they could not get away with it: “The original vote was to park completely along the curb and leave no space.”

Thus this case cannot be decided on the premise that the demonstration in question was no more than a wet-weather substitute for normal picketing. The majority says the protesters intended that “parents, seeing the signs [in the car windows] as they drove by, would be reminded of the ongoing labor negotiations” (majority op at 256), but that is not what the record shows or what the arbitrators found. Unquestionably, the teachers did want to remind the parents about the labor negotiations—but it was the traffic disruption, not the relatively inconspicuous signs in the car windows, that was to serve as the more effective reminder.

While, as the majority says (majority op at 262), it is well established that ordinary, non-disruptive picketing is protected by the First Amendment, it is equally well established that disruptive picketing is not (see *Hotel & Restaurant Employees v Wisconsin Employment Relations Bd.*, 315 US 437, 440 [1942] [upholding a Wisconsin statute that prohibited picketing intended to “obstruct or interfere with free and uninterrupted

use of public roads’’)). The picketing in this case was of the unprotected kind.

Disruptive or dangerous conduct does not acquire First Amendment protection simply because its purpose is to promote an idea. The Supreme Court’s leading cases on First Amendment protection for expressive conduct, *United States v O’Brien* (391 US 367 [1968]) and *Texas v Johnson* (491 US 397 [1989]), make that clear. *O’Brien* involved the burning of a draft card; *Johnson*, the burning of an American flag. Both of these acts were merely expressive; neither was intended to, or did, create any disruption or danger. Even so, in *O’Brien*, the Court, in an opinion by Chief Justice Warren, rejected the First Amendment claim, holding that the governmental interest in assuring the availability of draft cards was sufficient to justify O’Brien’s conviction (391 US at 382). This case is a fortiori from *O’Brien*.

For these reasons, I would not reach the issue that the majority decides—whether the discipline of petitioners was justified under *Pickering v Board of Ed. of Township High School Dist. 205, Will Cty.* (391 US 563 [1968]). The *Pickering* test serves to identify cases in which speech or expression by a public employee that would ordinarily have First Amendment protection may be limited in the interest of efficient and effective government. In this case, the public-employee status of petitioners is irrelevant to the constitutional issue. Citizens who were not public employees would have no more right than these petitioners to park their cars “strategically” in order to make it more difficult for children to get to school.

RIVERA, J. (dissenting). I dissent from the majority’s decision because I can find no legal or factual error in the Appellate Division’s application of the *Pickering* balancing test to the facts of these cases. I would affirm the Appellate Division’s orders and its conclusion that the District violated the teachers’ free speech rights.

“[S]peech on public issues occupies the ‘highest rung of the hierarchy of First Amendment values,’ and is entitled to special protection” (*Connick v Myers*, 461 US 138, 145 [1983], citing *NAACP v Claiborne Hardware Co.*, 458 US 886, 913 [1982]; *Carey v Brown*, 447 US 455, 467 [1980]). Accordingly, a public employer’s authority to regulate a public employee’s speech on matters of public interest is subject to constitutional limits (see *Connick*, 461 US at 147). In determining whether a public employer may lawfully act against a public employee based on

the employee's speech, courts must balance the rights of the employee against those of the employer "in promoting the efficiency of the public services it performs through its employees" (*Pickering v Board of Ed. of Township High School Dist. 205, Will Cty.*, 391 US 563, 568 [1968]).

The "state's burden in justifying a particular [action] varies depending upon the nature of the employee's expression" (*Connick*, 461 US at 150). Thus, the U.S. Supreme Court has "caution[ed] that a stronger showing may be necessary if the employee's speech more substantially involved matters of public concern" (*id.* at 152). In other words, the greater the free speech interest, the stronger the showing necessary to carry the State's burden (*id.* at 150-152). This, of course, is logical where matters of public concern are involved. Otherwise, a bare claim of mere inconvenience would be sufficient to overcome the interest in speech on a matter of the utmost public importance.

In the cases on appeal, the teachers' speech involved matters of public concern, the type of speech that enjoys the greatest First Amendment protection because of its importance to our democratic society (*see Pickering*, 391 US at 573; *San Diego v Roe*, 543 US 77, 82 [2004]). As the U.S. Supreme Court has recognized, discussion about the operation of public schools "is vital to informed decision-making by the electorate" (*Pickering*, 391 US at 571-572). Moreover, "[t]eachers are, as a class, the members of a community most likely to have informed and definite opinions as to how funds allotted to the operations of the schools should be spent. Accordingly, it is essential that they be able to speak out freely on such questions without fear of [retaliation]" (*id.* at 572). Thus, these cases involve speech in an area of the utmost public importance uttered by the very people in the best position to inform public debate.

A finding that the teachers' speech was disruptive of the school district's public responsibility, justifying discipline in these cases, requires the school district to carry a heavy burden (*United States v Treasury Employees*, 513 US 454, 466 [1995]; *Rankin v McPherson*, 483 US 378, 388 [1987]; *Connick*, 461 US at 150). The only issue before us is whether the Appellate Division properly applied the law to the facts in these cases in reaching its conclusion that the school district failed to meet its burden.¹

1. The majority asserts that we may ignore the Appellate Division's application of the *Pickering* test to the facts of this case because the balancing of competing interests is a question of law (majority op at 267 n 9). To the extent the majority asserts the obvious, namely that we must ensure the proper legal

(n. cont'd)

The Appellate Division found that “evidence that children were dropped off in the middle of the street due to the arrangement of the [teachers’] cars provided a rational basis” for the arbitrators’ decisions and that the awards were not arbitrary and capricious (*Matter of Santer v Board of Educ. of E. Meadow Union Free Sch. Dist.*, 101 AD3d 1026, 1027 [2d Dept 2012]). The majority concludes that the “potential risk to student safety” was enough to end the inquiry and satisfy the school district’s burden (majority op at 267). However, the Appellate Division went further and considered whether the evidence showed that the teachers’ actions disrupted the school’s operations enough to outweigh the teachers’ First Amendment rights. This is the inquiry required under the *Pickering* balancing test (see *Pickering*, 391 US at 568 [the State must “arrive at a balance between the interests of the teacher, as a citizen, in commenting upon matters of public concern and the interest of the State, as an employer, in promoting the efficiency of the public services it performs through its employees”]).

Faced with the teachers’ First Amendment challenge, the Appellate Division was within its authority to consider all of the evidence in the record to determine whether, as a whole, the record could support the school district’s claims of disruption (see e.g. *Bose Corp. v Consumers Union of United States, Inc.*, 466 US 485 [1984]; *New York Times Co. v Sullivan*, 376 US 254, 284-285 [1964]; *Brasslett v Cota*, 761 F2d 827 [1st Cir 1985]).

Based on its analysis of the facts as found by the arbitrators, the Appellate Division concluded that the public employees in these cases had exercised their First Amendment rights to speak about matters of public concern, specifically the collective bargaining agreement dispute (*Santer*, 101 AD3d at 1028; see

analytical framework is applied to the case at hand, I agree. However, that is not what the majority has done in this case. The majority has supplanted the Appellate Division’s analysis outright, even though that court applied the proper legal standard, and no abuse of discretion is discernable from the opinion’s consideration of the record before it. This is not an appropriate exercise of our power of review, for as I have stated in my dissent, our task in this case is to ensure that the facts support the conclusion, not, as the majority would have it, to recast the facts to support the majority’s view of what it considers to be the consequences flowing from the events.

Even were I to adopt the majority’s approach to our review of the Appellate Division’s decisions in these cases, I would still dissent from the majority’s conclusion that the District satisfied its burden because the facts failed to establish disruption to the school, or, at most, the evidence of disruption is no greater than the evidence that no disruption occurred.

Clue v Johnson, 179 F3d 57, 61 [2d Cir 1999]). The Appellate Division further concluded that the school district failed to satisfy its burden of establishing that the petitioners' exercise of their First Amendment rights so threatened the school's effective operation to justify the imposition of discipline against them.

The Appellate Division's conclusions that the school failed to act to stop the demonstration or to otherwise clear the way for the students are wholly supported by the record. The record shows that petitioners and the other teachers' cars were legally parked; any member of the public could lawfully park on Wenwood Drive during the same time and in the same spots where petitioners were parked. The curb cuts were open and clear for pedestrian crossing. As a matter of course, student drop-off occurs on both sides of Wenwood Drive, requiring students dropped off across the street from the school to negotiate traffic in crossing the street. The school administrators did not intervene to help students or request that the teachers move their cars at any time during the morning demonstration. Only several minutes after traffic congestion formed did the administrators call the police and then in order to assist with the traffic jam. Even after calling the police, administrators did not take action to reduce any obstruction to the students' drop-off. Nonetheless, no students were injured the morning of the demonstration. The teachers cleared their cars from the road at 7:50 a.m., before the parking prohibition came into effect at 8:00 a.m. Santer and Lucia both arrived at work on time.

The majority ignores the Appellate Division's conclusions, and instead makes its own findings regarding the petitioners' actions, concluding that the evidence "demonstrated a potential risk to student safety that outweighed the First Amendment value of petitioners' speech about collective bargaining" (majority op at 267). The majority reaches this conclusion because the parked cars caused traffic congestion requiring the students to exit in the middle of the street in the rain. That determination, however, is based on the majority's rejection of the Appellate Division's application of law to the facts and the majority's reliance on the arbitrators' finding of a risk to the children, without regard to facts showing the risk not to be substantial.

The majority's factual findings fail to address the constitutional question; whether the speech so affected the school as to disrupt its "effective and efficient fulfillment of its responsibilities to the public" (*Connick*, 461 US at 150). The arbitrator

failed to consider whether the risk was of the type to affect the school in a constitutional sense, and the Appellate Division was well within its authority to consider the teachers' claims and apply the *Pickering* balancing test to the facts in the record. While dropping a student in the middle of the road may well be a risk and one worth avoiding, the question is whether *that* risk on the day in question was *substantial enough* to disrupt the workings of the school. To make that determination, the Appellate Division properly considered the morning's events in full, including the school administration's lack of urgent response to the situation. I can find no error of law in this analysis. While others may reach a different conclusion on the facts—as the majority apparently does (majority op at 266-268)—it cannot be error as a matter of law to find on these facts that the school district failed to carry its heavy burden.

To the extent the Appellate Division found persuasive those facts related to the school administrators' actions in concluding that the speech did not substantially disrupt the school's operations, we are bound by that fact-finding, supported by the record evidence as it is. Alternatively, if the facts could support either conclusion equally, that is they support a finding of school disruption as well as a finding of insufficient disruption to the school's workings, then the findings are in equipoise, and the school district has failed to carry its heavy burden. Unlike the majority I would not tip the balance in favor of the District where it has failed to meet its evidentiary burden.

In addition to the "potential risk to student safety," the majority also bases its decision on what it calls "evidence of 'actual disruption' to the school's effective operation" (majority op at 267). According to the majority, 16 teachers arrived late due to "traffic caused by the parking demonstration" (*id.*). However, there is scant record evidence that the parking demonstration caused teachers to arrive late, and the majority is the first fact-finder to reach this conclusion. The Appellate Division discusses only the risk to children created by the parking activity, perhaps because that was the only basis given by the arbitrators for their arbitration award.²

2. The majority's reliance on evidence that 16 teachers signed in late on the day of the demonstration is misplaced because there was no finding by the arbitrators that this evidence established disruption to the school, and therefore, testimony that teachers arrived late does not constitute, as the majority would have it, "record evidence of actual disruption" (majority op at

(n. cont'd)

The majority's decision is flawed not only because the majority has dubious authority to make findings of fact, but also because it misconstrues the *Pickering* balancing test and its application to the facts in the record. According to the majority, the public employer need only "make a substantial showing that the speech is . . . likely to be disruptive" (majority op at 266, citing *Waters v Churchill*, 511 US 661, 674 [1994 plurality]). The majority relies on the plurality opinion in *Waters* in support of this legal standard. It is true that the plurality in *Waters* concluded that courts should give deference to a public employer's reasonable predictions of disruption (*Waters*, 511 US at 673). However, *Waters* concerned the procedures a court should use when evaluating a government restriction on employee speech. Here, the issue is whether, given the absence of any indication of disruption beyond school administrators' self-serving testimony, those administrators had reason to discipline the teachers. In any event, this case does not involve the administrators' prediction of disruption, but rather whether a disruption actually took place. The teachers were disciplined after the fact, not as a preventive measure to avoid possible disruption.

The Appellate Division did not abuse its discretion by concluding that the school district failed to satisfy its burden because the danger created by the petitioners' parked cars was not substantial. Therefore, I would affirm the orders of the Appellate Division.

Judges GRAFFEO, READ and PIGOTT concur with Judge ABDUS-SALAAM; Judge SMITH concurs in result in an opinion; Judge RIVERA dissents in an opinion in which Chief Judge LIPPMAN concurs.

In each case: Order reversed, with costs, petition denied, and arbitration award confirmed.

268 n 10). Of course, if it did, we would expect that the arbitrators would have found as much.

[14 NE3d 367, 991 NYS2d 14]

CLEMENTE BROS. CONTRACTING CORP. et al., Appellants, v APRILE
HAFNER-MILAZZO, Also Known as APRILEANNA MILAZZO, De-
fendant, and CAPITAL ONE, N.A., Respondent.

Argued March 26, 2014; decided May 8, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 14, 2012. The Appellate Division (1) dismissed an appeal from so much of an order of the Supreme Court, Suffolk County (Elizabeth H. Emerson, J.; op 2011 NY Slip Op 30384[U] [2011]), as had granted those branches of the motion of defendant Capital One, N.A., which were for summary judgment dismissing the complaint insofar as asserted against it and for summary judgment on its counter-claims, and (2) affirmed a judgment of that court, entered upon the order, which was in favor of that defendant and against plaintiffs in the principal sum of \$1,146,262.90.

Clemente Bros. Contr. Corp. v Hafner-Milazzo, 100 AD3d 677, modified.

HEADNOTES

Banks and Banking — Duty to Examine Bank Statements — Failure to Discover and Report Forgeries — Bank’s Provision of Forged Line-of-Credit Drawdown Requests to Customer

1. In an action by plaintiff corporation and its principal to recover damages resulting from forgeries of bank documents perpetrated by plaintiffs’ employee, defendant bank was not entitled to summary judgment under UCC 4-406 (4) with respect to allegedly forged requests to draw money on plaintiffs’ line of credit with defendant bank. Although UCC 4-406 (4) bars a bank customer from claiming recovery on a wrongfully paid “item” when the customer fails to report an irregularity concerning the item to the bank within one year after the bank provides to the customer the relevant statement of account and a copy of the item pursuant to UCC 4-406 (1), regardless of either party’s failure to exercise reasonable care, the record here did not show that defendant bank provided to plaintiffs the line-of-credit drawdown requests in accordance with UCC 4-406 (1). Banks must comply in good faith with UCC 4-406 (1) to seek the protections of UCC 4-406 (4), and a bank complies with UCC 4-406 (1) by supplying the item to the customer with the statement of account, by holding the item for the customer or by otherwise in a reasonable manner making the statement and item available. Here, the drawdown requests qualified as “items” within the meaning of UCC article 4 as they were written instruments formally exercising a contractual right to the payment of money from the line of credit. Absent any record evidence or discussion in the briefs about relevant banking practice or applicable regulations on

the provision of line-of-credit drawdown requests to customers, defendant bank could not be held to have failed to comply with UCC 4-406 (1) as a matter of law. Nevertheless, defendant bank failed to demonstrate its compliance with the statute.

Banks and Banking — Line of Credit — Bank's Payment of Forged Line-of-Credit Drawdown Requests — Financial Harm to Customer

2. In an action by plaintiff corporation and its principal to recover damages resulting from forgeries of bank documents perpetrated by plaintiffs' employee, defendant bank's wrongful payment of allegedly forged requests to draw money on plaintiffs' line of credit with defendant bank caused plaintiffs to suffer financial harm. The line of credit was, in effect, a pre-approved loan upon which plaintiffs could draw at will. Plaintiffs did not possess any borrowed funds or owe anything in repayment in the absence of a drawdown request. Upon such a request, defendant bank would transfer funds to one of plaintiffs' operating accounts with defendant bank, interest immediately would begin to accrue and plaintiffs would be liable to repay the principal.

Banks and Banking — Duty to Examine Bank Statements — Failure to Discover and Report Forgeries — Modifying by Agreement UCC 4-406 (4)'s One-Year Period

3. Parties may modify by agreement, as long as the modification is not manifestly unreasonable, the one-year period under UCC 4-406 (4) within which a customer must notify its bank of an improperly paid item in order to recover the payment thereon. UCC 4-103 (1) permits parties to alter the provisions of UCC article 4 by agreement as long as the parties do not disclaim a bank's responsibility for its own lack of good faith or failure to exercise ordinary care or limit the measure of damages for such lack or failure. UCC 4-103 (1) does not prohibit a bank from altering its obligation to refund payments made in good faith, and shortening UCC 4-406 (4)'s one-year period does not violate any of the prohibitions in UCC 4-103 (1). Here, in an action by plaintiff corporation and its principal to recover damages resulting from forgeries of bank documents perpetrated by plaintiffs' employee, defendant bank did not disclaim its responsibility to act with care by requiring plaintiffs, pursuant to an agreement between the parties, to notify it of an improperly paid item within 14 days of receiving the relevant account statement. While shortening UCC 4-406 (4)'s one-year period certainly affected defendant bank's liability for improperly paid items, whether paid in good faith or not, it did not exclude all liability for negligence. Nor did the modification affect the measure of damages; it merely limited the time within which plaintiffs were required to provide notice of the improper charge.

Banks and Banking — Duty to Examine Bank Statements — Failure to Discover and Report Forgeries — Modifying by Agreement UCC 4-406 (4)'s One-Year Period — 14-Day Period Not Manifestly Unreasonable

4. Modification by agreement from one year to 14 days of the statutory time period under UCC 4-406 (4) within which a customer must notify its bank of an improperly paid item in order to recover the payment thereon is not manifestly unreasonable in the case of a corporate entity that either is financially sophisticated or has the resources to acquire professional guidance. Accordingly, in an action by plaintiff corporation and its principal to recover damages resulting from forgeries of bank documents perpetrated by plaintiffs' employee, an agreement by plaintiffs and defendant bank to modify UCC

4-406 (4)'s one-year period to 14 days was permissible. Plaintiff corporation had numerous employees, regularly moved hundreds of thousands of dollars in and out of its operating accounts and had the resources to make an informed decision about opening accounts at defendant bank. Moreover, plaintiff principal was fully aware of the terms of the agreement with defendant bank because plaintiff corporation passed a corporate resolution acknowledging its obligation to notify defendant bank of any irregularities within 14 days of each statement of account. It was not manifestly unreasonable to expect such a company to monitor its accounts once a month, within 14 days of each statement, particularly where it had acknowledged its responsibility to do so in a corporate resolution. Nevertheless, it could well be unreasonable for banks to use contracts of adhesion to impose an exacting 14-day limit on unsophisticated customers, small family businesses or individual consumers, including, for example, the elderly, people suffering from certain disabilities or others for whom the 14-day rule could be too unforgiving.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Banks and Financial Institutions §§ 738–741, 875, 953.

McKINNEY'S, UCC art 4; §§ 4-103 (1); 4-406 (1), (4).

NY JUR 2d, Banks and Financial Institutions §§ 345, 348, 349, 402, 413, 420, 443.

WHITE AND SUMMERS, UNIFORM COMMERCIAL CODE §§ 19:38, 21:2.

ANNOTATION REFERENCE

See ALR Index under Banks; Forgery; Limitation of Actions; Summary Judgment; Uniform Commercial Code.

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POINTS OF COUNSEL

Dollinger, Gonski & Grossman, Carle Place (*Matthew Dollinger* of counsel), for appellants. I. Capital One, N.A. did not satisfy its burden of proof and it was error for the court to dismiss plaintiffs' complaint pursuant to either the UCC or any North Fork Bank rules or corporate resolutions. (*Zuckerman v City of New York*, 49 NY2d 557; *Negri v Stop & Shop*, 65 NY2d 625; *Louniakov v M.R.O.D. Realty Corp.*, 282 AD2d 657; *Scott v Long Is. Power Auth.*, 294 AD2d 348; *Dolitsky v Bay Isle Oil Co.*, 111 AD2d 366; *S.J. Capelin Assoc. v Globe Mfg. Corp.*, 34 NY2d 338; *Robinson Motor Xpress, Inc. v HSBC Bank, USA*, 37 AD3d 117; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851;

Commissioners of State Ins. Fund v Fox Run Farms, 195 AD2d 372; *Efdey Elec. Contrs. v Melita*, 167 AD2d 501.) II. The court should not have applied UCC 4-406 (4) to the causes of action involving the line of credit promissory note. (*Monreal v Fleet Bank*, 95 NY2d 204; *Technical Tape v Spray Tuck*, 131 AD2d 404; *Medinol Ltd. v Boston Scientific Corp.*, 346 F Supp 2d 575; *State St. Bank & Trust Co. v Inversiones Errazuriz Limitada*, 374 F3d 158.) III. There is a conflict among the Appellate Division departments as to the impact an alleged breach of the duty of care by a bank has on the application of UCC 4-406. (*Putnam Rolling Ladder Co. v Manufacturers Hanover Trust Co.*, 74 NY2d 340.) IV. The Court of Appeals should address the 14-day time bar applied by the court below, on policy grounds. (*Putnam Rolling Ladder Co. v Manufacturers Hanover Trust Co.*, 74 NY2d 340.) V. The documentary evidence does not support the application of the 14-day time bar. (*Schirmer v Athena-Liberty Lofts, LP*, 48 AD3d 223; *Matter of Ray*, 24 Misc 3d 285; *SOS Oil Corp. v Norstar Bank of Long Is.*, 76 NY2d 561.)

Herrick, Feinstein LLP, New York City (*Mara B. Levin* and *Christopher P. Greeley* of counsel), for respondent. I. The trial court and Appellate Division properly held that Capital One, N.A. is entitled to the protections of UCC 4-406 (4). (*Monreal v Fleet Bank*, 95 NY2d 204; *Woods v MONY Legacy Life Ins. Co.*, 84 NY2d 280; *Garage Mgt. Corp. v Chase Manhattan Bank*, 22 AD3d 432; *Josephs v Bank of N.Y.*, 302 AD2d 318; *Mansi v Gaines*, 216 AD2d 536; *Wells v Bank of N.Y. Co.*, 181 Misc 2d 574; *Gluck v JPMorgan Chase Bank*, 12 AD3d 305; *Radon Constr. Corp. v Colwell*, 248 AD2d 366; *Matter of Ray*, 24 Misc 3d 285; *Parent Teacher Assn., Pub. School 72 v Manufacturers Hanover Trust Co.*, 138 Misc 2d 289.) II. Borrowers have misconstrued cases from the Third and Fourth Departments in their failed attempt to invent a split among the departments where none exists. (*Monreal v Fleet Bank*, 95 NY2d 204; *Graves v Wachovia Bank, N.A.*, 607 F Supp 2d 1277.) III. This Court should affirm the appellate decision which upheld the trial court decision granting summary judgment to Capital One, N.A. on its counterclaims against the borrowers for breach of the loan documents. (*Key B.H. Assoc. v Banner Indus.*, 170 AD2d 246; *Marine Midland Bank v Scallen*, 161 AD2d 103; *Seaman-Andwall Corp. v Wright Mach. Corp.*, 31 AD2d 136, 29 NY2d 617; *Bank of Am., N.A. v Solow*, 59 AD3d 304; *117-14 Union Turnpike Assoc. v County Dollar Corp.*, 187 AD2d 357.)

Shearman & Sterling LLP, New York City (*Brian H. Polovoy* and *Melissa J. Godwin* of counsel), for Clearing House Association

L.L.C., amicus curiae. I. The Appellate Division properly held that a bank and its customer may agree to shorten the statutory time period within which the customer must notify its bank that the bank has paid on a forged check. (*Putnam Rolling Ladder Co. v Manufacturers Hanover Trust Co.*, 74 NY2d 340; *Monreal v Fleet Bank*, 95 NY2d 204; *Woods v MONY Legacy Life Ins. Co.*, 84 NY2d 280; *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Radon Constr. Corp. v Colwell*, 248 AD2d 366; *Qassemzadeh v IBM Poughkeepsie Empls. Fed. Credit Union*, 167 AD2d 378; *Catalano v Marine Midland Bank*, 303 AD2d 617; *Gluck v JPMorgan Chase Bank*, 12 AD3d 305; *Josephs v Bank of N.Y.*, 302 AD2d 318; *Garage Mgt. Corp. v Chase Manhattan Bank*, 22 AD3d 432.) II. There are sound policy reasons why this Court should, like other appellate courts that have addressed the issue, hold that a bank and its customers may agree to shorten the statutory time period in UCC 4-406 (4). (*Monreal v Fleet Bank*, 95 NY2d 204; *Woods v MONY Legacy Life Ins. Co.*, 84 NY2d 280.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The primary issue presented is whether a bank and its customer may agree to shorten from one year to 14 days the statutory time period under UCC 4-406 (4) within which a customer must notify its bank of an improperly paid item in order to recover the payment thereon. In two opinions issued over 20 years ago, this Court declined to decide this issue because it was not presented directly, but questioned whether a 14-day period could be reasonable and observed that the question “raise[d] policy considerations” (*Putnam Rolling Ladder Co. v Manufacturers Hanover Trust Co.*, 74 NY2d 340, 349 n 2 [1989]; *SOS Oil Corp. v Norstar Bank of Long Is.*, 76 NY2d 561, 568 [1990]). We now hold that, at least in this case, the parties’ agreement to shorten the period was permissible.

I

In April 2007, plaintiff Clemente Brothers Contracting Corp. opened three corporate operating accounts at North Fork Bank (which subsequently merged with defendant Capital One, N.A. [collectively Capital One]) and took out a loan and a line of credit, each backed by a promissory note. Clemente Brothers could draw money on the line of credit by sending a signed drawdown request to Capital One. As a condition precedent to

opening the accounts at Capital One, plaintiff Jeffrey Clemente, the company's principal, executed a personal guaranty with respect to the loan and line of credit, and Clemente Brothers passed a corporate resolution, which provided that Jeffrey Clemente was the only authorized signatory on the accounts and the only one authorized to sign drawdown requests on the line of credit.

The corporate resolution also provided,

“That unless [Clemente Brothers] shall notify the Bank in writing *within fourteen calendar days* of the delivery or mailing of any statement of account and cancelled check, draft or other instrument for the payment of money (hereinafter referred to as ‘Instrument’) of any claimed errors in such statement, or that [Clemente Brothers’] signature upon any such returned Instrument was forged, or that any such Instrument was made or drawn without the authority of [Clemente Brothers] . . . or that it was raised or otherwise altered . . . said statement of account shall be considered correct for all purposes and said Bank shall not be liable for any payments made and charged to the account of [Clemente Brothers] or for any other errors in the statement of account as rendered to it.”

Capital One mailed statements of account for all three of the operating accounts to the business address provided by Clemente Brothers. The monthly statements included copies of cancelled checks drawn on that account.

As for the line of credit, Capital One mailed a statement to Clemente Brothers each month showing the principal balance and the monthly interest payment, which was automatically debited from the primary operating account. Capital One has not offered any evidence that it included copies of the drawdown requests on the line of credit with the monthly statements. But the drawdowns appeared as credits on the operating account statements.

Defendant Aprile Hafner-Milazzo worked as a secretary and bookkeeper for Clemente Brothers until it was discovered that she had been forging Clemente's signature on certain Capital One bank documents, including drawdown requests on the line of credit and checks paid from one of Clemente Brothers' accounts. According to plaintiffs, Hafner-Milazzo embezzled

approximately \$386,000 over the course of approximately two years, from January 2008 through December 2009.

In February 2010, Clemente Brothers notified Capital One of Hafner-Milazzo's thefts. Thereafter, Capital One determined that an event had occurred that adversely affected Clemente Brothers' ability to repay its debts and, pursuant to a clause in the two promissory notes, declared all amounts due and payable.

Plaintiffs subsequently commenced this action against Hafner-Milazzo and Capital One to recover damages resulting from Hafner-Milazzo's forgeries and to prevent Capital One from forcing repayment on the loans. In its answer, Capital One interposed several counterclaims to recover amounts due under the loans and Clemente's personal guaranty.

Capital One moved for summary judgment dismissing the complaint insofar as asserted against it and on its counterclaims. Supreme Court granted Capital One's motion in its entirety and awarded it the principal sum of \$1,146,262.90 on its counterclaims (*Clemente Bros. Contr. Corp. v Hafner-Milazzo*, 2011 NY Slip Op 30384[U] [Sup Ct, NY County 2011]). According to the court, Capital One was "entitled to the protection afforded by UCC 4-406 (4)," which precludes liability for a bank to its customer when it pays a check on a forged signature but makes statements of the account and the allegedly forged items available to the customer, and the customer fails to report the alleged forgery to the bank within one year (*id.* at *4). Here, the court observed, Clemente Brothers and Capital One, by agreement, properly abbreviated the one-year period to 14 days, within which plaintiffs failed to report each of the alleged forgeries.

The Appellate Division affirmed (*Clemente Bros. Contr. Corp. v Hafner-Milazzo*, 100 AD3d 677 [2d Dept 2012]). This Court granted plaintiffs leave to appeal (21 NY3d 856 [2013]).

II

New York's version of the Uniform Commercial Code (hereinafter UCC) imposes strict liability upon a bank that charges against its customer's account any "item" that is not "properly payable" (UCC 4-401 [1]; *Monreal v Fleet Bank*, 95 NY2d 204, 207 [2000]). An "item" is "any instrument for the payment of money even though it is not negotiable but does not include money" (UCC 4-104 [1] [g]). Black's Law Dictionary defines

“instrument” as a “written legal document that defines rights, duties, entitlements, or liabilities” (Black’s Law Dictionary 869 [9th ed 2009]). Put another way, a bank may not charge a check, or other written document defining a right to or liability for payment, bearing a forged signature against its customer’s account (*Monreal*, 95 NY2d at 207).

The UCC nevertheless limits banks’ exposure by imposing obligations on customers that, if unfulfilled, may preclude a customer’s suit against the bank. When a bank sends to its customer statements of account and copies of the items paid, the customer must review those documents promptly and notify the bank of any irregularities:

“When a bank sends to its customer a statement of account accompanied by items paid in good faith in support of the debit entries or holds the statement and items pursuant to a request or instructions of its customer or otherwise in a reasonable manner makes the statement and items available to the customer, the customer must exercise reasonable care and promptness to examine the statement and items to discover his unauthorized signature or any alteration on an item and must notify the bank promptly after discovery thereof” (UCC 4-406 [1]; *see also Monreal*, 95 NY2d at 207).

If the customer fails to fulfill its obligation, then the customer is precluded from asserting against the bank (1) “his unauthorized signature or any alteration on the item if the bank also establishes that it suffered a loss by reason of such failure” and (2) “an unauthorized signature or alteration by the same wrongdoer on any other item paid in good faith by the bank after the first item and statement was available to the customer for a reasonable period not exceeding fourteen calendar days” (UCC 4-406 [2] [a], [b]). These bars to recovery do not apply “if the customer establishes lack of ordinary care on the part of the bank in paying the item(s)” (UCC 4-406 [3]).

An additional limitation, pertinent here, is found in UCC 4-406 (4), which creates something akin to a statute of repose that bars a customer’s claim for recovery on a wrongfully paid item when the customer fails to report the irregularity within one year after the bank provides the statement and item, regardless of either party’s failure to exercise reasonable care:

“Without regard to care or lack of care of either the customer or the bank a customer who does not

within one year from the time the statement and items are made available to the customer (subsection (1)) discover and report his unauthorized signature . . . is precluded from asserting against the bank such unauthorized signature or indorsement or such alteration” (UCC 4-406 [4]).

Here, the parties shortened the one-year period to 14 days by agreement.

A

Capital One argues that UCC 4-406 (4) defeats plaintiffs’ claims with respect to both the operating accounts and the line of credit. But the application of UCC 4-406 (4) is contingent upon the bank providing the customer with account statements and copies of the items paid under UCC 4-406 (1). The parties do not seriously dispute that Capital One complied with UCC 4-406 (1) with respect to the operating accounts by providing monthly statements and copies of cancelled checks. But they do dispute whether the line of credit is subject to UCC article 4 at all, and, if it is, whether Capital One complied with UCC 4-406 (1).

[1] Plaintiffs argue that the drawdown requests on the line of credit do not qualify as “items” within the meaning of UCC article 4. We disagree. The requests are written instruments formally exercising a contractual right to the payment of money from the line of credit. We do agree with plaintiffs, however, that, at least on this motion for summary judgment, Capital One cannot avail itself of UCC 4-406 (4). Capital One argues that the drawdown requests should be treated as items and that it is entitled to the protections of UCC 4-406 (4), but it conspicuously has not offered evidence showing that it complied with the threshold requirements of UCC 4-406 (1) quoted above.

The language of the New York statute tracks the language of the original model Uniform Commercial Code (Model UCC), and has not been amended by the legislature since adoption in 1962. Section 4-406 of the Model UCC was amended in 1991 to require that the bank must provide a statement of account and “shall either return or make available to the customer the items paid *or* provide information in the statement of account sufficient to allow the customer reasonably to identify the items paid” (Model UCC [2002] § 4-406 [a] [maintaining 1991 language] [emphasis added]).

The Model UCC's official commentary explains that under the new language:

“[i]f the bank supplies its customer with an image of the paid item, it complies with this standard. But a safe harbor rule is provided. The bank complies with the standard of providing ‘sufficient information’ if ‘the item is described by item number, amount, and date of payment.’ This means that the customer’s duties under [what was Model UCC 4-406 (4)] are triggered if the bank sends a statement of account complying with the safe harbor rule without returning the paid items” (Model UCC 4-406, Comment 1).

Many states have adopted some form of the revised Model UCC 4-406. Ohio and Illinois, for example, require only that a bank provide an account statement with information sufficient to identify an item paid (*see* Ohio Rev Code Ann § 1304.35 [A]; 810 Ill Comp Stat § 5/4-406 [a]). But New York has not adopted the revised Model UCC.

Banks in New York, as elsewhere, must comply in good faith with UCC 4-406 (1) to seek the protections of UCC 4-406 (4) (*see Elden v Merrill Lynch, Pierce, Fenner & Smith Inc.*, 2011 WL 1236141, *7, 2011 US Dist LEXIS 35886, *21-22 [SD NY, Mar. 30, 2011, No. 08-Civ-8738 (RJS)] [holding that bank did not send copies of the items and did not otherwise reasonably make them available, thus precluding relief under UCC 4-406 (4)]). Again, they may do this in one of three ways: supply the items to the customer with the statement of account, hold the items for the customer, or “otherwise in a reasonable manner make[] the statement and items available” (UCC 4-406 [1]). The official commentary explains that this third option is to be used only in “unusual situations” (UCC 4-406, Comment 2). But one treatise author has noted that “literal compliance with this triggering event seem[s] impossible,” and argues that the bank practice of sending or posting simple account statements should be sufficient to satisfy the requirements of section 4-406 (1) (*see* 5 Hawkland et al., Uniform Commercial Code Series § 4-406:2 at Art. 4-988, 4-992; *accord* Barkley Clark & Barbara Clark, 1 Bank Deposits, Collections and Credit Cards ¶ 10.05 [1] [a] at 10-39—10-40 [2013]).

Here, the record does not show that the drawdown requests were provided to Clemente Brothers. Absent any record evidence

or discussion in the briefs about relevant banking practice or applicable regulations on this point, we do not hold that Capital One failed to comply with section 4-406 (1) as a matter of law. But neither has the bank demonstrated its compliance with the statute. Consequently, Capital One is not entitled to summary judgment on the line-of-credit claims under UCC 4-406 (4), and, on remittal, the judgment in its favor must be amended accordingly pending further proceedings on these claims.

[2] Capital One argues in the alternative, and the lower courts also reasoned, that the wrongfully paid drawdown requests did not harm plaintiff. Capital One contends that paying the drawdown requests merely effectuated a transfer of funds from one of plaintiffs' accounts to another. But this is not an accurate description of the transactions; the funds did not come from plaintiffs' account, but from the bank itself.

The line of credit was, in effect, a pre-approved loan upon which plaintiffs could draw at will. Plaintiffs did not possess any borrowed funds or owe anything in repayment in the absence of a drawdown request. Upon such a request, Capital One would transfer funds to one of plaintiffs' accounts, interest immediately would begin to accrue and plaintiffs would be liable to repay the principal. Therefore, when Capital One wrongfully paid the drawdown requests at issue in this case, plaintiffs suffered financial harm.

B

Turning to the application of UCC 4-406 (4), the UCC permits parties to alter the provisions of article 4 by agreement (*see* UCC 4-103 [1]). The Official Comments go so far as to say that there exists a "blanket power to vary all provisions of the Article" (*id.*, Comment 2). But that power is not boundless:

"[N]o agreement can disclaim a bank's responsibility for its own lack of good faith or failure to exercise ordinary care or can limit the measure of damages for such lack or failure; but the parties may by agreement determine the standards by which such responsibility is to be measured if such standards are not manifestly unreasonable" (UCC 4-103 [1]).

The application of these limitations raises two issues: first, whether parties can vary the one-year period by agreement; we hold that they can; and second, whether shortening the one-year period to 14 days is manifestly unreasonable; we hold that it is not, at least under these facts.

The argument that modification is not allowed is that by shortening the period, the bank is “disclaiming” its obligation to act with care or that it is limiting the measure of damages for a failure to act with care in violation of UCC 4-403 (1). This argument finds some slender support in our decision in *Regatos v North Fork Bank* (5 NY3d 395 [2005]).

Regatos involved the funds transfers provisions of UCC article 4-A. Banks are liable under article 4-A for improper funds transfers, similar to how they are liable under article 4 for improperly paid items. As for funds transfers, UCC 4-A-204 (2) provides that “the obligation of a receiving bank to refund payment . . . may not otherwise be varied by agreement.”

UCC 4-A-505 contains a one-year notice period similar to that found in UCC 4-406 (4). This Court held that parties could not shorten the one-year period in UCC 4-A-505 by agreement (*Regatos*, 5 NY3d at 398-399). The Court reasoned that shortening the one-year period effectively would “var[y]” the bank’s “obligation . . . to refund payment” in violation of the plain language of UCC 4-A-204 (2) (*id.* at 402-403).

Plaintiffs would have us apply *Regatos* to this case. They rely on two Appellate Division decisions that could be read as extending the logic of *Regatos* to UCC 4-406 (*see Aikens Constr. of Rome v Simons*, 284 AD2d 946, 947 [4th Dept 2001]; *Herzog, Engstrom & Koplovitz v Union Natl. Bank*, 226 AD2d 1004, 1004-1005 [3d Dept 1996]). But this result neither follows from the provisions of article 4 nor is it desirable as a policy matter.

[3] Unlike UCC 4-A-204, UCC 4-103 (1) does not prohibit a bank from altering its obligation to refund payments made in good faith. And shortening the one-year period does not violate any of the prohibitions in UCC 4-103 (1). Capital One did not disclaim its responsibility to act with care by requiring its customer to notify it of an improperly paid item within 14 days of receiving the account statement. While shortening the period certainly affected Capital One’s liability for improperly paid items, whether paid in good faith or not, it did not exclude all liability for negligence. Nor did the modification affect the measure of damages; it merely limited the time within which plaintiffs must provide notice of the improper charge.

Courts around the country have permitted parties to shorten the one year to various periods, from as short as 14 days to more than 60 days (*see e.g. Gluck v JPMorgan Chase Bank*, 12 AD3d 305, 306 [1st Dept 2004] [60 days]; *Peters v Riggs Natl.*

Bank, N.A., 942 A2d 1163, 1168 [DC 2008] [60 days]; *Borowski v Firststar Bank Milwaukee, N.A.*, 217 Wis 2d 565, 576-580, 579 NW2d 247, 252-253 [1998] [14 days]). And the record and case law suggest that most banks do shorten the period.

To apply *Regatos*'s logic to this case would be to hold not only the 14-day period impermissible, but every other longer period used in the industry, be it 30 days or nine months. We perceive no good reason for creating such an inconsistency in the banking laws of the various states. We therefore hold that parties may modify by agreement the one-year period in UCC 4-406 (4), as long as the modification is not manifestly unreasonable.

[4] The modification in this case is not manifestly unreasonable. Clemente Brothers had numerous employees, regularly moved hundreds of thousands of dollars in and out of its operating accounts, and had the resources to make an informed decision about opening accounts at Capital One. Critically, Clemente was fully aware of the terms of the agreements with Capital One because Clemente Brothers passed a corporate resolution acknowledging its obligation to notify Capital One of any irregularities within 14 days of each statement of account.

It is not manifestly unreasonable to expect a company with numerous employees and hundreds of thousands of dollars under its control to monitor its accounts once a month, within 14 days of each statement, particularly where it has acknowledged its responsibility to do so in a corporate resolution. That expectation is all the more reasonable in this age, when customers can monitor their account transactions minute by minute online from around the world.

We stress, however, that our holding is limited to the case of a corporate entity that either is financially sophisticated or has the resources to acquire professional guidance. It could well be unreasonable for banks to use contracts of adhesion to impose an exacting 14-day limit on unsophisticated customers, small family businesses, or individual consumers, including, for example, the elderly, people suffering from certain disabilities, or others for whom the 14-day rule could be too unforgiving. These customers may lack the time, technology, or other resources to check their account statements within such a limited period every month. They are more susceptible to unforeseen events disrupting their routines or normal business operations. And it may be that banks need less protection on these accounts because the total assets held may be less than those of larger

companies. But whether it would be *manifestly* unreasonable for these customers to be subject to a 14-day notice period, as opposed to a 30- or 60-day period, is a question for a later day.

The order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion, and, as so modified, affirmed.

PIGOTT, J. (dissenting in part). Uniform Commercial Code § 4-406, titled “Customer’s Duty to Discover and Report Unauthorized Signature or Alteration,” sets forth a customer’s and bank’s respective duties concerning a customer’s statement of account. When the bank sends the customer such a statement accompanied by items paid in good faith, the customer must “exercise reasonable care and promptness to examine the statement and items to discover his unauthorized signature . . . and . . . notify the bank promptly after discovery thereof” (UCC 4-406 [1]). If the customer does not comply with that provision he or she is precluded from asserting against the bank: A customer is not precluded from asserting against a bank an unauthorized signature under subsection (2), however, “if the customer establishes lack of ordinary care on the part of the bank in paying the item(s)” (UCC 4-406 [3]). UCC 4-406 (4) prescribes a one-year time limit on a customer to make a claim against a bank for its payment of an altered or forged paper irrespective of whether the bank exercised ordinary care.

“(a) his unauthorized signature or any alteration on the item if the bank also establishes that it suffered a loss by reason of such failure; and

“(b) an unauthorized signature or alteration by the same wrongdoer on any other item paid in good faith by the bank after the first item and statement was available to the customer for a reasonable period not exceeding fourteen calendar days and before the bank receives notification from the customer of any such unauthorized signature or alteration” (UCC 4-406 [2] [a], [b]).

Plaintiff claims that Capital One had notice of defendant Hafner-Milazzo’s predisposition to commit illegal acts and failed to exercise ordinary care. By boilerplate resolution, however, the bank claims to have reduced the time under which the plaintiff could assert such a lack of ordinary care from one year to the

same 14-day time period as set forth in section 4-406 (2), effectively repealing section 4-406 (4) as it applies to its customers. The majority finds this reasonable, relying on UCC 4-103 (1), which provides, as relevant here, that UCC article 4's provisions "may be varied by agreement" with the caveat "that no agreement can disclaim a bank's responsibility *for its own lack of good faith or failure to exercise ordinary care* or can limit the measure of damages for such lack or failure; but the parties may by agreement determine the *standards* by which such responsibility is to be measured if such standards are not manifestly unreasonable" (emphasis supplied).

In my view, because section 4-406 (4) clearly imposes a one-year limitation on claims involving a bank's "failure to exercise ordinary care," the time period cannot be changed by agreement. To be sure, there may be a variation in standards by which a bank's responsibility is to be measured (so long as such standards are not manifestly unreasonable), but the one-year limitation remains.

The majority claims that the shortening of the period resulted in a limitation of liability, and reduced only plaintiff's time to provide notice of the improper charge (majority op at 288). That is mere semantics, however, because the overall effect of the time reduction is to eliminate plaintiff's opportunity to assert, after the 14-day period had passed (but before the one-year time period had elapsed) that Capital One had failed to exercise ordinary care and, consequently, recover damages as a result of that negligence. The shortening of the time period works a de facto disclaimer of liability, which is prohibited under section 4-103 (1).

It is my view that just as the customer and bank in *Regatos v North Fork Bank* (5 NY3d 395 [2005]) were prohibited from modifying by contract the one-year statute of repose set forth in UCC 4-A-505*—which grants a customer one year to notify the bank of an unauthorized wire transfer—plaintiff and Capital

* UCC 4-A-505, titled, "Preclusion of Objection to Debit of Customer's Account," provides that

"[i]f a receiving bank has received payment from its customer with respect to a payment order issued in the name of the customer as sender and accepted by the bank, and the customer received notification reasonably identifying the order, the customer is precluded from asserting that the bank is not entitled to retain the payment unless the customer notifies the bank of the customer's objection to the payment within one year after the notification was received by the customer."

One were prohibited from contractually shortening section 4-406 (4)'s one-year time limitation. In *Regatos*, the bank received two unauthorized funds transfers totaling \$600,000 and, in violation of the agreed security procedures, transferred the funds from the customer's account. When the customer notified the bank of the unauthorized transfers five months later, the bank refused to refund the money, relying on the account agreement's provision that the customer was to notify the bank of "any unauthorized signature or alteration" within 15 days (see *Regatos*, 5 NY3d at 399-400). Relying on UCC 4-A-204 (1)'s language that a "bank is not entitled to any recovery from the customer on account of a failure by the customer to give notification as stated in this section," we concluded that the bank had an obligation to refund the principal so long as notice was given within one year as required by section 4-A-505 (*id.* at 402-403). We explained that the policy behind UCC article 4-A was to encourage financial institutions "to adopt appropriate security procedures," and that allowing them "to vary the notice period by agreement would reduce the effectiveness of the statute's one-year period of repose as an incentive for banks to create and follow security procedures" (*id.* at 402).

Likewise, UCC article 4 imposes upon a bank the obligation to act with ordinary care, which required Capital One to follow commercially reasonable security procedures to ensure it was not making payments on unauthorized checks. A reduction in the one-year period to 14 days provides little, if any, incentive for a bank to act with ordinary care. And, of course, a bank's obligation to exercise ordinary care may not be varied by agreement (see *Aikens Constr. of Rome v Simons*, 284 AD2d 946, 947 [4th Dept 2001]; *Herzog, Engstrom & Koplovitz v Union Natl. Bank*, 226 AD2d 1004, 1005 [3d Dept 1996]). But that is precisely what the corporate resolution does in this case. Prior to today, our courts have never sanctioned such a practice.

The majority approach has at least two significant drawbacks. First, it impairs the incentive the authors of UCC article 4 created for banks to exercise ordinary care in the payment of items. Second, it seems to make the outcome of cases depend upon whether the customer is a Fortune 500 company, a medium-sized one (this plaintiff is no corporate giant), a small one, or an individual. It would be better to interpret the statute in a way that obviates the need for a court to analyze whether the customer was "financially sophisticated," possessed "the resources to acquire professional guidance," was a "small family

business” or an “elderly” individual (majority op at 289) because the rule would apply to every type of consumer. The rule proposed by the majority provides less certainty and will create more litigation because it doesn’t apply to everyone in like fashion. The fact that the majority is concerned that financial institutions will “use contracts of adhesion to impose” what it acknowledges is “an *exacting 14-day limit* on unsophisticated consumers” (majority op at 289 [emphasis supplied]) only underscores why customers and banks should not be permitted to contractually reduce section 4-406 (4)’s one-year limitation period.

Accordingly, I respectfully dissent from that part of the majority holding that a customer and bank may contractually reduce section 4-406 (4)’s one-year limitations period.

Judges GRAFFEO, READ, RIVERA and ABDUS-SALAAM concur with Chief Judge LIPPMAN; Judge PIGOTT dissents in part in an opinion in which Judge SMITH concurs.

Order modified, without costs, by remitting to Supreme Court, Suffolk County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[14 NE3d 354, 991 NYS2d 1]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent-Appellant,
v V. REDDY KANCHARLA, Appellant-Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent-Appellant,
v VINCENT BARONE, Appellant-Respondent.

Argued March 26, 2014; decided May 8, 2014

SUMMARY

CROSS APPEALS, in the first above-entitled action, by permission of Justices of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 27, 2012. The Appellate Division (1) modified, on the law and the facts, a judgment of the Supreme Court, New York County (Edward J. McLaughlin, J.), which had convicted defendant, upon a jury verdict, of enterprise corruption, scheme to defraud in the first degree (two counts), offering a false instrument for filing in the first degree (nine counts) and falsifying business records in the first degree (three counts), and (2) remitted the matter to Supreme Court for further proceedings pursuant to CPL 460.50 (5). The modification consisted of vacating the convictions for enterprise corruption and offering a false instrument for filing under counts 12 and 13 as originally numbered in the indictment. The Appellate Division affirmed the judgment as modified.

CROSS APPEALS, in the second above-entitled action, by permission of Justices of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 27, 2012. The Appellate Division modified, on the law and the facts, a judgment of the Supreme Court, New York County (Edward J. McLaughlin, J.), which had convicted defendant, upon a jury verdict, of enterprise corruption, attempted grand larceny in the third degree, scheme to defraud in the first degree (two counts) and offering a false instrument for filing in the first degree (nine counts). The modification consisted of vacating the conviction for enterprise corruption. The Appellate Division affirmed the judgment as modified.

People v Kancharla, 101 AD3d 585, modified.

People v Barone, 101 AD3d 585, modified.

HEADNOTES

Crimes — Enterprise Corruption — Participation in Criminal Enterprise — Sufficiency of Evidence — Proper Legal Standard

1. In the prosecution of defendants, the president and a vice-president of a materials testing company who allegedly committed or allowed employees to

engage in illegal acts involving falsification of test results, improper inspections of construction projects and double-billing, the Appellate Division did not apply the proper legal standards when it reviewed the sufficiency of defendants' enterprise corruption convictions. Penal Law article 460 outlaws participation in a "criminal enterprise," defined as "a group of persons sharing a common purpose of engaging in criminal conduct, associated in an ascertainable structure distinct from a pattern of criminal activity, and with a continuity of existence, structure and criminal purpose beyond the scope of individual criminal incidents" (§ 460.10 [3]). Enterprise corruption requires a showing of patterns of conduct demonstrably designed to achieve the purposes and promote the interests of organized, structurally distinct criminal entities and demands proof of an association possessing constancy and capacity exceeding the individual crimes committed under the association's auspices or for its purposes. Direct proof of communications, planning or concerted activity between the actors is not essential to a legally sufficient case of enterprise corruption. Here, the Appellate Division concluded that the People failed to introduce evidence of a leadership structure, overall planning of the criminal enterprise, or any communications between the defendants and any of the company's employees in furtherance of the criminal purpose. Those determinations were erroneous as a matter of law.

Crimes — Enterprise Corruption — Participation in Criminal Enterprise — Sufficiency of Evidence

2. In the prosecution of defendants, the president and a vice-president of a materials testing company who allegedly committed or allowed employees to engage in illegal acts involving falsification of test results, improper inspections of construction projects and double-billing, the evidence was legally sufficient to support the convictions for enterprise corruption. Penal Law article 460 outlaws participation in a "criminal enterprise," defined as "a group of persons sharing a common purpose of engaging in criminal conduct, associated in an ascertainable structure distinct from a pattern of criminal activity, and with a continuity of existence, structure and criminal purpose beyond the scope of individual criminal incidents" (§ 460.10 [3]). Enterprise corruption requires patterns of conduct demonstrably designed to achieve the purposes and promote the interests of organized, structurally distinct criminal entities and demands proof of an association possessing constancy and capacity exceeding the individual crimes committed under the association's auspices or for its purposes. Officers and employees of a legitimate business can fall within the ambit of article 460. Here, the company had a distinct hierarchical apparatus. The offenses were perpetrated within the company's operations in conjunction with five interrelated illegal schemes covering hundreds of construction projects. Defendants could reasonably be viewed as engaging in the offenses with the common purpose of promoting the company's status as a major laboratory and to increase profits, even if the ill-gotten gains were only a small portion of overall revenue. While direct proof of communications, planning or concerted activity between the actors was not essential, the president's admission that he provided signed and stamped reports to be fraudulently certified by an employee and proof of the vice-president's altering of test results or directing others to do so allowed the jury to infer that defendants were aware of, participated in and directed others to commit crimes in furtherance of the company's objectives.

Crimes — Enterprise Corruption — Participation in Criminal Enterprise — Weight of Evidence — Proper Legal Standard

3. In the prosecution of defendants, the president and a vice-president of a materials testing company who allegedly committed or allowed employees to

engage in illegal acts involving falsification of test results, improper inspections of construction projects and double-billing, the Appellate Division did not apply the proper legal standards when it concluded that, based on its review of the “law and the facts,” defendants’ enterprise corruption convictions were against the weight of the evidence. Penal Law article 460 outlaws participation in a “criminal enterprise,” defined as “a group of persons sharing a common purpose of engaging in criminal conduct, associated in an ascertainable structure distinct from a pattern of criminal activity, and with a continuity of existence, structure and criminal purpose beyond the scope of individual criminal incidents” (§ 460.10 [3]). Enterprise corruption requires a showing of patterns of conduct demonstrably designed to achieve the purposes and promote the interests of organized, structurally distinct criminal entities and demands proof of an association possessing constancy and capacity exceeding the individual crimes committed under the association’s auspices or for its purposes. Direct proof of communications, planning or concerted activity between the actors is not essential to a legally sufficient case of enterprise corruption. Here, the Appellate Division concluded that the People failed to introduce evidence of a leadership structure, overall planning of the criminal enterprise, or any communications between the defendants and any of the company’s employees in furtherance of the criminal purpose. Those determinations were erroneous as a matter of law and the Appellate Division should reassess its weight of the evidence determination under the applicable statutory standards.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Appellate Review §§ 627, 635; AM JUR 2d, Extortion, Blackmail, and Threats § 207.
MCKINNEY’S, Penal Law art 460; § 460.10 (3).
NY JUR 2d, Criminal Law: Procedure §§ 3602–3604; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 355, 356, 358.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Enterprise Liability.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: enterprise /2 corruption & standard /s review! & sufficiency

POINTS OF COUNSEL

Zuckerman Spaeder LLP, New York City (*Paul Shechtman* and *Christina P. Skinner* of counsel), and *Harris Beach PLLC*, White Plains (*William A. Wetzel* of counsel), for appellant in the first above-entitled action. I. The spillover prejudice from the

enterprise corruption charge denied V. Reddy Kancharla a fair trial on the remaining counts. (*People v Morales*, 20 NY3d 240; *People v Colletti*, 73 AD3d 1203; *United States v Tellier*, 83 F3d 578; *People v Baghai-Kermani*, 84 NY2d 525; *United States v Rooney*, 37 F3d 847; *United States v Bruno*, 383 F3d 65; *United States v Pelullo*, 14 F3d 881; *United States v De Cavalcante*, 440 F2d 1264; *People v Castillo*, 47 NY2d 270; *United States v Guiliano*, 644 F2d 85.) II. There was insufficient evidence that V. Reddy Kancharla participated in a scheme to defraud relating to steel inspections. (*People v Rayam*, 94 NY2d 557.) III. The court erred in excluding evidence supporting V. Reddy Kancharla's defense on the mix-design counts. (*People v Kisina*, 14 NY3d 153; *United States v Seelig*, 622 F2d 207; *United States v Christo*, 614 F2d 486; *United States v Riley*, 550 F2d 233; *People v Gilman*, 28 Misc 3d 1217[A], 2010 NY Slip Op 51379[U].)

Lankler Carragher & Horwitz LLP, New York City (Andrew M. Lankler and Joseph C. Perry of counsel), for appellant in the second above-entitled action. I. The prejudicial spillover effect of the tainted enterprise corruption count deprived Vincent Barone of a fair trial because there can be no doubt that the jury's decision to convict on the tainted count unduly influenced its guilty verdict on the remaining counts. (*People v Baghai-Kermani*, 84 NY2d 525; *People v Morales*, 20 NY3d 240; *People v Concepcion*, 17 NY3d 192; *People v Doshi*, 93 NY2d 499; *United States v Tellier*, 83 F3d 578; *United States v DiNome*, 954 F2d 839; *People v Colletti*, 73 AD3d 1203.) II. The risk of spillover prejudice was exacerbated by the trial court's erroneous comments and rulings. (*People v Ciccio*, 47 NY2d 431; *People v Carter*, 40 NY2d 933; *People v Malloy*, 55 NY2d 296; *People v O'Rama*, 78 NY2d 270; *People v Arnold*, 98 NY2d 63; *People v Yut Wai Tom*, 53 NY2d 44; *People v Moulton*, 43 NY2d 944; *People v De Jesus*, 42 NY2d 519; *People v Tucker*, 89 AD2d 153.)

Cyrus R. Vance, Jr., District Attorney, New York City (Amy-jane Rettew, Daniel R. Alonso, Hilary Hassler and Gina Mignola of counsel), for respondent in the first and second above-entitled actions. I. Contrary to the views expressed in Justice Catterson's majority opinion, the evidence was legally sufficient to establish that Vincent Barone and V. Reddy Kancharla were guilty of enterprise corruption. (*People v Hampton*, 21 NY3d 277; *People v Calabria*, 3 NY3d 80; *People v Giles*, 73 NY2d 666; *People v Mackell*, 40 NY2d 59; *People v D'Alessandro*, 13 NY3d 216; *People v Albro*, 52 NY2d 619; *People v Washington*, 71 NY2d 916; *People v Khan*, 18 NY3d 535; *People v Western Express*

Intl., Inc., 19 NY3d 652; *People v McFadden*, 106 AD3d 1020.) II. The Appellate Division correctly concluded that the underlying counts against the defendants should be affirmed. (*People v Doshi*, 93 NY2d 499; *People v Baghai-Kermani*, 84 NY2d 525; *People v Morales*, 20 NY3d 240; *People v Concepcion*, 17 NY3d 192; *People v Sinha*, 19 NY3d 932; *People v Daly*, 14 NY3d 848; *United States v Bruno*, 383 F3d 65; *United States v Rooney*, 37 F3d 847; *United States v Jones*, 482 F3d 60; *United States v Hamilton*, 334 F3d 170.) III. The evidentiary rulings connected to the mix-design counts were proper. (*People v Goodman*, 31 NY2d 262; *People v Kisina*, 14 NY3d 153; *Smith v United States*, 188 F2d 969; *United States v Brookshire*, 514 F2d 786; *Burnett v United States*, 222 F2d 426; *Newton v Merrill, Lynch, Pierce, Fenner & Smith, Inc.*, 135 F3d 266; *United States v Seelig*, 622 F2d 207; *United States v Riley*, 550 F2d 233; *United States v Christo*, 614 F2d 486; *People v Gilman*, 28 Misc 3d 1217[A], 2010 NY Slip Op 51379[U].) IV. There was overwhelming evidence that Vincent Barone tampered with Testwell Laboratories, Inc.'s test data. V. The evidence amply proved that the defendants each intentionally aided in the steel inspection scheme. (*People v Alfaro*, 66 NY2d 985; *People v Satloff*, 56 NY2d 745; *People v Stahl*, 53 NY2d 1048; *People v Tucker*, 55 NY2d 1; *People v Rayam*, 94 NY2d 557; *Dunn v United States*, 284 US 390; *People v Horne*, 97 NY2d 404.) VI. The three judicial comments Vincent Barone attacks could not have influenced the jury's verdict. (*People v Killgo*, 33 AD2d 226; *People v Charleston*, 56 NY2d 886; *People v Moulton*, 43 NY2d 944; *People v Yut Wai Tom*, 53 NY2d 44.) VII. The court provided a meaningful response to the jury's note about the crime of false filing. (*People v O'Rama*, 78 NY2d 270; *People v Weinberg*, 83 NY2d 262; *People v Steinberg*, 79 NY2d 673; *People v Malloy*, 55 NY2d 296; *People v Santi*, 3 NY3d 234; *People v Almodovar*, 62 NY2d 126; *People v Torres*, 8 AD3d 123; *People v Washington*, 35 AD3d 288; *People v Overlee*, 236 AD2d 133; *People v Lugo*, 81 AD3d 532.)

OPINION OF THE COURT

GRAFFEO, J.

We are asked in these appeals whether the Appellate Division applied the correct legal standard when it reviewed the sufficiency and weight of the evidence supporting defendants' convictions for enterprise corruption (Penal Law art 460). We hold that the Appellate Division did not properly consider the elements of the crime under *People v Western Express Intl., Inc.* (19 NY3d 652 [2012]), that the trial evidence sufficiently

established defendants' commission of enterprise corruption and that the Appellate Division should reassess its weight of the evidence determination under the applicable statutory standards.

I

Construction contractors in New York City often hire licensed testing firms to ascertain proper compliance with building code provisions due to the stringent nature of those regulations (*see* Administrative Code of City of NY § 28-701.1 *et seq.*) and the limited resources of the City's Department of Buildings. One such compliance firm was Testwell Laboratories, Inc., a leading materials testing company operating in the metropolitan area. Defendant V. Reddy Kancharla, a professional engineer, served as Testwell Laboratories' president and chief executive officer. Defendant Vincent Barone was a company vice-president in charge of the corporation's engineering department.

A grand jury charged defendants and others with engaging in a pattern of criminal activity while intentionally conducting and participating in the affairs of a criminal enterprise—referred to as the “Testwell Group”—consisting of Testwell Laboratories, Inc., and a number of its officers and employees. The indictment alleged that defendants committed or allowed certain of the corporation's employees to engage in a multitude of illegal acts involving the falsification of test results, improper inspections of construction projects and double-billing of clients. Those offenses were grouped under distinct, but interrelated, criminal schemes related to five categories of Testwell Laboratories' material testing services: (1) “Mix-Design”; (2) “Steel Inspections”; (3) “Certified Inspectors”; (4) “Field Tests”; and (5) “Compressive/Flexural Strength Alterations.”

The essence of the “mix-design” scheme was that Testwell Laboratories would be retained by contractors or project owners to test and determine the strength of proposed concrete mixtures used at various construction sites. Instead of engaging in appropriate laboratory testing of the concrete samples, it was alleged that Testwell Laboratories merely used a mathematical formula to replace actual analysis and then issued reports falsely certifying that the results were based on legitimate test results. Those reports bore Kancharla's signature and engineer's stamp, and their falsity became obvious since Testwell Laboratories charged far less (\$300 or \$500) for those reports than it ordinarily billed when concrete was analyzed with laboratory

testing (approximately \$4,000). Furthermore, different reports, created months apart, displayed improbably similar results with distinct patterns, and some reports were generated within days of being ordered despite the fact that the building code mandated longer intervals between sequential tests. Testwell Laboratories also designed a computer program that automatically generated figures for concrete strength after a desired final result was specified. In the course of the criminal investigation—in which Testwell Laboratories' laboratory director cooperated with the People—scores of blank mix-design reports were discovered that were pre-signed by Kancharla and bore his seal. Kancharla acknowledged wrongdoing, but claimed that he committed regulatory violations of the building code rather than criminal offenses.

The “steel inspections” plot was premised on evidence that Testwell Laboratories failed to properly conduct steel inspections according to the code since it assigned two agents to multiple construction projects that they could not possibly have inspected on a full-time basis without additional assistance. Investigators found that neither inspector was in attendance at a steel fabrication facility and mandatory inspection records were not maintained.

The charges pertaining to “certified inspectors” arose from a school construction project in Queens. Testwell Laboratories falsely certified that two of its employees had proper professional certifications to test concrete as it was being poured. The related “field tests” category involved false confirmations that Testwell Laboratories had performed various concrete tests at two construction sites.

Finally, the adequacy of laboratory testing of concrete was the focus of the “compressive/flexural strength alterations” allegations. The building code mandates that concrete being poured must be collected and formed into cylinders (for compressive testing) or beams (for flexural testing), which are then brought to a laboratory for scientific analysis of actual strength. A Testwell Laboratories computer system was programmed to permit certain employees to engage in the alteration of testing data. The program hid the employees' identities and issued warnings if inputted data did not generate an acceptable concrete strength. Company staff notified Barone or another Testwell Laboratories' supervisor when such alerts were received and Barone would instruct data entry personnel to change the computations. Investigators discovered facsimile

messages from Barone that listed hundreds of numerical changes and a technician who participated in the fraud cooperated with the prosecution. In total, investigators determined that data had been altered several thousand times on more than 100 different construction projects.

In connection with these alleged illegal activities, Kancharla and Barone were tried jointly before a jury on 50 counts that included a charge that they were members of the Testwell Group “criminal enterprise” under article 460 of the Penal Law. In support of that offense, Kancharla was charged with committing various criminal “pattern acts” while participating in the schemes involving mix design, steel inspections and certified inspectors; Barone was charged with multiple offenses for his alleged involvement in the schemes for steel inspections, compressive/flexural strength alterations, and certified inspectors.¹ Kancharla was ultimately found guilty of enterprise corruption, all 13 mix-design counts and one steel inspections count.² Barone was likewise convicted of enterprise corruption, along with five crimes under the compressive/flexural strength alterations scheme; seven offenses for the steel inspections scheme; and the certified inspectors scheme as a pattern act for enterprise corruption.³ Kancharla was sentenced to an aggregate prison term of 7 to 21 years and Barone received a 5¹/₃-to-16-year aggregate sentence.

The Appellate Division modified by vacating the enterprise corruption convictions and reducing the sentences for both defendants in the interest of justice to 1¹/₃ to 4 years (101 AD3d 585 [1st Dept 2012]).⁴ It concluded that the enterprise corruption convictions lacked sufficient proof and were against the weight of the evidence because “the People failed to produce any evidence that either defendant knew that test results and

1. The certified inspectors scheme was charged as a “pattern act” for enterprise corruption because it occurred in Queens County and the New York County grand jury therefore lacked geographical jurisdiction to indict defendants on specific crimes pertaining to that scheme.

2. Specifically, Kancharla was convicted of enterprise corruption, two counts of scheme to defraud in the first degree, nine counts of offering a false instrument for filing in the first degree and three counts of falsifying business records in the first degree.

3. The jury found that Barone committed enterprise corruption, attempted grand larceny in the third degree, two counts of scheme to defraud in the first degree and nine counts of offering a false instrument for filing in the first degree.

4. The court also vacated two counts of offering a false instrument for filing against Kancharla. The propriety of that ruling is not at issue on appeal.

inspection reports were fabricated, much less that the defendants spearheaded a criminal enterprise” (*id.* at 587). The court also found that the prosecution did not establish “a leadership structure, overall planning of the criminal enterprise, or any communications . . . in furtherance of the criminal enterprise” (*id.* at 592). The Appellate Division rejected defendants’ challenges to the non-enterprise corruption offenses. One Justice dissented and would have affirmed the enterprise corruption convictions; another Justice dissented and would have ordered a new trial on all of the remaining non-enterprise corruption counts. Both parties were granted leave to appeal to our Court.

II

Our primary concern in this appeal focuses on the enterprise corruption convictions. The People argue that the Appellate Division did not apply the proper legal standard for criminal enterprises in reviewing the sufficiency and weight of the evidence supporting the jury’s verdict. More particularly, the People assert that the Appellate Division vacated the convictions based on a misunderstanding of Penal Law article 460 and *People v Western Express Intl., Inc.* (19 NY3d 652 [2012]). Defendants, in contrast, ask us to dismiss the cross appeal on jurisdictional grounds because they believe that the Appellate Division examined the correct legal rules and decided only questions of fact.

Sufficiency and weight review are distinct concepts. To determine whether a verdict was based on sufficient proof, a court must “marshal competent facts most favorable to the People and determine whether, as a matter of law, a jury could logically conclude that the People sustained [their] burden of proof” (*People v Danielson*, 9 NY3d 342, 349 [2007]). Evidence of guilt is legally sufficient if the facts, viewed in the light most favorable to the People, provide a valid line of reasoning and permissible inferences from which the finder of fact could have rationally concluded that the elements of the crime were established beyond a reasonable doubt (*see e.g. id.*; *People v Heidgen*, 22 NY3d 259, 277 [2013]; *People v Delamota*, 18 NY3d 107, 113 [2011]).

A legally sufficient verdict, however, may be against the weight of the evidence (*see People v Danielson*, 9 NY3d at 349). Unlike a sufficiency analysis, weight of the evidence review requires an intermediate appellate court to act, in effect, as a second jury (*see People v Romero*, 7 NY3d 633, 644 n 2 [2006])

by rendering its own determination of the facts as proved at trial “in light of the elements of the crime as charged to the other jurors, even when the law has changed between the time of trial and the time of appeal” (*People v Danielson*, 9 NY3d at 349). In according “[g]reat deference . . . to the fact-finder’s opportunity to view the witnesses, hear the testimony and observe demeanor” (*People v Bleakley*, 69 NY2d 490, 495 [1987]), the reviewing court must

“first . . . determine whether an acquittal would not have been unreasonable. If so, the court must weigh conflicting testimony, review any rational inferences that may be drawn from the evidence and evaluate the strength of such conclusions. Based on the weight of the credible evidence, the court then decides whether the jury was justified in finding the defendant guilty beyond a reasonable doubt” (*People v Danielson*, 9 NY3d at 348, citing *People v Crum*, 272 NY 348 [1936]; see e.g. *People v Mateo*, 2 NY3d 383, 410 [2004], cert denied 542 US 946 [2004]).

This standard generally requires factual assessments that are within the exclusive province of the intermediate appellate courts (see CPL 470.15 [5]; see e.g. *People v Rayam*, 94 NY2d 557, 560 [2000]). Consequently, we cannot review a weight of the evidence challenge unless the intermediate appellate court manifestly failed to consider the issue or did so using an incorrect legal principle (see e.g. *People v Romero*, 7 NY3d at 646). Where the court below erred as a matter of law, the remedy is to reverse and remit for a proper assessment of the weight of the evidence (see *People v Danielson*, 9 NY3d at 349-350; *People v Romero*, 7 NY3d at 646).

III

Our evaluation of the sufficiency of the enterprise corruption convictions begins with the relevant Penal Law provisions. The “Organized Crime Control Act” (Penal Law art 460) was created in 1986 (see L 1986, ch 516) “to address the particular and cumulative harm posed by persons who band together in complex criminal organizations” (*People v Besser*, 96 NY2d 136, 142 [2001]). It outlawed participation in a “criminal enterprise,” defined as “a group of persons sharing a common purpose of engaging in criminal conduct, associated in an ascertainable structure distinct from a pattern of criminal activity, and with a

continuity of existence, structure and criminal purpose beyond the scope of individual criminal incidents” (Penal Law § 460.10 [3]).

We addressed the concept of enterprise corruption in *People v Western Express Intl., Inc.* (19 NY3d 652 [2012]). In that case, the corporation was controlled by a defendant who maintained a website providing a medium for other defendants to independently purchase or sell stolen credit card information. Based on the text of the enterprise corruption statutes, we observed that it is “necessary to distinguish between . . . mere[] patterns of criminal conduct and . . . patterns of such conduct demonstrably designed to achieve the purposes and promote the interests of organized, structurally distinct criminal entities” (*id.* at 658). Only the second situation is encompassed within Penal Law article 460 because the crime of enterprise corruption “demand[s] proof of an association possessing a continuity of existence, criminal purpose, and structure—which is to say, of constancy and capacity exceeding the individual crimes committed under the association’s auspices or for its purposes” (*id.*). We found the proof of guilt to be insufficient in *Western Express* because there was no “structured, purposeful criminal organization” or “inference of a distinct, beneficially related criminal enterprise” (*id.* at 659).

[1] In this case, the Appellate Division did not apply the proper legal standards when it reviewed the sufficiency of defendants’ enterprise corruption convictions. It concluded that “the People failed to introduce any evidence of a leadership structure, overall planning of the criminal enterprise, or any communications between Kancharla, Barone, and any of the Testwell employees in furtherance of the criminal enterprise” (101 AD3d at 592). Those determinations were erroneous as a matter of law.

Testwell Laboratories itself was a corporate entity that had a distinct hierarchical apparatus with Kancharla positioned as its leader and manager. Corporate officers and employees of a legitimate business organization can fall within the ambit of the enterprise corruption statutes (*see* Penal Law § 460.20 [3]; Governor’s Mem approving L 1986, ch 516, 1986 McKinney’s Session Laws of NY at 3177 [Penal Law article 460 was designed to encompass “a criminal group existing and operating within (a) legitimate enterprise”]). Here, the People demonstrated adequately that the Testwell Group had a “continuity of existence, criminal purpose and structure . . . exceeding the

individual crimes committed under the association's auspices or for its purposes" (*People v Western Express Intl., Inc.*, 19 NY3d at 658). The offenses were perpetrated in conjunction with five interrelated illegal schemes that covered hundreds of construction projects. And the operations of the corporation established the necessary continuity beyond the individual criminal offenses. In this regard, *Western Express* is clearly distinguishable from the facts presented here because the persons involved in that scheme were ad hoc operators who used the defendant corporation's website as a medium to independently traffic in stolen credit card information with "no hint that any of the market participants acted except for and according to their own particular interests" (*id.* at 659). In contrast, the members of the Testwell Group can reasonably be viewed as engaging in their illicit and fraudulent activities within Testwell Laboratories' existing corporate structure with the common purpose to promote its status as a major metropolitan materials testing laboratory and increase profits, despite the fact that the ill-gotten gains comprised only a small portion of the company's overall revenue.

The Appellate Division further observed that there was no direct evidence of communications, planning or concerted activity between the Testwell Group actors. Direct proof of this nature, however, is not essential to a legally sufficient case of enterprise corruption. To the contrary, the overall pattern of criminal activity and the involvement of various individuals at all levels of Testwell Laboratories' corporate structure allowed the jury to infer that Kancharla and Barone, as high-level corporate officers, were aware of, participated in and directed others to commit crimes in furtherance of the Testwell Group's objectives. Indeed, Kancharla admitted that he personally provided blank mix-design reports bearing his signature and engineer's stamp so that concrete strength could be fraudulently certified by another company employee using a mathematical formula instead of performing actual tests in the laboratory. Barone, in turn, attempted to conceal those falsehoods with additional fraud—altering testing results so it would appear consistent with acceptable, expected results. When Barone did not do so personally, he directed others to falsify the data, and company employees used a computer program designed to hide the identity of the individuals inputting the fake data and warn them if true information had already been conveyed to clients of Testwell Laboratories. Nor did defendants have to be privy to

every crime or scheme committed by the Testwell Group—it was enough that they were aware of the general structure of the enterprise, had knowledge of the overarching criminal design, and engaged in a requisite pattern of criminal activity (see *e.g.* Penal Law § 460.10 [3], [4]).

[2] In sum, there was a valid line of reasoning and permissible inferences (see *e.g.* *People v Heidgen*, 22 NY3d at 277; *People v Delamota*, 18 NY3d at 113) from which the jury could have rationally concluded that defendants operated the Testwell Group and participated in its illegal activities in a manner that satisfies the definition of a “criminal enterprise.” The People’s evidence was therefore legally sufficient to support the enterprise corruption convictions.

IV

[3] The Appellate Division alternatively concluded that, based on its review of the “law and the facts,” the findings of guilt were against the weight of the evidence. Looking beyond that assertion (see *People v D’Alessandro*, 13 NY3d 216, 218-219 [2009]; *People v Giles*, 73 NY2d 666, 670 [1989]), however, it is evident that the court’s weight of the evidence analysis was infected by the same error of law that led it to vacate the enterprise corruption convictions on sufficiency grounds.⁵ The Appellate Division should therefore reconsider its determination under the appropriate legal standards (see Penal Law § 460.00 *et seq.*; *People v Western Express Intl., Inc.*, 19 NY3d 652 [2012]). In light of our conclusion, it is unnecessary to address defendants’ remaining contentions at this juncture.

Accordingly, the order of the Appellate Division should be modified by remitting the cases to that court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

In each case: Order modified by remitting to the Appellate Division, First Department, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

5. For this reason, the People’s appeal satisfies the requisites of CPL 450.90 (2) (a).

[15 NE3d 274, 991 NYS2d 519]

CDR CRÉANCES S.A.S., as Successor to SOCIÉTÉ DE BANQUE OC-
CIDENTALE, Respondent, v MAURICE COHEN, Appellant, et
al., Defendants.

CDR CRÉANCES S.A.S., as Successor to SOCIÉTÉ DE BANQUE OC-
CIDENTALE, Respondent, v LEON COHEN, Also Known as
LEON LEVY and Others, et al., Appellants, et al., Defend-
ants.

Argued March 27, 2014; decided May 8, 2014

SUMMARY

APPEAL, in the two above-entitled actions, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 27, 2012. The Appellate Division (1) affirmed a judgment of the Supreme Court, New York County (O. Peter Sherwood, J.), which had awarded plaintiff the principal sum of \$135,359,331.39, together with prejudgment interest from July 12, 2007; (2) dismissed, as subsumed in the appeal from the judgment, appeals from (a) an order of that court (James A. Yates, J.; op 2011 NY Slip Op 33636[U] [2011]), which had, after a hearing, granted plaintiff's motion to strike the answers of defendants Maurice Cohen, Leon Cohen, Sonia Cohen, Robert Maraboeuf and Allegria Aich and enter a default judgment against them, and (b) the resettled order of that court (O. Peter Sherwood, J.), which had directed that judgment be entered in plaintiff's favor; and (3) dismissed, as abandoned, the appeal from an order of that court (O. Peter Sherwood, J.), which had granted plaintiff interim relief.

CDR Créances S.A.S. v Cohen, 104 AD3d 17, modified.

HEADNOTES

**Disclosure — Penalty for Failure to Disclose — Striking Pleadings
and Entering Default Judgment — Fraud on Court — Evidentia-
ry Standard**

1. Where a court finds, by clear and convincing evidence, conduct that constitutes fraud on the court, the court may impose sanctions, including striking pleadings and entering default judgment against the offending parties to ensure the continuing integrity of the judicial system. If the credibility of court orders and the integrity of the judicial system are to be maintained, a litigant cannot ignore court orders with impunity. A trial court has discretion to strike pleadings under CPLR 3126 when a party's repeated noncompliance with court orders for disclosure is dilatory, evasive, obstructive and ultimately contumacious. In addition, a court has inherent power to address actions

which are meant to undermine the truth-seeking function or the integrity of the judicial system. Fraud on the court involves wilful conduct that is deceitful and obstructionist, which injects misrepresentations and false information into the judicial process so serious that it undermines the integrity of the proceeding. In order to demonstrate fraud on the court, the nonoffending party must establish by clear and convincing evidence that the offending party has acted knowingly in an attempt to hinder the factfinder's fair adjudication of the case and his or her adversary's defense of the action. A court must be persuaded that the fraudulent conduct, which may include proof of fabrication of evidence, perjury, and falsification of documents, concerns issues that are central to the truth-finding process. In such a case, it can fairly be said that the offending party has forfeited the right to have the claim decided on the merits. However, dismissal is not appropriate where the fraud is not central to the substantive issues in the case or where the court is presented with an isolated instance of perjury which fails to constitute a fraud upon the court. Where a court finds that a party has committed fraud on the court warranting dismissal, the court should note why lesser sanctions would not suffice to correct the offending behavior.

Disclosure — Penalty for Failure to Disclose — Striking Pleadings and Entering Default Judgment as Sanction for Committing Fraud on Court

2. In litigation seeking to recover payment on a loan agreement, in which plaintiff bank alleged that defendants father and son conspired to avoid repayment by denying ownership and control over entities used to conceal the converted funds, the courts below did not err in striking defendants' answers and entering a default judgment against defendants father, son, the former chief executive officer of the company that entered into the agreement, and an officer of a corporation to which funds were diverted, based on findings that they committed a fraud on the court. A court that finds, by clear and convincing evidence, conduct that constitutes a fraud on the court may impose sanctions, including striking pleadings and entering default judgment against the offending parties to ensure the continuing integrity of the judicial system. Here, the record revealed numerous instances of perjury, subornation of perjury, witness tampering and falsification of documents by defendants, all in furtherance of hiding the father's and son's connections to the alleged theft and concealing the location of funds. Particularly, the father and son provided witnesses with scripts with false answers to give at their depositions. The scripts revealed that the former chief executive officer lied about his role in the company and his relationship with the father, and that the corporate officer testified about individuals she knew were fictitious. Other testimony and documents showed that defendants forged promissory notes and fabricated corporate records and shareholder affidavits. The sanction was supported by findings that the father and son intentionally sought to deceive the court and plaintiff, that plaintiff was prejudiced by its inability to obtain true discovery and the excessive money and time spent to prove its case, that the conduct was not isolated and that defendants did not attempt to correct their misconduct. The courts also concluded that the deception would continue if the lawsuit was allowed to proceed.

Disclosure — Penalty for Failure to Disclose — Striking Pleadings and Entering Default Judgment as Sanction for Committing Fraud on Court

3. In litigation seeking to recover payment on a loan agreement, wherein a default judgment was properly entered against defendants father and son and

two corporate officers who were found to have committed a fraud on the court in furtherance of hiding the father's and son's connections to an alleged conspiracy to avoid repayment by denying ownership and control over entities used to conceal funds, the evidence was insufficient to justify a default judgment against the wife of defendant father. A court that finds, by clear and convincing evidence, conduct that constitutes a fraud on the court may impose sanctions, including striking pleadings and entering default judgment against the offending parties to ensure the continuing integrity of the judicial system. A court must be persuaded that the fraudulent conduct concerns issues that are central to the truth-finding process. While the record established that defendant wife denied knowing the manager of a shop she operated, and that she was a signatory on at least one corporate bank account controlled by the father and son, her statements and denials were not equivalent to the actions of the other defendants, who lied about ownership and management of business entities used to siphon funds. Moreover, no direct evidence established that she participated in a meeting regarding the submission of false deposition testimony. Although she was not innocent of misconduct, her statements and denials were not central to the success of the scheme to hide information from the court and plaintiff.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Depositions and Discovery §§ 209, 220, 230; AM JUR 2d, Dismissal, Discontinuance, and Nonsuit § 56; AM JUR 2d, Judgments §§ 728, 729, 731, 732, 735; AM JUR 2d, Perjury § 84.

CARMODY-WAIT 2d, Disclosure §§ 42:581, 42:582, 42:603; CARMODY-WAIT 2d, Judgments §§ 63:294, 63:302, 63:305, 63:306.

McKINNEY'S, CPLR 3126 (3).

NY JUR 2d, Disclosure §§ 408–411, 421; NY JUR 2d, Judgments §§ 268–270, 272, 274.

SIEGEL, NY PRAC § 367.

ANNOTATION REFERENCE

See ALR Index under Disclosure; Fraud and Deceit; Perjury; Striking Out Matter.

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POINTS OF COUNSEL

Dewey Pegno & Kramarsky LLP, New York City (*David S. Pegno* of counsel), for appellants in the first and second above-entitled actions. I. The lower courts improperly entered a default against appellants based on vigorously disputed allegations of

misconduct. (*Campione v New Hampshire Ins. Co.*, 76 AD3d 484; *Roadway Express, Inc. v Piper*, 447 US 752; *Baba-Ali v State of New York*, 19 NY3d 627; *Melcher v Apollo Med. Fund Mgt. L.L.C.*, 52 AD3d 244; 317 W. 87 *Assoc. v Dannenberg*, 159 AD2d 245; *Taieb v Hilton Hotels Corp.*, 131 AD2d 257; *Simcusi v Saeli*, 44 NY2d 442; *Koschak v Gates Constr. Corp.*, 225 AD2d 315; *Chambers v NASCO, Inc.*, 501 US 32.) II. Appellants were improperly assessed nine-figure damages on an improper legal theory without an evidentiary hearing. (*Amusement Bus. Underwriters v American Intl. Group*, 66 NY2d 878; *Reynolds Sec. v Underwriters Bank & Trust Co.*, 44 NY2d 568; *Rokina Opt. Co. v Camera King*, 63 NY2d 728; *Matter of Gupta*, 38 AD3d 445; *Starr Found. v American Intl. Group, Inc.*, 76 AD3d 25; *Lama Holding Co. v Smith Barney*, 88 NY2d 413; *CDR Créances S.A. v Euro-American Lodging Corp.*, 40 AD3d 421, 43 AD3d 45; *St. Paul Fire & Mar. Ins. Co. v PepsiCo, Inc.*, 884 F2d 688; *Cardinal Holdings, Ltd. v Indotronix Intl. Corp.*, 73 AD3d 960; *Corman v LaFountain*, 38 AD3d 706.) III. The judgment against Sonia Cohen is unconscionable. (*Montaño v City of Chicago*, 535 F3d 558; *Walley v Leatherstocking Healthcare, LLC*, 79 AD3d 1236; *Green v Dolphy Constr. Co.*, 187 AD2d 635; *Melcher v Apollo Med. Fund Mgt. L.L.C.*, 52 AD3d 244; *Aoude v Mobil Oil Corp.*, 892 F2d 1115.)

Kellner Herlihy Getty & Friedman LLP, New York City (Douglas A. Kellner of counsel), and *Lewis Johs Avallone Aviles, LLP*, Islandia (Robert J. Cimino and Robert A. Lifson of counsel), for respondent in the first and second above-entitled actions. I. Clear and convincing evidence received at the evidentiary hearing established that appellants were guilty of egregious misconduct designed to defraud the court. (*Thoreson v Penthouse Intl.*, 80 NY2d 490; *McMunn v Memorial Sloan-Kettering Cancer Ctr.*, 191 F Supp 2d 440; *Arts4All, Ltd. v Hancock*, 12 NY3d 846; *Kihl v Pfeffer*, 94 NY2d 118; *Turk Eximbank-Export Credit Bank of Turkey v Bicakcioglu*, 81 AD3d 494; *Figiel v Met Food*, 48 AD3d 330; *Di Russo v Kravitz*, 21 NY2d 1008; *Birsett v General Acc. Ins. Co. of Am.*, 241 AD2d 683; *Garnett v Hudson Rent A Car*, 258 AD2d 559.) II. The court properly assessed CDR Créances S.A.S.'s actual damages based on documentary evidence. (*Rokina Opt. Co. v Camera King*, 63 NY2d 728; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *CDR Créances S.A. v Euro-American Lodging Corp.*, 40 AD3d 421; *Flamm v Noble*, 296 NY 262; *Miot v Miot*, 24 Misc 3d 1224[A], 2009 NY Slip Op 51605[U], 78 AD3d 464; *Eighteen Holding Corp. v Drizin*, 268

AD2d 371; *Bailon v Guane Coach Corp.*, 78 AD3d 608; *American Tr. Ins. Co. v Faison*, 242 AD2d 201; *Merrill Lynch, Pierce, Fenner & Smith v Arcturus Bldrs.*, 159 AD2d 283.)

OPINION OF THE COURT

RIVERA, J.

In this appeal we conclude that where a court finds, by clear and convincing evidence, conduct that constitutes fraud on the court, the court may impose sanctions including, as in this case, striking pleadings and entering default judgment against the offending parties to ensure the continuing integrity of our judicial system. With one exception, the record on this appeal supports such sanctions, and we therefore affirm, in part, the Appellate Division (104 AD3d 17 [1st Dept 2012]).

I

This appeal arises from fraudulent conduct by defendants during the course of litigation by plaintiff, CDR Créances S.A.S., to recover wrongfully diverted and concealed proceeds of a loan agreement. There is an extensive history of legal actions that is the backdrop for the current appeal, involving numerous individuals and businesses, claims of unlawful money and stock transfers, and charges of manipulation of offshore business entities in furtherance of a conspiracy to conceal funds from plaintiff. Despite the complexities of the various financial matters involved, the focus of the years of litigation is quite simple: the recovery of payment on a loan agreement entered into as part of a hotel business venture. Several of plaintiff's New York legal actions have asserted that defendant Maurice and his son Leon Cohen have conspired to avoid repayment by denying their ownership and control over entities used to conceal the converted funds.

In 1990 Société de Banque Occidentale (SDBO), the subsidiary of a major French bank and plaintiff's predecessor in interest, entered a partnership with SNC Coenson International et Cie (SNC), controlled by defendant Maurice Cohen. The purpose of the partnership was to develop the Flatotel hotel in Paris, France, as part of a worldwide franchise, which SDBO agreed to finance. Later that same year, SDBO and SNC entered an agreement and became shareholders of Euro-American Lodging Corporation (EALC), an American corporation also controlled by defendant Maurice Cohen, for the purpose of converting a Manhattan building into a Flatotel hotel (New York Flatotel).

Then, in 1991, SDBO and EALC entered into a loan agreement, governed by French law, whereby SDBO would provide \$82,704,990 for acquisition and development of the Manhattan project and EALC would pay property taxes.

Problems developed between SDBO and EALC, and SDBO refused to make any further payments on the loan agreement, alleging that EALC was diverting funds. Thereafter, EALC commenced suit in France seeking to compel SDBO to make payments in accordance with the loan agreement, and SDBO counterclaimed to accelerate repayment of the loan debt caused by EALC's default. In February 2003, the French court directed EALC to repay the loan and nearly \$14 million in unpaid taxes to New York City, pursuant to the loan agreement. In 2005, the New York courts recognized the French judgment against EALC, eventually entering judgments for \$95,837,522 and \$112,159,088.41 in interest, respectively.¹ The Appellate Division affirmed the judgments (40 AD3d 421 [1st Dept 2007]).

II

As part of its efforts to recover payment of the loan agreement, plaintiff commenced two actions in Supreme Court in 2003 and 2006, based on what plaintiff alleged was an extensive and intricate conspiracy orchestrated to conceal stock transfers and other transactions by Maurice and Leon Cohen. The 2003 complaint alleged breach of contract, fraud, tortious interference with contract, conversion, and unjust enrichment. The complaint named as defendants Maurice Cohen, EALC, and several corporate entities controlled by Maurice which served as alter egos of each other, including Blue Ocean Finance, Ltd. (Blue Ocean), a Panamanian entity; World Business Center, Inc. (World Business), a New York corporation; and several other business enterprises involved in fraudulent stock transfers which were alter egos for and controlled by Simon Elias, a resident of New York and alleged to be the officer and/or director of several defendant entities.² In February 2006, Supreme Court

1. In 2003 and 2005, plaintiff initiated separate mortgage foreclosure actions in Supreme Court based on EALC's default on the loan agreement. The first foreclosure action was dismissed in 2005, and in 2007 the Appellate Division modified, on the law, and remanded for further proceedings the second foreclosure action (*CDR Créances S.A. v Euro-American Lodging Corp.*, 43 AD3d 45, 55 [1st Dept 2007]).

2. The suit also named Summerson International Establishment, a corporation organized under the laws of the Grand Duchy of Liechtenstein

(n. cont'd)

entered a preliminary conference order in the 2003 action directing defendants who had not yet answered to do so.

Plaintiff's 2006 action alleged, inter alia, that defendants Maurice and Leon Cohen conspired with others—whose identities had now been ascertained—to strip EALC of its operating income—the collateral for the loan agreement—and sold the New York Flatotel, in violation of the loan agreement, for \$33 million, the proceeds of which were diverted to Blue Ocean without any payment made to plaintiff on the 2005 judgments. Plaintiff asserted claims for fraud, breach of fiduciary duty, fraudulent conveyance, tortious interference with contract, unjust enrichment and conversion. In addition to Maurice and Leon Cohen, plaintiff named as defendants Maurice's wife Sonia Cohen, former chief executive officer of EALC Robert Maraboeuf, former director of EALC Patricia Habib Petetin, officer of Blue Ocean Allegría Achour Aich, Maurice's secretary and Petetin's sister Joelle Habib, and several corporate entities controlled by Maurice and Leon Cohen, including Blue Ocean and World Business. Defendants Maraboeuf, Aich, and Patricia Habib failed to appear and a default judgment for \$265,865,120.81 was entered against them in January 2008.

In August 2010, plaintiff made separate motions to strike the answers of Maurice, Leon and Sonia Cohen, Joelle Habib, and World Business for failure to comply with discovery obligations in both the 2003 and 2006 actions. Defendants Maraboeuf, Aich and Patricia Habib Petetin appeared and moved to vacate their default in the 2006 action. The 2003 and 2006 actions were consolidated and in August 2008, Supreme Court granted plaintiff's motions to strike and denied defendants' motion to vacate the default judgments. All of the defendants appealed and the Appellate Division reversed, citing the brief period that had elapsed between the first discovery order and the defaults, the magnitude of the judgments and the lack of specific prejudice to the plaintiff (*CDR Créances S.A.S. v Cohen*, 62 AD3d 576 [1st Dept 2009]).

and an original holder of stock in EALC; Iderval, a corporation organized under the laws of the British Virgin Islands and a holder of new stock issued by EALC without any consideration; Ospin International, Inc., a corporation organized under the laws of the Commonwealth of the Bahamas and a subsequent purchaser of all of EALC's stock; Gama Lodging, LLC, a New York limited liability company that purchased or otherwise received 3,000 shares of EALC stock; and Megainvest Trust Reg., a trust formed and domiciled in the Principality of Liechtenstein that purchased or otherwise acquired stock in EALC. Additionally, the suit named "John Doe" defendants as co-conspirators whose identities had not yet been ascertained.

Upon remand, discovery resumed in the 2003 and 2006 actions. Defendants Maraboeuf, Aich and Patricia Habib Petetin answered and along with defendants Maurice, Leon and Sonia Cohen submitted to depositions. In the course of these depositions, Maurice and Leon Cohen denied any involvement in the sale of the New York Flatotel or the diversion of funds from the loan agreement. Maurice stated he did not own any of the defendant entities and was not involved in the negotiations and sale of the New York Flatotel. Leon denied that he or any member of his family had any ownership interest in any of the defendant entities plaintiff alleged he and his father controlled. Defendant Sonia Cohen stated that she neither had knowledge of, nor ever participated in, her husband's business ventures. Defendant Aich stated that a man by the name of Jim Cox controlled Blue Ocean, that she had met him in person several times, and that he showed an interest in purchasing the New York Flatotel. She named Francois Lavalley as the person in charge of the New York Flatotel, and she denied any knowledge that Maurice Cohen owned any of the defendant entities. Defendant Maraboeuf denied serving as the chief executive officer of EALC, and further stated that Maurice Cohen did not control any of the defendant entities and that he had not had contact with Maurice in several years.

Before the conclusion of discovery in New York, federal authorities arrested Maurice and Leon Cohen in Florida where they were residing, and charged them with tax evasion in connection with the profits made from the proceeds of the sale of the New York Flatotel, and additionally alleged a conspiracy to commit fraud on the New York court by forging documents and suborning perjury. The indictment specifically alleged that Maurice and Leon Cohen forged and falsified documents, and instructed Habib, Petetin, Aich, and Maraboeuf to give false testimony at their depositions that would corroborate Maurice and Leon Cohen's perjury. The federal charges did not implicate Sonia Cohen as part of the conspiracy.

At trial in the United States District Court for the Southern District of Florida, defendants Habib and Petetin (the Habibs) were the government's key witnesses. In exchange for immunity from prosecution, the Habibs testified to an extensive, systematic effort to conceal from Supreme Court Maurice and Leon's efforts to conceal proceeds from the \$33 million sale of the New York Flatotel, and the transfer of the proceeds to offshore accounts to avoid taxes. During the federal case, the Habibs also

settled with the plaintiff in the New York 2003 and 2006 actions. A jury subsequently convicted defendants of tax evasion.

At the August 2010 sentencing, the District Court concluded that Maurice and Leon Cohen had perpetrated fraud on Supreme Court in New York. The District Court found Maurice and Leon Cohen's criminal activity "spanned the better part of a decade or more, involved numerous fictitious entities, an elaborate web of shell corporations, and heavy handed [treatment] of a number [of] less sophisticated financially dependant employees in the scheme," and sentenced both Maurice and Leon Cohen to 120 months in federal prison.³

Shortly after defendants' sentencing, plaintiff again moved pursuant to CPLR 3126 to strike defendants' pleadings and for a default judgment in the consolidated 2003 and 2006 actions, alleging all of the defendants perpetrated fraud on the court. Supreme Court held a full evidentiary hearing at which the Habibs testified to the Cohens' carefully orchestrated scheme of lies and evidence fabrication. Repeating much of their federal testimony, they recounted a meeting held prior to their depositions in New York, attended by defendants Maurice Cohen, Leon Cohen, Robert Maraboeuf and Allegría Aich, during which the Cohens instructed them and the other defendants to provide false and misleading testimony. At the meeting the Cohens provided the Habibs with a written "script," which plaintiff introduced into evidence at the hearing, which was intended to provide the Habibs with false answers to be given to their attorney and at their depositions. The Cohens told the Habibs to deny knowing both Maurice and Leon, to present themselves as representatives of the entities the Cohens' denied controlling, and to give false testimony at their depositions that would corroborate false testimony of defendants Aich and Maraboeuf. According to the Habibs, the Cohens also created fictitious characters, Francois Lavalley and Jim Cox, to further the Cohens' lies and conceal their actions. Joelle Habib was instructed to testify that Francois Lavalley hired her and that Jim Cox controlled another entity the Cohens denied ownership of. Aich had also falsely testified that Lavalley controlled the New York Flatotel and Cox controlled Blue Ocean. The Habibs further testified that Aich and Maraboeuf repeatedly perjured themselves in their depositions in an effort to conceal Maurice and Leon Cohen's involvement in the conversion of proceeds from the loan agreement and the sale of the New York Flatotel.

3. Maurice and Leon Cohen are currently incarcerated.

Based on the testimony and plaintiff's exhibits, Supreme Court determined, by clear and convincing evidence, that defendants had perpetrated a fraud on the court and granted plaintiff's motion, basing its authority on the court's inherent power to take action to preserve the integrity of the judicial process. Supreme Court found, *inter alia*, Maurice and Leon Cohen had suborned perjury by providing the Habibs with a "script" containing false answers to be given to their attorneys and at their depositions; created Francois Lavalley and Jim Cox—wholly fictitious individuals—and intentionally implicated them as controlling the defendant corporations; forged the affidavits of others in an effort to disclaim ownership of the defendant corporations; secretly paid each of their codefendants legal fees through corporate entities in an effort to financially coerce their false testimony; and intentionally and pervasively ignored court-ordered discovery obligations. Supreme Court also found that defendants Maraboeuf and Aich intentionally lied at their depositions, denying a relationship with Maurice and Leon Cohen. Moreover, defendant Aich urged Maraboeuf and the Habibs to lie in accordance with the scripts they were given, and to falsely state that they paid their own legal fees. Supreme Court struck defendants' answers and entered default judgment (2011 NY Slip Op 33636[U] [2011]).

The Appellate Division affirmed, with one Justice dissenting. The majority concluded that "[t]he ample record is more than sufficient to demonstrate appellants' utter disregard for the judicial process, and while no finding of fraud on the court is necessary to warrant striking the pleadings, appellants' conduct is appropriately characterized as such" (104 AD3d at 24). The majority also concluded that Supreme Court properly awarded damages without a hearing because the damages were determinable by reference to the French court's judgment, recognized in New York. The dissent contended that plaintiff failed to "conclusively demonstrate" deceit, which required a showing that the claims were "undisputed" or "admitted," because the Cohens denied committing fraud, and challenged the credibility of the Habibs' testimony, thus raising a material question of fact (*id.* at 30, 34 [Catterson, J., dissenting]). We granted defendants leave to appeal (21 NY3d 858 [2013]) and now affirm, in part.

III

Defendants contend that the Appellate Division erroneously applied a preponderance of the evidence standard to plaintiff's

motion to strike under CPLR 3126, despite its prior decision in *Melcher v Apollo Med. Fund Mgt. L.L.C.* (52 AD3d 244 [1st Dept 2008]), which defendants argue required a finding that the misconduct be “conclusively demonstrated.” Defendant further argues that plaintiff failed to “conclusively demonstrate” fraud on the court because Maurice and Leon Cohen have consistently denied any misconduct, and the Habibs’ testimony raised credibility issues as to the truth of their statements. Thus, according to defendants, the court was without authority to resolve the outstanding questions for the trier of fact, and should have denied the motion. Defendants further argue that they are entitled to a hearing on damages because plaintiff’s claim for damages is not for a “sum certain” and remains subject to factual and legal challenges.

For its part, plaintiff argues that it submitted clear and convincing evidence of a massive scheme of fraud on the court characterized by perjury, witness tampering and falsification of documents, and that defendants’ failure to comply with discovery is further proof of defendants’ egregious actions. They argue that a standard requiring that the fraud is “conclusively demonstrated” is against precedent and unworkable. As for damages, they assert that Supreme Court correctly entered judgment as calculated by the prior judgments against the defendants.

The parties do not dispute the court’s authority to strike the pleadings, but rather the evidentiary standard applicable to a claim of fraud on the court, and what conduct would justify dismissal based on a finding of fraud. As discussed below, we agree with plaintiff that clear and convincing evidence of fraud on the court is necessary to warrant striking the offending party’s pleading, and that the record supports the existence of such evidence. We also agree with plaintiff that judgment on damages was properly entered.

IV

In accordance with CPLR 3126:

“[i]f any party . . . refuses to obey an order for disclosure or wilfully fails to disclose information which the court finds ought to have been disclosed pursuant to this article, the court may make such orders with regard to the failure or refusal as are just, among them: . . .

“3. an order striking out pleadings or parts thereof, or staying further proceedings until the order is obeyed, or dismissing the action or any part thereof, or rendering a judgment by default against the disobedient party” (CPLR 3126 [3]).

As we stated in *Kihl v Pfeffer*, “[i]f the credibility of court orders and the integrity of our judicial system are to be maintained, a litigant cannot ignore court orders with impunity” (94 NY2d 118, 123 [1999]). Compliance requires “a timely response and one that evinces a good-faith effort to address the requests meaningfully” (*id.*). A trial court has discretion to strike pleadings under CPLR 3126 when a party’s repeated noncompliance is “dilatory, evasive, obstructive and ultimately contumacious” (*see Arts4All, Ltd. v Hancock*, 54 AD3d 286, 286 [1st Dept 2008], *affd* 12 NY3d 846 [2009], and *affd* 13 NY3d 812 [2009]).

Apart from CPLR 3126, a court has inherent power to address actions which are meant to undermine the truth-seeking function of the judicial system and place in question the integrity of the courts and our system of justice.

“Courts of justice are universally acknowledged to be vested, by their very creation, with power to impose silence, respect, and decorum, in their presence, and submission to their lawful mandates, and, as a corollary to this proposition, to preserve themselves and their officers from the approach and insults of pollution” (*Anderson v Dunn*, 19 US 204, 227 [1821]).

Fraud on the court involves wilful conduct that is deceitful and obstructionistic, which injects misrepresentations and false information into the judicial process “so serious that it undermines . . . the integrity of the proceeding” (*Baba-Ali v State of New York*, 19 NY3d 627, 634 [2012] [citation and quotation marks omitted]). It strikes a discordant chord and threatens the integrity of the legal system as a whole, constituting “a wrong against the institutions set up to protect and safeguard the public” (*Hazel-Atlas Glass Co. v Hartford-Empire Co.*, 322 US 238, 246 [1944]; *see also Koschak v Gates Constr. Corp.*, 225 AD2d 315, 316 [1st Dept 1996] [“The paramount concern of this Court is the preservation of the integrity of the judicial process”]).

The federal courts have applied the clear and convincing standard in determining whether the offending party’s actions constitute fraud on the court (*see e.g. Aoude v Mobil Oil Corp.*, 892

F2d 1115, 1118 [1st Cir 1989]). Characteristic of federal cases finding such fraud is a systematic and pervasive scheme, designed to undermine the judicial process and thwart the non-offending party's efforts to assert a claim or defense by the offending party's repeated perjury or falsification of evidence (*id.* at 1118). Fraud on the court warrants heavy sanctions, including the striking of an offending party's pleadings and dismissal of the action.

For example, in *McMunn v Memorial Sloan-Kettering Cancer Ctr.*, plaintiff commenced suit against her former employer alleging disability discrimination in violation of the Americans with Disabilities Act. Following discovery, defendant moved to dismiss citing "improper conduct of the plaintiff" (191 F Supp 2d 440, 443 [SD NY 2002]). The court found plaintiff "lied at her deposition . . . intentionally and in bad faith, and that her false testimony directly and irrevocably destroyed potentially critical evidence" (*id.* at 448); plaintiff "repeatedly lied and misled [defendant] in an intentional effort to prevent it from deposing [a material witness]" (*id.* at 452); and plaintiff "intentionally spoiled relevant evidence" (*id.* at 454). Accordingly, the court dismissed plaintiff's claim, finding "a lesser penalty . . . would be ineffective as a sanction for [plaintiff's] dishonest behavior, which pervades every aspect of this case" (*id.* at 462).

In *Shangold v Walt Disney Co.* (2006 WL 71672, *1, 2006 US Dist LEXIS 748, *1-4 [SD NY, Jan. 12, 2006, No. 03 Civ 9522 (WHP)]), *aff'd* 275 Fed Appx 72 [2d Cir 2008]), plaintiffs, authors who had submitted story proposals to a publisher owned by defendant, sued defendant claiming that defendant published a book similar to plaintiff's 1995 story (*id.*). Defendant established the plaintiffs' 1995 submission contained several references to a "Palm Pilot," a device which was not in existence when plaintiffs allegedly submitted their story proposal (2006 WL 71672, *5, 2006 US Dist LEXIS 748, *14). Accordingly, the court found plaintiffs intentionally fabricated the basis for their lawsuit, and bolstered that fabrication with perjury (*id.*). In dismissing plaintiffs' action, the court noted "no sanction short of dismissal [would] suffice to deter future misconduct" (2006 WL 71672, *5, 2006 US Dist LEXIS 748, *15).

In *DAG Jewish Directories, Inc. v Y & R Media, LLC* (2010 WL 3219292, *1, 2010 US Dist LEXIS 82388, *1-4 [SD NY, Aug. 12, 2010, No. 09 Civ 7802 (RJH)]), plaintiff sought to enjoin defendants from using their company trade name, or misrepresenting themselves as affiliated with plaintiff in an effort to

attract customers (*id.*). The court ordered a preliminary injunction. Thereafter, plaintiff moved for contempt against defendants, submitting a contract allegedly used by defendants that included plaintiff's trade name, in violation of the court's order (2010 WL 3219292, *2, 2010 US Dist LEXIS 82388, *6). The court held a full evidentiary hearing in which it found the contract submitted by plaintiff was a blatant forgery (2010 WL 3219292, *4, 2010 US Dist LEXIS 82388, *10-12), and concluded "nothing less than outright dismissal would deter similar misconduct" (2010 WL 3219292, *5, 2010 US Dist LEXIS 82388, *17).

In contrast, courts have failed to find egregious conduct constituting fraud on the courts where the moving party fails to meet its evidentiary burden (*see e.g. Passlogix, Inc. v 2FA Tech., LLC*, 708 F Supp 2d 378, 401 [SD NY 2010] ["(plaintiff) has not presented clear and convincing evidence that (defendant perpetrated fraud)"]); the conduct constitutes isolated instances of perjury about matters not central to the issues in the case (*see e.g. Carling v Peters*, 2013 WL 865842, *10, 2013 US Dist LEXIS 32808, *31 [SD NY, Mar. 8, 2013, No. 10 Civ 4573 (PAE) (HBP)] [defendant's conduct was "insignificant, collateral and (did) not give rise to sanctions pursuant to the Court's inherent power"]); or the offending party offers "equally plausible alternative explanations" for discrepancies in testimony or evidence (*see Zimmerman v Poly Prep Country Day Sch.*, 2012 WL 2049493, *34, 2012 US Dist LEXIS 78816, *109 [ED NY, June 6, 2012, No. 09 CV 4586 (FB)]).

[1] The evidentiary standard applied by the federal courts is sufficient to protect the integrity of our judicial system, and discourage the type of egregious and purposeful conduct designed to undermine the truth-seeking function of the courts, and impede a party's efforts to pursue a claim or defense. We adopt this standard and conclude that in order to demonstrate fraud on the court, the nonoffending party must establish by clear and convincing evidence that the offending "party has acted knowingly in an attempt to hinder the fact finder's fair adjudication of the case and his adversary's defense of the action" (*McMunn*, 191 F Supp 2d at 445, citing *Skywark v Isaacson*, 1999 WL 1489038, *14, 1999 US Dist LEXIS 23184, *50-51 [SD NY, Oct. 14, 1999, No. 96 Civ 2815 (JFK)], *affd* 2000 WL 145465, 2000 US Dist LEXIS 1171 [SD NY, Feb. 9, 2000]). A court must be persuaded that the fraudulent conduct, which may include proof of fabrication of evidence, perjury, and

falsification of documents concerns “issues that are central to the truth-finding process” (*McMunn*, 191 F Supp 2d at 445). Essentially, fraud upon the court requires a showing

“that a party has sentiently set in motion some unconscionable scheme calculated to interfere with the judicial system’s ability impartially to adjudicate a matter by improperly influencing the trier or unfairly hampering the presentation of the opposing party’s claim or defense” (*McMunn*, 191 F Supp 2d at 445, quoting *Aoude*, 892 F2d at 1118).

A finding of fraud on the court may warrant termination of the proceedings in the nonoffending party’s favor (*see e.g. McMunn*, 191 F Supp 2d at 462 [(“defendant) deserves the harsh sanction of dismissal”]; *Shangold*, 2006 WL 71672, *5, 2006 US Dist LEXIS 748, *15 [plaintiffs’ fabrication of evidence warrants dismissal]; *Hargrove v Riley*, 2007 WL 389003, *11, 2007 US Dist LEXIS 6899, *37-39 [ED NY, Jan. 31, 2007, No. CV-04-4587 (DGT)] [same]; *DAG Jewish Directories*, 2010 WL 3219292, *5, 2010 US Dist LEXIS 82388, *17 [same]). For “when a party lies to the court and [its] adversary intentionally, repeatedly, and about issues central to the truth-finding process, it can fairly be said that [the party] has forfeited [the] right to have [the] claim decided on the merits” (*McMunn*, 191 F Supp 2d at 445). Therefore, once a court concludes that clear and convincing evidence establishes fraud on the court, it may strike a pleading and enter a default judgment.

We caution that dismissal is an extreme remedy that “must be exercised with restraint and discretion” (*Chambers v NASCO, Inc.*, 501 US 32, 44 [1991]; *accord Dodson v Runyon*, 86 F3d 37, 39 [2d Cir 1996] [“We have long recognized that dismissal is a harsh remedy”]; *McMunn*, 191 F Supp 2d at 461 [“dismissal is a harsh sanction to be used only in extreme situations”]). Dismissal is most appropriate in cases like this one, where the conduct is particularly egregious, characterized by lies and fabrications in furtherance of a scheme designed to conceal critical matters from the court and the nonoffending party; where the conduct is perpetrated repeatedly and wilfully, and established by clear and convincing evidence, such as the documentary and testimonial evidence found here. Dismissal is inappropriate where the fraud is not “central to the substantive issues in the case” (*Rezende v Citigroup Global Mkts., Inc.*, 2011 WL 1584603, *6, 2011 US Dist LEXIS 45475, *17 [SD NY,

Apr. 27, 2011, No. 09 Civ 9392 (HB)]), or where the court is presented with “an isolated instance of perjury, standing alone, [which fails to] constitute a fraud upon the court” (*McMunn*, 191 F Supp 2d at 445, citing *Gleason v Jandrucko*, 860 F2d 556, 560 [2d Cir 1988]). In such instances, the court may impose other remedies including awarding attorney fees (*Rezende*, 2011 WL 1584603, *6, 2011 US Dist LEXIS 45475, *18), awarding other reasonable costs incurred (*Sanchez v Litzenberger*, 2011 WL 672413, *8, 2011 US Dist LEXIS 18528, *21 [SD NY, Feb. 24, 2011, No. 09 Civ 7207 (THK)] [“Plaintiff will be required to reimburse Defendants for the expenses and fees incurred in rooting out Plaintiff’s true identity”]), or precluding testimony (*Ades v 57th St. Laser Cosmetics, LLC*, 2013 WL 2449185, *12, 2013 US Dist LEXIS 79864, *35 [SD NY, June 6, 2013, No. 11 Civ 8800 (KNF)]). In the rare case where a court finds that a party has committed fraud on the court warranting dismissal, the court should note why lesser sanctions would not suffice to correct the offending behavior (*see Dodson*, 86 F3d at 39 [“one of the factors that should inform a trial court’s decision [whether to dismiss] is the suitability of lesser sanctions”]).

Defendants argue that because the potential sanctions are severe and include the possibility of dismissal, a court must find that the evidence “conclusively demonstrates” fraud. Defendants would impose a standard which requires proof that lies and falsifications are admitted or undisputed. However, such a standard is theoretically unsupportable, as well as unworkable in practice, because it is the unusual and rare case where there will not be some dispute—regardless of its significance to the matter before the court—as to the conduct and its fraudulent nature. Defendants’ proposed evidentiary standard would encourage parties to “create a dispute” by merely protesting the truth of the allegations. Such standard would permit fraud to continue, regardless of the viability of the contentions creating the purported “dispute.” In other words, defendants’ standard would permit a party to escape a court’s consideration of claims of egregious acts of deceit by presenting bare denials of the truth of the allegations. Thus, the “conclusively demonstrates” standard risks setting the bar too high to prevent and discourage fraud on the court.

V

[2] Here, with the exception of Sonia Cohen as discussed below, we perceive no error in the Appellate Division’s order affirming the striking of defendants’ answers and entering a

default judgment. The record reveals numerous instances of perjury, subornation of perjury, witness tampering and falsification of documents by defendants. As Supreme Court and the Appellate Division described in detail, Maurice and Leon Cohen sought to mislead the court about their ownership interests in the defendant corporations, as well as the conversion of the proceeds from the loan agreement and the sale of the New York Flatotel. The record shows that the Habibs produced the script provided by Maurice and Leon Cohen, which demonstrated that codefendants Aich and Maraboeuf were entirely dishonest in their assertions that Maurice and Leon did not own any of the defendant entities and that neither had a relationship with Maurice Cohen. Moreover, the script revealed that defendant Maraboeuf was blatantly lying about his role at EALC and his assertion that he had no contact with Maurice Cohen for several years. Additionally, all of the defendants lied about the payment of their legal fees, which in fact were paid by entities controlled by Maurice and Leon Cohen. Defendant Aich testified regarding her multiple meetings with Jim Cox and conversations with Francois Lavalley—completely aware that these were fictitious individuals, fabricated by Maurice and Leon Cohen. All this conduct was in furtherance of one goal: to hide Maurice and Leon’s connections to the alleged theft, and conceal the location of the funds pursued by the plaintiff. Thus, the defendants intended to undermine the New York actions in which plaintiff sought to discover and procure the concealed proceeds of the loan agreement, and committed a fraud on the court.

In determining the proper sanctions to be imposed, Supreme Court found that Maurice and Leon Cohen intentionally sought to deceive the court and the plaintiff by concealing their involvement in the sale of the New York Flatotel. The conduct prejudiced the plaintiff by impeding its ability to obtain true discovery and forcing plaintiff to spend enormous amounts of money and time to prove its case. Moreover, the conduct was not isolated and defendants did not attempt to correct their misconduct. In considering a lesser sanction, the court concluded that the deception perpetrated by Maurice and Leon Cohen would continue if the lawsuit was allowed to proceed. These factors were properly considered by the court (*see McMunn*, 191 F Supp 2d at 446; *see also Shangold*, 2006 WL 71672, *4, 2006 US Dist LEXIS 748, *11-12; *DAG Jewish Directories*, 2010 WL 3219292, *4, 2010 US Dist LEXIS 82388, *10-11; *Rezende*, 2011 WL 1584603, *4, 2011 US Dist LEXIS 45475, *12-13), and the record fully supports the sanctions imposed.

Defendants argue that Supreme Court overstepped its authority because the evidence was in dispute and there were credibility issues related to the Habib sisters' testimony which must be resolved by the trier of fact. However, Supreme Court's decision states quite clearly that the court did not rely solely on the Habib sisters' testimony, but found, additionally, that Maurice and Leon Cohen's "fraud goes beyond the [subornation] of perjury and witness tampering because they also forged and falsified documents that provided additional support for their defense." In addition to the testimony of the Habibs, Supreme Court indicated it reviewed the script provided by the Cohens, deposition testimony, an affidavit from the attorney who represented the buyers of the New York Flatotel, and "bank records and other documents." After a review of the documentary evidence, Supreme Court found Maurice and Leon Cohen "falsified and forged . . . a number of promissory notes," and that the Cohens further "fabricated corporate records and [shareholder] affidavits." Accordingly, Supreme Court's findings support the conclusion that defendants committed fraud on the court, and warrant striking defendants' answers and entering default judgment.

[3] However, the evidence is insufficient to justify the default against defendant Sonia Cohen. In support of striking this defendant's answer, plaintiff points to the fact that she lied about her involvement in her husband's businesses and the concealment of assets by Maurice and Leon, and thus perjured herself during her deposition. The record establishes that Sonia Cohen operated a perfume shop owned by her husband in which defendant Maraboeuf—who she denied knowing—was the manager, and that she was a signatory on at least one corporate bank account controlled by Maurice and Leon Cohen. Her denials are hardly equivalent to the actions of the other defendants, who lied about Maurice and Leon's ownership and management of the New York Flatotel and the business entities which were used as vehicles to siphon funds. Moreover, no direct evidence established that she participated in the meeting regarding the false deposition testimony. Although she is not innocent of misconduct, her statements and denials were not central to the success of the scheme to hide information from the court and the plaintiff. Accordingly, with respect to defendant Sonia Cohen, the order of the Appellate Division should be modified to vacate the judgment as against her.

Lastly, defendants assert that they are entitled to a hearing on damages because the plaintiff's claims are subject to numerous

legal and factual challenges. We disagree. The Appellate Division was correct to conclude that the plaintiff's damages were based on the French judgments and the documents submitted to the court. Thus, no hearing was required.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion, and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and FIGOTT concur; Judge ABDUS-SALAAM taking no part.

Order modified, without costs, by remitting to Supreme Court, New York County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[15 NE3d 287, 991 NYS2d 532]

In the Matter of STATE OF NEW YORK, Respondent, v JOHN S.,
Appellant.

Argued March 27, 2014; decided May 8, 2014

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 14, 2013. The Appellate Division affirmed an order of the Supreme Court, New York County (Daniel P. Conviser, J.; op 32 Misc 3d 1206[A], 2011 NY Slip Op 51195[U] [2011]), entered in a proceeding pursuant to Mental Hygiene Law article 10, which, upon a jury verdict that respondent suffered from a mental abnormality, and after a dispositional hearing, had (1) determined that respondent was a dangerous sex offender requiring confinement; and (2) committed him to a secure treatment facility.

Matter of State of New York v John S., 104 AD3d 511, affirmed.

HEADNOTES

Crimes — Sex Offenders — Civil Commitment or Supervision — Unsealed Records

1. In a Mental Hygiene Law article 10 proceeding seeking a determination that respondent was a detained sex offender requiring civil management, records related to certain rape and robbery charges against defendant in 1968 that were previously sealed pursuant to CPL 160.50 were properly unsealed pursuant to Mental Hygiene Law § 10.08 (c) and disclosed to the State. Mental Hygiene Law § 10.08 (c) contemplates broad disclosure of records relating to a respondent's commission or alleged commission of a sex offense as well as any information relevant to the civil management determination, and authorizes disclosure "[n]otwithstanding any other provision of law" that might otherwise prohibit it. The meaning of the statute's "notwithstanding" clause is plainly understood and supersedes any inconsistent provisions of state law, including the sealing procedures set forth in CPL 160.50. The unsealed indictments, presentence reports, police reports, and victim's statements, among other documents in the possession of official entities, were the types of records the legislature contemplated the State would have access to in an article 10 proceeding (*see* Mental Hygiene Law § 10.08 [c]). Respondent pleaded guilty in satisfaction of the 1968 indictments, and although his convictions were later vacated on mental incompetency grounds, the fact remained that respondent was charged and indicted for those crimes. Mental Hygiene Law § 10.08 (c), by authorizing disclosure of records relating to the "alleged commission of a sex offense," necessarily contemplates the release of records which document sex offenses that did not result in valid adjudications of guilt. The 1968 records also qualified for disclosure under the statute's catch-all provision because

they contained “information relevant to a determination” of whether respondent required civil management under article 10 (Mental Hygiene Law § 10.08 [c]).

**Crimes — Sex Offenders — Civil Commitment or Supervision —
Unsealed Records**

2. In a Mental Hygiene Law article 10 proceeding seeking a determination that respondent was a detained sex offender requiring civil management, CPL 160.60 did not bar disclosure under Mental Hygiene Law § 10.08 (c) of records related to certain rape and robbery charges against defendant in 1968 that were previously sealed pursuant to CPL 160.50 when defendant’s convictions were vacated on mental incompetency grounds. CPL 160.60 provides, in pertinent part, that once a criminal action or proceeding has terminated in favor of the accused, “the arrest and prosecution shall be deemed a nullity,” and the information about that arrest or prosecution may not be disclosed “[e]xcept where specifically required or permitted by statute or upon specific authorization of a superior court.” The statute states by its plain terms that its provisions may be superseded by another statute, such as Mental Hygiene Law § 10.08 (c), that permits disclosure of the sealed information. Although an arrest or prosecution terminated in a defendant’s favor must generally be “deemed a nullity” under CPL 160.60, that statute does not bar the disclosure of records that, for the purposes of Mental Hygiene Law article 10, relate to a respondent’s alleged commission of a sex offense. Moreover, to the extent respondent was concerned that a “stigma” might result from the disclosure of his unsealed records, Mental Hygiene Law § 10.08 (c) already provides that “confidential materials” obtained pursuant to that statute “shall not be further disseminated or otherwise used except for [article 10] purposes.”

**Crimes — Sex Offenders — Civil Commitment or Supervision —
Admission of Hearsay Evidence**

3. In a Mental Hygiene Law article 10 proceeding seeking a determination that respondent was a detained sex offender requiring civil management, Supreme Court did not abuse its discretion by permitting hearsay basis testimony by expert witnesses about the 1968 robbery and rape charges against respondent which resulted in convictions that were subsequently vacated on mental incompetency grounds. A court may admit hearsay evidence when it serves as the underlying basis for an expert’s opinion in an article 10 proceeding if the hearsay is reliable and the probative value in helping the jury evaluate the expert’s opinion substantially outweighs its prejudicial effect. The 1968 charges never resulted in a valid adjudication of guilt necessary for the hearsay evidence to be considered inherently reliable, and there was no independently reliable evidence in the record showing that respondent admitted to committing any of those offenses. However respondent was never acquitted of the 1968 charges, as his convictions were vacated due to mental incompetency at the time of his guilty plea. Here, the trial court satisfied the standard for the proper admission of basis testimony based on its close scrutiny of the evidence, weighing reliability considerations and reasonably concluding that the hearsay’s probative value to the jury in evaluating the experts’ opinions substantially outweighed its prejudicial effect. The charges were based on complaints from five different victims attacked within a certain area and within a 32-day time period, and each attack involved a strikingly similar pattern. Moreover, respondent was indicted for all five incidents and pleaded guilty to one count each of rape and robbery in satisfaction of all indicted counts. The evidence underlying the indictments had never been called into question.

**Crimes — Sex Offenders — Civil Commitment or Supervision —
Admission of Hearsay Evidence**

4. In a Mental Hygiene Law article 10 proceeding seeking a determination that respondent was a detained sex offender requiring civil management, Supreme Court abused its discretion by permitting hearsay basis testimony by expert witnesses about a 1978 rape for which defendant was arrested but never charged. A court may admit hearsay evidence when it serves as the underlying basis for an expert's opinion in an article 10 proceeding if the hearsay is reliable and the probative value in helping the jury evaluate the expert's opinion substantially outweighs its prejudicial effect. Information about the uncharged rape was culled from a presentence report prepared in connection with an earlier rape for which defendant was convicted. Although hearsay information found in presentence reports is inherently reliable for purposes of determining the appropriate risk level of a sex offender under the Sex Offender Registration Act, that rule does not extend to article 10 proceedings, where the liberty interests at stake are greater and the factfinders are often not judges but juries. Therefore, while the hearsay information contained in a presentence report bears certain indicia of reliability that, if supported by other reliable evidence at an article 10 trial, may warrant the admission of basis testimony about uncharged crimes, hearsay related to uncharged crimes must be excluded if its only basis for reliability is that it came from a presentence report. Here the allegations contained in the presentence report were not supported by any other reliable evidence, and respondent steadfastly denied he committed the second rape. The State pointed to the factual similarities between the first rape and the uncharged rape as evidence of corroboration, as well as the indication in the presentence report that the police were able to connect respondent to the first rape based on information they received from the second victim. It was improper to assume, however, that the report's description of both the uncharged rape and the police's subsequent investigation was reliable in the absence of supporting evidence or an admission from respondent.

**Crimes — Sex Offenders — Civil Commitment or Supervision —
Admission of Hearsay Evidence**

5. In a Mental Hygiene Law article 10 proceeding seeking a determination that respondent was a detained sex offender requiring civil management, Supreme Court's error in permitting hearsay basis testimony by expert witnesses about the 1978 rape for which defendant was arrested but never charged was harmless. The State's case against respondent rested primarily on admissible evidence; particularly, expert basis testimony about the 1968 robbery and rape charges against respondent which resulted in convictions that were subsequently vacated on mental incompetency grounds, his two convictions for rape, his assault on a female correction officer, and his refusal to participate in sex offender treatment while in prison. The jury also heard testimony from a parole officer that respondent admitted to committing one of the 1968 rapes for which he was charged. This evidence, without reference to the uncharged 1978 rape, provided a sufficient basis for the jury to conclude that respondent suffered from a mental abnormality, and there was no reasonable possibility that the jury could have reached another verdict had it not heard basis testimony about that uncharged crime.

**Crimes — Sex Offenders — Civil Commitment or Supervision —
Mental Abnormality**

6. In a Mental Hygiene Law article 10 proceeding seeking a determination that respondent was a detained sex offender requiring civil management, the

evidence at trial was sufficient to support the jury's verdict that respondent, who was diagnosed by both parties' experts as suffering from antisocial personality disorder, suffered from a mental abnormality qualifying him for civil management. During their testimony, the State's experts explained how respondent's sex crimes were not simply isolated incidents, but a result of his antisocial personality disorder, and that the traits that account for this disorder—such as his impulsivity, aggression, disregard for social norms, and indifference to harming others—resulted in respondent's pathological sense of entitlement and serious difficulty controlling his sexual conduct. The jury was entitled to credit that expert testimony, which was supported not only by respondent's history of sex offending, but also by his prison disciplinary record, denial of his crimes, and failure to partake in prison sex offender treatment, among other things. Moreover, the evidence indicating that respondent had raped women at three separate periods over a span of decades, notwithstanding serious sanctions, could have led a rational jury to conclude that respondent suffered from the serious lack of control over his conduct required for a mental abnormality finding. Although respondent's expert testified that respondent was unlikely to reoffend based on his age, the jury could have reasonably rejected that assertion in light of competing testimony from the State's experts.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 703, 705; AM JUR 2d, Courts §§ 29–31; AM JUR 2d, Expert and Opinion Evidence §§ 25, 53, 129; AM JUR 2d, Mentally Impaired Persons §§ 125, 127.

CARMODY-WAIT 2d, Presentation of the Case §§ 56:145, 56:147; CARMODY-WAIT 2d, Appeals in General §§ 70:443, 70:460, 70:461; CARMODY-WAIT 2d, Disposition of Records and Property §§ 208:4, 208:6, 208:7, 208:15, 208:20, 208:21, 208:23.

McKINNEY'S, CPL 160.50, 160.60; Mental Hygiene Law § 10.08 (c).

NY JUR 2d, Appellate Review §§ 754, 756, 766; NY JUR 2d, Criminal Law: Procedure §§ 1028, 3659, 3660, 3667, 3668, 3680; NY JUR 2d, Evidence and Witnesses §§ 662, 664, 742; NY JUR 2d, Penal and Correctional Institutions §§ 47–50.

ANNOTATION REFERENCE

See ALR Index under Evidence Rules; Expert and Opinion Evidence; Hearsay; Incompetent or Insane Persons; Sexual Relations and Offenses.

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POINTS OF COUNSEL

Marvin Bernstein, Mental Hygiene Legal Service, New York City (*Deborah P. Mantell* and *Sadie Z. Ishee* of counsel), for appellant. I. Records from the 1968 dismissed and sealed cases, as well as the uncharged 1978 accusation, should not have been available to the State or the psychiatric examiners, where those cases were null and void as a matter of law. (*Matter of Miguel M. [Barron]*, 17 NY3d 37; *Lino v City of New York*, 101 AD3d 552; *Matter of Harper v Angiolillo*, 89 NY2d 761; *Matter of Katherine B. v Cataldo*, 5 NY3d 196; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *People v Weaver*, 12 NY3d 433; *Matter of Joseph M. [New York City Bd. of Educ.]*, 82 NY2d 128; *Matter of Dondi*, 63 NY2d 331; *People v Finnegan*, 85 NY2d 53.) II. The State's expert's reliance on the unproven 1968 and 1978 accusations violated due process; the trial court's rulings were contrary to both New York state and federal rules of evidence concerning the introduction of inadmissible information on which an expert's opinion is based. (*Kansas v Hendricks*, 521 US 346; *Specht v Patterson*, 386 US 605; *Matter of von Wiegen*, 63 NY2d 163; *People v Goldstein*, 6 NY3d 119; *United States v James*, 712 F3d 79; *Tennessee v Street*, 471 US 409; *Willner v Committee on Character & Fitness, Appellate Div. of Supreme Court of N.Y., First Judicial Dept.*, 373 US 96; *Mathews v Eldridge*, 424 US 319; *Vitek v Jones*, 445 US 480; *People v Pringle*, 71 AD3d 1450.) III. Where the State's case relied on its experts' diagnosis of antisocial personality disorder and John S. has not engaged in any sexual or aggressive conduct since 1996, the evidence was insufficient as a matter of law to satisfy statutory and due process requirements for a finding of a mental abnormality. (*Humphrey v Cady*, 405 US 504; *Matter of State of New York v Shannon S.*, 20 NY3d 99; *Kansas v Crane*, 534 US 407; *Tucker v Ozmint*, 350 F3d 433; *United States v Wilkinson*, 646 F Supp 2d 194; *United States v Graham*, 683 F Supp 2d 129; *United States v Francis*, 686 F3d 265; *Foucha v Louisiana*, 504 US 71.)

Eric T. Schneiderman, Attorney General, New York City (*Andrew W. Amend*, *Barbara D. Underwood* and *Steven C. Wu* of counsel), for respondent. I. Supreme Court correctly unsealed records concerning John S.'s 1968 crimes. (*People v Mingo*, 12 NY3d 563; *Matter of Melendez v Wing*, 8 NY3d 598; *Matter of State of New York v Floyd Y.*, 22 NY3d 95; *Matter of State of New York v Mark S.*, 87 AD3d 73; *Matter of State of New York v*

Shawn X., 69 AD3d 165; *Matter of Rodriguez v Perales*, 86 NY2d 361; *Matter of Smathers*, 309 NY 487; *Matter of Harper v Angiolillo*, 89 NY2d 761; *Matter of Dondi*, 63 NY2d 331; *Matter of Joseph M. [New York City Bd. of Educ.]*, 82 NY2d 128.) II. Supreme Court correctly allowed the State's experts to relate the bases of their opinions to the jury. (*People v Aska*, 91 NY2d 979; *People v Goldstein*, 6 NY3d 119; *People v Rodriguez*, 284 AD2d 952; *People v Beam*, 57 NY2d 241; *United States v Leeson*, 453 F3d 631.) III. John S.'s challenge to his antisocial personality disorder diagnosis offers no basis to reverse the jury's verdict. (*Matter of State of New York v Shannon S.*, 20 NY3d 99; *Drake v Portuondo*, 321 F3d 338; *Matter of State of New York v Andrew O.*, 16 NY3d 841; *Matter of George L.*, 85 NY2d 295; *Adamy v Ziriakus*, 92 NY2d 396; *Kansas v Crane*, 534 US 407; *Jones v United States*, 463 US 354; *Morales v County of Nassau*, 94 NY2d 218; *Kansas v Hendricks*, 521 US 346; *United States v Caporale*, 701 F3d 128.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

We recently held in *Matter of State of New York v Floyd Y.* (22 NY3d 95 [2013]) that hearsay basis testimony by an expert witness may be admitted at a Mental Hygiene Law article 10 trial if the hearsay is reliable and its probative value in assisting the jury to evaluate the expert's opinion substantially outweighs its prejudicial effect. The main issue on this appeal is whether hearsay basis testimony about respondent John S.'s sex offenses that did not lead to valid adjudications of guilt satisfied this standard and, if not, whether admission of the hearsay requires reversal. We hold that basis hearsay related to respondent's indictments for rape and robbery met the minimum due process requirements we outlined in *Floyd Y.* and was properly admitted at trial. We further conclude that, although basis hearsay about an uncharged rape was unreliable and should have been excluded, its admission was harmless error.

I.

In September 1968, respondent pleaded guilty to rape in the first degree (Penal Law § 130.35) and robbery in the first degree (Penal Law § 160.15) in satisfaction of multiple charges arising from a series of attacks on women committed around City College in Manhattan. The charges, set out in two indictments, alleged that over a span of 32 days, respondent raped and robbed three different victims, and that he robbed two additional

victims. In all of these cases respondent allegedly threatened the victims with a weapon and forced them to accompany him. Two of the victims were raped on roof landings near the City College subway stop, and two victims were sodomized in addition to being raped. All the crimes allegedly took place between approximately 11 a.m. and 9 p.m. within the vicinity of City College.

After accepting respondent's plea of guilty, Supreme Court ordered that, based on statements respondent made during the plea colloquy, he be committed to undergo psychiatric examination. Respondent was thereafter diagnosed as suffering from paranoid schizophrenia. In November 1968, respondent was found incompetent to stand trial and committed to the custody of the Commissioner of Mental Hygiene. Five months later, however, respondent was certified as competent based on reports the court received from the hospital where he was being treated. Respondent was sentenced to 5 to 15 years in prison based on his September 1968 guilty plea.¹

After unsuccessfully challenging his convictions in state court, respondent filed a habeas corpus petition in the United States District Court for the Southern District of New York. That court vacated respondent's convictions and granted a writ to issue within 60 days unless respondent was permitted to replead to the indictments in Supreme Court (*see United States ex rel. Suggs v LaVallee*, 430 F Supp 877, 884 [SD NY 1977]). The District Court determined that the convictions were invalid because respondent was incompetent when he pleaded guilty in September 1968 and Supreme Court never afforded him an adequate colloquy regarding the voluntariness of his plea (*see id.*). The Second Circuit affirmed (*Suggs v LaVallee*, 570 F2d 1092, 1119 [2d Cir 1978], *cert denied* 439 US 915 [1978]), and respondent was released on parole in August 1978.

For reasons not clear from the record, the New York County District Attorney's Office did not re-prosecute respondent under the 1968 indictments and the case was officially closed sometime

1. The sentencing minutes indicate that, prior to sentencing, respondent's counsel had made an application to withdraw respondent's guilty plea, but that counsel later withdrew that application at respondent's request. Counsel stated during colloquy that respondent "is not changing his plea. He simply wants to explain what happened." Respondent additionally stated, in response to questions from the court, that he understood that he was no longer attempting to withdraw his plea and that he "wish[ed] to be sentenced today."

in late 1978 or early 1979. Records pertaining to these indictments were sealed pursuant to CPL 160.50, which mandates the sealing of official records relating to criminal proceedings that terminate in favor of the accused.

Meanwhile, 19 days after respondent was released on parole, he committed a violent rape. On September 16, 1978, respondent threatened a woman with a gun and forced her into Washington Square Park, where he robbed her, struck her, and strangled her until she lost consciousness. Respondent then forced the victim to Pier 48 on the Hudson River, dragged her up a flight of stairs by her hair, again struck and strangled her, and raped her. Respondent was convicted after trial of rape in the first degree and sentenced to an indeterminate term of 74 months to 20 years' imprisonment.

While serving his sentence for the 1978 rape conviction, respondent committed several instances of misconduct that resulted in both criminal and disciplinary charges. In 1987, he was indicted for arson in the second degree (Penal Law § 150.15) for intentionally starting a fire on his prison cell bed in the presence of a correction officer. He was found guilty of criminal mischief in the fourth degree (Penal Law § 145.00) and received a 10-month sentence to run concurrently with his current sentence for first-degree rape. Two years later, respondent received disciplinary penalties for assaulting a female correction officer by attempting to force her into a broom closet. Respondent was later released on parole in 1992.

Respondent remained at liberty in the community for four years before committing another rape, again while under parole supervision. On August 4, 1996, respondent raped a college student in Central Park. At that time, he was 45 years old and had a wife and a seven-month-old daughter. Respondent pleaded guilty to rape in the first degree by forcible compulsion (Penal Law § 130.35 [1]) and was sentenced to 12½ years in prison.

Prior to respondent's release from custody, the Attorney General, on behalf of the State of New York (the State), filed a petition under article 10 seeking a determination that respondent is a detained sex offender requiring civil management. The petition included a written evaluation report prepared by Dr. Trica Peterson, a licensed psychologist and psychiatric examiner employed by the New York State Office of Mental Health (OMH) (*see* Mental Hygiene Law § 10.06 [d]). As a result of her personal examination of respondent and her review of available records

describing his background and criminal history,² Dr. Peterson concluded in her report that respondent currently suffers from antisocial personality disorder. Dr. Peterson opined that this condition constitutes a “mental abnormality” that predisposes respondent to the commission of sexual offenses and makes it difficult for him to control such behavior (*see* Mental Hygiene Law § 10.03 [i]).

In preparation for trial, the State moved for a court order unsealing the records related to respondent’s 1968 indictments for rape and robbery. The State premised its motion on Mental Hygiene Law § 10.08 (c), which provides that, “[n]otwithstanding any other provision of law,” the Attorney General is entitled to request, and the appropriate entity is authorized to provide,

“any and all records and reports relating to the respondent’s commission or alleged commission of a sex offense, the institutional adjustment and any treatment received by such respondent, and any medical, clinical or other information relevant to a determination of whether the respondent is a sex offender requiring civil management.”

Supreme Court granted the motion and ordered the records unsealed.

Respondent thereafter moved in limine to preclude expert testimony relating to the 1968 charges. Respondent argued that he “must be presumed innocent” of the charged offenses because a federal court vacated his convictions and the indictments were subsequently dismissed and sealed. He also contended that the unsealed records contained inadmissible hearsay information that was not sufficiently reliable to form the basis of an expert opinion and that, if admitted at trial, would prejudice his case.

At oral argument on the motion, respondent also sought to preclude the State’s experts from testifying about an uncharged rape respondent allegedly committed seven days after the

2. According to Dr. Peterson’s report, these records included: OMH documents, respondent’s rap sheet, New York State Division of Criminal Justice Services sex offender registry information; New York County Supreme Court records related to respondent’s 1978 and 1996 rape convictions; a presentence report prepared by the probation department following respondent’s 1978 conviction; New York State Division of Parole records; and Department of Corrections and Community Supervision records detailing, among other things, respondent’s disciplinary history and failure to participate in sex offender treatment while incarcerated.

incident underlying his 1978 rape conviction. A presentence report prepared in connection with that conviction (hereinafter, 1979 presentence report), which was summarized in Dr. Peterson's evaluation report, alleges that on September 23, 1978, respondent abducted a woman from Washington Square Park and forced her onto the same Hudson River pier, where he raped and robbed her. According to the 1979 presentence report, respondent gave the victim his phone number, which she turned over to the police after reporting the crime. The 1979 presentence report indicates respondent was later arrested for both the September 16th rape and the September 23rd rape, but the District Attorney declined to indict him for the latter offense because that victim was too "upset" to proceed with the prosecution.

Supreme Court held a hearing on respondent's motion, where the parties' expert witnesses discussed the materials they relied upon in forming their opinions. The State presented testimony from a different expert, Dr. Stuart M. Kirschner, and respondent presented testimony from Dr. Joseph J. Plaud. Both witnesses testified that, in preparing their respective evaluations of respondent, they reviewed the official documents referenced in Dr. Peterson's evaluation report, as well as unsealed records related to the 1968 charges, which included the two indictments, a presentence investigation report prepared by the New York City Department of Probation, New York County Supreme Court records, police reports, and victims' statements, among other documents. The experts also agreed that mental health professionals who evaluate article 10 respondents commonly rely on these types of records, even if the records describe sex offenses that did not result in criminal convictions.

After the hearing, Supreme Court, stating that it had applied Federal Rule of Evidence (FRE) 703 to determine the extent to which hearsay basis testimony could be presented at trial, ruled that the experts could testify that they relied on the 1968 charges in forming their opinions and that they could relay the facts underlying the indictments. The court explained that, in its view, the charges bore "very significant indicia of reliability" in light of "[t]he fact that a Grand Jury . . . found reasonable cause to believe that the respondent committed" the five incidents underlying the indictments, "as well as the fact that the[re] were complaints, arrests, police records and, later, guilty pleas from the respondent." The court further concluded that a

description of the underlying facts, although potentially prejudicial to respondent, was critical to assist the jury in understanding the basis of the experts' opinions. The court noted, however, that respondent was "never validly convicted" under the indictments and, in an effort to prevent the jury from speculating that his guilty plea was invalidated on "some kind of technicality," it precluded the experts from testifying about the vacated convictions. The court also precluded the experts from disclosing to the jury potentially inflammatory details revealed in unsealed records, including references to respondent as "the City College rapist."³

The court further ruled that the experts were permitted to testify that respondent was arrested for the uncharged 1978 rape and to provide "a brief recitation of the underlying facts." The court concluded that there was "reliable information" indicating that respondent committed that crime, and that the factual similarities and overlap between his two 1978 offenses created independent indicia of reliability. The court ruled, however, that it would not "allow information about why the second [1978 rape] was not prosecuted" because telling the jury that "the victim was too traumatized to testify" would be "more prejudicial than probative."

At trial, the State presented testimony from two lay witnesses—Richard Elwyn and Richard Vlack—and its two expert witnesses—Dr. Peterson and Dr. Kirschner. Mr. Elwyn, a retired New York State parole officer, testified that in the mid-1970s respondent told him that he committed a rape in 1968. Mr. Vlack, also a parole officer, testified that during a 2007 interview respondent asserted that his intercourse with the 1996 rape victim was consensual. Mr. Vlack also stated that respondent did not participate in sex offender treatment while confined for this offense.

Dr. Peterson testified that, in concluding that respondent suffers from a mental abnormality, she relied upon her examination of respondent and numerous records describing his juvenile, psychiatric, criminal, and disciplinary history. Specifically, Dr. Peterson testified that she considered records describing, among other things, respondent's 1968 indictments for rape and robbery of "college-aged women around City College"; an

3. The trial court also held that the State's experts could not testify about two parole reports from the mid-1970s that stated that respondent had admitted his guilt to one of the 1968 rapes because that hearsay lacked "significant indicia of reliability" and was "more prejudicial than probative."

arrest for two rapes in 1978 shortly after being released on parole; a 1989 “disciplinary ticket” for “attempting to drag [a] female Correctional Officer into a broom closet”; and a 1996 conviction for rape. Dr. Peterson identified similarities between some of these offenses, noting that many of the victims were college aged and had reported being threatened by a weapon, and that the 1996 rape, the first 1978 rape, and “purportedly” the uncharged rape had begun in a park or public area. Dr. Peterson stated that, during her examination, respondent denied culpability for several offenses; particularly, he denied that he raped the 1996 victim and claimed that he had been having a consensual sexual relationship with the correction officer he was charged with assaulting in 1989. Respondent also told Dr. Peterson that both 1978 victims had sold drugs for him in the park and falsely accused him of rape after he had the first victim “beat up” for stealing drugs from him.

Concerning her mental abnormality diagnosis, Dr. Peterson reiterated her prior conclusion that respondent met the diagnostic criteria for antisocial personality disorder as defined in the American Psychiatric Association’s Diagnostic and Statistical Manual of Mental Disorders (DSM). The DSM requires, among other factors, at least three of the following seven traits to reach an antisocial personality disorder diagnosis: failure to conform to social norms and laws, impulsivity, aggressiveness, disregard for the safety of self or others, lack of remorse, deceitfulness, and irresponsibility. Dr. Peterson diagnosed respondent with the first five of these traits. She explained that respondent’s offending history demonstrated impulsivity and lack of control in light of the public location of his offenses and his “quick return to offending” in 1978 and 1996 after being released on parole. The violent nature of the first 1978 rape—which involved “strangling to unconsciousness,” “dragging the victim,” and “kicking her”—reflected respondent’s aggressiveness, in Dr. Peterson’s view, as did respondent’s statement, made during his examination, that he once broke someone’s arm over a game of pool. Dr. Peterson also testified that respondent’s repeated denials of guilt and minimization of certain offenses by insisting that they were consensual demonstrated he lacked remorse.

Dr. Peterson acknowledged that antisocial personality disorder is not invariably linked to sex offending, but she stated that in respondent’s case, the disorder manifests in a predisposition to commit sex offenses and difficulty controlling that predisposition. In Dr. Peterson’s view, respondent’s disorder impacts his

“sense of entitlement”—that is, his belief that “[he] can take what [he] want[s], even if what [he] want[s] is sexual, even if the person is not consenting”—and causes him to “act[] on his thoughts or his urges” without remorse or regard for the rights of others. Dr. Peterson opined that most sex offenders do not reoffend and that respondent’s long and distinctive history of assaulting multiple victims “demonstrates a predilection for sex offending.” In addition, she found signs of respondent’s difficulty controlling his behavior in his “historical pattern” of “reoffending after being sanctioned for committing another sex offense,” his refusal to participate in sex offender treatment, and his indication during her examination that “his wife stopped having sex with him in 1996,” which “ultimately . . . resulted in a rape of another individual.”

Dr. Kirschner similarly diagnosed respondent as suffering from antisocial personality disorder based on his review of respondent’s criminal and mental health records.⁴ Dr. Kirschner diagnosed respondent with all seven traits of antisocial personality disorder outlined in the DSM. He agreed with Dr. Peterson that respondent lacks remorse for his offenses, is aggressive and impulsive, disregards the safety and rights of others, and is unable to conform his behavior to the law. Dr. Kirschner identified these antisocial traits in respondent’s commission of the 1968 offenses in public places during normal hours; his commission of the first 1978 rape in broad daylight and within 19 days of returning to the community; and his disciplinary infractions involving his assault of the female correction officer and starting a fire in his cell.⁵

Additionally, Dr. Kirschner opined that respondent’s antisocial traits “are linked to his sexual deviancy” and that there was no evidence respondent had meaningfully addressed that deviancy. Dr. Kirschner testified that respondent’s refusal to participate in sex offender programs while incarcerated and his lack of progress in treatment since being confined under article 10 demonstrate his persistence in “deviant thinking” and, in Dr. Kirschner’s view, the reality that respondent is “[no] different

4. Dr. Kirschner testified that respondent “[refused to] consent to an interview with [him].”

5. During Dr. Kirschner’s testimony, the court instructed the jury that respondent was arrested and indicted for the 1968 offenses “but was not convicted.” The court also stated that respondent “was incarcerated between 1968 and 1978, and the reason for that incarceration is not evidence that is before you, so it is not something that you should consider.”

now than he was when he was a teenager.” Consistent with this assessment, Dr. Kirschner testified that respondent’s commission of a rape in 1996—at 45 years old and despite having a wife and child—demonstrated his continued lack of control. Dr. Kirschner also stated that there was no research indicating that a person will stop reoffending once he or she reaches a certain age, and he disputed the notion that growing older reduces the chances that a sex offender will recidivate.

Dr. Plaud concluded based on his interview of respondent and his review of the pertinent records that respondent did not suffer from a mental abnormality within the meaning of article 10.⁶ Dr. Plaud acknowledged that respondent fit the criteria for antisocial personality disorder; specifically, that he met six of the seven behavioral traits listed in the DSM. In Dr. Plaud’s view, however, antisocial personality disorder “is wholly insufficient to substantiate a linkage between the psychiatric disorder and future sexual offense,” and respondent does not meet the criteria for a sexually-based disorder, such as paraphilia not-otherwise-specified or sadism. Dr. Plaud also disagreed with the State’s experts that respondent’s denial or minimization of his guilt indicates an increased risk of reoffending; rather, Dr. Plaud asserted that respondent is not likely to reoffend because he was now 59 years old and research has demonstrated a decline in the recidivism of sex offenders as they age.

The court instructed the jury, both initially and in its final charge, that accounts of respondent’s conduct from out-of-court records were not to be considered for their truth, but rather, to allow the jury to evaluate the bases of the experts’ opinions. The jury returned a verdict finding that respondent suffers from a mental abnormality qualifying him for civil management under article 10. Following a further dispositional hearing, Supreme Court found that respondent is a dangerous sex offender in need of confinement and ordered him committed to a secure treatment facility operated by OMH (32 Misc 3d 1206[A], 2011 NY Slip Op 51195[U] [2011]). Respondent appealed.

The Appellate Division unanimously affirmed (*Matter of State of New York v John S.*, 104 AD3d 511 [1st Dept 2013]). The

6. During his testimony, Dr. Plaud explained that respondent neither admitted nor denied the 1968 charges, but simply had no memory of the pertinent time period. With respect to the 1978 incidents, Dr. Plaud indicated that respondent relayed the same account that he gave Dr. Peterson: that both of the 1978 victims had falsely accused him of rape following his having arranged to have one of them physically assaulted for stealing drugs from him.

court held that the records related to the 1968 charges were properly unsealed pursuant to Mental Hygiene Law § 10.08 (c), which “supersedes CPL 160.50” (*id.* at 511). The Appellate Division additionally found “no basis for disturbing the [trial] court’s determination that the disclosed hearsay facts’ probative value to the jury in evaluating the experts’ opinions substantially outweighed their prejudicial effect” (*id.* at 512). Finally, the court held that the evidence of mental abnormality was sufficient to support the jury’s verdict (*see id.*).

Respondent appealed to this Court as of right pursuant to CPLR 5601 (b) (1).

II.

A.

Respondent argues, as a threshold matter, that it was error for Supreme Court to unseal the records about the 1968 charges and allow them to be disclosed to the State. While acknowledging that Mental Hygiene Law § 10.08 (c) grants the State broad access to records “[n]otwithstanding any other provision of law,” respondent contends that this statute does not supersede CPL 160.50, which provides that “[u]pon the termination of a criminal action or proceeding against a person in favor of such person . . . the record of such action or proceeding shall be sealed” (CPL 160.50 [1]) and all official records “on file with the division of criminal justice services, any court, police agency, or prosecutor’s office” must not be made available “to any person or public or private agency” (*id.* at [1] [c]).

“It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature. The starting point is always to look to the language itself and where the language of a statute is clear and unambiguous, courts must give effect to its plain meaning” (*State of New York v Patricia II.*, 6 NY3d 160, 162 [2006] [internal quotation marks, alterations, and citations omitted]; *see* McKinney’s Cons Laws of NY, Book 1, Statutes § 76). Mental Hygiene Law § 10.08 (c) contemplates broad disclosure of “any and all records and reports relating to the respondent’s commission or *alleged commission* of a sex offense,” as well as “any medical, clinical or other information relevant to a determination of whether the respondent is a sex offender requiring civil management” (emphasis added). Critically, the statute authorizes disclosure “[n]otwithstanding any other provision of law” that might otherwise prohibit it (*id.*).

[1] The meaning of the statute’s “notwithstanding” clause is plainly understood and “ ‘clearly supersedes *any* inconsistent provisions of state law,’ ” including the sealing procedures set forth in CPL 160.50 (*Matter of State of New York v Zimmer*, 63 AD3d 1563, 1563-1564 [4th Dept 2009], quoting *Matter of Melendez v Wing*, 8 NY3d 598, 609 [2007]). Although CPL 160.50 was not among the statutes the legislature amended to explicitly allow the State access to records in article 10 proceedings (*see e.g.* CPL 720.35 [4] [unsealing of records regarding a youthful offender adjudication]; CPL 390.50 [3] [permitting access to presentence investigation reports from the instant offense underlying the article 10 petition]), we believe that the legislature’s inclusion of the “notwithstanding” clause in Mental Hygiene Law § 10.08 (c) was deliberate and was intended to authorize disclosure of information that other statutes, like CPL 160.50, would not otherwise permit (*see generally Matter of Hernandez v Barrios-Paoli*, 93 NY2d 781, 788 [1999]; *Eaton v New York City Conciliation & Appeals Bd.*, 56 NY2d 340, 346 [1982]).

The records Supreme Court unsealed here—indictments, presentence reports, police reports, and victim’s statements, among other documents in the possession of official entities⁷—are the types of records the legislature contemplated the State would have access to in an article 10 proceeding (*see* Mental Hygiene Law § 10.08 [c]). Respondent pleaded guilty in satisfaction of the 1968 indictments charging him with committing a string of rapes and robberies. Although his conviction was later vacated on mental incompetency grounds, the fact remains that respondent was charged and indicted for those crimes; that is, he was *alleged* to have committed them. Mental Hygiene Law § 10.08 (c), by authorizing disclosure of records relating to the “alleged commission of a sex offense,” necessarily contemplates the release of records, such as these, which document sex offenses that did not result in valid adjudications of guilt. The 1968 records also qualify for disclosure under the statute’s catch-all provision because they contain “information relevant to a

7. The State originally sought to unseal records in the possession of the New York County District Attorney’s Office, the New York City Police Department (NYPD), and the New York County Clerk. However, the State later submitted an affirmation stating that the District Attorney’s files related to the indictments had been “accidentally destroyed” and the NYPD records had never been sealed under CPL 160.50. Thus, it appears that the only records unsealed were those maintained by the New York County Clerk.

determination” of whether respondent requires civil management under article 10 (Mental Hygiene Law § 10.08 [c]).

Respondent further argues that CPL 160.60 should have barred disclosure of the sealed records. That statute provides, in pertinent part, that once a criminal action or proceeding has terminated in favor of the accused, “the arrest and prosecution shall be deemed a nullity,” and the information about that arrest or prosecution may not be disclosed “[e]xcept where specifically required or permitted by statute or upon specific authorization of a superior court” (CPL 160.60 [emphasis added]). Respondent essentially claims that, because the 1968 charges were terminated in his favor and “deemed a nullity,” he can no longer be “alleged” to have committed the underlying crimes and the records therefore do not qualify for disclosure under Mental Hygiene Law § 10.08 (c).

[2] We disagree. CPL 160.60 states by its plain terms that its provisions may be superseded by another statute, such as Mental Hygiene Law § 10.08 (c), that permits disclosure of the sealed information. Although an arrest or prosecution terminated in a defendant’s favor must generally be “deemed a nullity” under CPL 160.60, we decline to interpret that statute as barring the disclosure of records that, for the purposes of article 10, relate to a respondent’s alleged commission of a sex offense. Finally, to the extent respondent is concerned that a “stigma” may result from the disclosure of his unsealed records—a concern CPL 160.60 is intended to address (*see* Peter Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, CPL 160.60)—Mental Hygiene Law § 10.08 (c) already provides that “confidential materials” obtained pursuant to that statute “shall not be further disseminated or otherwise used except for [article 10] purposes.”

B.

In *Floyd Y.*, we defined the extent to which “a court may admit hearsay evidence when it serves as the underlying basis for an expert’s opinion in an article 10 proceeding” (*see* 22 NY3d at 98). Because an article 10 proceeding is civil in nature, the respondent is not entitled to the constitutional protections that apply to criminal proceedings under the Fifth and Sixth Amendments (*see id.* at 103-104). Rather, article 10 proceedings must comport with constitutional principles of due process, which demand that “any hearsay basis evidence . . . meet minimum requirements of reliability and relevance before it can be admitted at an article 10 proceeding” (*id.* at 109).

Hearsay basis evidence is admissible at an article 10 trial “if it satisfies two criteria. First, the proponent must demonstrate through evidence that the hearsay is reliable. Second, the court must determine that the ‘probative value in helping the jury evaluate the expert’s opinion substantially outweighs its prejudicial effect’ ” (*id.*, citing FRE 703 [alterations omitted]). This two-part analysis “provide[s] a necessary counterweight to the deference juries may accord hearsay evidence simply because an expert has propounded it . . . , yet allow[s] the jury to evaluate expert opinions by considering reliable and probative evidence” (*id.*).

Applying this due process test in *Floyd Y.*, we established ground rules for the admissibility of hearsay basis testimony about the respondent’s sex offenses. Hearsay about sex offenses that are supported by “adjudications of guilt,” such as convictions or guilty pleas, is inherently reliable and may be admitted through expert testimony without offending due process (*see id.*). Hearsay containing an admission of guilt by the respondent is also generally considered reliable, and if the trial court determines that the probative value of the hearsay outweighs its prejudicial effect, an expert should be permitted to introduce basis testimony about the admission (*id.* at 109-110).

In contrast, hearsay indicating that the respondent was acquitted of a sex offense fails both parts of the due process test: it “cannot provide the basis for reliability” and is generally considered “more prejudicial than probative on the question of the respondent’s mental abnormality” (*id.* at 110). Absent some basis to substantiate the accusations underlying the acquitted charges, basis testimony about an acquittal must be excluded (*see id.*). Similarly, hearsay evidence about uncharged crimes should be excluded if the underlying allegations are not supported by an admission from the respondent or extrinsic evidence substantiating those allegations (*see id.*).

The admissibility of hearsay evidence about “[c]riminal charges that resulted in neither acquittal nor conviction” presents a close question to be resolved by the trial court (*see id.*). As we observed in *Floyd Y.*, documentary evidence supporting the charges may “provide[] sufficient reliability [that] weigh in favor of admission” of the hearsay, but due process concerns remain in the absence of “conclusive” proof of guilt (*id.*). Accordingly, it is incumbent upon the trial court to closely scrutinize the evidence supporting the charges and ensure that the allegations are “substantially more probative than prejudicial” before allowing the hearsay to be admitted (*id.*).

These “reliability and substantial relevance requirements” for the admission of basis hearsay give the trial court “an active role in managing the article 10 proceeding and preserving its integrity” (*id.* at 109). The trial court is generally accorded broad discretion in making evidentiary rulings, which are entitled to deference on appeal absent an abuse of discretion (*see People v Carroll*, 95 NY2d 375, 385 [2000]; *People v Aska*, 91 NY2d 979, 981 [1998]). Likewise, the decision to admit or preclude hearsay basis evidence at an article 10 trial rests with the trial court’s sound discretion, and its decision should not be disturbed unless it results in a clear violation of the respondent’s due process rights or otherwise constitutes an abuse of discretion as a matter of law (*see generally Floyd Y.*, 22 NY3d at 110).

1. 1968 Charges

[3] Respondent’s 1968 charges for rape and robbery “resulted in neither acquittal nor conviction” (*id.* at 110). Although respondent pleaded guilty in satisfaction of the indictments, his convictions were vacated and he was never re-indicted. Thus, the 1968 charges never resulted in a valid adjudication of guilt necessary for the hearsay evidence to be considered inherently reliable (*id.* at 109). And there was no independently reliable evidence in the record showing that respondent admitted to committing any of those offenses (*see id.* at 109-110). But respondent was never acquitted of the 1968 charges; that is, no jury found him “not guilty of the charged offense[s]” (Black’s Law Dictionary [9th ed 2009], acquittal). Accordingly, for this basis testimony to be properly admitted under *Floyd Y.*’s due process framework, the trial court must determine, based on its “close scrutiny” of the evidence supporting the 1968 charges, that the hearsay information is sufficiently reliable and its probative value in assisting the jury to evaluate the experts’ opinions “substantially outweighs [its] prejudicial effect” (*id.* at 109, 110). This standard was satisfied here and Supreme Court did not abuse its discretion by permitting the admission of hearsay related to the 1968 charges.

Using FRE 703 as its guide, Supreme Court reasonably determined that hearsay information concerning the 1968 charges was reliable. This hearsay was derived from a number of documentary sources; all of the experts (including Dr. Plaud) testified that they reviewed and relied upon multiple official records describing the 1968 charges, including indictments, witness statements, arrest records, and presentence reports.

Records related to a respondent's indictment for a sex offense will not necessarily provide a basis of reliability for hearsay in every article 10 case. Circumstances specific to the 1968 charges, however, support Supreme Court's finding that hearsay information in respondent's criminal records was sufficiently reliable. Primarily, the charges were based on complaints from *five* different victims attacked near City College within a 32-day time period. Each attack involved a strikingly similar pattern: the victims alleged that respondent threatened them with a weapon and forced (or attempted to force) them into a secluded space before robbing them and, in the case of three of the victims, raping them. Two of the three rapes took place on roof landings near the same subway stop, and two involved sodomy.

Moreover, respondent was indicted for all five incidents and pleaded guilty to one count each of rape and robbery in satisfaction of all indicted counts. His convictions were later vacated, but that occurred because he was mentally incompetent at the time of his plea. Respondent was never acquitted of the 1968 charges and the evidence underlying the indictments—which a grand jury found was legally sufficient to establish every element of the charged offenses and provided reasonable cause to believe that respondent committed them (*see* CPL 190.65 [1])—has never been called into question. The trial court weighed these considerations when it concluded that the hearsay information about the 1968 charges was sufficiently reliable, and we find no basis upon which to disturb that determination.

Supreme Court also reasonably concluded that the hearsay's probative value to the jury in evaluating the experts' opinions substantially outweighed its prejudicial effect. As we recognized in *Floyd Y.*, article 10 "essentially envisions a 'battle of the experts' to determine whether the respondent has a mental abnormality" (22 NY3d at 105-106). "Factfinders in article 10 trials cannot comprehend or evaluate the testimony of an expert without knowing how and on what basis the expert formed an opinion," and basis hearsay is often necessary "to assist the factfinder with its essential article 10 task of evaluating the experts' opinions" (*id.* at 107, 108).

The State's experts based their mental abnormality diagnoses, in part, on patterns of behavior that they perceived had emerged from respondent's criminal history, such as his propensity to commit sex offenses in public places, to reoffend after having been previously sanctioned for a sex offense, and to use violence to control his victims. It was reasonable for the trial court to

conclude that basis testimony about the 1968 charges (which involved three violent rapes) was necessary for the jury to adequately evaluate whether these opinions were credible or convincing, and that excluding the testimony may have stymied the jury's fact-finding (*see id.*). Respondent also challenged the basis testimony through cross-examination and competing expert testimony, both important means to expose "the weaknesses of the State's case" and lessen the risk that the jury will accept the hearsay as true (*see id.* at 108 and n 4).

The trial court, in actively "managing the article 10 proceeding" (*id.* at 109), also took several steps to limit the prejudicial effect of the hearsay testimony. Critically, the court excluded certain inflammatory hearsay information recounted in the records and, to avoid improper speculation by the jury, prohibited the experts from testifying that respondent was previously convicted under the indictments. The court's limiting instructions also "adequately informed the jury of its role as factfinder and limited purpose of out-of-court statements introduced to help evaluate [the] expert[s'] opinion[s]" (*id.* at 108).

In sum, we cannot say that the trial court abused its discretion by permitting hearsay basis testimony about the 1968 charges to be put before the jury. The court reasonably determined that this evidence was sufficiently reliable and substantially more probative than prejudicial. The jury, having been offered competing views of the evidence, was properly left to decide which position to accept or reject.

2. The Uncharged 1978 Rape

Respondent was arrested but never charged for a second rape he allegedly committed a week after the September 16, 1978 rape that led to his conviction. The second 1978 rape is therefore an "uncharged accusation[]," and basis hearsay related to it should have been excluded unless the accusations were substantiated through extrinsic evidence or an admission by respondent (*id.* at 110). This standard was not met here, and the trial court abused its discretion by allowing the experts to testify about the uncharged rape.

Information about the uncharged rape was culled from a single official record: the 1979 presentence report. In *People v Mingo*, we held that hearsay information found in presentence reports is inherently reliable for purposes of determining the appropriate risk level of a sex offender under the Sex Offender Registration Act (SORA) (12 NY3d 563, 572-573 [2009]). The

State urges us to extend this rule to article 10 proceedings, noting that, as we concluded in *Mingo*, presentence reports are prepared by government officers who have a duty to accurately record relevant information they know “will be relied on by courts” in future proceedings (*id.* at 573).

While these considerations are relevant to whether information from a presentence report is reliable enough to be admitted at an article 10 trial, we decline to import the evidentiary rule from *Mingo* deeming this hearsay automatically reliable. Presentence reports “may well be the single most important document at both the sentencing and correctional levels of the criminal process” (*id.* [citation omitted]), and the hearsay information they contain therefore bears certain indicia of reliability that, if supported by other reliable evidence at an article 10 trial, may warrant the admission of basis testimony about uncharged crimes. But information from a presentence report is not so inherently reliable that it, alone, can sustain the admission of such testimony, and hearsay related to uncharged crimes must be excluded if its only basis for reliability is that it came from a presentence report (*see Floyd Y.*, 22 NY3d at 109). We believe this rule is most appropriate for article 10 proceedings, where the liberty interests at stake are greater than in SORA proceedings and the factfinders are often not judges but juries (*see Mental Hygiene Law* § 10.07 [a]) who have no specialized knowledge of the “origins and function” of presentence reports (*Mingo*, 12 NY3d at 573).

[4] Applying these standards here, it is clear that the hearsay about the uncharged 1978 rape was unreliable and should not have been introduced at trial. The allegations contained in the 1979 presentence report were not supported by any other reliable evidence, and respondent has steadfastly denied he committed this crime. The State points to the factual similarities between the first 1978 rape, which led to a conviction, and the uncharged rape as evidence of corroboration, as well as the indication in the 1979 presentence report that the police were able to connect respondent to the first rape based on information they received from the second victim. The State’s argument, however, assumes that the presentence report’s description of both the uncharged rape and the police’s subsequent investigation is reliable. That assumption, which the trial court also made, is improper in the absence of supporting evidence or an admission from respondent.

[5] We conclude, however, that the trial court’s error in admitting the unreliable hearsay was harmless and does not require

reversal. The State's case against respondent rested primarily on admissible evidence; particularly, expert basis testimony about respondent's rape and robbery charges, his two convictions for rape, his assault on a female correction officer, and his refusal to participate in sex offender treatment while in prison. The jury also heard testimony from a parole officer that respondent admitted to committing one of the 1968 rapes for which he was charged. This evidence, without reference to the uncharged 1978 rape, provided a sufficient basis for the jury to conclude that respondent suffers from a mental abnormality, and there is no "reasonable possibility that the jury could have reached another verdict" had it not heard basis testimony about that uncharged crime (*Floyd Y.*, 22 NY3d at 110, citing *People v Crimmins*, 36 NY2d 230, 237 [1975]; see *Matter of State of New York v Mark S.*, 87 AD3d 73, 78 [3d Dept 2011], *lv denied* 17 NY3d 714 [2011]; *Matter of State of New York v Fox*, 79 AD3d 1782, 1783 [4th Dept 2010]).

C.

Respondent's remaining claims concern the sufficiency of the evidence supporting the jury's verdict that he suffers from a mental abnormality. Respondent does not dispute that the evidence was sufficient for the jury to find he currently suffers from antisocial personality disorder, a diagnosis both parties' experts agreed upon. Nor does he claim that antisocial personality disorder is an unreliable diagnosis that is not accepted by the psychiatric profession and should be excluded from article 10 proceedings (*cf. Matter of State of New York v Shannon S.*, 20 NY3d 99, 106-107 [2012]). Rather, respondent argues that the State's evidence was insufficient to show that antisocial personality disorder is currently impacting him in a manner that results in both a predisposition to commit sex offenses and a serious difficulty controlling the behavior, both of which are required to support a finding of mental abnormality (see Mental Hygiene Law § 10.03 [i]).

[6] Contrary to respondent's claims, we conclude that the evidence, considered in the light most favorable to the State, was sufficient to support the jury's verdict (see *Matter of State of New York v Derrick B.*, 68 AD3d 1124, 1126-1127 [2d Dept 2009], citing *Cohen v Hallmark Cards*, 45 NY2d 493, 499 [1978]). During their testimony, the State's experts explained how respondent's sex crimes were not simply isolated incidents, but a result of his antisocial personality disorder, and that the

traits that account for this disorder—such as his impulsivity, aggression, disregard for social norms, and indifference to harming others—result in respondent’s pathological sense of entitlement and serious difficulty controlling his sexual conduct. The jury was entitled to credit this expert testimony, which was supported not only by respondent’s history of sex offending, but also by his prison disciplinary record, denial of his crimes, and failure to partake in prison sex offender treatment, among other things. Moreover, the evidence indicating that respondent has raped women at three separate periods over a span of decades, notwithstanding serious sanctions, could lead a rational jury to conclude that respondent suffers from the serious lack of control over his conduct required for a mental abnormality finding (see *Shannon S.*, 20 NY3d at 107-108). Although respondent’s expert testified that respondent is unlikely to reoffend based on his age, the jury could have reasonably rejected this assertion in light of competing testimony from the State’s experts.

D.

Accordingly, the Appellate Division order should be affirmed, without costs.

RIVERA, J. (dissenting). At respondent’s Mental Hygiene Law article 10 jury trial, Supreme Court permitted the State’s experts to introduce hearsay regarding a 1968 indictment on rape and robbery charges. Those charges did not result in a lawful conviction. Although respondent pleaded guilty in satisfaction of the charges, his plea was taken in violation of his constitutional rights, and the resulting conviction was vacated and the criminal records sealed pursuant to CPL 160.50. Admission of hearsay related to those charges violated respondent’s due process rights because the charges were not supported by independent indicia of reliability. Further, the evidence was more prejudicial than probative of respondent’s alleged mental abnormality given the number of charges and the nature of the crimes involved. Moreover, I join Judge Smith’s dissent and share the concerns expressed therein. I would reverse the order of the Appellate Division.

In *Matter of State of New York v Floyd Y.* (22 NY3d 95 [2013]), we determined that article 10 hearings are subject to procedural due process. We engaged in the due process balancing test required by *Mathews v Eldridge* (424 US 319, 335 [1976]), and established a framework to govern the introduction of hearsay that formed the basis of an expert’s opinion in an article 10

trial. We concluded that without the opportunity to consider such hearsay, an article 10 jury cannot determine whether an expert's opinion is sound and whether the State has met its burden to establish that the respondent suffers from a mental abnormality (*see* Mental Hygiene Law § 10.07 [c], [d]). "Fact-finders in article 10 trials cannot comprehend or evaluate the testimony of an expert without knowing how and on what basis the expert formed an opinion" (*Floyd Y.*, 22 NY3d at 108).

However, due process requires that an article 10 court scrutinize basis hearsay before allowing its admission. In considering the proper expanse of due process mandates we recognized that a respondent in an article 10 proceeding faced with potential indefinite confinement has "a liberty interest of the highest order" (*Floyd Y.*, 22 NY3d at 105, citing *Kansas v Hendricks*, 521 US 346, 356 [1997], *Vitek v Jones*, 445 US 480, 494-495 [1980], and *Humphrey v Cady*, 405 US 504, 509 [1972]). That interest, along with the high risk of juror reliance on unreliable and prejudicial evidence introduced by experts, outweighed the State's significant interest in effectuating the purposes of article 10. We therefore required that basis evidence satisfy a two-part test for reliability and probative value (*id.* at 106).

This test was designed to ensure sufficient protection for respondent's rights and to "provide a necessary counterweight to the deference juries may accord hearsay evidence simply because an expert has propounded it" (*id.* at 109). The test reflected our recognition that evidence at article 10 proceedings involves horrible facts and crimes, and "[j]uries may be predisposed to doubt the convicted sex offender and believe the State's expert" (*id.* at 106). In short, basis hearsay is inadmissible unless it meets the requirements of *Floyd Y.* The improper admission of such evidence violates a respondent's due process rights and may constitute reversible error (*see id.* at 110; *People v Crimmins*, 36 NY2d 230, 237 [1975]).

Here, the court permitted the State's experts to testify about the 1968 charges and their underlying facts, finding the reliability of this evidence supported by the criminal complaint, arrest records, grand jury indictment, respondent's guilty plea, and presentence reports.¹ The majority agrees, holding,

1. Notably, Supreme Court did not understand that basis testimony is not admissible for the truth, and the expert cannot testify as to the respondent's guilt. During a colloquy with counsel, Supreme Court observed that "Dr. Kirschner, essentially, will say that he thinks [respondent] raped three women in

(n. cont'd)

incorrectly in my opinion, that the information found in these documents, together with the plea, establishes reliability under *Floyd Y*. For although the majority correctly concludes that respondent's vacated conviction on the 1968 charges does not establish the reliability of the underlying allegations (majority op at 344), it erroneously finds that those charges were supported by independent indicia of reliability found in the documentary evidence, the similarities among the 1968 incidents, the grand jury's indictment, respondent's guilty plea, and the fact that he was never acquitted of the crimes (majority op at 344-345).

The information relied on by the majority does not independently establish the reliability of the 1968 charges because the facts in the criminal record assume what they are intended to prove: the truth and accuracy of the allegations. A showing of independent reliability requires more than information that rests on the foundation of the unproven allegations themselves. The documentary evidence relied on by the majority illustrates why this information cannot meet the demands of due process. This evidence consists of the original allegations and records related to the police investigation and grand jury indictment. None of this evidence provides a separate basis to assess the truth and accuracy of the complainants' charges because these documents were based on those very same allegations. Yet, those allegations have not survived the adjudicative process. Indeed, the majority concedes that these types of documents are insufficient to meet the test of reliability,² and relies on what it calls "[c]ircumstances specific to the 1968 charges" in an attempt to shore up its ultimate conclusion that the charges are admissible (majority op at 345). The majority's reliance is to little avail, because those circumstances no more establish independent reliability for the 1968 charges than do the allegations themselves.

The majority finds reliability based on the number of complaints and the similarity of the alleged crimes. Yet, these factual details do not support the reliability of the allegations.

1968, and that is part of his opinion. And he is going to back that up by the fact that, you know, a Grand Jury found reasonable cause to believe he committed these acts." Testifying to the truth of hearsay and backing up that testimony with facts is precisely what experts are not permitted to do in article 10 trials (*see Floyd Y*, 22 NY3d at 107).

2. "Records related to a respondent's indictment for a sex offense will not necessarily provide a basis of reliability for hearsay in every article 10 case" (majority op at 345).

Whether there was one rape or several, whether the rapes involved robberies, and whether they occurred near the same area within a short span of time does not answer the question whether it can reliably be said that respondent committed the criminal acts. These circumstances may reveal a pattern of behavior, but *Floyd Y.* held that uncharged accusations that appeared to fit a pattern of conduct were nevertheless inadmissible when they were unsupported by extrinsic evidence or admissions of guilt. In other words, a pattern of conduct does not provide independent indicia of reliability (see *Floyd Y.*, 22 NY3d at 110 [rejecting the reliability of uncharged accusations made by a crime victim's twin sister despite the evident similarity between those allegations and the proven crime]).

The grand jury's finding of reasonable cause is also insufficient to satisfy the reliability requirement. Grand jury proceedings are not the equivalent of a trial, wherein evidence is subjected to the rules of evidence and criminal procedure and a defendant has an opportunity to confront the accuser. Due to the difference between the rules of evidence in grand juries and trial courts, we have previously found grand jury testimony to be unreliable. Grand jury testimony is "troubling because 'although given under oath, [it] is not subjected to the vigorous truth testing of cross-examination'" (*People v Geraci*, 85 NY2d 359, 368 [1995], citing *United States v Thevis*, 665 F2d 616, 629 [5th Cir 1982]). As we noted, "grand jury testimony is often obtained through grants of immunity, leading questions and reduced attention to the rules of evidence—conditions which tend to impair its reliability" (*Geraci*, 85 NY2d at 368, citing *United States v Flores*, 985 F2d 770, 776 n 14 [5th Cir 1993], *United States v Fernandez*, 892 F2d 976, 981 [11th Cir 1989], and *United States v Gonzalez*, 559 F2d 1271, 1273 [5th Cir 1977]). Respondent's significant liberty interest should not be placed in jeopardy by grand jury findings based on testimony which might wither under defense counsel's questioning and trial rules of evidence.

Both Supreme Court and the majority conclude that respondent's guilty plea provides further proof of the reliability of the 1968 charges. The majority minimizes the significance of the vacatur of the conviction and the Second Circuit's finding that respondent was incompetent at the time of the plea because he "was never acquitted of the 1968 charges" (majority op at 344). In essence, the majority treats the lack of an acquittal as the functional equivalent of proof of guilt. Of course these are not

the same. As a legal nullity, respondent's plea and conviction neither prove nor disprove anything, and they cannot support a conclusion that the criminal charges were true. The criminal proceedings concluded when the respondent admitted his guilt, but, as the federal courts recognized, his plea was constitutionally infirm. Respondent was incompetent at the time of the plea, which negates the reliability of his admission of guilt. The inescapable conclusion is that the lack of acquittal is irrelevant, and the unconstitutional result in the 1968 proceedings can have no bearing on the present case.

The admission of hearsay evidence regarding the 1968 charges prejudices the respondent and was not harmless error. Without the 1968 charges, and the uncharged 1978 allegation that the majority finds inadmissible, the jury would have been left to consider only two rape convictions, an alleged assault on a female correction officer, and testimony regarding respondent's lack of participation in sex offender treatment. On this record, it is plain that testimony about the four unreliable allegations of rape significantly influenced the jury, and "[t]here is a reasonable possibility the jury could have reached another verdict had it not heard" the inadmissible hearsay basis evidence (*Floyd Y.*, 22 NY3d at 110; *Crimmins*, 36 NY2d at 237). Therefore, the Appellate Division should be reversed.

Today's decision ignores the central concern articulated in *Floyd Y.*, namely that admission of hearsay basis evidence poses a substantial risk to an article 10 respondent's liberty interest. In order to overcome this risk, basis evidence must be supported by independent indicia of reliability, and must have sufficient probative value to outweigh any prejudice to the respondent. By approving presentation to the jury of the 1968 charges and unreliable documentary evidence, the majority opens the door to the admission, under the guise of permissible expert basis evidence, of the type of unreliable and prejudicial hearsay we disapproved in *Floyd Y.* This creates the risk of future article 10 jury determinations influenced more by the fact that the expert testifies to the evidence than by the evidence itself. Therefore, I dissent.

SMITH, J. (dissenting). I dissented in *Matter of State of New York v Floyd Y.* (22 NY3d 95 [2013]). Being now constrained to follow *Floyd Y.*, I join Judge Rivera's dissent in this case.

I add a few words to express my disappointment that John S. has not argued that a civil commitment under Mental Hygiene

Law article 10 may not be based solely on a diagnosis of antisocial personality disorder. That seems to me a strong argument, for reasons I have previously explained (*see Matter of State of New York v Shannon S.*, 20 NY3d 99, 110 [2012, Smith, J., dissenting] [“If a diagnosis of ASPD could support civil commitment, the State could have locked up half of those now in prison without bothering with the complexities of the criminal law”]).

Judges GRAFFEO, READ and PIGOTT concur with Judge ABDUS-SALAAM; Judge RIVERA dissents in an opinion in which Chief Judge LIPPMAN and Judge SMITH concur; Judge SMITH in a separate dissenting opinion in which Chief Judge LIPPMAN and Judge RIVERA concur.

Order affirmed, without costs.

[14 NE3d 362, 991 NYS2d 9]

In the Matter of STATE OF NEW YORK, Respondent, v CHARADA
T., Appellant.

Argued March 27, 2014; decided May 8, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 18, 2013. The Appellate Division affirmed an order of the Supreme Court, New York County (Patricia M. Nuñez, J.), entered in a proceeding pursuant to Mental Hygiene Law article 10, which, upon a jury verdict that respondent suffered from a mental abnormality, and after a dispositional hearing, had (1) determined that respondent was a dangerous sex offender requiring confinement, and (2) committed him to a secure treatment facility.

Matter of State of New York v Charada T., 107 AD3d 528, affirmed.

HEADNOTES

Crimes — Sex Offenders — Civil Commitment or Supervision — Admission of Hearsay Evidence

1. In a Mental Hygiene Law article 10 proceeding seeking a determination that respondent was a detained sex offender requiring civil management, Supreme Court erred by permitting the State's expert witness to introduce hearsay testimony about a rape respondent was never charged with committing. Expert witnesses may introduce hearsay evidence to explain the basis of their opinions at an article 10 trial if two criteria are satisfied: the proponent must demonstrate through evidence that the hearsay is reliable, and the court must determine that the probative value in helping the jury evaluate the expert's opinion substantially outweighs its prejudicial effect. Hearsay evidence about uncharged crimes fails to meet the reliability prong of that test and must be excluded unless the underlying allegations are supported by an admission from the respondent or extrinsic evidence. The expert based his testimony about the alleged rape on hearsay information from a presentence report, which indicated that the allegations were based on a sworn statement made by a police detective who investigated respondent's offenses and spoke to the victim. The allegations in the presentence report, however, were not supported by any other evidence and respondent never admitted that he committed the uncharged rape. Hearsay information from a presentence report is not so inherently reliable that it, alone, can sustain the admission of such testimony. That the hearsay may have been derived from a sworn statement was also not enough to independently support its admission at trial.

Crimes — Sex Offenders — Civil Commitment or Supervision — Admission of Hearsay Evidence — Harmless Error

2. In a Mental Hygiene Law article 10 proceeding seeking a determination that respondent was a detained sex offender requiring civil management,

Supreme Court's error in permitting the State's expert witness to introduce hearsay testimony about a rape respondent was never charged with committing was harmless under the circumstances. The witness presented limited testimony about the uncharged rape, and he stated that respondent had never admitted committing that crime, a point Supreme Court reiterated during its jury instructions. The State's case instead focused primarily on three violent rapes respondent was convicted of committing, his extensive disciplinary record, and failure to complete sex offender treatment, among other factors that, in the witness's opinion, demonstrated that respondent suffered from a mental abnormality. The witness's statements about the uncharged rape also did not discredit the testimony of respondent's expert witness, which placed less emphasis on respondent's offenses and more on his "progress" in sex offender treatment. In sum, notwithstanding the hearsay testimony about the uncharged rape, the jury had sufficient admissible evidence before it upon which to find that respondent suffered from a mental abnormality, and there was no reasonable possibility that, had that testimony been excluded, the jury would have reached a different verdict.

Appeal — Preservation of Issue for Review — Sufficiency of Objections at Trial

3. In a Mental Hygiene Law article 10 proceeding seeking a determination that respondent was a detained sex offender requiring civil management, respondent failed to preserve his argument that the statements contained in the sex offender treatment evaluations about which the State's expert witness testified constituted unreliable hearsay that should have been excluded at trial. Respondent's trial counsel made only a general, pro forma objection to the witness's testimony about the treatment evaluations, and when the trial judge declined to have a side bar at that moment, counsel never pursued the objection or provided any explanation or basis for it. Counsel's general objection did not adequately alert the trial court to the hearsay arguments that respondent raised on appeal, and those claims were therefore beyond review.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 659, 705; AM JUR 2d, Mentally Impaired Persons §§ 125, 139.

CARMODY-WAIT 2d, Appeals in General §§ 70:94–70:96, 70:333, 70:443, 70:460, 70:462.

NY JUR 2d, Appellate Review §§ 77, 563, 595, 601, 603, 604, 754, 765, 766; NY JUR 2d, Penal and Correctional Institutions §§ 45–52.

SIEGEL, NY PRAC § 530.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Harmless and Prejudicial Error; Hearsay; Incompetent or Insane Persons.

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POINTS OF COUNSEL

Marvin Bernstein, Mental Hygiene Legal Service, New York City (*Deborah P. Mantell, Sadie Z. Ishee and Maura M. Klugman* of counsel), for appellant. I. The trial court's error in allowing the State to introduce unreliable and prejudicial accusations that respondent committed an uncharged third sexual assault in 1997 was not harmless where the information was used to establish mental abnormality and undermined the opinions of respondent's expert witness. (*Matter of State of New York v Floyd Y.*, 22 NY3d 95; *People v Crimmins*, 36 NY2d 230; *Kansas v Crane*, 534 US 407; *People v Goldstein*, 6 NY3d 119; *United States v James*, 712 F3d 79; *Matter of State of New York v Andrew O.*, 16 NY3d 841.) II. The trial court erred by allowing the State to introduce the opinions of unidentified and nonpresent staff from a prison sex offender treatment program. (*Matter of State of New York v Floyd Y.*, 22 NY3d 95; *Wagman v Bradshaw*, 292 AD2d 84; *Ainetchi v 500 W. End LLC*, 51 AD3d 513; *Matter of State of New York v Andrew O.*, 16 NY3d 841; *People v Wood*, 66 NY2d 374; *Elshaarawy v U-Haul Co. of Miss.*, 72 AD3d 878; *Erosa v Rinaldi*, 270 AD2d 384; *Flamio v State of New York*, 132 AD2d 594; *Sigue v Chemical Bank*, 284 AD2d 246.)

Eric T. Schneiderman, Attorney General, New York City (*Claude S. Platten, Barbara D. Underwood and Steven C. Wu* of counsel), for respondent. I. Supreme Court correctly allowed the State's expert to testify regarding the fourth rape recounted in the presentence report. (*People v Goldstein*, 6 NY3d 119; *Matter of State of New York v Floyd Y.*, 22 NY3d 95; *People v Mingo*, 12 NY3d 563; *People v Hicks*, 98 NY2d 185; *People v Whitehead*, 46 AD3d 715; *People v Charnoff*, 121 AD2d 734; *People v Cruickshank*, 105 AD2d 325; *People v Gensler*, 72 NY2d 239; *People v Black*, 33 AD3d 338; *Hili v Sciarrotta*, 140 F3d 210.) II. Supreme Court correctly allowed the State's expert to testify regarding evaluations of respondent's progress in sex offender treatment. (*People v Tonge*, 93 NY2d 838; *People v Rivera*, 73 NY2d 941; *People v Ford*, 69 NY2d 775; *Harvey v Mazal Am. Partners*, 79 NY2d 218; *People v Goodson*, 57 NY2d 828; *People v Gray*, 86 NY2d 10; *People v Mingo*, 12 NY3d 563; *People v Ortega*, 15 NY3d 610; *Williams v Alexander*, 309 NY 283; *People v Kohlmeier*, 284 NY 366.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

We hold that, in this Mental Hygiene Law article 10 proceeding, Supreme Court erred by permitting an expert witness to

introduce hearsay testimony about a crime respondent Charada T. was never charged with committing, but that this error was harmless under the circumstances.

Respondent Charada T. has been convicted of committing three violent sex offenses, two of which occurred within the span of an hour. Close to midnight on September 16, 1997, respondent attacked a woman on the street in Manhattan by choking her until she lost consciousness, striking her repeatedly in the head, and forcing her to perform oral sex on him. About 40 minutes later on September 17th, respondent attacked another woman by choking her with a payphone cord and striking her in the head before penetrating her vaginally and anally. Respondent also forced the victim to perform oral sex on him while threatening her with a razor. After his arrest, respondent admitted to the police that he choked the September 16th victim and orally sodomized her. Respondent was later indicted on multiple counts related to both September 1997 offenses. He pleaded guilty to rape in the first degree (Penal Law § 130.35), sodomy (Penal Law § 130.50), and assault in the second degree (Penal Law § 120.05) in satisfaction of all charges and was sentenced to 12 years in prison.

In 2002, while respondent was serving his sentence for the 1997 convictions, DNA evidence linked him to a rape he committed on July 7, 1996 while on parole for selling drugs. In that incident, respondent lured a woman who approached him to buy drugs to a rooftop and forced her to have sex with him by punching her in the face. Respondent pleaded guilty to rape in the first degree and was sentenced to 13 years in prison.

A presentence report prepared in connection with respondent's 1997 convictions (hereinafter, 1997 presentence report) alleges that respondent committed a fourth rape within 24 hours of his other two September 1997 offenses. That record alleges that, at around 2:14 a.m. on September 18, 1997, respondent dragged a female victim between a garbage dumpster and a construction site near the Port Authority bus terminal, stripped her of her blouse and coat, choked her, and vaginally raped her. The 1997 presentence report indicates that the allegations were based on a sworn statement made by a New York City police detective who investigated respondent's offenses and spoke to the victim. Respondent never admitted to committing the fourth rape and was never charged in connection with that offense, although according to the 1997 presentence report, he admitted to police that he was in the vicinity of the Port Authority near the time of the rape for the purpose of soliciting a prostitute.

While incarcerated for his rape convictions, respondent was cited for dozens of disciplinary offenses and infractions. One incident, in which respondent was discovered hiding in the dark in the correctional officers' restroom, resulted in stalking charges and respondent's expulsion from sex offender treatment. Respondent was also placed in the special housing unit after he grabbed a female correctional officer and pulled her toward the bars of his cell while he was masturbating.

As respondent's release date approached, the State of New York (the State) commenced the instant article 10 proceeding seeking a determination that respondent is a detained sex offender requiring civil management. Prior to trial, respondent moved to preclude the State's expert witness, Dr. Roger Harris, from presenting hearsay basis testimony about the uncharged rape. The State opposed the motion, arguing that this hearsay information was reliable because it came from a presentence report, an official record mental health professionals customarily rely upon in forming opinions in article 10 proceedings. Supreme Court denied the motion, ruling that the State could elicit testimony from Dr. Harris about the uncharged rape.

Dr. Harris testified at trial that, based on his review of respondent's criminal, prison, and mental health records, he concluded that respondent suffers from a mental abnormality that predisposes him to commit sex offenses and causes him serious difficulty controlling that conduct (*see* Mental Hygiene Law § 10.03 [i]). Dr. Harris testified in detail about respondent's three rape convictions; he also stated that respondent had been accused of another "incident" near the Port Authority "about 24 hours" after the September 1997 rapes. Dr. Harris briefly described the alleged fourth rape and noted that, unlike respondent's other sex offenses, respondent had "not acknowledged" committing this crime, though he had "place[d] himself in th[e] vicinity."

Dr. Harris testified that, in his view, respondent suffers from three conditions: paraphilia not-otherwise-specified (NOS), personality disorder with antisocial traits, and alcohol abuse. In explaining how these disorders affect respondent's mental abnormality, Dr. Harris focused primarily on respondent's sex offenses that resulted in convictions, respondent's descriptions of those offenses as recounted in writings he prepared during sex offender treatment, and his prison disciplinary record. Particularly, Dr. Harris testified that, based on the brutality of respondent's rapes, his expressed sexual arousal at the violent

sexual assaulting of women, and his impulsive misconduct toward the corrections officer, respondent had violent and sadistic tendencies, as well as a lack of volitional control, which predisposed him to commit further sex offenses.

Dr. Harris described respondent's failure to complete prison sex offender treatment on three occasions between 2001 and 2010. Dr. Harris stated that near the end of respondent's second and only significant period in sex offender treatment in 2006 and 2007, treatment staff told him that his progress was not sufficient. Dr. Harris then testified, over a general objection by respondent's counsel, that he reviewed evaluations prepared by treatment providers after respondent had been "disconnected" from treatment. These evaluations stated that respondent "did not understand his sexual assault cycle" and minimized his behavior, and that his treatment had been terminated as "unsuccessful."

Respondent's expert, Dr. Don Greif, testified that he agreed with Dr. Harris that respondent suffers from alcohol abuse and personality disorder with antisocial traits, but opined that, in his view, these disorders do not prevent respondent from controlling his behavior. Dr. Greif also disagreed with the paraphilia NOS diagnosis because he concluded that respondent's sex offenses were motivated by feelings of rage and hostility, and a wish to exert power over his victims, rather than to achieve sexual arousal by coercion. According to Dr. Greif, respondent's rapes included "sadistic elements" indicating respondent "wanted to hurt his victims," but it was "not clear that his sexual arousal depended on" hurting or humiliating them. Dr. Greif also opined that, although respondent did not complete sex offender treatment, his progression through several stages and his writings indicated that he was "making an honest and full fledged attempt to come to terms with what he had done."

After the close of proof, Supreme Court instructed the jury that expert testimony about hearsay statements from respondent's records was "admitted for the limited purpose of informing you as to the basis of the expert's opinions" and should "not . . . be considered as establishing the truth of those out-of-court statements." Regarding the uncharged rape, the court reminded the jury that respondent "has never acknowledged that he committed those acts nor has he ever been convicted of those acts" and, therefore, testimony about that alleged crime should be considered only "for the purpose of evaluating the experts[] findings and understanding the basis of their conclusions."

The jury returned a verdict finding that respondent suffers from a mental abnormality. Following a dispositional hearing, Supreme Court determined that respondent is a dangerous sex offender in need of confinement and committed him to a secure treatment facility. Respondent appealed and the Appellate Division affirmed (*see Matter of State of New York v Charada T.*, 107 AD3d 528 [1st Dept 2013]). This Court granted respondent leave to appeal (22 NY3d 857 [2013]) and we now affirm.

Expert witnesses may introduce hearsay evidence to explain the basis of their opinions at an article 10 trial if “two criteria” are satisfied (*Matter of State of New York v Floyd Y.*, 22 NY3d 95, 109 [2013]). “First, the proponent must demonstrate through evidence that the hearsay is reliable. Second, the court must determine that the ‘probative value in helping the jury evaluate the expert’s opinion substantially outweighs its prejudicial effect’ ” (*id.*, citing Fed Rules Evid rule 703 [alterations omitted]). Hearsay evidence about uncharged crimes fails to meet the reliability prong of this test and must be excluded unless the underlying allegations are supported by an admission from the respondent or extrinsic evidence (*see id.* at 110).

[1] Applying this standard, we conclude that the trial court abused its discretion by allowing Dr. Harris to testify about the uncharged rape. Dr. Harris based his testimony about this alleged crime on hearsay information from the 1997 presentence report. The State argues that, because this hearsay came from a presentence report, it should be deemed reliable. As we explained in *Matter of State of New York v John S.* (23 NY3d 326 [2014] [decided today]), hearsay information from a presentence report “bears certain indicia of reliability that, if supported by other reliable evidence at an article 10 trial, may warrant the admission of basis testimony about uncharged crimes”; however, the information “is not so inherently reliable that it, alone, can sustain the admission of such testimony” (*id.* at 347). Here, the allegations in the 1997 presentence report were not supported by any other evidence and, as was mentioned at several points during trial, respondent has never admitted that he committed the uncharged rape. Although the presentence report states that respondent allegedly told police that he was near the Port Authority bus terminal when that crime was committed, this statement does not constitute an admission from respondent or otherwise provide a sufficient basis of reliability (*see id.*). That the hearsay may have been derived from a sworn statement is also not enough to independently support its admis-

sion at trial. Accordingly, the hearsay basis testimony about the uncharged rape should have been excluded.

[2] Nevertheless, we agree with the Appellate Division and the State that the trial court's admission of the unreliable hearsay was harmless error (*see id.*). Dr. Harris presented limited testimony about the uncharged rape, and he stated that respondent has never admitted committing this crime, a point the trial court reiterated during its jury instructions. The State's case instead focused primarily on the three violent rapes respondent was convicted of committing, his extensive disciplinary record, and failure to complete sex offender treatment, among other factors that, in Dr. Harris's opinion, demonstrated that respondent suffered from a mental abnormality. Dr. Harris's statements about the uncharged rape also did not discredit Dr. Greif's testimony, which placed less emphasis on respondent's offenses and more on his "progress" in sex offender treatment. In sum, notwithstanding the hearsay testimony about the uncharged rape, the jury had sufficient admissible evidence before it upon which to find that respondent suffers from a mental abnormality, and there is "no reasonable possibility" that, had this testimony been excluded, the jury would have reached a different verdict (*id.* at 348 [internal quotation marks omitted]; *see Matter of State of New York v Mark S.*, 87 AD3d 73, 78 [3d Dept 2011], *lv denied* 17 NY3d 714 [2011]; *Matter of State of New York v Fox*, 79 AD3d 1782, 1783 [4th Dept 2010]).

[3] Finally, respondent failed to preserve his argument that the statements contained in the sex offender treatment evaluations constitute unreliable hearsay that should have been excluded at trial. Respondent's trial counsel made only a general, pro forma objection to Dr. Harris's testimony about the treatment evaluations, and when the trial judge declined to have a sidebar at that moment, counsel never pursued the objection or provided any explanation or basis for it. Counsel's general objection did not adequately alert the trial court to the hearsay arguments that respondent now raises on appeal, and these claims are therefore beyond our review (*see Harvey v Mazal Am. Partners*, 79 NY2d 218, 225 [1992]; *People v Ford*, 69 NY2d 775, 776 [1987]). We disagree with respondent that finding this issue preserved would cause no prejudice given that the State was deprived of the opportunity to rebut his evidentiary challenge at trial where the trial court could have remedied the alleged hearsay problem or at least ruled on it.

Accordingly, the Appellate Division order should be affirmed, without costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and RIVERA concur.

Order affirmed, without costs.

[14 NE3d 970, 991 NYS2d 386]

In the Matter of ALLEN B., Respondent, v CHRISTINE A. SPROAT, Justice of the Supreme Court, Dutchess County, et al., Appellants, et al., Respondent.

In the Matter of ROBERT T., Respondent, v CHRISTINE A. SPROAT, Justice of the Supreme Court, Dutchess County, et al., Appellants, et al., Respondent.

Argued March 24, 2014; decided May 13, 2014

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from a judgment of that Court, entered November 28, 2012, in a proceeding pursuant to CPLR article 78. The Appellate Division (1) granted, on the law, the petition for a writ of prohibition, and (2) prohibited respondents from enforcing or taking action to enforce the provision of the amended order of conditions of the Supreme Court, Dutchess County (Christine A. Sproat, J.), which directed that should the petitioner fail to comply with any of the other conditions imposed in that order “and refuse to appear for or comply with a psychiatric examination,” the Commissioner of the New York State Office of Mental Health “shall apply to the court for a Temporary Confinement Order for the purpose of conducting an effective psychiatric examination in a secure facility.” The following question was certified by the Appellate Division: “Was the decision and judgment of this Court dated November 28, 2012, properly made?”

APPEAL, in the second above-entitled proceeding, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from a judgment of that Court, entered November 28, 2012, in a proceeding pursuant to CPLR article 78. The Appellate Division (1) granted, on the law, the petition for a writ of prohibition, and (2) prohibited respondents from enforcing or taking action to enforce the provision of the amended order of conditions of the Supreme Court, Dutchess County (Christine A. Sproat, J.), which directed that should the petitioner fail to comply with any of the other conditions imposed in that order “and refuse to appear for or comply with a psychiatric examination,” the Commissioner of the New York State Office of Mental Health “shall apply to the court for a Temporary Confinement Order for the purpose of conducting

an effective psychiatric examination in a secure facility.” The following question was certified by the Appellate Division: “Was the opinion and judgment of this Court dated November 28, 2012, properly made?”

Matter of Allen B. v Sproat, 100 AD3d 989, reversed.

Matter of Robert T. v Sproat, 102 AD3d 176, reversed.

HEADNOTES

Mental Health — Person Acquitted of Crime by Reason of Insanity — Procedure Following Verdict or Plea — Order of Conditions — Effective-Evaluation Provision

1. CPL 330.20 does not prohibit a supervising court from including in an order of conditions a provision allowing the New York State Office of Mental Health (OMH) to seek judicial approval of a mandatory psychiatric evaluation in a secure facility when a defendant found not responsible by reason of mental disease or defect fails to comply with the conditions of his or her release and refuses to undergo voluntary examination. When a judge finds that an individual found not responsible for criminal acts by reason of mental disease or defect, who was initially committed as a track-one defendant suffering from a dangerous mental disorder, no longer suffers from a dangerous mental disorder and is not mentally ill, the judge must issue a release order, along with an order of conditions that incorporates a written service plan and contains any conditions that “the court determines to be reasonably necessary or appropriate” (CPL 330.20 [1] [o]; [12]). The orders may be extended for good cause. Section 330.20 allows the court to fashion orders of conditions in whatever way most effectively protects the public while serving the defendant’s interest in remaining in the least restrictive environment possible. OMH has the responsibility to determine that defendant receives the specified services and complies with the conditions. While CPL 330.20 (14) provides a procedure for recommitment that includes notice and a hearing when the defendant again exhibits a dangerous mental disorder, nothing suggests that the legislature intended that procedure to displace a court’s ability to fashion more limited remedies to detect or redress the deterioration of a track-one defendant’s mental health.

Mental Health — Person Acquitted of Crime by Reason of Insanity — Procedure Following Verdict or Plea — Order of Conditions — Effective-Evaluation Provision — Due Process

2. The due process rights of petitioners, individuals found not responsible for criminal acts by reason of mental disease or defect, who were initially committed as track-one defendants suffering from dangerous mental disorders, then released from confinement after a finding that they no longer suffered from dangerous mental disorders and were not mentally ill, were not violated by the inclusion of a provision, in a supervising court’s order of conditions, allowing the New York State Office of Mental Health (OMH) to seek judicial approval of a mandatory psychiatric evaluation in a secure facility when petitioners fail to comply with the release conditions and refuse to undergo voluntary examination. The language of the “effective-evaluation provision” did not suggest that the court would issue an examination order ex parte or without notice or a hearing. Rather, the provision allows OMH to make an application to the supervising judge, who retains discretion to require whatever procedures

he or she deems necessary to protect a track-one defendant's rights and properly decide the application. Moreover, the provision was limited and targeted; it contemplated temporary removal to an OMH facility, and only after the court found that the defendant both neglected to comply with court-ordered conditions and refused to be evaluated. The State has a strong interest in immediately removing from the streets noncompliant patients who have previously committed violent crimes and remain at risk of doing so again if their mental health worsens.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 82, 83.

CARMODY-WAIT 2d, Verdict and Postverdict Proceedings
§§ 202:62, 202:74, 202:81, 202:84.

MC KINNEY'S, CPL 330.20.

NY JUR 2d, Criminal Law: Procedure §§ 2885, 2888, 2890.

ANNOTATION REFERENCE

Validity of conditions imposed when releasing person committed to institution as consequence of acquittal of crime on ground of insanity. 2 ALR4th 934.

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, New York City (Andrew W. Amend, Barbara D. Underwood and Steven C. Wu of counsel), for appellants in the first and second above-entitled proceedings. Effective-evaluation provisions fall well within CPL 330.20's broad grant of authority to courts charged with supervising insanity acquittees. (Matter of Nicholson v State Commn. on Jud. Conduct, 50 NY2d 597; Matter of Schumer v Holtzman, 60 NY2d 46; Matter of Francis S., 206 AD2d 4, 87 NY2d 554; Matter of George L., 85 NY2d 295; Matter of Jill ZZ., 83 NY2d 133; Matter of Oswald N., 87 NY2d 98; People v Stone, 73 NY2d 296; Matter of K.L., 1 NY3d 362; C.R. v Adams, 649 F2d 625.)

Lesley M. DeLia, Mental Hygiene Legal Service, Mineola (Lisa Volpe, Scott Wells and Dennis B. Feld of counsel), for respondents in the first and second above-entitled proceedings. Under the existing statutory scheme of CPL 330.20, and in accord with constitutional due process, an order of conditions may not

properly contain an ex parte enforcement provision authorizing the temporary confinement of a conditionally released acquittee. (*Matter of Oswald N.*, 87 NY2d 98; *Matter of Albert F.*, 5 AD3d 5; *Matter of Oliver C. v Weissman*, 203 AD2d 458; *People v Stone*, 73 NY2d 296; *Arons v Jutkowitz*, 9 NY3d 393; *Morales v County of Nassau*, 94 NY2d 218; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Matter of George L.*, 85 NY2d 295; *Matter of Francis S.*, 206 AD2d 4.)

Kathleen M. Rice, District Attorney, Mineola (*Jacqueline Rosenblum*, *Tammy J. Smiley* and *Rebecca Abensur* of counsel), for District Attorneys Association of the State of New York, amicus curiae in the first and second above-entitled proceedings. The Appellate Division, Second Department's order is inconsistent with the purpose of the statute to ensure public safety and therefore should be reversed. (*Matter of Francis S.*, 87 NY2d 554; *Matter of Oswald N.*, 87 NY2d 98; *Matter of Norman D.*, 3 NY3d 150.)

OPINION OF THE COURT

READ, J.

The issue common to these appeals is whether a supervising court may include in an order of conditions a provision allowing the New York State Office of Mental Health (OMH) to seek judicial approval of a mandatory psychiatric evaluation in a secure facility when a defendant found not responsible by reason of mental disease or defect fails to comply with the conditions of his release and refuses to undergo voluntary examination. For the reasons that follow, we hold that Criminal Procedure Law § 330.20 does not prohibit inclusion of such a requirement (which OMH calls an “effective-evaluation provision”) in an order of conditions, and therefore reverse. To put our holding in context, we begin with an overview of the post-verdict procedures established by section 330.20.

I.

The Examination Order

Following an insanity verdict or plea, the trial judge must immediately order a psychiatric examination of the defendant, to be followed by an initial hearing to determine the defendant's current mental state (*see* CPL 330.20 [2]-[6]). The examination usually takes place in a secure facility for a period not exceeding

30 days, subject to extension upon application by the Commissioner of OMH (the Commissioner) to the court (*see id.* § 330.20 [4]); at least two qualified psychiatric examiners must examine the defendant and prepare reports for submission, in the first instance, to the Commissioner, and then to the judge (*see id.* § 330.20 [2], [5], [15]).

The Initial Hearing, Commitment Orders and Orders of
Condition

Within 10 days after receipt of the examination reports, the trial judge must conduct an initial hearing to classify the defendant as track one, two or three (*see id.* § 330.20 [6], [7]; *see also People v Stone*, 73 NY2d 296, 300 [1989]). Track-one defendants are those found by the trial judge to suffer from a dangerous mental disorder; i.e., a mental illness that makes them “a physical danger to [themselves] or others” (*see id.* § 330.20 [1] [c]; [6]). Track-two defendants are mentally ill,¹ but not dangerous (*see id.* § 330.20 [1] [d]; [6], [7]), while track-three defendants are neither dangerous nor mentally ill (*see id.* § 330.20 [7]). “Track status, as determined by the initial commitment order, governs the acquittee’s level of supervision in future proceedings and may be overturned only on appeal from that order, not by means of a rehearing and review” (*Matter of Norman D.*, 3 NY3d 150, 152 [2004]).

The trial judge must issue a commitment order consigning track-one defendants to the custody of the Commissioner for confinement in a secure facility for care and treatment for six months (*see id.* § 330.20 [1] [f]; [6]). Track-two defendants are ordered into the Commissioner’s custody for detention in a non-secure (civil) facility, subject to an order of conditions (*see id.* § 330.20 [1] [o]; [7]). The order committing a track-two defendant is deemed made pursuant to the Mental Hygiene Law rather than section 330.20; concomitantly, subsequent proceedings

1. The statute defines a “mentally ill” defendant to include one who “currently suffers from a mental illness for which care and treatment as a patient, in the in-patient services of a psychiatric center under the jurisdiction of [OMH], is essential to such defendant’s welfare and [whose] judgment is so impaired that he is unable to understand the need for such care and treatment” (CPL 330.20 [1] [d]). Where a defendant is mentally retarded, “mentally ill” also means, for purposes of section 330.20, “that the defendant is in need of care and treatment as a resident in the in-patient services of a developmental center or other residential facility for the mentally retarded and developmentally disabled under the jurisdiction of the state office of mental retardation and developmental disabilities” (*id.*).

regarding retention, conditional release or discharge of a track-two defendant are governed by articles 9 (mentally ill) or 15 (mentally retarded) of the Mental Hygiene Law (*see id.* § 330.20 [7]). Track-three defendants are discharged either unconditionally or, in the judge's discretion, with an order of conditions (*see id.*; *see also id.* § 330.20 [1] [n] [a discharge order is defined as "an order terminating an order of conditions or unconditionally discharging a defendant from supervision under the provisions of (section 330.20)]").

An order of conditions is "an order directing a defendant to comply with [the] prescribed treatment plan, or *any other condition which the court determines to be reasonably necessary or appropriate*, and, in addition, where a defendant is in custody of the commissioner, not to leave the facility without authorization" (*see id.* § 330.20 [1] [o] [emphasis added]; *see also id.* § 330.20 [12], discussed *infra*). Such orders are valid for five years and may be extended for good cause shown (*see id.* § 330.20 [1] [o]; *see also Matter of Oswald N.*, 87 NY2d 98, 105 [1995]).

First and Subsequent Retention Hearings:

Retention Orders, Transfer Orders and Release Orders

At least 30 days before a track-one defendant's initial six-month commitment period lapses, the Commissioner must apply to the trial judge, or a superior court in the county where the defendant is securely housed, for a first retention order or a release order (*see id.* § 330.20 [8]). The Commissioner must give written notice of this application to the district attorney, the defendant, his counsel and the Mental Hygiene Legal Service. Upon receipt of the application, the judge on his own motion may, or upon timely demand by one of those individuals or entities receiving notice must, conduct a hearing.

If the judge finds that the track-one defendant still suffers from a dangerous mental disorder, he must issue a first retention order, authorizing secure confinement for another year, and thereafter (before expiration of the first, second and any subsequent retention orders, and assuming the defendant's dangerous mental disorder persists) for succeeding periods of up to two years (*see id.* § 330.20 [1] [g]-[i]; [8], [9]). Alternatively, if the judge finds during a first or subsequent retention proceeding that a track-one defendant is mentally ill but no longer suffers from a dangerous mental disorder, he must issue a retention

order along with a transfer order and an order of conditions (*see id.* § 330.20 [8], [9], [11]). In the event that the judge finds that the defendant no longer suffers from a dangerous mental disorder and is not mentally ill, he must issue a release order and an order of conditions (*see id.* § 330.20 [8], [9], [12]).

A transfer order directs the Commissioner to move the defendant from secure to nonsecure confinement (*see id.* § 330.20 [1] [l]). A release order directs the Commissioner to terminate the defendant's in-patient status without ending his responsibility for the defendant (*see id.* § 330.20 [1] [m]). When a defendant is in the Commissioner's custody before expiration of the period prescribed in a first, second or subsequent retention order, the same procedures govern application for issuance of any subsequent retention order (*see id.* § 330.20 [9]).

Transfer Orders Generally

At any time while the track-one defendant is in the Commissioner's custody pursuant to a retention or recommitment order, the Commissioner may apply to the court that issued the order then in effect, or to a superior court in the county where the defendant is securely housed, for a transfer order if, in his view, the defendant no longer suffers from a dangerous mental disorder, or, "consistent with the public safety and welfare of the community and the defendant, the [defendant's] clinical condition . . . warrants" the lesser level of confinement (*see id.* § 330.20 [11]). The Commissioner must give 10 days' written notice of this application to the district attorney, the defendant, his counsel and the Mental Hygiene Legal Service.

Upon receipt of the application, the judge on his own motion may, or upon demand by the district attorney must, conduct a hearing on the application. He must grant the application and issue the transfer order, along with an order of conditions, if he finds that the defendant does not suffer from a dangerous mental disorder, or that the defendant's transfer from secure to nonsecure detention is consistent with public safety and welfare of the community and the defendant, and is warranted by the defendant's clinical condition.

Release Orders Generally

At any time while the track-one defendant is in his custody pursuant to a retention or recommitment order, the Commissioner may apply to the court that issued the order then in effect, or to a superior court in the county where the defendant is

housed, for a release order if, in the Commissioner's view, the defendant no longer suffers from a dangerous mental disorder and is not mentally ill (*see id.* § 330.20 [12]). The Commissioner must give 10 days' written notice of this application to the district attorney, the defendant, his counsel and the Mental Hygiene Legal Service.

Upon receipt of the application, the judge must promptly hold a hearing to determine the defendant's present mental condition. If the judge finds that the defendant suffers from a dangerous mental disorder, he must deny the application for a release order; if he finds that the defendant does not suffer from a dangerous mental disorder but is mentally ill, he must issue a transfer order, with an order of conditions, assuming the defendant is still confined in a secure facility.

But if the judge finds that the defendant does not suffer from a dangerous mental disorder and is not mentally ill, he must grant the Commissioner's application and issue a release order, with an order of conditions. Further,

“[t]he order of conditions issued in conjunction with a release order shall incorporate a written service plan prepared by a psychiatrist familiar with the defendant's case history and approved by the court, and shall contain *any conditions that the court determines to be reasonably necessary or appropriate. It shall be the responsibility of the commissioner to determine that such defendant is receiving the services specified in the written service plan and is complying with any conditions specified in such plan and the order of conditions*” (*id.* [emphasis added]).

Recommitment Orders

At any time while an order of conditions remains in effect, the Commissioner or a district attorney may apply to the court that issued the order, or a superior court in the county where the track-one defendant then resides, for a recommitment order when, in the applicant's view, the defendant again exhibits a dangerous mental disorder (*see id.* § 330.20 [14]; *see also id.* § 330.20 [1] [f]). The applicant must give written notice to the defendant, his counsel and the Mental Hygiene Legal Service, and, if the applicant is the Commissioner, to the district attorney or, if the applicant is the district attorney, to the Commissioner.

Upon receipt of the application, the judge must order the defendant to appear for a hearing to determine his mental status.

This order takes the form of a written notice of the time and place of appearance, served either personally or by mail. If the defendant fails to appear in court as directed, the judge may issue a warrant directing a peace officer to take him into custody and bring him before the court, and may direct that the defendant be confined in an appropriate nearby institution (*see id.* § 330.20 [14]).

At the hearing, the applicant must satisfy the judge that the defendant suffers from a dangerous mental disorder. If the applicant succeeds, the judge must issue a recommitment order, again consigning the defendant to a secure facility for care and treatment for six months. The periodic retention reviews then begin anew (*see id.*; *see also id.* § 330.20 [1] [f]).

II.

Robert T.

In July 1995, Robert T., who had a history of psychiatric problems dating back to 1969, in an apparent suicide attempt intentionally drove his car into oncoming traffic and killed another motorist. Robert T. was charged with second-degree manslaughter (Penal Law § 125.15 [1]), and was subsequently found not responsible for this crime by reason of mental disease or defect. The trial judge determined that Robert T. suffered from a dangerous mental disorder, and in March 1996 committed him to a secure OMH facility. In October 1997, Robert T. was transferred, subject to an order of conditions, to a nonsecure OMH facility.

In August 2002, Robert T. was released from confinement into the community, subject to a five-year order of conditions. The order was extended for three years in 2007. In connection with an application in 2010 to extend the order yet again, OMH submitted materials reflecting the hospital forensic committee's view that Robert T. exhibited an adversarial attitude toward the requirements of his order of conditions, was not always forthcoming in treatment and was unable to use coping skills to manage stressful situations. Robert T.'s treatment team concluded that he continued to display a number of the risk factors that led to his decision to drive recklessly in 1995, which made him "vulnerable to act violently"; further, that Robert T. had a history of reducing the medications necessary for management of his mental condition. The treatment team and the committee unanimously recommended an extension of Robert T.'s order of conditions.

In its proposed order, OMH asked the court to include the following related provisions:

“ORDERED that should the defendant fail to comply with any of the above conditions, or in the event the treatment team becomes aware of a change in his/her mental condition that indicates an emergence of risk factors, he/she shall submit to a psychiatric examination by the staff of the monitoring OMH facility as designated by that Clinical Director.

“ORDERED that should the defendant fail to comply with any of the above conditions and refuse to appear for or comply with a psychiatric examination, the Commissioner shall apply to the court for a Temporary Confinement Order for the purpose of conducting an effective psychiatric examination in a secure facility.”

Robert T. objected to the second of the above-stated requirements—the effective-evaluation provision—on the ground that it conflicted with the recommitment procedures in Criminal Procedure Law § 330.20 (14). Supreme Court Justice Sproat rejected his complaint, and included the provision in an amended order of conditions issued on December 16, 2010.

Allen B.

In 1993, Allen B., who had a long history of hospitalizations and arrests for violent acts, set fire to an occupied building. He had been drinking and was suffering heroin withdrawal at the time. Allen B. was charged with second-degree arson (Penal Law § 150.15) and first-degree reckless endangerment (*id.* § 120.25); he was subsequently found not responsible for these crimes by reason of mental disease or defect. The trial judge determined that Allen B. suffered from a dangerous mental disorder, and in January 1994 committed him to a secure OMH facility. In July 1995, Allen B. was transferred, subject to an order of conditions, to a nonsecure OMH facility.

In the fall of 2005, Allen B. was released from confinement into the community, subject to a five-year order of conditions. OMH sought to extend the order in 2010. At the time, Allen B. was living in housing operated by a not-for-profit human services agency, and was receiving outpatient services at an OMH psychiatric center, where he had an intensive case manager.

While crediting Allen B.'s progress and abstinence from drugs and alcohol, the hospital forensic committee noted his need for continued supervision to stay focused on his employment and mental health, and to function within his residential setting. The committee opined that Allen B. would pose a public safety risk if discharged from supervision.

OMH proposed an order with the effective-evaluation provision, and Allen B. protested that this requirement conflicted with the recommitment procedures in Criminal Procedure Law § 330.20 (14). Supreme Court Justice Sproat rejected his objection, and included the provision in an amended order of conditions issued on December 16, 2010.

Article 78 Petitions

Robert T. and Allen B. (collectively, petitioners) filed CPLR article 78 petitions in the Appellate Division against Justice Sproat, the Commissioner and the District Attorneys of Delaware (Allen B.) and Ulster (Robert T.) Counties. Petitioners sought writs of prohibition barring enforcement of the effective-evaluation provisions on the ground of inconsistency with Criminal Procedure Law § 330.20 (14)'s specific procedure for recommitment orders.

Both matters were submitted to the same panel of the Appellate Division. On November 28, 2012, the court decided in favor of Robert T., with one Justice dissenting, and granted his petition (102 AD3d 176 [2d Dept 2012]); and, in *Allen B.*, the panel, split along the same lines, granted the petition for the reasons stated in *Robert T.* (100 AD3d 989 [2d Dept 2012]).

The majority in *Robert T.* held that the effective-evaluation provision, which they called "an ex parte enforcement procedure for addressing violations of the amended order of conditions," was barred by the recommitment provisions in Criminal Procedure Law § 330.20 (14), the exclusive remedy "if an individual violates an order of conditions and has a history of dangerous mental disorder" (*Robert T.*, 102 AD3d at 182, 183). The majority reasoned that, because recommitment requires notice and an opportunity to be heard, the effective-evaluation provision conflicted with Criminal Procedure Law § 330.20 (14), and that Criminal Procedure Law § 330.20 (1) (o) and (12), which authorize the supervising court to impose "any other condition . . . determine[d] to be reasonably necessary or appropriate" could not be "conflated so as to ignore [Criminal Procedure Law § 330.20 (14)'s] due process protections" (*Robert T.*, 102 AD3d at 183).

The dissenting Justice distinguished recommitment—the prescribed procedure when a track-one defendant has decompensated to the point of dangerousness—from the effective-evaluation provision, a “preventive and preemptive mechanism” (*id.* at 191 [Rivera, J., dissenting]). He pointed out that nothing in Criminal Procedure Law § 330.20 precluded Supreme Court from employing the effective-evaluation provision as a “tool for monitoring a potential onset of symptomatology, anticipatory to a likely regression or decompensation”; indeed, “the legislature . . . expressly permitted [the supervising court] to issue conditions which it determine[d] to be ‘reasonably necessary or appropriate’ ” (*id.*).

Further, the dissenting Justice rejected Robert T.’s argument that the effective-evaluation provision violated his constitutional rights because

“[t]he disputed provision simply permits the Commissioner to apply to the court for a temporary confinement order for the purpose of conducting a psychiatric examination. The court, which is ultimately responsible for maintaining ongoing judicial supervision over [Robert T.’s] treatment, must then determine whether it is appropriate to grant or deny the application” (*id.* at 192).

Finally, he disputed the majority’s characterization of the effective-evaluation provision as “an ex parte enforcement procedure,” noting that Robert T. was given “ample notice and warning of what is expected of him, and of the consequences that may result should he fail to comply with the listed conditions and refuse to submit to a psychiatric examination” (*id.*).

Justice Sproat and the Commissioner moved in the Appellate Division for leave to appeal in both *Robert T.* and *Allen B.* On April 3, 2013, the court granted both motions, certifying the following question in each case: “Was the opinion and judgment of [the Appellate Division] dated November 28, 2012, properly made?” (2013 NY Slip Op 69361[U] [2013]; 2013 NY Slip Op 69385[U] [2013].)

III.

The extraordinary remedy of prohibition is available only where a judicial or quasi-judicial body acts or threatens to act “without or in excess of its jurisdiction and then only when the clear legal right to relief appears and, in the court’s discretion, the remedy is warranted” (*Matter of Schumer v Holtzman*, 60

NY2d 46, 51 [1983] [citations omitted]). Here, petitioners can prevail only if Criminal Procedure Law § 330.20 prohibits their restraint for any reason other than failure to obey a court order to appear for a recommitment hearing.

Section 330.20 mandates an order of conditions whenever a track-one defendant moves from secure to nonsecure confinement, or is no longer institutionalized (CPL 330.20 [11], [12]), and allows the court to fashion these orders in whatever way, in its judgment, most effectively protects the public while serving the defendant's interest in remaining in the least restrictive environment possible. "[T]he order of conditions is the vehicle by which the . . . court effectuates its continuing supervisory authority over" a defendant found not responsible for a crime by reason of mental disease or defect (*Matter of Jill ZZ.*, 83 NY2d 133, 138 [1994]). And while the Commissioner and the district attorney may appeal from an order of conditions, the defendant may not (*see* CPL 330.20 [21]). This insulates the supervising court from a defendant's attempt to argue that a condition, thought by the judge to be a necessary prophylactic measure, excessively restricts his freedom.

[1] Accordingly, section 330.20 authorizes orders that, along with a prescribed treatment plan, include "*any other condition which the court determines to be reasonably necessary or appropriate*" (CPL 330.20 [1] [*o*] [emphases added]). Notably, the statute repeats this broad language when describing the order of conditions that must accompany a release order, and further requires the Commissioner to "*determine that*" the defendant is "*complying with any conditions specified in [the written service plan] and the order of conditions*" (CPL 330.20 [12] [emphases added]).

The effective-evaluation provision enables OMH to evaluate a track-one defendant who does not comply with court-ordered conditions and refuses to be examined voluntarily. Track-one defendants are released into the community with the express understanding that they may endanger the public and themselves if their mental health declines. Indeed, reported cases illustrate the perils posed when such defendants do not follow the regime designed by mental-health professionals and imposed by courts to safeguard their stability and functioning in the community (*see e.g. Matter of Francis S.*, 206 AD2d 4, 8-11 [1st Dept 1994], *affd* 87 NY2d 554 [1995]; *Stone*, 73 NY2d at 298-299; *Matter of George L.*, 85 NY2d 295, 299 [1995]). The dangers of noncompliance are exacerbated when a track-one defendant

also refuses to submit to a psychiatric evaluation thereby denying vital information to the Commissioner, whom section 330.20 (12) makes responsible for ensuring compliance with orders of conditions issued with release orders.

Contrary to petitioners' argument, Criminal Procedure Law § 330.20 nowhere suggests that the legislature intended the recommitment procedure to displace a court's ability to fashion more limited remedies to detect or redress the deterioration of a track-one defendant's mental health. As already discussed, the legislature expressly vested courts with authority to impose "any other condition" determined "to be reasonably necessary or appropriate" (CPL 330.20 [1] [o]). Under petitioners' narrow interpretation of this language, OMH would be forced either to wait until the defendant exhibited overt signs of dangerousness and then pursue recommitment, or seek the return of every at-risk defendant to a secure facility for at least six months, even though less intrusive measures might suffice. The first option jeopardizes the public; both options compromise the defendant's welfare and cut against the grain of common sense.²

Petitioners' view of the statutory scheme also conflicts with our oft-espoused view that "the provisions of CPL 330.20 for imposing orders of conditions" are the means by "which the

2. The dissent suggests that OMH might, alternatively, resort to "the more broadly applicable civil emergency commitment provisions of Mental Hygiene Law article 9" (*see* dissenting op at 382). Petitioners agree. But this assumes that a track-one defendant is subject to article 9 while still under court supervision pursuant to section 330.20—i.e., before the supervising court issues a discharge order (*see* CPL 330.20 [1] [n]; [13]). As the dissent itself acknowledges, section 330.20 "comprehensively governs the disposition" of these particular defendants (dissenting op at 380). In any event (and perhaps for this reason), the Mental Hygiene Law does not account for the unique risks posed by track-one defendants who have, by definition, committed a crime and once been adjudged to suffer from a dangerous mental disorder. And, comparable to recommitment under Criminal Procedure Law § 330.20 (14), civil commitment under article 9 is available only for those individuals whose mental illness has already degenerated sufficiently to be "likely to result in serious harm to themselves or others" (*Matter of K.L.*, 1 NY3d 362, 368 n 1 [2004]). In short, article 9 does not permit the prophylactic intervention contemplated by an effective-evaluation provision.

Additionally, article 9 proceedings utilize standards appropriate for those with no prior history of mental illness or criminal violence, and therefore may not give proper weight to factors important for assessing the mental health of a track-one defendant. For example, substance abuse alone may not be enough to support commitment under article 9. But if a track-one defendant is directed to refrain from abusing drugs, a violation of that condition should be sufficient to justify a psychiatric evaluation. Here, for example, substance abuse strongly correlates with Allen B.'s past violent behaviors.

criminal court retains supervisory authority over insanity acquittees” (*Matter of Francis S.*, 87 NY2d 554, 562 [1995]). If a supervising court has no power to ensure that a defendant follows the order of conditions, it is hard to see how the court then carries out “continuous supervision over the acquittee . . . through an order of conditions” (*id.* at 563). Instead, the court would effectively be required to “abandon[] . . . all supervision of the acquittee [who does not abide by an order of conditions and] whose potential violent conduct is controllable only when medicated” until he has decompensated to the point of dangerous mental disorder—a result that the legislature “could not rationally have intended” given that it would “subject the public to [an] enormous risk” (*Matter of Oswald N.*, 87 NY2d 98, 104 [1995] [internal quotation marks omitted]).

We have interpreted other provisions in Criminal Procedure Law § 330.20 broadly, consistent with the legislative purpose. For example, we held in *Oswald N.* that a supervising court may properly impose conditions on a track-one defendant’s release for more than 10 years even though the statute does not expressly authorize such an extension. Instead, the statute in question—Criminal Procedure Law § 330.20 (1) (o)—states that an order of conditions “shall be valid for five years from the date of its issuance, except that, for good cause shown, the court may extend the period for an additional five years.” We observed that “nothing in the language of CPL 330.20 . . . affirmatively limits courts to only two consecutive five-year orders of conditions” (87 NY2d at 103). We have also determined that the requirement that the State prove “current dangerousness” does not “constrain a court to determining dangerousness as of the moment in time that a defendant is before it” (*George L.*, 85 NY2d at 305).

[2] As for petitioners’ due process objections, the language of the effective-evaluation provision does not in any way suggest that a court would issue an examination order *ex parte* or without notice or a hearing. This provision simply allows OMH to make an application to the supervising judge, who retains discretion to require whatever procedures he deems necessary to protect a track-one defendant’s rights and properly decide the application. Moreover, the effective-evaluation provision is limited and targeted; it contemplates a temporary removal to an OMH facility for only so much time as it takes to conduct an effective psychiatric examination, and only after the court finds that the track-one defendant has both neglected to comply with court-ordered conditions and refused to be evaluated.

In *Matter of K.L.*, we determined that the involuntary detention of a psychiatric patient for up to 72 hours, while a substantial deprivation of liberty, comported with due process. Part of our reasoning there was that “the state’s interest in immediately removing from the streets noncompliant patients previously found to be, as a result of their noncompliance, at risk of a relapse or deterioration likely to result in serious harm to themselves or others is quite strong” (1 NY3d at 373). This interest is even stronger in the case of track-one defendants like petitioners, who have committed violent crimes and remain at risk of doing so again if their mental health worsens.

Finally, we have examined petitioners’ other claims and consider them to be without merit.

Accordingly, in both cases the judgment of the Appellate Division should be reversed, without costs, the petition dismissed, and the certified question not answered as unnecessary.

Chief Judge LIPPMAN (dissenting). The question for our decision is not one of policy. It is whether there is law to authorize the State’s presently proposed initiative to securely confine conditionally released insanity acquittees outside the substantive and procedural due process framework set forth in CPL 330.20 (14).¹

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1. The statute provides in relevant part:

“Recommitment order. At any time during the period covered by an order of conditions an application may be made by the commissioner or the district attorney to the court that issued such order, or to a superior court in the county where the defendant is then residing, for a recommitment order *when the applicant is of the view that the defendant has a dangerous mental disorder. The applicant must give written notice of the application to the defendant, counsel for the defendant, and the mental hygiene legal service, and if the applicant is the commissioner he must give such notice to the district attorney or if the applicant is the district attorney he must give such notice to the commissioner. Upon receipt of such application the court must order the defendant to appear before it for a hearing to determine if the defendant has a dangerous mental disorder. Such order may be in the form of a written notice, specifying the time and place of appearance, served personally upon the defendant, or mailed to his last known address, as the court may direct. If the defendant fails to appear in court as directed, the court may issue a warrant to an appropriate peace officer directing him to take the defendant into custody and bring him before the court. In such circumstance, the court may direct that the defendant be confined in an appropriate institution located near the place where the court sits. The court must conduct a hearing to determine whether the defendant has a dangerous*

(n. cont’d)

It is not disputed that CPL 330.20—the provisions of which are recounted at length in the majority opinion—comprehensively governs the disposition of insanity acquittees. The determinative issue, then, is whether that statute contains any provision permitting what the State proposes, namely, the summary removal of a released insanity acquittee to a secure psychiatric facility based simply on ex parte allegations of noncompliance with treatment or monitoring requirements imposed at the time of the acquittee's release. The statute contains nothing answering to this description. It is, to the contrary, unequivocal, not only as to the singular substantive standard for recommitting insanity acquittees—namely, affliction with a dangerous mental disorder—but as to the process that must be afforded when secure recommitment is sought. The State's application must be made on notice to the defendant and his counsel; there must be a hearing on the application, at which the burden is upon the State to prove the substantive ground for recommitment; and, in the event an application is granted, there are statutorily prescribed commitment periods at the conclusion of which the propriety of any proposed retention of the defendant is subject to judicial review.

The State's contention, now made law by a vote of judges, that an insanity acquittee may be securely psychiatrically committed on the basis of mere allegations of noncompliance with mandated treatment or monitoring, significantly undermines the substantive due process and procedural protections of CPL 330.20 (14); the new expedited species of removal is, in contrast to the legislature's recommitment provision, essentially standardless and without process to guard against an erroneous deprivation of liberty. Indeed, the State makes no provision in

mental disorder. At such hearing, the applicant, whether he be the commissioner or the district attorney must establish to the satisfaction of the court that the defendant has a dangerous mental disorder. If the applicant is the commissioner, the district attorney shall be entitled to appear and present evidence at such hearing; if the applicant is the district attorney, the commissioner shall be entitled to appear and present evidence at such hearing. If the court finds that the defendant has a dangerous mental disorder, it must issue a recommitment order. When a defendant is in the custody of the commissioner pursuant to a recommitment order, the procedures set forth in subdivisions eight and nine of this section for the issuance of retention orders shall govern the application for and the issuance of a first retention order, a second retention order, and subsequent retention orders" (emphasis supplied).

its “effective examination” order even for post hoc judicial review of the summary commitment it allows. While the State urges that its objective is modest—simply to allow for the “effective examination” of the defendant—it is remarkably vague about what that will entail, either temporally or psychiatrically, and it is, in any event, axiomatic that “commitment *for any purpose* constitutes a significant deprivation of liberty that requires due process protection” (*Addington v Texas*, 441 US 418, 425 [1979] [emphasis supplied]). Here there is none.

The approach now taken is not consonant with CPL 330.20’s vaunted objective of “safeguarding the rights of defendants found not responsible” (*People v Stone*, 73 NY2d 296, 303 [1989]). It is manifest that when the legislature afforded judges power to prescribe “reasonably necessary or appropriate” conditions of release (CPL 330.20 [1] [o]) it did not allow what the orders before us permit. The Court’s holding to the contrary slights and significantly undoes the legislature’s careful work in crafting CPL 330.20 (14) to comport with the demands of due process. Moreover, even if there were no constitutional impediment to the taking of liberty in the manner contemplated by these orders, characterizing a provision authorizing summary secure confinement as a “condition” of release prescribable pursuant to section 330.20 (1) (o) presents a significant semantic challenge, which the majority, referring to the provision as a “requirement,” glosses over and the State purports to meet by claiming that the provision “resembles” other provisions qualifying as conditions. The reality is that the provision at issue does not set forth conditions of release, but grounds for secure confinement and that those grounds have no statutory provenance.

The State points out, correctly, that New York does have a statute that allows psychiatric confinement for evaluative purposes on the basis of ex parte orders (*see e.g.* Mental Hygiene Law § 9.60 [n] [Kendra’s Law]). But the presently salient point is that when the legislature has made this extraordinary removal mechanism available it has done so expressly, carefully defining both the class of persons to whom it may be applied and the circumstances immediately justifying its use. This has not been done in CPL article 330, probably because the power to recommit pursuant to CPL 330.20 (14) has been considered adequate to deter and, if necessary, respond to violations of conditions governing an insanity acquittee’s release. We have noted that

“[t]he legislative objectives of ensuring the safety of the public, safeguarding the rights of defendants found not responsible, and providing for the treatment of acquittees suffering from a current mental illness are secured by recommitment provisions [of CPL 330.20 (14)] designed to ensure that all persons who develop or relapse into a dangerous mental disorder during the pendency of the order of conditions are amenable to a secure psychiatric placement” (*Stone*, 73 NY2d at 303).

It is not possible to discern a basis for the Court’s present implicit reevaluation of this assessment, particularly since the potent enforcement mechanism of CPL 330.20 (14) is supplemented where released insanity acquittees are concerned by the more broadly applicable civil emergency commitment provisions of Mental Hygiene Law article 9 (*see* Mental Hygiene Law §§ 9.37, 9.39, 9.40, 9.43).²

Petitioners could, of course, be summarily committed for psychiatric examination if they met the criteria of Mental Hygiene Law § 9.60 (c) for assisted out-patient treatment and they failed to comply with their prescribed treatment regimen (*see* Mental Hygiene Law § 9.60 [n]). It would appear, however, that they are not candidates for assisted out-patient treatment, since, to mention but one disqualifying factor, they have, as CPL 330.20 releasees, been found not to be mentally ill (*see* CPL 330.20 [12]).³ The legislature went to some trouble closely to define the class for whom summary commitment might be appropriate (*see* Mental Hygiene Law § 9.60 [c]), a circumstance we deemed pivotal in upholding Mental Hygiene Law § 9.60 (n) as against constitutional challenge (*Matter of K.L.*, 1 NY3d at 373). It is

2. Even if it were true that, as the majority suggests (majority op at 377 n 2), a track one CPL 330.20 releasee could not be hospitalized in an emergency pursuant to article 9 of the Mental Hygiene Law—a proposition that is doubtful both legally and prudentially—it would not advance the majority’s argument as to what CPL 330.20 itself permits. Neither that statute, nor for that matter any other, permits involuntary psychiatric hospitalization without a substantive standard and without process.

The majority’s assertion that article 9’s involuntary hospitalization standards are inappropriate for those with a prior history of mental illness or criminal violence (majority op at 377 n 2) is without empirical basis. Article 9 involuntary admittees very frequently suffer from chronic mental illness and many have histories, if not of crime, of conduct that could have been treated as criminal.

3. Prominent among the extensive criteria for assisted out-patient treatment (*see Matter of K.L.*, 1 NY3d 362, 367 [2004]) is the requirement that the patient suffers from mental illness.

not plausible that the legislature casually—practically tacitly—has sanctioned similarly precipitous intervention respecting persons not within that or any other relevantly defined class.

It is easy to suppose that insanity acquittees present elevated risks. When, however, they have been released pursuant to an order of conditions it is usually after years of extraordinarily closely monitored institutional care⁴ and upon judicial findings that they are no longer mentally ill and do not suffer from a dangerous mental disorder (CPL 330.20 [12]). If “effective examination” in a secure inpatient psychiatric facility is to be used as to this class of individuals as a summary enforcement device, it must, I believe, be pursuant to authority expressly conferred by the legislature. Judges have no power unilaterally to provide for such an extraordinary intervention, particularly in the context of a statute expressly conditioning secure psychiatric re-institutionalization upon the prior satisfaction by the State of rigorous constitutionally-rooted substantive and procedural requirements.

Accordingly, I dissent and would affirm the well-considered decision and judgments of the Appellate Division.

Judges GRAFFEO, SMITH and ABDUS-SALAAM concur with Judge READ; Chief Judge LIPPMAN dissents in an opinion in which Judges PIGOTT and RIVERA concur.

In each case: Judgment reversed, without costs, petition dismissed, and certified question not answered as unnecessary.

4. Petitioners present no exception. Each was institutionalized for years (Robert T., for more than 6 years, and Allen B., for nearly 12) until, after extensive clinical evaluation and the phased lessening of restrictions pursuant to court orders, each was ordered released pursuant to an order of conditions.

[15 NE3d 792, 991 NYS2d 779]

RHONDA WILLIAMS, Individually and as Parent and Natural Guardian of A., an Infant, Respondent, v SHARON T. WEATHERSTONE, Defendant, and JORDAN-ELBRIDGE CENTRAL SCHOOL DISTRICT, Appellant.

Argued March 25, 2014; decided May 13, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered March 22, 2013. The Appellate Division order, insofar as appealed from, with two Justices dissenting in part, modified, on the law, an order of the Supreme Court, Onondaga County (Anthony J. Paris, J.), which had denied the motion of defendant Jordan-Elbridge Central School District for summary judgment dismissing the complaint and all cross claims against it. The modification consisted of granting the motion in part and dismissing the complaint against that defendant, as amplified by the bill of particulars, insofar as it alleged negligence based upon violations of the Vehicle and Traffic Law. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: “Was the order of this Court entered March 22, 2013, properly made?”

Williams v Weatherstone, 104 AD3d 1265, reversed.

HEADNOTES

Schools — Transportation of Pupils — Duty to Safely Transport Student to School — Student Struck by Vehicle in Attempt to Catch Bus — Injuries Occurring during “Act of Busing”

1. In a personal injury action commenced after plaintiff’s daughter, a 12-year-old sixth-grade student with mental disabilities, was struck by a car while crossing a busy highway in front of her home to catch a school bus that had passed her bus stop but turned around to pick her up, the existence of a common-law duty of care owed by defendant school district to the child was not supported by the theory that her injury occurred “during the act of busing itself, broadly construed.” A school may be held liable when a child is injured, even after having technically been discharged from a bus, because the injury occurred “during the act of busing itself, broadly construed,” or from the violation of a specific statutory duty to see the child safely across the street at which the bus is stopped. However, the school’s duty is of a limited spatial and temporal nature. Plaintiff’s daughter, who walked onto the highway and was injured while the bus was still moving in traffic, was never within defendant’s physical custody or any time- and space-limited area of implied custody and control. Thus, her injuries did not occur during the act of busing itself, broadly construed.

Schools — Transportation of Pupils — Duty to Safely Transport Student to School — Student Struck by Vehicle in Attempt to Catch Bus — Creation of Hazardous Setting

2. In a personal injury action commenced after plaintiff's daughter, a 12-year-old sixth-grade student with mental disabilities, was struck by a car while crossing a busy highway in front of her home to catch a school bus that had passed her bus stop but turned around to pick her up, defendant school district did not owe a common-law duty of care to the child based on a theory that it "placed" her in a foreseeably hazardous setting of its own making. Even if the bus driver was negligent in missing the child's designated bus stop and then turning around down the road and traveling back toward the stop, thereby "confusing" the child into attempting to cross the highway on her own, negligence does not create duty, and the exception to the general rule that a school's duty of care does not extend beyond school premises is limited to injury that occurs shortly after school hours upon the student's departure from school. Under those circumstances, the school is in a position to determine the timing, place and conditions for sending the child home, and the school is under a duty to release the child from its physical custody in a safe and anticipated manner. Accordingly, a school's duty of care requires continued exercise of control and supervision in the event that release of the child poses a foreseeable risk of harm. Here, plaintiff's daughter was not injured while going home from school and was never in defendant's physical custody, so defendant was never in a position to "place" or release her into a hazardous setting at any time. Instead, the child was in plaintiff's custody while she waited near a dumpster in her front yard for the school bus, and, by setting specific "guidelines," "boundaries" and rules designed to keep the child away from the busy highway when she was outside by herself, plaintiff implicitly acknowledged her responsibility for the child's safety during those times.

Schools — Transportation of Pupils — Duty to Safely Transport Student to School — Student Struck by Vehicle in Attempt to Catch Bus — Signaling

3. In a personal injury action commenced after plaintiff's daughter, a 12-year-old sixth-grade student with mental disabilities, was struck by a car while crossing a busy highway in front of her home to catch a school bus that had passed her bus stop but turned around to pick her up, defendant school district did not owe a common-law duty of care to the child on the basis that a motorist, having assumed a duty to guide a pedestrian to safety by some intentional hand motion or gesture, must exercise reasonable care in doing so. Here, neither the bus driver nor the bus monitor waved at or signaled the child as the bus missed her designated bus stop, and, after turning around, they did not even see her before the accident. They made no gestures at all, much less any gesture that a jury might conclude intentionally summoned her to cross the highway. Moreover, there was no basis in the case law to support a novel theory that the act of turning the bus around and driving back toward the child was the functional equivalent of a hand signal given the child's age and mental capacity. In any event, whatever the child might have thought when she saw the bus turn around, there was no reason to suppose from the record that the bus driver intended by driving back toward the child to signal her to leave the safety of her designated bus stop and cross the highway.

Schools — Transportation of Pupils — Duty to Safely Transport Student to School — Student Struck by Vehicle in Attempt to Catch Bus — Special Duty Created by Individualized Education Plan

4. In a personal injury action commenced after the plaintiff's daughter, a 12-year-old sixth-grade student with mental disabilities, was struck by a car while crossing a busy highway in front of her home to catch a school bus that had passed her bus stop but turned around to pick her up, defendant school district did not owe a special duty of care to the child as a result of a special relationship created by her Individualized Education Plan (IEP). An agency of government may be liable for the negligent performance of a governmental function when there exists a special duty to the injured person, in contrast to a general duty owed to the public. Here, however, the child's IEP only directed defendant to transport her to and from school even though she lived within walking distance, and the IEP did not call for an aide or escort to wait with her at her designated bus stop. Thus, defendant undertook in the IEP to provide the same busing for the child required of it for all children in grades kindergarten through eight who live more than two miles from the school (*see* Education Law § 3635 [1] [a]), although the child was furnished portal-to-portal busing (*see* Education Law § 3635 [1] [a], [d]). The child's IEP, which did not specify any "special busing services" and required only regular bus transportation, belied the argument that busing a special needs child requires extra care and therefore imposed additional transportation-related obligations on defendant.

Schools — Transportation of Pupils — Duty to Safely Transport Student to School — Student Struck by Vehicle in Attempt to Catch Bus

5. *Pratt v Robinson* (39 NY2d 554 [1976]) and *Ernest v Red Cr. Cent. School Dist.* (93 NY2d 664 [1999]), to the extent those cases identified limited situations where a school might be liable for injuries to a child in the absence of physical custody of the child, were not limited or modified for the purpose of imposing liability on defendant school district in a personal injury action commenced after plaintiff's daughter, a 12-year-old sixth-grade student with mental disabilities, was struck by a car while crossing a busy highway in front of her home to catch a school bus that had passed her bus stop but turned around to pick her up. The concept of *in loco parentis* is the fountainhead of the duty of care owed by a school to its students, and that duty derives from the simple fact that a school, in assuming physical custody and control over its students, effectively takes the place of parents and guardians. The efficacy and fairness of defining a school's common-law duty to supervise or transport students in terms of physical custody has been repeatedly endorsed, and, in the circumstances described in *Pratt* and *Ernest*, the school still exercised control over the time, place and conditions of a child's release from its physical custody to the protection of a parent or guardian. Here, the child never left plaintiff's custody and control on the morning of the accident, and plaintiff trusted the child to wait at her designated bus stop independently. Because the accident did not happen while the child was within defendant's custody and control, defendant was not liable for the child's injuries.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal, County, School, and State Tort Li-

ability §§ 83–87, 100, 102–106, 507, 509, 512; AM JUR 2d, Schools § 278.

NY JUR 2d, Government Tort Liability §§ 18, 19, 31, 264, 265; NY JUR 2d, Schools, Universities, and Colleges §§ 338, 403, 404, 563.

PROSSER AND KEETON, TORTS (5th ed) §§ 53, 131.

ANNOTATION REFERENCE

Tort liability of public schools and institutions of higher learning for accidents associated with transportation of students. 23 ALR5th 1.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: school /s duty /s bus /2 stop & custody control

POINTS OF COUNSEL

Congdon, Flaherty, O'Callaghan, Reid, Donlon, Travis & Fishlinger, Uniondale (*Christine Gasser* of counsel), and *Petrone & Petrone, P.C.*, for appellant. I. The Jordan-Elbridge Central School District owed no legal duty to the plaintiff student, who was injured while outside of its custody and control. (*Pratt v Robinson*, 39 NY2d 554; *Greenberg, Trager & Herbst, LLP v HSBC Bank USA*, 17 NY3d 565; *Turcotte v Fell*, 68 NY2d 432; *Akins v Glens Falls City School Dist.*, 53 NY2d 325; *Pulka v Edelman*, 40 NY2d 781, 41 NY2d 901; *Kimbar v Estis*, 1 NY2d 399; *Lauer v City of New York*, 95 NY2d 95; *Eiseman v State of New York*, 70 NY2d 175; *Sheila C. v Povich*, 11 AD3d 120; *Martinez v City of New York*, 90 AD3d 718.) II. The purported negligence of the Jordan-Elbridge Central School District was not a proximate cause of plaintiff's injuries. (*Akins v Glens Falls City School Dist.*, 53 NY2d 325; *Salvador v New York Botanical Garden*, 71 AD3d 422; *Gordon v Muchnick*, 180 AD2d 715; *Hanley v East Moriches Union Free School Dist. II*, 275 AD2d 389, 95 NY2d 769; *Pollock v Bones*, 52 AD3d 343; *Cominsky v City of Syracuse*, 21 Misc 3d 1135[A], 2008 NY Slip Op 52392[U]; *Squitire v Middle Country Cent. School Dist.*, 4 Misc 3d 1025[A], 2004 NY Slip Op 51044[U]; *Fotiadis v City of New York*, 49 AD3d 499; *Cruz v City of New York*, 6 AD3d 644; *Castillo v Amjack Leasing Corp.*, 84 AD3d 1298.) III. The Jordan-Elbridge Central School District's turn around procedure after a bus stop is missed does not violate mandatory rules or regulations, or guidelines adopted by the District. (*Diaz v New York Downtown Hosp.*, 99 NY2d 542; *Bax v Allstate Health*

Care, Inc., 26 AD3d 861; *Davidson v Sachem Cent. School Dist.*, 300 AD2d 276; *Merson v Syosset Cent. School Dist.*, 286 AD2d 668; *Capotosto v Roman Catholic Diocese of Rockville Ctr.*, 2 AD3d 384; *Kosicki v Spring Garden Assn., Inc.*, 42 AD3d 909; *Carrasquillo v City of New York*, 78 AD3d 635; *Cave v Town of Galen*, 4 Misc 3d 1026[A], 2004 NY Slip Op 51073[U], 23 AD3d 1108; *Barretto v City of New York*, 229 AD2d 214, 90 NY2d 805; *David v County of Suffolk*, 1 NY3d 525.)

Harris Beach PLLC, Pittsford (A. Vincent Buzard, David M. Capriotti and Lauren H. Seiter of counsel), for respondent. I. Plaintiff's version of the facts must be accepted as true in considering this motion for summary judgment. (*Rizk v Cohen*, 73 NY2d 98; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 27 NY2d 410; *Weller v Colleges of the Senecas*, 217 AD2d 280; *Hourigan v McGarry*, 106 AD2d 845.) II. The Jordan-Elbridge Central School District owed a duty to the plaintiff because her injury occurred during the act of busing and because the District placed her in a hazardous setting. (*Pratt v Robinson*, 39 NY2d 554; *McDonald v Central School Dist. No. 3 of Towns of Romulus, Varick & Fayette, Seneca County*, 179 Misc 333, 264 App Div 943, 289 NY 800; *Ernest v Red Cr. Cent. School Dist.*, 93 NY2d 664; *Norton v Canandaigua City School Dist.*, 208 AD2d 282; *Hanley v East Moriches Union Free School Dist. II*, 275 AD2d 389; *Bowers v City of New York*, 294 AD2d 526; *Harker v Rochester City School Dist.*, 241 AD2d 937; *Vernali v Harrison Cent. School Dist.*, 51 AD3d 782; *Womack v Duvernay*, 229 AD2d 488; *Keiser v Elmer*, 225 AD2d 589.) III. The Jordan-Elbridge Central School District is liable under the cases which impose liability on a person for causing another person to believe that entering the street is safe. (*Riley v Board of Educ. of Cent. School Dist. No. 1*, 15 AD2d 303; *Robbins v New York City Tr. Auth.*, 105 AD2d 616; *Barber v Merchant*, 180 AD2d 984.) IV. The Jordan-Elbridge Central School District owed a separate and independent special duty to the plaintiff as a result of the special relationship created by the education plan. (*Wenger v Goodell*, 220 AD2d 937; *Cuffy v City of New York*, 69 NY2d 255; *Reyes v City of New York*, 238 AD2d 563; *Metz v State of New York*, 20 NY3d 175; *McLean v City of New York*, 12 NY3d 194; *Florence v Goldberg*, 44 NY2d 189; *School Comm. of Burlington v Department of Ed. of Mass.*, 471 US 359.) V. Affirming the Fourth Department would not expand the liability of school districts, but if the Court determines that the Jordan-Elbridge Central School District did not owe a duty to the plaintiff under *Pratt v Robinson* (39 NY2d 554 [1976]), that decision should be

modified or limited. (*Ernest v Red Cr. Cent. School Dist.*, 93 NY2d 664.) VI. The Appellate Division properly determined that a question of fact exists as to whether the Jordan-Elbridge Central School District proximately caused plaintiff's injury. (*Mirand v City of New York*, 84 NY2d 44; *Doe v Fulton School Dist.*, 35 AD3d 1194; *Bell v Board of Educ. of City of N.Y.*, 90 NY2d 944; *Bello v New York City Tr. Auth.*, 50 AD3d 511; *Hanley v East Moriches Union Free School Dist. II*, 275 AD2d 389; *Pollock v Bones*, 52 AD3d 343; *Cominsky v City of Syracuse*, 21 Misc 3d 1135[A], 2008 NY Slip Op 52392[U]; *Squitire v Middle Country Cent. School Dist.*, 4 Misc 3d 1025[A], 2004 NY Slip Op 51044[U]; *Kush v City of Buffalo*, 59 NY2d 26; *Gordon v Eastern Ry. Supply*, 82 NY2d 555.)

OPINION OF THE COURT

READ, J.

In *Pratt v Robinson* (39 NY2d 554, 561 [1976]), we held that a school district that “undertake[s] to transport students” assumes a common-law duty to “perform so much as it ha[s] undertaken in a careful and prudent manner.” We are called upon to decide whether this duty had arisen here where a child was struck by a car before the approaching school bus stopped to pick her up. We conclude that defendant Jordan-Elbridge Central School District (the District) did not owe this or any other common-law duty to the child under the circumstances presented.

I

On the date of the accident, March 13, 2008, A. was a 12-year-old sixth-grade student at Jordan-Elbridge Middle School. Her mother, plaintiff Rhonda Williams (plaintiff), described A., who was born in 1995, as having exhibited “behavioral issues” while in kindergarten. Plaintiff at first chalked this up to A.’s young age (she was a four-year-old kindergartner) and grief over the then recent death of her father. But even after A. repeated kindergarten, she remained “very behavioral, noncompliant, [and] couldn’t identify letters, numbers, that type of thing.” A. was diagnosed by her doctors in the Albany area, where plaintiff then resided, with ADD/ADHD (attention deficit disorder/attention deficit hyperactivity disorder) and mild mental retardation. At the age of seven, A. began receiving Supplemental Security Income benefits on account of her mental disability.

Plaintiff moved from the Albany to the Syracuse area in March 2005. Desiring to mainstream her daughter's schooling as much as possible, she enrolled A. in the Jordan-Elbridge school system, subject to an individualized education plan (IEP).¹ A.'s IEP for the 2007-08 school year, which plaintiff assisted in formulating, specified under "Special Transportation Needs" that A. "should be transported to school even when she is within walking distance, due to concerns regarding her safety (big bus)." There was no provision for any escort or monitor to assist A. with busing.

Plaintiff's residence in March 2008 fronted Route 5, a busy state highway. A.'s designated bus stop was at the end of the roughly 20-yard driveway connecting her home to Route 5. A red dumpster was located on the grass to one side of the driveway, about 15 to 20 feet away from the mailbox, which is where the school bus stopped. Plaintiff testified that A. typically left the house at about 6:50 a.m., and played for 10 or 15 minutes near the dumpster while waiting for the bus to arrive; that she imposed "a very strict rule" that A. was never allowed past the dumpster at any time when playing in the yard; that she told A. to wait at the dumpster until the bus completely stopped at the mailbox; and that A. was never allowed to cross Route 5 unescorted. According to plaintiff, A. dependably followed and observed these "guidelines" and "boundaries."

On March 12, 2008, the District's transportation supervisor rerouted the bus that A. had been taking since the beginning of the school year so as to pick up several children from a family newly moved to the District. Since this bus no longer passed A.'s house, he assigned her to another bus whose existing route did. A.'s house became the first stop on this bus's route; her pick up and drop off times remained almost exactly the same. There was a monitor on this bus for students who, unlike A.,

1. As explained by the United States Court of Appeals for the Second Circuit, under the Individuals with Disabilities Education Act, or IDEA, "states receiving federal funds are required to provide all children with disabilities a free appropriate public education. To meet these requirements, a school district's program must provide special education and related services tailored to meet the unique needs of a particular child, and be reasonably calculated to enable the child to receive educational benefits. Such services must be administered according to an IEP, which school districts must implement annually" (*Gagliardo v Arlington Cent. School Dist.*, 489 F3d 105, 107 [2d Cir 2007] [internal quotation marks and citations omitted]).

were subject to IEPs that required the District to provide them with extra assistance during the commute to and from school. But the monitor knew A. as she had previously worked with her one-on-one as a teacher's aide. They became reacquainted when A. rode home after school on March 12th on her newly assigned bus.

On March 13th, A.'s newly assigned bus, with the monitor onboard, left the bus garage on time, at about 6:50 a.m., or before sunrise.² A.'s house was less than 10 minutes away, much closer than the previous first stop on this route, and the bus driver simply forgot to pick her up as he traveled west on Route 5. Neither the driver nor the monitor waved or otherwise signaled to A., whom the monitor glimpsed standing near the red dumpster as the bus passed by.

Alerted by the monitor to the missed stop, the bus driver proceeded 250 feet or so farther west to a vacant gas station on the corner where Route 31B meets Route 5 at an angle. He turned right into Route 31B and entered the gas station, turned the bus around to face Route 5, waited for eastbound traffic to clear (there was no westbound traffic at the time) and exited onto Route 5, traveling east behind a car operated by defendant Sharon T. Weatherstone (Weatherstone). The bus driver intended to go past A.'s house on the opposite (east) side of Route 5 a few hundred feet to a golf course, also on the highway's east side, where he could turn around again and pull back onto Route 5 traveling west. This would put him in position to pick up A. at her designated stop at the foot of the driveway to her house.

Shortly after the bus driver headed east on Route 5, though, both he and the monitor caught sight of what appeared to be debris being flung up into the air in front of the Weatherstone vehicle. Weatherstone steered her car off onto the shoulder of the highway, and as the bus driver slowed the bus down, the monitor spotted A. lying, obviously seriously injured, in the eastbound lane.

The State Police's "Collision Reconstruction Findings Report" (Collision Report) attributed the accident primarily to pedestrian error and secondarily to an obstructed view resulting from

2. Daylight Savings Time started on March 9th in 2008; sunrise in Syracuse, New York on March 13, 2008 was at 7:19 a.m. (see <http://www.timeanddate.com/worldclock/astronomy.html?n=777&month=3&year=2008&obj=sun&afl=11&day=1>).

Weatherstone's failure to adequately clear frost from her car's windshield.³ When asked at the General Municipal Law § 50-h hearing if she had ever queried A. about "why she went out into the road" that morning, plaintiff replied that A. told her "that they forgot her and then they stopped and she looked both ways and she ran," which was the only explanation A. ever gave her. A. also testified about the accident at the 50-h hearing and gave a deposition. While her testimony was sketchy and variable, she fairly consistently said that she saw the bus go by and turn around, and that she looked both ways before crossing the road to catch the bus on the other side. A. further testified that plaintiff had told her to "be careful in the middle of the road . . . [b]ecause cars can hit you."

On October 27, 2008, plaintiff commenced this personal injury action individually and on behalf of A. against Weatherstone and the District. The District moved for summary judgment on October 21, 2011, seeking an order dismissing plaintiff's complaint and all cross claims against it. The District argued generally that it owed no duty to a student not within its physical care or custody and that, in any event, its purported negligence was not a proximate cause of A.'s injuries. The District and plaintiff submitted warring affidavits from experts in the field of school bus transportation. The experts differed about the propriety of the actions or inactions of District employees, and whether anything these employees (especially the bus driver) did or failed to do proximately caused the accident.⁴

On March 1, 2012, Supreme Court denied the District's motion in its entirety. Citing *Pratt*, the judge noted that while a school district "owes its students a duty to exercise the same degree of care toward them as a reasonably prudent parent . . . under similar conditions," this duty "exists only so long as a student is in [the district's] care and custody." In this case,

3. As observed soon after the accident by the bus driver, the monitor and the transportation supervisor, who arrived at the scene after having been radioed by the driver, only the windshield directly in front of the steering wheel had been scraped free of frost. The Collision Report indicated that the air temperature at the accident location measured approximately 12 degrees Fahrenheit at 9:19 a.m.

4. The experts focused on whether the bus driver created confusion and an unreasonably hazardous situation when he turned around within A.'s sight rather than circling to pick her up, or, alternatively, continuing on while notifying the bus dispatcher of the missed stop so that another bus might be sent to take her to school that day.

however, he held that A.'s status as a special needs child justified an "expansion" of the District's duty. The judge also denied that part of the District's motion seeking to dismiss the complaint for lack of proximate cause. He reasoned that the conflicting expert opinions created issues of fact and credibility for the jury. The District appealed.

On March 22, 2013, the Appellate Division, with two Justices dissenting in part, modified on the law and, as so modified, affirmed (104 AD3d 1265 [4th Dept 2013]). The majority, disagreeing with Supreme Court, rejected plaintiff's claim that the District owed A. a duty of care because she was a special education student with an IEP. The court observed that the IEP "required only that [the District] provide transportation to school [and] did not place [A.] within [the District's] orbit of authority while she waited for the school bus, [or] give rise to a duty . . . to ensure that the child was safe while waiting for the bus outside her home" (*id.* at 1266 [internal quotation marks and citation omitted]).

Nonetheless, the Appellate Division concluded that, "under the facts presented," A. was

"within the orbit of [the District's] authority such that [it] owed a duty to [her] *based upon the actions of [the District]; i.e., the bus arrived at the bus stop, passed it, and the driver turned around to pick up the child.* Thus, 'the injury occurred during the act of busing itself, broadly construed' . . . Where, as here, it was reasonably foreseeable that the child would be placed 'into a foreseeably hazardous setting [the District] had a hand in creating,' [the District] owed a duty to the child" (*id.*, quoting *Pratt*, 39 NY2d at 561, and *Ernest v Red Cr. Cent. School Dist.*, 93 NY2d 664, 672 [1999], *rearg denied* 93 NY2d 1042 [1999], respectively [emphasis added]).

The court agreed with Supreme Court that an issue of fact existed about whether the District's alleged negligence proximately caused the accident. The Appellate Division agreed with the District, however, that Supreme Court should have granted it summary judgment on plaintiff's claim, as amplified by the

bill of particulars, of negligence based on purported violations of the Vehicle and Traffic Law.⁵

The dissenting Justices would have reversed Supreme Court's order and granted the District's motion in its entirety. Relying on *Pratt and Norton v Canandaigua City School Dist.* (208 AD2d 282 [4th Dept 1995], *lv denied* 85 NY2d 812 [1995], *rearg denied* 86 NY2d 839 [1995] [the school district had not yet assumed custody and control over a student injured when she crossed the street to wait for her school bus]), they observed the "well settled" rule that the District's duty flowed from physical custody and control; that at the time of the accident the District did not have physical custody of the child, who thus remained outside its orbit of authority; and that the District therefore "owed no duty to the child in this situation, and, absent duty, there can be no liability" (*id.* at 1267 [internal quotation marks omitted]).

The dissenting Justices rejected plaintiff's contention, endorsed by the majority, that the District "assumed a duty to the child as a consequence of the potentially hazardous situation allegedly created by the school bus driver in turning the bus around after missing the bus stop" (*id.* at 1268 [internal quotation marks omitted]). They distinguished *Ernest* on the ground that the District

"did not release the child from its custody and control into a situation of immediate and foreseeable danger. In fact, the child was never in [the District's] custody or control on the day of the accident. Instead, the child was and remained in the custody and care of plaintiff, her mother, who was at home at the time of the accident. Plaintiff has cited no cases, and we could find none, where a school district was found to owe a duty of care to a child who was not in its custody at the time of the injury or who was not released from the school district's custody into a hazardous condition that caused the child's injury" (*id.* [citations omitted]).

On June 7, 2013, the Appellate Division granted the District leave to appeal to us, and certified the following question: "Was

5. The sections cited in the bill of particulars were Vehicle and Traffic Law §§ 509-b ("Qualifications of bus drivers"), 1101 ("Required obedience to traffic laws"), 1146 ("Drivers to exercise due care"), 1180 ("Basic rule and maximum [speed] limits") and 1174 (b) (governing the obligations of school bus drivers when receiving or discharging passengers).

the order of [the Appellate Division] entered March 22, 2013, properly made?” We answer the question in the negative for the reasons that follow.

II

As the courts below and plaintiff recognize, *Pratt* is our seminal case on the duty owed by a school district to students whom it transports. Plaintiff also urges that, quite apart from *Pratt*, our decision in *Ernest* should compel us to conclude that the District owed a duty of care to A. We therefore consider both cases in some detail.

Pratt

In *Pratt*, a seven-year-old child, having gotten off the bus at the regular bus stop closest to her family’s residence, was struck by a truck and severely injured while crossing a heavily-trafficked street three blocks away from the stop while walking home. The school district had established the bus route; the actual transportation was supplied by a city-owned bus company. In ensuing litigation against the city, the school district and the bus company, plaintiffs (the child and her father) argued that the bus stop’s location, while safe, was nonetheless negligently planned because it was located such that the child would have to cross the busy street while en route home.

Noting that “[n]egligence of the sort here alleged can only be found if there existed a duty on the part of the school district to transport [the child] to a location from which she could walk home without crossing any dangerous streets on the way,” we explored potential sources of such a duty (39 NY2d at 559). We first decided that the legislature had not imposed any duty by statute. Then we observed that the “common-law custodial duty of a school toward its pupils” did not “supply any basis for liability” because that duty “stems from” and is “coextensive with and concomitant to [the school’s] physical custody of and control over the child” (*id.* at 560). We added that “[w]hen that custody ceases because the child has passed out of the orbit of [the school’s] authority in such a way that the parent is perfectly free to reassume control over the child’s protection, the school’s custodial duty also ceases” (*id.*).

Finally, we considered “one further and major source of liability”; namely, a school district that undertakes to transport students has a duty to perform this task “in a careful and prudent manner” (*id.* at 561). We noted that “[u]nder certain circumstances,” school districts in New York and elsewhere

“have been held liable on this theory when children were injured, *even after they had technically been discharged from the bus* (see *McDonald v Central School Dist. No. 3*, 179 Misc 333, *affd* 264 App Div 943, *affd* 289 NY 800; *Van Gaasbeck v Webatuck Cent. School Dist. No. 1*, 21 NY2d 239; *Gleich v Volpe*, 32 NY2d 517; *Shannon v Central-Gaither Union School Dist.*, 133 Cal App 124; *Gazaway v Nicholson*, 61 Ga App 3, *affd* 190 Ga 345; Tort Liability of Public Schools and Institutions of Higher Learning for Accidents Associated With the Transportation of Students, Ann., 34 ALR3d 1210). Without exception, however, the liability in those cases stemmed either from the fact that the injury occurred during the act of busing itself, broadly construed, or from the violation of a specific statutory duty to see children safely across the street at which the bus is stopped, when their route took them across that street. No such issues have been raised in this case, nor would any apply to the facts here. New York’s Vehicle and Traffic Law (§ 1174, subd [b]), for example, requires school bus drivers to stop, to remain stopped with their lights flashing, and to instruct children in the proper crossing of the street in front of the bus” (*id.* at 561 [emphasis added; other emphasis omitted]).⁶

Briefly reviewing the three New York cases cited, we mentioned that *McDonald* pinpointed the “genesis” of what became the duties imposed by section 1174 (b) to “the fact that, when children must cross the street where the bus stops, the bus itself acts as an obstacle to their clear view of oncoming traffic”; and commented that “[i]nterestingly, even such statutorily based liability addresses itself to *the students’ transition from the area of transportation undertaken by the school district to the area which was outside its scope*” (*id.* [emphasis added]). In the same vein, we added that in *Van Gaasbeck* “we did not in any way suggest any sphere of liability beyond the statutorily mandated one *within the area of disembarkation*” (*id.* [emphasis

6. Section 1174 (b) has been amended since we decided *Pratt* to require, additionally, that the bus driver keep the school bus halted until the passengers are at least 15 feet from the bus and off the road or on a sidewalk, whether the passengers cross a public highway or discharge to the same side of the road (see L 1988, ch 529); and to clarify this provision’s application to streets and roads in addition to public highways (see L 1990, ch 597).

added)). And finally, we noted that *Gleich* dealt with whether the school district should be held liable for placing a bus stop at a location allegedly unsafe for disembarkation. In each of these three cases, and in the two out-of-state cases cited, a child was injured shortly after alighting from a school bus.⁷

We further remarked that “[c]ases in other States in which liability has been imposed for accidents resulting from the negligence of third parties *after a child has left a bus stop area* have been rare”; that “[n]early all of them fit within the analysis we have presented in that they too involved either negligence toward a child . . . *still in the custody of the school or else failure to perform a specific duty imposed by statute*”; and that those

“few instances in which other States have imposed liability for injuries occurring at a point distant from the bus stop involved the construction of a particular contractual obligation or else represented instances of straightforward judicial ‘legislation’ of a new duty on the part of school districts rather than the application of even liberal existing legal principles” (id. at 562 [citations omitted and emphases added]).

We perceived “no basis, either in statutes or common law, for the creation of a school’s duty to protect its students from hazards which may beset them once they are on their way home and outside the control of the school” (*id.*). Thus, in *Pratt* we concluded that the school district fulfilled its duty to provide busing with due care; specifically, since “it did not undertake to, and in fact did not, provide transportation from the bus stop to the home of the plaintiffs, there was no activity for the performance of which it could be held negligent” (*id.* at 564).

7. In both *Shannon* (133 Cal App 124, 23 P2d 769 [1933]) and *Gazaway* (61 Ga App 3, 5 SE2d 391 [1939]), the children were struck and seriously injured by an automobile as they crossed to the opposite side of the road after getting off the bus. In *Shannon*, the bus driver was allegedly negligent for stopping where he did, parking at the roadside in a manner that violated state law and permitting the child to leave the bus without warning him of the danger of a rapidly approaching car. The *Gazaway* court concluded that the bus driver had a “duty . . . to discharge a passenger at a place of safety, and where a carrier deposits him at a place which it knows will reasonably expose him to unusual and unnecessary peril it may be held liable for a proximately resulting injury” (61 Ga App at 10, 5 SE2d at 396).

Ernest

In *Ernest*, a second-grade student was hit by a truck and severely injured while crossing the road on which his school was situated. There were no sidewalks on this road, and, additionally, there were no traffic signals or crosswalks to assist students who needed to cross the road to get to the nearest sidewalk, north of the school. Because of these conditions, the school, as a safety precaution, did not allow students to leave the school grounds on foot at the end of the day until all the school buses had departed. On the day of the accident, though, the school violated this long-standing policy. The driver of the truck did not see the student because his view was obstructed by a departing bus. The accident took place about 167 feet north of the school's northern boundary line.

We concluded that *Pratt* did not preclude liability because there, the plaintiff schoolchild was “ ‘set down in a safe spot, and nothing untoward . . . occurred in the course of . . . disembarkation’ ” (*Ernest*, 93 NY2d at 672 [emphasis omitted], quoting *Pratt*, 39 NY2d at 560). By contrast, the injured plaintiff in *Ernest*

“was not released to a safe spot but to a foreseeably hazardous setting partly of the School District’s making. Thus, while a school has no duty to prevent injury to schoolchildren *released in a safe and anticipated manner*, the school breaches a duty when it *releases a child without further supervision* into a foreseeably hazardous setting it had a hand in creating” (93 NY2d at 672 [emphases added]).

We reversed Supreme Court’s grant of summary judgment to the school district, affirmed by the Appellate Division, concluding that “a jury could find that [the district] breached this legal duty by releasing [the child] to walk home before the school buses were out of the vicinity” (*id.*).

In support of our holding, we discussed *McDonald* in more detail than we had in *Pratt*. In *McDonald*, a child, after having exited a school bus, was hit by a car whose driver failed to stop as required by law. The school district had adopted a rule, communicated to students, that whenever a school bus stopped on the opposite side from a child’s home, the child should walk directly in front of the bus when crossing the street. In rejecting the school district’s motion for a new trial, we concluded that the jury might well have found that the district, by making this

rule, assumed a duty to protect the child against the danger of approaching traffic and should have gone further by requiring the driver to signal when it was safe to cross the street. In *Ernest*, we summed up *McDonald* as “stand[ing] for the proposition that a school district’s duty of care requires *continued exercise of control and supervision* in the event that release of the child poses a foreseeable risk of harm” (93 NY2d at 672 [emphasis added]).

III

Plaintiff proposes four theories to support the existence of a duty owed A. by the District: first, that A.’s injuries “occurred during the act of busing itself, broadly construed” (*Pratt*, 39 NY2d at 561); second, citing *Ernest*, that the District “placed” A. in a hazardous situation which it created; third, that the District is liable under *Riley v Board of Educ. of Cent. School Dist. No. 1* (15 AD2d 303 [3d Dept 1962]) and similar Appellate Division cases that impose a duty of care on someone who signals another that crossing the street is safe; and fourth, that by providing A. “special busing services” because of her mental limitations, the District owed her a separate and independent special duty. Finally, in the alternative, plaintiff argues that we should limit or modify *Pratt* and *Ernest* and hold what she claims these cases already imply: that a school district owes a duty to a child if it creates a foreseeably hazardous situation prior to the time the bus stops for boarding. We address each of these theories in turn.

The Act of Busing, Broadly Construed

Plaintiff reasons that A.’s

“injury clearly occurred during the act of busing[,]
broadly construed[,]
because the bus arrived at the bus stop, passed the plaintiff and turned around to pick her up. The bus was present at the scene and was attempting to pick up the child. The child saw the bus, was confused by its operation and was attempting to catch the bus, all of which relates to the act of busing[,]
broadly construed.”

This argument divorces the meaning of the phrase “the act of busing itself, broadly construed” from its very particular context. We used this expression in *Pratt* solely with reference to cases where we, and other courts, have extended a school’s duty to transport students in a careful and prudent manner to

cover a child injured just after alighting from a school bus. All the cases that we discussed or cited in *Pratt* shared this fact pattern. We concluded that a school owed a duty of care to a child within this often statutorily-based “area of disembarkation” or “transition” even though, having stepped off the bus, the child was no longer within the school’s physical custody (*id.* at 561). We reinforced the limited spatial and temporal nature of this duty by referring disparagingly to those “few instances” where other states “imposed liability for injuries occurring *at a point distant from the bus stop*” as “judicial ‘legislation’ ” unless based on a contractual obligation (*id.* at 562 [emphasis added]).

[1] The principles established in *Pratt* may be read to suggest that a school is equally liable for injuries to a child within the area of embarkation or transition created when a school bus stops to pick up passengers and engages its red flashing lights and stop sign to halt motorists.⁸ We need not address this issue, though, because A. walked onto the highway and was injured while the bus was still moving in traffic. She was therefore never within the District’s physical custody, or any time- and space-limited area of implied custody and control that may arise once a bus stops and passengers begin to board. Thus, her injuries did not “occur[] during the act of busing itself, broadly construed” (*id.* at 561).

Creating a Hazardous Setting

Citing *Ernest*, plaintiff argues that the District is liable for A.’s injuries because it “placed” her in a foreseeably hazardous setting of its own making. Plaintiff points to various purportedly negligent actions or inactions on the part of District employees (e.g., the transportation supervisor tried but failed to reach her by telephone on March 12th to let her know that a

8. The dissent asserts that we “offer[] no rationale” for this possible limitation (dissenting op at 406). But if the school remains responsible for the safety of a child who has disembarked a school bus only during the time and area of the child’s transition from the school’s actual custody to the parent’s actual or potential custody, as we have held, then, logically, the parent is responsible for the child’s safety until the child gets on the bus or, arguably, at least reaches this transition area when attempting to board. By contrast, the way in which the dissent interprets the phrase “the act of busing itself, broadly construed” is entirely open-ended. While I suspect that the dissenters would agree that a school district does not have a duty to warn or protect a child against all hazards that might arise during “the act of busing itself, broadly construed,” they offer no limiting principle.

different bus would be picking A. up the next day). She again highlights, though, that the bus driver missed A.'s designated bus stop and then turned around down the road and traveled back toward the stop thereby, the argument goes, placing A. in a setting that was foreseeably hazardous because these actions "confused" her into attempting to cross Route 5 on her own.

[2] Even if the bus driver was negligent, as plaintiff alleges, negligence does not create duty, and plaintiff's reliance on *Ernest* to establish otherwise is misplaced. Critically, in *Ernest* the child was in the school's physical custody when he was released "without further supervision" into an arguably hazardous setting. In other words, the school was in a position to determine the timing, place and conditions for sending the child home, and the school was under a duty to release the child from its physical custody "in a safe and anticipated manner" (*Ernest*, 93 NY2d at 672). We emphasized this point further in our discussion of *McDonald* (*id.* [stating that "*McDonald* stands for the proposition that a school district's duty of care requires *continued exercise of control and supervision* in the event that release of the child poses a foreseeable risk of harm" (emphases added)]). As we recently put it in *Stephenson v City of New York* (19 NY3d 1031, 1034 [2012]), *Ernest* marks an exception to the general rule that a school's duty of care does not extend beyond school premises, and is limited to "injury that occurred . . . shortly [after school hours] upon the student's departure from the school" (emphasis added).

Here, by contrast, A. was not injured while going home from school; indeed, she was never in the District's physical custody on March 13th, so the District was never in a position to "place" or release her into a hazardous setting at any time. Instead, she was in plaintiff's custody while she waited near the dumpster for the school bus. By setting specific "guidelines," "boundaries" and rules designed to keep A. away from busy Route 5 when she was outside by herself, plaintiff implicitly acknowledged her responsibility for A.'s safety during those times.

Signaling

Plaintiff also seeks to impose a duty on the District on the basis of Appellate Division case law broadly holding that a motorist who signals a pedestrian to cross a street risks liability if the pedestrian is hit by another vehicle (*see e.g. Riley*, 15 AD2d at 305 [the defendant undertook an "affirmative act of waving her hand to direct the discharged passenger"]; *Robbins*

v New York City Tr. Auth., 105 AD2d 616 [1st Dept 1984] [bus driver waved passenger to cross the street in front of the bus]; *Yau v New York City Tr. Auth.*, 10 AD3d 654 [2d Dept 2004] [same]). All of these cases entail some intentional hand motion or gesture directed by the motorist at the pedestrian. Having thereby assumed a duty to guide the pedestrian to safety, the motorist must exercise reasonable care in doing so.

[3] Here, though, neither the bus driver nor the monitor waved at or signaled A. as the bus missed her designated bus stop, traveling west; after turning around to travel east, they did not even see her before the accident. In short, they made no gestures at all, much less any gesture that a jury might conclude intentionally summoned A. to cross the highway. Consequently, plaintiff proposes that the “act of turning around the bus and coming toward [A.] was the functional equivalent of the hand signal given in *Riley*”; and “[t]he fact that the signal was by the bus, rather than by a hand, was no less communicative . . . , given [A.’s] age and mental capacity.” We find no basis in the case law for this novel theory. In any event, whatever A. may have thought when she saw the bus turn around, there is no reason to suppose from this record that the bus driver intended by driving east to signal A. to leave the safety of her designated bus stop and cross Route 5.

Special Duty

An agency of government may be liable for the negligent performance of a governmental function when there exists a special duty to the injured person, in contrast to a general duty owed to the public (*see McLean v City of New York*, 12 NY3d 194 [2009]). Plaintiff claims that A. is owed such a special duty by the District as a result of a special relationship created by the IEP; specifically, the “special busing services” afforded A. in the IEP.

[4] But the IEP only directed the District to transport A. to and from school even though she lived within walking distance. In short, the District undertook in the IEP to provide the same busing for A. required of it for all children in “grades kindergarten through eight who live more than two miles from the school which they legally attend” (Education Law § 3635 [1] [a]), although A. was furnished portal-to-portal busing (*see id.*, § 3635 [1] [d]). Notably, the IEP did not call for an aide or escort to wait with A. at her designated bus stop (*see* US Department of Education, Q and A: Questions and Answers on Transportation [Nov. 2009], <http://idea.ed.gov/explore/view/p/,root,dynamic,Qu->

Corner,12, [noting that “(f)or students who may need assistance with ‘going’ to the bus stop or ‘waiting’ at the bus stop independently, adding a bus stop monitor can be considered” by the child’s IDEA Team]). Plaintiff suggests that busing a special needs child requires extra care, and therefore imposes additional transportation-related obligations on the District. But this argument is belied by the IEP itself, which did not specify any “special busing services” and required only regular bus transportation.

Limiting or Modifying Pratt and Ernest

[5] Finally, plaintiff asks us to limit or modify *Pratt* and *Ernest* if we disagree with her position (as we do) that these cases provide a basis to impose liability on the District for A.’s injuries without any “additional exception or extension.” Basically, she urges that because of the “extreme circumstances” here, custody should not be the litmus test for duty. We have, however, repeatedly endorsed the efficacy and fairness of defining a school’s common-law duty to supervise or transport students in terms of physical custody.

The concept of in loco parentis is the fountainhead of the duty of care owed by a school to its students (*see Mirand v City of New York*, 84 NY2d 44, 49 [1994] [“(t)he duty owed derives from the simple fact that a school, in assuming physical custody and control over its students, effectively takes the place of parents and guardians”]). In *Pratt* and *Ernest* we identified limited situations where a school might be liable in the absence of physical custody of an injured child. But in the circumstances described, the school still exercised control over the time, place and conditions of a child’s release from its physical custody to the protection of a parent or guardian. Here, A. never left plaintiff’s custody and control on the morning of March 13th, and plaintiff trusted A. to wait at her designated bus stop independently. Because the accident did not happen while A. was within the District’s custody and control, the District is not liable for A.’s injuries.

Accordingly, the order, insofar as appealed from, should be reversed, with costs; defendant School District’s motion for summary judgment dismissing the complaint and cross claims against it granted; and the certified question answered in the negative.

SMITH, J. (dissenting).I would hold that on these facts the school district owed plaintiff’s daughter a duty of reasonable

care, and that there is a triable issue as to whether her injury was proximately caused by a breach of that duty.

I

A school's duty to its students arises because the school "in assuming physical custody and control over its students, effectively takes the place of parents and guardians" (*Mirand v City of New York*, 84 NY2d 44, 49 [1994]). In *Pratt v Robinson* (39 NY2d 554, 560 [1976]), we explained that when the school district's custody of a child "ceases because the child has passed out of the orbit of its authority in such a way that the parent is perfectly free to reassume control over the child's protection, the school's custodial duty also ceases." Cases in which school buses are picking up or discharging children are at the borderline between the school's custody and the parents' control, and it can be difficult in such cases to decide when the school district's duty of care begins or ends.

I find two school-bus cases especially relevant here, *Pratt* and one of the decisions it relies on, *McDonald v Central School Dist. No. 3 of Towns of Romulus, Varick & Fayette, Seneca County* (179 Misc 333 [Sup Ct, Seneca County 1941], *affd* 264 App Div 943 [4th Dept 1942], *affd* 289 NY 800 [1943]). In *McDonald*, a child was injured while crossing the street immediately after getting off her school bus. The bus driver, in compliance with a school district rule, had waited at the stop after letting the children off, allowing them to cross in front of the bus. The driver saw, but failed to warn the child about, the car that hit her. A jury returned a verdict against the school district, and the trial judge, Justice Van Voorhis (later a Judge of this Court), denied a motion for a new trial. He said that "[t]he presence of the bus necessarily created some hazard," because it obstructed the view of children and drivers, and he found evidence to support a finding that the school district "assumed a duty to protect [the child] against the special danger which it had created by its own rule" (*id.* at 336). The Appellate Division and this Court affirmed without opinion.

In *Pratt*, a child was dropped off by a school bus, walked three blocks toward her home, and then was hit by a truck while crossing a street. The school district was sued on the theory that it was negligent for failing to locate its bus stop at a place nearer to the child's home. We held that the school district owed the child no duty, because the child had left the school

district's custody, and her parents could have resumed control. We distinguished *McDonald* as a case in which "the injury occurred during the act of busing itself, broadly construed," and referred to Justice Van Voorhis's observation that "when children must cross the street where the bus stops, the bus itself acts as an obstacle to their clear view of oncoming traffic" (*id.* at 561). We expressed a similar view of *McDonald* in *Ernest v Red Cr. Cent. School Dist.* (93 NY2d 664, 671 [1999]), where we summarized it as holding that

"although a school district's duty of care toward a student generally ends when it relinquishes custody of the student, the duty continues when the student is released into a potentially hazardous situation, particularly when the hazard is partly of the school district's own making."

This case involves a child being picked up, not dropped off, by a school bus, but that distinction seems to me of little significance. I would hold that the case is within the rule established by *McDonald* and restated in *Pratt* and *Ernest*: A school district's duty to use due care exists where an injury occurs during "the act of busing itself, broadly construed" and where the child is exposed to a hazard "partly of the school district's own making." Here, the school district's bus had gone to the child's house to pick her up, had mistakenly driven past and was returning to complete the pick up. This was the act of busing, broadly construed. And the hazard here was, accepting the facts as plaintiff claims them to be, of the school district's own making. Plaintiff's daughter went into the street in direct response to the bus driver's allegedly negligent maneuver. Imagine a case like this one, except with stronger proof of the bus driver's fault: suppose for example, that the driver had negligently stopped the bus across the street from the child's house, causing her to think she had to cross. In such a case, the school district surely should be liable for the resulting injury—and, on the duty issue, the hypothetical case is indistinguishable from this one.

The majority acknowledges that the logic of the school-bus drop-off cases might be extended to a pick-up case, but would find a duty, if at all, only where the child is "within the area of embarkation or transition" and only after the bus "stops to pick up passengers and engages its red flashing lights and stop sign to halt motorists" (majority op at 400). This limitation, for

which the majority offers no rationale, seems wholly arbitrary to me. What logic justifies excluding a case like this one, where, because of the driver's negligence, the bus failed "to stop to pick up a passenger" and then, according to plaintiff's claim, made an ill-judged turn that lured the child out of "the area of embarkation and transition"? I think our precedents, fairly read, compel the conclusion that a duty existed here.

II

For me, the issue of whether the child's injuries were proximately caused by a breach of the school district's duty of care is more troublesome than the issue of whether there was such a duty. I do not find this a strong case against the school district. Indeed, I wonder whether plaintiff might have had more success on the duty issue if she had a stronger case on negligence and proximate cause. But I conclude that plaintiff has presented enough evidence on those issues to get to a jury.

Plaintiff's theory is, in essence, that the school district should have told its driver that plaintiff's daughter was a special needs child; that the driver, after he missed his stop, should either have taken her special needs into account or called in for instructions on what to do; and that the driver or his supervisor, knowing that the child's mental disability could impair her judgment, should have foreseen that the returning bus would lead her to put herself in danger. This theory, while debatable, is not plainly wrong. It was endorsed by plaintiff's expert witness, a specialist in the transportation of students and of passengers with special needs, and it found further support in the testimony of the school district's transportation supervisor. The supervisor testified that, had he known that the child "had some issues with her capabilities to understand what to do and not to do," and had he been asked by the bus driver whether to turn the bus around, he would not have advised him to do so, because the turn could create confusion and danger. He would, he testified, have told the driver to go on his way and sent another bus; there was evidence that another bus was in the area. A jury could find that what the supervisor said he would have done is what due care required, and that the failure to exercise due care proximately caused the child's injuries. I would therefore affirm the order of the Appellate Division.

Judges GRAFFEO, RIVERA and ABDUS-SALAAM concur with Judge READ; Judge SMITH dissents in an opinion in which Chief Judge LIPPMAN and Judge PIGOTT concur.

Order, insofar as appealed from, reversed, with costs, defendant Jordan-Elbridge Central School District's motion for summary judgment dismissing the complaint and cross claims against it granted, and certified question answered in the negative.

[15 NE3d 307, 991 NYS2d 552]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NATURE
G. FINCH, Appellant.

Argued January 16, 2014; decided May 13, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Onondaga County Court (Anthony F. Aloï, J.), dated August 23, 2012. The County Court order, insofar as appealed from, affirmed that part of a judgment of the Syracuse City Court (Stephen J. Dougherty, J.) which had convicted defendant, after a jury trial, of resisting arrest.

HEADNOTES**Crimes — Appeal — Preservation of Issue for Review**

1. Where a defendant has unsuccessfully argued before trial that the facts alleged by the People do not constitute the crime charged, and the court has rejected the argument, the defendant need not specifically repeat the argument in a trial motion to dismiss in order to preserve the point for appeal. Defendant, who was arrested on three separate occasions for trespassing at a federally-subsidized apartment complex despite being an invited guest of one of the tenants and charged with resisting arrest on the third occasion, preserved for appeal his argument, made unsuccessfully at arraignment in City Court on one of the criminal trespass charges, that the arresting officer lacked probable cause to arrest him for trespass because the officer knew that the tenant had invited defendant to be on the premises. City Court ruled definitively on the legal argument that defendant made on appeal, and having received an adverse ruling, defendant did not need to specifically urge the same theory again in support of his motion to dismiss for insufficiency of the evidence at trial. Although a challenge to the sufficiency of the accusatory instrument at arraignment is conceptually different from a challenge based on the proof at trial, and often an issue decided in one proceeding will not be the same as the issue presented in another, here the issue was the same. Moreover, although defendant's initial argument was addressed to a trespass count and not the probable cause element of the resisting arrest count, once the court held that an invited guest whose license has been withdrawn by management is a trespasser, it necessarily followed that the officer did not lack probable cause to arrest defendant for trespass on the ground that he was an invited guest.

Crimes — Resisting Arrest — Probable Cause for Arrest

2. In defendant's prosecution for resisting arrest following his third arrest for trespassing while he was an invited guest of a tenant at a federally-subsidized apartment complex, the evidence was insufficient for a jury to find, beyond a reasonable doubt, that the arresting officer had probable cause to believe defendant guilty of trespass. A person commits resisting arrest when he "intentionally prevents or attempts to prevent a police officer . . . from effecting an authorized arrest" (Penal Law § 205.30), and an arrest is only authorized if it was premised on probable cause. At the time of the first trespassing

arrest—a month before the third arrest—defendant’s status as the tenant’s guest, and his and the tenant’s claim that he was therefore entitled to enter the property, were forcefully brought to the arresting officer’s attention by the tenant, as reflected in a video recording made by the tenant. The officer did not recall being told at the time of the first arrest that defendant claimed to be the tenant’s guest, though he admitted that defendant claimed to be watching his son two weeks later, at the time of the second arrest—a clear indication that he claimed to be there with the approval of the child’s mother. Accordingly, a jury could not have found, beyond a reasonable doubt, that the officer did not know at the time of the first arrest that defendant was present with the tenant’s consent, and if he knew that on that occasion, he could readily have inferred that the same was true when he arrested defendant again on the third occasion. Thus the third arrest lacked probable cause.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 618; AM JUR 2d, Arrest §§ 128, 129.

CARMODY-WAIT 2d, Arrest or Other Detention; Post-Arrest Procedure §§ 177:11, 177:12; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:18, 207:19.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 3.3.

McKINNEY’S, Penal Law § 205.30.

NY JUR 2d, Criminal Law: Procedure §§ 3454–3456; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 160, 1439, 1442, 1443, 1447–1451.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Arrest; Probable Cause; Resisting Arrest.

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POINTS OF COUNSEL

Hiscock Legal Aid Society, Syracuse (*Philip Rothschild* of counsel), for appellant. The charge of resisting arrest was insufficient as a matter of law because police knew that Nature Finch was an invitee of a tenant, his trespass arrest was for being at the tenant’s apartment complex, and the only basis for that arrest was a police stay-away order to Mr. Finch that police had no authority to issue. (*People v Scott*, 26 NY2d 286; *Zwerin v Geiss*, 38 Misc 2d 306; *People v Graves*, 76 NY2d 16; *People v Munafò*, 50 NY2d 326; *Sky Four Realty Co. v State of New York*,

134 Misc 2d 810; *People v Konikov*, 160 AD2d 146; *People v Brozowski*, 53 AD2d 706; *People v Messina*, 32 Misc 3d 318; *People v Leonard*, 62 NY2d 404; *People v Peacock*, 68 NY2d 675.)

William J. Fitzpatrick, District Attorney, Syracuse (*Joseph Centra* and *James P. Maxwell* of counsel), for respondent. The police officer had a reasonable belief that defendant was committing a crime when the officer arrested defendant on May 27, 2009, and thus the People presented sufficient proof that defendant was guilty of resisting arrest. (*People v Gray*, 86 NY2d 10; *People v Hines*, 97 NY2d 56, 97 NY2d 678; *People v Hawkins*, 11 NY3d 484; *People v Bynum*, 70 NY2d 858; *People v Sweeney*, 15 AD3d 917; *People v Gonzalez*, 99 NY2d 76; *People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *People v Jensen*, 86 NY2d 248; *People v Peacock*, 68 NY2d 675.)

OPINION OF THE COURT

SMITH, J.

We hold that, where a defendant has unsuccessfully argued before trial that the facts alleged by the People do not constitute the crime charged, and the court has rejected the argument, defendant need not specifically repeat the argument in a trial motion to dismiss in order to preserve the point for appeal. We also hold that the argument defendant makes here has merit, and requires reversal of his conviction for resisting arrest.

I

Calleasha Bradley was a tenant at Parkside Commons, a federally-subsidized apartment complex in Syracuse. Defendant, who did not live in the complex, was the father of Bradley's child. Bradley and defendant met with Nicole Smith, the Parkside Commons property manager, and asked her to allow defendant to come on the property to visit his son. After verifying that defendant had not "had any trouble" for a period of about two years, Smith gave him permission to visit, but warned him that, because of a "no loitering policy," defendant "would need to be with his son, not at various points of the property doing other things."

On April 28, 2009, James Quatrone and Todd Hood, police officers patrolling Parkside Commons, saw defendant and three other adults in the lobby of one of the buildings, with a marijuana cigarette in the vicinity. The officers arrested defendant for trespassing. Bradley was not present during the April 28

arrest, but while Quatrone was waiting with defendant for a car to the Justice Center, Bradley emerged from a building, made a video (but not audio) recording of the event on her cellphone, and expressed her unhappiness about the officers' actions in strong terms. While witnesses' recollections of what was said differ, the evidence (described in more detail below) shows conclusively, in our view, that Quatrone knew as of April 28 that defendant was on the property with Bradley's consent.

After the April 28 incident, Smith revoked the permission she had given defendant to visit his son, and informed the police that defendant was no longer allowed at Parkside Commons. Defendant nevertheless continued to enter the property, at Bradley's invitation. Quatrone arrested him twice more for trespassing, on May 12 in the lobby of another building and on May 27 in a parking lot.

The May 27 arrest led to the resisting arrest charge that is the subject of this appeal. On being told that day that he was under arrest, defendant replied: "You can't arrest me." Quatrone told defendant to turn around and tried to pull his arm behind his back; defendant tried to walk away. Quatrone grabbed him and, with the help of other officers, forcibly handcuffed him. Defendant made the handcuffing difficult by pressing his arm against the hood of a car with his body.

Defendant was charged with three counts of criminal trespass and one of resisting arrest. A jury in City Court acquitted him of the first trespass charge, relating to April 28, but convicted him on the remaining counts.

County Court reversed defendant's convictions for trespass, but affirmed the resisting arrest conviction. In County Court's view, defendant could not be a trespasser because he was Bradley's invited guest: "[A] tenant with a lease to a specific apartment in an apartment complex has the inherent right to invite guests and . . . those guests . . . are licensed and privileged to be in or upon the property" (internal quotation marks omitted). County Court concluded, however, that Quatrone had probable cause to arrest defendant and that therefore the resisting arrest conviction was valid.

A Judge of this Court granted defendant leave to appeal (*People v Finch*, 20 NY3d 986 [2012]). The People cross-moved for leave to appeal from the reversal of the trespass convictions, but the cross motion was dismissed as untimely (20 NY3d 1098 [2013]), and the resisting arrest conviction is therefore the only

one before us. We agree with defendant that the evidence is insufficient to support that conviction, and we reverse.

II

[1] Before reaching the merits, we must decide whether defendant has preserved for appeal his argument that Quatrone lacked probable cause to arrest him for trespass on May 27 because Quatrone knew that Bradley had invited defendant to be on the premises. We hold that the argument is preserved.

Defendant made that argument at virtually the earliest possible moment—at arraignment in City Court on one of the criminal trespass charges. Challenging the sufficiency of the accusatory instrument, defendant argued that the police failed “to understand why somebody might be there . . . who might have license to be there by the tenants.” Later in the same proceeding, he argued that the court “should dismiss” the charge unless defendant had been excluded “in compliance with [Bradley’s] rights as tenant.” He added that the court should be “even more skeptical” of the case because “this woman who lives in that, saying he’s got a right to be there . . . should be good enough. Who’s got a right to say that he can’t be there? It’s her premises. She’s entitled to have guests and family members there.”

The City Court Judge responded by specifically rejecting the view that Bradley could consent, over management’s objection, to defendant’s presence: “What the law says is . . . either she makes her peace with the management or she moves out . . . if she said, ‘I want to have this person here because he’s the father of my child,’ she makes her peace with the management.” Unlike our dissenting colleagues (*see* dissenting op of Abdus-Salaam, J. at 429-430 [hereafter, the dissent]), we do not read this ruling as being directed solely to the conditions of pretrial release; the ruling followed only moments after defense counsel’s request: “you should dismiss.” But the more important point is that City Court ruled definitively on the legal argument that defendant makes on this appeal. Having received an adverse ruling, defendant did not specifically urge the same theory again in support of his motion to dismiss for insufficiency of the evidence at trial. But he did not have to: once is enough (*People v Mahboubian*, 74 NY2d 174, 188 [1989] [insufficiency claim preserved by pretrial motions, “even though defendants did not specifically seek dismissal on that basis at the close of the People’s evidence”])).

As a general matter, a lawyer is not required, in order to preserve a point, to repeat an argument that the court has definitively rejected (*People v Jean-Baptiste*, 11 NY3d 539, 544 [2008] [having made a specific motion to dismiss for legal insufficiency, defendant was not required to make the same point as an exception to the charge]; *People v Payne*, 3 NY3d 266, 273 [2004] [“We decline to . . . elevate preservation to a formality that would bar an appeal even though the trial court . . . had a full opportunity to review the issue in question”])). When a court rules, a litigant is entitled to take the court at its word. Contrary to what the dissent appears to suggest, a defendant is not required to repeat an argument whenever there is a new proceeding or a new judge.

It is true that a challenge to the sufficiency of the accusatory instrument at arraignment is conceptually different from a challenge based on the proof at trial, and that often an issue decided in one proceeding will not be the same as the issue presented in another. But here the issue was the same. It is also true that defendant’s initial argument was addressed to a trespass count and not the probable cause element of the resisting arrest count. But once the court held that an invited guest whose license has been withdrawn by management is a trespasser, it necessarily followed that Quatrone did not lack probable cause to arrest defendant for trespass on the ground that he was an invited guest. The dissent’s contrary view rests on a simple confusion. Of course the court’s pretrial ruling could not resolve every aspect of “the fact-intensive issue of probable cause” (dissent at 431), and we do not suggest that it did. Our point is simply that the trial court could not, without abandoning the ruling it had already made, have accepted the specific argument that, in the dissent’s view, defendant should have repeated when moving to dismiss the count at trial. It is clear to us that the repetition would have been an unnecessary ritual, and nothing the dissent says persuades us otherwise.

The dissent also points to the seeming oddity that defendant preserved the argument on which we now hold his arrest unlawful “weeks before [the arrest] happened” (dissent at 418). But there is nothing really odd about it. The resisting arrest count was properly joined with, and tried with, the three trespass counts, and the identical argument was applicable to all four counts. Neither authority nor common sense gives any support to the idea that in such a situation a defendant must, to preserve an already rejected argument, make it again whenever a new

count (whether based on earlier or later events) is added. Not even the dissent goes that far; the dissent asserts not that the argument we find preserved was addressed to the wrong counts, but that it was made at the wrong time—before trial, not during trial. We have explained why we disagree.

The dissent relies on two of our precedents, *People v Gray* (86 NY2d 10 [1995]) and *People v Hines* (97 NY2d 56 [2001]), both of which deal with the need to preserve insufficiency claims by a trial motion to dismiss. Neither of those cases addresses the precise issue here—whether a sufficiency argument specifically made and rejected before trial must be repeated at trial. This case does not require us to reconsider either *Gray* or *Hines*, and we do not do so, but we decline to read those cases as broadly as the dissent does.

We held in *Gray* “that where a defendant seeks to argue on appeal . . . that the People have failed to establish the defendant’s knowledge of the weight of drugs, preservation of that contention is required by an appropriate objection” (86 NY2d at 18 [footnote omitted]). We further held that an “appropriate objection” meant one that specifically identified the flaw in the People’s proof. Thus a general motion to dismiss that did not specifically raise the knowledge-of-the-weight issue was inadequate to preserve it. We explained that this requirement enables trial courts to avoid error, and also alerts the People to the claimed deficiency in the proof, thus giving them a chance to correct it and so advance “the truth-seeking purpose of the trial” (*id.* at 21).

We do not retreat from—indeed, we reaffirm—*Gray*’s statement of the importance of, and the reasons for, the preservation rule. Nor do we doubt that a specific claim of insufficiency was properly required in *Gray*, and is required in most other cases. This does not imply, however, that a specific objection in a trial motion to dismiss is always necessary where, as is true in this case, such a requirement will not significantly advance the purposes for which the preservation rule was designed. There will be cases, of which this is one, where the lack of a specific motion has caused no prejudice to the People and no interference with the swift and orderly course of justice.

Insistence on specificity in a dismissal motion is amply justified where the People might have cured the problem if their attention had been called to it. This may well have been true in

Gray itself; if the defendant there had flagged the knowledge-of-narcotic-weight issue, the People might have reopened their case to supply the missing proof. The specificity requirement is also justified in another class of cases—those involving alternative grounds for criminal liability, where a defendant’s failure to point out a flaw may lead to his conviction on an unsound theory, though a sound one was available. Thus in considering the appeals of defendants convicted of depraved indifference murder before our cases drew a clear distinction between that crime and intentional murder, we have enforced the rule of *Gray* strictly, mindful of the possibility that a less strict approach could benefit defendants “who committed vicious crimes but who may have been charged and convicted under the wrong section of the statute” (*People v Martinez*, 20 NY3d 971, 977 [2012, Smith, J., concurring], quoting *People v Suarez*, 6 NY3d 202, 217 [2005, G.B. Smith, Rosenblatt and R.S. Smith, JJ., concurring]; see also *People v Jean-Baptiste*, 11 NY3d 539, 542 [2008]; *People v Hawkins*, 11 NY3d 484 [2008]).

But while the rule of *Gray* is generally a sound one, an overbroad application of it would raise the disturbing possibility that factually innocent defendants will suffer criminal punishment for no good reason. Thus in this case, it seems highly likely not merely that the People failed to prove defendant guilty of criminal trespass and resisting arrest, but that he was actually innocent of those crimes. As we explain below, no one now disputes that Bradley had a right to invite defendant onto the Parkside Commons property as her guest, unless some special factor, such as a lease provision or regulation, deprived her of that right. The People produced no evidence that any such lease provision or regulation existed, and that omission could hardly have been an oversight—defendant asserted a defense based on his status as Bradley’s guest at the very outset of the case, and also emphasized the point during the presentation of evidence at trial, though he did not specifically repeat it at trial in his dismissal motion. There is no reason to think that the absence of that repetition prejudiced the People at all; the People assert no such prejudice—indeed, they do not advance here the preservation argument that the dissent adopts. If we were to agree with the dissent that *Gray* requires us to affirm in this case, we would in all likelihood be upholding the conviction of an innocent man, without significantly advancing any valid purpose.

The dissent responds by saying, essentially, that procedural rules do sometimes require us to uphold convictions of people

who may be innocent, and that the task of avoiding such injustices must sometimes be left to the Appellate Division, which has interest-of-justice jurisdiction (dissent at 435-436). True enough; but procedural rules should be so designed as to keep unjust results to a minimum. We think our interpretation of *Gray* serves that end better than the dissent's.

In *Hines*, we said that a defendant who had made a specific motion to dismiss at the close of the People's case, and had thereafter called witnesses and testified in his own behalf, had not preserved the argument that he specifically made because he did not make another motion to dismiss for insufficiency at the close of all the evidence. Judge George Bundy Smith, the author of *Gray*, dissented from this conclusion, asserting that "[s]ince defendant raised the sufficiency issue at the close of the People's case, he can raise it again on an appeal" (97 NY2d at 66 [Smith, J., dissenting]). Another Judge Smith, the author of the present opinion, has twice expressed doubt that *Hines* was correctly decided (*see Payne*, 3 NY3d at 273 [R.S. Smith, J., concurring]; *People v Kolupa*, 13 NY3d 786, 787 [2009, Smith, J., concurring]; *see also People v Santiago*, 22 NY3d 740 [2014] [mentioning, but not addressing, an argument that *Hines* should be overruled]). But we need not consider now these criticisms of the *Hines* result. We hold only that *Hines* does not establish a general rule that every argument once made and rejected must be repeated at every possible opportunity. Specifically, the argument that defendant here made at arraignment did not need to be repeated in his trial motion to dismiss.

III

[2] On this appeal, the People do not challenge County Court's conclusion that defendant, having been invited onto the Parkside Commons premises by Bradley, was not a trespasser, but do argue that there is sufficient evidence that he committed the crime of resisting arrest on May 27. A person commits resisting arrest when he "intentionally prevents or attempts to prevent a police officer . . . from effecting an authorized arrest" (Penal Law § 205.30). An arrest is "authorized" if, but only if, it "was premised on probable cause" (*People v Jensen*, 86 NY2d 248, 253 [1995]; *see People v Peacock*, 68 NY2d 675, 676-677 [1986]). Thus the merits question before us is whether, on the assumption that defendant was in fact innocent of criminal trespass, there was nevertheless sufficient evidence for a jury to find, beyond a reasonable doubt, that Quatrone had probable cause on

May 27 to believe him guilty of that crime. We conclude that the evidence of probable cause was insufficient.

It is critical to our holding that on April 28—a month before the arrest now in issue—defendant’s status as Bradley’s guest, and his and Bradley’s claim that he was therefore entitled to enter the property, were forcefully brought to Quatrone’s attention. The April 28 arrest caused Bradley to come out of her building, “yelling” in Quatrone’s description, “screaming” in that of Quatrone’s fellow officer Hood. Hood was asked if Bradley was screaming “You can’t arrest him. He’s my guest. Why are you arresting him? He’s not trespassing.” Hood disputed the words, but not the substance: “No. It was much more obscene than that.”

Quatrone did not recall being told on April 28 that defendant claimed to be Bradley’s guest though he admitted that defendant claimed to be watching his son two weeks later, on May 12—a rather clear indication that he claimed to be there with the approval of the child’s mother. But in light of the undisputed fact, reflected in a video recording, that Bradley enthusiastically espoused defendant’s cause in Quatrone’s presence, we do not see how a jury could find, beyond a reasonable doubt, that Quatrone did not know on April 28 that defendant was present with Bradley’s consent. And if Quatrone knew that on April 28 (or on May 12), he could readily have inferred that the same was true when he arrested defendant again on May 27. Thus the May 27 arrest lacked probable cause.

In so holding, we do not adopt any universal rule applicable to encounters between police officers and people they believe to be trespassers in public housing projects. The question of when nonresidents of public housing may be treated as trespassers is complicated (*see generally* Elena Goldstein, *Kept Out: Responding to Public Housing No-Trespass Policies*, 38 Harv CR-CL L Rev 215 [2003]). The rule relied on by County Court, that one who has been invited by a tenant cannot be a trespasser, may be generally correct, but it is not immutable. A lease provision or regulation might permit management, at least in some circumstances, to override a tenant’s wishes.

Here, there is no evidence that any relevant lease term or regulatory provision existed; but we do not hold that even where that is true, a trespassing arrest of someone who claims to be a tenant’s guest necessarily lacks probable cause. An arresting officer should not generally be required to consult the lease or

regulations before acting. An officer need not “conduct a mini-trial” before making an arrest (*Brodnicki v City of Omaha*, 75 F3d 1261, 1264 [8th Cir 1996]). In many situations an officer may be justified in accepting without independent verification a property manager’s assertion that management is entitled to decide who may enter the property. Under the circumstances of this case, however, where both the facts showing defendant not to be a trespasser and their legal significance had been pointed out to Quatrone a month earlier, he was not so justified.

Accordingly, the order of County Court, insofar as appealed from, should be reversed and the information dismissed.

ABDUS-SALAAM, J. (dissenting). On this appeal, defendant maintains that the People failed to adduce sufficient trial evidence showing that he unlawfully resisted a valid arrest supported by probable cause to believe he was trespassing. More particularly, defendant urges, the trial evidence did not establish that the landlord of the residence of his girlfriend, Cal-leasha Bradley, had the authority to extinguish the license defendant had received from her to remain on the premises, and therefore the landlord’s order to remove defendant from the property could not have reasonably caused the police to suspect him of trespass when they conducted the third trespass arrest at issue in this case. However, at trial, defendant did not attack the legal sufficiency of the evidence on that basis, and thus he failed to preserve his claim for this Court’s review.

Nonetheless, the majority maintains that defendant preserved his legal sufficiency claim (*see* majority op at 412-415). Central to the majority’s opinion in this regard is defendant’s argument at an arraignment on charges other than those that resulted in defendant’s trial and conviction for resisting arrest. Significantly, at the time defendant made the objection cited by the majority, the incident that led to the disputed conviction here had not even occurred yet. In other words, the majority concludes that, by challenging at arraignment the facial sufficiency of an information charging trespass based on an *earlier* occurrence, defendant successfully challenged the legal sufficiency of the trial evidence, which had not been presented at the time of the objection, at a *future* trial on a *distinct* resisting arrest charge, which had not yet been filed, arising from actions that defendant would not take until two weeks *after* the objection. Thus, the majority seems to believe that defendant specifically argued that his future arrest would be unlawful, and that he would be blameless for resisting it, weeks before it happened.

Is the majority seriously suggesting that trespass arrestees are blessed with such precognition?

Sadly, the majority displays nothing remotely similar to the foresight it attributes to defendant, for its resolution of this case is so patently inconsistent with precedent and common sense that it can only be viewed as the odd outcome of an even odder case. Given the many fatal flaws infecting the majority's opinion, which are set forth in detail below, I do not subscribe to the majority's time-bending and obfuscatory approach. Accordingly, I dissent and would affirm on the ground of lack of preservation without reaching the merits.

I

On April 28, 2009, defendant was arrested for trespassing at Parkside Commons, which was the development containing Bradley's building. The next day, the People filed a misdemeanor information charging defendant with criminal trespass in the third degree (*see* Penal Law § 140.10 [a]), and they attached a supporting deposition completed by the property manager of Parkside Commons, Nicole Smith, in which she averred that she had given the police the right to arrest anyone who had no lawful business on the property or had been previously warned to refrain from trespassing there. That same day, a judge arraigned defendant on the information. At that arraignment, defense counsel asserted that the information was invalid because it did not state that the officers had inquired as to whether defendant had a right to be on the premises, and counsel complained that the police had arrested defendant merely because he was not carrying some unspecified paperwork previously provided to him by the judge. Noting that it was "just talking about this, this accusatory instrument right, right now," the arraignment court initially indicated that it was inclined to require the People to allege that defendant was not on the premises by permission of a resident, but the court ultimately did not follow up on this issue.

On May 12, 2009, defendant was arrested as a result of a new incident of trespassing at Parkside Commons. The next day, defendant was arraigned, by the same judge who had presided over his arraignment in his prior trespass case, on a misdemeanor information charging him with third-degree trespass and including Smith's affidavit. At the arraignment on this second of what would eventually be three trespass cases, defense

counsel asserted that the information did not comply with the CPL's verification provisions (*see* CPL 100.30 [1]), and he added that the supporting document filled out by Smith "d[id]n't work to give the police officers the ability to understand why somebody might be there" at the development where Bradley lived. Bradley, who was in the courtroom, commented that the police had arrested defendant even though he had been visiting his son and had keys to Bradley's apartment.

After discussing the verification issue, the court granted defendant pretrial release on the condition that he not return to Bradley's development. In response, counsel objected to that release condition, saying it was unfair because Smith's supporting deposition was stale and did not show that the landlord had excluded defendant from the subject premises "in compliance with [Bradley's] rights as a tenant." The court replied that the release condition was fair and did not unduly limit defendant's ability to see his child because Bradley might be able to negotiate with the landlord to allow defendant to come onto the premises.

On May 27, 2009, roughly two weeks after defendant's second arrest and arraignment, he was arrested for trespassing and resisting arrest at Parkside Commons. The People filed an information charging defendant with criminal trespass in the third degree and, for the first time, resisting arrest (*see* Penal Law § 205.30). The information consisted of sparse allegations regarding defendant's struggle with a police officer during defendant's third arrest for trespassing at Parkside Commons, and the People once more attached Smith's affidavit to the accusatory instrument. Defendant filed a written motion to dismiss the information for failure to state a *prima facie* case of resisting arrest (*see* CPL 100.40, 170.30 [1] [a]; 170.35 [1] [a]), generally challenging the lawfulness of the arrest.

On May 28, 2009, a new judge arraigned defendant on this latest information. The court told defendant to stay away from Parkside Commons, and defendant replied that he wished to visit his child there. The court informed defendant that he should "take something with [him] that sa[id] [his] kids live[d] there" and that he "better talk to [his] attorney about it." Neither defendant nor the court discussed whether defendant's third arrest was supported by probable cause, the validity of the charges generally, or defendant's statements at his prior court appearances on the previously filed charges arising from his first and second arrests. After the arraignment pertaining to defendant's third arrest, defendant's three cases were joined for

trial because the same individuals witnessed the relevant events in each of defendant's three cases and the evidence of defendant's history of trespassing was relevant to all three cases.

In comparison to the misdemeanor information charging defendant with resisting arrest, the trial testimony revealed far more about Smith's authority and her interactions with the police officers who patrolled Parkside Commons. Smith testified that, as the property manager of Parkside Commons, she was responsible for evicting tenants, enforcing the rules and regulations in their leases, and "prevent[ing] people from coming on the property who ha[d] no purpose for being there." Parkside Commons had a broad anti-loitering policy, and tenants' guests could enter and remain on the property only "[a]s long as they are with who they are suppose[d] to be with." The landlord employed Syracuse police officers to patrol the development, and Smith authorized them to arrest trespassers and other violators of the anti-loitering policy. On the landlord's behalf, Smith regularly identified for the officers individuals who were to be removed from the property. In the exercise of those duties and powers, Smith explained the anti-loitering policy to defendant and Bradley, and she told them that defendant could not be on the premises unless he was accompanying his son. The officers' trial testimony further clarified their beliefs about Smith's mandate from the landlord. According to the officers, they regularly checked in with Smith at the start of their shift, and as their primary contact with the landlord, Smith routinely informed them of trespassers and other removable persons.

Defendant's trial attorney questioned the officers about their knowledge, or lack thereof, concerning defendant's status as Bradley's guest, and counsel inquired into Smith's role at the property. In addition, counsel extensively cross-examined Smith and the officers about whether Parkside Commons was sufficiently "fenced or otherwise enclosed in a manner designed to exclude intruders" as required by the third-degree trespass statute (Penal Law § 140.10 [a]). The witnesses explained that, although the development's security measures had some gaps and needed some repair, the property was largely enclosed by a fence, secured by electronic locks, and under video surveillance.

At the end of the People's case, defense counsel made a motion for a trial order of dismissal premised primarily on the open nature of the development. Counsel posited that, because the evidence showed that Parkside Commons was not completely

enclosed by a fence, defendant could not have committed third-degree trespass by entering the premises without permission (*see* Penal Law § 140.10 [a]). As counsel saw it, given their knowledge that the premises were not fully enclosed, the officers lacked probable cause to arrest defendant for third-degree trespass on each occasion on which they did so. Counsel also contended that the landlord and the officers had not adequately warned defendant that he could not be on the premises, as they had failed to provide him with written notice to that effect. The trial court denied counsel's motion, deeming the issues raised by counsel to be questions for the jury to decide.

Defendant testified and also called Bradley to the stand. In their telling, Smith had informed defendant that he could be at Parkside Commons. However, Smith had declined to give defendant written permission to remain on the property, and she had told defendant to try to stay inside Bradley's building, to avoid contact with the police and to "have an escort with [him]" when wandering the grounds. Defendant and Bradley also testified that the police officers had known of defendant's alleged license to be on the premises and yet had still arrested defendant for trespass. Following this additional description of Smith's role in this case, defense counsel renewed her dismissal motion, elaborating only on the supposed lack of adequate fencing surrounding Parkside Commons. The court denied the renewed motion. Subsequently, the jury deliberated on the trial evidence and convicted defendant of, *inter alia*, resisting arrest.

After the jury's verdict, defense counsel filed a motion to set aside the verdict pursuant to CPL 330.30. For the first time, counsel challenged the legal sufficiency of the trial evidence on the ground that Smith had only granted the police the authority to arrest trespassers and not those, such as defendant, who were invitees on the premises. Counsel further contended that Smith had not barred defendant from the property or notified him that he could not be there, and therefore the police had no basis to suspect that he was knowingly trespassing and no authority to arrest him. The court denied the CPL 330.30 motion and sentenced defendant.

II

The preservation doctrine "frequently accounts for the disposition of criminal cases in this Court" by preventing our review of legal issues not properly framed in the *nisi prius* court (*People v Hawkins*, 11 NY3d 484, 491 [2008]; *see* NY Const, art VI, § 3;

CPL 470.05 [2]; *People v Kelly*, 5 NY3d 116, 119 [2005]; *People v Gray*, 86 NY2d 10, 18-20 [1995]). We have repeatedly held that in order to preserve an appellate claim that the evidence at trial was legally insufficient to support a conviction, a defendant must file a motion for a trial order of dismissal specifically directed at the same insufficiency alleged on appeal (see *People v Hines*, 97 NY2d 56, 61-62 [2001]; *People v Finger*, 95 NY2d 894, 895 [2000]; *Gray*, 86 NY2d at 18-20). Where the defendant attacks the sufficiency of the trial evidence on grounds that are specific, but not the same as the ones later raised on appeal, the defendant fails to preserve his or her appellate contention (see *People v Carncross*, 14 NY3d 319, 324-325 [2010]; *Hawkins*, 11 NY3d at 493; *People v Lawrence*, 85 NY2d 1002, 1004-1005 [1995]; *People v Cona*, 49 NY2d 26, 33 n 2 [1979]).

The timing of the defendant's objection is equally important for preservation purposes. A timely objection to the sufficiency of the trial proof must be made during trial, not before or after, because the objection "alerts all parties to alleged deficiencies in the evidence" presented at trial and "advances the truth-seeking purpose of the trial" (*Gray*, 86 NY2d at 21; see *Hawkins*, 11 NY3d at 492-493). A motion to dismiss made during trial and prior to deliberations also "advances the goal of swift and final determinations of the guilt or nonguilt of a defendant" (*Gray*, 86 NY2d at 21).

As the trial unfolds and new evidence sheds light on the subject of a previous objection, the defendant naturally must apprise the court of any complaints about the new proof to the extent it bears on his or her prior argument. To that end, if the defendant makes a sufficiently specific objection to the legal sufficiency of the trial evidence at the close of the People's case, the defendant must still move to dismiss at the end of the defense case to preserve his or her legal sufficiency claim (see *People v Kolupa*, 13 NY3d 786, 787 [2009]; *Hines*, 97 NY2d at 61). A similar concept applies to legal sufficiency claims post-trial; where the defendant makes the relevant assertion with the requisite specificity for the first time in a CPL 330.30 motion, the defendant fails to preserve his or her legal sufficiency claim, notwithstanding that the defendant has finally brought his or her trial-level and appellate arguments into proper alignment (see *Hines*, 97 NY2d at 61; see also *People v Johnson*, 92 NY2d 976, 978 [1998]; see generally *People v Davidson*, 98 NY2d 738, 739-740 [2002]). Our insistence that the defendant object to the legal sufficiency of the evidence at a particular time and

procedural stage comports with our recognition that, generally, “[t]he purposes and requirements of the preservation rules are not satisfied by intertwining and piggy-backing distinct procedural steps of the criminal proceeding” (*People v Russell*, 71 NY2d 1016, 1017 [1988]).

Here, defendant did not preserve his claim that, because there was no evidence that Bradley’s lease allowed the landlord to exile him from the property once Bradley had permitted him to stay there, the police could not have reasonably relied upon Smith’s objections to defendant’s presence on the property to arrest him. In that regard, even charitably construed, defendant’s motion for a trial order of dismissal included the following propositions: (1) defendant had legitimately entered the buildings and common areas of Parkside Commons because the fence did not completely exclude the public from wandering onto the premises; (2) the police had no good faith basis to arrest defendant because they knew that the fence did not surround the whole property; (3) Nicole Smith had not in fact told defendant or the police that defendant could not stay on the property; and (4) Smith and the police had not adequately notified defendant that he was prohibited from coming to Parkside Commons. Defendant made no legal argument about tenants’ rights at trial.

By contrast, defendant now claims that the People failed to prove the legitimacy of the landlord’s and the officers’ orders that defendant stay away from the premises because “[t]hey never produced the lease or showed any reservation of the landlord’s right to extinguish or curtail the tenant’s right to grant license,” and that consequently the police officers had no reasonable cause to arrest defendant for trespassing in violation of a proper exclusion order from the landlord. In other words, below, defendant contested, at most, whether Smith and the police had provided him with adequate *notice* to justify an arrest, whereas now he disputes that Smith had adequate *authority* to tell him to stay off the property, regardless of the sufficiency of any notice. Thus, defendant did not raise his current challenge to the sufficiency of the evidence in his motion for a trial order of dismissal, and his claim is unpreserved (*see Carncross*, 14 NY3d at 324-325; *Hawkins*, 11 NY3d at 493). Of course, since he did not adequately preserve his claim at trial, defendant’s motion to set aside the verdict pursuant to CPL 330.30 was ineffective in curing that preservation failure (*see Hines*, 97 NY2d at 61).

Contrary to the majority’s contention, defendant’s arguments at arraignment on trespass charges arising from his *second*

arrest did not preserve his current legal sufficiency claim with respect to the evidence that he unlawfully resisted his *third* arrest. For, even had defendant made these arguments at the arraignment on the charges related to the third arrest, his legal sufficiency claim would not be preserved. As noted above, a defendant can preserve a challenge to the legal sufficiency of the trial evidence only if he or she raises it in support of a motion for a trial order of dismissal, and we have never held that a defendant's other motions, whether made pre- or posttrial, present to this Court a question of law as to sufficiency of the trial evidence supporting the conviction. Indeed, as a matter of logic, if a defendant fails to preserve a legal sufficiency claim when he or she initially moves for a trial order of dismissal on specific grounds but does not later renew that motion at the end of the defense case (*see Hines*, 97 NY2d at 61-62), the defendant just as surely fails to preserve such a claim when the defendant fails to challenge the legal sufficiency of the trial evidence for reasons similar to those for which he previously assailed the accusatory instrument. In both cases, the defendant's failure at trial to redirect his or her argument to the proof later challenged on appeal is fatal to our review.

Notably, a challenge to the facial sufficiency of the accusatory instrument, such as the one defendant made below, cannot be equated with a claim that the trial evidence is insufficient to support a conviction. In moving to dismiss an accusatory instrument before trial, a defendant asserts that the pleadings, even if true, would be insufficient to allege a *prima facie* case of the relevant offense and provide reasonable cause to believe that the defendant had committed it (*see generally People v Dreyden*, 15 NY3d 100, 102-104 [2010]; *People v Kalin*, 12 NY3d 225, 228-232 [2009]). In making that motion, the defendant does *not*, however, necessarily alert the trial court to the distinct claim that the trial evidence is legally insufficient to support a finding of guilt beyond a reasonable doubt (*see generally People v Danielson*, 9 NY3d 342, 349 [2007]).

Indeed, the defendant cannot make such a claim prior to trial because he or she does not know the exact nature of the People's forthcoming proof at trial and cannot specifically identify any shortcoming in that evidence. The defendant's arguments in support of a pretrial motion to dismiss the information may be rendered frivolous or moot by developments in the proof at trial. If the defendant does not explain to the court whether

some variation of his or her prior complaint about the accusatory instrument applies to the newly adduced trial evidence or why the trial evidence is not sufficient to address the defendant's concerns, the court lacks specific knowledge of the defendant's potential claim of trial error. In the absence of such knowledge, the trial court cannot address the deficiency in the evidence subsequently alleged on appeal, as the defendant has never uttered a word about the legal impact of the witnesses' testimony and the trial exhibits on the issues he or she raised before trial. Thus, the primary rationales for the preservation doctrine, namely the complete development of the defendant's claim and the swift determination of guilt or non-guilt, would be undermined were appellate review permitted under such circumstances (*see Hawkins*, 11 NY3d at 492).

This case illustrates the point. At the time defendant filed his written motion to dismiss the information charging him with resisting his third arrest, he challenged only bare-boned allegations surrounding his arrest. The arraignment court decided only the legal significance of those averments and nothing else. Later, at trial before a different judge, the trial court heard Smith's and the officers' testimony detailing the landlord's regulations applicable to all tenants, Smith's power to enforce those regulations and other lease provisions, and her representation of her authority to the police. Once that additional information came out at trial, the new judge had no way of knowing whether defendant wanted to argue that such evidence did not establish the officers' reasonable belief that Smith had validly ordered defendant's removal from the property, whether defendant thought that any issues he had raised pretrial were now moot in light of the trial proof, or whether defendant simply preferred to have the jury decide his fate without making a potentially losing legal sufficiency claim. Given that defendant never marshaled the trial evidence, or lack thereof, to allow the court to make an informed decision at a time when it could have most readily prevented a conviction founded on purportedly insufficient evidence, the court was deprived of the opportunity to "advanc[e] both the truth-seeking purpose of the trial and the goal of swift and final determination of guilt or nonguilt of . . . defendant" (*Hawkins*, 11 NY3d at 492).

Moreover, by insisting that defendant should have attacked the sufficiency of the trial evidence by elaborating on his generalized pretrial motion challenging the adequacy of the information's allegations regarding the lawfulness of the arrest,

I do not suggest that he was compelled to repeat the same objection ad nauseam after the trial court had rejected it. Certainly, defendant did not have to reargue his prior complaints about the adequacy of the *accusatory instruments* arising from his second and third arrests. However, he was required to contest the adequacy of the *trial evidence* that he unlawfully resisted his third arrest for the first time if he wished to challenge the evidence as legally insufficient on appeal (*cf. People v Jean-Baptiste*, 11 NY3d 539, 544 [2008] [where the defendant made a specific motion for a trial order of dismissal in compliance with the traditional preservation doctrine, he did not have to attack the jury instructions on similar grounds as he was not challenging the instructions]; *People v Mahboubian*, 74 NY2d 174, 188 [1989] [in a case which predated the *Gray/Lawrence/Hines* framework that requires a timely and specific trial motion of dismissal and that holds CPL 330.30 motions to be inadequate to preserve legal sufficiency claims, defendant preserved a claim that the allegations in the indictment, even if true, could not possibly constitute the charged crimes, as he not only made a pretrial motion to dismiss the indictment on that ground, but also raised the issue during and after trial by: (1) requesting jury instructions based on a similar theory; and (2) making a particularized CPL 330.30 motion that, according to the record, the trial court treated as a proper motion to dismiss for insufficiency of the evidence]).¹

In any event, even if defendant could have preserved his present claim by raising it in a pretrial motion, he did not move to dismiss the accusatory instrument charging him with resisting arrest on the grounds he now advances. First, it must be

1. Significantly, we have pronounced a similar requirement for evidentiary objections, rejecting the notion that a defendant's pretrial objection to the admission of evidence can preserve the grounds for those objections for appellate review in the absence of a renewal of the objection during trial (*see People v Middleton*, 54 NY2d 42, 49 [1981] ["(A) defendant may not, having failed to object to the admission of evidence on Fourth Amendment grounds, point to the fact that the issue had been raised in some other context earlier in the proceeding as preserving the evidence question"]). Along those lines, there is Appellate Division precedent holding that a pretrial motion to dismiss the indictment does not preserve a claim that the trial evidence was legally insufficient to support a conviction (*see People v Dowdell*, 89 AD3d 1430, 1430 [4th Dept 2011], *lv denied* 18 NY3d 923 [2012]; *People v Casiano*, 40 AD3d 528, 529-530 [1st Dept 2007], *lv denied* 9 NY3d 990 [2007]). In addition to the logic of our preservation precedent in the legal sufficiency context, these authorities persuade me that a pretrial motion to dismiss a misdemeanor information cannot preserve an attack on the sufficiency of the trial evidence.

emphasized that defendant never argued, either before or during trial, that his third arrest was not supported by probable cause because the landlord had no authority to have him removed from Parkside Commons. In his written pretrial motion to dismiss the information, defendant generally alleged that the resisting arrest charge could not stand because it was premised on an arrest unsupported by probable cause to believe he was a trespasser. And, at arraignment on the charges which led to defendant's resisting arrest conviction for trying to forestall his third arrest, defense counsel voiced no complaint about the landlord's authority to exclude him from the premises in disregard of Bradley's invitation. As discussed, at trial, the defense advanced no theory of tenants' rights whatsoever. Thus, defendant never even challenged the accusatory instrument on the basis he presently urges, much less asserted his current claim in a motion for a trial order of dismissal.

As for defense counsel's arguments at arraignment in defendant's second case, counsel mostly contended that the accusatory instrument had to be dismissed due to lack of proper verification, and he merely added that Smith had not adequately informed the officers of the reasons for defendant's exclusion from the property. The only point at which counsel challenged Smith's authority to throw defendant out of Parkside Commons came not in the course of his request to have the information dismissed, but rather in response to the court's separate directive that defendant stay away from the property as a condition of his pretrial release. Thus, defendant never successfully asserted that the information in his second trespass case was facially insufficient based on the absence of sworn allegations of Smith's authority under the lease, nor did he contest the legal sufficiency of the trial evidence on that basis.

In short, the trial judge was *never* alerted to any deficiency in the proof and had no practical opportunity to grant defendant the relief he now seeks; in fact, had the judge reviewed the pretrial proceedings regarding each of the three informations, he would not have discovered any property rights claim related to defendant's third arrest or to the probable cause element of the resisting arrest charge. Therefore, defendant's current claim is unpreserved.

III

The majority concedes that defendant's motion for a trial order of dismissal was inadequate to preserve his appellate claim

(see majority op at 412), and it also acknowledges that “a challenge to the sufficiency of the accusatory instrument at arraignment is conceptually different from a challenge based on the proof at trial, and that often an issue decided in one [context] will not be the same as the issue presented in another” (*id.* at 413). Additionally, notwithstanding the majority’s glossing over the timing of defense counsel’s pretrial arguments and the order of relevant events (see *id.* at 412), even the majority does not pretend that the trial judge actually knew of defendant’s current legal sufficiency claim or had an opportunity to address it in any way.

Nonetheless, the majority posits that defendant’s pretrial motion relating to his *second* arrest preserved the issue of whether the trial proof was legally sufficient to show that the arresting officer reasonably believed that the landlord had the right to exclude defendant from the premises during his *third* arrest (see *id.* at 412-413). However, for the reasons stated in detail above, this conclusion is flawed because: (1) defendant failed to make any tenants’ rights objection whatsoever to the charges or trial evidence pertaining to his third arrest, which had not occurred at the time he made the argument cited by the majority; (2) defendant drew the *arraignment court’s* attention to his pretrial arguments in his second case, not the *trial court’s*; and (3) in those pretrial arguments, defendant raised a different issue regarding the pleadings and his release conditions, not the issue he now raises regarding the trial evidence.

By quoting the judge at the second arraignment as saying, “[W]hat the law says is . . . either she makes her peace with the management or she moves out” (*id.* at 412), the majority presumably means to indicate that the arraigning judge held, as a matter of law, that a landlord’s command always governs a person’s access to the property, notwithstanding a tenant’s invitation. And, so the argument must go, there was no need for defendant to alert the new judge at trial to this issue because, after the proclamation of that judge’s colleague, defendant had no reason to hope for or try to obtain a different ruling regarding the trial evidence. Leaving aside for the moment the majority’s evident assumption that the trial court was required to know the precise nature of the arraignment court’s oral rulings, the arraignment court did not actually make the ruling that the majority attributes to that court. Specifically, the arraignment court commented on Bradley’s need to make peace with the landlord not in response to defendant’s arguments in support of his motion to dismiss the accusatory instrument

pertaining to his second arrest, but rather in response to his challenge to the conditions of his pretrial release pending resolution of the trespass charge in the second information. Thus, the arraignment court ruled on “[w]hat the law says” about a defendant’s need to take all available steps to comply with pretrial release conditions, not what it says with respect to the validity of criminal trespass and resisting arrest charges.

The majority seems to think that the arraignment court ruled that the evidence at trial would necessarily be legally sufficient to support a conviction for resisting arrest and trespass as long as the testimony bore out the allegations of Smith’s authority contained in the accusatory instrument (*see id.* at 412). But given that a court is categorically prohibited from finding the trial evidence legally insufficient prior to trial (*see Matter of Holtzman v Goldman*, 71 NY2d 564, 568-574 [1988] [concluding that a trial court is subject to a writ of prohibition when it issues a decision concluding that the evidence is legally insufficient to support a conviction prior to trial]; *see also People v Spellman*, 233 AD2d 254, 255-256 [1st Dept 1996]), the arraignment court surely had no power to issue an order declaring that the trial evidence would be absolutely legally sufficient in advance of trial. Both defense counsel and the arraignment court must have known, then, that the court had no power to settle the issue of the necessary trial proof of the landlord’s and the police’s mandate, and defendant could not have “take[n] the court at its word” (majority op at 413) on that issue for purposes of trial because any “words” the court might have wasted on the sufficiency of the potential trial proof would have been utterly devoid of legal effect. By falsely portraying the arraignment court’s pretrial rulings on defendant’s various arguments as the functional equivalent of a pretrial ruling on the legal sufficiency of the evidence, the majority gives decisive legal and preservation effect to an imagined order entered in excess of the court’s jurisdiction, thus adding to the absurdity of its misconception of the court’s pretrial comments.²

2. The majority’s assertion that, to “preserve an already rejected argument,” a defendant need not “make it again whenever a new count (whether based on earlier or later events) is added” (majority op at 413-414), reflects the majority’s misunderstanding of the record. The People did not add a new count to one of their two existing trespass prosecutions against defendant arising from his first two arrests, but instead initiated an entirely new prosecution by filing a new accusatory instrument charging defendant with trespass

(n. cont’d)

Additionally, it is demonstrably false that “once the court held that an invited guest whose license has been withdrawn by management is a trespasser, it necessarily followed that Quatrone did not lack probable cause to arrest defendant for trespass on the ground that he was an invited guest” (majority op at 413). After all, a police officer may lack probable cause to arrest a defendant even if it later turns out that the defendant committed the crime for which he or she was arrested (*see e.g. People v De Bour*, 40 NY2d 210, 221-226 [1976] [holding the arrest of defendant unlawful, though it turned out that he was guilty of illegal gun possession]). Had the arraignment court endorsed the legal theory cited by the majority with respect to the second trespass prosecution against defendant, the court still could not have determined whether Officer Quatrone had probable cause to arrest defendant for trespassing a third time without learning the circumstances surrounding the third arrest, which could only have been revealed by Smith’s and Quatrone’s trial testimony. For, even if Smith had the absolute authority to order defendant to be removed from the premises, Quatrone’s power to arrest defendant was uncertain, as it depended on his knowledge of Smith’s authority, the existence of a presently active removal directive regarding defendant on May 27 and Quatrone’s awareness of any such directive. Because the court’s pretrial statements could not have resolved the fact-intensive issue of probable cause, the court’s rejection of defendant’s pretrial assertions about his second trespass prosecution could not have preserved defendant’s claim that his third arrest was unlawful.³

Moreover, assuming the arraignment court ruled that Smith could lawfully exclude defendant from the development at the

and resisting arrest on May 27. At the time defendant complained about his release conditions prior to trial, that third prosecution had not begun, and the court had not accepted or rejected any legal argument in that case.

3. According to the majority, “the trial court could not, without abandoning the ruling it had already made, have accepted the specific argument that, in the dissent’s view, defendant should have repeated when moving to dismiss the count at trial” (majority op at 413). But, again, the “trial court” did not make any ruling on the issue of the officer’s authority to arrest defendant; the arraignment court, at proceedings related to defendant’s second trespass arrest, made the comments cited by the majority. And, as explained in detail above, the arraignment court did not make any ruling on the lawfulness of defendant’s third arrest, much less a ruling on which defendant could have relied. Thus, had the trial court been given the opportunity to determine the sufficiency of the trial evidence for the first time at the close of the People’s and defendant’s cases, the trial court would not have had to abandon any prior decision issued by it or the arraignment court.

time of his second arrest, the arraignment court had no occasion to decide whether Smith still had that authority when defendant was arrested for the third time, especially since management could have changed its loitering policies or consented to defendant's presence after the second arrest. As defendant undoubtedly understood, the arraignment court discussed his release conditions and ability to come onto the property only under the circumstances as they existed at the time of his second arrest, not as they might evolve thereafter.

IV

Given its bold declaration that this particular case is not covered by the general rule requiring a dismissal motion at trial, one might assume that the majority's opinion contains ample authority for this position. Certainly, the majority purports to comply with existing preservation precedent (*see* majority op at 413-414). However, closer examination of the majority's opinion reveals that no legal authority actually supports its finding that defendant's claim is preserved.

Take, for example, this quote from the majority's opinion, characterizing, or rather mischaracterizing, our holding in *People v Jean-Baptiste* as follows: "having made a specific motion to dismiss for legal insufficiency, defendant was not required to make the same point as an exception to the charge" (majority op at 413). This is meant to be taken as precedent, I suppose, for the notion that a defendant's assertion of a legal claim early in a proceeding necessarily preserves a related challenge to the subsequently presented trial evidence and similar complaints about all subsequent rulings or proceedings. However, *Jean-Baptiste* holds no such thing. In that case, the defendant made a specific motion to dismiss on legal sufficiency grounds at trial and, on appeal to us, raised the exact same claim to argue that reversal of his conviction was required (*see Jean-Baptiste*, 11 NY3d at 541-544). We found that the defendant had preserved his legal sufficiency claim for our review, and we merely rejected the People's claim that the defendant needed to object on the same grounds to the court's jury instructions about the elements of the crime, reasoning that the defendant had adequately objected to the proof and did not need to object to the jury instructions which he was not specifically challenging on appeal (*see id.* at 544). Clearly, then, *Jean-Baptiste* does not stand for the proposition that an objection at arraignment

on a prior charge can preserve a legal sufficiency claim with respect to a newly filed set of charges arising from a subsequent incident, where such charges happen to be consolidated with the previous charge for trial due to considerations of judicial economy.

The majority also relies on this quotation from *People v Payne*: “[w]e decline to . . . elevate preservation to a formality that would bar an appeal even though the trial court . . . had a full opportunity to review the issue in question” (majority op at 413 [quoting *People v Payne*, 3 NY3d 266, 273 (2004)]). Surely, one might think, this shows that a motion for a trial order of dismissal is a mere formality and that, as long as a judge had the chance to consider a defendant’s claim somewhere along the line, the defendant need not comply with the “formal” aspects of our preservation doctrine. Right? Well, no, not really. In fact, we have never previously viewed the need for a specific and timely motion for a trial order of dismissal as a formality, and we have repeatedly disposed of cases for failure to meet that very requirement (see e.g. *Hawkins*, 11 NY3d at 493; *Gray*, 86 NY2d at 22-26; *People v Bynum*, 70 NY2d 858, 859 [1987]). As for *Payne*, the defendant in that case actually made a timely motion for a trial order of dismissal directed at the legal sufficiency of the evidence, and the court reserved decision on that motion until the close of all the evidence. Thus, defendant’s motion to dismiss remained pending, and the trial court had the opportunity to decide it in light of all the trial evidence (see *Payne*, 3 NY3d at 273). Indeed, as we said in the passage from which the majority selectively quotes:

“Where, however, the court has reserved decision, the defendant has preserved a claim of insufficiency, and the *trial court* would then rule on the CPL 290.10 motion as if the motion were made at the close of all the evidence. We decline to expand *Hines* and elevate preservation to a formality that would bar an appeal even though *the trial court, aware that the motion was pending*, had a full opportunity to review the issue in question.” (*id.* [emphasis added]).

Obviously, here, no trial motion to dismiss was pending, and defendant never alerted the trial court to any legal sufficiency claim. Accordingly, notwithstanding the majority’s brief references to *Payne* and *Jean-Baptiste*, the legal basis of the majority’s holding remains unexplained and inexplicable.

Unable to come up with any authority to support its own opinion, the majority unconvincingly attempts to distinguish some of the cases I have cited in support of mine. For example, the majority tries to casually brush aside *People v Hines* (97 NY2d 56 [2001], *supra*), saying, “*Hines* does not establish a general rule that every argument once made and rejected must be repeated at every possible opportunity” (majority op at 416). In doing so, the majority sets up a straw man, as neither I nor the Court in *Hines* has characterized that precedent in such a manner. What *Hines* and its progeny do establish, however, is that even where the defendant timely objects to the quality of the proof during trial, he must renew that objection at the end of the presentation of all the evidence (*see Kolupa*, 13 NY3d at 787; *People v Lane*, 7 NY3d 888, 889 [2006] [defendant failed to preserve his legal sufficiency claim because “(a)fter defendant presented his own evidence, he did not renew his earlier argument”]; *Hines*, 97 NY2d at 61). It follows that, if a defendant cannot preserve a legal sufficiency claim by objecting at an “earl[y] . . . moment” (majority op at 412) at trial without renewing that same objection later, he or she surely cannot preserve such a claim by objecting to an accusatory instrument in an earlier case without redirecting that argument toward the trial evidence regarding a subsequent crime at least once—not at “every possible opportunity” (*id.* at 416)—at the close of the evidence at the consolidated trial encompassing the earlier case and the later one.

The majority spends the rest of its discussion of *Hines* recounting oft-rejected criticisms leveled at that precedent by the author of the majority opinion (*see* majority op at 416). However, the majority wisely retreats from any modification or overruling of *Hines*, presumably in acknowledgment of its stare decisis effect and the reliance placed upon it by the trial courts (*see* majority op at 414). At the very least, the majority seems to recognize that it has no basis to alter *Hines* because no party to this litigation has asked us to take that step or even to read *Hines* in the mistaken way the majority now does.

Strangely, the majority claims to “reaffirm” *People v Gray* (86 NY2d 10 [1995], *supra*), and its “statement of the importance of, and the reasons for, the preservation rule” (majority op at 414), but the majority then immediately relies on matters of policy to sidestep that precedent, which is so clearly fatal to its analysis (*see id.* at 415). None of the policy issues identified by the majority ever have, or should, exempt a case from the clear and long-standing *Gray/Bynum* rule of preservation.

For example, the majority believes that the People could not have cured the deficiency in the proof now alleged on appeal had defendant properly raised his claim below, and that consequently there is no reason to demand defendant's compliance with *Gray*'s requirement of a dismissal motion at trial (see majority op at 414-415). However, we have never held that the People's ability to rebut a dismissal motion with additional evidence is a prerequisite to the application of the *Gray/Bynum* rule. In *Gray*, we identified the possibility that the People might promptly address a gap in the evidence as just one of the many reasons a specific trial motion should be required in virtually all cases, and thus we observed that a focused motion for a trial order of dismissal advances the purposes of the preservation doctrine not only where the People can present more evidence, but also in cases where a particularized trial motion would enable the efficient resolution of the defendant's guilt or non-guilt, advance the truth-seeking purpose of the trial and, most importantly, "bring the claim to the *trial court*'s attention" (*Gray*, 86 NY2d at 20-21 [emphasis added]). As discussed earlier in this opinion, defendant's pretrial arguments utterly failed to advance this last goal, whereas a proper motion for a trial order of dismissal would have done so. In relying so heavily on the alleged absence of prejudice to the People, the majority ignores the manifest unfairness its decision inflicts on the trial court, which had no knowledge of defendant's present claim, and the inefficiency of addressing the adequacy of the trial evidence for the first time on appeal rather than at trial.

The majority further urges that defendant did not have to preserve his legal sufficiency claim via a particularized and timely motion for a trial order of dismissal because he might be innocent (see majority op at 415). But, the majority's pronouncement is difficult to reconcile with our repeated holdings that, where a defendant is wrongfully convicted of a crime consisting of elements that could not possibly match his or her conduct, neither due process, the common law nor any statute relieves the defendant of the obligation to preserve the issue for this Court's review via a particularized motion for a trial order of dismissal (see *Gray*, 86 NY2d at 22 [rejecting claim that due process mandates review of a conviction based on legally insufficient evidence even in the absence of a specific dismissal motion at trial]; *People v Dekle*, 56 NY2d 835, 837 [1982] [concluding that due process does not exempt a defendant from the

traditional preservation rule despite the possibility that defendant did not commit the actual crime charged but rather was convicted based on the erroneous legal theory set forth in jury instructions]). If a defendant has a colorable claim of actual innocence, the intermediate appellate court has the power to review his or her unpreserved legal sufficiency claim, and thus there is no reason to excuse the defendant's preservation failure for fear that the defendant cannot obtain appellate review of the allegedly wrongful conviction (*see* CPL 470.15 [6] [a]; *Gray*, 86 NY2d at 22).

Moreover, both the majority's assumption that defendant is probably innocent and its belief that the People could not have proven otherwise are belied by the majority's own assertion that a relatively minor variation in the proof here could have sustained defendant's conviction for resisting arrest. In particular, if the majority is correct in stating that "[a] lease provision or regulation might permit management, at least in some circumstances, to override a tenant's wishes," and that an arresting police officer need not always consult a tenant's lease to eject the tenant's purported guest (majority op at 417), then upon proper notice that defendant was attacking the sufficiency of the evidence regarding the lawfulness of management's removal order and the officer's execution thereof, the People might have submitted proof that either a relevant lease provision existed or that the officer suspected it did, thus fully curing the purported deficiency in the evidence. The majority speculates that the People must not have had that proof because they did not use it to rebut defendant's pretrial complaints about his second arrest (*see id.* at 415). But at that stage, defendant's third arrest had not occurred, and even with respect to the trespass charges arising from his second arrest, the People heard no assertion from defendant that the absence of proof about the lease terms would render the trial evidence insufficient to support a conviction. Thus, the People had no reason to think they needed the lease or comparable evidence to put on a legally sufficient case at trial, and there is no indication in the record that they could not have met a proper dismissal motion with proof sufficient to support defendant's resisting arrest conviction. In light of the thin line the majority draws between guilt and innocence in situations such as the one defendant found himself in on May 27, it is hard to credit the majority's claim that defendant is highly likely to be innocent and that the People could not have filled the alleged gap in the proof in response to a

proper dismissal motion, and thus the majority's unsupported proclamations cannot excuse defendant's preservation failure.

V

In sum, I conclude that we cannot review defendant's legal sufficiency claim. Accordingly, I vote to affirm the order of the County Court.

READ, J. (dissenting). From time immemorial the New York Court of Appeals has required a claim of insufficient evidence to support a criminal conviction to be preserved for appellate review by a motion to dismiss made at the close of evidence and specifically directed at the same error alleged on appeal (*see People v Hawkins*, 11 NY3d 484 [2008]; *People v Gray*, 86 NY2d 10 [1995]; *see also* Henry Cohen & Arthur Karger, Powers of the New York Court of Appeals § 199 at 748-749 [1952]). As Judge Abdus-Salaam's dissent illustrates, the way in which the majority purports to honor that principle here is downright bizarre. As a consequence, those who follow our criminal jurisprudence closely will no doubt conclude that the majority was willing to abandon preservation to reach the merits. Notably, the Court of Appeals has not traditionally been known for such expediency. I am optimistic that today's adventure in result-oriented decisionmaking will be looked upon in retrospect as an aberration, not a harbinger.

Chief Judge LIPPMAN and Judges PIGOTT and RIVERA concur with Judge SMITH; Judge ABDUS-SALAAM dissents in an opinion in which Judges GRAFFEO and READ concur; Judge READ in a separate dissenting opinion.

Order, insofar as appealed from, reversed and information dismissed.

[15 NE3d 271, 991 NYS2d 516]

In the Matter of EMPIRE CENTER FOR NEW YORK STATE POLICY,
Appellant, v NEW YORK STATE TEACHERS' RETIREMENT SYS-
TEM, Respondent.

In the Matter of EMPIRE CENTER FOR NEW YORK STATE POLICY,
Appellant, v TEACHERS' RETIREMENT SYSTEM OF THE CITY OF
NEW YORK, Respondent.

Argued March 26, 2014; decided May 6, 2014

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 21, 2013. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Christopher E. Cahill, J.), entered in a proceeding pursuant to CPLR article 78, which had dismissed petitioner's application to review a determination of respondent partially denying petitioner's Freedom of Information Law requests.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 28, 2013. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Michael D. Stallman, J.; op 2012 NY Slip Op 32216[U] [2012]), entered in a proceeding pursuant to CPLR article 78, which had dismissed the petition to annul respondent's determination denying petitioner's request under the Freedom of Information Law for the names of retired members of respondent.

Matter of Empire Ctr. for N.Y. State Policy v New York State Teachers' Retirement Sys., 103 AD3d 1009, reversed.

Matter of Empire Ctr. for N.Y. State Policy v Teachers' Retirement Sys. of the City of N.Y., 103 AD3d 593, reversed.

HEADNOTES

Records — Freedom of Information Law — Names of Retirees in Public Retirement System

1. Public Officers Law § 89 (7) exempts from the Freedom of Information Law only the home addresses, not the names, of retirees who receive benefits from public employees' retirement systems. Under the language of section 89 (7), only "the home address . . . of a retiree" is exempt. By contrast, the statute exempts both the name and home address of "a beneficiary of a public

employee's retirement system." Given the more limited exemption for a "retiree," a beneficiary, as used in the statute, is a family member of an employee or retiree who is entitled to benefits after the employee's or retiree's death. Here, the courts below read *Matter of New York Veteran Police Assn. v New York City Police Dept. Art. I Pension Fund* (61 NY2d 659 [1983]), too broadly in determining that it compelled denial of petitioner's request for disclosure of the names of retired members of the New York State Teachers' Retirement System and the Teachers' Retirement System of the City of New York. In *Veteran Police*, an organization's request for access to names and addresses of all retirees of the New York City Police Department receiving pensions for the purpose of soliciting new members was denied in its entirety based on section 89 (7). While the Court stated that the provisions of the statute "foreclose[d] relief to petitioner," partial relief in the form of disclosure of only the names of the retirees was never an issue. That decision should not have been read as deciding a question not considered.

Records — Freedom of Information Law — Names of Retirees in Public Retirement System — Invasion of Privacy

2. Respondents, the New York State Teachers' Retirement System and the Teachers' Retirement System of the City of New York, were not entitled to denial of petitioner's Freedom of Information Law request for disclosure of the names of respondents' retired members as an "unwarranted invasion of personal privacy" (Public Officers Law § 87 [2] [b]). Notwithstanding the possibility that the use of modern technology might allow someone with a list of the names of retirees to find most, if not all, of their home addresses, thus frustrating the purpose of Public Officers Law § 89 (7) and exposing the retirees to intrusive communications, on the record, the idea that anyone's privacy would be invaded is speculative. Petitioner, an entity whose purpose is to inform voters and policymakers about issues including pension reform, was not interested in sending membership solicitations to retirees (*see* Public Officers Law § 89 [2] [b] [iii]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Freedom of Information Acts §§ 70, 71, 240, 244, 254.
CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:631, 145:632, 145:637, 145:644, 145:645.
McKINNEY'S, Public Officers Law §§ 87 (2) (b); 89 (2) (b) (iii); (7).
NY JUR 2d, Records and Recording §§ 47–49, 59, 73.

ANNOTATION REFERENCE

What constitutes personal matters exempt from disclosure by invasion of privacy exemption under state freedom of information act. 26 ALR4th 666.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: foil & exempt! & retiree /s name address

POINTS OF COUNSEL

Levine Sullivan Koch & Schulz, LLP, New York City (*Alia L. Smith* and *David A. Schulz* of counsel), for appellant in the first and second above-entitled proceedings. I. Public Officers Law § 89 (7) does not permit the names of retired government workers drawing public pensions to be kept secret. (*Matter of Yolanda D.*, 88 NY2d 790; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Matter of Crucible Materials Corp. v New York Power Auth.*, 13 NY3d 223; *Matter of New York Veteran Police Assn. v New York City Police Dept. Art. I Pension Fund*, 92 AD2d 772; *Matter of Weston v Sloan*, 84 NY2d 462; *Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Newsday, Inc. v Empire State Dev. Corp.*, 98 NY2d 359.) II. Disclosure of retiree names does not constitute an unwarranted invasion of privacy. (*Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477; *Matter of Bellamy v New York City Police Dept.*, 59 AD3d 353, 80 AD3d 442; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 109 AD2d 92, 67 NY2d 562; *Bumpus v New York City Tr. Auth.*, 66 AD3d 26; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.*, 62 NY2d 75; *Matter of Markowitz v Serio*, 11 NY3d 43; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills*, 18 NY3d 42.)

Eric T. Schneiderman, Attorney General, Albany (*Jeffrey W. Lang*, *Barbara D. Underwood* and *Andrew D. Bing* of counsel), for respondent in the first above-entitled proceeding. I. Respondent's interpretation of Public Officers Law § 89 (7) effectuates its plain meaning. (*Matter of Buffalo News v Buffalo Enter. Dev. Corp.*, 84 NY2d 488.) II. This Court's decision in *Matter of New York Veteran Police Assn. v New York City Police Dept. Art. I Pension Fund* (61 NY2d 659 [1983]) supports respondent's interpretation of Public Officers Law § 89 (7). (*Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills*, 18 NY3d 42; *Empire Ctr. for N.Y. State Policy v New York City Police Pension Fund*, 88 AD3d 520.) III. Respondent's interpretation respects the general purposes of the Freedom of Information Law and accomplishes

the specific purpose of Public Officers Law § 89 (7). (*Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.*, 73 NY2d 92; *Matter of New York State United Teachers v Brighter Choice Charter School*, 15 NY3d 560; *Matter of New York Teachers Pension Assn. v Teachers' Retirement Sys. of City of N.Y.*, 71 AD2d 250; *Matter of New York Veteran Police Assn. v New York City Police Dept. Art. I Pension Fund*, 61 NY2d 659.)

Michael A. Cardozo, Corporation Counsel, New York City (*Elizabeth I. Freedman* and *Leonard Koerner* of counsel), for respondent in the second above-entitled proceeding. The Appellate Division correctly ruled that the names of the individual retirees are exempt from disclosure under the Freedom of Information Law, in accordance with this Court's ruling in *Matter of New York Veteran Police Assn. v New York City Police Dept. Art. I Pension Fund* (61 NY2d 659 [1983]). (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *Matter of New York Teachers Pension Assn. v Teachers' Retirement Sys. of City of N.Y.*, 98 Misc 2d 1118, 71 AD2d 250, 49 NY2d 701; *Matter of Katz v New York City Teachers' Retirement Bd.*, 291 NY 360; *Matter of Hiney v Teachers' Retirement Bd. of City of N.Y.*, 182 Misc 147; *Matter of Buffalo News v Buffalo Enter. Dev. Corp.*, 84 NY2d 488; *Matter of John P. v Whalen*, 54 NY2d 89; *Granada Bldgs. v City of Kingston*, 58 NY2d 705, 825; *Public Improvements v Board of Educ. of City of N.Y.*, 56 NY2d 850; *Matter of E.F.S. Ventures Corp. v Foster*, 71 NY2d 359; *Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills*, 18 NY3d 42.)

Richard E. Casagrande, New York City, and *Keith J. Gross* for New York State United Teachers, amicus curiae in the first and second above-entitled proceedings. I. The lower courts' decisions were consistent with existing precedent and applied the proper interpretation of the Freedom of Information Law. (*Matter of New York Veteran Police Assn. v New York City Police Dept. Art. I Pension Fund*, 61 NY2d 659; *Matter of Higby v Mahoney*, 48 NY2d 15; *Matter of New York Teachers Pension Assn. v Teachers' Retirement Sys. of City of N.Y.*, 98 Misc 2d 1118, 71 AD2d 250, 49 NY2d 701; *Matter of New York State United Teachers v Brighter Choice Charter School*, 15 NY3d 560; *Empire Ctr. for N.Y. State Policy v New York City Police Pension Fund*, 88 AD3d 520; *Matter of Buffalo News v Buffalo Enter. Dev. Corp.*, 84 NY2d 488; *Matter of John P. v Whalen*, 54 NY2d 89.) II. Both

the Freedom of Information Law and the Freedom of Information Act decisions and legislative history demonstrate that the names of retirees should not be disclosed. (*Matter of Empire Realty Corp. v New York State Div. of Lottery*, 230 AD2d 270; *Matter of Fink v Lefkowitz*, 63 AD2d 569, 47 NY2d 567; *National Assn. of Retired Fed. Empls. v Horner*, 879 F2d 873; *Hopkins v United States Dept. of Hous. & Urban Dev.*, 929 F2d 81; *Sheet Metal Workers Intl. Assn., Local No. 9 v United States Air Force*, 63 F3d 994; *Matter of New York Veteran Police Assn. v New York City Police Dept. Art. I Pension Fund*, 61 NY2d 659.) III. Without retirees' names, Empire Center for New York State Policy still has access to information under the Freedom of Information Law that allows it to accomplish its purpose. (*Matter of New York Veteran Police Assn. v New York City Police Dept. Art. I Pension Fund*, 61 NY2d 659.)

Jonathan R. Donnellan, Office of General Counsel, Hearst Corporation, New York City (*Diego Ibarguen* of counsel), *J.P. Cratty*, *Lee Enterprises, Incorporated*, Davenport, Iowa, *Eugenie C. Gavenchak*, General Counsel, News Corporation, New York City, *Mark Jackson*, General Counsel, Dow Jones & Company, Inc. (*Jason P. Conti* of counsel), *Matthew A. Leish*, General Counsel, Daily News, L.P., *David E. McCraw*, General Counsel, New York Times Company, *Dina Sforza*, Cablevision Systems Corporation, Bethpage, and *Sabin, Bermant & Gould LLP*, Syracuse Media Group, New York City (*Richard Bernstein* and *Neil M. Rosenhouse* of counsel), for Albany Times Union and others, amici curiae in the first and second above-entitled proceedings. The Appellate Division rulings are inconsistent with the language of the Freedom of Information Law and the canons of statutory construction, decades of precedent, and public policy. (*Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Empire Ctr. for N.Y. State Policy v New York City Police Pension Fund*, 88 AD3d 520.)

Lisa M. King, Albany, and *Jessica C. Caggiano* for New York State Public Employees Federation, AFL-CIO, amicus curiae in the first and second above-entitled proceedings. I. The First Department and the Third Department properly applied controlling, 30-year-old precedent interpreting Public Officers Law § 89 (7) as not requiring respondents to disclose the names of former civil servants who are beneficiaries of a public retirement system. (*Matter of Humane Socy. of U.S. v Brennan*, 53 AD3d 909; *Matter of New York Veteran Police Assn. v New York*

City Police Dept. Art. I Pension Fund, 92 AD2d 772; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Gannett Co. v James*, 86 AD2d 744, 56 NY2d 502; *Matter of Westchester Rockland Newspapers v Mosczydlowski*, 58 AD2d 234; *American Broadcasting Cos. v Siebert*, 110 Misc 2d 744; *Empire Ctr. for N.Y. State Policy v New York City Police Pension Fund*, 88 AD3d 520; *Matter of Hellerstein v Assessor of Town of Islip*, 37 NY2d 1; *Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151; *Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Envtl. Conservation*, 68 AD3d 1588, 18 NY3d 289.) II. Public Officers Law § 87 (2) (b) does not require respondents to disclose the names of former civil servants who are beneficiaries of a public retirement system because such disclosure would constitute an unwarranted invasion of personal privacy. (*Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477; *Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.*, 73 NY2d 92; *Matter of Dobranski v Houper*, 154 AD2d 736; *Matter of Edwards v New York State Police*, 44 AD3d 1216; *Matter of New York State United Teachers v Brighter Choice Charter School*, 15 NY3d 560; *Matter of Bellamy v New York City Police Dept.*, 87 AD3d 874, 20 NY3d 1028; *Matter of Massaro v New York State Thruway Auth.*, 111 AD3d 1001; *Winston v City of New York*, 759 F2d 242.)

Atlantic Legal Foundation, Larchmont (Martin S. Kaufman and Briscoe R. Smith of counsel), for Citizens Budget Commission and another, amici curiae in the first and second above-entitled proceedings. I. The names of retired government employee-pensioners cannot be withheld under the Freedom of Information Law. (*Matter of New York Veteran Police Assn. v New York City Police Dept. Art. I Pension Fund*, 61 NY2d 659; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale*, 87 NY2d 410; *Matter of Newsday, Inc. v Empire State Dev. Corp.*, 98 NY2d 359; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of Weston v Sloan*, 84 NY2d 462; *Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246; *Direen Operating Corp. v State Tax Commn.*, 46 AD2d 191; *Matter of Bliss v Bliss*, 66 NY2d 382.) II. The decision in *Matter of New York Veteran Police Assn. v New York City Police Dept. Art. I Pension Fund* (61 NY2d 659 [1983]) is not controlling. (*Broadnax v Gonzalez*, 2 NY3d 148; *Tebbutt v Virotek*, 65 NY2d 931.)

OPINION OF THE COURT

SMITH, J.

[1] We hold that Public Officers Law § 89 (7) exempts from the Freedom of Information Law (FOIL) only the home addresses, not the names, of retirees who receive benefits from public employees' retirement systems.

Petitioner, Empire Center for New York State Policy, describes itself as a "think tank" whose purpose is "to inform voters and policymakers" about issues including pension reform. Petitioner sought disclosure under FOIL from the New York State Teachers' Retirement System and the Teachers' Retirement System of the City of New York of the names of the retired members of the systems. The retirement systems refused to provide the names, and petitioner brought these CPLR article 78 proceedings to vacate the refusals and to compel disclosure. Supreme Court dismissed both petitions, and the Appellate Division affirmed in each case (*Matter of Empire Ctr. for N.Y. State Policy v New York State Teachers' Retirement Sys.*, 103 AD3d 1009 [3d Dept 2013]; *Matter of Empire Ctr. for N.Y. State Policy v Teachers' Retirement Sys. of the City of N.Y.*, 103 AD3d 593 [1st Dept 2013]). We granted leave to appeal in both cases (21 NY3d 859 [2013]), and now reverse.

The governing statute, Public Officers Law § 89 (7), says:

"Nothing in this article [i.e., FOIL] shall require the disclosure of the home address of an officer or employee, former officer or employee, or of a retiree of a public employees' retirement system; nor shall anything in this article require the disclosure of the name or home address of a beneficiary of a public employees' retirement system or of an applicant for appointment to public employment; provided however, that nothing in this subdivision shall limit or abridge the right of an employee organization, certified or recognized for any collective negotiating unit of an employer pursuant to article fourteen of the civil service law, to obtain the name or home address of any officer, employee or retiree of such employer, if such name or home address is otherwise available under this article."

The answer to the question before us—are retirees' names exempt from disclosure?—is plain from the face of the statute. It exempts "the home address . . . of a retiree," but not the

retiree's name. By contrast, it exempts both the name and home address of "a beneficiary of a public employees' retirement system." A "beneficiary" of a retirement system, as the term is commonly used, is a family member of an employee or retiree who is entitled to benefits after the employee's or retiree's death; it is so used on the website of one of the retirement systems in this case (NYSTRS, Glossary of Benefit Terms, <http://nystrs.org/main/glossary.html> [last visited Apr. 21, 2014]). In some contexts, "beneficiary" might be read more broadly to include a retiree, for retirees do benefit from retirement systems. But "beneficiary" was obviously not used in that sense in this statute, because the statute provides a separate and more limited exemption for a "retiree."

The courts below were not blind to this logic (*see Matter of Empire Ctr. for N.Y. State Policy v New York State Teachers' Retirement Sys.*, 103 AD3d at 1010 ["Well-settled principles of statutory construction lend support to the interpretation advanced by petitioner"]). But they believed themselves bound to deny disclosure of the names by our decision in *Matter of New York Veteran Police Assn. v New York City Police Dept. Art. I Pension Fund* (61 NY2d 659 [1983]). The lower courts read that case too broadly.

The *Veteran Police* case was brought by an organization of retired police officers, seeking "access to the names and addresses of all retirees of the New York City Police Department currently receiving pensions and annuities" (61 NY2d at 660). The Association's purpose was to use the list to solicit new members. When the proceeding was commenced, Public Officers Law § 89 (7) did not exist, and the Appellate Division, interpreting more general provisions of FOIL and relying on its previous decision in *Matter of New York Teachers Pension Assn. v Teachers' Retirement Sys. of City of N.Y.* (71 AD2d 250 [1st Dept 1979]), granted the relief requested (*Matter of New York Veteran Police Assn. v New York City Police Dept. Art. I Pension Fund*, 92 AD2d 772 [1st Dept 1983], *revd* 61 NY2d 659 [1983]). The police pension funds appealed to this Court.

While the appeal was pending, the legislature enacted section 89 (7), specifying that it was to take effect immediately and was to apply to any requests for information as to which judicial review had not been completed (L 1983, ch 783, § 2). The obvious effect, and apparent intention, of the new law was to overrule the Appellate Division's *Veteran Police* holding, and we accordingly reversed the Appellate Division decision in a memorandum, saying:

“The provisions of the amendment apply to this proceeding which was pending before the court at the time it became effective and foreclose relief to petitioner” (61 NY2d at 661).

The *Veteran Police* case involved a request for the names *and* home addresses of retirees. The petitioner in that case clearly wanted and needed both; a list of names without addresses, in 1983, would have been of little use to an organization that wanted to send out a membership solicitation. We have seen nothing to indicate that any party in the *Veteran Police* case ever suggested, or that we ever considered requiring, the disclosure of a list of names without addresses.

The lower courts in this case, however, read our statement in *Veteran Police* that the provisions of section 89 (7) “foreclose relief to [the] petitioner” as meaning that it foreclosed even partial relief—though partial relief was never in issue in *Veteran Police*. Thus, the courts below concluded that *Veteran Police* held that the statute exempted the names of retirees from disclosure (*see also Empire Ctr. for N.Y. State Policy v New York City Police Pension Fund*, 88 AD3d 520 [1st Dept 2011]). In this they erred. Our decisions are not to be read as deciding questions that were not before us and that we did not consider.

[2] The retirement systems also argue that the disclosure petitioner seeks should be denied as an “unwarranted invasion of personal privacy” (Public Officers Law § 87 [2] [b]). They suggest that, by the use of modern technology, it might not be difficult for someone with a list of the names of retirees to find most, if not all, of their home addresses, thus frustrating the purpose of section 89 (7) and exposing the retirees to intrusive communications. On this record, however, the idea that anyone’s privacy will be invaded is speculative. This petitioner is not, as the petitioner in the *Veteran Police* case was, interested in sending membership solicitations to retirees. When a FOIL request that seems to have such a purpose is made, it will be time to consider the effect of the privacy exemption (*see* Public Officers Law § 89 [2] [b] [iii] [“unwarranted invasion of personal privacy” includes “sale or release of lists of names and addresses if such lists would be used for solicitation or fund-raising purposes”]; *Matter of New York State United Teachers v Brighter Choice Charter School*, 15 NY3d 560 [2010]).

Accordingly, in each case, the order of the Appellate Division should be reversed, with costs, and the retirement system directed to disclose the requested names.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

In *Matter of Empire Ctr. for N.Y. State Policy v New York State Teachers' Retirement Sys.*: Order reversed, with costs, and the New York State Teachers' Retirement System is directed to disclose the requested names.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

In *Matter of Empire Ctr. for N.Y. State Policy v Teachers' Retirement Sys. of the City of N.Y.*: Order reversed, with costs, and the Teachers' Retirement System of the City of New York is directed to disclose the requested names.

[15 NE3d 1172, 992 NYS2d 163]

WENDY WEBB-WEBER, Appellant, v COMMUNITY ACTION FOR HUMAN SERVICES, INC., et al., Respondents, et al., Defendants.

Argued March 27, 2014; decided May 13, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 27, 2012. The Appellate Division order, insofar as appealed from, (1) reversed, on the law, so much of an order of the Supreme Court, Bronx County (Stanley B. Green, J.; op 2011 NY Slip Op 34087[U] [2011]), as had denied defendants Community Action for Human Services, Inc.'s and David G. Bond's motion to dismiss plaintiff's first cause of action alleging violations of Labor Law § 740 as against them; (2) granted the motion; and (3) dismissed the cause of action.

Webb-Weber v Community Action for Human Servs., Inc., 98 AD3d 923, reversed.

HEADNOTES

Labor — Whistleblower Law — Claim for Violation of Labor Law § 740 (2) — Pleading Requirements

1. There is no requirement that a complaint asserting a claim for a violation of Labor Law § 740 (2) identify the specific “law, rule or regulation” allegedly violated by the employer. Section 740 (2) (a) provides that “[a]n employer shall not take any retaliatory personnel action against an employee because such employee . . . discloses, or threatens to disclose to a supervisor or to a public body an activity, policy or practice of the employer that is in violation of law, rule or regulation” that either “creates and presents a substantial and specific danger to the public health or safety, or . . . constitutes health care fraud.” Nothing in the plain language of the statute imposes any requirement that a plaintiff identify the specific “law, rule or regulation” violated as part of a section 740 claim. In order to recover under a section 740 claim, plaintiff must show that he or she reported or threatened to report the employer's “activity, policy or practice,” but need not claim that he or she cited any particular “law, rule or regulation” at that time. Just as an employee need not cite the actual law, rule or regulation violated when the complaint is made, the pleading is, correspondingly, not required to identify the law, rule or regulation violated. The pleading, however, must identify the particular activities, policies or practices in which the employer allegedly engaged, so that the complaint provides the employer with notice of the alleged complained-of conduct.

Labor — Whistleblower Law — Claim for Violation of Labor Law § 740 (2) — Pleading Requirements

2. To the extent that Appellate Division authority, such as *Deshpande v TJH Med. Servs., PC*. (52 AD3d 648, 650 [2d Dept 2008]), *Blumenrich v North*

Shore Health Sys. (287 AD2d 529, 530 [2d Dept 2001]) and *Connolly v Macklowe Real Estate Co.* (161 AD2d 520, 522-523 [1st Dept 1990]), can be read as requiring a plaintiff, in a complaint asserting a claim for a violation of Labor Law § 740 (2), to plead the actual law, rule or regulation the employer violated, it should no longer be followed for that proposition.

Labor — Whistleblower Law — Claim for Violation of Labor Law § 740 (2) — Sufficiency of Pleading

3. A complaint by plaintiff, the former chief operating officer for defendant employer, alleging that she had been terminated for registering complaints with public agencies concerning policies and practices of the employer, was sufficient to state a cause of action under Labor Law § 740, notwithstanding that plaintiff failed to identify the specific “law, rule or regulation” allegedly violated by the employer. Section 740 (2) (a) provides that “[a]n employer shall not take any retaliatory personnel action against an employee because such employee . . . discloses, or threatens to disclose to a supervisor or to a public body an activity, policy or practice of the employer that is in violation of law, rule or regulation” that either “creates and presents a substantial and specific danger to the public health or safety, or . . . constitutes health care fraud.” There is no requirement that a complaint asserting a claim for a violation of Labor Law § 740 (2) identify the specific “law, rule or regulation” allegedly violated. According to plaintiff’s complaint, she apprised defendant chief executive officer and other employer representatives about issues she claimed endangered the welfare and safety of the patients served by the employer, including falsification of patient medication and treatment records, inadequate fire safety, mistreatment of resident patients, and deficiencies in patient care and in the facility itself. When those conditions continued unabated, plaintiff notified public agencies, which issued sanctions and violations based on surveys of the premises. Thus, the substantive allegations in the complaint, particularly those that asserted that sanctions and violations were issued allegedly as a result of plaintiff’s complaints, sufficiently supported plaintiff’s allegation that defendants violated various laws.

Labor — Whistleblower Law — Claim for Violation of Labor Law § 740 (2) — Sufficiency of Pleading

4. A complaint by plaintiff, the former chief operating officer for defendant employer, alleging that she had been terminated for registering complaints with public agencies concerning policies and practices of the employer, was sufficient to state a cause of action under Labor Law § 740, notwithstanding that plaintiff failed to plead that the alleged violations created and presented “a substantial and specific danger to the public health or safety” or constituted health care fraud. Section 740 (2) (a) provides that “[a]n employer shall not take any retaliatory personnel action against an employee because such employee . . . discloses, or threatens to disclose to a supervisor or to a public body an activity, policy or practice of the employer that is in violation of law, rule or regulation” that either “creates and presents a substantial and specific danger to the public health or safety, or . . . constitutes health care fraud.” According to plaintiff’s complaint, she apprised defendant chief executive officer and other employer representatives about issues she claimed endangered the welfare and safety of the patients served by the employer, including falsification of patient medication and treatment records, inadequate fire safety, mistreatment of resident patients, and deficiencies in patient care and in the facility itself. When those conditions continued unabated, plaintiff notified public agencies, which issued sanctions and violations based on surveys of the premises. Under the circumstances of this case, the complaint adequately met the pleading requirements.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Wrongful Discharge §§ 112, 115, 116, 119, 122.
McKINNEY'S, Labor Law § 740 (2) (a).
NY JUR 2d, Employment Relations §§ 590, 598.

ANNOTATION REFERENCE

See ALR Index under Whistleblowers.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: whistleblower & specific /s violat! & state /3 cause
/3 action

POINTS OF COUNSEL

Bergstein & Ullrich, LLP, Chester (*Stephen Bergstein* of counsel), for appellant. I. Defendants have had fair notice of plaintiff's claim that she was terminated for speaking out on health, safety and fraud violations. (*Loomis v Civetta Corinno Constr. Corp.*, 54 NY2d 18; *Rich v Lefkovits*, 56 NY2d 276; *Foley v D'Agostino*, 21 AD2d 60; *Feinberg v Bache Halsey Stuart*, 61 AD2d 135; *Dulberg v Mock*, 1 NY2d 54; *Matter of Miller v Board of Assessors*, 91 NY2d 82; *Matter of People v Horvath*, 205 AD2d 927; *Vig v New York Hairspray Co., L.P.*, 67 AD3d 140; *Condon v Associated Hosp. Serv.*, 287 NY 411; *Cammarota v Drake*, 285 AD2d 919.) II. Plaintiff's memorandum of law in opposition to the motion to dismiss cites the rules and regulations that she claims defendants violated. (*Lederman v McLean Trucking Co.*, 41 AD2d 5.) III. Even if this Court holds that the complaint must expressly cite the laws and regulations, defendants have not suffered the prejudice of any substantial right. (*DiMauro v Metropolitan Suburban Bus Auth.*, 105 AD2d 236; *Loomis v Civetta Corinno Constr. Corp.*, 54 NY2d 18; *Foley v D'Agostino*, 21 AD2d 60; *Catli v Lindenman*, 40 AD2d 714; *Pernet v Peabody Eng'g Corp.*, 20 AD2d 781.)

Bond, Schoeneck & King, PLLC, New York City (*Dennis A. Lalli* and *Allison M. Zullo* of counsel), for respondents. The Labor Law § 740 cause of action was properly dismissed for failure to state a cause of action because the complaint does not plead the material elements of plaintiff's claim. (*Iannone v Cayuga Constr. Corp.*, 66 AD2d 745; *Peri v State of New York*, 66 AD2d 949, 48 NY2d 734; *Shapolsky v Shapolsky*, 22 AD2d 91;

Megna v Becton Dickinson & Co., 215 AD2d 542; *Flamingo Telefilm Sales v United Artists Corp.*, 22 AD2d 778; *Alvord & Swift v Muller Constr. Co.*, 46 NY2d 276; *Bordell v General Elec. Co.*, 208 AD2d 219, 88 NY2d 869; *Remba v Federation Empl. & Guidance Serv.*, 149 AD2d 131, 76 NY2d 801; *Cotrone v Consolidated Edison Co. of N.Y., Inc.*, 50 AD3d 354; *Cohen v Hunter Coll.*, 80 AD3d 452.)

OPINION OF THE COURT

PIGOTT, J.

Labor Law § 740 (2), commonly referred to as the “whistle-blower statute,” provides, in relevant part, that “[a]n employer shall not take any retaliatory personnel action against an employee because such employee . . . discloses, or threatens to disclose to a supervisor or to a public body an activity, policy or practice of the employer that is in violation of law, rule or regulation” that either “creates and presents a substantial and specific danger to the public health or safety, or . . . constitutes health care fraud” (Labor Law § 740 [2] [a]). The narrow issue on this appeal is whether a complaint asserting a claim under that provision must identify the specific “law, rule or regulation” allegedly violated by the employer. We conclude that there is no such requirement.

Plaintiff was the chief operating officer for defendant Community Action for Human Services, Inc. (Community Action), a not-for-profit corporation that provides social services to the mentally and physically disabled and is subject to oversight by the New York State Office for People with Developmental Disabilities (formerly the Office of Mental Retardation and Developmental Disabilities [OMRDD]). Plaintiff reported to Community Action’s chief executive officer, defendant David Bond.

After plaintiff was terminated from her position in September 2009, she commenced suit against, among others,¹ both Community Action and Bond (hereinafter, defendants), claiming that she had been terminated in violation of Labor Law § 740 for registering complaints with public agencies concerning policies and practices of Community Action.²

1. The complaint against Community Action’s Board of Directors and Paige Bond has been dismissed and they are not parties to this appeal.

2. Plaintiff also brought a claim pursuant to Labor Law § 741 that was eventually dismissed by the Appellate Division, but she has abandoned that claim on this appeal and asks for reinstatement of only the section 740 claim.

Defendants moved pursuant to CPLR 3211 to dismiss the complaint for failure to state a cause of action, asserting, as relevant here, that the complaint was deficient because it failed to identify the particular “law, rule or regulation” defendants are claimed to have violated. Plaintiff cross-moved for leave to serve an amended verified complaint. Supreme Court granted plaintiff’s cross motion,³ and partially granted defendants’ motion to dismiss, leaving intact plaintiff’s Labor Law § 740 claim (2011 NY Slip Op 34087[U] [2011]). The Appellate Division reversed and dismissed the section 740 claim, holding that the complaint did not state a cause of action because it failed to “identify a specific law, rule or regulation that defendants purportedly violated” (98 AD3d 923, 924 [1st Dept 2012] [citations omitted]). This Court granted plaintiff leave to appeal (20 NY3d 855 [2013]) and we now reverse.

[1] The plain language of Labor Law § 740 (2) (a) does not impose any requirement that a plaintiff identify the specific “law, rule or regulation” violated as part of a section 740 claim. Subdivision (2) (a) prohibits an employer from taking retaliatory personnel action against an employee because she either discloses or threatens to disclose the employer’s “activity, policy or practice.” The reasonable interpretation is that, in order to recover under a section 740 claim, plaintiff must show that she reported or threatened to report the employer’s “activity, policy or practice,” but need not claim that she cited any particular “law, rule or regulation” at that time. As one commentator has observed, “[m]erely the *practice*—not the legal basis for finding it to be a violation—appears to be what must be reported” (Richard A. Givens, Practice Commentaries, McKinney’s Cons Laws of NY, Book 30, Labor Law § 740 at 549 [1988 ed]). Plaintiff reasons that, just as an employee need not cite the actual law, rule or regulation violated when the complaint is made, her pleading is, correspondingly, not required to identify the “law, rule or regulation” violated. We agree.

[2] To be sure, in order to *recover* under a Labor Law § 740 theory, the plaintiff has the burden of proving that an actual violation occurred, as opposed to merely establishing that the plaintiff possessed a reasonable belief that a violation occurred (*Bordell v General Elec. Co.*, 88 NY2d 869, 871 [1996] [dismiss-

3. In light of plaintiff’s cross motion, Supreme Court had given defendants an opportunity to submit an additional brief in support of their motion to dismiss, but defendants opted to rely on their original submission.

ing section 740 claim on summary judgment where the plaintiff conceded that the employer did not violate any law, rule or regulation]). And, the violation must be of the kind that “creates a substantial and specific danger to the public health or safety” (*Remba v Federation Empl. & Guidance Serv.*, 76 NY2d 801, 802 [1990] [internal quotation marks omitted]). However, for pleading purposes, the complaint need not specify the actual law, rule or regulation violated, although it must identify the particular activities, policies or practices in which the employer allegedly engaged, so that the complaint provides the employer with notice of the alleged complained-of conduct. To the extent that Appellate Division authority can be read as requiring a plaintiff to plead the actual law, rule or regulation the employer violated, it should no longer be followed for that proposition (see *Deshpande v TJH Med. Servs., P.C.*, 52 AD3d 648, 650 [2d Dept 2008], *lv denied* 12 NY3d 704 [2009]; *Blumenreich v North Shore Health Sys.*, 287 AD2d 529, 530 [2d Dept 2001]; *Connolly v Macklowe Real Estate Co.*, 161 AD2d 520, 522-523 [1st Dept 1990]).

According to the amended verified complaint, plaintiff apprised Bond and other Community Action representatives about issues she claims endangered the welfare and safety of Community Action patients. Specifically, plaintiff registered complaints about the falsification of patient medication and treatment records, inadequate fire safety, mistreatment of Community Action residents, and deficiencies in patient care and in the facility itself. When those conditions continued unabated, plaintiff notified the OMRDD and the New York City Fire Department. The OMRDD conducted a survey of the Community Action premises and issued a “60-Day Order”; when a follow-up survey indicated that the violations had not been remedied, Community Action was placed under sanctions by the New York State Department of Health. Moreover, the New York City Fire Department issued three violations against defendants.

[3] Affording plaintiff’s complaint a liberal construction, as we must on a motion to dismiss, and giving the plaintiff’s allegations every favorable inference, we conclude that the complaint is sufficient to state a cause of action under section 740 (see *Leon v Martinez*, 84 NY2d 83, 87-88 [1994]). The substantive allegations in the complaint, particularly those that assert that sanctions and violations were issued by public bodies, allegedly as a result of plaintiff’s complaints, sufficiently

support plaintiff's allegation that defendants violated various laws, rules or regulations. Moreover, defendants can request in a bill of particulars that plaintiff identify the particular laws, rules and regulations allegedly violated.

[4] Nor should the complaint be dismissed on the ground that plaintiff failed to plead that the alleged violations created and presented "a substantial and specific danger to the public health or safety" or constituted health care fraud. Under the circumstances of this case, the complaint adequately met the pleading requirements.

Accordingly, the order of the Appellate Division insofar as appealed from should be reversed, with costs, and the motion by defendants Community Action and David G. Bond to dismiss the Labor Law § 740 cause of action as against them should be denied.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, RIVERA and ABDUS-SALAAM concur.

Order, insofar as appealed from, reversed, with costs, and motion by defendants Community Action for Human Services, Inc. and David G. Bond to dismiss the first cause of action as against them denied.

[15 NE3d 805, 991 NYS2d 792]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RA-
PHAEL GOLB, Appellant.

Argued March 25, 2014; decided May 13, 2014

SUMMARY

Appeal, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 29, 2013. The Appellate Division modified, on the law and the facts, a judgment of the Supreme Court, New York County (Carol Berkman, J.), which had convicted defendant, upon a jury verdict, of identity theft in the second degree (two counts), criminal impersonation in the second degree (14 counts), forgery in the third degree (10 counts), aggravated harassment in the second degree (three counts), and unauthorized use of a computer. The modification consisted of vacating the identity theft in the second degree conviction under the first count of the indictment and dismissing that count. The Appellate Division affirmed the judgment as modified.

People v Golb, 102 AD3d 601, modified.

HEADNOTES

Crimes — Criminal Impersonation — Injury to Reputation

1. A person may be found guilty of criminal impersonation in the second degree (Penal Law § 190.25) if he or she impersonates someone with the intent to harm the reputation of another. The terms “injure” and “benefit” as used in Penal Law § 190.25 cannot be construed to apply to any injury or benefit, no matter how slight, but injury to reputation is within the “injury” contemplated by Penal Law § 190.25. Many people, particularly those with a career in academia, value their reputations at least as much as their property. Accordingly, in a prosecution arising from defendant’s Internet campaign to attack the integrity and harm the reputation of certain Dead Sea Scrolls academics and scholars while promoting the views of his father, another Dead Sea Scrolls scholar, there was sufficient evidence supporting the jury’s finding that defendant’s emails impersonating three different professors as part of the campaign were more than a prank intended to cause temporary embarrassment or discomfiture, and that defendant acted with intent to do real harm, thereby committing criminal impersonation in the second degree.

Crimes — Criminal Impersonation — Creation of Email Account in Another’s Name

2. In a prosecution arising from defendant’s Internet campaign to attack the integrity and harm the reputation of certain Dead Sea Scrolls academics and scholars while promoting the views of his father, another Dead Sea Scrolls scholar, defendant’s creation of email accounts in the names of four other people, in contrast to the use of those accounts to send emails, did not constitute

criminal conduct under Penal Law § 190.25 and was insufficient to support defendant's conviction for criminal impersonation in the second degree (Penal Law § 190.25). The mere creation of email accounts that are not used does no substantial harm to anyone.

Crimes — Criminal Impersonation — Email Sent in Another's Name

3. In a prosecution arising from defendant's Internet campaign to attack the integrity and harm the reputation of certain Dead Sea Scrolls academics and scholars while promoting the views of his father, another Dead Sea Scrolls scholar, an email defendant sent in another person's name to a curator of a Scrolls exhibit asking her opinion on the differing theories about the Scrolls and whether she was planning to answer a critique of the exhibit by defendant's father was insufficient to support defendant's conviction for criminal impersonation in the second degree (Penal Law § 190.25). Unlike other emails sent by defendant, the email sent to the curator did not prove the requisite intent to cause injury, either to reputation or otherwise.

Constitutional Law — Validity of Statute — Aggravated Harassment in Second Degree

4. Penal Law § 240.30 (1), which criminalizes any communication that has the intent to annoy, is unconstitutionally vague and overbroad under both the State and Federal Constitutions. Any proscription of pure speech must be sharply limited to words which, by their utterance alone, inflict injury or tend naturally to evoke immediate violence. No fair reading of the statute's unqualified terms supports or even suggests the constitutionally necessary limitations on its scope. Accordingly, defendant's conviction of three counts of aggravated harassment in the second degree in violation of Penal Law § 240.30 (1) were vacated.

Crimes — Forgery — Email Sent in Another's Name

5. In a prosecution arising from defendant's Internet campaign to attack the integrity and harm the reputation of certain Dead Sea Scrolls academics and scholars while promoting the views of his father, another Dead Sea Scrolls scholar, there was sufficient evidence to show that defendant deceived people by sending emails from accounts in the names of three professors, in support of defendant's conviction for forgery in the third degree (Penal Law § 170.05).

Crimes — Unauthorized Use of Computer — What Constitutes

6. In a prosecution arising from defendant's Internet campaign to attack the integrity and harm the reputation of certain Dead Sea Scrolls academics and scholars while promoting the views of his father, another Dead Sea Scrolls scholar, the People did not sustain their burden of proof that defendant was guilty of unauthorized use of the computers at the university he had attended and from which he had sent some emails in connection with his campaign. Under Penal Law § 156.05, "[a] person is guilty of unauthorized use of a computer when he or she knowingly uses, causes to be used, or accesses a computer, computer service, or computer network without authorization." The term "without authorization" is defined as "to access a computer . . . without the permission of the owner . . . or after actual notice to such person that such use or access was without permission" (Penal Law § 156.00 [8]). Defendant asserted that he had permission to access the university computers as an alumnus who joined a certain library program. The definitions and wording of the statute and the legislative history indicate that the statute was intended to reach a person who accesses a computer system without permission (i.e., a hacker) and the language does not appear to encompass defendant's conduct here.

Crimes — Identity Theft — Falsifying Business Records

7. In a prosecution arising from defendant's Internet campaign to attack the integrity and harm the reputation of certain Dead Sea Scrolls academics and scholars while promoting the views of his father, another Dead Sea Scrolls scholar, there was insufficient evidence to support defendant's conviction for identity theft in the second degree (Penal Law § 190.79 [3]). A person commits identity theft in the second degree in violation of section 190.79 (3) "when he or she knowingly and with intent to defraud assumes the identity of another person by presenting himself or herself as that other person, or by acting as that other person or by using personal identifying information of that other person, and thereby" "commits or attempts to commit a felony" (Penal Law § 190.79 [3]). Defendant's alleged attempted felony was first-degree falsifying of business records, a crime that is committed when a person "commits the crime of falsifying business records in the second degree, and when his intent to defraud includes an intent to commit another crime or to aid or conceal the commission thereof" (Penal Law § 175.10). Although defendant sent damning emails in the name of a professor at a particular university to university addresses, that did not constitute the creation or falsification of a university business record that was "kept or maintained by an enterprise for the purpose of evidencing or reflecting its condition or activity" as defined in Penal Law § 175.00 (2), and the People did not point to any proof that defendant falsified any such records.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Computers and the Internet §§ 248, 268; AM JUR 2d, Extortion, Blackmail, and Threats § 39; AM JUR 2d, False Personation §§ 2, 4, 13; AM JUR 2d, Forgery §§ 4, 10, 26, 31, 33, 60; AM JUR 2d, Larceny § 62.

McKINNEY'S, Penal Law §§ 156.00 (8); 156.05, 156.10, 175.00 (2); 175.05, 175.10, 190.79 (3); 240.30 (1).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1017, 1019, 1131–1134, 1142, 1172, 1174, 1175, 1255, 1257, 1259, 1303, 1827.

ANNOTATION REFERENCE

See ALR Index under Computers; E-Mail; Forgery; Harassment; Identity Theft; Impersonation.

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POINTS OF COUNSEL

Law Office of Ronald L. Kuby, New York City (*Ronald L. Kuby* and *Leah M. Busby* of counsel), for appellant. I. The trial court's refusal to properly limit the definitions of "benefit,"

“harm,” “injury” and “fraud” compelled the jury to criminalize expressions of defendant’s opinion, of statements of fact, and causing hurt feelings to various scholars, all of which are protected by the First Amendment. These convictions render the statutes void for vagueness, without a limiting construction from this Court. (*McIntyre v Ohio Elections Comm’n*, 514 US 334; *People v Briggins*, 50 NY2d 302; *Carpenter v United States*, 484 US 19; *Kolender v Lawson*, 461 US 352; *Smith v Goguen*, 415 US 566; *Ashton v Kentucky*, 384 US 195; *Layshock ex rel. Layshock v Hermitage School Dist.*, 650 F3d 205; *People v Kase*, 76 AD2d 532; *Hustler Magazine, Inc. v Falwell*, 485 US 46.) II. The communications that are the subject of counts 3, 40, and 48 are protected by the First Amendment and cannot be criminalized; doing so would render Penal Law § 240.30 (1) unconstitutionally vague and overbroad. (*People v Smith*, 89 Misc 2d 789; *People v Dupont*, 107 AD2d 247; *Papish v Board of Curators of Univ. of Mo.*, 410 US 667; *People v Dietze*, 75 NY2d 47; *People v Bethea*, 1 Misc 3d 909[A], 2004 NY Slip Op 50007[U]; *People v Singh*, 187 Misc 2d 465; *People v Kochanowski*, 186 Misc 2d 441, 95 NY2d 965.) III. Defendant was convicted of a crime based exclusively upon his violating a terms of service agreement with New York University. Applying Penal Law § 156.05 to criminalize such violations renders the statute unconstitutionally vague. (*Chicago v Morales*, 527 US 41.)

Cyrus R. Vance, Jr., District Attorney, New York City (Vincent Rivellese and Alan Gadlin of counsel), for respondent. I. The trial court properly instructed the jury on the elements of the charged crimes. Those instructions ensured that the convictions did not violate defendant’s First Amendment right to free speech. (*People v Hills*, 95 NY2d 947; *People v Samuels*, 99 NY2d 20; *People v Ladd*, 89 NY2d 893; *People v Coleman*, 70 NY2d 817; *People v Dory*, 59 NY2d 121; *People v Dym*, 163 AD2d 150; *People v Radcliffe*, 232 NY 249; *People v Kase*, 76 AD2d 532, 53 NY2d 989; *People v Taylor*, 14 NY3d 727; *United States v Williams*, 553 US 285.) II. The aggravated harassment counts were constitutionally applied to defendant because the convictions did not criminalize defendant’s beliefs or his speech; they criminalized his conduct. (*United States v Williams*, 553 US 285; *People v Shack*, 86 NY2d 529; *People v Nelson*, 69 NY2d 302; *United States v Petrillo*, 332 US 1; *Maynard v Cartwright*, 486 US 356; *Boyce Motor Lines, Inc. v United States*, 342 US 337; *Broadrick v Oklahoma*, 413 US 601; *Gooding v Wilson*, 405 US 518; *People v Smith*, 89 Misc 2d 789; *People v Johnson*, 208 AD2d 1051.) III. Defendant was properly convicted of unauthorized

use of a computer for using New York University's computers to commit crimes; Penal Law § 156.05 was not vague as applied to defendant. (*United States v Williams*, 553 US 285; *People v Shack*, 86 NY2d 529; *People v Nelson*, 69 NY2d 302; *Maynard v Cartwright*, 486 US 356; *Boyce Motor Lines, Inc. v United States*, 342 US 337; *Ratzlaf v United States*, 510 US 135.)

Law Office of Marc Fernich, New York City (*Marc Fernich* of counsel), for National Association of Criminal Defense Lawyers and another, amici curiae. The definitions of “fraud,” “benefit” and “injury” should be limited to tangible, monetary or legal benefits and harms to avoid unconstitutional vagueness, vindicate the legislative purpose and implement existing case law. (*People v Swift*, 278 AD2d 110; *People v Calderon*, 143 Misc 2d 315; *Tracy v Freshwater*, 623 F3d 90; *People v Bentley*, 78 Misc 2d 578; *Russo v State of New York*, 672 F2d 1014; *People v Nawrocki*, 163 AD2d 887; *People v Chive*, 189 Misc 2d 653; *People v Turner*, 234 AD2d 704; *People v Hooks*, 71 AD3d 1184.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

University of Chicago Professor Norman Golb is a scholar of the Dead Sea Scrolls. This case involves an Internet campaign by Golb's son, Raphael Golb, to attack the integrity and harm the reputation of other Dead Sea Scrolls academics and scholars, while promoting the views of his father.

To accomplish his goal of discrediting and harming these individuals, defendant, using pseudonyms and impersonating real academics and scholars, sent emails to museum administrators, academics and reporters. He published anonymous blogs. He concocted an elaborate scheme in which he used a pseudonym to engage one professor in an email exchange, and then impersonated a different scholar to criticize that professor's emails. Defendant impersonated a New York University (NYU) professor and sent emails to NYU students and NYU deans indicating that the professor had plagiarized the work of Professor Golb.

A New York County grand jury charged defendant with 51 counts of identity theft, criminal impersonation, forgery, aggravated harassment and unauthorized use of a computer. He proceeded to a jury trial, where 31 counts were submitted for the jury's consideration. The jury convicted on 30 counts: two counts of identity theft in the second degree; 14 counts of criminal impersonation in the second degree; 10 counts of forgery in

the third degree; three counts of aggravated harassment in the second degree; and one count of unauthorized use of a computer. Defendant was sentenced to six months in jail and five years of probation on the identity theft counts and to concurrent lesser terms on the remaining counts. The Appellate Division modified the Supreme Court judgment to the extent of vacating the identity theft conviction in the first count of the indictment and dismissing that count, and otherwise affirming the judgment (102 AD3d 601 [1st Dept 2013]). A Judge of this Court granted defendant leave to appeal (20 NY3d 1099 [2013]). For the reasons that follow, we affirm the convictions for nine counts of criminal impersonation in the second degree and all of the convictions for forgery. We vacate the conviction for identity theft in the second degree; five of the convictions for criminal impersonation in the second degree; all of the convictions for aggravated harassment in the second degree, and the conviction for unauthorized use of a computer.

I.

The Dead Sea Scrolls and Defendant's Internet Campaign

As was explained at the trial, the Dead Sea Scrolls are a collection of ancient religious writings dating from the second and third century B.C.E. to the first century C.E.¹ They were discovered in 1948 in caves near Qumran, in the West Bank. Norman Golb, defendant's father, is a professor at the University of Chicago, and a scholar on the subject of the Scrolls. There is disagreement among scholars and experts about who wrote the Scrolls. One view, known as the Qumran-Sectarian theory, or Sectarian theory, is that the Scrolls were writings of a Jewish sect, living in or near Qumran.

Norman Golb and others disagree with the Qumran-Sectarian theory. They believe that the Scrolls were writings of various groups and that the writings were rescued from libraries in Jerusalem and brought to the caves for safekeeping at the time of the siege and sacking of the city by Roman troops in 70 C.E. (the Jerusalem libraries theory). Professor Golb challenges the Qumran-Sectarian theory as unsupported by any actual evidence. In his 1995 book, *Who Wrote the Dead Sea Scrolls?*, Professor Golb discusses not only the history of Scroll research,

1. B.C.E. (Before the Common Era) and C.E. (the Common Era) are the equivalent of B.C. and A.D., respectively.

but criticizes what he believes to be unethical research practices regarding the Scrolls.

Beginning in September 2006, the Dead Sea Scrolls became the subject of a series of museum exhibits. Defendant engaged in an Internet campaign to criticize those involved in the exhibits because, in defendant's opinion, the exhibits did not present his father's theories about the origin of the Scrolls. One of defendant's targets was Robert Cargill, who at the time was a graduate student at the University of California in Los Angeles (UCLA) working toward his Ph.D. in near eastern languages and culture. Cargill had published on the topic of the Scrolls. In 2007, the Scrolls were put on exhibit at the San Diego Natural History Museum. For use at that exhibit, Cargill created a digital movie called "Ancient Qumran," which was a silent tour of the site where the Scrolls were discovered, and he wrote a script to be read in conjunction with the movie. The script did not describe Professor Golb's view of the Scrolls' origins.

Using pseudonyms, defendant sent emails to UCLA media addresses including newsmedia.ucla.edu, a UCLA professor, Cargill's doctoral advisor, many other "ucla.edu" addresses, and an entertainment company with which Cargill had signed a contract, criticizing Cargill and questioning his scholarship. Cargill testified that everyone in his department, people in the press room, the Provost of UCLA, and his dean asked him "what the hell is going on, what is this all about?" On a number of occasions, defendant used an anonymous blog to post his grievances about the San Diego exhibit and the Cargill movie.

When the Dead Sea Scrolls exhibit moved to Raleigh, North Carolina, defendant targeted Stephen Goranson, a library clerk at Duke University who had published articles on the Scrolls. Goranson disagreed with Professor Golb's theories and criticized them in public Internet forums. In July 2008, writing as "Peter Kaufman, Ph.D.," defendant separately emailed the Provost and the President of Duke University, as well as Goranson's supervisor at the library, complaining about Goranson's purported Internet attacks on Professor Golb and suggesting that they consider whether this conduct was appropriate for a Duke employee. The Provost responded that a supervisor was speaking to Goranson and advising him of his obligations. Defendant also created an email account under the name of "steve.goranson@gmail.com."

Defendant also undertook an elaborate scheme involving the impersonation of Dead Sea Scrolls scholar and retired Harvard

Professor Frank Cross. The first layer of the scheme was to assume the pseudonym of “Jerome Cooper” to engage in an email exchange with University of North Carolina Professor Bart Ehrman (who had been slated to lecture at the Raleigh exhibit) about the origin of the Scrolls. Defendant then anonymously published a blog denouncing the selection of Ehrman as lecturer and publishing the emails from Professor Ehrman to “Jerome Cooper,” which defendant said Cooper had been “good enough to forward to me.” Defendant’s next step was to create the email address “frank.cross2gmail.com” and send four separate but identical messages to four University of North Carolina scholars. In those emails from the “Frank Cross” email address, defendant attached links to his anonymous blog entries containing Ehrman’s emails, and stated that “Bart” had “put his foot in his mouth again.” He signed those emails “Best, Frank Cross.”

The Scrolls were put on exhibit at the Jewish Museum in New York City in the fall of 2008, and NYU Professor Lawrence Schiffman was scheduled as a lecturer. Defendant used the pseudonym “Peter Kaufman” to publish an article about Schiffman on the social news website NowPublic entitled “Plagiarism and the Dead Sea Scrolls: Did NYU department chairman pilfer from Chicago historian’s work?” Defendant as “Kaufman” wrote of a “little-known case of apparent academic quackery.” He complained of Schiffman’s failure to credit Professor Golb for ideas expressed in Schiffman’s articles about the Scrolls, and Schiffman’s repeated plagiarisms of Golb’s work.

Using NYU computers, defendant sent emails from another account he created—“larry.schiffmangmail.com”—to four of Schiffman’s students and multiple NYU addresses of Schiffman’s colleagues that included a link to the article. The emails stated, among other things, that “someone is intent on exposing a minor failing of mine that dates back almost fifteen years ago” and that “[t]his is my career at stake.” He signed those emails “Lawrence Schiffman.” Additionally, defendant sent identical emails from the Schiffman email address to the Provost of NYU and the Dean of NYU Graduate School of Arts and Science. Defendant, as Schiffman, asked what action he could take “to counter charges of plagiarism that have been raised against me” and stated:

“Apparently, someone is intent on exposing a failing of mine that dates back almost fifteen years ago. It

is true that I should have cited Dr. Golb's articles when using his arguments, and it is true that I misrepresented his ideas. But this is simply the politics of Dead Sea Scrolls studies. If I had given credit to this man I would have been banned from conferences around the world."

He signed those emails "Lawrence Schiffman, professor."

NYU's Senior Vice Provost responded to this email, stating that he had assigned the matter to a dean for further investigation. Defendant, as "Schiffman," forwarded that email from the Vice Provost (including defendant's email to the Provost) to five NYU school newspaper email addresses, asking that they not mention this matter and stating that his "career is at stake." He signed those emails "Lawrence Schiffman."

In the fall of 2008, the Scrolls exhibit was scheduled to move to the Royal Ontario Museum (ROM) in Toronto. Dr. Jonathan Seidel, a rabbi in Oregon and a professor of Judaic studies at the University of Oregon, had studied with Professor Schiffman at NYU. Defendant created the email address "seidel.jonathangmail.com" and sent an email to the Board of Trustees at the ROM, blind copying numerous other individuals at the museum. That email, among other things, included links to articles concerning the San Diego exhibition of the Scrolls and criticism by Professor Golb of the exhibit, which was curated by Dr. Risa Levitt Kohn, the same individual who was curating the exhibit at the ROM. The email stated that "the San Diego exhibitors set out to confuse the public" and described a quoted statement from Dr. Kohn defending the exhibit which she had curated as "shockingly obscurantist . . . for someone involved in creating a museum exhibit at the ROM." He signed those emails "With best regards, Jonathan Seidel."

Using the Seidel email address, defendant also sent an email to Dr. Kohn. It contained a link to defendant's (anonymous) blog about Dr. Kohn and Michael Hager, the director of the San Diego museum where the Scrolls had been exhibited. The blog pointed out that Hager had been defending Dr. Kohn and the San Diego exhibit. It criticized Hager and Kohn, and pointed out that Professor Golb had subjected the San Diego exhibit to a "searing critique." The email sought Dr. Kohn's opinion on the two theories about the Scrolls and asked if she was planning to answer Professor Golb's critique. It was signed "With best wishes, Jonathan Seidel."

The same day that he sent the email to Dr. Kohn, defendant sent another email from “Seidel” to 79 Dead Sea Scrolls scholars, asking for help in preparing a response to misinformation which was being spread around the Internet. He included a link to his anonymous blog, and a link and a quotation from an article in the French newspaper *Le Monde*, which defendant (as Seidel) stated was “outrageous.” The quote from *Le Monde* was that “[t]he connection between the Essenes, who were thought to have written the scrolls, and Qumran has been reduced to nothing, just as the major American historian and paleographer N. Golb had already written.” The email stated that “[t]hese lies about the Chicago filth must be answered as quickly as possible, so please let me know if you’re willing to help out” In contrast to his email to Dr. Kohn, which promoted the Golb theory, this email appears to be calling Professor Golb “Chicago filth.” It was signed “Best, Jonathan S.” Defendant also used the Seidel email address to contact approximately 85 individuals, many of whom had university email addresses, urging them to “condemn the continuing filth from Chicago, just as Dr. Stephen Goranson of Duke University has had the courage to do.” That too was signed “Best, Jonathan S.”

II.

Criminal Impersonation in the Second Degree

Defendant was convicted of 14 counts of criminal impersonation in the second degree. A person is guilty of this crime when he or she “[i]mpersonates another and does an act in such assumed character with intent to obtain a benefit or to injure or defraud another” (Penal Law § 190.25 [1]). The criminal impersonation counts related to defendant’s actions against Schiffman, Goranson, Seidel and Cross. Although requested to do so by defendant, the trial court did not limit the statutory terms “benefit” or “injure” in its charge to the jury. The Appellate Division held that “[t]he court was under no obligation to limit the definitions of ‘injure’ or ‘defraud’—terms used in the forgery and criminal impersonation statutes—to tangible harms such as financial harm” (102 AD3d at 602, citing *People v Kase*, 76 AD2d 532, 537-538 [1st Dept 1980], *affd* 53 NY2d 989 [1981]). Defendant maintains that the trial court’s failure to properly limit and define the terms “injure” and “benefit” constituted reversible error because the jury could have interpreted the

statute as capturing any benefit or harm. Thus, argues defendant, when literally *anything* can be a legally cognizable benefit or harm, one can be found guilty of violating this law if one, for example, simply causes hurt feelings, mocks or criticizes. Similarly, says defendant, a benefit could be any gain or advantage, no matter how slight.

Cases applying Penal Law § 190.25 have traditionally involved monetary fraud or interference with government operations (*see e.g. People v Sanchez*, 84 NY2d 440 [1994] [impersonation of an FBI agent]; *People v Hooks*, 71 AD3d 1184 [3d Dept 2010] [after damaging victim's vehicle, defendant called police station, identifying herself as victim, informing them that she did not want to press charges]; *People v Nawrocki*, 163 AD2d 887 [4th Dept 1990] [defendant used his brother's name, Social Security number and employment status to apply for and receive a loan from a finance company]; *People v Chive*, 189 Misc 2d 653 [2001] [conviction for falsely identifying oneself to police and possession of an altered passport]; *People v Bentley*, 78 Misc 2d 578 [1974] [woman signed a false name to a supermarket cash register receipt]; *People v Diamond*, 77 Misc 2d 412 [1974] [conviction for seeking to avoid an arrest by impersonating a transit authority conductor]). The Appellate Division cited *People v Kase* (76 AD2d 532 [1st Dept 1980], *affd* 53 NY2d 989 [1981]) in support of its holding that “injure” and “defraud” are not limited to tangible harms such as financial harms involved in the filing of a false instrument. There, Kase argued that Penal Law § 190.25 did not apply where the People had not demonstrated that there had been a pecuniary loss to the State, and the court disagreed, finding that it is sufficient if the fraud impacts the State's power to fulfill its governmental responsibilities (*id.* at 537).

[1] Here, defendant did not cause any pecuniary loss or interfere with governmental operations. While we agree with defendant that the statutory terms “injure” and “benefit” cannot be construed to apply to *any* injury or benefit, no matter how slight, we conclude that injury to reputation is within the “injury” contemplated by Penal Law § 190.25. Many people, particularly with a career in academia, as relevant to this case, value their reputations at least as much as their property,² and

2. “Good name in man and woman, dear my lord,
Is the immediate jewel of their souls.

(*n. cont'd*)

we believe the legislature intended that the scope of the statute be broad enough to capture acts intended to cause injury to reputation.

Accordingly, a person may be found guilty of criminal impersonation in the second degree if he or she impersonates another with the intent to cause a tangible, pecuniary injury to another, or the intent to interfere with governmental operations (*see e.g. People v Hooks*, 71 AD3d 1184 [3d Dept 2010]; *People v Nawrocki*, 163 AD2d 887 [4th Dept 1990]). In addition, a person who impersonates someone with the intent to harm the reputation of another may be found guilty of this crime. Here, there was sufficient evidence to support the jury's finding that defendant's emails impersonating Schiffman, Seidel and Cross were more than a prank intended to cause temporary embarrassment or discomfiture, and that he acted with intent to do real harm.

[2, 3] While we affirm most of the criminal impersonation convictions, we hold that the mere creation of email accounts in the names of Schiffman, Seidel, Goranson and Cross (in contrast to the use of those accounts to send emails) does not constitute criminal conduct under Penal Law § 190.25. The mere creation of email accounts that are not used does no substantial harm to anyone. Additionally, the email sent from the Seidel email address to Dr. Kohn, asking her opinion on the differing theories about the Scrolls and whether she was planning to answer Professor Golb's critique, is insufficient to support a conviction for criminal impersonation in the second degree. Unlike the other emails, this email sent in another person's name does not prove the requisite intent to cause injury, either to reputation or otherwise. Thus, we vacate the convictions on those counts.

III.

Aggravated Harassment in the Second Degree

[4] Penal Law § 240.30 (1) (a) provides that "[a] person is guilty of aggravated harassment in the second degree when, with intent to harass, annoy, threaten or alarm another person, he or she . . . communicates with a person, anonymously or

Who steals my purse steals trash. 'Tis something, nothing:
'Twas mine, 'tis his, and has been slave to thousands.
But he that filches from me my good name
Robs me of that which not enriches him
And makes me poor indeed." (Shakespeare, *Othello*, act III, scene 3.)

otherwise, by telephone, by telegraph, or by mail, or by transmitting or delivering any other form of written communication, in a manner likely to cause annoyance or alarm.” We agree with defendant that this statute is unconstitutionally vague and overbroad, and that his conviction of three counts of aggravated harassment related to his conduct toward Schiffman, Goranson and Cargill must be vacated.

In *People v Dietze* (75 NY2d 47 [1989]), this Court struck down a similar harassment statute, former Penal Law § 240.25, which prohibited the use of abusive or obscene language with the intent to harass, annoy or alarm another person. We determined that the statute was unconstitutional under both the State and Federal Constitutions, noting that “any proscription of pure speech must be sharply limited to words which, by their utterance alone, inflict injury or tend naturally to evoke immediate violence” (*id.* at 52).

The reasoning applied in *Dietze* applies equally to our analysis of Penal Law § 240.30 (1) (a). The statute criminalizes, in broad strokes, any communication that has the intent to annoy. Like the harassment statute at issue in *Dietze*, “no fair reading” of this statute’s “unqualified terms supports or even suggests the constitutionally necessary limitations on its scope” (*id.* at 52; *see also People v Dupont*, 107 AD2d 247, 253 [1st Dept 1985] [observing that the statute’s vagueness is apparent because “(i)t is not clear what is meant by communication ‘in a manner likely to cause annoyance or alarm’ to another person”]). And, as in *Dietze*, “we decline to incorporate such limitations into the statute by judicial construction” because that would be “tantamount to wholesale revision of the Legislature’s enactment, rather than prudent judicial construction” (*id.* at 52, 53).

Three federal judges have already found this statute unconstitutional (*see Vives v City of New York*, 305 F Supp 2d 289, 299 [SD NY 2003, Scheindlin, J.], *revd on other grounds* 405 F3d 115 [2d Cir 2005] [“where speech is regulated or proscribed based on its content, the scope of the effected speech must be clearly defined”]; *see also Vives*, 405 F3d 115, 123-124 [2d Cir 2005, Cardamone, J., dissenting in part, concurring in part] [Penal Law § 240.30 (1) unconstitutional on its face and as applied]; *Schlagler v Phillips*, 985 F Supp 419, 421 [SD NY 1997, Briant, J.], *revd on other grounds* 166 F3d 439 [2d Cir 1999] [statute is “utterly repugnant to the First Amendment of the United States Constitution and also unconstitutional for vagueness”]).

Accordingly, we conclude that Penal Law § 240.30 (1) is unconstitutional under both the State and Federal Constitutions, and we vacate defendant's convictions on these counts.

IV.

The Convictions for Forgery in the Third Degree, Identity Theft in the Second Degree and Unauthorized Use of a Computer

[5] "A person is guilty of forgery in the third degree when, with intent to defraud, deceive or injure another, he falsely makes, completes or alters a written instrument" (Penal Law § 170.05). There was sufficient evidence to show that defendant deceived people by sending emails from accounts in the names of Schiffman, Seidel and Cross, and accordingly we affirm his convictions on those counts.

However, we vacate the convictions on the remaining counts of unauthorized use of a computer and identity theft in the second degree. Under Penal Law § 156.05, "[a] person is guilty of unauthorized use of a computer when he or she knowingly uses, causes to be used, or accesses a computer, computer service, or computer network without authorization." The term "without authorization" is defined as "to access a computer . . . without the permission of the owner . . . or after actual notice to such person that such use or access was without permission" (Penal Law § 156.00 [8].)

[6] Defendant asserts that he had permission to access the NYU computers as an alumnus who joined the "Friends of Bobst Library Program." The People argue that using the computer to commit a crime cannot be an authorized use. However, the definitions and wording of the statute and the legislative history indicate that the statute is intended to reach a person who accesses a computer system without permission (i.e., a hacker) and the language does not appear to encompass defendant's conduct here. "[I]f two constructions of a criminal statute are plausible, the one more favorable to the defendant should be adopted in accordance with the rule of lenity" (*People v Green*, 68 NY2d 151, 153 [1986] [internal quotation marks and citation omitted]). Thus, the People did not sustain their burden of proof that defendant was guilty of unauthorized use of the NYU computers, and we therefore vacate defendant's conviction under Penal Law § 156.05.

[7] Lastly, as pertinent here, a person commits identity theft in the second degree "when he or she knowingly and with intent

to defraud assumes the identity of another person by presenting himself or herself as that other person, or by acting as that other person or by using personal identifying information of that other person, and thereby” “commits or attempts to commit a felony” (Penal Law § 190.79 [3]). The attempted felony at issue here is first-degree falsifying of the business records of NYU. That crime is committed when a person “commits the crime of falsifying business records in the second degree, and when his intent to defraud includes an intent to commit another crime or to aid or conceal the commission thereof” (Penal Law § 175.10). According to the People, defendant sought to falsify NYU business records by manufacturing a subtle admission of plagiarism purportedly from Schiffman, with the intent that NYU would open an investigation of Schiffman. Although defendant sent damning emails in Schiffman’s name to NYU addresses, that does not constitute the creation or falsification of an NYU business record that is “kept or maintained by an enterprise for the purpose of evidencing or reflecting its condition or activity” and the People have not pointed to any proof that defendant falsified any such records (Penal Law § 175.00 [2]). Because there is insufficient evidence to support this conviction, it must be vacated.

Accordingly, the order of the Appellate Division should be modified by vacating the convictions for counts 2, 3, 5, 23, 29, 40, 42, 44, 48, and 51, dismissing those counts of the indictment, and remitting to Supreme Court for resentencing, and, as so modified, affirmed.

Chief Judge LIPPMAN (concurring in part and dissenting in part). It would be difficult to find the conduct by defendant detailed in the majority opinion admirable. But our very different task is to decide whether that conduct was properly treated as criminal. While I see no constitutional impediment to prosecuting conduct similar to defendant’s targeting Professor Schiffman as second degree identity theft—which requires for its proof evidence of intent to cause highly specific injury of a non-reputational sort—the particular counts of identity theft with which defendant was charged in the indictment’s top two counts were not sufficiently proved.

Turning to the remaining welter of convictions—all for misdemeanors—I agree with the majority that defendant’s convictions for aggravated harassment must be vacated and the corresponding counts of the indictment dismissed, since the statute

under which those convictions were obtained, Penal Law § 240.30 (1) (a), is unconstitutionally overbroad. I also agree that there was a failure of proof as to whether defendant's use of NYU computers was unauthorized within the meaning of Penal Law § 156.05. I, however, part company with the majority as to its dismissal of only some of the indictment's criminal impersonation counts and its determination to leave defendant's third-degree forgery convictions undisturbed.

In dismissing some, but not all, of the second-degree criminal impersonation (Penal Law § 190.25) counts, the majority expresses the view that, in addition to addressing impersonation intended to cause economic injury or to interfere with government operations—the objectives traditionally understood to inform the misdemeanor—the crime may also be premised on an intent to cause reputational injury. The statute, the majority holds, should be read to protect reputation when more than a prank is involved, since many people value reputation more than money, and since, as Iago in a moment of famous irony remarks to Othello, “he that filches from me my good name Robs me of that which not enriches him And makes me poor indeed.” There is, of course, nothing in the language of the statute to prevent its use in the manner proposed by the majority—but that is the problem. The statute, as written, allows a criminal conviction for impersonation provided only that it is meant to be harmful or beneficial in any way. It is hard to imagine any pseudonymous communication that could not be prosecuted under this statute. And, in an age in which pseudonymous communication has become ubiquitous, particularly on the Internet, this statute, literally understood, criminalizes a vast amount of speech that the First Amendment protects.

The problem of the statute's substantial overbreadth is not obviated by the Court's pronouncement that the enactment should not be understood to criminalize conduct not intended to cause “real harm.” Apart from the fact that the distinction the majority has drawn does not render the statute benign, since many things said using an assumed identity are constitutionally protected from civil or criminal sanction, even though they are more than pranks and are intended to cause real harm or to obtain real benefit,* this prosecution's use of the statute was not limited in the way the Court now says it should have been.

* It is difficult to imagine, for example, that an ill-intended, pseudonymously uttered comment about Iago or his modern equivalent would be actionable civilly, much less criminally.

Although defendant, after the denial of his motion to dismiss on the ground, among others, of statutory overbreadth, sought to have the jury charged so as to limit the statute's reach, the trial court's charge did not do that and there is no basis now to suppose that the convictions at issue were rendered in observance of the distinction this Court has retrospectively drawn; five of the criminal impersonation convictions concededly were not, and it is entirely speculative that the remaining nine were.

The problem with the criminal impersonation convictions is not that they were insufficiently supported. The evidence as to each of the counts was more than adequate to prove the offense as defined in the statute and as charged. The reason that the convictions must be vacated and the corresponding counts dismissed is rather that the statute under which they were obtained is unconstitutionally broad, and substantially so.

The use of the third-degree forgery statute (Penal Law § 170.05) to the same end as the criminal impersonation statute is, I believe, similarly objectionable. Treating pseudonymous emails as forgeries when they are made with some intent to "injure" in some undefined way is no different than penalizing impersonation in Internet communication for the same amorphous purpose. Both treatments give prosecutors power they should not have to determine what speech should and should not be penalized.

If defendant has caused reputational injury, that is redressable, if at all, as a civil tort, not as a crime. Criminal libel has long since been abandoned (*see Garrison v Louisiana*, 379 US 64, 69 [1964]), not least of all because of its tendency in practice to penalize and chill speech that the constitution protects (*see Ashton v Kentucky*, 384 US 195, 200-201 [1966]), and it has been decades since New York's criminal libel statute was repealed. The use of the criminal impersonation and forgery statutes now approved amounts to an atavism at odds with the First Amendment and the free and uninhibited exchange of ideas it is meant to foster.

I would dismiss the indictment in its entirety.

Judges GRAFFEO, READ, SMITH, PIGOTT and RIVERA concur with Judge ABDUS-SALAAM; Chief Judge LIPPMAN dissents in part in an opinion.

Order modified by vacating the conviction on counts 2, 3, 5, 23, 29, 40, 42, 44, 48 and 51 of the indictment, dismissing those

counts of the indictment, and remitting the case to Supreme Court, New York County, for resentencing and, as so modified, affirmed.

[15 NE3d 333, 991 NYS2d 578]

RHONDA WITTORF, Appellant, v CITY OF NEW YORK, Respondent.

Argued April 30, 2014; decided June 5, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 26, 2013. The Appellate Division affirmed an order of the Supreme Court, New York County (Paul G. Feinman, J.; op 33 Misc 3d 368 [2011]), which had, among other things, granted defendant's motion to set aside the jury verdict on the ground that plaintiff failed to establish a prima facie case. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of Supreme Court, properly made?"

Wittorf v City of New York, 104 AD3d 584, reversed.

HEADNOTE

Municipal Corporations — Tort Liability — Governmental or Proprietary Function — Closing Transverse to Vehicular Traffic in Preparation for Road Repair

In an action to recover for injuries that plaintiff sustained when she fell from her bicycle after hitting one of a series of deep roadway depressions in a dark underpass tunnel on a park transverse, a supervisor with defendant City's Department of Transportation, who had arrived at the transverse with a crew to repair the road defect and was in the process of closing the transverse to vehicular traffic, was engaged in a proprietary function when he allowed plaintiff to proceed onto the transverse without warning her of the conditions. Thus, the jury properly evaluated the City's actions under ordinary negligence principles. A governmental entity undertakes a proprietary role when its activities essentially substitute for or supplement traditionally private enterprises. A municipality engaged in a proprietary function is subject to suit under the ordinary rules of negligence applicable to nongovernmental parties. Historically, the maintenance of roads was performed by both private entities and local governments, with each subject to the ordinary rules of negligence. Although liability can and has been limited by prior written notice laws, the nature of the road maintenance function remains proprietary when performed by highway maintenance personnel. Here, the supervisor was in the park specifically to oversee the road maintenance project. Although the maintenance work had not yet begun at the time he failed to warn plaintiff, the supervisor and his crew could not have repaired the roadway without having closed the road to traffic. The act of closing the roadway was integral to the repair job—a proprietary function.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Highways, Streets, and Bridges §§ 113, 119,

415; AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 38, 40, 44, 45, 99.

DOBBS LAW OF TORTS § 343.

NY JUR 2d, Governmental Tort Liability §§ 14, 31, 109, 116.

NEW YORK LAW OF TORTS §§ 17:55, 17:61.

ANNOTATION REFERENCE

See ALR Index under Highways and Streets; Municipal Corporations; Negligence.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: highway road /4 repair maint! /s proprietary & negligen!

POINTS OF COUNSEL

Sullivan Papain Block McGrath & Cannavo P.C., New York City (Brian J. Shoot of counsel), and *Dansker & Aspromonte Associates* (Paul Dansker of counsel) for appellant. I. Contrary to what the City of New York argued below, determination of whether conduct is “governmental” or “proprietary” has always turned on both the nature of the act or omission claimed to give rise to liability and the capacity in which that act or failure to act occurred. (*Sebastian v State of New York*, 93 NY2d 790; *Miller v State of New York*, 62 NY2d 506; *Riss v City of New York*, 22 NY2d 579; *Valdez v City of New York*, 18 NY3d 69; *Balsam v Delma Eng’g Corp.*, 90 NY2d 966; *Applewhite v Accuhealth, Inc.*, 21 NY3d 420; *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428, 18 NY3d 898; *Weiner v Metropolitan Transp. Auth.*, 55 NY2d 175; *Crosland v New York City Tr. Auth.*, 68 NY2d 165.) II. The case law that was cited in support of the City of New York’s claims of immunity was plainly inapt inasmuch as all of those cases involved (a) alleged negligence on the part of police officers or in failing to provide police protection or (b) conduct that had nothing to do with traffic, roadway repairs, roadway design, or roadway maintenance. (*Balsam v Delma Eng’g Corp.*, 90 NY2d 966; *McLean v City of New York*, 12 NY3d 194; *Lauer v City of New York*, 95 NY2d 95; *Tango v Tulevech*, 61 NY2d 34; *Motyka v City of Amsterdam*, 15 NY2d 134; *Kadymir v New York City Tr. Auth.*, 55 AD3d 549; *Kovit v Estate of Hallums*, 4 NY3d 499; *Sorrentino v Mayerson*, 82 AD3d 955; *Lewis v City of New York*, 82 AD3d 410, 16 NY3d 713; *Santos v County of Westchester*, 81 AD3d 710.) III. Highway maintenance,

highway repair, provision of appropriate warning of roadway hazards, and even highway design have always been deemed “proprietary” activities where, as here, the conduct claimed to give rise to liability was performed by highway personnel or planners and not by police officers. (*Stiuso v City of New York*, 87 NY2d 889; *Lopes v Rostad*, 45 NY2d 617; *Friedman v State of New York*, 67 NY2d 271; *Gutelle v City of New York*, 55 NY2d 794; *Oeters v City of New York*, 270 NY 364; *Missano v Mayor of City of N.Y.*, 160 NY 123; *Ehrgott v Mayor of City of N.Y.*, 96 NY 264; *Weiss v Fote*, 7 NY2d 579; *Affleck v Buckley*, 96 NY2d 553.)

IV. Traffic control, including the control of traffic at and around roadway work sites and even including traffic design, has itself always been deemed “proprietary” except in those instances in which the conduct claimed to give rise to liability was performed by police officers or police-type personnel. (*Kovit v Estate of Hallums*, 4 NY3d 499; *Balsam v Delma Eng’g Corp.*, 90 NY2d 966; *Ernest v Red Cr. Cent. School Dist.*, 93 NY2d 664; *Scheemaker v State of New York*, 70 NY2d 985; *Parsons v City of New York*, 248 App Div 825, 273 NY 547; *Cleveland v Town of Lancaster*, 239 App Div 263, 264 NY 568; *Alexander v Eldred*, 63 NY2d 460; *Eastman v State of New York*, 303 NY 691; *Foley v State of New York*, 294 NY 275; *Nowlin v City of New York*, 81 NY2d 81.)

V. Negligent direction to proceed into or across a place of danger has itself always been deemed actionable, “proprietary” conduct except when performed by police or police-type personnel. (*Kovit v Estate of Hallums*, 4 NY3d 499; *Glanzer v Shepard*, 233 NY 236; *Kieuman v Philip*, 84 AD3d 1031; *Ohlhausen v City of New York*, 73 AD3d 89; *Yau v New York City Tr. Auth.*, 10 AD3d 654; *Thrane v Haney*, 264 AD2d 926; *Robbins v New York City Tr. Auth.*, 105 AD2d 616; *Riley v Board of Educ. of Cent. School Dist. No. 1*, 15 AD2d 303; *Dolce v Cucolo*, 106 AD3d 1431.)

VI. There are no convincing policy reasons why an immunity arising from the acknowledged scarcity of police resources should now be extended to a factual context that does not even remotely involve allocation of police resources or, for that matter, allocation of any resources. (*Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Balsam v Delma Eng’g Corp.*, 90 NY2d 966; *Missano v Mayor of City of N.Y.*, 160 NY 123; *Ehrgott v Mayor of City of N.Y.*, 96 NY 264; *Weiss v Fote*, 7 NY2d 579, 10 NY2d 886.)

Michael A. Cardozo, Corporation Counsel, New York City (Ronald E. Sternberg and Leonard Koerner of counsel), for respondent. The Appellate Division correctly concluded that the city is immune from liability pursuant to the governmental

function immunity defense. (*Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Applewhite v Accuhealth, Inc.*, 21 NY3d 420; *Maccarello v County of Suffolk*, 100 AD3d 972; *Miller v State of New York*, 62 NY2d 506; *Valdez v City of New York*, 18 NY3d 69; *Balsam v Delma Eng'g Corp.*, 90 NY2d 966; *Devivo v Adeyemo*, 70 AD3d 587; *Stashkevetch v City of New York*, 106 AD3d 483; *Lewis v City of New York*, 82 AD3d 410, 16 NY3d 713; *Santos v County of Westchester*, 81 AD3d 710.)

Robert F. Danzi, New York City, and *Michael S. Buskus* for New York State Trial Lawyers Association, amicus curiae. I. Repairing roads is a “proprietary,” rather than “governmental,” activity. (*People ex rel. Waufol v Reel*, 157 App Div 128; *Sutherland v Skene*, 142 App Div 162; *Town of Huntington v County of Suffolk*, 79 AD3d 207, 17 NY3d 778; *Ireland v Oswego, Hannibal & Sterling Plank Rd. Co.*, 13 NY 526; *Eggleson v Columbia Turnpike Road*, 82 NY 278; *Hill v Supervisors of Livingston County*, 12 NY 52; *People ex rel. Van Keuren v Town of Esopus*, 74 NY 310; *Hutson v Mayor of City of N.Y.*, 9 NY 163; *Conrad v Village of Ithaca*, 16 NY 158; *Nelson v Village of Canisteo*, 100 NY 89.) II. The duty to maintain roads in safe condition applies in favor of bicyclists. (*Redcross v State of New York*, 241 AD2d 787, 91 NY2d 801; *Baker v Nassau County Police Activity League*, 265 AD2d 515; *Cotty v Town of Southampton*, 64 AD3d 251; *Phillips v County of Nassau*, 50 AD3d 755; *Caraballo v City of Yonkers*, 54 AD3d 796, 13 NY3d 788; *Cruz v City of New York*, 201 AD2d 606; *Garrow v State of New York*, 268 App Div 534, 294 NY 741; *Collett v Mayor*, 51 App Div 394; *Schell v Town of German Flats*, 54 Misc 445, 123 App Div 197; *Vestal v County of Suffolk*, 7 AD3d 613.) III. The “police” cases do not apply to the repair of highways or the posting of warnings or barricades around work sites. (*Balsam v Delma Eng'g Corp.*, 90 NY2d 966; *Rogers v State of New York*, 288 AD2d 926; *Matter of Schleider v State of New York*, 5 AD3d 1052, 3 NY3d 607; *Lynch v State of New York*, 37 AD3d 772; *DiFlorio v Worden*, 303 AD2d 924; *Stashkevetch v City of New York*, 106 AD3d 483; *Thompson v City of New York*, 78 NY2d 682; *Rindfleisch v State of New York*, 59 Misc 2d 1074; *Harvey v New York State Thruway Auth.*, 59 Misc 2d 1079; *Saari v State of New York*, 203 Misc 859.) IV. The City of New York utterly failed to meet the advance warning requirements for construction work that are imposed by federal, state and city regulations. (*Lyle v State of New York*, 44 AD2d 239; *Zecca v State of New York*, 247 AD2d 776; *Patti v State of New York*, 217 AD2d 882; *McDevitt v State of New York*, 1 NY2d 540; *Piragnoli v State of New York*, 280 App Div 849;

People v Zambito, 21 Misc 2d 815; *Miller v United States*, 710 F2d 656; *Redcross v State of New York*, 241 AD2d 787; *Belonzi v Town of Brookhaven*, 227 AD2d 361; *Collins v City of New York*, 105 AD3d 631.) V. The prior written notice pothole law does not apply to warning sign or barricade cases. (*Hughes v Jahoda*, 75 NY2d 881; *Alexander v Eldred*, 63 NY2d 460; *Hubbard v County of Madison*, 93 AD3d 939, 19 NY3d 805; *Boucher v Town of Candor*, 234 AD2d 669; *Brabender v Incorporated Vil. of Northport*, 222 AD2d 477; *Rhodes v Bauer*, 173 AD2d 452; *Adams v Town of Lisbon*, 170 AD2d 901; *Heard v City of New York*, 82 NY2d 66; *Balsam v Delma Eng'g Corp.*, 90 NY2d 966.)

OPINION OF THE COURT

GRAFFEO, J.

We are asked in this case if the City of New York was engaged in a proprietary function at the time of plaintiff's bicycle accident in order to determine if the jury properly evaluated the City's actions under ordinary negligence principles.

On the morning of November 5, 2005, Donald Bowles, a supervisor with the Department of Transportation for the City of New York, and his crew arrived at the east entrance of Central Park's 65th Street transverse to repair a roadway defect. The crew closed the east entrance to the transverse and then proceeded westbound. As they drove through an underpass, Bowles observed the problem they had been sent to correct—a series of deep depressions in the westbound lane. Having located the area in need of repair, Bowles went to the west entrance of the 65th Street transverse to close it to vehicular traffic by placing traffic cones across the roadway.

As Bowles was placing the cones, plaintiff Rhonda Wittorf and Brian Hoberman arrived at the west entrance on bicycles. Hoberman approached Bowles and asked if they could use the roadway and Bowles replied that it was "okay to go through." As plaintiff and Hoberman rode along the transverse, they entered the underpass where the depressions were located. Because of darkness in the tunnel, plaintiff did not see one of the depressions until she was almost upon it. When she attempted to avoid the hole, she encountered another, fell and was injured.

Plaintiff commenced this personal injury action against defendant City of New York (the City) seeking to recover for her injuries. After trial, a jury determined that the roadway where plaintiff's accident occurred was not in a reasonably safe condition, but that the City could not be held liable for the defect

because it did not receive written notice of the condition at least 15 days prior to the accident, as required by the Pothole Law (Administrative Code of City of NY § 7-201 [c] [2]). The jury also found that the City did not cause or create the condition by an affirmative act of negligence. It did, however, conclude that Bowles was negligent in permitting plaintiff and her companion to enter the 65th Street transverse and that such negligence was a substantial factor in causing her injuries. In considering comparative negligence, the jury apportioned fault at 40% to plaintiff and 60% to the City.

The City moved to set aside the verdict, alleging that Bowles was engaged in a governmental function at the time of the accident thereby entitling it to judgment as a matter of law or, alternatively, to set aside the verdict as against the weight of the evidence. Supreme Court granted the motion and dismissed the complaint, agreeing with the City that Bowles was performing a governmental function when he closed the transverse to vehicular traffic (33 Misc 3d 368 [2011]). It denied the remainder of the City's motion as academic. A divided Appellate Division affirmed, concluding that the underlying negligent omission occurred during the performance of a governmental rather than a proprietary function (104 AD3d 584 [1st Dept 2013]). The dissenter would have reversed Supreme Court's dismissal of the complaint and denied the motion to set aside the verdict. The Appellate Division granted plaintiff leave to appeal on a certified question (2013 NY Slip Op 78059[U] [2013]).

Plaintiff contends that the courts below erred in concluding that the City could not be held liable for its negligence because Bowles was performing a governmental function when his negligent act occurred. She argues that highway maintenance and repair and the issuance of appropriate warnings for roadway hazards have consistently been deemed proprietary activities that may subject municipalities to liability when such conduct is performed by highway maintenance personnel or planners. The City responds that Bowles was engaged in traffic control—traditionally a governmental function—at the time he failed to warn plaintiff of the roadway condition and, as such, the City is immune from liability.

We recently explained the framework that must be used when a negligence claim is asserted against a municipality in *Applewhite v Accuhealth, Inc.* (21 NY3d 420 [2013]). First, a court must decide “whether the municipal entity was engaged in a proprietary function or acted in a governmental capacity at the

time the claim arose” (*id.* at 425). If the municipality’s actions fall on the proprietary side, “it is subject to suit under the ordinary rules of negligence applicable to nongovernmental parties” (*id.*, citing *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428, 446-447 [2011]). A governmental entity undertakes a proprietary role when its “activities essentially substitute for or supplement traditionally private enterprises” (*id.*, quoting *Sebastian v State of New York*, 93 NY2d 790, 793 [1999]). “In contrast, a municipality will be deemed to have been engaged in a governmental function when its acts are undertaken for the protection and safety of the public pursuant to the general police powers” (*id.* [internal quotation marks and citation omitted]). Generally, “the distinction is that the government will be subject to ordinary tort liability if it negligently provides services that traditionally have been supplied by the private sector” (*id.* at 426 [internal quotation marks omitted]). In deciding whether a function is proprietary or governmental, a court examines “the specific act or omission out of which the injury is claimed to have arisen and the capacity in which that act or failure to act occurred . . . , not whether the agency involved is engaged generally in proprietary activity or is in control of the location in which the injury occurred” (*Miller v State of New York*, 62 NY2d 506, 513 [1984]).

Historically, the maintenance of roads and highways was performed by both private entities and local governments, with each subject to the ordinary rules of negligence (*see e.g. Ireland v Oswego, Hannibal & Sterling Plank Rd. Co.*, 13 NY 526, 531-532 [1856]; *Hutson v Mayor of City of N.Y.*, 9 NY 163, 168 [1853] [“It requires no argument to prove that it is the duty of the defendants to see that the public streets of this densely crowded city are kept in repair”]). This duty to repair applied whether the dangerous condition in the road had been caused by a municipality (*see Nelson v Village of Canisteo*, 100 NY 89, 93 [1885]) or a contractor (*see Turner v City of Newburgh*, 109 NY 301, 305-306 [1888]). Indeed, we explained that a municipality has the obligation to warn or barricade a dangerous condition regardless of who caused or created it (*see Pettengill v City of Yonkers*, 116 NY 558, 564 [1889] [Municipal corporation’s duty “was to keep the streets in a safe condition for public travel, and it was bound to exercise reasonable diligence to accomplish that end, and the rule is now well established to be applicable whether the act or omission complained of and causing the injury is that of the municipal corporation or some third party”]).

In recognition of this duty, the courts of this State have held that a municipality can be held liable for failure to install traffic control signs (see *Wager v State of New York*, 7 NY2d 945, 947 [1960]); failure to repaint faded road stripes (see *Henriquez v Parsippany Constr. Co., Inc.*, 62 AD3d 749, 751 [2d Dept 2009]; *Purves v County of Erie*, 12 AD3d 1112 [4th Dept 2004]); and for inadequate warnings of ongoing road construction (see *Beardsley v State of New York*, 57 AD2d 1061 [4th Dept 1977]; *Miller v State of New York*, 6 AD2d 979, 980 [3d Dept 1958]). As we held generally in *Friedman v State of New York* (67 NY2d 271, 283 [1986]), a municipality has a duty to maintain its roads and highways in a reasonably safe condition and liability will flow for injuries resulting from a breach of that duty. Thus, it is well established that a municipality has a proprietary duty to keep its roads and highways in a reasonably safe condition. Although liability for failing to maintain roads and highways can and has been limited by prior written notice laws (see e.g. *Bruni v City of New York*, 2 NY3d 319 [2004]; *Amabile v City of Buffalo*, 93 NY2d 471 [1999]), the nature of that function remains proprietary when performed by highway maintenance personnel.

Guided by these precedents, we conclude that Bowles was engaged in a proprietary function at the time he failed to warn plaintiff of the conditions in the transverse. Bowles was in Central Park on the day of the accident specifically to oversee the road maintenance project in his capacity as a City Department of Transportation supervisor. At the time he failed to warn plaintiff, he was blocking the transverse to vehicular traffic in preparation for that road repair. Although the maintenance work had not yet begun, Bowles and his crew could not have repaired the roadway without having closed the road to traffic. In other words, his act of closing the entry to vehicular travel was integral to the repair job—a proprietary function. Consequently, under the circumstances of this case, we conclude that Bowles was performing a proprietary function and the jury could therefore assess the City’s conduct under the ordinary rules of negligence.

Our decision in *Balsam v Delma Eng’g Corp.* (90 NY2d 966 [1997]) is not to the contrary. In that case, police officers were present at an accident scene in order to ensure the safety of an injured plaintiff and the public in general. In that capacity, their “traffic control” decision not to place flares or other warnings

served a governmental function. Indeed, there was no independent basis for the police officers to be at the accident scene; their task was protection of the public. We emphasized that “tort suits that test the course of action undertaken by the police in furtherance of public safety are disfavored under our law because they implicate choices about the allocation of finite police resources” (*id.* at 968). We explained that traditional performance of a function by police officers rather than private actors “is a tell-tale sign that the conduct is not proprietary in nature” (*id.*). And with particular relevance to this appeal, we noted that “[n]o claim is made here that the police were charged with the responsibility to physically maintain the property where plaintiff’s accident occurred—a proprietary duty” (*id.*). In contrast, Bowles closed the transverse as part of his assignment to repair a defect in the roadway. Hence, his conduct stemmed from the execution of a proprietary duty.

In sum, although the City was not held liable for its failure to repair the defect in the road due to lack of adequate prior written notice, rejection of that position did not foreclose the jury’s finding that Bowles was negligent in carrying out the proprietary function of road maintenance. Therefore, the City was not entitled to judgment dismissing the complaint as a matter of law, and a remittal is necessary to consider the weight of the evidence issues (CPLR 4404 [a]).

Accordingly, the order of the Appellate Division should be reversed, with costs, the case remitted to Supreme Court for further proceedings in accordance with this opinion, and the certified question not answered as unnecessary.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order reversed, with costs, case remitted to Supreme Court, New York County, for further proceedings in accordance with the opinion herein, and certified question not answered as unnecessary.

[15 NE3d 338, 991 NYS2d 583]

In the Matter of TOWN OF ISLIP, Appellant, v NEW YORK STATE
PUBLIC EMPLOYMENT RELATIONS BOARD et al., Respondents.

Argued April 29, 2014; decided June 5, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 13, 2013, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Suffolk County). The Appellate Division (1) confirmed a determination of respondent New York State Public Employment Relations Board which had affirmed a decision of an administrative law judge (a) finding, after a hearing, that an improper practice charge filed by respondent Local 237, International Brotherhood of Teamsters and respondent United Public Service Employees Union, alleging that petitioner violated Civil Service Law § 209-a (1) (d), was established; and (b) directing the petitioner to “restore the vehicle assignments for commutation between home and work to those unit members who enjoyed the benefit prior to April 4, 2008,” and to “make whole unit employees for the extra expenses incurred as a result of the unilateral withdrawal of the 24/7 vehicle assignment(s), if any, together with interest at the maximum legal rate”; (2) denied the petition to review the determination; (3) dismissed the proceeding on the merits; (4) granted the cross petition by respondent New York State Public Employment Relations Board to enforce its order; and (5) remitted the matter to the Supreme Court, Suffolk County, for the issuance of an order compelling compliance with the Appellate Division’s decision and judgment (see Civil Service Law § 213 [c]).

Matter of Town of Islip v New York State Pub. Empl. Relations Bd., 104 AD3d 778, modified.

HEADNOTES

Civil Service — Public Employment Relations Board — Improper Employer Practice

1. Respondent Public Employment Relations Board’s determination that petitioner town had committed an improper employer practice by unilaterally discontinuing the practice of permanently assigning town-owned vehicles to certain employees, who were allowed to use those “take home” vehicles to commute to work, was supported by substantial evidence. Respondent has

long held that employee use of an employer-owned vehicle for transportation to and from work is an economic benefit and a mandatorily negotiable term and condition of employment; therefore, a public employer may not unilaterally discontinue a past practice of providing its employees with this benefit. Accordingly, respondent reasonably applied its precedent to determine that petitioner engaged in an improper practice. Although Islip Town Code § 14-12, which governs the use of town-owned equipment or property, prohibits the use of town-owned vehicles for “personal convenience or profit,” it does not define that phrase and petitioner had never interpreted that phrase to encompass commuting to work by employees eligible for “take home” vehicles on account of their work duties and seniority. Accordingly, the relevant past practice was not, in fact, illegal under the local law.

Civil Service — Public Employment Relations Board — Improper Employer Practice — Remedial Order

2. The remedial order issued by respondent Public Employment Relations Board (PERB) after it determined that petitioner town had committed an improper employer practice by unilaterally discontinuing the practice of permanently assigning town-owned vehicles to certain employees, which required petitioner to “[f]orthwith restore the vehicle assignments for commutation between home and work to those unit members who enjoyed the benefit prior to” a certain date, was unreasonable. A remedy fashioned by PERB for an improper practice should be upheld if reasonable, although it is for the courts to examine the reasonable application of PERB’s remedies. Here a PERB injunction was not sought to preserve the status quo ante, and petitioner sold some or all of the cars formerly permanently assigned to certain employees. Forcing petitioner to invest significant taxpayer dollars to replace those vehicles was unduly burdensome under the circumstances, and did not further the goal of reaching a fair negotiated result. Accordingly, the matter was remitted to PERB to fashion a remedy that granted commensurate, practical relief to the subject employees without requiring the purchase of new vehicles.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Labor and Labor Relations §§ 2329, 2337.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 438–441, 464.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Public Officers and Employees.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: perb /s improper /3 practice &take-home /4 vehicle automobile

POINTS OF COUNSEL

Bond Schoeneck & King PLLC, Garden City (*Ernest R. Stoller*, *Hilary L. Moreiera* and *Christopher T. Kurtz* of counsel), for

appellant. I. The New York State Public Employment Relations Board does not possess the authority to compel the Town of Islip to continue an illegal past practice. (*Matter of Doyle v City of Troy*, 51 AD2d 845; *Jackson Purchase Rural Elec. Co-op. Assn. v Local Union 816, Intl. Broth. of Elec. Workers*, 646 F2d 264; *United States Dept. of Justice v Federal Labor Relations Auth.*, 727 F2d 481; *Barker v Kallash*, 63 NY2d 19; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *Matter of Rosenthal v Harwood*, 35 NY2d 469; *Village Taxi Corp. v Beltre*, 91 AD3d 92; *Noghrey v Town of Brookhaven*, 214 AD2d 659.) II. Section 14-12 of the Town of Islip's Code of Ethics is consistent with the Taylor Law. (*Matter of Doyle v City of Troy*, 51 AD2d 845; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563; *Matter of Town of Wallkill v Civil Serv. Empls. Assn., Inc. [Local 1000, AFSCME, AFL-CIO, Town of Wallkill Police Dept. Unit, Orange County Local 836]*, 19 NY3d 1066.) III. There should be no reasonable expectation that an illegal past practice will continue. (*Matter of Manhasset Union Free School Dist. v New York State Pub. Empl. Relations Bd.*, 61 AD3d 1231.) IV. The Town of Islip cannot be estopped from discharging its statutory duties and enforcing the Town Code. (*Matter of Parkview Assoc. v City of New York*, 71 NY2d 274; *Town of Putnam Val. v Sacramone*, 16 AD3d 669; *Town of Southold v Estate of Edson*, 78 AD3d 816.) V. The New York State Public Employment Relations Board's order is unreasonable and should not be enforced. (*Matter of Manhasset Union Free School Dist. v New York State Pub. Empl. Relations Bd.*, 61 AD3d 1231; *Matter of Village of Scotia v New York State Pub. Empl. Relations Bd.*, 241 AD2d 29; *Matter of City of Rome v State of N.Y. Pub. Empl. Relations Bd.*, 283 AD2d 817; *Matter of Germantown Cent. School Dist. v Public Empl. Relations Bd. of State of N.Y.*, 205 AD2d 961; *Matter of Decker v Gooley*, 212 AD2d 893.)

David P. Quinn, Albany, for New York State Public Employment Relations Board, respondent. I. The Town of Islip's 1968 Code of Ethics and Financial Disclosure Law does not affect its collective bargaining obligations with teamsters concerning the termination of the Town's long-standing practice of permitting certain teamsters represented employees to use town owned vehicles to commute to and from work. (*Matter of Doyle v City of Troy*, 51 AD2d 845; *City of Amsterdam v Helsby*, 37 NY2d 19; *Mayor of City of N.Y. v Council of City of N.Y.*, 9 NY3d 23; *Matter of Saratoga Springs City School Dist. [New York State Pub. Empl. Relations Bd.]*, 68 AD2d 202, 47 NY2d 711; *Matter of*

Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd., 75 NY2d 660; *Matter of City of Utica [Zumpano]*, 91 NY2d 964; *Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395; *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563; *Matter of Town of Wallkill v Civil Serv. Empls. Assn., Inc. [Local 1000, AFSCME, AFL-CIO, Town of Wallkill Police Dept. Unit, Orange County Local 836]*, 19 NY3d 1066.) II. The New York State Public Employment Relations Board's remedial order was a lawful exercise of its remedial powers under Civil Service Law § 205 (5) (d) and properly enforced under Civil Service Law § 213 (a) (ii). (*Matter of New York State Pub. Empl. Relations Bd. v Board of Educ. of City of Buffalo*, 39 NY2d 86; *Matter of Monroe County v New York State Pub. Empl. Relations Bd.*, 85 AD3d 1439, 21 NY3d 855; *Matter of Monroe County v New York State Pub. Empl. Relations Bd.*, 85 AD3d 1439; *Matter of New York State Pub. Empl. Relations Bd. v County of Westchester*, 280 AD2d 849; *Matter of City of Albany v Helsby*, 29 NY2d 433; *Matter of City of Albany v Helsby*, 56 AD2d 976; *Matter of City of Poughkeepsie v Newman*, 95 AD2d 101, 60 NY2d 859, 62 NY2d 602.)

Koehler & Isaacs LLP, New York City (*Liam L. Castro* of counsel), for United Public Service Employees Union and another, respondents. The New York State Public Employment Relations Board had the authority to compel the Town of Islip to reinstate the past practice of permitting represented employees to use town vehicles to commute to and from work. (*Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of West Irondequoit Teachers Assn. v Helsby*, 35 NY2d 46; *Matter of Town of Mamaroneck PBA v New York State Pub. Empl. Relations Bd.*, 66 NY2d 722; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *City of Amsterdam v Helsby*, 79 Misc 2d 676, 37 NY2d 19; *Matter of Doyle v City of Troy*, 51 AD2d 845; *City of Buffalo v New York State Pub. Empl. Relations Bd.*, 80 Misc 2d 741; *Matter of County of Nassau v New York State Pub. Empl. Relations Bd.*, 215 AD2d 381.)

OPINION OF THE COURT

READ, J.

Petitioner Town of Islip (the Town) commenced this CPLR article 78 proceeding to challenge the determination made by

respondent New York State Public Employment Relations Board (PERB or the Board) that the Town violated Civil Service Law § 209-a (1) (d) when it unilaterally discontinued the practice of permanently assigning town-owned vehicles to certain employees. The employees were allowed to use these so-called “take home” vehicles to travel from home to work and back—i.e., to commute to work. Section 209-a (1) (d) makes it an improper practice for a public employer to refuse to negotiate in good faith with the bargaining agent for its public employees. Many of the employees who lost “take home” vehicles belonged to blue- or white-collar collective bargaining units represented by Local 237-International Brotherhood of Teamsters (Local 237).¹ We conclude that PERB reasonably applied precedent when making its determination, which is supported by substantial evidence; however, PERB’s remedial order is unreasonable insofar as it requires the Town to restore vehicle assignments to the affected employees.

I

On December 13, 1968, the Town enacted Local Law No. 4, which established a code of ethics and financial disclosure rules within the Town Code. Section 14-12, entitled “Use of town-owned equipment or property” states that

“[n]o officer or employee shall request or permit the use of Town-owned vehicles, equipment, material or property for personal convenience or profit, except when such services are available to the public generally or are provided as municipal policy for the use of such officer or employee in the conduct of official business.”

Effective September 15, 1990, the Town revised its Administrative Procedure Manual on the subject of “Town Vehicle Usage and Reporting of Accidents” to “specify guidelines for the usage of [Town] vehicles and to provide instructions for the proper reporting of accidents” (hereafter, the 1990 guidelines). Section 2 of the 1990 guidelines, captioned “Assignment of Vehicles” states in its entirety as follows:

1. Local 237 was decertified as the labor representative for the blue-collar and white-collar units in September 2010 and September 2013, respectively. The United Public Service Employees Union replaced Local 237 as the certified labor representative for both units. As used in this opinion, then, “Local 237” refers specifically to Local 237-International Brotherhood of Teamsters, while “union” may refer to either Local 237 or the United Public Service Employees Union, depending on chronology.

“a. Permanent Assignment. Certain Town employees by nature of their positions are required to be on call twenty-four hours a day, and those employees will be assigned the use of a Town car. Only those employees who have written authorization from the Supervisor will be granted this privilege.

“b. Temporary Assignment. Other Town vehicles may be made available to Department personnel for official use if requested by the Department Head and approved by the Supervisor.”

Section 3 (a) specifies that “[p]ersonal or other unauthorized use of a Town vehicle is strictly forbidden, and any violation of this regulation will result in disciplinary action against the violator.”

Based on a combination of job title and seniority, though, certain employees who used town-owned vehicles to carry out their official duties were permanently assigned these cars, which they were permitted to drive to and from work, even though their jobs did not require them to be on call when off-duty. Additionally, successive Town Supervisors seem to have neglected to give written approval for any of these assignments, which were made by department heads.

All employees with “take home” vehicles were directed to keep a mileage log and not to use these cars for personal errands; they were issued a card and key for access to the Town’s gasoline pumps, and the Town’s fleet management division carried out repairs and maintenance. The Town’s payroll office deducted \$3 a day from their paychecks to reflect the estimated value, for tax purposes, of the provision of employer-owned cars for travel to and from work.

In September 2007, Local 237 and the Town began negotiations over the terms of successor contracts to the 2005-2007 collective bargaining agreements for the blue- and white-collar units. In October 2007, the Town proposed the topic of “take home” vehicle use as a subject of bargaining in both units.² The Town withdrew these proposals in December 2007, the month the existing agreements expired. In February 2008, an impasse was declared and a mediator was appointed.

2. The 2005-2007 blue-collar agreement did not mention town vehicles, while the 2005-2007 white-collar agreement stated only that the Town “agree[d] to assume responsibility for all Town vehicle violations other than moving or parking.”

Meanwhile, the Town Board of Supervisors (the Town Board) on April 29, 2008 adopted a resolution endorsing a fleet/vehicle policy to be put in place in three phases. The resolution's "Whereas" clauses recited that the Town Board was taking this action in order to lower fuel and maintenance costs, reduce the number of "take home" vehicles and encourage the use of pooled vehicles;³ and that "in implementing such a policy[,] the Town Board re-affirms the principle set out in § 14-12 of the Town Code, and set forth in the Town Administrative Procedure Manual [i.e., the 1990 guidelines] that 'Personal or other unauthorized use of a Town vehicle is strictly prohibited.' "

Under the new policy, which was attached to the resolution, only three categories of employees were to be assigned "take home" vehicles: specified elected officials, 24/7 responders,⁴ and employees with multi-work site jobs.⁵ All other employees were instructed to use the pool vehicles available at the locations where they reported to work.

By letter dated June 6, 2008, three days before the 2008 fleet/vehicle policy went into effect, the Town's Director of Labor Relations and Personnel informed Local 237's top executive that on account of a "revision" of existing policy, approximately 45 of the union's members would be "shifted from taking a Town vehicle home to utilization of a pool vehicle located at their reporting location[s]." The shift came about because these employees were not elected officials, 24/7 responders or workers who reported to multiple work sites, as required to qualify for a "take home" car under the new policy.

3. As of April 2008, the Town owned 648 vehicles and employed 944 workers; 155 of the 648 vehicles, or just under one-quarter, were "take home" vehicles.

4. 24/7 responders were defined as employees who held "jobs which require[d them] to be available twenty-four hours per day, seven days per week to respond to an emergency/crisis throughout the Town of Islip at any number of locations. As part of our responsibility to the citizens of Islip, the Town requires certain jobs/individuals to respond directly to the site of an incident bypassing their normal work-site."

5. With respect to multi-work site jobs, the policy stated that "[w]hen a job requires the employee to report to various work sites at the beginning of each day and where reporting to a central work-site/dispatch area to be assigned a Town vehicle would be unproductive and time[-]consuming, then those job functions/individuals may be assigned a vehicle on a permanent basis and permitted to take a Town vehicle home."

By letter dated June 9, 2008, the union's attorney responded that "employee use of Town-owned vehicles for personal purposes (driving to and from work) is an economic benefit and therefore, a mandatory subject of bargaining." On behalf of Local 237, he demanded that the Town retract any orders that unit members turn in the keys to assigned vehicles, pending negotiations over the Town's decision and its impact.

On June 23, 2008, Local 237 filed an improper practice charge with PERB. The charge, as later amended, claimed that the Town violated Civil Service Law § 209-a (1) (a) and (d) by unilaterally adopting the 2008 fleet/vehicle policy and thereby eliminating the ability of certain union employees to continue to use town-owned vehicles to commute to work. The union also alleged that the Town had adopted the new policy in order to undermine the stalled contract negotiations, thus engaging in bad-faith bargaining.

After an evidentiary hearing on July 1, 2009, the administrative law judge (ALJ) issued a decision dated March 1, 2010, in which she found that the union had carried its burden of demonstrating a clear and unequivocal 20-plus-year practice with respect to determining which employees/job titles were eligible for "take home" vehicles, thus creating a reasonable expectation among union members that the same practice would continue (43 PERB ¶ 4514 [2010]). She ruled that the 2008 fleet/vehicle policy was not "a mere modification or clarification of [this] existing vehicle policy," as the Town asserted, but rather manifested a change in practice; and that the Town did not retain any management right to alter its position on the use of "take home" vehicles unilaterally, based on the provisions of section 14-12 of the Town Code and the 1990 guidelines, as the Town argued.

Additionally, the ALJ concluded that Local 237 had failed to prove that the Town refused to bargain the impact of the change; or engaged in bad-faith bargaining by withdrawing the October 2007 "take home" vehicle use proposals and essentially implementing them the following June; or violated Civil Service Law § 209-a (1) (a).⁶ With respect to the charge of bad-faith bargaining, the ALJ credited the testimony of the Town's Director of Labor Relations and Personnel, supported by his

6. Civil Service Law § 209-a (1) (a) makes it an improper practice for an employer deliberately to "interfere with, restrain or coerce public employees in the exercise of their rights [to join, form and participate in a union] for the purpose of depriving them of such rights."

contemporaneous notes, that he withdrew the “take home” vehicle use proposals in an honest, if mistaken, belief that the proposed change in policy was a management right in light of section 14-12 of the Town Code and the 1990 guidelines.

Accordingly, the ALJ held that the Town had violated Civil Service Law § 209-a (1) (d) by canceling “take home” vehicle assignments without negotiation, and dismissed the union’s other claims. She ordered the Town to “restore the vehicle assignments for commutation between home and work to those unit members who enjoyed the benefit prior to April 4, 2008”;⁷ to “make whole unit employees for the extra expenses incurred as a result of the unilateral withdrawal of the 24/7 vehicle assignment(s), if any, together with interest at the maximum legal rate”; and to sign and post a notice in the workplace to inform employees of the remedies ordered.

In a decision and order dated May 27, 2011, PERB denied the Town’s exceptions and Local 237’s cross-exceptions to the ALJ’s decision and order, which PERB affirmed, essentially on the basis of the ALJ’s reasoning (44 PERB ¶ 3014 [2011]). By petition filed in Supreme Court on June 29, 2011, the Town then commenced this CPLR article 78 proceeding to annul PERB’s decision and order insofar as the Town was found to have violated Civil Service Law § 209-a (1) (d) by issuing the 2008 fleet/vehicle policy, and to dismiss the improper practice charge. PERB cross-petitioned to enforce its order.

Upon transfer from Supreme Court pursuant to CPLR 7804 (g), the Appellate Division confirmed PERB’s determination, denied the petition, dismissed the proceeding, granted PERB’s cross petition and remitted the matter to Supreme Court for issuance of an order compelling compliance with its decision and judgment (104 AD3d 778 [2d Dept 2013]). The court held that substantial evidence supported PERB’s determination that the permanent assignment of town-owned vehicles to the affected employees constituted a past practice as to a term or condition of employment, a mandatory subject of negotiation, which the Public Employees’ Fair Employment Act (Civil Service Law art 14), known as the Taylor Law, barred the Town from unilaterally discontinuing.

The Appellate Division rejected the Town’s argument that because “its Ethics Code [specifically, section 14-12 of the Town

7. The reason for the choice of this date is not clear from the record. In any event, the 2008 fleet/vehicle policy did not take effect until June 9, 2008.

Code] [forbade] the use of Town vehicles in violation of Town policy, the Town could not be forced to engage in collective bargaining over the issue,” explaining that

“[t]he Town government was responsible for administering the Ethics Code [i.e., section 14-12 of the Town Code] and for managing its vehicle fleet. Yet, as substantial evidence in the record establishes, the Town frequently and openly ignored that Code and its policy for managing its vehicle fleet, only to contend later that the Code allowed it to act unilaterally in taking the vehicles away from the employees who had been permanently provided with them. The PERB was not required to give more effect to the Town Ethics Code than the Town itself gave to it. Second, for similar reasons, it cannot be said as a matter of law that it is unreasonable for employees to rely on the administering authority’s interpretation and implementation of its policy and Ethics Code. Consequently, the PERB’s determination was not affected by an error of law, arbitrary and capricious, or an abuse of discretion” (104 AD3d at 781-782).

The Town subsequently moved for leave to appeal, which we granted on June 27, 2013 (21 NY3d 861 [2013]).

II

The Taylor Law requires all public employers and employee organizations to negotiate in good faith to determine represented employees’ terms and conditions of employment (Civil Service Law §§ 201 [4]; 203, 204). PERB has long held that employee use of an employer-owned vehicle for transportation to and from work is an economic benefit and a mandatorily negotiable term and condition of employment; therefore, a public employer may not unilaterally discontinue a past practice of providing its employees with this benefit (*see e.g. Matter of County of Nassau*, 13 PERB ¶ 3095 [1980], *determination confirmed sub nom. Matter of County of Nassau v Public Empl. Relations Bd. of State of N.Y.*, 14 PERB ¶ 7017 [Sup Ct, Nassau County 1981] [upholding PERB’s determination that Nassau County committed an improper practice by ceasing to provide county-owned vehicles on a 24-hour basis to certain employees in its Department of Public Works], *affd* 87 AD2d 1006 [2d Dept 1982], *lv denied* 57 NY2d 601 [1982]; *Matter of County of Onondaga*,

12 PERB ¶ 3035 [1979], *determination confirmed sub nom. Matter of County of Onondaga v New York State Pub. Empl. Relations Bd.*, 77 AD2d 783, 783-784 [4th Dept 1980] [in a case where Onondaga County stopped allowing 24-hour use of county-owned cars by employees in the Division of Sanitation of the Department of Health, the court noted that “PERB’s determination that employee use of an employer-owned car for personal purposes is an economic benefit and a term and condition of employment which cannot be unilaterally withdrawn is reasonable and supported by substantial evidence”)]. To be binding, a past practice must be

“ ‘unequivocal and . . . continued uninterrupted for a period of time sufficient under the circumstances to create a reasonable expectation among the affected [bargaining] unit employees that the [practice] would continue.’ Further, ‘the expectation of the continuation of the practice is something that may be presumed from its duration with consideration of the specific circumstances under which the practice has existed’ ” (*Matter of Chenango Forks Cent. Sch. Dist. v New York State Pub. Empl. Relations Bd.*, 21 NY3d 255, 263 [2013], quoting *Matter of County of Nassau*, 24 PERB ¶ 3029, 3058 [1991]).

Our scope of review in this case is limited to whether PERB’s determination that the Town engaged in an improper practice was “affected by an error of law” or was “arbitrary and capricious or an abuse of discretion” (CPLR 7803 [3]). “PERB is accorded deference in matters falling within its area of expertise” such as “cases involving the issue of mandatory or prohibited bargaining subjects” (*Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660, 666 [1990] [citation omitted]). Additionally, an administrative determination made after a hearing required by law, such as PERB’s determination here, must be supported by substantial evidence (*see Matter of Jennings v New York State Off. of Mental Health*, 90 NY2d 227, 239 [1997]).

The Town urges that PERB’s determination of improper practice was arbitrary and capricious, an abuse of discretion and not supported by substantial evidence for two related reasons: first, that an illegal practice cannot ripen into a binding past practice because employees may not reasonably expect illegal activity to continue indefinitely; and second, that it adopted the 2008 fleet/vehicle policy to conform its practice for

permanently assigning “take home” vehicles with section 14-12 of the Town Code, and an employer has no duty to negotiate with a union before discontinuing a past practice that is illegal under local law.⁸ The Town, then, cannot succeed on this appeal unless its past practice contravened section 14-12 because commuting to work constitutes the “use of Town-owned vehicles . . . for personal convenience or profit,” which that provision forbids.⁹

Section 14-12 does not define “personal convenience or profit.” The record shows, however, that the Town has never interpreted this phrase to encompass commuting to work by employees eligible for “take home” vehicles on account of their work duties and seniority. This is reasonable. After all, there is nothing inherently improper or unethical, much less illegal, about employer-sponsored commutation benefits. Moreover, the Town’s interpretation did not change in 2008. The 2008 fleet/vehicle policy simply reduced the categories and therefore the number of town employees who qualified to be permanently assigned “take home” vehicles. Indeed, if the Town and the dissent are correct that any use of an assigned town-owned car to travel back and forth to work amounts to an illegal “use of Town-owned vehicles . . . for personal convenience or profit,” then the 2008 fleet/vehicle policy perpetuated rather than cured the illegality.

[1] In sum, the Town asks us to rule in its favor on the ground that a public employer does not violate section 209-a (1) (d) of the Taylor Law when it unilaterally discontinues a past practice with respect to a term and condition of employment that is illegal under local law. Whatever the merits of the Town’s position, we do not reach and need not consider them because the rele-

8. The Town now also contends, alternatively, that Civil Service Law § 209-a (4) (i), which states that “[n]othing in this section shall be deemed to eliminate or diminish any right that may exist pursuant to any other law,” exempts the Town’s enforcement of section 14-12 from mandatory negotiations under the Taylor Law. We do not consider this argument, which was not presented to the ALJ and is therefore not preserved for our review.

9. The Town no longer seems to rely on the 1990 guidelines except to the extent that, consistent with section 14-12, they state that “Personal or other unauthorized use of a Town vehicle is strictly prohibited.” In any event, guidelines, by definition, are not binding. As a result, it was not illegal for town officials to disregard the 1990 guidelines by assigning “take home” vehicles to non-24/7 responders. And, of course, the 2008 fleet/vehicle policy does not itself comply with the 1990 guidelines as it extends eligibility for “take home” vehicles to nonemergency personnel (i.e., employees who work at multiple sites during the workday).

vant past practice was not, in fact, illegal under the local law. Accordingly, PERB reasonably applied its precedent to determine that the Town engaged in an improper practice when it unilaterally discontinued the permanent assignment of “take home” vehicles to employees who enjoyed this benefit before the Town adopted and implemented the 2008 fleet/vehicle policy, and PERB’s determination was based on substantial evidence.

III

[2] We review the remedies imposed by PERB with deference to its expertise (*see Matter of City of Albany v Helsby*, 29 NY2d 433, 439 [1972]). Thus “a remedy fashioned by PERB for an improper practice should be upheld if reasonable,” although “[i]t is for the courts to examine the reasonable application of PERB’s remedies” (*Matter of Manhasset Union Free School Dist. v New York State Pub. Empl. Relations Bd.*, 61 AD3d 1231, 1234-1235 [3d Dept 2009] [citations and internal quotation marks omitted]; *see* Civil Service Law § 213 [d]). Here, PERB’s remedial order requires the Town to “[f]orthwith restore the vehicle assignments for commutation between home and work to those unit members who enjoyed the benefit prior to April 4, 2008.” A PERB injunction was not sought to preserve the status quo ante, and the Town sold some or all of the cars formerly permanently assigned to blue- and white-collar unit employees. Forcing the Town to invest significant taxpayer dollars to replace these vehicles is unduly burdensome under the circumstances, and does not further the goal of reaching a fair negotiated result (*cf. Matter of Manhasset Union Free School Dist.*, 61 AD3d at 1235 [enforcement of a PERB order for the school district to restore the personnel and facilities of its former transportation department was unreasonable where the district had sold its buses and leased its garage, and compliance with the order might require taxpayer approval]). We therefore remit so that PERB may fashion a remedy that grants commensurate, practical relief to the employees subject to the improper practice without requiring the Town to purchase a whole new fleet of vehicles with an uncertain future.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting thereto with directions to remand to PERB for further proceedings in accordance with this opinion and, as so modified, affirmed.

PIGOTT, J. (dissenting). The issue on this appeal is *not* whether a public employee’s personal use of a take-home vehicle is an

economic benefit (majority op at 491-492), but, rather, whether a public employer must collectively bargain its way out of a previous policy that is plainly in violation of a duly-enacted local law. Chapter 14 of the Town Code of the Town of Islip entitled “Code of Ethics and Financial Disclosure Law” was adopted in December of 1968 and, apparently, as amended from time to time by the elected Town Board, has functioned without incident ever since. Section 14-12 of that law provides in its entirety as follows:

“No officer or employee shall request or permit the use of Town-owned vehicles, equipment, material or property for *personal convenience* or profit, except when such services are available to the public generally or *are provided as municipal policy for the use of such officer or employee in the conduct of official business*” (emphasis added).

Contrary to the majority’s contention (majority op at 493-494), the question whether a public employer may unilaterally discontinue a past practice concerning a term and condition of employment that a local law had declared illegal is squarely presented for our review.

In remarkably brief testimony from four witnesses, all employees of the Town, it is conceded that town employees were permitted to use municipal vehicles for personal use, namely, to drive town-owned vehicles to and from home. As such, the personal use of town-owned vehicles was plainly contrary to section 14-12. PERB erroneously concluded, however, that by allowing employees to drive vehicles home in violation of section 14-12, the Town could not unilaterally end that practice without violating the Taylor Law. Essentially, PERB’s decision trumps a local law and requires the Town to bargain its way out of an illegal activity. This is contrary to law.

Illegal past conduct does not, and should not, evolve into binding terms and conditions of employment. Were it so, sloppy bookkeeping, lax supervision and perhaps, in some cases, rife favoritism could form the basis of a policy by which PERB could overrule a duly-enacted local law.

There was nothing in the previous collective bargaining agreements or in the laws and regulations of the Town that would allow public employees to take advantage of taxpayers by obtaining municipally-provided transportation at discount rates. By the same token, it cannot be argued that this would, by custom,

tradition, or negligence, be the subject of collective bargaining. It's clear. The conduct engaged in by the Town and its employees was against the law and PERB's determination could not make it legal. Therefore, that determination should be annulled and vacated.

Chief Judge LIPPMAN and Judges GRAFFEO, RIVERA and ABDUS-SALAAM concur with Judge READ; Judge PIGOTT dissents in an opinion in which Judge SMITH concurs.

Order modified, without costs, by remitting to the Appellate Division, Second Department, with directions to remand to the New York State Public Employment Relations Board for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[15 NE3d 329, 991 NYS2d 574]

IDT CORP. et al., Respondents, v TYCO GROUP, S.A.R.L., et al.,
Appellants.

Argued April 29, 2014; decided June 5, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 27, 2012. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Melvin L. Schweitzer, J.; op 2011 NY Slip Op 33843[U] [2011]), which had granted defendants' motion to dismiss the complaint pursuant to CPLR 3211 (a) (7), and (2) denied the motion. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of Supreme Court, properly made?"

IDT Corp. v Tyco Group, S.A.R.L., 104 AD3d 170, reversed.

HEADNOTES

Judgments — Collateral Estoppel — Res Judicata — Breach of Duty to Negotiate in Good Faith and Breach of Contract

1. In an action arising out of continued, unsuccessful attempts by parties to a failed joint venture to negotiate, pursuant to a settlement agreement, additional agreements by which defendants were to provide plaintiffs with an "indefeasible right of use" of certain fiber optic capacity on a planned undersea cable system, a statement by the Court of Appeals in a prior action alleging breach of defendants' obligation to negotiate in good faith that, after adverse developments in the marketplace, negotiations "flagged" and "finally came to an end" before the commencement of the prior action did not bind plaintiffs as a matter of res judicata or collateral estoppel in the current action alleging defendant's failure to negotiate in good faith after the earlier decision. Whether the negotiations had "finally" ended before the commencement of the prior action—such that defendants' obligation under the settlement agreement to negotiate additional agreements in good faith no longer existed—was not directly in issue in the earlier case.

Contracts — Breach or Performance of Contract — Breach of Duty to Negotiate in Good Faith

2. In an action arising out of continued, unsuccessful attempts by parties to a failed joint venture to negotiate, pursuant to a settlement agreement, additional agreements by which defendants were to provide plaintiffs with an "indefeasible right of use" of certain fiber optic capacity on a planned undersea cable system, plaintiffs' complaint did not sufficiently allege any breach of defendants' obligation to negotiate in good faith. Even assuming that defendants' obligation under the settlement agreement to negotiate additional agreements in good faith still existed following the dismissal of a prior action alleging defendants' breach of that obligation, it was clear on the record in the

current action that the parties had reached an impasse, and none of the specific details of the negotiations contained in plaintiffs' complaint supported an inference that defendants failed to negotiate in good faith. Parties may enter into a binding contract under which their obligations are conditioned on the negotiation of future agreements, in which case the parties are obliged to negotiate in good faith. However, the parties are not bound to negotiate forever, and the obligation to negotiate in good faith can come to an end without a breach by either party. Here, a pleading filed after more than a decade of back and forth between the parties should have contained some specific facts supporting the claim of bad faith—not just the bald conclusions, contradicted by the only relevant document referred to, that defendants insisted on terms that conflicted with the settlement agreement and made a definitive and final communication of their intent to violate their obligations thereunder. Although plaintiffs relied heavily on defendants' repeated insistence, while continuing to negotiate with plaintiffs, that they were not bound by the settlement agreement to do so, the mere statement of defendants' legal position, whether or not it was meritorious, was not in itself a refusal to negotiate.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contracts §§ 699, 707; AM JUR 2d, Judgments §§ 473, 474, 478, 487, 489.

CARMODY-WAIT 2d, Judgments §§ 63:452, 63:455, 63:459.

NEW YORK CONTRACT LAW §§ 3:27, 22:31.

NY JUR 2d, Contracts §§ 262, 429; NY JUR 2d, Judgments §§ 339–343, 354–356.

SIEGEL, NY PRAC §§ 442–447, 457, 462.

ANNOTATION REFERENCE

See ALR Index under Collateral Estoppel; Contracts; Good Faith; Negotiations; Res Judicata.

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POINTS OF COUNSEL

Dewey Pegno & Kramarsky LLP, New York City (*Thomas E.L. Dewey* of counsel), for appellants. I. This Court's opinion ended this case. (*MHR Capital Partners LP v Presstek, Inc.*, 12 NY3d 640; *Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106; *HGCD Retail Servs., LLC v 44-45 Broadway Realty Co.*, 37 AD3d 43; *N.F.L. Ins. Ltd. by Lines v B & B Holdings, Inc.*, 874 F Supp 606; *Rotella v Rotella*, 178 AD2d 755; *Hall v People to People Health Found., Inc.*, 493 F2d 311; *Colonial Pac. Leasing Corp. v Brown*, 28 Misc 3d 1214[A], 2010 NY Slip Op

51322[U]; *Preferred Mtge. Brokers v Byfield*, 282 AD2d 589; *Stanton v Power*, 254 AD2d 153; *Levy v Friedman*, 216 AD2d 18.) II. Plaintiffs' complaint is barred by res judicata and collateral estoppel. (*Matter of Hunter*, 4 NY3d 260; *Matter of Reilly v Reid*, 45 NY2d 24; *Sandhu v Mercy Med. Ctr.*, 54 AD3d 928; *Baldo v Marine Midland Bank*, 219 AD2d 807; *Smith v Russell Sage Coll.*, 54 NY2d 185; *Elias v Rothschild*, 29 AD3d 448; *NAS Electronics, Inc. v Transtech Electronics PTE Ltd.*, 262 F Supp 2d 134; *Dorli, Inc. v RGA Accessories*, 136 AD2d 465; *Aviles v Liberty Mut. Ins. Co.*, 300 AD2d 70; *Sterngass v Soffer*, 27 AD3d 549.) III. The documentary evidence establishes that plaintiffs' complaint fails. (*Beal Sav. Bank v Sommer*, 8 NY3d 318; *O'Donnell, Fox & Gartner v R-2000 Corp.*, 198 AD2d 154; *Beattie v Brown & Wood*, 243 AD2d 395; *Mode Contempo, Inc. v Raymours Furniture Co., Inc.*, 80 AD3d 464; *Venture Assoc. Corp. v Zenith Data Sys. Corp.*, 96 F3d 275; *Ga Nun v Palmer*, 202 NY 483; *Tenavision, Inc. v Neuman*, 45 NY2d 145; *Allbrand Discount Liqs. v Times Sq. Stores Corp.*, 60 AD2d 568; *Rachmani Corp. v 9 E. 96th St. Apt. Corp.*, 211 AD2d 262; *Dingley v Oler*, 117 US 490.)

Robins, Kaplan, Miller & Ciresi L.L.P., New York City (*Hillel I. Parness, Richard A. Mescon* and *Oren D. Langer* of counsel), for respondents. I. Plaintiffs have alleged facts sufficient to support their claims for breach of contract and breach of the duty to negotiate in good faith. (*Lawrence v Graubard Miller*, 11 NY3d 588; *Quesada v Global Land, Inc.*, 35 AD3d 575.) II. Plaintiffs have sufficiently pleaded claims for breach of contract and breach of the duty to negotiate in good faith, and nothing defendants raise in their opening brief changes that. (*MHR Capital Partners LP v Presstek, Inc.*, 12 NY3d 640; *Teachers Ins. & Annuity Assn. of Am. v Tribune Co.*, 670 F Supp 491; *HGCD Retail Servs., LLC v 44-45 Broadway Realty Co.*, 37 AD3d 43; *Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106; *N.F.L. Ins. Ltd. by Lines v B & B Holdings, Inc.*, 874 F Supp 606; *Perna v Desai*, 101 AD2d 857; *Rotella v Rotella*, 178 AD2d 755; *Snakepit Auto., Inc. v Superformance Intl., LLC*, 19 Misc 3d 1114[A], 2008 NY Slip Op 50683[U]; *Levy v Friedman*, 216 AD2d 18; *Stanton v Power*, 254 AD2d 153.)

OPINION OF THE COURT

SMITH, J.

For the last 15 years, the parties to this case have alternately negotiated and litigated over the development and use of a

telecommunications system. This lawsuit is the second to come to us in which IDT Corp. claims that Tyco International, Ltd. breached its obligation under a 2000 settlement agreement to negotiate additional agreements in good faith. In the previous lawsuit, we held IDT's claim to be unsupported by the record (*IDT Corp. v Tyco Group, S.A.R.L.*, 13 NY3d 209, 215 [2009]). More negotiations took place after our decision, and IDT sued Tyco again in 2010.

We again reject IDT's claim. Parties who agree to negotiate are not bound to negotiate forever. It is clear on this record that the parties have reached an impasse and that IDT has no valid cause of action.

I

The relationship between the parties goes back at least to 1999, when IDT and Tyco (terms we use to include the parent corporations, IDT Corp. and Tyco International, Ltd., and their subsidiaries and affiliates) signed a memorandum of understanding relating to a joint venture that would develop an undersea fiber optic telecommunications system. Three lawsuits arising out of this proposed transaction were brought in 2000, and were settled by a Settlement Agreement dated October 10, 2000. Two later lawsuits, the one we decided in 2009 and the one we decide today, arose out of the Settlement Agreement.

As we explained in our earlier opinion:

“The settlement agreement, among other things . . . called for Tyco to provide IDT with an ‘indefeasible right of use’ (IRU) of certain fiber optic capacity free of charge for a 15-year period. The capacity was to be on Tyco’s TyCom Global Network (TGN), a subsea cable system planned to connect North America, Asia and Europe. At the time of the settlement, the TGN was not yet constructed. The agreement states that ‘[t]he IRU shall be documented pursuant to definitive agreements to be mutually agreed upon and, in any event, containing terms and conditions consistent with those described herein.’ These further definitive agreements, and the IRU, were to be in writing and consistent with Tyco’s standard agreements with similarly situated customers. Tyco’s standard agreements were not in existence at the time the settlement was made” (*IDT Corp.*, 13 NY3d at 212 [footnote omitted]).

In a round of negotiations stretching from 2001 to 2004, the parties failed to reach the “definitive agreements” by which the IRU was to be “documented.” In the course of the negotiations, Tyco proposed terms that were, in IDT’s view, inconsistent with the terms of the Settlement Agreement. We said in our previous opinion, summarizing the record before us: “Negotiations continued to be active, but flagged after a sharp drop in the market greatly reduced the value of the capacity Tyco had agreed to supply. The negotiations finally came to an end in March 2004” (*id.*). IDT sued Tyco in May of that year.

We affirmed a grant of summary judgment dismissing IDT’s 2004 complaint. We agreed with IDT that the 2000 Settlement Agreement “was a fully enforceable contract” (*id.* at 213), but held that Tyco’s obligation under that contract to furnish IDT with capacity was subject to conditions—most important among them the negotiation and execution of the IRU—that were never met. We recognized the parties’ obligation “to negotiate the terms of the IRU and other agreements in good faith” (*id.* at 214), but held that Tyco had not breached its obligation merely by proposing (as distinct from insisting upon) terms allegedly inconsistent with the Settlement Agreement. We concluded that “the record does not support a finding that Tyco breached any of its obligations” (*id.* at 215).

Five weeks after our decision, counsel for IDT sent a letter to Tyco demanding that Tyco “immediately comply with [its] obligations” under the 2000 Settlement Agreement by providing fiber optic capacity to IDT. Tyco replied that it had no further obligations under the Settlement Agreement—a position that it reaffirmed several times in the following months—but nevertheless agreed to negotiate. This round of negotiations was no more successful than the previous one, and IDT brought the present case in November of 2010, asserting separate causes of action for breach of contract and for breach of Tyco’s duty to negotiate in good faith.

IDT’s new complaint recounts a series of written and oral communications between IDT and Tyco in 2009 and 2010. This narrative concludes with the allegation that in an October 13, 2010 telephone conversation:

“Tyco continued to insist on terms that conflicted with the Settlement Agreement and made a definite and final communication to IDT of Tyco’s intent to forgo its obligations under the Settlement Agreement, including its obligation to provide to IDT the

use of the Wavelengths described in the Settlement Agreement for fifteen years and in a manner fully consistent with that described in the Settlement Agreement.”

The complaint is not more specific about what Tyco representatives allegedly said on October 13. The only document in the record that purports to summarize the October 13 conversation is an email sent the following day by Tyco’s counsel. The email does not support the complaint’s description of the conversation; it neither makes any nonnegotiable demands nor suggests that Tyco is unwilling to continue negotiating.

On Tyco’s motion pursuant to CPLR 3211, Supreme Court, interpreting our previous decision to mean “that Tyco has no further obligations under the Settlement Agreement,” dismissed IDT’s 2010 complaint for failure to state a cause of action (2011 NY Slip Op 33843[U], *6 [2011]). The Appellate Division reversed, concluding that Tyco’s “obligations . . . did not have an expiration date” and that “the parties were obligated to continue to negotiate until either side insisted that the open terms be as set forth in [Tyco’s] standard agreements” (*IDT Corp. v Tyco Group, S.A.R.L.*, 104 AD3d 170, 176 [1st Dept 2012]). The Appellate Division also held that “the defendants’ statements that they had no further obligations to negotiate” were “an anticipatory breach of the contract” (*id.* at 176-177), and that the result of the previous action did not bar IDT’s present claims under the doctrine of res judicata or collateral estoppel (*id.* at 178). Two Justices concurred in the result, agreeing that our decision in the previous action did not bar the present one and finding IDT’s allegation, quoted above, that Tyco had insisted on terms in conflict with the Settlement Agreement to be sufficient “at this pre-discovery stage of the proceeding” to withstand a motion to dismiss (*id.* at 179 [Friedman, J., concurring]).

The Appellate Division granted Tyco leave to appeal, certifying to us the question of whether its order was properly made (2013 NY Slip Op 74325[U] [2013]). We answer in the negative, reverse and reinstate Supreme Court’s dismissal of the complaint.

II

As our 2009 decision makes clear, parties may enter into a binding contract under which the obligations of the parties are conditioned on the negotiation of future agreements. In such a

case, the parties are obliged to negotiate in good faith. But that obligation can come to an end without a breach by either party. There is such a thing as a good faith impasse; not every good faith negotiation bears fruit. As then-District Judge Leval explained in *Teachers Ins. & Annuity Assn. of Am. v Tribune Co.* (670 F Supp 491, 505 [SD NY 1987]):

“[I]f, through no fault on either party, no final contract were reached, either because the parties in good faith failed to agree on the open secondary terms, or because, as often happens in business, the parties simply lost interest in the transaction and by mutual tacit consent abandoned it without having reached final contract documents, no enforceable rights would survive based on the preliminary commitment.” (See also *Adjustrite Sys., Inc. v GAB Bus. Servs., Inc.*, 145 F3d 543, 548 [2d Cir 1998] [if the parties “fail to reach . . . a final agreement after making a good faith effort to do so, there is no further obligation”]; *Snakepit Auto., Inc. v Superformance Intl., LLC*, 19 Misc 3d 1114[A], 2008 NY Slip Op 50683[U], *5 [Sup Ct, Nassau County 2008] [finding that the parties “have negotiated in good faith” but “were unable to reach an agreement”].)

Tyco says that in this case its obligation to negotiate came to an end in 2004. It relies on our 2009 decision, and the facts underlying it, as establishing that the negotiations reached impasse, or were abandoned by both parties, in 2004, without bad faith on Tyco’s part at least.

[1] We did indeed hold in 2009 that IDT had failed to show bad faith by Tyco. We also said that, after adverse developments in the marketplace, negotiations “flagged” and “finally came to an end in March 2004” (13 NY3d at 212). IDT is technically correct that this last statement does not bind it as a matter of res judicata or collateral estoppel; whether the negotiations had “finally” ended in 2004 was not directly in issue in the earlier case. Our statement that they did end then, however, was supported by the record before us, and no fact alleged by IDT in the present case is inconsistent with it.

[2] But even on the assumption that Tyco’s obligation under the 2000 Settlement Agreement to negotiate additional agreements in good faith still existed in 2009-2010, IDT’s complaint does not sufficiently allege any breach of the obligation. It is true, as the concurring Justices in the Appellate Division

pointed out, that courts normally give a generous reading to pleadings that are attacked as insufficient on their face. But it is not too much to ask that a pleading filed after more than a decade of back and forth between the parties contain some specific facts supporting the claim of bad faith—not just the bald conclusions, contradicted by the only relevant document referred to, that Tyco insisted “on terms that conflicted with the Settlement Agreement” and “made a definite and final communication” of its intent to violate its obligations.

While some specific details of the 2009-2010 negotiations are contained in IDT’s 2010 complaint, none of them, in our view, support an inference that Tyco failed to negotiate in good faith. IDT seems to rely heavily on Tyco’s repeated insistence, while continuing to negotiate with IDT, that it was not bound by the 2000 Settlement Agreement to do so. But this mere statement of Tyco’s legal position—whether or not the position was meritorious—is not in itself a refusal to negotiate.

Accordingly, the order of the Appellate Division should be reversed, with costs, the order of Supreme Court reinstated, and the certified question answered in the negative.

PIGOTT, J. (dissenting). While I agree with the majority that parties may sometimes reach an “impasse” during contract negotiations (majority op at 500), neither party claims that is what happened here. Rather, IDT alleges that Tyco insisted that it had no obligation to negotiate and when Tyco did entertain negotiations, it did so in bad faith. Tyco admits that it took the position that it had no obligation to negotiate after this Court’s 2009 decision. Because Tyco had not been discharged of its obligations, either by this Court’s 2009 decision or by operation of law, I would affirm the order of the Appellate Division.

The obligation for Tyco to supply IDT with the wavelengths capacity arises out of the parties “valid settlement agreement” from 2001 (*IDT Corp. v Tyco Group, S.A.R.L.*, 13 NY3d 209, 214 [2009]). In 2009, this Court held that IDT could not be successful on a claim for an anticipatory breach of the agreement for Tyco’s failure to turn over the wavelengths because the terms of that turnover were not yet completed and, at that juncture, there was no record support for the claim that Tyco had acted in bad faith during the negotiations of the turnover (*id.* at 214-215). We did not say, contrary to Tyco’s interpretation of our decision, that the parties were no longer bound to negotiate the terms of the turnover contemplated by the agreement. Rather, we expressly recognized that additional good faith

negotiations were to proceed as required by the settlement agreement (*id.* at 214 [“under the settlement agreement, the parties were required to negotiate the terms of the IRU and other agreements in good faith”])).

The current lawsuit concerns Tyco’s actions, and inaction, after our 2009 decision. While the majority criticizes the lengthy history of the parties’ dispute and IDT’s failure to include more documentary support for its allegation (*see* majority op at 503-504), this is a pre-pleading CPLR 3211 motion to dismiss the complaint. IDT was simply required to state a valid cause of action and, in my view, it did.

Judges READ, RIVERA and ABDUS-SALAAM concur with Judge SMITH; Judge PIGOTT dissents in an opinion in which Judge GRAFFEO concurs; Chief Judge LIPPMAN taking no part.

Order reversed, with costs, order of Supreme Court, New York County, reinstated and certified question answered in the negative.

[15 NE3d 1178, 992 NYS2d 169]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v PATRICIA FRATANGELO, Appellant.

Argued May 6, 2014; decided June 5, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Seneca County Court (Dennis F. Bender, J.), entered February 25, 2013. The County Court affirmed a judgment of the Justice Court of the Town of Ovid, Seneca County (Louis Van Cleef, J.), which had convicted defendant, upon a jury verdict, of driving while intoxicated under Vehicle and Traffic Law § 1192 (3) and speeding.

HEADNOTES

Motor Vehicles — Operating Vehicle while Under Influence of Alcohol or Drugs — Blood Alcohol Content Evidence — Prima Facie Evidence Instruction

1. In the prosecution of defendant for driving while intoxicated under both the per se and common law theories (Vehicle and Traffic Law § 1192 [2], [3]) in which a breath test administered to defendant an hour and 20 minutes after she was stopped revealed that she had a blood alcohol content (BAC) of .09%, the testimony of an expert witness, who opined that defendant's BAC at the time she was stopped was between .03% and .04%, did not constitute prima facie evidence that defendant was not intoxicated, and thus, defendant was not entitled to the "prima facie evidence" jury instruction she sought. As indicated by Vehicle and Traffic Law § 1195 (2), evidence that a defendant's BAC was less than .08% constitutes prima facie evidence that defendant was not in an intoxicated condition. Section 1195 (2) is expressly limited to evidence of BAC "as determined by" tests administered pursuant to section 1194, which are chemical tests of "breath, blood, urine, or saliva" (§ 1194 [2] [a]). Since the evidence of defendant's BAC was not determined by a chemical test, but was contained in the opinion of a defense expert, that evidence did not have the prima facie effect specified by the statute.

Motor Vehicles — Operating Vehicle while Under Influence of Alcohol or Drugs — Blood Alcohol Content Evidence — Jury Instructions

2. In a prosecution involving either common law driving while intoxicated or driving while ability impaired, wherein a defendant presents expert testimony that his or her blood alcohol content (BAC) was below statutory thresholds at the time of the stop, the defendant is entitled, upon request, to an instruction that if the jury finds that the BAC was as the expert testified, it may find that the defendant was not intoxicated or impaired. In Vehicle and Traffic Law §§ 1192 (2) and 1195 (2), the legislature made judgments about the significance of certain statistical thresholds—i.e., that a BAC of .08% or more justifies an inference of intoxication; that a BAC below .08% justifies an inference of non-intoxication; that a BAC of .07% or more justifies an inference

of impairment; and that a BAC equal to or less than .05% justifies an inference that the driver was neither intoxicated nor impaired. There is no reason why juries should remain unaware of the legislative judgments, and the charge allows the jury to evaluate the evidence for itself, but instructs it as to the inferences it may draw after it has determined whether or not to believe the expert.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 970, 988, 989, 993; AM JUR 2d, Expert and Opinion Evidence § 192.
CARMODY-WAIT 2d, Charge and Instruction to Jury § 200:36.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 24.8, 24.10.
MCKINNEY'S, Vehicle and Traffic Law §§ 1192 (2), (3); 1194 (2) (a); 1195 (2).
NY JUR 2d, Automobiles and Other Vehicles §§ 896, 910–912, 922, 926; NY JUR 2d, Criminal Law: Procedure § 2757.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic; Blood Tests; Driving While Intoxicated; Experiments and Tests; Expert and Opinion Evidence; Instructions to Jury.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: blood-alcohol bac /p expert /s prima /2 facie

POINTS OF COUNSEL

James A. Baker, Ithaca, for appellant. The court erred by refusing to instruct the jury that evidence that the defendant's blood alcohol content was less than .08% was prima facie evidence that the defendant was not intoxicated. (*People v Watts*, 57 NY2d 299; *People v Zona*, 14 NY3d 488; *People v Mertz*, 68 NY2d 136; *People v Blair*, 98 NY2d 722.)

Barry L. Prosch, District Attorney, Waterloo, for respondent. The court's jury instruction on the common-law driving while intoxicated count was proper. (*Heard v Cuomo*, 80 NY2d 684; *People v Finnegan*, 85 NY2d 53; *People v Mertz*, 68 NY2d 136.)

OPINION OF THE COURT

SMITH, J.

We hold that, in a prosecution for drunken driving, the opinion of a defense expert that the defendant's blood alcohol content (BAC) was below the statutory threshold is not "prima facie evidence" that the defendant was not intoxicated. A defendant is nevertheless entitled, upon request, to an instruction that if the jury finds that the BAC was as the expert testified, it may find that the defendant was not intoxicated. Defendant here requested only the "prima facie evidence" instruction to which she was not entitled, and we therefore affirm her conviction.

I

Defendant was stopped for speeding. She was given a breath test approximately an hour and 20 minutes after she was stopped, and was found to have a BAC of .09%. She was prosecuted for driving while intoxicated (DWI) under two different theories—so-called "per se" and "common law" DWI. Both names can be confusing. The "per se" crime is defined by Vehicle and Traffic Law § 1192 (2) as driving while the driver "has .08 of one per centum or more by weight of alcohol in the person's blood as shown by chemical analysis." Despite the per se label, a valid blood test showing a result of .08% or more does not require conviction under this section; a defendant may try to show that her BAC was lower when she was driving than at the time she took the test (*People v Mertz*, 68 NY2d 136 [1986]).

The "common law" crime is actually statutory, as all crimes are today, but the statute creating it, Vehicle and Traffic Law § 1192 (3), says only that "[n]o person shall operate a motor vehicle while in an intoxicated condition," and case law has provided the definition of "intoxicated." A person is intoxicated within the meaning of section 1192 (3) when

"he is incapable of employing the physical and mental abilities which he is expected to possess in order to operate a vehicle as a reasonable and prudent driver" (*People v Cruz*, 48 NY2d 419, 428 [1979]).

At defendant's trial in Town Court, the People presented evidence of her breathalyzer test and also the testimony of the arresting officer that when she was stopped defendant smelled of alcohol, had glassy eyes, and failed four field sobriety tests (involving such things as standing on one leg and following a

moving object with one's eyes). Defendant called several witnesses, including herself and an expert pharmacologist. The expert testified that in his opinion, based on defendant's testimony as to when she last consumed alcohol and the rate at which alcohol is absorbed into the bloodstream, her BAC at the time she was stopped was between .03% and .04%.

Defendant asked the court to charge the jury in the following language, taken from the pattern jury instruction used in common law DWI cases:

“Under our law, evidence that there was less than .08 of one per centum by weight of alcohol in the defendant's blood is prima facie evidence that the defendant was not in an intoxicated condition” (*see* CJI2d[NY] Vehicle and Traffic Law § 1192 [3] [driving while intoxicated]).

The court refused to give the instruction.

The jury acquitted defendant of per se DWI, but convicted her of the common law crime. County Court affirmed, concluding that “any instructions regarding prima facie evidence that can be presented as a result of v & T Section 1195, must be based upon chemical analysis, and not the opinion testimony of a defense expert” (footnote omitted). A Judge of this Court granted leave to appeal (21 NY3d 1004 [2013]), and we now affirm.

II

The decisive issue in this case is whether the defense expert's testimony was “[e]vidence” entitled to the “[p]robative value” specified by Vehicle and Traffic Law § 1195 (2). This question can best be answered by reading the first two subdivisions of section 1195:

“1. Admissibility. Upon the trial of any action or proceeding arising out of actions alleged to have been committed by any person arrested for a violation of any subdivision of section eleven hundred ninety-two of this article, the court shall admit evidence of the amount of alcohol or drugs in the defendant's blood *as shown by a test administered pursuant to the provisions of section eleven hundred ninety-four of this article.*

“2. Probative value. The following effect shall be given to evidence of blood-alcohol content, *as determined by such tests*, of a person arrested for

violation of section eleven hundred ninety-two of this article:

“(a) Evidence that there was .05 of one per centum or less by weight of alcohol in such person’s blood shall be prima facie evidence that the ability of such person to operate a motor vehicle was not impaired by the consumption of alcohol, and that such person was not in an intoxicated condition;

“(b) Evidence that there was more than .05 of one per centum but less than .07 of one per centum by weight of alcohol in such person’s blood shall be prima facie evidence that such person was not in an intoxicated condition, but such evidence shall be relevant evidence, but shall not be given prima facie effect, in determining whether the ability of such person to operate a motor vehicle was impaired by the consumption of alcohol; and

“(c) Evidence that there was .07 of one per centum or more but less than .08 of one per centum by weight of alcohol in such person’s blood shall be prima facie evidence that such person was not in an intoxicated condition, but such evidence shall be given prima facie effect in determining whether the ability of such person to operate a motor vehicle was impaired by the consumption of alcohol” (emphasis added).

[1] A “test administered pursuant to” Vehicle and Traffic Law § 1194 is “a chemical test of . . . breath, blood, urine, or saliva” (Vehicle and Traffic Law § 1194 [2] [a]). Section 1195 (2) is expressly limited to evidence of BAC “as determined by such tests.” Since the evidence of her BAC that defendant presented here was not determined by a chemical test but was contained in the opinion of a defense expert, that evidence did not have the “prima facie” effect specified by the statute and defendant was not entitled to the charge she sought.

[2] What has been said is enough to dispose of the case. It should not be thought, however, that the BAC thresholds specified in Vehicle and Traffic Law § 1195 (2) must be entirely omitted from a jury charge in a common law DWI case or in a driving while ability impaired (DWAI) case brought under Vehicle and Traffic Law § 1192 (1) (“No person shall operate a motor vehicle while the person’s ability to operate such motor vehicle is impaired by the consumption of alcohol”). It is obvious from

Vehicle and Traffic Law §§ 1192 (2) and 1195 (2) that the legislature has made judgments about the significance of certain statistical thresholds—i.e., that a BAC of .08% or more justifies an inference of intoxication; that a BAC below .08% justifies an inference of non-intoxication; that a BAC of .07% or more justifies an inference of impairment; and that a BAC equal to or less than .05% justifies an inference that the driver was neither intoxicated nor impaired in her ability to drive. There is no reason why juries should remain unaware of these legislative judgments.

Thus, in this case Town Court should, if it had been requested to do so, have charged the jury in words or substance: If you find that there was less than .08 of one percent by weight of alcohol in defendant's blood while she was operating the motor vehicle, you may, but are not required to, find that she was not in an intoxicated condition. Similarly, in a DWAI case where the defendant proffers evidence other than chemical tests of a BAC at or below .05%, it would be proper to charge: If you find that there was .05 of one percent or less by weight of alcohol in the defendant's blood while she was operating a motor vehicle, you may, but are not required to, find that her ability to operate the motor vehicle was not impaired by the consumption of alcohol. And the People are entitled to a corresponding charge when they rely on evidence other than chemical tests to show that a defendant's BAC was at or above .08% in a DWI case, or .07% in a DWAI case.

The difference between our “if you find” formulation and the “prima facie evidence” charge that defendant here requested is substantive, not just verbal. The “prima facie” charge instructs the jury on the weight to be given certain evidence—an instruction that is appropriate only when the evidence consists of chemical tests. The “if you find” charge allows the jury to evaluate the evidence for itself—i.e., lets it choose to believe the expert or not—but instructs it as to the inferences it may draw after it has made that evaluation.

Accordingly, the order of County Court should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed.

[15 NE3d 1175, 992 NYS2d 166]

In the Matter of ANTWAINE T., a Person Alleged to be a Juvenile
Delinquent, Respondent. PRESENTMENT AGENCY, Appellant.

Argued May 8, 2014; decided June 5, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 10, 2013. The Appellate Division (1) reversed, on the law, so much of an order of disposition of the Family Court, Kings County (Wavny Toussaint, J.), dated April 17, 2012, as had adjudicated respondent a juvenile delinquent upon his admission that he committed an act which constituted the crime of possession of weapons by persons under sixteen, upon a prior order of disposition of the same court, dated October 28, 2011, adjudging him to be a juvenile delinquent, and upon a finding that he violated the terms and conditions of the order of disposition dated October 28, 2011, (2) dismissed the appeal from so much of the order of disposition dated April 17, 2012 as placed the appellant on probation for a period of six months, as that period had expired, (3) on the Court's own motion, deemed the notice of appeal from the order of disposition dated October 28, 2011 to be a premature notice of appeal from the order of disposition dated April 17, 2012, (4) dismissed the juvenile delinquency petition, and (5) remitted the matter to Family Court for further proceedings pursuant to Family Court Act § 375.1.

Matter of Antwaine T., 105 AD3d 859, reversed.

HEADNOTE

**Infants — Juvenile Delinquents — Sufficiency of Petition —
Unlawful Possession of Weapons by Persons under 16 — Machete
as Dangerous Knife**

A juvenile delinquency petition charging the 15-year-old respondent with unlawful possession of weapons by persons under sixteen (Penal Law § 265.05) based on allegations in the arresting officer's sworn statement that he recovered from respondent at 11:23 p.m. in Brooklyn "a dangerous instrument or deadly . . . weapon," i.e., a machete with a blade approximately 14 inches long, which respondent possessed "with the intent to use . . . unlawfully against another," was facially sufficient. Penal Law § 265.05 makes it unlawful for any person under the age of sixteen to possess "any dangerous knife." While the statute does not define "dangerous knife," the term has been held to connote a knife which may be characterized as a weapon. A knife designed and primarily intended for use as a utilitarian utensil can fall within the definition of a "dangerous knife" if it is converted into a weapon or if the

circumstances of its possession permit a finding that on the occasion of its possession it was essentially a weapon rather than a utensil. A machete is generally defined as a large, heavy knife used for cutting plants and as a weapon. While a machete has utilitarian purposes, the officer's statement that the machete was being carried by respondent late at night on a street in Brooklyn adequately stated the circumstances of possession to support the charge that respondent was carrying a weapon. It would be unreasonable to infer from the officer's statement that the machete was being used for cutting plants.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Juvenile Courts and Delinquent and Dependent Children §§ 56, 57; AM JUR 2d, Weapons and Firearms §§ 10, 26.

NEW YORK FAMILY COURT PRACTICE 2d, §§ 10:15, 10:30.

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1853, 1884; NY JUR 2d, Domestic Relations § 1407.

ANNOTATION REFERENCE

See ALR Index under Juvenile Courts and Delinquent Children; Knives and Knifings.

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Database: NY-ORCS

Query: juvenile /2 delinq! & possess! /3 weapon & machete

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Dona B. Morris, Pamela Seider Dolgow* and *Jeffrey D. Friedlander* of counsel), for appellant. The petition was sufficient to establish the elements of unlawful possession of a dangerous weapon by persons under sixteen (Penal Law § 265.05) because a machete with a 14-inch blade is inherently a dangerous knife. (*Matter of Jahron S.*, 79 NY2d 632; *Matter of Jamie D.*, 59 NY2d 589; *People v Campos*, 93 AD3d 581; *Ash v Reilly*, 433 F Supp 2d 37; *United States v Massey*, 461 F3d 177; *United States v Introcaso*, 506 F3d 260; *United States v Masciandaro*, 638 F3d 458; *United States v Burling*, 420 F3d 745; *Matter of Ricci S.*, 34 NY2d 775; *Matter of Edwin O.*, 91 AD3d 654.)

Steven Banks, The Legal Aid Society, New York City (*John A. Newbery, Tamara Steckler* and *Briana Fedele* of counsel), for respondent. Where this Court in *Matter of Jamie D.* (59 NY2d 589 [1983]), required the prosecution, in order to make out a charge

brought under Penal Law § 265.05 for possession of a “dangerous knife,” to show that a utilitarian knife either had been modified so as to convert it into a weapon or that the circumstances of its possession were such as to indicate that it was possessed as a weapon, the Appellate Division correctly held that an allegation that respondent simply possessed an unmodified knife with a 14-inch blade, summarily described as a “machete,” was, without more, facially insufficient to show that the knife was a “dangerous knife” within the meaning of the statute. (*Matter of Jahron S.*, 79 NY2d 632; *Matter of Michael M.*, 3 NY3d 441; *Matter of Neftali D.*, 85 NY2d 631; *Matter of Rodney J.*, 83 NY2d 503; *Matter of Detrece H.*, 78 NY2d 107; *Matter of David T.*, 75 NY2d 927; *People v Thomas*, 4 NY3d 143; *People v Casey*, 95 NY2d 354; *People v Alejandro*, 70 NY2d 133; *People v Almodovar*, 62 NY2d 126.)

OPINION OF THE COURT

PIGOTT, J.

The issue in this juvenile delinquency proceeding is whether the petition was facially sufficient to charge respondent Antwaine T. with a violation of Penal Law § 265.05, which proscribes a juvenile’s possession of “any dangerous knife.” We conclude that the petition was facially sufficient.

On November 23, 2010, a petition was filed in Family Court against respondent, then 15 years old, charging him with criminal possession of a weapon in the fourth degree (Penal Law § 265.01 [2]) and unlawful possession of weapons by persons under sixteen (Penal Law § 265.05). The two counts of the petition were supported by a sworn statement of the arresting officer. In the statement, the officer recounted that at approximately 11:23 p.m. in Brooklyn, respondent,

“a person under the age of [16], possessed a dangerous instrument or deadly . . . weapon, to wit: a machete, with the intent to use the same unlawfully against another; in that:

“At the above date, time and location, I was working in my official capacity as a police officer, when I recovered a machete from [respondent]. The blade of the machete was approximately 14 inches in length. I then vouchered the machete using New York Property Clerk Invoice Number R648888.

“Later, [respondent’s] mother informed me that [he] was born on January 30, 1995 and that he is 15

years old. The . . . mother also provided me with a photocopy of [respondent's] birth certificate, which confirmed this information."

Respondent initially entered a denial of the petition, but later withdrew that denial and made an admission to the count of unlawful possession of weapons by persons under sixteen. Specifically, he admitted that at the pertinent time and place, he was 15 years old and he "[was] in possession of a dangerous knife, and more specifically a machete that had a blade of approximately [14] inches." Family Court granted respondent an adjournment in contemplation of dismissal (ACD).

On June 3, 2011, the case was restored to the Family Court's calendar because respondent had not complied with the terms of his ACD. Family Court placed him under enhanced probation supervision for a period of nine months. Later, upon finding that respondent had violated the conditions of his probation, the court revoked the earlier order of disposition, adjudicated respondent a juvenile delinquent, and placed him on probation for six months.

On appeal, the Appellate Division found the petition facially insufficient "because it did not contain allegations which, if true, would have established that the knife he possessed was a 'dangerous knife' " pursuant to section 265.05 (105 AD3d 859, 860 [2d Dept 2013], citing *Matter of Neftali D.*, 85 NY2d 631, 635 [1995]). Rather, the arresting officer's account "merely described the unmodified, utilitarian knife which [respondent] possessed, and contained no allegations as to the 'circumstances of its possession' " (105 AD3d at 860, quoting *Matter of Jamie D.*, 59 NY2d 589, 593 [1983]). Thus, it held, there were insufficient allegations to permit a finding that, when respondent was arrested, the knife served as "a weapon rather than a utensil" (*id.*).

This Court granted the presentment agency leave to appeal and we now reverse.

A petition commencing a juvenile delinquency proceeding must contain "a plain and concise factual statement in each count which . . . asserts facts supporting every element of the crime charged and the respondent's commission thereof with sufficient precision to clearly apprise the respondent of the conduct which is the subject of the accusation" (Family Ct Act § 311.1 [3] [h]). The petition is sufficient on its face when

“nonhearsay allegations of the factual part of the petition or of any supporting depositions establish, if true, every element of each crime charged and the respondent’s commission thereof” (*id.* § 311.2 [3]). The absence of factual allegations supporting each element of the crimes alleged constitutes a nonwaivable jurisdictional defect (*Matter of David T.*, 75 NY2d 927 [1990]).

Penal Law § 265.05 provides, in relevant part:

“It shall be unlawful for any person under the age of sixteen to possess any air-gun, spring-gun or other instrument or weapon in which the propelling force is a spring or air, or any gun or any instrument or weapon in or upon which any loaded or blank cartridges may be used, or any loaded or blank cartridges or ammunition therefor, *or any dangerous knife*; provided that the possession of rifle or shotgun or ammunition therefor by the holder of a hunting license or permit issued pursuant to article eleven of the environmental conservation law and used in accordance with said law shall not be governed by this section” (emphasis added).

The statute does not define the term “dangerous knife.” In *Matter of Jamie D.* (59 NY2d 589 [1983]), however, this Court held that the term, as used in the statute, “connotes a knife which may be characterized as a weapon” (*id.* at 592). We explained that certain knives may fall within the scope of the statute based solely on the knife’s particular characteristics. For instance, “a bayonet, a stiletto, or a dagger” would come within the meaning of “dangerous knife” because those instruments are “primarily intended for use as a weapon” (*id.* at 592-593).

We also explained that other knives, which are designed and primarily intended for use as “utilitarian utensils,” may also come within the statutory language in at least two ways (*id.* at 593). First, a knife may be converted into a weapon, and second, “the circumstances of its possession, although there has been no modification of the implement, may permit a finding that on the occasion of its possession it was essentially a weapon rather than a utensil” (*id.* at 593).

A “machete” is generally defined as “a large, heavy knife that is used for cutting plants and as a weapon” (Merriam-Webster Online Dictionary, <http://www.merriam-webster.com/dictionary/machete>). While a machete has utilitarian purposes, under the circumstances of this case, it would be unreasonable

to infer from the statement supporting the petition that respondent was using the machete for cutting plants. Rather, the arresting officer's description of the "machete," with its 14-inch blade, being carried by respondent late at night on a street in Brooklyn, adequately states "circumstances of . . . possession" (*Jamie D.* at 593) that support the charge that defendant was carrying a weapon.

Accordingly, the order of the Appellate Division should be reversed, without costs, and the order of Family Court reinstated.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, RIVERA and ABDUS-SALAAM concur.

Order reversed, without costs, and order of Family Court, Kings County, reinstated.

[16 NE3d 1150, 992 NYS2d 672]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSEPH
DUMAY, Appellant.

Argued May 1, 2014; decided June 5, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Second, Eleventh and Thirteenth Judicial Districts, entered September 13, 2012. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, Kings County (Shari Ruth Michels, J.), which had convicted defendant, upon his plea of guilty, of obstructing governmental administration in the second degree.

People v Dumay, 36 Misc 3d 159(A), 2012 NY Slip Op 51809(U), affirmed.

HEADNOTES

Crimes — Accusatory Instrument — Waiver of Right to Prosecution by Misdemeanor Information

1. Defendant waived his right to prosecution by information when, in response to the court's question of whether defendant waived prosecution by information during his plea allocation for the crime of obstructing governmental administration, his counsel replied, "So waive." A defendant may knowingly and intelligently waive prosecution by misdemeanor information, as demonstrated by an affirmative act. Defense counsel's statement communicated, in no uncertain terms, defendant's choice to waive his right. Although the People charged and arraigned defendant by information, a defendant's knowing and voluntary waiver is valid regardless of whether the criminal action commences by information or complaint. CPL 170.65 specifically allows a defendant to waive prosecution by information, which necessarily entails forgoing the statutory protections required of an information and submitting to prosecution by complaint. Accordingly, the accusatory instrument was subject to the legal standards applicable to a misdemeanor complaint, rather than a misdemeanor information.

Crimes — Obstructing Governmental Administration — Sufficiency of Accusatory Instrument — Intent

2. The accusatory instrument charging defendant with obstructing governmental administration in the second degree (Penal Law § 195.05), which stated that defendant committed the crime when he slammed the trunk of a police officer's patrol vehicle with his open hand and prevented the officer from patrolling the neighborhood by standing behind the police car, provided enough facts to support the intent element of the crime under the applicable standard required of misdemeanor complaints. A misdemeanor complaint's factual allegations must establish reasonable cause to believe that the defendant committed the charged offense. While a bare assertion that defendant was merely standing behind the police vehicle would be insufficient to establish

reasonable cause to believe he was intending to prevent the officer from patrolling the neighborhood, the accusatory instrument asserted more. The fact that defendant struck a “radio mounted patrol vehicle”—i.e., a marked police car—showed his awareness that the vehicle was used for official governmental business. He intentionally struck the vehicle with that awareness. Further, the allegation that defendant was “standing behind” the police vehicle indicated that defendant intentionally stood stationary behind the car and did not merely walk past it or innocently cross between it and other parked cars. The accusatory instrument did not need to specifically state that defendant knew the officer was trying to patrol the neighborhood. Intent may be inferred from the act itself, and a reasonable person could infer from the facts alleged that defendant struck the vehicle’s trunk and blocked its backward movements in order to stop the officer from backing up.

Crimes — Obstructing Governmental Administration — Sufficiency of Accusatory Instrument — Obstruction Element

3. The accusatory instrument charging defendant with obstructing governmental administration in the second degree (Penal Law § 195.05), which stated that defendant committed the crime when he slammed the trunk of a police officer’s patrol vehicle with his open hand and prevented the officer from patrolling the neighborhood by standing behind the police car, provided enough facts to support the obstruction element of the crime under the applicable standard required of misdemeanor complaints. A misdemeanor complaint’s factual allegations must establish reasonable cause to believe that the defendant committed the charged offense. It was not necessary for the accusatory instrument to make clear that the vehicle’s only possible egress was to back up. Such a requirement would necessitate that the accusatory instrument negate every possible way by which the police officer could have moved the vehicle in order to patrol. The CPL only requires the People to show reasonable cause to believe that the defendant committed the crime charged, not allege facts sufficient for conviction after trial.

Crimes — Obstructing Governmental Administration — Sufficiency of Complaint

4. The accusatory instrument charging defendant with obstructing governmental administration in the second degree (Penal Law § 195.05), which provided the date, time, and location of the offense, and stated that defendant committed the crime when he slammed the trunk of a police officer’s patrol vehicle with his open hand and prevented the officer from patrolling the neighborhood by standing behind the police car, provided enough information to put defendant on notice of the crime charged. The obvious implication of the factual recitation was that when defendant stood behind the police vehicle, he blocked the police from moving it, and, thus, he prevented the police officer from patrolling. The accusatory instrument stated the time, date, and location of those events, and that information was sufficient to prevent defendant from facing double jeopardy on the same charges.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Indictments and Informations §§ 13–16, 292, 293; AM JUR 2d, Obstructing Justice §§ 74, 79, 81.

CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:70, 178:71.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.2, 21.6.

NY JUR 2d, Criminal Law: Procedure §§ 952, 985; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1330–1332, 1334, 1335.

ANNOTATION REFERENCE

See ALR Index under Guilty Pleas; Indictments and Informations; Obstructing Justice.

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Database: NY-ORCS

Query: waive* /2 prosecut! /2 information /p guilty /3 plea!

POINTS OF COUNSEL

Steven Banks, The Legal Aid Society, New York City (*Amy Donner* of counsel), for appellant. The accusatory instrument charging appellant with second-degree obstructing governmental administration was jurisdictionally defective because it failed to allege evidentiary facts to support its conclusory allegation that appellant intentionally physically interfered with the police officers' attempt to patrol. (*People v Dreyden*, 15 NY3d 100; *People v Alejandro*, 70 NY2d 133; *People v Jackson*, 18 NY3d 738; *People v Casey*, 95 NY2d 354; *People v Dumas*, 68 NY2d 729; *People v Kalin*, 12 NY3d 225; *People v Case*, 42 NY2d 98; *Matter of Davan L.*, 91 NY2d 88; *People v Roman*, 23 Misc 3d 56; *People v Rodriquez*, 19 Misc 3d 302.)

Charles J. Hynes, District Attorney, Brooklyn (*Adam M. Koelsch* and *Leonard Joblove* of counsel), for respondent. The count of obstructing governmental administration in the second degree was facially sufficient. (*People v Maldonado*, 86 NY2d 631; *People v Mercado*, 68 NY2d 874; *People v McRay*, 51 NY2d 594; *People v Suber*, 19 NY3d 247; *People v Alejandro*, 70 NY2d 133; *People v Keizer*, 100 NY2d 114; *People v Weinberg*, 34 NY2d 429; *People v Fernandez*, 20 NY3d 44; *People v Herbert*, 31 Misc 3d 131[A], 2011 NY Slip Op 50588[U]; *People v Wilson*, 30 Misc 3d 138[A], 2011 NY Slip Op 50221[U].)

OPINION OF THE COURT

RIVERA, J.

On appeal, defendant Joseph Dumay challenges the facial sufficiency of the People's accusatory instrument, which charged him with, inter alia, obstructing governmental administration

in the second degree by preventing a police officer from patrolling the neighborhood. We hold that defendant waived prosecution by information, and the accusatory instrument met the factual sufficiency requirements of a misdemeanor complaint.

Defendant was arrested on a public street in Brooklyn, New York, for obstructing a police officer's exercise of his official duties. According to the accusatory instrument, defendant "slammed the trunk of [the police officer's] radio mounted patrol vehicle with an open hand and prevented said vehicle from moving by standing behind it and preventing [the police officer] from patrolling the neighborhood."

Defendant agreed to plead guilty to obstructing governmental administration in exchange for a 15 day sentence.* The court asked defense counsel if defendant waived prosecution by information, and defense counsel replied, "So waive." During the subsequent plea allocution, defendant admitted the facts as alleged in the accusatory instrument, and the court sentenced defendant to 15 days in accordance with the plea agreement.

Thereafter, defendant unsuccessfully appealed his conviction to the Appellate Term. Defendant maintained that, notwithstanding his counsel's statement, he did not waive prosecution by information, and as a consequence the accusatory instrument was subject to the legal standards applicable to a misdemeanor information, rather than a complaint. Under those standards, defendant maintained that the accusatory instrument was jurisdictionally defective because the charge of obstructing governmental administration was only supported by conclusory statements.

The Appellate Term affirmed defendant's conviction. Initially, the Court found that defendant's challenge was jurisdictional and therefore did not require preservation. On the merits, the Court found that defendant expressly waived his right to prosecution by information, requiring the instrument to be evaluated as a misdemeanor complaint. Under that standard, the Court concluded, the allegations were sufficient to support a charge of obstructing governmental administration (*People v Dumay*, 36 Misc 3d 159[A], 2012 NY Slip Op 51809[U] [App Term, 2d Dept, 2d, 11th & 13th Jud Dists 2012]). A Judge of this Court granted leave to appeal (21 NY3d 1004 [2013]) and we now affirm.

* At defendant's arraignment, defense counsel orally challenged the facial sufficiency of the accusatory instrument, but failed to put the motion in writing, as directed by the court. Instead, at the following court date, defendant pleaded guilty.

“A valid and sufficient accusatory instrument is a nonwaivable jurisdictional prerequisite to a criminal prosecution” (*People v Dreyden*, 15 NY3d 100, 103 [2010], citing *People v Case*, 42 NY2d 98, 99 [1977], and *People v Hansen*, 95 NY2d 227, 230 [2000]). Under the CPL, a court must use one of two instruments to take jurisdiction over a defendant accused of a misdemeanor: a misdemeanor complaint or a misdemeanor information. A misdemeanor complaint authorizes jurisdiction over an accused, and can commence a criminal action and allow the state to jail the defendant for up to five days, but it cannot serve as a basis for prosecution, unless the defendant waives prosecution by information (see CPL 100.10 [4]; 120.20 [1] [a]; 170.65 [1], [3]; 170.70; *People v Kalin*, 12 NY3d 225, 228 [2009]). Concomitantly, unless waived, a valid information is a jurisdictional requirement for a misdemeanor prosecution (see CPL 100.10 [4]; *Kalin*, 12 NY3d at 228).

A misdemeanor information must set forth “nonhearsay allegations which, if true, establish every element of the offense charged and the defendant’s commission thereof” (*Kalin*, 12 NY3d at 228-229, citing *People v Henderson*, 92 NY2d 677, 679 [1999], and CPL 100.40 [1] [c]). We have called this “the prima facie case requirement” (*Kalin*, 12 NY3d at 229 [internal quotation marks omitted]). An information serves the same role in a misdemeanor prosecution as a grand jury indictment does in a felony case: it ensures that a legally sufficient case can be made against the defendant (see *People v Alejandro*, 70 NY2d 133, 138-139 [1987]). A misdemeanor complaint, in comparison, need only set forth facts that establish reasonable cause to believe that the defendant committed the charged offense (see *Kalin*, 12 NY3d at 228).

A defendant may knowingly and intelligently waive prosecution by misdemeanor information, as demonstrated by an affirmative act (see *People v Casey*, 95 NY2d 354, 359 [2000]; *People v Weinberg*, 34 NY2d 429, 431 [1974]). When the defendant waives prosecution by information, he or she declines the protection of the statute, and the accusatory instrument must only satisfy the reasonable cause requirement (see CPL 170.65 [1], [3]; *Kalin*, 12 NY3d at 228).

[1] Here, defendant argues that he never effectuated a lawful waiver of his right to prosecution by information, and, therefore, the accusatory instrument is an information that is subject to the prima facie case requirement. This argument is completely without factual record support. Defense counsel replied “So

waive” in open court, in defendant’s presence, and in response to Criminal Court’s direct inquiry as to whether defendant waived prosecution by information. This statement communicated, in no uncertain terms, defendant’s choice to waive his right.

To avoid the obvious consequences of the facts as found in the record, defendant argues that his waiver was a legal nullity because the People charged and arraigned him by information. This argument is based on the flawed premise that a defendant cannot waive prosecution by information when the People have initiated the case by information, rather than by complaint. Nothing in the CPL or our case law supports this idea. Indeed, CPL 170.65 specifically allows a defendant to waive prosecution by information, which necessarily entails forgoing the statutory protections required of an information and submitting to prosecution by complaint. A defendant’s knowing and voluntary waiver is valid regardless of whether the criminal action commences by information or complaint.

Defendant seeks to draw support for his argument from our opinion in *People v Fernandez* (20 NY3d 44 [2012]). In that case, the defendant was charged with aggravated unlicensed operation of a motor vehicle by an accusatory instrument titled “complaint/information” (*id.* at 47). The defendant argued that the instrument was a facially insufficient misdemeanor complaint (*id.* at 48). We held that an accusatory instrument should be evaluated based on its substance and not its label, and concluded that the accusatory instrument was sufficient to serve as a simplified traffic information because it was substantially in the form prescribed by the Commissioner of Motor Vehicles, thus meeting all applicable legal requirements (*id.* at 51-53).

Defendant’s reliance on *Fernandez* is misplaced. Here, we are not asked to give the proper name to an ambiguously titled accusatory instrument. Instead, we must decide which legal standard to use for evaluating the instrument’s sufficiency. Despite defendant’s assertions to the contrary, the record leads to the inevitable conclusion that he validly waived his right to prosecution by information. Thus, the proper legal standard is that required of a complaint. Absent any claim or proof that the defendant’s waiver was not intelligent, knowing, and voluntary, he cannot now seek the statutory protections that he waived.

Moreover, adopting defendant’s interpretation of the statute would allow defendants to manipulate the plea bargaining

system. By pleading guilty and waiving prosecution by information, a defendant signals an end to any challenge to an information's factual sufficiency. If a defendant can later appeal a knowing and voluntary plea by resuming the same sufficiency argument the defendant had forsaken in the trial court, it would undermine the finality of the conviction. The unintended result could be prosecutors who are no longer willing to broker plea bargains in misdemeanor cases for fear of endless litigation over the accusatory instrument.

Having rejected defendant's waiver argument we must measure the facial sufficiency of the accusatory instrument by the standard required of misdemeanor complaints. A misdemeanor complaint is adequate if it provides the defendant "with sufficient notice of the charged crime to satisfy the demands of due process and double jeopardy" (*Dreyden*, 15 NY3d at 103, citing *Kalin*, 12 NY3d at 231-232, and *Casey*, 95 NY2d at 366). As we have said, the instrument's factual allegations must establish " 'reasonable cause' to believe that the defendant committed the charged offense" (*Kalin*, 12 NY3d at 228).

Defendant challenges the sufficiency of the instrument in two respects. First, he argues that the instrument fails to support the intent element of the crime. Second, he argues that the instrument does not allege sufficient facts to show that he actually interfered with the officer's patrol.

A person is guilty of obstructing governmental administration when that person "intentionally obstructs, impairs or perverts the administration of law or other governmental function or prevents or attempts to prevent a public servant from performing an official function, by means of intimidation, physical force or interference" (Penal Law § 195.05). The interference must be "in part at least, physical in nature" (*People v Case*, 42 NY2d 98, 102 [1977]), but "criminal responsibility should attach to minimal interference set in motion to frustrate police activity" (*Matter of Davan L.*, 91 NY2d 88, 91 [1997]).

Here, the factual part of the instrument consists of averments by the arresting officer setting forth the elements of obstructing governmental administration in the second degree. It provides the date, time, and location of this offense. It states that defendant committed the crime when he slammed the trunk of the officer's patrol vehicle with his open hand and prevented the officer from patrolling the neighborhood by standing behind the police car. Thus, the accusatory instrument

supplies enough evidentiary facts to provide reasonable cause to believe that defendant obstructed a police officer from performing an official function.

[2] Defendant asserts that the instrument lacks sufficient facts to establish his intent. While a bare assertion that defendant was merely standing behind the police vehicle would be insufficient to establish reasonable cause to believe he was intending to prevent the officer from patrolling the neighborhood, the instrument asserts more. The fact that defendant struck a “radio mounted patrol vehicle”—i.e., a marked police car—shows his awareness that the vehicle was used for official governmental business. He intentionally struck the vehicle with that awareness. Further, the allegation that defendant was “standing behind” the police vehicle indicates that defendant intentionally stood stationary behind the car and did not merely walk past it or innocently cross between it and other parked cars. A reasonable person can conclude that standing still behind a police car will impede its movements.

Nevertheless, defendant argues that the instrument does not provide enough facts to support the intent element of the crime because it does not specifically state that defendant knew the officer was trying to patrol the neighborhood. However, intent may be inferred “from the act itself” (*People v Bracey*, 41 NY2d 296, 301 [1977]). A reasonable person could infer from the facts alleged that defendant struck the vehicle’s trunk and blocked its backward movements in order to stop the officer from backing up.

[3] Defendant also argues that the instrument does not allege enough facts to support the obstruction element of the charged crime. According to defendant, the instrument does not show that he actually obstructed the police vehicle because it does not make clear that the vehicle’s only possible egress was to back up. Defendant’s argument would require the accusatory instrument to negate every possible way by which the police officer could have moved the vehicle in order to patrol. Defendant would also require the complaint to allege facts sufficient for a conviction after trial, but the CPL only requires the People to show reasonable cause to believe that the defendant committed the crime charged (see e.g. *Kalin*, 12 NY3d at 228-229; *People v Dumas*, 68 NY2d 729, 731 [1986]).

[4] Finally, defendant argues that the instrument does not provide enough information to put him on notice of the crime.

However, the obvious implication of the factual recitation is that when defendant stood behind the police vehicle, he blocked the police from moving it, and, thus, he prevented the police officer from patrolling. The instrument states the time, date, and location of these events, and this information is sufficient to prevent defendant from facing double jeopardy on the same charges.

The order of the Appellate Term should be affirmed.

PIGOTT, J. (dissenting). The majority states the correct standard for whether a misdemeanor complaint is jurisdictionally defective, but then misapplies the rule in this case. Therefore, I dissent.

Under the Criminal Procedure Law, “[t]he factual part of a misdemeanor complaint must allege ‘facts of an evidentiary character’ (CPL 100.15 [3]) demonstrating ‘reasonable cause’ to believe the defendant committed the crime charged (CPL 100.40 [4] [b])” (*People v Dreyden*, 15 NY3d 100, 102-103 [2010], quoting *People v Dumas*, 68 NY2d 729, 731 [1986]). “[T]he charge must be supported by evidentiary facts showing the basis for the conclusion” that a crime was committed (*Dreyden*, 15 NY3d at 103 [internal quotation marks omitted], quoting *Dumas*, 68 NY2d at 731), rather than merely accompanied by a “conclusory statement” (*Dreyden*, 15 NY3d at 103, quoting *People v Kalin*, 12 NY3d 225, 229 [2009]) alleging the crime.

The mens rea of the crime of second-degree obstructing governmental administration (Penal Law § 195.05) is the *intent* to obstruct governmental function, here the intent to prevent a police officer from performing his patrol duties (*see generally People v Case*, 42 NY2d 98, 102 [1977]). The only pertinent actions by defendant alleged in the accusatory instrument are slamming the trunk of the patrol vehicle while standing behind it. Such behavior is consistent with the actions of a confused, disturbed individual who displays short-lived anger towards a police officer, but fails to imply that the defendant possessed the requisite intent to prevent the officer “from patrolling the neighborhood.”

Had the accusatory instrument stated that a police officer directed defendant to move, or that the police told defendant that he should not remain standing behind the patrol car, or that the officer was actually attempting to drive the vehicle at the time defendant was standing behind it, one might infer that defendant intended to impede the officer. But no such

evidentiary facts are present in this accusatory instrument. Indeed the instrument does not assert that the police officer spoke to defendant at all or was attempting to drive the patrol car. While it may be assumed that defendant was aware that the vehicle in question was a patrol car, used by a police officer, this awareness “cannot be equated with [understanding] a direct order of an officer to a defendant to do or not do something” (*People v Berdini*, 18 Misc 3d 221, 224 [Crim Ct, NY County 2007]).

The test of whether a flaw in an accusatory instrument is a jurisdictional defect “is, simply, whether the accusatory instrument failed to supply defendant with sufficient notice of the charged crime to satisfy the demands of due process and double jeopardy” (*Dreyden*, 15 NY3d at 103, citing *Kalin*, 12 NY3d at 231-232, and *People v Casey*, 95 NY2d 354, 366 [2000]). Here, the factual allegations in the accusatory instrument failed to give defendant notice sufficient to enable preparation of a defense. A reasonable person would not readily infer from the accusatory instrument that he stood accused of a crime involving the intent to prevent a police officer from carrying out his official duties.

Therefore, I would reverse the Appellate Term’s order and, since defendant has already served his sentence for this relatively minor crime (*People v Allen*, 39 NY2d 916, 917-918 [1976]; see *Dreyden*, 15 NY3d at 104; see also e.g. *People v Hightower*, 18 NY3d 249, 253 [2011]; *People v Simmons*, 32 NY2d 250, 253 [1973]; *People v Scala*, 26 NY2d 753, 754 [1970]), I would dismiss the accusatory instrument.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and SMITH concur with Judge RIVERA; Judge PIGOTT dissents in an opinion in which Judge ABDUS-SALAAM concurs.

Order affirmed.

[15 NE3d 1187, 992 NYS2d 178]

MORPHEUS CAPITAL ADVISORS LLC, Respondent, v UBS AG, Defendant, and UBS REAL ESTATE SECURITIES, INC., Appellant.

Argued May 6, 2014; decided June 10, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 12, 2013. The Appellate Division modified, on the law, a judgment of the Supreme Court, New York County (Barbara R. Kapnick, J.; op 2011 NY Slip Op 34096[U] [2011]), which had dismissed the complaint with prejudice. The modification consisted of vacating that part of the judgment dismissing the complaint as against defendant UBS Real Estate Securities, Inc., and directing that dismissal of the complaint as against defendant UBS AG be without prejudice. The Appellate Division affirmed the judgment as modified. The following question was certified by the Appellate Division: “Was the order of this Court, which modified the order of the Supreme Court, properly made?”

Morpheus Capital Advisors LLC v UBS AG, 105 AD3d 145, reversed.

HEADNOTES

Brokers — Securities Brokers — Commission — Distinction between Exclusive Agency and Exclusive Right to Sell

1. The financial brokerage agreement between plaintiff broker and defendant owner, which provided that plaintiff would serve as a financial advisor and investment banker in the proposed sale of certain student loan assets owned by defendant but did not contain a provision expressly conferring an exclusive right of sale, gave plaintiff a standard exclusive agency, not an exclusive right to sell the assets. A contract giving rise to an exclusive right of sale must clearly and expressly provide that a commission is due upon sale by the owner or exclude the owner from independently negotiating a sale. Requiring an affirmative and unequivocal statement to establish a broker’s exclusive right to sell is consistent with the general principle that an owner’s freedom to dispose of his or her own property should not be infringed upon by mere implication. Such a rule applies to real estate brokerage agreements, and there is no reason to apply a different rule to brokerage contracts concerning the sale of financial instruments in the investment banking context. In both cases, the governing principles arise from the law of agency and contract, not from the law of real property.

Brokers — Securities Brokers — Commission

2. In an action arising from defendant owner’s transfer of certain distressed student loan assets it owned to a fund created by the Swiss National Bank as

part of a 2008 bailout, the complaint filed by plaintiff broker, which sought a commission under the parties' financial brokerage agreement giving plaintiff a standard exclusive agency with respect to the sale of the assets, failed to state a claim for breach of contract. The language in the brokerage agreement giving plaintiff the exclusive right to solicit counterparties for "any . . . [t]ransaction" did not mean that defendant had a corollary duty to give plaintiff a chance to seek a buyer before defendant consummated an independent sale. The "Termination of Engagement—Exclusivity" section of the agreement illustrated that plaintiff's entitlement to a commission was contingent on plaintiff introducing an investor to defendant or another broker facilitating such an introduction. Moreover, the consequence of the purported "duty to wait" would fundamentally change the nature of the exclusive agency, wherein the owner and broker are essentially in competition with one another to locate a buyer. In the absence of language expressly varying the parties' rights under an exclusive agency, defendant had no duty to wait. Finally, it was unnecessary to conduct further discovery to shed light on the details of the bailout that included the Swiss government's assumption of the distressed student loan assets. The transfer was neither the work of a competing broker nor the result of the type of third-party introduction contemplated by the agreement, and, therefore, the bailout did not trigger defendant's obligation to pay plaintiff a commission.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Brokers §§ 292, 303–305, 317.

NY JUR 2d, Brokers §§ 165, 166, 169, 170, 236.

ANNOTATION REFERENCE

See ALR Index under Bonds and Securities; Agency; Brokers; Exclusive and Exclusiveness.

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POINTS OF COUNSEL

White & Case LLP, New York City (*Kenneth A. Caruso* and *Patrick M. Wilson* of counsel), and *Herrick, Feinstein LLP* (*Jeffrey I. Wasserman* of counsel), for appellant. Morpheus Capital Advisors LLC has no cause of action for a Success Fee. (*Slattery v Cothran*, 210 App Div 581; *Gaillard Realty Co., Inc. v Rogers Wire Works, Inc.*, 215 App Div 326; *Werner v Eurich*, 263 App Div 744; *Levy v Isaacs*, 285 App Div 1170; *Barnet v Cannizzaro*, 3 AD2d 745; *Ackman v Toren, Inc.*, 6 AD2d 427, 6 NY2d 720; *Hammond, Kennedy & Co. v Servinational, Inc.*, 48 AD2d 394; *Solid Waste Inst. v Sanitary Disposal*, 120 AD2d 915; *Audrey*

Balog Realty Corp. v East Coast Real Estate Devs., 202 AD2d 529; *Harvard Assoc. v Hayt, Hayt & Landau*, 264 AD2d 814.)

Kornstein Veisz Wexler & Pollard, LLP, New York City (William B. Pollard, III, and Amy C. Gross of counsel), for respondent. I. Morpheus Capital Advisors LLC has a valid claim for breach of its exclusivity rights because its agreement with UBS Real Estate Securities, Inc. created an exclusive right to sell. (*CV Holdings, LLC v Artisan Advisors, LLC*, 9 AD3d 654; *Beal Sav. Bank v Sommer*, 8 NY3d 318; *Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352.) II. Parol evidence may be used to establish that the agreement between Morpheus Capital Advisors LLC and UBS Real Estate Securities, Inc. is an exclusive right to sell contract. (*Greenfield v Philles Records*, 98 NY2d 562; *Brandwein v Provident Mut. Life Ins. Co. of Phila.*, 3 NY2d 491; *New York Auction Co. v United States Fid. & Guar. Co.*, 260 NY 186; *Schlenger v 310 Canal St. Corp.*, 272 App Div 761; *Riverside S. Planning Corp. v CRP/Extell Riverside, L.P.*, 60 AD3d 61; *Baird v Erie R.R. Co.*, 210 NY 225; *Kass v Kass*, 91 NY2d 554; *Evans v Famous Music Corp.*, 1 NY3d 452; *State of New York v Home Indem. Co.*, 66 NY2d 669; *Lopez v Consolidated Edison Co. of N.Y.*, 40 NY2d 605.) III. Exclusive agency does not foreclose Morpheus Capital Advisors LLC's breach of contract claims. (*Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685; *Abiele Contr. v New York City School Constr. Auth.*, 91 NY2d 1; *Board of Educ. of Hudson City School Dist. v Sargent, Webster, Crenshaw & Folley*, 71 NY2d 21; *Carnes Communications v Dello Russo*, 305 AD2d 332; *Solid Waste Inst. v Sanitary Disposal*, 120 AD2d 915; *Hammond, Kennedy & Co. v Servinational, Inc.*, 48 AD2d 394; *Matter of Clairol Dev., LLC v Village of Spencerport*, 100 AD3d 1546; *Shaw v Bluepers Family Billiards*, 94 AD3d 858; *Shia v McFarlane*, 46 AD3d 320.) IV. UBS Real Estate Securities, Inc.'s other arguments are unavailing. (*407 E. 61st Garage v Savoy Fifth Ave. Corp.*, 23 NY2d 275; *General Elec. Co. v Metals Resources Group*, 293 AD2d 417; *Warner v Kaplan*, 71 AD3d 1; *International Mins. & Chem. Corp. v Llano, Inc.*, 770 F2d 879; *Mawhinney v Millbrook Woolen Mills, Inc.*, 231 NY 290; *The Kronprinzessin Cecilie*, 244 US 12; *L. N. Jackson & Co. v Royal Norwegian Govt.*, 177 F2d 694.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

We are asked to decide in this appeal whether a financial brokerage agreement gave plaintiff broker the right to a

commission when defendant owner transferred certain distressed assets to a fund created by the Swiss National Bank as part of a 2008 bailout. We hold that the contract gave plaintiff a standard exclusive agency, not an exclusive right to sell the assets, and therefore no commission was due on the transaction at issue. Accordingly, the complaint should be dismissed.

I

In September 2008, plaintiff Morpheus Capital Advisors LLC (Morpheus) entered into an agreement with defendant UBS Real Estate Securities, Inc. (UBSRE). The contract provided that Morpheus would serve as “financial advisor and investment banker in the proposed sale” of certain student loan assets owned by UBSRE. The assets had a face value of \$510 million, though the parties agree that the economic climate at the time had devalued the assets considerably, rendering them “toxic.”

In a section entitled “Scope of Engagement,” the agreement set forth 10 services that Morpheus would provide during the contract term. These included identifying, introducing and assessing potential investors, negotiating terms, and providing advice regarding valuation of the assets and the development of “alternative transaction structures.” In addition, UBSRE agreed that Morpheus “shall have the exclusive right to solicit counterparties for any potential Transaction involving the Student Loan Assets during the term of this Agreement.” The contract would automatically expire, unless renewed, on December 31, 2008. The term “Transaction” was left undefined. However, in a provision dealing with Morpheus’ commission—called a “Success Fee”—the contract defined a related term—“Transaction Amount”—as “the agreed value of the Student Loan Assets which are transferred or sold to a third party, or in respect to which the risk of first loss is assumed by a third party, in one or a series of transactions.” Morpheus’ Success Fee was to be calculated as a percentage of the Transaction Amount according to certain formulas. In addition, the contract required UBSRE to pay Morpheus a \$150,000 signing fee and a retainer of \$50,000 per month, neither of which is at issue here.

Finally, section five of the contract, entitled “Termination of Engagement—Exclusivity,” provided as follows:

“It is expressly agreed that following the expiration or termination of this Agreement, [Morpheus] will

continue to be entitled to receive fees as described above that have accrued prior to such expiration or termination but are unpaid. It is also expressly agreed that if [UBSRE] completes any Transaction with a party or parties ('Investor') (1) introduced to [UBSRE] by [Morpheus], (2) introduced to [UBSRE] by another party other than [Morpheus], but [Morpheus] performed substantially all the services set forth herein in Section 1 prior to the termination of this Agreement, then [Morpheus] shall be entitled to its full fees as described above, until March 31, 2009."

In June 2009 Morpheus commenced this action against UBSRE and its parent company for breach of contract and breach of the covenant of good faith and fair dealing.¹ The complaint alleged that in mid-October 2008 UBSRE reached an agreement with the Swiss National Bank (SNB), Switzerland's central bank, to transfer up to \$60 billion in illiquid assets to a special purpose vehicle called the Stabilization Fund. The SNB issued a press release explaining that the asset transfer would "relieve[] [UBS] from all relevant remaining risks stemming from problem-ridden segments of credit markets." The complaint further alleged that in UBSRE's financial disclosures to shareholders for the first quarter of 2009, the company stated that it had transferred toxic student loan assets to the SNB fund valued at \$39.1 billion in three transactions that occurred, respectively, in December 2008, March 2009 and on April 3, 2009. In late 2008 or early 2009, UBSRE informed Morpheus that the student loan assets that were the subject of their brokerage agreement were included in the deal with the Stabilization Fund. Thereafter, Morpheus demanded a commission of \$2,887,500, claiming that the transfer to the SNB triggered UBSRE's duty to pay a Success Fee under the contract. UBSRE refused to pay and this action ensued.

After some initial discovery, UBSRE filed a pre-answer motion to dismiss pursuant to CPLR 3211 (a) (1) and (7). As relevant here, UBSRE contended that the purpose of the agreement was frustrated because the bailout from the SNB was an unforeseen event that excused UBSRE from performing on the contract. In the alternative, UBSRE argued that no breach had

1. Morpheus' dismissed claims against UBS AG, the parent company of UBSRE, are not at issue on this appeal.

occurred because Morpheus had an exclusive agency, not an exclusive right to sell the assets. Therefore, defendant said, Morpheus was only entitled to a commission if Morpheus introduced UBSRE to the buyer or if UBSRE effectuated a transaction using a competing broker; because the bailout did not fall into either of these scenarios, no commission was due.

Morpheus opposed the motion, arguing that the documentary evidence was insufficient to establish entitlement to dismissal as a matter of law. Specifically, Morpheus contended that there were factual disputes regarding the nature of the transfer to the Stabilization Fund as well as the availability of the defenses of frustration of purpose and impossibility. Morpheus also argued that the plain language of the agreement entitled Morpheus to collect a Success Fee upon the closing of any transaction involving the student loan assets within the applicable time period, a right that was not contingent on Morpheus introducing UBSRE to a buyer. In the event the court found the agreement ambiguous on this point, Morpheus submitted parol evidence in the form of emails between the parties and earlier drafts of the agreement in an attempt to demonstrate that the parties had intended to establish an exclusive right to sell.

Supreme Court granted the motion to dismiss on the ground that the 2008 financial crisis and the bailout by the SNB “constituted an unforeseeable event which undermined the basic assumption and purpose of the [agreement], i.e., the introduction of UBSRE by Morpheus to a third party buyer” (*Morpheus Capital Advisors LLC v UBS AG*, 2011 NY Slip Op 34096[U], *7 [Sup Ct, NY County 2011]).

The Appellate Division reversed, with one Justice dissenting, and, insofar as relevant here, reinstated the complaint as against UBSRE (105 AD3d 145 [1st Dept 2013]). The majority held that UBSRE had not established its frustration of purpose defense because the documentary evidence failed to conclusively show that the creation of the Stabilization Fund, rather than UBSRE’s “decision to avail [itself] of it, rendered plaintiff’s performance under the agreement . . . ‘virtually worthless’ ” (*id.* at 149 [citation omitted]). With regard to the rights conferred by the contract, the majority and the dissent agreed that “the agreement only confers an exclusive agency to plaintiff insofar as it does not expressly prohibit UBSRE from finding a buyer for its toxic assets and thereafter engaging in a self-brokered sales transaction” (*id.* at 150). However, the majority nevertheless determined that Morpheus had pleaded a cause of action

for breach of contract because “the agreement required UBSRE to give plaintiff the opportunity to solicit a counterparty prior to transferring its assets into the Fund” (*id.* at 150-151). In the majority’s view, plaintiff’s allegations that UBSRE failed to afford Morpheus such an opportunity were sufficient to assert a cause of action for breach of contract.

By contrast, the dissent would have affirmed on the ground that the contract conferred on Morpheus an exclusive agency, not an exclusive right to sell. Therefore, Morpheus’ concession that “the subject property was transferred without the intervention of any broker” made it “unnecessary to reach the issue of whether the purpose of the brokerage agreement was frustrated” (*id.* at 154-155 [Tom, J., dissenting]). Moreover, the dissent disagreed with the majority’s conclusion that the contract’s plain terms imposed on UBSRE a duty to wait before transferring the assets. The majority’s interpretation, the dissent reasoned, “[e]ngrafted onto the parties’ agreement . . . an ill-defined right akin to an augmented right of first refusal in favor of a counterparty yet to be located by [Morpheus]” (*id.* at 161). The dissent felt that “such a right cannot be left to implication but must, of necessity, be incorporated into an express agreement” (*id.* [citations omitted]). The Appellate Division granted leave to appeal to this Court on the certified question of whether the order below was properly made. We now reverse and answer in the negative.

II

[1] The distinction between an exclusive agency and an exclusive right to sell is well established in a body of Appellate Division case law (*see e.g. Far Realty Assoc. Inc. v RKO Del. Corp.*, 34 AD3d 261, 262 [1st Dept 2006]; *Harvard Assoc. v Hayt, Hayt & Landau*, 264 AD2d 814, 815 [2d Dept 1999]; *Solid Waste Inst. v Sanitary Disposal*, 120 AD2d 915, 916 [3d Dept 1986]; *Hammond, Kennedy & Co. v Servinational, Inc.*, 48 AD2d 394, 397 [1st Dept 1975]; *Levy v Isaacs*, 285 App Div 1170, 1170-1171 [2d Dept 1955], *decision amended* 286 App Div 855 [2d Dept 1955]; *Werner v Eurich*, 263 App Div 744, 744 [2d Dept 1941]; *Slattery v Cothran*, 210 App Div 581 [4th Dept 1924]). As stated nearly a century ago,

“The general rule is that where an exclusive right of sale is given a broker, the principal cannot make a sale [herself] without becoming liable for the commissions. But where the contract is merely to make

the broker the sole agent, the principal may make a sale [herself] without the broker's aid, if such sale is made in good faith and to some purchaser not procured by the broker" (*Slattery*, 210 App Div at 583 [citations omitted]).

Put differently, "[a] broker is entitled to a commission upon the sale of the property by the owner only where the broker has been given the exclusive right to sell; an exclusive agency merely precludes the owner from retaining another broker in the making of the sale" (*Far Realty*, 34 AD3d at 262). We have endorsed this dichotomy implicitly in the past (see *Ackman v Toren, Inc.*, 6 NY2d 720 [1959], *affg* 6 AD2d 427 [1st Dept 1958]; *McClave v Paine*, 49 NY 561, 561 [1872]; *Moses v Bierling*, 31 NY 462, 462 [1865]), and now do so explicitly.

Furthermore, we agree with the case law of the lower courts holding that a contract giving rise to an exclusive right of sale must "clearly and expressly provide[] that a commission [is] due upon sale by the owner or exclude[] the owner from independently negotiating a sale" (*Solid Waste*, 120 AD2d at 916; see also e.g. *Far Realty*, 34 AD3d at 262).² Requiring an affirmative and unequivocal statement to establish a broker's exclusive right to sell is consistent with the general principle that an owner's freedom to dispose of her own property should not be infringed upon by mere implication.

Conceding that the contract here lacks a provision expressly conferring an exclusive right of sale, Morpheus argues that no magic words are necessary; instead, Morpheus urges us to examine the contract as a whole to deduce the parties' intent to create an exclusive right to sell or, if the agreement is ambiguous, to examine parol evidence. We decline these invitations in favor of a rule that, "[w]ithout an unequivocal expression of intent by its own terms or by necessary implication from its terms, the . . . contract is at most considered to create an exclusive agency, not excluding the owner's inherent right to sell his or her own property" (11 NY Jur 2d, Brokers § 169).

2. For example, the agreement here does not contain language providing that a Success Fee is payable "regardless of whether [the broker] has actually procured the Purchase Agreement" (see *Audrey Balog Realty Corp. v East Coast Real Estate Devs.*, 202 AD2d 529, 530 [2d Dept 1994] [holding that broker had exclusive right to sell]), or that UBSRE "will proceed only through [the broker] and will not directly or through others negotiate the sale" (*Hammond, Kennedy*, 48 AD2d at 396 [same]). Nor does the contract require that UBSRE "refer all inquiries or offers" to Morpheus for negotiation (see *Audrey Balog*, 202 AD2d at 530).

Nor are we persuaded by Morpheus' argument that a rule requiring a clear statement in order to confer an exclusive right of sale should apply only to real estate brokerage agreements. While it is true that much of the relevant Appellate Division case law arises in the context of the lease or sale of real property, we see no reason to apply a different rule to brokerage contracts concerning the sale of financial instruments in the investment banking context. In both cases, the governing principles arise from the law of agency and contract, not from the law of real property. Accordingly, in both cases the owner must expressly agree to forfeit the right to directly convey its own property to a third party without incurring a broker's fee.

Having concluded that the contract gave Morpheus an exclusive agency, and not an exclusive right to sell the student loan assets, the remaining issue is whether the complaint nevertheless states a claim for breach of contract. The Appellate Division concluded that it did based on the provision giving Morpheus the "exclusive right to solicit counterparties for *any . . . Transaction*" (emphasis added). The plain meaning of this language, in the majority's view, was that "the agreement required UBSRE to give plaintiff the opportunity to solicit a counterparty prior to transferring its assets into the Fund" (105 AD3d at 150-151).

[2] That interpretation is flawed for several reasons. First, the court ascribed too much weight to the language giving Morpheus the exclusive right to solicit counterparties for "any . . . [t]ransaction." This language does not lead to the conclusion that UBSRE had a corollary duty to give Morpheus a chance to seek a buyer before UBSRE consummated an independent sale. Section five of the agreement illustrates that Morpheus' entitlement to a commission was contingent on Morpheus introducing an investor to UBSRE or another broker facilitating such an introduction. Moreover, the consequence of the purported "duty to wait" would fundamentally change the nature of the exclusive agency, wherein the owner and broker are essentially in competition with one another to locate a buyer (see *e.g.* Restatement [Second] of Agency § 449, Comment *c* ["A contract to give an 'exclusive agency' to deal with specified property is ordinarily interpreted as not precluding competition by the principal personally but only as precluding him from appointing another agent to accomplish the (same) result"]). Indeed, Morpheus asserts that UBSRE was required to delay the transfer to the Stabilization Fund until the contract expired at the end of 2008

to see whether Morpheus could solicit a better offer. But as the dissent below rightfully recognized, this interpretation “transform[s] a contract that expressly confers the exclusive right to deal . . . into one that confers the exclusive right to sell” (105 AD3d at 154 [Tom, J., dissenting]). Furthermore, from a practical standpoint, a duty to wait would have been an absurd contractual term given the rapidly evolving landscape of the business world during the difficult economic time when the parties entered into the agreement. In short, in the absence of language expressly varying the parties’ rights under an exclusive agency, UBSRE had no duty to wait.

Finally, contrary to plaintiff’s contention, it is unnecessary to conduct further discovery to shed light on the details of the bailout that included the Swiss government’s assumption of the distressed student loan assets. It is inconsequential whether UBSRE was legally compelled to participate in the bailout or whether the Stabilization Fund is technically a separate entity from the SNB. The transfer was neither the work of a competing broker nor the result of the type of third-party introduction contemplated by section five of the agreement. Therefore, the bailout did not trigger defendant’s obligation to pay Morpheus a Success Fee.

III

In sum, plaintiff’s causes of action are conclusively contradicted by the language of the parties’ contract, mandating dismissal of the complaint. Accordingly, the order of the Appellate Division should be reversed, with costs, the motion of defendant UBS Real Estate Securities, Inc. to dismiss the complaint as against it granted, and the certified question answered in the negative.

PIGOTT, J. (dissenting). The language used in this agreement could reasonably be interpreted to indicate that the parties intended Morpheus to have an exclusive right to sell the student loan assets during the relevant contract period. For this reason, I dissent.

The majority holds as a matter of law that the agreement in dispute gave Morpheus only a “standard exclusive agency,” not an “exclusive right to sell” certain student loan assets (*see* majority op at 531). In holding so, the majority sets forth a rule that has not yet been uniformly applied in cases involving investment banking contracts; that an “affirmative and unequivocal

statement” must be made to establish an exclusive right to sell the assets (*id.* at 535). Rather, this rule was established in Appellate Division cases involving brokerage real estate agreements.

Reading this agreement most favorably to Morpheus, which we must on this CPLR 3211 motion, questions of fact exist as to whether the parties intended Morpheus to have an exclusive right to sell. The agreement gave Morpheus the “exclusive right to solicit counterparties for any potential Transaction involving the Student Loan Assets during the term of this Agreement.” The agreement also provided that Morpheus “shall receive a Success Fee payable upon the closing of” any transaction involving the sale, transfer, or transfer of risk of first loss of the student loan assets.

Further, the parties negotiated a contractual provision that relieves UBS Real Estate Securities (UBSRE) of the obligation to pay Morpheus if it or its affiliates completed a certain type of deal with two particular entities, Morgan Stanley or NBF International. This limited exception of UBSRE’s obligation to pay Morpheus for a transaction that it and/or its affiliates initiated would be unnecessary if UBSRE could dispose of the student loan assets without liability to Morpheus in a self-directed transaction. Another provision permits UBSRE to jointly market the assets with Morpheus “taking the lead.” This provision, like the Morgan Stanley/NBF International carve out, also would be unnecessary if UBSRE had, as it claims, an unfettered right to sell the student loan assets without obligation to Morpheus on the theory that Morpheus only had an exclusive agency right.

Judges GRAFFEO, READ and RIVERA concur with Chief Judge LIPPMAN; Judge PIGOTT dissents in an opinion; Judges SMITH and ABDUS-SALAAM taking no part.

Order reversed, with costs, motion of defendant UBS Real Estate Securities to dismiss the complaint as against it granted, and certified question answered in the negative.

[15 NE3d 1181, 992 NYS2d 172]

In the Matter of WORKING FAMILIES PARTY, Appellant, v FERN A. FISHER, Deputy Chief Administrative Judge for New York City Courts, et al., Respondents.

Argued April 29, 2014; decided June 10, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 7, 2013, in a proceeding pursuant to CPLR article 78. The Appellate Division (1) denied a petition in the nature of prohibition seeking, among other things, to prohibit the enforcement of an order issued by respondent Fern A. Fisher, Deputy Chief Administrative Judge for New York City Courts, which had, among other things, appointed a Special District Attorney pursuant to County Law § 701 to investigate and prosecute possible violations in connection with a 2009 New York City Council election; and (2) dismissed the proceeding.

Matter of Working Families Party v Fisher, 109 AD3d 478, affirmed.

HEADNOTES

Proceeding against Body or Officer — Prohibition — When Remedy Appropriate — Appointment of Special District Attorney

1. A CPLR article 78 proceeding in the nature of prohibition was an appropriate remedy in a case in which petitioner political party challenged an order issued by respondent Deputy Chief Administrative Judge for the New York City Courts relieving a district attorney at his own request and appointing a special district attorney to conduct an investigation into possible violations in connection with a 2009 City Council election. Prohibition is an appropriate remedy to void the improper appointment of a special prosecutor when made by a court. When the validity of the appointment of a prosecutor is in question, the question should, where possible, be given a prompt and definitive answer. It is not in the public interest to allow a prosecutor to carry out a lengthy investigation when there is doubt that his or her appointment is valid. Here, the special district attorney was appointed in 2012 to investigate events occurring in 2009. If the validity of his appointment was not decided in this proceeding, the investigation could continue for years under a cloud that would not be removed until or unless the special district attorney obtained an indictment and the person indicted moved to dismiss it on the ground that the prosecutor was never validly appointed.

District and Prosecuting Attorneys — Disqualification — District Attorney Seeking His Own Disqualification — Reasonable Grounds

2. A district attorney seeking to disqualify himself or herself may do so upon a good faith application containing reasonable grounds for the belief that

he or she is so disqualified. Where there is a legitimate doubt as to whether a district attorney and his office may proceed with a case, the district attorney is not barred from resolving that doubt by choosing to step aside. It is desirable for all concerned to know, as promptly as possible, whether the person investigating or prosecuting a case is lawfully entitled to do so. That interest is served by allowing a district attorney who has reasonable grounds for thinking that he and his office may be disqualified to seek the appointment of a special prosecutor. Here, respondent Richmond County District Attorney had a good faith, reasonable basis for his view that he was disqualified under County Law § 701 (1) from pursuing an investigation into possible violations in connection with a 2009 City Council election in Staten Island.

District and Prosecuting Attorneys — Special Prosecutor — Appointment — Procedural Flaws — Nullification of Appointment Not Warranted

3. In a proceeding in which petitioner political party challenged an order issued by respondent Deputy Chief Administrative Judge (DCAJ) for the New York City Courts relieving a district attorney at his own request and appointing a special district attorney to conduct an investigation into possible violations in connection with a 2009 election, the flaws in the procedure respondent followed in making the appointment did not warrant its nullification. Uniform Rules for the New York State Trial Courts (22 NYCRR) § 200.15 requires that upon an appropriate application for a special prosecutor under County Law § 701 (1), the Chief Administrator of the Courts, in consultation with the Presiding Justice of the appropriate Appellate Division, shall designate a superior court judge to consider the application. Here, respondent appointed herself, an elected Supreme Court Justice, to decide whether to appoint a special prosecutor and whom to appoint. While respondent was free to appoint herself, she should have documented in a separate order the fact that she did so. Respondent should have also consulted with, and obtained the approval of, the Presiding Justice and should have recited in her order that she had done so. However, the procedural irregularities did not justify nullifying the appointment and creating the undesirable situation of an investigation that goes on for years before determining the authority of the person investigating the case. No party could claim to be prejudiced by the fact that respondent signed one document when she should have signed two. Moreover, consultation with the Presiding Justice may be of secondary importance in a case where the DCAJ chooses to appoint herself since the apparent purpose of consultation with the Presiding Justice is to be sure that the chosen judge is available and suitable for the task.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Prohibition §§ 27, 36, 45; AM JUR 2d, Prosecuting Attorneys §§ 16, 24.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:164, 145:167, 145:809, 145:826; CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury § 178:157.

McKINNEY'S, County Law § 701 (1).

22 NYCRR 200.15.

NY JUR 2d, Article 78 and Related Proceedings §§ 139-141,

158, 166; NY JUR 2d, Counties, Towns, and Municipal Corporations § 737.

SIEGEL, NY PRAC § 559.

ANNOTATION REFERENCE

See ALR Index under Elections and Voting; Prohibition Writ; Prosecuting Attorneys.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: prohibition /p appoint! /3 special /2 district /2 attorney

POINTS OF COUNSEL

Dentons US LLP, New York City (*Avi Schick*, *Richard M. Zuckerman* and *Kiran Patel* of counsel), for appellant. I. CPLR article 78 relief is available to challenge a judicial order appointing a special district attorney. (*Matter of Soares v Herrick*, 20 NY3d 139; *Matter of Schumer v Holtzman*, 60 NY2d 46; *Matter of Association of Secretaries to Justices of Supreme & Surrogate's Cts. in City of N.Y. v Office of Ct. Admin. of State of N.Y.*, 75 NY2d 460; *Babigan v Wachtler*, 133 Misc 2d 111, 126 AD2d 445, 69 NY2d 1012; *Matter of McGinley v Hynes*, 51 NY2d 116.) II. The disqualification standard established by County Law § 701 and this Court's prior decisions requires a showing of actual prejudice based on a demonstrated conflict of interest and applies when the district attorney is the party seeking his own disqualification. (*Matter of Schumer v Holtzman*, 94 AD2d 516, 60 NY2d 46; *People v Keeton*, 74 NY2d 903; *People v Herr*, 86 NY2d 638; *Matter of Soares v Herrick*, 20 NY3d 139; *People v Adams*, 20 NY3d 608; *People v Cruz*, 60 AD2d 872; *Matter of Fox v Shapiro*, 84 Misc 2d 223; *People v Shinkle*, 51 NY2d 417; *People v Loewinger*, 37 AD2d 675, 30 NY2d 587; *United States v Goot*, 894 F2d 231.) III. The order also conflicts with the additional requirements established by County Law § 701. (*People v Anonymous*, 126 Misc 2d 673; *People v Davis*, 100 AD2d 747; *Matter of Dwyer v Evans*, 107 Misc 2d 484; *Matter of Crandall v Harrigan*, 183 AD2d 1009; *People v Leahy*, 72 NY2d 510; *Matter of Rice*, 31 Misc 3d 838; *Matter of Board of Supervisors of Montgomery County v Aulisi*, 62 AD2d 644, 46 NY2d 731.)

John W. McConnell, New York State Office of Court Administration, New York City (*Lee Alan Adlerstein* and *Antonio Galvao* of counsel), for Fern A. Fisher and another, respondents. I. The

Appellate Division was correct in ruling that CPLR article 78 relief is not available to disturb the subpoenas because their issuance was part of Special District Attorney Adler's executive investigative duties. (*Matter of Suffolk County Legislature v Mullen*, 211 AD2d 736; *Matter of McGinley v Hynes*, 51 NY2d 116; *Matter of Brunswick Hosp. Ctr. v Hynes*, 52 NY2d 333; *Matter of Rushmore v Lipson*, 45 Misc 2d 487; *Matter of Schumer v Holtzman*, 94 AD2d 516, 60 NY2d 46; *Matter of Pirro v Angiolillo*, 89 NY2d 351; *Matter of Rush v Mordue*, 68 NY2d 348; *Matter of Nicholson v State Commn. on Jud. Conduct*, 50 NY2d 597; *Matter of Lee v County Ct. of Erie County*, 27 NY2d 432; *Matter of Molea v Marasco*, 64 NY2d 718.) II. By any standard, District Attorney Donovan's self-disqualification was appropriate and provides no grounds—and certainly no clear legal right—for vacatur of the special district attorney appointment order. (*People v Schrager*, 74 Misc 2d 833; *People v Anonymous*, 126 Misc 2d 673; *People v Zimmer*, 51 NY2d 390; *People v Adams*, 20 NY3d 608; *Matter of Soares v Herrick*, 20 NY3d 139; *Matter of Town of Huntington v New York State Div. of Human Rights*, 82 NY2d 783; *Matter of McNamara v Tormey*, 42 AD3d 971.) III. The January 2012 order fully complied with County Law § 701. (*People v Correa*, 15 NY3d 213; *Kagen v Kagen*, 21 NY2d 532; *People v Darling*, 50 AD2d 1038; *Misicki v Caradonna*, 12 NY3d 511; *Matter of Suffolk County Legislature v Mullen*, 211 AD2d 736; *Matter of Morgenthau v Cooke*, 56 NY2d 24; *People v Leahy*, 72 NY2d 510; *Matter of Board of Supervisors of Montgomery County v Aulisi*, 62 AD2d 644, 46 NY2d 731; *Matter of Rice*, 31 Misc 3d 838; *Matter of McGinley v Hynes*, 51 NY2d 116.)

Daniel M. Donovan, Jr., Staten Island, pro se, and *Morrie I. Kleinbart*, for Daniel M. Donovan, Jr., respondent. A district attorney's discretionary decision to recuse himself in a particular case is not amenable to review by CPLR article 78. (*Matter of Dondi v Jones*, 40 NY2d 8; *Matter of McGinley v Hynes*, 51 NY2d 116; *People v Leahy*, 72 NY2d 510; *Matter of Grady*, 138 Misc 2d 983; *People v Schrager*, 74 Misc 2d 833; *Matter of Rice*, 31 Misc 3d 838; *Matter of Soares v Herrick*, 20 NY3d 139; *People v Shinkle*, 51 NY2d 417; *People v Adams*, 20 NY3d 608; *People v Nelson*, 167 Misc 2d 665.)

Wendy Evans Lehmann, New York Prosecutors' Training Institute, Albany, and *Kathleen M. Rice*, District Attorney, Albany, for District Attorneys Association of the State of New York, amicus curiae. Prohibition does not lie to challenge an elected district

attorney's decision to seek recusal due to a conflict of interest or a court's resulting appointment of a special district attorney. (*Matter of Schumer v Holtzman*, 60 NY2d 46; *Matter of Soares v Herrick*, 20 NY3d 139; *Matter of Morgenthau v Erlbaum*, 59 NY2d 143; *Matter of Pirro v Angiolillo*, 89 NY2d 351; *Matter of Holtzman v Goldman*, 71 NY2d 564; *Matter of Rush v Mordue*, 68 NY2d 348; *Matter of Mulvaney v Dubin*, 55 NY2d 668; *La Rocca v Lane*, 37 NY2d 575; *Matter of Rice*, 31 Misc 3d 838; *Matter of Dondi v Jones*, 40 NY2d 8.)

OPINION OF THE COURT

Per Curiam.

This CPLR article 78 proceeding in the nature of prohibition was brought to challenge an order relieving a district attorney at his own request, and appointing a special district attorney to conduct an investigation in his place. The Appellate Division dismissed the proceeding on the ground that prohibition was not an appropriate remedy. We disagree and reach the merits of the case, but we affirm the Appellate Division's dismissal because we hold that the special prosecutor was validly appointed.

I

Daniel Donovan, the District Attorney of Richmond County, applied to the Deputy Chief Administrative Judge for the New York City Courts (DCAJ) for an order relieving him and his assistants, and appointing a special district attorney, in what he described as “a case involving possible violations” of Election Law § 14-126 and other provisions of law “in connection with a 2009 City Council election on Staten Island.” An affirmation containing the facts that Donovan thought warranted this action was submitted under seal. The DCAJ granted the application and appointed Roger Bennet Adler as special district attorney.

Approximately a year later, Adler issued grand jury subpoenas to two officials of the Working Families Party (petitioner in this case), and to an entity known as Citizen Action of New York. Petitioner brought this proceeding against the DCAJ, seeking to vacate Adler's appointment, quash the subpoenas and unseal Donovan's application and the documents supporting it. It seems, though the record is surprisingly unclear, that Donovan and Adler were also made parties to the proceeding; Donovan has participated as a party, but Adler has not. Donovan, with

the permission of the Appellate Division, submitted opposition papers to that court under seal and served on petitioner only a copy of his Appellate Division brief from which the facts were largely redacted.

The Appellate Division denied the petition and dismissed the proceeding. It held that relief by prohibition was unavailable because the conduct that petitioner was seeking to prevent was not “the quasi-judicial act of representing the State in its efforts to bring individuals accused of crimes to justice” but rather a “purely investigative function” that was “executive in nature” (*Matter of Working Families Party v Fisher*, 109 AD3d 478, 480 [2d Dept 2013]).

We granted leave to appeal (22 NY3d 855 [2013]). After we did so, Donovan moved in this Court to proceed as he had in the Appellate Division, by filing a brief under seal and serving a redacted copy of the brief on petitioner. We denied the motion (2014 NY Slip Op 64560 [2014]). Donovan then chose to file a brief from which substantially all of the facts that formed the basis of his application for a special prosecutor were omitted. Those facts are, however, in the record before us, which remains under seal. Petitioner has not moved here, as it did in the Appellate Division, for unsealing.

We now affirm the Appellate Division’s judgment, though on grounds different from those the Appellate Division relied on.

II

[1] The Appellate Division erred in holding that an article 78 proceeding in the nature of prohibition is an inappropriate remedy in this case. We recently restated the rule that “prohibition is an appropriate remedy to void the improper appointment of a [special] prosecutor when made by a court” (*Matter of Soares v Herrick*, 20 NY3d 139, 145 [2012], quoting *Matter of Schumer v Holtzman*, 60 NY2d 46, 54 [1983] [insertion by Soares court]). While the power to grant prohibition should be exercised sparingly, its availability in cases like this serves an important purpose. When the validity of the appointment of a prosecutor is in question, the question should where possible be given a prompt and definitive answer. It is not in the public interest to allow a prosecutor to carry out a lengthy investigation when there is doubt that his or her appointment is valid, and to run the risk that the process will have to start all over again with a different prosecutor.

This case illustrates the point. Adler was appointed in 2012 to investigate events occurring in 2009. If the validity of his

appointment is not decided now, his investigation may continue for many more months or years under a cloud that will not be removed until or unless he obtains an indictment, and the person indicted moves to dismiss it on the ground that Adler was never validly appointed. That would be at best wasteful, and at worst could result in the inability, for statute of limitations or other reasons, to prosecute cases that should be prosecuted.

The Appellate Division based its conclusion that prohibition was inappropriate here on our decision in *Matter of McGinley v Hynes* (51 NY2d 116 [1980], *cert denied* 450 US 918 [1981]). But *McGinley* did not involve a challenge to the validity of the appointment of a special prosecutor. It was brought to prevent a validly appointed special prosecutor from submitting additional evidence to a grand jury without court permission. We held prohibition unavailable, but specifically limited our holding to a case in which “there is no claim that the subject matter of [the special prosecutor’s] investigation is beyond the scope of his prosecutorial authority” (*id.* at 119).

Here, petitioner’s claim is that Adler has no valid “prosecutorial authority” at all. This proceeding is a proper vehicle for deciding the merits of that claim.

III

County Law § 701 (1) says, in relevant part:

“Whenever the district attorney of any county and such assistants as he or she may have . . . are disqualified from acting in a particular case to discharge his or her duties at a term of any court, a superior criminal court in the county wherein the action is triable may, by order:

“(a) appoint some attorney at law having an office in or residing in the county, or any adjoining county, to act as special district attorney during the absence, inability or disqualification of the district attorney and such assistants as he or she may have.”

The principal question in this appeal is whether Donovan and his subordinates in the Richmond County District Attorney’s office are “disqualified from acting,” within the meaning of this statute, in the matter that Adler was appointed to investigate.

While we have several times considered cases in which parties adverse to a district attorney have argued that he or his office

should be disqualified (see *People v Adams*, 20 NY3d 608 [2013]; *Soares*, 20 NY3d 139; *People v Shinkle*, 51 NY2d 417 [1980]; *People v Zimmer*, 51 NY2d 390 [1980]), this case is apparently the first we have confronted in which a district attorney sought his or her own disqualification (cf. *Matter of Schumer v Holtzman*, 60 NY2d at 49 [district attorney sought to appoint a “special prosecutor” by written agreement; adverse party sought to disqualify the district attorney]). The parties before us take opposite positions as to the standard to be applied in deciding such a case. Petitioner, arguing that Donovan is not disqualified, says that we should adhere to the demanding standard used in cases where disqualification is sought by an adverse party. In such a case, the general rule requires a showing of “actual prejudice arising from a demonstrated conflict of interest or a substantial risk of an abuse of confidence” (*Adams*, 20 NY3d at 612, quoting *Schumer*, 60 NY2d at 55), though “in rare situations, the appearance of impropriety itself is a ground for disqualification” (*id.*). Donovan, by contrast, argues in substance that a district attorney and his office are “disqualified” if the district attorney himself so decides. A district attorney’s decision to recuse himself should, in Donovan’s view, be unreviewable.

[2] We reject both of these arguments. To allow a district attorney to disqualify himself and his office in his sole discretion would value too lightly the public interest in having prosecutorial duties performed, where possible, by the “constitutional officer chosen by the electorate” (*Schumer*, 60 NY2d at 55). But the standards that apply in cases where a district attorney opposes his own disqualification and those in which he seeks it are not the same. Where there is legitimate doubt as to whether a district attorney and his office may proceed with a case, the district attorney is not barred from resolving that doubt by choosing to step aside. We have already mentioned that it is desirable for all concerned to know, as promptly as possible, whether the person investigating or prosecuting a case is lawfully entitled to do so. That interest is served by allowing a district attorney who has ground for thinking that he and his office may be disqualified to seek the appointment of a special prosecutor. Thus we agree with the court in *People v Schrager* (74 Misc 2d 833, 834 [Sup Ct, Queens County 1973]) that a district attorney seeking to disqualify himself or herself may do so upon “a good faith application containing the reasonable grounds for his belief that he is so disqualified.”

Upon examination of the record (which, with the acquiescence of all parties, remains sealed) we are satisfied that Donovan had a good faith, reasonable basis for his view that he is disqualified from pursuing the investigation within the meaning of County Law § 701 (1).

IV

[3] Petitioner also argues that Adler’s appointment should be set aside because the proper procedures were not followed in making that appointment. While the procedure was flawed, we do not find that the flaws warrant nullifying the appointment.

Section 200.15 of the Uniform Rules for the New York State Trial Courts (22 NYCRR) says:

“Any party filing with a superior court an application for appointment of a special district attorney, pursuant to section 701 of the County Law, shall make the application to the Chief Administrator of the Courts. The Chief Administrator, in consultation and agreement with the Presiding Justice of the appropriate Appellate Division, then shall designate a superior court judge to consider the application as provided by law.”

It is not contested that, under this rule, Donovan properly applied to the DCAJ for appointment of a special district attorney (*see* Judiciary Law § 210 [3]; 22 NYCRR 80.1 [b] [4]; 80.2 [a]). Petitioner argues, however, that the rule does not empower the DCAJ simply to appoint the special prosecutor herself, as she did here. Rather, she must, after “consultation and agreement with” the Presiding Justice, appoint “a superior court judge to consider the application.” The DCAJ responds that she complied with the rule by in effect appointing herself, an elected Supreme Court Justice and thus “a superior court judge,” to decide whether to appoint a special prosecutor and whom to appoint.

We agree with petitioner that the rule should have been—as we trust in future cases it will be—more meticulously followed. While the DCAJ was free to appoint herself, she should have documented in a separate order the fact that she did so, not simply proceeded to the appointment of Adler as Special Prosecutor. She should also have consulted with, and obtained the approval of, the Presiding Justice of the Appellate Division, and should have recited in her order that she had done so.

We do not believe, however, that these irregularities justify nullifying Adler’s appointment and creating the undesirable

situation, of which we have already spoken twice in this opinion, of an investigation that goes on for years and then is forced to return to square one. Neither petitioner nor anyone else could possibly claim to be prejudiced by the fact that the DCAJ signed one document when she should have signed two. Nor does the absence of any record of the consultation and agreement with the Presiding Justice seem a major defect here. The apparent purpose of requiring such consultation is to be sure that the judge chosen by the DCAJ is, in the opinion of the Presiding Justice, available and suitable for the task. In a case where the DCAJ chooses to appoint herself, consultation with the Presiding Justice may be of secondary importance.

Accordingly, the judgment of the Appellate Division should be affirmed, with costs.

Judges GRAFFEO, READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur; Chief Judge LIPPMAN taking no part.

Judgment affirmed, with costs.

[16 NE3d 1165, 992 NYS2d 687]

QUADRANT STRUCTURED PRODUCTS CO., LTD., Individually and
Derivatively on Behalf of ATHILON CAPITAL CORP., Appel-
lant, v VINCENT VERTIN et al., Respondents.

Argued May 7, 2014; decided June 10, 2014

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the Supreme Court of Delaware. The following questions were certified by the Supreme Court of Delaware and accepted by the New York State Court of Appeals: “(1) A trust indenture no-action clause expressly precludes a security holder[,] who fails to comply with that clause’s preconditions, from initiating any action or proceeding upon or under or with respect to ‘this Indenture,’ but makes no reference to actions or proceedings pertaining to ‘the Securities.’ The question is whether, under New York law, the absence of any reference in the no-action clause to ‘the Securities’ precludes enforcement only of contractual claims arising under the Indenture, or whether the clause also precludes enforcement of all common-law and statutory claims that security holders as a group may have. (2) In its Report on Remand, the Court of Chancery found that the Athilon no-action clause, which refers only to ‘this Indenture,’ precludes enforcement only of contractual claims arising under the Indenture. The question is whether that finding is a correct application of New York law to the Athilon no-action clause.”

HEADNOTES

**Secured Transactions — Security Agreements — Trust Indenture —
Claims Arising Outside Scope of Indenture Not Barred by “No-
Action” Clause**

1. A “no-action” clause in a trust indenture agreement governing a securities issuance that by its language applies to rights and remedies under the provisions of the indenture, but makes no mention of individual suits on the securities, does not preclude enforcement of a securityholder’s independent common-law or statutory rights. Accordingly, in an action for alleged wrongdoing related to notes purchased by plaintiff from defendant issuer, the “no-action” clause contained in the governing trust indenture providing that no securityholder “shall have any right by virtue or by availing of any provision of this Indenture” to institute any action or proceeding “upon or under or with respect to this Indenture”—in contrast to a no-action provision referring specifically to claims arising under the indenture and the securities—on its

face was limited to the contract rights recognized by the indenture itself and thus, when strictly construed and afforded its plain meaning, did not apply to claims arising outside the indenture's scope. Such interpretation did not frustrate the clause's purpose of preventing minority securityholders from pursuing litigation against the issuer, in favor of a single action initiated by a Trustee appointed to administer the issuance upon request of a majority of the securityholders. The clause's sole textual reference to "securities" appeared in the provision permitting a Trustee-initiated suit after notice of a continuing "default in respect of the series of Securities" and upon approval by a majority of securityholders. The clause thus applied when the Trustee was authorized to decide whether to act but did not serve as an outright prohibition on a securityholder-filed suit where the Trustee was without authorization to act. Such interpretation also did not upset the parties' expectations. The indenture defined "indenture" and "securities" separately, recognizing them as distinct, and the parties could not have expected a different interpretation, given the clause's plain language.

**Secured Transactions — Security Agreements — Trust Indenture —
Claims Arising Outside Scope of Indenture Not Barred by "No-
Action" Clause**

2. In an action alleging wrongdoing related to senior subordinated notes purchased by plaintiff from defendant issuer as part of a securities issuance, the Delaware Chancery Court correctly concluded that the governing trust indenture's "no-action" clause, which referred only to claims "upon or under or with respect to this Indenture," applied to the contractual claims arising under the indenture but did not bar its remaining individual and derivative claims seeking damages and injunctive relief for breaches of fiduciary duty, fraudulent transfer and conspiracy. The "no-action" clause made no reference to claims arising under the securities and did not apply to plaintiff's common-law and statutory claims. In addition, the "no-action" clause permitted a Trustee-initiated suit only after notice of a continuing "default in respect of the series of Securities" and upon approval by a majority of securityholders. In its complaint, plaintiff claimed that defendant issuer's board, installed and controlled by defendant holder of junior notes acquired as part of the issuance, acted pursuant to a scheme that ensured that junior securityholders were paid, despite their inferior status vis-à-vis plaintiff's senior notes, and, as a consequence, payment of the senior securities was imperiled. Plaintiff described defendant issuer's actions as an effort to siphon off capital for the benefit of defendant junior securityholders. Thus understood, the Trustee could not address plaintiff's claims as they were not based on any default on the securities.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Secured Transactions §§ 31, 654–656.

NY JUR 2d, Business Relationships § 336; NY JUR 2d, Mortgages and Deeds of Trust §§ 24, 27, 228; NY JUR 2d, Secured Transactions § 304.

ANNOTATION REFERENCE

See ALR Index under Bonds and Securities; Secured Transactions; Securities Regulation.

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Query: securities & indenture /s no-action

POINTS OF COUNSEL

Bingham McCutchen LLP (Sabin Willett, of the Massachusetts bar, admitted pro hac vice, and Samuel Rowley, of the Massachusetts bar, admitted pro hac vice, of counsel), and *Richards, Layton & Finger, P.A.*, Wilmington, Delaware (Lisa A. Schmidt, Catherine G. Dearlove and Russell C. Silberglid of counsel), for appellant. I. Under New York law, as a matter of plain language, the absence of the phrase “or the securities” from the no-action clause renders it inapplicable to Quadrant Structured Products Company, Ltd.’s claims. (*Racepoint Partners, LLC v JPMorgan Chase Bank, N.A.*, 14 NY3d 419; *Greenfield v Philles Records*, 98 NY2d 562; *Helmsley-Spear, Inc. v New York Blood Ctr.*, 257 AD2d 64; *Suffolk County Water Auth. v Village of Greenport*, 21 AD3d 947; *Greenwich Capital Fin. Prods., Inc. v Negrin*, 74 AD3d 413; *Maurice Goldman & Sons v Hanover Ins. Co.*, 80 NY2d 986; *Roberts v Tishman Speyer Props., L.P.*, 62 AD3d 71, 13 NY3d 270.) II. New York law shows that, by its plain language, the no-action clause does not bar Quadrant Structured Products Company, Ltd.’s claims. (*General Inv. Co. v Interborough R.T. Co.*, 200 App Div 794, 235 NY 133; *Deutsch v Gutehoffnungshutte, Aktienverein Fur Bergbau und Huttenbetrieb*, 168 Misc 872; *Lidgerwood v Hale & Kilburn Corp.*, 47 F2d 318; *Rudick v Ulster & Delaware R.R.*, 147 Misc 637; *Cruden v Bank of N.Y.*, 957 F2d 961; *Walnut Place LLC v Countrywide Home Loans, Inc.*, 96 AD3d 684, 35 Misc 3d 1207[A], 2012 NY Slip Op 50601[U]; *Elliott Assoc. v J. Henry Schroder Bank & Trust Co.*, 838 F2d 66; *AMBAC Indem. Corp. v Bankers Trust Co.*, 151 Misc 2d 334; *Emmet & Co., Inc. v Catholic Health E.*, 37 Misc 3d 854.) III. Neither New York law nor the indenture has conferred upon the indenture trustee the power to bring Quadrant Structured Products Company, Ltd.’s claims. (*Navarro Savings Assn. v Lee*, 446 US 458; *Meckel v Continental Resources Co.*, 758 F2d 811.) IV. Allowing Quadrant Structured Products Company, Ltd.’s claims to proceed would not subvert the purpose of the no-action clause.

Quinn Emanuel Urquhart & Sullivan, LLP, New York City (Kathleen M. Sullivan, Philippe Z. Selendy, Nicholas F. Joseph, Sean P. Baldwin and Alicia K. Cobb of counsel), *Potter Anderson*

& Corroon LLP, Wilmington, Delaware (*Philip A. Rovner* of counsel), and *Seitz Ross Aronstam & Moritz LLP* (*Garrett B. Moritz* of counsel) for respondents. I. The parties' failure to use the particular words "the securities" does not, in and of itself, restrict coverage of a no-action clause. (*Wood v Duff-Gordon*, 222 NY 88; *Riverside S. Planning Corp. v CRP/Extell Riverside, L.P.*, 13 NY3d 398; *Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352; *Batchelder v Council Grove Water Co.*, 131 NY 42; *Campbell v Hudson & Manhattan R.R. Co.*, 277 App Div 731; *Emmet & Co., Inc. v Catholic Health E.*, 114 AD3d 605; *Walnut Place LLC v Countrywide Home Loans, Inc.*, 96 AD3d 684; *Bank of N.Y. v Battery Park City Auth.*, 251 AD2d 211; *Greene v New York United Hotels, Inc.*, 236 App Div 647, 261 NY 698; *Akanthos Capital Mgt., LLC v CompuCredit Holdings Corp.*, 677 F3d 1286.) II. The Athilon Capital Corp. no-action clause covers all claims a noteholder has based on its status as a noteholder. (*Matter of Express Indus. & Term. Corp. v New York State Dept. of Transp.*, 93 NY2d 584; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd's of London*, 96 NY2d 583; *Suffolk County Water Auth. v Village of Greenport*, 21 AD3d 947; *Akanthos Capital Mgt., LLC v CompuCredit Holdings Corp.*, 677 F3d 1286; *Allan v Moline Plow Co.*, 14 F2d 912; *Beal Sav. Bank v Sommer*, 8 NY3d 318; *Roberts v Tishman Speyer Props., L.P.*, 62 AD3d 71; *Greene v New York United Hotels, Inc.*, 236 App Div 647, 261 NY 698; *ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208; *Walnut Place LLC v Countrywide Home Loans, Inc.*, 96 AD3d 684.)

OPINION OF THE COURT

RIVERA, J.

In response to the first certified question from the Supreme Court of the State of Delaware, we conclude that a trust indenture's "no-action" clause that specifically precludes enforcement of contractual claims arising under the indenture, but omits reference to "the Securities," does not bar a securityholder's independent common-law or statutory claims. Accordingly, we answer the second question in the affirmative.

I.

The Delaware litigation underlying the certified questions is a reminder of the continued effects of the 2008 financial crisis and the economic fallout associated with the utilization of complex financial instruments that mask investment risk levels (see generally Kristin N. Johnson, *Things Fall Apart: Regulating*

the Credit Default Swap Commons, 82 U Colo L Rev 167 [2011]; Brendan Sapien, *Financial Weapons of Mass Destruction: From Bucket Shops to Credit Default Swaps*, 19 S Cal Interdisc LJ 411 [2010]). Against this backdrop of high-stakes securities transactions and downward spiraling financial fortunes, the certified questions present for our consideration familiar efforts to prohibit individual lawsuits of securityholders, by the use of a contractual provision referred to as a “no-action” clause.

II.

Quadrant Structured Products Company, Ltd. (Quadrant)¹ sued several defendants in the Delaware Court of Chancery for alleged wrongdoing related to notes purchased by Quadrant and issued by defendant Athilon Capital Corp. (Athilon),² a business which plaintiff alleges is now insolvent. Defendant EBF & Associates, LP (EBF) acquired Athilon in 2010, installed and now controls its Board. Like Quadrant, EBF holds certain Athilon issued securities. Defendants moved to dismiss the suit as barred by a no-action clause contained in the indenture agreement governing Quadrant’s notes. The notes and indenture were a necessary part of Athilon’s financing scheme, which has its roots in Athilon’s initial formation. Athilon was founded in 2004 with \$100 million in equity and, along with its wholly owned subsidiary Athilon Asset Acceptance Corp., sold credit derivative products in the form of “credit default swaps” which afforded credit protection for large financial institutions.³ These credit default swaps provided that Athilon would pay the

1. Quadrant is a Cayman Islands limited liability company with its principal place of business in Connecticut.

2. Athilon is a Delaware corporation with its principal place of business in New York.

3. A credit default swap is a financial instrument that serves as “a promise by one party to pay another party in the event that a third party defaults on its debt” (Jeremy C. Kress, *Credit Default Swaps, Clearinghouses, and Systemic Risk: Why Centralized Counterparties Must Have Access to Central Bank Liquidity*, 48 Harv J on Legis 49, 52 [2011] [citation omitted]). A credit default swap contract “obligates a protection buyer to make periodic premium payments to a protection seller, who in turn must pay the buyer if one or more underlying reference entities experiences a credit event [such as default, bankruptcy or credit rating downgrade]” (*id.* [citation omitted]). Such financial instruments were viewed with skepticism and concern by some critics who feared “that a spike in interest rates could trigger a ‘derivatives tsunami’ that would bring all of the major banks to their knees and cause a ‘blowup’ in world credit markets” (Robert F. Schwartz, *Risk Distribution in*

(n. cont’d)

purchaser in the case of a default on the debt that was the subject of the swap. As a risk containment measure, Athilon's operating guidelines mandated that it invest conservatively, and that when certain "suspension events" occurred, enter "runoff mode"—a period during which it could not issue new credit swaps and was required to pay off existing swaps as claims arose.

As part of its capital raising strategy, Athilon incurred debt through the issuance of a series of securities,⁴ as relevant here, consisting of \$350 million in senior subordinated notes, \$200 million in three series of subordinated notes and \$50 million in junior notes.⁵ Athilon raised \$600 million in capital through this debt structure. Debt subordination is common in commercial finance, and as the name of these different classes of notes implies, payment of senior subordinated notes takes priority over payment of junior notes.⁶ Quadrant owns certain classes of

the Capital Markets: Credit Default Swaps, Insurance and a Theory of Demarcation, 12 Fordham J Corp & Fin L 167, 170 [2007] [citation omitted]).

4. A security is

"any note, stock, treasury stock, security future, security-based swap, bond, debenture, certificate of interest or participation in any profit-sharing agreement or in any oil, gas, or other mineral royalty or lease, any collateral-trust certificate, preorganization certificate or subscription, transferable share, investment contract, voting-trust certificate, certificate of deposit for a security, any put, call, straddle, option, or privilege on any security, certificate of deposit, or group or index of securities (including any interest therein or based on the value thereof), or any put, call, straddle, option, or privilege entered into on a national securities exchange relating to foreign currency, or in general, any instrument commonly known as a 'security'; or any certificate of interest or participation in, temporary or interim certificate for, receipt for, or warrant or right to subscribe to or purchase, any of the foregoing; but shall not include currency or any note, draft, bill of exchange, or banker's acceptance which has a maturity at the time of issuance of not exceeding nine months, exclusive of days of grace, or any renewal thereof the maturity of which is likewise limited" (15 USC § 78c [a] [10]).

5. A "note" is defined as "A written promise by one party (the *maker*) to pay money to another party (the *payee*) or to bearer" (Black's Law Dictionary [9th ed 2009]).

6. "[T]he basic concept of a subordination agreement is simple: It is the subordination of the right to receive payment of certain indebtedness . . . prior [to] payment of certain other indebtedness (the senior debt) of the same debtor. Put another way—in the circumstances specified in the subordination agreement, the senior debt must be paid in full before payment may be made on the subordinated debt and retained by the subordinating credi-

(n. cont'd)

these subordinated notes, including senior subordinated notes, while EBF owns junior notes.

As part of this debt financing, Athilon entered agreements, referred to as trust indentures (indentures), with two separate Trustees, who serve as third-party administrators of the issuance of the securities.⁷ An indenture is essentially a written agreement that bestows legal title of the securities in a single Trustee to protect the interests of individual investors who may be numerous or unknown to each other (*see generally* George G. Bogert & George T. Bogert, *The Law of Trusts and Trustees* § 250 at 280 [2d ed rev 1992]). As is typical of these agreements, the Athilon indentures set forth Athilon's obligations as the issuer of the securities, the securityholders' rights and remedies in the case of Athilon's default on the provisions of the indenture, and the duties and obligations of the Trustee (*see* Thomas Lee Hazen, *The Law of Securities Regulation* § 19.1 at 467 [6th ed], citing 15 USC § 77ccc [7] ["The contract, or 'indenture,' identifies the rights of all parties concerned, as well as the duties of the trustee (a third-party administrator), the obligations of the borrower, and the remedies available to the investors"]).

By 2008, Athilon had undertaken \$50 billion in nominal credit default risk, far exceeding its \$700 million in capital reserves, which consisted of the \$100 million in equity and \$600 million in security debt. Quadrant contends that at this rate a mere 0.2% loss on the collateralized debt obligations covered by Athilon's credit default swaps would strip Athilon of its equity and render it insolvent.⁸ Indeed, in the aftermath of the 2008 financial crisis, in early 2009, Athilon and its subsidiary

tor" (Dee Martin Calligar, *Subordination Agreements*, 70 Yale LJ 376, 376 [1961]).

7. Deutsche Bank Trust Company serves as Trustee under the indenture governing subordinated notes, and The Bank of New York serves as Trustee pursuant to the indenture governing senior subordinated notes (*see Quadrant Structured Prods. Co., Ltd. v Vertin*, — A3d —, —, 2013 WL 5962813, *2, 2013 Del LEXIS 570, *5 [Nov. 7, 2013, No. 338, 2012]).

8. A collateralized debt obligation is a type of asset-backed security (*see* Neal Deckant, *X. Reforms of Collateralized Debt Obligations: Enforcement, Accounting and Regulatory Proposals*, 29 Rev Banking & Fin L 79, 80 [2009]). The underlying assets are "pooled together, split into subordinated repayment rights ('tranches'), rated by a credit rating agency and sold to investors" (*see* Neal Deckant, *Criticisms of Collateralized Debt Obligations in the Wake of the Goldman Sachs Scandal*, 30 Rev Banking & Fin L 407, 410 [2010] [citation omitted]).

sustained several suspension events and entered into runoff mode as per its operating guidelines.

In October 2011, Quadrant sued Athilon, Athilon's officers and directors, EBF, and EBF affiliate Athilon Structured Investment Advisors LLC (ASIA), asserting various counts directly and derivatively as a creditor of Athilon. Quadrant asserted claims for breaches of fiduciary duty, seeking damages and injunctive relief, and also asserted fraudulent transfer claims against EBF and ASIA. According to Quadrant, EBF acquired Athilon in 2010, and controls the Athilon Board by virtue of having installed its board members. Quadrant claimed that the Board failed to preserve Athilon's value in anticipation of liquidation in 2014 when the last credit swap was set to expire, and instead took actions in direct contravention of its duties, but which favored EBF and its affiliate. Specifically, Quadrant alleged that the EBF-controlled Board paid interest on the junior notes, notwithstanding that Athilon agreed to defer interest payments on these notes and that junior notes would not receive a return during liquidation. As a consequence, EBF received payment on its junior notes, to the detriment of senior subordinated securities, including Quadrant's subordinated notes. Quadrant also alleged the Board paid ASIA above-market-rate service fees to manage Athilon's day-to-day operations.

The Court of Chancery characterized Athilon's investment strategy as "high risk" and "contrary to the terms of Athilon's governing documents," which was designed to ensure EBF benefitted financially, regardless of the risk associated with the investment, and regardless of the status of the EBF junior notes (*Quadrant Structured Prods. Co., Ltd. v Vertin*, 2013 WL 3233130, *2, 2013 Del Ch LEXIS 152, *7 [June 20, 2013, CA No. 6990-VCL]). All the while, the owners of the senior notes suffered the loss of the failed high-risk investment.⁹

Defendants moved to dismiss, asserting that Quadrant's claims were barred by a no-action clause (Athilon clause) contained in article 7, § 7.06 of the indenture governing the subordinated notes. The Athilon clause provides:

"Limitations on Suits by Securityholder. No holder of any Security shall have any right by virtue or by

9. The Court of Chancery described a strategy "that amounts to a 'heads EBF wins, tails everyone else loses' bet. If the high-risk investments succeed, then the underwater Junior Notes and equity will benefit. If the investments fail, then the more senior tranches of Notes will bear the loss" (*Quadrant*, 2013 WL 3233130, *2, 2013 Del Ch LEXIS 152, *7).

availing of any provision of this Indenture to institute any action or proceeding at law or in equity or in bankruptcy or otherwise upon or under or with respect to this Indenture, or for the appointment of a trustee, receiver, liquidator, custodian or other similar official or for any other remedy hereunder, unless such holder previously shall have given to the Trustee written notice of default in respect of the series of Securities held by such Securityholder and of the continuance thereof, as hereinbefore provided, and unless also the holders of not less than 50% of the aggregate principal amount of the relevant series of Securities at the time Outstanding shall have made written request upon the Trustee to institute such action or proceedings in its own name as trustee hereunder and shall have offered to the Trustee such reasonable indemnity as it may require against the costs, expenses and liabilities to be incurred therein or thereby and the Trustee for 60 days after its receipt of such notice, request and offer of indemnity shall have failed to institute any such action or proceedings and no direction inconsistent with such written request shall have been given to the Trustee pursuant to Section 7.08 hereof within such 60 days.”

Defendants argued that the clause permitted only Trustee-initiated suits upon request of a majority of securityholders, and prohibited individual securityholder actions. In support of this argument defendants relied on *Feldbaum v McCrory Corp.* (1992 WL 119095, 1992 Del Ch LEXIS 113, 18 Del J Corp L 630 [June 1, 1992]) and *Lange v Citibank, N.A.* (2002 WL 2005728, *1, 2002 Del Ch LEXIS 101, *1-2 [Aug. 13, 2002, CA No. 19245-NC]), Delaware Court of Chancery cases applying New York law, wherein the court dismissed the respective plaintiffs’ claims based on a no-action clause. The clauses at issue in those cases barred a securityholder’s action “with respect to this Indenture or the Securities unless [specified conditions are met]” (*Feldbaum*, 1992 WL 119095 at *5, 1992 Del Ch LEXIS 113 at *17, 18 Del J Corp L at 641; *Lange*, 2002 WL 2005728 at *5, 2002 Del Ch LEXIS 101 at *16 [emphasis added]).

The Delaware Chancery Court dismissed Quadrant’s complaint, citing *Feldbaum* and *Lange* (*Quadrant Structured Prods. Co., Ltd. v Vertin*, 2012 WL 2051753, 2012 Del Ch LEXIS

300 [June 5, 2012, CA No. 6990-VCL]). On appeal to the Delaware Supreme Court, Quadrant asserted for the first time that the *Feldbaum* and *Lange* clauses were distinguishable because the clauses in those cases specifically mentioned claims arising under both the indenture *and* “the Securities,” whereas the Athilon clause only applies to claims under the indenture. Therefore, the clause did not bar common-law or statutory claims arising under the securities. The Delaware Supreme Court remanded the case back to the Court of Chancery, ordering it “to issue an opinion analyzing the significance (if any) under New York law of the differences between the no-action clauses in the *Lange* and *Feldbaum* indentures and the Athilon Indenture” (*Quadrant Structured Prods. Co., Ltd. v Vertin*, 2013 WL 8858605, *2, 2013 Del LEXIS 380, *5-6 [Feb. 12, 2013, No. 338, 2012]; *see* — A3d at —, 2013 WL 5962813 at *8, 2013 Del LEXIS 570 at *23).

Thereafter, the Court of Chancery issued a Report on Remand in which the court concluded that the no-action clause applies only to contractual claims arising under the indenture. After a thorough analysis of New York cases and *Feldbaum* and *Lange*, the court found the Athilon clause differed from a *Feldbaum* and *Lange*-type clause, and only extended to actions or proceedings where a securityholder claims a right by virtue or by availing of any provision of the indenture. The court, therefore, concluded that the majority of Quadrant’s claims were not barred under the clause, and that dismissal was warranted with respect to two claims and partial dismissal with respect to a third because only those claims arose under the Athilon indenture.¹⁰

Upon receipt of the Report, the Delaware Supreme Court certified the following questions to us:

“(1) A trust indenture no-action clause expressly precludes a security holder[,] who fails to comply with that clause’s preconditions, from initiating any action or proceeding upon or under or with respect to ‘this Indenture,’ but makes no reference to actions or proceedings pertaining to ‘the Securities.’

10. Specifically, the court identified as subject to dismissal count VII, which alleged breach of the implied covenant of good faith and fair dealing; count VIII, which alleged tortious interference with the implied covenant referenced in count VII; and part of count X, which alleged civil conspiracy relating to all other counts in Quadrant’s complaint (*see Quadrant Structured Prods. Co., Ltd. v Vertin*, 2013 WL 3233130, *23, 2013 Del Ch LEXIS 152, *84-85 [June 20, 2013, CA No. 6990-VCL]).

“The question is whether, under New York law, the absence of any reference in the no-action clause to ‘the Securities’ precludes enforcement only of contractual claims arising under the Indenture, or whether the clause also precludes enforcement of all common law and statutory claims that security holders as a group may have.

“(2) In its Report on Remand . . . , the Court of Chancery found that the Athilon no-action clause, which refers only to ‘this Indenture,’ precludes enforcement only of contractual claims arising under the Indenture. The question is whether that finding is a correct application of New York law to the Athilon no-action clause” (— A3d at —, 2013 WL 5962813 at *5, 2013 Del LEXIS 570 at *14-15).

Pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR), we accepted both certified questions (*Quadrant Structured Prods. Co., Ltd. v Vertin*, 22 NY3d 1008 [2013]).

III.

A.

[1] In response to the first question, for the reasons discussed in detail below, we conclude that a no-action clause which by its language applies to rights and remedies under the provisions of the indenture agreement, but makes no mention of individual suits on the securities, does not preclude enforcement of a securityholder’s independent common-law or statutory rights. We reach this conclusion based on the legal standards applicable to indenture agreements, as well as the analyses of no-action clauses in *Feldbaum* and *Lange*, and cases from New York.

A trust indenture is a contract, and under New York law “[i]nterpretation of indenture provisions is a matter of basic contract law” (*Sharon Steel Corp. v Chase Manhattan Bank, N.A.*, 691 F2d 1039, 1049 [2d Cir 1982]; *see also* Thomas Lee Hazen, *The Law of Securities Regulation* § 19.1 at 467 [6th ed] [referring to indenture as a contract]; *Racepoint Partners, LLC v JPMorgan Chase Bank, N.A.*, 14 NY3d 419 [2010] [same]; *AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 11 NY3d 146 [2008] [same]).

In construing a contract we look to its language, for “a written agreement that is complete, clear and unambiguous on its

face must be enforced according to the plain meaning of its terms” (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]; accord *J. D’Addario & Co., Inc. v Embassy Indus., Inc.*, 20 NY3d 113, 118 [2012]; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004]; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]; *Nichols v Nichols*, 306 NY 490, 496 [1954]). As the case law further establishes, we read a no-action clause to give effect to the precise words and language used, for the clause must be “strictly construed” (*Cruden v Bank of N.Y.*, 957 F2d 961, 968 [2d Cir 1992] [citation omitted]; cf. *Feldbaum*, 1992 WL 119095, *7-8, 1992 Del Ch LEXIS 113, *25, 18 Del J Corp L at 645; *Lange*, 2002 WL 2005728 at *7, 2002 Del Ch LEXIS 101 at *20-22; *Cruden v Bank of N.Y.*, 1990 WL 131350, *12, 1990 US Dist LEXIS 11564, *35 [SD NY, Sept. 4, 1990, Nos. 85 Civ. 4170 (JFK), 85 Civ. 4219 (JFK), 85 Civ. 4570 (JFK), 87 Civ. 5493 (JFK)]; *Victor v Riklis*, 1992 WL 122911, *6 n 7, 1992 US Dist LEXIS 7025, *20 n 7 [SD NY, May 15, 1992, No. 91 Civ. 2897 (LJF)]; *McMahan & Co. v Wherehouse Entertainment, Inc.*, 859 F Supp 743 [SD NY 1994]).

Even where there is ambiguity, if parties to a contract omit terms—particularly, terms that are readily found in other, similar contracts—the inescapable conclusion is that the parties intended the omission. The maxim *expressio unius est exclusio alterius*, as used in the interpretation of contracts, supports precisely this conclusion (see generally Glen Banks, New York Contract Law § 10.13 [West’s NY Prac Series 2006]; see also *In re Ore Cargo, Inc.*, 544 F2d 80, 82 [2d Cir 1976] [where sophisticated drafter omits a term, *expressio unius* precludes the court from implying it from the general language of the agreement]).

Applying these well established principles of contract interpretation, and with the understanding that no-action clauses are to be construed strictly and thus read narrowly, we turn to the language of the no-action clause presented by the certified question. The no-action clause here states that no securityholder “shall have any right *by virtue or by availing of any provision of this Indenture* to institute any action or proceeding at law or in equity or in bankruptcy or otherwise *upon or under or with respect to this Indenture . . .*” The clear and unambiguous text of this no-action clause, with its specific reference to the indenture, on its face limits the clause to the contract rights recognized by the indenture agreement itself. Further supporting this construction of the clause is the sole textual reference to securities, which is contained in the clause’s provision for a

Trustee-initiated suit for a continuing “default in respect of the series of Securities.”¹¹ This part of the no-action clause permits the trustee to sue in its name, after notice by a securityholder of a continuing default and upon approval of the suit by a majority of securityholders. Thus, the clear import of the no-action clause is to leave a securityholder free to pursue independent claims involving rights not arising from the indenture agreement.

This no-action clause, with its specific limit on the enforcement of indenture contract rights, is in contrast to no-action clauses which extend beyond the four corners of the indenture agreement to cover securities-based claims. As the cases illustrate, where the no-action clause refers to both the indenture and the securities the securityholder’s claims are subject to the terms of the clause, whether those claims be contractual in nature and based on the indenture agreement, or arise from common law and statute.

Thus, in *Feldbaum*, where the no-action clause stated, in pertinent part, that “[a] Securityholder may not pursue *any remedy with respect to this Indenture or the Securities* unless [specified conditions are met]” (1992 WL 119095, *5, 1992 Del Ch LEXIS 113, *17, 18 Del J Corp L at 641), the court held that the clause barred the securityholders’ fraud and breach of contract claims against the issuers of the securities (1992 WL 119095 at *2-3, 1992 Del Ch LEXIS 113 at *7-10, 18 Del J Corp L at 636-638). The court concluded that by its language the no-action clause barred not only contractual claims arising from the indenture itself, but also any claims individuals may have based on their status as securityholders (1992 WL 119095 at *7-8, 1992 Del Ch LEXIS 113 at *26-27, 18 Del J Corp L at 645).

11. Specifically, section 7.06 of the indenture provides that no action may be commenced

“unless such holder previously shall have given to the Trustee written notice of default in respect of the series of Securities held by such Securityholder . . . , and unless also the holders of not less than 50% of the aggregate principal amount of the relevant series of Securities at the time Outstanding shall have made written request upon the Trustee to institute such action or proceedings in its own name as trustee hereunder . . . and the Trustee [after 60 days] . . . shall have failed to institute any such action or proceedings and no direction inconsistent with such written request shall have been given to the Trustee pursuant to [the indenture] within such 60 days”

Similarly, in *Lange*, the court dismissed plaintiffs' claims as barred by a trust indenture no-action clause that provided "[a] Securityholder may not pursue a remedy with respect to this Indenture or the Securities unless [specified conditions are met]" (2002 WL 2005728 at *5, 2002 Del Ch LEXIS 101 at *16). Plaintiffs in *Lange* were a group of securityholders who sued the issuer for having sold off its subsidiaries for an unfair value (2002 WL 2005728 at *1, 2002 Del Ch LEXIS 101 at *1-2). Plaintiffs sought to rescind the sales or disgorge the proceeds arguing, inter alia, breach of the issuer's fiduciary duty. The court applied the reasoning in *Feldbaum* to find that the no-action clause barred all claims "with respect to the Indenture or the Debentures themselves" (2002 WL 2005728 at *7, 2002 Del Ch LEXIS 101 at *21).

The decisions in *Feldbaum* and *Lange* relied on the language of the clause, which was broad enough to encompass conditions on enforcement of indenture and securities-based claims (*Feldbaum*, 1992 WL 119095 at *6, 1992 Del Ch LEXIS 113 at *17-18, 18 Del J Corp L at 641; *Lange*, 2002 WL 2005728 at *7, 2002 Del Ch LEXIS 101 at *20-22). Here, unlike the *Feldbaum* and *Lange* clauses, the Athilon no-action clause omits the phrase "or the Securities," indicating its coverage is limited to the indenture and rights thereunder.

Decisions from New York further support this interpretation of the words contained in the no-action clause. For example, in *General Inv. Co. v Interborough R.T. Co.* (200 App Div 794 [1st Dept 1922]), plaintiff sought to recover payment on five promissory notes. Defendant argued the no-action clause barred recovery, relying on language in the clause that provided:

"No holder of any note hereby secured shall have any right to institute any suit, action or proceeding in equity or at law for the enforcement of this indenture, or for the execution of any trust hereof, or for the appointment of a receiver, or for any other remedy hereunder, unless such holder [meets specified requirements]" (*id.* at 796 [emphasis omitted]).

The Appellate Division held that the no-action clause did not bar plaintiff's suit because the clause applied to proceedings arising from the enforcement of the indenture and plaintiff's action "is not to affect, disturb or prejudice the lien of the

collateral indenture or to enforce any right thereunder” (*id.* at 801).¹²

In *Cruden*, plaintiffs sought to assert fraud and civil claims under the Racketeer Influenced and Corrupt Organizations Act (RICO) against the issuer. Defendants argued a no-action clause barred their claims. The clause therein provided:

“No holder of any Debenture shall have any right by virtue of or by availing himself of any provision of this Indenture to institute any action or proceedings at law or in equity or in bankruptcy or otherwise, upon or under or with respect to this Indenture, or for the appointment of a receiver or trustee, or for any other remedy hereunder” (1990 WL 131350, *12, 1990 US Dist LEXIS 11564, *35-36.)

Although reversing in part, the Second Circuit agreed with the District Court’s conclusion that plaintiffs’ fraud and RICO claims were not made under the indenture and, thus, could not be barred by the no-action clause (*Cruden*, 957 F2d at 968).¹³

In contrast, in *Victor*, the District Court dismissed plaintiff’s RICO claims as barred by a no-action clause (1992 WL 122911 at *1, 1992 US Dist LEXIS 7025 at *2). The clause at issue, similar to the clause in *Feldbaum*, prohibited “any remedy with respect to [the] Indenture or the Securities” unless specified conditions were met (1992 WL 122911 at *6, 1992 US Dist LEXIS 7025 at *19 [emphasis omitted]). The District Court distinguished the clause from the no-action clause in *Cruden* because the former was “not as broad as the one [here]” (1992 WL 122911, *6 n 7, 1992 US Dist LEXIS 7025, *20 n 7).

In *McMahan*, a no-action clause barred actions seeking “any remedy with respect to [the] Indenture or the Securities” (859 F Supp at 747). Plaintiffs brought federal securities claims arguing, inter alia, that they were entitled to immediate tender of their securities as a consequence of the issuer’s merger with two other entities. The District Court held federal securities laws preclude application of a no-action clause to plaintiffs’ federal securities claims, allowing those claims to proceed, but

12. This Court affirmed without discussion of the no-action clause (see *General Inv. Co. v Interborough R.T. Co.*, 235 NY 133 [1923]).

13. The Second Circuit reversed the District Court’s ruling that some of plaintiffs’ claims against the Trustees were time-barred (*Cruden*, 957 F2d at 978).

concluded the state law claims were properly barred by the no-action clause (*id.* at 749).¹⁴

As these cases illustrate, a no-action clause, like the Athilon clause, that refers only to actions under the indenture, is limited by its language to indenture-based contract claims. However, a no-action clause similar to the clauses in *Feldbaum* and *Lange*, that refers specifically to claims and remedies arising under the indenture and the securities, applies to all claims, except those excluded from coverage as a matter of law. Here, the Athilon no-action clause when strictly construed and afforded its plain meaning, makes no reference to the securities, and therefore does not apply to claims arising outside the scope of the indenture. Accordingly, we agree with the Delaware Chancery Court's Report on Remand that *Feldbaum* and *Lange* are distinguishable, and the Athilon no-action clause applies only to contract claims under the indenture, not to Quadrant's common-law and statutory claims.

Defendants argue that under New York law, what matters is the parties' intent, not any "legal talismans," and that the parties' intent was for the no-action clause to apply to all individual securityholder suits. This is no argument at all, for under our law where the language of the contract is clear we rely on the terms of the document to give effect to the parties' intent (*see J. D'Addario & Co.*, 20 NY3d at 118; *Vermont Teddy Bear Co.*, 1 NY3d at 475; *Nichols*, 306 NY at 496). As we have discussed, the no-action clause is clear on its face and applies to indenture contract claims only. The New York cases upon which defendants rely fail to persuade us otherwise, for they involve rights under the indenture, or securityholder rights which a no-action clause may not abridge as a matter of law (*see e.g. Greene v New York United Hotels, Inc.*, 236 App Div 647, 648 [1st Dept 1932] [petition for receivership dismissed as defective; debentureholder failed to plead compliance with no-action clause for claims of past-due payment]; *Emmet & Co., Inc. v Catholic Health E.*, 37 Misc 3d 854, 856 [Sup Ct, NY County 2012] [claim arising under indenture]; *Walnut Place LLC v Countrywide Home Loans, Inc.*, 35 Misc 3d 1207[A], 2012 NY Slip Op 50601[U] [Sup Ct, NY County 2012] [claim against Trustee]). The reasoning in these cases provides no basis to alter our

14. The Second Circuit affirmed, but remanded back to the District Court for a recalculation of damages under the Securities Act of 1933 (*McMahan & Co. v Warehouse Entertainment, Inc.*, 65 F3d 1044, 1051 [2d Cir 1995]).

conclusion that a no-action clause that omits language specifically referencing the securities does not extend to a securityholder's common-law and statutory claims.

Nevertheless, defendants argue that, regardless of the actual words used, the language of the no-action clause includes all securityholder actions. Defendants essentially argue that references to the indenture should be interpreted to include the securities, and that to do otherwise will upset the parties' expectations. These arguments are unsupported by the no-action clause itself.

In support of their argument that indenture also means securities, defendants point to the purpose of the no-action clause, which they argue is to prevent unpopular duplicative suits, by channeling all securityholder claims through the Trustee. They contend that a no-action clause prohibits what they call the "lone ranger" lawsuit: individuals asserting claims that foster the interests of minority securityholders at the potential expense of the majority's interest. Quadrant's suit, defendants argue, is exactly the type of litigation the no-action clause is intended to prevent. Given this understanding of the intent of the no-action clause, the omission of the words "the Securities" is logical because they would be superfluous, adding nothing to the already expansive coverage of the clause.

Defendants are correct that generally a no-action clause prevents minority securityholders from pursuing litigation against the issuer, in favor of a single action initiated by a Trustee upon request of a majority of the securityholders (*see* American Bar Foundation, Commentaries on Indentures § 5.7 at 232 [1971] [discussing proposed no-action clause in model indenture, finding "(t)he major purpose of this (proposed no-action clause) is to deter individual debentureholders from bringing independent law suits for unworthy or unjustifiable reasons, causing expense to the Company and diminishing its assets"']).

As the court in *Feldbaum* noted, limitations on individual securityholder suits serve the primary purpose of a no-action clause, which is "to protect issuers from the expense involved in defending [individual] lawsuits that are either frivolous or otherwise not in the economic interest of the corporation and its creditors" (1992 WL 119095 at *6, 1992 Del Ch LEXIS 113 at *20, 18 Del J Corp L at 642). These limitations further "protect[] against the risk of strike suits" (*id.*). Indeed, a no-action

clause “make[s] it more difficult for individual bondholders to bring suits that are unpopular with their fellow bondholders” (1992 WL 119095, *5, 1992 Del Ch LEXIS 113, *19, 18 Del J Corp L at 642). The no-action clause achieves these goals

“by delegating the right to bring a suit enforcing rights of bondholders to the trustee, or to the holders of a substantial amount of bonds, and by delegating to the trustee the right to prosecute such a suit in the first instance. These clauses also ensure that the proceeds of any litigation actually prosecuted will be shared ratably by all bondholders” (1992 WL 119095 at *6, 1992 Del Ch LEXIS 113 at *21, 18 Del J Corp L at 643 [citation omitted]).

However, even defendants admit that the Athilon clause is not a complete bar to any and all securityholder suits. There are claims which, by law, cannot be prohibited by a no-action clause, most notably claims against the trustee (*see e.g.* 15 USC § 7700o [d] [“The indenture . . . shall not contain any provisions relieving the indenture trustee from liability for its own negligent action, its own negligent failure to act, or its own willful misconduct”]; *see also Cruden*, 957 F2d at 968 [no-action clause will not bar securityholder suit against Trustee because “it would be absurd to require the debenture holders to ask the Trustee to sue itself”]).

Defendants appear to argue that the enactment of the Trust Indenture Act of 1939 (TIA) eliminated the need to reference the securities in a no-action clause because the TIA prohibits the clause from barring a securityholder’s action against the Trustee for breach of duties recognized by the TIA, or for past-due interest or principal on the securities (*see* 15 USC § 77ppp [b]). Of course, as *Quadrant’s* case illustrates, a securityholder may have claims apart from claims against the Trustee, or for past-due payments. Moreover, as long as the indenture does not violate or conflict with the TIA, the parties may structure the indenture agreement to address their respective interests and obligations, including placing limits on certain claims of right.

Most significant here is that the no-action clause, by its own terms, is concerned with minority holders’ actions in the case of a default by the issuer of the securities. The no-action clause requires a written request for the Trustee to commence an action or proceeding *regarding a default* with respect to the series of securities held by the noteholder and approval by a majority

of securityholders.¹⁵ Logically then, the no-action clause applies when the Trustee is authorized to decide whether to act; it cannot serve as an outright prohibition on a suit filed by a securityholder in the case where the Trustee is without authorization to act. Otherwise, the purpose of the no-action clause—to avoid duplicative suits and protect the majority interests by mandating that actions be channeled through the Trustee—would be subverted (*Feldbaum*, 1992 WL 119095 at *6, 1992 Del Ch LEXIS 113 at *19, 18 Del J Corp L at 642). This is what the parties intended. Of course, they were free to not limit the no-action clause in this way. Here, therefore, the purpose of the Athilon no-action clause is not frustrated where the Trustee is without authority to act.

Defendants' argument that interpreting the no-action clause to exclude certain claims would upset the contracting parties' expectations is unpersuasive. The indenture itself defines "indenture" and "securities" separately, recognizing them as distinct.¹⁶ Therefore, defendants' functional equivalency argument is merely another version of the argument we have already rejected on the law: that the parties intended other than what the words in the document mean. As our law makes clear, we rely on the unambiguous terms of the agreement when construing contract provisions like the indenture no-action clause (see *J. D'Addario & Co.*, 20 NY3d at 118; *Vermont Teddy Bear Co.*, 1 NY3d at 475; *Nichols*, 306 NY at 496). Quadrant's claims are based not on the indenture agreement—under which the Trustee administers the debt issuance by Athilon—but rather arise from Quadrant's status as a securityholder. The parties could not have expected otherwise, given the plain language of the clause. If the parties sought to prohibit these types of suits, they were free to include them within the Athilon no-action clause.

We also note that in 2000, the Ad Hoc Committee for Revision of the 1983 Model Simplified Indenture produced a model no-action clause which provides "[a] Securityholder may pursue a remedy with respect to this Indenture or the Securities only if

15. The requirement of notice to the Trustee and majority securityholder approval makes sense because litigation by a minority securityholder upon a default is an attempt to secure payment, and resolution of the matter is of interest to the entire class of securityholders.

16. Section 1.01 defines "Indenture" as "this instrument as originally executed," and "Securities" as the "Series A Notes and the Series B Notes," i.e., the notes purchased by plaintiff securityholder.

[the holder complies with the terms of the clause]” (55 Bus Law 1115, 1137-1138 [2000]). By its terms, the no-action clause references the indenture and the securities. Even this broad model clause is not without limits. In its commentary to this provision, the Committee states: “[t]he clause applies, however, only to suits brought to enforce contract rights under the Indenture or the Securities, not to suits asserting rights arising under other laws” (*id.* at 1191). The Committee intended the model no-action clause to limit only contract rights, not to encompass all securityholder suits. We express no opinion on whether no-action clauses should be so narrowly construed, but note only that parties sophisticated and well versed in this area of the law—like the parties here—are well aware of these commentaries and, thus, we find unsupportable defendants’ argument that a construction of the no-action clause that permits Quadrant’s claims to proceed would be unsettling to the parties’ expectations.

B.

[2] The second certified question asks whether the Vice Chancellor’s Report on Remand correctly interpreted New York law. We answer this question in the affirmative. In its complaint, Quadrant asserts individual and derivative claims seeking damages and injunctive relief for breaches of fiduciary duty, fraudulent transfer, breach of covenant of good faith and fair dealing, intentional interference with contractual relations, and conspiracy. Essentially, Quadrant claims that Athilon’s Board, installed and controlled by EBF, acted pursuant to a scheme which ensures that the junior securityholders are paid, despite their inferior status vis-à-vis Quadrant’s senior notes, and, as a consequence, payment of the junior securities imperils payment of the senior securities. As described by Quadrant, Athilon’s actions are an effort to siphon off as much capital as possible, as quickly as possible, for the benefit of EBF. Thus understood, the Trustee cannot address these claims because the Trustee’s duties, as per the indenture, are only triggered upon an event of default—exactly what Quadrant seeks to avoid, at least with respect to the senior securities.

Accordingly, the Vice Chancellor correctly concluded that, with the exception of two claims and part of a third, the no-action clause did not bar plaintiff’s action. The claims the Vice Chancellor found viable are those that the Trustee cannot assert, as they are not based on any default on the securities.

Specifically, the Vice Chancellor correctly found that those claims sounding in breach of contract and arising from the indenture are barred—requiring the majority securityholders to bring those actions through the Trustee.

IV.

Accordingly, the certified questions should be answered in accordance with this opinion.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and ABDUS-SALAAM concur.

Following certification of questions by the Supreme Court of the State of Delaware and acceptance of the questions by this Court pursuant to section 500.27 of this Court's Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[16 NE3d 1156, 992 NYS2d 678]

In the Matter of New York State Commission on Judicial Conduct, Respondent, v SETH RUBENSTEIN, Appellant. (And Another Action.)

Argued April 30, 2014; decided June 10, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 5, 2013. The Appellate Division (1) dismissed, as moot, the appeal from an order of the Supreme Court, New York County (Fern A. Fisher, J.), which had denied respondent's motion to, among other things, vacate a prior order releasing certain sealed records and papers to petitioner New York State Commission on Judicial Conduct; and (2) directed that all documents contained in the previously sealed records that were furnished to petitioner be returned forthwith to the court and be resealed for all purposes.

Matter of New York State Commn. on Jud. Conduct v Rubenstein, 103 AD3d 409, reversed.

HEADNOTES

Appeal — Academic and Moot Questions — Challenge to Authority of Commission on Judicial Conduct to Request and Receive Records Sealed under CPL 160.50

1. Respondent's appeal to the Appellate Division from the Supreme Court order denying his application to vacate the ex parte order releasing his sealed criminal records to petitioner New York State Commission on Judicial Conduct for use in its investigation of a judge who had been prosecuted along with respondent was not rendered moot by the judge's consent to a censure while the appeal was pending. Petitioner's written determination recommending a censure was posted, along with the agreed statement of facts which identified respondent lawyer by name and discussed the judge's apparent reliance on respondent's advice and financial payments during her election campaign, on petitioner's public government website. Where a case presents a live controversy and enduring consequences potentially flow from the order appealed from, the appeal is not moot. Petitioner's identification of respondent in its publicly available documents, and its description of his involvement in the judge's judicial election campaign, including assertions that his legal advice informed the judge's actions, adversely impacted his professional reputation and standing within the legal and greater communities, and constituted enduring consequences that flowed from the use of the sealed records.

Judges — Commission on Judicial Conduct — Authority of Commission on Judicial Conduct to Request and Receive Records Sealed under CPL 160.50

2. Petitioner New York State Commission on Judicial Conduct acted within the scope of its authority in obtaining and using respondent's sealed criminal

records in its investigation of a judge who had been prosecuted along with respondent on charges of violations of the Campaign Finance Law. Given the Commission's broad powers under the Judiciary Law, specifically its authority under Judiciary Law § 42 (3) to request and receive a wide range of records and data, and its constitutional duties and obligations to ensure the integrity of the judicial system by investigating and sanctioning judicial misconduct, the Commission may obtain documents sealed pursuant to CPL 160.50. The Commission's authority to request and receive sealed records for use in its investigations, provided the records are reasonably related to a judicial misconduct inquiry, extends to the sealed records of an individual other than the judge under investigation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 596, 605, 611, 615; AM JUR 2d, Courts §§ 29–31; AM JUR 2d, Judges §§ 16–19.
CARMODY-WAIT 2d, Officers of Court §§ 3:120, 3:122, 3:124;
CARMODY-WAIT 2d, Appeals in General §§ 70:304–70:308, 70:338, 70:343, 70:344, 70:347; CARMODY-WAIT 2d, Disposition of Records and Property § 208:20.
NY JUR 2d, Appellate Review §§ 9, 492, 638; NY JUR 2d, Courts and Judges § 40; NY JUR 2d, Criminal Law: Procedure §§ 3680, 3685.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Discipline and Disciplinary Actions; Judges; Moot and Abstract Matters; Records and Recording.

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POINTS OF COUNSEL

Greenfield Stein & Senior, LLP, New York City (Gary B. Freidman and Jeffery H. Sheetz of counsel), for appellant. I. The New York State Commission on Judicial Conduct's completion of its investigation and disciplinary proceeding against Judge Doe did not render Seth Rubenstein's appeal moot, and even if it did, the Appellate Division should have decided Mr. Rubenstein's appeal because the issue whether CPL 160.50 bars disclosure to the State Commission of an acquitted defendant's sealed criminal records is novel and substantial, likely to recur and to continue to evade review. (*Matter of Bickwid v Deutsch*, 87 NY2d 862; *Matter of Williams v Cornelius*, 76 NY2d 542;

Matter of Dondi, 63 NY2d 331; *Matter of Westchester Rockland Newspapers v Leggett*, 48 NY2d 430; *Matter of M.B.*, 6 NY3d 437; *Coleman v Daines*, 19 NY3d 1087; *Green v Montgomery*, 95 NY2d 693; *Matter of Joseph M. [New York City Bd. of Educ.]*, 82 NY2d 128; *Matter of Katherine B. v Cataldo*, 5 NY3d 196; *Matter of Hynes v Karassik*, 47 NY2d 659.) II. This Court should reverse the Appellate Division's dismissal of Seth Rubenstein's appeal and Justice Fisher's May 25, 2012 order, because Justice Fisher's release of Mr. Rubenstein's criminal records violates CPL 160.50, in conflict with this Court's prior decisions. (*Matter of Katherine B. v Cataldo*, 5 NY3d 196; *Matter of Joseph M. [New York City Bd. of Educ.]*, 82 NY2d 128; *Matter of Dondi*, 63 NY2d 331; *Matter of Hynes v Karassik*, 47 NY2d 659; *Matter of City of Elmira v Doe*, 39 AD3d 942, 11 NY3d 799; *People v Marcus A.*, 28 Misc 3d 667; *East Meadow Community Concerts Assn. v Board of Educ. of Union Free School Dist No. 3*, 18 NY2d 129.)

Eric T. Schneiderman, Attorney General, New York City (Won S. Shin, Barbara D. Underwood and Steven C. Wu of counsel), for respondent. I. The appeal should be dismissed as academic. (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Lillbask ex rel. Mauclaire v State of Conn. Dept. of Educ.*, 397 F3d 77; *Seven Words LLC v Network Solutions*, 260 F3d 1089; *Matter of Morrison v New York State Div. of Hous. & Community Renewal*, 93 NY2d 834; *Matter of Citineighbors Coalition of Historic Carnegie Hill v New York City Landmarks Preserv. Commn.*, 2 NY3d 727.) II. The New York State Commission on Judicial Conduct is entitled to obtain relevant sealed records when investigating judicial misconduct. (*Matter of Stern v Morgenthau*, 62 NY2d 331; *Matter of Mogil*, 88 NY2d 749; *Matter of Duckman*, 92 NY2d 141; *Matter of Margaret Ann E. v Huban F.*, 54 NY2d 814; *Matter of New York City Health & Hosps. Corp. v New York State Commn. of Correction*, 19 NY3d 239; *Matter of Harper v Angiolillo*, 89 NY2d 761; *Matter of Dondi*, 63 NY2d 331; *Matter of Joseph M. [New York City Bd. of Educ.]*, 82 NY2d 128; *Matter of Nicholson v State Commn. on Jud. Conduct*, 50 NY2d 597; *Matter of Hart [State Commn. on Jud. Conduct]*, 7 NY3d 1.)

OPINION OF THE COURT

RIVERA, J.

In this appeal, we conclude that the New York State Commission on Judicial Conduct is authorized, pursuant to the Judiciary Law and its constitutional mandate to investigate judicial

misconduct, to request and receive records sealed under Criminal Procedure Law § 160.50 for use in its investigations. We further hold that the Appellate Division erred by dismissing as moot appellant’s challenge to the Commission’s authority. We therefore reverse the Appellate Division order dismissing the appeal as moot, and deny appellant’s application to vacate the ex parte order releasing his sealed records.

I

Appellant Seth Rubenstein appeals from an order of the Appellate Division, dismissing as moot his challenge to the release of sealed criminal records to respondent New York State Commission on Judicial Conduct (Commission). Supreme Court had granted the Commission access to records of a criminal proceeding terminated in favor of appellant for use in the Commission’s investigation into possible judicial misconduct by Judge Doe, not a party here, and appellant’s codefendant in the underlying criminal proceeding. The investigation led to the Commission’s July 2011 formal written complaint against Judge Doe charging misconduct arising from her judicial election campaign, and her censure in 2012.

Appellant is a lawyer who was criminally prosecuted along with Judge Doe on charges of violations of the Campaign Finance Law in relation to contributions he made to the Judge’s campaign, and advice he allegedly provided regarding those contributions. Eight of the 10 criminal charges brought against Judge Doe and appellant were dismissed on jurisdictional grounds, and a jury acquitted them of the remaining charges. In accordance with CPL 160.50, the records of the criminal proceeding were sealed following termination of the proceedings in favor of the defendants.

Approximately one month after the acquittal, the Commission initiated an investigation into Judge Doe for possible misconduct related to her campaign. In furtherance of its investigation, the Commission moved ex parte in Supreme Court for an order releasing for its review the sealed records from the underlying criminal proceeding, “for use in proceedings conducted pursuant to Article 6, Section 22, of the Constitution, and Article 2-A of the Judiciary Law.”¹ In his supporting affir-

1. The Commission requested “the official records and papers including any and all transcripts of the proceedings and exhibits and other related case

(n. cont’d)

mation, the Commission Administrator asserted that “New York courts have regularly ordered that sealed materials in criminal cases be provided to the Commission,” and cited a number of examples of lower court cases. In May 2010, Supreme Court granted the motion and ordered release of the records pursuant to Judiciary Law § 42 (3) and CPL 160.50, and further granted the Commission’s request to seal the order and all supporting papers.

Thereafter, in January 2011, the Commission deposed the appellant in connection with its investigation of Judge Doe. At the deposition, appellant’s counsel inquired whether any questions to be asked of his client directly, or regarding any documents, originated from information contained in the sealed criminal records. Counsel for the Commission responded that the Commission had received materials through an appropriate court order, and that his questions were “in part possibly” derived from those court records. Appellant’s counsel then objected to the release of the records from the underlying criminal proceeding on the ground that it violated CPL 160.50. Nevertheless, he instructed appellant to answer the Commission’s questions rather than be held in contempt. According to appellant, the Commission refused requests to provide him with a copy of the court’s *ex parte* release order.

II

In March 2012, the Commission issued a subpoena for a second deposition of appellant.² In response, appellant filed an order to show cause to vacate the *ex parte* May 2010 order releasing the sealed records to the Commission, prohibit the Commission’s use of any documents or information obtained pursuant to that release order, and order the Commission to return all documents and copies “to the files from which they were obtained.” Appellant argued that CPL 160.50 prohibited the Commission’s access to the sealed records because the Commission did not fall within one of the six statutory exceptions to the sealing provision, specifically the “law enforcement agency” exception under CPL 160.50 (1) (d) (ii). The Commission opposed the motion, arguing it had inherent constitutional responsibility to oversee the discipline of judges and authority under Judiciary Law § 42 (3) to access the sealed documents.

documents and/or materials of this sealed case, pursuant to allegations that judicial misconduct was committed in connection with [the criminal] case.”

2. The hearing for which the Commission subpoenaed appellant was later adjourned without date.

Supreme Court ostensibly denied appellant's application to vacate the release order as procedurally defective.³ However, the court also rejected the claim that it was without authority to disclose to the Commission its own records and papers, and cited to our decision in *Matter of Dondi* (63 NY2d 331 [1984]), which recognized the Appellate Division's "inherent powers" to obtain sealed records of criminal proceedings in furtherance of its attorney discipline function. Finding that the public interest in the integrity of the judiciary was as compelling as the interest involved in *Matter of Dondi*, the court stated that "[t]he Commission's authority and the preservation of the integrity of the state's judiciary may not be stymied by the statutory constraints of CPL 160.50; to conclude otherwise would dangerously undermine the ability of the Commission to meet its constitutional mandate." Appellant appealed.⁴

During the pendency of the appeal Judge Doe agreed to a censure. In accordance with Judiciary Law § 44 (5),⁵ she entered an agreed statement of facts, stipulating that the Commission make its determination based upon the facts contained therein, recommending she be censured, and waiving further submissions or oral argument. The Commission drafted the agreed statement of facts with input from Judge Doe, who provided a detailed overview of the circumstances giving rise to the underlying criminal proceeding. The agreed statement of facts identified appellant by name and discussed Judge Doe's apparent reliance on his advice and financial payments during her election campaign. In October 2012, the Commission issued its written determination recommending a censure and posted that determination, the agreed statement of facts, the pleadings, and three related letters on its public government website.

3. Supreme Court concluded appellant lacked standing to object to the Commission's use of the records, an order to show cause was an irregular and procedurally improper mechanism by which to challenge an administrative order concerning a criminal matter, and appellant failed to demonstrate a basis for vacatur of a prior order under CPLR 5015.

4. Appellant also sought a preliminary injunction prohibiting the Commission from using the challenged records pending determination of his appeal, as well as a temporary restraining order barring the Commission from using the records pending decision on his preliminary injunction motion. The Appellate Division denied both requests.

5. Judiciary Law § 44 (5) provides that, "[s]ubject to the approval of the [C]ommission, the administrator and the judge may agree on a statement of facts and may stipulate in writing that the hearing shall be waived." Where this occurs, "the [C]ommission shall make its determination upon the pleadings and the agreed statement of facts."

Thereafter, the Commission moved before the Appellate Division to dismiss appellant's application to vacate the ex parte release order. The Commission argued that further proceedings would be purely academic because it no longer needed the records given Judge Doe's consent to the censure. Appellant opposed the motion on the grounds that the issue was not moot, and, even if it were, that the matter fell within the exception to the mootness doctrine.

The Appellate Division dismissed the appeal as moot, but directed the Commission to return to the originating court all of the previously sealed documents and ordered that the records be resealed for all purposes (*see* 103 AD3d 409 [1st Dept 2013]). The Commission has apparently complied with the Appellate Division order to return the records. We granted appellant leave to appeal (21 NY3d 855 [2013]).⁶

III

An appeal is moot "unless the rights of the parties will be directly affected by the determination of the appeal and the interest of the parties is an immediate consequence of the judgment" (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 713-714 [1980]). Where the case presents a live controversy and enduring consequences potentially flow from the order appealed from, the appeal is not moot (*see Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801, 810 [2003] ["The jurisdiction of this Court extends only to live controversies"]; *Matter of Bickwid v Deutsch*, 87 NY2d 862, 863 [1995] [holding an appeal from a civil contempt order for which the appellant had already served his sentence was not moot, "(i)nasmuch as enduring consequences potentially flow(ed)" from the order]; *Matter of Williams v Cornelius*, 76 NY2d 542, 546 [1990] [concluding that, "as lasting consequences potentially flow(ed)" from the appellant's criminal contempt adjudication, "the proceeding remain(ed) ripe for judicial review" regardless of the appellant's having already served his sentence]).

The Commission argues the appeal is moot because appellant will not be affected by resolution of the issue presented in this litigation. Given that its investigation is complete, it has no further use for the sealed records, and it has returned the documents

6. The Appellate Division order dismissing appellant's appeal from the Supreme Court order which denied his application to vacate the ex parte order releasing his sealed records was the first opportunity to challenge the release order and, thus, is a final appealable paper.

to the originating court, the Commission claims there is no live controversy left to resolve and, thus, any decision on the merits would be purely academic.

Appellant counters that this matter is not moot because the continued posting of the Commission's determination on its website, with its references to him and his alleged conduct, has "enduring consequences" for his credibility and reputation as a practicing lawyer. In particular, he notes that the Commission's determination revealed his indictment and "is replete with comments critical of [his] conduct." He argues that it is the lasting effects of the Commission's unlawful access to and use of the records, represented by the posting of private and discrediting information on its website, which renders this proceeding live.⁷

[1] We agree that the Commission's identification of appellant in its publicly available documents, and its description of his involvement in Judge Doe's judicial election campaign, including assertions that his legal advice informed the Judge's actions, adversely impact his professional reputation and standing within the legal and greater communities, and constitute enduring consequences that flow from the use of the sealed records. It is impossible to see how it could be otherwise.

The publicly-posted Commission determination of censure specified that appellant was criminally indicted for felonies and misdemeanors arising from payments he made to Judge Doe during her campaign, and that the majority of the criminal charges were dismissed for jurisdictional reasons with the remainder dismissed pursuant to an acquittal. The Commission further characterized appellant as playing "an active role" in Judge Doe's campaign inasmuch as he "was actively involved in fundraising" for her and "was one of the signatories on the campaign's bank account." Additionally, the Commission set forth the amount of money appellant contributed and loaned to Judge Doe's campaign, and stated that he advised her on election financing issues. The Commission also wrote that certain

7. The parties disagree as to whether any of the Commission's statements can be traced to the sealed records given that the Commission's determination is based upon facts agreed to by Judge Doe, thus providing an independent source for the Commission's findings. Notwithstanding that the Commission's determination contains jointly agreed to facts, the investigatory value of the records is not in dispute. Indeed, the Commission admitted as much to appellant's counsel during appellant's deposition. Our determination that the matter on appeal is not moot is thus unaffected by Judge Doe's agreement to the facts that support the Commission's publicly announced censure determination.

financial conveyances by appellant for the benefit of Judge Doe's campaign, "were contrary to the generally accepted and understood interpretation of the Election Law." In addition to the election finance matters, the Commission referred to appellant's long-term professional relationship and friendship with Judge Doe, and suggested unethical conduct based on this relationship.

Given these statements, the potential for damage to appellant's professional reputation from the posting of the Commission's censure determination is obvious. Therefore, we conclude that the identification of appellant by name, and the detailed description of his involvement in Judge Doe's misconduct, has enduring consequences for appellant so long as the Commission's censure determination remains posted on its website. Thus, we reverse the Appellate Division order dismissing the appeal as moot.

IV

[2] Turning to the question of whether the Commission acted within its power when it obtained records of appellant's underlying criminal proceeding, we conclude that in order to fulfill its constitutional duties and obligations to investigate judicial misconduct, and in accordance with its broad investigatory powers under the Judiciary Law, the Commission is authorized to obtain criminal records sealed pursuant to CPL 160.50.⁸ The Commission may receive sealed records provided they are reasonably related to a judicial misconduct inquiry. This authority extends to the sealed records of an individual other than the judge under investigation. Therefore, the Commission acted within the scope of its authority in obtaining and using appellant's sealed criminal records in its investigation of Judge Doe.

The Commission is an independent agency charged with "protect[ing] the integrity of the judiciary," "preserv[ing] and enhanc[ing] the public's confidence in its courts," and ensuring qualified judges serve as part of our judicial system (*Matter of Stern v Morgenthau*, 62 NY2d 331, 339 [1984]). It is constitutionally authorized to "receive, initiate, investigate and hear complaints" of judicial misconduct and has exclusive jurisdiction over such complaints (NY Const, art VI, § 22 [a]; see Judiciary

8. It is unnecessary to consider whether the Commission may publicly cite or publish records previously sealed pursuant to CPL 160.50 in connection with a related judicial misconduct determination.

Law § 42 [3]). Upon request by the affected judge, this Court has plenary power to review the legal and factual findings of the Commission as well as the sanction imposed (*see* NY Const, art VI, § 22 [d]; Judiciary Law § 44 [9]; *see also* *Matter of Gilpatric [State Commn. on Jud. Conduct]*, 13 NY3d 586, 589 [2009]; *Matter of Washington*, 100 NY2d 873, 876 n 2 [2003]). We have recognized that the Commission “must be free to conduct . . . investigation[s]” (*Matter of Nicholson v State Commn. on Jud. Conduct*, 50 NY2d 597, 608 [1980]), and that the effectiveness of its inquiries “necessarily requires the free flow of information to the Commission” (*Matter of Stern*, 62 NY2d at 339).

The Commission relies specifically on Judiciary Law § 42 (3) in support of its argument that it has authority to obtain sealed criminal records. Section 42 (3) provides that the Commission may “request and receive from any court, department, division, board, bureau, commission, or other agency of the state or political subdivision thereof or any public authority such assistance, information and data as will enable it properly to carry out its functions, powers and duties.” By its plain terms, the Judiciary Law grants the Commission broad access to information in furtherance of its investigatory mandate.

Notwithstanding this broad access to a wide range of information from a diverse body of sources, appellant contends that the Commission is statutorily prohibited from obtaining criminal records sealed pursuant to CPL 160.50. He points to the Commission’s absence from the express statutory exceptions to the sealing provision in support of his argument that the Commission cannot access his criminal records.

Section 160.50 (1) provides that, “[u]pon the termination of a criminal action or proceeding against a person in favor of such person, . . . the record of such action or proceeding shall be sealed.” The sealing provision encompasses, among other things, all “official records and papers” (CPL 160.50 [1] [c]). We have recognized the salutary and protective goals of section 160.50, explaining that

“the Legislature’s objective in enacting CPL 160.50 and the related statutes . . . was to ensure that the protections provided be consistent with the presumption of innocence Indeed, the over-all scheme of the enactments demonstrates that the legislative objective was to remove any stigma flowing

from an accusation of criminal conduct terminated in favor of the accused, thereby affording protection . . . to such accused in the pursuit of employment, education, professional licensing and insurance opportunities” (*People v Patterson*, 78 NY2d 711, 716 [1991] [internal quotation marks and citations omitted]).

However, “a former defendant’s interest in preventing the disclosure of official records and papers . . . is not absolute” (*Matter of Harper v Angiolillo*, 89 NY2d 761, 767 [1997]). Indeed, “the Legislature has acknowledged the existence of countervailing considerations to the sealing of such records and papers” as reflected in express statutory exceptions set forth in CPL 160.50 (1) (d) (*Matter of Harper*, 89 NY2d at 766-767 [internal quotation marks and citation omitted]).

In addition to the accused and the accused’s designated agent, a court may make sealed records available only: to (1) a “prosecutor in any proceeding in which the accused” has moved for an adjournment in contemplation of dismissal in a case involving marijuana charges below felony grade (CPL 160.50 [1] [d] [i]); (2) “a law enforcement agency upon ex parte motion in any superior court, if such agency demonstrates to the satisfaction of the court that justice requires” release (CPL 160.50 [1] [d] [ii]); (3) state or local gun licensing agencies when the accused applies for a gun license (*see* CPL 160.50 [1] [d] [iii]); (4) the Division of Parole when the arrest occurred while the accused was under parole supervision (*see* CPL 160.50 [1] [d] [iv]); (5) the prospective employer of a police officer or peace officer, so long as the applicant is provided with a copy of all records and given an opportunity to explain (*see* CPL 160.50 [1] [d] [v]); and (6) any probation department responsible for the accused’s supervision at the time of his or her arrest (*see* CPL 160.50 [1] [d] [vi]). None of these exceptions apply to the Commission.

Our inquiry does not commence and end with CPL 160.50, for we have recognized that there may be other sources of authority permitting access to sealed records. Thus, in *Matter of Dondi*, a case in which a grievance committee sought sealed records in connection to an attorney disciplinary proceeding, we noted the “extraordinary circumstances” arising from the Appellate Division’s oversight and disciplinary power over attorneys (63 NY2d at 338). We further recognized Judiciary Law § 90 (2) as the basis for the Appellate Division’s “inherent authority over records and its oversight and disciplinary power over attorneys

and counselors at law, to permit the unsealing of criminal records” (*Matter of Dondi*, 63 NY2d at 338, citing *Matter of Hynes v Karassik*, 47 NY2d 659, 664-665 [1979]).

However, we have been careful when considering whether to permit access to sealed records so that we do not undermine the legislative goals of CPL 160.50, and make unsealing of records the rule rather than a narrowly confined exception (*see Matter of Katherine B. v Cataldo*, 5 NY3d 196, 202-203 [2005]; *Matter of Joseph M. [New York City Bd. of Educ.]*, 82 NY2d 128 [1993]; *Patterson*, 78 NY2d at 714; *Matter of Dondi*, 63 NY2d at 338; *Matter of Hynes*, 47 NY2d at 663-665). In *Matter of Joseph M.*, we held that the Board of Education was not a “law enforcement agency” within the meaning of CPL 160.50 (1) (d) (ii) and, thus, could not obtain sealed records for use in a teacher disciplinary proceeding (82 NY2d at 133). “Absent such a specific grant of power,” we concluded, “a holding that the court has inherent authority to order the unsealing of records . . . would frustrate a primary purpose of the 1976 amendments to the Criminal Procedure Law” (82 NY2d at 133-134 [describing that purpose as “protecting exonerated individuals from the unwarranted stigma . . . others could attach to dismissed criminal charges”]).

What *Matter of Dondi* and our other cases make clear is that absent “extraordinary circumstances” (63 NY2d at 338), a specific grant of power (*see Matter of Joseph M.*, 82 NY2d at 133-134), or the existence of a legal mandate the nature of which would be impossible to fulfill without unsealing criminal records (*see Matter of Dondi*, 63 NY2d at 338), sealed criminal records may only be accessed by individuals and agencies specifically enumerated, and “narrowly defined” in CPL 160.50 (1) (d) (*Matter of Hynes*, 47 NY2d at 663; *see Matter of Katherine B.*, 5 NY3d at 203-205; *Matter of Joseph M.*, 82 NY2d at 132-134).

Given the Commission’s broad powers under the Judiciary Law, specifically its authority under Judiciary Law § 42 (3) to request and receive a wide range of records and data, and its constitutional duties and obligations to ensure the integrity of the judicial system by investigating and sanctioning judicial misconduct, we conclude that the Commission may obtain documents sealed pursuant to CPL 160.50. Continued public confidence in the judiciary is of singular importance, and can be furthered only by permitting the Commission access to information that allows it to quickly identify and respond to judicial misconduct, including criminal behavior, abuse of power,

corruption, and other actions in violation of laws applicable to judges. In short, ensuring the integrity of the judiciary is no less important than we found protecting the integrity of the bar to be in *Matter of Dondi* (63 NY2d at 338).

Allegations of judicial misconduct bring the integrity of the judicial system into direct question and undermine the public's faith in our judicial officers. It is the Commission's duty to preempt and mitigate these potential consequences by quickly and effectively investigating allegations of judicial misconduct. The Commission's responsibilities "transcend the criminal prosecution of individuals" because its "concern is institutional" (*Matter of Stern*, 62 NY2d at 339). Release of sealed records to the Commission serves the dual goals of facilitating the speedy sanction or removal of questionable jurists, while enabling the Commission to clear the names of judges whose conduct does not deserve reproach.

In upholding its authority to request and receive records sealed under CPL 160.50, we again emphasize the Commission's "overriding constitutional concern [in] protect[ing] the standards of the judicial system as a whole and [in] insur[ing] that none but qualified Judges remain a part of it" (*Matter of Stern*, 62 NY2d at 339). Accordingly, the order of the Appellate Division should be reversed, without costs, and appellant's application to vacate the order releasing his sealed records denied.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and ABDUS-SALAAM concur.

Order reversed, without costs, and appellant's application denied.

[15 NE3d 1194, 992 NYS2d 185]

KEYSPAN GAS EAST CORPORATION, Respondent, v MUNICH REINSURANCE AMERICA, INC., et al., Appellants.

Argued May 6, 2014; decided June 10, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 26, 2013. The Appellate Division order, insofar as appealed from, modified, on the law, an order of the Supreme Court, New York County (Barbara R. Kapnick, J.; op 2012 NY Slip Op 30258[U] [2012]), to the extent it had, upon renewal, granted so much of the motions of defendants American Re-Insurance Company, now known as Munich Reinsurance America, Inc., Century Indemnity Company and Northern Assurance Company of America for summary judgment as sought a declaration that defendants have no duty to defend or indemnify plaintiffs regarding environmental damage claims on the Bay Shore manufactured gas plant site due to plaintiffs' failure to provide timely notice under the respective policies. The modification consisted of denying summary judgment on the Bay Shore site and vacating the declaration. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of the Supreme Court, properly made?"

Long Is. Light. Co. v Allianz Underwriters Ins. Co., 104 AD3d 581, reversed.

HEADNOTES

Insurance — Disclaimer of Coverage — Waiver of Right to Disclaim Coverage — Delay in Giving Notice

1. In an insurance coverage dispute in which the assignee of a company insured by defendants under excess policies, sought a declaration that defendants had a duty to defend and indemnify it for liabilities associated with the investigation and remediation of environmental damage at manufactured gas plant sites formerly owned or operated by the assignor, the Appellate Division erred when it held that defendants had a duty to disclaim coverage "as soon as reasonably possible" after first learning of grounds for disclaimer of liability. Insurance Law § 3420 (d) (2) requires an insurer seeking to "disclaim liability or deny coverage for death or bodily injury arising out of a motor vehicle accident or any other type of accident occurring within" New York to "give written notice as soon as is reasonably possible of such disclaimer of liability or denial of coverage." By its terms, the statute applies only in cases involving death or bodily injury claims arising out of a New York accident and brought under a New York liability policy. Where, as here, the underlying

claim does not arise out of an accident involving bodily injury or death, the provisions in section 3420 (d) (2) are inapplicable and the insurer will not be barred from disclaiming coverage simply as a result of the passage of time. Instead, the delay in giving notice of disclaimer should be considered under common-law waiver and estoppel principles. While defendants notified the assignor that they were reserving all rights and coverage defenses after initial notification of environmental concerns at the sites, defendants later failed to respond to the assignor's notice of formal agency action. The Appellate Division must consider if, under common-law principles, triable issues of fact exist whether defendants clearly manifested an intent to abandon their late-notice defense.

Insurance — Disclaimer of Coverage — Waiver of Right to Disclaim Coverage — Delay in Giving Notice

2. To the extent *Estee Lauder Inc. v OneBeacon Ins. Group, LLC* (62 AD3d 33 [1st Dept 2009]) and other Appellate Division cases hold that Insurance Law § 3420 (d) (2) applies to claims not based on death and bodily injury (see *Hotel des Artistes, Inc. v General Acc. Ins. Co. of Am.*, 9 AD3d 181, 193 [1st Dept 2004], *lv dismissed* 4 NY3d 739 [2004]; *Malca Amit N.Y. v Excess Ins. Co.*, 258 AD2d 282, 282 [1st Dept 1999]), those cases were wrongly decided and should not be followed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 471, 1986.

COUCH ON INSURANCE (3d ed) §§ 195:67, 198:39, 198:47, 198:56.

McKINNEY'S, Insurance Law § 3420 (d) (2).

NY JUR 2d, Insurance §§ 1446–1448, 2052–2059.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: disclaim /2 coverage /s soon /4 possible & untimely

POINTS OF COUNSEL

O'Melveny & Myers LLP (Jonathan D. Hacker of the District of Columbia bar, admitted pro hac vice, of counsel), *Siegal & Park*, Mount Laurel, New Jersey (Lawrence A. Nathanson of counsel), *Boutin & Altieri, P.L.L.C.*, Carmel (John L. Altieri, Jr., of counsel), *White and Williams LLP*, New York City (Robert F. Walsh of counsel), *Landman Corsi Ballaine & Ford P.C.* (Michael L. Gioia of counsel) and *Bates Carey Nicolaidides LLP*, Chicago, Illinois (Robert J. Bates, Jr., of counsel), for appellants.

I. Common-law waiver and estoppel principles have long provided the appropriate limits on an insurer's right to disclaim coverage. (*Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.*, 31 NY2d 436; *Argo Corp. v Greater N.Y. Mut. Ins. Co.*, 4 NY3d 332; *Commercial Union Ins. Co. v International Flavors & Fragrances, Inc.*, 822 F2d 267; *Albert J. Schiff Assoc. v Flack*, 51 NY2d 692; *S. & E. Motor Hire Corp. v New York Indem. Co.*, 255 NY 69; *Gilbert Frank Corp. v Federal Ins. Co.*, 70 NY2d 966; *Sirignano v Chicago Ins. Co.*, 192 F Supp 2d 199; *Kiernan v Dutchess County Mut. Ins. Co.*, 150 NY 190; *Titus v Glens Falls Ins. Co.*, 81 NY 410; *Gibson Elec. Co. v Liverpool & London & Globe Ins. Co.*, 159 NY 418.) II. The special time limit standard of Insurance Law § 3420 (d) should not be applied outside its legislatively intended context of accidental death and bodily injury claims. (*Preserver Ins. Co. v Ryba*, 10 NY3d 635; *B & F Bldg. Corp. v Liebig*, 76 NY2d 689; *Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161; *Hammelburger v Foursome Inn Corp.*, 54 NY2d 580; *Transit Commn. v Long Is. R.R. Co.*, 253 NY 345; *Orinoco Realty Co. v Bandler*, 233 NY 24; *Eaton v New York City Conciliation & Appeals Bd.*, 56 NY2d 340; *Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Gager v White*, 53 NY2d 475; *Chevron Oil Co. v Huson*, 404 US 97.) III. Under common-law rules, the insurers are entitled to judgment as a matter of law on their late notice defense. (*Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Gilbert Frank Corp. v Federal Ins. Co.*, 70 NY2d 966; *O'Dowd v American Sur. Co. of N.Y.*, 3 NY2d 347; *Lugo v AIG Life Ins. Co.*, 852 F Supp 187.)

Covington & Burling LLP, Washington, D.C. (Jay T. Smith and William F. Greaney of counsel), *Covington & Burling LLP*, New York City (Mark P. Gimbel of counsel), for respondent. I. Whether the insurers waived a late-notice defense is a question of fact that must be resolved by a jury. (*Alsens Am. Portland Cement Works v Degnon Contr. Co.*, 222 NY 34; *General Motors Acceptance Corp. v Clifton-Fine Cent. School Dist.*, 85 NY2d 232; *Albert J. Schiff Assoc. v Flack*, 51 NY2d 692; *Hadden v Consolidated Edison Co. of N.Y.*, 45 NY2d 466; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Gibson Elec. Co. v Liverpool & London & Globe Ins. Co.*, 159 NY 418; *Palma v National Fire Ins. Co. of Hartford*, 240 App Div 454; *People ex rel. McLaughlin v Board of Police Commrs. of City of Yonkers*, 174 NY 450; *Readco, Inc. v Marine Midland Bank*, 81 F3d 295; *Allstate Ins. Co. v Gross*, 27 NY2d 263.) II. Although a duty to act is not a precondition to finding waiver, a jury may consider the insurers' duty to provide prompt coverage decisions in

evaluating their inaction. (*State of New York v AMRO Realty Corp.*, 936 F2d 1420; *First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64; *General Acc. Ins. Group v Cirucci*, 46 NY2d 862; *Matter of Firemen's Fund Ins. Co. of Newark v Hopkins*, 88 NY2d 836; *Estee Lauder Inc. v OneBeacon Ins. Group, LLC*, 62 AD3d 33; *151 E. 26th St. Assoc. v QBE Ins. Co.*, 33 AD3d 452; *Hotel des Artistes, Inc. v General Acc. Ins. Co. of Am.*, 9 AD3d 181; *Malca Amit N.Y. v Excess Ins. Co.*, 258 AD2d 282; *Ashland Window & Housecleaning Co., Inc. v Metropolitan Cas. Ins. Co. of N.Y.*, 269 App Div 31; *Brassil v Maryland Cas. Co.*, 210 NY 235.)

Proskauer Rose LLP, New York City (*John E. Failla* and *Matthew J. Morris* of counsel), for Environmental Energy Alliance of New York, LLC, amicus curiae. I. Under New York law, an insurer may waive enforcement of policy conditions by knowingly failing to perform legal duties or act consistently with industry norms, including by failing to disclaim coverage promptly upon learning of a basis to disclaim. (*Fundamental Portfolio Advisors, Inc. v Tocqueville Asset Mgt., L.P.*, 7 NY3d 96; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *S. & E. Motor Hire Corp. v New York Indem. Co.*, 255 NY 69; *Skinner v Norman*, 165 NY 565; *Kiernan v Dutchess County Mut. Ins. Co.*, 150 NY 190; *151 E. 26th St. Assoc. v QBE Ins. Co.*, 33 AD3d 452; *Malca Amit N.Y. v Excess Ins. Co.*, 258 AD2d 282; *Amrep Corp. v American Home Assur. Co.*, 81 AD2d 325; *Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.*, 10 NY3d 187; *Isadore Rosen & Sons v Security Mut. Ins. Co. of N.Y.*, 31 NY2d 342.) II. Applying common-law waiver where warranted will curb unreasonable claim handling practices. (*Argo Corp. v Greater N.Y. Mut. Ins. Co.*, 4 NY3d 332; *American Home Assur. Co. v International Ins. Co.*, 90 NY2d 433; *Burt Rigid Box, Inc. v Travelers Prop. Cas. Corp.*, 302 F3d 83; *Fundamental Portfolio Advisors, Inc. v Tocqueville Asset Mgt., L.P.*, 7 NY3d 96; *Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.*, 10 NY3d 187.)

Melito & Adolfsen PC, New York City (*S. Dwight Stephens* of counsel), and *Wiley Rein LLP*, Washington, D.C. (*Laura A. Foggan* and *Jennifer A. Williams* of counsel), for Complex Insurance Claims Litigation Association, amicus curiae. I. The Appellate Division incorrectly overrode New York common law to impose the standards of Insurance Law § 3420 (d) even where that provision plainly is inapplicable. (*Matter of Firemen's Fund Ins. Co. of Newark v Hopkins*, 88 NY2d 836; *Estee Lauder Inc. v*

OneBeacon Ins. Group, LLC, 62 AD3d 33; *Fairmont Funding v Utica Mut. Ins. Co.*, 264 AD2d 581; *Travelers Indem. Co. v Orange & Rockland Utils., Inc.*, 73 AD3d 576; *United States Fid. & Guar. Co. v Weiri*, 265 AD2d 321; *United States Underwriters Ins. Co. v Landau*, 679 F Supp 2d 330; *Gilbert Frank Corp. v Federal Ins. Co.*, 70 NY2d 966; *Precision Auto Accessories, Inc. v Utica First Ins. Co.*, 52 AD3d 1198; *Only Natural, Inc. v Realm Natl. Ins. Co.*, 37 AD3d 436; *Vecchiarelli v Continental Ins. Co.*, 277 AD2d 992.) II. The common-law principles of waiver and estoppel are appropriate to govern an insurer's right to deny coverage on late notice grounds. (*Matter of Covert*, 97 NY2d 68; *Albert J. Schiff Assoc. v Flack*, 51 NY2d 692; *AXA Global Risks U.S. Ins. Co. v Sweet Assoc.*, 302 AD2d 844; *Mooney v City of New York*, 219 F3d 123; *Kiernan v Dutchess County Mut. Ins. Co.*, 150 NY 190; *Burt Rigid Box, Inc. v Travelers Prop. Cas. Corp.*, 302 F3d 83; *Estee Lauder Inc. v OneBeacon Ins. Group, LLC*, 62 AD3d 33; *Hotel des Artistes, Inc. v General Acc. Ins. Co. of Am.*, 9 AD3d 181; *Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028; *New York Cent. Mut. Fire Ins. Co. v Hildreth*, 40 AD3d 602.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

In this insurance coverage dispute, plaintiff-respondent KeySpan Gas East Corporation seeks a declaration that defendants-appellants Munich Reinsurance America, Inc., Century Indemnity Company, and Northern Assurance Company of America have a duty to defend and indemnify KeySpan for liabilities associated with the investigation and remediation of environmental damage at manufactured gas plant (MGP) sites formerly owned or operated by plaintiff Long Island Lighting Company (LILCO). Defendants issued excess insurance policies to LILCO that required, as a threshold condition for coverage, LILCO to provide prompt notice of any occurrence that potentially implicated defendants' duty of indemnification.

In October and November 1994, LILCO notified defendants by letter about "environmental concern[s]" at retired MGP sites in Bay Shore and Hempstead, the only sites relevant to this appeal. LILCO stated that, although no regulatory agencies had commenced a lawsuit or formal investigation, LILCO expected agency action would be "forthcoming" and that the extent of its potential liability "if any" could not yet be determined. LILCO also notified defendants that a neighboring property owner had brought a property damage claim against the company for environmental contamination allegedly caused

by the Bay Shore MGP. LILCO asked defendants to “acknowledge [their] duty to indemnify [LILCO] for any damages that it may incur within [the] policy limits.”

Over the following year, defendants sent letters to LILCO in which they generally reserved all rights and coverage defenses, including the defense of late notice. Defendants also requested additional information about the MGPs and, noting that LILCO was self-insured at the primary level, sought documentation indicating that LILCO’s coverage under the excess policies had been reached.

Between February 1995 and January 1996, LILCO provided supplemental disclosures to defendants about, among other things, LILCO’s investigation of environmental damage at the MGP sites and its dealings with various regulatory agencies over the past 15 years. LILCO also notified defendants when, in August 1995, the New York State Department of Environmental Conservation (DEC) served a formal demand requesting that LILCO conduct site investigations and, if necessary, remediate the Bay Shore and Hempstead MGP sites.¹ Defendants did not respond to these disclosures.

LILCO thereafter commenced this declaratory judgment action in September 1997. In their answers, defendants asserted late notice as an affirmative defense warranting denial of coverage. Defendants later moved for summary judgment based on late notice. After protracted procedural history not relevant to this appeal, Supreme Court granted summary judgment on the Bay Shore site and entered a declaration that defendants have no duty to defend or indemnify LILCO regarding those environmental damage claims, but denied summary judgment on the Hempstead site and five other MGP sites (*see Long Is. Lighting Co. v Allianz Underwriters Ins. Co.*, 2012 NY Slip Op 30258[U] [Sup Ct, NY County 2012]). The court held that, with the exception of the Bay Shore site, the reasonableness of LILCO’s delay in notifying defendants of environmental occurrences at its MGP sites presented a question of fact for the jury (*see id.*). The court also rejected LILCO’s claim that defendants waived their late-notice defense by failing to disclaim coverage prior to interposing their answers (*see id.*). Defendants appealed from the Supreme Court order only to the extent it denied summary judgment as to the Hempstead site. KeySpan, having been

1. LILCO eventually entered into an administrative consent order with the DEC, and no regulatory agencies commenced an enforcement action.

assigned the right to pursue LILCO's claims and added as a new party plaintiff, cross-appealed from the order to the extent it granted summary judgment as to the Bay Shore site.

The Appellate Division modified the Supreme Court order by denying summary judgment on the Bay Shore site and vacating the declaration, and otherwise affirmed (*see Long Is. Light. Co. v Allianz Underwriters Ins. Co.*, 104 AD3d 581 [1st Dept 2013]). The court held that LILCO failed, as a matter of law, to provide timely notice under the policies of environmental contamination at both the Bay Shore and Hempstead MGP sites (*see id.*). The court nevertheless declined to award summary judgment to defendants "because issues of fact remain as to whether defendants waived their right to disclaim coverage based on late notice" by "fail[ing] to timely issue a disclaimer" (*id.*). Although defendants specifically reserved their rights to assert a late-notice defense, the court determined that a jury should consider whether, based on the supplemental information provided by LILCO, defendants "possessed sufficient knowledge to require that they meet the obligation to issue a written notice of disclaimer on the ground of late notice as soon as reasonably possible after first learning of the accident or of grounds for disclaimer of liability" (*id.* at 581-582). Accordingly, the court held that triable issues of fact exist whether defendants waived their late-notice defense (*id.* at 582). The Appellate Division granted defendants leave to appeal, certifying to us the question of whether its order was properly made (2013 NY Slip Op 80446[U] [2013]).

[1] Defendants argue that the Appellate Division wrongly applied the strict timeliness standard from Insurance Law § 3420 (d) (2) in considering whether defendants waived their right to disclaim coverage of LILCO's environmental damage claims. Although the Appellate Division did not cite section 3420 (d) (2) in its decision, the court essentially recited the statute's disclaimer requirement when it stated that defendants had an "obligation" to disclaim coverage based on late notice "as soon as reasonably possible after first learning of the . . . grounds for disclaimer" (104 AD3d at 582). We agree with defendants that this was error.

Insurance Law § 3420 (d) (2) provides:

"If under a liability policy issued or delivered in this state, an insurer shall disclaim liability or deny coverage for death or bodily injury arising out of a motor vehicle accident or any other type of accident

occurring within this state, it shall give written notice as soon as is reasonably possible of such disclaimer of liability or denial of coverage to the insured and the injured person or any other claimant.”

The legislature enacted section 3420 (d) (2) to “aid injured parties” by encouraging the expeditious resolution of liability claims (*Allstate Ins. Co. v Gross*, 27 NY2d 263, 267 [1970]; see *First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64, 68 [2003]). To effect this goal, the statute “establishe[s] an absolute rule that unduly delayed disclaimer of liability or denial of coverage violates the rights of the insured [or] the injured party” (*Allstate*, 27 NY2d at 267, 269). Compared to traditional common-law waiver and estoppel defenses, section 3420 (d) (2) creates a heightened standard for disclaimer that “depends merely on the passage of time rather than on the insurer’s manifested intention to release a right as in waiver, or on prejudice to the insured as in estoppel” (*id.* at 269).

[2] By its plain terms, section 3420 (d) (2) applies only in a particular context: insurance cases involving death and bodily injury claims arising out of a New York accident and brought under a New York liability policy (see *Preserver Ins. Co. v Ryba*, 10 NY3d 635, 642 [2008] [“Insurance Law § 3420 (d) requires timely disclaimer only for denials of coverage ‘for death or bodily injury’ ”]; see also *Jetco*, 1 NY3d at 70; *Matter of Firemen’s Fund Ins. Co. of Newark v Hopkins*, 88 NY2d 836, 837 [1996]). “Where, as here, the underlying claim does not arise out of an accident involving bodily injury or death, the notice of disclaimer provisions set forth in Insurance Law § 3420 (d) are inapplicable” (*Vecchiarelli v Continental Ins. Co.*, 277 AD2d 992, 993 [4th Dept 2000]; see e.g. *Ryba*, 10 NY3d at 642 [insurer “not required by Insurance Law § 3420 (d) to make timely disclaimer of coverage” for breach of contract claim]; *Travelers Indem. Co. v Orange & Rockland Utils., Inc.*, 73 AD3d 576, 577 [1st Dept 2010], *lv dismissed* 15 NY3d 834 [2010]; *Topliffe v US Art Co., Inc.*, 40 AD3d 967, 969 [2d Dept 2007]; *Fairmont Funding v Utica Mut. Ins. Co.*, 264 AD2d 581, 581 [1st Dept 1999]).² In such cases, the insurer will not be barred from disclaiming coverage “simply as a result of the passage of time,” and its

2. [2] To the extent *Estee Lauder Inc. v OneBeacon Ins. Group, LLC* (62 AD3d 33 [1st Dept 2009]), cited by the Appellate Division here, and other Appellate Division cases hold that Insurance Law § 3420 (d) (2) applies to claims

(n. cont’d)

delay in giving notice of disclaimer should be considered under common-law waiver and/or estoppel principles (*Travelers*, 73 AD3d at 577; *see Allstate*, 27 NY2d at 269).

Here, the Appellate Division erred when it held that defendants had a duty to disclaim coverage “as soon as reasonably possible” after they learned that LILCO’s notice was untimely under the policies. The environmental contamination claims at issue in this case do not fall within the scope of Insurance Law § 3420 (d) (2), which the legislature chose to limit to accidental death and bodily injury claims, and it is not for the courts to extend the statute’s prompt disclaimer requirement beyond its intended bounds. Indeed, KeySpan has never relied on section 3420 (d) (2) and instead asserts a common-law waiver defense (*see Allstate*, 27 NY2d at 269). The Appellate Division must determine whether the evidence supporting this defense is sufficient to defeat defendants’ motion for summary judgment based on LILCO’s failure, as a matter of law, to give timely notice under the policies. Specifically, the Appellate Division must consider if, under common-law principles, triable issues of fact exist whether defendants clearly manifested an intent to abandon their late-notice defense (*see e.g. Fundamental Portfolio Advisors, Inc. v Tocqueville Asset Mgt., L.P.*, 7 NY3d 96, 104 [2006]; *Gilbert Frank Corp. v Federal Ins. Co.*, 70 NY2d 966, 968 [1988]; *Albert J. Schiff Assoc. v Flack*, 51 NY2d 692, 698 [1980]; *Allstate*, 27 NY2d at 269). We therefore remit this matter to the Appellate Division to make these determinations.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, the case remitted to that court for further proceedings in accordance with this opinion, and the certified question answered in the negative.

Judges GRAFFEO, READ, SMITH and PIGOTT concur; Chief Judge LIPPMAN and Judge RIVERA taking no part.

Order, insofar as appealed from, reversed, with costs, case remitted to the Appellate Division, First Department, for further proceedings in accordance with the opinion herein, and certified question answered in the negative.

not based on death and bodily injury (*see Hotel des Artistes, Inc. v General Acc. Ins. Co. of Am.*, 9 AD3d 181, 193 [1st Dept 2004], *lv dismissed* 4 NY3d 739 [2004]; *Malca Amit N.Y. v Excess Ins. Co.*, 258 AD2d 282, 282 [1st Dept 1999]), those cases were wrongly decided and should not be followed.

[15 NE3d 1199, 992 NYS2d 190]

CHRISTOPHER HAMILTON, Appellant, v JOHN MILLER et al.,
Respondents.

SHAWN GILES, Also Known as SHAWN ANTHONY COFFEE, Appel-
lant, v A. GI YI et al., Respondents, et al., Defendants.

Argued May 7, 2014; decided June 12, 2014

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered May 3, 2013. The Appellate Division affirmed an order of the Supreme Court, Monroe County (Matthew A. Rosenbaum, J.), which had, among other things, (1) granted defendant Jules Musinger's, Doug Musinger's and Singer Associates' motion and John Miller's cross motion seeking an order directing plaintiff to produce certain medical reports, under penalty of preclusion; and (2) denied plaintiff's cross motion for a protective order and for the court to take judicial notice of 42 USC § 4851. The following question was certified by the Appellate Division: "Was the order of this Court entered May 3, 2013, properly made?"

APPEAL, in the second above-entitled action, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered April 26, 2013. The Appellate Division affirmed so much of an order of the Supreme Court, Monroe County (Matthew A. Rosenbaum, J.), as had (1) granted defendant Gerald Breen's motion to compel plaintiff to produce certain medical reports, under penalty of preclusion, and (2) denied plaintiff's cross motion for a protective order. The following question was certified by the Appellate Division: "Was the order of this Court entered April 26, 2013, properly made?"

Hamilton v Miller, 106 AD3d 1476, modified.

Giles v Yi, 105 AD3d 1313, modified.

HEADNOTES

Disclosure — Medical Records and Reports — Exposure to Lead-Based Paint — Required Contents of Reports

1. In two personal injury actions in which the plaintiffs alleged physical and mental injuries as a result of exposure to lead-based paint in rental apartments during childhood, Supreme Court abused its discretion in requiring

plaintiffs to produce, prior to the defense medical examinations, medical reports detailing a diagnosis of each injury allegedly caused by exposure to lead-based paint or otherwise be precluded from offering evidence of that injury at trial. Upon receiving notice “to submit to a physical, mental or blood examination by a designated physician” (CPLR 3121 [a]), a party whose mental or physical condition is in issue must deliver copies of medical reports of providers who have previously treated or examined him or her (22 NYCRR 202.17 [b] [1]). The reports must recite the injuries and conditions as to which testimony will be offered at trial, identify X-ray and technicians’ reports that will be offered at trial, and include a description of the injuries, a diagnosis and a prognosis. As here, where many of the injuries alleged by plaintiffs may never have been diagnosed or treated, requiring a plaintiff to hire a medical professional to draft a report to satisfy section 202.17 (b) (1) could make it prohibitively expensive for some plaintiffs to bring legitimate suits. Thus, plaintiffs need only produce reports from medical providers who have “previously treated or examined” them. However, plaintiffs cannot avoid disclosure simply because their treating or examining physician had not drafted any reports within the meaning of the rule. If their medical reports do not contain the required information, then plaintiffs must have the medical providers draft reports setting forth that information, or, if that is not possible, they must seek relief from disclosure and explain why they cannot comply.

Disclosure — Medical Records and Reports — Exposure to Lead-Based Paint — Required Contents of Reports

2. In two personal injury actions in which the plaintiffs alleged physical and mental injuries as a result of exposure to lead-based paint in rental apartments during childhood, Supreme Court erred by requiring plaintiffs to produce, prior to the defense examination, medical reports causally relating plaintiffs’ injuries to lead paint exposure or be precluded from offering proof of such injuries at trial. Under 22 NYCRR 202.17 (b) (1), upon receiving notice “to submit to a physical, mental or blood examination by a designated physician” (CPLR 3121 [a]), a party whose mental or physical condition is in issue must deliver copies of medical reports of providers that have previously treated or examined him or her. The reports must recite the injuries and conditions as to which testimony will be offered at trial, identify X-ray and technicians’ reports that will be offered at trial, and include a description of the injuries, a diagnosis and a prognosis. Inasmuch as there is no requirement in section 202.17 (b) (1) that medical providers causally relate the injury to defendant’s negligence or, in this case, to lead paint exposure, Supreme Court granted relief beyond that contemplated by the rule.

Evidence — Judicial Notice — Action for Damages Resulting from Lead-Based Paint Exposure — Congressional Findings Codified in Statute

3. In a personal injury action in which plaintiff alleged physical and mental injuries as a result of exposure to lead-based paint in rental apartments during childhood, Supreme Court properly denied plaintiff’s motion to take judicial notice of 42 USC § 4851, which contains Congress’s findings justifying legislation aimed at reducing lead. CPLR 4511 allows a court to take judicial notice of federal and foreign state laws, not facts, relevant to a proceeding. The congressional findings in support of legislation seeking to reduce the amounts of lead in homes, though codified in a federal statute, are not “law” that is relevant to plaintiff’s case. Plaintiff wanted Supreme Court to take judicial notice of the fact that exposure to lead paint can cause injury. While a court may take judicial notice of facts which are capable of immediate and

accurate determination by resort to easily accessible sources of indisputable accuracy, general causation in scientifically complex cases is not such a fact. Plaintiff must prove, through scientific evidence, that exposure to lead-based paint can cause the injuries of which he complains. He cannot avoid that burden simply because Congress, in statutory preambles, had opined on the dangers of lead-based paints.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Depositions and Discovery §§ 19, 25, 28, 164, 225; AM JUR 2d, Evidence §§ 25, 125; AM JUR 2d, Pollution Control § 1582.

CARMODY-WAIT 2d, General Rules of Pleading §§ 27:24, 27:26; CARMODY-WAIT 2d, Disclosure §§ 42:461, 42:484, 42:486, 42:488.

McKINNEY'S, CPLR 3121 (a); 4511.

22 NYCRR 202.17 (b) (1).

NY JUR 2d, Disclosure §§ 119, 205, 329, 330, 332, 335; NY JUR 2d, Evidence and Witnesses §§ 13, 32, 42; NY JUR 2d, Health and Sanitation § 160.

SIEGEL, NY PRAC §§ 348, 363, 367.

42 USCA § 4851.

ANNOTATION REFERENCE

Construction and application of Federal Lead Paint Poisoning Prevention and Hazard Reduction Statutes (42 USCA §§ 4801 to 4856). 47 ALR Fed2d 95.

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POINTS OF COUNSEL

Athari & Associates, LLC, Utica (*Mo J. Athari* of counsel), for appellant in the first above-entitled action. I. Judicial notice of 42 USC § 4851 affords the non sui juris plaintiff injured by lead poisoning the necessary rebuttable presumptions. (*Walton v Albany Community Dev. Agency*, 279 AD2d 93; *Adams v Rizzo*, 13 Misc 3d 1235[A], 2006 NY Slip Op 52135[U]; *Robinson v Bartlett*, 95 AD3d 1531; *People v Wesley*, 83 NY2d 417; *Chapman v Silber*, 97 NY2d 9; *Matter of Viemeister*, 179 NY 235; *DeMatteo v DeMatteo*, 194 Misc 2d 640; *Van Wert v Randall*, 100 AD3d 1079; *Matter of William A.*, 13 Misc 3d 367; *Parker v Mobil Oil Corp.*, 7 NY3d 434.) II. Plaintiff was entitled to a protective

order as plaintiff has already made a prima facie case of causation as a matter of law. (*Adams v Rizzo*, 13 Misc 3d 1235[A], 2006 NY Slip Op 52135[U]; *Gayle v City of New York*, 92 NY2d 936; *Robinson v Bartlett*, 95 AD3d 1531; *Juarez v Wavecrest Mgt. Team*, 88 NY2d 628; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *Nawrocki v Coastal Corp.*, 45 AD3d 1341; *Walton v Albany Community Dev. Agency*, 279 AD2d 93; *Matter of New York City Coalition to End Lead Poisoning v Vallone*, 100 NY2d 337; *Williamsburg Around the Bridge Block Assn. v Giuliani*, 223 AD2d 64; *Rivera v City of New York*, 11 NY2d 856.) III. Plaintiff's particulars were sufficient to place the landlord defendants on notice to properly prepare a defense. (*Graves v County of Albany*, 278 AD2d 578; *Jakubowski v Lengen*, 86 AD2d 398; *Lipin v Bender*, 84 NY2d 562; *Hoening v Westphal*, 52 NY2d 605; *Diamantstein v Friedman*, 199 AD2d 458; *Dorato v Schilp*, 130 AD2d 348; *Pierson v Yourish*, 122 AD2d 202; *Ciriello v Virgues*, 156 AD2d 417; *Kelly v Tarnowski*, 213 AD2d 1054; *Davidson v Steer/Peanut Gallery*, 277 AD2d 965.)

Ward Greenberg Heller & Reidy LLP, Rochester (*Eric J. Ward*, *Thomas E. Reidy*, and *Joshua M. Agins* of counsel), for Jules Musinger and others, respondents in the first above-entitled action. I. The trial court properly refused to take judicial notice of 42 USC § 4851 as law or fact. (*Pfleuger v Pfleuger*, 304 NY 148; *Hardy v Sicuranza*, 133 AD2d 138; *Sweet v Sheahan*, 235 F3d 80; *Skerritt v Bach*, 23 AD3d 1080; *Brown v Maple3, LLC*, 88 AD3d 224; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.*, 46 NY2d 358; *Bethlehem Steel Corp. v Board of Educ. of City School Dist. of Lackawanna*, 61 AD2d 147; *Hunter v New York, Ontario & W. R.R. Co.*, 116 NY 615; *Butler v Stagecoach Group, PLC*, 72 AD3d 1581; *Sleasman v Sherwood*, 212 AD2d 868.) II. The trial court providently exercised its discretion in granting defendants' motion to compel and preclude under the express provisions of 22 NYCRR 202.17. (*Andon v 302-304 Mott St. Assoc.*, 94 NY2d 740; *Brady v Ottaway Newspapers*, 63 NY2d 1031; *Those Certain Underwriters at Lloyds, London v Occidental Gems, Inc.*, 11 NY3d 843; *Kavanagh v Ogden Allied Maintenance Corp.*, 92 NY2d 952; *Giles v Yi*, 105 AD3d 1313; *Adams v Rizzo*, 13 Misc 3d 1235[A], 2006 NY Slip Op 52135[U]; *Nero v Kendrick*, 100 AD3d 1383; *Marable v Hughes*, 38 AD3d 1344; *Jessica H. v Spagnolo*, 41 AD3d 1261; *Davidson v Steer/Peanut Gallery*, 277 AD2d 965.)

The Law Offices of Sliwa & Lane, Buffalo (*Stanley J. Sliwa* of counsel), for John Miller and another, respondents in the first

above-entitled action. I. A court is not required to take judicial notice of a federal statute that contains only legislative fact-finders where the underlying statutory provision is not relevant to any issue in the case. Thus, the trial court did not abuse its discretion as a matter of law in refusing to take judicial notice of such legislation. (*Robinson v Bartlett*, 95 AD3d 1531; *Sleasman v Sherwood*, 212 AD2d 868; *Hunter v New York, Ontario & W. R.R. Co.*, 116 NY 615; *Town of Massena v Niagara Mohawk Power Corp.*, 45 NY2d 482; *Majauskas v Majauskas*, 61 NY2d 481; *Brady v Ottaway Newspapers*, 63 NY2d 1031; *Matter of Von Bulow*, 63 NY2d 221; *Patron v Patron*, 40 NY2d 582; *Van Wert v Randall*, 100 AD3d 1079; *Pfleuger v Pfleuger*, 304 NY 148.) II. Special Term did not abuse its discretion in requiring plaintiff to produce reports reflecting only those injuries actually incurred by him and further causally connecting these injuries to exposure to lead-based paint. (*Bates Adv. USA, Inc. v 498 Seventh, LLC*, 7 NY3d 115; *Glenbriar Co. v Lipsman*, 5 NY3d 388; *Those Certain Underwriters at Lloyds, London v Occidental Gems, Inc.*, 11 NY3d 843; *Andon v 302-304 Mott St. Assoc.*, 94 NY2d 740; *Kavanagh v Ogden Allied Maintenance Corp.*, 92 NY2d 952; *Brady v Ottaway Newspapers*, 63 NY2d 1031; *Small v Lorillard Tobacco Co.*, 94 NY2d 43; *Matter of U. S. Pioneer Elecs. Corp. [Nikko Elec. Corp. of Am.]*, 47 NY2d 914; *Matter of De Zimm v Connelie*, 64 NY2d 860; *Giles v Yi*, 105 AD3d 1313.)

Athari & Associates, LLC, Utica (Mo J. Athari of counsel), for appellant in the second above-entitled action. I. Neither CPLR 3121 nor 22 NYCRR 202.17 compels plaintiff to produce a “medical report,” prove “causation,” and amend plaintiff’s bill of particulars. (*Graves v County of Albany*, 278 AD2d 578; *Caldwell v Cablevision Sys. Corp.*, 20 NY3d 365; *Jakubowski v Len-gen*, 86 AD2d 398; *Lipin v Bender*, 84 NY2d 562; *Kavanagh v Ogden Allied Maintenance Corp.*, 92 NY2d 952; *Abbene v Chrysler Corp.*, 112 AD2d 964; *Antonelli v Yale Materials Handling Corp.*, 239 AD2d 951; *D’Amico v Manufacturers Hanover Trust Co.*, 182 AD2d 462; *Hoenig v Westphal*, 52 NY2d 605; *Popick v Jonas*, 112 AD2d 705.) II. The court failed to provide a reasonable basis for invoking CPLR 3103 (a). (*O’Neill v Oakgrove Constr.*, 71 NY2d 521; *Rothstein v City Univ. of N.Y.*, 194 AD2d 533; *Lipin v Bender*, 84 NY2d 562; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222.) III. Even assuming, arguendo, that it cannot be said that the court abused its discretion, at law, in invoking CPLR 3103 (a), there was

sufficient proof in this record to establish causation at law. (*Parker v Mobil Oil Corp.*, 7 NY3d 434; *Gayle v City of New York*, 92 NY2d 936; *Robinson v Bartlett*, 95 AD3d 1531; *Juarez v Wavecrest Mgt. Team*, 88 NY2d 628; *Hamilton v Miller*, 106 AD3d 1476; *Walton v Albany Community Dev. Agency*, 279 AD2d 93.)

Hiscock & Barclay, LLP, Rochester (Gary H. Abelson and Sanjeev Devabhakthuni of counsel), for Gerald Breen, respondent in the second above-entitled action. I. The standard of review is whether the trial court abused its discretion. (*Kavanagh v Ogden Allied Maintenance Corp.*, 92 NY2d 952; *Marable v Hughes*, 38 AD3d 1344; *MS Partnership v Wal-Mart Stores*, 273 AD2d 858.) II. Supreme Court properly exercised its discretion in granting defendant's motion for an order directing plaintiff to produce medical reports detailing plaintiff's injuries that are causally related to exposure to lead-based paint and to amend his bill of particulars to reflect those injuries prior to an independent medical examination by defendant's expert. (*Marable v Hughes*, 38 AD3d 1344; *MS Partnership v Wal-Mart Stores*, 273 AD2d 858; *Adams v Rizzo*, 13 Misc 3d 1235[A], 2006 NY Slip Op 52135[U]; *Jessica H. v Spagnolo*, 41 AD3d 1261; *Hoening v Westphal*, 52 NY2d 605; *Greuling v Breakey*, 56 AD2d 540; *Brooks v Hausauer*, 51 AD2d 660; *Kavanagh v Ogden Allied Maintenance Corp.*, 92 NY2d 952; *Kelly v Tarnowski*, 213 AD2d 1054; *Ciriello v Virgues*, 156 AD2d 417.) III. The court did not improperly invoke CPLR 3103. (*Finnegan v Peter, Sr. & Mary L. Liberatore Family Ltd. Partnership*, 90 AD3d 1676; *Kavanagh v Ogden Allied Maintenance Corp.*, 92 NY2d 952.) IV. There is no evidence in the record establishing as a matter of law that plaintiff's alleged injuries were caused by exposure to lead paint nor is that issue before this Court.

Wilson, Elser, Moskowitz, Edelman & Dicker LLP, White Plains (Debra A. Adler and William Wingertzahn of counsel), for A. Gi Yi, respondent in the second above-entitled action. The order of the Fourth Department was properly made. (*Nero v Kendrick*, 100 AD3d 1383; *Adams v Rizzo*, 13 Misc 3d 1235[A], 2006 NY Slip Op 52135[U]; *Breen v Laric Entertainment Corp.*, 2 AD3d 298; *Hamer v City of New York*, 106 AD3d 504; *Marable v Hughes*, 38 AD3d 1344; *Jessica H. v Spagnolo*, 41 AD3d 1261.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

We hold that, in these personal injury actions, it was an abuse of discretion to order plaintiffs to produce, prior to the defense

medical examinations, medical reports detailing a diagnosis of each injury alleged to have been sustained by plaintiffs and causally relating those injuries to plaintiffs' exposure to lead-based paint.

I

Giles v Yi

In January 2009, plaintiff Shawn Giles commenced this personal injury action against A. Gi Yi and Gerald Breen, the alleged owners of certain rental units in which he lived as a child. Giles alleges that he was exposed to lead-based paint in those rental units and suffered numerous injuries as a result. Giles's bill of particulars lists 34 injuries, including physical, neurological, and psychological problems.

In July 2011, defendant Breen served medical examination notices under CPLR 3121 and requested "copies of any reports of any physicians who have treated or examined the plaintiff" in advance of the examination. Giles disclosed certain medical and educational records that showed that he had lead poisoning as a young child and that he subsequently had academic problems. These records, however, did not substantiate the 34 alleged injuries, nor did they causally relate the documented problems to lead poisoning.

Defendants Breen and Yi then moved to compel Giles to comply with 22 NYCRR 202.17 (b) (1) and produce medical reports detailing a diagnosis of the injuries allegedly caused by exposure to lead-based paint, or be precluded from introducing proof of these injuries at trial. Without this evidence, they argued, they would be required to pay for multiple medical professionals to examine plaintiff. They requested also that plaintiff be ordered to amend his bill of particulars to reflect those injuries actually sustained. Giles cross-moved for a protective order, arguing that defendants were prematurely requesting expert reports.

Supreme Court granted defendants' motion and denied Giles's motion. It ordered Giles "to produce . . . medical . . . reports of any treating or examining medical service provider detailing a diagnosis of any injuries alleged to have been sustained by the plaintiff . . . and causally relating said injuries to plaintiff's alleged exposure to lead-based paint," and further, to amend his bill of particulars to reflect those injuries actually sustained, or be precluded from offering evidence of those injuries at trial.

The Appellate Division affirmed, holding that “Supreme Court did not abuse its broad discretion in directing plaintiff to produce a medical report containing a diagnosis of the alleged injuries sustained by plaintiff and causally relating such injuries to lead exposure before any CPLR 3121 examinations are conducted” (*Giles v Yi*, 105 AD3d 1313, 1316 [4th Dept 2013]). Justice Whalen dissented. In his view, the majority’s holding imposed unnecessary burdens on plaintiff and was akin to forcing him to retain an expert prior to the defense’s medical examination, something not required at that stage of the litigation (*id.* at 1319-1321).

The Appellate Division subsequently granted plaintiff leave to appeal and certified the question of whether the order was properly made (107 AD3d 1647 [2013], 2013 NY Slip Op 79247[U] [2013]).

Hamilton v Miller

Plaintiff Christopher Hamilton, represented by the same counsel as Giles, commenced a similar personal injury action in July 2009 against John Miller, David Miller,¹ Jules Musinger, Doug Musinger, and Singer Associates, the alleged owners of properties in which Hamilton lived as a child. Hamilton filed a bill of particulars alleging that he suffered 58 injuries from exposure to lead-based paint at defendants’ properties. They included physical, psychological, psychiatric, and developmental problems.

During discovery, Hamilton disclosed certain medical and educational records that showed that he had lead poisoning as a young child and that he subsequently had academic, behavior, and speech problems. Just as in *Giles*, however, the records did not substantiate the 58 alleged injuries, nor did they causally relate them to lead poisoning.

Defendants’ noticed medical examinations and requested that Hamilton comply with 22 NYCRR 202.17 (b) (1) and provide medical reports from his treating or examining medical service providers diagnosing his injuries and causally relating them to lead-based paint. Hamilton claimed that he was not obligated to provide any further records.

Defendants moved to compel Hamilton to disclose the reports and to amend the bill of particulars to reflect those injuries

1. Supreme Court dismissed the complaint as against the Miller defendants during the pendency of this appeal.

actually sustained, or otherwise be precluded from introducing proof of his alleged injuries at trial. Hamilton cross-moved for a protective order under CPLR 3103 and for the court to take judicial notice under CPLR 4511 of a federal statute codifying Congress's findings justifying the Residential Lead-Based Paint Hazard Reduction Act of 1992 (42 USC § 4851).

Supreme Court denied Hamilton's motion and granted defendants' motion, ordering Hamilton to produce medical reports of a treating or examining medical service provider detailing any injuries alleged to have been sustained as a result of defendants' negligence and causally relating them to exposure to lead-based paint. The court further ordered that, should Hamilton fail to produce these records, he would be precluded from introducing proof of his injuries at trial. Finally, the court ordered Hamilton to amend his bill of particulars.

The Appellate Division affirmed (*Hamilton v Miller*, 106 AD3d 1476, 1478 [4th Dept 2013]), granted plaintiff leave to appeal, and certified the question of whether the order was properly made (107 AD3d 1648 [2013], 2013 NY Slip Op 79248[U] [2013]).

II

CPLR 3121 (a) provides that when a party's mental or physical condition is in issue, any other party may serve on the party whose condition is in controversy notice "to submit to a physical, mental or blood examination by a designated physician." A noticed party then is obligated under 22 NYCRR 202.17 (b) (1) to deliver:

"copies of the medical reports of those medical providers who have previously treated or examined the party seeking recovery. These shall include a recital of the injuries and conditions as to which testimony will be offered at the trial, referring to and identifying those X-ray and technicians reports which will be offered at the trial, including a description of the injuries, a diagnosis and a prognosis."

In most personal injury cases, disclosure under this rule is straightforward. The injured plaintiff goes to the doctor for diagnosis and treatment. The doctor drafts a report. The plaintiff turns over the report to the defendant.

This case is more complicated. Plaintiffs allegedly suffered lead poisoning as children. Now adults, plaintiffs allege that

their childhood exposure to lead caused them numerous injuries. It appears from the dearth of medical evidence in the record that plaintiffs may never have been treated for or diagnosed with many of the alleged injuries. This raises the question of what plaintiffs must disclose in order to comply with rule 202.17 (b) (1).

Plaintiffs argue that the rule requires them to turn over only those reports that currently exist from providers who have “previously treated or examined” them. They argue that they are not required to document or create medical evidence of every alleged injury. To the extent that plaintiffs are arguing that the rule does not obligate them to hire a medical provider to examine them and create a report solely for purposes of the litigations, we agree. Requiring a personal injury plaintiff to hire a medical professional to draft a report purely to satisfy 22 NYCRR 202.17 (b) (1) could make it prohibitively expensive for some plaintiffs to bring legitimate personal injury suits. Some plaintiffs may not be able to afford a medical examination or may not even have access to a doctor. Plaintiffs therefore need only produce reports from medical providers who have “previously treated or examined” them.

To the extent, however, that plaintiffs claim that they need to turn over only those medical reports that currently exist, we disagree. The rule obligates plaintiffs to provide comprehensive reports from their treating and examining medical providers—the reports “*shall* include a recital of the injuries and conditions as to which testimony will be offered at the trial” (22 NYCRR 202.17 [b] [1] [emphasis added]). Plaintiffs therefore cannot avoid disclosure simply because their treating or examining medical providers have not drafted any reports within the meaning of rule 202.17 (b) (1) (*see Ciriello v Virgues*, 156 AD2d 417, 418 [2d Dept 1989] [“(T)he fact that a report never was prepared does not obviate the party’s obligation under the rules”]; *Davidson v Steer/Peanut Gallery*, 277 AD2d 965, 965 [4th Dept 2000]; *Pierson v Yourish*, 122 AD2d 202, 203 [2d Dept 1986]). If plaintiffs’ medical reports do not contain the information required by the rule, then plaintiffs must have the medical providers draft reports setting forth that information (*see id.*).²

2. We note that prior to April 17, 1998, rule 202.17 (b) (1), which had required the plaintiff in advance of the examination to serve on all parties reports of physicians who had previously treated or examined the plaintiff, also required the reports to “include a ‘detailed recital of the injuries’ about which testimony is to be offered at trial, and this was generally construed to

(n. cont’d)

If that is not possible, plaintiffs must seek relief from disclosure and explain why they cannot comply with the rule (*see* 22 NYCRR 202.17 [j]).

[1] We conclude therefore that Supreme Court abused its discretion in requiring plaintiffs to provide medical evidence of each alleged injury or otherwise be precluded from offering evidence of that injury at trial. Supreme Court's motivation for granting that relief is understandable. Plaintiffs' counsel filed boilerplate bills of particulars and then did not disclose medical records substantiating the alleged injuries. To that end, plaintiffs should amend their respective bills of particulars to reflect those injuries actually sustained. Nonetheless, although Supreme Court had wide, inherent discretion to manage discovery, foster orderly proceedings, and limit counsel's gamesmanship (*see Kavanagh v Ogden Allied Maintenance Corp.*, 92 NY2d 952, 954 [1998]), the ordered relief exceeded the court's power.

[2] Supreme Court also granted relief beyond that contemplated by 22 NYCRR 202.17 (b) (1) by requiring plaintiffs to produce, prior to the defense examination, a medical report causally relating plaintiffs' injuries to lead paint exposure or be precluded from offering proof of such injuries at trial. The rule requires that the medical reports "include a recital of the injuries and conditions as to which testimony will be offered at the trial, . . . including a description of the injuries, a diagnosis and a prognosis." There is no requirement that medical providers causally relate the injury to the defendant's negligence or, in this case, the lead paint exposure.

If determining causation requires evidence from a medical professional, causation is more appropriately dealt with at the expert discovery phase and pursuant to CPLR 3101 (d). If defendants wish to expedite expert discovery, they can move in Supreme Court for amendment of the scheduling orders. Should

require a narrative report rather than the briefer notations found in . . . insurance and workers' compensation forms" (73 Siegel's Practice Review 1, *Amendment of Rules Dispenses with "Detailed" Recitation of Injuries* [July 1998]). The April 17, 1998 amendment struck out the word "detailed" which, according to a member of the committee that recommended the amendment, would "allow the plaintiff to prosecute his personal injury case from inception through trial without ever obtaining a narrative report *if* his provider form(s) contains the essential information, i.e., a description of the injuries, a diagnosis and a prognosis, and, if X-rays or technicians' reports will be offered at trial, a reference to those reports" (*id.* [emphasis added]; *see* Siegel, NY Prac § 363 [5th ed 2011] [Note: online treatise]).

plaintiffs fail to produce any evidence of causation, then defendants can move for and obtain summary judgment.

III

[3] Supreme Court properly denied plaintiff Hamilton's CPLR 4511 motion to take judicial notice of 42 USC § 4851. That provision contains Congress's findings justifying legislation aimed at reducing lead—findings such as: “at low levels, lead poisoning in children causes intelligence quotient deficiencies, reading and learning disabilities, impaired hearing, reduced attention span, hyperactivity, and behavior problems”; and “the Federal Government must take a leadership role in building the infrastructure—including an informed public, State and local delivery systems, certified inspectors, contractors, and laboratories, trained workers, and available financing and insurance—necessary to ensure that the national goal of eliminating lead-based paint hazards in housing can be achieved as expeditiously as possible” (42 USC § 4851 [2], [8]). Hamilton apparently sought judicial notice of the federal provision in order to avoid having to prove general causation—that lead paint exposure can cause some or all of his alleged injuries.

CPLR 4511 allows a court to take notice of federal and foreign state law, not facts, that is relevant to a proceeding (CPLR 4511; *Pfleuger v Pfleuger*, 304 NY 148, 151 [1952]). The congressional findings in support of legislation seeking to reduce amounts of lead in homes, though codified in a federal statute, are not “law” that is relevant to Hamilton's case. Taking judicial notice of them under CPLR 4511 would be inappropriate.

What Hamilton really wanted was to have Supreme Court take judicial notice of the *fact* that exposure to lead paint can cause injury. “To be sure, a court may take judicial notice of facts which are capable of immediate and accurate determination by resort to easily accessible sources of indisputable accuracy” (*People v Jones*, 73 NY2d 427, 431 [1989] [internal quotation marks omitted]). But general causation, at least in scientifically complex cases, is not such a fact. Hamilton needs to prove, through scientific evidence, that exposure to lead-based paint can cause the injuries of which he complains (see *Parker v Mobil Oil Corp.*, 7 NY3d 434, 448 [2006]). He cannot avoid that burden simply because Congress, in statutory preambles, has opined on the dangers of lead-based paint.

Accordingly, in each case, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed, and the certified question answered in the negative.

Judges GRAFFEO, READ, PIGOTT, RIVERA and ABDUS-SALAAM concur with Chief Judge LIPPMAN; Judge SMITH dissents and votes to affirm for the reasons stated in the memorandum of the Appellate Division (106 AD3d 1476 [2013]).

In *Hamilton v Miller*: Order modified, without costs, by remitting to Supreme Court, Monroe County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed, and certified question answered in the negative.

Judges GRAFFEO, READ, PIGOTT, RIVERA and ABDUS-SALAAM concur with Chief Judge LIPPMAN; Judge SMITH dissents and votes to affirm for the reasons stated in the memorandum of the Appellate Division (105 AD3d 1313 [2013]).

In *Giles v Yi*: Order modified, without costs, by remitting to Supreme Court, Monroe County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed, and certified question answered in the negative.

[17 NE3d 491, 993 NYS2d 236]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CHURCHILL ANDREWS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KEVIN KRUGER, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v VINOD PATEL, Respondent.

Argued April 29, 2014; decided June 12, 2014

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 24, 2013. The Appellate Division denied defendant's application for a writ of error coram nobis seeking leave to file a late notice of appeal from a judgment of the Supreme Court, Kings County (Jo Ann Ferdinand, J.), which had convicted defendant, upon his plea of guilty, of criminal sale of a controlled substance in the fifth degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 20, 2013. The Appellate Division denied defendant's application for a writ of error coram nobis seeking leave to file a late application for leave to appeal to the Court of Appeals from a decision and order of that Appellate Division dated December 1, 2009 (68 AD3d 784 [2009]). The Appellate Division had affirmed a judgment of the Orange County Court (Nicholas DeRosa, J.) convicting defendant, upon his plea of guilty, of burglary in the first degree.

APPEAL, in the third above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 11, 2012. The Appellate Division granted defendant's application for a writ of error coram nobis seeking leave to file a late notice of appeal from a judgment of the Supreme Court, Queens County (Dorothy Chin Brandt, J.), which had convicted defendant, upon his plea of guilty, of possessing a sexual performance by a child (two counts).

People v Andrews, 108 AD3d 729, affirmed.

People v Kruger, 104 AD3d 875, affirmed.

People v Patel, 97 AD3d 701, reversed.

HEADNOTES

Crimes — Appeal — Dismissal of Appeal — Involuntarily Deported Defendant

1. Defendant's appeal from the Appellate Division order denying his application for a writ of error coram nobis seeking leave to file a late notice of appeal from a judgment which had convicted him, upon his plea of guilty, of criminal sale of a controlled substance was not dismissed notwithstanding defendant's involuntary removal from the United States. Defendant's removal by federal authorities on the basis of the underlying conviction occurred after defendant was granted leave to appeal by the Court of Appeals and despite apparent assurances that removal would not occur while the appeal was pending.

Crimes — Appeal — Leave to File Late Notice of Appeal — Writ of Error Coram Nobis

2. Defendant's application for a writ of error coram nobis seeking leave to file a late notice of appeal from a judgment which had convicted him, upon his plea of guilty, of possessing a sexual performance by a child on the ground that his attorney had been ineffective for failing to file a notice of direct appeal following the conviction should not have been granted by the Appellate Division, as defendant had moved, unsuccessfully, for leave to file a late notice of direct appeal pursuant to CPL 460.30 before the statutory one-year grace period elapsed. The writ of error coram nobis used by courts to correct errors for which no other avenue of judicial relief is apparent includes claims premised on the loss of the right to an appeal caused by deficient legal performance. CPL 460.30 permits a defendant to seek permission to file a late notice of direct appeal in certain circumstances, and requires the motion to be made within one year after the time for taking the appeal has expired. An exception is warranted for a defendant who does not invoke CPL 460.30 within the one-year grace period because defense counsel inexcusably failed to comply with a timely request to file a notice of appeal. Defendant, however, realized that a notice of appeal had not been filed within 30 days of sentencing and moved for CPL 460.30 relief before the one-year grace period elapsed. By invoking that procedure, he could not later seek similar relief in a coram nobis proceeding.

Crimes — Appeal — Leave to File Late Notice of Appeal — Writ of Error Coram Nobis

3. Defendant's application for a writ of error coram nobis seeking leave to file a late notice of appeal from a judgment which had convicted defendant, upon his plea of guilty, of criminal sale of a controlled substance was properly rejected by the Appellate Division, as it did not provide sufficient factual allegations to demonstrate that defendant's appellate rights were lost as a result of ineffective assistance of counsel. Defendant made only perfunctory claims that he asked his lawyer to file a timely notice of appeal and that it was impossible to discover the omission with reasonable diligence within the statutory one-year grace period provided for in CPL 460.30. Defense counsel stated that she had discussions regarding the possibility of an appeal with defendant and he decided not to pursue that route because he wanted to accept a sentence of time served and end his case. Those statements were consistent with defendant's execution of a written waiver of his right to appeal in the

presence of the judge who presided at the guilty plea proceeding, which presumptively demonstrated a desire not to seek appellate review. Defense counsel further recalled that it was the court's usual practice to provide defendants with written notice of the right to appeal. Nothing defendant offered countered those assertions—he did not claim that his attorney or the court failed to inform him about the appellate process, or that he asked for a notice of appeal to be filed. Nor did defendant attempt to explain why he waited more than two years to seek coram nobis relief after he obtained an attorney to represent him on collateral review.

Crimes — Appeal — Leave to File Late Criminal Leave Application — Writ of Error Coram Nobis

4. Defendant's application for a writ of error coram nobis seeking leave to file a late criminal leave application for discretionary review by the Court of Appeals of an Appellate Division order affirming the judgment which had convicted defendant, upon his plea of guilty, of burglary in the first degree was properly rejected by the Appellate Division. Defendant claimed that his lawyer agreed to file the criminal leave application but had neglected to do so. Unlike an appeal as of right, there is no federal constitutional entitlement to legal representation on a discretionary application for an appeal to a state's highest court. Thus, the failure to file a criminal leave application, standing alone, did not necessarily establish that defendant was deprived of effective assistance of counsel or due process of law. He was therefore not entitled to coram nobis relief.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 308–310; AM JUR 2d, Habeas Corpus and Postconviction Remedies §§ 194, 200–205, 212, 217, 220–225.
CARMODY-WAIT 2d, Postjudgment Motions §§ 205:6, 205:22;
CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:18, 207:90–207:93, 207:159.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 27.5, 28.5.
MCKINNEY'S, CPL 460.30.
NY JUR 2d, Criminal Law: Procedure §§ 927, 3378, 3482, 3519, 3522, 3652; NY JUR 2d, Habeas Corpus § 38.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Coram Nobis.

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POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (*Lisa Napoli* of counsel), for appellant in the first above-entitled

action. Churchill Andrews's coram nobis petition should have been granted under *People v Syville* (15 NY3d 391 [2010]) because defense counsel failed to protect his right to appeal, correct the court's erroneous statement that he had waived that appeal, or explain the potential benefits of appealing the conviction that rendered him, a hardworking family man who been a lawful permanent resident of the United States for his entire adult life, mandatorily and permanently removable. (*Roe v Flores-Ortega*, 528 US 470; *People v Droz*, 39 NY2d 457; *People v Caban*, 5 NY3d 143; *People v White*, 56 NY2d 110; *People v Settles*, 46 NY2d 154; *Evitts v Lucey*, 469 US 387; *Penson v Ohio*, 488 US 75; *People v Pride*, 3 NY2d 545; *People v Crimmins*, 36 NY2d 230.)

Kenneth P. Thompson, District Attorney, Brooklyn (Joyce Slevin, Leonard Joblove and Solomon Neubort of counsel), for respondent in the first above-entitled action. I. The appeal should be dismissed because defendant has been deported. (*People v Diaz*, 7 NY3d 831; *People v Parmaklidis*, 38 NY2d 1005; *People v Del Rio*, 14 NY2d 165; *People v Ventura*, 17 NY3d 675.) II. Defendant has not preserved for appellate review his claim that he was denied effective assistance of counsel on the ground that counsel allegedly failed at sentencing to advise him that he would be deported if he did not appeal. Moreover, denial of defendant's coram nobis petition was proper because he failed to provide sworn allegations of fact to support any of his claims. In any event, all of defendant's claims are meritless. (*People v Syville*, 15 NY3d 391; *People v Ford*, 69 NY2d 775; *Mikulski v Battaglia*, 112 AD3d 1355; *Hoyte v Epstein*, 12 AD3d 487; *Santillo v Thompson*, 71 AD3d 1587; *Schissler v Athens Assoc.*, 19 AD3d 979; *People v Ozuna*, 7 NY3d 913; *People v Crimmins*, 38 NY2d 407; *People v Melton*, 35 NY2d 327; *People v Usher*, 172 AD2d 1075.)

Ostrer & Hoovler, P.C., Chester (Benjamin Ostrer and David A. Brodsky of counsel), for appellant in the second above-entitled action. I. The Appellate Division erred by failing to consider the merits of appellant's petition for a writ of error coram nobis. (*Simon v Usher*, 17 NY3d 625; *People v Syville*, 15 NY3d 391; *People v Callaway*, 24 NY2d 127.) II. The Appellate Division should have considered the merits of appellant's petition for a writ of coram nobis under *People v Syville* (15 NY3d 391 [2010]) or an extension to it. (*Gideon v Wainwright*, 372 US 335; *Evitts v Lucey*, 469 US 387; *Cuyler v Sullivan*, 446 US 335; *Roe v Flores-Ortega*, 528 US 470; *Perez v Wainwright*, 640 F2d 596;

Ross v Moffitt, 417 US 600; *Wainwright v Torna*, 455 US 586; *Baldwin v Reese*, 541 US 27; *Picard v Connor*, 404 US 270.) III. The issue to be raised on appeal is meritorious since appellant's rights were violated when County Court coerced him to withdraw his plea without identifying grounds capable of review on appeal. (*People v Seaberg*, 74 NY2d 1; *People v Hidalgo*, 91 NY2d 733; *People v Selikoff*, 35 NY2d 227, 419 US 1122; *People v Danny G.*, 61 NY2d 169; *People v McConnell*, 49 NY2d 340; *Spence v Superintendent, Great Meadow Correctional Facility*, 219 F3d 162; *People v Hill*, 9 NY3d 189; *North Carolina v Alford*, 400 US 25; *People v Brown*, 14 NY3d 113; *People v Murray*, 15 NY3d 725.)

Francis D. Phillips, II, District Attorney, Middletown (*Andrew R. Kass* of counsel), for respondent in the second above-entitled action. I. The Appellate Division correctly denied defendant's application for a writ of error coram nobis that sought permission to file a late leave application. (*People v Syville*, 15 NY3d 391; *People v Kruger*, 104 AD3d 875; *Sumner v Mata*, 449 US 539; *People v West*, 100 NY2d 23; *Evitts v Lucey*, 469 US 387; *Williams v Oklahoma City*, 395 US 458; *Douglas v California*, 372 US 353; *Jones v Barnes*, 463 US 745; *People v Stultz*, 2 NY3d 277.) II. Defendant's remaining claims are not properly before the Court. (*People v Thomas*, 47 NY2d 37.)

Richard A. Brown, District Attorney, Kew Gardens (*John M. Castellano, Johnnette Traill and John F. McGoldrick* of counsel), for appellant in the third above-entitled action. The Appellate Division erroneously granted coram nobis relief because (a) that procedure is not available where, as here, a defendant can obtain review of his claim under the CPL, and (b) even if further review were available, defendant's inconsistent allegations and failure to support his claims mandated denial. (*People v De Renzzio*, 14 NY2d 732; *People v Callaway*, 24 NY2d 127; *People v O'Bryan*, 26 NY2d 95; *People v Thomas*, 47 NY2d 37; *People v Corso*, 40 NY2d 578; *People v Syville*, 15 NY3d 391; *Evitts v Lucey*, 469 US 387; *Ross v Moffitt*, 417 US 600; *People v Evans*, 94 NY2d 499; *Matter of Dondi v Jones*, 40 NY2d 8.)

Lynn W.L. Fahey, Appellate Advocates, New York City, for respondent in the third above-entitled action. The Appellate Division had the power to grant respondent's coram nobis application regardless of its earlier denial of his timely but far more cursory pro se CPL 460.30 motion. (*People v Corso*, 40 NY2d 578; *People v Syville*, 15 NY3d 391; *People v Thomas*, 47 NY2d

37; *People v Ventura*, 17 NY3d 675; *People v Rivera*, 39 NY2d 519; *People v Pitts*, 6 NY2d 288; *People v Lassalle*, 20 NY3d 1024; *People v D'Alessandro*, 13 NY3d 216; *People v Turner*, 5 NY3d 476; *People v Ramsey*, 23 NY2d 656.)

OPINION OF THE COURT

GRAFFEO, J.

In these three cases, we consider whether our decision in *People v Syville* (15 NY3d 391 [2010]) entitled defendants to a common-law writ of error coram nobis in order to pursue untimely appeals.

I

The appellate process is a statutory creation in New York (*see e.g. People v Romero*, 7 NY3d 633, 636-637 [2006]; *People v West*, 100 NY2d 23, 26 [2003], *cert denied* 540 US 1019 [2003]). The review of a criminal conviction is authorized by article 450 of the Criminal Procedure Law. There is a right to a first-tier, direct appeal to an intermediate appellate court (*see* CPL 450.10 [1]), whereas secondary review is more commonly discretionary (*compare* CPL 450.90 *with* CPL 450.70 *and* CPL 450.80). An appeal is initiated by filing a notice of appeal, usually within 30 days after sentence is imposed (*see* CPL 460.10 [1] [a]).

Although there is no constitutional entitlement to an appeal (*see e.g. Halbert v Michigan*, 545 US 605, 610 [2005]; *McKane v Durston*, 153 US 684, 687 [1894]), it has long been recognized that a statutory right to a direct appeal triggers a guarantee of effective legal assistance (*see Evitts v Lucey*, 469 US 387, 393-394 [1985]; *Douglas v California*, 372 US 353, 357 [1963]). A lawyer who disregards a timely request to file a notice of appeal “acts in a manner that is professionally unreasonable” (*Roe v Flores-Ortega*, 528 US 470, 477 [2000]). A corresponding loss of appellate rights results in a deprivation of due process of law (*see Evitts*, 469 US at 396-397; *Roe*, 528 US at 477).

The procedure for raising such a claim has evolved over time. Historically, the ancient writ of “error coram nobis” was used by courts to correct errors for which no other avenue of judicial relief was apparent (*see e.g. People v Hairston*, 10 NY2d 92, 93-94 [1961]; *People v Bachert*, 69 NY2d 593, 598-600 [1987]). After the writ was resurrected in New York (*see Matter of Lyons v Goldstein*, 290 NY 19, 25 [1943]), it was enlarged to include claims premised on the loss of the right to an appeal caused by deficient legal performance (*see e.g. People v Montgomery*, 24

NY2d 130, 133-134 [1969]). This so-called “*Montgomery* claim,” if meritorious, restarted the 30-day period to file a notice of appeal (*see id.*).

Most of the common-law, coram nobis types of relief were abrogated when the Criminal Procedure Law was enacted (*see People v Corso*, 40 NY2d 578, 580 [1976], citing CPL 440.10). A modified form of *Montgomery* relief was codified in CPL 460.30 to permit a defendant to seek permission to file a late notice of direct appeal in certain circumstances. The motion “must be made with due diligence after the time for the taking of such appeal has expired, and in any case not more than one year thereafter” (CPL 460.30 [1]). The one-year grace period is strictly enforced (*see People v Corso*, 40 NY2d at 581) “since the time limits within which appeals must be taken are jurisdictional in nature and courts lack inherent power to modify or extend them” (*People v Thomas*, 47 NY2d 37, 43 [1979]). But the enactment of the Criminal Procedure Law “did not expressly abolish the common-law writ of coram nobis or necessarily embrace all of its prior or unanticipated functions” (*People v Bachert*, 69 NY2d at 599). As a result, we have authorized a limited exception to the one-year rule if diligent and good faith efforts to comply with the requirement were deliberately thwarted by the People (*see People v Johnson*, 69 NY2d 339, 341-342 [1987]; *People v Thomas*, 47 NY2d at 43).

In *People v Syville* (15 NY3d 391 [2010]), we considered yet another situation—whether an exception was warranted for a defendant who does not invoke CPL 460.30 within the one-year time frame because defense counsel inexcusably failed to comply with a timely request to file a notice of appeal. We acknowledged that coram nobis was significantly restricted by the adoption of the Criminal Procedure Law, but that the ancient writ “continues to be available to alleviate a constitutional wrong when a defendant has no other procedural recourse” (*id.* at 400). Consistent with the demands of due process, *Syville* recognized that a criminal defendant must be allowed to assert that a right to appeal was extinguished “due solely to the unconstitutionally deficient performance of counsel in failing to file a timely notice of appeal” (*id.* at 398). Consequently, we concluded that “the time limit imposed in CPL 460.30 should not categorically bar an appellate court from considering [an] application to pursue an untimely appeal” (*id.* at 399-400) in a particular type of “rare case” (*id.* at 400 n 2) where:

“an attorney has failed to comply with a timely request for the filing of a notice of appeal and the defendant alleges that the omission could not reasonably have been discovered within the one-year period” (*id.* at 399).

When this occurs, the proper procedure is a coram nobis application to the Appellate Division (*see id.* at 400-401). Nevertheless, “in most cases strict enforcement of the CPL 460.30 time limit is constitutionally permissible because attorneys usually accede to their clients’ requests to file notices of appeal and, when they fail to do so, most defendants are in a position to discover the omission within the statutory grace period” (*id.* at 400 n 2).

With this background in mind, we now turn to the facts of the three cases before us.

II

People v Vinod Patel:

When defendant Vinod Patel pleaded guilty to possessing child pornography, he waived his right to appeal orally and in writing. Approximately 10 months after sentence was imposed—and within the one-year grace period provided by CPL 460.30—Patel sought permission to file a late notice of appeal. He asserted that his attorney failed to advise him about his right to pursue a direct appeal, and claimed that he had requested that his lawyer file a notice of appeal. The Appellate Division rejected Patel’s application (*see* 2008 NY Slip Op 67328[U] [2d Dept 2008], *lv dismissed* 10 NY3d 962 [2008]).

More than three years later, after we decided *Syville*, Patel applied for coram nobis relief in the Appellate Division, arguing that his attorney had been ineffective for failing to file a notice of direct appeal following the plea bargain conviction. The Second Department granted Patel’s motion and reinstated his direct appeal (97 AD3d 701 [2d Dept 2012]). A Judge of this Court granted the People leave to appeal (20 NY3d 934 [2012]).

People v Churchill Andrews:

Defendant Churchill Andrews pleaded guilty to selling narcotics and executed a written waiver of his right to appeal in conjunction with a drug-treatment agreement. Following a series of adjournments, along with an arrest on new charges and failure to complete the treatment program, Andrews eventually accepted a sentence of time served. In accordance

with that disposition, the court noted that Andrews had “previously waive[d] his right to appeal” and he was released from custody later that day. Andrews did not file a notice of appeal.

Andrews subsequently filed a CPL article 440 motion to vacate the judgment. It was denied by Supreme Court (2011 NY Slip Op 31216[U] [2011]) and the Appellate Division granted Andrews permission to appeal the order. Before the Appellate Division decided the case, Andrews moved for coram nobis relief under *Syville*, claiming that his lawyer had been ineffective for not filing a notice of direct appeal. At Andrews’ urging, the court stayed its resolution of the CPL 440 proceeding pending the outcome of the coram nobis motion. The court ultimately rejected both of Andrews’ applications (108 AD3d 727 [2d Dept 2013]; 108 AD3d 729 [2d Dept 2013]). A Judge of this Court granted Andrews permission to appeal in the coram nobis proceeding (22 NY3d 995 [2013]).

People v Kevin Kruger:

Defendant Kevin Kruger pleaded guilty to first-degree burglary, waiving his right to appeal in writing and in court. Kruger appealed and the Appellate Division affirmed, concluding that his challenge to the guilty plea was encompassed by the waiver of appeal (68 AD3d 784 [2d Dept 2009]). Kruger did not file an application for discretionary permission to appeal to this Court, commonly referred to as a “criminal leave application” or “CLA” (see CPL 460.10 [5]; 460.20).

Several years later, Kruger sought coram nobis relief in order to file a late criminal leave application. He claimed that his lawyer agreed to file the CLA but had neglected to do so. The Appellate Division denied the coram nobis motion, concluding that *Syville* does not apply to untimely criminal leave applications (104 AD3d 875 [2013]). A Judge of this Court granted Kruger leave to appeal (21 NY3d 1017 [2013]).

III

[1] These appeals present three related yet distinct questions arising under the reasoning of *Syville* and the precedent upon which it was based. In *Patel*, the People assert that the Appellate Division should not have granted the coram nobis motion because that relief is available only if no other procedural recourse exists, yet Patel availed himself of the CPL 460.30 procedure prior to the expiration of the one-year grace period. In *Andrews*, the primary issue is whether the motion for a writ of

error coram nobis provided sufficient factual allegations to support Andrews' assertion that his lawyer failed to inform him about the procedure for pursuing an appeal or whether Andrews' attorney should have filed a notice of appeal to protect his interests.¹ And in *Kruger*, we must consider whether the reasoning of *Syville*, which focused on an appeal as of right to an intermediate appellate court, applies with equal force to a discretionary criminal leave application to our Court.

As our historical analysis reveals, the holding of *Syville*—that coram nobis may be used to assert a claim that appellate rights were extinguished by ineffective legal assistance—was a narrow one. It was premised on the recognition that coram nobis is available only in “rare” cases in which a defendant “has no other procedural recourse” to raise such an issue (15 NY3d at 400 and n 2). In fact, we specifically noted that “strict enforcement” of CPL 460.30 is permissible in “most cases” since the majority of “defendants are in a position to discover” the failure to file a notice of appeal within the one-year grace period (*id.* at 400 n 2). Only defendants who “could not reasonably have . . . discovered” the omission during that period are entitled to utilize the coram nobis procedure (*id.* at 399).

[2] *Syville* forecloses Patel's claim. Unlike the *Syville* defendants, Patel realized that a notice of appeal had not been filed within 30 days of sentencing and moved for CPL 460.30 relief before the one-year grace period elapsed. By invoking that procedure, Patel could not later seek similar relief in a coram nobis proceeding (*see e.g. People v Corso*, 40 NY2d at 579). Cases preceding the adoption of the Criminal Procedure Law (*see e.g. People v Lampkins*, 21 NY2d 138 [1967]; *People v Adams*, 12 NY2d 417 [1963]; *People v Stanley*, 12 NY2d 250 [1963]) are not controlling since they were largely abrogated by the codification of the preexisting coram nobis remedies (*see People v Bachert*, 69 NY2d at 596, 599). The pertinent precedent now is CPL 460.30 and *Syville*, and since Patel was in a position to use the

1. [1] The People have asked us to dismiss Andrews' appeal because he has been involuntarily removed from the United States on the basis of the underlying drug-sale conviction in this case. We note, however, that this action by federal authorities occurred after a Judge of our Court granted Andrews leave to appeal and despite apparent assurances that removal would not occur while the appeal was pending. Under these circumstances, we reject the People's argument that the appeal should be dismissed (*see generally People v Ventura*, 17 NY3d 675, 680-681 [2011]).

statutory mechanism—and actually did so within the one-year window—recourse to the common-law procedure was not available.²

[3] Andrews' application for coram nobis relief suffered from a more fundamental flaw. *Syville* conditions coram nobis relief on a defendant's ability to demonstrate that appellate rights were lost as a result of ineffective assistance (see 15 NY3d at 398). The *Syville* defendants, for example, offered specific factual allegations that supported their claims of ineffective assistance of counsel. The coram nobis application for Syville included his affidavit and one from his attorney "stating that, upon being convicted . . . Syville had requested" him to "file a notice of appeal on his behalf" and the lawyer confirmed that he mistakenly failed to do so (*id.* at 395). In the companion case (*People v Tony Council*), the coram nobis motion was likewise supported by several affidavits establishing "that, at the time of his conviction, Council had asked his trial attorney to file a notice of appeal" and the lawyer "averred that he had neglected to file the notice of appeal as a result of 'law office failure' " (*id.* at 396).

Andrews, in contrast, made only perfunctory claims that he asked his lawyer to file a timely notice of appeal and that it was impossible to discover the omission with reasonable diligence. In fact, most of the relevant information presented to the Appellate Division was established by Andrews' counsel at sentencing, who sent an unsolicited response to Andrews' allegation of professional ineptitude. The attorney states that she had discussions regarding the possibility of an appeal with Andrews (as she did with every client) and he decided not to pursue that route because he wanted to accept a sentence of time served and end his case. Those statements were consistent with Andrews' execution of a written waiver of his right to appeal in the presence of the judge who presided at the guilty plea proceeding, which presumptively demonstrated a desire not to seek appellate review (see generally *People v Parris*, 4 NY3d 41, 50 [2004]). Defense counsel further recalled that it was the court's usual practice to provide defendants with written notice

2. A defendant who acts diligently to obtain "unquestionable documentary proof" that would "conclusively substantiate[]" ineffective legal assistance in support of a motion to file a late notice of appeal (CPL 460.30 [3]), but is unable to comply with the jurisdictional one-year grace period through no fault of his own (see *People v Thomas*, 47 NY2d at 43; *People v Corso*, 40 NY2d at 581), could seek a writ of error coram nobis because "no other procedural recourse" apparently exists "to alleviate [the] constitutional wrong" in that particular situation (*People v Syville*, 15 NY3d at 400).

of the right to appeal. Nothing Andrews offered countered these assertions—he did not claim that his attorney or the court failed to inform him about the appellate process, or that he asked for a notice of appeal to be filed. Nor did Andrews attempt to explain why he waited more than two years to seek coram nobis relief after he obtained an attorney to represent him on collateral review. Consequently, his *Syville* claim was properly rejected by the Appellate Division.

[4] Kruger’s case is different in at least one important respect. He sought permission to file an untimely criminal leave application for discretionary review by our Court—not a late first-tier appeal as of right to an intermediate appellate tribunal as in *Syville*, *Patel* and *Andrews*.³ Unlike an appeal as of right, however, there is no federal constitutional entitlement to legal representation on a discretionary application for an appeal to a state’s highest court (see *Ross v Moffitt*, 417 US 600, 615-616 [1974]; *Halbert v Michigan*, 545 US at 611-612; *Hernandez v Greiner*, 414 F3d 266, 269-270 [2d Cir 2005]). Thus, the failure to file a CLA, standing alone, does not necessarily establish that Kruger was deprived of effective assistance of counsel or due process of law (see *Wainwright v Torna*, 455 US 586, 587-588 [1982]). He was therefore not entitled to coram nobis relief.

Furthermore, Kruger has not premised his ineffectiveness claim on independent state constitutional grounds so our analysis is grounded on federal constitutional precedent (see generally *People v Kin Kan*, 78 NY2d 54, 59-60 [1991]). Cases such as *Wainwright v Torna* (455 US 586 [1982]) and *Ross v Moffitt* (417 US 600 [1974]) clearly establish that the failure of Kruger’s attorney to pursue a CLA did not implicate the Sixth or Fourteenth Amendments, even though—as our dissenting colleague observes (see dissenting op at 619)—this affects Kruger’s ability to seek federal habeas corpus review of his underlying appellate issues (see *O’Sullivan v Boerckel*, 526 US 838, 848-849 [1999]). Because Kruger has not asked us to depart from that rationale as a matter of state law, or cited any New York statutes or regulatory provisions in support of such a position, it is inappropriate for us to decide today whether a more protective rule should be recognized under our State Constitution.

Accordingly, in *People v Patel*, the order of the Appellate Division should be reversed and defendant’s application for a writ of

3. The People do not claim that Kruger erroneously filed his coram nobis application with the Appellate Division rather than our Court so we express no view on whether the motion was procedurally defective in that regard.

error coram nobis denied. In *People v Andrews*, the order of the Appellate Division should be affirmed. In *People v Kruger*, the order of the Appellate Division should be affirmed.

RIVERA, J. (concurring in *People v Andrews*, and dissenting in *People v Kruger*). I join the majority in *People v Andrews* because, as the majority states, Andrews’s petition for a writ of error coram nobis lacked his affirmative assertion that defense counsel failed to inform him about the appellate process or that he asked counsel to file a notice of appeal (majority op at 615-616).

However, of import is defense counsel’s conduct as related to her obligation to inform Andrews of his right to appeal. Counsel’s failure to provide Andrews with written notice, in person or by mail, of his right to appeal was in direct contravention of the rules of the Appellate Division, Second Department (see 22 NYCRR 671.3 [a] [“Upon conviction in the trial court . . . it shall be the duty of the counsel for the defendant, immediately after the pronouncement of sentence . . . to give, either by mail or personally, written notice to his client advising him of his right to appeal”]).¹ Moreover, defense counsel’s conduct is particularly disconcerting because, according to her affirmation, she “ask[ed] Mr. Andrews if he wished to appeal”—no more than a cursory inquiry, lacking any semblance of counsel regarding Andrews’s right to appeal. Nevertheless, Andrews’s submissions were inadequate to support his request for a writ of error coram nobis, and I agree with the majority that the order of the Appellate Division should be affirmed.

1. Every department imposes such requirements (see 22 NYCRR 606.5 [b] [First Department]; 22 NYCRR 821.2 [a] [Third Department]; 22 NYCRR 1022.11 [a] [Fourth Department]). These notification requirements imposed on counsel are not insignificant. In the Second Department, counsel’s written notice must inform defendant of “the applicable time limitations with respect to the making of the application for permission to appeal[,] . . . the manner of instituting the appeal and [obtaining applicable transcripts,] and the appellant’s right . . . to make application to the appellate court for the following relief: for the assignment of counsel to prosecute the appeal; for leave to prosecute the appeal as a poor person and to dispense with printing; and [obtaining applicable transcripts at no cost]” (22 NYCRR 671.3 [b] [1], [2], [3]). Moreover, counsel’s written notice should “request the written instructions of his client, and if the client thereafter gives counsel timely written notice of his desire [to appeal] . . . counsel shall proceed promptly to do so” (22 NYCRR 671.3 [b] [4]). Every department has similar requirements for counsel’s written notice (see 22 NYCRR 606.5 [b] [1] [First Department]; 22 NYCRR 821.2 [a] [Third Department]; 22 NYCRR 1022.11 [a] [Fourth Department]).

However, I disagree with the majority's decision in *People v Kruger* that defendant may not seek coram nobis relief when counsel fails to file a timely criminal leave application to our Court, despite defendant's specific request, because such failure "does not necessarily establish" ineffective assistance of counsel or deprivation of due process of law (majority op at 616).² The majority grounds its decision on the lack of a federal constitutional right to legal representation on a discretionary application for an appeal to our Court.

This reasoning is unpersuasive. It is within our discretion that we determine the expanse of coram nobis and "the long-standing recognition of coram nobis flexibility" (*People v Bachert*, 69 NY2d 593, 596 [1987]) empowers us to afford relief to a defendant who "has no other procedural recourse" (*People v Syville*, 15 NY3d 391, 400 [2010]). Here, defendant seeks relief to file an untimely criminal leave application. Denial of the opportunity to exhaust all available avenues for state appellate review has negative consequences that affect defendant's rights, and potentially forecloses judicial correction of trial and appellate errors. Therefore, I dissent.

Once a state affords appellate review, it must do so in a constitutional manner (*see Griffin v Illinois*, 351 US 12, 20 [1956]; *Evitts v Lucey*, 469 US 387, 393 [1985]; *People v West*, 100 NY2d 23, 28 [2003]). Here, our appellate courts, both the Appellate Division and our Court of Appeals, are "an integral part of the . . . system for finally adjudicating the guilt or innocence of a defendant" (*Evitts*, 469 US at 393, citing *Griffin*, 351 US at 18). Although a defendant has no right to a favorable outcome on appeal, our laws recognize a defendant's right to request appellate consideration (*see generally* CPL 460.10).

It is undisputed that defendant sought to invoke his right to appellate review as guaranteed by our state. He asked his appellate counsel to file an application for leave to appeal and, although defense counsel told defendant that he would do so, counsel failed to file a timely criminal leave application. Moreover, counsel did not make a timely request for an extension to file, as provided by our Criminal Procedure Law (*see* CPL 460.30). As a direct result of counsel's deficient performance in the exercise of his professional duties and responsibilities to his client, defendant has been denied the opportunity to request review of his conviction from this Court.

2. Like the majority, I take no position on whether Kruger's coram nobis petition was properly filed with the Appellate Division (majority op at 615 n 2).

This denial is not inconsequential for several reasons. First, denial of the right to request review by the highest court of the state due to the mere fact that an attorney failed to comply with a client's request to file a timely criminal leave application places in question the integrity of our criminal justice system and the fairness of the appellate process. While defendant, of course, could not be certain we would grant leave, his lawyer's failure has eliminated even that possibility. Second, review by our Court is a meaningful part of New York's appellate procedure, allowing us to

“consider and determine not only questions of law which were raised or considered upon the appeal to the [Appellate Division], but also any question of law involving alleged error or defect in the criminal court proceedings resulting in the original criminal court judgment, sentence or order, regardless of whether such question was raised, considered or determined upon the appeal to the [Appellate Division]” (CPL 470.35 [1]).

Third, defense counsel's failure has jeopardized defendant's potential request for federal habeas relief (*Baldwin v Reese*, 541 US 27, 29 [2004] [“Before seeking a federal writ of habeas corpus, a state prisoner must exhaust available state remedies”], citing 28 USC § 2254 [b] [1]). Defendant's interest in state and federal judicial review of his claims is of no less import and is no less worthy of protection than the interests at stake in *Syville*.

Defendant only seeks *permission* to submit a late criminal leave application to our Court. It is our Court that decides the expanse of coram nobis, and I would allow the writ to be used for this limited purpose. The writ is especially warranted where, as here, defendant has been unduly prejudiced due to no fault of his own but, rather, solely as a result of his counsel's deficient performance in failing to comply with the ministerial task of filing a timely criminal leave application.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur with Judge GRAFFEO; Judge RIVERA in a separate concurring opinion.

In *People v Andrews*: Order affirmed.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT and ABDUS-SALAAM concur with Judge GRAFFEO; Judge RIVERA dissents in an opinion.

In *People v Kruger*: Order affirmed.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT, RIVERA
and ABDUS-SALAAM concur.

In *People v Patel*: Order reversed and defendant's application
for a writ of error coram nobis denied.

[16 NE3d 533, 992 NYS2d 475]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LIONEL
McCRAY, Appellant.

Argued May 8, 2014; decided June 12, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 24, 2013. The Appellate Division affirmed an amended judgment of the Supreme Court, New York County (Patricia M. Nunez, J.), which had convicted defendant, upon a jury verdict, of burglary in the second degree (two counts).

People v McCray, 102 AD3d 560, affirmed.

HEADNOTES

Crimes — Burglary — Burglary of Dwelling — Intrusion into Nonresidential Part of Large Building Containing Dwellings

1. A burglary committed in the nonresidential part of a building used partly for residential purposes is a burglary of a “dwelling” under the burglary in the second degree statute (Penal Law §§ 140.25 [2]; 140.00 [2], [3]) except where the building is large and the crime is committed in a place so remote and inaccessible from the living quarters that the special dangers inherent in the burglary of a dwelling do not exist. An intrusion into a home, or an overnight lodging, is more frightening and more likely to end in violence than other burglaries. These dangers are created in significant degree when the crime is committed in close contiguity with a place of repose even though the place of the burglary and the sleeping quarters are not instantly accessible to each other. The legislature, in 1967, specifically amended the definition of “building” in Penal Law § 140.00 (2) to provide that “[w]here a building consists of two or more units separately secured or occupied, each unit shall be deemed both a separate building in itself and a part of the main building.” The 1967 legislation should not be interpreted as rejecting the exception established by prior case law pertaining to a robbery committed in a large building in a place remote and inaccessible from living quarters.

Crimes — Burglary — Burglary of Dwelling — Intrusion into Nonresidential Part of Building Containing Hotel Rooms

2. In a criminal prosecution arising from defendant’s intrusion into a hotel employee locker room in a large building that contained the hotel along with a number of different businesses separate from the hotel, the evidence supported defendant’s conviction of second degree burglary as a burglary of a dwelling under Penal Law § 140.25 (2). A burglary committed in only the nonresidential part of a partly residential building, including a building occupied by a person lodging overnight, is a burglary of a dwelling (Penal Law §§ 140.25 [2]; 140.00 [2], [3]), except where the building is large and the crime is committed in a place so remote and inaccessible from the living quarters that the special dangers inherent in the burglary of a dwelling do not exist.

The hotel locker room was accessible by entering a stairway from the hotel's 14th floor lobby. On video surveillance, defendant was seen entering the locker room with a sweater over his head, after which he broke into a locker, then promptly left when a hotel employee entered. Thereafter, defendant was seen in another stairway on the other side of the building and there was evidence that defendant must have gone to the 16th floor conference level to cross. The hotel's guest rooms were on the 17th floor and above. While defendant was not in the immediate neighborhood of the rooms where guests slept, he used two stairways which provided a means of reaching all floors of the hotel and also passed through a floor adjacent to the guest room floors. Thus, the risks inherent in the burglary of a dwelling, i.e., that it is more frightening and more likely to end in violence than other burglaries, were present where defendant came near to rooms in which people were sleeping.

Crimes — Burglary — Burglary of Dwelling — Intrusion into Nonresidential Part of Building Containing Hotel Rooms

3. In a criminal prosecution arising from defendant's unlawful presence in a wax museum located on the street level and lower floors of a large building which also housed a number of different businesses, including a hotel on the upper floors, the evidence supported defendant's conviction of second degree burglary as a burglary of a dwelling under Penal Law § 140.25 (2). A burglary committed in only the nonresidential part of a partly residential building, including a building occupied by a person lodging overnight, is a burglary of a dwelling (Penal Law §§ 140.25 [2]; 140.00 [2], [3]), except where the building is large and the crime is committed in a place so remote and inaccessible from the living quarters that the special dangers inherent in the burglary of a dwelling do not exist. Several hours after defendant was seen on video surveillance in a hotel employee locker room and in two stairways which provided a means of reaching all floors of the hotel, he was seen in a number of video images from security cameras inside the wax museum, sliding a box along the floor and putting things into it. While the museum was separate and remote from the sleeping rooms, and a burglar who entered the museum from the street level and never entered the stairway it shared with the hotel may be found to have committed only third degree burglary, the jury here could have found that defendant entered the wax museum by coming down the stairway shared with the hotel, as he had been seen in that stairway earlier in the night. The jury could also have found that defendant could easily have returned by that route and reentered the hotel at its 14th floor lobby since there was evidence that the door between the stairway and the lobby was not locked from either side. Though the burglary was not physically close to the guest rooms of the hotel, the ease of access from one place to another is at least equally important.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Burglary §§ 6, 8, 9, 26, 27.

McKINNEY'S, Penal Law §§ 140.00 (2), (3); 140.25 (2).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 800, 817, 819, 841, 842.

ANNOTATION REFERENCE

What is "building" or "house" within burglary or breaking and entering statute. 68 ALR4th 425.

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POINTS OF COUNSEL

Stanley Neustadter, Cardozo Appeals Clinic, New York City (*Mark M. Baker* of counsel), for appellant. I. The issue of the legal sufficiency of the evidence supporting the element of “dwelling” is reviewable by the Court of Appeals since it was addressed by the trial court on the merits, pursuant to counsel’s motion, at an appropriate point in the trial. (*Jackson v Virginia*, 443 US 307; *Burks v United States*, 437 US 1; *People v Hawkins*, 11 NY3d 484; *People v Gray*, 86 NY2d 10; *People v Hines*, 97 NY2d 56; *People v Chestnut*, 19 NY3d 606; *People v Patterson*, 39 NY2d 288; *People v George*, 11 NY3d 848; *People v Olsen*, 34 NY2d 349; *Matter of Allen v Strough*, 301 AD2d 11.) II. The unlawful entry into the public commercial portion of a multi-use high-rise structure is not an entry into a “dwelling” for purposes of an aggravated charge of burglary in the second degree where there was no evidence that appellant intruded into the unconnected and severed residential area of the building, which, in any event, was not readily accessible from the commercial portion. (*People v Barney*, 99 NY2d 367; *Quinn v People*, 71 NY 561; *People v Quattlebaum*, 91 NY2d 744; *People v Cummings*, 16 NY3d 784; *People v Santana*, 143 AD2d 207; *People v Stevenson*, 116 AD2d 756; *People v Green*, 141 AD2d 760; *People v Ivory*, 99 AD2d 154; *People v Harris*, 19 AD3d 171; *People v Ortiz*, 78 AD3d 430.) III. The imposition of consecutive sentences was illegal under Penal Law § 70.25 (2) where appellant’s continuing conduct was all part of a single criminal scheme. (*People v Wright*, 19 NY3d 359; *People v Laureano*, 87 NY2d 640; *People v Bryant*, 92 NY2d 216; *People v Ramirez*, 89 NY2d 444; *People v Samms*, 95 NY2d 52; *People v Snyder*, 241 NY 81; *Prince v United States*, 352 US 322; *People v Rosas*, 8 NY3d 493; *People v Frazier*, 16 NY3d 36; *People v Matarese*, 57 AD2d 765.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Sheryl Feldman* and *Alan Gadlin* of counsel), for respondent. I. Contrary to defendant’s unpreserved claims, he was properly convicted of two counts of second degree burglary. (*People v Hawkins*, 11 NY3d 484; *People v Russell*, 71 NY2d 1016; *People v Napolitano*, 282 AD2d 49, 96 NY2d 866; *People v Rodriguez*,

50 NY2d 553; *People v Gray*, 86 NY2d 10; *People v Qualls*, 55 NY2d 733; *People v Chestnut*, 19 NY3d 606; *People v Robinson*, 36 NY2d 224; *People v Cona*, 49 NY2d 26; *People v Norman*, 85 NY2d 609.) II. The imposition of consecutive sentences for two separate second degree burglaries was lawful. (*People v Frazier*, 16 NY3d 36; *People v Laureano*, 87 NY2d 640; *People v Yong Yun Lee*, 92 NY2d 987; *People v Snyder*, 241 NY 81; *People v Felder*, 2 AD3d 365, 2 NY3d 799; *People v James*, 204 AD2d 180, 84 NY2d 827; *People v Smith*, 144 AD2d 600; *People v Day*, 73 NY2d 208; *People v Rosas*, 8 NY3d 493; *People v McKnight*, 16 NY3d 43.)

OPINION OF THE COURT

SMITH, J.

A person commits burglary in the third degree when he or she “knowingly enters or remains unlawfully in a building with intent to commit a crime therein” (Penal Law § 140.20). If the building is a “dwelling,” however, the crime is a more serious one, burglary in the second degree (Penal Law § 140.25 [2]). The question in this case is whether a burglary committed in the nonresidential part of a building used partly for residential purposes should be treated as the burglary of a dwelling.

We last confronted this question long ago, in *Quinn v People* (71 NY 561 [1878]). That case established a rule that we reaffirm today: Generally, if a building contains a dwelling, a burglary committed in any part of that building is the burglary of a dwelling; but an exception exists where the building is large and the crime is committed in a place so remote and inaccessible from the living quarters that the special dangers inherent in the burglary of a dwelling do not exist. Applying that rule to this case, we hold that the evidence supports defendant’s conviction on two counts of second degree burglary.

I

A large building at 234 West 42nd Street in Manhattan is occupied by a number of different businesses, including a Hilton Hotel. The hotel has two lobbies, on the ground floor and the 14th floor. Between the two lobbies is nonhotel space. The 16th floor is the conference room level. We infer from the record that the hotel’s guest rooms are on the 17th floor and above. Two stairways, stairway D and stairway E, are respectively on the west and east of the hotel space. A locker room used by Hilton employees may be reached from the 14th floor lobby by entering

stairway E (the east stairway) and going up a few steps to a mezzanine. On the other side of the building, to the west of stairway D and rising from the street level but not reaching the level of the hotel's 14th floor lobby, is Madame Tussaud's Wax Museum.

The hotel's video security system shows that on October 6, 2009, at 10:22 in the evening, defendant entered the locker room with a sweater over his head. He broke into a locker, then promptly left the locker room when a Hilton employee entered it. Some four minutes later, another security camera shows defendant walking down stairway D. There was evidence that, to get from the locker room to stairway D, defendant must have gone up stairway E to the 16th floor and crossed from one stairway to the other at the conference room level.

There is no direct evidence showing where defendant was or what he did for roughly the next three hours. Beginning shortly after 1:30 a.m. on October 7, he appears in a number of video images from security cameras in the wax museum. He is seen sliding a box along the floor and putting things into it, and then taking a hand truck.

Shortly after 4:00 a.m. on October 7, defendant came from stairway D onto the sidewalk outside the building, pushing a hand truck with boxes on it. As it happened, a hotel security official and a building security guard were at that moment on the sidewalk, discussing the earlier, locker room burglary. One of them followed defendant until he could get the attention of a police officer, and defendant was arrested with stolen property.

A jury convicted defendant on two counts of burglary in the second degree, the first for the locker room burglary on October 6 and the second for the wax museum burglary on October 7. The Appellate Division affirmed (*People v McCray*, 102 AD3d 560 [1st Dept 2013]). A Judge of this Court granted leave to appeal (21 NY3d 1006 [2013]), and we now affirm.

II

Defendant does not dispute that the evidence supports his conviction for two burglaries, but says that they were third degree, not second degree, burglaries. The People say that a reading of the burglary statutes is enough to refute defendant's argument. As we have mentioned, Penal Law § 140.25 (2) elevates third degree burglary to second degree burglary when "[t]he building is a dwelling." "Dwelling" is defined as "a building

which is usually occupied by a person lodging therein at night” (Penal Law § 140.00 [3]). The Hilton Hotel is unquestionably a dwelling by this definition. And the definition of “building” includes the following: “Where a building consists of two or more units separately secured or occupied, each unit shall be deemed both a separate building in itself and a part of the main building” (Penal Law § 140.00 [2]). Thus, the People say, a burglary committed anywhere in a building of which a dwelling is a part counts as a dwelling burglary.

We find the case less simple than the People do. To explain why, we will examine the history of the special treatment given by the law to burglaries of dwellings, and particularly our 1878 decision in *Quinn*.

At common law, burglary could be committed only by breaking into a dwelling, called in earlier days a “mansion-house,” or by “breaking in the gates or walls of a town” (2 Blackstone, Commentaries on the Laws of England at 224-225 [1789 ed]). By the time we decided *Quinn*, the crime had been expanded by statute and divided into degrees. Breaking into “a dwelling-house” with intent to commit a crime was either first or second degree burglary, depending on the time and manner in which the crime was committed (3 Rev Stat of NY, part IV, ch I, tit III, art 2, §§ 11-13 [6th ed 1875]); while breaking into a “shop, store, booth, tent, warehouse or other building” was, if it met the other criteria for burglary, only burglary in the third degree (*id.* § 18 [2]). A statute said that “[n]o building shall be deemed a dwelling-house, or any part of a dwelling-house . . . unless the same be joined to, immediately connected with, and part of a dwelling-house” (*id.* § 17).

Quinn involved a building of which the lower floors were used for a shop. One of the owners of the shop “and some other persons” lived on the upper floors (71 NY at 564). There was no “internal communication” between the shop and the living quarters; to go from one to another, it was necessary to go into the yard, and then up stairs (*id.* at 565). The defendant broke into a room in the shop.

We affirmed the defendant’s conviction of first degree burglary. We held the shop to be part of the “dwelling-house,” despite the absence of internal communication with the place where people slept, because “it was within the same four outer walls, and under the same roof” (*id.* at 565). We pointed out that first degree burglary, as then defined by statute, was not

materially different from common-law burglary, and then explained why Quinn’s crime fit the definition:

“the essence of the crime of burglary at common law is the midnight terror excited, and the liability created by it of danger to human life, growing out of the attempt to defend property from depredation. It is plain that both of these may arise, when the place entered is in close contiguity with the place of the owner’s repose, though the former has no relation to the latter by reason of domestic use or adaptation” (*id.* at 567).

These words from almost a century and a half ago are still apt as an explanation of why burglary of a dwelling is a more serious crime than other burglaries: an intrusion into a home, or an overnight lodging, is both more frightening and more likely to end in violence. And it remains true today, as it was in 1878, that these dangers are created in significant degree when the crime is committed “in close contiguity” with a “place of repose” even though the place of the burglary and the sleeping quarters are not instantly accessible to each other. When a store owner in his bedroom becomes conscious that there is a burglary in the shop downstairs, or when a hotel guest hears a burglar in the coffee shop across the hall from her room, the special dangers that accompany the burglary of a dwelling are sufficiently present to justify treating the crime as a more serious one than burglary of a building where no one lives.

But, as we recognized in *Quinn*, the rule that burglary of a dwelling occurs whenever a burglar enters a place “within the same four outer walls, and under the same roof” as a room used for sleeping at night cannot be unqualified. It is easy to imagine a crime to which that rule would literally apply that does not create the enhanced danger characteristic of a dwelling burglary. To take an extreme case: imagine a skyscraper used largely for stores and offices, with a few apartments remote and inaccessible from the commercial space. A burglar who breaks into one of the commercial units may create virtually no risk that the people living in the apartments will even be conscious of his presence. Such a burglar should be convicted only of third degree, not second degree, burglary. Thus we said in *Quinn*:

“It may ward off misapprehension if it is said, that if different stores in a large building, some parts of which are used for sleeping apartments, are rented

to different persons for purposes of trade or commerce, or mechanical pursuit, or manufacturing, another rule comes in. For illustration, let there be mentioned the Astor House in New York city. The rule is, that a part of a dwelling-house may be so severed from the rest of it, by being let to a tenant, as to be no longer a place in which burglary in the first degree can be committed; if there be no internal communication, and the tenant does not sleep in it. Then it is not parcel of the dwelling-house of the owner, for he has no occupation or possession of it; nor is it a dwelling-house of the tenant, for he does not lodge there" (71 NY at 573-574 [citations omitted]).

Though the Astor House is no longer the epitome of a large New York City building, and though we no longer stress the formality of a lease by which part of the building is "severed" from the rest, the essence of the "Astor House exception" to *Quinn*'s rule that burglary of a dwelling is committed whenever a burglary occurs in a building that contains a dwelling remains viable.

The People argue otherwise, insisting that today's Penal Law sections, particularly the language that says separate units "shall be deemed . . . part of the main building" (Penal Law § 140.00 [2]), effectively codify the principal holding of *Quinn* but not the Astor House exception. We reject the People's argument. When we recognized the Astor House exception in 1878 it was, as it is today, a common sense limitation on a literal reading of a statute. By adopting the "four walls and a roof" rule of *Quinn*, we held that the section of the then-existing Revised Statutes that said no building could be a "dwelling-house" unless "joined to, immediately connected with, and part of, a dwelling-house" excluded only separate buildings, not separate apartments within a single building (71 NY at 573). Thus, there was in the Revised Statutes when *Quinn* was decided no explicit language supporting the Astor House exception. We nevertheless endorsed the exception, because we believed that in some cases applying the four walls and a roof rule would stretch the statute beyond its purpose.

We have no reason to view the legislative purpose differently today. We are aware of no evidence that the legislature has ever decided to reject the exception we described in *Quinn*, or to authorize a conviction for burglary of a dwelling where the burglar neither comes nor readily can come near to anyone's living quarters. A review of some of the changes in the burglary statutes after 1878 bears this out.

In 1881, the legislature adopted a new Penal Code that included language, not in existence when *Quinn* was decided, saying: “If a building is so constructed as to consist of two or more parts occupied by different tenants separately for any purpose, each part or apartment is considered a separate building” (Penal Code of 1881 § 503). This seems to nullify *Quinn*’s four walls and a roof rule. Similar language was included in various statutes for many years (see Penal Law of 1909 § 401) during which we have found no case following the *Quinn* rule. In the 1965 version of the Penal Law, section 140.00 (2) continued the pattern, saying: “Where a building consists of two or more units separately secured or occupied, each unit shall be deemed a separate building.”

The 1967 legislature, however, amended the statute to read as it does today: “each unit shall be deemed both a separate building in itself and part of the main building” (L 1967, ch 791, § 14). The purpose of the 1967 change was explained by a committee that approved it:

“The purpose of this amendment is to denominate as burglary certain conduct which is not presently covered. For example, an intruder enters an apartment A of a multiple-apartment building solely to gain access to apartment B wherein he intends to commit a crime. Under present law, the invasion of apartment A does not constitute burglary in any degree since the element of ‘intent to commit a crime therein’ is missing. The proposed amendments [sic] remedies this situation” (Rep of Assembly Rules Comm, 1967 Legis Ann at 20).

[1] We interpret the remedy adopted by the 1967 Legislature as reviving *Quinn*’s holding that, in general, burglary of a partly residential building is burglary of a dwelling, even if the burglar enters only the nonresidential part. But we do not interpret it as removing the limitation that the *Quinn* court placed on its own holding: In large buildings, situations can arise in which the general rule will not be applied because it does not make sense. That was the law in 1878 and is the law today.

III

We must now decide whether the two burglaries defendant here committed—the burglary of the locker room in the late evening of October 6, and of Madame Tussaud’s Wax Museum in the early morning of October 7—fit within the general rule of

Quinn or within the Astor House exception. We hold them both to be within the general rule, though the case is close as to the second burglary.

[2] The first burglary took place in a locker room that was part of the hotel, though not in the immediate neighborhood of the rooms where guests slept. Defendant went from the locker room to stairway E, which, the jury could find on this record, provides a means of reaching all floors of the hotel. He then passed through the 16th floor, which—again drawing reasonable inferences from the record—is adjacent to the floors containing guest rooms, and entered stairway D, which also led to guest room floors. We have little hesitation in concluding that the risks inherent in burglary of a dwelling—the “night terror” and the danger of violence that we spoke of in *Quinn*—are present when a burglar comes this near to rooms in which people are sleeping.

[3] The wax museum is much less near to the sleeping rooms. Indeed, we might well hold that a burglar who entered Madame Tussaud’s from the street, and never entered the stairwell it shared with the hotel, committed only third degree burglary. But here, the jury could find that defendant entered the wax museum by coming down stairway D from the hotel, and the jury could also find that he could easily have returned by that route and reentered the hotel at the 14th floor lobby level. There was evidence that the door on the 14th floor between the hotel and stairway D was not locked from either side, though it was equipped with a motion detector. We find this evidence sufficient, though just barely, to support the jury’s verdict. Though the burglary was not physically close to the guest rooms of the hotel, the ease of access from one place to another is at least equally important. Defendant’s unlawful presence in Madame Tussaud’s gave him sufficient access to the hotel’s sleeping quarters to make the October 7 burglary the burglary of a dwelling.

Defendant’s claim that he was improperly sentenced lacks merit.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed.

[16 NE3d 527, 992 NYS2d 469]

DANIEL CAPRUSO et al., Respondents, v VILLAGE OF KINGS POINT
et al., Appellants.

STATE OF NEW YORK, Respondent, v VILLAGE OF KINGS POINT,
Appellant.

Argued May 1, 2014; decided June 12, 2014

SUMMARY

APPEAL, in the two above-entitled actions, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 30, 2013. The Appellate Division modified, on the facts and in the exercise of discretion, so much of an order and interlocutory judgment (one paper) of the Supreme Court, Nassau County (Thomas Feinman, J.; op 2011 NY Slip Op 34097[U] [2011]), as had (1) granted plaintiffs' motion for summary judgment on the complaints in both actions; (2) dismissed defendants' affirmative defenses in both actions; (3) permanently enjoined defendants from proceeding with a Department of Public Works facility project in a certain park; (4) permanently enjoined defendants from denying or obstructing existing access to the park, unless and until explicit and specific approval was obtained from the State Legislature; (5) directed defendants to remove from a certain portion of the park all materials, equipment, and physical alterations, including buildings and other structures, under the control of defendant Village of Kings Point; and (6) directed defendants, in the first above-entitled action, to pay plaintiffs' reasonable attorney's fees and other expenses in an amount to be determined. The modification consisted of deleting the provision of the order and interlocutory judgment directing defendants in the first above-entitled action to pay plaintiffs' reasonable attorney's fees and other expenses in that action in an amount to be determined. The Appellate Division affirmed the order and interlocutory judgment as modified. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 16, 2010 (78 AD3d 877 [2010]). The Appellate Division had (1) affirmed so much of an order of the Supreme Court, Nassau County (Thomas Feinman, J.; op 34 Misc 3d 1240[A], 2009 NY Slip Op 52829[U] [2009]), in the first above-entitled action, as had granted plaintiff's motion for a preliminary injunction and denied

defendants' cross motion to dismiss the complaint; and (2) affirmed so much of an order of that court (op 2009 NY Slip Op 33338[U] [2009]), in the second above-entitled action, as had granted plaintiff's motion for a preliminary injunction and denied defendants' cross motion to dismiss the complaint.

Capruso v Village of Kings Point, 102 AD3d 902, affirmed.

HEADNOTES

Limitation of Actions — When Cause of Action Accrues — Use of Parkland in Violation of Public Trust Doctrine

1. The causes of action in related actions challenging, as an unlawful use of parkland in violation of the public trust doctrine, defendant Village's proposed construction of a 12,000-square-foot Department of Public Works (DPW) facility within an area of a village park that had been used for more than six years to store highway materials and supplies but consisted mostly of undisturbed mature woodland were not barred by the applicable six-year statute of limitations (CPLR 213 [1]). Plaintiffs were not required to challenge nonpark use within six years of the 1946 addendum to defendant's lease with the park district, in which defendant excluded a certain area of the park for its own use, or, at the latest, within six years of the date when defendant began to store highway materials and supplies in that area of the park. The proposed facility included a diesel-truck garage, a road-sign shop, administrative offices, and crew quarters, and would be enclosed by a chain-link fence. The difference in scale between the current use of the property—which included a garage and a 1,700-square-foot Quonset hut for the storage of road salt—and the proposed facility was substantial. A project involving the construction of a 12,000-square-foot DPW facility, regrading, paving of access roads, destruction of numerous mature trees, and removal of hiking trails was not merely a change in the nature and scope of a road salt storage facility.

Limitation of Actions — When Cause of Action Accrues — Continuing Wrong Doctrine — Use of Parkland in Violation of Public Trust Doctrine

2. A cause of action to enjoin defendants' use of a portion of a village park for the storage of highway materials and supplies as an unlawful use of parkland in violation of the public trust doctrine was not time-barred, as the continuing wrong doctrine applied to toll the running of the applicable six-year statute of limitations (CPLR 213 [1]). The continuing wrong doctrine, which has been applied in certain cases such as nuisance or continuing trespass where the harm sustained by the complaining party is not exclusively traced to the day when the original objectionable act was committed, applied here to ongoing use of parkland alleged to violate the public trust doctrine. The harm sustained by the public when structures having no connection with park purposes encroach upon parkland without legislative authority plainly conferred cannot be traced exclusively to the day when the illegal encroachment began. A municipality's ongoing failure to comply with the law and seek legislative authorization for nonpark use of parkland amounts to a continuous or recurring wrong.

Equity — Laches — State Acting in Governmental Capacity to Enforce Public Right or Protect Public Interest

3. The equitable doctrine of laches could not, as a matter of law, bar plaintiff State's action challenging defendant Village's proposed construction of a

12,000-square-foot Department of Public Works facility within a village park as an unlawful use of parkland in violation of the public trust doctrine. Laches may not be interposed as a defense against the State when acting in a governmental capacity to enforce a public right or protect a public interest, and here the State was acting in a governmental capacity to protect a public interest.

Equity — Laches — Continuing Wrong Doctrine

4. The doctrine of laches could not bar plaintiffs' action challenging defendants' use of a portion of a village park for the storage of highway materials and supplies as an unlawful use of parkland in violation of the public trust doctrine, as plaintiffs alleged a continuing wrong with respect to the ongoing use of the parkland.

Equity — Laches — Use of Parkland in Violation of Public Trust Doctrine

5. In an action by plaintiff individuals challenging defendants' proposed construction of a 12,000-square-foot Department of Public Works facility within a village park as an unlawful use of parkland in violation of the public trust doctrine, Supreme Court did not abuse its discretion in ruling that laches did not apply.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Equity §§ 122, 161, 171, 173; AM JUR 2d, Limitation of Actions §§ 126, 127, 138, 147; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 470–472; AM JUR 2d, Parks, Squares, and Playgrounds §§ 16, 20, 23.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:31, 13:192, 13:212, 13:213, 13:225, 13:349.

NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 253, 1582, 1585, 1593; NY JUR 2d, Limitations and Laches §§ 61, 188, 251, 252, 353, 354, 356, 360, 361, 370; NY JUR 2d, Parks, Recreation, and Historic Preservation §§ 37, 147.

SIEGEL, NY PRAC §§ 35, 36, 40, 50.

ANNOTATION REFERENCE

See ALR Index under Laches and Delay; Limitation of Actions; Municipal Corporations; Parks and Playgrounds.

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POINTS OF COUNSEL

Ackerman, Levine, Cullen, Brickman & Limmer, LLP, Great Neck (*John M. Brickman, Stephen G. Limmer, Todd H. Heseckiel*)

and *Benjamin S. Kaplan* of counsel), *Sol Wachtler* and *Stuart M. Cohen*, for appellants in the first and second above-entitled actions. These actions were barred by the statute of limitations and laches; the courts below erred in applying the continuing wrong doctrine. (*Covington v Walker*, 3 NY3d 287, 4 NY3d 740, 545 US 1131; *Matter of Shapiro v Town of Ramapo*, 98 AD3d 675, 20 NY3d 994; *Matter of Ackerman v Steisel*, 104 AD2d 940, 66 NY2d 833; *Bloomington, Inc. v New York City Tr. Auth.*, 13 NY3d 61; *509 Sixth Ave. Corp. v New York City Tr. Auth.*, 15 NY2d 48; *Jensen v General Elec. Co.*, 82 NY2d 77; *Sporn v MCA Records, Inc.*, 58 NY2d 482; *Knobel v Shaw*, 90 AD3d 493; *Matter v Mattera*, 125 AD2d 555; *Greco v Incorporated Vil. of Freeport*, 223 AD2d 674.)

Super Law Group, LLC, New York City (*Reed W. Super* and *Alexandra I. Hankovszky* of counsel), and *Albert K. Butzel Law Offices* (*Albert K. Butzel* of counsel), for respondents in the first above-entitled action. I. The first cause of action is unquestionably timely because it sought and obtained relief to prevent proposed future nonpark use of parkland presently used for recreation. (*Matter of Essex County v Zagata*, 91 NY2d 447; *Church of St. Paul & St. Andrew v Barwick*, 67 NY2d 510; *Toilet Goods Assn., Inc. v Gardner*, 387 US 158; *Williamson County Regional Planning Comm'n v Hamilton Bank of Johnson City*, 473 US 172; *Matter of Martin v Ronan*, 44 NY2d 374, 45 NY2d 776; *Sorrentino v Mierzwa*, 25 NY2d 59; *106 Mile Transp. Assoc. v Koch*, 656 F Supp 1474; *Matter of Dreves v New York Power Auth.*, 131 AD2d 182; *Village of Croton-On-Hudson v County of Westchester*, 38 AD2d 979.) II. The Village of Kings Point's ongoing use of the Western Corner for nonpark purposes can be enjoined under the public trust doctrine so long as it remains unauthorized. (*Matter of Ackerman v Steisel*, 104 AD2d 940, 66 NY2d 833; *Williams v Gallatin*, 229 NY 248; *Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623; *Brooklyn Park Commrs. v Armstrong*, 45 NY 234; *Illinois Central R. Co. v Illinois*, 146 US 387; *Matter of Central Parkway*, 140 Misc 727; *Stephenson v County of Monroe*, 43 AD2d 897; *Chatham Green v Bloomberg*, 1 Misc 3d 434; *Gowanus Indus. Park, Inc. v City of New York*, 15 AD3d 311, 5 NY3d 708; *Phillips Petroleum Co. v Mississippi*, 484 US 469.) III. The Village of Kings Point abandoned its laches defense, which is unavailable in public trust cases and was not established by the facts. (*Telaro v Telaro*, 25 NY2d 433; *Matter of Burke v Sugarman*, 35 NY2d 39; *Matter of Cash v Bates*, 301 NY 258; *Patrolman's Benevolent Assn. of Southampton Town, Inc. v Town of Southampton*, 2009

NY Slip Op 32660[U]; *Natural Resources Defense Council, Inc. v United States Army Corps of Engrs.*, 399 F Supp 2d 386; *Steubing v Brinegar*, 511 F2d 489; *Save the Courthouse Comm. v Lynn*, 408 F Supp 1323; *Flacke v NL Indus.*, 228 AD2d 888; *Student Pub. Interest Research Group of N.J., Inc. v P.D. Oil & Chem. Stor., Inc.*, 627 F Supp 1074.)

Eric T. Schneiderman, Attorney General, New York City (Bethan A. Davis Noll, Barbara D. Underwood and Richard Dearing of counsel), for respondent in the second above-entitled action. I. The State of New York's claim to enjoin the Village of Kings Point's Department of Public Works project is not barred by the statute of limitations. (*Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623; *Village of Croton-On-Hudson v County of Westchester*, 38 AD2d 979, 30 NY2d 959; *Bates v Holbrook*, 171 NY 460.) II. The claim to enjoin the Village of Kings Point's existing nonpark use of part of the Western Corner is not time-barred. (*Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623; *Matter of Ackerman v Steisel*, 104 AD2d 940, 66 NY2d 833; *Johnson v Town of Brookhaven*, 230 AD2d 774; *Tobin v Hennessy*, 220 App Div 695; *Bloomington, Inc. v New York City Tr. Auth.*, 13 NY3d 61; *Covington v Walker*, 3 NY3d 287; *509 Sixth Ave. Corp. v New York City Tr. Auth.*, 15 NY2d 48; *Matter of Burke v Sugarman*, 35 NY2d 39; *Lucchesi v Perfetto*, 72 AD3d 909; *1050 Tenants Corp. v Lapidus*, 289 AD2d 145.) III. The Village of Kings Point's laches argument is forfeited and meritless. (*Matter of LaPine*, 18 AD3d 552; *Matter of Cortlandt Nursing Home v Axelrod*, 66 NY2d 169; *Telaro v Telaro*, 25 NY2d 433; *Alfred L. Snapp & Son, Inc. v Puerto Rico ex rel. Barez*, 458 US 592; *People v Grasso*, 11 NY3d 64; *Matter of Daleview Nursing Home v Axelrod*, 62 NY2d 30; *Board of Supervisors of Richmond County v Ellis*, 59 NY 620; *Matter of Burke v Sugarman*, 35 NY2d 39; *People v Hawkins*, 11 NY3d 484; *Matter of Schulz v State of New York*, 81 NY2d 336.)

Wade Beltramo, General Counsel, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae in the first above-entitled action. I. Local governments should be allowed to assert the defense of laches in claims for alienation of parkland to prevent the waste of municipal resources and taxpayer dollars and to minimize the disruption of municipal operations. (*Matter of Barresi v County of Suffolk*, 72 AD3d 1076; *Dwyer v Mazzola*, 171 AD2d 726; *Weiss v Mayflower Doughnut Corp.*, 1 NY2d 310.) II. Local governments should be allowed to assert laches as a defense to challenges of impermissible

parkland alienation in order to prevent problems of proving the claims being adjudicated. (*Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623; *Powell v City of New York*, 85 AD3d 429; *Matter of Angiolillo v Town of Greenburgh*, 290 AD2d 1; *Grayson v Town of Huntington*, 160 AD2d 835; *Chatham Green v Bloomberg*, 1 Misc 3d 434; *Matter of Jones v Amicone*, 27 AD3d 465; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Meyer v Frank*, 550 F2d 726.)

Andrew A. Rafter, Brooklyn, for Citizens Campaign for the Environment and others, amici curiae in the first and second above-entitled actions. I. A decision in favor of the Village of Kings Point in this case would decimate the public trust doctrine and threaten parkland throughout the state. (*Williams v Gallatin*, 229 NY 248.) II. Public trust lands are not subject to adverse possession. (*Rodrigues v Catskill Revitalization Corp.*, 302 AD2d 762; *Lewis v Village of Lyons*, 54 AD2d 488; *Burbank v Fay*, 65 NY 57; *People v Baldwin*, 197 App Div 285; *Walsh's Inc. v County of Oswego*, 9 AD2d 393; *Matter of Harbison v City of Buffalo*, 4 NY2d 553; *Garcia v Holze*, 94 AD2d 759; *Flacke v Onondaga Landfill Sys.*, 69 NY2d 355.) III. The equities favor respondents.

OPINION OF THE COURT

PIGOTT, J.

Kings Point Park occupies 173 acres on the Great Neck Peninsula of Long Island. Defendant Village of Kings Point acquired the property for park purposes in the 1920s. At the western end of the park is the heavily wooded "Western Corner," occupying 5.4 acres, an area known for its mature trees and hiking trails. It is this section of Kings Point Park that is the subject of the present appeal.

In 1938, the Village leased Kings Point Park to the Great Neck Park District with the understanding that the Park District would manage and maintain the property "as a natural and scenic park."¹ In 1946, the Village and Park District executed an addendum to the lease, excluding the Western Corner from the leased lands, because the Village wished to reserve that portion of the park for a pistol range for local police and for storage of highway materials and supplies. The Western Corner was reserved in this fashion each time the lease was

1. The Village reserved the right to use a particular area in the park, the location of which is disputed by the parties, "for dumping ashes, clean refuse and waste material from the Village."

renewed. In 1966, the State Comptroller informed the Village that its lease required legislative authorization, and, as a result, legislation was passed the following year that “validated, ratified and confirmed” the most recent lease (L 1967, ch 563, § 2, 1967 McKinney’s Session Laws of NY at 606).² Although much of the Western Corner remains undisturbed mature woodland, the Village has erected structures in the northern part of the Western Corner, including a garage and a Quonset hut, measuring about 1,700 square feet, for the storage of road salt.

In November 2008, the Village adopted a proposal to deforest, regrade and enclose the Western Corner and build a Department of Public Works (DPW) facility. The proposed facility, approximately 12,000 square feet in area, would include a diesel-truck garage, a road-sign shop, administrative offices, and crew quarters, and be enclosed by a chain-link fence. The proposal also envisaged the construction of an asphalt roadway and parking area. The Village did not seek legislative authorization.

Plaintiffs Daniel Capruso, Alan Berkower and Elizabeth Allen, who live near Kings Point Park, commenced an action against the Village, its Mayor and its Board of Trustees in March 2009, seeking to enjoin both the Village’s proposed DPW project and its current use of the Western Corner for storage of highway materials and supplies, as unlawful uses of parkland in violation of the common-law “public trust doctrine.” Following proceedings not pertinent to this appeal, the State of New York commenced an action against the Village seeking the same relief, but only with respect to the Village’s proposed DPW project. The State moved for a preliminary injunction with respect to the DPW project. Defendants cross-moved to dismiss both complaints as barred by the applicable statute of limitations and laches.

In orders dated July 29, 2009 and November 18, 2009, Supreme Court denied defendants’ cross motions and granted plaintiffs’ motion for a preliminary injunction (34 Misc 3d 1240[A], 2009 NY Slip Op 52829[U] [2009]; 2009 NY Slip Op 33338[U] [2009]). An interlocutory appeal followed. The Appellate Division affirmed Supreme Court’s first order insofar as reviewed and its second order insofar as appealed from (78 AD3d 877 [2d Dept 2010]).

Following discovery, plaintiffs and the State moved for summary judgment. In June 2011, Supreme Court granted their

2. The metes and bounds description of Kings Point Park contained in the 1967 law *includes* the Western Corner, however.

motion, permanently enjoining the Village from proceeding with the DPW facility project, enjoining defendants from obstructing existing access to Kings Point Park without explicit and specific approval from the State Legislature and directing defendants to remove all materials, equipment, and physical alterations, including structures, under their control from the Western Corner. Supreme Court also awarded the individual plaintiffs their reasonable attorneys' fees and other expenses. The Appellate Division modified Supreme Court's order and judgment, to delete the provision concerning attorneys' fees and expenses, and, as so modified, affirmed (102 AD3d 902 [2d Dept 2013]).

We granted defendants leave to appeal from the Appellate Division's more recent, final order, bringing the earlier, nonfinal order up for review. We now affirm.

Defendants concede that the Western Corner is dedicated parkland and that the present and proposed uses of it have not been authorized by the State Legislature and thus violate the public trust doctrine. The State's "legislative approval is required when there is a substantial intrusion on parkland for non-park purposes" (*Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623, 630 [2001]; see also *Williams v Gallatin*, 229 NY 248, 253 [1920]), and defendants do not dispute that their present and proposed uses of the Western Corner constitute substantial intrusion on parkland for nonpark purposes. In a similar vein, they concede that the exclusion of the Western Corner in the amended lease did not remove that part of Kings Point Park from the purview of the public trust doctrine. Instead, they argue that the claims brought by plaintiffs and the State are time-barred.

Defendants raise different defenses with regard to plaintiffs' respective causes of action. With respect to the challenge to the proposed construction of the DPW facility, defendants contend that use of the Western Corner for nonpark purposes, particularly storage of highway materials and supplies, has been ongoing since the lease addendum of 1946 that excluded the Western Corner, and that the proposed DPW facility would amount to "nothing more than a change in the nature and scope of an ongoing non-park use." As such, defendants contend, plaintiffs should have challenged nonpark use within six years of the 1946 addendum, under CPLR 213 (1) (see generally *Solnick v Whalen*, 49 NY2d 224, 229-230 [1980]), or, at the latest, within six years of the date when the Village began to store highway materials and supplies in the Western Corner.

[1] However, the difference in scale between the present use and the proposed facility is substantial, and there is no record support to conclude otherwise. A project involving the construction of a DPW facility measuring some 12,000 square feet in area, regrading, paving of access roads, destruction of numerous mature trees, and removal of hiking trails is not merely a change in the nature and scope of a road salt storage facility. Thus, we conclude that the causes of action challenging the proposed project are not barred by the statute of limitations.

[2] With respect to plaintiffs' second cause of action, seeking to enjoin the Village's present nonpark use of part of the Western Corner, defendants' contention that plaintiffs should have brought their action within six years of the change in the use of the Western Corner has more resonance. Plaintiffs, however, respond that the "continuing wrong doctrine" applies here to toll the running of the statute of limitations.

We have applied the continuing wrong doctrine

"in certain cases such as nuisance or continuing trespass where the harm sustained by the complaining party is not exclusively traced to the day when the original objectionable act was committed. The rule is based on the principle that continuous injuries create separate causes of action barred only by the running of the statute of limitations against each successive trespass. The repeated offenses are treated as separate rights of action and the limitations period begins to run as to each upon its commission" (*Covington v Walker*, 3 NY3d 287, 292 [2004], *cert denied* 545 US 1131 [2005] [citations omitted]).

The doctrine applies here to ongoing use of parkland alleged to violate the public trust doctrine.

The harm sustained by the public when structures having "no connection with park purposes . . . encroach upon [parkland] without legislative authority plainly conferred" (*Williams*, 229 NY at 253) cannot be traced exclusively to the day when the illegal encroachment began. "In New York, we have consistently characterized an unlawful encroachment as a *continuous* trespass giving rise to successive causes of action" (*509 Sixth Ave. Corp. v New York City Tr. Auth.*, 15 NY2d 48, 52 [1964]). Even though here, because the Village owns the parkland, the encroachment is not trespass, it clearly bears the hallmark of

continuity common to the trespass cases: defendants are, continuously, in violation of the public trust doctrine and able to abate that wrong. Just as the failure of a landlord to repair a building's common elements, in violation of bylaws, "constituted a continuing wrong that is not referable exclusively to the day the original wrong was committed" (*Kaymakcian v Board of Mgrs. of Charles House Condominium*, 49 AD3d 407, 407 [1st Dept 2008] [internal quotation marks omitted]) and "[t]he alleged violation of defendants' contractual obligations to comply with the law and refrain from interfering with the rights of other lessees amounts to a continuous or recurring wrong" (*1050 Tenants Corp. v Lapidus*, 289 AD2d 145, 146 [1st Dept 2001]), so does a municipality's ongoing failure to comply with the law and seek legislative authorization for nonpark use of parkland. The harm does not consist of the lingering effects of a single, discrete incursion, but rather is a continuous series of wrongs. In short, the claim here is "predicated on continuing unlawful acts and not on the continuing effects of earlier unlawful conduct" (*Shelton v Elite Model Mgt., Inc.*, 11 Misc 3d 345, 361 [Sup Ct, NY County 2005] [internal quotation marks omitted], quoting *Selkirk v State of New York*, 249 AD2d 818, 819 [3d Dept 1998]).³

The Village argues that a violation of the public trust doctrine differs from trespass and nuisance situations since the latter may not be discovered until long after the initial physical inva-

3. While some cases in which we have applied the continuous wrong doctrine have involved "intermittent and recurring injuries to another" (*Meruk v City of New York*, 223 NY 271, 276 [1918]; see also e.g. *Reed v State*, 108 NY 407, 414 [1888]), others involved harms of a continuous rather than episodic nature (see e.g. *Silsby Mfg Co. v State*, 104 NY 562, 569 [1887] ["If the proper facts upon which to base an action were found, it would then appear that the State had unlawfully used a certain amount of water, to the use of which the claimant had an undoubted right, and every day such use continued a new cause of action arose therefor in favor of the claimant"]). Harms inflicted by illegal use of property

"need not be intermittent or episodic in order for there to be successive causes of action continuously accruing throughout the period that harm is suffered . . . that is, the period during which the wrongful act has consequences adverse to the use and enjoyment of the property. Injuries can also be fluid and constant through time, recurring not from time to time, but, in theory, second by second, as, for example, when a structure such as an elevated street railroad encroaches upon easements of light, air and access. A structure so encroaching . . . is regarded as a continuous trespass giving rise to successive causes of action" (*Amax, Inc. v Sohio Indus. Prods. Co.*, 121 Misc 2d 814, 815-816 [Sup Ct, NY County 1983] [citations omitted]).

sion of private property rights, whereas acts in violation of the public trust doctrine should be immediately discernible. For their part, plaintiffs and the State cite our decision in *Matter of Ackerman v Steisel* (66 NY2d 833, 835 [1985], *affg for reasons stated below* 104 AD2d 940 [2d Dept 1984]), in which we affirmed an order of the Appellate Division directing the New York City Departments of Sanitation and Transportation to remove decades-old public works facilities from parkland in Queens. While we agree with the Village that *Ackerman* is not dispositive, insofar as a statute of limitations defense was not raised, we do not accept the Village's analysis of public trust doctrine cases. Rather, we agree with those amici that observed that "[i]t would be unreasonable to expect ordinary citizens who use . . . parks to know whether a particular use by a municipality has received approval by the State Legislature and whether municipal infrastructure located on parkland is intended to serve the park or public areas outside of the park."

In sum, under the continuing wrong doctrine, plaintiffs are able to challenge defendants' ongoing violation of the public trust doctrine at any time while the violation lasts, without being barred by the statute of limitations. We need not decide here whether the continuing wrong doctrine would apply to an allegation that a discrete event such as the sale of parkland to a private developer was in violation of the public trust doctrine (see *Matter of Shapiro v Town of Ramapo*, 98 AD3d 675, 677 [2d Dept 2012], *lv dismissed* 20 NY3d 994 [2013]).

The Village argues, in the alternative, that the claims in this case are barred by laches.

"Laches is defined as such neglect or omission to assert a right as, taken in conjunction with the lapse of time, more or less great, and other circumstances causing prejudice to an adverse party, operates as a bar in a court of equity. The essential element of this equitable defense is delay prejudicial to the opposing party" (*Matter of Schulz v State of New York*, 81 NY2d 336, 348 [1993] [internal quotation marks and ellipsis omitted]; see also *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801, 816 [2003]).

[3, 4, 5] Initially, as a matter of law, laches cannot bar the State's cause of action. "It is settled that the equitable doctrine of laches may not be interposed as a defense against the State

when acting in a governmental capacity to enforce a public right or protect a public interest” (*Matter of Cortlandt Nursing Home v Axelrod*, 66 NY2d 169, 178 n 2 [1985]). Here, the State is acting in a governmental capacity to protect a public interest, and thus laches does not apply. Moreover, the doctrine of laches has no application when plaintiffs allege a continuing wrong (see *Matter of Burke v Sugarman*, 35 NY2d 39, 45 [1974]), as they do here with respect to the ongoing use of the Western Corner. Finally, Supreme Court did not abuse its discretion in ruling that laches did not apply to the individual plaintiffs’ challenge to the proposed use of the Western Corner.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, RIVERA and ABDUS-SALAAM concur.

Order affirmed, with costs.

[16 NE3d 1178, 992 NYS2d 700]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant-Respondent,
v HAZEL E. GORDON, Respondent-Appellant.

Argued April 30, 2014; decided June 12, 2014

SUMMARY

CROSS APPEALS, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 6, 2012. The Appellate Division modified, on the law, a judgment of the Supreme Court, Albany County (Dan Lamont, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree, robbery in the second degree (two counts) and assault in the second degree. The modification consisted of reducing defendant's convictions for robbery in the first degree and robbery in the second degree under counts 1, 2 and 6 of the indictment to petit larceny. The Appellate Division affirmed the judgment as modified and remitted the matter to the Supreme Court for resentencing.

People v Gordon, 101 AD3d 1158, modified.

HEADNOTES

Crimes — Robbery — Proof of Forcible Stealing of Property — Use of Force to Escape — No Stolen Property Found in Defendant's Possession

1. The People's failure to recover stolen property from defendant did not forestall their ability to establish that her conscious objective in threatening or using physical force was to prevent or overcome resistance to the taking or retention of that stolen property. Forcible stealing occurs when, during the commission of a larceny, a person uses or threatens the immediate use of physical force upon another for the purpose of preventing or overcoming resistance to the taking of the property or to the retention thereof immediately after the taking (Penal Law § 160.00 [1]). The culpability standard—intent—requires evidence that, in using or threatening physical force, the defendant's conscious objective was to prevent or overcome resistance to the taking or retention of the property. Whether a defendant had the intent to forcibly steal property is a question for the trier of fact and failure to recover the property from the defendant is a fact for the jury to consider in determining whether the People have established the requisite intent. Defendant, while visiting a department store, secreted pairs of earrings on her person, removed the backings from the earrings, acted in a violent manner when approached by security guards, including swiping at the guards with pens, and swerved her car into a store employee in the parking lot. As here, where the property was small, easily disposed of, and difficult to find, recovery may be next to impossible. Moreover, defendant's extreme reaction to the guards allowed for an inference that her actions were intended to ensure her retention of the stolen property. Defendant's convictions for first and second degree robbery (Penal

Law §§ 160.10, 160.15) were supported by ample evidence that she stole merchandise and threatened or used force to prevent or overcome resistance to her possession of that stolen property and thus had the intent to forcibly steal it notwithstanding that no merchandise was recovered from her or her companions.

Crimes — Assault — Sufficiency of Evidence

2. There was legally sufficient evidence to support defendant's conviction for assault in the second degree (*see* Penal Law § 120.05 [2]), where defendant, while attempting to escape security personnel who suspected her of stealing merchandise from a mall department store, intentionally swerved her vehicle in the direction of a store employee and hit him after the employee, who had observed an altercation between the security personnel and defendant in the parking lot, stood in front of defendant's vehicle in an attempt to stop her departure. The testimony from the employee and several eyewitnesses that defendant swerved into the employee, and the employee's testimony as to the physical injuries he incurred, were more than enough to sustain the jury's guilty verdict.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Assault and Battery §§ 15, 18, 22, 63, 65; AM

JUR 2d, Robbery §§ 3, 12, 17, 27, 57, 59.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.10.

McKINNEY'S, Penal Law §§ 120.05 (2); 160.00 (1); 160.10 (1), (2) (a); 160.15 (3).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 406, 980, 983–989, 995, 1003, 1009.

ANNOTATION REFERENCE

Use of force or intimidation in retaining property or in attempting to escape, rather than in taking property, as element of robbery. 93 ALR3d 643.

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POINTS OF COUNSEL

P. David Soares, District Attorney, Albany (Steven M. Sharp of counsel), for appellant-respondent. The People proved defendant's guilt beyond a reasonable doubt. (*People v Danielson*, 9 NY3d 342; *People v Grant*, 17 NY3d 613; *People v Hedgeman*, 70 NY2d 533; *People v Smith*, 79 NY2d 309; *People v Jones*, 300 AD2d 30; *People v White*, 304 AD2d 384; *People v Jones*, 282 AD2d 382; *People v Mackey*, 49 NY2d 274; *People v Steinberg*, 79 NY2d 673; *People v Rodriguez*, 17 NY3d 486.)

Aaron A. Louridas, Delmar, for respondent-appellant. Hazel Gordon's convictions must be reversed and the indictment dismissed as the guilty verdicts were not supported by sufficient evidence. (*Jackson v Virginia*, 443 US 307; *People v Contes*, 60 NY2d 620; *People v Santi*, 3 NY3d 234; *People v Williams*, 84 NY2d 925; *People v Danielson*, 9 NY3d 342; *People v Smith*, 79 NY2d 309; *People v Bynum*, 68 AD3d 1348, 14 NY3d 798; *People v Jones*, 4 AD3d 622, 2 NY3d 801; *People v Brandley*, 254 AD2d 185, 92 NY2d 1028; *People v Kellam*, 189 AD2d 1008.)

OPINION OF THE COURT

RIVERA, J.

In this appeal, we conclude that the People's failure to recover stolen property from defendant does not forestall their ability to establish that her conscious objective in threatening or using physical force was to prevent or overcome resistance to the taking or retention of that stolen property. We therefore modify the Appellate Division order to reinstate defendant's convictions of robbery in the first and second degrees; and to remit the case to the Appellate Division for consideration of the facts; and, as so modified, affirm.

I.

Defendant Hazel Gordon was charged with, among other counts, robbery in the first and second degrees (Penal Law §§ 160.15 [3]; 160.10 [1], [2] [a]), and assault in the second degree (Penal Law § 120.05 [2]), stemming from events during a visit by defendant to a department store in a mall outside Albany. Defendant went to the store with her teenage son, her friend and subsequent codefendant Gloria Wheatley, and a toddler. Based on her conduct while in the store, security personnel suspected that defendant stole merchandise, and thereafter followed and stopped the group as they left. Police eventually arrested defendant in the mall parking lot as she attempted to escape, and she and Wheatley were tried together. No merchandise was recovered from defendant or her companions.

At trial, the People presented testimony from Rayon James, a loss prevention officer, who tracked defendant with surveillance cameras, and Michael Lisky, a security guard, who followed defendant throughout the store. James testified that he grew suspicious as he observed defendant and Wheatley browse in the jewelry department. Specifically, he observed defendant select two sets of earrings from a display rack, place one pair

among a pile of clothes she held in her arms, and the second on top of that pile. According to James, the manner in which defendant handled the earrings was “very typical of . . . somebody who is shoplifting.” He directed Lisky to follow defendant and Wheatley.

James continued to track defendant and Wheatley with security cameras as they walked from the jewelry to the infant/maternity department, located close to the back of the store. He testified that as defendant walked, she “began removing the jewelry from the backing . . . [and] dropping [the backings] on the floor.” James also observed Wheatley remove backings from a third pair of earrings. After the women moved away, Lisky walked to the infant/maternity department and recovered three pairs of backings from the store floor. He then continued to follow defendant and Wheatley.

Defendant made no purchases during the remainder of time she spent in the store. She did, however, make four stops to the layaway counter. Each time, defendant placed at least one item on layaway and left the counter without any merchandise visibly in her possession.¹

Defendant eventually met her son, and they exited the store with Wheatley and the toddler. James observed their departure on the store cameras and instructed Lisky to follow the group into the mall corridor. James then exited the security booth to assist Lisky.

Before James arrived, Lisky approached defendant and her companions just outside the store. After he identified himself as a store security guard and asked her to return to the store because she had “merchandise that’s not paid for,” defendant “began yelling and screaming,” refused to return to the store, and denied stealing anything. When Lisky stepped in front of defendant, she began “pounding” on his chest with “a closed clenched fist.” Lisky then placed his hands on defendant in an attempt to stop her from leaving.

James arrived soon thereafter, entered the fracas, and pushed defendant off of Lisky. He told defendant that they would call the police if she did not return to the store. According to Lisky, defendant then reached “inside her bag and pulled two large pens out and then held them in her hand . . . [and] started

1. After defendant’s first stop at layaway, Lisky went to the counter where the layaway employee apparently told him that defendant had placed “towels or something” on reserve. No mention was made of the earrings or any jewelry.

swiping at [the guards] trying to stab [them].” James testified that as defendant waved the pens she yelled, “I will kill you, blood clot.” The security guards backed off, called the police, and followed from a safe distance as the group walked towards the mall exit.

When they approached the exit, Lisky tried to grab the pens from defendant in an attempt to delay her departure. At that point, according to James, defendant’s son came up behind James and pulled out a knife. The son ran out of the mall when James turned to face him, and James chased him through the parking lot and down a bike path between the mall and a neighboring cemetery. According to James, as he ran, the son “put[] his hands in his pocket . . . [and] toss[ed] things . . . into the cemetery area.” James testified that he thought defendant passed stolen merchandise to her son and that the son tossed this stolen property into the cemetery. After the son’s arrest, neither merchandise nor a knife was recovered from him, nor was anything found during a subsequent search of the cemetery.

Lisky followed defendant and Wheatley into the mall parking lot where the women entered a car. He approached the car, opened its door, and unsuccessfully attempted to remove defendant’s keys from the ignition. Lisky backed off when defendant tried to swipe him again with the pens, and defendant then “took off” through the parking lot. Undeterred, Lisky took a photo of her license plate, called the police, and followed defendant on foot.

Another store employee, Lance Pappas, testified that he was on a break when he observed the events in the parking lot and went to the car just as Lisky attempted to take the keys from defendant. When defendant pulled away, Pappas ran through the parking lot and stood in front of her car in an attempt to stop her departure. Several witnesses testified that they saw defendant intentionally swerve the car in Pappas’s direction and hit him. Pappas fell, injuring his rib cage.

Defendant continued driving until she reached the place where the police were holding her son. She then exited the car and ran towards the officers. After she ignored orders to stop, an officer subdued defendant with a taser, and arrested her and Wheatley.

At the trial, the People submitted extensive video footage which corroborated the live testimony. The footage depicted

defendant and Wheatley in the jewelry department, defendant's suspicious handling of the earrings as described during James's testimony, as well as defendant meandering through the store and making several stops at the layaway department. Additional footage depicted the altercation between defendant and the security personnel directly outside the store's exit.

The jury found defendant guilty of one count of robbery in the first degree, two counts of robbery in the second degree, and one count of assault in the second degree.² The court sentenced defendant to an aggregate term of five years' imprisonment followed by five years' postrelease supervision.

On appeal, defendant challenged her convictions as based upon legally insufficient evidence. On the robbery counts, she alleged that because the earrings were not recovered from her or her companions, the jury could not reasonably infer that she threatened or used force to retain possession of that property. With respect to the assault count, she claimed the People failed to establish that it was her conscious objective to cause physical injury to Pappas.

The Appellate Division modified the Supreme Court judgment by reducing defendant's robbery convictions to petit larceny; remitted the matter to Supreme Court for resentencing; and, as so modified, affirmed (*see People v Gordon*, 101 AD3d 1158 [3d Dept 2012]). The court concluded there was insufficient evidence to support the robbery convictions as "no stolen property was found in the possession of defendant or either of her accomplices" and, thus, the jury could not reasonably infer that she threatened or used force to prevent or overcome resistance to the taking or retention of such property (101 AD3d at 1159). However, the court concluded that there was sufficient evidence to support the lesser included offense of petit larceny because the "evidence establishe[d] that defendant, while still in the store, removed and discarded the cardboard backing from several pairs of earrings" (*id.* at 1160). The court rejected defendant's legal sufficiency challenge to her assault conviction (*see id.*), and concluded her remaining contentions were either unpreserved or lacked merit (*see id.* at 1160-1161).

A Judge of this Court granted the People and defendant leave to appeal (*see* 21 NY3d 912 [2013]). We now modify the Appellate Division order by reinstating defendant's convictions for robbery in the first and second degrees.

2. The jury convicted Wheatley of petit larceny.

II.

It is well established that “[a] verdict is legally sufficient if there is any valid line of reasoning and permissible inferences that could lead a rational person to conclude that every element of the charged crime has been proven beyond a reasonable doubt” (*People v Delamota*, 18 NY3d 107, 113 [2011]; see *Jackson v Virginia*, 443 US 307, 319 [1979]; *People v Danielson*, 9 NY3d 342, 349 [2007]). In considering the evidence we view it “in the light most favorable to the prosecution,” and recognize that “the People are entitled to all reasonable evidentiary inferences” (*Delamota*, 18 NY3d at 113; see *Danielson*, 9 NY3d at 349; *People v Bleakley*, 69 NY2d 490, 495 [1987]). Further, “[w]e must assume that the jury credited the People’s witnesses and gave the prosecution’s evidence the full weight it might reasonably be accorded” (*People v Hampton*, 21 NY3d 277, 288 [2013]). Hence, in a sufficiency review, we “marshal competent facts most favorable to the People and determine whether, as a matter of law, a jury could logically conclude that the People sustained its burden of proof” (*Danielson*, 9 NY3d at 349; see *People v Cintron*, 95 NY2d 329, 332 [2000]). Applying these standards, we conclude that there is sufficient evidence to support the jury’s inference that defendant remained in possession of stolen merchandise at the time she threatened or used force and, therefore, we reinstate her convictions for robbery in the first and second degrees.

A person is guilty of robbery in the first degree when such person “forcibly steals property and when, in the course of the commission of the crime or of immediate flight therefrom, [such person] or another participant in the crime . . . [u]ses or threatens the immediate use of a dangerous instrument” (Penal Law § 160.15 [3]). Similarly, a person is guilty of robbery in the second degree when such person “forcibly steals property and when” the individual “is aided by another person actually present,” or “[i]n the course of the commission of the crime or of immediate flight therefrom, [such person] or another participant in the crime,” also “[c]auses physical injury to any person who is not a participant in the crime” (Penal Law § 160.10 [1], [2] [a]).

Thus, robbery in the first and second degrees both require the prosecution to prove that a defendant “forcibly [stole] property.” A person commits “forcible stealing” when, during the

commission of a larceny,³ such individual “uses or threatens the immediate use of physical force upon another person for the purpose of . . . [p]reventing or overcoming resistance to the taking of the property or to the retention thereof immediately after the taking” (Penal Law § 160.00 [1]).

“The applicable culpability standard—intent—require[s] evidence that, in using or threatening physical force, [the] defendant’s ‘conscious objective’ was either to compel [the] victim to deliver up property or to prevent or overcome resistance to the taking” or retention thereof (*People v Smith*, 79 NY2d 309, 315 [1992], quoting Penal Law §§ 15.05 [1]; 160.00 [1], [2]). Intent may be established by the defendant’s conduct and the circumstances (see *People v Mackey*, 49 NY2d 274, 279 [1980], citing *McCourt v People*, 64 NY 583, 586 [1876]; *People v Oliver*, 4 AD2d 28, 31 [3d Dept 1957], *affd* 3 NY2d 684 [1958]; see also *People v Barnes*, 50 NY2d 375, 381 [1980]; *People v Romero*, 101 AD3d 560, 560 [1st Dept 2012], *lv denied* 20 NY3d 1103 [2013] [the “(d)efendant’s criminal intent could be readily inferred from the surrounding circumstances”]). “The element of intent is rarely proved by an explicit expression of culpability by the perpetrator; and competing inferences to be drawn regarding the defendant’s intent, if not unreasonable, are the exclusive domain of the finders of fact, not to be disturbed by us” (*People v Bueno*, 18 NY3d 160, 169 [2011] [internal quotation marks, brackets and citations omitted]).

Force used solely to effectuate a defendant’s escape will not support a robbery conviction (see e.g. *People v Bynum*, 68 AD3d 1348, 1349 [3d Dept 2009], *lv denied* 14 NY3d 798 [2010]). However, when a defendant is later found in possession of stolen property, the jury may infer that his or her use of force was to retain control of that property (see *Bynum*, 68 AD3d at 1349; *People v Jones*, 4 AD3d 622, 623-624 [3d Dept 2004], *lv denied* 2 NY3d 801 [2004]; *People v Brandley*, 254 AD2d 185 [1st Dept 1998], *lv denied* 92 NY2d 1028 [1998]).

Some Appellate Division departments have adopted what amounts to an inverse proposition, that failure to recover stolen property from a defendant precludes a jury’s finding of guilt for first or second degree robbery, notwithstanding the possible inferences which might reasonably follow from the trial evidence.

3. Pursuant to Penal Law § 155.05 (1), “[a] person steals property and commits larceny when, with intent to deprive another of property or to appropriate the same to [such person] or to a third person, [such person] wrongfully takes, obtains or withholds such property from an owner thereof.”

Those courts have held that, absent subsequent recovery of stolen property from the defendant, “it is impossible to conclude beyond a reasonable doubt that [the] defendant’s conscious objective in threatening to use physical force was to prevent or overcome resistance to the retention of the property” (*People v Kellam*, 189 AD2d 1008, 1010 [3d Dept 1993]; see *People v Miller*, 217 AD2d 970, 971 [4th Dept 1995]; *People v Nixon*, 156 AD2d 144, 146 [1st Dept 1989], *appeal dismissed* 76 NY2d 870 [1990]). We reject this premise because it deprives the jury of its traditional role as factfinder and would have the unintended consequence of removing certain criminal conduct from the statutory ambit.

Whether a defendant had the intent to forcibly steal property is a question for the trier of fact, a question which may be answered based on direct evidence of such intent, or upon reasonable inferences drawn from the trial evidence (see *People v Bueno*, 18 NY3d 160, 169 [2011]; *People v Barnes*, 50 NY2d 375, 381 [1980]). There is nothing inherently unique or qualitatively different in first and second degree robbery cases to support removing from the jury’s recognized province the task of determining defendant’s intent.

Certainly, recovery from the defendant of the stolen property provides a strong basis for a jury’s finding of criminal intent (see e.g. *Bynum*, 68 AD3d at 1349; *Jones*, 4 AD3d at 623-624; *Brandley*, 254 AD2d at 185). Yet, just as possession of the property is but one fact which supports the jury’s reasonable inference of the defendant’s “conscious objective,” failure to recover the property from the defendant is also a fact for the jury to consider in determining whether the People have established the requisite intent. Where sufficient facts and reasonable inferences support a finding of intent to forcibly steal, even where the stolen property is not recovered from the defendant, a jury should be permitted to make such a finding.

A requirement that the People establish possession would permit a defendant to escape prosecution where the defendant disposed of the stolen property prior to arrest. In certain cases, moreover, recovery may be next to impossible given the characteristics of the property and the circumstances surrounding the robbery. The present case is but one example of the difficulties of prosecution where the property is small, easily disposed of, and difficult to find. This is particularly true where, as here, the crime scene encompasses a large and public area. We see no basis for interpreting the law in a way that rewards criminal conduct, or places an insurmountable burden on the People.

[1] Thus, the question on defendant's appeal is not whether the earrings were found on her person, but whether there was sufficient evidence to support the jury's conclusion that she used force "for the purpose of . . . [p]reventing or overcoming resistance to the taking of [the earrings] or to the retention thereof immediately after the taking" (Penal Law § 160.00 [1]). Here, James testified that he observed defendant acting in a suspicious manner as she handled several sets of earrings in the jewelry department. Specifically, she placed pairs of earrings among and on top of a pile of clothes in her arms, thus secreting them on her person. He thereafter observed her in another section of the store removing the backings from the earrings. James's observations were corroborated by Lisky's testimony that he recovered the backings from the floor of the infant/maternity department. Moreover, the jury could reasonably have accepted James's and Lisky's testimony based on the jurors' independent observations of the surveillance video (*see People v Morris*, 21 NY3d 588, 597-598 [2013]; *People v Negron*, 91 NY2d 788, 792 [1998] [noting "our long-standing recognition that a jury is entitled to assess the credibility of witnesses and determine, for itself, what portion of their testimony to accept and the weight such testimony should be given"]).

Defendant's conduct at the store exit and in the parking lot further support the jury's determination of her guilt. When Lisky and James approached defendant, she acted in a violent and threatening manner that was disproportionately aggressive under the circumstances. This extreme reaction provided an additional basis upon which the jury could infer that defendant's actions were intended to ensure her retention of the stolen property.

Contrary to defendant's argument, the fact that the earrings were not recovered from her or her companions does not make the inference unreasonable or render the evidence legally insufficient. As we have made clear, the jury could have taken into consideration the failure to recover the earrings and still have found the evidence sufficiently persuasive to find intent. The jury's conclusion is reasonable given defendant's conduct inside and outside the store.⁴

4. Our dissenting colleague concludes that the evidence is insufficient to satisfy the immediacy requirement of the robbery statute because too much time elapsed between the taking of the earrings and the altercation. Whether

(n. cont'd)

Based on this record, we conclude there was ample evidence to support a reasonable inference—from defendant’s suspicious conduct in the store, removal of the backings from two pairs of earrings, and extreme reaction to the security guards after leaving the store—that defendant stole merchandise and threatened or used force to prevent or overcome resistance to her possession of that property. Thus, the jury’s verdict with regard to the robbery convictions is legally sufficient.

[2] With respect to defendant’s cross appeal of her conviction for second degree assault, we conclude that her challenge on sufficiency grounds is without merit. The testimony from the victim and several eyewitnesses that defendant swerved into Pappas, and his testimony as to the physical injuries he incurred were more than enough to sustain the jury’s guilty verdict.

Accordingly, the Appellate Division order should be modified by reinstating defendant’s convictions of robbery in the first and second degrees; and remitting the case to the Appellate Division for consideration of the facts (*see* CPL 470.25 [2] [d]; 470.40 [2] [b]); and, as so modified, affirmed.

Chief Judge LIPPMAN (dissenting in part). A defendant not found in possession of stolen property may be convicted of robbery on a theory of forcible retention, but only upon proof, direct or circumstantial, to justify the inference that, at the time of her resort to force, she retained what she stole. Proof of actual possession contemporaneous with the use of force to perfect the

defendant used force immediately after the taking is a question for the jury (*see People v Carrel*, 99 NY2d 546, 547 [2002]; *People v Dekle*, 83 AD2d 522, 522 [1st Dept 1981], *aff’d on other grounds* 56 NY2d 835 [1982] [lack of preservation]); and we disagree that, in this case as a matter of law, “a substantial interval” passed, thus foreclosing an inference of forcible stealing (*see e.g. People v Johnstone*, 131 AD2d 782, 782-783 [2d Dept 1987]; *Dekle*, 83 AD2d at 522 [“The jury was entitled to find that defendant’s taking of the property was a continuous act, including removal of the item from the showcase, the removal of its price tags in the adjacent department and its removal from the store, and that defendant’s threat to use the knife was a threat of ‘the immediate use of force’ so shortly after the taking as to constitute the use of physical force ‘immediately after the taking’ to overcome the victim’s resistance to the defendant’s retention of the property”]). The dissent’s argument that the inferences of defendant’s possession are speculative is belied by the record, which contained evidence that she surreptitiously took the earrings, removed their backings, and, when confronted as she exited with her companions, reacted violently by threatening security guards. Certainly, as the dissent concedes, the jury could have also inferred that defendant passed the earrings to one of her companions who then, after the altercation, disposed of them. Based on either inference, however, defendant’s robbery convictions are legally sufficient.

taking is not, as the majority suggests (majority op at 651), dispensable to a robbery conviction.

The Appellate Division may have spoken with less than optimal precision when it said in substance that because defendant was not apprehended in possession of the stolen property she could not be convicted of robbery on a forcible retention theory.¹ But the court was not wrong in concluding that the evidence, even when viewed in the light most favorable to the People, did not prove what it had to: that defendant did, in fact, retain the purloined earrings when she struck out at and threatened the store employees.

The People urge that the jury could reasonably have inferred from defendant's taking of the earrings that she possessed them until and during her confrontation with the store employees. But, although there was evidence that she stole the earrings, there was none that she still had them at the time of the altercation. That latter event was removed by at least half an hour from the taking, and there is no evidence as to the disposition of the earrings in the meantime. Defendant could easily have transferred them to someone else (her son or shopping partner and codefendant are obvious candidates) or might have left them, purposely or otherwise, at the layaway counter during one of her several video-recorded trips there. What is certain is that she did not possess the earrings shortly after the altercation, and there was no evidence to substantiate the explanatory hypothesis that she got rid of them following the altercation but before her arrest—a period during which she was apparently constantly pursued and observed by the store employees.

It is presumably to avoid elevating petit larceny to robbery on the basis of a purely speculative connection between the taking and a subsequent use of force that the robbery statute repeatedly requires the use of force to coincide with or follow

1. The decision says, “[w]here a defendant *is found to be in possession* of stolen property, a jury may infer that he or she threatened or used force to prevent or overcome resistance to its taking or retention; however, *when such evidence is lacking*, it is impossible to conclude beyond a reasonable doubt that defendant’s conscious objective in threatening to use physical force was to prevent or overcome resistance to the retention of the property” (*People v Gordon*, 101 AD3d 1158, 1159 [2012] [emphasis added; internal quotation marks and citations omitted]).

immediately upon the taking.² Where the immediacy requirement is scrupulously met, the necessary inference that the force was used to consolidate the taking is one that often may be naturally drawn from the close temporal relation between the taking and the thief's resort to force. On the other hand, to permit a robbery conviction where there is a substantial interval between the theft and the use of force, and where there is no evidence, except the taking, to sustain the inference of continued possession, countenances the fracture of what is supposed to be a unified course of felonious conduct into a disjunct sequence composed of a taking and a subsequent use of force, and in so doing effectively relieves the People of proving, as we have held they must, that force was used "for the purpose of"—i.e., with the conscious objective of—completing the theft (*see People v Smith*, 79 NY2d 309, 311-312 [1992]).

The majority suggests that unless the People are relieved of the statutory requirement of proving that force was used for the purpose of retaining stolen property, criminal conduct will be rewarded in contravention of public policy (majority op at 651). All that is properly involved, however, is the measuring of the statutory criteria for robbery against the conduct proved. Moreover, there is no social or penal justification for treating as a class B or C felony what is, without the benefit of considerable imaginative embellishment, a petit larceny followed at some temporal remove by an assault.

In reducing the robbery convictions, the Appellate Division, I believe, correctly conformed the judgment to the proof. I would affirm the appealed order in its entirety.

Judges GRAFFEO, READ, SMITH and PIGOTT concur with Judge RIVERA; Chief Judge LIPPMAN dissents in part in an opinion in which Judge ABDUS-SALAAM concurs.

Order modified by reinstating defendant's conviction of robbery in the first and second degrees and remitting the case to the Appellate Division, Third Department, for consideration of the facts (CPL 470.25 [2] [d]; 470.40 [2] [b]) and, as so modified, affirmed.

2. Robbery is defined as forcible stealing, which, as is here relevant, is in turn defined as the "use[] or threaten[ed] . . . *immediate* use of physical force upon another person *for the purpose of* . . . [p]reventing or overcoming resistance to the taking of the property or to the retention thereof *immediately* after the taking" (Penal Law § 160.00 [1] [emphasis added]).

[17 NE3d 1127, 993 NYS2d 531]

In the Matter of CATHRYN M. DOYLE, Surrogate of Albany County, Petitioner. STATE COMMISSION ON JUDICIAL CONDUCT, Respondent.

Argued June 5, 2014; decided June 26, 2014

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated November 12, 2013. The Commission determined that petitioner should be removed from the Office of Surrogate of Albany County.

HEADNOTE

Judges — Removal from Office — Presiding over Matters Involving Lawyers Who Were Close Friends and Personal Representatives

A determination of the State Commission on Judicial Conduct that petitioner Surrogate should be removed from office was accepted. Petitioner presided over four uncontested matters in which the parties' attorney was petitioner's very close friend, prior personal attorney and a frequent visitor to her chambers; she took judicial action in four estates involving an attorney who was heavily involved in petitioner's judicial election campaigns; and she presided over an estate matter submitted by an attorney who had represented petitioner less than two years earlier in a proceeding before the Commission in which she was censured for misleading and evasive testimony given during an investigation of her aforementioned close friend. At the relevant time, ethics opinions clearly provided that a Surrogate should recuse himself or herself from routine, uncontested or administrative matters involving attorneys with whom he or she has a relationship that could give rise to an appearance of impropriety or raise a question as to the judge's impartiality. To the extent that petitioner believed that recusal was unnecessary under existing precedent and that there could be no appearance of impropriety or favoritism in her presiding over uncontested matters, her behavior reflected exceedingly poor judgment and an inability to recognize impropriety. The sanction of removal was appropriate notwithstanding that there was no indication of personal gain and the matters represented only a small fraction of the proceedings she handled during the relevant time period. The censure petitioner received less than a year before the events at issue was based on her relationship with one of the same individuals and was a significant aggravating factor.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judges §§ 19, 112–115, 121.

CARMODY-WAIT 2d, Officers of Court §§ 3:87, 3:138, 3:141, 3:148.

NY JUR 2d, Courts and Judges §§ 336, 337, 357, 360, 407–409, 444, 447, 466.

ANNOTATION REFERENCE

See ALR Index under Judges; Recusal.

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Database: NY-ORCS

Query: surrogate judge /s remov! /3 office & fail! /s dis-
qual! recus! & poor /2 judgment

POINTS OF COUNSEL

Dreyer Boyajian LLP, Albany (*William J. Dreyer* and *Craig M. Crist* of counsel), for petitioner. I. Judge Cathryn M. Doyle's good faith error of law does not constitute misconduct. (*Matter of LaBelle*, 79 NY2d 350; *Matter of Watson*, 100 NY2d 290; *Matter of George* [State Commn. on Jud. Conduct], 22 NY3d 323; *Matter of Dixon v State Commn. on Jud. Conduct*, 47 NY2d 523.) II. The State Commission on Judicial Conduct made findings of fact that were not based on the record. (*Matter of Skinner*, 91 NY2d 142; *Matter of Kiley*, 74 NY2d 364.) III. The extreme sanction of removal is excessive under the circumstances. (*Matter of Cunningham*, 57 NY2d 270; *Matter of Watson*, 100 NY2d 290; *Matter of Kiley*, 74 NY2d 364; *Matter of Marshall*, 8 NY3d 741; *Matter of George* [State Commn. on Jud. Conduct], 22 NY3d 323; *Matter of Sims* [State Commn. on Jud. Conduct], 61 NY2d 349; *Matter of LaBombard* [State Commn. on Jud. Conduct], 11 NY3d 294; *Matter of Assini*, 94 NY2d 26; *Matter of Robert*, 89 NY2d 745; *Matter of Conti*, 70 NY2d 416.)

Robert H. Tembeckjian, Albany (*Edward Lindner*, *Mary C. Farrington*, *Cathleen S. Cenci* and *S. Peter Pedrotty* of counsel), for respondent. I. Petitioner committed judicial misconduct under any reasonable, "good faith" interpretation of the rules, the precedents of this Court, prior State Commission on Judicial Conduct determinations and pertinent advisory opinions. (*Matter of Intemann*, 73 NY2d 580; *Matter of Conti*, 70 NY2d 416; *Matter of Robert*, 89 NY2d 745; *Long v State of New York*, 7 NY3d 269; *Matter of Feinberg*, 5 NY3d 206; *Matter of Roberts*, 91 NY2d 93; *Matter of Young* [State Commn. on Jud. Conduct], 19 NY3d 621; *Matter of LaBombard* [State Commn. on Jud. Conduct], 11 NY3d 294; *Matter of Fabrizio*, 65 NY2d 275; *Matter of Durchin*, 217 AD2d 582.) II. Petitioner should be removed from office. (*Matter of Young* [State Commn. on Jud. Conduct], 19 NY3d 621; *Matter of LaBombard* [State Commn. on Jud. Conduct], 11 NY3d 294; *Matter of Intemann*, 73 NY2d 580;

Matter of Conti, 70 NY2d 416; *Matter of Robert*, 89 NY2d 745; *Matter of Fabrizio*, 65 NY2d 275; *Matter of Roberts*, 91 NY2d 93; *Matter of Hedges*, 20 NY3d 677; *Matter of Kuehnel v State Commn. on Jud. Conduct*, 49 NY2d 465; *Matter of Hamel [State Commn. on Jud. Conduct]*, 88 NY2d 317.)

OPINION OF THE COURT

Per Curiam.

Petitioner, the Albany County Surrogate, seeks review of a determination of the Commission on Judicial Conduct which sustained three charges of misconduct against her and directed that she be removed from office (*see* NY Const, art VI, § 22; Judiciary Law § 44). We agree with the findings of misconduct and uphold the sanction of removal.

In September 2012, petitioner was served with a formal written complaint alleging three charges of judicial misconduct based on her failure to disqualify herself from matters involving her close friend and personal attorney Thomas J. Spargo, her campaign manager Matthew J. Kelly and a second personal attorney William J. Cade. In each charge, petitioner was alleged to have violated sections 100.1; 100.2 (A) and (C) and 100.3 (E) (1) and (F) of the Rules Governing Judicial Conduct (22 NYCRR).

Thomas Spargo is a former Supreme Court Justice who was removed from office by the Commission in 2006 based on the active solicitation of contributions for his legal fund from attorneys who appeared before him. The fund, referred to as the “Spargo trust,” had been established to help pay for legal expenses Spargo incurred in his federal litigation challenging the constitutionality of certain provisions of the Code of Judicial Conduct and seeking to enjoin the Commission from proceeding against him (*see Spargo v New York State Commn. on Jud. Conduct*, 351 F3d 65 [2d Cir 2003]).

Petitioner is the godmother to Spargo’s son and Spargo had been a good friend of hers for approximately 40 years. Indeed, petitioner had expressed that Spargo was “as close as a friend can get.” He was also a frequent visitor to petitioner’s chambers. In addition, Spargo served as her personal attorney. He represented petitioner in a personal injury action commenced in March 2008 and a tax certiorari proceeding com-

menced in July 2008, both of which remained pending at the time of his disbarment in December 2009.*

It is important to note that, in February 2007, petitioner had been censured for her misleading and evasive testimony given in connection with the Commission’s investigation of her role in the “Spargo trust.”

Between February 2008 and May 2009, petitioner presided over four matters in which Spargo was representing the moving parties. She took actions including signing decrees granting letters of administration and admitting a will to probate. In each matter (all uncontested proceedings), the judge signed the decree on the day the petition was submitted. At least two of the matters were commenced when Spargo provided the papers directly to the judge, instead of filing them with the clerk’s office. It is worth noting that petitioner signed the Chief Clerk’s name to some of the decrees in Spargo’s matters.

Petitioner also took judicial action in four estates in which Matthew J. Kelly was representing the moving parties. Kelly had managed petitioner’s 2010 campaign for reelection to Surrogate’s Court and also held a leadership role in her 2007 campaign for the Democratic nomination for the office of Supreme Court Justice. Kelly was heavily involved in the 2007 campaign, which lasted from mid-June to late September of that year. Significantly, petitioner’s campaign accountant had made notes after his initial meeting with her law clerk indicating his understanding that Kelly was the campaign manager. Among other things, Kelly had organized a campaign fundraiser, including having invitations printed and mailed out. In addition, Kelly signed the letters issuing pro rata refunds of the remaining campaign donations after petitioner failed to earn the party nomination. Subsequent letters notifying certain contributors that clerical errors had been made in the calculation of the refunds and requesting the return of over-reimbursements were likewise sent out under Kelly’s name.

While the 2007 campaign was ongoing, the judge granted Kelly’s petition to invade the corpus of a trust of which he was a trustee. In addition, in 2010, while Kelly was actively working on her reelection campaign and just two days after both individuals attended her campaign fundraiser, the judge signed

* Spargo was disbarred, pursuant to his disciplinary resignation, following his federal felony conviction for attempted extortion and soliciting a bribe (*see Matter of Spargo*, 68 AD3d 1242 [3d Dept 2009]).

a decree admitting a will to probate as Kelly had petitioned. She also issued various orders or decrees relating to two other estates involving Kelly within the two-year period after he had worked on her 2007 campaign. In one of those proceedings, there was a question as to whether Kelly's client had exerted undue influence and Kelly had testified before petitioner as a witness at a SCPA 1404 hearing concerning the decedent's mental condition. Although that hearing was held in May 2007, prior to the start of the 2007 campaign, the judge continued to preside over the ongoing proceedings after Kelly became involved with her campaign.

The third individual, William J. Cade, was petitioner's personal attorney and had represented her before the Commission in the proceeding that resulted in her February 2007 censure. In February 2008, petitioner presided over an estate matter submitted by Cade and signed a decree granting limited letters of administration.

Petitioner does not dispute that she presided over the matters at issue, but asserts that she made a good faith error of law in concluding that she could hear these uncontested, nondiscretionary matters. She testified that she routinely recused herself when these individuals appeared before her in her capacity as an Acting Supreme Court Justice but, given the unique nature of Surrogate's Court practice, where many proceedings are submitted on consent and the Surrogate's actions are often dictated by statute, she believed that there could be no appearance of impropriety or favoritism.

Petitioner maintains that, prior to 2011, the ethics opinions were unclear as to a Surrogate's disclosure or recusal obligations in nonadversarial matters. However, a judge's obligation to disqualify herself based on the appearance of impropriety has long been in place and has not been dependent on the nature of the proceeding. For instance, in *Matter of Intemann* (73 NY2d 580, 582 [1989]), a Surrogate was removed for, among other things, sitting on matters brought by an attorney who was a "close friend, business associate and personal attorney." Moreover, the clear thrust of the judicial ethics opinions since at least 1994 has been that a Surrogate should recuse herself from "routine, non-contested or administrative" matters involving attorneys with whom she has a relationship that could give rise to an appearance of impropriety or raise a question as to the judge's impartiality (*see* Advisory Comm on Jud Ethics Op 94-12

[1994] [campaign manager], available at <http://www.nycourts.gov/ip/judicialethics/opinions/94-12.htm>; Advisory Comm on Jud Ethics Op 94-05 [1994] [colleagues at former law firm], available at <http://www.nycourts.gov/ip/judicialethics/opinions/94-05.htm>). It is only by an overly restrictive interpretation of her ethical obligations that petitioner reached a different conclusion.

As to the first charge, petitioner plainly should have disqualified herself from any matters involving her close friend and personal attorney Thomas Spargo. That Spargo was a frequent visitor to her chambers and commenced certain of these proceedings directly with the judge, instead of through the clerk's office, enhances the appearance of impropriety and favoritism. The charge was properly sustained.

Likewise, the second charge, pertaining to Matthew Kelly was appropriately sustained. Petitioner took the position before the Commission that Kelly was merely a volunteer in 2007 and that her bid for the Supreme Court nomination was not a campaign—she was merely “testing the waters.” Regardless of whether Kelly held the title of “campaign manager” for the 2007 effort, he clearly exercised a leadership role and was heavily involved in the campaign. Where, as here, an individual has such a prominent role in the campaign, recusal is required (see Advisory Comm on Jud Ethics Op 04-106 [2004], available at <http://www.nycourts.gov/ip/judicialethics/opinions/04-106.htm>). Sitting on matters involving Kelly, especially while the campaigns were active, gave rise to the appearance of impropriety.

Regarding the third charge, petitioner presided over a matter brought by her personal attorney William Cade within the two-year period after he represented her before the Commission (see *Matter of Conti*, 70 NY2d 416, 419 [1987]; Advisory Comm on Jud Ethics Op 99-67 [1999]). This was improper and the charge was appropriately sustained.

The Rules Governing Judicial Conduct create no distinction between contested and uncontested/ministerial matters. The perception that these attorneys were in a position to be accorded preferential treatment is based on their relationships to the judge, not the type of proceedings. As the Commission pointed out, assuming that petitioner actually believed recusal was unnecessary under existing precedent and that there could be no appearance of impropriety or favoritism in her presiding

over the matters involving these three individuals, her behavior reflects “exceedingly poor judgment and an inability to recognize impropriety.”

We further observe that, the matters at issue being uncontested, the possibility of remittal was not available (*see* Rules Governing Judicial Conduct [22 NYCRR] § 100.3 [F]). In any event, there is no indication that petitioner made any attempt whatsoever at disclosure here. It is also important to point out that the absence of an opposing party does nothing to lessen the appearance of impropriety (*see* Advisory Comm on Jud Ethics Op 94-05 [1994]). In such situations, the judge has an equal obligation to guard against the impression of favoritism.

Petitioner contends that the sanction of removal is excessive under the circumstances because her misconduct amounted to an error in judgment flowing from her misinterpretation of what was permissible under the ethics opinions. She points to certain mitigating factors, most significantly that there was no indication of personal gain and that the nine matters at issue represent only a tiny fraction of the thousands of Surrogate’s Court proceedings she handled during the relevant time period. Petitioner maintains that her conduct does not rise to the level of “truly egregious” behavior that would warrant the harshest punishment (*see Matter of Going*, 97 NY2d 121, 127 [2001]). We have explained, “however, that the truly egregious standard is measured with due regard to the fact that Judges must be held to a higher standard of conduct than the public at large” (*Going*, 97 NY2d at 127 [internal quotation marks and citations omitted]).

Petitioner discounts the significance of her prior censure. The mere existence of a prior censure would be noteworthy regardless of whether it was related to the instant misconduct (*see e.g. Matter of Kuehnel v State Commn. on Jud. Conduct*, 49 NY2d 465, 469-470 [1980]). While the misconduct at issue is not of the same type that had resulted in her prior censure, it is not, as petitioner maintains, “wholly unrelated.” Rather, the 2007 censure, issued only a short time before the events under consideration, stemmed from her relationship with one of the same individuals. Without question, a heightened awareness of and sensitivity to any and all ethical obligations would be expected of any judge after receiving a public censure. Petitioner’s failure to exercise that vigilance within just a year of her prior discipline is persuasive evidence that she lacks the judgment necessary to her position. Under the circumstances, the

2007 censure constitutes a “significant aggravating factor” (*see Matter of George [State Commn. on Jud. Conduct]*, 22 NY3d 323, 329 [2013]) and the sanction of removal is appropriate.

Accordingly, the determined sanction should be accepted, without costs, and Cathryn M. Doyle removed from the office of Surrogate of Albany County.

PIGOTT, J. (dissenting). Judge Doyle’s tenure is remarkable. She served for 20 years as Chief Clerk of the Albany County Surrogate’s Court. She was an Adjunct Professor of Law at Albany Law School teaching courses on trusts and estates and Surrogate’s Court procedure. She has been a frequent lecturer for the New York State Bar Association, Surrogate Judges Association and the Office of Court Administration. She also served as an Acting Supreme Court Justice by designation of the Office of Court Administration.* The voters of Albany County elected her Surrogate twice.

Judge Doyle was first elected Surrogate in 2000 and reelected in 2010. She presided over a court that has processed over 3,500 cases annually. The charges here are few and minor and involve only an “appearance of impropriety” and concededly resulting in no impropriety in-fact. Nevertheless, this Court now upholds the sanction of her removal from office.

This Court has the “authority not only to ‘review the commission’s findings of fact and conclusions of law,’ but also to accept or reject the sanction determined by the commission, impose a different sanction, or impose no sanction at all” (*Matter of Cunningham*, 57 NY2d 270, 274 [1982]). We therefore are not restricted to reviewing the proceedings below for errors of law alone but, to the contrary, we are required to review the factual findings of the State Commission on Judicial Conduct. “Thus, in essence, there is a determination *de novo*” (*id.*). We have also previously stated that “[r]emoval is excessive where the misconduct amounts solely to poor judgment, even extremely poor judgment” (*Matter of Skinner*, 91 NY2d 142, 144 [1997]).

* Designation as Acting Supreme Court Justice is made by the Chief Administrator of the Courts in his or her discretion upon consultation with and agreement by the Presiding Justice of the appropriate Appellate Division (22 NYCRR 121.1). In making such selection, the Chief Administrator receives recommendations from an evaluatory panel consisting of the appropriate Deputy Chief Administrator of the Courts and the Administrative Judge of the Court where the Judge serves (22 NYCRR 121.2 [a]). In determining the capability of judges eligible for assignment, the evaluatory panel considers four criteria: productivity, scholarship, temperament and work ethic (22 NYCRR 121.2 [b] [1]-[4]).

I agree with the dissenting Commission members that censure is the more appropriate sanction. As the dissenters noted, the referee who heard and witnessed Judge Doyle testify found her to be a “credible and candid witness” who “told the truth.” And while her disciplinary history should be considered, it does not elevate the sanction to removal on these facts, since the earlier discipline was not related to the alleged misconduct here. Finally, as the dissenting Commission members properly noted, “[I]f the findings of misconduct do not firmly place the judge over the line into the removal realm of ‘truly egregious circumstances,’ I think we must censure.”

Chief Judge LIPPMAN and Judges READ, SMITH, RIVERA and ABDUS-SALAAM concur in per curiam opinion; Judge PIGOTT dissents and votes to censure in an opinion; Judge GRAFFEO taking no part.

Determined sanction accepted, without costs, and Cathryn M. Doyle removed from the Office of Surrogate of Albany County.

[16 NE3d 561, 992 NYS2d 503]

NOREX PETROLEUM LIMITED, Appellant, v LEONARD BLAVATNIK
et al., Respondents.

Argued May 6, 2014; decided June 26, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 25, 2013. The Appellate Division affirmed an order of the Supreme Court, New York County (Eileen Bransten, J.; op 2012 NY Slip Op 33181[U] [2012]), to the extent that it had granted the motions of defendants Leonard Blavatnik, Victor Vekselberg, Simon Kukes, Access Industries, Inc., Alfa Group Consortium, Renova, Inc., OAO Tyumen Oil Company and TNK-BP Limited and BP PLC to dismiss the complaint as time-barred, and denied plaintiff's motion to supplement the record on defendants' motions.

Norex Petroleum Ltd. v Blavatnik, 105 AD3d 659, reversed.

HEADNOTE

Conflict of Laws — What Law Governs — Statute of Limitations — Applicability of New York's Savings Statute Following Application of New York's Borrowing Statute

In litigation concerning a foreign oil field, an action refiled in state court pursuant to New York's "savings" statute, CPLR 205 (a), following the non-merits dismissal of the nonresident plaintiff's prior New York federal court action, was not time-barred by CPLR 202 as the federal court action was timely commenced under the laws of Alberta, Canada, where plaintiff's claims accrued, notwithstanding that the state court action was untimely under Alberta law. CPLR 205 (a) requires that refiled state court claims arise from the same transaction as the federal action and are filed within six months of the federal action's non-merits termination. When a claim accrues outside New York and the plaintiff is a nonresident, CPLR 202 provides for "borrowing" the statute of limitations of the jurisdiction where the claim arose, if it is shorter than New York's, to measure the lawsuit's timeliness. Once plaintiff timely commenced its federal court action in New York, CPLR 202's purpose to prevent forum shopping was fulfilled. Because plaintiff's "prior" federal court action was timely under the borrowing statute, its "new" state court action brought pursuant to the savings statute "would have been timely commenced at the time of commencement of the prior action" (CPLR 205 [a]). Although, in borrowing a foreign statute, all the extensions and tolls applied in the foreign state must be imported with the foreign statutory period, it was irrelevant here that Alberta law did not have a savings statute similar to CPLR 205 (a) because the borrowing statute's requirements had already been met at the point in time when plaintiff filed its state court action.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Conflict of Laws §§ 3, 5; AM JUR 2d, Limitation of Actions §§ 83, 85, 88–95, 105–106, 263, 275.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:40–13:48, 13:439–13:440, 13:450.

McKINNEY'S, CPLR 202; 205 (a).

NY JUR 2d, Conflict of Laws §§ 4, 7, 67; NY JUR 2d, Limitations and Laches §§ 17–25.

SIEGEL, NY PRAC §§ 52, 57, 105–106.

ANNOTATION REFERENCE

See ALR Index under Borrowing Statute; Conflict of Laws; Limitation of Actions; Savings Clause.

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POINTS OF COUNSEL

Simpson Thacher & Bartlett LLP, New York City (Barry R. Ostrager, Mary Kay Vyskocil, Jonathan M. Weiss and Hiral D. Mehta of counsel), and *Simpson Thacher & Bartlett LLP*, Los Angeles, California, for appellant. Norex Petroleum Limited's claims are timely under CPLR 205 (a). (*Burnett v New York Central R. Co.*, 380 US 424; *National Sur. Co. v Ruffin*, 242 NY 413; *Antone v General Motors Corp.*, *Buick Motor Div.*, 64 NY2d 20; *Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525; *Portfolio Recovery Assoc., LLC v King*, 14 NY3d 410; *In re Countrywide Fin. Corp. Mortgage-Backed Sec. Litig.*, 834 F Supp 2d 949; *Semtek Int'l Inc. v Lockheed Martin Corp.*, 531 US 497; *Lehman Bros. v Hughes Hubbard & Reed*, 245 AD2d 203; *Baker v Commercial Travelers Mut. Acc. Assn. of Am.*, 3 AD2d 265; *Matter of Winston v Freshwater Wetlands Appeals Bd.*, 224 AD2d 160.)

White & Case LLP, New York City (Owen C. Pell, Scott E. Hershman, Brian E. Fritz and Max Shterngel of counsel), for OAO Tyumen Oil Company and another, *Hoguet Newman Regal & Kenney, LLP*, for Simon Kukes, *Sullivan & Cromwell LLP*, New York City, *Sullivan & Cromwell LLP*, Washington, D.C., for BP PLC, *Patterson Belknap Webb & Tyler LLP*, New York City, for Renova, Inc., *Akin Gump Strauss Hauer & Feld LLP*, for Alfa Group Consortium, *Curtis, Mallet-Prevost, Colt & Mosle*

LLP, for Leonard Blavatnik, *Reed Smith LLP*, for Victor Vekselberg, and *Quinn Emanuel Urquhart & Sullivan, LLP*, for Access Industries, Inc., respondents. I. In ruling that Norex Petroleum Limited's claims are time-barred, the courts below correctly applied this Court's precedent and harmonized CPLR 202 and 205. (*Monahan v New York City Dept. of Corrections*, 214 F3d 275; *PRC Harris, Inc. v Boeing Co.*, 700 F2d 894; *Global Reins. Corp.-U.S. Branch v Equitas Ltd.*, 18 NY3d 722; *Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525; *Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193; *Portfolio Recovery Assoc., LLC v King*, 14 NY3d 410; *Antone v General Motors Corp., Buick Motor Div.*, 64 NY2d 20; *Childs v Brandon*, 60 NY2d 927; *Martin v Dierck Equip. Co.*, 43 NY2d 583; *Rescildo v Macy's*, 187 AD2d 112.) II. By its express terms, 28 USC § 1367 (d) cannot save Norex Petroleum Limited's otherwise time-barred claims. (*Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375; *Lehman Bros. v Hughes Hubbard & Reed*, 92 NY2d 1014; *Thompson v Paul*, 657 F Supp 2d 1113; *Jinks v Richland County*, 538 US 456; *Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511; *Raygor v Regents of Univ. of Minn.*, 534 US 533; *Williams v State of New York*, 235 AD2d 776; *Bittner v Cummings*, 188 AD2d 504; *United States v Locke*, 471 US 84; *Greenblatt v New York Sur. Co.*, 246 AD2d 385.)

Jonathan R. Siegel, George Washington University Law School, Washington, D.C., amicus curiae. The Appellate Division, First Department, misconstrued the phrase "unless State law provides for a longer tolling period" in 28 USC § 1367 (d). (*Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712; *Matter of M.B.*, 6 NY3d 437; *Jinks v Richland County*, 538 US 456.)

David Paul Horowitz, Pound Ridge, amicus curiae. I. The authority cited by the Appellate Division, First Department, in *Norex Petroleum Ltd. v Blavatnik* (105 AD3d 659 [2013]) does not support that Court's holding and, in fact, support's plaintiff's position. (*Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525.) II. The policies underpinning CPLR 202 are not violated by permitting plaintiff to invoke CPLR 205 (a) and commence a second action on the same transaction(s). (*Insurance Co. of N. Am. v ABB Power Generation*, 91 NY2d 180.) III. The "broad and liberal purpose" of CPLR 205 (a) cannot be reconciled with dismissal of plaintiff's second action. (*Gaines v City of New York*, 215 NY 533.) IV. *Besser v Squibb & Sons* (146 AD2d 107 [1989]) involved a revival, not a saving statute, and has no bearing on CPLR 205 (a). (*Besser v Squibb & Sons*, 75 NY2d 847.)

OPINION OF THE COURT

READ, J.

This dramatic and long-running contest over control of a lucrative oil field in Western Siberia reduces at present to an open question of New York civil procedure involving the interplay of CPLR 202, New York's "borrowing" statute, and CPLR 205 (a), New York's "savings" statute. When a cause of action accrues outside New York and the plaintiff is a nonresident, section 202 "borrows" the statute of limitations of the jurisdiction where the claim arose, if shorter than New York's, to measure the lawsuit's timeliness.¹ New York's "savings" statute, section 205 (a), allows a plaintiff to refile claims within six months of a timely prior action's termination for reasons other than the merits or a plaintiff's unwillingness to prosecute the claims in a diligent manner.²

This appeal calls upon us to decide whether a nonresident plaintiff who filed a timely action in a New York federal court may refile claims arising from the same transaction in state court within six months of the federal action's non-merits termination, even though the suit would be untimely in the out-of-state jurisdiction where the claims accrued. We hold that such a lawsuit is not time-barred, and therefore reverse the Appellate Division.³

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1. CPLR 202 states in its entirety that

"[a]n action based upon a cause of action accruing without the state cannot be commenced after the expiration of the time limited by the laws of either the state or the place without the state where the cause of action accrued, except that where the cause of action accrued in favor of a resident of the state the time limited by the laws of the state shall apply."

2. CPLR 205 (a) states, as relevant, that

"[i]f an action is timely commenced and is terminated in any other manner than by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, a dismissal of the complaint for neglect to prosecute the action, or a final judgment upon the merits, the plaintiff . . . may commence a new action upon the same transaction or occurrence or series of transactions or occurrences within six months after the termination provided that the new action would have been timely commenced at the time of commencement of the prior action and that service upon defendant is effected within such six-month period."

3. We decide only that Norex's state court action, refiled pursuant to CPLR 205 (a), is not time-barred by CPLR 202; we do not address and express no opinion about whether Norex's lawsuit fulfills other requirements of section 205 (a). For purposes of discussion in this opinion, we simply assume

(n. cont'd)

I

On February 26, 2002, plaintiff Norex Petroleum Limited (Norex), a resident of Alberta, Canada, commenced an action against defendants Leonard Blavatnik, Victor Vekselberg, Access Industries, Inc., Renova, Inc. and Tyumen Oil Company, among others, in the United States District Court for the Southern District of New York, asserting various claims under the Racketeer Influenced and Corrupt Organizations Act (RICO) (18 USC §§ 1961-1968). Stripped to its basics, the complaint alleges that defendants wrested away Norex's majority interest in a Russian oil company with significant proven reserves and, concomitantly, deprived Norex of hundreds of millions of dollars in profits and dividends as part of a massive scheme to take control of Russian oil assets.

Defendants moved to dismiss Norex's complaint on various grounds, including forum non conveniens. On February 18, 2004, the judge granted the motion; she was persuaded that the relevant factors strongly favored a Russian forum (*Norex Petroleum Ltd. v Access Indus., Inc.*, 304 F Supp 2d 570 [SD NY 2004]). Norex appealed, and by decision dated July 21, 2005, the Second Circuit reversed (*id.*; 416 F3d 146 [2d Cir 2005]). In so doing, the court remarked that "the district court did not ascribe any forum-shopping motives to Norex's choice of a New York forum," and that "the totality of circumstances suggests that Norex's decision to sue in New York was informed by genuine convenience" (*id.* at 155, 157).⁴ Norex amended its complaint on December 21, 2005 to add BP LLP (BP) as a defendant, and to assert claims for tortious conduct and unjust enrichment under Russian law against all defendants except BP.

Defendants then moved to dismiss pursuant to Federal Rules of Civil Procedure rule 12 (b) (1) for lack of subject matter jurisdiction. On September 24, 2007, the district court granted the motion (*id.*; 540 F Supp 2d 438 [SD NY 2007]). The judge concluded that neither of the tests commonly used to analyze

terminated on the merits, and Norex's state court action alleges claims "upon the same transaction or occurrence" as its federal predecessor. We appreciate that defendants contend that the termination of Norex's federal action constituted "a final judgment upon the merits" within the meaning of CPLR 205 (a). Upon remittal, Supreme Court must resolve this and any other issues raised by defendants in their motions to dismiss and not reached because the lawsuit was dismissed as untimely.

4. Defendants petitioned for certiorari on February 17, 2006 (2006 WL 431070 [2006]), which the United State Supreme Court denied on May 30, 2006 (*Tyumen Oil Co. v Norex Petroleum Ltd.*, 547 US 1175 [2006]).

whether a federal statute has extraterritorial effect—the “conduct” test and the “effects” test—supported subject matter jurisdiction in a case involving the extraterritorial application of RICO. Since RICO supplied the sole basis for federal jurisdiction, the district court declined to exercise supplemental jurisdiction over Norex’s claims under Russian law (*id.* at 449; *see* 28 USC § 1367 [c] [3], discussed *infra* at 672 n 6). Norex again appealed to the Second Circuit.

While the appeal was pending, the United States Supreme Court decided *Morrison v National Australia Bank Ltd.* (561 US 247 [2010]), which held that federal securities fraud statutes generally do not apply extraterritorially. The Court abandoned the “conduct and effects” test, and instead adopted a bright-line rule that a federal statute lacks extraterritorial reach absent a clear congressional expression to the contrary. On September 28, 2010, the Second Circuit affirmed the district court’s dismissal of Norex’s complaint.

In light of *Morrison*, the Second Circuit held that RICO’s extraterritorial application was “properly considered as a question of whether [Norex’s] complaint states a claim for which a United States federal court can provide relief, not as a question of whether the court possesses subject matter jurisdiction to hear the claim” (*Norex Petroleum Ltd. v Access Indus., Inc.*, 631 F3d 29, 31 [2d Cir 2010], *superseding earlier op affg on other grounds* 622 F3d 148 [2d Cir 2010]; *see Morrison*, 561 US at 253-254). Accordingly, the court determined that the district court had erred in dismissing Norex’s complaint for lack of subject matter jurisdiction, but concluded that dismissal was nonetheless warranted under Federal Rules of Civil Procedure rule 12 (b) (6) for failure to state a claim upon which relief may be given. The Second Circuit declined to revisit its previous holding that RICO is silent as to any extraterritorial application, and added that, in any event, Norex’s arguments were foreclosed by *Morrison* or otherwise unavailing.

On October 20, 2010, Norex filed a petition for rehearing en banc, and on November 22, 2010, the United States Department of Justice filed an amicus brief in support of a limited rehearing en banc. The Justice Department’s primary request, though, was for the Second Circuit to make clear that its ruling in Norex’s lawsuit did not apply when the government sought to enforce RICO either civilly or criminally. On December 8, 2010, the court issued an amended decision, which included a sentence to clarify that its opinion did not speak to government enforcement (*see Norex Petroleum Ltd.*, 631 F3d at 33).

On January 18, 2011, the Second Circuit denied Norex's request for a rehearing en banc. Norex then moved for a stay of the issuance of the court's mandate, "to avoid potentially triggering the running of relevant 'savings action statutes'" while it pursued certiorari in the United States Supreme Court; Norex identified CPLR 205 (a) as such a potential "savings" statute. The court granted the motion on February 1, 2011.⁵

On March 7, 2011, Norex brought this action in Supreme Court. In a first amended complaint filed on June 23, 2011, Norex asserted eight claims against all defendants; namely, tortious interference with contract; tortious interference with prospective business relations; conversion; breach of fiduciary duties; unjust enrichment; action for money had and received; unjust enrichment in violation of Russian law; and intentional tortious conduct/minority oppression in violation of Russian law.

Defendants moved to dismiss the complaint on multiple grounds, including that Norex's action was untimely under CPLR 202. As a resident of Alberta, Canada, alleging purely economic injuries, Norex's injuries accrued in Alberta (*see Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525, 529 [1999] [when the claimed injury is economic, the cause of action typically accrues "where the plaintiff resides and sustains the economic impact of the loss"], citing *Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193, 207 [1995], *cert denied sub nom. Manhard v Merrill Lynch, Pierce, Fenner & Smith*, 516 US 811 [1995]). Alberta law provides a two-year statute of limitations for the torts alleged by Norex, and does not have a "savings" statute akin to CPLR 205 (a).

By decision and order dated June 13, 2012, Supreme Court consolidated defendants' various motions, and dismissed Norex's complaint as time-barred (2012 NY Slip Op 33181[U] [2012]). Reasoning that CPLR 202 required her to apply Alberta's shorter limitations period to determine if Norex's state court action was timely, the judge ruled that Norex's claims against the non-BP defendants expired at the latest on February 26, 2004 (i.e., two years after Norex filed its federal court action), and its claims against BP expired at the latest on December 21, 2007 (i.e., two years after Norex amended its federal complaint to add BP as a defendant).

5. On April 18, 2011, Norex filed its certiorari petition (79 USLW 3636 [2011]), which was dismissed upon the parties' stipulation on June 29, 2011. The Second Circuit eventually issued its mandate on July 26, 2011.

Supreme Court also rejected Norex's assertion that its state law claims were tolled under 28 USC § 1367 (d), which provides a plaintiff with a 30-day grace period to refile in a state court after a non-merits dismissal of supplemental claims "unless State law provides for a longer tolling period."⁶ Supreme Court held that Norex did not enjoy the benefit of 28 USC § 1367 because CPLR 205 (a) provides for a longer tolling period. But the judge also concluded that CPLR 205 (a) did not, in fact, permit Norex's state court action against defendants since, as she had already made clear, the lawsuit was untimely by virtue of CPLR 202. Norex appealed.

The Appellate Division unanimously affirmed (105 AD3d 659 [1st Dept 2013]). The court first agreed with Supreme Court that Norex's state court action was untimely under Alberta law and therefore, by operation of CPLR 202, was also time-barred in New York. Further, the court adopted Supreme Court's analysis with regard to why Norex's state and Russian law claims were untimely under 28 USC § 1367 (d). The Appellate Division added in dictum that, even if Norex's lawsuit had been timely under section 1367 (d), the relation-back doctrine would not have authorized the six state law claims that Norex alleged in its complaint, and, further, that Norex's federal lawsuit was dismissed on the merits for purposes of section 1367 (d). Norex sought leave to appeal, which we granted on September 12, 2013 (21 NY3d 865 [2013]).

II

Norex contends that CPLR 205 (a) permits its "new" state court action because its initial, or "prior," federal court action was timely under CPLR 202. Defendants, by contrast, argue that Norex may not benefit from section 205 (a) because its "new" action was untimely under the laws of Alberta, which

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6. Subsection (d) of 28 USC § 1367 states in its entirety that "[t]he period of limitations for any claim asserted under subsection (a), and for any other claim in the same action that is voluntarily dismissed at the same time as or after the dismissal of the claim under subsection (a), shall be tolled while the claim is pending and for a period of 30 days after it is dismissed unless State law provides for a longer tolling period."

Subsection (a) vests the district courts with supplemental jurisdiction over all nonfederal claims in the action which are part of the underlying case or controversy (28 USC § 1367 [a]). Subsection (c) enumerates the grounds upon which the district court may, in its discretion, decline to exercise supplemental jurisdiction, including that "the district court has dismissed all claims over which it has original jurisdiction" (28 USC § 1367 [c] [3]), as happened here.

has no savings law, and so is barred by section 202. Stated another way, Norex would have the courts apply section 202 only once, to determine whether its initial action would have been timely in Alberta when filed in federal court in New York, while defendants would ask us to apply section 202 a second time, to assess whether Norex's follow-on action was timely in Alberta when commenced in state court.

Global Financial

Norex claims that in *Global Financial* we “implicitly rejected” the lower courts’ and defendants’ interpretation of how CLPR 202 and CPLR 205 (a) fit together. In *Global Financial*, the nonresident plaintiff brought an action in federal district court against the defendant to recover commissions and fees it claimed to be owed. The plaintiff filed its complaint just shy of six years after the defendant refused a demand for payment. Since both parties were Delaware corporations, the district court dismissed the complaint for lack of subject matter jurisdiction. Three months later, within CPLR 205 (a)’s six-month savings period, the plaintiff commenced a substantially similar suit in Supreme Court.

The defendant sought dismissal on the ground that the plaintiff’s state court action was time-barred under CPLR 202 because its federal action was not brought within the time limitations imposed by the laws of either Delaware, where the plaintiff was incorporated, or Pennsylvania, where the plaintiff asserted that its principal place of business was located. The plaintiff countered that its claims were timely because they accrued in New York, where the parties’ contract was negotiated, executed, substantially performed and allegedly breached. At the time the federal lawsuit was brought, the claims would have been time-barred in Delaware (*see* Del Code Ann, tit 10, §§ 8106 [three-year limitations period for actions on a promise], 8111 [one-year limitations period for actions on services]) and Pennsylvania (*see* 42 Pa Cons Stat Ann § 5525 [four-year limitations period for contract actions]), but not in New York (*see* CPLR 213 [2] [six-year statute of limitations]). Supreme Court agreed with the defendant and dismissed the complaint, and the Appellate Division unanimously affirmed.

We held that “[w]hen an alleged injury is purely economic, the place of injury usually is where the plaintiff resides and sustains the economic impact of the loss” (*Global Fin.*, 93 NY2d at 529, citing *Smith Barney*, 85 NY2d at 207), and here, the

claims were time-barred “whether one look[ed] to . . . Delaware or Pennsylvania” (*Global Fin.*, 93 NY2d at 530). Consequently, the plaintiff’s federal lawsuit—the “prior” action within the meaning of CPLR 205 (a)—was untimely, necessarily rendering the “new” action in state court untimely as well.

Thus, in *Global Financial* we decided where a nonresident’s contract claims accrue for purposes of CPLR 202, not whether a new action commenced pursuant to CPLR 205 (a) may be time-barred by CPLR 202 even though the prior action from which the new action flows was timely. In short, the defendant in *Global Financial* did not advance the argument pressed by defendants here. Indeed, citing CPLR 205 we observed that the parties “do not dispute that [the state court] action is timely if the Federal action was timely when commenced” (*id.* at 527 [emphasis added]). We had no occasion to consider, much less decide, whether the parties were correct.

The defendant in *Global Financial* alleged on appeal that the plaintiff’s principal place of business was Florida, not Pennsylvania. We remarked in a footnote that it was “unnecessary for us to choose between these two States, as plaintiff’s claims are time-barred under Florida’s Statute of Limitations as well as Pennsylvania’s (see, Fla Stat Annot § 95.11 [2] [five-year limitations period for breach of contract])” (*id.* at 527 n 1). This footnote and our solitary reference to CPLR 205 in *Global Financial* provoked a lively debate between Norex and defendants.

Norex asserts that because Florida, like Alberta, does not have a savings statute, it is “[s]ignificant” that we “did not deem it relevant whether the laws of other states, whose statutes of limitations might be borrowed, had savings statutes different from CPLR 205.” Instead, we “simply applied CPLR 205 to determine that the relevant date for the statute of limitations analysis under CPLR 202 was the filing of the original federal complaint.” As a result, according to Norex, “*Global Financial* plainly stands for the proposition that CPLR 205 (a) is available to non-resident plaintiffs, like Global Financial and Norex, whose claims accrue outside of New York, even if the state laws ‘borrowed’ under CPLR 202 for purposes of determining the limitations period (Florida in the case of *Global Financial*, Alberta in this case) do not have a savings statute at all.”

Defendants respond that our citation to CPLR 205 in *Global Financial* was unimportant because “the laws of the foreign jurisdictions referred to under CPLR § 202 (Pennsylvania and

Delaware) were virtually identical to CPLR § 205 (a)” (citing Del Code Ann, tit 10, § 8118 [one-year savings statute], and 42 Pa Cons Stat Ann § 5535 [one-year savings statute]). As a result, defendants continue, “in the absence of any conflict identified by the parties, [the Court] cited to CPLR § 205 (a)—as opposed to the similar laws of Pennsylvania or Delaware—relating to plaintiff’s right to re-file, and . . . simply noted (without having to rule on the issue) that “[t]he parties do not dispute that this action is timely if the Federal action was timely when commenced’ ” (quoting *Global Fin.*, 93 NY2d at 527). Defendants therefore suggest that the parties and the Court focused on the original filing date in *Global Financial* merely because the plaintiff’s claim was going to be “saved” on the refiling date, if originally timely filed, no matter which state’s law applied. As summed up by defendants, “borrowing all of Delaware, Pennsylvania, or Florida law—i.e., limitations *and* tolling provisions—would have been outcome-neutral under CPLR § 202.”

Norex points out that defendants’ argument breaks down if Florida, like Alberta, has no savings statute. But nothing in our opinion in *Global Financial* indicates that we ever took into account the savings statutes (or lack thereof) in any of the relevant foreign states. And both parties read far too much into our reference to CPLR 205 in a case where, as previously noted, the parties agreed, for whatever reason, that the state court action was not time-barred by section 202 so long as the prior federal court action had been timely filed.

Smith Barney

Defendants attach great importance to our repeated admonition that when New York borrows a statute of limitations, the borrowed limitations period comes fully encumbered with all the foreign jurisdiction’s tolling rules. In *Smith Barney*, the case principally relied on by defendants, the common issue in two appeals was whether the arbitrators or the courts should decide the timeliness of disputes that the customers sought to arbitrate with their securities brokers. The arbitration agreements contained New York choice-of-law provisions and were governed by the Federal Arbitration Act. The Appellate Division concluded that the question of timeliness was for the arbitrator to decide. We reversed and remitted each case for the Appellate Division to resolve the parties’ statute of limitations arguments, including “applicability of the borrowing statute, relevant accrual dates, tolls and extensions” (*Smith Barney*, 85 NY2d at 207).

When discussing CPLR 202, we observed that “[i]n borrowing the foreign statute, ‘[a]ll the extensions and tolls applied in the foreign state must be imported with the foreign statutory period, so that the *entire* foreign statute of limitations . . . applie[s], and not merely its period’ ” (*id.*, quoting McLaughlin, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C202:3 at 109). This is so because the legislature enacted section 202 primarily to prevent forum shopping; i.e., to make sure that nonresidents do not select a New York forum and burden New York’s state and federal courts when, and perhaps precisely because, their lawsuits are time-barred by the applicable laws of the foreign states where the causes of action accrued (*see Insurance Co. of N. Am. v ABB Power Generation*, 91 NY2d 180, 187-188 [1997]).

As defendants emphasize, many New York cases recite and apply the general rule that, when borrowing foreign law pursuant to CPLR 202, foreign tolls and extensions must be imported, too (*see e.g. Martin v Dierck Equip. Co.*, 43 NY2d 583 [1978] [action for personal injuries brought in New York more than two years after the plaintiff’s claims accrued in Virginia was time-barred under the borrowing statute because Virginia would apply a two-year statute of limitations without any possible tolls]; *Childs v Brandon*, 60 NY2d 927, 929 [1983] [in borrowing a foreign jurisdiction’s statute of limitations, “its tolling statute is also borrowed”]; *Antone v General Motors Corp., Buick Motor Div.*, 64 NY2d 20, 31 [1984] [“in ‘borrowing’ a Statute of Limitations of another State, a New York court will also ‘borrow’ the other State’s rules as to tolling”]; *Portfolio Recovery Assoc., LLC v King*, 14 NY3d 410 [2010] [determining that Delaware’s tolling provision did not extend a nonresident plaintiff’s time to bring a lawsuit in New York on a cause of action that accrued in Delaware]; *but see GML, Inc. v Cinque & Cinque, P.C.*, 9 NY3d 949, 951 [2007] [borrowing Tennessee’s one-year statute of limitations, but not its tolling provisions, because “(a) conclusion to the contrary would cause the statute of limitations to be tolled indefinitely against these defendants, (and the Court did) not believe that the Legislature intended this result in enacting CPLR 202”]).

As Professor Siegel explains, CPLR 202 does not “necessarily [call for] a ‘borrowing’ [because] the statute really dictates a comparison, with a ‘borrowing’ of the foreign period only if it is the shorter of the two compared”; and

“[t]he periods that are compared are the ‘net’ periods. That is, the New York period, with all relevant New York extensions and tolls integrated, is one prong of the comparison, and the foreign period, with the foreign tolls and extensions integrated, is the other. The New York tolls are not superimposed on the foreign period, or vice versa.” (Siegel, NY Prac § 57 at 82 [5th ed 2011].)

But it does not follow, as defendants insist, that section 202 required Norex’s state court action to be timely under Alberta law when filed in March 2011, either because Alberta’s statute of limitations had not yet expired or Norex’s claims were saved by an Alberta tolling statute.

Notably, none of the tolling cases relied on by defendants dealt with a *refiled* action like Norex’s. These decisions merely show that when assessing whether Norex’s *original* action was timely for purposes of CPLR 205 (a), Supreme Court was required to consider the “‘net’ period[] . . . the [Alberta] period, with [the Alberta] extensions and tolls integrated” (*id.*). Here, the absence of a tolling or savings provision in Alberta law had no practical effect with regard to Norex’s original lawsuit. Norex says that it filed its federal complaint within weeks of the events that gave rise to its claims, thereby making its federal action timely under “any potentially applicable” statute of limitations, without tolling. Defendants do not gainsay this.

Besser

Next, defendants find support for their position in *Besser v Squibb & Sons* (146 AD2d 107 [1st Dept 1989], *affd without op* 75 NY2d 847 [1990]). *Besser* involved the relationship between CPLR 202 and CPLR 214-c (2). The latter provision “revived” time-barred causes of action arising out of exposure to diethylstilbestrol (DES) and other specified toxic substances that might cause harmful effects years, and sometimes decades, after exposure. Section 214-c (2) granted plaintiffs claiming injuries from exposure to these substances a one-time, one-year window during which to bring suits that were either barred as of the statute’s effective date, or had been dismissed prior to its effective date solely because the applicable limitations period had expired.

The plaintiff in *Besser* was a non-New York resident at the time her personal injury claim accrued in either Pennsylvania

or New Jersey. Further, her claim was untimely under the laws of both states. As a result, if CPLR 202 applied, her lawsuit was time-barred. Accordingly, she argued that CPLR 202 was not applicable in actions authorized by the revival statute. The Appellate Division disagreed, observing that “the Legislature’s intent” in enacting the revival statute was “to provide to *New York residents only*—not the entire world—a one-year window period in which to sue for claims otherwise barred by law” (*id.* at 110 [emphasis added]).

Defendants reason by analogy that CPLR 202 should trump CPLR 205 (a), too. But CPLR 214-c (2) and CPLR 205 (a) bear no resemblance to each other beyond their shared general character as remedial statutes. Importantly, there is no evident legislative intent to limit the savings statute’s beneficial scope to resident plaintiffs. As Judge Cardozo explained nearly a century ago, New York’s savings statute

“is designed to insure *to the diligent suitor* the right to a hearing in court till he reaches a judgment on the merits. Its broad and liberal purpose is not to be frittered away by any narrow construction. The important consideration is that by invoking judicial aid, a litigant gives timely notice to his adversary of a present purpose to maintain his rights before the courts” (*Gaines v City of New York*, 215 NY 533, 539 [1915] [emphasis added]; *see also Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511, 521 [2009] [Section 205 (a) “shares with its venerable predecessor provisions the broad and liberal purpose of remedying what might otherwise be the harsh consequence of applying a limitations period where the defending party has had timely notice of the action” (internal quotation marks omitted)]).

Forum Shopping

Finally, defendants accuse Norex of forum shopping in contravention of CPLR 202, having made a “strategic decision” to litigate first in Russia and then in federal court, where it did not assert any New York claims, before finally settling on state court when these earlier lawsuits proved unsuccessful. Norex counters that while CPLR 202 is meant to prevent a nonresident plaintiff from forum shopping by suing in New York courts to take advantage of a longer statute of limitations, that policy

has been “fully served” here. This is so, Norex argues, because it filed its original complaint in federal court in New York “within weeks of the events that [gave] rise to its claims, putting defendants on notice and making those claims timely under *any* statute of limitations, including the Alberta statute of limitations that the [Appellate Division] held must be borrowed under CPLR 202.” Norex adds that the federal courts specifically rejected forum shopping as a motive for its federal lawsuit. Further, “[b]ecause Norex was manifestly not forum shopping when it filed its first action in New York, Norex cannot be forum shopping by re-filing that action in New York in accordance with CPLR 205 (a).”

We agree with Norex that, once it timely commenced its federal court action in New York, the borrowing statute’s purpose to prevent forum shopping was fulfilled, and CPLR 202 had no more role to play. Because Norex’s “prior” federal court action was timely under the borrowing statute, the “new” action that it brought pursuant to the savings statute “would have been timely commenced at the time of commencement of the prior action” (CPLR 205 [a]). Stated another way, it is irrelevant that Alberta law does not have a savings statute similar to CPLR 205 (a) because at the point in time when Norex filed its “new” action in Supreme Court, the borrowing statute’s requirements had already been met. In our view, this reading of the way in which CPLR 202 and CPLR 205 (a) interrelate best comports with statutory language, and honors both the borrowing statute’s purpose to prevent forum shopping and the savings statute’s goal to “implement[] the vitally important policy preference for the determination of actions on the merits” (*Goldstein*, 13 NY3d at 521 [internal quotation marks omitted]; *see generally* Horowitz, Burden of Proof, “*A Dangerous Intersection*,” 86 NY St BJ 20 [May 2014]).

III

The lower courts’ rulings with respect to 28 USC § 1367 (d) evoked interest in legal academic circles. An amicus curiae brief on this topic, which was jointly filed by Professors Thomas D. Rowe, Stephen B. Burbank and Thomas M. Mengler, supported Norex’s motion for leave to appeal; another amicus brief, filed by Professor Jonathan Siegel, similarly took issue with the Appellate Division’s interpretation of section 1367 (d). Professors Rowe, Burbank and Mengler, who endorsed Professor Siegel’s brief, assisted in drafting the federal supplemental jurisdiction statute.

The amici curiae disagree with the Appellate Division's holding that, as summarized by Professor Siegel, "§ 1367 (d)'s tolling period does not apply because New York's CPLR 205 (a) *generally* provides a longer tolling period, even though . . . CPLR 205 (a) does not apply to this *particular* case" by operation of CPLR 202. Professors Rowe, Burbank and Mengler call this outcome an "intolerable Catch-22." Professor Siegel offered various reasons why the Appellate Division was incorrect and how its holding "disserve[d] the goals of judicial economy, convenience, and fairness" which section 1367 (d) was designed to promote.

Because we have determined that Norex's state court action is not time-barred by CPLR 202, we need not and do not consider whether Norex's claims were timely filed in state court pursuant to 28 USC § 1367 (d). We note, though, that in light of our disposition of this appeal, the complained-of "Catch-22" is unlikely to recur.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order reversed, with costs, and case remitted to Supreme Court, New York County, for further proceedings in accordance with the opinion herein.

[16 NE3d 538, 992 NYS2d 480]

In the Matter of NEW YORK STATEWIDE COALITION OF HISPANIC
CHAMBERS OF COMMERCE et al., Respondents, v NEW YORK
CITY DEPARTMENT OF HEALTH AND MENTAL HYGIENE et al.,
Appellants.

Argued June 4, 2014; decided June 26, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 30, 2013. The Appellate Division affirmed an order of the Supreme Court, New York County (Milton A. Tingling, J.; op 2013 NY Slip Op 30609[U] [2013]), entered in a hybrid CPLR article 78 proceeding and declaratory judgment action, which had (1) granted the petition to declare New York City Health Code (24 RCNY) § 81.53 invalid; (2) declared New York City Health Code (24 RCNY) § 81.53 invalid; and (3) enjoined respondents from implementing or enforcing it.

Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene, 110 AD3d 1, affirmed.

HEADNOTES

Administrative Law — Delegation of Legislative Power — New York City Board of Health

1. Respondent New York City Board of Health does not have legislative powers separate and apart from the New York City Council. Under the New York City Charter the City Council is the sole legislative branch of city government. The provision of the City Charter that sets out the Board's authority to add to, amend or repeal parts of the New York City Health Code; publish additional provisions for security of life and health; and confer additional powers on the Department of Health and Mental Hygiene that are not inconsistent with the NY Constitution, state law or the City Charter (NY City Charter § 558 [b]) reflects only a regulatory mandate, not legislative authority. The Charter contains no suggestion that the Board of Health has the authority to create laws. Rather, the Charter empowers the City Council to adopt local laws in order to preserve the public health (NY City Charter § 28 [a]), and restricts the Board's rulemaking to the publication of a health code. Accordingly, the Board exercised regulatory, rather than legislative, authority in adopting the "Sugary Drinks Portion Cap Rule" (NY City Health Code [24 RCNY] § 81.53) so as to restrict the size of cups and containers used by food service establishments for the provision of sugary beverages.

Administrative Law — Validity of Regulation — Sugary Drinks Portion Cap Rule — Regulation Exceeded Delegated Authority

2. Respondent New York City Board of Health, in adopting the "Sugary Drinks Portion Cap Rule" (NY City Health Code [24 RCNY] § 81.53) so as to

restrict the size of cups and containers used by food service establishments for the provision of sugary beverages, exceeded the scope of its regulatory authority. Because a doctrine of separation of powers is delineated in the City Charter, *Boreali v Axelrod* (71 NY2d 1 [1987]) provided the appropriate analytical framework. The four coalescing circumstances in *Boreali* are overlapping, closely related factors that, taken together, support the conclusion that an agency has crossed the line into legislative territory. Here, the Board engaged in law-making beyond its regulatory authority under the first *Boreali* factor by making value judgments entailing difficult and complex choices between broad public policy ends—choices reserved to the legislative branch. As to the second *Boreali* factor, absent any legislation concerning the consumption of sugary beverages that the rule was designed to supplement, it is clear the Board wrote the rule without the benefit of legislative guidance, and did not simply fill in details guided by independent legislation. Regarding the third *Boreali* factor, the city and state legislatures had unsuccessfully attempted to target sugar sweetened beverages and the Board's rule addressed the same policy areas as the proposals rejected by the legislatures. Here, the first three factors were present, and the fourth *Boreali* factor, whether special expertise or technical competence was involved in the development of the rule, did not need to be addressed. By choosing among competing policy goals, without any legislative delegation or guidance, the Board engaged in law-making and thus infringed upon the legislative jurisdiction of the New York City Council.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law §§ 51, 57, 130–133, 226–229.
NY JUR 2d, Administrative Law §§ 22–27, 33, 36, 37, 53–57;
NY JUR 2d, Food, Drugs, Poisons, and Hazardous Substances §§ 4, 5; NY JUR 2d, Health and Sanitation §§ 25–27, 29.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Beverages; Health; Soft Drinks.

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POINTS OF COUNSEL

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body with authority to issue substantive rules and standards, and its broad authority emanates from state law. (*Matter of LaGuardia v Smith*, 288 NY 1; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Matter of Council of City of N.Y. v Public Serv. Commn. of State of N.Y.*, 99 NY2d 64; *Matter of Finegan v Cohen*, 275 NY 432; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563; *People ex rel. Knoblauch v Warden*, 216 NY 154; *Grossman v Baumgartner*, 17 NY2d 345; *Matter of Schulman v New York City Health & Hosps. Corp.*, 38 NY2d 234; *Paduano v City of New York*, 45 Misc 2d 718.) II. The adoption of the Portion Cap Rule was a proper exercise of the New York City Board of Health's regulatory authority. (*Dorst v Pataki*, 90 NY2d 696; *Matter of Allstate Ins. Co. v Rivera*, 12 NY3d 602; *Clark v Cuomo*, 66 NY2d 185; *Matter of Nicholas v Kahn*, 47 NY2d 24; *Boreali v Axelrod*, 71 NY2d 1; *Matter of Consolidated Edison Co. of N.Y. v Department of Envtl. Conservation*, 71 NY2d 186; *Paduano v City of New York*, 45 Misc 2d 718, 24 AD2d 437, 17 NY2d 875; *People v De Jesus*, 54 NY2d 465; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340; *Statharos v New York City Taxi & Limousine Commn.*, 198 F3d 317.) III. The Portion Cap Rule is consistent with the New York City Board of Health's enabling legislation. Since petitioners failed to demonstrate that the Portion Cap Rule was so lacking in reason and not supported by any evidence, the rule should be upheld. (*Nunez v Giuliani*, 91 NY2d 935; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249; *Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326; *Matter of Catholic Med. Ctr. of Brooklyn & Queens v Department of Health of State of N.Y.*, 48 NY2d 967; *Price v New York City Bd. of Educ.*, 16 Misc 3d 543, 51 AD3d 277; *Matter of Legislature of County of Rockland v New York State Pub. Serv. Commn.*, 49 AD2d 484; *Grossman v Baumgartner*, 17 NY2d 345; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340; *New York State Rest. Assn. v New York City Bd. of Health*, 556 F3d 114.)

Latham & Watkins LLP (Richard P. Bress, of the District of Columbia bar, admitted pro hac vice, William K. Rawson, of the District of Columbia bar, admitted pro hac vice, Lori Alvino McGill, Michael E. Bern, of the District of Columbia bar, admitted pro hac vice, Kala Sherman-Presser, of the District of Columbia bar, admitted pro hac vice, and Andrew D. Prins of counsel), *Latham & Watkins, LLP*, New York City (James E.

Brandt of counsel), for The American Beverage Association, *Weil, Gotshal & Manges, LLP*, New York City (*James W. Quinn, Salvatore A. Romanello* and *Gregory Silbert* of counsel), for The National Restaurant Association, *MoloLamken LLP* (*Steven F. Molo* and *Ben Quarmby* of counsel), for The New York Statewide Coalition of Hispanic Chambers of Commerce and another, *Rivkin Radler, LLP*, Uniondale (*Evan H. Krinick, Barry I. Levy* and *Brian L. Bank* of counsel), for Soft Drink and Brewery Workers Union, Local 812, International Brotherhood of Teamsters, and *Matthew N. Greller, Esq., LLC*, Millburn, New Jersey (*Matthew N. Greller* of counsel), for The National Association of Theatre Owners of New York State, respondents. I. The New York City Board of Health is an executive agency subject to separation of powers constraints. (*Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo*, 64 NY2d 233; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Subcontractors Trade Assn. v Koch*, 62 NY2d 422; *Matter of Broidrick v Lindsay*, 39 NY2d 641; *Matter of Zborowski*, 68 NY 88; *Romano v Bruck*, 25 Misc 406; *Matter of Casado v Markus*, 16 NY3d 329; *People v Blanchard*, 288 NY 145; *Patgin Carriages Co. Inc. v NYC Dept. of Health & Mental Hygiene*, 28 Misc 3d 1229[A], 2010 NY Slip Op 51540[U]; *Grossman v Baumgartner*, 17 NY2d 345.) II. The ban violates separation of powers. (*People ex rel. Burby v Howland*, 155 NY 270; *Boreali v Axelrod*, 71 NY2d 1; *Ellicott Group, LLC v State of N.Y. Exec. Dept. Off. of Gen. Servs.*, 85 AD3d 48; *Nassau Bowling Proprietors Assn. v County of Nassau*, 965 F Supp 376; *Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340; *Matter of Motor Veh. Mfrs. Assn. of U.S. v Jorling*, 181 AD2d 83; *Statharos v New York City Taxi & Limousine Commn.*, 198 F3d 317; *Pet Professionals of N.Y. City v City of New York*, 215 AD2d 742; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95.) III. The ban is arbitrary and capricious. (*Bluebird Partners v First Fid. Bank*, 97 NY2d 456; *Matter of Law Enforcement Officers Union, Dist. Council 82, AFSCME, AFL-CIO v State of New York*, 229 AD2d 286; *Matter of Kelly v Kaladjian*, 155 Misc 2d 652; *Matter of c/o Hamptons, LLC v Zoning Bd. of Appeals of Inc. Vil. of E. Hampton*, 98 AD3d 738; *Matter of Barry v O'Connell*, 303 NY 46; *Matter of Lansdown Entertainment Corp. v New York City Dept. of Consumer Affairs*, 74 NY2d 761; *New York State Assn. of Counties v Axelrod*, 78 NY2d 158; *Rubin v Coors Brewing Co.*, 514 US 476.)

Andrew Goldberg, New York City, for Wilfredo Lopez and another, amici curiae. I. There are sound public health reasons why the New York City Charter vests legislative power in the New York City Board of Health and the Charter itself does not make the Board subservient to the City Council. (*Grossman v Baumgartner*, 17 NY2d 345; *People ex rel. Knoblauch v Warden*, 216 NY 154; *Matter of Schulman v New York City Health & Hosps. Corp.*, 38 NY2d 234; *People v Blanchard*, 288 NY 145.) II. The Appellate Division’s holding that the New York City Board of Health must look to the City Council for a specific directive except in the situation of a “hazard per se” is wrong as a matter of law and will severely undercut the Board’s ability to react promptly and effectively to public health challenges. (*Grossman v Baumgartner*, 17 NY2d 345; *Paduano v City of New York*, 45 Misc 2d 718, 24 AD2d 437, 17 NY2d 875.) III. For the reasons stated by Judge Bellacosa in *Boreali v Axelrod* (71 NY2d 1 [1987]), the *Boreali* precedent should not be applied to the New York City Board of Health. (*Metropolitan Bd. of Health v Heister*, 37 NY 661; *People ex rel. Lieberman v Vandecarr*, 175 NY 440; *People ex rel. Knoblauch v Warden*, 216 NY 154; *People v Blanchard*, 288 NY 145; *Quaker Oats Co. v City of New York*, 295 NY 527; *Matter of Bakers Mut. Ins. Co. of N.Y. [Department of Health of City of N.Y.]*, 301 NY 21; *Grossman v Baumgartner*, 17 NY2d 345; *Paduano v City of New York*, 45 Misc 2d 718; *Matter of Schulman v New York City Health & Hosps. Corp.*, 38 NY2d 234.)

Columbia Law School, Center for Constitutional Governance, New York City (*Gillian E. Metzger, Richard Briffault and Sara Haviva Mark* of counsel), for Gillian E. Metzger and others, amici curiae. I. *Boreali v Axelrod* (71 NY2d 1 [1987]) establishes a flexible and pragmatic approach that allows agency regulation under broad delegations of authority, and this Court has long upheld public health regulations under broad delegations. (*Clark v Cuomo*, 66 NY2d 185; *Bourquin v Cuomo*, 85 NY2d 781; *Matter of Richardson*, 247 NY 401; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340; *Matter of Nicholas v Kahn*, 47 NY2d 24; *Matter of Levine v Whalen*, 39 NY2d 510; *Matter of Bologno v O’Connell*, 7 NY2d 155; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Cubas v Martinez*, 8 NY3d 611; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382.) II. The Portion Cap Rule is a constitutional exercise of the New York City Board of Health’s delegated authority under a proper *Boreali* analysis. (*New York State Rest. Assn. v New York City Bd. of Health*, 556 F3d 114;

Massachusetts v EPA, 549 US 497; *Williamson v Lee Optical of Okla., Inc.*, 348 US 483; *Taylor v Consolidated Edison Co. of N.Y., Inc.*, 552 F2d 39; *Montrose Parkway Alternatives Coalition v United States Army Corps of Engrs.*, 405 F Supp 2d 587; *Winnabago Tribe of Neb. v Ray*, 621 F2d 269; *Bourquin v Cuomo*, 85 NY2d 781; *Clark v Cuomo*, 66 NY2d 185; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340.) III. The Portion Cap Rule should be sustained under a nonconstitutional approach that focuses on statutory authorization and reasoned administrative decisionmaking. (*Whitman v American Trucking Assns., Inc.*, 531 US 457; *Mistretta v United States*, 488 US 361; *J. W. Hampton, Jr., & Co. v United States*, 276 US 394; *National Broadcasting Co. v United States*, 319 US 190; *FDA v Brown & Williamson Tobacco Corp.*, 529 US 120; *FCC v Fox Television Stations, Inc.*, 556 US 502; *Matter of Jewish Home & Infirmary of Rochester v Commissioner of N.Y. State Dept. of Health*, 84 NY2d 252; *Matter of Campagna v Shaffer*, 73 NY2d 237; *Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382.)

Bromberg Law Office, P.C., New York City (Brian L. Bromberg of counsel), *ChangeLab Solutions*, Oakland, California (Anne Pearson, Manel Kappagoda, Lindsey Zwicker and Amy Barsky of counsel), and *Ohio State University College of Public Health & Moritz College of Law*, Columbus, Ohio (Micah Berman of counsel), for National Association of County and City Health Officials and others, amici curiae. I. The portion size rule is an example of sound, evidence-based public health practice. (*Matter of Stracquadanio v Department of Health*, 285 NY 93; *New York State Rest. Assn. v New York City Bd. of Health*, 556 F3d 114; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340.) II. The lower courts' interpretations of *Boreali v Axelrod* (71 NY2d 1 [1987]) and the arbitrary and capricious standard erroneously restrict the New York City Board of Health from implementing incremental and practical solutions to profound public health threats. (*Chiropractic Assn. of N.Y. v Hilleboe*, 12 NY2d 109; *Boreali v Axelrod*, 71 NY2d 1; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340; *Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326; *Matter of Memorial Hosp. v Axelrod*, 68 NY2d 958; *Nunez v Giuliani*, 91 NY2d 935; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249; *Grossman v Baumgartner*, 17 NY2d 345; *Williams v Mayor of Baltimore*, 289 US 36.)

Featherstonhaugh, Wiley & Clyne, LLP, Albany (*James D. Featherstonhaugh* of counsel), for The Business Council of New York State, Inc. and others, amici curiae. I. Upholding the soda ban would create an inoperable regulatory framework because there are numerous other local boards of health structured similarly to the New York City Board of Health that will become authorized to enact independent container size regulations. (*Justiana v Niagara County Dept. of Health*, 45 F Supp 2d 236; *Nassau Bowling Proprietors Assn. v County of Nassau*, 965 F Supp 376.) II. In New York, the New York State Legislature through the Department of Agriculture and Markets is the proper authority to regulate the container size of an otherwise legal substance. (*People v Blue Ribbon Ice Cream Co.*, 1 Misc 2d 453; *New York State Food Merchants' Assn. v Grant*, 63 Misc 2d 550.) III. The soda ban would have substantial detrimental impact on existing businesses.

Robbins, Russell, Englert, Orseck, Untereiner & Sauber LLP, Washington, D.C. (*Sarah R. Prins, Roy T. Englert, Jr.*, and *Alex Potapov* of counsel), and *Washington Legal Foundation* (*Cory L. Andrews* and *Richard A. Samp* of counsel), for Washington Legal Foundation and another, amici curiae. I. This Court has steadfastly prevented the executive from usurping the legislature's policy-making authority. (*Matter of Fullilove v Beame*, 48 NY2d 376; *Clark v Cuomo*, 66 NY2d 185; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Matter of Nicholas v Kahn*, 47 NY2d 24; *Subcontractors Trade Assn. v Koch*, 62 NY2d 422; *Rapp v Carey*, 44 NY2d 157; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Bourquin v Cuomo*, 85 NY2d 781; *Matter of Campagna v Shaffer*, 73 NY2d 237; *Matter of Small v Moss*, 279 NY 288.) II. This Court's separation-of-powers jurisprudence has deep roots in the American legal tradition. (*Wayman v Southard*, 10 Wheat [23 US] 1.) III. Vigorous enforcement of separation-of-powers principles is indispensable to liberty and sound governance. (*Matter of Small v Moss*, 279 NY 288; *Matter of Seignious v Rice*, 273 NY 44; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340; *Rapp v Carey*, 44 NY2d 157; *Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801.)

Watkins Bradley LLP, New York City (*Adam Francois Watkins* and *Stephanie F. Bradley* of counsel), for Maria Del Carmen Arroyo and others, amici curiae. I. The New York City Board of

Health does not possess any extraordinary, legislative powers to restrict access to safe and legal foods. (*Boreali v Axelrod*, 71 NY2d 1; *Matter of Health Ins. Assn. of Am. v Corcoran*, 154 AD2d 61; *Matter of Green v Safir*, 174 Misc 2d 400; *Rodriguez v Popular Democratic Party*, 457 US 1; *Sailors v Board of Ed. of Kent Cty.*, 387 US 105; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Matter of Trustees of Vil. of Saratoga Springs v Saratoga Gas, Elec. Light & Power Co.*, 191 NY 123; *Carr v Schmid*, 105 Misc 2d 645; *Grossman v Baumgartner*, 17 NY2d 345; *People v Weil*, 286 App Div 753.) II. The ban establishes legislative public policy that only the state or city legislature may enact. (*Metzen v United States*, 19 F3d 795.)

King & Spalding LLP, New York City (*David M. Fine* of counsel), and *King & Spalding LLP*, Atlanta, Georgia (*Jeffrey S. Cashdan* and *Merritt E. McAlister* of counsel), for New York State Conference of the National Association for the Advancement of Colored People and others, amici curiae. The ban's enactment violated fundamental separation-of-powers principles that reserve critical policy decisions to the legislative branch. (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Boreali v Axelrod*, 71 NY2d 1; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *University of Pennsylvania v EEOC*, 493 US 182; *Loving v United States*, 517 US 748.)

Shapiro, Arato & Isserles LLP, New York City (*Alexandra A.E. Shapiro*, *Marc E. Isserles* and *Chetan A. Patil* of counsel), for The Chamber of Commerce of the United States of America and others, amici curiae. I. The New York City Board of Health failed to consider industry-led solutions and public-private partnerships as alternatives to regulation. (*Boreali v Axelrod*, 71 NY2d 1.) II. The Portion Cap Rule violates core principles of responsible regulation. (*Healy v Beer Institute*, 491 US 324.)

Reese Richman LLP, New York City (*Kim E. Richman* of counsel), for Paul A. Diller and others, amici curiae. I. This Court should abandon or relax the strict nondelegation canon rooted in *Boreali v Axelrod* (71 NY2d 1 [1987]). (*Whitman v American Trucking Assns., Inc.*, 531 US 457; *A. L. A. Schechter Poultry Corp. v United States*, 295 US 495; *Panama Refining Co. v Ryan*, 293 US 388; *American Textile Mfrs. Institute, Inc. v Donovan*, 452 US 490; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340; *Rent Stabilization Assn. of*

N.Y. City v Higgins, 83 NY2d 156; *Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398; *Bourquin v Cuomo*, 85 NY2d 781; *Plaut v Spendthrift Farm, Inc.*, 514 US 211; *New York State Club Assn. v City of New York*, 69 NY2d 211.) II. This Court should not apply *Boreali*'s nondelegation canon to the rule-making powers of local agencies. (*Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Matter of Mooney v Cohen*, 272 NY 33; *Matter of Resnick v County of Ulster*, 44 NY2d 279; *Bareham v City of Rochester*, 221 App Div 36; *Matter of Durante v Town of New Paltz Zoning Bd. of Appeals*, 90 AD2d 866; *Dur-Bar Realty Co. v City of Utica*, 57 AD2d 51, 44 NY2d 1002; *Matter of Casado v Markus*, 16 NY3d 329.)

Whatley Kallas, LLP, New York City (*Patrick J. Sheehan* of counsel), and *Public Good Law Center*, Berkeley, California (*Seth E. Mermin* and *Julia Z. Marks* of counsel), for National Alliance for Hispanic Health and others, amici curiae. I. Obesity and other forms of diet-related diseases are a critical problem facing the nation and the city, especially in underserved ethnic communities. II. Consumption of sugary drinks contributes significantly to obesity, type 2 diabetes, and other chronic diseases. III. Consumption of sugary drinks, driven by targeted marketing, is significantly higher among youth and ethnic minority populations. IV. The growth in sugary drink portion sizes has matched the increase in rates of obesity and type 2 diabetes. V. Reducing consumption of sugary drinks by decreasing the default portion size can help stem the tide of obesity and diet-related diseases.

Jones Day, Washington, D.C. (*Anthony J. Dick*, *Noel J. Francisco*, *Ryan D. Newman*, *William D. Coglianese*, *Sarah A. Hunger* and *Matthew R. McGuire* of counsel), for Eric Lane, amicus curiae. I. The New York City Charter forbids administrative agencies from exercising unconstrained law-making authority. (*Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Subcontractors Trade Assn. v Koch*, 62 NY2d 422; *Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156; *Boreali v Axelrod*, 71 NY2d 1; *Matter of Levine v Whalen*, 39 NY2d 510; *Matter of Campagna v Shaffer*, 73 NY2d 237.) II. Recent reforms to the New York City Charter remove any doubt that agencies cannot exercise unconstrained law-making authority. (*Morris v Board of Estimate*, 647 F Supp 1463, 831 F2d 384, 489 US 688.) III. Because the New York City Board of Health is an administrative agency within the

executive branch, it does not have unconstrained law-making authority. (*Boreali v Axelrod*, 71 NY2d 1; *Matter of Campagna v Shaffer*, 73 NY2d 237; *Matter of Bakers Mut. Ins. Co. of N.Y. [Department of Health of City of N.Y.]*, 301 NY 21; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340.)

OPINION OF THE COURT

PIGOTT, J.

We hold that the New York City Board of Health, in adopting the “Sugary Drinks Portion Cap Rule,” exceeded the scope of its regulatory authority. By choosing among competing policy goals, without any legislative delegation or guidance, the Board engaged in law-making and thus infringed upon the legislative jurisdiction of the City Council of New York.

I.

The New York City Board of Health is part of the City’s Department of Health and Mental Hygiene and consists of the Commissioner of that Department, the Chairperson of the Department’s Mental Hygiene Advisory Board, and nine other members, appointed by the Mayor. In June 2012, as part of its effort to combat obesity among City residents, the Department proposed that the Board amend article 81 of the City Health Code so as to restrict the size of cups and containers used by food service establishments for the provision of sugary beverages. After a preliminary vote by the Board, a notice of public hearing was published, seeking comments from the public. The substantial number of comments both before and during the July hearing indicated a groundswell of public interest and concern. On September 13, 2012, the Board voted, with one abstention, to adopt the Department’s proposed rule—referred to as the “Portion Cap Rule”—to go into effect in March 2013.

The Portion Cap Rule provides in relevant part that “[a] food service establishment may not sell, offer, or provide a sugary drink in a cup or container that is able to contain more than 16 fluid ounces” and “may not sell, offer or provide to any customer a self-service cup or container that is able to contain more than 16 fluid ounces” (NY City Health Code [24 RCNY] § 81.53 [b], [c]). A “sugary drink” is defined as a nonalcoholic beverage that “is sweetened by the manufacturer or establishment with sugar or another caloric sweetener; . . . has greater than 25 calories per 8 fluid ounces of beverage; . . . [and] does

not contain more than 50 percent of milk or milk substitute by volume as an ingredient” (NY City Health Code [24 RCNY] § 81.53 [a] [1]). The Portion Cap Rule does not apply to establishments, such as supermarkets and convenience stores, that are subject to regulation and inspection by the New York State Department of Agriculture and Markets.

II.

In October 2012, petitioners, six national or statewide not-for-profit and labor organizations, commenced this hybrid CPLR article 78 proceeding and declaratory judgment action seeking to invalidate the Portion Cap Rule. In addition to the Board of Health, the Department of Health and Mental Hygiene and its Commissioner are named as respondents.

On March 11, 2013, Supreme Court, New York County granted the petition, declared the Portion Cap Rule invalid, and permanently enjoined respondents from implementing or enforcing it. Supreme Court addressed two arguments raised by petitioners—first, whether the Board of Health had exceeded its regulatory authority “and impermissibly trespassed on legislative jurisdiction” (2013 NY Slip Op 30609[U], *11 [Sup Ct, NY County 2013]) and second, whether the Portion Cap Rule is “arbitrary and capricious” (*id.* at *35). The court ruled in favor of petitioners on both contentions.

With respect to the first issue, the court surveyed the history of the New York City Charter and reached the conclusion that the elective New York City Council is the sole legislative body in the City, rejecting respondents’ contention that the Board of Health has inherent law-making authority. Supreme Court applied our decision in *Boreali v Axelrod* (71 NY2d 1 [1987]), in which we held that the New York State Public Health Council overstepped its regulatory authority when it adopted regulations prohibiting smoking in a wide variety of indoor areas open to the public that had previously been considered, but not adopted, by the state legislature. Supreme Court addressed the four considerations that we had identified in *Boreali*, and concluded that each of those factors weighed in favor of invalidating the Portion Cap Rule (*see* 2013 NY Slip Op 30609[U] at *11-34). Finally, Supreme Court found the Portion Cap Rule arbitrary and capricious, noting that “it applies to some but not all food establishments in the City, [and] it excludes other beverages that have significantly higher concentrations of sugar sweeteners and/or calories” (2013 NY Slip Op 30609[U] at *35).

The Appellate Division unanimously affirmed Supreme Court's order, also rejecting the contention that the Board has inherent legislative power, and holding that "under the principles set forth in *Boreali*, the Board of Health overstepped the boundaries of its lawfully delegated authority when it promulgated the Portion Cap Rule to curtail the consumption of soda drinks. It therefore violated the state principle of separation of powers" (110 AD3d 1, 16 [1st Dept 2013]). The Appellate Division did not reach the issue of whether the Portion Cap Rule is arbitrary and capricious.

With respect to the first *Boreali* factor, relating to whether the agency engaged in the balancing of competing concerns of public health and economic cost, thus acting on its own idea of sound public policy, the Appellate Division reasoned that the Board did not act solely with a view toward public health considerations but engaged in policymaking when it adopted the Portion Cap Rule. The court observed that the Portion Cap Rule is "especially suited for legislative determination as it involves 'difficult social problems,' which must be resolved by 'making choices among competing ends' " (110 AD3d at 11, quoting *Boreali*, 71 NY2d at 13).

With regard to the second *Boreali* factor, whether the agency created its own comprehensive set of rules without benefit of legislative guidance, the Appellate Division concluded that the Board illicitly created the Portion Cap Rule on a "clean slate," and was not merely conducting permissible interstitial rulemaking. The court noted that "the Board of Health does not dispute that neither the state legislature nor the City Council has ever promulgated a statute defining a policy with respect to excessive soda consumption" (*id.* at 13).

Turning to the third *Boreali* factor, which relates to whether the challenged rule governs an area in which the legislature has repeatedly tried to reach agreement in the face of substantial public debate and vigorous lobbying by interested factions, the Appellate Division noted that

"[o]ver the past few years, both the City and State legislatures have attempted, albeit unsuccessfully, to target sugar sweetened beverages. For instance, the City Council has rejected several resolutions targeting sugar sweetened beverages (warning labels, prohibiting food stamp use for purchase, and taxes on such beverages). Moreover, the State Assembly

introduced, but has not passed, bills prohibiting the sale of sugary drinks on government property and prohibiting stores with 10 or more employees from displaying candy or sugary drinks at the check out counter or aisle. While the Portion Cap Rule employs different means of targeting the sale of certain beverages than those considered by the legislative bodies, it pursues the same end, and thus addresses the same policy areas as the proposals rejected by the State and City legislatures. This is a strong indication that the legislature remains unsure of how best to approach the issue of excessive sugary beverage consumption.” (*Id.* at 14-15 [footnotes and internal quotation marks omitted].)

Finally, with respect to the fourth *Boreali* factor, whether the development of the rule required expertise in the field of health, the Appellate Division concluded that the Board had not “exercised any special expertise or technical competence in developing the Portion Cap Rule” (110 AD3d at 15).

We granted respondents leave to appeal (22 NY3d 853 [2013]). Subsequently, we accepted amicus briefs from a number of not-for-profit organizations, research and policy centers, and professors of law, as well as 32 individual members of the New York City Council and the New York City Public Advocate. The quantity of these submissions is an indication of the interest of the subject to diverse persons, and the briefs have been of considerable assistance to us in our deliberations. We now affirm the Appellate Division’s order.

III.

First, we address respondents’ claim that the Board, having been created by the state legislature, has legislative powers separate and apart from the City Council. The City Charter unequivocally provides for distinct legislative and executive branches of New York City government. The City Council is the sole legislative branch of City government; it is “*the* legislative body of the city. . . . vested with the legislative power of the city” (NY City Charter § 21 [emphasis added]; *accord Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344, 356 [1985]; *Subcontractors Trade Assn. v Koch*, 62 NY2d 422, 427 [1984]). The New York State Constitution mandates that, with an exception not applicable here, “[e]very local government . . . shall have a legislative body elective by

the people thereof” (NY Const, art IX, § 1 [a]; *see also* Municipal Home Rule Law § 2 [7]), and that elective body in New York City is the City Council.¹

[1] Respondents, however, contend that the Board of Health is a unique body that has inherent legislative authority. We disagree. The provision of the City Charter principally cited by respondents—setting out the authority of the Board to “add to and alter, amend or repeal any part of the health code, . . . [to] publish additional provisions for security of life and health in the city and [to] confer additional powers on the [Department of Health and Mental Hygiene] not inconsistent with the constitution, laws of this state or this charter” (NY City Charter § 558 [b])—reflects only a regulatory mandate, not legislative authority. It is true that the Board “may embrace in the health code all matters and subjects to which the power and authority of the [Department of Health and Mental Hygiene] extends” (NY City Charter § 558 [c]) and that the Charter refers to the Board’s supervision over “the reporting and control of communicable and chronic diseases and conditions hazardous to life and health” and “the abatement of nuisances affecting or likely to affect the public health” (NY City Charter § 556 [c] [2]; *see also* § 556 [c] [9] [referring to Board’s authority to “supervise and regulate the food and drug supply of the city and other businesses and activities affecting public health in the city”]). Nonetheless, the Charter contains no suggestion that the Board of Health has the authority to create laws. While the Charter empowers the City Council “to adopt local laws . . . for the preservation of the public health, comfort, peace and prosperity of the city and its inhabitants” (NY City Charter § 28 [a]), the Charter restricts the Board’s rulemaking to the publication of a health code, an entirely different endeavor.

Moreover, the language in section 558 (c) of the Charter—describing the Board’s purview as comprising “all matters and subjects” within the authority of the Department of Health and

1. We are aware that historically the City Council once shared legislative functions with the body known as the Board of Estimate, notwithstanding the language of the Charter (*see generally Board of Estimate of City of New York v Morris*, 489 US 688 [1989] [declaring the voting system of the Board of Estimate unconstitutional]). In November 1989, however, the voters of New York City approved changes to the Charter that eliminated the Board of Estimate, thus making the City Council “the sole legislative body of the City” (Frederick A. O. Schwarz, Jr. & Eric Lane, *The Policy and Politics of Charter Making: The Story of New York City’s 1989 Charter*, 42 NYL Sch L Rev 723, 828 [1998]).

Mental Hygiene—was included in 1979 to preclude the Board from attempting to regulate areas not related to health. At that time, the City’s Committee on Health became concerned that “[r]egulations passed by the Board of Health may be overly broad and so invade the [province] of the City Council’s legislative authority” (Rep of Comm on Health in Favor of Approving and Adopting a Local Law to Amend the New York City Charter in relation to Defining Powers of Board of Health, Local Law Bill Jacket, Local Law No. 5 [1979] of City of NY). The Committee proposed a bill to clarify the Board’s authority, which was passed by the City Council in February 1979 and approved by the Mayor the following month (Local Law No. 5 [1979] of City of NY, amending NY City Charter § 558 [c]). Far from indicating a wide legislative jurisdiction, as respondents contend, section 558 (c) was intended to ensure that the Board of Health not regulate too broadly.

Respondents offer no practical solution to the difficulties that would arise from treating the Board and the City Council as coequal legislative bodies. On respondents’ theory, it is unclear what the law in New York City would be were the Board to pass a health “law” that directly conflicted with a local law of the City Council. It is no solution to this difficulty that the state legislature could step in to resolve such a conflict. In short, it is clear from the Charter that the Board’s authority, like that of any other administrative agency, is restricted to promulgating “rules necessary to carry out the powers and duties delegated to it by or pursuant to federal, state or local law” (NY City Charter § 1043 [a]). A rule has the force of law, but it is not a law; rather, it “implements or applies law or policy” (NY City Charter § 1041 [5] [i]).

Respondents point out our passing references to the Board’s “legislative authority” in *Grossman v Baumgartner* (17 NY2d 345, 351 [1966] [upholding Board’s former rule prohibiting tattooing by non-physicians]) and in a footnote in *Matter of Schulman v New York City Health & Hosps. Corp.* (38 NY2d 234, 237 n 1 [1975]). A more accurate description is found in the words we used to describe the Board’s rule earlier in the *Grossman* opinion: “an administrative regulation which is legislative in nature” (17 NY2d at 349).

Another of our cases cited by respondents, *People v Blanchard* (288 NY 145 [1942]), held that the Board may make it an offense to keep “unwholesome poultry” and a defendant may be convicted of a misdemeanor for violating that Sanitary Code

regulation. But *Blanchard* stands for the proposition that, even though the Board does *not* possess “substantive law-making power” (*id.* at 147) and “has not been licensed to define any criminal offense” (*id.* at 148), it may pass a regulation with criminal consequences because “it is the city charter . . . and the Penal Law . . . that make any violation of the Sanitary Code a misdemeanor” (*id.*). *Blanchard* emphasizes the Board’s regulatory, as opposed to law-making, capacity.

IV.

Given our position that the Board’s role is regulation, not legislation,² the next issue raised in this appeal is whether the Board properly exercised its regulatory authority in adopting the Portion Cap Rule. The parties and the lower courts correctly analyze this question by using the conceptual framework of *Boreali*. Because a doctrine of “separation of powers [is] delineated in the City Charter” (*Under 21, Catholic Home Bur. for Dependent Children*, 65 NY2d at 353; *see also id.* at 356), *Boreali* provides the appropriate framework.

Boreali sets out four “coalescing circumstances” present in that case that convinced the Court “that the difficult-to-define line between administrative rule-making and legislative policy-making ha[d] been transgressed.” (*Boreali*, 71 NY2d at 11.) We explained that “[w]hile none of these circumstances, standing alone, is sufficient to warrant the conclusion that the [Public Health Council] has usurped the Legislature’s prerogative, all of these circumstances, when viewed in combination, paint a portrait of an agency that has improperly assumed for itself the open-ended discretion to choose ends” that is the “prerogative[] of [a] Legislature” (*id.* at 11, 18 [internal quotation marks and square brackets omitted]).

As the term “coalescing circumstances” suggests, we do not regard the four circumstances as discrete, necessary conditions that define improper policymaking by an agency, nor as criteria that should be rigidly applied in every case in which an agency is accused of crossing the line into legislative territory. Rather we treat the circumstances as overlapping, closely related factors that, taken together, support the conclusion that an agency

2. It appears that the dissenting Judges do not disagree. Notably, the dissent, at the conclusion of a survey of legislative history and case law touching on the Board’s powers, concludes *not* that the Board’s authority is legislative, but that it is “at least ‘nearly legislative’ ” (dissenting op at 709; *see also id.* at 710 [referring to the Board’s “authority to regulate” and its “regulations”]).

has crossed that line. Consequently, respondents may not counter petitioners' argument merely by showing that one *Boreali* factor does not obtain.

Any *Boreali* analysis should center on the theme that "it is the province of the people's elected representatives, rather than appointed administrators, to resolve difficult social problems by making choices among competing ends" (71 NY2d at 13). The focus must be on whether the challenged regulation attempts to resolve difficult social problems in this manner. That task, policymaking, is reserved to the legislative branch.

V.

In *Boreali*, the Court initially pointed out that the Public Health Council's scheme for protecting nonsmokers indicated its "effort to weigh the goal of promoting health against its social cost and to reach a suitable compromise." We took this to violate the principle that "[s]triking the proper balance among health concerns, cost and privacy interests . . . is a uniquely legislative function" (*Boreali*, 71 NY2d at 12). We reasoned that "to the extent that the agency has built a regulatory scheme on its own conclusions about the appropriate balance of trade-offs between health and cost to particular industries in the private sector, it was acting solely on its own ideas of sound public policy and was therefore operating outside of its proper sphere of authority" (*id.* [internal quotation marks and square brackets omitted]). Here, similarly, the Appellate Division noted that the Board of Health included exemptions and other indicators of political compromise in its Portion Cap Rule, notably the exclusion of food service establishments subject to the State Department of Agriculture and Markets. The Appellate Division interpreted this as evidence that the Board was engaged in policymaking, rather than simply in protecting the health of New York City residents.

However, the promulgation of regulations necessarily involves an analysis of societal costs and benefits. Indeed, cost-benefit analysis is the essence of reasonable regulation; if an agency adopted a particular rule without first considering whether its benefits justify its societal costs, it would be acting irrationally. We stated as much in *Boreali*, noting that "many regulatory decisions involve weighing economic and social concerns against the specific values that the regulatory agency is mandated to promote" (*Boreali*, 71 NY2d at 12). Therefore, *Boreali* should not be interpreted to prohibit an agency from attempting to

balance costs and benefits.³ Rather, the *Boreali* court found that the Public Health Council had “not been given any legislative guidelines at all for determining how the competing concerns of public health and economic cost are to be weighed” (*id.*).

[2] Here, instead of an outright ban on sugary beverages, the Board decided to reduce their consumption by the expedient of limiting maximum container size, thus making it less convenient for consumers to exceed recommended limits. The more cautious approach, however, does not save the Portion Cap Rule. By restricting portions, the Board necessarily chose between ends, including public health, the economic consequences associated with restricting profits by beverage companies and vendors, tax implications for small business owners, and personal autonomy with respect to the choices of New York City residents concerning what they consume. Most obviously, the Portion Cap Rule embodied a compromise that attempted to promote a healthy diet without significantly affecting the beverage industry. This necessarily implied a relative valuing of health considerations and economic ends, just as a complete prohibition of sugary beverages would have. Moreover, it involved more than simply balancing costs and benefits according to preexisting guidelines; the value judgments entailed difficult and complex choices between broad policy goals—choices reserved to the legislative branch.

Significantly, the Portion Cap Rule also evidenced a policy choice relating to the question of the extent to which government may legitimately influence citizens’ decision-making. In deciding to use an indirect method—making it inconvenient, but not impossible, to purchase more than 16 fluid ounces of a sugary beverage while dining at a food service establishment—the Board of Health rejected alternative approaches, ranging from instruction (i.e. health warnings on large containers or near vending machines) to outright prohibition. This preference for an indirect means of achieving compliance with goals of healthier intake of sugary beverages was itself a policy choice, relating to the degree of autonomy a government permits its citizens to exercise and the ways in which it might seek to modify their behavior indirectly.

3. Even assuming, for the sake of argument, that the Board’s exemption of food service establishments subject to the Department of Agriculture and Markets was a matter of choice rather than necessity, the limited scope of the Portion Cap Rule would not in itself demonstrate that it amounted to policy-making.

By choosing between public policy ends in these ways, the Board of Health engaged in law-making beyond its regulatory authority, under the first *Boreali* factor. Notably, such policy-making would likely not be implicated in situations where the Board regulates by means of posted warnings (e.g. calorie content on menus) or by means of an outright ban of a toxic substance (e.g. lead paint). In such cases, it could be argued that personal autonomy issues related to the regulation are nonexistent and the economic costs either minimal or clearly outweighed by the benefits to society, so that no policymaking in the *Boreali* sense is involved.

To apply the distinction between policymaking and rulemaking, a court is thus required to differentiate between levels of difficulty and complexity in the agency's task of weighing competing values. For example, when an agency regulates the purity of drinking water, or prohibits the use of interior lead paint, or requires guards in the windows of high-rise apartments housing children, it chooses among ends (e.g. a landowner's convenience and short-term profit versus the safety, health and well-being of tenants), but the choices are not very difficult or complex. This is because the connection of the regulation with the preservation of health and safety is very direct, there is minimal interference with the personal autonomy of those whose health is being protected, and value judgments concerning the underlying ends are widely shared.

By contrast, when an agency in our present time either prohibits the consumption of sugary beverages altogether or discourages it by regulating the size of the containers in which the drinks are served, its choices raise difficult, intricate and controversial issues of social policy. Few people would wish to risk the physical safety of their children who play near high-rise apartment windows for the sake of unobstructed views. However, the number of people who overindulge in sugary drinks, at a risk to their health, is clearly significant. An agency that adopts a regulation, such as the Portion Cap Rule or an outright prohibition of sugary beverages, that interferes with commonplace daily activities preferred by large numbers of people must necessarily wrestle with complex value judgments concerning personal autonomy and economics. That is policymaking, not rulemaking.

VI.

With respect to the second *Boreali* factor, respondents are unable to point to any legislation concerning the consumption of

sugary beverages by the state legislature or City Council that the Portion Cap Rule was designed to supplement. Although “[t]he Legislature is not required in its enactments to supply agencies with rigid marching orders” and the legislative branch may, while declaring “its policy in general terms by statute, endow administrative agencies with the power and flexibility to fill in details and interstices and to make subsidiary policy choices consistent with the enabling legislation” (*Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398, 410 [1991]), the policy choices made here were far from “subsidiary.” Devising an entirely new rule that significantly changes the manner in which sugary beverages are provided to customers at eating establishments is not an auxiliary selection of means to an end; it reflects a new policy choice. In short, this is not a case in which “the basic policy decisions underlying the [challenged] regulations have been made and articulated by the Legislature” (*Bourquin v Cuomo*, 85 NY2d 781, 785 [1995], quoting *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340, 348 [1991]).

Therefore, it is clear that the Board of Health wrote the Portion Cap Rule without benefit of legislative guidance, and did not simply fill in details guided by independent legislation. Because there was no legislative articulation of health policy goals associated with consumption of sugary beverages upon which to ground the Portion Cap Rule, the application of the second *Boreali* factor generates the same conclusion as the first factor: the adoption of the rule involved the choosing of ends, or policymaking.

VII.

With regard to the third *Boreali* factor, little needs to be added to the Appellate Division’s analysis. We again caution, however, that the *Boreali* factors do not constitute rigid conditions, all of which must be met in order for petitioners to prevail. Here, inaction on the part of the state legislature and City Council, in the face of plentiful opportunity to act if so desired, simply constitutes additional evidence that the Board’s adoption of the Portion Cap Rule amounted to making new policy, rather than carrying out preexisting legislative policy.

In light of *Boreali*’s central theme that an administrative agency exceeds its authority when it makes difficult choices between public policy ends, rather than finds means to an end chosen by the legislature, we need not, in this appeal, address

the fourth *Boreali* factor: whether special expertise or technical competence was involved in the development of the rule. We do not mean to imply that the fourth factor will always lack significance. A court might be alerted to the broad, policy-making intent of a regulation, and the absence of any perceived need for agency expertise, by the fact that the rule was adopted with very little technical discussion. Here, regardless of who or which arm of government first proposed or drafted the Portion Cap Rule, and regardless of whether the Board exercised its considerable professional expertise or merely rubber-stamped a rule drafted outside the agency, the Portion Cap Rule is invalid under *Boreali*.

VIII.

In sum, the New York City Board of Health exceeded the scope of its regulatory authority by adopting the Portion Cap Rule. Supreme Court properly declared the rule invalid and enjoined its implementation.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

ABDUS-SALAAM, J. (concurring). The majority appropriately employs a flexible case-specific analysis of the New York City Board of Health's authority and correctly concludes that when the Board issued the peculiar "Sugary Drinks Portion Cap Rule," it exercised a power which no legislative body has delegated to it (*see generally* majority op at 690, 696-701). Because I agree with the core rationale and result of the majority's opinion, I join that opinion in full. I write separately to emphasize the carefully circumscribed nature of the Court's decision.

Importantly, in concluding that the Board exceeded the bounds of its health-related regulatory authority, the majority does not give dispositive effect to any single aspect of the Board's conduct (*see* majority op at 696-697). As I see it, the majority determines that the Board improperly engaged in law-making based on the unique combination of the following characteristics of the portion cap rule: (1) the rule sets a broadly applicable policy affecting a large portion of the jurisdiction's (New York City's) population; (2) the rule involves a value judgment about voluntary consumer behavior; (3) the rule addresses a field of potential regulation that relevant legislative bodies have considered but not acted upon; and (4) the rule does not respond to a clearly identified, widespread health crisis which

has a simple, well-understood and agreed-upon cause, such as an infectious disease. In finding that these factors render the portion cap rule an impermissible political and legislative enactment, I do not understand the majority to establish any rigid decisional framework to be applied mechanically to other actions undertaken by the Board or separate administrative agencies in the future.

Contrary to the dissent's assertions (*see* dissenting op at 702, 707-714), our decision does not signal any significant departure from existing precedent regarding administrative law in general or the scope of the Board's authority in particular. As my colleagues in the majority and I explain (*see* majority op at 694-696), we have no quarrel with much of the dissent's historical analysis of the Board's authority or past decisions which have taken an expansive view of that authority in particular contexts. Indeed, no one should read today's decision too broadly. We simply conclude that, under the circumstances of this case, the Board ran afoul of separation of powers principles by creating the portion cap rule.

READ, J. (dissenting). In *Boreali v Axelrod* (71 NY2d 1 [1987]), we invalidated a regulation on indoor smoking promulgated by a state health agency on the ground that it was an exercise of legislative rather than regulatory authority, and was therefore a violation of the separation-of-powers doctrine. Today the Court again declares that a controversial regulation runs afoul of separation of powers. In so doing, the majority misapprehends, mischaracterizes and thereby curtails the powers of the New York City Board of Health to address the public health threats of the early 21st century. Neither *Boreali* nor any other doctrine in our jurisprudence compels this unhappy result. I respectfully dissent.

I.

During his third mayoral term, New York City Mayor Michael Bloomberg made the fight against obesity, especially among children, a top priority for his administration. The skills and powers of many New York City agencies were brought to bear, including the New York City Departments of Education, Transportation, Parks and City Planning. The most active agency, though, was the New York City Department of Health and Mental Hygiene (the Department), which initiated and

worked on a host of public health programs aimed at improving the nutrition and physical fitness of New York City residents (*see generally Reversing the Epidemic: New York City Obesity Task Force Plan to Prevent and Control Obesity* [May 2012]).

In June 2012, the Department proposed a rule to the New York City Board of Health (hereafter, generally referred to as the Board) for inclusion in New York City's Health Code. That rule, which the Board calls "the Portion Cap Rule" and petitioners, "the Soda Ban" (hereafter, generally referred to as the Rule), set a ceiling on the serving size of certain kinds of sugary drinks in food service establishments historically regulated by the Department (*see* NY City Health Code [24 RCNY] § 81.53). Other kinds of drinks and establishments were excepted from the regulation's coverage (*see id.*).

In July 2012, the Board held a public hearing on the proposed rule and received voluminous public comments. After considering these comments, the Board voted unanimously to approve the Rule as proposed by the Department, and it was added to the Health Code in September 2012. Petitioners' lawsuit followed one month later. They argued that the Board had acted beyond its delegated power in adopting the Rule, and asked the court to restrain the Board from enforcing the Rule on the ground it was *ultra vires*; to declare that the delegation of power to the Board in the New York City Charter (the City Charter) violated article IX, § 1 (a) of the New York State Constitution, which provides that every local government "shall have a legislative body elective by the people thereof," to the extent that the City Charter authorized the Board to adopt the Rule; or to restrain the Board on the basis it had acted arbitrarily and capriciously in adopting the Rule.

As an initial matter, correct resolution of this appeal depends upon an accurate understanding of the source and extent of the Board's authority. Petitioners take the position that the Board's power is delegated by the New York City Council (the Council) under the City Charter. Similarly, Supreme Court examined the City Charter's history to conclude that the Board has always been a city administrative body, chiefly concerned with infectious disease and harmful substances. The Appellate Division appears to have accepted this conclusion, chiding the Board for not declaring sugary drinks "inherently unhealthy" before regulating them (110 AD3d 1, 11 [2013]). And now the majority chimes in that the Board derives its authority "like that of any other administrative agency" from the City Charter, and faults

the Board for presuming to analogize its unique powers to those of a legislative body (*see* majority op at 695).

But the history of the City's approaches to the challenges of public health supports the Board's portrayal of its authority. As the Board points out, whether those powers are "*characterized* as legislative or regulatory in nature" is somewhat beside the point because, in either event, its "authority is broad, and its special structure allows serious issues of public health to be addressed" expeditiously (emphasis added). As discussed in detail in this opinion, the Board's powers to enact substantive rules and standards in the area of public health derive from state—not local—law. Thus, the Board is not required to stay its hand absent authorization from the Council to regulate sugary drinks. The only question on this appeal *should* be whether the Board, in adopting the Rule, acted reasonably within the bounds of its state-delegated powers.

II.

Historical Overview

The earliest public health regulations in New York City (the City) focused on the quarantine and inspection of ships attempting to call at the harbor. State statutes provided for this process in some detail, and empowered the governor or the mayor to give the green light to waiting vessels (*see e.g.* L 1784, ch 57; L 1794, ch 53). In 1796, the New York State Legislature shifted these powers to an appointed "health officer" and appointed "health commissioners," and also directed physicians to begin reporting cases of infectious disease to these officials (*see* L 1796, ch 38). The legislature also provided that the mayor and the common council could make "bye-laws" for clearing and filling streets or lots, and for removing noxious or dangerous industries or businesses to protect the public health (*see id.*). In short order the power to make these "bye-laws" was moved by state statute to the appointed health officials (*see* L 1798, ch 65).

The term "board of health" first appears in state statutes in 1811 (*see* L 1811, ch 175). Throughout the first half of the 19th century, the New York State Legislature passed detailed laws expanding the procedures and powers of this predecessor of the modern-day Board, including the regulation of certain products within city limits, such as animal hides and cotton (*see e.g.* L 1820, ch 229; L 1823, ch 71, § 39). In addition to specific directives, the

legislature also included broad grants of power to regulate public health generally; for example, authorizing all existing boards of health “[t]o make regulations, in their discretion, concerning the place and mode of quarantine; . . . and all such other regulations as they shall think necessary and proper for the preservation of the public health” (L 1832, ch 333, § 5 [4]).

Then followed a brief period where public health regulation was entrusted to elected officials. In 1850, the legislature directed that the Board would consist not of appointees, but of the mayor and the members of the common council, who would sit as the Board and would assume all responsibilities previously entrusted to that body (*see* L 1850, ch 275). This experiment was short-lived: the legislature returned the Board’s composition to a group of appointed experts in 1866, this time to sit as the head of the newly-minted Metropolitan Sanitation District, which included the counties of New York, Kings, Westchester, and Richmond.

The enabling statute’s text leaves no doubt about the separate authority vested in the Board, stating that

“said board shall also possess . . . throughout said district, all the power and authority for the protection of life or health, or the care or preservation of health, or persons diseased or threatened therewith, conferred by any law or ordinance . . . upon the Mayor, Common Council, Board of Health, or the Health Officers . . . All the aforesaid powers are to be possessed and exercised as fully as if herein repeated and separately conferred upon said Board” (L 1866, ch 74, § 12).

The statute also explicitly empowered the Board to “enact such by-laws, rules and regulations as it may deem advisable, in harmony with the provisions and purposes of this act” (L 1866, ch 74, § 20). Although the Metropolitan Sanitation District itself was also short-lived—and ahead of its time—the fundamental structure established by the 1866 statutes has largely endured.

In 1870, the District was disbanded and its powers (at least in the City) were transferred wholesale to the new Department of Health, with, again, the Board at its core (*see* L 1870, ch 137, § 90; L 1870, ch 383, § 26). In 1873, the “by-laws, rules and regulations” mentioned in 1866 were given a formal title, the “Sanitary Code,” and the Board was, again, vested by the state legislature with the sole power to amend and modify these rules

(see L 1873, ch 335, § 82). Throughout the remaining decades of the 19th century, the legislature repeatedly expanded and re-affirmed the Board's powers and independence in the City (see e.g. L 1883, ch 430; L 1882, ch 410, § 278; L 1874, ch 636).

Consistent with the state legislature's actions, we took an expansive view of the Board's powers throughout this period. In *Metropolitan Bd. of Health v Heister* (37 NY 661 [1868]), we heard four consolidated cases in which the defendants argued that the Board was without power to pass ordinances regulating the driving and slaughtering of cattle within city limits, or to hold summary adjudications penalizing violations of these rules (*id.* at 665). The legislature had given no direction to the Board concerning livestock regulations in the 1866 statute, although it had supplied extensive instructions on other matters. Nevertheless, after an examination of statutory history, we concluded that

“[t]hese acts show that, from the earliest organization of the government, the absolute control over persons and property, so far as the public health was concerned, was vested in boards or officers, who exercised a summary jurisdiction over the subject, and who were not bound to wait the slow course of the law, and that juries had never been used in this class of cases. The governor, the mayor, health officers under various names, were the persons intrusted with the execution of this important public function; and they were always empowered to act in a summary manner” (*Heister* at 670; see also *Polinsky v People*, 73 NY 65, 69-70 [1878] [“That the Legislature in the exercise of its constitutional authority may lawfully confer on boards of health the power to enact sanitary ordinances, having the force of law within the districts over which their jurisdiction extends, is not an open question. This power has been repeatedly recognized and affirmed”]).

The consolidation of various municipalities into the New York City we know today began in 1897 with passage of the first Greater New York City Charter (see L 1897, ch 378). That charter established a statutory framework for the Board that is notably similar to both the reforms of 1866 and the current City Charter. It provided for a department of health, with a board of appointed officers as its head (see 1897 City Charter § 1167); it

then specified the powers and duties of each, first in broad terms, stating as follows:

“All the authority, duty and powers heretofore conferred or enjoined upon the health departments, boards of health, health and sanitary officers . . . in any of the territory now within or hereafter to become a part of The City of New York . . . are hereby conferred upon and vested in and enjoined upon, and shall hereafter be exclusively exercised in The City of New York by the department of health, and board of health, created by this act” (1897 City Charter § 1168).¹

As the preceding discussion demonstrates, by the dawn of the 20th century, the legislature and the courts had long understood that these consolidated powers were broad in scope, and—importantly for this appeal—that the Board could act *independently* within its mandate from the legislature. Further reinforcing this interpretation is the language enabling the Board to create, amend and enforce the Sanitary Code; specifically,

“[s]aid board of health is hereby authorized and empowered, from time to time, to add to or to alter, amend or annul any part of the said sanitary code . . . The board of health may embrace therein all matters and subjects to which, and so far as, the power and authority of said department of health extends, not limiting their application to the subject of health only” (1897 City Charter § 1172).

This language continued through decades of consolidations and amendments of the City Charter, renaming of departments and renumbering of charter provisions (*see e.g.* 1901 City Charter §§ 1168, 1172; 1938 City Charter §§ 556, 558 [b], [c], [f]; 1961 City Charter §§ 556, 558 [b], [c], [f]).

Our interpretation of these provisions remained constant. We repeatedly affirmed the broad nature of the powers vested in and duties conferred upon the Board by the New York State Legislature (*see e.g. People v Blanchard*, 288 NY 145, 147 [1942] [The Sanitary Code (now the Health Code) may, therefore, “be taken to be a body of administrative provisions sanctioned by a

1. As a point of comparison, note the language empowering the Commissioner of Health in the City of Brooklyn’s 1888 Charter: “Said health commissioner shall have power to act in a legislative capacity in regard to all matters pertaining to public health” (L 1888, ch 583, tit XII, § 2).

time-honored exception to the principle that there is to be no transfer of the authority of the Legislature”]; *Matter of Bakers Mut. Ins. Co. of N.Y. [Department of Health of City of N.Y.]*, 301 NY 21, 27 [1950] [the legislature has specified that “(t)he Sanitary Code of the City of New York (now the Health Code) is to have within that city the force and effect of State law”]; *Matter of Schulman v New York City Health & Hosps. Corp.*, 38 NY2d 234, 237 n 1 [1975] [“(T)he Board of Health has been recognized by the Legislature as the sole legislative authority in the field of health regulation in the City of New York” (emphasis added)]). As the Board points out in its briefing here, we have often characterized its powers as “legislative” (see e.g. *Grossman v Baumgartner*, 17 NY2d 345, 351 [1966] [“The deduction is clear from section 558 of the City Charter—which empowers the Board of Health to legislate in the field of health generally, including the control of communicable diseases . . . that the Legislature intended the Board of Health to be the sole legislative authority within the City of New York in the field of health regulations as long as those regulations were not inconsistent with or contrary to State laws dealing with the same subject matter” (emphases added)]), and “well-nigh plenary” (see *People ex rel. Knoblauch v Warden*, 216 NY 154, 162 [1915]; see also *Paduano v City of New York*, 45 Misc 2d 718, 721 [Sup Ct, NY County 1965], *affd on op below* 24 AD2d 437 [1st Dept 1965], *affd* 17 NY2d 875 [1966], *cert denied* 385 US 1026 [1967] [lower court cited to and quoted from the Report of the 1936 New York City Charter Revision Commission (at 38), which stated that “(b)y its power to adopt a sanitary code the Board has plenary powers of legislation” (emphasis added)]).

Petitioners’ Contentions

This review of statutes and cases puts paid to petitioners’ key contentions. First, Supreme Court’s interpretation of the Board’s power was much too narrow. It is true that the statutes empowering the Board have listed specific areas of responsibility, particularly with regard to communicable diseases, as they do today. But the most historically consistent reading of this fact is that the legislature has entrusted the Board to act with a great deal of discretion, while also ensuring that it will address specified areas of concern, and has provided procedures for doing so. That the residents of New York City no longer count typhoid and dysentery among their chief health concerns is a sign that those scourges have been conquered, not a ground for

preventing the Board from turning its attention to contemporary public health threats.

Second, petitioners insist that the expansive language that our opinions have used to describe the Board's power was "stray" or "imprecise"; the majority dismisses our depiction of the Board's powers in *Grossman* and *Schulman* as mere "passing references" (majority op at 695). But it is impossible to wish away the large body of case law in which we have repeatedly described the source of the Board's delegated authority (the New York State Legislature) and its extent (as broad as it needs to be to protect public health). While it may sound odd in the context of modern-day administrative law to call an agency's authority "legislative," the Board's authority is quite clearly at least "nearly legislative." Our many statements to this effect simply recognized what the state legislature has expressed through nearly two centuries of consistent statutes.

Turning to more recent history, petitioners argue that the significant amendments to the home rule regime enacted in 1964 have somehow altered the Board's fundamental authority. In particular, they point out that under these statutes, local legislatures can pass laws relating to the "safety, health and well-being of persons" within their jurisdiction (*see* Municipal Home Rule Law § 10 [1] [ii] [a] [12]), and that this local power is not explicitly restricted (*see* Municipal Home Rule Law § 11 [preempting local laws relating to certain topics such as education and labor]). But the Municipal Home Rule Law's savings clauses explicitly preserve the power of any existing "board, body or officer," and continue the force and effectiveness of any existing laws "until lawfully repealed, amended, modified or superseded" (Municipal Home Rule Law §§ 50 [3]; 56 [1]).

Finally, petitioners contend that reforms to the Charter in 1989 stripped the Board of independent authority, even in its traditional realm; the majority seems to agree (*see* majority op at 694 n 1). The 1989 revisions to the Charter eliminated the former Board of Estimate from city governance and established the City Administrative Procedure Act. Petitioners theorize that because these revisions put such emphasis on the principle that the Council is the City's sole legislative authority, the Board perforce operates under a delegation from the Council. This, of course, is an argument by implication, as it does not—because it cannot—rely on any express statement of law.

The 1989 revisions were concerned with the particular problems presented by the former Board of Estimate, and a lack

of minority representation in the Council (*see* Final Rep of NY City Charter Revision Commn, Jan. 1989—Nov. 1989 at 1 [1990] [hereinafter Revision Report]). The Board of Estimate was a body composed of the mayor, the city comptroller, the council president and the five borough presidents, and had been a part of city governance since at least the turn of the century (*see* 1897 City Charter § 226). By 1989 the Board of Estimate was responsible for the budget, land use, franchising and city agency contracting, giving it extensive power, particularly at the expense of the Council (Revision Report at 7). This was especially vexing for the City's substantial minority populations, which struggled to send representatives to the top positions that made up this powerful body (*see id.* at 8). In 1981, residents and voters in Brooklyn brought a lawsuit challenging the Board of Estimate as unconstitutional. They were ultimately successful in the United States Supreme Court, which struck down the charter provision constituting the Board of Estimate as a violation of the Fourteenth Amendment (*see Board of Estimate of City of New York v Morris*, 489 US 688, 690 [1989]).

Accordingly, the Charter Revision Commission focused its attention on whether to retain the Board of Estimate, and how to increase representation in city government. In the end, it recommended the dissolution of the Board of Estimate, an increase in Council districts from 35 to 51, and a reapportionment of the various powers the former body had once wielded (*see generally* Revision Report). Nowhere in this report, or in any of the amendments to the Charter approved by voter referendum in 1988, is there any reference to the Board or the Department. No doubt it is true, as petitioners and their supporting amici curiae assert, that the 1989 revisions wrought important changes in city governance. But in light of the Board's very clear history, it cannot be true that unrelated reforms to the Charter silently switched the Board's source of delegated powers from the state legislature to the Council.

In sum, review of the Board's history can lead to only one conclusion: its authority to regulate the public health in the City is delegated by the New York State Legislature, and its regulations have the force and effect of state law. The delegation granted by the state is and always has been very broad. Of course, nothing prevents the Council from passing public health legislation if it sees fit to do so. But in light of the Board's independent authority, delegated to it by the legislature, it is of no legal consequence that the Council has not affirmatively authorized Rule 81.53, or the regulation of sugary drinks in general.

And until controversy erupted over the Rule, the Board's independent authority in the sphere of public health was well understood. For example, on December 5, 2006 the Board adopted a rule banning the use of all but tiny amounts of artificial trans fat in restaurant cooking in the City, effective January 10, 2007 (*see* NY City Health Code [24 RCNY] § 81.08). The Council some months later adopted a local law, effective July 1, 2007, amending the City's Administrative Code to add provisions consistent with the Board's trans fat rule (Administrative Code of City of NY § 17-192). In short, rule 81.08 was effective in January 2007, although the Council had not authorized the regulation of trans fats at the time.

The majority essentially argues that it cannot be true that the Board may act independently of the Council in the area of public health because, otherwise, what would happen if “the Board . . . pass[ed] a health ‘law’ that directly conflicted with a local law of the City Council”? (Majority op at 695.) The answer is simple: if a regulation promulgated by the Board in the Health Code conflicts in some direct way with a local law, the Board's action trumps the Council's.² While my colleagues in the majority may be troubled by this state of affairs, it is not their proper role to change it. The elected state legislature granted the Board the powers that it exercises. If the electorate of the City of New York desires to divest the Board of authority to act independently of the Council in matters of public health, the appropriate and democratic response is amendment of the City Charter.

III.

Boreali

Much of the debate in this case has focused on our decision in *Boreali*. This opinion is viewed as having an outsized impact on New York law, in no small part because it suggests that we are one of the few jurisdictions with a “strong” non-delegation doctrine, at least in the eyes of some commentators (*see e.g.* Borchers & Markell, New York State Administrative Procedure and Practice § 5.3 at 143-145 [2d ed 26 West's NY Prac Series 1998]; David Super, *Against Flexibility*, 96 Cornell L Rev 1375, 1387 n 32 [2011]; Gary Greco, *Standards or Safeguards: A Survey of*

2. The same would be true, of course, if a direct conflict existed between a local law in the area of public health and some action taken by the state legislature or the New York State Department of Health. Preemption is not a novel concept.

the Delegation Doctrine in the States, 8 Admin LJ Am U 567, 581 [1994]). Several academic amici curiae have urged the Court to disavow *Boreali*, arguing that it puts a stranglehold on reasonable agency rulemaking. This should not be necessary, although it is important to understand *Boreali* properly, and to avoid applying its reasoning too rigidly.

First, the lower courts and the parties have approached the four “coalescing circumstances” that persuaded us in *Boreali* that the State Public Health Council had gone too far as though they are four prongs of a hard-and-fast test. They have marched through these four “*Boreali* factors,” run the facts of this appeal through each one, checked “pass” or “fail,” and tabulated the total. This is not what the decision mandates. While we referred to these four factors in some later cases (see *Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156, 169-170 [1993]; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340, 346 [1991]), we have never treated them as requirements, and, indeed, we have generally not addressed them *at all* in separation-of-powers analyses (see e.g. *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 864 [2003]; *Bourquin v Cuomo*, 85 NY2d 781, 787 [1995]; *Matter of Campaigna v Shaffer*, 73 NY2d 237, 243 [1989]). And in those cases where we have discussed the four *Boreali* factors, we have not hesitated to set aside certain of them as irrelevant in the context of the delegation then under review (see *Rent Stabilization Assn.*, 83 NY2d at 170 [disregarding legislature’s failure to act on a particular policy issue]; *Health Facilities Assn.*, 77 NY2d at 348 n 2 [same]).

The proper approach in any separation-of-powers analysis is therefore flexible and case-specific, addressing each agency or executive action in light of the relevant legislative delegation it invokes (see *Bourquin*, 85 NY2d at 784-785; *Clark v Cuomo*, 66 NY2d 185, 189 [1985]; *Matter of Levine v Whalen*, 39 NY2d 510, 515 [1976]). *Boreali* represents a situation where a particular agency had taken a particular action that, in view of its particular delegation, “usurped the Legislature’s prerogative” (*Boreali*, 71 NY2d at 11).

That is not the case here. The legislature has directed the Board to oversee and protect the public health of the City of New York by enacting rules in the Health Code. Those rules extend to all responsibilities within the competence of the Department, including “the preservation of human life,” “the care, promotion and protection of health,” the “control of

communicable and chronic diseases and conditions hazardous to life and health,” and “supervis[ion] and regulat[ion of] the food and drug supply of the city and other businesses and activities affecting public health in the city [to] ensure that such businesses and activities are conducted in a manner consistent with the public interest” (City Charter § 556 [a] [1]; [c] [2], [9]). This delegation is no less specific than the one we approved in *Matter of Levine v Whalen* (39 NY2d 510 [1976]), which permitted agency action under a statute whose declaration of purpose stated that

“[i]n order to provide for the protection and promotion of the health of the inhabitants of the state, pursuant to section three of article seventeen of the constitution, the department of health shall have the central, comprehensive responsibility for the development and administration of the state’s policy with respect to hospital and related services” (*id.* at 516).

Here, the Board identified a complicated threat to the health of city residents with many interrelated causes; i.e., obesity. As part of a wide-ranging effort to combat this threat, the Board focused on certain kinds of drinks sold in establishments over which the Department had sure jurisdiction. The Board considered several options for addressing the problem, and chose one after open public debate, calibrated to the severity of the threat and its most serious manifestations, and cognizant of the limits of its enforcement power and the feasibility of compliance. There can be little doubt that this was within the Board’s statutory delegation.

Nor is there any legal problem with the method the Board has chosen to protect the health of city residents; i.e., a rule that seeks to influence consumer choices by making some choices marginally less convenient than others. The Appellate Division admonishes the Board for crafting this type of rule without an explicit directive to do so, and appears to conclude that the Board would have acted properly if only it had completely banned all sugary drinks within the City’s borders. This is certainly not what *Boreali* commands, and neither is it good practice for administrative rulemaking. Safeguarding public health is a vast and complex responsibility, and any agency entrusted with this obligation must carefully consider what types of rules will best address its many disparate aspects.

The Majority's *Boreali* Analysis

The majority's *Boreali* analysis raises two questions. First, having rejected the Board's argument that its authority and delegated powers are conferred by the state legislature, not the Council, why is *Boreali* even relevant? After all, the basis for the separation-of-powers approach enunciated in *Boreali* is article III, § 1 of the New York State Constitution, specifying that "[t]he legislative power of this state shall be vested in the senate and assembly" (*Boreali*, 71 NY2d at 9). Simply put, this constitutional provision, by its very terms, does not apply to local governments.

The majority cites *Under 21, Catholic Home Bur. for Dependent Children v City of New York* (65 NY2d 344 [1985]). In *Under 21*—a case decided three years *before Boreali*—we held that Mayor Koch lacked authority to issue an executive order proscribing discrimination by city contractors on a ground not covered by any legislative enactment of the Council. But we recognized in *Under 21* that "the pattern of government established for New York City by the City Charter is not identical to that of . . . the State of New York" (*id.* at 356); and, as illustrated earlier, this is certainly true: the Board's powers are delegated by the state legislature, not its local legislative body, the Council. To my knowledge, before today we have never applied the *Boreali* separation-of-powers doctrine outside the context of state legislative delegations to state agencies under the state constitution. By extending *Boreali* to local governments by virtue of article IX, § 1 (a) of the constitution, the majority takes a big step without pausing to consider the consequences.

Second, the majority seemingly advocates a flexible approach to the four "coalescing circumstances" set out in *Boreali* (majority op at 696-697), in particular, acknowledging that "*Boreali* should not be interpreted to prohibit an agency from attempting to balance costs and benefits" (*id.* at 697-698). But then the majority instructs that a *Boreali* analysis should focus on distinguishing between policy ends and regulatory means, claiming that

"[b]y restricting portions, the Board necessarily chose between ends, including public health, the economic consequences associated with restricting profits by beverage companies and vendors, tax implications for small business owners, and personal

autonomy with respect to the choices of New York City residents concerning what they consume. Most obviously, the Portion Cap Rule embodied a compromise that attempted to promote a healthy diet without significantly affecting the beverage industry. *This necessarily implied a relative valuing of health considerations and economic ends*” (*id.* at 698 [emphasis added]).

I agree that this sort of balancing “necessarily implie[s] a relative valuing of” or making trade-offs between health and economic and other considerations and impacts. But then, that is how an agency carries out a cost-benefit analysis when deciding if and what sort of regulatory action to take. And what is inherently wrong with a regulation that seeks to “promote a healthy diet without significantly affecting the beverage industry”? Aren’t regulatory agencies *supposed* to take into account and reduce insofar as practicable any deleterious side effects of their rules on affected entities?³

There is no obvious reason why “economic consequences,” “tax implications for small business owners” and “personal autonomy” are “ends.” One could just as easily define the “ends” (as the Board did) to mean the protection of public health from risks associated with overconsumption of sugary drinks. Economic consequences, the effects on small business owners and personal autonomy are simply the kinds of factors the Board properly took into account when weighing the costs and benefits of different ways to achieve its public health “ends.”

3. Cost-benefit analysis has long been a staple of state and federal regulatory processes (*see e.g.* State Administrative Procedure Act § 202-a [1] [“In developing a rule, an agency shall, to the extent consistent with the objectives of applicable statutes, *consider utilizing approaches which are designed to avoid undue deleterious economic effects or overly burdensome impacts of the rule upon persons*” (emphasis added)]; Executive Order [Obama] No. 13563 of 2011 § 1 [b] [76 Fed Reg 3821 (2011)] [instructing agencies to “propose or adopt a regulation only upon a reasoned determination that its benefits justify its costs,” “tailor its regulations to impose the least burden on society, consistent with obtaining regulatory objectives,” and “select, in choosing among alternative regulatory approaches, those approaches that maximize net benefits”]; Executive Order [Clinton] No. 12866 of 1993 § 1 [a], [b] [5] [58 Fed Reg 51735 (1993)] [“In deciding whether and how to regulate, agencies should assess all costs and benefits of available regulatory alternatives,” and “design . . . regulations in the most cost-effective manner to achieve the regulatory objective”]).

In a similar vein, the majority goes on to add that

“[s]ignificantly, the Portion Cap Rule also evidenced a policy choice relating to the question of the extent to which government may legitimately influence citizens’ decision-making. In deciding to use an indirect method—making it inconvenient, but not impossible, to purchase more than 16 fluid ounces of a sugary beverage while dining at a food service establishment—the [Board] rejected alternative approaches, ranging from instruction (i.e. health warnings on large containers or near vending machines) to outright prohibition. This preference for an indirect means of achieving compliance with goals of healthier intake of sugary beverages was itself a policy choice, relating to the degree of autonomy a government permits its citizens to exercise and the ways in which it might seek to modify their behavior indirectly” (*id.* at 698).

But why is an “indirect means” of achieving an end (healthier intake) a forbidden policy choice? Making the healthier choice the simpler choice is one way to reduce overconsumption of sugary drinks, a category of products that has repeatedly been linked to weight gain, obesity and a variety of diseases. And the Board chose this means over other possible approaches as a way to tailor its regulations so as to impose the least burden on society—i.e., as the result of run-of-the-mine cost-benefit analysis.

With all due respect to my colleagues, their proposed ends-means test is virtually inscrutable and surely unworkable. It harks back to long discredited formalistic approaches to administrative law, which were seemingly objective but instead served as camouflage for enforcement of judicial preferences. In this case, a majority of the Court just does not believe it to be a good idea for the Board to mandate the portion size of sugary drinks, apparently on the theory that the Council should be the sole arbiter of “the choices of New York City residents concerning what they consume” (majority op at 698), at least in those situations where the choices are not immediately life-threatening. I can appreciate this vision of the world as a philosophical matter, but I see no legal basis for it here.

IV.

Because the Portion Cap Rule does not suffer from any non-delegation or separation-of-powers infirmity, the proper stan-

dard for our review is whether the regulation is “so lacking in reason for its promulgation that it is essentially arbitrary” (see *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249, 254 [2004], quoting *Matter of Bernstein v Toia*, 43 NY2d 437, 448 [1977]). The Rule easily passes this test.

Following the submission of public comments on Rule 81.53, the Department responded to the many concerns raised with a 13-page memorandum explaining in detail why sugary drinks were targeted, and why some drinks and establishments were excluded. The memorandum cites peer-reviewed academic research and the findings of other public health bodies. The Board debated the issues presented and responses, and placed its deliberations in the public record of its meetings. Dr. Thomas Farley, the Commissioner of the Department and a certified pediatrician with 30 years of clinical and research experience, has submitted in the record of this case an affidavit explaining in great detail the reasons for creating the Rule and for giving it the particular form that it has taken. Fourteen public health and medical associations have supplied amicus curiae briefs to this Court with further citations and arguments supporting the Board’s proffered explanations.

Petitioners and their supporting amici curiae, as well as Supreme Court, have countered the extensive documentation supporting the Board’s reasoning with arguments that the Rule is rife with loopholes and will never achieve its goal of reducing obesity. But a rule is not irrational because there are reasons to disagree with or ways to improve it, or because it does not completely solve the targeted problem (see *Matter of Unimax Corp. v Tax Appeals Trib. of State of N.Y.*, 79 NY2d 139, 144 [1992]). Given the exhaustive record in this case, it is clear that the Rule is not “lacking in reason for its promulgation.” If it is ineffective, that will become clear enough in time, and the Board can correct course in light of new information. But this is no basis for the courts to strike the regulation down.

V.

What petitioners have truly asked the courts to do is to strike down an *unpopular* regulation, not an illegal one. Indeed, petitioners constantly stress just *how* unpopular the Portion Cap Rule is. But if that is so, eliminating, limiting, or preventing it via political processes should present little obstacle.

Importantly, that is the appropriate way for expressing disagreement and seeking redress. *Boreali* should not be an escape hatch for those who are unhappy with a regulation, and are unable or unwilling to address it with available means.

To sum up, if the People of the City or State of New York are uncomfortable with the expansive powers first bestowed by the New York State Legislature on the New York City Board of Health over 150 years ago, they have every right and ability to call on their elected representatives to effect change. This Court, however, does not. And there is no question that the Portion Cap Rule falls comfortably within the broad delegation granted to the Board by the legislature. The majority fails to advance any persuasive argument why the judiciary should step into the middle of a debate over public health policy and prohibit the Board from implementing a measure designed to reduce chronic health risks associated with sugary beverages just because the Council has not chosen to act in this area.

Judges GRAFFEO, SMITH and ABDUS-SALAAM concur with Judge FIGOTT; Judge ABDUS-SALAAM in a concurring opinion; Judge READ dissents and votes to reverse in an opinion in which Chief Judge LIPPMAN concurs; Judge RIVERA taking no part.

Order affirmed, with costs.

[17 NE3d 1121, 993 NYS2d 525]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v OLIVERIO GALINDO, Appellant.

Argued June 3, 2014; decided June 26, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 4, 2012. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Jill Konviser, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree (two counts).

People v Galindo, 101 AD3d 408, affirmed.

HEADNOTE

Crimes — Possession of Weapon — Intent to Use Weapon Unlawfully against Another — Statutory Presumption — Sufficiency of Evidence

In the prosecution of defendant arising from an incident in which he shot his cousin in the leg, the evidence that defendant possessed a loaded firearm, together with the statutory presumption of intent arising from such possession, was legally sufficient to support defendant's conviction for criminal possession of a weapon in the second degree under Penal Law § 265.03 (1) (b). A person is guilty under section 265.03 (1) (b) when he or she possesses a loaded firearm "with intent to use the same unlawfully against another." Penal Law § 265.15 (4) provides that the possession by any person of any weapon is presumptive evidence of intent to use it unlawfully against another. This permissive presumption allows the trier of fact to determine the existence of an element of the crime from the existence of one or more evidentiary or basic facts. Before the presumption may apply, the People must establish beyond a reasonable doubt the predicate fact or facts that the statute requires be proved. Given the testimony that defendant admitted shooting his cousin, a rational jury could have concluded that defendant's possession of a loaded firearm was proved beyond a reasonable doubt. With this fact established, the jury was entitled to infer that defendant intended to use the weapon unlawfully, and its acceptance of the presumption was reasonable. There was no proof that defendant possessed the gun for a lawful purpose, and the evidence that he disposed of the gun, initially lied about the shooting and urged his cousin not to go to court supported the inference of unlawful intent. While evidence may have suggested that defendant shot his cousin accidentally, the People were not required to prove that he intended to use the gun unlawfully against any particular person.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 627; AM JUR 2d, Weapons and Firearms §§ 2, 10–11, 18, 23, 26, 29.

CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:18–194:19; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:134–207:135.

McKINNEY'S, Penal Law §§ 265.03 (1) (b); 265.15 (4).

NY JUR 2d, Criminal Law: Procedure §§ 2841, 3156, 3602;
NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1869–1873, 1876–1877, 1880–1882, 1908.

ANNOTATION REFERENCE

See ALR Index under Intent or Motive; Possession; Weapons and Firearms.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Marisa K. Cabrera of counsel), for appellant. I. The verdict convicting Mr. Oliverio Galindo of second-degree possession of a weapon with unlawful intent was legally insufficient where intent could only be established through the permissive presumption of Penal Law § 265.15 (4) and was rebutted by the prosecution's own evidence and theory of an "accidental" shooting. (*Jackson v Virginia*, 443 US 307; *People v Contes*, 60 NY2d 620; *People v Schulz*, 4 NY3d 521; *Sullivan v Louisiana*, 508 US 275; *People v Leyva*, 38 NY2d 160; *Matter of Raquel M.*, 99 NY2d 92; *County Court of Ulster Cty. v Allen*, 442 US 140; *People v Rosano*, 50 NY2d 1013; *Carella v California*, 491 US 263.) II. Mr. Oliverio Galindo was denied effective assistance of counsel when trial counsel failed to move for dismissal as to the other top count of the indictment, possession of a weapon outside of home and place of business, on the only viable and obvious legal argument: that the prosecution failed to prove one of the elements of the offense—Mr. Galindo's possession of the gun outside of his home. (*People v Rodriguez*, 68 NY2d 674; *Strickland v Washington*, 466 US 668; *People v Benevento*, 91 NY2d 708; *People v Henry*, 95 NY2d 563; *People v Stultz*, 2 NY3d 277; *People v Nesbitt*, 20 NY3d 1080; *People v Caban*, 5 NY3d 143; *People v Hobot*, 84 NY2d 1021; *People v Flores*, 84 NY2d 184; *People v Turner*, 10 AD3d 458.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Christopher P. Marinelli* and *Alan Gadlin* of counsel), for respondent. I. At trial, the People conclusively demonstrated defendant's guilt of possessing a weapon with the intent to use it unlawfully. (*People v Hawkins*, 11 NY3d 484; *People v Ramos*, 19 NY3d 133; *People v Danielson*, 9 NY3d 342; *People v Contes*, 60 NY2d 620; *People v Montanez*, 41 NY2d 53; *People v Williams*, 84 NY2d 925; *People v Malagon*, 50 NY2d 954; *People v Bell*, 48 NY2d 913; *People v Edwards*, 39 AD3d 1078; *People v Bleakley*, 69 NY2d 490.) II. Defendant's trial attorney was an effective advocate on defendant's behalf. (*People v Rodriguez*, 68 NY2d 674; *People v Williams*, 84 NY2d 925; *People v Caban*, 5 NY3d 143; *People v Stultz*, 2 NY3d 277; *People v Gerard*, 50 NY2d 392; *People v Haffiz*, 19 NY3d 883; *People v Rivera*, 71 NY2d 705; *People v Brown*, 45 NY2d 852; *People v Benevento*, 91 NY2d 708; *Strickland v Washington*, 466 US 668.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

During the early morning hours on September 21, 2009, defendant Oliverio Galindo shot his cousin Augustine Castaneda in the leg. He accompanied his cousin to the hospital and was later arrested at Broome Street Bar in Manhattan where he and Castaneda were employed. Defendant was indicted on two counts of criminal possession of a weapon in the second degree, one count for possession of a loaded firearm with the intent to use it unlawfully against another (Penal Law § 265.03 [1] [b]), and the other for possession of the same outside his home or place of business (*id.* at [3]).

At trial, the People presented evidence that, shortly after 1:00 a.m. on the date in question, defendant and Castaneda parted ways with their coworkers in front of Broome Street Bar. Castaneda did not appear to be injured at that time. About 20 minutes later, however, defendant and Castaneda arrived at Bellevue Hospital for Castaneda to be treated for a gunshot wound to the leg. Several hours later, defendant returned to Broome Street Bar to work Castaneda's shift as a dishwasher. Luis Flores, defendant's manager and friend, testified that, when he asked defendant why he was covering Castaneda's shift, defendant initially told him that he and Castaneda had been "mugged outside the restaurant" and that Castaneda had been shot during the course of the robbery. When Flores pressed defendant for more details, defendant eventually admitted that he was the one who shot Castaneda "outside the restaurant." Defendant

told Flores that he was “showing the gun” to Castaneda when it “went off as an accident.” Defendant later “dumped” the gun in a “big container[]” near the hospital. In addition to this testimony, the People admitted into evidence the transcript of a recorded telephone call defendant placed to an unidentified woman while in prison, during which defendant urged the woman to tell his cousin “not to go to court.” Defendant did not present any evidence at trial and his motions to dismiss the indictment, made at the close of the People’s case and the close of all proof, were denied.

Prior to deliberations, the trial court instructed the jury, without objection by defendant, that if the People proved “beyond a reasonable doubt that the defendant possessed a loaded firearm,” the jury “may, but [was] not required to, infer” that defendant possessed the weapon with the “intent to use the same unlawfully against another.” The jury returned a verdict convicting defendant of both counts of second-degree criminal possession of a weapon, and defendant was sentenced to two concurrent, determinate prison terms of four years, to be followed by three years of postrelease supervision.

The Appellate Division affirmed, stating that “the circumstances of defendant’s possession of a loaded firearm, viewed in light of the statutory presumption of unlawful intent (Penal Law § 265.15 [4]), provided legally sufficient evidence of defendant’s intent to use a weapon unlawfully against another” (*People v Galindo*, 101 AD3d 408, 408 [1st Dept 2012]). A Judge of this Court granted defendant leave to appeal (21 NY3d 912 [2013]), and we now affirm.

A person is guilty of criminal possession of a weapon in the second degree when “with intent to use the same unlawfully against another, such person: . . . possesses a loaded firearm” (Penal Law § 265.03 [1] [b]). Penal Law § 265.15 (4) provides that “[t]he possession by any person of any . . . weapon . . . is presumptive evidence of intent to use the same unlawfully against another” person. Defendant, asserting that the evidence was legally insufficient to support his conviction under Penal Law § 265.03 (1) (b), challenges the use of the statutory presumption of unlawful intent based on the circumstances of this case, where the People presented no direct evidence of intent and Flores’s testimony suggested that defendant shot his cousin accidentally. We find no error in the application of the statutory presumption and conclude that the evidence supporting defendant’s conviction was legally sufficient.

“A statutory presumption is a deduction or an inference which the trier of fact may draw from facts found or otherwise established during the course of the trial” (*People v Leyva*, 38 NY2d 160, 168 n 3 [1975]). This evidentiary device “[is] a staple of our adversary system of factfinding,” which often requires “the trier of fact to determine the existence of an element of the crime—that is, an ‘ultimate’ or ‘elemental’ fact—from the existence of one or more ‘evidentiary’ or ‘basic’ facts” (*County Court of Ulster Cty. v Allen*, 442 US 140, 156 [1979] [denying federal writ of habeas corpus from defendant’s weapon possession conviction affirmed in *People v Lemmons* (40 NY2d 505 [1976])]). The presumption of unlawful intent under Penal Law § 265.15 (4), like all statutory presumptions in New York, is a permissive presumption (*People v McKenzie*, 67 NY2d 695, 696 [1986]), meaning that “[it] allows, but does not require, the trier of fact to accept the presumed fact, and does not shift to the defendant the burden of proof” (*Matter of Raquel M.*, 99 NY2d 92, 95 [2002], citing *Allen*, 442 US at 157).¹

The purpose of a statutory presumption is to allow a particular fact to be established by “inferential” proof (*Leyva*, 38 NY2d at 168 [describing the presumption under Penal Law § 220.25]). Before the presumption may apply, the People must establish beyond a reasonable doubt the predicate fact or facts “the statute requires be proved” (*id.* at 169; see *Allen*, 442 US at 156). If the People succeed in this endeavor, they are entitled to rely on the presumption, which “form[s] part of the support for [their] prima facie case” against the defendant (*Leyva*, 38 NY2d at 169; see *Allen*, 442 US at 157 [with a permissive presumption, “the basic fact may constitute prima facie evidence of the elemental fact”]; *Matter of Raquel M.*, 99 NY2d at 96). The presumption may be rebutted by any evidence in the case; that is, evidence presented by the defendant or the People (see *Matter of Raquel M.*, 99 NY2d at 95; *Leyva*, 38 NY2d at 167, 169). Evidence rebutting the presumption will not “negate the existence of a prima facie case; rather it presents an alternate set of facts, or inferences from facts, to the jury. The jury then has the right to choose between the two versions” (*Leyva*, 38 NY2d at 169). In other words, the presumption “receives the same treat-

1. By contrast, a “mandatory presumption . . . tells the trier that he or they *must* find the elemental fact upon proof of the basic fact, at least unless the defendant has come forward with some evidence to rebut the presumed connection between the two facts” (*Allen*, 442 US at 157).

ment that any other ‘fact’ so thoroughly controverted would receive” (*id.* at 170).

The predicate fact the People must prove to trigger the presumption of unlawful intent under Penal Law § 265.15 (4) is possession of “any weapon.” Once the People have proven this fact beyond a reasonable doubt, the unlawful intent presumption becomes part of the People’s *prima facie* case, which the defendant may rebut with contrary proof or, as in this case, he or she may rely on the People’s evidence to rebut the presumption. It is then for the jury, after proper instructions by the court, to weigh the competing inferences and determine whether to accept or reject the presumption. Where, as here, the defendant contends that his conviction is not supported by legally sufficient evidence, we review the evidence in a light most favorable to the People, and will not disturb a conviction as long as there exists “any valid line of reasoning and permissible inferences which could lead a rational person to the conclusion reached by the jury on the basis of the evidence at trial” (*People v Bleakley*, 69 NY2d 490, 495 [1987]).

Applying these principles, we conclude that the evidence that defendant possessed a loaded firearm, together with the statutory presumption of intent arising from such possession, was legally sufficient to support his conviction for criminal possession of a weapon in the second degree under Penal Law § 265.03 (1) (b). Viewing the evidence in the light most favorable to the People—particularly, Flores’s testimony that defendant admitted to shooting Castaneda—a rational jury could have concluded that the People proved, beyond a reasonable doubt, that defendant possessed a loaded firearm (*see* Penal Law § 265.03 [1] [b]). Since the People established this predicate fact, the jury was entitled, but not required, to infer that defendant intended to use the weapon unlawfully pursuant to Penal Law § 265.15 (4). The jury’s decision to accept this inference created by the statutory presumption was reasonable. A rational jury could have concluded that defendant possessed the loaded gun he “showed” his cousin on a public street, and there was no proof at trial suggesting that defendant possessed the gun for a lawful purpose. To the contrary, evidence that defendant disposed of the gun after the shooting, initially lied to Flores about how Castaneda was shot, and urged Castaneda not to come to court supports the inference of unlawful intent when viewed in a light most favorable to the People.

Defendant and the dissent argue that defendant’s admission to Flores that he accidentally shot Castaneda rebutted any infer-

ence of unlawful intent. As the Appellate Division noted, however (*see* 101 AD3d at 408), the People never alleged, nor were they required to prove, that defendant specifically intended to use the gun unlawfully against Castaneda or any particular person, only that he intended to use it against “another” person (Penal Law § 265.03 [1] [b]). Thus, while this testimony may have suggested that defendant did not intend to use the gun unlawfully against Castaneda, it was not inconsistent with the inference that he intended to use the gun unlawfully against *someone other* than his cousin. And even if the People’s evidence rebutted this inference, the jury was still entitled to weigh all the competing inferences in deciding whether to accept or reject the presumption of unlawful intent. Although the dissent believes the evidence “that defendant had *accidentally* shot his cousin . . . would appear to negate any intent to use the weapon unlawfully against another” (dissenting op at 727), the jury reasonably concluded otherwise and we find no legal basis upon which to disturb its verdict.

The dissent claims that without “direct or circumstantial” evidence of defendant’s intent, “the jury could not have rationally concluded that defendant’s mere possession of a loaded firearm established his intent to unlawfully use it against another” (*id.* at 727). But that is exactly what the legislature intended Penal Law § 265.15 (4) to permit a jury to do: find that a defendant intended to use a weapon unlawfully merely because he or she possessed that weapon. This permissive presumption would be superfluous if, as the dissent suggests, the People were required to put forth independent evidence of intent to prove that element of the offense.² Nor can the dissent credibly claim that the presumption of unlawful intent was unconstitutional as applied to defendant here; that is, that there was no “reasonably high degree of probability” that the presumed fact (defendant’s unlawful intent) could follow from the basic facts proved directly at trial (defendant’s possession of a loaded gun) (*Leyva*, 38 NY2d at 166 [internal quotation marks omitted], quoting

2. Contrary to the dissent’s view, we do not read *Allen* as requiring the People to provide “ample evidence” of *intent* “other than the presumption to support a conviction” (442 US at 160). Rather, we believe the United States Supreme Court used that phrase to draw the distinction between the proper constitutional analysis of a mandatory presumption, which must be “divorced from [the] facts [of a given case] and based on the presumption’s accuracy in the run of cases” (*id.* at 159), and the analysis of a permissive presumption, which “rest[s] on an evaluation of the presumption as applied to the record before the Court” (*id.* at 162-163).

People v McCaleb, 25 NY2d 394, 404 [1969]; *see also Allen*, 442 US at 156-157; *Matter of Raquel M.*, 99 NY2d at 95-96). In any event, we need not reach this issue since defendant has not challenged the constitutionality of Penal Law § 265.15 (4).

Finally, we have considered defendant's ineffective assistance of counsel claims related to his conviction for second-degree criminal possession of a weapon outside his home or place of business (*see* Penal Law § 265.03 [3]), and we find them unavailing (*see e.g. People v Caban*, 5 NY3d 143, 152 [2005]).

Accordingly, the Appellate Division order should be affirmed.

PIGOTT, J. (dissenting in part). Defendant was convicted of two counts of criminal possession of a weapon in the second degree (Penal Law §§ 265.03 [1] [b] [count one]; 265.03 [3] [count two]). Because the People failed to present proof establishing that defendant, while possessing a loaded firearm, intended to use it "unlawfully against another" (count one), I respectfully dissent.

The People's proof plainly established that defendant possessed a loaded firearm outside his home or place of business (Penal Law § 265.03 [3]),* a class C felony. One act, one crime. However, the People claim, and the majority agrees, that the People were entitled to go further and rely on Penal Law § 265.15 (4)'s presumption that "[t]he possession by any person of any . . . weapon . . . is presumptive evidence of intent to use the same unlawfully against another" in order to pile on a second felony conviction for the same act.

In many cases, the People should be able to rely on such a presumption, but only where "there is ample evidence in the record *other than the presumption* to support a conviction" (*County Court of Ulster Cty. v Allen*, 442 US 140, 160 [1979] [emphasis supplied]). There must be "a rational connection between [the] facts proved directly and [the] ones to be inferred" (*People v Leyva*, 38 NY2d 160, 165 [1975]), and the connection must necessarily "assure 'a reasonably high degree of prob-

* Notably, in 2006, the legislature inadvertently repealed the crime of possession of a loaded firearm with the intent to use the same unlawfully against another (L 2006, ch 742, § 1), notwithstanding the Attorney General's concern that the legislation contained an "unintended flaw," namely, that "it would significantly reduce the penalties that [could] be imposed on perpetrators of domestic violence who intend to use loaded, illegal firearms to further harm those they victimize" (Mem of Off of Atty Gen, Bill Jacket, L 2006, ch 742 at 6-7). The legislature corrected that flaw the following month (L 2006, ch 745).

ability' that the presumed fact follows from those proved directly'' (*id.* at 166, quoting *People v McCaleb*, 25 NY2d 394, 404 [1969]).

Here, there is no such connection. The People were able to directly prove that defendant possessed a loaded weapon, but the only proof the People presented concerning defendant's intent relative to count one was that defendant had *accidentally* shot his cousin, evidence that would appear to negate any intent to use the weapon unlawfully against another. To be sure, as the majority states, the People need not prove that defendant intended to use the weapon unlawfully against a particular person (majority op at 725); but the People must do more than simply rely on a permissive presumption to meet their burden (*see Allen*, 442 US at 167; *United States v Curcio*, 712 F2d 1532, 1541 [2d Cir 1983] [“(a)s long as it is clear that the presumption is not the sole and sufficient basis for a finding of guilt, it need meet only a more likely than not rather than a beyond a reasonable doubt standard”] [internal quotation marks omitted]).

Given the lack of *any* evidence, direct or circumstantial, concerning defendant's intent to use the weapon unlawfully against another, the jury could not have rationally concluded that defendant's mere possession of a loaded firearm established his intent to unlawfully use it against another. More than likely, having determined that defendant unlawfully possessed the weapon, the jury concluded that the accidental shooting of his cousin must have been an unlawful use against another, the result being a defendant convicted twice for one possession—something the law neither contemplates nor permits. I would therefore reverse and dismiss count one of the indictment.

Judges GRAFFEO, READ, SMITH and RIVERA concur with Judge ABDUS-SALAAM; Judge PIGOTT dissents in part in an opinion in which Chief Judge LIPPMAN concurs.

Order affirmed.

[16 NE3d 1188, 992 NYS2d 710]

In the Matter of MARK S. WALLACH, as Chapter 7 Trustee for
NORSE ENERGY CORP. USA, Appellant, v TOWN OF DRYDEN
et al., Respondents.

COOPERSTOWN HOLSTEIN CORPORATION, Appellant, v TOWN OF
MIDDLEFIELD, Respondent.

Argued June 3, 2014; decided June 30, 2014

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 2, 2013. The Appellate Division affirmed a judgment of the Supreme Court, Tompkins County (Phillip R. Rumsey, J.; op 35 Misc 3d 450 [2012]), entered in a hybrid proceeding pursuant to CPLR article 78 and action for declaratory judgment, which had granted respondents/defendants' motion for summary judgment and adjudged and declared that the respondent/defendant Town of Dryden's Zoning Ordinance Amendment—as modified by severing and striking section 2104 (5)—was not preempted by the Oil, Gas and Solution Mining Law.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 2, 2013. The Appellate Division affirmed a judgment of the Supreme Court, Otsego County (Donald F. Cerio, Jr., J.; op 35 Misc 3d 767 [2012]), which had (1) denied plaintiff's motion for summary judgment declaring the Town of Middlefield Zoning Law as enacted on June 14, 2011 was not preempted by the Oil, Gas and Solution Mining Law; and (2) granted defendant's cross motion to dismiss plaintiff's complaint.

Matter of Norse Energy Corp. USA v Town of Dryden, 108 AD3d 25, affirmed.

Cooperstown Holstein Corp. v Town of Middlefield, 106 AD3d 1170, affirmed.

HEADNOTE

Gas and Oil — Local Regulation — Hydrofracking

Town zoning laws banning oil and gas production activities, including hydrofracking, were valid and were not preempted by the supersession clause in the statewide Oil, Gas and Solution Mining Law (OGSML) (ECL 23-0303 [2]). In light of its plain language, its place within the OGSML's framework and

the legislative background, the supersession clause does not evince a clear expression of preemptive intent. ECL 23-0303 (2), which states that the OGSML “shall supersede all local laws or ordinances relating to the regulation of the oil, gas and solution mining industries,” is most naturally read as preempting only local laws that purport to regulate the actual operations of oil and gas activities, not zoning ordinances that restrict or prohibit certain land uses within town boundaries. In addition, the OGSML is concerned with the Department of Environmental Conservation’s regulation and authority regarding the safety, technical and operational aspects of oil and gas activities across the state, and the supersession clause fits comfortably within that legislative framework since it invalidates local laws that would intrude on the Department’s regulatory oversight of the industry’s operations, thereby ensuring uniform exploratory and extraction processes related to oil and gas production. Moreover, the legislative history of the OGSML and its predecessor makes clear that the state legislature’s primary concern was with preventing wasteful oil and gas practices and ensuring that the Department had the means to regulate the technical operations of the industry. Accordingly, the towns appropriately acted within their home rule authority in adopting the challenged zoning laws.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Gas and Oil § 161; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 90, 113, 114, 123, 168; AM JUR 2d, Zoning and Planning §§ 260, 261.

McKINNEY’S, ECL 23-0303 (2).

NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 121, 156; NY JUR 2d, Mines and Minerals § 68.

ANNOTATION REFERENCE

Validity of zoning regulations prohibiting or regulating removal or exploitation of oil and gas, including hydrofracking. 84 ALR6th 133.

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POINTS OF COUNSEL

The West Firm, PLLC, Albany (*Thomas S. West* and *Cindy Monaco* of counsel), for appellant in the first above-entitled action. I. The state has the power to preempt local zoning. (*Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Wambat Realty Corp. v State of New York*, 41 NY2d 490.) II. ECL 23-0303 (2) expressly preempts the town prohibition. (*New York State Psychiatric Assn., Inc. v New York State Dept. of Health*,

19 NY3d 17; *Nostrom v A.W. Chesterton Co.*, 15 NY3d 502; *People v Paulin*, 17 NY3d 238; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575; *Criscione v City of New York*, 97 NY2d 152; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Envirogas, Inc. v Town of Kiantone*, 112 Misc 2d 432, 89 AD2d 1056, 58 NY2d 602; *Sunrise Check Cashing & Payroll Servs., Inc. v Town of Hempstead*, 91 AD3d 126; *Matter of Ames v Smoot*, 98 AD2d 216.) III. Mined Land Reclamation Law precedent is irrelevant to the Oil, Gas and Solution Mining Law express preemption analysis. (*Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Sunrise Check Cashing & Payroll Servs., Inc. v Town of Hempstead*, 91 AD3d 126; *Floyd v New York State Urban Dev. Corp.*, 33 NY2d 1; *New York State Psychiatric Assn., Inc. v New York State Dept. of Health*, 19 NY3d 17.) IV. The town prohibition is conflict preempted by the Oil, Gas and Solution Mining Law and the Energy Law. (*Geier v American Honda Motor Co.*, 529 US 861; *Doomes v Best Tr. Corp.*, 17 NY3d 594; *Affronti v Crosson*, 95 NY2d 713; *Matter of Lansdown Entertainment Corp. v New York City Dept. of Consumer Affairs*, 74 NY2d 761; *Anonymous v City of Rochester*, 13 NY3d 35; *Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99.)

EARTHJUSTICE, New York City (Deborah Goldberg and Bridget Lee of counsel), for respondents in the first above-entitled action. I. The Oil, Gas and Solution Mining Law does not expressly preempt the Town of Dryden's zoning ordinance. (*Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Matter of Hunt Bros. v Glennon*, 81 NY2d 906; *Georgitsi Realty, LLC v Penn-Star Ins. Co.*, 21 NY3d 606; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Wambat Realty Corp. v State of New York*, 41 NY2d 490; *Matter of Consolidated Edison Co. of N.Y. v Department of Env'tl. Conservation*, 71 NY2d 186; *Morton v Mancari*, 417 US 535; *Brocco v Mileo*, 170 AD2d 732; *Civil Serv. Empls. Assn. v County of Oneida*, 78 AD2d 1004.) II. The doctrine of implied preemption does not preclude enforcement of the zoning ordinance. (*Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105; *Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126; *Matter of Western Land Servs., Inc. v Department of Env'tl. Conservation of State of N.Y.*, 26 AD3d 15; *Wagner v Mallory*, 169 NY 501; *Ohio Oil Co. v Indi-*

ana, 177 US 190; *Matter of Sylvania Corp. v Kilbourne*, 28 NY2d 427; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Matter of Schadow v Wilson*, 191 AD2d 53.) III. State oil and gas regulation coexists with local land use regulation in many states.

Levene Gouldin & Thompson, LLP, Binghamton (Scott R. Kurkoski of counsel), and *The West Firm, PLLC*, Albany (Thomas S. West and Cindy Monaco of counsel), for appellant in the second above-entitled action. I. ECL 23-0303 (2) expressly preempts the town prohibition, given the common and ordinary meaning of “regulation” as well as given the legislature’s intent to limit local jurisdiction to only roads and taxes. (*Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395; *Oil Heat Inst. of Long Is. v Town of Babylon*, 156 AD2d 352; *Vatore v Commissioner of Consumer Affairs of City of N.Y.*, 83 NY2d 645; *People v Couser*, 94 NY2d 631; *People v Hedgeman*, 70 NY2d 533; *People v Thompson*, 99 NY2d 38; *Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *Matter of Lower Manhattan Loft Tenants v New York City Loft Bd.*, 66 NY2d 298; *Matter of Plato’s Cave Corp. v State Liq. Auth.*, 68 NY2d 791; *Matter of Norse Energy Corp. USA v Town of Dryden*, 108 AD3d 25.) II. The Oil, Gas and Solution Mining Law occupies the entire field of oil and gas regulation, thereby preempting any related local regulation. (*Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395; *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500.) III. The town prohibition conflicts with state law and policy; therefore, it is preempted. (*New York State Club Assn. v City of New York*, 69 NY2d 211; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *Zakrzewska v New School*, 14 NY3d 469; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *Matter of Lansdown Entertainment Corp. v New York City Dept. of Consumer Affairs*, 74 NY2d 761; *Anonymous v City of Rochester*, 13 NY3d 35; *Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395.) IV. Decisions reached by other jurisdictions suggest that the Oil, Gas and Solution Mining Law preempts local municipalities from enacting a total ban on oil and gas development. (*Energy Mgt. Corp. v City of Shreveport*, 397 F3d 297.)

Whiteman Osterman & Hanna LLP, Albany (John J. Henry, David R. Everett and Robert S. Rosborough IV of counsel), for respondent in the second above-entitled action. I. The Town of Middlefield properly exercised its constitutional home rule authority to determine that heavy industrial uses, including oil, gas, and solution mining, are prohibited within its borders. (*Matter of St. Onge v Donovan*, 71 NY2d 507; *Matter of Dexter v Town Bd. of Town of Gates*, 36 NY2d 102; *Village of Valatie v Smith*, 190 AD2d 17, 83 NY2d 396; *Church v Town of Islip*, 8 NY2d 254; *Goodrich v Town of Southampton*, 39 NY2d 1008; *Matter of Van Berkel v Power*, 16 NY2d 37; *Stringfellow's of N.Y. v City of New York*, 91 NY2d 382; *Asian Ams. for Equality v Koch*, 72 NY2d 121; *Matter of McGrath v Town Bd. of Town of N. Greenbush*, 254 AD2d 614, 93 NY2d 803; *Kravetz v Plenge*, 84 AD2d 422.) II. ECL 23-0303 (2) does not expressly preempt the Town of Middlefield's zoning law. (*Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *New York State Club Assn. v City of New York*, 69 NY2d 211, 487 US 1; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *Riley v County of Broome*, 95 NY2d 455; *Jones v Bill*, 10 NY3d 550; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Graev v Graev*, 11 NY3d 262; *Louhal Props. v Strada*, 191 Misc 2d 746, 307 AD2d 1029.) III. ECL 23-0303 (2) does not implicitly preempt the Town of Middlefield's zoning law. (*Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105, 555 US 1136; *Harrell v Champlain Enters.*, 200 AD2d 290; *Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395; *Anonymous v City of Rochester*, 13 NY3d 35; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *People v De Jesus*, 54 NY2d 465; *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347; *Matter of JIJ Realty Corp. v Costello*, 239 AD2d 580, 90 NY2d 811; *Matter of Western Land Servs., Inc. v Department of Envtl. Conservation of State of N.Y.*, 26 AD3d 15; *Matter of Friends of Shawangunks v Knowlton*, 64 NY2d 387.) IV. Plaintiff's reliance on law in other states to interpret the scope of preemption under ECL 23-0303 (2) is misplaced. (*Energy Mgt. Corp. v City of Shreveport*, 397 F3d 297; *LaValle v Hayden*, 98 NY2d 155.)

Scott M. Stringer, Office of the Manhattan Borough President, New York City (Andrew L. Kalloch of counsel), for Manhattan Borough President Scott M. Stringer and others, amici curiae in the first above-entitled action. I. Municipal zoning is a crucial tool for community-based planning. (*DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Matter of Gernatt Asphalt Prods. v Town*

of *Sardinia*, 87 NY2d 668; *Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126.) II. Home rule law supports the use of zoning to respond to environmental and public health concerns associated with hydraulic fracturing. (*Anschutz Exploration Corp. v Town of Dryden*, 35 Misc 3d 450; *Matter of Golden v Planning Bd. of Town of Ramapo*, 30 NY2d 359; *Berenson v Town of New Castle*, 38 NY2d 102; *Robert E. Kurzius, Inc. v Incorporated Vil. of Upper Brookville*, 51 NY2d 338; *Suffolk Hous. Servs. v Town of Brookhaven*, 70 NY2d 122; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Rodgers v Village of Tarrytown*, 302 NY 115.) III. The effect of local bans on the viability of hydraulic fracturing in New York State is not germane to this Court's preemption analysis.

Washington Legal Foundation, Washington, D.C. (Cory L. Andrews and Richard A. Samp of counsel), and *Lally & Misir, LLP*, Mineola (Deborah N. Misir of counsel), for Washington Legal Foundation, amicus curiae in the first above-entitled action. I. The decision below misapplies the law of preemption. (*Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575; *New York State Club Assn. v City of New York*, 69 NY2d 211; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99.) II. The decision below will create a great disincentive for oil and gas investment in New York State.

Columbia Environmental Law Clinic, Morningside Heights Legal Services, New York City (Susan J. Kraham of counsel), for Vicki Been and others, amici curiae in the first above-entitled action. I. ECL 23-0303 (2) should be construed in light of a presumption against preemption of local laws by ambiguous state statutes. (*Kamhi v Town of Yorktown*, 74 NY2d 423; *Matter of Pete Drown, Inc. v Town Bd. of Town of Ellenburg*, 188 AD2d 850; *Matter of Fammler v Board of Zoning Appeals of Town of Hempstead*, 254 App Div 777; *Matter of Town of Brookhaven v New York State Bd. of Equalization & Assessment*, 88 NY2d 354; *Hunter v Warren County Bd. of Supervisors*, 21 AD3d 622; *Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126; *Adler v Deegan*, 251 NY 467; *Wambat Realty Corp. v State of New York*, 41 NY2d 490; *Matter of Town of Islip v Cuomo*, 64 NY2d 50; *People v Cook*, 34 NY2d 100.) II. Read in light of the presumption against preemption, ECL 23-0303 (2) does not preempt the zoning prohibitions on oil and gas drilling enacted by the Town of Dryden. (*Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126; *California Div. of Labor*

Standards Enforcement v Dillingham Constr., N. A., Inc., 519 US 316; *Anschutz Exploration Corp. v Town of Dryden*, 35 Misc 3d 450; *Pacific Gas & Elec. Co. v State Energy Resources Conservation & Development Comm'n*, 461 US 190; *New York State Pub. Empls. Fedn., AFL-CIO v City of Albany*, 72 NY2d 96; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668.)

Knauf Shaw LLP, Rochester (Alan J. Knauf, Amy K. Kendall and Arthur L. James, III, of counsel), for Dryden Resource Awareness Coalition, amicus curiae in the first above-entitled action. The Oil, Gas and Solution Mining Law does not preempt municipal zoning laws. (*Kamhi v Town of Yorktown*, 74 NY2d 423; *Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Kramer v Phoenix Life Ins. Co.*, 15 NY3d 539; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Matter of Lighthouse Pointe Prop. Assoc. LLC v New York State Dept. of Env'tl. Conservation*, 14 NY3d 161; *Matter of St. Onge v Donovan*, 71 NY2d 507; *Sunrise Check Cashing & Payroll Servs., Inc. v Town of Hempstead*, 20 NY3d 481; *Matter of Envirogas, Inc. v Town of Kiantone*, 112 Misc 2d 432.)

Community Environmental Defense Council, Inc., Ithaca (David Slottje and Helen Slottje of counsel), for Community Environmental Defense Council, Inc., amicus curiae in the first above-entitled action. A decision by this Court to uphold local municipal authority to enact land use laws prohibiting gas drilling would not be inconsistent with the policies of preventing waste, protecting correlative rights, and providing for greater ultimate recovery. (*Matter of Western Land Servs., Inc. v Department of Env'tl. Conservation of State of N.Y.*, 26 AD3d 15; *Champion Refining Co. v Corporation Comm'n of Okla.*, 286 US 210.)

Jordan A. Lesser, Albany, for Assemblywoman Barbara Lifton, amicus curiae in the first above-entitled action. I. Article IX of the NY Constitution authorizes municipal zoning authority. (*Preble Aggregate v Town of Preble*, 263 AD2d 849; *Village of Euclid v Ambler Realty Co.*, 272 US 365; *Wambat Realty Corp. v State of New York*, 41 NY2d 490.) II. Municipal home rule powers are not preempted by ECL 23-0303 (2). (*Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126; *Cooperstown Holstein Corp. v Town of Middlefield*, 35 Misc 3d 767; *Matter of Envirogas, Inc. v Town of Kiantone*, 112 Misc 2d 432; *Matter of Western*

Land Servs., Inc. v Department of Envtl. Conservation of State of N.Y., 26 AD3d 15.) III. There is no legal requirement or vested right for natural resource extraction. (*Preble Aggregate v Town of Preble*, 263 AD2d 849; *Matter of Lefrak Forest Hills Corp. v Galvin*, 40 AD2d 211; *Matter of Cobleskill Stone Prods., Inc. v Town of Schoharie*, 95 AD3d 1636; *Glacial Aggregates LLC v Town of Yorkshire*, 14 NY3d 127; *Town of Orangetown v Magee*, 88 NY2d 41; *People v Miller*, 304 NY 105.)

Whiteman Osterman & Hanna LLP, Albany (*John J. Henry, David R. Everett* and *Robert S. Rosborough IV* of counsel), for Town of Ulysses and others, amici curiae in the first and second above-entitled actions. I. Generally applicable municipal zoning ordinances are not expressly preempted under ECL 23-0303 (2). (*Matter of St. Onge v Donovan*, 71 NY2d 507; *Matter of Dexter v Town Bd. of Town of Gates*, 36 NY2d 102; *Village of Valatie v Smith*, 190 AD2d 17, 83 NY2d 396; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Wambat Realty Corp. v State of New York*, 41 NY2d 490; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Udell v Haas*, 21 NY2d 463; *Kamhi v Town of Yorktown*, 74 NY2d 423; *Adler v Deegan*, 251 NY 467; *Zahra v Town of Southold*, 48 F3d 674.) II. The legislature has not implicitly preempted generally applicable zoning ordinances. (*Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105; *Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *People v De Jesus*, 54 NY2d 465; *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347; *Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *Matter of JIJ Realty Corp. v Costello*, 239 AD2d 580, 90 NY2d 811; *Matter of Western Land Servs., Inc. v Department of Envtl. Conservation of State of N.Y.*, 26 AD3d 15, 6 NY3d 713.)

Cynthia Feathers, Glens Falls, and *Elizabeth Dribusch*, General Counsel, Albany, for New York Farm Bureau, amicus curiae in the first and second above-entitled actions. The state policy of fully protecting the “correlative rights” of owners and the rights of farmers and other landowners encompasses guaranteeing them a fair share of revenues from drilling; such policy is subservient to the goals of reducing waste and maximizing recovery; and these policy goals cannot be fulfilled unless the state’s authority to regulate natural gas development is supreme. (*Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668.)

Hodgson Russ LLP, Buffalo (*Daniel A. Spitzer*, *Alan J. Laurita* and *Charles W. Malcomb* of counsel), for Independent Oil and Gas Association of New York, Inc., amicus curiae in the first and second above-entitled actions. I. The Oil, Gas and Solution Mining Law preempts all local regulation of the oil and natural gas industry, with only two specific and limited exceptions for powers granted municipalities in the NY Constitution. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Tompkins v Hunter*, 149 NY 117; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *Matter of Jacob*, 86 NY2d 651; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *People v Finnegan*, 85 NY2d 53; *Pajak v Pajak*, 56 NY2d 394; *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347; *Matter of Envirogas, Inc. v Town of Kiantone*, 112 Misc 2d 432.) II. Accepting the Third Department's rationale would further violate the rules of statutory construction by rendering exceptions to the Oil, Gas and Solution Mining Law's preemption provision meaningless. (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509.) III. Municipal regulation of the location of oil and gas development impermissibly conflicts with the state regulatory regime. (*Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *Matter of Chwick v Mulvey*, 81 AD3d 161.)

Sidley Austin LLP, Washington, D.C. (*Roger R. Martella, Jr.*, *Samuel B. Boxerman*, *Quin M. Sorenson* and *Joshua J. Fougere* of counsel), *Sidley Austin LLP*, New York City, *American Petroleum Institute*, Washington, D.C. (*Harry M. Ng* and *Benjamin Norris* of counsel), and *National Chamber Litigation Center, Inc.* (*Sheldon Gilbert* and *Rachel L. Brand* of counsel), for American Petroleum Institute and another, amici curiae in the first and second above-entitled actions. I. Zoning regulations that ban all drilling operations in an area are expressly preempted by the New York Oil and Gas Law. (*Pacific Gas & Elec. Co. v State Energy Resources Conservation & Development Comm'n*, 461 US 190; *Suffolk County v Long Is. Light. Co.*, 728 F2d 52; *State of New York v Philip Morris Inc.*, 8 NY3d 574; *Morales v Trans World Airlines, Inc.*, 504 US 374; *Matter of Jewish Home & Infirmary of Rochester v Commissioner of N.Y. State Dept. of Health*, 84 NY2d 252; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Matter of DeTroia v Schweitzer*, 87 NY2d 338; *Kamhi v Town of Yorktown*, 74 NY2d 423; *Wambat Realty Corp. v State of New York*, 41 NY2d 490.)

II. Zoning regulations that ban all drilling operations in an area are impliedly preempted by the New York Oil and Gas Law. (*Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500; *Matter of Sylvania Corp. v Kilbourne*, 28 NY2d 427.) III. Local zoning regulations that ban all drilling operations in an area undermine the authority and expertise of the New York State Department of Environmental Conservation in considering the safety and effectiveness of oil and gas drilling and hydraulic fracturing throughout New York.

Levene Gouldin & Thompson, LLP, Binghamton (*Scott R. Kurkoski* of counsel), for Joint Landowners Coalition of New York, Inc. and others, amici curiae in the first and second above-entitled actions. I. Affirming town-wide bans on all oil and gas activities will in effect forever bar all oil and gas production in New York in clear contradiction to state law and legislative intent. II. Defendants' town-wide bans constitute unconstitutional takings of land interests. (*S. Berzal & Co. v State of New York*, 8 AD2d 886; *Matter of Smith v Town of Mendon*, 4 NY3d 1; *Pennsylvania Coal Co. v Mahon*, 260 US 393; *Palazzolo v Rhode Island*, 533 US 606; *Lucas v South Carolina Coastal Council*, 505 US 1003; *Matter of Gazza v New York State Dept. of Env'tl. Conservation*, 89 NY2d 603; *Penn Central Transp. Co. v New York City*, 438 US 104.) III. New York will lose documented economic opportunities if municipalities are allowed to control development of the state's natural resources. (*Matter of Nornew, Inc. v Marsh*, 301 AD2d 206.) IV. Defendants' town-wide bans are unconstitutional pursuant to the dormant Commerce Clause doctrine. (*City of New York v State of New York*, 94 NY2d 577; *United Haulers Assn., Inc. v Oneida-Herkimer Solid Waste Management Authority*, 550 US 330; *C & A Carbone, Inc. v Clarkstown*, 511 US 383; *Pike v Bruce Church, Inc.*, 397 US 137; *Homier Distrib. Co. v City of Albany*, 90 NY2d 153.) V. Oil and gas production using high-volume hydraulic fracturing and horizontal drilling benefits national security and the environment. VI. The actions of the City of Dunkirk Common Council demonstrate the legal and policy arguments in favor of preemption.

Toohar & Barone, LLP, Albany (*John L. Barone* and *Meave M. Toohar* of counsel), for Brewery Ommegang, Ltd. and others, amici curiae in the first and second above-entitled actions. I. Local municipalities in New York are entitled to exercise delegated

zoning power to preserve their existing natural resources and community character against potential negative impacts from the oil and gas industry. (*DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Village of Euclid v Ambler Realty Co.*, 272 US 365; *Matter of Schilling v Dunne*, 119 AD2d 179; *Kasper v Town of Brookhaven*, 142 AD2d 213; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Curtiss-Wright Corp. v Town of E. Hampton*, 82 AD2d 551; *Matter of Village of Chestnut Ridge v Town of Ramapo*, 45 AD3d 74; *Matter of Wal-Mart Stores v Planning Bd. of Town of N. Elba*, 238 AD2d 93.) II. Municipal home rule, local zoning and land use controls provide a locality the critical authority to preserve the reciprocal development of the local economy within its communities. (*Anschutz Exploration Corp. v Town of Dryden*, 35 Misc 3d 450; *Cooperstown Holstein Corp. v Town of Middlefield*, 106 AD3d 1170, 21 NY3d 863.) III. The lower court's decision that local governments are not preempted by ECL 23-0303 (2) from enacting land use laws that ban hydrofracking should be upheld in accordance with the authority delegated to municipalities for governance of local land use. (*Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Town of LaGrange v Giovenetti Enters.*, 123 AD2d 688; *Matter of JIJ Realty Corp. v Costello*, 239 AD2d 580; *Town of Huntington v Park Shore Country Day Camp of Dix Hills*, 47 NY2d 61; *Cooperstown Holstein Corp. v Town of Middlefield*, 106 AD3d 1170; *Village of Belle Terre v Boraas*, 416 US 1; *Village of Euclid v Ambler Realty Co.*, 272 US 365; *Anschutz Exploration Corp. v Town of Dryden*, 35 Misc 3d 450; *Morton v Mancari*, 417 US 535.)

Katherine Sinding, New York City, and *Daniel Raichel* for American Planning Association and others, amici curiae in the first and second above-entitled actions. I. Hydrofracking is a heavy industrial process with the potential to seriously impair the character and development goals of New York's local communities. II. New Yorkers rely on municipal land use controls to protect communities from potentially damaging or inappropriate uses, such as hydrofracking. (*Village of Euclid v Ambler Realty Co.*, 272 US 365; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Udell v Haas*, 21 NY2d 463; *Thomas v Town of Bedford*, 11 NY2d 428; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668.) III. Neither the Oil, Gas and Solution Mining Law nor the State Environmental Quality Review Act adequately evaluate or address the impacts of hydrofracking on the character and locally important resources of New York com-

munities. (*Matter of Pete Drown, Inc. v Town Bd. of Town of Ellenburg*, 188 AD2d 850; *Anschutz Exploration Corp. v Town of Dryden*, 35 Misc 3d 450; *Matter of Wal-Mart Stores v Planning Bd. of Town of N. Elba*, 238 AD2d 93; *Matter of Shadow v Wilson*, 191 AD2d 53.)

OPINION OF THE COURT

GRAFFEO, J.

We are asked in these two appeals whether towns may ban oil and gas production activities, including hydrofracking, within municipal boundaries through the adoption of local zoning laws. We conclude that they may because the supersession clause in the statewide Oil, Gas and Solution Mining Law (OGSML) does not preempt the home rule authority vested in municipalities to regulate land use. The orders of the Appellate Division should therefore be affirmed.

I.

Matter of Wallach v Town of Dryden

Respondent Town of Dryden is a rural community located in Tompkins County, New York. Land use in Dryden is governed by a comprehensive plan and zoning ordinance. The underlying goal of the comprehensive plan is to “[p]reserve the rural and small town character of the Town of Dryden, and the quality of life its residents enjoy, as the town continues to grow in the coming decades.” Despite the fact that oil and gas drilling has not historically been associated with Dryden, its location within the Marcellus Shale region has piqued the interest of the natural gas industry.

The Marcellus Shale formation covers a vast area across sections of a number of states, including New York, Pennsylvania, Ohio and West Virginia. Natural gas—primarily methane—is found in shale deposits buried thousands of feet below the surface and can be extracted through the combined use of horizontal drilling and hydrofracking. To access the natural gas, a well is drilled vertically to a location just above the target depth, at which point the well becomes a horizontal tunnel in order to maximize the number of pathways through which the gas may be removed. The process of hydraulic fracturing—commonly referred to as hydrofracking—can then commence. Hydrofracking involves the injection of large amounts of pressurized fluids (water and chemicals) to stimulate or fracture the shale formations, causing the release of the natural gas (*see generally* US

Dept of Energy, *Natural Gas from Shale: Questions and Answers* [Apr. 2013], available at http://www.energy.gov/sites/prod/files/2013/04/f0/complete_brochure.pdf [accessed June 18, 2014]).¹

In 2006, petitioner Norse Energy Corp. USA (Norse), through its predecessors, began acquiring oil and gas leases from landowners in Dryden for the purpose of exploring and developing natural gas resources.² The Town Board took the position that gas extraction activities were prohibited in Dryden because such operations fell within the catch-all provision of its zoning ordinance that precluded any uses not specifically allowed. Nevertheless, the Town Board decided to engage in a “clarification” of the issue. After holding a public hearing and reviewing a number of relevant scientific studies, the Town Board unanimously voted to amend the zoning ordinance in August 2011 to specify that all oil and gas exploration, extraction and storage activities were not permitted in Dryden. The amendment also purported to invalidate any oil and gas permit issued by a state or federal agency. In adopting the amendment, the Town Board declared that the industrial use of land in the “rural environment of Dryden” for natural gas purposes “would endanger the health, safety and general welfare of the community through the deposit of toxins into the air, soil, water, environment, and in the bodies of residents.”

A month later, Norse commenced this hybrid CPLR article 78 proceeding and declaratory judgment action to challenge the validity of the zoning amendment. Norse asserted that Dryden lacked the authority to prohibit natural gas exploration and extraction activities because section 23-0303 (2) of the Environmental Conservation Law (ECL)—the supersession clause in the Oil, Gas and Solution Mining Law—demonstrated that the state legislature intended to preempt local zoning laws that curtailed energy production. In response, Dryden moved for summary judgment, seeking a declaration that the zoning amendment was a valid exercise of its home rule powers.

1. There remains an ongoing public debate about the potential environmental and safety risks associated with shale gas production. Currently, there is a statewide moratorium on “high-volume hydraulic fracturing combined with horizontal drilling” pending further study of the associated environmental impacts (Executive Order [Paterson] No. 41 [9 NYCRR 7.41]; *see also* Executive Order [Cuomo] No. 2 [9 NYCRR 8.2]).

2. Norse has since initiated bankruptcy proceedings and Mark S. Wallach, as bankruptcy trustee, has been substituted as the petitioner. For ease of reference, petitioner in this case will continue to be referred to as Norse.

Supreme Court granted Dryden’s motion and declared the amendment valid with one exception—it struck down the provision invalidating state and federal permits (35 Misc 3d 450 [Sup Ct, Tompkins County 2012]). The Appellate Division affirmed, rejecting Norse’s claim that the OGSML preempted Dryden’s zoning amendment (108 AD3d 25 [3d Dept 2013]). We granted Norse leave to appeal (21 NY3d 863 [2013]).

Cooperstown Holstein Corporation v Town of Middlefield

Defendant Town of Middlefield, which includes a portion of the Village of Cooperstown, is located in Otsego County, New York, and its principal industries are agriculture and tourism. Its land use is regulated by a master plan and zoning ordinance. Similar to Dryden, there has been no oil or gas presence in Middlefield until 2007, when plaintiff Cooperstown Holstein Corporation (CHC) executed two leases with a landowner to explore the possibility of developing natural gas resources through hydrofracking.

Although the Town claimed that its zoning ordinance already prohibited natural gas exploration on the basis that it was not listed as a permissible land use, it undertook a lengthy and detailed review of the issue in 2011. After commissioning a study to weigh the impacts that hydrofracking would have on Middlefield and conducting public meetings, the Town Board, by a unanimous vote, amended its master plan to adopt a zoning provision classifying a range of heavy industrial uses, including oil, gas and solution mining and drilling, as prohibited uses. The Town Board reasoned that the “Cooperstown area is known worldwide for its clean air, clean water, farms, forests, hills, trout streams, scenic viewsheds, historic sites, quaint village and hamlets, rural lifestyle, recreational activities, sense of history, and history of landscape conservation,” and concluded that industrialization, such as hydrofracking, would “eliminate many of these features” and “irreversibly overwhelm the rural character of the Town.”

CHC promptly brought this action to set aside the zoning law, contending that it was preempted by the supersession provision in the OGSML. CHC and Middlefield each moved for summary judgment. Supreme Court denied CHC’s motion and granted Middlefield’s cross motion to dismiss the complaint, upholding the legality of the zoning law (35 Misc 3d 767 [Sup Ct, Otsego County 2012]). The Appellate Division affirmed (106 AD3d 1170 [3d Dept 2013]), and we granted CHC leave to appeal (21 NY3d 863 [2013]).

II.

On appeal, Norse and CHC, supported by several amici curiae, press their contention that Dryden and Middlefield (collectively, the Towns) lacked the authority to proscribe hydrofracking and associated natural gas activities within their town boundaries. They assert that the energy policy of New York, as exemplified by the statewide OGSML, requires a uniform approach and cannot be subject to regulation by a melange of the state's 932 towns. They maintain that the OGSML contains a supersession clause that expressly preempts all local zoning laws, like those enacted by the Towns, which restrict or forbid oil and gas operations on real property within a municipality. The Towns, joined by other amici curiae, respond that the courts below correctly concluded that they acted within their home rule authority in adopting the challenged local laws. They urge that the ability of localities to restrict the industrial use of land with the aims of preserving the characteristics of their communities and protecting the health, safety and general welfare of their citizens implicates the very essence of municipal governance. They further contend that, when analyzed under the principles set forth in our precedent, the OGSML and its supersession clause do not extinguish their zoning powers. Unlike our dissenting colleagues, we believe that the Towns have the better argument.

Our analysis begins with a review of the source of municipal authority to regulate land use and the limits the State may impose on this power. Article IX, the "home rule" provision of the New York Constitution, states that "every local government shall have power to adopt and amend local laws not inconsistent with the provisions of this constitution or any general law . . . except to the extent that the legislature shall restrict the adoption of such a local law" (NY Const, art IX, § 2 [c] [ii]). To implement this constitutional mandate, the state legislature enacted the Municipal Home Rule Law, which empowers local governments to pass laws both for the "protection and enhancement of [their] physical and visual environment" (Municipal Home Rule Law § 10 [1] [ii] [a] [11]) and for the "government, protection, order, conduct, safety, health and well-being of persons or property therein" (Municipal Home Rule Law § 10 [1] [ii] [a] [12]). The legislature likewise authorized towns to enact zoning laws for the purpose of fostering "the health, safety, morals, or the general welfare of the community" (Town Law § 261; *see also* Statute of Local Governments § 10 [6] [granting

towns “the power to adopt, amend and repeal zoning regulations”). As a fundamental precept, the legislature has recognized that the local regulation of land use is “[a]mong the most important powers and duties granted . . . to a town government” (Town Law § 272-a [1] [b]).

We, too, have designated the regulation of land use through the adoption of zoning ordinances as one of the core powers of local governance (*see DJL Rest. Corp. v City of New York*, 96 NY2d 91, 96 [2001]). Without question, municipalities may “enact land-use restrictions or controls to enhance the quality of life by preserving the character and desirable aesthetic features of [the community]” (*Trustees of Union Coll. in Town of Schenectady in State of N.Y. v Members of Schenectady City Council*, 91 NY2d 161, 165 [1997] [internal quotation marks and citation omitted]). And we have repeatedly highlighted the breadth of a municipality’s zoning powers to “provide for the development of a balanced, cohesive community” in consideration of “regional needs and requirements” (*Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668, 683 [1996]; *see also Udell v Haas*, 21 NY2d 463, 469 [1968] [“Underlying the entire concept of zoning is the assumption that zoning can be a vital tool for maintaining a civilized form of existence”]).

That being said, as a political subdivision of the State, a town may not enact ordinances that conflict with the State Constitution or any general law (*see Municipal Home Rule Law* § 10 [1] [i], [ii]). Under the preemption doctrine, a local law promulgated under a municipality’s home rule authority must yield to an inconsistent state law as a consequence of “the untrammelled primacy of the Legislature to act with respect to matters of State concern” (*Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372, 377 [1989] [internal quotation marks, ellipses and citation omitted]). But we do not lightly presume preemption where the preeminent power of a locality to regulate land use is at stake. Rather, we will invalidate a zoning law only where there is a “clear expression of legislative intent to preempt local control over land use” (*Gernatt*, 87 NY2d at 682).

Aware of these principles, Norse and CHC do not dispute that, absent a state legislative directive to the contrary, municipalities would ordinarily possess the home rule authority to restrict the use of land for oil and gas activities in furtherance of local interests. They claim, however, that the state legislature has clearly expressed its intent to preempt zoning laws of local governments through the OGSML’s “supersession clause,” which reads:

“The provisions of this article [i.e., the OGSML] shall supersede *all local laws or ordinances relating to the regulation of the oil, gas and solution mining industries*; but shall not supersede local government jurisdiction over local roads or the rights of local governments under the real property tax law” (ECL 23-0303 [2] [emphasis added]).

According to Norse and CHC, this provision should be interpreted broadly to reach zoning laws that restrict, or, as presented here, prohibit oil and gas activities, including hydrofracking, within municipal boundaries.

We do not examine the preemptive sweep of this supersession clause on a blank slate. The scope of section 23-0303 (2) must be construed in light of our decision in *Matter of Frew Run Gravel Prods. v Town of Carroll* (71 NY2d 126 [1987]), which articulated the analytical framework to determine whether a supersession clause expressly preempts a local zoning law. There, we held that this question may be answered by considering three factors: (1) the plain language of the supersession clause; (2) the statutory scheme as a whole; and (3) the relevant legislative history. The goal of this three-part inquiry, as with any statutory interpretation analysis, is to discern the legislature’s intent.³ Before applying the tripartite test to the supersession clause at issue, it is necessary to discuss *Frew Run* in more detail as that precedent bears directly on the outcome of these cases.

At issue in *Frew Run* was the validity of the Town of Carroll’s zoning ordinance establishing a zoning district where sand and gravel operations were not permitted. A company seeking to open a sand and gravel mine in the town challenged the zoning law, arguing that it was preempted by the supersession clause in the statewide Mined Land Reclamation Law (MLRL), which, at the time, provided:

“For the purposes stated herein, this title shall supersede all other state and *local laws relating to the extractive mining industry*; provided, however, that nothing in this title shall be construed to

3. In *Frew Run*, we found that the preemption issue was a matter of statutory construction and not a search for implied preemption because the legislature had included an express supersession clause within the Mined Land Reclamation Law, the relevant statutory scheme (*see Frew Run*, 71 NY2d at 130-131).

prevent any local government from enacting local zoning ordinances or other local laws which impose stricter mined land reclamation standards or requirements than those found herein” (ECL 23-2703 [former (2)] [emphasis added]).

We rejected the mining company’s contention that the clause preempted the land use restriction, explaining that the plain language of the phrase “local laws relating to the extractive mining industry” did not encompass zoning provisions. Instead, we held that the zoning law “relates not to the extractive mining industry but to an entirely different subject matter and purpose . . . the use of land in the Town of Carroll” (*Frew Run*, 71 NY2d at 131 [internal quotation marks and citation omitted]). Drawing a distinction between local regulations addressing “the actual operation and process of mining” and zoning laws regulating land use generally, we concluded that only the former category was preempted by the MLRL’s supersession clause (*id.* at 133). In effect, local laws that purported to regulate the “how” of mining activities and operations were preempted whereas those limiting “where” mining could take place were not (*see id.* at 131).

We further determined that our plain language construction of the supersession clause in *Frew Run* was consistent with the MLRL as a whole and its legislative history—the second and third factors. We noted that the binary purposes of the MLRL were “to foster a healthy, growing mining industry” and to “aid in assuring that land damaged by mining operations is restored to a reasonably useful and attractive condition” (*id.* at 132 [internal quotation marks and citation omitted]), and that the legislative history reflected a goal of promoting the “mining industry by the adoption of standard and uniform restrictions and regulations to replace the existing patchwork system of local ordinances” (*id.* [internal quotation marks, brackets and citation omitted]). From the statutory scheme and legislative history, we discerned that the “sole purpose” of the supersession clause was to prevent localities from enacting ordinances “dealing with the actual operation and process of mining” because such laws would “frustrate the statutory purpose of encouraging mining through standardization of regulations pertaining to mining operations” (*id.* at 133). In contrast, zoning laws restricting the location of mining operations within a town fell outside the preemptive orbit of the clause because “nothing in the Mined Land Reclamation Law or its history

. . . suggests that its reach was intended to be broader than necessary to preempt conflicting regulations dealing with mining operations and reclamation of mined lands” (*id.*).

Guided by these principles, we now apply *Frew Run*’s three-part inquiry to the OGSML’s supersession clause.

(1) Plain Language

The first factor in assessing whether a supersession provision preempts local control over land use requires us to examine the words of the clause itself. And because the text of a statutory provision “is the clearest indicator of legislative intent” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]), this factor is most important.

The operative text of the OGSML’s supersession clause is quite close to the provision we analyzed in *Frew Run*, preempting local laws “relating to the regulation of the oil, gas and solution mining industries” (ECL 23-0303 [2]; *compare* ECL 23-2703 [former (2)] [preempting local laws “relating to the extractive mining industry”]). Based on the similarities between the two state statutes, we decline the invitation of Norse and CHC to ascribe a broader meaning to the language used in the OGSML. To the contrary, the distinction we drew in *Frew Run* applies with equal force here, such that ECL 23-0303 (2) is most naturally read as preempting only local laws that purport to regulate the actual operations of oil and gas activities, not zoning ordinances that restrict or prohibit certain land uses within town boundaries. Plainly, the zoning laws in these cases are directed at regulating land use generally and do not attempt to govern the details, procedures or operations of the oil and gas industries. Although the zoning laws will undeniably have an impact on oil and gas enterprises, as in *Frew Run*, “this incidental control resulting from the municipality’s exercise of its right to regulate land use through zoning is not the type of regulatory enactment relating to the [oil, gas and solution mining industries] which the Legislature could have envisioned as being within the prohibition of the statute” (*Frew Run*, 71 NY2d at 131).

Nevertheless, Norse and CHC, relying on the secondary clause in the OGSML’s supersession provision—preserving “local government jurisdiction over local roads or the rights of local governments under the real property tax law” (ECL 23-0303 [2])—contend that the operative text cannot be limited to local laws that purport to regulate the actual operations of oil and

gas companies. They submit that the secondary clause's exemption of local jurisdiction over roads and taxes makes sense only if the preemptive span of the operative text is broader than we have allowed because roads and taxes are not associated with "operations." Consequently, they argue that there would have been no need for the legislature to exclude them from the operative language if supersession was limited to local laws aimed at oil and gas operations.

We find this textual argument misplaced because local regulation of roads and taxes can fairly be characterized as touching on the operations of the oil and gas industries and would have been preempted absent the secondary savings clause. The state legislature's decision to preserve "local government jurisdiction over local roads" was appropriate given the heavy truck and equipment traffic typically associated with oil and gas production, including water and wastewater hauling. Local laws dictating the number of daily truck trips or the weight and length of vehicles bear directly on industry operations and would otherwise be preempted absent the secondary clause. Similarly, the preservation of "the rights of local governments under the real property tax law" must be read in conjunction with section 594 of the Real Property Tax Law, which allows municipalities to impose taxes on oil and gas businesses. Because these special taxes are based on the level of production, they can be viewed as affecting the operations of the oil and gas industry, such that it was reasonable for the legislature to carve out an exception from the preemptive scope of the operative text. We are therefore unpersuaded by the claim of Norse and CHC that the plain language of ECL 23-0303 (2) as a whole supports preemption of the Towns' zoning laws.⁴

4. Norse and CHC also assert that we should not follow *Frew Run* because of a difference between the language used in the supersession clause in that case and the OGSML's supersession provision. They point out that the savings portion of the MLRL clause discussed in *Frew Run* explicitly preserved the ability of municipalities to enact "local zoning ordinances" (ECL 23-2703 [former (2)]) and contend that, had the legislature intended to reserve local zoning powers in the OGSML's supersession clause, it would have similarly included those powers in the secondary exemption language. But Norse's and CHC's position does not withstand closer scrutiny. The savings clause in *Frew Run* did not broadly protect all local zoning laws; rather, it reserved only "local zoning ordinances or other local laws which impose *stricter mined land reclamation standards* or requirements than those found [in the MLRL]" (ECL 23-2703 [former (2)] [emphasis added]). In *Frew Run*, we explained that

(n. cont'd)

Indeed, it is instructive to compare the OGSML's supersession clause to other statutes that clearly preempt home rule zoning powers. Unlike ECL 23-0303 (2), such provisions often explicitly include zoning in the preemptive language employed by the legislature (*see e.g.* ECL 27-1107 [prohibiting municipalities from requiring "any approval, consent, permit, certificate or other condition including conformity with local zoning or land use laws and ordinances" for the siting of hazardous waste facilities]; Mental Hygiene Law § 41.34 [f] ["A community residence established pursuant to this section and family care homes shall be deemed a family unit, for the purposes of local laws and ordinances"]; Racing, Pari-Mutuel Wagering and Breeding Law § 1366 ["Notwithstanding any inconsistent provision of law, gaming authorized at a location pursuant to this article shall be deemed an approved activity for such location under the relevant city, county, town, or village land use or zoning ordinances, rules, or regulations"]).

Further, the legislative schemes of which these preemption clauses are a part typically include other statutory safeguards that take into account local considerations that otherwise would have been protected by traditional municipal zoning powers (*see e.g.* ECL 27-1103 [2] [g] [requiring the Department of Environmental Conservation to consider the "impact on the municipality where the facility is to be sited in terms of health, safety, cost and consistency with local planning, zoning or land use laws and ordinances"]; Mental Hygiene Law § 41.34 [c] [allowing municipalities a means of objecting to the placement of community residential facilities]; Racing, Pari-Mutuel Wagering and Breeding Law § 1320 [2] [mandating the consideration of local impacts and community support in the siting of gaming facilities]). Norse and CHC are unable to point to any comparable measures in the OGSML that account for the salient local interests in the context of drilling and hydrofracking activities.

although the preemptive reach of the operative text precluded any local law purporting to regulate the operations of *mining* activities, the limited carve-out allowed municipalities to adopt more stringent requirements for distinct *reclamation* operations, a result that was "consistent with the statute's overall aim of protecting the environment" (*Frew Run*, 71 NY2d at 133). Contrary to the suggestion of Norse and CHC, we did not uphold the town's zoning restriction in *Frew Run* based on the secondary savings clause—it did not fall within that provision because it was not aimed at reclamation projects. Rather, we held more generally that the preemptive text simply did not encompass the zoning law in the first place. So too with the operative portion of the OGSML's supersession provision.

In sum, the plain language of ECL 23-0303 (2) does not support preemption with respect to the Towns' zoning laws.

(2) Statutory Scheme

The second factor relevant to discerning whether a supersession clause preempts local zoning powers involves an assessment of the clause's role in the statutory framework as a whole. We therefore turn to the OGSML—article 23 of the Environmental Conservation Law.

The stated purposes of the OGSML are fourfold: (i) “to regulate the development, production and utilization of natural resources of oil and gas in this state in such a manner as will prevent waste”; (ii) “to authorize and to provide for the operation and development of oil and gas properties in such a manner that a greater ultimate recovery of oil and gas may be had”; (iii) to protect the “correlative rights of all owners and the rights of all persons including landowners and the general public”; and (iv) to regulate “the underground storage of gas, the solution mining of salt and geothermal, stratigraphic and brine disposal wells” (ECL 23-0301).

In furtherance of these goals, the OGSML sets forth a detailed regime under which the New York State Department of Environmental Conservation is entrusted to regulate oil, gas and solution mining activities and to promulgate and enforce appropriate rules. In particular, the Department is empowered to “[r]equire the drilling, casing, operation, plugging and re-plugging of wells and reclamation of surrounding land in accordance with the rules and regulations of the department” (ECL 23-0305 [8] [d]); enter and plug or replug abandoned wells when the owner has violated Department regulations (ECL 23-0305 [8] [e]); compel operators to furnish the Department with a bond to ensure compliance (ECL 23-0305 [8] [k]); order the immediate suspension of drilling operations that are in violation of Department regulations (ECL 23-0305 [8] [g]); require operators to file well logs and samples with the Department (ECL 23-0305 [8] [i]); grant well permits for oil and gas drilling (ECL 23-0501); issue orders governing the appropriate spacing between oil and gas wells to promote efficient drilling and prevent waste (ECL 23-0503); oversee the integration of oil and gas fields to prevent waste (ECL 23-0701, 23-0901); execute leases on behalf of the State for oil and gas exploration and production (ECL 23-1101); and issue permits for underground storage reservoirs (ECL 23-1301).

Based on these provisions, it is readily apparent that the OGSML is concerned with the Department's regulation and authority regarding the safety, technical and operational aspects of oil and gas activities across the State. The supersession clause in ECL 23-0303 (2) fits comfortably within this legislative framework since it invalidates local laws that would intrude on the Department's regulatory oversight of the industry's operations, thereby ensuring uniform exploratory and extraction processes related to oil and gas production. Similar to the scope of the MLRL in *Frew Run*, we perceive nothing in the various provisions of the OGSML indicating that the supersession clause was meant to be broader than required to preempt conflicting local laws directed at the technical operations of the industry.

And contrary to the position advanced by Norse and CHC, we see no inconsistency between the preservation of local zoning authority and the OGSML's policies of preventing "waste" and promoting a "greater ultimate recovery of oil and gas" (ECL 23-0301), or the statute's spacing provisions for wells (*see* ECL 23-0501, 23-0503). Waste is used as a term of art in the OGSML meaning, among other things, the "inefficient, excessive or improper use of, or the unnecessary dissipation of reservoir energy" and the "locating, spacing, drilling, equipping, operating, or producing of any oil or gas well or wells in a manner which causes or tends to cause reduction in the quantity of oil or gas ultimately recoverable" (ECL 23-0101 [20] [b], [c]). The OGSML's overriding concern with preventing waste is limited to inefficient or improper drilling activities that result in the unnecessary waste of natural resources. Nothing in the statute points to the conclusion that a municipality's decision not to permit drilling equates to waste. The OGSML's related goal of ensuring a "greater ultimate recovery" and its well-spacing provisions—designed to limit the number of wells that may be drilled into an underground pool of oil or gas—are likewise directly related to the concept of waste prevention and do not compel a different result. As the Appellate Division below aptly observed in the *Dryden* case:

"the well-spacing provisions of the OGSML concern technical, operational aspects of drilling and are separate and distinct from a municipality's zoning authority, such that the two do not conflict, but rather, may harmoniously coexist; the zoning law will dictate in which, if any, districts drilling may occur, while the OGSML instructs operators as to

the proper spacing of the units within those districts in order to prevent waste” (108 AD3d at 37).

Consequently, our interpretation of the OGSML’s supersession clause is consistent with the overarching statutory structure.⁵

(3) Legislative History

The third and final factor for review in deciding whether the supersession clause preempts local zoning powers requires that we examine the OGSML’s legislative history.

The roots of the OGSML extend back to the Interstate Compact to Conserve Oil and Gas, a multi-state agreement created in 1935 and sanctioned by Congress to address the national problem of overproduction of oil and gas pools and the resulting waste caused by unchecked, unspaced and inefficient drilling. In 1941, New York joined the Interstate Compact, whose sole purpose was “to conserve oil and gas by the prevention of physical waste thereof from any cause” (ECL 23-2101 [codification of the Interstate Compact]). More than 20 years later, in conjunction with New York’s participation in the Interstate Compact, the state legislature enacted a comprehensive statutory framework for promoting the conservation of oil and gas resources—the forerunner to the OGSML—in section 70 *et seq.* of the former Conservation Law (L 1963, ch 959). As originally enacted, the statute’s stated policy was, in part, “to foster, encourage and promote the development, production and utilization of natural resources of oil and gas in this state in such a manner as will prevent waste” (former Conservation Law § 70).⁶

In 1978, the state legislature amended the OGSML to modify its policy by replacing the phrase “*to foster, encourage and*

5. Norse and CHC also claim that the OGSML’s policy of protecting correlative rights (*see* ECL 23-0301) militates in favor of a broader reading of the supersession clause. But the concept of correlative rights—under which “each landowner is entitled to be compensated for the production of the oil or gas located in the pool beneath his or her property regardless of the location of the well that effects its removal”—is not synonymous with the right to drill (*Matter of Western Land Servs., Inc. v Department of Envtl. Conservation of State of N.Y.*, 26 AD3d 15, 17 [3d Dept 2005]). Moreover, our reading of the supersession clause is in accord with ECL 23-0301’s stated purpose of ensuring the rights of the “general public.”

6. In 1972, the relevant portions of the Conservation Law were replaced with the Environmental Conservation Law, and section 70 *et seq.* of the Conservation Law was recodified at section 23-0101 *et seq.* of the Environmental Conservation Law (L 1972, ch 664, § 2). A year later, the statutory regime was denominated the OGSML by the legislature (L 1973, ch 922, § 2; *see also* ECL 23-0102).

promote the development, production and utilization of natural resources of oil and gas in this state in such a manner as will prevent waste” with “*to regulate* the development, production and utilization of natural resources of oil and gas in this state in such a manner as will prevent waste” (ECL 23-0301, as amended by L 1978, ch 396, § 1 [emphasis added]). The legislation also transferred the task of encouraging and promoting the prudent development of New York’s energy resources to the Energy Law (*see* Energy Law § 3-101, as amended by L 1978, ch 396, § 2) for the purpose of establishing “the Energy Office as the State agency primarily responsible for promoting the development of energy resources” and removing “such promotional responsibilities from the Department of Environmental Conservation which would, however, retain regulatory responsibilities over such resources” (Governor’s Program Bill Mem at 1, Bill Jacket, L 1978, ch 396).

Subsequently, the supersession clause at issue was adopted by the state legislature in 1981 in conjunction with amendments to various statutes such as the Finance Law, the ECL and the Real Property Tax Law (L 1981, ch 846). The 1981 amendments also imposed new drilling fees (*see* ECL 23-1903, as added by L 1981, ch 846, § 14), created monetary sanctions for violations of the OGSML (*see* ECL 71-1307, as added by L 1981, ch 846, § 17), and set up an oil and gas fund. The legislative history reflects that, prior to the amendments, the Department of Environmental Conservation had been unable “to effectively regulate and service the industry” because recent growth in drilling had exceeded the Department’s capabilities (Sponsor’s Mem at 2, Bill Jacket, L 1981, ch 846). Explaining that the Department was finding it difficult to fulfill its “regulatory responsibilities” under its existing funding and powers, Governor Hugh Carey confirmed that the amendments were needed to provide the Department with the monies required to implement its “updated regulatory program” as well as “additional enforcement powers necessary to enable it to provide for the efficient, equitable and environmentally safe development of the State’s oil and gas resources” (Governor’s Approval Mem at 1-2, Bill Jacket, L 1981, ch 846). The legislative history, however, sheds no additional light on the supersession clause, referencing it only once with no elaboration (*see* Budget Report on Bills at 1, Bill Jacket, L 1981, ch 846 [“The existing and amended oil and gas law would supersede all local laws or ordinances regulating the oil, gas, and solution mining industries”]).

Nothing in the legislative history undermines our view that the supersession clause does not interfere with local zoning laws regulating the permissible and prohibited uses of municipal land. Indeed, the pertinent passages make no mention of zoning at all, much less evince an intent to take away local land use powers. Rather, the history of the OGSML and its predecessor makes clear that the state legislature's primary concern was with preventing wasteful oil and gas practices and ensuring that the Department had the means to regulate the technical operations of the industry.

In sum, application of the three *Frew Run* factors—the plain language, statutory scheme and legislative history—to these appeals leads us to conclude that the Towns appropriately acted within their home rule authority in adopting the challenged zoning laws. We can find no legislative intent, much less a requisite “clear expression,” requiring the preemption of local land use regulations.

III.

As a fallback position, Norse and CHC suggest that, even if the OGSML's supersession clause does not preempt all local zoning laws, it should be interpreted as preempting zoning ordinances, like the two here, that completely prohibit hydrofracking. In their view, supported by the dissent, it may be valid to restrict oil and gas operations from certain residential areas of a town—much like the zoning law in *Frew Run*—but an outright ban goes too far and cannot be seen as anything but a local law that regulates the oil and gas industry, thereby running afoul of the supersession clause. But this contention is foreclosed by *Matter of Gernatt Asphalt Prods. v Town of Sardinia* (87 NY2d 668 [1996]), our decision following *Frew Run*.

In *Gernatt*—decided after the legislature had codified *Frew Run*'s holding in an amendment to the MLRL's supersession clause—the Town of Sardinia amended its zoning ordinance to eliminate all mining as a permitted use throughout the town. A mining company challenged the zoning law under the MLRL's supersession clause and, in an argument mirroring the one advanced by Norse and CHC, asserted that *Frew Run* left “municipalities with the limited authority to determine in *which* zoning districts mining may be conducted but not the authority to prohibit mining in *all* zoning districts” (*Gernatt*, 87 NY2d at 681). We squarely rejected this cramped reading of *Frew Run*, reiterating that “zoning ordinances are not the type of regula-

tory provision the Legislature foresaw as preempted by the Mined Land Reclamation Law; the distinction is between ordinances that regulate property uses and ordinances that regulate mining activities” (*id.* at 681-682 [emphasis omitted]). We held that nothing in *Frew Run* or the MLRL obligated a town that “contains extractable minerals . . . to permit them to be mined somewhere within the municipality” (*id.* at 683). Put differently, in a passage that has particular resonance here, we explained:

“A municipality is not obliged to permit the exploitation of any and all natural resources within the town as a permitted use if limiting that use is a reasonable exercise of its police powers to prevent damage to the rights of others and to promote the interests of the community as a whole” (*id.* at 684).

Manifestly, Dryden and Middlefield engaged in a reasonable exercise of their zoning authority as contemplated in *Gernatt* when they adopted local laws clarifying that oil and gas extraction and production were not permissible uses in any zoning districts. The Towns both studied the issue and acted within their home rule powers in determining that gas drilling would permanently alter and adversely affect the deliberately-cultivated, small-town character of their communities. And contrary to the dissent’s posture, there is no meaningful distinction between the zoning ordinance we upheld in *Gernatt*, which “eliminate[d] mining as a permitted use” in Sardinia (*id.* at 683), and the zoning laws here classifying oil and gas drilling as prohibited land uses in Dryden and Middlefield. Hence, Norse’s and CHC’s position that the town-wide nature of the hydrofracking bans rendered them unlawful is without merit, as are their remaining contentions.

IV.

At the heart of these cases lies the relationship between the State and its local government subdivisions, and their respective exercise of legislative power. These appeals are not about whether hydrofracking is beneficial or detrimental to the economy, environment or energy needs of New York, and we pass no judgment on its merits. These are major policy questions for the coordinate branches of government to resolve. The discrete issue before us, and the only one we resolve today, is whether the state legislature eliminated the home rule capacity of municipalities to pass zoning laws that exclude oil, gas and

hydrofracking activities in order to preserve the existing character of their communities. There is no dispute that the state legislature has this right if it chooses to exercise it. But in light of ECL 23-0303 (2)'s plain language, its place within the OGSML's framework and the legislative background, we cannot say that the supersession clause—added long before the current debate over high-volume hydrofracking and horizontal drilling ignited—evinces a clear expression of preemptive intent. The zoning laws of Dryden and Middlefield are therefore valid.

Accordingly, in each case, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). Environmental Conservation Law § 23-0303 (2) states that “[t]he provisions of this article shall supersede *all* local laws or ordinances *relating* to the regulation of the oil, gas and solution mining industries; but shall not supersede local government jurisdiction over local roads or the rights of local governments under the real property tax law” (emphasis supplied). Municipalities may without a doubt regulate land use through enactment of zoning laws, but, in my view, the particular zoning ordinances in these cases relate to the regulation of the oil, gas and solution mining industries and therefore encroach upon the Department of Environmental Conservation's regulatory authority. For this reason, I respectfully dissent.

The zoning ordinances of Dryden and Middlefield do more than just regulate land use, they regulate oil, gas and solution mining industries under the pretext of zoning (*see* Zoning Ordinance of Town of Dryden § 2104 [1] [“Prohibited Uses (1) Prohibition against the Exploration for or Extraction (of) Natural Gas and/or Petroleum”]; Zoning Ordinance of Town of Middlefield art II [B] [7]; art V [A] [“Prohibited Uses: Heavy industry and all oil, gas or solution mining and drilling are prohibited uses”]).

In *Matter of Frew Run Gravel Prods. v Town of Carroll* (71 NY2d 126 [1987])—a case involving a supersession clause contained in the Mined Land Reclamation Law (MLRL) (*see* former ECL 23-2703 [2])*—we made clear that there is a distinction between zoning ordinances that regulate land use and local

* This statute provided that the MLRL “shall supersede all other state and local laws relating to the extractive mining industry, provided, however, that nothing in this title shall be construed to prevent any local government from enacting local ordinances or other local laws which impose stricter mined land reclamation standards or requirements than those found herein.”

ordinances that regulate the mining industry. The former, which involve the division of the municipality into zones and the establishment of permitted uses within those zones, relate not to the extractive mining industry, but rather, to the regulation of land use generally (see *Frew Run*, 71 NY2d at 131).

The ordinances here, however, do more than just “regulate land use generally” (*id.*), they purport to regulate the oil, gas and solution mining activities within the respective towns, creating a blanket ban on an entire industry without specifying the zones where such uses are prohibited. In light of the language of the zoning ordinances at issue—which go into great detail concerning the prohibitions against the storage of gas, petroleum exploration and production materials and equipment in the respective towns—it is evident that they go above and beyond zoning and, instead, regulate those industries, which is exclusively within the purview of the Department of Environmental Conservation. In this fashion, prohibition of certain activities is, in effect, regulation.

Unlike the situation in *Matter of Gernatt Asphalt Prods. v Town of Sardinia* (87 NY2d 668 [1996])—which involved a zoning ordinance that eliminated mining as a permitted use in all districts—the ordinances in these appeals do more than just delineate prohibited uses. Where zoning ordinances encroach upon the DEC’s regulatory authority and extend beyond the municipality’s power to regulate land use generally, the ordinances have run afoul of ECL 23-0303 (2).

Chief Judge LIPPMAN and Judges READ, RIVERA and ABDUS-SALAAM concur with Judge GRAFFEO; Judge PIGOTT dissents in an opinion in which Judge SMITH concurs.

In each case: Order affirmed, with costs.

[16 NE3d 1204, 992 NYS2d 726]

PATRICK LYNCH, as President of the Patrolmen's Benevolent Association of the City of New York, Inc., et al., Respondents,
v CITY OF NEW YORK et al., Appellants.

Argued May 8, 2014; decided June 30, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 16, 2013. The Appellate Division modified, on the law, so much of an order of the Supreme Court, New York County (Carol R. Edmead, J.; op 2012 NY Slip Op 33199[U] [2012]), entered in an action converted to a proceeding pursuant to CPLR article 78, as had (1) granted plaintiffs/petitioners' motion for partial summary judgment declaring defendant/respondent City of New York to be in violation of Retirement and Social Security Law § 480 (b) (i) and (ii) by failing to contribute required amounts to the pensions of members of the New York City Police Pension Fund and the New York City Fire Department Pension Fund who are in tier 3 of the City's pension system, and (2) granted defendants/respondents' motion to dismiss plaintiffs/petitioners' second, third, and fifth causes of action. The modification consisted of (1) denying defendants/respondents' motion as to the fifth cause of action (conversion) as against defendant/respondent City of New York; and (2) granting plaintiffs/petitioners' motion for summary judgment on the issue of defendant/respondent City of New York's liability for conversion. The Appellate Division affirmed the order as modified. The Appellate Division certified the following question: "Was the order of this Court, which modified and otherwise affirmed the order of the Supreme Court, properly made?"

Lynch v City of New York, 108 AD3d 94, reversed.

HEADNOTE

Civil Service — Retirement and Pension Benefits — Increased-Take-Home-Pay Benefit for Certain Police and Firefighters — Members of Tier 3 Retirement System

Retirement and Social Security Law § 480 (b) did not require defendant/respondent City of New York to make "Increased-Take-Home-Pay" (ITHP) pension contributions on behalf of New York City police officers and firefighters appointed on or after July 1, 2009. Those public employees were tier 3 members of the New York City Police Pension Fund and the New York City Fire Department Pension Fund, and the City properly deducted 3% from their

gross annual wages as mandatory employee pension contributions. Section 480 (b) only encompasses temporary programs in place as of 1974 for tier 1 and 2 members of a public employee retirement system; it does not obligate a public employer to pay any portion of a tier 3 public employee's statutorily required pension contribution. Although section 480 (b) does not identify, and therefore does not on its face limit, the tier of the members of the state and local public retirement systems who benefit from the temporary programs that it encompasses, the legislative history that exists reflects a common understanding that ITHP is a benefit available only to tier 1 and 2 employees. Moreover, such an interpretation of section 480 (b) is consistent with the overall design of New York's tiered public employee pension systems and the series of pension reforms implemented to reduce public employers' pension costs.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Pensions and Retirement Benefits §§ 1081–1084, 1091, 1098, 1117–1119, 1138, 1142–1148.

CARMODY-WAIT 2d, Complaints in Particular Actions § 29:223; CARMODY-WAIT 2d, Proceedings Against a Body or Officer §§ 145:1010–145:1012, 145:1026, 145:1065, 145:1109, 145:1123–145:1126.

McKINNEY'S, Retirement and Social Security Law § 480 (b).

NY JUR 2d, Counties, Towns, and Municipal Corporations § 935; NY JUR 2d, Pensions and Retirement Systems §§ 70, 78, 85–86, 105, 170, 183–185, 197, 214–216, 287, 341.

ANNOTATION REFERENCE

See ALR Index under Fire Departments and Firefighters; Municipal Corporations; Pensions and Retirement; Police and Law Enforcement Officers; Public Officers and Employees.

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POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Keith M. Snow, Leonard Koerner and Paul T. Rephen* of counsel), for appellants. Police officers and firefighters appointed on or after July 1, 2009 are members of tier 3 of the Retirement and Social Security Law. All tier 3 members are required to contribute three percent of their salaries annually

towards their retirement. There is no provision in tier 3 for “Increased-Take-Home-Pay” (ITHP) or any offset of member pension contributions by the employer. The application of ITHP to these tier 3 members would have the effect of making their plans noncontributory, which would be contrary to the legislative intent in creating that tier.

Dechert LLP, New York City (*James M. McGuire* and *Edward A. McDonald* of counsel), and *Michael T. Murray*, *Patrolmen’s Benevolent Association of the City of New York, Inc.* (*Allison E. Maue* of counsel), for Patrick Lynch and another, respondents. I. The City of New York has violated its obligations under Retirement and Social Security Law § 480 to tier 3 police officers. (*Pultz v Economakis*, 10 NY3d 542; *Matter of Theroux v Reilly*, 1 NY3d 232; *Doctors Council v New York City Employees’ Retirement Sys.*, 71 NY2d 669; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *People v Miller*, 18 NY3d 704; *Eaton v New York City Conciliation & Appeals Bd.*, 56 NY2d 340; *Rapp v Carey*, 44 NY2d 157; *Matter of Broidrick v Lindsay*, 39 NY2d 641; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *Farrington v Pinckney*, 1 NY2d 74.) II. The City of New York unlawfully converted the wages of tier 3 police officers.

Seelig Law Offices, LLC, New York City (*Philip H. Seelig* of counsel), for Roy Richter and another, respondents. The plain language of Retirement and Social Security Law § 480 (b) requires the City of New York to contribute up to five percent toward all police officers’ and firefighters’ pensions, regardless of tier. The legislature’s intent and the history of amendments to Retirement and Social Security Law § 480 (b) demonstrate that “Increased-Take-Home-Pay” applies to all police officers and firefighters. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Caminetti v United States*, 242 US 470; *Matter of Theroux v Reilly*, 1 NY3d 232; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *Brady v Village of Malverne*, 76 AD3d 691.)

Gleason Dunn Walsh & O’Shea, Albany (*Ronald G. Dunn* of counsel), for Sergeants Benevolent Association of the City of New York, Inc., amicus curiae. The plain language of Retirement and Social Security Law § 480 dictates that tier 3 police officers be provided the “Increased-Take-Home-Pay” benefit. (*Pultz v Economakis*, 10 NY3d 542; *Matter of Theroux v Reilly*, 1 NY3d 232; *Doctors Council v New York City Employees’ Retire-*

ment Sys., 71 NY2d 669; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *People v Miller*, 18 NY3d 704; *Eaton v New York City Conciliation & Appeals Bd.*, 56 NY2d 340; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *People v Grasso*, 42 AD3d 126, 11 NY3d 64.)

Certilman Balin Adler & Hyman, LLP, East Meadow (Paul S. Linzer of counsel), for Uniformed Firefighters Association of Greater New York, Local 94, IAFF, AFL-CIO, amicus curiae. I. The clear and unmistakable language of Retirement and Social Security Law § 480 (b) (i) and (ii) mandates that the City of New York must apply the “Increased-Take-Home-Pay” benefit to all uniformed fire and police members, regardless of the pension tier to which they belong. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Caminetti v United States*, 242 US 470; *Matter of Theroux v Reilly*, 1 NY3d 232.) II. Legislative action taken subsequent to the codification of “Increased-Take-Home-Pay” further demonstrates the true intent to continue this benefit without restriction. (*Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *Doctors Council v New York City Employees’ Retirement Sys.*, 71 NY2d 669.) III. The appellants’ arguments that “Increased-Take-Home-Pay” (ITHP) does not apply to tier 3 members because ITHP does not have an annuity component, or that tier 3 would be rendered noncontributory, are entirely without merit.

OPINION OF THE COURT

READ, J.

We are asked on this appeal whether Retirement and Social Security Law § 480 (b) requires the City of New York (the City) to make “Increased-Take-Home-Pay” (ITHP) pension contributions on behalf of New York City police officers and firefighters appointed on or after July 1, 2009. These public employees are tier 3 members of the New York City Police Pension Fund (the PPF) and the New York City Fire Department Pension Fund (the FDPF), respectively. Section 480 (b), enacted in 1974 as part of an omnibus pension clean-up bill (*see* L 1974, ch 510, § 24), was periodically amended thereafter to extend “[a]ny program” otherwise set to expire or terminate in 1974 “under which an employer in a public retirement system funded by the state or one of its political subdivisions assumes all or part of the contribution which would otherwise be made by its employees toward retirement.” The tier 5 pension reform legislation, approved by Governor Paterson on December 10, 2009 and ef-

fective 30 days thereafter, made the statute permanent by striking the 2011 expiration dates then in place (*see* L 2009, ch 504, § 1, part A, § 5). ITHP is concededly a “program” within the meaning of section 480 (b).

For the reasons that follow, we conclude that section 480 (b) only encompasses temporary programs in place as of 1974 for tier 1 and 2 members of a public employee retirement system. Stated another way, section 480 (b) does not obligate a public employer to pay any portion of a tier 3 public employee’s statutorily required pension contribution. Accordingly, the City has properly deducted 3% from the gross annual wages of its tier 3 police officers and firefighters as mandatory employee pension contributions.

I

Tiers 1 and 2 and Section 480 (b)

An employee who joined a City retirement system¹ prior to July 1, 1973 is classified in tier 1, while an employee who joined from July 1, 1973 through July 26, 1976 is a tier 2 member (*see generally Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO v Regan*, 71 NY2d 653 [1988]). While a public employee’s pension rights and benefits generally vary based on tier membership, sometimes considerably, this is not true for tier 1 and 2 police officers and firefighters, whose pension prerogatives are virtually identical.

Upon retirement for service,² tier 1 and 2 police officers and firefighters are entitled to a retirement allowance consisting of an annuity based on “required annuity savings,” and a pension funded by the City which, when added to the annuity, equals one half of the member’s annual earnable compensation on the date of retirement for the minimum service period (*see* Administrative Code of City of NY §§ 13-255 [1]; 13-359 [a] [1]). The City actuary determines each police or fire member’s individual rate of contribution to the annuity, based on age at date of appointment (*see id.* §§ 13-221, 13-321).

1. There are five City retirement systems, covering different categories of employees: PPF, FDPF, the Teachers’ Retirement System (TRS), the Board of Education Retirement System (BERS) and the New York City Employees’ Retirement System (NYCERS).

2. “Retirement for service” refers to retirement with full pension benefits after completing a required minimum number of years on the job, with no age restriction.

Starting in 1963, legislation authorized the City to assume a portion of police and fire employees' annuity contributions, thereby increasing their take-home pay (*see* L 1963, chs 221-224, subsequently codified at Administrative Code §§ 13-226, 13-326). The memorandum from the City's legislative representative explained that the "object" of the bills enacted by these chapters was "to authorize the Mayor to grant to members of the Police and Fire Department uniformed forces the benefits of pensions-providing-for-increased-take-home-pay *analogous to those provided for members of other retirement systems supported by the City*" (Mem of Legislative Representative of City of NY, 1963 McKinney's Session Laws of NY at 1949 [emphasis added]; *see e.g.* Administrative Code §§ 13-152 [authorizing pensions-for-increased-take-home-pay for other-than-authority members of NYCERS], 13-546 [authorizing pensions-for-increased-take-home-pay for members of TRS]). The ITHP benefit for police officers and firefighters was a temporary one, extended annually by legislation and executive order of the Mayor for successive one-year periods, ending on June 30, 1973, when it was caught up in the first round of statewide pension reform.

To deal with the "steeply mounting cost of public employee pensions," the legislature that year enacted chapters 382 and 383 (Governor's Approval Mem, Bill Jacket, L 1973, ch 383 at 2, 1973 McKinney's Session Laws of NY at 2343). Chapter 382 created tier 2 (Retirement and Social Security Law art 11) as a new pension category until June 30, 1976, when it was scheduled to lapse. Chapter 383 closed the public retirement systems existing as of June 30, 1973 (i.e., tier 1 systems) to new entrants, "extend[ed] temporary retirement benefits for *present members of such systems*" and created a legislative committee to study public pension reform and report to the governor and legislature (*id.* [emphasis added]).

With respect to temporary programs such as ITHP, section 2 of chapter 383 stated that

"[a]ny program under which an employer in a public retirement system funded by the state or political subdivision thereof assumes all or part of the contribution which would be otherwise made by its employees toward retirement, which expires on or before August thirty-first, nineteen hundred seventy-three, shall be extended until August thirty-first, nineteen hundred seventy-three."

Later in 1973 the legislature amended this provision to extend these existing temporary programs through June 30, 1974 (*see* L 1973, ch 1046, § 66).

In 1974, the legislature enacted chapter 510, which followed up the previous year's pension reforms (*see* Governor's Program Bill Mem, Bill Jacket, L 1974, ch 510 at 2). Chapter 510 added a new article 13 to the Retirement and Social Security Law, which generally "extend[ed] all existing temporary benefits until June 30, 1976, the end of the moratorium on pension negotiations imposed by Article 12" (*id.* at 4).³ New article 13 consisted of one section—section 480—broken into three subdivisions. Section 480 (b), substantively identical to section 2 of chapter 383 of the Laws of 1973,⁴ provided that

"[a]ny program under which an employer in a public retirement system funded by the state or one of its political subdivisions assumes all or part of the contribution which would otherwise be made by its employees toward retirement, which expires or terminates during nineteen hundred seventy-four, is hereby extended until July first, nineteen hundred seventy-six, notwithstanding the provisions of any other general, special or local law" (L 1974, ch 510, § 24).

The next year, as one of many measures taken in response to the City's fiscal crisis of the mid-1970s, the legislature amended section 480 (b) by adding the following clause at the end of it:

"except that commencing with the payroll period the first day of which is nearest to January first, nineteen hundred seventy-six, and until July first, nineteen hundred seventy-six, the rate of such contribution assumed by *an employer in any of the public retirement systems funded and maintained by a city*, shall be one-half the rate of such contribution

3. Chapter 382 of the Laws of 1973 had added a new article 12 to the Retirement and Social Security Law, which prohibited further collective negotiations on retirement benefits, imposed (with minor exceptions) a three-year moratorium on the negotiation of new benefits and provided for negotiations thereafter to be conducted only on a coalition basis (*see* L 1973, ch 382, § 48; L 1973, ch 1046, § 56).

4. Subdivisions (a) (temporary rights, privileges or benefits scheduled to expire) and (c) (supplemental retirement allowances or supplemental pensions scheduled to expire), appear to derive from sections 1 and 3, respectively, of chapter 383 of the Laws of 1973.

assumed by such employer for the immediately preceding payroll period” (L 1975, ch 892, § 1 [emphasis added]).

This legislation halved the City’s ITHP contribution rate for its tier 1 and 2 employees from 5% to 2.5%.

The rate returned to 5% for police officers and firefighters in 2000. That year, the City and the Municipal Labor Committee (MLC⁵) negotiated this increase as part of a package of pension enhancements, and the legislature amended section 480 (b) to implement their agreement (*see* L 2000, ch 373).⁶

The legislature amended section 480 (b) every year or two after its enactment in 1974 to extend its various expiration dates without interruption. As noted previously, though, the tier 5 pension reform legislation adopted in December 2009 made Retirement and Social Security Law § 480 (b) permanent by striking the extant expiration dates (*see* L 2009, ch 504, § 1, part A, § 5 [striking “and until July first, two thousand eleven” in paragraphs (i) (extending programs set to expire or terminate during 1974) and (ii) (requiring the City to assume a 5% contribution rate for police and fire members)]).

Tiers 3 and 4 and Section 440 (c)

The pension reform initiatives begun in 1973 reached fruition in 1976, although somewhat later than planned. As we explained in *Regan*, the legislature had not settled on a “replacement

5. The MLC is an association of New York City municipal labor organizations, which collectively addresses matters of shared concern and advocates on issues of labor relations relevant to City workers.

6. Chapter 373 of the Laws of 2000 redesignated existing subdivision (b) of section 480 as a new paragraph (i) of that subdivision; added the phrase “except as provided in paragraph (ii) of this subdivision” at the end of new paragraph (i); and added a new paragraph (ii), which stated that

“[c]ommencing with the first payroll period the first day of which is subsequent to October first, two thousand and until July first, two thousand one, the rate of such contribution assumed by an employer in the New York city police pension fund and in the New York city fire department pension fund shall be equal to the rate of such contributions assumed by such employer for the payroll period preceding January first, nineteen hundred seventy-six” (Retirement and Social Security Law § 480 [b] [ii]).

As indicated earlier, the rate of contributions assumed by the City for “the payroll period preceding January first, nineteen hundred seventy-six” (i.e., prior to the effective date of chapter 892 of the Laws of 1975) was 5%. As discussed later, by 2000 tier 2 had long been closed to new entrants to the City’s workforce other than police officers and firefighters.

system” by June 30, 1976, when tier 2 was scheduled to expire. Thus, the legislature

“passed an extension of Tier II (L 1976, ch 491). On July 27, 1976, Governor Carey signed a comprehensive pension reform bill (Retirement and Social Security Law art 14 [L 1976, ch 890]), which provided that Tier III status be afforded all employees hired after July 1, 1976 (Retirement and Social Security Law § 500 [ch 890, § 1]), retroactively directed permanent closure to Tier II as of July 1, 1976 (ch 890, § 5), and established January 1, 1977 as the effective date of Tier III (L 1976, ch 890, § 9)” (*Regan*, 71 NY2d at 657).

To cover the gap between the end of tier 2 and the beginning of tier 3, the statute temporarily afforded tier 2 rights and benefits to employees entering into public service during that time period (*see* L 1976, ch 890, § 4; Retirement and Social Security Law § 451; *see also Regan, supra* [holding that this “tier downshift” did not violate article V, § 7 of the State constitution, but that application of tier 3’s provisions prior to July 27, 1976, when the Governor approved chapter 890, would unconstitutionally diminish the rights of those covered by the tier 2 provisions then in existence]).

As a “basic element[]” of tier 3 (Retirement and Social Security Law art 14), employees contributed 3% of annual wages to their pensions (*id.* § 517 [a]). (*See also* Governor’s Approval Mem, L 1976, chs 890, 891, 1976 McKinney’s Session Laws of NY at 2455.) Tier 3 was a comprehensive retirement program designed to “provid[e] uniform benefits for all public employees and eliminat[e] the costly special treatment of selected groups . . . inherent in the previous program” (*see* Mem from Robert J. Morgado [Secretary to the Governor] to Judah Gribetz [Governor’s Counsel], Bill Jacket, L 1976, ch 890). Article 14, however, temporarily retained tier 2 for police and fire members (*see* Retirement and Social Security Law § 500 [c]; *see also* Mem of Senator Richard E. Schermerhorn, 1981 Legis Ann at 352-353 [explaining how by operation of section 500 (c) police officers and firefighters enrolling in a public retirement system after July 1, 1976 were placed in tier 2]).

In 1981, the legislature amended Retirement and Social Security Law § 440 to add a new subdivision (c), which provided that

“[n]otwithstanding any other provision of law, the provisions and limitations of this article [11] shall apply, as may be appropriate, to all policemen and firemen who last joined a public retirement system of the state or a municipality thereof, on or after July first, nineteen hundred seventy-six, but prior to July first, nineteen hundred eighty-one” (Retirement and Social Security Law § 440 [c], as added by L 1981, ch 665, § 1).

Section 2 of the same chapter specified that, “[n]otwithstanding any other provision of law,” police officers and firefighters who joined or rejoined a public retirement system on or after July 1, 1981, but prior to July 1, 1983, were subject to the provisions of article 11; i.e., were temporarily afforded tier 2 status.

In 1983 the legislature enacted tier 4 (Retirement and Social Security Law art 15), a “new statutory framework” for the provision of benefits to public employees previously covered by tier 3, which had proved over time to be difficult to administer and unsatisfactory in many respects. Tier 4 retained the “mandatory three percent employee contribution . . . to reduce the public employer cost of the new benefit” (Governor’s Approval Mem, Bill Jacket, L 1983, ch 414, 1983 Legis Ann at 184). Tier 4 specifically excluded members of uniformed services, including City police officers and firefighters (*see* Retirement and Social Security Law § 600 [a] [3]).

The legislature in 1983 also amended Retirement and Social Security Law § 440 (c) to give permanent tier 2 status to police officers and firefighters who last joined a public retirement system between July 1, 1981 and June 30, 1983 (who had formerly had only temporary status) (*see* L 1983, ch 411, § 1; *see also* Mem No. 19-81 of Permanent Commn on Pub Empl Pension & Retirement Sys, Bill Jacket, L 1983, ch 411 at 14-15 [explaining history of and rationale for tier 2 status for police officers and firefighters]). This legislation afforded temporary tier 2 status to police officers and firefighters who joined or rejoined a public retirement system on or after July 1, 1983, but prior to July 1, 1985 (L 1983, ch 411, § 2).

In 1985, the legislature gave permanent tier 2 status to police officers and firefighters who last joined a public retirement system on or after July 1, 1976, but prior to June 30, 1987 (*see* L 1985, ch 281). Every two years from 1987 to 2007, the legislature enacted another two-year tier 2 extender. As

explained earlier, tier 2 was closed to virtually all⁷ other categories of public sector employees hired after July 26, 1976.

On June 2, 2009, Governor Paterson vetoed the bill that would have afforded tier 2 coverage for police officers and firefighters appointed during the ensuing two years; i.e., from July 1, 2009 through June 30, 2011. The Governor commented that section 440 (c)'s sponsors in 1981 had portrayed tier 2 status for police officers and firefighters as a temporary measure (*see* Veto Message No. 5 of 2009). But, he continued, “[n]otwithstanding this statement, and the growing expense imposed on the State and localities by police officer and firefighter pension costs, this bill has been extended routinely since its initial enactment” (*id.*).

Remarking that “these are not routine times,” the Governor referred to new tier 5 legislation that he had proposed, which would “mak[e] certain cost-saving changes for new entrants into the public pension system, while still providing a high level of benefits for public retirees” (*id.*). He added that he was “not willing to ignore the present reality, and simply re-enact the same provisions that have contributed to New York’s financial straits, without accompanying reform” (*id.*). As a result of the Governor’s veto, police officers and firefighters appointed on or after July 1, 2009 were no longer members of tier 2. And since tier 4 specifically excluded them from its coverage, they became members of tier 3.

In December 2009, the legislature created tier 5 (*see* L 2009, ch 504). Police officers and firefighters who became members of the New York State and Local Police and Fire Retirement System (PFRS) on or after January 1, 2010, were required to contribute 3% of their annual wages and made subject to tier 5’s less generous overtime and vesting provisions. But the tier 5 legislation did not alter the tier 3 status of City police officers and firefighters appointed on or after July 1, 2009.⁸

7. In the City, for example, there was an exception for investigators employed in a District Attorney (DA)’s Office. These employees are members of NYCERS. DA investigators hired on or after July 1, 1976 through March 31, 2012 are tier 2 employees, entitled to ITHP (*see* Retirement and Social Security Law § 440 [e]). DA investigators hired on or after April 1, 2012 are “[i]nvestigator revised plan member[s],” subject to chapter 18 of the Laws of 2012 (tier 6) requirements (*see* Retirement and Social Security Law § 501 [27]; *see also* n 8, *infra*).

8. Under the most recent pension reform measures, enacted as chapter 18 of the Laws of 2012, City police officers and firefighters appointed on or after

(n. cont’d)

II

On July 6, 2010, Patrick Lynch, as President of the Patrolmen's Benevolent Association of the City of New York, Inc., on behalf of aggrieved police officers and the Association (collectively, PBA), filed a complaint against the City and the PPF. Roy T. Richter, as President of the Captains Endowment Association of the City of New York, Inc., on behalf of an aggrieved police surgeon and future adversely affected members (collectively, CEA), intervened in the action and interposed a complaint against the same parties on December 3, 2010. These complaints alleged five causes of action: that the City violated Retirement and Social Security Law § 480 (b) by failing to assume tier 3 police officers' pension contributions; that the PPF violated section 13-216 (b) of the City's Administrative Code by failing to adopt necessary resolutions with respect to tier 3 police officers' pension contributions; that the City breached its 2000 agreement with the MLC; that the City violated Labor Law § 193 by deducting 3% of tier 3 police officers' wages;⁹ and that the City and the PPF unlawfully converted those wages. PBA and CEA sought declaratory relief, damages in the amount of the monies withheld from police officers' salaries as pension contributions, plus interest, and an injunction.

On March 30, 2011, the City and PPF moved to dismiss the complaints. On April 1, 2011, PBA and CEA separately moved for summary judgment and partial summary judgment as to liability, respectively. That same day, the assigned judge *sua sponte* converted the lawsuit to a CPLR article 78 proceeding and transferred the matter for reassignment.¹⁰

April 1, 2012 are classified as tier 3 "revised plan members" (tier 6) (*see* Retirement and Social Security Law § 501 [26]). They are therefore subject to the changes to article 14 (tier 3) made by chapter 18, which established tier 6.

9. Section 193 prohibits an employer from making "any deduction from the wages of an employee" unless permitted by law or authorized by the employee for certain payments made for the employee's benefit (*see* Labor Law § 193 [1] [a], [b]).

10. On September 6, 2011, the newly assigned judge so-ordered a stipulation specifying that the parties did not object to orders granting the Uniformed Fire Officers Association (UFOA) intervenor status, and directing that the Association be added as a party plaintiff by amending the caption of CEA's complaint. Alexander Hagan, as President of UFOA, on behalf of an aggrieved medical officer and future adversely affected members (hereafter collectively, UFOA), filed a verified petition on September 1, 2011, which named the FDPF as an additional respondent. By letter dated September 15, 2011, UFOA joined in the motions for summary judgment filed by PBA and CEA.

By decision and order dated January 20, 2012, Supreme Court dismissed the second (violation of Administrative Code), third (breach of contract), fourth (violation of Labor Law § 193) and fifth (conversion) causes of action, and severed and dismissed the petition as to PPF and FDPF (2012 NY Slip Op 33199[U] [Sup Ct, NY County 2012]). With respect to the first cause of action, the court declared that the City had

“violated and continues to violate Retirement and Social Security Law § 480 (b) (i) and (ii) by failing to contribute to members of the [PPF and FDPF] who are in Tier III of the City’s pension system the amounts required by § 480 (b) (ii), to wit, amounts ‘equal to the rate of such contributions assumed by such employer for the payroll period preceding [January 1, 1976].’ ” (2012 NY Slip Op 33199[U], *9-10.)

Supreme Court rejected the City’s argument that Retirement and Social Security Law § 480 (b) was only applicable to tier 1 and 2 police officers and firefighters because it only encompassed programs in place during 1974 for members in tiers 1 and 2. The judge concluded that the relevant Code provisions (i.e., Administrative Code §§ 13-226, 13-326) made ITHP available to “members” of the pension funds, without reference to tiers, and “[i]ndisputably,” these provisions were intended to include future, as well as current, members. (2012 NY Slip Op 33199[U], *5.)

Further, Supreme Court interpreted the legislature’s enactment of the tier 5 pension reform legislation, insofar as section 480 (b) was made permanent, as “mak[ing] the provisions of that statute applicable to City employees joining the retirement system on or after January 1, 2010,” by which time “there had been police officers and fire fighters . . . in Tier III of their respective pension funds for more than five months.” (2012 NY Slip Op 33199[U], *5-6.)

Supreme Court also discounted the City’s argument that the ITHP program was inconsistent with the statutory requirement for tier 3 employees to contribute 3% of their wages annually toward their pension benefits. The judge acknowledged that ITHP would “reduce their contributions to zero.” (2012 NY Slip Op 33199[U], *6.) She noted, however, that the contribution rates for police and fire members appointed before July 1, 2009 varied from 8.65% for an individual entering the uniformed

workforce at age 16 to 4.30% for someone hired at age 43. As a result, she perceived “no inconsistency in [tier 3] members paying nothing[] [because] Tier I and Tier II members whose contribution rates are 5% or less of their salaries also pay nothing, although they are required to pay at the rate set by the actuary of the City.” (2012 NY Slip Op 33199[U], *7.)

Supreme Court next concluded that the second cause of action lacked merit because the pension funds had “no authority to determine whether, or to what extent, their members or the City is responsible for contributing to them.” (2012 NY Slip Op 33199[U], *8.) With respect to the third cause of action, the judge observed that when the parties entered into the MLC agreement in 2000, “it was hardly in [their] contemplation . . . that, nine years later, newly hired police officers and fire fighters would no longer be placed in Tier II of their respective pension systems.” (*Id.*) Finally, Supreme Court concluded that neither the fourth nor the fifth cause of action possessed any “independent vitality” since both “rest[ed] entirely upon the allegations of the first cause of action.” (2012 NY Slip Op 33199[U], *9.) By order entered March 16, 2012, the judge granted the parties permission to appeal. The City sought to have Supreme Court’s order reversed and the petition dismissed; PBA, CEA and UFOA (collectively, the unions) cross-appealed the dismissal of their second, third and fifth causes of action.

In a decision dated May 16, 2013, the Appellate Division modified Supreme Court’s order, with one Justice dissenting (108 AD3d 94 [1st Dept 2013]). The court held that “the [City’s] decision to not apply an [ITHP] benefit to police officers and fire-fighters placed into tier 3 of the retirement system after July 1, 2009, and to continue deducting 3% of their wages towards their retirement benefits, violate[d Retirement and Social Security Law § 480 (b)]” (*id.* at 96). The Appellate Division also held that the unions had “sufficiently stated a cause of action for common-law conversion of the deducted wages” (*id.*). Accordingly, the court denied the City’s motion to dismiss the fifth cause of action and granted the plaintiffs’ motion for summary judgment on the issue of the City’s liability for conversion.

The Appellate Division considered it significant that ITHP, although initially implemented as part of the City’s Administrative Code, was “recodified” as Retirement and Social Security Law § 480, and that, unlike the Code, section 480 “makes no reference to any ‘annuity contribution’ ” and “[b]y its own language, . . . is not restricted to tier 1 or 2, or to annuity

contributions” (*id.* at 99). This caused the court to reason that “the section 480 recodification was intended to extend ITHP to any current pension tier,” a conclusion “buttressed by the fact that, rather than being included in Retirement and Social Security Law article 11, governing tier 2, the statute was enacted as the sole occupant of its own freestanding article, article 13” (*id.* at 99-100).

The Appellate Division also noted that it was not “unprecedented” for members to “pay nothing towards their retirement” (*id.* at 100). And observing that tier 3’s benefits are generally inferior to those of tiers 1 and 2, the court suggested it was “not unthinkable that the legislature might wish to soften the blow for tier 3 police officers by continuing to extend them the benefit of ITHP contributions” (*id.*).

The Appellate Division summed up by reiterating that

“the plain language of section 480 and its placement in its own freestanding article are indicative of a legislative intent that ITHP contributions continue to apply to police officers, regardless of their tier. Moreover, despite the grave financial situation facing the City, the legislature, in creating tier 3, modified many benefits available to public sector employees in that tier, but chose not to exclude or diminish ITHP” (*id.*).

As an example of this last point, the court pointed out that “the [legislature] expressly mention[s] ITHP in section 508-a (a) [of the Retirement and Social Security Law] death benefits” (*id.*).

The dissenting Justice reasoned that the Administrative Code’s “operative language creating the ITHP benefit (a reduction of annuity contributions) cannot be applied to tier 3 members, whose retirement plan lacks any annuity component” (*see* 108 AD3d at 102 [Friedman, J., dissenting]). He opined that Retirement and Social Security Law § 480 (b) did not create an ITHP program, but rather extended the Administrative Code’s preexisting program for tier 1 and 2 police officers and firefighters.

On August 27, 2013, the Appellate Division granted the City’s motion for permission to appeal (2013 NY Slip Op 83448[U] [2013]), asking us whether its order was properly made. We now answer that question in the negative.

III

The unions argue that the plain language of Retirement and Social Security Law § 480 (b) requires the City to make a 5% ITHP contribution for every tier 3 police officer and firefighter. Several additional factors support this conclusion, the unions claim: specifically, when enacting tier 3 in 1976, the legislature did not exclude or otherwise limit ITHP although that new tier afforded reduced benefits to public sector employees; the legislature made section 480 (b) permanent mere months after Governor Paterson's veto, without in any way confining its application to a particular tier or tiers; and the legislature in 1998 added new section 508-a to the Retirement and Social Security Law, which expressly references ITHP in connection with death benefits for survivors of certain tier 3 employees.

The City counters that section 480 (b) can only be understood in the context of New York State's tiered pension systems, and that ITHP has always only been provided to City and state or local employees in tiers 1 and 2. Further, the City argues, by making ITHP permanent the legislature did not expand this benefit's coverage, it simply closed out or froze a program for which new employees were no longer eligible; and that the reference to ITHP in Retirement and Social Security Law § 508-a, which was added to tier 3 some 20 years after tier 2 had essentially been closed to new entrants except police and fire members, did not afford ITHP to tier 3 employees, or demonstrate a legislative perception that ITHP was available to tier 3 employees.

Section 480 (b) extends "[a]ny program" otherwise set to expire or terminate in 1974 "under which an employer in a public retirement system funded by the state or one of its political subdivisions assumes all or part of the contribution which would otherwise be made by its employees toward retirement." Granted, section 480 (b) does not identify, and therefore does not on its face limit, the tier of the members of the state and local public retirement systems who benefit from the temporary programs that it encompasses. But as the Governor's Approval Memorandum for section 480 (b)'s predecessor stated, this provision was meant to "extend[] temporary retirement benefits for *present members*" of the programs to which it referred (see Governor's Approval Mem, Bill Jacket, L 1973, ch 383 at 2, 1973 McKinney's Session Laws of NY at 2343). And from 1974 through June 30, 2009, the "present members" of the City's

ITHP programs for police officers (Administrative Code § 13-226) and firefighters (*id.* § 13-326) were tier 1 and 2 employees.

When enacted as article 13 of the Retirement and Social Security Law in 1974, section 480 (b) did not simply “recodify” sections 13-226 and 13-326 of the City’s Administrative Code for the benefit of police officers and firefighters. By its plain terms, section 480 (b) extended “[a]ny” program in the City and throughout the state which required a public employer to make pension contributions on behalf of its employees. Although the unions and the City dispute exactly how many of these temporary “programs” or “provisions” for temporary benefits existed in 1974, the fiscal note¹¹ for chapter 510 of the Laws of 1974, which enacted section 480 (b), includes a laundry list of provisions. One discrete section of the fiscal note refers to and estimates the costs of a two-year extension of the City’s ITHP “provisions.” These “provisions” may be considered to have embraced five “programs,” since employees in all five of the City’s retirement systems received ITHP at the time.

Next, the legislature did not need to *exclude* or otherwise limit ITHP when it enacted tier 3 in 1976 in order to confine ITHP to tier 1 and 2 police and fire members, as the unions argue. In 1976, only tier 1 and 2 employees were entitled to ITHP; therefore, the legislature would have been required to *include* this benefit for tier 3 employees in order to make it available to them. Instead, of course, the tier 3 legislation required tier 3 employees to contribute 3% of annual wages to their pensions. At the same time, the legislature *continued* police and fire members in tier 2, while periodically extending section 480 (b) to authorize ITHP for new entrants into PPF and FDPF.

And as the City points out, eventually making ITHP permanent for all tier 1 and 2 police and fire members did not somehow silently expand ITHP to cover the City’s current and future tier 3 police officers and firefighters. The record does not disclose how many, if any, police officers were hired from July 1, 2009 until early December of that year, when the legislature

11. Fiscal notes for bills that affect the retirement system are required by section 50 of the Legislative Law, which reads as follows:

“[a] bill which enacts or amends any provision of law relating to a retirement system or plan of the state of New York or of any of its political subdivisions shall contain a fiscal note stating the estimated annual cost to the employer affected and the source of such estimate” (Legislative Law § 50).

considered and passed the bill that became the tier 5 pension reform legislation. (The first class of new firefighters was not appointed until after this litigation began.) But the legislature presumably knew that the City took the position that tier 3 police officers and firefighters were not entitled to ITHP. Yet nothing in the statute's legislative history or the bill's extensive fiscal note hints that the legislature aimed to countermand the City and extend ITHP to tier 3 police officers and firefighters.

The legislative history that exists reflects a common understanding that ITHP is a benefit available only to tier 1 and 2 employees. As an example, the City notes, the sponsor's memorandum for the two-year extension of section 480 (b) enacted in 1995 explicitly states that this provision continued "all temporary rights, privileges and retirement benefits conferred by any general, special or local law *with respect to individuals who joined a public retirement system of the state before July 1, 1976*"—i.e., tier 1 and 2 employees (*see* Sponsor's Mem, L 1995, ch 138, 1995 Legis Ann at 115 [emphasis added]; *see also* Div of Budget Mem, Bill Jacket, L 2007, ch 27 at 7 [noting that the pending two-year extension of section 480 (b) covered "all temporary benefits . . . provided to members of a public retirement system or pension plan funded by the State or one of its political subdivisions, *with the exception of Articles 14 (tier 3), 15 (tier 4) and 18 of the RSSL*" (emphasis added)]).

In a related vein, the legislature periodically amends the City's Administrative Code with respect to the interest rate to be used for calculating the City's contribution rate to its retirement systems and, among other things, the additional interest to be credited by the City to the reserve-for-increased-take-home-pay of each member entitled to ITHP. Section 13-638.2 (g) (3) of the Code, added by the legislature in 1990 (*see* L 1990, ch 878), states that

"[a]dditional interest shall not be considered in determining rates of contribution of members. *Nothing contained in this subdivision [g] shall be construed as applicable to any member of a retirement system who is subject to the provisions of article fourteen [tier 3] of the retirement and social security law or article fifteen [tier 4] of such law*" (emphasis added).

Concomitantly, the introducer's memorandum in support of extensions to continue or adjust these interest rates has

routinely stated that “[t]he bill also would extend . . . the amount of interest to be credited on . . . increased-take-home-pay reserves of Tier I and II members of those retirement systems” (see Senate Introductor Mem in Support, Bill Jacket, L 2004, ch 133 at 4 [emphasis added]; see also Senate Introductor Mem in Support, Bill Jacket, L 2005, ch 133 at 3; Assembly Introductor Mem in Support, Bill Jacket, L 2009, ch 211 at 5; Budget Report on Bills, Bill Jacket, L 2000, ch 85 at 3 [noting that the bill would “(r)etain the current 8.25 percent interest rate for purposes of crediting interest on Tier I and Tier II member contributions and increased-take-home-pay reserves”]).

Further, Retirement and Social Security Law § 508-a does not suggest that tier 3 employees are entitled to ITHP. This provision, the only reference in article 14 (tier 3) to ITHP, affords the survivors of certain tier 3 employees with “[a] death benefit plus the reserve-for-increased-take-home-pay, *if any*” (Retirement and Social Security Law § 508-a [a]). As the City points out, a tier 3 employee who embarked upon City service during the gap period between tiers 2 and 3 (i.e., any time on or after July 27, 1976 and through December 31, 1976) would have temporarily been a tier 2 employee, entitled to ITHP for the brief period of time between date-of-appointment and January 1, 1977 (see generally discussion of *Regan* at 764-765, *supra*). Thus, section 508-a fails to show that the legislature “never intended to exclude ITHP from tier 3” (108 AD3d at 100). Indeed, if that were the case, the qualifier “if any” would seem unnecessary.

Finally, our interpretation of section 480 (b) is consistent with the overall design of New York’s tiered public employee pension systems and the series of pension reforms implemented to reduce public employers’ pension costs. First, while not all tier 1 or 2 City police officers or firefighters contribute to their pensions because of the 5% ITHP, those with the higher actuarially determined contribution rates—i.e., those who entered police and fire service at a younger age—certainly do. But under the unions’ view of section 480 (b), *no* tier 3 police officer or firefighter would make *any* pension contribution because the City’s 5% ITHP contribution rate is obviously higher than the 3% contribution rate for tier 3 employees. Put slightly differently, all police and fire members in the higher tier 3 would enjoy a major benefit (a noncontributory pension) available only to some police and fire members in the lower tier 2. This would be a striking exception to the way public employee pensions in New York typically operate.

Second, Governor Paterson vetoed the extension of section 440 (c) in June 2009 explicitly so as to lessen the financial burden on state and local governments of pension costs for police officers and firefighters, and increased employee contributions are a major way for public employers who offer defined-benefit pension plans to reduce costs. It is difficult to believe that in December 2009 the Governor signed pension reform legislation that substantially—and silently—undid his six-months-earlier veto by creating a noncontributory pension for the City's tier 3 police and fire members, while at the same time tier 3 and 5 police officers and firefighters elsewhere in the state were required to contribute 3% of their annual wages to the retirement system.

Accordingly, the order of the Appellate Division should be reversed, with costs; judgment granted declaring in accordance with this opinion; the fifth cause of action dismissed; and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order reversed, with costs, the fifth cause of action dismissed, judgment granted declaring in accordance with the opinion herein, and certified question answered in the negative.

[16 NE3d 1216, 992 NYS2d 738]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ROMAN
BARET, Respondent.

Argued May 1, 2014; decided June 30, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 2, 2012. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Bronx County (Raymond L. Bruce, J.), which had denied defendant's CPL 440.10 motion to vacate a judgment of that court (John E.H. Stackhouse, J., at plea and motion to withdraw plea; Albert Lorenzo, J., at sentencing) convicting defendant, upon his plea of guilty, of criminal sale of a controlled substance in the third degree, and (2) remitted the matter to Supreme Court for a hearing.

People v Baret, 99 AD3d 408, reversed.

HEADNOTES

Crimes — Right to Counsel — Effective Representation — Failure to Advise of Immigration Consequences of Guilty Plea — Retroactive Application of *Padilla v Kentucky*

1. *Padilla v Kentucky* (559 US 356 [2010]), holding that the Sixth Amendment requires criminal defense counsel to advise their noncitizen clients about the risk of deportation arising from a guilty plea, did not set forth a watershed rule of federal constitutional criminal procedure such that it may be applied retroactively in state court postconviction proceedings. Under federal retroactivity principles, a new rule of federal constitutional criminal procedure does not apply retroactively to cases that had become final on direct review before the rule was announced. An exception exists, however, for watershed rules of criminal procedure. To qualify for the exception, the rule must be necessary to prevent an impermissibly large risk of an inaccurate conviction and must itself constitute a previously unrecognized bedrock procedural element that is essential to the fairness of a proceeding. That a plea bargain may turn out to be far less advantageous than a defendant anticipated does not pose an impermissibly large risk of an inaccurate conviction, and the *Padilla* holding did not constitute a bedrock principle as it imposed a relatively modest duty on counsel. Although state courts may interpret federal retroactivity principles more broadly in the context of state collateral review, such interpretation was not justified here. If every federal constitutional criminal procedure based on a bedrock principle of federal constitutional criminal law was deemed a watershed rule, then the exception would swallow the rule, and any semblance of finality would vanish. Moreover, the *Padilla* holding was not central to an accurate determination of guilt or innocence, nor did it safeguard the fundamental fairness of a trial.

Crimes — Right to Counsel — Effective Representation — Failure to Advise of Immigration Consequences of Guilty Plea — Retroactive Application of *Padilla v Kentucky*

2. *Padilla v Kentucky* (559 US 356 [2010]), holding that the Sixth Amendment requires criminal defense counsel to advise their noncitizen clients about the risk of deportation arising from a guilty plea, created a new rule of federal constitutional criminal procedure in New York—as opposed to simply applying the existing federal standard for ineffective assistance of counsel to a new set of facts—and therefore does not apply retroactively in CPL 440.10 proceedings. Under federal retroactivity principles, a new rule of federal constitutional criminal procedure does not apply retroactively to cases that had become final on direct review before the new rule was announced, and a case announces a new rule when it breaks new ground or imposes a new obligation on the states or the federal government. In *Chaidez v United States* (568 US —, 133 S Ct 1103 [2013]), the United States Supreme Court held that *Padilla* announced a new rule and thus does not apply retroactively in federal collateral review, reasoning that *Padilla* was the first case to reject the categorical approach adopted almost uniformly by lower federal and state appellate courts excluding advice about the immigration consequences of a guilty plea from the scope of the Sixth Amendment’s right to effective assistance of counsel. Although state courts may interpret federal retroactivity principles more broadly in the context of state collateral review, the *Chaidez* logic was compelling as *Padilla* flatly contradicted and supplanted prior New York case law holding that the failure of counsel to warn a defendant of the possibility of deportation did not constitute ineffective assistance.

Crimes — Right to Counsel — Effective Representation — Failure to Advise of Immigration Consequences of Guilty Plea — Retroactive Application of *Padilla v Kentucky*

3. Consideration of the factors weighed by New York courts to determine whether a new precedent operates retroactively in state court postconviction proceedings disfavored retroactive application of *Padilla v Kentucky* (559 US 356 [2010]), which held that the Sixth Amendment requires criminal defense counsel to advise their noncitizen clients about the risk of deportation arising from a guilty plea. In determining retroactivity, New York courts consider the purpose to be served by the new standard, the extent of the reliance by law enforcement authorities on the old standard and the effect on the administration of justice of a retroactive application of the new standard. Under the first factor, current constitutional standards that go to the heart of a reliable determination of guilt or innocence will be applied retroactively, but decisions that are only collateral to or relatively far removed from the fact-finding process at trial apply prospectively only. *Padilla* had nothing to do with a reliable determination of guilt or innocence but rather assured that noncitizen defendants appreciate the immigration risks that inhere in guilty pleas to crimes they acknowledge during the plea allocution to having committed. As to the remaining factors, New York case law previously held that the failure of counsel to warn a defendant of the possibility of deportation did not constitute ineffective assistance. As a result, many defense attorneys were likely reluctant to volunteer advice in an often complex area of law outside their legal specialty, and those who did had no reason to create or maintain records to memorialize conversations with their clients on the topic. Retroactive application of *Padilla* would thus require courts to make factual findings based on off-the-record conversations years after a plea and faded memories.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Aliens and Citizens §§ 2729–2730; AM JUR 2d, Courts §§ 154–155; AM JUR 2d, Criminal Law §§ 619, 1135, 1139.
CARMODY-WAIT 2d, Courts and Their Jurisdiction § 2:312; CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:62; CARMODY-WAIT 2d, Right to Counsel §§ 184:225, 184:229–184:230, 184:278.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.3, 21.4.
McKINNEY'S, CPL 440.10.
NY JUR 2d, Constitutional Law § 13; NY JUR 2d, Courts and Judges § 235; Criminal Law: Procedure §§ 864, 866–868, 887, 3393, 3433.

ANNOTATION REFERENCE

See ALR Index under Aliens; Attorneys; Guilty Pleas; Immigration and Naturalization; Retroactive Laws.

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POINTS OF COUNSEL

Robert T. Johnson, District Attorney, Bronx (Clara H. Salzberg, Jason S. Whitehead and Joseph N. Ferdenzi of counsel), for appellant. Under Chaidez v United States (568 US —, 133 S Ct 1103 [2013]), the Appellate Division's decision applying Padilla v Kentucky (559 US 356 [2010]) to defendant's 1996 conviction is wrong as a matter of law, and must therefore be reversed. (People v Verdejo, 109 AD3d 138; People v Andrews, 108 AD3d 727; People v Bent, 108 AD3d 882; Policano v Herbert, 7 NY3d 588; People v Ford, 86 NY2d 397; People v McDonald, 1 NY3d 109; Teague v Lane, 489 US 288.)

Labe M. Richman, New York City, for respondent. I. This Court should find that Padilla v Kentucky (559 US 356 [2010]) is retroactive as a matter of federal or state law, given the fundamental unfairness of categorically denying redress in New York for a plea obtained in violation of the United States Constitution between 1996 and 2009, where the defendant entered

the plea unaware that it carried the penalty of automatic deportation because the attorney's advice failed to comport with prevailing professional norms as determined by the United States Supreme Court and this failure affected the conviction result and constitutional representation could have saved the defendant from horrendous immigration consequences. (*Aguirre v Immigration & Naturalization Serv.*, 79 F3d 315; *Pascual v Holder*, 723 F3d 156; *INS v St. Cyr*, 533 US 289; *Ng Fung Ho v White*, 259 US 276; *People v Kuar*, 73 AD3d 1084; *People v De Jesus*, 34 Misc 3d 748; *People v Mercado*, 32 Misc 3d 1220[A], 2011 NY Slip Op 51373[U]; *People v Gooden*, 34 Misc 3d 1210[A], 2012 NY Slip Op 50029[U]; *People v Pepper*, 53 NY2d 213.) II. This Court should affirm the Appellate Division's reversal and remand for a hearing because the lower court, inter alia, mistakenly used a discretionary standard and, importantly, refused to apply *Padilla v Kentucky* (559 US 356 [2010]) because of a mistaken belief about its retroactive application and respondent had a strong claim because he was not told the clear and succinct immigration consequences of his conviction—that he was convicted of an aggravated felony under immigration law and that he would be deportable with no discretionary relief and could never travel and reenter the United States and would be forever barred from citizenship; and, it was obvious that defendant would never have taken the plea had he known this critical information because he categorically indicated that he wanted his plea back for other reasons soon after the guilty plea was entered and his entire family was here and there is a reasonable probability that he would have gone to trial or, at minimum, taken a plea with the same sentence or greater sentence on the last count of the indictment which was not an aggravated felony under immigration law requiring presumptively mandatory deportation. (*INS v St. Cyr*, 533 US 289; *Ng Fung Ho v White*, 259 US 276; *Pascual v Holder*, 723 F3d 156; *Aguirre v Immigration & Naturalization Serv.*, 79 F3d 315; *Strickland v Washington*, 466 US 668; *People v McDonald*, 1 NY3d 109; *United States v Couto*, 311 F3d 179; *United States v Vaval*, 404 F3d 144; *People v Stultz*, 2 NY3d 277.)

Christopher N. Lasch, Denver, Colorado, for Lenni Benson and others, amici curiae. I. Applying the *Teague* anti-redress rule to a claim of trial counsel ineffectiveness properly brought for the first time in state postconviction proceedings runs contrary to the principles underlying the federal redressability regime. (*Griffith v Kentucky*, 479 US 314; *Teague v Lane*, 489 US 288; *Danforth v Minnesota*, 552 US 264; *People v Eastman*,

85 NY2d 265; *Mackey v United States*, 401 US 667; *Desist v United States*, 394 US 244; *Padilla v Kentucky*, 559 US 356; *People v Cooks*, 67 NY2d 100; *People v Cuadrado*, 9 NY3d 362; *People v Stewart*, 16 NY3d 839.) II. New York can avoid the problems that have plagued the *Teague* rule. (*People v Favor*, 82 NY2d 254; *People v Eastman*, 85 NY2d 265; *Griffith v Kentucky*, 479 US 314; *Schriro v Summerlin*, 542 US 348; *Ring v Arizona*, 536 US 584; *Teague v Lane*, 489 US 288; *Mackey v United States*, 401 US 667; *United States v Mathur*, 685 F3d 396; *People v Harris*, 77 NY2d 434.) III. The *Padilla* rule is a “watershed” rule of constitutional criminal procedure. (*Mackey v United States*, 401 US 667; *Gideon v Wainwright*, 372 US 335; *Whorton v Bockting*, 549 US 406; *Beard v Banks*, 542 US 406; *Kitchens v Smith*, 401 US 847; *McConnell v Rhay*, 393 US 2.)

Immigrant Defense Project, New York City (Manuel D. Vargas and Dawn M. Seibert of counsel), *New York State Defenders Association*, Albany (Jonathan E. Gradess of counsel), *New York State Association of Criminal Defense Lawyers*, New York City (Marc Fernich and Brendan White of counsel), *National Association of Criminal Defense Lawyers*, Washington, D.C. (Norman L. Reimer of counsel), and *National Association of Criminal Defense Lawyers*, New York City (Joel B. Rudin of counsel), for New York State Defenders Association, Inc. and others, amici curiae. I. The advice regarding deportation is critical to an immigrant defendant. (*United States v Graham*, 169 F3d 787.) II. The professional standards supporting this duty in New York predate the 1996 immigration laws. (*People v Bennett*, 28 Misc 3d 575; *People v Burgos*, 37 Misc 3d 394; *INS v St. Cyr*, 533 US 289; *Padilla v Kentucky*, 559 US 356.) III. The rule articulated in *Padilla v Kentucky* (559 US 356 [2010]) applies under New York law to remedy *Padilla* violations pertaining to uninformed pleas entered in New York at least from the passage of the Antiterrorism and Effective Death Penalty Act and the Illegal Immigration Reform and Immigrant Responsibility Act in 1996 onward. (*Danforth v Minnesota*, 552 US 264; *People v Favor*, 82 NY2d 254; *People v Eastman*, 85 NY2d 265; *People v Rajpaul*, 100 AD3d 1183; *People v Mitchell*, 80 NY2d 519; *Linkletter v Walker*, 381 US 618; *Hill v Lockhart*, 474 US 52; *People v Jackson*, 78 NY2d 638.)

OPINION OF THE COURT

READ, J.

The United States Supreme Court held in *Padilla v Kentucky* (559 US 356 [2010]) that the Sixth Amendment requires crimi-

nal defense counsel to advise their noncitizen clients about the risk of deportation arising from a guilty plea. The Court subsequently held in *Chaidez v United States* (568 US —, 133 S Ct 1103 [2013]) that *Padilla* did not apply retroactively in federal collateral review. The issue in this appeal is whether, pursuant to federal or state retroactivity principles, *Padilla* nonetheless applies retroactively in state court postconviction proceedings. For the reasons that follow, we hold that it does not, and therefore reverse the Appellate Division.

I.

On April 20, 1995, defendant Roman Baret was indicted on six counts of third-degree sale of a controlled substance (Penal Law § 220.39) and six counts of third-degree possession of a controlled substance (Penal Law § 220.16). He was also charged, while acting in concert with a codefendant, with an additional two counts of third-degree possession and one count of fourth-degree possession (Penal Law § 220.09). On December 23, 1996, defendant pleaded guilty to one count of third-degree sale in exchange for an indeterminate prison term of 2 to 6 years and a recommendation for shock incarceration. The plea fulfilled his part of a “no-split” offer under which his codefendant would plead guilty and receive probation.

During the plea colloquy, defendant admitted to the sale, acknowledged that a guilty plea was the equivalent of a conviction after trial and that, by pleading guilty, he was giving up his rights to remain silent, seek suppression of evidence and present his own evidence at trial. He acknowledged that he could receive between 8¹/₃ to 25 years in prison if convicted after trial. Defendant assured the judge that no one had forced him to plead guilty, and the judge warned that he was authorized to sentence defendant to the maximum term of incarceration if he failed to return for sentencing.

Defendant, represented by new counsel, subsequently moved to withdraw his plea; he claimed that he had pleaded guilty because of threats made by his codefendant. The judge denied the motion. Defendant then failed to appear for sentencing, and a bench warrant was issued. More than seven years later, on October 20, 2004, he was returned to court involuntarily. On December 20, 2004, the court (a new judge) sentenced defendant to the originally promised sentence of 2 to 6 years’ incarceration.

On appeal, defendant argued that the judge who took the plea abused his discretion when he denied the motion to withdraw without holding a hearing. The Appellate Division disagreed and affirmed, with two Justices dissenting (43 AD3d 648 [1st Dept 2007]). A dissenting Justice granted defendant's application for leave to appeal to us (2007 NY Slip Op 83234[U] [2007]), and we affirmed (11 NY3d 31 [2008]).

In December 2010, defendant moved to vacate his conviction pursuant to CPL 440.10 on the ground that defense counsel was ineffective for failing to advise him of the immigration consequences of his guilty plea, entered 14 years earlier. He relied on the Supreme Court's then-recent decision in *Padilla*. Defendant claimed that he would have rejected the plea and gone to trial if he had known that, by pleading guilty, he became subject to deportation.

In a decision and order dated March 3, 2011, Supreme Court declined to apply *Padilla* retroactively to defendant's claim. The court next concluded that defendant had failed to show that his attorney was otherwise ineffective under *Strickland v Washington* (466 US 668 [1984]) in light of the generous plea bargain he received. Under the two-prong *Strickland* test, a defendant must show both that his attorney's conduct fell below established professional norms and that there is a reasonable probability that, but for the error, the proceeding would have turned out differently (*id.* at 687-688, 694).

On September 1, 2011, a Justice of the Appellate Division granted defendant's application for leave to appeal the denial of his CPL 440.10 motion (2011 NY Slip Op 82488[U] [2011]). The Appellate Division employed the framework described by the Supreme Court in *Teague v Lane* (489 US 288 [1989]) and adopted by us in *People v Eastman* (85 NY2d 265, 275-276 [1995]) to analyze whether *Padilla* should be applied retroactively (99 AD3d 408, 409 [1st Dept 2012]).

Teague established as a guiding principle that new rules of federal constitutional criminal procedure do not apply retroactively to cases that had become final on direct review before the new rule was announced (*see Whorton v Bockting*, 549 US 406, 416 [2007] ["Under the *Teague* framework, an old rule applies both on direct and collateral review, but a new rule is generally

applicable only to cases that are still on direct review’’).¹ Additionally, *Teague* created a test to differentiate a new rule from an existing or old rule; namely,

“[i]n general, . . . a case announces a new rule when it breaks new ground or imposes a new obligation on the States or the Federal Government. To put it differently, a case announces a new rule if the result was not *dictated* by precedent existing at the time the defendant’s conviction became final” (489 US at 301 [citations omitted]).

Subsequent decisions defined “*dictated* by precedent” to mean that the result was “apparent to all reasonable jurists” at the time the defendant’s conviction became final (*Lambrix v Singletary*, 520 US 518, 527-528 [1997]; see also *Graham v Collins*, 506 US 461, 477 [1993] [the “determinative question is whether reasonable jurists reading the case law that existed in 1984 could have concluded that (the defendant’s) sentencing was *not* constitutionally infirm”]; *Butler v McKellar*, 494 US 407, 415 [1990] [a constitutional rule that is “susceptible to debate among reasonable minds” qualifies as a new rule]).

The *Teague* court also fashioned two exceptions to this general rule. First, “a new rule should be applied retroactively if it places certain kinds of primary, private individual conduct beyond the power of the criminal law-making authority to proscribe” (489 US at 311 [internal quotation marks omitted]). The second exception was “reserved for watershed rules of criminal procedure” (*id.*), defined generally as “those new procedures [of fundamental fairness] without which the likelihood of an accurate conviction is seriously diminished” (*id.* at 313).

As the Appellate Division acknowledged, we have long considered deportation to be a collateral consequence of a guilty

1. Although the lead opinion in *Teague* attracted only a four-Justice plurality, a majority of the Court soon adopted its retroactivity analysis (see *Penry v Lynaugh*, 492 US 302, 313 [1989] [adopting *Teague* analysis as majority approach], overruled on other grounds by *Atkins v Virginia*, 536 US 304 [2002]). Chief Justice Roberts has called *Teague* the Supreme Court’s “leading modern precedent on retroactivity” (*Danforth v Minnesota*, 552 US 264, 292 [2008, Roberts, C.J., dissenting]). *Teague* descends from the approach to retroactivity advocated by Justice Harlan in *Desist v United States* (394 US 244, 256-269 [1969, Harlan, J., dissenting]) and *Mackey v United States* (401 US 667, 675-702 [1971, Harlan, J., concurring in judgments in part and dissenting in part]) (see *Teague*, 489 US at 303-313; *Danforth*, 552 US at 273-274, 297-300).

plea (*see* 99 AD3d at 409, citing *People v Ford*, 86 NY2d 397, 405 [1995]).² As a result, prior to *Padilla* we held in *Ford* that counsel's failure to warn a defendant that a guilty plea might lead to removal from the United States did not amount to ineffective assistance of counsel under the Federal or State Constitutions (*id.* at 405), while inaccurate advice about a guilty plea's immigration consequences constituted ineffective assistance under the Federal Constitution (*see People v McDonald*, 1 NY3d 109, 111 [2003]).³ The Appellate Division nonetheless decided in favor of retroactivity on the theory that

“*Padilla* did not establish a new rule under *Teague*; rather, it followed from the clearly established principles of the guarantee of effective assistance of counsel under *Strickland*, and merely clarified the law as it applied to the particular facts. Rather than overrule a clear past precedent, *Padilla* held that *Strickland* applies to advice concerning deportation, whether it be incorrect advice or no advice at all” (99 AD3d at 409 [internal quotation marks and citations omitted]).

Thus, the court held that *Padilla* was to be retroactively applied to pleas taken after Congress made “significant changes in immigration law” in 1996,⁴ and “express[ed] no opinion on [its]

2. This is still the case (*see People v Peque*, 22 NY3d 168, 176, 192 and n 6, 204 [2013]). The Supreme Court, for its part, has “never attempted to delineate the world of ‘collateral consequences’ ” (*Chaidez*, 568 US at — n 5, 133 S Ct at 1108 n 5, citing *Padilla*, 559 US at 364 and n 8; *see also id.* at 365-366 [commenting that whether the distinction between direct and collateral consequences is “appropriate” to “define the scope of constitutionally ‘reasonable professional assistance’ required under *Strickland* . . . is a question (the Court) need not consider . . . because of the unique nature of deportation,” which was “uniquely difficult to classify as either a direct or collateral consequence” of a criminal conviction]).

3. The defendant in *McDonald* relied solely on federal constitutional law (1 NY3d at 114). In *Padilla*, the Supreme Court concluded “there [was] no relevant difference between an act of commission and an act of omission” with respect to counsel’s duty to advise a defendant about the risk of deportation (*Padilla*, 559 US at 370 [internal quotation marks omitted]).

4. In 1996, Congress enacted the Antiterrorism and Effective Death Penalty Act of 1996 (AEDPA) (Pub L 104-132, 110 US Stat 1214 [enacted Apr. 24, 1996]), and the Illegal Immigration Reform and Immigrant Responsibility Act of 1996 (IIRIRA) (Pub L 104-208, 110 US Stat 3009 [enacted Sept. 30, 1996; eff Apr. 1, 1997]). The *Padilla* Court referred to the changes to immigration law wrought by AEDPA and IIRIRA as “confirm[ing its] view that, as a

(n. cont’d)

applicability . . . to pleas taken before” that year (*id.*). The court remanded for a hearing to determine “what advice, if any, counsel gave defendant regarding the immigration consequences of his plea, and, assuming the advice was constitutionally deficient, whether there is a reasonable probability that but for this deficiency, defendant would have gone to trial” (*id.* at 410).

The Appellate Division issued its decision and order on October 2, 2012. The Supreme Court handed down *Chaidez* on February 20, 2013. And on June 5, 2013, a Judge of this Court granted the People leave to appeal (21 NY3d 1002 [2013]).

II.

Chaidez

Roselva Chaidez entered the United States from Mexico in 1971 and became a lawful permanent resident in 1977. Chaidez was indicted on three counts of mail fraud because of her involvement in a staged automobile accident insurance scam. On advice of counsel, she pleaded guilty to two counts and was sentenced to four years of probation and ordered to pay restitution. Her conviction became final in 2004. Under federal immigration law, the crimes to which Chaidez pleaded are “aggravated felonies,” and conviction of an aggravated felony is virtually certain to result in deportation (*see* 8 USC § 1227 [a] [2] [A] [iii]; *id.* § 1101 [a] [43] [M] [i] [an offense that involves fraud or deceit in which the loss to the victim exceeds \$10,000 is an aggravated felony]). According to Chaidez, though, her attorney never advised her of this.

Chaidez later applied for naturalization, which brought her convictions to the attention of federal immigration authorities. They promptly initiated removal proceedings against her. She then sought a writ of coram nobis in federal district court to overturn her 2004 conviction, claiming ineffective assistance of counsel in connection with her decision to plead guilty. Chaidez maintained that she never would have pleaded guilty if her attorney had made her aware of the immigration consequences of such a plea. While the writ was pending, the Supreme Court handed down its decision in *Padilla*.

Applying *Teague*, the federal district court held that *Padilla* did not announce a new rule, but merely applied *Strickland* to

matter of federal law, deportation is an integral part—indeed, sometimes the most important part—of the penalty that may be imposed on noncitizen defendants who plead guilty to specified crimes” (*see Padilla*, 559 US at 364 [footnote omitted]).

new facts (*United States v Chaidez*, 730 F Supp 2d 896, 904 [ND Ill 2010]). After holding a hearing on Chaidez’s coram nobis petition, the court determined that she was entitled to relief for ineffective assistance pursuant to *Strickland*, granted the petition and vacated her conviction (2010 WL 3979664, 2010 US Dist LEXIS 107877 [ND Ill, Oct. 6, 2010, No. 03 CR 636-6]). On appeal, the United States Court of Appeals for the Seventh Circuit reversed, concluding that *Padilla* had announced a new rule within the meaning of *Teague* (*Chaidez v United States*, 655 F3d 684, 686 [2011]).⁵ The Supreme Court agreed and therefore affirmed, holding that, under the *Teague* framework, *Padilla* does not apply in collateral challenges to final convictions.

Writing for a six-Justice majority,⁶ Justice Kagan stated as a basic premise that “ ‘a rule designed for the specific purpose of evaluating a myriad of factual contexts . . . will . . . infrequent[ly] . . . yield[] a result so novel that it forges a new rule . . . not dictated by precedent’ ” within the meaning of *Teague* (*Chaidez*, 568 US at —, 133 S Ct at 1107, quoting *Wright v West*, 505 US 277, 309 [1992, Kennedy, J., concurring in judgment]). As a result, “garden-variety applications” of the *Strickland* test “do not produce new rules” (568 US at —, 133 S Ct at 1107). But, she continued, *Padilla* did not “merely [make] clear that a lawyer who neglects to inform a client about the risk of deportation is professionally incompetent” (*id.* at 1108). Rather, she explained,

“*Padilla* did something more. Before deciding if failing to provide such advice fell below an objective standard of reasonableness, *Padilla* considered a

5. The parties in *Chaidez* agreed that neither of the two *Teague* exceptions to non-retroactivity applied (*see Chaidez*, 655 F3d at 688). Accordingly, Chaidez did not argue in the Supreme Court that the *Teague* watershed exception was relevant (*see Chaidez*, 568 US at — n 3, 133 S Ct at 1107 n 3).

6. Justice Thomas, who dissented in *Padilla*, still considered that case to be “wrongly decided” and so, in his view, the majority’s *Teague* analysis was “unnecessary” (568 US at —, 133 S Ct at 1114 [Thomas, J., concurring in judgment only]). Justice Sotomayor dissented in a writing joined by Justice Ginsburg. As Justice Sotomayor summarized her analysis,

“*Padilla* did nothing more than apply the existing rule of [*Strickland*] in a new setting, the same way the Court has done repeatedly in the past: by surveying the relevant professional norms and concluding that they unequivocally required attorneys to provide advice about the immigration consequences of a guilty plea” (*id.* [Sotomayor, J., dissenting]).

threshold question: Was advice about deportation categorically removed from the scope of the Sixth Amendment right to counsel because it involved only a collateral consequence of a conviction, rather than a component of the criminal sentence? In other words, prior to asking *how* the *Strickland* test applied (‘Did this attorney act unreasonably?’), *Padilla* asked *whether* the *Strickland* test applied (‘Should we even evaluate if this attorney acted unreasonably?’). And [because] . . . that preliminary question about *Strickland*’s ambit came to the *Padilla* Court unsettled[,] . . . the Court’s answer (‘Yes, *Strickland* governs here’) required a new rule” (*id.* [internal quotation marks and citation omitted]).

Justice Kagan then considered as “relevant background” the Court’s decision in *Hill v Lockhart* (474 US 52 [1985]), which “explicitly left open whether advice concerning a collateral consequence must satisfy Sixth Amendment requirements” (568 US at —, 133 S Ct at 1108). As a result, she observed, resolution of this issue fell to the lower federal and state courts, and all 10 of the federal appellate courts to consider the issue and 30 of the 32 state appellate courts (and here, Justice Kagan cited our decision in *Ford*) decided that “the Sixth Amendment does not require attorneys to inform their clients of a conviction’s collateral consequences, including deportation” (*id.* at 1109). This “imbalance,” she remarked, even caused the authors of “the principal scholarly article on the subject to call the exclusion of advice about collateral consequences from the Sixth Amendment’s scope one of ‘the most widely recognized rules of American law’ ” (*id.*, quoting Chin & Holmes, *Effective Assistance of Counsel and the Consequences of Guilty Pleas*, 87 Cornell L Rev 697, 706 [2002]).

In sum, Justice Kagan concluded, the lower federal and state appellate courts “almost uniformly insisted on what *Padilla* called the ‘categorical[al] remov[al]’ of advice about a conviction’s non-criminal consequences—including deportation—from the Sixth Amendment’s scope”; *Padilla* was the first case to “reject[] that categorical approach—and so [make] the *Strickland* test operative—when a criminal lawyer gives (or fails to give) advice about immigration consequences”; therefore, *Padilla* announced a new rule within the meaning of *Teague* (568 US at —, 133 S Ct at 1110-1111). Indeed, she added, “[i]f that

does not count as ‘break[ing] new ground’ or ‘impos[ing] a new obligation,’ we are hard pressed to know what would” (*id.* at —, at 1110, quoting *Teague*, 489 US at 301). Accordingly, the Court affirmed the Seventh Circuit, holding that *Padilla* constituted a new rule and, as such, would not apply in collateral challenges in federal courts to final convictions.⁷

III.

Defendant does not regard *Chaidez* as creating an insuperable obstacle to an affirmance. He asks us to hold that *Padilla* applies in collateral challenges to convictions in New York courts occurring between 1996, when Congress “severely tightened” immigration laws, and March 31, 2010, when *Padilla* was handed down, and offers three theories or arguments to support his request: (1) *Padilla* is a watershed rule of federal constitutional criminal procedure within the meaning of *Teague* and/or *Eastman*; or, in light of *Danforth* we should either (2) interpret *Teague* more broadly than did the Supreme Court in *Chaidez* and hold that *Padilla* is simply an application of *Strickland*, or (3) apply the three-factor test in *People v Pepper* (53 NY2d 213 [1981], *cert denied sub nom. New York v Utter*, 454 US 1162 [1982]) to make *Padilla* retroactive on collateral review. Having already discussed *Padilla*, *Strickland*, *Teague* and *Chaidez* in relevant detail, we now turn to *Danforth*, *Pepper* and *Eastman*.

Danforth

In 1996, a Minnesota jury convicted Danforth of a sex offense involving a six-year-old boy. The victim was ruled incompetent to testify at trial, but the jury saw and heard a videotaped

7. After *Chaidez* was decided, the Appellate Division abandoned the reasoning that it had espoused in this case on the ground that “ ‘the principles of retroactivity developed by the Supreme Court in construing Federal constitutional law govern the disposition’ ” of a New York case involving a new rule of federal constitutional criminal procedure (*People v Verdejo*, 109 AD3d 138, 141 [1st Dept 2013], quoting *Eastman*, 85 NY2d at 274-275), and the *Padilla* rule, which “merely prescrib[es] a duty imposed on counsel,” does not fall within *Teague*’s exception to non-retroactivity for watershed rules (109 AD3d at 141; *see also People v Bent*, 108 AD3d 882, 883 [3d Dept 2013] [“Notwithstanding our prior holding that (*Padilla*) applies retroactively, the United States Supreme Court has declared that *Padilla* is a ‘new rule,’ which is not retroactive”]; therefore, defendant’s CPL 440.10 motion to vacate his judgment of conviction, which was final prior to *Padilla*, was properly denied] [citation omitted]; *People v Andrews*, 108 AD3d 727 [2d Dept 2013] [declining to give broader retroactive effect to *Padilla* than required under *Teague*]; *People v Soodoo*, 109 AD3d 1014 [2d Dept 2013] [same]; *People v Alvarez*, 111 AD3d 843 [2d Dept 2013] [same]).

interview of him. Danforth unsuccessfully urged on appeal that the tape's admission violated his right to confrontation secured by the Sixth Amendment. His conviction became final in 1998. After the Supreme Court handed down its decision in *Crawford v Washington* (541 US 36 [2004]), though, Danforth filed a state postconviction petition. He argued that he was entitled to a new trial because the admission of the taped interview violated the rule announced in *Crawford* (i.e., that defendants have a right under the Sixth Amendment's Confrontation Clause to cross-examine testimonial witnesses). Assessing Danforth's claim in light of *Teague*, the postconviction and intermediate appeals courts both ruled that *Crawford* did not apply retroactively.

On appeal to the Minnesota Supreme Court, Danforth for the first time argued that Minnesota courts were free to apply retroactivity more broadly than *Teague*, and that he was entitled to the benefit of *Crawford* under *state* retroactivity principles. He took the position that *Teague* "dictate[d] the limits of retroactive application of new rules only in *federal* habeas corpus proceedings and [did] not limit the retroactive application of new rules in *state* postconviction proceedings" (*Danforth v State*, 718 NW2d 451, 456 [Minn 2006]). The court chose to address this issue in the interests of justice, but rejected Danforth's assertions that "state courts are free to give a Supreme Court decision of federal constitutional criminal procedure broader retroactive application than that given by the Supreme Court" (*id.*). Applying *Teague*, the court then concluded that *Crawford* was a new rule which did not fall within the exception for watershed rules and therefore did not apply retroactively.

In explaining the decision to grant certiorari in *Danforth*, the Supreme Court noted that although the Minnesota Supreme Court "correctly concluded that federal law does not *require* state courts to apply the holding in *Crawford* to cases that were final when that case was decided" (*Danforth*, 552 US at 268-269 [discussing its holding in *Whorton* (549 US at 409), that *Crawford* is not a watershed rule]), a question remained about whether *Teague* "*prohibit[ed]* [state courts] from doing so" (*Danforth*, 552 US at 268-269). The Court held that *Teague* did not.⁸

In so deciding, the Court first summarized the *Teague* rule as follows:

8. The *Danforth* Court expressed no opinion, however, as to whether states are required to retroactively apply any new rules that the federal courts may determine to be watershed rules (*see Danforth*, 552 US at 269 n 4).

“New constitutional rules announced by this Court that place certain kinds of primary individual conduct beyond the power of the States to proscribe, as well as ‘watershed’ rules of criminal procedure, must be applied in all future trials, all cases pending on direct review, and all federal habeas corpus proceedings. All other new rules of criminal procedure must be applied in future trials and in cases pending on direct review, but *may not provide the basis for a federal collateral attack on a state-court conviction*” (*id.* at 266 [emphasis added]).

Consistent with this formulation, *Danforth*’s holding derived generally from the notion that *Teague* was “an exercise of [the] Court’s power to interpret the federal habeas statute” (*id.* at 278); “was meant to apply only to federal courts considering habeas corpus petitions challenging state-court criminal convictions”; and was “justified . . . in part by reference to comity and respect for the finality of state convictions[,] . . . considerations . . . unique to *federal* habeas review of state convictions” (*id.* at 279).⁹ As a consequence, the Court concluded,

“[i]t is thus abundantly clear that the *Teague* rule of nonretroactivity was fashioned to achieve the goals of federal habeas while minimizing federal intrusion into state criminal proceedings. It was intended to limit the authority of federal courts to overturn state convictions—not to limit a state court’s authority to grant relief for violations of new rules of constitutional law when reviewing its own State’s convictions” (*id.* at 280-281).¹⁰

On remand, the Minnesota Supreme Court elected to retain the *Teague* standard, principally so as not to “‘undermine[]

9. Of course, whether or not the *Teague* framework was originally shaped by considerations peculiar to federal habeas review of state court convictions, in *Chaidez* the Supreme Court applied *Teague* in a proceeding where federal coram nobis relief was sought (*see Chaidez*, 568 US at — n 1, 133 S Ct at 1106 n 1; *see also Danforth*, 552 US at 269 n 4 [expressing no opinion as to whether *Teague* governs cases brought under 28 USC § 2255 to attack federal criminal sentences]; *id.* at 281 n 16 [noting that lower federal courts have applied *Teague* to motions brought pursuant to 28 USC § 2255]).

10. In his dissenting opinion, which Justice Kennedy joined, Chief Justice Roberts took the position that “the retroactivity of new federal rules is a question of federal law binding on States” (552 US at 293). He therefore concluded that because *Danforth*’s conviction became final before the *Crawford* decision and the Court held in *Whorton* that *Crawford* did not apply in collateral review, “[t]hat should be the end of the matter” (*id.* at 311).

the principle of finality which is essential to the operation of our criminal justice system' ” (*Danforth v State*, 761 NW2d 493, 498 [Minn 2009], quoting *Teague*, 489 US at 309), and affirmed Danforth’s conviction. The court indicated, however, that it would not necessarily be bound in the future by the Supreme Court’s determination as to whether a new rule was “critical to fundamental fairness” (*id.* at 500).

Pepper

In *People v Samuels* (49 NY2d 218 [1980]), we held that once an accusatory instrument has been filed, a defendant cannot waive his constitutional right to counsel in counsel’s absence. The issue for us in *Pepper* was the “retrospective effect, if any, . . . to be accorded” *Samuels* in three appeals (*Pepper*, 53 NY2d at 217). In two of them (*Pepper* and *People v Utter*), *Samuels* was decided while the defendants’ appeals were pending in the Appellate Division. That court reversed the judgments of conviction and sentences and remanded the cases for further proceedings because incriminating statements had been elicited in violation of *Samuels*. In the third case (*People v Torres*), *Samuels* was handed down about a year and a half after a Judge of this Court denied the defendant’s application for leave to appeal, which was subsequently granted upon the defendant’s motion for reconsideration.

Seeking a balance between “full retroactive application (permitting a collateral attack on a conviction no longer in normal appellate channels)” and “limit[ing] relief to prospective police conduct or trials” (53 NY2d at 220), the *Pepper* court adopted the three-part test set out by the Supreme Court in *Linkletter v Walker* (381 US 618, 629 [1965]) and recapitulated in *Stovall v Denno* (388 US 293, 297 [1967]) and *Desist* (394 US at 249).¹¹ The *Pepper* test requires us to

11. As Chief Justice Roberts pointed out in his dissent in *Danforth*, the Supreme Court walked away from *Linkletter* in two stages. First, in *Griffith v Kentucky* (479 US 314 [1987]), decided more than five years after we handed down *Pepper*, the Court adopted Justice Harlan’s views, as expressed in his separate writings in *Desist* and *Mackey*, with regard to the retroactivity of a new rule in cases still on direct appeal. Thus, the Court in *Griffith* “held that ‘a new rule for the conduct of criminal prosecutions is to be applied retroactively to all cases, *state or federal*, pending on direct review or not yet final’ ” (*Danforth*, 552 US at 297, quoting *Griffith* at 328). Then in *Teague*, the Court “completed the project of conforming [its] view on the retroactivity

“weigh three factors to determine whether a new precedent operates retroactively: the purpose to be served by the new standard; the extent of the reliance by law enforcement authorities on the old standard; and the effect on the administration of justice of a retroactive application of the new standard. The second and third factors are, however, only given substantial weight ‘when the answer to the retroactivity question is not to be found in the purpose of the new rule itself. Thus, where otherwise there could be a complete miscarriage of justice, current constitutional standards that go to the heart of a reliable determination of guilt or innocence have been substituted for those in effect at the time of trial’ ” (*Policano v Herbert*, 7 NY3d 588, 603 [2006] [citation omitted], quoting *Pepper*, 53 NY2d at 220-221).

Observing that we had previously considered “a defendant’s right to counsel in pretrial encounters [to] fall[] within a middle ground” such that retroactivity had previously “been limited to those [cases] still on direct review at the time the change in law occurred,” we saw “no reason to depart from that course” (*Pepper*, 53 NY2d at 221).

In weighing the three factors, we commented that “uncounseled station house interrogations [do not] necessarily go to the ultimate issue of guilt or innocence, [but] they are not insignificant events”; that “the relatively early terminal point of retroactivity limited to cases young enough to still be on direct appeal militates against the likelihood of prejudicial mildewing of witnesses’ memories”; and that the People could not credibly plead reliance since the holding in *Samuels* “had been more than foreshadowed” by earlier rulings (*id.* at 221-222).

Thus, we concluded that the Appellate Division had properly applied *Samuels* in *Pepper*’s and *Utter*’s appeals. Torres, however, was not entitled to benefit from *Samuels* because

“[t]he normal appellate process came to an end for him upon the original unconditional denial of his application for leave to appeal to this court. Thereafter, only complete retroactivity could make *Samuels* applicable. And that, impermissibly, would

of new rules of criminal procedure to those of Justice Harlan” (*Danforth*, 552 US at 299; *see also* n 1, *supra*).

mean that every defendant to whose case it was relevant, no matter how remote in time and merit, would become its beneficiary. Absent manifest injustice, no exception was available to Torres” (*id.* at 222 [citation and internal quotation marks omitted]).

Eastman

The defendant in *Eastman* moved pursuant to CPL 440.10 to vacate his judgment of conviction and sentence for murder and a weapon offense on the ground that he had been convicted in violation of federal constitutional law, as announced in the Supreme Court’s then-recent decision in *Cruz v New York* (481 US 186 [1987]).¹² The nontestifying codefendant’s redacted confession had been introduced into evidence against Eastman at trial. He argued that *Cruz* should be applied retroactively in his case. Supreme Court denied the motion, and the Appellate Division affirmed on the basis of harmless error.

We began our analysis with the observations that “the Supreme Court’s holding in *Cruz* marks a break from both Federal and State law precedents,” and “[b]ecause *Cruz* fundamentally alters the Federal constitutional landscape, the principles of retroactivity developed by the Supreme Court in construing Federal constitutional law govern the disposition of this case” (*Eastman*, 85 NY2d at 274-275 [emphasis added]). We then proceeded to evaluate Eastman’s motion in light of *Teague*.

We concluded first that *Cruz* stated a new rule within the meaning of *Teague* as it “unquestionably departs from established precedent, and implicates a bedrock procedural element—the Sixth Amendment right of confrontation” (*id.* at 276). We then looked at whether *Cruz* fell within *Teague*’s exception to non-retroactivity for a watershed rule, and concluded that it did. We reasoned that

“[a]s the rule announced in *Cruz* is central to an accurate determination of guilt or innocence, the Supreme Court determined that the admission of

12. Reversing our decision in *People v Cruz* (66 NY2d 61 [1985]), the Supreme Court held in *Cruz v New York* that “where a nontestifying codefendant’s confession incriminating the defendant is not directly admissible against the defendant, . . . the Confrontation Clause bars its admission at their joint trial, even if the jury is instructed not to consider it against the defendant, and even if the defendant’s own confession is admitted against him” (*Cruz*, 481 US at 193).

the codefendant's inculpatory confession against the defendant undermined the fundamental fairness of the trial, where, as here, there was no opportunity for cross-examination to test the reliability of the codefendant's confession. Therefore, we conclude that retroactive application of *Cruz* is constitutionally commanded on collateral review of a conviction" (*id.* [citation omitted]).

Deciding further that the *Cruz* error was not harmless beyond a reasonable doubt, we reversed the Appellate Division, granted Eastman's CPL 440.10 motion, vacated his convictions and ordered a new trial.

IV.

Is *Padilla* a Watershed Rule of Federal Constitutional Criminal Procedure within the Meaning of *Teague* and/or *Eastman*?

Defendant emphasizes that Chaidez argued solely that *Padilla* was not a new rule; she did not contend, alternatively, that even if the Supreme Court disagreed (as it did), *Padilla* would qualify for the watershed exception to the non-retroactivity of new rules. Chaidez's neglect to pursue this tack is not surprising, as the Supreme Court has analogized a watershed rule of federal constitutional criminal procedure to the right to counsel established by *Gideon v Wainwright* (372 US 335 [1963]; see *Teague*, 489 US at 311-312; see also *Whorton*, 549 US at 419 ["we have repeatedly referred (to *Gideon*) in discussing the meaning of the *Teague* exception" for watershed rules]). In short, "[t]hat a new procedural rule is 'fundamental' in some abstract sense is not enough; the rule must be one 'without which the likelihood of an accurate conviction is *seriously* diminished' " (*Schriro v Summerlin*, 542 US 348, 352 [2004], quoting *Teague*, 489 US at 313).

As the Supreme Court has more recently recapitulated these requirements: "First, the rule must be necessary to prevent an impermissibly large risk of an inaccurate conviction. Second, the rule must alter our understanding of the bedrock procedural elements essential to the fairness of a proceeding" (*Whorton*, 549 US at 418 [internal quotation marks and citations omitted]). The Court has made clear that, for purposes of this second requirement, it is insufficient that a new rule of federal constitutional criminal procedure is "*based on* a 'bedrock' right" (*id.* at 420-421). "Instead, . . . a new rule must itself constitute

a previously unrecognized bedrock procedural element that is essential to the fairness of a proceeding”; further, in evaluating whether this requirement has been fulfilled, the Court “again . . . looked to the example of *Gideon*, and . . . [has] not hesitated to hold that less sweeping and fundamental rules do not qualify” (*id.* at 421 [internal quotation marks and citation omitted]).

Finally, in *Teague*, and repeatedly since, the Supreme Court has emphasized that additional procedural rules of such profound importance are “unlikely . . . to emerge” (*Teague*, 489 US at 313; accord *Graham v Collins*, 506 US 461, 478 [1993]; *Sawyer v Smith*, 497 US 227, 243 [1990]; *Butler*, 494 US at 416; *Tyler v Cain*, 533 US 656, 666 n 7 [2001]; *Schriro*, 542 US at 352). And no watershed rule has, in fact, ever materialized (see *United States v Mandanici*, 205 F3d 519, 529 [2d Cir 2000] [noting that “(b)eginning with the rule at issue in *Teague*, the Court has measured at least eleven new rules, or proposed new rules, of criminal procedure against the criteria for the (watershed) exception and, in every case, has refused to apply the rule at issue retroactively”]; see also *Schriro* 542 US 348 [2004], *supra* [rejecting retroactivity for *Ring v Arizona* (536 US 584 [2002])]; *Beard v Banks*, 542 US 406, 417-420 [2004] [rejecting retroactivity for *Mills v Maryland* (486 US 367 [1988])]; *Whorton*, 549 US at 419 [rejecting retroactivity for *Crawford*]).

Defendant argues that *Padilla* fulfills both requirements as a matter of federal and state law. As to the first requirement, he focuses on the notion that noncitizen defendants, particularly those charged with drug offenses, were often “lured into . . . extremely lenient dispositions without knowing the truth—that their convictions will lead to deportation with no remedy, lifetime bars to a green card or citizenship,” and often, with a bit of foresight, their pleas might have been recast to avoid untoward immigration consequences. That a plea bargain may turn out to be far less advantageous than a defendant anticipated, however, does not pose “an impermissibly large risk of an *inaccurate* conviction” (*Whorton*, 549 US at 418 [emphasis added]).

As for the second requirement, defendant urges that *Padilla* does, in fact, constitute a bedrock principle akin to *Gideon* because in the latter, “the defendant was given the right to free counsel and now in *Padilla*, defendants are given the right to free immigration counsel on their criminal case.” But *Padilla*

does no such thing. The *Padilla* Court recognized that immigration law was “complex” and often “unclear or uncertain,” and that “[s]ome members of the bar who represent clients facing criminal charges, in either state or federal court or both, may not be well versed in it” (*Padilla*, 559 US at 369). As a result, *Padilla* imposes a relatively modest duty on counsel; specifically,

“[w]hen the law is not succinct and straightforward . . . a criminal defense attorney *need do no more* than advise a noncitizen client that pending criminal charges may carry a risk of adverse immigration consequences. But when the deportation consequence is *truly clear*, . . . the duty to give correct advice is equally clear” (*id.* [emphases added and footnote omitted]).

This is a far cry from “the right to free immigration counsel.” And even if *Padilla* did, in fact, give defendants such a right, immigration advice is not critical to an accurate determination of guilt or innocence.

Finally, defendant argues that *Eastman* only calls for a new rule to “implicate[] a bedrock procedural element,” such as, in that case, the Sixth Amendment right to confrontation (*Eastman*, 85 NY2d at 276). At the time we adopted the *Teague* framework in *Eastman*, we clearly assumed—just like the Minnesota Supreme Court—that we were obligated to determine the retroactivity of federal constitutional criminal procedures according to federal, rather than state, law. We said as much (i.e., “the principles of retroactivity developed by the Supreme Court in construing Federal constitutional law govern the disposition of this case”) (*id.* at 275). If we had thought otherwise, we would have decided the retroactivity issue in *Eastman* using our already well-established three-part *Pepper* test. And if we *had* nonetheless intended to interpret *Teague* more broadly than the Supreme Court, we presumably would have said so rather than merely depend on the word “implicate” to convey this idea. Additionally, unlike the situation here, the Supreme Court had not already decided (and, in fact, never decided) whether the particular procedural rule at issue in *Eastman* (i.e., *Cruz*) applied retroactively in collateral proceedings. Finally, the very narrow way in which the Supreme Court has interpreted the watershed exception is much clearer from the vantage point of 2014 than it would have been when we decided *Eastman* in 1995, only six years after *Teague*.

[1] Taking all these considerations into account, we have no doubt that the Supreme Court—if the issue had ever reached

it—would have disagreed with our assessment that, pursuant to *Teague*, *Cruz* was a watershed rule. After all, the Court has decided that *Crawford*, a considerably more far-reaching expansion of the Sixth Amendment right to confrontation, is not a watershed rule. Equally, given the Supreme Court’s now extensive precedent, we are confident that *Padilla* does not qualify for *Teague*’s watershed exception. We understand that *Danforth* frees us to interpret *Teague* more broadly than the Supreme Court when addressing retroactivity in the context of state collateral review. The reasons proffered by defendant, however, certainly do not convince us that we should do so in this case. In particular, if every federal constitutional criminal procedure based on a bedrock principle of federal constitutional criminal law is a watershed rule, then the exception will swallow the rule and any semblance of finality will vanish. Moreover, we cannot say, as we did about *Cruz*, that *Padilla* is “central to an accurate determination of guilt or innocence,” and safeguards “the fundamental fairness of [a] trial” (*Eastman*, 85 NY2d at 276).

Should we Interpret *Teague* More Broadly than Did
the Supreme Court in *Chaidez* and Hold That *Padilla* is
Simply an Application of *Strickland*?

Defendant encourages us to adopt the reasoning of the two-Justice dissent in *Chaidez*.¹³ We consider the majority’s logic to

13. Defendant points out that the Supreme Judicial Court of Massachusetts concluded post-*Chaidez* that “as a matter of Massachusetts law and consistent with [its] authority as provided in [*Danforth*], . . . the Sixth Amendment right enunciated in *Padilla* was not a ‘new’ rule and, consequently, defendants whose State law convictions were final after April 1, 1997, may attack their convictions collaterally on *Padilla* grounds” (*Commonwealth v. Sylvain*, 466 Mass 422, 423-424, 995 NE2d 760, 762 [2013]). There exist two key differences between Massachusetts and New York. First, although the lower courts in Massachusetts seem to have long held that a defendant need not be informed of the collateral consequences of a plea, including the risk of deportation (see *Commonwealth v. Fraire*, 55 Mass App 916, 917, 774 NE2d 677, 678 [2002] [cited in *Chaidez*, 568 US at — n 8, 133 S Ct at 1109 n 8]), the Supreme Judicial Court never adopted and endorsed this position, as we did in *Ford*. Second, prior to *Chaidez* the Supreme Judicial Court held in *Commonwealth v. Clarke* (460 Mass 30, 44, 949 NE2d 892, 903-904 [2011]) that *Padilla* was not a new rule within the meaning of *Teague* and therefore applied retroactively to cases on collateral review. *Sylvain* simply affirmed the court’s previous decision in *Clarke*.

Defendant has also brought to our attention the recent decision of the New Mexico Supreme Court in *Ramirez v. State* (333 P3d 240 [NM, June 19, 2014]),

(n. cont’d)

be far more compelling, though. The majority determined that *Padilla* was a new rule and not just an application of the two-prong *Strickland* test for ineffective assistance of counsel to a new set of facts. In so doing, Justice Kagan emphasized that the lower federal and state courts had almost uniformly excluded advice about the immigration consequences of a guilty plea from the scope of the Sixth Amendment right to effective assistance of counsel.

[2] This was certainly true in New York. In 1995 we held in *Ford* that defense counsel were not “under a duty to warn defendants of the possible deportation consequences before entering a guilty plea”; and, stated another way, that “the failure of counsel to warn defendant of the possibility of deportation [did not] constitute ineffective assistance of counsel” (*Ford*, 86 NY2d at 401, 404). Thus, *Padilla* flatly contradicted and supplanted *Ford*’s holding as to whether defense attorneys were obligated to advise their noncitizen clients about the immigration consequences of a guilty plea. We agree with Justice Kagan that “[i]f [this] does not count as ‘break[ing] new ground’ or ‘impos[ing] a new obligation,’ we are hard pressed to know what would” (*Chaidez*, 568 US at —, 133 S Ct at 1110, quoting *Teague*, 489 US at 301). Thus, *Padilla* created a new rule of federal constitutional criminal procedure in New York which, consistent with *Teague* and *Eastman*, does not apply retroactively in CPL 440.10 proceedings.

Does the Three-Part Test in *Pepper* Make *Padilla* Retroactive
on Collateral Review?

[3] The *Pepper* factors disfavor retroactivity, too. Under the first and most important factor, “current constitutional standards that go to the heart of a reliable determination of guilt or innocence” will be applied retroactively, but “decisions which

which declined to follow *Chaidez*. But as Justice Kagan pointed out, New Mexico is one of only two states whose highest court had held, prior to *Padilla*, that “an attorney could violate the Sixth Amendment by failing to inform a client about deportation risks or other collateral consequences of a guilty plea” (*Chaidez*, 568 US at — and n 9, 133 S Ct at 1109 and n 9, citing *State v Paredes*, 2004-NMSC-036, ¶¶ 17-19, 136 NM 533, 539, 101 P3d 799, 805 [2004]). The *Ramirez* court applied its *Paredes* precedent retroactively to 1990, when New Mexico amended a certain form on which the judge was required to indicate that he had informed the defendant, among other things, that a conviction might affect his immigration status, and the defendant and defense counsel, in turn, were required to certify that the defendant had been so advised.

are only collateral to or relatively far removed from the fact-finding process at trial” apply prospectively only (*Pepper*, 53 NY2d at 221). *Padilla* has nothing to do with a reliable determination of guilt or innocence; rather, *Padilla* assures that noncitizen defendants appreciate the immigration risks that inhere in guilty pleas to crimes they acknowledge during the plea allocution to having committed.

As to the remaining two *Pepper* factors—i.e., reliance on the old standard and the effect of retroactivity on the administration of justice—here again our decision in *Ford* looms large. As one defense attorney put it in an affirmation in support of a CPL 440.10 application, he knew that his client was a Mexican national, but “it was [his] practice not to dispense any advice regarding the immigration consequences of entering into a negotiated plea because prevailing Court of Appeals precedent did not require it” (*Verdejo*, 109 AD3d at 140). Many defense attorneys no doubt warned their noncitizen clients about the immigration consequences of a guilty plea. But in light of *Ford* (and *McDonald*), many others were likely reluctant to volunteer advice in an often complex area of law outside their legal specialty. And those who did would have had no reason to create or maintain records to memorialize conversations with their clients on this topic. Courts would have to make factual findings based on off-the-record conversations years after a plea, based on faded memories. Here, for example, defendant entered into the plea he now seeks to challenge in December 1996, nearly two decades ago. Such considerations, coupled with the sheer volume of prosecutions disposed of by guilty plea (see *Missouri v. Frye*, 566 US —, —, 132 S Ct 1399, 1407 [2012] [“(N)inety-four percent of state convictions are the result of guilty pleas”]), weigh heavily against retroactive application of *Padilla*.

Accordingly, the Appellate Division’s order should be reversed and the Supreme Court order reinstated.

Chief Judge LIPPMAN (dissenting). A guilty plea by a noncitizen defendant is not knowing and voluntary where the defendant entered the plea unaware that it carried a substantial risk of deportation. This is the case regardless of whether the defendant entered the plea before or after the Supreme Court decided *Padilla v. Kentucky* (559 US 356 [2010]). As a matter of fundamental fairness, *Padilla* must be applied retroactively. The majority declines to do so, in large part, because for many

years courts around the country failed to recognize defense attorneys' obligation to inform noncitizen defendants of the deportation consequences of their pleas. That courts previously fell short in protecting the rights of noncitizens, however, hardly justifies refusing to protect their rights now. I therefore dissent.

Since 1917, the deportation of noncitizens convicted of crimes of moral turpitude has been authorized (*id.* at 361). Historically, sentencing judges in both state and federal prosecutions nevertheless retained significant discretion to grant relief from deportation (*id.* at 361-362). Over time, Congress increased the number of deportable offenses and reduced discretionary relief from deportation (*id.* at 363-364). In 1996, Congress passed the Antiterrorism and Effective Death Penalty Act (AEDPA) (Pub L 104-132, 110 US Stat 1214) and the Illegal Immigration Reform and Immigrant Responsibility Act (IIRIRA) (Pub L 104-208, 110 US Stat 3009), which “dramatically raised the stakes of a noncitizen’s criminal conviction” by making deportation a practical certainty for a noncitizen who pleads guilty to any of a broad array of offenses (*id.* at 363-364; see *INS v St. Cyr*, 533 US 289, 292-293 [2001]).

Deportation is an unusually serious consequence of pleading guilty, often more serious than the prison sentence imposed. It can banish defendants from the only home they have known and separate them from family and friends. Indeed, it can result in the loss “of all that makes life worth living” (*Ng Fung Ho v White*, 259 US 276, 284 [1922]). Nevertheless, it long was the view that defense attorneys could provide constitutionally adequate representation without informing their noncitizen clients of the potential deportation consequences of their pleas.

This Court confirmed that view in its unfortunately timed decision in *People v Ford* (86 NY2d 397 [1995]). *Ford*’s analysis was dubious even in 1995 because of the large number of crimes that were then deportable offenses. But the full consequence of its holding was realized just one year later in 1996 when Congress passed AEDPA and IIRIRA. During the ensuing decade and a half, however, the Court never repudiated *Ford*. It was not until the Supreme Court decided *Padilla* that noncitizen defendants in New York were afforded the right to advice about the deportation consequences of their pleas.

In 2013 the Supreme Court decided *Chaidez v United States* (568 US —, 133 S Ct 1103 [2013]) and held that *Padilla* announced a “new rule” under *Teague v Lane* (489 US 288 [1989]) and should not apply retroactively. The majority concurs with

the Supreme Court without grappling with the difficult questions of retroactivity that this case presents under state law.

In 1995, the Court concluded in *People v Eastman* (85 NY2d 265 [1995]) that it was bound to apply *Teague* in determining the retroactivity of federal rules (*id.* at 274-275). The Supreme Court subsequently clarified in *Danforth v Minnesota* (552 US 264 [2008]) that the *Teague* framework was designed for “the unique context of federal habeas and therefore had no bearing on whether States could provide broader relief in their own post conviction proceedings” (*id.* at 277). The Supreme Court identified the most salient features of habeas corpus proceedings as finality of and comity for state convictions (*id.* at 279). It noted that the absence of comity concerns in state post-conviction proceedings “militate[s] in favor of allowing state courts to grant habeas relief to a broader class of individuals than is required by *Teague*” (*id.* at 280). The Supreme Court thus held that the decision to apply a new federal rule retroactively was inherently a question of state law.

This case presents the Court with its first opportunity after *Danforth* to clarify whether it will exercise its independent judgment to account for any unique state values and policies in determining the retroactivity of federal rules. The majority declines to do so, instead applying *Teague* in lockstep with the Supreme Court.

I believe that it is critically important for the Court to engage in a more searching retroactivity analysis, particularly where, as here, significant state concerns are at play. New York is home to 12.5% of all lawful permanent residents in the country, the second largest population of any state (Nancy Rytina, *Estimates of the Legal Permanent Resident Population in 2012*, US Department of Homeland Security, Office of Immigration Statistics, Population Estimates [July 2013], available at http://www.dhs.gov/sites/default/files/publications/ois_lpr_pe_2012.pdf). Foreign-born residents make up 22% of New York’s population, nearly twice the national average (United States Census Bureau, State & County QuickFacts: New York, <http://quickfacts.census.gov/qfd/states/36000.html>). At over three million people, New York City has more foreign-born immigrants than any other city in the country (*More Foreign-Born Immigrants Live in NYC Than There are People In Chicago*, Huffington Post [Dec. 19, 2013], available at http://www.huffingtonpost.com/2013/12/19/new-york-city-immigrants_

n_4475197.html).^{*} It is also the most linguistically diverse city in the world (Sam Roberts, *Listening to [and Saving] the World's Languages*, The New York Times [Apr. 28, 2010], available at <http://www.nytimes.com/2010/04/29/nyregion/29lost.html>). New York therefore has an exceptional interest in protecting the rights of noncitizens. In this light, I would hold that *Padilla* established a watershed rule of criminal procedure that falls within the second exception to *Teague*'s bar on retroactive application of new rules.

The majority's understanding of the first "watershed" rule requirement, that a new rule "be necessary to prevent an impermissibly large risk of an inaccurate conviction" (*Whorton v Bockting*, 549 US 406, 418 [2007] [internal quotation marks omitted]) is overly narrow. Accuracy, particularly in the plea context, encompasses more than just convicting the right person, it goes also to the appropriate level of criminality and attendant punitive consequences.

A plea is an admission of guilt, but it is also a surrender of fundamental constitutional protections. Accordingly, the validity of a plea depends not only upon a defendant's actual guilt or innocence, but upon whether the plea was knowing and voluntary (*Boykin v Alabama*, 395 US 238, 242 [1969] [explaining that a plea is a confession of guilt that is admissible only upon a determination of its voluntariness]). A plea taken by a defendant unaware of its most important consequences is not "accurate" in any legal sense. Elevating a new rule's effect on the factual accuracy of a plea over its legal accuracy operates to favor convictions at the expense of individual rights in a manner incongruent with the principles undergirding our Constitution.

The *Padilla* rule goes to the heart of the legal accuracy of a conviction. Deportation is a consequence "so certain, potentially pivotal and prevalent as to make its disclosure essential to assuring that the guilty plea of a noncitizen is knowing, intelligent and voluntary" (*People v Peque*, 22 NY3d 168, 208 [2013, Lippman, Ch. J., dissenting]).

Padilla also meets the second requirement for a watershed rule. It implicates fundamental fairness and "alter[ed] our understanding of the bedrock procedural element[]" of the

^{*} The percentage of those who are naturalized citizens is increasing—a majority of the foreign-born are now naturalized (Department of City Planning, City of New York, *The newest New Yorkers: Characteristics of the City's Foreign-born Population* [2013 ed], available at http://www.nyc.gov/html/dcp/pdf/census/nny2013/nny_2013.pdf).

Sixth Amendment right to counsel by adding a previously unrecognized requirement that is “essential to the fairness of a proceeding” (*Whorton*, 549 US at 418, 420-421).

The majority fails to recognize the profound meaning of *Padilla* by gazing down the wrong end of the telescope, claiming it “imposes a relatively modest duty on counsel” (majority op at 797). This is not the appropriate metric for measuring *Padilla*’s effect on the right to counsel. The measure of *Padilla*’s significance is the extent to which it altered Sixth Amendment law and whether the rule implicates fundamental fairness (see *Whorton*, 549 US at 418). The majority readily concedes that *Padilla* “flatly contradicted and supplanted” prior precedent, broke new ground, and imposed a new obligation (majority op at 799), and cannot deny that noncitizen defendants must be informed of the immigration consequences of their pleas as a matter of fundamental fairness.

The majority ultimately finds refuge in the Supreme Court’s assurances that new rules falling within *Teague*’s watershed exception are unlikely to emerge (majority op at 796). However, we are not bound by the Supreme Court’s narrow definition of “watershed” rules (see *Danforth*, 552 US at 277-280). Furthermore, defining *Teague*’s watershed exception narrowly, while defining “new rule” broadly, inevitably produces the Kafkaesque result that the more a rule sweeps away prior bad law and implicates fundamental fairness to criminal defendants, the less likely it is that a defendant can seek retroactive relief under the rule.

Additionally, I would find the rule retroactive under *People v Pepper* (53 NY2d 213 [1981]). The majority fails to give *Pepper* its due, particularly in light of *Danforth*’s holding that retroactivity of federal rules is a question of state law. The majority offers no explanation as to why the retroactivity of new federal constitutional protections should be interpreted under *Teague*, rather than under this State’s more flexible *Pepper* standard. But even assuming *Teague* applies to federal rules, State law can apply here.

“In the past we have frequently applied the State Constitution . . . to define a broader scope of protection than that accorded by the Federal Constitution in cases concerning individual rights and liberties” (*People v P.J. Video*, 68 NY2d 296, 303 [1986]). The State Constitution ensures criminal defendants a right to counsel more robust than that guaranteed by the US

Constitution (see *People v Bing*, 76 NY2d 331, 338-339 [1990] [“(B)y resting the right (to counsel) upon this State’s constitutional provisions guaranteeing the privilege against self-incrimination, the right to assistance of counsel and due process of law we have provided protection to accuseds far more expansive than the Federal counterpart”]). It should be evident that defendant has a right to counsel under the State Constitution at least equivalent to that outlined in *Padilla*. The issue then is whether that right in its *Padilla* extension should under State law be applied retroactively. That inquiry depends upon a balancing of: “(a) the purpose to be served by the new standard[], (b) the extent of the reliance by *law enforcement* authorities on the old standard[], and (c) the effect on the administration of justice of a retroactive application of the new standard[]” (*Pepper*, 53 NY2d at 220 [emphasis added]). The final two factors are to be considered only where the answer to the retroactivity question is not found in the first factor (*id.* at 220).

This Court has stated that, under the first factor, new constitutional rules “that go to the heart of a reliable determination of guilt or innocence” will be applied retroactively, whereas rules that “are only collateral to or relatively far removed from the fact-finding process at trial” will not (*id.* at 221). Our prior focus on the accuracy of the fact-finding process at trial should not restrict us given that we have yet to analyze the retroactivity of a State rule that goes to the heart of the validity of a plea. Just as with the first requirement for a watershed rule under *Teague*, the narrow focus on factual accuracy in determining the retroactivity of a rule governing pleas is inappropriate. The relevant inquiry is whether the new rule is necessary as a matter of fundamental fairness to protect the integrity of plea proceedings and to ensure that a defendant’s plea is knowing and voluntary.

The rule that a noncitizen must be informed of the immigration consequences of pleading guilty undeniably is necessary as a matter of fundamental fairness to ensure that a defendant’s plea is knowing and voluntary. Its effect is not indirect—the rule goes to the heart of the validity of a conviction by plea.

The answer to the retroactivity question thus is found in the first factor and consideration of the final two factors is unnecessary. But even if the final two *Pepper* factors were necessary to the analysis, they would not warrant a different result. This Court’s decision in *Ford* would seem to have induced little reli-

ance by law enforcement authorities. If we expand the scope of the second factor to encompass the defense bar, as does the majority, we also must account for the significant changes in immigration law shortly after we decided *Ford* that undermined our analysis. “For at least the past 15 years, professional norms have generally imposed an obligation on counsel to provide advice on the deportation consequences of a client’s plea” (*Padilla*, 559 US at 372).

Last, the effect on the administration of justice is speculative. Finality should not weigh heavily in this analysis. In *Padilla* cases, counsel’s advice will not be on the record, and defendants by necessity can seek relief only in post-conviction CPL 440.10 proceedings. In any event, the majority makes no attempt to quantify the number of defendants who might seek relief under CPL 440.10 were the *Padilla* rule given retroactive effect. And, in reality, the floodgates argument lacks force, as many affected defendants already have been deported (US Department of Homeland Security, Immigration and Customs Enforcement, FY 2013 ICE Immigration Removals, <https://www.ice.gov/removal-statistics/> [reporting over 100,000 interior criminal removals in 2013]).

Padilla expresses a rule of fundamental fairness. Whether that rule should be given retroactive effect implicates basic questions of humanity and justice. This is not a matter to be treated as a sterile question of legal doctrine.

RIVERA, J. (dissenting). Retroactive application of *Padilla v Kentucky* (559 US 356 [2010]) to collateral review of criminal convictions would ensure the essential fairness of our criminal justice system and the just treatment of defendants, regardless of immigration status. Unlike the majority, I believe that *Padilla* did not announce a new rule of federal constitutional criminal procedure. Instead, as clearly explained by the dissent in *Chaidez v United States* (568 US —, —, 133 S Ct 1103, 1114 [2013, Sotomayor, J., dissenting]), *Padilla* applied the well-established standard of *Strickland v Washington* (466 US 668 [1984]) to determine that a criminal defense lawyer is constitutionally ineffective when that lawyer fails to inform a client of the immigration consequences of a guilty plea. The professional norms in New York State have recognized this defense obligation for decades. Therefore, I conclude that *Padilla* should apply retroactively when a defendant seeks collateral review of a state conviction in state court. I dissent.

As the United States Supreme Court has made clear, state courts are not bound by federal decisions governing the non-

retroactive effect of decisional law in collateral challenges to state criminal convictions (*see Danforth v Minnesota*, 552 US 264, 278-279 [2008]). While the rule of retroactivity announced in *Teague v Lane* (489 US 288 [1989]) promotes uniformity of federal law, it also protects the sovereign interests of the states by encouraging comity among the courts (*see Danforth*, 552 US at 280). However, the concerns of federalism and comity are not implicated when a state court reconsiders a final judgment from its own courts. As the Supreme Court recognized, “[i]f anything, considerations of comity militate in favor of allowing state courts to grant habeas relief to a broader class of individuals than is required by *Teague*” (*id.* at 279-280). Therefore, we are not bound by, and there is no reason for us to adopt, the Supreme Court’s retroactivity analysis as set forth in *Chaidez v United States* (568 US —, 133 S Ct 1103 [2013]), which concluded that *Padilla* should not be applied retroactively in a federal collateral review of a criminal conviction.¹

Turning to the retroactivity question in this appeal, unlike the Chief Judge, I do not conclude that *Padilla* announced a watershed rule (*see* dissenting op at 803) because I do not agree with the majority that *Padilla* created a new rule of federal constitutional procedure (*see* majority op at 799). “[A] case announces a new rule when it breaks new ground or imposes a new obligation on the States or the Federal Government” (*Teague*, 489 US at 301). *Padilla* did neither. It merely recognized what members of the defense and immigration bar in New York State had known for years, that the immigration consequences of a guilty plea are so weighty and of such critical importance to the lives of defendants and their families that a defense lawyer who fails to inform a client of these potential consequences falls far short of professional norms (*see Padilla*, 559 US at 372 [“For at least the past 15 years, professional norms have generally imposed an obligation on counsel to provide advice on the deportation consequences of a client’s plea”]).

New York’s criminal defense bar has long regarded providing advice on the immigration consequences of a guilty plea as part of its professional obligation. Even prior to 1996, when Congress enacted new, draconian immigration laws (*see* Antiterrorism

1. As my analysis focuses on the application of *Strickland* and the professional norms in New York State, I need not address whether *Danforth* and *Teague* foreclose us from determining, as an initial matter, that a Supreme Court decision does not constitute a new rule.

and Effective Death Penalty Act [AEDPA], Pub L 104-132, 110 US Stat 1214; Illegal Immigration Reform and Immigrant Responsibility Act [IIRIRA], Pub L 104-208, 110 US Stat 3009), New York's lawyers recognized that defense counsel has a burden "to research the relevant law and advise . . . clients about the possible immigration consequences of guilty pleas and criminal convictions" (Edward Bendik & Patricia Cardoso, *Immigration Law Considerations for the Criminal Defense Attorney*, 61 NY St BJ 33, 36 [July 1989]). In the wake of the new federal laws, New York's defense bar increased its efforts to advise lawyers of the immigration consequences of their clients' guilty pleas. According to amici, within months of the passage of AEDPA and IIRIRA, attorneys held training sessions across New York to inform the defense bar of the automatic immigration consequences of seemingly advantageous guilty pleas. In September 1997, the New York State Defenders Association (NYSDA) created the Criminal Defense Immigration Project (CDIP) to help defense attorneys understand the immigration consequences of criminal convictions. The program developed voluminous training material, conducted numerous training sessions, and provided a free immigration consultation hotline to criminal defense lawyers. In 1998, CDIP published a treatise, now in its fifth edition, on the evolving law at the intersection of immigration practice and criminal defense.

Many other organizations joined NYSDA in educating defense lawyers about the immigration consequences of convictions. For example, the Legal Aid Society, New York City's largest provider of criminal defense services, trained its lawyers on the immigration consequences of crimes. It also continued its decades-long practice of providing immigration advice through in-house specialized attorneys who assist Legal Aid's criminal defense attorneys. The New York State Bar Association's standards for defense counsel also reflected the widespread recognition among New York's defense attorneys that effective representation included advising clients of immigration consequences (see New York State Bar Association, Special Committee to Ensure Quality of Mandated Representation, *Standards for Providing Mandated Representation* standard I-7 [2005]).² The effort of

2. "[E]ffective . . . representation . . . means, at a minimum: a. Obtaining all available information concerning the client's background and circumstances for purposes of . . . avoiding, if at all possible, collateral consequences including . . . deportation . . . ; e. Providing the client with full information

(n. cont'd)

New York's defense bar mirrored the prevailing professional norms across the country, which recognized "that counsel must advise [the] client regarding the risk of deportation" (*Padilla*, 559 US at 367). For example, as early as 1995, the National Legal Aid and Defender Association required defense lawyers to inform their clients about the immigration consequences of a plea (see National Legal Aid & Defender Association, Performance Guidelines for Criminal Defense Representation, guideline 6.2 [1995], see http://www.nlada.org/Defender/Defender_Standards/Performance_Guidelines#sixtwo). Likewise, the American Bar Association's standards recognized the defense lawyer's obligation to advise clients of immigration consequences (see American Bar Association, ABA Standards for Criminal Justice, Pleas of Guilty, standard 14-3.2 [f] at 9 [3d ed 1999], available at http://www.americanbar.org/content/dam/aba/publications/criminal_justice_standards/pleas_guilty.authcheckdam.pdf).

When the members of the bar assume professional obligations and tailor their practice to the realities of their clients' lives, we should consider *Strickland* in light of the norms they have established (*Chaidez*, 568 US at —, 133 S Ct at 1115 [Sotomayor, J., dissenting]). Furthermore, it is simply inaccurate to suggest, as the majority does (majority op at 799-800), that *People v Ford* (86 NY2d 397 [1995]) prevented New York's defense bar from establishing professional norms requiring defense counsel to advise noncitizens of the immigration consequences of guilty pleas. As New York's history of immigrant defense representation establishes, notwithstanding *Ford*, the defense and immigration bars in New York recognized that informing clients of the immigration consequences of a guilty plea was integral to the Sixth Amendment right to effective assistance of counsel. By removing any judicial remedy for a guilty plea made without knowledge of the immigration consequences, *Ford* made the efforts to educate defense lawyers about deportation consequences even more urgent. Thus, *Ford* must be treated as an impetus, not as an obstacle, to the evolution of professional norms regarding representation of noncitizen clients.

The particularized New York experience illustrates that where the Supreme Court "merely appl[ies] *Strickland* in a way that

concerning such matters as . . . immigration . . . consequences under all possible eventualities" (New York State Bar Association, *Standards for Providing Mandated Representation* standard I-7 at 16-17 [2005], available at <http://www.nysba.org/WorkArea/DownloadAsset.aspx?id=26702>).

corresponds to an evolution in professional norms, [it makes] no new law,” (*Chaidez*, 568 US at —, 133 S Ct at 1115 [Sotomayor, J., dissenting]). Yet, the majority concludes that *Padilla* pronounced a new rule of constitutional law (majority op at 799). This is simply not the case. *Padilla* did not lack any basis in existing precedent, and, therefore, it did not announce a new rule. Instead, as Justice Sotomayor makes clear in dissent, *Padilla* employed the familiar two-prong test of *Strickland* (*Chaidez*, 568 US at —, 133 S Ct at 1115-1117 [Sotomayor, J., dissenting]).

It is true that *Padilla* rendered *Ford* invalid, but that is due to *Ford*’s incorrect application of *Strickland*, not its use of an erroneous legal standard. *Ford* relied on federal precedent that held that “the failure to advise a defendant of the possibility of deportation does not constitute ineffective assistance of counsel” (see *Ford*, 86 NY2d at 405, citing *United States v Del Rosario*, 902 F2d 55, 59 [DC Cir 1990], *United States v Campbell*, 778 F2d 764, 768 [11th Cir 1985], and *United States v Gavilan*, 761 F2d 226, 228 [5th Cir 1985]). The *Padilla* opinion established that these cases, like *Ford*, applied *Strickland* incorrectly. Thus, *Ford* should not weigh against applying *Padilla* retroactively in our state courts.

Moreover, *Ford*’s other holding, that deportation is a collateral consequence of a conviction, illustrates the difference between a new rule and the application of established precedent to specific factual scenarios. If the Supreme Court had rejected the binary rule distinguishing between collateral and direct consequences of a guilty plea, which it specifically chose not to do (*Padilla*, 559 US at 365), then the Court would have announced a new rule—one which truly would have upended the analytical foundations of the law (see *Chaidez*, 568 US at —, 133 S Ct at 1110-1111). However, the *Padilla* decision does not reflect this type of seismic shift in the law. That many defendants may benefit from *Padilla* does not mean that *Padilla*’s rule was new in a constitutional sense. It merely means that the error of *Ford*, which *Padilla* corrected, harmed many defendants.

As *Padilla* did not announce a new rule, there is no reason to consider its retroactive application under *Teague*, or for that matter under *People v Pepper* (53 NY2d 213 [1981]). In *Pepper*, we adopted the Supreme Court’s then-current retroactivity analysis (see *id.* at 220). However, that approach is outdated, replaced by the Supreme Court’s retroactivity rules announced in *Teague* and *Danforth* (see *Danforth*, 552 US at 280). As the

analytic foundation of *Pepper* has been discarded by the Supreme Court, we should also abandon its now discredited approach to retroactivity.

Instead, we must decide whether retroactive application of *Padilla* serves the state's interests in the proper, sound, and fair implementation of our criminal justice system. Just treatment of defendants and the public's confidence in the rule of law should be the primary considerations in a retroactivity analysis. It is these concerns that ensure the integrity of our judicial system and democratic institutions, and they outweigh any costs in lost administrative efficiency.

I agree with the Chief Judge that we must “engage in a more searching retroactivity analysis, particularly where, as here, significant state concerns are at play” (dissenting op at 802). I also agree that, given its significant and diverse immigrant population, New York has unique interests at stake in the retroactive application of *Padilla* (*id.*). I would add that New York has critical interests in the proper and fair administration of our state's criminal justice system, a system characterized by large case-loads and numerous judicial proceedings. In 2013 alone, New York's criminal courts disposed of 588,848 adult arrests (*see* New York State Division of Criminal Justice Services, 2009-2013 Dispositions of Adult Arrests, New York State Adult Arrests Disposed, available at <http://www.criminaljustice.ny.gov/crimnet/ojsa/dispos/nys.pdf>). A criminal justice system that affects that many lives must be able to assure its constituents that every proceeding is fair, and that all defendants are treated justly, regardless of immigrant status.

There is no binding or persuasive legal argument against retroactive application of *Padilla*, and doing so advances our state interests in fairness and justice. Therefore, I dissent.

Judges GRAFFEO, SMITH and PIGOTT concur with Judge READ; Chief Judge LIPPMAN dissents in an opinion; Judge RIVERA dissents in a separate opinion; Judge ABDUS-SALAAM taking no part.

Order reversed and order of Supreme Court, Bronx County, reinstated.

[18 NE3d 359, 993 NYS2d 648]

VILLAGE OF ILION et al., Plaintiffs, and VILLAGE OF HERKIMER, Appellant, v COUNTY OF HERKIMER, Individually and as Administrator of the HERKIMER COUNTY SELF-INSURANCE PLAN, Respondent, et al., Defendants.

Argued March 27, 2014; decided May 1, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 1, 2013. The Appellate Division affirmed a judgment of the Supreme Court, Oneida County (Anthony J. Paris, J.), which, among other things, had awarded money damages to defendant County of Herkimer, individually and as administrator of the Herkimer County Self-Insurance Plan, on its amended and supplemental counterclaims, including prejudgment interest on the undiscounted amount of the jury verdict at a rate of 9% per annum from December 31, 2005.

Village of Ilion v County of Herkimer, 103 AD3d 1168, modified.

HEADNOTES

Damages — Future Damages — Liability for Withdrawal from Self-Insurance Fund — Discounting to Present Value

1. In a breach of contract claim alleging plaintiff Village's failure to pay a required fee upon effectively withdrawing from a workers' compensation self-insurance plan administered by defendant County after the County had terminated the plan and created an abandonment plan for the outstanding claims, which gave member municipalities the option to either remain as participants or withdraw from the plan by paying a lump sum withdrawal fee reflecting the withdrawing member's equitable share of the outstanding liabilities according to the final annual estimate prior to abandonment, the withdrawal fee owed by plaintiff reflected benefits to be paid in the future and should have been discounted to its current value as of the date it was due. Discounting future damages to their value at some point in the past is appropriate because it takes into account the time value of money. In a case involving the value of workers' compensation benefits to be paid out over the life of a disability claim, some or all of the losses will be incurred in the future. Here, the abandonment plan was a contract between the County, as plan administrator, and the municipalities, as participants. The purpose of the withdrawal fee was to provide the County with sufficient funds to dole out future benefits to outstanding claim beneficiaries, to be dispersed over 30 or more years. Thus, the actuarial estimate of each municipality's withdrawal liability represented its aggregate future liability for existing claims. To require the Village to pay an undiscounted amount would give the County an

impermissible windfall. Uncertainty in the assessment or the infeasibility of investment given the plan's insolvency did not alter the terms of the contract. Further, any ambiguity in the abandonment plan with regard to withdrawal liability should be construed against the County, as the drafter. The County could have chosen to expressly define the withdrawal liability as an undiscounted, gross sum.

Interest — Prejudgment Interest — Date from Which Computed

2. In a breach of contract claim alleging plaintiff Village's failure to pay a required withdrawal fee upon effectively withdrawing from a workers' compensation self-insurance plan administered by defendant County, after the County had terminated the plan, effective December 31, 2005, and created an abandonment plan for the outstanding claims, the courts below properly concluded that the County's claim accrued on December 31, 2005 for purposes of calculating preverdict interest (CPLR 5001 [b]). Generally, a claim for breach of contract exists on the date of the breach. For purposes of the abandonment plan contract, the date was ascertainable from the plan and Workers' Compensation Law § 65 (1), which provides that, upon withdrawal from a self-insured workers' compensation plan, a "participant shall pay . . . an equitable share of the outstanding liabilities of the plan as of the date of withdrawal." While the Village's undiscounted liability was not calculated until June 2006, the liability existed as of the date of withdrawal. During the intervening six months, the County was paying the Village's share of the workers' compensation benefits, while the Village withheld funds owed. Nor was January 2008, when the County asserted its claims for breach of contract, an appropriate date for calculating interest. The principle that interest on an accrued claim against a municipality is payable only from the time payment is demanded was inapplicable since the County, by waiting to assert its counterclaim, was not delaying demand of payment from an unwitting municipality to allow interest from the debt maturity date to afford a safe and profitable investment. Here, the Village was aware of the maturity date, having anticipated its withdrawal liability in its October 2005 complaint.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Damages §§ 476, 478; AM JUR 2d, Interest and Usury § 39; AM JUR 2d, Workers' Compensation §§ 589, 590.

CARMODY-WAIT 2d, Judgments § 63:100.

McKINNEY'S, CPLR 5001 (b); Workers' Compensation Law § 65 (1).

NY JUR 2d, Damages §§ 118, 119, 121; NY JUR 2d, Workers' Compensation §§ 1045–1049.

SIEGEL, NY PRAC § 411.

ANNOTATION REFERENCE

See ALR Index under Counties; Municipal Corporations; Prejudgment Interest; Self-Insurance; Workers' Compensation.

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POINTS OF COUNSEL

Longstreet & Berry, LLP, Syracuse (*Martha L. Berry* and *Michael J. Longstreet* of counsel), for appellant. I. Future damages should have been discounted to present value. (*Toledo v Iglesia Ni Christo*, 18 NY3d 363; *Greenburgh Eleven Union Free School Dist. v National Union Fire Ins. Co. of Pittsburgh, PA*, 304 AD2d 334; *Admae Enters. v 1000 N. Blvd. Corp.*, 104 AD2d 919; *Dunn v Consolidated Rail Corp.*, 125 AD2d 228; *Ammar v United States*, 342 F3d 133; *Jones & Laughlin Steel Corp. v Pfeifer*, 462 US 523; *Ramirez v New York City Off-Track Betting Corp.*, 112 F3d 38; *Randall-Smith v 43rd St. Estates Corp.*, 17 NY2d 99.) II. Prejudgment interest should not have been awarded on future damages. (*155 Henry Owners Corp. v Lovlyn Realty Co.*, 231 AD2d 559; *Milbrandt v Green Refractories Co.*, 79 NY2d 26; *Pay v State of New York*, 87 NY2d 1011; *Krumenacker v Gargano*, 276 AD2d 750; *Moorer v City of New York*, 272 AD2d 79; *Randall-Smith v 43rd St. Estates Corp.*, 17 NY2d 99.) III. The trial court's decision to refuse to allow discounting and to award prejudgment interest on undiscounted future damages was punitive. (*Toledo v Iglesia Ni Christo*, 18 NY3d 363.) IV. Prejudgment interest should not have been awarded from December 31, 2005. (*Rapid Tr. Subway Constr. Co. v City of New York*, 259 NY 472; *Smith v Board of Educ. of City of N.Y.*, 208 NY 84; *O'Keeffe v City of New York*, 176 NY 297; *Sweeny v City of New York*, 173 NY 414; *Taylor v Mayor*, 67 NY 87.)

Hinman, Howard & Kattell, LLP, Binghamton (*Albert J. Mil-lus, Jr.*, of counsel), for respondent. I. The trial court properly determined that, under the unique circumstances of this matter, the jury should not reduce the amounts of its verdict. (*United States v Bowler*, 252 F3d 741; *Matter of Aides At Home, Inc. v State of N.Y. Workers' Compensation Bd.*, 76 AD3d 727; *Pikas v Town of Grand Is.*, 106 AD2d 887; *Matter of Peachtree Settlement Funding, LLC v Ramirez*, 38 Misc 3d 1202[A], 2012 NY Slip Op 52330[U]; *Jones & Laughlin Steel Corp. v Pfeifer*, 462 US 523; *Ammar v United States*, 342 F3d 133; *Ramirez v New York City Off-Track Betting Corp.*, 112 F3d 38; *Toledo v Iglesia Ni Christo*, 18 NY3d 363; *Pay v State of New York*, 87 NY2d 1011; *Greenburgh Eleven Union Free School Dist. v National Union Fire Ins. Co. of Pittsburgh, PA*, 304 AD2d 334.) II. The lower courts properly awarded prejudgment interest on the undiscounted verdict amounts. (*Jemzura v Jemzura*, 36 NY2d 496;

Anesthesia Group of Albany v State of New York, 309 AD2d 1130; *Bourke v Albany Med. Ctr.*, 176 AD2d 1028; *United States Fire Ins. Co. v Federal Ins. Co.*, 858 F2d 882; *Gellman v Hotel Corp. of Am.*, 46 Misc 2d 521; *155 Henry Owners Corp. v Lovlyn Realty Co.*, 231 AD2d 559; *Milbrandt v Green Refractories Co.*, 79 NY2d 26; *Pay v State of New York*, 87 NY2d 1011; *Moorer v City of New York*, 272 AD2d 79; *Krumenacker v Gargano*, 276 AD2d 750.) III. The trial court's award of prejudgment interest was not "punitive." IV. The courts below properly awarded interest from December 31, 2005. (*Acme Bldrs. v County of Nassau*, 36 AD2d 317, 31 NY2d 924; *Taylor v Mayor*, 67 NY 87; *Rapid Tr. Subway Constr. Co. v City of New York*, 259 NY 472; *O'Keeffe v City of New York*, 176 NY 297; *Zeiser v Cohn*, 207 NY 407.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The primary issue in this breach of contract action is whether a municipality's liability upon withdrawing from a county self-insurance fund should have been discounted to present value. Under the circumstances presented, we hold that the withdrawal fee reflected benefits to be paid in the future and therefore should have been discounted to its current value as of the date it was due.

The case arises out of a dispute over the administration of a workers' compensation self-insurance plan (Plan) administered by defendant-respondent Herkimer County (County). In 1956, the County created the Plan pursuant to article 5 of the Workers' Compensation Law. By 2005, the participants included 32 cities, towns, and villages, including plaintiff Village of Herkimer (Village). The terms of the Plan were dictated by local law (see Local Law No. 2 [2005] of County of Herkimer; Local Law No. 4 [1995] of County of Herkimer). Rather than purchasing private insurance, the participants pooled their funds to administer and pay for all of their workers' compensation claims. Each year the Plan administrator estimated the Plan's costs for the upcoming year and apportioned them among the participants. The apportionment was based on a formula contained in the Plan, which, following the adoption of a 1978 amendment, was based partially on the property taxes levied by each municipality, and partially on a valuation of each participant's workers' compensation claims.

Participants in the voluntary Plan could withdraw at the end of any calendar year by giving notice of withdrawal by the pre-

ceding July 1 and by paying “an equitable share of the outstanding liabilities of the plan as of the date of withdrawal” (Workers’ Compensation Law § 65 [1]; *see also* Local Law No. 4 [1995] of County of Herkimer). Although neither the Plan nor the Workers’ Compensation Law provided a mechanism for determining the Plan’s “outstanding liabilities,” the Plan followed the standard practice in the insurance industry of obtaining an actuarial assessment, also known as a reserve analysis. So, for example, when the Town of Webb gave notice in 2003 of its intention to withdraw from the Plan, the County hired an actuarial firm to estimate the Plan’s liabilities as of June 30 of that year. The 2003 reserve analysis estimated the total “projected liabilities” at almost \$8.9 million, on an “undiscounted basis.” The report also provided examples of “discounted liabilities” tied to various interest rates, including approximately \$7.7 million (2% interest rate), \$7.3 million (3%), and \$6.9 million (4%). The 2003 reserve analysis explained the basis for the discounted amounts as follows:

“The timing of payments and the time value of money are reflected in the discounted values The effect of investment income is determined by applying a payout pattern and an assumed interest rate to projected ultimate loss, [expenses] and assessments in order to calculate anticipated payments in future periods. The payments are then discounted to [the date of withdrawal].”

The Town of Webb decided not to withdraw in 2003 but reversed course in 2004 and, along with the Town of Salisbury, gave notice of withdrawal effective December 31, 2004. Another reserve analysis was commissioned, and the estimated liabilities dramatically increased to about \$17.2 million. Like the 2003 analysis, the 2004 report referred to the assessed amount as “undiscounted” and provided examples of discounted totals, based on interest rates ranging from one to five percent.

Due to concern over rising costs, in June 2005 the County passed a resolution to terminate the Plan pursuant to Workers’ Compensation Law § 73, effective December 31, 2005 (Local Law No. 2 [2005] of County of Herkimer). The Plan would take on no new claims after that date, but would remain in existence to fund the approximately 125 outstanding workers’ compensation claims, known as “tail claims.” In order to ensure funding for the tail claims, the County created an abandonment plan (Abandonment Plan) that gave member municipalities two

choices. They could either remain as participants in the Abandonment Plan and pay an annual assessment of their portion of the tail claim liabilities, or they could withdraw from the Plan and pay a lump sum withdrawal fee. The lump sum fee, due at the end of the calendar year, would reflect the withdrawing member's equitable share of the Plan's outstanding liabilities according to the final annual estimate prior to abandonment. The final reserve analysis would assess the Plan's future losses as of December 31, 2005 (2005 Reserve Analysis).

In October 2005, seven of the participating municipalities, including the Village, instituted the instant action, challenging the Plan and the Abandonment Plan based on alleged mismanagement by the County. The County answered and, insofar as relevant here, raised counterclaims for breach of contract, seeking to recover the withdrawal liability based on the 2005 Reserve Analysis.

In June 2006, while the litigation was pending, the 2005 Reserve Analysis was released. The report estimated the Plan's outstanding liabilities as of December 31, 2005 to be \$18.4 million on an undiscounted basis, an increase of \$1.2 million from the previous year. The Village's share was calculated as approximately \$1.6 million.

At this point, the Plan had run out of money and had resorted to borrowing funds from the County to keep up with payments on the tail claims. Given the dire situation, in October 2006 the County adopted a resolution allowing withdrawing municipalities to pay 75% of their withdrawal liability in full satisfaction of their obligations under the Abandonment Plan. Four of the seven plaintiffs in the lawsuit took the settlement offer, but the Village, along with two other municipalities, declined.

As relevant to this appeal, the County prevailed on summary judgment as to liability on its counterclaim for breach of contract against the Village. At the ensuing jury trial on damages, the parties presented extensive evidence on the actuarial methods underlying the reserve analyses. There was also testimony regarding various discount rates for the Plan liabilities contained in the reports. Witnesses for the County testified that the \$18.4 million assessment in the 2005 Reserve Analysis represented an undiscounted liability and that examples of discount percentages ranged from one to five percent. A former executive director of the State Insurance Fund (SIF) testified that the State requires the SIF to apply a

discount rate of five percent. Over the Village's objection, the jury was provided with a verdict form that did not allow for any damages discount. The jury returned a verdict in favor of the County and awarded the full amount of damages sought by the County against the Village, \$1,617,528. This figure represented the Village's undiscounted withdrawal liability as of December 31, 2005. Judgment was entered against the Village for \$2,451,108.87, including \$833,580.87 in prejudgment interest on the undiscounted verdict. The two other municipal plaintiffs did not perfect their appeals.

On the Village's appeal, the Appellate Division affirmed, concluding, in pertinent part, that discounting was inappropriate because "the County's award of damages did not actually constitute compensation for future losses; by its verdict, the jury found that plaintiff owed the County \$1,617,528 as of December 31, 2005, a sum that it thereafter wrongfully withheld" (*Village of Ilion v County of Herkimer*, 103 AD3d 1168, 1169 [4th Dept 2013]). We granted leave to appeal (21 NY3d 857 [2013]), and now modify.

Generally, discounting future damages to their value at some point in the past is appropriate because it takes into account the time value of money. "[W]hen an amount intended to compensate for a future loss is discounted back to a particular time, the discounted amount represents the sum which, if invested at that time at reasonable rates of return, would theoretically produce the intended amount at the future time when the loss is incurred" (*Milbrandt v Green Refractories Co.*, 79 NY2d 26, 35 [1992]; see also *Jones & Laughlin Steel Corp. v Pfeifer*, 462 US 523, 536-537 [1983]). We are perhaps most familiar with discounting in wrongful death, personal injury, and medical malpractice actions, where discounting is required by statute (see CPLR 5031, 5041). In those contexts, it is often the future earning power of the injured party, or a similar measure of future damages, that must be reduced to its value on the date of injury. However, there is no material difference between the value of a decedent's future income in a wrongful death case and the value of workers' compensation benefits to be paid out over the life of a disability claim. In both cases, some or all of the losses will be incurred in the future. Here, the injury in question is a breach of contract, and the future losses manifest themselves in the form of contract damages.

It is undisputed that the Abandonment Plan constituted a contract between the County, as Plan administrator, and the

municipalities, as participants. The contract provided that if a participant chose to withdraw from the Abandonment Plan, it would have to pay a lump sum reflecting its equitable share of the Plan's outstanding liabilities, as of the date of withdrawal. To determine the amount due, the contract incorporated by reference "the final annual estimate and apportionment of costs prior to the abandonment of the Plan," i.e., the reserve analysis for the participant's last year of membership. In the Village's case, this was the 2005 Reserve Analysis since, by refusing to pay and initiating litigation, the Village effectively withdrew from the Plan on December 31, 2005 and became liable for the lump sum withdrawal fee.

The County contends, and the courts below agreed, that the \$1.6 million assessed against the Village in the 2005 Reserve Analysis represents a liquidated sum due upon withdrawal from the Plan and thus should not be discounted. But the purpose of the withdrawal fee was to provide the County with sufficient funds to dole out future benefits to tail claim beneficiaries. According to the County, many of those benefits would be disbursed over 30, 40 or even 50 years. The actuarial estimate of each municipality's withdrawal liability therefore represented its aggregate *future* liability for existing claims. As the County concedes, those amounts were not discounted to present value.

Indeed, the 2005 actuarial report expressly stated that "[t]he Plan's total liability of \$18.4 million [did] not reflect the fact that future benefits will be paid out over time and interest can be earned if the liabilities are prefunded." The report further provided examples of "discounted liabilities" to account for "[t]he timing of payments and the time value of money." For instance, the Reserve Analysis estimated that, at a 1% rate of return, the \$18.4 million should be discounted to \$16.7 million. At the other extreme, the report calculated that, on December 31, 2005, the Plan's outstanding liabilities would be worth \$12.5 million if invested at a 5% interest rate. By its own terms, the report thus refutes the County's argument that the \$1.6 million figure constituted a liquidated sum due upon withdrawal. Rather, the \$1.6 million represents the Village's share of the Plan's estimated aggregate future losses. To require the Village to pay the undiscounted amount would give the County an impermissible windfall (*see generally Toledo v Iglesia Ni Cristo*, 18 NY3d 363, 368 [2012]; *see also* Workers' Compensation Law § 65 [1]).

The County nonetheless argues that the realities of the situation make discounting inequitable. The County points to the

difficulties of making accurate projections in light of the many variables and unreliable assumptions inherent in actuarial analysis. The County also notes that the 2005 report qualified its examples of discounted liabilities, explaining that they were

“provided for informational purposes only. In practice, in order for a discounted liability amount to be appropriate, the Plan would need to have sufficient assets available for investment to prefund the liabilities. Further, the actual interest rate achievable by the Plan would need to be recognized.”

In other words, discounting assumes the payee will earn a return on an investment and is therefore inappropriate when no such investment is feasible. Therefore, the County asserts that the concept of discounting is inapplicable here due to the Plan’s insolvency.

[1] The County’s arguments highlight the unique circumstances of this case. It is possible that the factors identified by the County could affect the appropriate discount rate. However, ultimately this is an action for breach of contract. The contract at issue, the Abandonment Plan, was drafted by the County and provided that the withdrawal liability would be determined by the 2005 Reserve Analysis. In turn, the Reserve Analysis calculated each member’s share based on undiscounted, aggregate future losses. Any inherent uncertainty in that assessment does not alter the terms of the contract. Furthermore, to the extent the Abandonment Plan contains any ambiguity as to the amount of the Village’s withdrawal liability, it should be construed against the drafter, Herkimer County. Had the County chosen to expressly define the withdrawal liability as an undiscounted, gross sum, rather than referring to the assessments in the Reserve Analysis, our result might be different. As it stands, the contractual liability, defined in the statutes, the Abandonment Plan, and the 2005 Reserve Analysis, encompasses future damages. Discounting is therefore appropriate.

The parties also dispute the date from which the preverdict interest should be calculated. The County agrees with the conclusion of the courts below that the interest should run from December 31, 2005, when the withdrawal payment became due. The Village, on the other hand, proposes two alternative dates: June 1, 2006, when the 2005 Reserve Analysis was released, or January 21, 2008, when the County asserted its counterclaims for breach of contract.

[2] Preverdict interest “shall be computed from the earliest ascertainable date the cause of action existed” (CPLR 5001 [b]). Subject to certain exceptions, a claim for breach of contract exists on the date of the breach (*see* CPLR 213 [2]; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399, 402 [1993]). Here, the cause of action existed on December 31, 2005, when the Village owed the withdrawal fee. This date is readily ascertainable not only from the Abandonment Plan, but also from the enabling statute, which provides that, upon withdrawal from a self-insured workers’ compensation plan, a “participant shall pay . . . an equitable share of the outstanding liabilities of the plan *as of the date of withdrawal*” (Workers’ Compensation Law § 65 [1] [emphasis added]).

Although the Village’s undiscounted liability was not calculated until June 2006, the liability existed as of the date of withdrawal. Moreover, in the intervening six months, the County was paying the Village’s share of the workers’ compensation benefits, and the Village was wrongfully withholding the funds owed. Accordingly, there is no reason to extend the accrual date simply because the 2005 Reserve Analysis was not released until June 2006.

The proposed January 2008 accrual date is similarly unavailable. In support of this date, the Village invokes the principle that interest on an accrued claim against a municipality is payable only from the time that payment is demanded, not from the point at which the debt matured (*see Rapid Tr. Subway Constr. Co. v City of New York*, 259 NY 472 [1932]; *Smith v Board of Educ. of City of N.Y.*, 208 NY 84 [1913]; *O’Keeffe v City of New York*, 176 NY 297 [1903]; *Taylor v Mayor*, 67 NY 87 [1876]). However, this rule has no application in this context.

Calculating interest on a municipality’s debt from the time of demand was developed as a means to deter opportunistic creditors from buying up small claims against municipalities and waiting to demand payment until the statute of limitations has nearly expired in order to reap the benefits of the statutory interest rate (*see O’Keeffe*, 176 NY at 298-299). The case law emphasizes that a municipal defendant should not be “required to seek out those who have claims against it” (*Taylor*, 67 NY at 94; *accord Rapid Tr.*, 259 NY at 495; *O’Keeffe*, 176 NY at 298 [“It would be exceedingly difficult for the comptroller of a large city to look up claimants or their heirs or assigns and tender payment as their claims matured and became due”]).

The policy justifications for protecting municipalities from scheming claimants do not apply here. By waiting to assert its counterclaims, the County was not delaying a demand of payment from an unwitting municipality in order to “allow[] . . . interest from such maturity [to] afford a safe and profitable investment” (*O’Keeffe*, 176 NY at 298). On the contrary, the Village was well aware of the debt’s maturity date, having anticipated the withdrawal liability in the October 2005 complaint. Under these circumstances, the courts below properly concluded that the claim accrued on December 31, 2005. The Village’s damages should be discounted to that date, based on an appropriate discount rate to be determined upon remittal.

Finally, we note that this dispute between related governmental entities has already spawned nearly a decade of litigation. In the interest of minimizing additional costs to taxpayers and conserving judicial resources, the parties might well consider the wisdom of compromise going forward.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion, and, as so modified, affirmed.

ABDUS-SALAAM, J. (dissenting in part). The majority concludes that, because the withdrawal payment owed by plaintiff Village of Herkimer under the Abandonment Plan was calculated based on an estimate of plaintiff’s share of workers’ compensation claims to be paid in the future, the County’s recovery of damages for the loss of the withdrawal payment constituted compensation for future losses, which should have been discounted to present value (*see* majority op at 818-820). In my view, however, the withdrawal payment was a lump sum contractual payment like any other, albeit one calculated via an actuarial estimate of the cost of outstanding workers’ compensation claims, and the County suffered an immediate present loss when plaintiff failed to make the payment on the due date. Accordingly, I would hold that the trial court properly declined to discount the damages award to present value because it remedied only a present loss, and I dissent from the majority’s conclusion to the contrary.

The law is not in dispute here. In a breach of contract action, the non-breaching party is generally entitled to compensatory damages to place it in the same position it would have occupied had the breaching party satisfied its obligations under the

contract (*see generally Kenford Co. v County of Erie*, 73 NY2d 312, 319 [1989]; 36 NY Jur 2d, Damages § 19). Where the contract requires the breaching party to continue to make payments or otherwise perform on the contract at various future times subsequent to the breach, the non-breaching party must be awarded damages that will compensate that party only for its losses as they occur on those future dates, and thus any damages awarded for those future losses must be discounted to present value to prevent the non-breaching party from obtaining the windfall of an award that will increase over time to exceed the amount necessary to cover those future losses at the time of their occurrence (*see Randall-Smith v 43rd St. Estates Corp.*, 17 NY2d 99, 103 [1966]; 36 NY Jur 2d, Damages § 38). Logically, however, where a contract requires a party to make a specific payment on a set date in the present and not to perform any future duty thereafter, that party's breach of that present contractual obligation causes a present loss to the non-breaching party, and therefore the non-breaching party is entitled to undiscounted damages that are needed to cover a loss which it immediately suffers in full.

Here, plaintiff's breach of the contract, i.e., the Abandonment Plan, caused a present loss of the withdrawal payment to the County, and therefore the jury's damages award compensated the County for that present loss and did not have to be discounted to present value. Specifically, plaintiff sought to withdraw from the Abandonment Plan, which required plaintiff to pay a withdrawal payment on the date of its planned withdrawal, December 31, 2005. Had plaintiff performed under the contract by giving the County the undiscounted \$1.6 million withdrawal payment on December 31, 2005, plaintiff would have completely fulfilled its end of the bargain, and plaintiff would not have owed, and the County would not have gained or lost from plaintiff, anything at any future time. Indeed, several other municipalities withdrew from the Abandonment Plan in exactly this manner, paying undiscounted withdrawal payments on their scheduled withdrawal dates and causing no further gain or loss to the County thereafter. Of course, since the County would have gained a \$1.6 million withdrawal payment from plaintiff on the December 2005 due date if plaintiff had performed its contractual duty, it follows that the County lost that same amount immediately on that date when plaintiff withdrew from the Abandonment Plan without making the payment in violation of the contract. Therefore, the jury rightly

awarded the undiscounted \$1.6 million amount of the withdrawal payment to the County in order to place it in the same position it would have occupied had plaintiff timely made that payment.

The contractual method of calculating the withdrawal payment did not alter the nature of that payment or the date on which the County lost it. In that regard, the Abandonment Plan provided that a withdrawing municipality's withdrawal payment was equal to the municipality's proportionate share of the Plan's "outstanding liabilities at the date of withdrawal." The County interpreted that contractual phrase to mean the cost of covering workers' compensation claims outstanding under the Plan at the time of withdrawal, and the County calculated that amount by conducting a common actuarial estimate of that cost called a reserve analysis. The County further concluded that the "outstanding liabilities at the date of withdrawal" did not have to be discounted to present value under the terms of the contract and therefore demanded a proportionate share of the undiscounted liabilities as a withdrawal payment from each withdrawing municipality. Although reasonable minds might disagree with the County's interpretation of the contractual terms defining the withdrawal payment—indeed, plaintiff unsuccessfully disputed the point in its pleadings—that issue is not now before us, and consequently we must assume that the plain language of the Abandonment Plan required any withdrawing municipality to pay an undiscounted lump sum on the date of withdrawal. Thus, when plaintiff failed to pay the withdrawal payment and breached the contract, plaintiff inflicted the present loss of the undiscounted lump sum withdrawal payment on the County, and the jury's award compensating for that present loss need not have been discounted to present value.

Although the Abandonment Plan, as thus interpreted, allowed for the possibility that the County might receive more or less than it actually needed to cover outstanding workers' compensation claims that would come due in the future, the possible variance between the eventual cost of the workers' compensation claims and the agreed-upon withdrawal payment was simply a fair and bargained-for allocation of contractual risk. In particular, the parties bargained for the payment of a flat withdrawal fee that they believed would be sufficient to cover the outstanding workers' compensation claims. In doing so, plaintiff accepted the risk that it would overpay in the event

the County overestimated those future liabilities, just as the County undertook the equal risk that the withdrawal payment might not cover the future liabilities if they proved to be greater than originally estimated. The parties accepted the perils of this bargain, and plaintiff was not entitled to a discount on damages just because the County might never suffer the realization of the risk.

Plaintiff's and the majority's reliance (*see* majority op at 818, 819) on *Toledo v Iglesia Ni Christo* (18 NY3d 363 [2012]), *Milbrandt v Green Refractories Co.* (79 NY2d 26 [1992]), and similar tort cases is misplaced. For example, in *Toledo*, the decedent and his estate suffered the immediate loss of decedent's pain and suffering in the accident that caused his death, and the estate suffered future losses such as decedent's lost earnings and parental support (*see Toledo*, 18 NY3d at 365-366). Accordingly, the jury apportioned its award among present and future damages, and the jury then discounted the future damages award to present value (*see id.*). We appropriately upheld that discounting to present value and also found that, under statutes relevant only to the wrongful death context, pre-verdict interest was properly calculated from the date of the death (*see id.* at 367-369). Similarly, in *Milbrandt*, another wrongful death case, we concluded that "no preverdict interest should be added to an award for future damages when the award is only discounted back to the date of the verdict" (*Milbrandt*, 79 NY2d at 36-37). Thus, those cases stand for the general proposition that, where a tort claimant will suffer continuing future losses as the result of the injury inflicted by the tortfeasor, the claimant's future damages must be discounted to present value to avoid a windfall recovery. By contrast, here, the County's loss of the withdrawal payment occurred on the date of the breach and not on any future date, and therefore the damages for that present loss did not have to be discounted.

Finally, because the trial court and the jury properly refused to discount the award to present value, the court fairly applied interest to the full amount of the award, which, again, consisted entirely of damages from a present loss on which interest was already owed. Moreover, under CPLR 5001 (b), the court correctly assessed interest starting on December 31, 2005. As correctly stated by the majority (*see* majority op at 821), on that date, plaintiff refused to honor its contractual obligation to make the withdrawal payment and wrongfully withheld that

payment, and therefore “there is no reason to extend the accrual date simply because the 2005 Reserve Analysis was not released until June 2006” (*id.*).

Accordingly, I would affirm the order of the Appellate Division.

Judges GRAFFEO, READ, SMITH and PIGOTT concur with Chief Judge LIPPMAN; Judge ABDUS-SALAAM dissents in part in an opinion in which Judge RIVERA concurs.

Order modified, without costs, by remitting to Supreme Court, Oneida County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[18 NE3d 367, 993 NYS2d 656]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ANNER
RIVERA, Respondent.

Argued May 8, 2014; decided June 10, 2014

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 23, 2013. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Kings County (Neil Jon Firetog, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree, and (2) ordered a new trial on that charge.

People v Rivera, 102 AD3d 893, affirmed.

HEADNOTE

Crimes — Right to be Present at Trial — Supplemental Jury Instruction to Single Juror — Mode of Proceedings Error

In the prosecution of defendant for intentional murder and weapon possession, the trial court committed a mode of proceedings error requiring a new trial when it conducted an on-the-record discussion with one juror about the justification defense instruction in the court's robing room outside the presence of defendant and counsel, notwithstanding that defense counsel agreed to the procedure and neither counsel objected after the court summarized the discussion in defendant's presence and indicated that the transcript was available for review. A defendant's fundamental constitutional right to be present at all material stages of a trial encompasses a right to be present during the court's charge, admonishments and instructions to the jury. Under CPL 310.30, when a deliberating jury requests further instruction or clarification on the law, trial evidence, or any other matter relevant to its consideration of the case, "the court must direct that the jury be returned to the courtroom and, after notice to both the people and counsel for the defendant, and in the presence of the defendant," the court must give such information or instruction as it deems proper. Defendant's absence during nonministerial instructions affects the mode of proceedings prescribed by law and presents an error of law for review by the Court of Appeals—even absent an objection or where defense counsel has consented to the procedures used. Whether defendant's presence may have had an impact on the court's colloquy with a deliberating juror is irrelevant. Here, the juror's request for guidance regarding when someone could be considered in imminent danger was a request for further substantive instruction on a primary issue in the case. The court then proceeded to tell the juror "to work it out . . . and come to a determination" by evaluating the evidence. The exchange between the juror and the court was not ministerial.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 1014; AM JUR 2d, Trial § 946.

CARMODY-WAIT 2d, Conduct of Trial, in General §§ 190:104, 190:131; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:21, 207:27.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.2, 24.8, 24.9.

McKINNEY'S, CPL 310.30.

NY JUR 2d, Criminal Law: Procedure §§ 2488, 2501, 3469.

ANNOTATION REFERENCE

See ALR Index under Absence or Presence; Instructions to Jury.

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Database: NY-ORCS

Query: right /3 present /s jury /2 instruction /p mode /3 proceeding

POINTS OF COUNSEL

Charles J. Hynes, District Attorney, Brooklyn (Adam M. Koelsch and Leonard Joblove of counsel), for appellant. Defendant's claim regarding a conversation between the trial court and a juror in the absence of defendant is unpreserved, and does not fall within the "mode of proceedings" exception to the preservation requirement, because the court promptly informed defendant and his attorney of the content of the conversation and offered to read back that conversation. (*People v Kelly*, 5 NY3d 116; *People v Autry*, 75 NY2d 836; *People v Creech*, 60 NY2d 895; *People v Patterson*, 39 NY2d 288, 432 US 197; *People v Agramonte*, 87 NY2d 765; *People v Becoats*, 17 NY3d 643; *People v Hawkins*, 11 NY3d 484; *People v Starling*, 85 NY2d 509; *People v O'Rama*, 78 NY2d 270; *People v Casey*, 95 NY2d 354.)

Lynn W.L. Fahey, Appellate Advocates, New York City (Kathleen Whooley of counsel), for respondent. The Appellate Division correctly held that, when the court conducted an ex parte conversation with a deliberating juror about the very issue the jurors were struggling to decide, in violation of Anner Rivera's constitutional right to be present, it committed a "mode of proceedings error" that could not be "cured" by its summarizing of the conversation for Mr. Rivera and the attorneys after the fact. (*People v O'Rama*, 78 NY2d 270; *People v Cain*, 76 NY2d 119; *People v Mehmedi*, 69 NY2d 759; *Illinois v Allen*, 397 US 337; *People v Williams*, 85 NY2d 945; *People v Epps*, 37

NY2d 343; *People v Dokes*, 79 NY2d 656; *People v Parker*, 57 NY2d 136; *People v Favor*, 82 NY2d 254.)

OPINION OF THE COURT

GRAFFEO, J.

The primary issue before us is whether the trial court's violation of defendant's right to be present during a supplemental jury instruction to a single juror constitutes a mode of proceedings error entitling defendant to a new trial. We conclude that, under the circumstances of this case, it does and therefore affirm.

Andres Garcia shot a friend of defendant Anner Rivera five or six times and then allegedly pointed the gun at defendant, who fired back and killed Garcia. After defendant was indicted for intentional murder (*see* Penal Law § 125.25 [1]) and weapon possession (*see* Penal Law § 265.03 [1] [b]; [3]), he asserted that he had shot Garcia in self-defense. At defendant's request, the court instructed the jury on the defense of justification for each count (*see* CJI2d[NY] Penal Law § 35.15).

On the second day of deliberations, the jury sent a series of notes seeking further explanation of the meaning of "justified" and inquiring as to "when exactly by law" it could consider defendant to be in "imminent danger." Counsel and the court agreed to advise the jury that this was a question of fact for jury determination. During the instruction, one juror commented that this was the jury's "main complication" and the court responded by encouraging the jury to continue deliberations.

Soon after, an off-the-record bench conference was held between the judge, prosecutor and defense counsel. When the record resumed, the judge stated that juror number 11 had requested to speak with the court and, with the consent of the attorneys, he would hear the juror's concerns on the record in the robing room. There is no indication that defendant was present for or aware of his lawyer's acquiescence to this procedure. The following exchange then occurred in the robing room and outside the presence of defendant and counsel:

"JUROR #11: My question is in relation to that question. I just want to know by the law, when can we be considered to deem defendant, I guess, responsible? That's the big issue with some of us.

"THE COURT: That's understandable, but I can't, there is no legal definition other than what I've

given you. All the rest depends on an interpretation of the evidence, as I said, in the courtroom. This is a fact question for you to determine what the facts are from the evidence and make your determination. There is no more help I can give you.

“JUROR #11: It’s like the facts say both, say both, but more or less one or the other if depending upon when certain people are saying well, it’s considered one’s right before the actions took place, others are saying it’s considered once they arrived to the scene that you could say that you should determine and that’s the thing we really—

“THE COURT: You have to work it out among yourselves and come to a determination that all of you feel comfortable with, so you just have to just work it out, look at the evidence and, you know, evaluate what you’ve heard and make a decision. . . .

“THE COURT: I think that our discussion here should remain between us and basically—

“JUROR #11: Basically what you covered in the courtroom.

“THE COURT: It’s exactly what I said in the courtroom. I can’t give you any more guidance than that.”

Upon reentering the courtroom, the judge informed the attorneys that juror number 11 had requested “guidance” regarding when someone could be considered to be in “imminent danger.” The court summarized its response to the juror and stated that the colloquy was available for readback. Realizing that defendant was absent, the court had defendant returned to the courtroom, again gave a condensed version of the discussion, and explained that the transcript was available for review. Neither counsel voiced an objection or requested a readback.

The jury acquitted defendant of murder and manslaughter, but convicted him of second-degree criminal possession of a weapon (*see* Penal Law § 265.03 [3]). The Appellate Division reversed and granted defendant a new trial, holding that the robing room colloquy constituted a mode of proceedings error (102 AD3d 893, 894 [2d Dept 2013]). A Judge of this Court granted the People leave to appeal (21 NY3d 1008 [2013]).

Typically, preservation is a prerequisite to our appellate review, which is limited to questions of law (*see* NY Const, art VI, § 3 [a]; CPL 470.05, 470.35; *People v Patterson*, 39 NY2d 288, 294-296 [1976], *affd* 432 US 197 [1977]). In criminal cases, however, we have long applied a “very narrow” exception to the requirement of a timely objection with respect to a limited class of errors that “go to the essential validity of the process and are so fundamental that the entire trial is irreparably tainted” (*People v Kelly*, 5 NY3d 116, 119-120 [2005]; *see People v Mehmedi*, 69 NY2d 759, 760 [1987], *rearg denied* 69 NY2d 985 [1987]; *Patterson*, 39 NY2d at 294-296). As such, these “mode of proceedings” errors are “immune from the requirement of preservation” (*Kelly*, 5 NY3d at 120; *see People v Collins*, 99 NY2d 14, 17 [2002]).

A defendant’s fundamental constitutional right to be present at all material stages of a trial encompasses a right to be present during the court’s charge, admonishments and instructions to the jury (*see* CPL 260.20; *People v Harris*, 76 NY2d 810, 812 [1990]; *Mehmedi*, 69 NY2d at 760-761; *People v Ciccio*, 47 NY2d 431, 436-437 [1979]). This “absolute and unequivocal” right is further embodied in CPL 310.30 (*Mehmedi*, 69 NY2d at 760; *see Collins*, 99 NY2d at 17).

Under CPL 310.30, when a deliberating jury requests further instruction or clarification on the law, trial evidence, or any other matter relevant to its consideration of the case, “the court must direct that the jury be returned to the courtroom and, after notice to both the people and counsel for the defendant, and in the presence of the defendant,” the court must give such information or instruction as it deems proper (CPL 310.30; *see Collins*, 99 NY2d at 17). We have consistently held that a defendant’s absence during nonministerial instructions, in violation of CPL 310.30, affects the mode of proceedings prescribed by law and presents an error of law for our review—even absent an objection or where defense counsel has consented to the procedures used (*see Collins*, 99 NY2d at 17; *People v Cain*, 76 NY2d 119, 124 [1990]; *Harris*, 76 NY2d at 812 n; *Mehmedi*, 69 NY2d at 760).

The People argue that reversal is not required in this case because, even assuming that a mode of proceedings error occurred, it was substantially cured by the trial court. Defendant counters that “curability” is antithetical to the concept of mode of proceedings errors and asserts that the purported cure here was insufficient.

In *People v Cain* (76 NY2d 119 [1990]), the trial court engaged in a robing room colloquy with a single juror in the presence of the attorneys—but not the accused—during which the court repeated to the juror a substantive instruction previously given to the entire jury. As in this case, defense counsel did not object to the defendant’s absence. We concluded that the robing room discussion violated CPL 310.30 because the defendant had an absolute right to be present and therefore, the error “mandate[d] reversal” without regard to whether any prejudice flowed and despite the presence and consent of defense counsel (*id.* at 124). We find *Cain* to be controlling here.

Whether defendant’s presence may have had an impact on the court’s colloquy with a deliberating juror—as opposed to, for example, a discussion between the court and counsel—is irrelevant under the unequivocal mandate of CPL 310.30 and *Cain* (see *Collins*, 99 NY2d at 18-19; *Cain*, 76 NY2d at 124; *Mehmedi*, 69 NY2d at 760; compare *People v Roman*, 88 NY2d 18, 26 [1996], *rearg denied* 88 NY2d 920 [1996]). Rather, our precedent recognizes only one clear exception to the defendant’s right to be present under CPL 310.30, which is actually not an exception at all—namely, there is no violation when a communication is ministerial and therefore does not fall within the ambit of a supplemental jury instruction (see *Collins*, 99 NY2d at 17-18; *People v Hameed*, 88 NY2d 232, 240-241 [1996], *cert denied* 519 US 1065 [1997]; *Harris*, 76 NY2d at 812).

Here, as in *Cain*, juror number 11’s questions requested further substantive instruction on a primary issue in the case—the application of the justification defense. Although the trial court initially informed the juror that it had already given the jury the full instructions to which it was entitled, the court then proceeded to tell the juror “to work it out . . . and come to a determination” by evaluating the evidence. This exchange was not ministerial (see *Collins*, 99 NY2d at 17; cf. *People v Torres*, 72 NY2d 1007, 1009 [1988]; compare *People v Williams*, 21 NY3d 932, 935 [2013]; *People v Bonaparte*, 78 NY2d 26, 30-31 [1991]; *Harris*, 76 NY2d at 812). Moreover, to the extent that the dissent assumes that *People v Bragle* (88 NY 585 [1882]) and *People v Morales* (80 NY2d 450, 457 n 2 [1992]) may be read together to create a “de minimis” exception to a defendant’s right to be present during supplemental jury instructions, neither of those

cases arose under CPL 310.30, and the facts of this case are plainly distinguishable (*compare Bragle*, 88 NY at 589-590).¹

Finally, contrary to the view of the People and the dissent, *People v Kelly* (5 NY3d 116 [2005]) and *People v Kadarko* (14 NY3d 426 [2010]) do not persuade us to reach a different result. Our conclusion that preservation was required in those cases necessarily followed from our determinations that no mode of proceedings error had occurred. Even accepting the People's contention that a violation of a defendant's right to be present during supplemental jury instructions may be "cured" or requires preservation in certain contexts (*cf. Williams*, 21 NY3d at 935; *People v Ippolito*, 20 NY3d 615, 625 [2013]), here, the trial court's response was inadequate to remedy the error (*see generally People ex rel. Lupo v Fay*, 13 NY2d 253, 257 [1963], *cert denied* 376 US 958 [1964]).² Thus, we hold that under *Cain* and related precedent, an error of law has been presented for our review and defendant is entitled to a new trial.³

Accordingly, the order of the Appellate Division should be affirmed.

ABDUS-SALAAM, J. (dissenting). Because, contrary to the majority's determination (*see* majority op at 829, 832-833), the trial court committed a de minimis violation of defendant's right to be present rather than a mode of proceedings error, I respectfully dissent and vote to reverse the order of the Appellate Division.

A criminal defendant's statutory and constitutional right to be present at the material stages of his or her trial derives from the fear that, in the defendant's absence at such material proceedings, he or she will be denied a full opportunity to defend against the charges or be confronted with the appearance of

1. The dissent expresses concern that the foregoing principles encourage "gamesmanship." In response, we note that most substantive inquiries by jurors fall within the confines of *People v O'Rama* (78 NY2d 270 [1991]) and adherence to the procedures that we articulated decades ago in that case minimizes any such problem.

2. Although our ruling is premised on a violation of defendant's right to be present under CPL 310.30 and *People v Cain*, we further note that CPL 310.30 "does not contemplate the giving of supplemental legal instructions to a single juror in the absence of the remaining jurors" because substantive communications with one juror could influence the entire panel if unwittingly misinterpreted or mischaracterized (76 NY2d 119, 124 n 1 [1990]; *see United States v United States Gypsum Co.*, 438 US 422, 460-461 [1978]).

3. The People raise no issue on appeal with regard to whether justification was properly charged for any count.

impropriety attendant to wholly secret trials (see *Kentucky v Stincer*, 482 US 730, 745 [1987] [“a defendant is guaranteed the right to be present at any stage of the criminal proceeding that is critical to its outcome if his presence would contribute to the fairness of the procedure”]; *Snyder v Massachusetts*, 291 US 97, 105-106 [1934] [defendant has a right to be present “whenever his presence has a relation, reasonably substantial, to the fullness of his opportunity to defend against the charge”]; *People v Morales*, 80 NY2d 450, 456 [1992] [“To the extent there is a concern about secret trials, defendant’s presence serves a symbolic function” regardless of defendant’s “potential contribution to the proceedings”]; *People v Bragle*, 88 NY 585, 590 [1882] [the old statute guaranteeing the right to be present “was evidently meant for the protection of the prisoner, and a substantial performance was all which was required”]; *Maurer v People*, 43 NY 1, 4 [1870] [right to be present under old statute had to be honored so “that the accused have the opportunity of correcting any error in the answers, or of calling attention to other parts of the evidence explanatory thereof, or that may modify its effect”]; cf. *People v Colascione*, 22 NY2d 65, 70-71 [1968] [“here, opportunity to act” with respect to the court’s inquiry of the jury “was withdrawn from counsel” and defendant, thus violating defendant’s right to be present, and “(t)here was no contemporaneous record” of ex parte proceedings]).

To prevent the deprivation of a defendant’s opportunity to provide meaningful input or to object to a court’s actions at important proceedings, we have held that a defendant’s significant absence from a material, nonministerial stage of the trial results in a mode of proceedings error, which need not be preserved, cannot be waived and requires reversal of the conviction (see *People v Cain*, 76 NY2d 119, 124 [1990]; *People v Mehmedi*, 69 NY2d 759, 760 [1987]). However, under some circumstances, where the defendant either could not have provided meaningful input on, or eventually has an opportunity to object to and cure, a court’s brief ex parte conduct during jury deliberations, no mode of proceedings error occurs, and the court commits only a de minimis violation of the right to be present, which does not warrant reversal (see *People v Collins*, 99 NY2d 14, 18-19 [2002]; *People v Roman*, 88 NY2d 18, 26 [1996]; *People v Morales*, 80 NY2d 450, 457 n 2 [1992]).

Here, the trial court committed a de minimis violation of defendant’s right to be present. Once defense counsel and the prosecutor suggested to the court that it should speak to juror

11 outside the presence of the parties, the court followed that recommendation, and as far as the record shows, the court did not know in advance that the juror intended to inquire about the court's previous response to the jury's note. When the juror asked the court "when can we be considered to deem defendant, I guess, responsible," the court briefly replied, in sum and substance, that it could not help the juror or provide any guidance on that matter beyond what it had already told the entire jury. Neither defendant nor his attorney could have meaningfully contributed to what was basically the court's nonanswer to the juror's question. And, after the robing room conversation, the court summarized the contents of the conversation for defendant and offered a readback, thereby offering him a full opportunity to inform the court of anything the court should have said to the juror and to recommend curative measures if needed. Importantly, too, the court maintained the transparency of the proceedings by receiving the lawyers' consent in advance of the robing room conversation, informing the parties of the content of the conversation and making available a transcript of the conversation. Since defendant's absence from the court's discussion with juror 11 did not "'ha[ve] a relation, reasonably substantial, to the fullness of his opportunity to defend against the charge'" (*People v Ciccio*, 47 NY2d 431, 436 [1979], quoting *Snyder*, 291 US at 105-106) or cause the proceedings to remotely resemble a "secret trial[]" (*Morales*, 80 NY2d at 456), the court committed, at most, a de minimis violation of defendant's right to be present rather than a mode of proceedings error.*

* The majority essentially posits that, in enacting CPL 310.30, the legislature implicitly overruled so much of our precedent in *Bragle* and *Morales* as establishes that some violations of the right to be present are de minimis. Thus, in the majority's view, CPL 310.30 requires a defendant's presence at every interaction between the court and a juror, save for those proceedings that may be labeled ministerial (*see* majority op at 832-833). But, at the time it passed that statute, the legislature presumably knew of our previous holdings that no mode of proceedings error occurs when a defendant's absence from a portion of jury deliberations neither deprives the defendant of the opportunity to meaningfully defend against the charges nor creates the appearance of a secret trial (*see Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151, 157 [1987]). With apparent awareness of that precedent, the legislature expressed no intent to dispose of it, as nothing in the text or legislative history of CPL 310.30 reflects a desire to end our preexisting decisional framework regarding the right to be present (*see* CPL 310.30; Mem of Commn on Rev of Penal Law and Crim Code, Bill Jacket, L 1970, ch 996 at 12). Indeed, in recognition that CPL 310.30 embodies the same commonsense

(n. cont'd)

People v Kelly (5 NY3d 116 [2005]) is instructive on this point, even though the defendant in *Kelly* did not expressly frame his appellate claim in terms of his right to be present. In *Kelly*, a court officer entered the jury room and conducted a demonstration using the alleged murder weapon in the absence of the defendant and his attorney (*see id.* at 118). When the officer later informed the court and the parties of the demonstration, defense counsel consulted with the defendant and then had the court issue a curative instruction (*see id.*). Despite the defendant's complete absence from the court officer's interaction with the jurors regarding the murder weapon, we held that no mode of proceedings error had occurred (*see id.* at 117-121). In particular, we observed that the defendant had not objected to the court's supposed failure to supervise the court officer during the deliberations, instead only seeking a curative instruction, and we said:

“the court officer did not have the last word; the court did, after it continued to exercise full and proper control of the trial. By airing the problem, the trial court gave defendant an opportunity to object to the court officer's demonstration. The record is devoid of an objection; instead, defendant obviously wanted the case to go to verdict, and was satisfied with a curative instruction. In all, the impropriety was protestable but unprotested, curable and cured” (*id.* at 121).

In the instant case, defendant was similarly absent from a brief portion of the proceedings that could not have had any real impact on the jury's deliberations, and the court aired the problem and invited input from defendant, who apparently had none to offer. Defendant was satisfied with the court's actions, and as in *Kelly*, no mode of proceedings error occurred (*see generally People v Kadarko*, 14 NY3d 426, 428-429 [2010]).

Along those lines, in *People v Collins* (*supra*), we declined to reverse the defendant's conviction based on a de minimis violation of the right to be present akin to the one that occurred here. There, the defendant was present when the trial court

approach to the right to be present as our prior precedent, we have concluded that the statute implicitly tolerates a defendant's absence from ministerial proceedings because, while the court may provide a deliberating juror with information of some kind at such proceedings, that information is not so significant as to necessitate the defendant's presence and input, which would be of little value (*see People v Harris*, 76 NY2d 810, 812 [1990]).

granted defense counsel's request to add an instruction to the verdict sheet telling the jury to consider certain burglary counts in the alternative (*see Collins*, 99 NY2d at 16). The defendant was absent, however, when counsel and the court drafted the specific language of the instruction on the verdict sheet, and he remained absent during counsel's motion for a trial order of dismissal (*see id.*). We concluded that the trial court had not committed a mode of proceedings error in violation of the defendant's right to be present by drafting the language of the instruction in the defendant's absence (*see id.* at 18-19). In finding that the court's action was "ministerial" and did not implicate the defendant's fundamental procedural rights, we noted that the defendant's "presence was unnecessary" at the disputed portion of the proceedings insofar as it "involved a purely legal argument to which defendant had nothing to contribute" (*id.* at 18-19). So, too, defendant here was present during the major part of the court's and the lawyers' substantive discussion of the issue identified in the jury note, which prompted juror 11's robing room inquiry, and defendant missed only the court's short refusal to assist the juror further on that subject, to which defendant could have added nothing of value. Therefore, defendant's fleeting absence from the interaction between the court and the juror does not warrant the invalidation of his conviction.

By striking down defendant's conviction based on a de minimis error that occurred at defense counsel's instigation and with defendant's eventual acquiescence, the majority risks encouraging gamesmanship without promoting the interests underlying the right to be present. Under the majority's holding, a conscientious defense counsel has every reason to encourage a trial court to conduct insignificant proceedings in the defendant's absence, knowing that the court's actions will not meaningfully affect the jury's consideration of the case and will provide a guaranteed reversal of a conviction on appeal. In instigating this error without moving for a mistrial, counsel incurs little, if any, risk. The court's insignificant interaction with a juror or jurors in the defendant's absence is unlikely to jeopardize the defendant's chance to receive an acquittal from the jury, and should the jury convict the defendant, as it presumably would have done regardless of its ex parte contact with the court, counsel's successful effort to prompt the court's de minimis error guarantees the defendant a reversal and a shot at a more favorable result on retrial. While the promotion of such

undesirable legal strategies sometimes may be a tolerable side effect of the protection of defendants' most basic rights, we should not create perverse incentives for litigants where, as here, trial courts have not significantly infringed on their rights (see *People v Acevedo*, 17 NY3d 297, 302-303 [2011, Lippman, Ch. J.] [denying defendants relief because they sought to use a procedural resentencing maneuver purely as a form of gamesmanship meant to avoid proper sentencing consequences rather than to vindicate the interests underlying their entitlement to resentencing]).

The facts of this case reveal the benefits the majority risks conferring upon those who "sit idly by while error is committed, thereby allow the error to pass into the record uncured, and yet claim the error on appeal" (*People v Patterson*, 39 NY2d 288, 295 [1976]). Defense counsel encouraged the court to conduct a small part of the proceedings during deliberations in defendant's absence, and thereafter counsel and defendant learned of the relatively unimportant contents of the ex parte proceedings and could have further examined them. Had either defendant or his lawyer requested a mistrial based on the de minimis irregularity, defendant would have faced the unappealing prospect of another trial on all charges in the indictment, including intentional murder. By instead staying silent, allowing the error to occur and seeking a chance at acquittal, the defense reaped a far greater reward than would have flowed from a timely and readily available objection. Had the jury convicted defendant of all charges, he would still have won an automatic reversal and a retrial five years later when witnesses' memories may have faded, and if the jury had acquitted him outright, he would have been a free man. In fact, defendant received nearly the maximum benefit of his and his lawyer's silence because he was acquitted of the most serious charges, thereby eliminating the risk of retrial for murder, and accrued only a weapons possession conviction, for which he may now receive a retrial. While more serious legal violations may appropriately bring about such an outcome, nothing about the trial court's practice here justifies this result.

The majority says that jurors seldom ask for information from the court without sending a written note and compelling the court to follow the *O'Rama* procedure (see *People v O'Rama*, 78 NY2d 270 [1991]), so only rare cases will create opportunities for defense attorneys to lead trial judges down the garden path to the sort of de minimis error that, in the majority's view, war-

rants reversal here (*see* majority op at 833 n 1). But, the majority provides no factual support for its assertion that deliberating jurors rarely ask to speak to the court in person without triggering the *O’Rama* procedure, and past cases indicate that robing room conversations with jurors, whether warranting reversal of a conviction or not, are not so rare as to obviate the need to limit genuinely unjustified reversals and thus discourage litigants from engaging in cynical tactical maneuvers (*see Collins*, 99 NY2d at 16; *Cain*, 76 NY2d at 121-122; *People v Pellington*, 294 AD2d 197, 197 [1st Dept 2002]; *People v Carr*, 168 AD2d 213, 213-215 [1st Dept 1990]; *see also People v Pagan*, 248 AD2d 325, 326 [1st Dept 1998]).

Finally, *People v Cain* and *People v Mehmedi* (*supra*), cited by the majority (*see* majority op at 831-832), are distinguishable from this case. In *Cain*, the trial court summoned a juror to the robing room in response to a poll of the jury upon its verdict (*see Cain*, 76 NY2d at 121-122). With counsel present and the defendant absent, the court: held an extensive conversation with the juror about the juror’s confusion over the intricacies of accomplice liability; repeated its full initial instructions on that subject; provided an illustrative example of the issue; and discussed the juror’s specific conclusions about the facts of the case (*see id.* at 122-123). The court then immediately accepted the jury’s verdict without summarizing the robing room conversation for defendant or offering a readback of it (*see id.* at 123). On those facts, we held that the court’s violation of the defendant’s right to be present required reversal of his conviction (*see id.* at 124). By contrast, the court here did not hold a protracted dialogue with a juror about important and complex legal issues, adduce factual conclusions from the juror, or repeat substantial legal instructions and hypothetical examples in defendant’s absence in a manner which deeply infringed on his right to be present.

As for *Mehmedi*, the trial court there also caused more than a de minimis violation of the defendant’s right to be present. In that case, the court formulated an answer to a critical factual question posed by the jury in the defendant’s absence (*see Mehmedi*, 69 NY2d at 760). While the defendant was still outside the courtroom, the court issued its response to the jury, and the court apparently did not later apprise the defendant of what had transpired (*see id.* at 760). On appeal, we accepted the People’s concession that the court had committed a mode of

proceedings error without extended discussion, but we rejected their invitation to hold the error harmless and reversed the defendant's conviction (*see id.* at 760-761). Unlike the court in *Mehmedi*, the trial court in this case did not formulate its sole response to the full jury's critical factual inquiry in defendant's absence, nor did the court entirely deprive defendant himself of the opportunity to complain of the contents of its sole and final response to a jury inquiry, which here, in contrast to *Mehmedi*, were revealed to defendant in open court. Thus, *Mehmedi* does not require the invalidation of defendant's conviction.

In sum, by affirming the Appellate Division's order, the majority potentially fosters needless gamesmanship and detaches our precedent on the right to be present from its primary underpinnings. Therefore, I dissent and would reverse.

Chief Judge LIPPMAN and Judges PIGOTT and RIVERA concur with Judge GRAFFEO; Judge ABDUS-SALAAM dissents and votes to reverse in an opinion in which Judges READ and SMITH concur.

Order affirmed.

[18 NE3d 701, 994 NYS2d 1]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NEIL
GILLOTTI, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GEORGE
F. FAZIO, Appellant.

Argued April 30, 2014; decided June 10, 2014

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 15, 2013. The Appellate Division affirmed an order of the Niagara County Court (Matthew J. Murphy III, J.), which had determined that defendant was a level three risk pursuant to the Sex Offender Registration Act.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 16, 2013. The Appellate Division affirmed an order of the Albany County Court (Thomas A. Breslin, J.), which had determined that defendant was a level two risk pursuant to the Sex Offender Registration Act.

People v Gillotti, 104 AD3d 1155, reversed.

People v Fazio, 106 AD3d 1291, affirmed.

HEADNOTES

Appeal — Preservation of Issue for Review — Challenge to Imposition of Points in Determining Sex Offender Risk Level

1. Defendant, a convicted sex offender whose crime consisted of possessing pornographic videos and images of children, did not preserve his claim that the court determining his risk level classification under the Sex Offender Registration Act (Correction Law art 6-C [SORA]) should not have imposed points under factor 7 of the SORA Risk Assessment Guidelines based on his stranger relationship to the victims. Defendant never specifically opposed the People's request for the scoring of points under factor 7 on the theory that the assessment of such points is inappropriate in a child pornography case.

Crimes — Sex Offenders — Sex Offender Registration Act — Application of “Relationship between Offender and Victim” Risk Factor to Possessor of Child Pornography

2. The court determining the appropriate risk level assignment for defendant, a convicted sex offender whose crime consisted of possessing pornographic videos and images of children, was authorized to assess points under risk factor 7 of the Sex Offender Registration Act: Risk Assessment Guidelines and

Commentary based on defendant's stranger relationship to the victims. The plain terms of factor 7 authorize the assessment of points based on a child pornography offender's stranger relationship with the children featured in his or her child pornography files.

Crimes — Sex Offenders — Sex Offender Registration Act — Application of “Number of Victims” Risk Factor to Possessor of Child Pornography

3. Defendants, convicted sex offenders whose crimes consisted of possessing pornographic videos and images of children, were properly assessed points under risk factor 3 of the Sex Offender Registration Act (SORA) Risk Assessment Guidelines based on the number of victims. Children depicted in child pornography are necessarily counted as victims under factor 3, and nothing in that factor's plain terms suggests otherwise. The Board of Examiners of Sex Offenders' official commentary to the Risk Assessment Guidelines explains that factor 3 “focuses upon the number of people whom the offender victimized,” and that the “existence of multiple victims is indicative of compulsive behavior and is, therefore, a significant factor in assessing the offender's risk of reoffense and dangerousness.” Given that factor 3 draws no distinction between victims of child pornography offenses and victims of other sex crimes, the plain language of that factor and its associated commentary permit a SORA court to score points against an offender based on the number of different children featured in his or her child pornography files, and the courts here properly assessed those points. While a departure may be warranted in a variety of child pornography cases, scoring under factor 3 does not necessarily overestimate a child pornography offender's risk of further exploiting children.

Crimes — Sex Offenders — Sex Offender Registration Act — Scoring of Child Pornography Defendants

4. The Board of Examiners of Sex Offenders' position statement on the evaluation of child pornography cases under the Sex Offender Registration Act (SORA) does not bar the assignment of points under risk factor 3 (number of victims) and risk factor 7 (relationship between offender and victim) of the Risk Assessment Guidelines in the determination of the appropriate risk level for child pornography offenders. The position statement is not on the same footing as the guidelines because SORA neither mentions a “position statement” nor attributes any legal significance to that document. Rather, SORA requires a court to “apply[] the guidelines” to determine an offender's risk level classification (Correction Law § 168-n [2]). The position statement does not state that it is an actual or constructive amendment to the guidelines, and the Board has not otherwise proclaimed the document to be an amendment to the guidelines. To the extent that the position statement indicates that the Board is skeptical of scoring points under factors 3 and 7 in child pornography cases, the Board did not translate that skepticism into a bright-line rule or an amendment to the guidelines categorically forbidding point assessments under factors 3 and 7 in such cases. Moreover, to the extent the Board maintains a practice of declining to assess points against child pornography offenders pursuant to factors 3 and 7, a SORA court is not bound by that practice, for Correction Law § 168-n (3) expressly authorizes the court to classify an offender at a higher risk level than the one recommended by the Board.

Crimes — Sex Offenders — Sex Offender Registration Act — Downward Departure — Burden of Proof

5. In reviewing the Sex Offender Registration Act (SORA) hearing court's rejection of defendant's request for a downward departure from his risk level

three classification as indicated by SORA Risk Assessment Guidelines score, the Appellate Division erred by reviewing the SORA court's departure decision under a clear and convincing evidence standard of proof. The Appellate Division should have determined whether defendant proved the existence of the alleged mitigating factors underlying his departure request by a preponderance of the evidence. Because Correction Law § 168-n (3) compels the People to prove the existence of facts supporting a defendant's overall risk level classification by clear and convincing evidence, the People cannot obtain an upward departure pursuant to the guidelines unless they prove the existence of certain aggravating circumstances by clear and convincing evidence. By contrast, neither the guidelines nor Correction Law § 168-n (3) assigns any particular burden of proof to a defendant who asks for a downward departure. However, a SORA defendant asking for a downward departure essentially occupies the same position as a defendant raising an affirmative defense or attempting to rebut a presumption in any other civil proceeding; each type of defendant basically concedes that the plaintiff has met its burden of proof with respect to the essential elements of the cause of action, but each nonetheless seeks to prevent the plaintiff from obtaining an entirely favorable judgment by proving an additional circumstance that weighs against the granting of such relief. Given that a defendant interposing an affirmative defense may prevail on that defense by a mere preponderance of the evidence in most civil cases, a SORA defendant should be allowed to obtain a downward departure by presenting the same quantum of proof. Moreover, a defendant's statutorily protected interest in being free from excessive government monitoring and stigmatization weighs decisively in favor of applying the preponderance of the evidence standard to a defendant's request for a downward departure.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 575; AM JUR 2d, Mentally Impaired Persons §§ 126, 137, 139.
CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:5, 207:18.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 27.5.
MCKINNEY'S, Correction Law § 168-n (2), (3).
NY JUR 2d, Criminal Law: Procedure §§ 3454, 3455, 3619;
NY JUR 2d, Penal and Correctional Institutions §§ 414–418, 420–423, 427.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Sex Offender Registration and Notification.

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POINTS OF COUNSEL

David J. Farrugia, Public Defender, Lockport (Joseph G. Frazier of counsel), for appellant in the first above-entitled action.

The Sex Offender Registration Act court failed to apply the proper legal standard, the level three designation is an unjust, unintended and anomalous result under the Sex Offender Registration Act and the Risk Assessment Guidelines, and the court's denial of a downward departure was error. (*People v Mingo*, 12 NY3d 563; *People v Pettigrew*, 14 NY3d 406; *People v Whyte*, 89 AD3d 1407; *People v Inskeep*, 91 AD3d 1335; *People v McCollum*, 41 AD3d 1187; *People v Carswell*, 8 AD3d 1073, 3 NY3d 607; *People v Wyatt*, 89 AD3d 112; *People v Johnson*, 11 NY3d 416; *People v Poole*, 90 AD3d 1550; *People v Blackman*, 78 AD3d 803.)

Michael J. Violante, District Attorney, Lockport (*Laura T. Bittner* and *Thomas H. Brandt* of counsel), for respondent in the first above-entitled action. County Court's designation of defendant as a level three sex offender was supported by clear and convincing evidence; the court did not abuse its discretion when it denied defendant's request for a downward departure. (*People v Johnson*, 11 NY3d 416; *People v Palmer*, 20 NY3d 373; *People v Pettigrew*, 14 NY3d 406; *People v Hawkins*, 11 NY3d 484; *People v Ascher*, 106 AD3d 448; *People v Marrero*, 37 Misc 3d 429; *People v Labarbera*, 41 Misc 3d 321; *People v Wyatt*, 89 AD3d 112, 18 NY3d 803; *People v Carter*, 106 AD3d 1202; *People v Young*, 108 AD3d 1232.)

James P. Milstein, Public Defender, Albany (*Christopher J. Ritchey* of counsel), for appellant in the second above-entitled action. The court erred during the appellant's Sex Offender Registration Act hearing when it scored the appellant points for a stranger relationship to his victims and multiple victims. (*People v Johnson*, 11 NY3d 416; *People v Jusino*, 11 Misc 3d 470; *People v Arotin*, 19 AD3d 845; *People v Marrero*, 37 Misc 3d 429; *People v Alemany*, 13 NY3d 424; *People v McFarland*, 29 Misc 3d 1206[A], 2010 NY Slip Op 51705[U], 88 AD3d 547.)

P. David Soares, District Attorney, Albany (*Steven M. Sharp* of counsel), for respondent in the second above-entitled action. Defendant's designation as a risk level two sex offender was proper. (*People v Alemany*, 13 NY3d 424; *People v Johnson*, 11 NY3d 416; *People v Poole*, 90 AD3d 1550.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

In *People v Johnson* (11 NY3d 416 [2008]), we recognized that children depicted in child pornography are "victims" of sex of-

fenses within the meaning of the Sex Offender Registration Act (Correction Law art 6-C [SORA]), and we held that where an offender is a stranger to such victims prior to his or her commission of a child pornography offense, the SORA Risk Assessment Guidelines and Commentary promulgated by the Board of Examiners of Sex Offenders (the Board) authorize the assessment of points under guidelines factor 7, which accounts for the increased risk of sexual recidivism posed by an offender whose crime is directed at a stranger (*see Johnson*, 11 NY3d at 418-420). Noting that the assignment of points to a child pornography offender under factor 7 may sometimes result in an excessive risk calculation in a manner not contemplated by the guidelines or the statute, we further determined that a court at a SORA hearing should account for that anomaly in a particular case by ordering a discretionary downward departure to a lower risk level classification (*see id.* at 420-421).

In these appeals, we are called upon to answer three questions arising in the wake of *Johnson*. First, may a SORA court assess points against a child pornography offender under the plain language of guidelines factor 3, which is based on the number of victims involved in the offender's crime? Second, does a recent document issued by the Board, which describes the document as a position statement on the evaluation of child pornography cases under SORA, prohibit a SORA court from assigning points to an offender under factors 3 and 7? Third, where an offender requests a downward departure in a child pornography case, or any other SORA case, must the offender prove the facts supporting a departure by clear and convincing evidence or only by a preponderance of the evidence? We hold that factor 3 permits the scoring of points based on the number of different children depicted in the child pornography files possessed by an offender, that the Board's position statement does not bar the assignment of points under factors 3 and 7 in child pornography cases, and that an offender must prove the facts supporting a downward departure by a preponderance of the evidence.

I

People v Gillotti

In 2008, defendant Neil Gillotti, who was 19 years old at the time, was serving in the United States Air Force at a military base in England. Other military personnel discovered about 40 pornographic videos and numerous pornographic images featur-

ing children between the ages of 5 and 14 on defendant's laptop and desktop computers. When confronted about the pornographic files, defendant admitted that he possessed them, and he claimed that he had originally downloaded them when he was a teenager and that he had viewed over 1,000 child pornography files during his teenage years. After military charges were brought against defendant, he pleaded guilty to sexual exploitation of a child in violation of the United States Uniform Code of Military Justice article 134 (10 USC § 934) and 18 USC article 110. Defendant served his sentence in military custody, received a bad conduct discharge, was removed from service and returned to the United States.

Upon his return to the United States, defendant moved into his mother's house in Middleport, New York. Because defendant was required to register as a sex offender in New York pursuant to SORA, the Board prepared a risk assessment instrument (RAI) and case summary to assess defendant's risk of reoffending and his dangerousness to the community under the guidelines. The Board assigned points to defendant under a variety of guidelines factors, resulting in a total score of 55 and a presumptive risk level one classification.¹ As most pertinent for purposes of appeal, the Board did not assess points against defendant under factors 3 and 7. However, the Board recommended an upward departure to a risk level two classification.

Prior to a scheduled SORA hearing, the People requested that the court adjudicate defendant a risk level three sex offender by assigning him additional points pursuant to factors that did not form the basis of the Board's recommendation. In particular, the People asserted that defendant should be assigned additional points under the following guidelines factors: factor 3, number of victims (30 points for three or more victims); factor 7, relationship with victim (20 points for victims who were strangers to defendant); and factor 15, living/employment situation (10 points for defendant's employment situation being inappropriate). The People contended that, because numerous children were depicted in the pornographic images and were exploited for the viewing pleasure of defendant and other consumers of

1. Under the guidelines, a score of 70 points or less results in a presumptive risk level one classification. A score of more than 70 points and less than 110 points results in a presumptive risk level two classification. A score of 110 points or more results in a presumptive risk level three classification (*see* Sex Offender Registration Act: Risk Assessment Guidelines and Commentary at 3 [2006] [hereinafter Guidelines]).

child pornography, defendant should be assessed points for having victimized multiple children. Furthermore, in the People's view, defendant had an inappropriate employment situation, as he was working at a local amusement park where he was frequently exposed to children. Thus, the People argued, defendant should be assessed 115 points, rendering him a risk level three sex offender. At a SORA hearing, defendant generally opposed the People's request to order a risk level classification greater than the one recommended by the Board, specifically challenged any assessment of points under factor 3 and sought a downward departure; he did not, however, oppose scoring pursuant to factor 7.

At the hearing, the People submitted to the court the Board's RAI, the case summary, and the Air Force Office of Special Investigations case file. As noted, those materials revealed that defendant had possessed numerous violent and meticulously catalogued pornographic images and videos of children. As far as the People's documentary evidence revealed, defendant did not know any of the children featured in those computer files.

According to the military records, defendant claimed that he had downloaded the pornographic files when he was approximately 14 or 15 years old, that he had long since ceased viewing the files and that he had simply failed to delete them when he brought his computers with him to the Air Force. However, the military investigation revealed that when defendant was about 17½ years old, he had entered an Internet chat room and attempted to send someone a file entitled "13-year-old virgins forced into sex after school." After his guilty plea, defendant wrote a letter of apology to one of the individuals depicted in his files, who had been located by the National Center for Missing and Exploited Children. In the letter, defendant expressed regret over viewing the images of this individual based on his own experience with sexual abuse, explaining that his mother had told him that he had been sexually abused by a family member in an incident that he could not recall.

As a counterpoint to the People's evidence at the hearing, defendant presented the testimony of certain friends and relatives. Defendant also submitted to the court several letters and a certificate of completion from an anger management program, all of which had been provided to the military tribunal in support of a clemency request, and defendant provided the court with newspaper and journal articles describing the ease and

frequency with which young people sometimes inadvertently accessed child pornography on the Internet. Defendant further presented the report of Dr. David Heffler, who had examined defendant in order to evaluate his likelihood of reoffending.

The defense witnesses testified about defendant's good character prior to his joining the military, describing his extensive volunteer work, community involvement, role model status, good reputation among friends and family, and computer skills. According to the witnesses, defendant lived with his mother, was almost never left alone in the house and did not engage in any inappropriate behavior. Defendant also had a steady six-month-old relationship with his girlfriend. Upon a friend's recommendation, defendant got a job at Darien Lake Amusement Park, where he was regularly in the presence of the children who visited the park.

Dr. Heffler reported that one of his associates had conducted a polygraph test of defendant. The polygraph results indicated that defendant had falsely told the examiner that he had not viewed child pornography since the age of 16, that he had not saved the pornographic files on his laptop after their discovery, that he had not known that he had transferred those files from an older computer to his laptop, and that he was no longer attracted to images of children.

The report also described Dr. Heffler's interview with defendant. In the interview, defendant explained that he had not participated in sex offender treatment after his release from military detention. Defendant had received counseling and antidepressant medication during the pendency of the legal proceedings in this case, and he had stopped watching child pornography, though he continued to view adult pornography.

According to Dr. Heffler's report, defendant was not cognitively impaired, presented in a polite and socially acceptable manner, had no history of mental illness, and did not show any interest in certain fetishes and violent sexual conduct. On the other hand, the testing and the interview suggested to Dr. Heffler that defendant may have continued to view child pornography beyond his teenage years, which reflected his unhealthy sexual interest in children. Dr. Heffler stated that defendant essentially put on a pleasant front, had difficulty managing negative emotions, internalized anger, exhibited emotions that were incongruent with a given situation, lacked empathy, and was at risk of engaging in gratifying behaviors to mask negative emo-

tions. Defendant's emotional control problem was "a trait associated with sexual offense." Dr. Heffler also explained that defendant's behavior followed a familiar paradigm for child pornography offenders, stating:

"This Classical Conditioning paradigm occurs as a result of repetitive pornography use, eventually leading to diminished interest and arousal. When this occurs the user loses interest in usual images and begins searching for images that will produce the desired level of arousal. As in [defendant's] case they will begin searching legal but more taboo images, such as fetish or 'barely legal' teen sites. As the arousal to these images gradually decreases (habituation), the search begins for more arousing material."

Further discussing his findings, Dr. Heffler noted that a recent study had indicated that child pornography users who do not commit "hands-on" offenses have only a 4% rate of committing such hands-on offenses in the future, which was "considerably lower" than the rate for other types of offenders. Regarding defendant specifically, however, Dr. Heffler identified a number of risk factors for recidivism, including defendant's various emotional and psychosexual problems and his "[p]ast volunteer work with children which may have served to sate his unhealthy interest in children." Dr. Heffler recommended diagnoses of "Hebephilia: Non-Exclusive Type" and "Pedophilia: Non-Exclusive Type." Dr. Heffler opined, "Based on the above assessment findings, it is my professional opinion, with a reasonable degree of clinical certainty that, in spite of the relative lower rate of sexual recidivism for child pornography offenders, [defendant] continues to present a risk of sexual recidivism." Dr. Heffler also recommended various treatment program conditions for defendant, including refraining from use of pornography, from online computer use unrelated to his employment and from "employment or volunteer work that permits access to children under the age of 18."

After the SORA hearing, in a written decision and order, the court adjudicated defendant a risk level three sex offender. The court accepted the People's scoring proposal under the guidelines, finding that the Board had failed to consider certain aggravating factors that warranted the imposition of additional points. Among other things, the court determined that "this [d]efendant's quantity of possessed child pornographic images, as well as his willingness to retain such materials in his com-

puter over an extended period of time, increases the danger of both acting upon his perverted sexual fantasies and increasing his likelihood to reoffend.” Noting that it had “carefully considered the [d]efendant’s request for a downward departure,” the court found that although defendant had a “large and lovely family” and had been “young at the time the child pornography was downloaded,” those mitigating factors were outweighed by defendant’s possession of numerous pornographic files featuring children, his failure to delete those files, his inappropriate work environment and “his reported lack of candor during the evaluation by Dr. Heffler and his associates.” The court said, “Under all of the circumstances, this Court finds that the [d]efendant has not made a sufficient showing of facts or circumstances so as to warrant a downward departure, at this time.” Defendant appealed.

The Appellate Division unanimously affirmed the SORA court’s order (*see People v Gillotti*, 104 AD3d 1155, 1155 [4th Dept 2013]). The Appellate Division concluded that the SORA court had correctly assessed the relevant points under the guidelines (*see id.* at 1155). The court further found that defendant had not presented “clear and convincing evidence of special circumstances justifying a downward departure” (*id.* [internal quotation marks omitted]). We granted defendant leave to appeal (21 NY3d 858 [2013]) and now reverse and remit to the Appellate Division for application of the correct standard of proof to defendant’s departure request.

People v Fazio

In April 2006, the legal department of Yahoo, Inc., notified the police in Delaware County, Pennsylvania, that a local resident, who turned out to be defendant George Fazio, had uploaded child pornography files to a Yahoo website. After an investigation, the police arrested defendant and seized his computer, which contained roughly 20 pornographic images and movies featuring children, some of whom were less than 11 years old. Defendant eventually pleaded guilty to two counts of sexual abuse of children (*see* 18 Pa Cons Stat § 6312 [c]). Upon his release from prison, Pennsylvania authorities evaluated defendant’s case to determine his registration status under Pennsylvania’s sex offender registration law. An examiner concluded that defendant had met several statutory criteria indicative of a risk of reoffense, including the victimization of multiple individuals and having a stranger relationship to the victims.

In 2011, defendant moved to New York, where he was required to register under SORA. Accordingly, the Board prepared an RAI and case summary regarding defendant. The Board assessed defendant points under the following guidelines factors: factor 5, age of victim (30 points for defendant's victims being 10 years old or younger); and factor 14, supervision (15 points for defendant's release without supervision). Based on that total score of 45 points, the Board found defendant to be a risk level one sex offender and recommended no departures from that classification.

The People asked the SORA court to score 50 additional points under factors 3 and 7, which would render defendant a risk level two sex offender. In support of their request, the People provided the court with the Board's RAI, the Board's case summary, the Pennsylvania indictment, the Pennsylvania court's sentencing order, and the Pennsylvania examiner's report. Defendant objected to the assessment of points under factors 3 and 7, but he did not request a departure. At the conclusion of a SORA hearing, the court included in its risk assessment a score of 30 points under factor 3. The court did not make a definitive finding under factor 7, instead observing that even if defendant could not be assessed points under that factor, his total guidelines factor score was still 75 points, which was within the range for a risk level two classification. Thus, the SORA court adjudicated defendant a risk level two sex offender. Defendant appealed.

The Appellate Division unanimously affirmed the SORA court's order (*see People v Fazio*, 106 AD3d 1291 [3d Dept 2013]). Citing *Johnson* (11 NY3d 416 [2008], *supra*), the Appellate Division found that "[c]hildren depicted in pornographic images may be found to constitute multiple separate victims for the purposes of the Sex Offender Registration Act" (*id.* at 1291). The court concluded that, because there was clear and convincing proof that multiple children were depicted in the files defendant had possessed, the SORA court had properly scored points under factor 3, and the court upheld the SORA court's total guidelines point assessment (*see id.*). Accordingly, in the Appellate Division's view, defendant had been correctly adjudicated a risk level two sex offender (*see id.*). In a footnote, the court observed that, after the SORA hearing in this case, the Board released a position statement "proposing review of additional factors in future cases, specifically addressing the differences among child pornography offenders" (*id.* at 1291 n).

We granted defendant leave to appeal (22 NY3d 852 [2013]) and now affirm.

II

A

Under SORA, the Board “shall develop guidelines and procedures to assess the risk of a repeat offense by [a] sex offender and the threat posed to the public safety” (Correction Law § 168-*l* [5]). The guidelines “shall be based upon,” among other things, “criminal history factors to be considered in determining risk, including” the “relationship between such sex offender and the victim” (Correction Law § 168-*l* [5] [b] [i]). Based on the guidelines, the Board must make a “recommendation” regarding the offender’s risk level classification (Correction Law § 168-*l* [6]). “[A]pplying the guidelines,” a reviewing court at a SORA hearing must determine the offender’s risk level classification by either accepting the Board’s recommendation or rejecting that recommendation in favor of a different risk level classification supported by the evidence presented at the hearing (Correction Law § 168-*n* [2], [3]).

Guidelines factors 3 and 7 are especially significant to the appeals before us. Factor 3 reads as follows:

“Factor 3: Number of Victims

“1: There were two victims (20 pts)

“2: There were three or more victims (30 pts)”
(Guidelines, factor 3).

In *People v Poole* (90 AD3d 1550 [4th Dept 2011]), the Fourth Department held that points may be imposed under factor 3 based on the number of children depicted in child pornography files possessed by a child pornography offender (*see id.* at 1550). Factor 7 states:

“Factor 7: Relationship Between Offender and Victim

“The offender’s crime (i) was directed at a stranger or a person with whom a relationship had been established or promoted for the primary purpose of victimization or (ii) arose in the context of a professional or avocational relationship between the offender and the victim and was an abuse of that relationship (20 pts)” (Guidelines, factor 7).

As previously discussed, we held in *Johnson* (11 NY3d 416 [2008], *supra*) that a SORA court may assign points to a child pornography offender under factor 7 if the offender was not personally acquainted with the children shown in the relevant videos or images prior to committing the subject offense (*see Johnson*, 11 NY3d at 420-421). Notably, though, even where the law and the evidence warrant a particular risk level classification based on the defendant's guidelines factor score, including points assessed pursuant to factors 3 and 7, the SORA court may decide that there should be an upward or downward departure to a higher or lower risk level classification if it "concludes that there exists an aggravating or mitigating factor of a kind, or to a degree, that is otherwise not adequately taken into account by the guidelines" (Guidelines at 4; *see Johnson*, 11 NY3d at 420-421).

In 2012, after we decided *Johnson*, the Board issued a document entitled "Scoring of Child Pornography Cases Position Statement" (the Position Statement). In that statement, the Board observes that *Johnson* and *Poole* authorize the assessment of points under factors 3 and 7 in child pornography cases, and the Board states that,

"as the Court in *Johnson* notes, scoring all pornography cases for stranger relationship (and similarly in *Poole* scoring for three or more victims) produces an unintended, anomalous result as the majority of offenders convicted of child pornography offenses will be scored the same when there are clearly vast differences amongst these types of offenders."

The Board declares that, "[t]o address the [*Johnson*] Court's concern" and more accurately determine an offender's risk level, "the Board" will "continue to score either 20 or 30 points for the youngest age depicted in the images under the 'Current Offense' category." The Board further states that it will "depart from the presumptive [risk] level when appropriate" based on a non-exhaustive list of factors including:

"the number of images possessed (10,000 is more concerning than 6 months)[;] paid subscriptions to access child pornography[;] categorized/organized material in their child pornography collection[;] absence of adult sexual relationships[;] emotional identification with children[;] allegations regarding sexual contact with children[;] nature of images (i.e. sadomasochistic)[;] reinforcement of deviant sexual arousal by masturbating to these images."

The Board goes on to say that it “remains concerned about child pornography offenders, and in the majority of cases, believes that they have a sexually deviant interest in children which poses a significant risk to public safety; however, [it] recognizes that each person convicted of a child pornography offense poses risks that are unique to that individual.” The Board points out that “[t]hese images are in essence crime scene photos of children being sexually abused, and the increased demand for these images results in further sexual victimization of children.”

B

[1, 2] With these principles in mind, we first turn to defendants’ complaints about the imposition of points pursuant to factors 3 and 7. Defendants do not dispute the sufficiency of the People’s proof at their SORA hearings. Instead, defendants challenge the legal viability of imposing points under factors 3 and 7 in child pornography cases such as theirs. As a threshold matter, however, in *People v Gillotti*, defendant did not preserve his claim that the court should not have imposed points under factor 7 based on his stranger relationship to the victims. Since defendant never specifically opposed the People’s request for the scoring of points under factor 7 on the theory that the assessment of such points is inappropriate in a child pornography case, defendant’s claim in that regard is unpreserved. In *People v Fazio*, defendant preserved his challenge to the People’s proposed imposition of points under factor 7. As we made clear in *Johnson*, however, the plain terms of factor 7 authorize the assessment of points based on a child pornography offender’s stranger relationship with the children featured in his or her child pornography files, and thus points can be properly assessed under that factor due to an offender’s lack of prior acquaintance with the children depicted in the files (*see Johnson*, 11 NY3d at 420-421).

[3] Moreover, *Johnson* and the unambiguous terms of factor 3 compel rejection of defendants’ challenges to the courts’ assignment of points to them under that factor. In *Johnson*, we explained that the children featured in child pornography are victims for SORA purposes not only under factor 7, but also under the guidelines factors in general. We observed that “of course they [a]re” victims because “[t]he whole point of the child pornography statutes is to protect children like these from exploitation by pornographers—an exploitation to which de-

fendant, by consuming the pornographers' product, contributed" (*id.* at 420).

In light of this general principle, the children depicted in child pornography are necessarily counted as victims under factor 3, and nothing in that factor's plain terms suggests otherwise. After all, factor 3 permits the assessment of 30 points whenever "[t]here were three or more victims" involved in a defendant's current sex crime (Guidelines, factor 3), and the Board's official commentary states, "This category focuses upon the number of people whom the offender victimized," adding, "The existence of multiple victims is indicative of compulsive behavior and is, therefore, a significant factor in assessing the offender's risk of reoffense and dangerousness" (Guidelines at 10). Given that factor 3 draws no distinction between victims of child pornography offenses and victims of other sex crimes, the plain language of that factor and its associated commentary permit a SORA court to score points against an offender based on the number of different children featured in his or her child pornography files, and the courts here properly assessed those points.

Indeed, defendants seemingly acknowledge that the guidelines themselves permit the assessment of points under factor 3 in child pornography cases, and they do not meaningfully distinguish the instant cases from *Johnson*. Rather, they primarily argue that: (1) the "hands-off" nature of their child pornography offenses renders them less dangerous to the public and less likely to commit "hands-on" sex offenses than other offenders, such that scoring under factors 3 and 7 necessarily results in an improper risk level classification in their cases; and (2) the Board's Position Statement bars a court from scoring points under factors 3 and 7. We reject both contentions.

Defendants' assertions minimize the risks posed by their conduct, which are not overestimated by the guidelines factors. Although we have used the colloquial term "child pornography" to describe the nature of defendants' offenses here, that description does not capture the uniquely harmful character of these crimes. As the United States Department of Justice has noted, "many experts in the field believe that use of that term [child pornography] contributes to a fundamental misunderstanding of the crime—one that focuses on the possession or trading of a picture and leaves the impression that what is depicted in the photograph is pornography" (U.S. Department of Justice, Report to Congress, *The National Strategy for Child*

Exploitation Prevention and Interdiction at 8 [Aug. 2010], available at <http://www.justice.gov/psc/docs/natstrategyreport.pdf> [accessed May 14, 2014] [hereinafter DOJ report]). In fact, though, “[c]hild pornography is unrelated to adult pornography; it clearly involves the criminal depiction and memorializing of the sexual assault of children and the criminal sharing, collecting, and marketing of the images” (DOJ report at 8-9).

In its recent decision in *Paroline v United States* (572 US —, 134 S Ct 1710 [2014]), the Supreme Court of the United States underscored this point. Addressing a victim’s restitution request in a child pornography case, the Supreme Court discussed the great harm inflicted by those who download child pornography files from the Internet, saying:

“The demand for child pornography harms children in part because it drives production, which involves child abuse. The harms caused by child pornography, however, are still more extensive because child pornography is a permanent record of the depicted child’s abuse, and the harm to the child is exacerbated by its circulation. Because child pornography is now traded with ease on the Internet, the number of still images and videos memorializing the sexual assault and other sexual exploitation of children, many very young in age, has grown exponentially” (*Paroline*, 572 US —, 134 S Ct at 1716-1717 [internal quotation marks, punctuation and citations omitted]).

The Court went on to recount the story of a particular victim, whose travails are emblematic of the unique danger to the well-being of the public caused by child pornography offenses. The child victim, now grown, explained:

“Every day of my life I live in constant fear that someone will see my pictures and recognize me and that I will be humiliated all over again. It hurts me to know someone is looking at them—at me—when I was just a little girl being abused for the camera. I did not choose to be there, but now I am there forever in pictures that people are using to do sick things. I want it all erased. I want it all stopped. But I am powerless to stop it just like I was powerless to stop my uncle My life and my feelings are worse now because the crime has never really

stopped and will never really stop . . . It's like I am being abused over and over and over again" (*id.* at —, 134 S Ct at 1717).

Given that child pornography offenders substantially harm the mental health of abused children and, via the consumption of child pornography, encourage others to commit the hands-on sexual abuse needed to produce that material, it is difficult to credit defendants' claims that, due to their failure to personally physically abuse children, the risk of harm caused by their offenses should not be accounted for in the manner authorized by the plain language of factors 3 and 7. Although those aggravating factors may not represent the exact same risks in child pornography cases as in those involving physical contact, the presence of those factors in child pornography cases increases the offender's potential to psychologically harm a greater number of children to a greater degree. The guidelines may account for the variable risk that certain child pornography offenders who have an unusually strong compulsion to consume and distribute child pornography will provide exceptional support to an illicit trade that physically and psychologically harms children.

Regarding factor 3, under which defendants received the points that proved decisive in their respective risk level classifications, the limited application of that factor to certain child pornography cases, such as *Gillotti* and *Fazio*, is consistent with logic and the scientific concepts underlying part of Dr. Heffler's report in *Gillotti*. In particular, Dr. Heffler explained that child pornography offenders generally seek out more arousing stimuli after images they have previously viewed have failed to create the desired sexual arousal. It follows that, craving the novelty of viewing previously unseen children, some defendants possessing images of multiple child victims may be in an especially compulsive cycle that will make those particular defendants more likely to commit additional psychologically harmful child pornography offenses.² Thus, factor 3 accurately assesses the risk of reoffense created by that compulsive behavior because it

2. According to the Board's Position Statement, impulsive behavior, sexual interest in children (see R. Karl Hanson & Kelly Morton-Bourgon, *Predictors of Sexual Recidivism: An Updated Meta-Analysis 2004-02* at 1, 9, 15-17, Public Safety and Emergency Preparedness Canada, available at <http://www.static99.org/pdfdocs/hansonandmortonbourgon2004.pdf> [accessed May 13, 2014]), and compulsive behavior such as downloading many child pornography files and cataloging them (see Jim Tanner, *Digital Technology Use Factors Which Indicate Increased Sex Offender Investment in Digital*

(n. cont'd)

authorizes the scoring of points based on the number of children portrayed in child pornography images and videos. And, the number of children may often reflect the sheer quantity of child pornography possessed by an offender, which the Board's Position Statement recognizes to be an aggravating factor in child pornography cases.³

Accordingly, while a departure may be warranted in a variety of child pornography cases, scoring under factor 3 does not necessarily overestimate a child pornography offender's risk of further exploiting children. We must caution that, at this time, the relationship between an offender's child pornography offenses and the likelihood he or she will commit hands-on offenses is uncertain due to the continuing development of scientific research in this area; some child pornography offenders subsequently commit hands-on offenses, but the manner in which that minority of offenders' consumption of child pornography contributes to their contact offenses, if at all, has not been fully understood. Any current and future research bearing out a strong correlation between the two types of offense may further support the imposition of points under the guidelines, whether under factor 3 or other factors, and likewise further

Sexual Content at 4, 7, KBSolutions Inc. [2010], available at <http://www.kbsolutions.com/KBS14Factors.pdf> [accessed May 13, 2014]) significantly increase an offender's likelihood of sexual recidivism. As a whole, then, these studies suggest that an offender who compulsively seeks out pornographic depictions of multiple children, usually by downloading multiple files on the Internet, has a significantly increased likelihood of reoffense, and factor 3 properly evaluates that risk in certain cases.

3. We disagree with the partial dissent's contention that registration of child pornography offenders rarely benefits the community (*see op of Smith, J., dissenting in part at 866*). The registration of child pornography offenders serves to raise awareness of the offender's conviction for viewing sexual images of children among the community and particularly local parents, who may well want to know about such a conviction in order to limit their children's access to the offender's household. Upon learning of the offender's registration and the nature of the offense, parents and community members may take precautions against the possible introduction of child pornography to children and other adults that may result from the offender's presence and activities in the community. Along those lines, by being compelled to register, the offender will be somewhat deterred from engaging in any further offenses, knowing that the community is alert to his or her proclivities and will not easily let any future sexual misconduct go undetected. Without registration of child pornography offenders, we leave these crimes in the shadows, potentially causing children and adults to underestimate the true dangers and terrible consequences for children and our society generally as a result of the offenders' criminal acts. These considerations logically support the legislature's decision to classify a broad swath of sex offenses, including child pornography crimes, as registerable offenses under SORA (*see* Correction Law § 168-a [2]).

research to the contrary may create additional justification for departures and other scoring options unequivocally promulgated by the Board via guidelines amendments. At bottom, there is nothing inherent in child pornography offenses that convinces us to completely ignore the plain language of the guidelines which authorize the scoring of points under factors 3 and 7 against child pornography offenders.

[4] Contrary to defendants' claims, the Board's Position Statement does not abrogate a SORA court's authority under the statute and the guidelines to assess child pornography offenders points under factors 3 and 7. The Position Statement is not on the same footing as the guidelines because SORA neither mentions a "position statement" nor attributes any legal significance to that document. Rather, SORA requires a court to "apply[] *the guidelines*" to determine an offender's risk level classification (Correction Law § 168-n [2] [emphasis added]). Thus, while the statute mandates that the court follow the guidelines, the court has no statutory obligation to follow or consider a position statement. To the extent defendants suggest that the Board's Position Statement is an actual or constructive amendment to the guidelines, the document itself says nothing of the sort, and the Board has not otherwise proclaimed the document to be an amendment to the guidelines.⁴

In fact, in the Position Statement, even the Board does not purport to follow the scoring approach advocated by defendants. Specifically, the Board does not state that it will never assign a defendant points for victimizing multiple children or strangers depicted in child pornography, nor does the Board assert that a court cannot or should not assess such points. Rather, in the statement, the Board expressly seeks to address concerns we voiced in *Johnson*, a child pornography case in which we *approved* the assessment of points under factor 7 while noting that any unintended result or excessive risk assessment may be corrected via a departure. The Board further indicates that it will continue to treat the children depicted in pornographic images as victims for purposes of scoring under the guidelines factors, albeit primarily by scoring points based on the age of the

4. In *People v Marrero* (37 Misc 3d 429 [Sup Ct, NY County 2012, Daniel Conviser, J.]), a SORA court expressed skepticism of the guidelines and endorsed what it believed to be the Position Statement's policy of excluding the consideration of factors 3 and 7 in child pornography cases. Tellingly, the court acknowledged that the legal effect of the statement and the Board's rationale for promulgating it are unclear (*see Marrero*, 37 Misc 3d at 434-435).

victimized children under factor 5. Aside from its references to *Johnson* and *Poole*, the Board says nothing about factors 3 and 7.

It is true that, reading between the lines of the statement, one can sense that the Board is skeptical of scoring points under factors 3 and 7. But the Board has not chosen to translate that skepticism into a bright-line rule or an amendment to the guidelines categorically forbidding point assessments under factors 3 and 7 in cases like the ones before us. If the Board had intended to change scoring under factors 3 and 7, it could have easily revised the guidelines, as it has done in the past. In the absence of such action, we must assume that the Board did not intend to establish the rule advocated by defendants here. Moreover, to the extent the Board maintains a practice of declining to assess points against child pornography offenders pursuant to factors 3 and 7, a SORA court is not bound by that practice, for Correction Law § 168-n (3) expressly authorizes the court to classify an offender at a higher risk level than the one recommended by the Board.

In reaching this conclusion, we recognize, as the partial dissent does (*see op* of Smith, J., dissenting in part at 866-869), that scoring points under factors 3 and 7 may overestimate the risk of reoffense and danger to the public posed by quite a few child pornography offenders. But we think it best to address that concern through the departure process rather than ignoring the plain language of the guidelines in favor of the vague and non-authoritative Position Statement. At the same time, in deciding a child pornography offender's application for a downward departure, a SORA court should, in the exercise of its discretion, give particularly strong consideration to the possibility that adjudicating the offender in accordance with the guidelines point score and without departing downward might lead to an excessive level of registration.

In sum, because the guidelines' plain language allows a court to assess points pursuant to factors 3 and 7 in child pornography cases and the Position Statement does not forbid that practice, the SORA courts here properly assigned points to defendants pursuant to factor 3 and were authorized to do the same under factor 7.

C

[5] In *Gillotti*, defendant contends that the Appellate Division erred by reviewing the SORA court's rejection of his request for

a downward departure under a clear and convincing evidence standard of proof.⁵ We agree and conclude that, in reviewing the SORA court's departure decision, the Appellate Division should have determined whether defendant proved the existence of the alleged mitigating factors underlying his departure request by a preponderance of the evidence.

Under SORA, a court must follow three analytical steps to determine whether or not to order a departure from the presumptive risk level indicated by the offender's guidelines factor score. At the first step, the court must decide whether the aggravating or mitigating circumstances alleged by a party seeking a departure are, as a matter of law, of a kind or to a degree not adequately taken into account by the guidelines (*see* Guidelines at 4; *People v Vaillancourt*, 112 AD3d 1375, 1376 [4th Dept 2013], *lv denied* 22 NY3d 864 [2014]; *see also Johnson*, 11 NY3d at 418, 420-422 [treating the interpretation of guidelines factors as a legal issue]). At the second step, the court must decide whether the party requesting the departure has adduced sufficient evidence to meet its burden of proof in establishing that the alleged aggravating or mitigating circumstances actually exist in the case at hand (*see* Correction Law § 168-n [3]; Guidelines at 4, 7; *see also People v Balic*, 12 NY3d 563, 570-577 [2009] [analyzing whether reliable hearsay met clear and convincing standard of proof and therefore warranted an upward departure]). If the party applying for a departure surmounts the first two steps, the law permits a departure, but the court still has discretion to refuse to depart or to grant a departure. Thus, at the third step, the court must exercise its discretion by weighing the aggravating and mitigating factors to determine whether the totality of the circumstances warrants a departure to avoid an over- or under-assessment of the defendant's dangerousness and risk of sexual recidivism (*see People v Knox*, 12 NY3d 60, 70 [2009]; *Johnson*, 11 NY3d at 421).

Central to defendant Gillotti's case is the burden of proof to be carried by a defendant seeking a downward departure at the second analytical step. In that regard, because Correction Law § 168-n (3) compels the People to prove the existence of facts supporting a defendant's overall risk level classification by clear

5. In *Fazio*, to the extent defendant argues that the SORA court should have granted him a downward departure, that claim is unpreserved because defendant never asked the SORA court to order a downward departure (*see Johnson*, 11 NY3d at 421-422; *see also People v Windham*, 10 NY3d 801, 802 [2008]).

and convincing evidence, the People cannot obtain an upward departure pursuant to the guidelines unless they prove the existence of certain aggravating circumstances by clear and convincing evidence (see *People v Cruz*, 111 AD3d 685, 685 [2d Dept 2013], *lv denied* 22 NY3d 860 [2014]; *People v Collins*, 104 AD3d 1220, 1220-1221 [4th Dept 2013], *lv denied* 21 NY3d 855 [2013]; *People v Gauthier*, 100 AD3d 1223, 1225 [3d Dept 2012]; see also *Balic*, 12 NY3d at 570-577; see generally Guidelines at 4-5). By contrast, neither the guidelines nor Correction Law § 168-n (3) assigns any particular burden of proof to a defendant who asks for a downward departure. Given the lack of express statutory or regulatory guidance on the question of a defendant's burden of proof at the second stage of the departure analysis, the departments of the Appellate Division are split as to whether the defendant must prove the existence of alleged mitigating factors by a preponderance of the evidence or by clear and convincing evidence.

The departments applying the clear and convincing evidence standard to a defendant's request for a downward departure have not directly stated a rationale for that approach, but they seem to have reached this conclusion on the theory that, because the People must meet the clear and convincing evidence standard to obtain a departure, the same rule should be applied to the defendant to ensure the even-handed application of the statute and the guidelines (see *People v Bogan*, 115 AD3d 1359, 1359 [4th Dept 2014]; *People v Carter*, 106 AD3d 1202, 1204 [3d Dept 2013]; *People v Sally*, 105 AD3d 567, 568 [1st Dept 2013], *lv denied* 21 NY3d 861 [2013]). Taking the opposite view in *People v Wyatt* (89 AD3d 112 [2d Dept 2011], *lv denied* 18 NY3d 803 [2012]), the Second Department concluded that a defendant seeking a downward departure must prove the facts warranting such a departure only by a preponderance of the evidence (see *id.* at 119-126). The court reasoned that the statute imposes on the People the burden of proof by clear and convincing evidence largely to create an extra procedural protection against an excessive risk level classification and the resulting deprivation of the defendant's liberty, whereas the defendant does not have to meet the same burden to obtain a downward departure because such a departure does not impede any equivalent governmental interest (see *id.* at 126-128).

In light of the considerations of consistency and equivalency reflected in the Appellate Division decisions adopting the clear and convincing evidence standard in the downward departure

context, it would not be entirely unreasonable to apply that standard to defense departure applications. However, due to the statute's failure to expressly set forth a standard of proof applicable to a defendant's request for a downward departure, we must look to the nature of a SORA proceeding and the policy underlying the statute to determine the proper burden of proof.

In most civil proceedings, a party seeking relief need only establish entitlement to such relief by a preponderance of the evidence, and logically the same standard should apply to a defendant's request for a downward departure in a civil SORA hearing. In that regard, a SORA defendant asking for a downward departure essentially occupies the same position as a defendant raising an affirmative defense or attempting to rebut a presumption in any other civil proceeding; each type of defendant basically concedes that the plaintiff has met its burden of proof with respect to the essential elements of the cause of action, but each nonetheless seeks to prevent the plaintiff from obtaining an entirely favorable judgment by proving an additional circumstance that weighs against the granting of such relief. Furthermore, given that a defendant interposing an affirmative defense may prevail on that defense by a mere preponderance of the evidence in most civil cases, a SORA defendant should be allowed to obtain a downward departure by presenting the same quantum of proof (*see e.g. Property Clerk of Police Dept. of City of N.Y. v Harris*, 9 NY3d 237, 249 [2007] [where city proved prima facie case for impoundment, defendant had to rebut that showing by preponderance of evidence]; *Ward v New York Life Ins. Co.*, 225 NY 314, 322 [1919] [in civil cases, the party seeking relief generally must satisfy only the preponderance standard]).

In addition to these considerations, we agree with the *Wyatt* court that defendant's statutorily protected interest in being free from excessive government monitoring and stigmatization weighs decisively in favor of applying the preponderance of the evidence standard to a defendant's request for a downward departure (*see Wyatt*, 89 AD3d at 126-128). Specifically, defendants have a recognized liberty interest "in not being required to register under an incorrect label" (*Knox*, 12 NY3d at 66). And, while the government has a countervailing interest in "the protection of the community against people who have shown themselves capable of committing sex crimes" (*id.* at 67), SORA permits the government to vindicate that interest only by proving facts indicative of sexual recidivism by the heightened stan-

dard of clear and convincing evidence. In placing this exceptional burden on the People—a burden not otherwise mandated by constitutional due process (see *In re W.M.*, 851 A2d 431, 453-454 [DC 2004]; see also *People v Escobar*, 61 NY2d 431, 439-440 [1984])—the legislature evidently sought to carefully guard a defendant’s liberty interest. Consistent with that legislative intent and the general practice in civil cases, we hold that a defendant must prove the existence of the mitigating circumstances upon which he or she relies in advocating for a departure by a mere preponderance of the evidence.

Here, with respect to the first step of the departure analysis, the lower courts and the parties agree that defendant Gillotti sought a downward departure based on alleged mitigating circumstances which are, as a matter of law, of a kind or to a degree not adequately considered by the guidelines, including the statistically low likelihood that a child pornography offender will commit hands-on sex offenses in the future, defendant’s purported completion of an anger management program and defendant’s alleged past participation in volunteer activities reflective of his empathy and good character.⁶ However, at the second analytical step, the Appellate Division expressly concluded that defendant had failed to submit “clear and convincing evidence of special circumstances justifying a downward departure” (*Gillotti*, 104 AD3d at 1155 [internal quotation marks omitted]), thereby impermissibly subjecting the SORA court’s decision to credit parts of defendant’s evidence to review under the heightened clear and convincing evidence standard. Therefore, we remit the matter to the Appellate Division for application of the proper standard of proof. If the Appellate Division determines that defendant met that standard, it may proceed to the third step of the departure analysis by reviewing the discretionary aspect of the SORA court’s departure decision.

III

In *People v Fazio*, the SORA court properly adjudicated defendant a risk level two sex offender based on his total guidelines point score, including points assessed under factor 3, and the Appellate Division correctly affirmed the SORA court’s order. In *People v Gillotti*, the SORA court correctly calculated

6. However, as Dr. Heffler noted, some of defendant’s reported volunteer activities involved children, and thus his participation in those specific activities might be considered an aggravating factor to the extent it reflects an unhealthy interest in children.

defendant's guidelines point score, but the Appellate Division erred in its review of the SORA court's departure decision. Accordingly, in *People v Fazio*, the order of the Appellate Division should be affirmed, without costs. In *People v Gillotti*, the order of the Appellate Division should be reversed, without costs, and the matter remitted to that court for further proceedings in accordance with this opinion.

SMITH, J. (dissenting in part). I agree that the order of the Appellate Division in *People v Gillotti* should be reversed for the reasons stated in section II-C of the majority opinion. I otherwise dissent, because I think the majority opinion is flawed in its discussion of guidelines factors 3 and 7 and of the Board of Examiners' Position Statement. Before discussing these topics, however, I will say a few words about the overall problem presented by the application of the Sex Offender Registration Act (Correction Law art 6-C) (SORA) to people who commit child pornography offenses.

Of course I agree—who does not?—that child pornography is an enormous evil, “uniquely harmful” to its victims (majority op at 855). And while I have expressed elsewhere my doubt that severe punishment of “minor and peripheral” consumers will be an effective way of combating the evil (*People v Kent*, 19 NY3d 290, 312-313 [2012, Smith, J., concurring]), I am not reopening that argument today. I do not suggest that the defendants before us were minor offenders, that they did not deserve criminal punishment, or that the punishments given them were too severe. Perhaps they were too light.

I

But SORA's purpose is not to punish. It is to protect the community (*People v Windham*, 10 NY3d 801, 802 [2008]; *Doe v Pataki*, 120 F3d 1263 [2d Cir 1997], *cert denied* 522 US 1122 [1998]). To that end, information is made available to law enforcement authorities and to members of the public, telling them where people who have committed sex offenses may be found. In general, the higher an offender's risk level, the more information is made available, the more widely it is disseminated, and the longer the offender's registration will last (Correction Law §§ 168-*l* [6]; 168-h). An offender's risk level designation under SORA is not an expression of outrage at the heinousness of a crime, or an attempt to make the offender suffer for what he has done. It is an attempt to gauge the likelihood that stringent reporting and notification requirements are needed to protect the public from future sex crimes.

A moment's thought will show that sex offender registration is ill-suited to preventing recidivism by consumers of child pornography. The basic idea of SORA is that, knowing who and where the sex offenders are, people will take precautions to protect themselves and their children from them, and law enforcement authorities will be better able to make the community safe. But even if everyone in the world knows who and where a consumer of child pornography is, that will not stop him from downloading pictures from the Internet. I do not say that SORA registration for consumers of child pornography will never do any good at all; I can imagine cases in which it would do some good. And no one argues, or in light of the statute's plain terms could argue, that such offenders should not have to register. But the vast majority of them should be classified at level one. The resources that go into the more intensive monitoring of level two and level three SORA registrants can be more usefully expended in keeping track of so-called "contact offenders"—for example rapists, and abductors of children.

The majority opinion does not take account of this basic point. Its premise seems to be that because child pornography is bad any negative consequences visited on those who provide a market for it must be good. I think that this approach is more likely to produce emotional satisfaction than to protect any children.

II

I turn now to the more specific flaws of the majority opinion—its handling of factors 3 and 7 and the Position Statement. I agree with the majority that factors 3 and 7, as written, require the assessment of a total of 50 points against each of these defendants—and against most, perhaps virtually all, consumers of child pornography. It is equally clear to me that these factors were not devised with child pornography cases in mind, and that their application to such cases produces anomalous, unintended consequences. Putting aside the effect of the Board's Position Statement, I think the correct way of dealing with this problem is the one we outlined in *People v Johnson* (11 NY3d 416 [2008]): the points must be assessed, but courts should use their discretion to depart from the risk level indicated by a defendant's point total, to the extent necessary to negate the effect of these two factors. The Position Statement, it seems to me, offers a simpler solution: courts should defer to the Board's choice not to score points for these factors in child pornography cases.

Johnson dealt with factor 7, which requires the assessment of 20 points against a sex offender whose crime “was directed at a stranger.” The inherent absurdity of applying this factor in cases involving defendants like those before us is explained in *Johnson*. The victims in such cases—the children depicted—are almost always strangers to the offenders (and in the rare cases where they are not it is not good news) (*see Johnson*, 11 NY3d at 419). Thus the effect of factor 7 is simply to add an automatic 20 points in virtually every child pornography case.

The solution, as *Johnson* makes clear, is to take account of the anomaly in ruling on a defendant’s request for a downward departure—to recognize, in other words, that the defendant’s point total includes 20 points that in common sense should not be there (11 NY3d at 420-421). This should mean, in almost every case involving a consumer of child pornography, that a downward departure will be granted where the factor 7 points make a difference to the defendant’s presumptive risk level, unless some other facts, not adequately taken into account by the risk assessment instrument, happen to justify independently the risk level indicated by the defendant’s point total.

A Supreme Court Justice of much experience and impressive erudition on the subject of sex offender registration (*see People v McFarland*, 29 Misc 3d 1206[A], 2010 NY Slip Op 51705[U] [Sup Ct, NY County 2010, Conviser, J.]) understands *Johnson* essentially as I do. After quoting our observation that the application of factor 7 to child pornography cases produces “a seemingly anomalous result, one the authors of the Guidelines may not have intended or foreseen” (11 NY3d at 421), and after pointing out a reason for the anomaly—“[t]he simple possession of child pornography was not a crime . . . when the ‘stranger’ factor was written”—Justice Conviser said:

“Despite its concerns, the Court of Appeals in *Johnson* held that points for stranger victims had to be assessed under the RAI in the case before it because to do otherwise would be to ‘distort the text of [RAI] factor 7 to avoid an unjust result in cases like this.’ (11 NY3d at 420.) The remedy, the Court held, in cases where the RAI’s point scoring system led to an inappropriate result was for a court to depart downward to an appropriate risk level” (*People v Marrero*, 37 Misc 3d 429, 433 [Sup Ct, NY County 2012]).

This approach should be equally applicable to factor 3, though the anomaly that factor creates is slightly less obvious. Factor 3

scores points based on “Number of Victims” (Sex Offender Registration Act: Risk Assessment Guidelines and Commentary [2006]). The majority is at pains to demonstrate, and I do not dispute, that the number of children that a consumer of child pornography has exploited is relevant to the danger that he presents (majority op at 857-858). Certainly, “the number of children may often reflect the sheer quantity of child pornography possessed by an offender,” and this may indeed be “an aggravating factor in child pornography cases” (*id.* at 858). But the problem, which the majority completely ignores, is that the maximum number of victims that factor 3 contemplates is *three*—a maximum that carries a 30-point assessment, and that will surely be hit in virtually every child pornography case (except, perhaps, in the case of offenders, if there are any, who look only at computer-generated images, not pictures of real people). Far from taking account of the “sheer quantity” of pornography an offender possesses, factor 3 treats the offender who possesses three pictures the same as one who possesses 3,000. It is obvious that factor 3, like factor 7, was not devised with child pornography in mind; that factor, like factor 7, should be negated by granting a downward departure (absent some countervailing facts) whenever factor 3 points are decisive in fixing an offender’s presumptive risk level.

Another experienced Supreme Court Justice, also relying on what I think is a correct interpretation of *Johnson*, has remarked:

“The language of the sex offender classification rules assigns points to possessors of child pornography for the ‘number’ of victims, and the ‘stranger’ classification of victims, in a way that was intended by the authors of the guidelines to apply to physical contact, and not to defendants who possessed and shared child pornography. The resultant language will typically add 50 points to the sex offender totals of those who possess child pornography, whether or not they are as dangerous as physical offenders. As a result, many possessors of child pornography who are not serious threats to the community will presumptively be classified as level two offenders. Since this court does not think that result would be consistent with the intent of the authors of the SORA guidelines it anticipates that many SORA applications made as to such defendants should result

in downward departures to level one” (*People v Yen*, 33 Misc 3d 1234[A], 2011 NY Slip Op 52240[U], *4 [Sup Ct, Kings County 2011, Dwyer, J.]).

I think that Justices Conviser and Dwyer are right in thinking that both common sense and our decision in *Johnson* should make downward departures the norm in most child pornography cases. But it also seems to me (as it did to Justice Conviser in *Marrero*) that the Board’s Position Statement opens the door to a more direct approach. I concede that the wording of the Position Statement is very unclear, in the ways pointed out by today’s majority (majority op at 859-860) and also by Justice Conviser in *Marrero* (37 Misc 3d at 433-435). I would be much happier if the Board had simply amended the guidelines—as it has the power to do—to make factors 3 and 7 inapplicable in cases of this kind, while perhaps devising other factors that can be meaningfully applied in child pornography cases.

But it is clear that the Board itself thinks it has in substance amended the guidelines. It has, as these cases illustrate, stopped scoring points for factors 3 and 7 where the offender is a consumer of child pornography. I agree that this contradicts the guidelines’ literal language. But where the literal language leads to a result that makes no sense, and the author of the language—which has the power to amend it—declines to read it literally, should courts insist on overruling the author and reaching the irrational result? Like Justice Conviser (*Marrero*, 37 Misc 3d at 435), I think the answer is no.

III

I have outlined two possible approaches—what may be called the *Johnson* approach and the Position Statement approach—that can minimize or avoid the perverse effects of factors 3 and 7 in child pornography cases. It remains to consider the impact of each approach on the two cases now before us.

The *Johnson* approach, unfortunately, can have no impact on the appeal in *Fazio*, because in *Fazio*—as in *Johnson* itself (see 11 NY3d at 421)—defendant made no request for a downward departure. Thus under *Johnson* we would have to apply the literal language of factors 3 and 7 and affirm Fazio’s level two designation. Fazio, like Johnson, would have to seek recourse in a new proceeding to modify his risk level designation (Correction Law § 168-o [2]; see *Johnson*, 11 NY3d at 422).

In *Gillotti*, on the other hand, a downward departure was sought. It should have been granted unless some countervailing

factor not taken into account by the guidelines—the sort of thing that might otherwise justify an *upward* departure—calls for placing Gillotti at level two or three. There is an argument that countervailing factors do exist, and if the courts below had so found on sufficient evidence, I would not disturb their risk level designation. It seems to me, however, that both County Court and the Appellate Division, in finding that Gillotti had not shown grounds for a downward departure, failed to recognize the implication of *Johnson* that a downward departure may, and normally should, be employed to negate the effect of factors 3 and 7 in child pornography cases. I would thus remit Gillotti's case not, as the majority does, to the Appellate Division, but to County Court, which should reconsider the case under the understanding of *Johnson* that I believe correct.

Under what I have called the Position Statement approach, both of the Appellate Division orders should be reversed, because in both cases defendants were wrongly charged with points under factors 3 and 7. In *Fazio*, I would simply order a level one designation—the result of Fazio's point score under the Position Statement as I would interpret and apply it. In *Gillotti*, the point score under the Position Statement approach would also yield a level one designation; but the Board, while submitting such a score, recommended an upward departure to level two. I would remit to County Court to consider that recommendation, and to consider the People's view on whether and to what extent an upward departure is warranted.

Judges GRAFFEO, READ, PIGOTT and RIVERA concur with Judge ABDUS-SALAAM; Judge SMITH dissents in part in an opinion in which Chief Judge LIPPMAN concurs.

In *People v Gillotti*: Order reversed, without costs, and case remitted to the Appellate Division, Fourth Department, for further proceedings in accordance with the opinion herein.

Judges GRAFFEO, READ, PIGOTT and RIVERA concur with Judge ABDUS-SALAAM; Judge SMITH dissents in an opinion in which Chief Judge LIPPMAN concurs.

In *People v Fazio*: Order affirmed, without costs.

[18 NE3d 379, 993 NYS2d 668]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOHN
F. HAGGERTY, JR., Appellant, et al., Defendant.

Argued June 3, 2014; decided June 30, 2014

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 7, 2013. The Appellate Division, among other things, affirmed a judgment of the Supreme Court, New York County (Ronald Zweibel, J.), which had convicted defendant, upon a jury verdict, of grand larceny in the second degree and money laundering in the second degree.

People v Haggerty, 103 AD3d 438, affirmed.

HEADNOTES

Crimes — Evidence — Best Evidence Rule — Grand Larceny and Money Laundering Prosecution — Testimony Regarding Source of Stolen Funds

1. In the prosecution of defendant for grand larceny and money laundering based on allegations that he defrauded a political candidate out of \$750,000 that originated from a trust, defendant's claim that the admission of the testimony of the trust's principal draftsman regarding the candidate's ownership of the trust funds without admission of the trust document was a violation of the best evidence rule lacked merit. The best evidence rule requires the production of an original writing where its contents are in dispute and sought to be proved. The rule protects against fraud, perjury, and inaccurate recollection by allowing the jury to judge a document by its own literal terms. Here, however, by the time defendant raised his best evidence objection, the candidate himself and several other witnesses had already provided testimony that tended to prove the candidate's ownership of the funds, which testimony was admitted without objection.

Crimes — Fair Trial — Grand Larceny and Money Laundering Prosecution — Testimony Regarding Source of Stolen Funds

2. In the prosecution of defendant for grand larceny and money laundering based on allegations that he defrauded a political candidate out of \$750,000 that originated from a trust, the trial court's admission of the trust's draftsman's testimony regarding the source of the stolen funds without admission of the trust document, which was challenged as a violation of the best evidence rule, was not so prejudicial as to deny defendant a fair trial. The political candidate testified that his personal funds were transferred to his political party for the purpose of implementing a ballot security operation organized by defendant, that defendant was the campaign's representative to the political party for purposes of establishing the operation and he failed to provide the services as promised and paid for. While the candidate did not know the specifics of the funds transfers, he consistently testified that his money went to pay

for the fraudulent ballot security operation. In addition, the candidate's campaign staff and wealth managers testified to the details of the actual transfer of the candidate's trust money to the political party and a political party representative described how the party had paid defendant or his company on invoices for operation expenditures. Finally, the People's financial investigator described the transfer of money from the trust to the political party to bank accounts belonging to defendant and his company. Based on the trial record, there was no significant probability that the jury would have failed to convict, even without the trust draftsman's testimony or admission of the trust document.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 925, 928, 931; AM JUR 2d, Evidence §§ 1062, 1063, 1087.

CARMODY-WAIT 2d, Presentation of the Case § 56:100; CARMODY-WAIT 2d, Conduct of Trial, in General §§ 190:1, 190:8.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 23.3, 24.4.

NY JUR 2d, Criminal Law: Procedure §§ 2007, 2012, 2021, 2453, 2457.

ANNOTATION REFERENCE

See ALR Index under Best and Secondary Evidence; Criminal Procedure Rules; Fair and Impartial Trial.

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POINTS OF COUNSEL

Zuckerman Spaeder LLP, New York City (*Paul Shechtman* of counsel), for appellant. The testimony about the terms of the Bloomberg Trust violated the best evidence rule. (*Schozer v William Penn Life Ins. Co. of N.Y.*, 84 NY2d 639; *Davis v Alaska*, 415 US 308; *Kearney v Mayor of City of N.Y.*, 92 NY 617; *People v Hamilton*, 304 AD2d 500; *United States v Holley*, 463 F2d 634; *United States v Lee*, 106 US 196; *United States v Nixon*, 418 US 683.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Vincent Rivellese* and *Hilary Hassler* of counsel), for respondent. Testimony by a lawyer who drafted the Bloomberg Revocable Trust that the Mayor owned the money in the trust did not violate the best evidence rule. In any event, the testimony was

harmless, because the Mayor's ownership of the money was overwhelmingly proved. (*Schozer v William Penn Life Ins. Co. of N.Y.*, 84 NY2d 639; *People v Joseph*, 86 NY2d 565; *Trombley v Seligman*, 191 NY 400; *People v Dicks*, 100 AD3d 528; *Billingsy v Blagrove*, 84 AD3d 848; *People v Hamilton*, 304 AD2d 500; *Chamberlain v Amato*, 259 AD2d 1048; *Matter of La Rue v Crandall*, 254 AD2d 633; *People v Alvino*, 71 NY2d 233; *People v Rosario*, 9 NY2d 286.)

OPINION OF THE COURT

RIVERA, J.

A jury convicted defendant John Haggerty of grand larceny and money laundering after hearing evidence that he defrauded former New York City Mayor Michael R. Bloomberg of \$750,000. Defendant challenges his conviction on the basis that testimony regarding the source of the stolen funds violated the best evidence rule. We conclude that defendant's challenge lacks merit. Accordingly, the order of the Appellate Division should be affirmed.

I

In 2009, then-Mayor Michael R. Bloomberg was running for reelection and sought to fund what he called a ballot security operation for the purpose of protecting voter access to the polls. Defendant was a Bloomberg campaign volunteer who had assisted with ballot security during Bloomberg's 2005 mayoral campaign. Defendant offered to organize ballot security for the 2009 elections and earned the trust of Bloomberg's campaign staffers. Unbeknownst to them, defendant's proposed ballot security operation was, in reality, a scheme to defraud Bloomberg of his money.

After several discussions with high-level campaign staff members, defendant submitted his budget, which described the proposed ballot security measures. His plan included hiring more than a thousand people for an elaborate citywide operation. The budget estimated the cost of the operation at \$1.1 million. In late October, the campaign treasurer authorized the transfer of \$1.2 million, in two \$600,000 installments, from the Michael R. Bloomberg Revocable Trust to the Independence Party, which was Bloomberg's political party at the time. Of this transfer, \$1.1 million was slated to fund the ballot security operation, and \$100,000 was a campaign contribution to the Independence Party. According to Bloomberg, the ballot security

operation was meant to benefit all of the Party's candidates, and, thus, the Party had direct oversight of the operation. As the representative of the Bloomberg campaign, defendant arranged with the Independence Party to provide ballot security services in accordance with his proposed budget.

On election day, defendant provided minimal coverage of the polls at a fraction of the costs he had budgeted. Instead of hiring thousands of people, defendant relied on a small staff of volunteers. Total costs amounted to approximately \$32,000. Nonetheless, in conversations with Bloomberg campaign staffers, defendant maintained that he had made significant expenditures on ballot security.

As it turned out, defendant billed for fictitious ballot security services in order to buy his brother's share of their childhood home in Queens, which they had jointly inherited. To effectuate his scheme, defendant incorporated codefendant Special Election Operations (SEO), naming himself as sole member, and providing the Albany address of a friend as its place of business. He also opened an account at a Queens bank in SEO's name, listing himself as the sole signatory. Subsequently, SEO billed and received \$750,000 from the Independence Party for the ballot security operation. Defendant withdrew the money from the SEO account and used it to buy the house in Queens.

In January 2010, the Independence Party filed its mandatory financial disclosure with the State Board of Elections, and a reporter asked Bloomberg's lawyer for information regarding the ballot security operation. Bloomberg's lawyer contacted defendant and requested documents to account for ballot security expenses, and defendant agreed to supply pay stubs for payments made to poll watchers. Defendant then wrote separate \$500 checks to three people who had volunteered as poll watchers and forwarded the check stubs to Bloomberg's agents.

This documentation raised suspicions with the reporter and Bloomberg's staff. Eventually, the New York County District Attorney began an investigation that led to defendant's indictment and prosecution for grand larceny in the first degree (Penal Law § 155.42) for stealing over \$1 million from Bloomberg, money laundering in the second degree (Penal Law § 470.15 [1] [b] [ii] [A]; [iii]) for hiding the money, and falsifying business records in the first degree (Penal Law § 175.10) for drawing the phony checks.

II

At trial, Bloomberg testified that he funded a \$1.1 million ballot security operation based on representations defendant made to his staff, and that his staff transferred his personal money to the Independence Party to accomplish this plan. He further testified that his campaign never received satisfactory documentation supporting the expenditures. On cross-examination, Bloomberg admitted a lack of personal knowledge concerning the specifics of the fund transfers and the details of the proposed ballot security project.

To discuss these specifics, the People presented evidence from members of Bloomberg's campaign staff and the Independence Party. These staff members testified that they had released \$1.1 million of Bloomberg's money in two installments to the Independence Party for use in the ballot security operation. The staff members also testified that the amount transferred corresponded to defendant's phony budget projections. An official from the Independence Party testified that the Party paid approximately \$750,000 of this money to defendant or to SEO in exchange for ballot security services that were never rendered.

The People's financial investigator testified that defendant paid for his house in Queens with funds that originated with the Independence Party. The investigator testified that the Independence Party received the funds through two wire transfers from the Michael R. Bloomberg Revocable Trust. Documents supporting these allegations were admitted into evidence. On cross-examination, the investigator admitted that he did not know the terms of the trust, the name of the trustee, or the name of the beneficiaries. Defense counsel raised the possibility that the purloined funds were not property belonging to Michael Bloomberg, but, rather, property belonging to the trust, a separate legal entity.

During a sidebar, the People requested that the defense stipulate to Bloomberg's ownership of the funds, but the defense refused to do so. In response, the People called Marjorie Jane Friday, the principal draftsman of the trust. Over defendant's objection that the best evidence rule required the People to introduce the trust instrument itself, she testified that the trust funds belonged to Michael Bloomberg.

The jury found defendant guilty of grand larceny and money laundering, both in the second degree. The Appellate Division affirmed (*People v Haggerty*, 103 AD3d 438 [1st Dept 2013]). A

Judge of this Court granted defendant leave to appeal (21 NY3d 1015 [2013]), and we now affirm.

III

Defendant argues that Friday's testimony violated the best evidence rule and that without her testimony there was "a deficiency in [the People's] proof." The best evidence rule "requires the production of an original writing where its contents are in dispute and sought to be proven" (*Schozer v William Penn Life Ins. Co. of N.Y.*, 84 NY2d 639, 643 [1994]). The rule protects against fraud, perjury, and inaccurate recollection by allowing the jury to judge a document by its own literal terms.

According to defendant, the terms of Bloomberg's trust were in dispute because those terms would demonstrate definitively whether the trust funds belonged to Bloomberg. Under the best evidence rule, the trust instrument should have been admitted, and the People should not have been permitted to call Friday to testify.

The People respond that Friday's testimony did not violate the best evidence rule because she testified based on her independent knowledge that Bloomberg owned the money in the trust, and, regardless, the terms of the trust instrument were collateral to the issue of whether the funds belonged to Bloomberg. In the alternative, the People contend that even if admission of Friday's testimony violated the best evidence rule, the error was harmless.

[1, 2] Defendant's best evidence rule challenge is of no moment because by the time defendant finally raised his objection, Bloomberg and several other prosecution witnesses had already provided the testimony that tended to prove ownership. Defendant allowed the People to admit this evidence without objection. Nevertheless, defendant asks us to review the introduction of Friday's testimony for its prejudicial effect, but, in light of the other testimony concerning ownership, we cannot say that Friday's testimony was so prejudicial as to deny defendant a fair trial. Moreover, based on the trial record, there is no significant probability that the jury would have failed to convict, even without Friday's testimony or admission of the trust document (*People v Crimmins*, 36 NY2d 230, 242 [1975]).

The People submitted proof of Bloomberg's ownership of the stolen funds through the direct testimony of Bloomberg himself, his campaign staffers, and an official of the Independence Party.

First, Bloomberg testified that \$1.1 million of his personal funds were transferred to the Independence Party for the sole purpose of implementing the election-day ballot security operation. He further testified that defendant was the campaign's representative to the Party for the purposes of establishing the operation and that defendant failed to provide the services as promised and paid for. Even though he did not know the specifics of the funds transfer, Bloomberg never wavered from his testimony that his money went to pay for the fraudulent ballot security operation.

Second, Bloomberg's campaign staff and his wealth managers testified to the details of the actual transfer from the Michael R. Bloomberg Revocable Trust to the Independence Party. They provided firsthand knowledge that Bloomberg's money went to pay for the ballot security operation. The Independence Party's representative then described how the Independence Party paid defendant or SEO on invoices for ballot security expenditures.

Third, the People's financial investigator described the transfer of the money from the trust to the Independence Party to bank accounts belonging to SEO and defendant. The People introduced documentary proof of these transfers into evidence.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT and ABDUS-SALAAM concur with Judge RIVERA; Judge GRAFFEO taking no part.

Order affirmed.

[18 NE3d 722, 994 NYS2d 22]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v MARK GARRETT, Respondent.

Argued June 3, 2014; decided June 30, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 15, 2013. The Appellate Division (1) reversed, on the law, an order of the Suffolk County Court (James C. Hudson, J.), which had denied, without a hearing, defendant's CPL 440.10 motion to vacate a judgment of the Supreme Court, Suffolk County (Carl J. Coperlino, J.), convicting defendant, upon a jury verdict, of murder in the second degree (two counts); and (2) remitted the matter to County Court for a hearing and a new determination of defendant's motion thereafter.

People v Garrett, 106 AD3d 929, reversed.

HEADNOTES

Crimes — Appeal — Matters Reviewable

1. In a prosecution in which defendant was convicted of second-degree murder, despite his claim that his confession was false and coerced, and was later denied vacatur of the conviction based on the People's alleged *Brady* violation in failing to disclose that a federal civil action alleging police misconduct in an unrelated case had been brought against a detective that interrogated defendant, the fact that the trial court did not expressly state whether the contents of the civil complaint were material for purposes of determining a *Brady* violation did not bar the Court of Appeals from deciding the materiality of that information. The Court of Appeals is precluded from reviewing an entirely distinct alternative ground for affirmance which the court of first instance did not decide adversely to the appellant. However, a court's finding that the prosecution did not constructively possess or suppress potential *Brady* information and a court's finding that the information is not material are not separate alternative grounds for decision as neither finding is clearly separate and analytically distinct from the court's determination that the information does not satisfy the multipronged *Brady* standard. Thus, the Court was not prevented from reviewing all preserved aspects of the *Brady* issue simply because the *nisi prius* court neglected to mention an element of the multifactor *Brady* test.

Crimes — Disclosure — Failure to Disclose Exculpatory Material — Civil Complaint Alleging Police Misconduct in Unrelated Case

2. In a murder prosecution in which defendant claimed that his confession was false and coerced, the People did not commit a violation under *Brady v Maryland* (373 US 83 [1963]) by failing to disclose that a federal civil action alleging police misconduct in an unrelated case had been brought against a

detective that interrogated defendant. Although the civil allegations were favorable to defendant as impeachment evidence, defendant did not prove that the People suppressed that information or that he was prejudiced by its nondisclosure. The People's duty to disclose exculpatory or impeaching evidence within their custody, possession, or control reaches beyond evidence in the prosecutor's actual possession; it encompasses evidence known only to police and investigators. However, a police officer's secret knowledge of his or her own prior illegal conduct in an unrelated case will not be imputed to the prosecution where the People had no knowledge of the officer's bad acts until after trial. Nor do the People have a duty to conduct inquiries into the conduct of every officer working the case or to search court dockets for complaints against their police witnesses. Here, the People had no constructive knowledge of the civil allegations. Defendant's claim also failed the materiality component of *Brady* as there was no reasonable probability that disclosure would have changed the result of defendant's proceedings.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 204, 623; AM JUR 2d, Depositions and Discovery §§ 290, 291.
CARMODY-WAIT 2d, Discovery §§ 187:84, 187:86–187:89;
CARMODY-WAIT 2d, Appeals in Criminal Cases
§§ 207:169, 207:170.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 20.3,
27.5.
NY JUR 2d, Criminal Law: Procedure §§ 1692–1694, 1696,
1701, 1702, 3637, 3647.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Brady Evidence; Discovery.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: brady exculpatory /s imput! /s knowledge & unrelated

POINTS OF COUNSEL

Thomas J. Spota, District Attorney, Riverhead (Anne E. Oh of counsel), for appellant. The Appellate Division erred as a matter of law when it determined that the mere filing of a civil complaint, which is purely hearsay, triggered the People's obligation under *Brady v Maryland* (373 US 83 [1963]). (*People v Bryce*, 88 NY2d 124; *Giglio v United States*, 405 US 150; *People v Fuentes*, 12 NY3d 259; *People v Hayes*, 17 NY3d 46; *People v Vilardi*, 76 NY2d 67; *People v Santorelli*, 95 NY2d 412; *People v*

Wright, 86 NY2d 591; *People v Reedy*, 70 NY2d 826; *People v Doshi*, 93 NY2d 499; *United States v LeRoy*, 687 F2d 610.)

Feldman & Feldman, Uniondale (Steven A. Feldman and Arza Feldman of counsel), for respondent. The Second Department correctly ruled that Mark Garrett's CPL article 440 motion to set aside his conviction, on the ground that the People had failed to disclose *Brady* material, should have been granted. (*Brady v Maryland*, 373 US 83; *People v Fuentes*, 12 NY3d 259; *Daye v Attorney Gen. of State of N.Y.*, 696 F2d 186; *People v Bryce*, 88 NY2d 124; *Giglio v United States*, 405 US 150; *Strickler v Greene*, 527 US 263; *United States v Agurs*, 427 US 97; *Youngblood v West Virginia*, 547 US 867; *Milke v Ryan*, 711 F3d 998; *People v Benard*, 163 Misc 2d 176.)

Kathleen M. Rice, White Plains, Steven A. Bender, William C. Milaccio, Richard Longworth Hecht, Maryanne Luciano and Tammy J. Smiley, Mineola, for District Attorneys Association of the State of New York, amicus curiae. The Appellate Division improperly ordered a hearing despite defendant's clearly insufficient showing as a matter of law that a *Brady* violation occurred, and because of its erroneous ruling the Court inappropriately expanded and misapplied the *Brady* rule. (*People v Session*, 34 NY2d 254; *People v Brown*, 56 NY2d 242; *People v Baxley*, 84 NY2d 208; *People v Fuentes*, 12 NY3d 259; *Strickler v Greene*, 527 US 263; *People v Hunter*, 11 NY3d 1; *People v Vilardi*, 76 NY2d 67; *People v Wright*, 86 NY2d 591; *People v Miller*, 91 NY2d 372; *Milke v Ryan*, 711 F3d 998.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

Defendant Mark Garrett was convicted after trial of two counts of murder in the second degree for killing a 13-year-old girl. The evidence against defendant included his confession, which he maintained was false and had been coerced by police. In this appeal, we are asked to determine whether the People committed a constitutional violation (*see Brady v Maryland*, 373 US 83 [1963]) when they did not disclose that a federal civil action had been brought against one of their police witnesses, a homicide detective who interrogated defendant, alleging that the detective engaged in police misconduct in an unrelated case. We hold that the People's failure to disclose this evidence did not constitute a *Brady* violation.

I.

On July 18, 1998, Suffolk County police were called to investigate an overwhelming odor in a neighborhood in Wyandanch. The police discovered a dead body bundled up in sheets and dark colored plastic behind the fence of defendant's mother's home. Homicide detectives interviewed Frank Garrett, defendant's brother, and his girlfriend, J.C., who lived near defendant's mother. The detectives learned that J.C.'s 13-year-old daughter, L.C., had been missing for almost two weeks and that she was last seen leaving her home with defendant. Defendant, who was then on parole, had previously lived with his brother and J.C., and often visited his mother's home, but he had not been seen since L.C.'s disappearance. J.C. helped the detectives locate L.C.'s dental records, which were used to positively identify the dead body as L.C. on July 21st.

On July 23rd, detectives located defendant in an unoccupied residence in Coram, New York and arrested him pursuant to an outstanding parole warrant. They then transported defendant to the homicide bureau in Yaphank, where he was interrogated by several detectives, including Detective Vincent O'Leary. Although defendant initially denied any involvement in L.C.'s death, he eventually confessed orally and in writing that he had killed L.C. at his mother's home. In a signed sworn statement, defendant said that he had "wanted to have sex with [L.C.]," and when she refused, he grabbed her "tight around her chest and lift[ed] her up off the ground . . . a lot of times," at one point holding her in "a full nelson" by "squeezing her around the chest." L.C. went limp in defendant's arms, and when he could not revive her, he bound her body in electrical wire, wrapped it in sheets and garbage bags, and threw her over his mother's fence into an adjacent yard. After providing this statement, defendant drew a sketch of the crime scene and marked several crime scene photographs to depict, among other things, where he had deposited L.C.'s body.

Defendant was indicted on three counts of murder in the second degree (*see* Penal Law § 125.25). Prior to trial, defendant filed a demand for discovery, in which he generally requested that the People disclose all *Brady* material. He also moved to suppress his confession as false and involuntarily made. At a suppression hearing held in November 1999, the People presented testimony from Detective O'Leary and Detective Eugene Walsh. These witnesses testified, in essence, that after defendant was advised of and waived his *Miranda* rights, he voluntar-

ily confessed to the murder without being coerced to do so. Defendant offered a very different version of events: he testified at the hearing that the detectives never read him his *Miranda* rights and that they coerced him into signing a false confession by subjecting him to intense physical and psychological abuse. Defendant also presented the testimony of several witnesses, including two other homicide detectives who had interrogated him. While questioning Detective Samuel DeJesus, defense counsel asked the detective whether he or Detective O'Leary had been "involved in the James Halverson homicide case," which counsel explained "was a case involving a false confession." The suppression court sustained the prosecutor's objection to this line of questioning. After the hearing, the court denied defendant's suppression motion.

At trial, the People presented defendant's incriminating statements primarily through Detective O'Leary's testimony. The jury also considered circumstantial evidence implicating defendant in L.C.'s death, including testimony that the electrical wire and sheets found on L.C.'s body matched wire and sheets seized from defendant's mother's home, that L.C. was last seen alive leaving her home with defendant, and that, according to J.C., L.C. left with defendant to go to his mother's home. Detective O'Leary also testified that defendant's bedding and belongings were found in an interior, windowless hallway in the residence where he was arrested, indicating that he had been attempting to avoid detection. While cross-examining Detective O'Leary, defense counsel again referenced "the Halverson case," this time asking O'Leary if he worked on that case or was "familiar" with it. The prosecutor objected and defense counsel explained, at a sidebar, that O'Leary's involvement in the Halverson case was relevant because that case allegedly involved a false confession. The trial court sustained the objection and defense counsel did not pursue the inquiry further.

The jury returned a verdict convicting defendant of depraved indifference murder (*see* Penal Law § 125.25 [2]) and felony murder (*id.* at [3]), and in June 2000, he was sentenced to two concurrent indeterminate terms of 25 years to life in prison. The Appellate Division affirmed on direct appeal (*see People v Garrett*, 8 AD3d 676 [2d Dept 2004], *lv denied* 3 NY3d 674 [2004]). The court held, among other things, that the suppression hearing evidence established that defendant's incriminating statements were made voluntarily after he was advised of his *Miranda* rights, and that the trial evidence was legally suf-

ficient to establish defendant's guilt beyond a reasonable doubt (*see id.* at 676-677).

In December 2009, defendant, acting pro se, moved pursuant to CPL 440.10 to vacate his judgment of conviction. Defendant claimed that the People committed a *Brady* violation by failing to disclose to him that an unrelated civil action had been brought against Detective O'Leary and Suffolk County in United States District Court for the Eastern District of New York (hereinafter, EDNY) based on O'Leary's alleged police misconduct in an arson case. According to an EDNY docket printout submitted in support of defendant's motion, the civil complaint was filed on June 1, 1998, and was answered by O'Leary and Suffolk County via the Suffolk County Attorney on June 18, 1998, more than a month before defendant's arrest. The Federal District Court ordered the Suffolk County District Attorney's Office to unseal its files related to the civil case in January 2001, and the case was ultimately settled in March 2001, after defendant's trial and sentencing for murder had concluded.

The federal complaint alleged, in pertinent part, that O'Leary coerced the plaintiff, Keith Schroeter, into confessing to third-degree arson charges by repeatedly striking Schroeter in the head with a telephone book while he was handcuffed and physically forcing him to sign a written confession. Defendant asserted that, because Detective O'Leary was part of the prosecution's team, the People had constructive knowledge and a duty to learn of these allegations during the prosecution of defendant's case. Defendant further claimed that, had this information been properly disclosed, he would have used it to impeach O'Leary's credibility at the suppression hearing or at trial. In opposition to defendant's motion, the People submitted an attorney affirmation averring that they had no actual knowledge of the allegations against O'Leary until the District Attorney's Office was ordered to unseal its files in January 2001, after defendant had been convicted and sentenced. The People argued in the alternative that, even if they had been aware of the allegations, the information did not constitute *Brady* material.

County Court denied defendant's motion without a hearing. The court concluded that constructive knowledge of O'Leary's alleged bad acts in a different case could not be imputed to the prosecution, and because the People demonstrated they had no actual knowledge of the federal action until after defendant had been convicted and sentenced, no *Brady* violation had occurred.

A Justice of the Appellate Division granted defendant leave to appeal (2010 NY Slip Op 81496[U] [2010]), and that court reversed the County Court order and remitted the matter for a hearing (*People v Garrett*, 106 AD3d 929, 930 [2d Dept 2013]). The Appellate Division determined that the civil allegations against O’Leary “constituted impeachment evidence” and that the People’s failure to disclose them “may have denied the defendant the opportunity to conduct an investigation leading to additional exculpatory or impeaching evidence” (*id.* at 931). The information was also material, according to the Appellate Division, because “the credibility of the detectives who obtained the defendant’s confession was of central importance in [defendant’s] case” and “other evidence tying him to the crime was weak” (*id.*). Contrary to County Court, the Appellate Division concluded that knowledge of the allegations could have been imputed to the People by “[someone] to whom the obligation under *Brady* extended, other than perhaps O’Leary himself” (*id.* at 932). Accordingly, the court remitted the matter for a hearing “to determine whether the District Attorney’s office had sufficient knowledge of the suit against O’Leary so as to trigger its obligations under *Brady*” (*id.* at 931-932). A Judge of this Court granted defendant leave to appeal (*see* 21 NY3d 1042 [2013]) and we now reverse.¹

II.

Brady proscribes “the suppression by the prosecution of evidence favorable to [the] accused . . . where the evidence is material either to guilt or to punishment” (373 US at 87). “The *Brady* rule is based on the requirement of due process,” and “[i]ts purpose is not to displace the adversary system as the primary means by which truth is uncovered,” but to ensure that the accused receives a fair trial (*United States v Bagley*, 473 US 667, 675 [1985]; *see People v Bryce*, 88 NY2d 124, 129 [1996]). The People, in their role as truth-seekers in criminal trials, have a “broad obligation to disclose exculpatory evidence,” but a mere breach of this duty does not offend the defendant’s due process rights unless all the “components of a true *Brady* viola-

1. In moving for reargument before the Appellate Division, the People asserted, for the first time, that further investigation had revealed that the Detective O’Leary named in the federal lawsuit was not the same Detective O’Leary who questioned defendant. Because such information is de hors the record, we must assume for the purposes of resolving this appeal that the O’Leary in the federal litigation is the same detective who was involved in defendant’s case.

tion” are established (*Strickler v Greene*, 527 US 263, 281 [1999]; see also *Bagley*, 473 US at 675 [(U)nless the omission deprived the defendant of a fair trial, there was no constitutional violation . . . and absent a constitutional violation, there was no breach of the prosecutor’s constitutional duty to disclose”)). To make out a successful *Brady* claim, “a defendant must show that (1) the evidence is favorable to the defendant because it is either exculpatory or impeaching in nature; (2) the evidence was suppressed by the prosecution; and (3) prejudice arose because the suppressed evidence was material” (*People v Fuentes*, 12 NY3d 259, 263 [2009], citing *Strickler*, 527 US at 281-282; see *People v Hayes*, 17 NY3d 46, 50 [2011]; *People v LaValle*, 3 NY3d 88, 109-110 [2004]).

[1, 2] In this case, the parties disagree as to all three essential *Brady* components. The People assert that the civil allegations against O’Leary were not favorable to defendant, suppressed by the prosecution, or material to defendant’s guilt, while defendant maintains that the allegations meet each one of these elements. We conclude that, although the civil allegations were favorable to defendant, he has not proved that the People suppressed that information or that he was prejudiced by its nondisclosure.²

2. [1] As a preliminary matter, we note that, although County Court did not expressly state whether the contents of the civil complaint against Detective O’Leary were material for purposes of *Brady*, our decisions in *People v LaFontaine* (92 NY2d 470 [1998]) and *People v Concepcion* (17 NY3d 192 [2011]) do not bar us from deciding the materiality of that information. To be sure, *LaFontaine* and its progeny preclude our review of an entirely distinct alternative ground for affirmance which the court of first instance did not decide adversely to the appellant (see *Concepcion*, 17 NY3d at 196-197; *LaFontaine*, 92 NY2d at 472-474). However, for purposes of *LaFontaine*’s procedural bar, a court’s finding that the prosecution did not constructively possess or suppress potential *Brady* information and a court’s finding that the information is not material are not separate alternative grounds for decision, as neither finding is clearly separate and analytically distinct from the court’s determination that the information does not satisfy the multipronged *Brady* standard. Thus, in this case, as in other cases involving a single multipronged legal ruling, *LaFontaine* does not prevent us from reviewing all preserved aspects of the *Brady* issue simply because the nisi prius court neglected to mention an element of the multifactor *Brady* test (see generally *People v Alfaro*, 19 NY3d 1075, 1076-1077 [2012] [upon review of the trial court’s multipronged *Molineux* ruling, this Court affirmed the trial court’s decision by adopting a different theory than the one accepted by the trial court with respect to one prong of the analysis, implicitly rejecting the dissent’s contention that *LaFontaine* prohibited affirmance based on the reevaluation of that prong]; see also *id.* at 1079-1080 [Lippman, Ch. J., dissenting]).

A.

“Evidence is favorable to the accused if it either tends to show that the accused is not guilty or if it impeaches a government witness” (*United States v Gil*, 297 F3d 93, 101 [2d Cir 2002], citing *Strickler*, 527 US at 281-282; see also *Fuentes*, 12 NY3d at 263). Impeachment evidence “falls within the *Brady* rule” because, when used effectively, it “may make the difference between conviction and acquittal” (*Bagley*, 473 US at 676; see *People v Baxley*, 84 NY2d 208, 213 [1994]). However, the “favorable tendency” of impeachment evidence should be assessed without regard to the “weight of the evidence” as a whole (*Kyles v Whitley*, 514 US 419, 451 [1995]; see *Walker v Kelly*, 589 F3d 127, 140 [4th Cir 2009]; see also *Lambert v Beard*, 537 Fed Appx 78, 86 [3d Cir 2013] [citing *Kyles* and stating that “the Supreme Court has made clear that impeachment evidence is ‘favorable to the defense’ even if the jury might not afford it significant weight”]). In other words, impeachment evidence may be considered favorable to defendant even if it is not material to the defendant’s case.

Here, the civil allegations against O’Leary were favorable to defendant as impeachment evidence (see *Strickler*, 527 US at 281-282; *Kyles*, 514 US at 450-451). Defendant argued at the suppression hearing that O’Leary and other homicide detectives coerced him into making a false confession. The federal complaint made similar allegations against O’Leary: although it did not explicitly allege that the confession O’Leary procured was false, the complaint described coercive tactics O’Leary allegedly used to extract a confession against the plaintiff’s will. This evidence clearly had an “impeachment *character*” that favored defendant’s false confession theory, and we reach this conclusion without determining what, if any, “*effect*” the complaint may have had on the verdict in light of the evidence as a whole (*Walker*, 589 F3d at 140; see *Kyles*, 514 US at 451).

B.

We consider now whether, under *Brady*’s second component, the People “suppressed” the favorable evidence, “either willfully or inadvertently” (see *Strickler*, 527 US at 282). Exculpatory or impeaching evidence is subject to *Brady* disclosure only if it is within the prosecution’s custody, possession, or control (see *People v Santorelli*, 95 NY2d 412, 421 [2000]; see *People v Wright*, 86 NY2d 591, 596 [1995]; see also *Lavallee v Coplan*, 374 F3d 41, 43 [1st Cir 2004]). What constitutes “possession or

control” for *Brady* purposes “has not been interpreted narrowly” (*Santorelli*, 95 NY2d at 421), and it is beyond cavil that “the government’s duty to disclose under *Brady* reaches beyond evidence in the prosecutor’s actual possession” (*United States v Risha*, 445 F3d 298, 303 [3d Cir 2006]; see *Kyles*, 514 US at 437-438; *Santorelli*, 95 NY2d at 421). Specifically, the duty “encompasses evidence ‘known only to police investigators and not to the prosecutor’ ” (*Strickler*, 527 US at 280-281, quoting *Kyles*, 514 US at 438). As the Supreme Court explained in *Kyles*, in order to comply with *Brady*, “the individual prosecutor has a duty to learn of any favorable evidence known to the others acting on the government’s behalf in the case, including the police” (*Kyles*, 514 US at 437).

Applying *Kyles*, “this Court has charged the People with knowledge of exculpatory information in the possession of the local police, notwithstanding the trial prosecutor’s own lack of knowledge” (*Santorelli*, 95 NY2d at 421; see *Wright*, 86 NY2d at 598). Similarly, we have observed, as have many federal courts, that the People may be in “constructive” possession of information known to government officials who “engaged in a joint or cooperative investigation” of the defendant’s case (*Santorelli*, 95 NY2d at 421; see e.g. *United States v Paternina-Vergara*, 749 F2d 993, 997-998 [2d Cir 1984]). The rationale for the imputation of knowledge is that, when police and other government agents investigate or provide information with the goal of prosecuting a defendant, they act as “an arm of the prosecution,” and the knowledge they gather may reasonably be imputed to the prosecutor under *Brady* (see *United States v Stewart*, 433 F3d 273, 298 [2d Cir 2006] [noting that “the propriety of imputing knowledge to the prosecution . . . does not turn on the *status* of the person with actual knowledge” but what that person “*did*” to aid the prosecution]; e.g. *United States v Morrell*, 524 F2d 550, 555 [2d Cir 1975] [imputing law enforcement agent’s knowledge of confidential file to prosecutors where agent supervised the witness, participated actively in the investigation and frequently sat at counsel table throughout the trial]).

However, there are limits to the extent exculpatory knowledge may fairly be imputed to the prosecution. Particularly relevant to this case, the First and Third Appellate Division departments have held that “[a] police officer’s secret knowledge of his own prior illegal conduct in [an] unrelated case[] will not be imputed to the prosecution for *Brady* purposes where the People had no knowledge of the corrupt officer’s ‘bad acts’ until after

. . . trial” (*People v Johnson*, 226 AD2d 828, 829 [3d Dept 1996]; *People v Vasquez*, 214 AD2d 93, 95 [1st Dept 1995], *lv denied* 88 NY2d 943 [1996]; *see e.g. People v Kinney*, 107 AD3d 563, 564 [1st Dept 2013]; *People v Longtin*, 245 AD2d 807, 810 [3d Dept 1997], *affd on other grounds* 92 NY2d 640 [1998], *cert denied* 526 US 1114 [1999]). In *Vasquez*, the First Department explained that a police officer is “not acting as an ‘arm of the prosecution’ ” when he or she conceals his or her own criminal activity in a prior, unrelated case, and the People therefore have no duty to discover and disclose the officer’s “collateral criminal conduct” under *Brady* (214 AD2d at 101). At least one federal appellate court has similarly “refused to extend *Brady*’s constructive knowledge doctrine” where the police misconduct was known only to the officer and was unrelated to the case at hand (*United States v Robinson*, 627 F3d 941, 952 [4th Cir 2010]).

The Appellate Division appears to have implicitly determined that O’Leary’s knowledge of his own alleged misconduct and the civil action against him was not sufficient to trigger the People’s duty to discover and disclose this evidence (*see* 106 AD3d at 932, citing *Vasquez*, 214 AD2d 93). Nonetheless, the court remitted defendant’s case for a hearing to determine, essentially, whether anyone other than O’Leary “had knowledge of the civil action” that could have been imputed to the People (106 AD3d at 932). This was error.

A prosecutor’s “duty to learn” of favorable evidence known to those “acting on the government’s behalf” has generally been held to include information that directly relates to the prosecution or investigation of the defendant’s case (*Kyles*, 514 US at 429, 437-440 [evidence pointing to a person other than defendant as potential killer and contradicting state’s witnesses]; *see e.g. Youngblood v West Virginia*, 547 US 867, 868-870 [2006] [state trooper’s knowledge of note written by women Youngblood allegedly sexually assaulted that was inconsistent with state’s theory and consistent with defense of consent]; *Bagley*, 473 US at 670-672 [undisclosed contracts between main prosecution witnesses and federal agency agreeing to pay for information against Bagley]; *Wright*, 86 NY2d at 596 [victim’s status as police informant establishing “motive for prosecution witnesses to corroborate” his version of events and “to disbelieve . . . (the) defendant”]). It follows that, when a police officer engages in illegal conduct in the course of his or her investigation or prosecution of the defendant, knowledge of that

misconduct may be imputed to the People for *Brady* purposes, regardless of the officer's motivation or the prosecutor's actual awareness (see *Freeman v State of Georgia*, 599 F2d 65, 69 [5th Cir 1979], *cert denied* 444 US 1013 [1980] [imputing to the prosecution investigating officer's concealment of the identity of an exculpatory witness]; see also *In re Siggers*, 615 F3d 477, 480 [6th Cir 2010] [holding that Siggers' allegations of "police misconduct and coercion resulting in the introduction of perjured testimony . . . would satisfy the second *Brady* requirement"]; compare *People v Robertson*, 12 NY2d 355, 359-360 [1963] [misconduct by police witness who gave false testimony discrediting the defendant's involuntary confession defense "charged" to the prosecution even though they were unaware of the falsity and the false testimony was given unintentionally]). But there is a distinction between the nondisclosure of police misconduct "which has some bearing on the case against the defendant," and the nondisclosure of such material which has "no relationship to the case against the defendant, except insofar as it would be used for impeachment purposes" (*Vasquez*, 214 AD2d at 100; see *Robinson*, 627 F3d at 952). In the latter circumstance, the offending officer is not acting as "an arm of the prosecution" when he or she commits the misconduct, and the agency principles underlying the imputed knowledge rule are not implicated (see *id.* at 101).

We need not "draw . . . hard and fast lines here about the scope of *Brady* imputation" (*Robinson*, 627 F3d at 952). We are satisfied that, under the circumstances of this case, the People had no constructive knowledge of the civil allegations against O'Leary. The allegations did not arise out of O'Leary's investigation of defendant's case or his actions as part of the prosecution's team, nor were they directly related to defendant's murder prosecution. The federal lawsuit concerned O'Leary's alleged misconduct in an unrelated criminal case, and the allegations were, at most, collateral to defendant's prosecution to the extent they may have provided impeachment material. Accordingly, O'Leary's knowledge of his own alleged misconduct and the civil action against him could not be imputed to the People for *Brady* purposes.³

3. Contrary to the view taken by Chief Judge Lippman in his concurrence, our decision in *Wright* does not conflict with this holding. In *Wright*, we held that the People committed a *Brady* violation by "fail[ing] to inform the defendant that *the complainant* had previously operated as an informant for the

(n. cont'd)

Defendant points out that, unlike *Vasquez* and other cases that concerned secret police misconduct, the civil allegations against O’Leary were contained in a “public federal lawsuit” filed before defendant was arrested. This is a distinction without a difference under the facts of this case, where the allegations against O’Leary could have been discovered only if the People had combed through the dockets of EDNY cases. Defendant asserts that this investigatory step is mandatory under *Brady*; specifically, he contends that the People were required to ask O’Leary whether he was being sued “in any court, for any reason related to his course of conduct as a Suffolk County Detective” and to “conduct[] a cursory check in state and federal court to see if the Detective had any civil rights cases against him.”

We decline to construe the People’s *Brady* obligations so broadly. “[I]t is one thing to require prosecutors to inquire about whether police have turned up exculpatory or impeachment evidence during their investigation. It is quite another to require them, on pain of a possible retrial, to conduct disciplinary inquiries into the general conduct of every officer working the case” (*Robinson*, 627 F3d at 952). While prosecutors should not be discouraged from asking their police witnesses about potential misconduct, if they feel such a conversation would be prudent, they are not required to make this inquiry to fulfill their *Brady* obligations. Similarly, the People have no affirmative duty to search the dockets of every case in every federal and state court in New York for complaints against their police witnesses. A contrary rule, taken to its logical extreme, would require prosecutors to search for cases in every jurisdiction where investigating officers had a previous or existing connection “just in case some impeaching evidence may show up”

local police department” (86 NY2d at 593-594 [emphasis added]). We determined that this information was clearly “favorable” to the defendant because she could have used it to impeach police officers’ testimony—which differed in critical respects from reports the officers prepared after the crime—by showing they had a “motive” to favor the complainant’s version of events (*id.* at 596). The information also “would have provided the defense with an explanation for the decision by the police to disbelieve, and subsequently to arrest, [the] defendant” (*id.*). Accordingly, although “the witness in *Wright* was not acting as an informant in that case” (Lippman, Ch. J., concurring op at 897), the information in the police’s possession—that the complainant had previously been a police informant—was directly related to the defendant’s prosecution for assaulting the complainant and, therefore, knowledge of that information could be imputed to the People (*see* 86 NY2d at 598).

(*United States v Lee Vang Lor*, 706 F3d 1252, 1259-1260 [10th Cir 2013]; see *Risha*, 445 F3d at 304 [“(P)rosecutors are not required to undertake a ‘fishing expedition’ in other jurisdictions to discover impeachment evidence”]). This would impose an unacceptable burden upon prosecutors that is likely not outweighed by the potential benefit defendants would enjoy from the information ultimately disclosed on account of the People’s efforts.

Accordingly, defendant has not demonstrated that the People suppressed the civil allegations in violation of *Brady*. As County Court determined, the People have adequately proved that they had no actual knowledge of the allegations until after trial when their *Brady* obligations had ceased. We further hold that O’Leary’s personal, pretrial knowledge of the allegations could not be imputed to the prosecutor, and that the prosecutor had no duty to inquire about the allegations or to search for the “public” lawsuit. Defendant has maintained throughout this litigation that O’Leary’s knowledge of the allegations against him resulted in the imputation of that knowledge to the prosecutor; he has never alleged that the imputation derived from the knowledge of any other police officer or member of the prosecution team. Having concluded that the People had no actual or constructive knowledge of the allegations, we need not remit this matter for a hearing on suppression (see 106 AD3d at 932).

C.

Even if we were to hold that the People suppressed the allegations against O’Leary, defendant’s *Brady* claim would still fail because the nondisclosed evidence “does not meet the materiality standard—the third prong required to establish a *Brady* violation” (*Fuentes*, 12 NY3d at 265). “In New York, where a defendant makes a specific request for a document, the materiality element is established provided there exists a ‘reasonable possibility’ that it would have changed the result of the proceedings” (*id.* at 263, citing *People v Vilardi*, 76 NY2d 67, 77 [1990]). “Where, as here, the defense did not specifically request the information, the test of materiality is whether ‘there is a reasonable probability that had it been disclosed to the defense, the result would have been different—i.e., a probability sufficient to undermine the court’s confidence in the outcome of the trial’ ” (*People v Hunter*, 11 NY3d 1, 5 [2008], quoting *Bryce*, 88 NY2d at 128; see *Fuentes*, 12 NY3d at 263).

We agree with the People that there was no reasonable probability that disclosure of the civil allegations against O’Leary

would have changed the result of defendant's proceedings. Although defendant claims he could have used the allegations to impeach O'Leary's credibility at the suppression hearing or at trial, defendant previously tried and failed to admit similar impeachment evidence against O'Leary at both of these stages of the proceeding, and the courts sustained the prosecutor's objections to the evidence based on relevance grounds. Thus, it seems unlikely that defendant would have had any greater success in admitting the evidence at issue here, which was only marginally more relevant. This Court has not squarely addressed whether, as some federal courts have held, inadmissible evidence may be considered "material" under *Brady* so long as it "could lead to admissible evidence" (*Gil*, 297 F3d at 104; see *Hunter*, 11 NY3d at 5 [citing *Gil* but declining to decide whether, as the defendant argued, "information would be subject to *Brady* even if it was not itself admissible in evidence"]; but see *People v Scott*, 88 NY2d 888, 891 [1996] [no *Brady* violation because "polygrapher's opinions regarding the witness's veracity are not admissible evidence"]; cf. *People v Ennis*, 11 NY3d 403, 414-415 [2008] [holding attorney not ineffective for failing to preserve *Brady* claim "that had little or no chance of success" because "inadmissibility of the exculpatory information prevented it from being material"])). In any case, defendant has failed to show what, if any, admissible evidence disclosure of the allegations against O'Leary would have led to.

Finally, "in the context of this case, the value of the undisclosed information as admissible impeachment evidence would have been, at best, minimal" (*Fuentes*, 12 NY3d at 264). In addition to O'Leary, Detective Walsh testified at the suppression hearing about defendant's confession and the circumstances surrounding it. Since Walsh's testimony largely corroborated O'Leary's version of events, it is not reasonably probable that admission of the impeachment evidence would have resulted in the confession being suppressed. Moreover, the allegations concerned a collateral issue that was only tangentially relevant to defendant's prosecution. Defendant's confession was undoubtedly important to the People's case, but unlike the Appellate Division, we do not consider the circumstantial evidence connecting defendant to the killing so "weak" as to compel the conclusion that the allegations against O'Leary constitute *Brady* material.

Accordingly, the Appellate Division order should be reversed and the order of County Court reinstated.

Chief Judge LIPPMAN (concurring). I concur on the ground that the impeachment evidence at issue is not material under *Brady v Maryland* (373 US 83 [1963]). In light of that conclusion, there is no need to reach the question of whether the evidence was suppressed. However, since the majority resolves both of these prongs in the People's favor, I write separately to express my belief that Detective O'Leary's knowledge of the allegations pending against him in the federal lawsuit should be imputed to the People.

The majority's determination that the evidence was not suppressed relies on the so-called "unrelated criminal activity exception" to the imputation doctrine, which provides that a police officer's secret knowledge of his own misconduct in an unrelated case is not imputable to the People (*Campiti v Matsanz*, 186 F Supp 2d 29, 49 [D Mass 2002], *aff'd* 333 F3d 317 [1st Cir 2003], *cert denied* 540 US 931 [2003]; *see also e.g. People v Kinney*, 107 AD3d 563, 564 [1st Dept 2013]; *People v Seeber*, 94 AD3d 1335, 1336-1338 [3d Dept 2012]; *People v Ortega*, 40 AD3d 394, 395 [1st Dept 2007]; *People v Roberson*, 276 AD2d 446, 446 [1st Dept 2000]; *People v Johnson*, 226 AD2d 828, 828-829 [3d Dept 1996]; *People v Vasquez*, 214 AD2d 93 [1st Dept 1995]). The majority's interpretation of suppression under *Brady* is patently contrary to the Supreme Court's holding in *Kyles v Whitley* (514 US 419 [1995]) and subverts *Brady*'s fundamental concern with "insur[ing] that the accused receives a fair trial" (*People v Bryce*, 88 NY2d 124, 129 [1996]; *Strickler v Greene*, 527 US 263, 280-281 [1999]). At its core, the majority's suppression analysis relies on the problematic distinction "between the nondisclosure of police misconduct 'which has some bearing on the case against the defendant,' and the nondisclosure of such material which has 'no relationship to the case against the defendant, except insofar as it would be used for impeachment purposes'" (majority op at 889, quoting *Vasquez*, 214 AD2d at 100). According to the majority, "when a police officer engages in illegal conduct in the course of his or her investigation or prosecution of the defendant, knowledge of that misconduct may be imputed to the People for *Brady* purposes, regardless of the officer's motivation or the prosecutor's actual awareness" (majority op at 888-889). On the other hand, when the misconduct is "collateral" to defendant's case, the majority declares that the officer's private knowledge thereof is not subject to imputation (*see* majority op at 889).

This distinction is arbitrary and illogical in the context of *Brady*'s suppression prong. Ultimately, the majority's error lies

in conflating imputation and materiality. The tangential nature of impeachment evidence has no bearing on whether a police officer's knowledge thereof is attributable to the People. By contrast, the degree to which an officer's bad acts may be characterized as collateral to a particular case is certainly relevant to determining whether the evidence is material, that is, whether the failure to disclose it "undermines confidence in the outcome of the trial" (*Kyles*, 514 US at 434, quoting *United States v Bagley*, 473 US 667, 678 [1985]).

In support of its suppression analysis, the majority invokes agency principles underlying the imputation doctrine, reasoning that a police officer is not acting as an "arm of the prosecution" when he conceals his own wrongdoing in an unrelated case (*see* majority op at 887-888, 889). It is difficult to square this conclusory position with the majority's concession that an officer is considered a member of the prosecution team when he conceals ultra vires acts committed during the investigation or prosecution of the defendant (*see* majority op at 888-889). In both instances, it is the act of concealing evidence that constitutes the *Brady* violation. And in both instances, it is not the officer's "status" as a member of law enforcement, but his role in the investigation and prosecution of defendant's case that brings the concealment within the ambit of *Brady* (*cf. United States v Stewart*, 433 F3d 273, 298-299 [2d Cir 2006] [expert witness for the prosecution was not an "arm of the prosecution" when he provided false testimony because he "acted only in the capacity of an expert witness" and was not "in any way involved with the investigation or presentation of the case to the grand jury" or development of prosecutorial strategy]).

In other words, the majority's appeal to agency principles

"misses the point of *Brady*. Perhaps the officer was not a state actor when he engaged in the underlying corrupt conduct, but he was a state actor when he testified against the defendant and concealed his misconduct from the defense. There can be no doubt that the officer knew that the evidence, which bears on his credibility, is favorable to the defense. If the evidence satisfies the standard of materiality, then his failure to disclose it violates *Brady*" (Robert Hochman, *Brady v Maryland and the Search for Truth in Criminal Trials*, 63 U Chi L Rev 1673, 1704 [1996]).

The majority's position ignores the police officer's independent obligation to disclose impeachment evidence and improperly

conveys to the police the discretion to make the judgment call on what misconduct qualifies as “collateral.” This result presents precisely the sort of danger *Kyles* sought to avoid, namely, the unconstitutional substitution of “the police for the prosecutor, and even for the courts themselves, as the final arbiters of the government’s obligation to ensure fair trials” (*Kyles*, 514 US at 438).

Notably, while *Kyles* concerned suppressed evidence that related directly to the defendant’s case, the Supreme Court said nothing to imply that the scope of imputable knowledge should be so limited. Rather, the Court simply held that *Brady* material includes information “known only to police investigators and not to the prosecut[ion]” (*Kyles*, 514 US at 438). Therefore, “the individual prosecutor has a duty to learn of any favorable evidence known to the others acting on the government’s behalf in the case, including the police” (*id.* at 437). Contrary to the majority’s position on the prosecutor’s “duty to learn,” courts addressing prior bad acts of police witnesses have interpreted *Kyles* more broadly.

For example, in *Arnold v McNeil* (622 F Supp 2d 1294 [MD Fla 2009], *affd on op below* 595 F3d 1324 [11th Cir 2010]), the District Court granted a petition for a writ of habeas corpus after determining that the collateral, illegal acts of the lead detective in a drug prosecution, which were unknown to the trial prosecutor, constituted *Brady* material. Citing *Kyles*, the court held that the detective’s “knowledge of his own criminal conduct, constituting evidence that would be favorable to the defense, demonstrate[d] that the prosecution both ‘possessed’ favorable evidence . . . and ‘suppressed’ exculpatory or impeachment evidence” (*id.* at 1316). That the detective’s misconduct in *Arnold* did not occur in the course of investigating the petitioner’s case, or participating in its prosecution, was not dispositive of the suppression issue. Instead, the collateral nature of the detective’s corrupt behavior affected the court’s assessment of whether the evidence was material. Ultimately, the court concluded that

“the illegal activities of [the detective] (many of which were strikingly close to the drug offense for which [the petitioner] was prosecuted), which were occurring at the precise time he was identifying [the petitioner] as the perpetrator and then testifying against him at trial, and [the detective’s] failure to

disclose those activities to the prosecution so the prosecutor could disclose them to the defense, create[d] a reasonable probability that the outcome would have been different” (622 F Supp 2d at 1321 [internal quotation marks omitted]).

Moreover, the detective “was clearly a key member of the prosecution team whose information and testimony was vital to secure the conviction” (*id.* at 1315). On these facts, not only was the detective’s private knowledge of his own unrelated, unlawful acts imputed to the People, but it was also material under *Brady*, and the court granted the petitioner habeas relief (*id.* at 1322).

Similarly, the federal court in *Campiti v Matesanz* (186 F Supp 2d at 49) suggested that restricting imputation to police knowledge of misconduct committed in the instant case is untenable after *Kyles*. Indeed, after noting that a number of courts had “absolved the prosecution of responsibility for failing to disclose the unknown, unrelated criminal activity of its corrupt officers” (*Campiti*, 186 F Supp 2d at 49, citing *United States v Rosner*, 516 F2d 269 [2d Cir 1975]; *Commonwealth v Waters*, 410 Mass 224, 229, 571 NE2d 399, 402 [1991]; *People v Vasquez*, 214 AD2d 93 [1st Dept 1995]; *People v Johnson*, 226 AD2d 828 [3d Dept 1996]), the *Campiti* court expressed doubt as to whether those cases remained good law (*see Campiti*, 186 F Supp 2d at 49 [“Since *Kyles* established the applicable rule, the Commonwealth is hard-pressed to argue that it lacked responsibility for [the officer’s] failure to disclose his unlawful activity. The cases with similar factual circumstances cited by the Commonwealth were decided before *Kyles*, with the exception of *Johnson*, which did not cite or distinguish *Kyles*”]). Ultimately, the *Brady* claim in *Campiti* was rejected based on lack of materiality alone, and the court declined to reach the “knotty issue” of imputation (*id.*).

Applying *Kyles* in the manner proposed herein is also consistent with this Court’s precedent regarding imputation in similar contexts. For instance, in *People v Wright* (86 NY2d 591 [1995]) the defendant argued that the prosecution’s failure to turn over evidence that a prosecution witness had a “history as a police informant” constituted a *Brady* violation, warranting post-conviction relief (*id.* at 598). This Court agreed. We determined that the evidence “was both favorable and material to the defense” (*id.*). In addition, the fact that the witness’ previous status was known only to police did not excuse the

prosecutor's failure to disclose it (*id.*, citing *Kyles*, 514 US at 437). Of particular relevance here is that the witness in *Wright* was not acting as an informant in that case (*see* 86 NY2d at 593-594). Therefore, the undisclosed information, like the federal civil rights allegations against O'Leary, constituted impeachment evidence arising from a prior case. But in *Wright*, we found that the People constructively possessed the information. Furthermore, we analyzed the value of the impeachment evidence, i.e., its relevance to the outcome at trial, under the materiality prong of *Brady*, concluding that under the circumstances, the collateral evidence was sufficiently material to warrant vacatur of the conviction (*id.* at 596-597; *see also Seeber*, 94 AD3d at 1338 [granting a motion to vacate pursuant to CPL 440.10 (1) (b) based on the misrepresentations of a State Police forensic scientist both in prior cases and the one sub judice; noting that "requiring a defendant to demonstrate that the People were aware of the subject misrepresentation in order to prevail . . . potentially sets the stage for a situation where a truly innocent person, whose conviction was obtained solely upon the basis of admittedly falsified, manufactured or otherwise unreliable evidence, might remain in prison simply because the People were unaware . . . of misfeasance on the part of a law enforcement representative"]).

In sum, the exception endorsed by the majority imposes limits on the imputation doctrine that are wholly inconsistent with *Kyles*. That decision stands for the proposition that favorable, material evidence known only to police officers involved in a criminal investigation is not exempt from *Brady*'s disclosure requirements. Members of the prosecution team, including the police investigators such as Detective O'Leary here, are subject to the same disclosure obligations; the knowledge of every member of the team is imputed to the prosecution. There is no rational basis for charging the People with a police officer's knowledge of his own misconduct in the defendant's case but not with wrongdoings perpetrated by the same officer in another context. Consideration of the collateral nature of an officer's prior bad acts is more properly undertaken at the materiality stage of the *Brady* analysis.

Frequently, the improper conduct will be tangential, or its impeachment value will be minimal in light of the strength of the other evidence of guilt, weighing in favor of a finding that its suppression was immaterial. Moreover, as here, lack of materiality will often obviate the need to reach the suppression

prong (*see e.g. Campiti*, 186 F Supp 2d at 49-50). But, in the event that both favorability and materiality tip in defendant's favor, the fact that the bad acts were perpetrated against a different suspect should not foreclose an otherwise meritorious *Brady* claim. The majority's flawed imputation analysis undermines the due process protections which the *Brady* doctrine enshrines.

In light of the above, it is unnecessary to address issues concerning the extent of the People's obligation to investigate the prior alleged misdeeds of police officers assigned to a particular case. Here, the detective's knowledge of the allegations lodged against him by a suspect in a different case was sufficient to trigger the disclosure obligation. Therefore, defendant satisfied the suppression prong of the *Brady* test.

SMITH, J. (concurring). We held in *People v LaFontaine* (92 NY2d 470 [1998]) and reaffirmed in *People v Concepcion* (17 NY3d 192 [2011]) that neither the Appellate Division nor our Court may consider, in a criminal appeal, issues that "were either decided in [the appellant's] favor or not ruled on" by the court of first instance (*LaFontaine*, 92 NY2d at 474). Here, County Court denied defendant's motion under CPL 440.10 solely on the ground that the prosecution had neither actual nor constructive knowledge of the allegations made in the federal complaint against Detective O'Leary. It did not consider the question of whether those allegations were "material" information—i.e. whether there was a reasonable probability that they would have changed the result of the case (*People v Fuentes*, 12 NY3d 259, 263 [2009]). The Appellate Division, however, did consider the materiality issue, and found the information material. One might think that this was obvious *LaFontaine* error, and that *LaFontaine* likewise bars this Court from deciding materiality.

But the majority holds that there is a distinction, for *LaFontaine* purposes, between "separate alternative grounds for decision" and mere prongs of a "single multipronged legal ruling" (majority op at 895 n 2). This distinction (not mentioned, as far as I know, in any previous discussion of *LaFontaine*) puzzles me. How is an appellate court to decide what is a separate alternative ground for decision and what is a prong? Why were not the alternative grounds for decision in *LaFontaine*—the existence of, and the necessity for, a valid and applicable warrant for the defendant's arrest—prongs of a ruling on the arrest's

validity? Why were not the two issues in *Concepcion*—the existence of consent to the search and the applicability of the inevitable discovery doctrine—prongs of a ruling on whether the Fourth Amendment required suppression of the evidence?

I do not know. But I am not complaining. As I explained in my dissent in *Concepcion*, the *LaFontaine* rule itself makes little sense to me, and if followed consistently (which it has not been) it will work enormous mischief. I thus welcome the majority's limitation of the rule—a limitation which perhaps amounts to an effective overruling of *LaFontaine*.

Judges GRAFFEO, READ and PIGOTT concur with Judge ABDUS-SALAAM; Chief Judge LIPPMAN concurs in result in an opinion in which Judges SMITH and RIVERA concur; Judge SMITH in a separate concurring opinion in which Judge PIGOTT concurs.

Order reversed and order of County Court, Suffolk County, reinstated.

[Next page is 901.]

